

Rolls-Royce Holdings plc LSE:RR.

FH1 2025 Earnings Call Transcripts

Thursday, July 31, 2025 8:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2025-	-FH2 2025-	-FY 2025-	-FY 2026-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.09	0.14	0.25	0.29
Revenue (mm)	8784.85	10454.45	19178.00	20876.57

Currency: GBP

Consensus as of Jul-29-2025 5:53 AM GMT

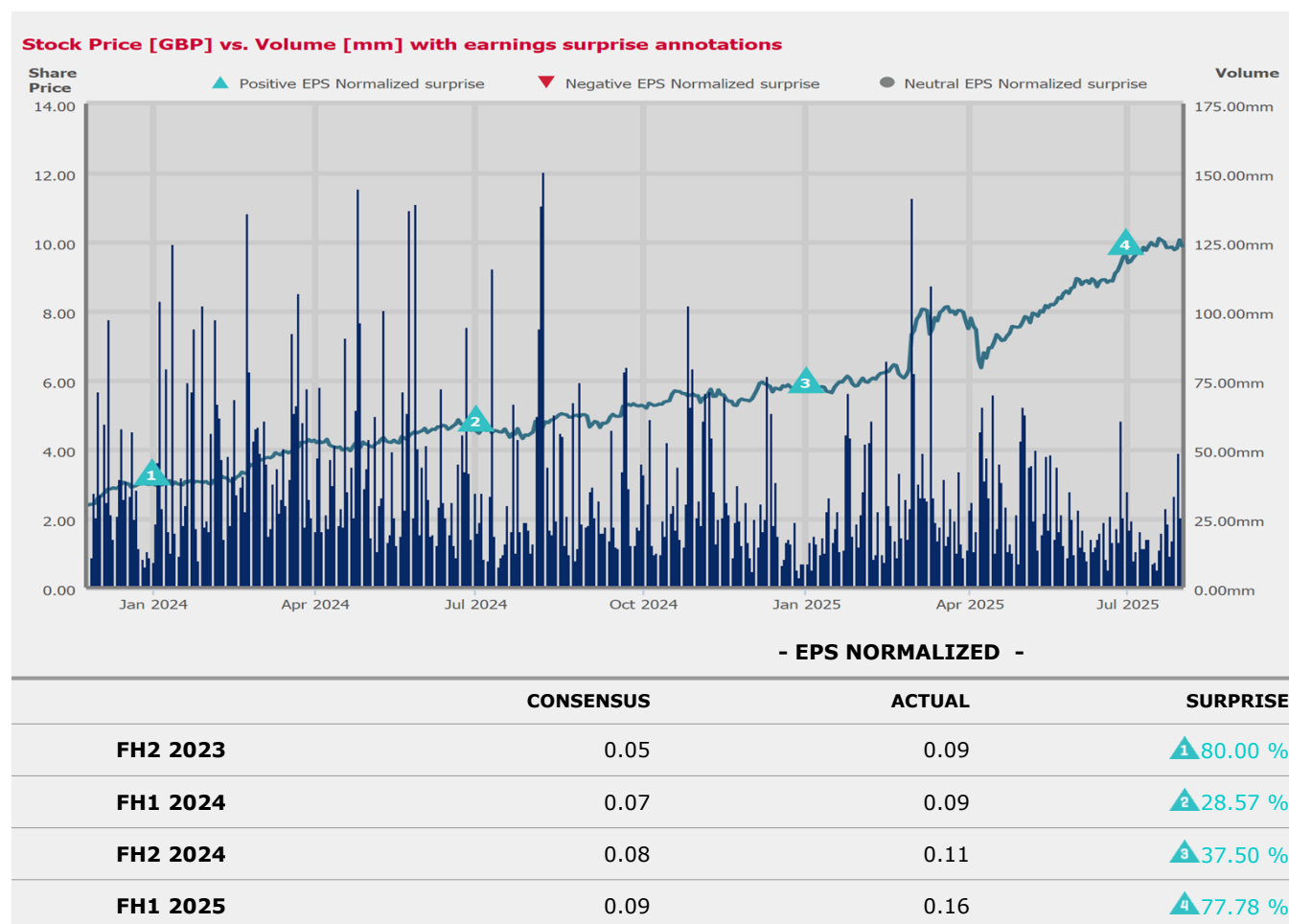


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Call Participants

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Presentation

Jeremy Bragg

Good morning, everyone. I'm Jeremy Bragg, Head of Investor Relations, and I'm joined today by our CEO, Tufan and our CFO, Helen. So welcome to our 2025 results.

Before we begin, I'm required to show you the safe harbor statement on Slide 2. So in today's presentation, we're going to cover our first half results in detail and our guidance for the full year. So after the presentation, we will take questions from the room and if there's time from our online audience. For those of you in the room, there are microphones in the seat in front of you, you need to press and hold to the button before you speak.

Before I hand over to Tufan, we'd like to show you a short video that highlights the strong progress we've made over the half. So thank you.

[Presentation]

M. Tufan Erginbilgic

CEO & Executive Director

Good morning. We continue to transform Rolls-Royce into a high-performing, competitive, resilient and growing business. We are creating a sustainably distinctive business in terms of safety, operational effectiveness, customer service, advantage technologies and products and a distinctive performance culture.

We continue to expand the earnings and cash potential of Rolls-Royce despite the challenges of supply chain and tariffs. Our first half results have been strong with significantly improved financial performance across the group. This has been driven by our transformation program and builds on what we have delivered over the past 2 years.

We made strong operational and strategic progress in the first half of 2025. This includes achieving key time on wing improvements, delivering strong aftermarket performance and contractual margin improvements in Civil Aerospace, capturing data center growth in Power Systems with improved profitability, strong order intake in Defence plus the selection of Rolls-Royce's SMR as the preferred provider of the U.K.'s small module reactors.

Our strong first half results gives us confidence to raise our guidance for 2025. It also builds further confidence in midterm targets for 2028 that we set out February. These mid-term targets are significantly underpinned by our strategic initiatives and the actions we have taken. As the first half shows, execution of our strategic initiatives continues to deliver strong results.

We are continuing to invest for growth across the group in a focused and disciplined way. Investments have increased every year since 2022 and will grow again this year. We are also growing shareholder returns. Today, we announced an interim dividend of 4.5p, our GBP 1 billion share buyback is progressing to plan with GBP 500 million of share buyback as of today.

We have achieved a lot over the past 2.5 years, and there is still more to do. We continue to see strong growth to the midterm and beyond. Despite an uncertain environment, our financial performance has improved significantly in the first half 2025, driven by our transformation program.

Operating profit of GBP 1.7 billion was 50% higher than last year, driven by the following items: in Civil Aerospace, we delivered strong aftermarket profit with higher volumes and margins across LTSA and time and materials. In large engines, our aftermarket revenue grew by 28% in the first half with even higher growth in aftermarket operating profit as a result of improved margins in both LTSA and time and materials.

Contractual margin improvements were higher than last year, driven by onerous contract renegotiations and the achievement of key time-on-wing milestones on the XWB-84. Spare engine profit was also higher reflecting improved margins and mix. In Defence, transport, OE and aftermarket, profit improved. And in Power Systems, we continue to capture growth in the data center market with improved margins. Plus, governmental performance was also strong.

Our performance continues to be impacted by industry-wide supply chain constraints, which understate the true impact of our transformation. The actions that we have taken have driven an improvement in the supply chain, particularly in the availability of finished parts with a 15% increase in parts delivered to us in the period. This has supported a higher number of shop visits and reduced turnaround times, particularly for the Trent XWB-84 and Trent 700, both have fallen significantly.

Despite an improvement in the availability of parts, we have continued to see product cost inflation as a result of supply chain challenges. We have been quick to react to the tariffs, where we have fully mitigated the drag impact across the group, as we transform Rolls-Royce into a more proactive, agile business.

All of this resulted in a group operating margin of 19.1%, 4.9 percentage points higher than last year. Civil Aerospace's operating margin rose by 7.1 percentage points to 24.9%. Defence's operating margin was 15.4%, similar to last year's. And in Power Systems, operating margin rose 5.6 percentage points to 15.3%.

Turning now to free cash flow for the group, which was GBP 1.6 billion, 37% higher than last year. Strong free cash flow was largely driven by strong operating profit and continued LTSA balance growth. The growth was supported by higher engine flying hours and an improved EFH rate, partly offset by higher number of shop visits.

The actions we are taking to improve are large engine LTSA contracts. The 6 levers of improvement that we have often talked about are driving higher LTSA margins and stronger cash flows. Return on capital rose by 3.1 percentage points to around 17%, driven primarily by operating profit. That shows distinctive value creation by Rolls-Royce and provides us with a competitive advantage. Our strong first half results were driven by the continued execution of strategic initiatives.

I will talk to 3 key initiatives that have driven significant profit and cash growth, which we first showed you in February. In widebody, our installed fleet has grown at 10% per year since 2022 versus 5% for the market, as we have captured more than 50% of the deliveries. We continue to expect installed fleet growth of 7% to 9% per year to the mid-term, driven by rising aircraft deliveries, as we continue to capture market share. This is underpinned by our large order backlog of more than 2,000 engines.

The first graph shows the multibillion cash benefits of renegotiating OE and aftermarket contracts in Civil Aerospace. We made great progress in the first half of 2025. The contracts that we renegotiated in the first half alone will benefit cash flows by GBP 1.4 billion over their contract life.

As shown on the graph, only 30% of these OE and aftermarket cash benefits will be realized by 2028, with the remainder being delivered progressively over time. We have now renegotiated all of our OE contracts, which means that our business aviation OE deliveries are now profitable. We remain on track for the Trent XWB installed engine deliveries to be breakeven or positive by the midterm.

We also made strong progress with onerous aftermarket contracts in the first half, which supported gross contractual margin improvements of GBP 402 million. We continue to find win-win solutions for our customers. We have now completed the renegotiation of all our significant onerous airline contracts and expect to largely conclude the remainder this year and 2026.

The second graph shows we are driving higher contract margins, and therefore, higher LTSA margins over time. To remind you, from February, our contract margin, the top line on the chart is the average LTSA margin across all signed contracts, even if the engines are not delivered yet. This is a leading indicator for the LTSA margin that will be booked in our income statement in the future. This is the second line in the chart.

In the first half of 2025, we have driven around 1 percentage point further improvement to both contract and LTSA margins compared to what we set out in February. Improved contract and LTSA margins are both driven by time on wing improvements on Trent XWB-84 and lower shop visit costs. In addition, higher contract margin also reflected benefits of new LTSA contracts, which are coming in with better terms.

Shop visit costs continued to improve during the first half. For the Trent XWB-84, shop visit costs remain on track to fall by 50% between 2020 -- 2019 and the midterm. We are also making good progress with time on wing. We hit the significant milestones on the Trent XWB-84 in the first half of 2025, which supported contractual margin improvements and will drive higher LTSA margins going forward.

The upgraded Trent 1000 HPT blade was certified in June, which will more than double the time on wing on these engines. Our Trent XWB-84EP engine deliveries also commence with Delta Airlines in the first half. These engines offer a more than 1% improvement in fuel burn and improved durability. In February, we set a target of improving the time on wing of our in-production engines by more than 80% by the end of 2027. As a result of the progress we made to date, more than half of the targeted improvement is not delivered or secured. Most of the cash benefits from our time on wing improvements will come after 2026 and will support cash flow growth to the midterm and beyond.

The third graph shows operating profit and margins in Power Generation, where we have restructured our business model to profitably capture strong data center growth. As a result, since 2022, Power Generation's operating margin has increased by 11x. Demand for our backup power generators for data centers remains very strong, and we now expect revenue growth of around 20% per year to the midterm in the Power Generation segment. This was previously, if you remember, 15% to 17%.

Power Generation has now become one of the most profitable segments within the Power Systems. This is making our financial delivery more evenly balanced through the year, which you can see in our first half results. All these initiatives are driving stronger performance to the midterm and beyond. We have made significant strategic progress across our 4 pillars. I already covered some of the key strategic initiatives. Let me talk about the rest very briefly.

First, portfolio choices and partnerships. In March, CEZ Group made a strategic investment into Rolls-Royce SMR, alongside a commitment to buy up to 6 SMRs. CEZ is an experienced operator of the existing nuclear fleet in the Czech Republic with a strong established supply chain. In May, we announced that Rolls-Royce and Turkish Technic will establish a new MRO center in Istanbul. This will be operated by the end of 2027 and will eventually support up to 200 shop visits per year.

In Power Systems as well as developing our next generation engine, we are also significantly upgrading our military engines with higher power density to capture growing demand. Our governmental business is also well positioned to capture strong market growth and increase European defense spending. As a result, we now expect higher governmental revenue growth of 12% to 14% per year to the midterm. Previously, again, this was 5% to 7%. In July, we completed the disposal of our naval propulsors business to Fairbanks Morse, and we expect to close the disposal of the naval handling business at a later date.

Second, strategic initiatives. Our Pearl business jet engines hit important milestones in the first half. The Gulfstream G800, powered by our Pearl 700 engine, was certified in April, ahead of the aircraft's entry into service later this year. In addition, our Pearl 10x engine for the forthcoming Dassault Falcon 10x aircraft has completed flight testing, and we are on track to complete all major engine certification test.

In Defence, we signed 2 key aftermarket services contracts worth over GBP 1.5 billion in total with the U.K. MoD and U.S. DoD. These contracts cover the continued maintenance of EJ200 engines for the Eurofighter Typhoon and AE 2100 engines for a variety of aircraft, notably the C130J Hercules.

Third, efficiency and simplification. We have a TCC/GM ratio of 0.35x. This is a best-in-class ratio, which represents a competitive advantage for Rolls-Royce amongst its peers. We have now delivered more than GBP 400 million of efficiency and simplification benefits since the start of 2022, and we remain on track to deliver more than GBP 500 million by the end of this year.

Since the start of 2022, we delivered over GBP 850 million of gross procurement savings and remain on track to deliver more than GBP 1 billion by the end of this year. Our efficiency and simplification targets are supported by zero-based budgeting and our GBS strategy, where efficiencies are scaling up. We have opened a new GBS center in Poland and are expanding our center in India.

Fourth, lower carbon and digitally enabled businesses. In June, Rolls-Royce SMR was selected as the preferred bidder to build 3 SMR units in the U.K. We expect to enter a 2-stage contract with GBEN in the fourth quarter of this year. Stage 1 will cover the site-specific design activity and the preparations for the site build, leading up to the final investment decision. Stage 2 will see us deliver 3 Rolls-Royce SMR units to go on grid by mid-2030s.

The U.K.'s decision also paves the way for further export orders with our next opportunity being in Sweden, where we expect a decision soon. As Rolls-Royce SMR activities ramp up in the U.K. and in the Czech Republic, these projects will start to generate revenues and profit from late 2025. Cash flows will be positive on a project basis throughout. We expect the Rolls-Royce SMR business will be profitable and free cash flow positive by 2030. We have unique capabilities in nuclear with a leading and highly differentiated position in a growing market. Therefore, we expect the value of this business to grow significantly from now.

In Power Systems, we won major new battery storage orders, including the Ignitis Group in Lithuania. These orders support strong revenue growth and our ambition to achieve the breakeven in the near term. We are increasingly adopting AI across the group. Rolls-Royce is testing its generative AI platform for a variety of use cases, including accelerating new product introductions and creating a more efficient MRO process. Work is underway in providing greater transparency across the supply chain through digital, data and AI. We are deploying AI capabilities in cybersecurity and improving the IT support services.

With that, let me pass it to Helen, who will tell you in more detail our first half results.

Helen McCabe
CFO & Director

Thank you, Tufan. Good morning, everyone. Before I get into the detail, let me start by saying how pleased I am with our progress. It's real evidence of our transformation. The results, they are strong, double-digit growth across revenue, profit and cash flow with balance sheet resilience continuing to be built. Every division is delivering, and we're rewarding our shareholders with growing distributions.

A reminder of the group highlights. Group revenues grew by 13% to GBP 9.1 billion with good end market growth, especially across Civil and Power Systems. Group operating profit grew by 50% to GBP 1.7 billion, driven by our strategic initiatives, including commercial optimization and cost efficiency benefits. Operating margin grew by 4.9 percentage points to 19.1%, and free cash flow, it grew by over GBP 400 million to GBP 1.6 billion. Cash delivery was driven by higher operating profit and continued LTSA balance growth.

Strong cash flow in the period meant that we closed the half year with a net cash position of over GBP 1 billion. That's around GBP 2 billion higher than a year ago. Return on capital, it rose to 16.9% for the rolling 12 months, representing significant value creation. And these results have enabled us to declare an interim dividend of 4.5p per share, following through on our capital frame commitments and rewarding our shareholders. So a strong set of results across all key financial metrics with every part of the organization delivering, results that demonstrate we are making continued strategic, operational and financial progress, a real team effort.

Now the detail by division, starting with Civil Aerospace. Civil delivered the largest year-on-year improvement in profit and margin with the impact of our strategic initiatives being very evident. Operating profit grew to GBP 1.2 billion an increase of 63% compared to last year. Operating margin grew to 24.9%, an increase of 7.1 percentage points compared to last year. Revenues grew to GBP 4.8 billion, an increase of 17%, driven by higher shop visits and commercial optimization. OE deliveries of 237 were broadly flat year-on-year. Of these, 122 were large engines, of which 23 were spares, as we continue to increase our

operational flexibility and support our customers. Business aviation deliveries of 115 were almost all Pearl engines.

Shop visits, they grew to 696, an increase of 12% year-on-year. Of these, 217 were large engine refurbs. That compares to 195 last year. The increase in shop visits was supported by stronger MRO performance as we expand capacity, strengthen processes and leverage AI tools across the network. It was also supported by improvements in parts availability across the supply chain, driven by air interventions, which I will come back to in a moment.

Now, operating profit in more detail. Three key factors drove that 63% increase. First, stronger large engine aftermarket profits. LTSA aftermarket profit grew as a result of a higher average LTSA margin and a higher number of shop visits alongside higher time material profits. Second, increased spare engine profits. Similar year-on-year volumes were delivered with improved margins and mix. And third, net contractual margin improvements. They were GBP 288 million. That compares to GBP 223 million in the first half of 2024. The GBP 228 million comprised a net benefit of GBP 181 million in onerous contracts and GBP 107 million from catch-ups.

You've heard how we have made significant progress renegotiating onerous aftermarket contracts, finding win-win solutions with our customers, allowing us to release onerous contract provisions in the period. We also achieved key time on wing milestones on the XWB-84, which resulted in a contract catch-up benefit. These 2 factors contributed to a gross benefit of GBP 402 million in the period. This was partially offset by an additional charge of GBP 114 million, which was taken across both onerous and catch-ups due to ongoing product cost inflation associated with supply chain challenges.

It's worth pausing for a few moments on Aerospace supply chain. When we spoke to you in February, we shared that we expected the supply chain to remain challenging during 2025 and '26. That is still our view. The industry continues to see product cost inflation, and we have our procurement savings program to help us mitigate the impact of it. We continue to manage the supply chain very tightly. Dedicated teams across the organization and teams we have embedded in our suppliers are driving meaningful improvement. Indeed, the number of critical suppliers on our watch list has fallen from around 15 to 10, and you've heard how MRO turnaround times are improving. So despite the continuing challenges, our actions are having an impact.

Now turning to cash. Civil delivered a trading cash flow of GBP 1.1 billion compared to GBP 1 billion in the prior period. Cash delivery was driven by operating profit and continued net LTSA balance growth, supported by large engine flying hours, which grew to 109% of 2019 levels, and a higher normalized engine flying hour rate. In summary, a very strong delivery from Civil on profit, margin and cash. As we look to the second half for Civil, we expect a lower operating profit and cash flow compared to the first half due to a lower contribution from contractual margin improvements, an increased number of OE deliveries and higher MRO investment-related costs. And in addition, for cash, the impact of higher shop visits, notably Trent 1000 refurbs.

Defence, where we continue to make good strategic progress. Key milestones included the first engine delivery for the MQ-25 development program, that's the U.S. Black Hawk helicopter replacement. Order intake for the period stood at GBP 4 billion with a book-to-bill ratio of 1.8x. And importantly, new orders came with improved profitability. Order backlog was GBP 18.8 billion, a record level, and equivalent to around 4 years of revenue. Order cover for the remainder of the year stands close to 100%.

Now turning to the financials. You may recall that the first half of 2024 included a one-off benefit in submarines, so masking the underlying progress we are making. Revenues, they stood at GBP 2.2 billion, broadly flat year-on-year. Excluding the one-off, revenue growth was 10%, driven by double-digit growth across transport OE and aftermarket.

Operating profit stood at GBP 342 million and operating margin at 15.4%, both broadly flat year-on-year. This reflected improved performance in transport across both OE and aftermarket, again, offset by the absence of the one-off benefits in submarines and continued supply chain constraints, notably in the Naval business.

Cash flow in Defence stood at GBP 327 million. Delivery was driven by operating profit alongside tight working capital management. In summary, a good delivery from our Defence team, which continues to position us well for future growth. Power Systems, a very strong performance in the period, as we continue to capture profitable growth in data centers and governmental.

Operating profit grew to GBP 313 million, an 89% increase year-on-year. And operating margin grew to 15.3%, a 5.6 percentage point increase year-on-year. Order intake was GBP 2.9 billion, with a book-to-bill ratio of 1.4x, a 32% increase year-on-year. Order cover for the remainder of the year is 100% with growing order coverage for both 2026 and '27. Demand remains particularly strong in Power Generation, which saw an order intake growth of 68%, primarily driven by data centers, where orders grew by 85% year-on-year. Revenues, they grew to GBP 2 billion, an increase of 20%. Power Gen and Governmental revenues grew by 26% and 19%, respectively. Data center revenue growth was 45%.

Operating profit growth of 89% was driven by 3 factors: first, a standout performance in power generation, notably data centers, where we are capturing profitable growth with a stronger mix in the high-power density sector, and all at higher margins, following the restructuring of this business.

Second, strong performance in governmental with higher volumes and commercial optimization benefits and where we are well positioned to capture growing European defense spending. And third, good momentum in Battery Energy Storage Systems with improving profitability and where we remain on track to break even in the near term.

Cash flow, it increased to GBP 425 million, driven by higher operating profit and tight working capital management as well as some timing benefits from early customer receipts. Simply put, a very strong performance from the whole of the Power Systems' team.

Looking to the second half, although we still expect Power Systems' profit and cash to be seasonably balanced to the second half that weighting wouldn't be as pronounced as in the past. This is due to the significant growth we have driven in power generation, which is now one of Power Systems most profitable businesses and one which has less seasonality. We also expect some reversal of the early customer receipts that came in the first half.

Before turning to group cash flow, the eagle eyes amongst you may have noticed that we are no longer reporting a New Markets division. As you know, last year, we wind down the Electrical Advanced Air Mobility business, and this year, with the CEZ Group now a strategic partner in Rolls-Royce SMR, in which we remain the majority shareholder, the equity accounted results of Rolls-Royce SMR now sit within all other businesses.

The funds flow, we delivered GBP 1.6 billion of free cash flow in the first half, more than GBP 400 million higher than last year. The principal driver for increased -- of this increased free cash flow was operating profit, which grew by almost GBP 600 million. Other factors included the Civil net LTSA balance. It was broadly similar to last year, standing at GBP 472 million. Growth was driven by higher engine flying hours alongside an improved engine flying hour rate, offset by a higher number of shop visits.

Net investments, they were similar to last year, with investment spend in the period standing at more than GBP 400 million. We continue to make purposeful strategic investments that drive growth to the midterm and beyond. This includes investments in time on wing and UltraFan in Civil. And in Power Systems, investments in additional capacity in the U.S., our next-generation engine for the growing data center market and in significant upgrades to our military engines.

Working capital, it was broadly neutral in the period. This compares to a build of more than GBP 200 million last year. We continue to drive sustainable improvements in working capital management, and we are making good progress. Compared to the same period last year, inventory days improved by 14 and days sales outstanding by 4, a strong performance given a tight supply chain and while we supported revenue growth.

Then provisions, they were an outflow of nearly GBP 300 million, around GBP 200 million higher than the same period last year. They included outflows, as we continue to successfully renegotiate and trade through our onerous contracts. Overhead costs, they were GBP 116 million, slightly higher than last year

and in line with expectations. Net interest, it was slightly positive compared to a small outflow last year. And finally, cash tax costs, they increased to GBP 259 million.

Tufan will talk to the full-year guidance, but let me give you some additional color on the cash flow. Large engine flying hours are expected to be within the guided range of 110% to 115% of 2019 levels. The net LTSA balance growth for the full year is expected to be at the low end of the GBP 0.8 billion to GBP 1.2 billion range, in line with what we previously shared. This means, we expect a lower growth in the second half of the year as shop visits, including Trent 1000 refurbs increase. Net investments, we expect them to be higher in the second half of the year. Overhead costs for the year will be GBP 148 million. Net interest payments will be broadly neutral for the year, and cash tax is expected to be around GBP 200 million higher year-on-year.

Capital frame and progress against our priorities. First, the balance sheet, which we continue to strengthen. We remain in a modest net cash position, GBP 1.1 billion at the half year, which provides us with flexibility and enhanced resilience, which are even more important in an uncertain macro environment. The credit rating agencies have continued to recognize our progress with further upgrades in the first half, and all still hold us on a positive outlook. Gross debt, as previously shared, we will reduce it further by repaying from available cash, the \$1 billion bond, which matures in October.

Then, distributions. In June, we paid our first dividend since 2019. Today, we're announcing an interim dividend of 4.5p per share in respect of the half year 2025, representing a distribution to shareholders of approximately GBP 380 million. As a reminder, we target an annual payout ratio of 30% to 40% of underlying profit after tax. And as of today, we are halfway through our GBP 1 billion share buyback. The remainder of which will be executed across the balance of the year.

Taken together, the full year buyback along with the 2024 full year and 2025 interim dividends represents a total cash distribution to shareholders of GBP 1.9 billion to be paid this year. Competitive and evidence of our commitment to growing shareholder returns. And all of this was delivered while we continued to strategically invest in the business to support growth to the midterm and beyond.

To close, a strong first half result across all divisions and against all key metrics. The strategy is delivering. We are performing as we transform. We know there is more to do, and we also know there is more to come. The teams have done a great job, a huge thanks to everyone.

And with that, let me pass you back to Tufan.

M. Tufan Erginbilgic
CEO & Executive Director

Thanks, Helen. Turning to our guidance now. Strong first half delivery gives us confidence to raise our 2025 guidance. We now expect underlying operating profit of GBP 3.1 billion to GBP 3.2 billion with a year-on-year improvement in all core divisions. Compared to an operating profit of GBP 1.7 billion in the first half, we expect slightly lower delivery in the second half of 2025, notably in Civil Aerospace. Here, we expect a lower contribution from contractual margin improvements, an increased number of OE deliveries and higher MRO expansion investment-related costs. We now expect free cash flow of GBP 3 billion to GBP 3.1 billion. Stronger free cash flow will be primarily driven by higher operating profit alongside continued LTSA balance growth.

We expect a slightly lower free cash flow in the second half compared to the first half. This reflects the lower operating profit in the second half of the year, more large engine refurbs with a significant step-up in Trent 1000 refurbs alongside higher net investment. Our free cash flow guidance includes a GBP 150 million to GBP 200 million impact from the supply chain, as previously guided. Our transformation plan is delivering strong results, as is evident this half. And we feel confident about the remainder of the year.

I will conclude today's presentation with key takeaways. We shared a lot with you. I actually thought I should give you the key takeaways. I'm sure you will take yours, but hopefully, this is helpful. We continue to expand the underlying earnings and cash potential of the Rolls-Royce in a challenging environment. Across the group, all divisions have delivered underlying performance improvement in the first half. Civil Aerospace's strong underlying operating profit and cash flow is driven by continued LTSA

margin improvements and continued market share growth. We have renegotiated all of our significant contracts and achieved major progress in our time on wing program. These initiatives will both contribute significantly to our profit and cash flow delivery to the midterm and beyond.

In Power Systems, we continue to improve our profitability, and now see higher growth potential in Power Generation, driven by data centers. We also see higher growth in governmental. In Defence, where we have delivered a year-on-year improvement in underlying performance with a record order book, our significant programs will scale up in the late 2020s. All these, which are driven by our strategic initiatives, continue to improve our operating margin and return on capital. As a result, we see good profit and cash flow growth in our existing businesses to the midterm and beyond, while we are taking concrete steps to generate further long-term profitable growth in new areas such as narrow body, SMRs and AMRs.

Rolls-Royce's SMR business will be profitable and free cash flow positive by 2030. Strong delivery in the first half of the year gives us confidence to raise our guidance for the full-year 2025 and also builds further confidence in our midterm targets for 2028. These midterm targets are a milestone, not a destination. I am confident and excited about our growth prospects beyond the midterm.

We are continuing to reward our shareholders with GBP 1.9 billion to be returned to shareholders through 2025, in line with our capital framework, as Helen talked about. This shows our commitment to shareholder distributions. There is a lot we achieved in the first half and still so much more we can deliver. I'm very proud of all that the Rolls-Royce team has done and look forward to all that we will continue to accomplish together.

Thank you for listening. Now, I'm going to open it for your questions.

Question and Answer

Nick Cunningham
Agency Partners LLP

It's Nick Cunningham from Agency Partners. Some of your customers, airlines and lessors have been vocal recently, complaining perhaps that Rolls isn't as nice as them now as it has been for most of the last 30 or 40 years. But you've renegotiated all those key onerous contracts. You just told us that. So does that mean that there's no real practical effect from their grumbling that, if you like, the deal is done? And then linked to that, the -- your narrow-body colleagues have been enjoying an exceptional windfall from the lack of supply of new engines and new aircraft, so it's keeping older ones in the air for longer with more scope on the overhauls and so on. Presumably, the same dynamics apply to the large engine market, and so are you seeing that effect in your T&M in particular? And has that helped you with your onerous contract renegotiations?

M. Tufan Erginbilgic
CEO & Executive Director

Okay. There is a lot there. I'm not sure it is 2 questions, but more than 2. But I think -- so let me start, first of all, I think, I don't know, some of our customers have been disappointed with Trent 1000 time on wing issues. And we have a big task force dealing with it. We actually have improved relations with customers. I can categorically tell you, there isn't any contract we renegotiated. Actually, relationship didn't improve relative to where it was, I can categorically tell you, because every time we were able to find win-win solutions.

So there is some noise because of Trent 1000 time on wing issues. Now with BoM B upgrading, obviously, certification, frankly, that will go away because by the end of this year, we will have an engine very, very competitive, let me tell you this. By the end of this year, actually Trent 1000, depending on how it is operated, obviously, different airlines will operate differently, but we expect 46 years' time on wing relative to where we have been, right? That was creating the sort of -- we are actually serving our customers better than before. And you can hear it from airframers easily if you are following that.

We are actually improving our customers service, and there is a big focus on it. This was the sort of issue. Now, we solved that issue. We have a very, very competitive engine. So I think that's the way to think about. In renegotiations, that was -- yes, if somebody is experiencing AOG, it's not a brilliant start to renegotiation, obviously. But we were able to do all the significant renegotiations, and we were all -- we have done it in a style that actually relationship improved.

Why is that? Because they now know when we commit something, we honor it. We are that company. We don't commit that easily. But when we commit, you hear some noise because we are not committing some things. I actually tell them when we commit, we will deliver. So until I am sure we will deliver, I'm not committing. So actually, that's not a bad noise. That's actually good noise because, frankly, this industry doesn't have a great track record on that one. So we don't want to contribute to that. We want to change that.

Your question around sort of whether we are actually -- yes, I think when you look at our best, obviously, Trent 700, right, if you create parallels with narrow body, yes, we are seeing, and it is -- if you remember, that's 1 of our 6 levers. We kept saying earning -- actually flying those things longer, we have a deliberate program on that, whether with the current customers, obviously, if they want to continue with that or with freight conversions or with sort of transfers to other commercial customers.

Yes, I think Trent 700, frankly, doing well, and we believe our projections suggest it will continue to do well. In fact, in February, if you remember, I said our Trent 700 LTSA balance growth didn't peak yet. I don't know any of you remember that, but that was there. So your question, is it helping our renegotiations? Not really, because, frankly, none of our renegotiations are around Trent 700. It is pretty profitable engine. You guys well know that.

So was that -- yes, Ben? And then, Ian. Yes, I'll come to you.

Benjamin Michael Heelan

BofA Securities, Research Division

Can I ask 3? First one, you've given us some outlines on capital allocation. Can you talk a little bit about that in 2026 and 2027? Are there parts of the portfolio, I'm thinking maybe Power Systems, that you want to add to given the balance sheet that you have now? Or can we assume that there could be more buybacks down the line? That's the first question.

Second question, you haven't talked today about UltraFan narrow body. Can you give us an update there? You made some noise at the air show about this, so just an update there would be great. And then in terms of the Civil business, you talked and guided historically for margins to be in the 18% to 20% range. Now, in H1, you've already achieved the 19% on an underlying basis, stripping out the catch-ups. Are we not going to grow margins from here? How can we think about that?

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, Ben. Three good questions. I'm going to ask Helen to capture the capital allocation. Let me answer the others, second and third, and Helen will pick up the first one. So I think UltraFan narrow-body is -- we are actually making good progress in multiple dimensions. One is continue to work on the UltraFan demonstrator. We are actually on UltraFan, Ben, doing 2 things. We are doing further tests on wide-body UltraFan just to progress that, at the same time, working on the demonstrator for narrow-body, which may take 2 years to build a demonstrator. So that's the current plan. So that's one sort of technology angle, if you like, and product angle.

The other angle is our preference continues to be partnerships. Therefore, we are in active dialogue with almost all the parties, I should say. So that is also progressing well. So that's where we are. I'm actually very optimistic definitely for the next generation of narrow-body and our participation in that given all that.

So if I go to your Civil question, your math is absolutely spot on. So if you adjust for commercial improvements, it is 19%. So it is what I'm going to say. I mean, I said it, Helen said it, hopefully, it was clear. We are making underlying performance improvement, right, beyond sort of what we shared with you in February. Otherwise, how would we upgrade the guidance for this year if that's not true. So that's actually factually true. So we are -- we were expecting obviously improvement when we gave the midyear guidance and everything. And we are now ahead of that progress, which is great to see, frankly, in that.

But you need to obviously look at a couple of things sort of in that -- when you look at -- I always say sometimes our competitors, they issue 1 quarter I got 30% margin so that you cannot really look at, because our targets are sustainable targets as opposed to touch and go, if you like, right? So we just told you that effectively second half we have significant step-up on shop visits. That's not the issue for operating margin, but step-up comes with Trent 1000. And therefore, full year will equalize somewhere lower than 19% because those are the engines where we have the lowest shop visit profitability if you like. So they will a little bit dilute that picture.

But big point is underlying performance is improving, and that's very encouraging for me. And as a result, we are ahead of the plan. When you go to midterm targets, we are in an uncertain world, right, an increasingly uncertain world, sort of tariffs, supply chain challenges, impact of tariffs on world GDP, all that live conversation. So if we continue to manage those risks well, given our mindset, which I will come back to, yes, we are ahead of the sort of plan, but we need to manage those things. So those risks are real.

So I take you -- final comment I'm going to make, then I'll pass to Helen for capital framework. But -- so you guys get surprised sort of what's going on because our mindset change. Every time I talk about it, we are not after a bunch of budget numbers. We are after improving the business every day. And that means improving the underlying performance every day, every year. That excites me, frankly.

Now when you do that, you combine it with your strategic initiatives very granular and embedded in the organization, i.e., 42,000 people on them. Suddenly, that mindset, combined with that clarity, you go as fast as you can go because we are -- we increased the pace and intensity in the company. That's understood by everybody. So that is actually causing these things. But there are big risks that we need to be thoughtful. Therefore, I'm thinking, Ben, maybe it's too early to talk about midterm targets, but I'll leave you with a thought that we are making great underlying improvement.

Helen McCabe*CFO & Director*

Fantastic. Thanks, Ben. So I think 2 elements to your question. There was one around investments, and then, one is tied into capital frame. So in relation to investments, maybe just a couple of data points to help you there. So actually, Tufan referenced that since 2022, we've increased our investments in the business every year. And you will see that for 2025 as well.

When we took you through in February, our midterm targets, we shared then that we expected over the midterm net investments on average to be higher than they were at 2024. So again, you can see the confidence building that we're continuing to invest in this business, not just for the midterm, but beyond the GBP 1 billion on time on wing. A classic example of that, we don't see by any means the full benefit of that beyond the midterm.

You specifically mentioned in Power Gen -- in our Power Systems, Ben. Power Systems last year had a record level of capital spend in 2024. 2025, expect to see the same, very strong positions in data centers and governmental. So investment is going in to support that business. In fact, just in the last 3 or 4 weeks, we announced \$100 million investment in the U.S. across 2 of our sites there, specifically to support that build-out in production for data centers. So purposeful, strategic investments happening. And that is very important, purposeful and strategic investments happening.

In relation to capital frame and buyback, we've always been quite consistent around how we look to strike that balance between ensuring that we protect that balance sheet and then being very thoughtful about how we drive for additional investment, be that organic or inorganic or additional shareholder returns. And we've been clear that buybacks are in our tool kit.

And Tufan spoke about, we don't promise and not deliver. We were clear that we have a very clear capital frame, GBP 1.9 billion in cash distribution in our first year of cash distributions in more than 5 years, I think, is a demonstration that we follow through on our commitments, yes. And actually, that's in an environment where we're also repaying a \$1 billion bond. So that's how you should hold that going forward. Thank you, Ben.

M. Tufan Erginbilgic*CEO & Executive Director*

Thanks. Ian, I see you well. Thanks for sitting there.

Ian Christopher Douglas-Pennant*UBS Investment Bank, Research Division*

I think that the episode Tufan was referring to is when he didn't take my question. I think that was 2 years ago now. It's still holding you.

M. Tufan Erginbilgic*CEO & Executive Director*

I -- that was scars on me, if you...

Ian Christopher Douglas-Pennant*UBS Investment Bank, Research Division*

Yes. It's Ian Douglas-Pennant at UBS. First on 2028 guidance. I mean, it sounds churlish, but why not upgrade the 2028 guidance today? I mean, you -- as Ben points out, your Civil margins are already there

-- they are actually already there, and Defence and Power Systems as well. Clearly, your expectations for Power Systems growth have increased since you gave that guidance. I mean, why not upgrade the 2028 guidance at the same time?

M. Tufan Erginbilgic

CEO & Executive Director

Yes. I got you. You have more questions, so go ahead.

Ian Christopher Douglas-Pennant

UBS Investment Bank, Research Division

Just one more. And then the outperformance that you've seen this year, to what extent is that market? I mean, it seems like what you're seeing in Power Systems seems to -- sorry, forgive me if I'm wrong, but it sounds like the majority of that is just faster market growth than expected. Civil, clearly, the situation is better than a lot of you and your competitors expected at the beginning of the year. Or is there still -- you're just achieving more internally than you expected?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. Very good. So let me go in that order. My answer to your question will sound very similar to my answer to Ben's question because they were similar questions. But yes, underlying performance improvement is happening, and it is driven by transformation. When we come to your second question, hopefully, I can bring it to life a little bit more, but -- and that's happening. Therefore, we upgraded our guidance. That should signal to you, if our previous guidance was in line with midterm, then we are ahead of it, by definition. That's for sure. So therefore, I'm actually happy with the progress we are making. But at the same time, there are risks out there.

And remember, midterm targets we set out only in February, if you remember, which was, I don't know, 5 months ago, you can count. So that is the -- I think it is too early, given -- frankly, if anything, world got more uncertain than certain. I think we are a lot more agile, a lot more responsive company; therefore, we are dealing with it. It may look easy to you guys. But actually, that needs to continue, okay? But world definitely, I'm not sure anybody in the room can tell what tariffs and what economic growth and what supply challenges will be hitting any business, frankly, going forward. So that's the world you are dealing with, and you need to take that into account.

We manage those risks because of the company we are becoming, a lot better, therefore, you are sitting and saying what's the problem? So -- but we need to continue to manage them. If we continue to manage them well, yes, but given the mindset -- I'm not going to repeat again what I said to Ben's question. Given that mindset, given that process in the company, if we can deliver midterm targets earlier, we will, because that's how we operate. But you need to actually hold it in that way.

Coming to your point, so there is a clear transformation impact, okay? I'll come to Power Gen, but let me start with Civil. I think -- look at today's results, one of the big drivers of those results, even if cash impact is not there profit-wise, was time on wing improvement. Remember, one of our strategic initiatives out of 17 is that, right? So that -- we allocated GBP 1 billion investment in 4 years. This is not like we are talking about UltraFan development. This is not like in 15 years GBP 1 billion. This is actually 4 years, right?

So you allocate that kind of resource, very rigorous execution, it is driving that. That's not market. That has nothing to do with the market. Again, that is improving LTSA margins, shop visit cost reduction. Think about improving shop visit cost at an inflationary supply chain challenge environment. It is counterintuitive. It is very much counterintuitive. Shop visits is one of our strategic initiatives. There is the driving of that, right? I'm talking about OE, XWB will be breakeven or positive in midterm, that is counterintuitive. So I can keep going how much time you got, but the sort of -- our market share capture is coming, right?

So Civil Aerospace, we gave you some LTSA margins. And in 5 months' time, I came and said, actually, whole pack profitability went up 1 percentage point in 5 months. Don't think 1%, like it is increasing the whole contract margins, whole LTSA margins of the company. So let's talk about Power Gen. How long have you been following Rolls-Royce? Probably longer than I've been here. Here's the breaking news for you. Data center volumes were always there. They didn't show up last 2 years, okay? Suddenly AI was not discovered last 2 years, trust me. We can all follow that. They were there, nobody talked about it, because what are you going to say? My biggest business is Power Gen, I have the biggest volumes, I'm not making money. Normally, results presentations don't go like that, right?

So -- but -- by fixing the business model, we enabled profitably capturing that growth. If we didn't, I said it last year this time, probably or whenever it was, 0 times 1 million, it is still 0, so -- but that is big underlying, yes, from none on top of that, so we fixed the business model, right? But if you look at my chart, after fixing, it is still going up. Why is it going up? There are 3 factors. We are pushing the mix to higher power density, Helen talked about that, in data centers.

It is good for customers. It is good for us, but don't make any mistake, it is our initiative. And then, pricing continues to -- plays a role. I think Helen talked about commercial optimization. Those 2 like-for-like improving, then you have the volume effect, obviously, further improving, because your fixed cost, we are managing, that's the last thing I'm going to say. You see all that, it is coming with improved profitability.

These results are saying to you the following: Civil and Power Systems, profitability unit base is improving. That's what it's selling, right? Hopefully, you could get that. So that sort of -- that is big distributor there is the cost initiatives we have, and they continue -- GBS initiatives, we didn't yet benefit. I mean, I talk about we are scaling up, but really early days. It can be very big. So that's my answer to your question.

And actually, last point, I was talking to Ben sort of before we showed up here. I said the difference between Rolls-Royce and many of our peers, they are talking about market growth, we are talking about transformation benefits plus market growth. If you actually think that way, you may understand our results better.

Jeremy has a question. Okay, Jeremy, I thought we'll work this together.

Jeremy Bragg

Very good.

M. Tufan Erginbilgic
CEO & Executive Director

Okay. I'm kidding. I think digital question.

Jeremy Bragg

Okay. Quite a few digital questions. So going to turn to those. So firstly, from David Perry. Congratulations on excellent results. Three questions. First one on SMR, which was, the prior CEO said that this could be a business that generates GBP 3 billion to GBP 4 billion of revenues by the mid-2030s. Is this still the case? And what sort of equity contribution? And by that, he means the equity accounted share of the results. Could we expect by that point? So that's question one.

Question 2 is on Power Systems, which is, again, on the theme of the midterm targets, which is given that data centers is the highest margin bid and the fastest growing, isn't it mechanical that you will achieve a higher margin than your midterm target range for Power Systems?

And then question 3 is also on Power Systems, which is, why was the cash generation so strong in the first half? Is that something we should expect to continue?

M. Tufan Erginbilgic
CEO & Executive Director

I think the third one, Helen talked about that, but I'm -- therefore, I'm going to pass to Helen again to capture it. I think on SMR, so I don't want to sort of comment on who said what, but here is how I see it, David, I think. We now have tangible 2 sort of initiatives. One is with GBEN for 3 units, but actually, hopefully, we are going to run them in a way that actually sort of we will change the nuclear track record on that. And that will actually mean that we can create a lot more than that as a Fleet Solution for U.K. beyond 3.

And then CEZ, same time frame, really, we are going to be up to 6 SMRs. So -- and both of them -- I said it in my speech, both of them have similar commissioning target dates, i.e., mid 2030s, okay, '34, '35. That's the target for both CEZ and -- frankly, that is I'm going to actually go beyond any revenue number.

Yes, given that every unit is sort of GBP 2.5 billion, GBP 3 billion, so you can start to think about revenue numbers in that context. But I'm going to go further to say, today, actually, we told you this business will be free cash flow positive business and positive profit business by 2030s, which is actually before the commissioning because revenues don't come when you sort of commission.

Equity accounting, we own more than 50%. And obviously, we continue to be a very big player on this one. So we should benefit from that. I said it in my speech, frankly. I expect, given we can be given where things are. I think if we are not market leaders in SMRs globally, I think we did something wrong, because we are the leading company right now. So that's the potential you may want to think about in this business. That's definitely the potential I think about.

On your Power Systems margin, yes, it is one of the most profitable. By the way, governmental is profitable because of the service angle of governmental, David. So you need to think that way. It is not only Power Generation, but it is one of the profitable businesses, definitely. And yes, though I actually expect -- I mean, it's Ben's question, Ian's question, you guys get sort of similar questions, it's sort of different angles, but similar questions. Yes, we just -- what did we tell you today on Power Systems? We said 2 things in my takeaways. We are improving the margins. I talk about, when I answered Ian's question, how we are doing that. And we now see higher growth. That's what we said to you today.

And we also upgraded the guidance. Yes, therefore, we see an upside. But talking about OP's margins for midterm with all the uncertainties in the world, I really find it, at this point, too early to talk about it. So again, I'm going to go back to my mindset question, David. Probably when you raised that question, you didn't know my answer. So I think if we can achieve it earlier, we will, obviously.

Do you want to pick up?

Helen McCabe
CFO & Director

Fantastic. So thanks, David. We miss you here today. So in relation to your question, so we have this period seen a more even cash distribution in Power Systems. In the past, the cash delivery was very second and H2 weighted. We're seeing that more even distribution. We still always expect it to be more weighted towards the second half, but it wouldn't be as pronounced. And in this period, that's because of 2 primary reasons.

Tufan spoken at length around how we're driving growth in Power Generation. That has got a much more consistent growth and delivery pattern during the year. So governmental, which used to be the one which actually brought in the seasonality, is much more muted, yes, because we're seeing that Power Generation business be a much more substantial part of the portfolio. Its delivery is more ratable. You heard how we've improved the margins in that business by 11x compared to 2022.

So more substantial and ratable delivery from Power Generation, particularly data centers. And then, in the first half of this year, we also did have some benefits from early receipts of customer advances. So we are seeing a little bit of a timing impact between H1 and H2. But I think going forward we should expect to see a slightly different balance in relation to profit and cash flow between H1 and H2 in Power Systems because we have that much more substantial Power Generation business in the portfolio now.

M. Tufan Erginbilgic

CEO & Executive Director

Jeremy, more questions from you?

Jeremy Bragg

Yes. These from Ross Law of Morgan Stanley. So first question is, congratulations on the achievements on the time on wing program, could you update us on how much of the GBP 1 billion has been spent? And how much is still to go?

And then the second question is, could you elaborate on the product cost inflation that you've seen as a result of the supply chain? Is it in a particular area? And what's causing it? And how should we hold that versus your comments about parts availability getting better?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. Very good. So I think -- Ross, thanks for the questions. So time on wing sort of program, we are actually making great progress. Remember that GBP 1 billion was between '23, '27 period, and we are obviously -- I'm not going to talk about how much of it we spent, how much of it we didn't spend yet. But we are making good progress in that. So what I am going to tell you what is -- what we have done, what is left to do and that may give you a sense of how much we spent, how much we didn't spend, but that's the time period. So actually, that GBP 1 billion will stop after '27 with all the implication of that.

Time on wing, the big elements of that when we started, there are small elements, by the way, but I'm only focusing on the big ones. Definitely, Trent 1000, what we call 2 upgrades, BoM B and BoM C, and we obviously did BoM B, which is more than doubling time on wing. By the end of this year, we will do BoM C. It is already -- product is already on test. By the way, it is going well.

So once we do BoM C, so Trent 1000 time on wing program in a way is finished, and that will create by the end of this year, highly competitive engine. You need to think about time on wing sort of -- depending on how the operator sort of uses these engines and aircraft, 4 to 6 years type of time on wing, which is actually competitive, okay? And so that's going to be done by the end of this year.

XWB-84, we hit milestones, therefore, we actually secured that, and we are looking -- that's sort of not completely done, some to go, but we are making great progress there. The remaining big one that we continue to invest is this 97. In non-benign environments, we are going to double the time on wing. And in benign environments, we are going to increase time on wing by 50%. That is progressing, but that won't be completed before 2027. And so we will continue to invest in that. By the way, this engine is a very good engine in benign environments. In fact, orders -- actually airlines, especially hub airlines love it because of the distance and capacity and so on. But we -- that is how I would articulate our -- where we are on time on wing.

I think on product cost, effectively, it is in aerospace because that's where the supply chain -- in Power Systems, frankly, because supply chain is more stable, and there is a hint there for you and for us, frankly. When supply chain stabilizes, you can actually improve procurement initiatives a lot more, right? We are actually almost fully mitigating, almost, in Power Systems any product cost, i.e., inflationary effects. So therefore, this is exclusively aerospace.

Obviously, aerospace includes Defence as well because it is the same supply chain when I say aerospace. But how does it work with 15% parts improvement? It's actually different things. Our initiatives make sure that 15% is improving. But at the same time, given constrained environment, some suppliers are able to increase their prices. We are obviously -- that doesn't -- if you are thinking, is it hitting your underlying numbers, are they going to get worse? No, we are not that company anymore. We are obviously reflecting that in our prices. So that is how I would like you to think about.

Jeremy Bragg

Thanks. I suggest we take one more in the room if there is one, and then, we close.

M. Tufan Erginbilgic

CEO & Executive Director

Okay. In that case, I'm going to close. Thanks for coming here, and thanks for listening to us if you are on the digital. So I think we believe we are making great progress in the company. And we are -- actually what is interesting for me -- interesting in a positive sense, for me is actually, our execution is getting better. We are hitting operational milestones. We are making great strategic progress. That drives underlying performance because today's financials are today's financials. I worry about tomorrow's financials. And as long as you continue to improve the business, underlying performance, tomorrow's financials will be secured. And that's the journey we are in, and that's how we run the business, frankly. So thanks for listening. Have a great day.

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Rolls-Royce Holdings plc LSE:RR.

FY 2024 Earnings Call Transcripts

Thursday, February 27, 2025 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2024-			-FY 2025-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.18	0.20	▲11.11	0.21
Revenue (mm)	17340.31	17848.00	▲2.93	18842.30

Currency: GBP
Consensus as of Feb-20-2025 12:00 AM GMT

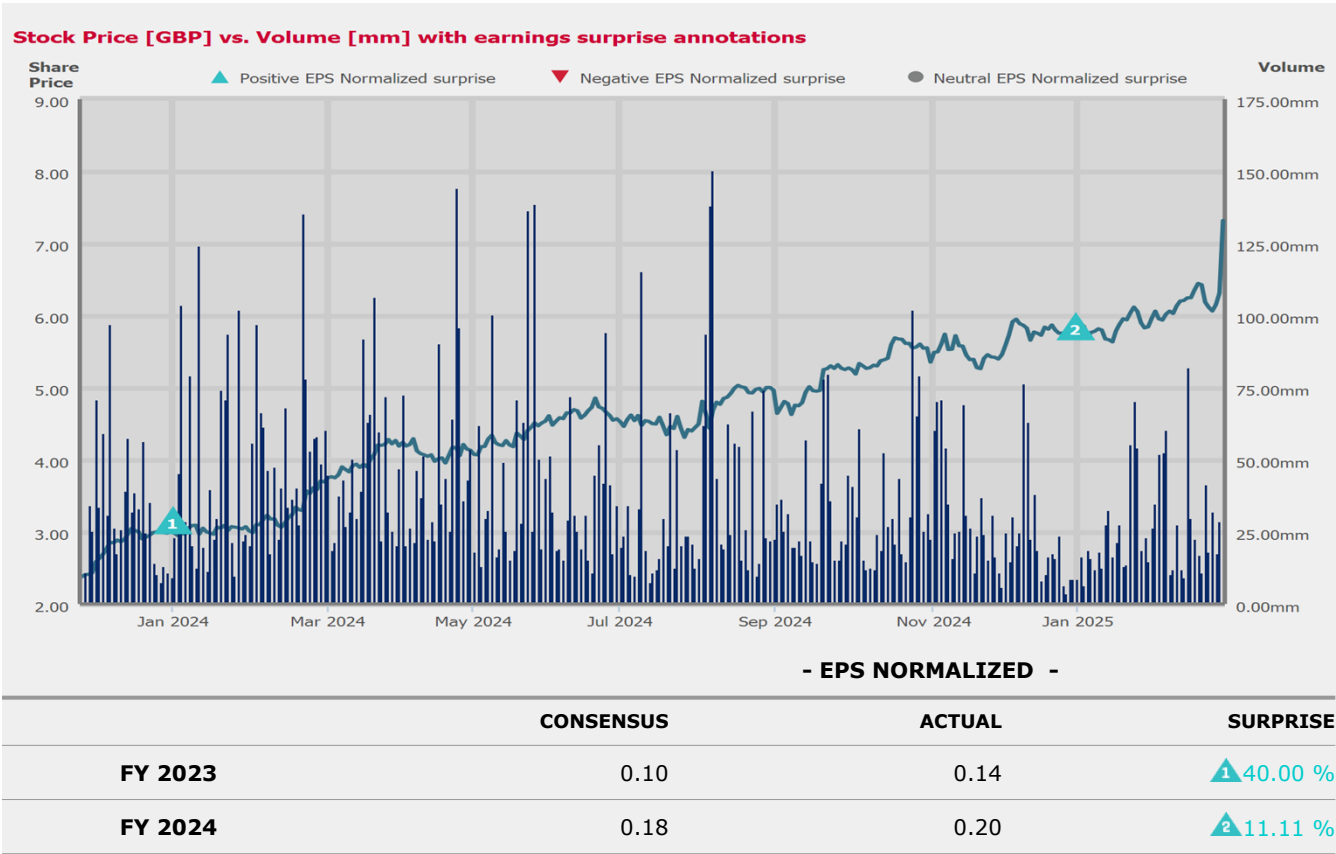


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Presentation

Jeremy Bragg

I'm Jeremy Bragg, Head of Investor Relations, and I'm joined today by our CEO, Tufan and our CFO, Helen.

So before we begin today's presentation, I'm required to show you the safe harbor statement on Slide 2. So the full materials can be downloaded from our website. And in today's presentation, we are going to cover financial and strategic progress over the past 2 years. The 2024 results in detail, our guidance for 2025 and our upgraded midterm targets. So after the presentation, there will be time for questions from the room and if there's time from our online audience. So for those of you in the room, there's microphones in the seat in front of you and you need to press and hold the button before you speak.

So before I hand over to Stefan, we'd like to show you a short video that highlights some of the progress that we've made this year.

[Presentation]

M. Tufan Erginbilgic

CEO & Executive Director

Good morning. We are transforming Rolls-Royce into a high-performing, competitive, resilient and growing business. We are expanding the earnings and cash potential alongside delivering significantly improved performance. This is about creating a sustainably distinctive business in terms of safety, operational effectiveness, customer service with advantaged technologies and products combined with a distinctive performance culture. These all mean we are taking Rolls-Royce to a place that it has never been before, which opens up further potential for future profitable growth. We have made progress, but we are not done yet. Today is important day for Rolls-Royce. 2024 represents another year of strong financial and strategic delivery, building on the progress made last year. We achieved this despite a supply chain environment that remains challenging.

Based on our 2025 guidance, we now expect to reach our CMD targets for profit and cash 2 years earlier than expected. We have materially increased the potential of the business and delivered at pace. We are upgrading our midterm guidance based on a 2028 time frame. We are confident that our actions, investments and how we run the company already significantly underpin future performance improvements. We now have a strong balance sheet with an investment-grade rating from all three agencies. In addition to reinstating the dividend, we are also announcing a GBP 1 billion share buyback, Rolls-Royce's first in a decade to be completed this year.

It is further evidence of our commitment to grow shareholder returns. Our strategic progress is a result of what we choose to do and how we are running the business. Together, they both enabled current and future delivery and develop a sustainable platform to continue to build on. We are operating as one Rolls-Royce, embedding a distinctive performance culture with a winning mindset where everybody knows their role and how they contribute to strategic delivery.

Our agenda for today, and Jeremy talked about it is as follows. First, I will briefly talk to the drivers of the step change in performance over the last two years, laying out some specific examples of our actions set us up how our actions set us up for continued future delivery. I will then share our guidance for 2025. Our upgraded midterm targets and the key drivers that underpin our midterm targets. Helen will then talk to our 2024 results. Our midterm cash outlook and how we are making Rolls-Royce more resilient and our capital framework. I will then finish by talking about the drivers of growth beyond the midterm.

Let us first look at our delivery over the past 2 years and the foundations that we have built. Our financial performance has improved significantly over the last 2 years. This has been achieved despite a supply chain, that remains challenging, which understates the true impact of our transformation. Group operating

profit has risen by almost 4x from GBP 650 million in 2022 to GBP 2.5 billion last year. Our operating margin has increased from 5.1% to 13.8% last year.

All three divisions contributed. Let me give you a brief summary of the key drivers of this performance improvement. In civil aerospace, operating profit has increased by more than 10x from around GBP 140 million in 2022 to GBP 1.5 billion last year, with a margin of 16.6%. This has been driven by four factors: first, stronger LTSA profitability with a higher profit per shop visit alongside increased shop visit volumes. Higher LTSA margins have been driven by commercial optimization, including renegotiating contracts, time-on-wing initiatives and lower shop visit costs. Second, time and material profit tripled, reflecting improved LLP margins with almost 60% of LTSA contracts now unbundled. Third, business aviation profit has more than doubled over the past 2 years with higher OE and aftermarket margins and profit. And fourth, widebody spare engine profit has improved significantly reflecting commercial optimization actions.

In defense, operating profit has increased by 50% over the past 2 years with a margin of 14.2%. The largest driver was improved aftermarket performance in combat and transport. Submarine profit has also grown significantly. Power Systems operating profit has doubled since 2022 with a significantly improved margin of 13.1%. The main driver of higher profit is power generation, where we fixed the business model to capture profitable growth. As a result of our actions, we now earn a double-digit operating margin in power generation, including data centers. Free cash flow has risen by almost 5x to GBP 2.4 billion in 2024 with improved cash generation across all divisions. This was largely driven by higher operating profit and supported by continued LTSA balance growth.

Over the past 2 years, we have captured more than 50% of total widebody deliveries. This means our market share of the widebody installed base has risen from 32% in 2022 to 36% last year. This helped to drive large engine flying hours to 103% of 2019's level. We have driven a higher normalized EFH rate. We are also investing more into the business, with net investments rising by around GBP 500 million since 2022, which will drive profitable growth to the midterm and beyond. In addition, we are seeing working capital benefits as we drive down inventory and receivable days.

Return on capital has risen from 4.9% in 2022 to 13.8% last year, representing significant value creation. To demonstrate how we improved some of the key drivers for profit and cash, I will now focus on three initiatives that have delivered significant performance improvements over the last 2 years. These initiatives will also drive stronger performance to the midterm and beyond. The first graph shows we have created a multibillion cash improvement from renegotiating OE and aftermarket contracts in civil aerospace. Over the last 3 years, we have renegotiated almost all our OE contracts. As a result, business aviation OE engines have turned profitable. By the end of 2024, we also successfully renegotiated a significant portion of our onerous aftermarket contracts and expect to largely conclude the remainder into 2025 and 2026.

Only around 30% of these OE and aftermarket cash benefits will be realized by 2028 with the remainder being delivered progressively over time, you can see it on the first graph. The second graph shows we are driving higher contract margins and therefore, higher LTSA margins over time. Our contract margin is the average LTSA margin across all signed contracts even if the engines are not delivered yet. This is a leading indicator for the LTSA margin that we will book in our income statement in the future. Our contract margin is improving by 17 percentage point between 2022 and 2028 due to new and renegotiated contracts that are coming in at higher margins and better terms as well as the operational improvements that we are making. This will drive around a 20 percentage point improvement in the LTSA margins in the income statement over the period.

We have already made strong progress in improving both contract and LTSA margins, as you can see from the chart. As our contract margin is a leading indicator for our LTSA margin in time, two lines will converge. Furthermore, our actions will drive further enhancements to both of these margins as we renegotiate more contracts, execute our plans and release contingencies and as we deliver new operational improvements. This will shift both of the lines up further.

Finally, in power generation, we have restructured our business model and are now delivering a double-digit operating margin. Power generation's margin has increased by more than 10x over the last 2 years, resulting in a competitive and significantly improved business model. This improvement was driven by

reducing overhead and product costs, driving better pricing and improved mix as we focused on selling higher-power engines and eliminating lower power ones.

At our CMD, we set out a target of delivering GBP 400 million to GBP 500 million of efficiency and simplification benefits across the group to make us more competitively advantaged, resilient and fit for the future. This target included annualized benefits of GBP 200 million by reducing layers, removing duplication and driving synergies across the group to enable simpler, more agile ways of working. We have already delivered efficiency and simplification benefits of more than GBP 350 million. And by the end of this year, we expect to deliver benefits of more than GBP 500 million 2 years earlier than planned.

At our CMD, we also set out plans to deliver around GBP 1 billion of gross procurement savings over the 5 years to 2027 to help offset the impact of inflation. We have already delivered more than half of this. By the end of this year, we expect to deliver more than GBP 1 billion of gross procurement savings despite a supply chain environment that remains challenging. Significantly improving our cost base means that our commercial improvements and therefore, gross margin increases flow directly to our bottom line. We are also implementing a new global business service strategy, which will improve performance further, better efficiency, effectiveness and experience with a new center opening in Poland and an expansion of our center in India. The benefits of this will progressively scale up.

We are also rolling out zero-based budgeting across the group following successful pilots in civil aerospace. These pilots demonstrated savings of 10% to 15% in third-party costs in identified areas. The benefits of all of these initiatives can be seen in our total cash to gross margin ratio. This has improved from 0.8% in 2022 to 0.47% last year. If you remember, this ratio in 2019 was actually 0.9%. This is a best-in-class ratio providing us with a sustainable competitive advantage. Hopefully, this gives you an insight into not only how we delivered profit and cash improvements so far, but also how these initiatives will drive improved financial outcomes into the future.

Our strategic plan is based around four pillars. We have made significant progress across each of these. I already covered some of our key strategic initiatives and efficiency and simplification. Let me talk about the rest briefly. First, portfolio choices and partnerships. As mentioned, we increased net investment by around GBP 500 million over the last 2 years, focusing on the most profitable projects across the group. In civil aerospace, we successfully tested UltraFan in 2023, and we are further improving the design progressing the development for both narrow and widebody aircraft. We have invested to grow capacity in Derby, Dahlewitz and Singapore which will allow us to increase deliveries of new engines. And by the end of this year, have the capacity to deliver a 50% increase in shop visits as compared to 2023 to support rising aftermarket volumes.

In Power Systems, we successfully tested our next-generation engine. This differentiated technology will improve our access to market segments and will enter service in 2028. We announced the disposals of noncore activities of our portfolio, including our direct air capture assets, naval propulsors & handling business in Defense and the lower power off-highway engine range in Power Systems. We also made the decision to shut down our electric advanced air mobility activities alongside our electrolyser and fuel cell activities.

Next, strategic initiatives. In Civil Aerospace, one of our most important strategic initiatives is time on wing. At the CMD, we set out our target of delivering a 40% increase in time on wing across our modern engines by the end of 2027. We now believe we can achieve double this time on the time on wing improvement within the same period, i.e., by the end of '27. We will have already delivered a significant improvement by the end of this year. Our increased time-on-wing target is driven by new initiatives. For example, on the Trent XWB-84, we use a combination of a compressor blade modification, through the engine in conjunction with improved analysis of millions of hours, operating data to systematically raise the cyclic limit of critical parts. As a result, we now expect shop visits to peak in 2026 before falling in the midterm to below our previous CMD target for 2027.

On Trent 1000, we are in the final stages of the certification of our new HPT blade that will more than double the time on wing of this engine. Flight testing was successfully completed. We have switched our OE production to the new blade already and are aiming for certification in 2Q. We expect to be able to introduce the new HPT blade to all engines across the fleet over the next 2 years, meaning that it will

deliver a near-term benefit. We are also on track to complete further improvements to Trent 1000 and Trent 7000 by the end of this year. That will add another 30% to time on wing.

On the XWB-97, we are doubling the life of the engine in non-benign environments and increasing it by 50% in benign environments. The first phase of improvements, new coatings for the turbine blade and seal segment, has been certified and is performing well. The next phase of improvements is underway and on track to be delivered by the end of 2027.

Finally, lower carbon and digitally enabled business. Rolls-Royce has unique nuclear capabilities, including SMRs, which I will talk to later. In Power Systems, we delivered 500 HVO power generators to the data center sector. Our battery storage system business, which will become profitable in the near term is growing quickly. We expect to deliver contracts with a total of 2,000 megawatts over the next 2 years.

We are capturing the benefits of becoming a more digitally enabled business. We are investing to upgrade our sales and operating planning system and upgrading our engineering mainframe. We are pioneering in new tools and techniques in civil aerospace, including the use of machine learning and advanced imaging technologies to inspect turbine blades. This results in a faster, more consistent process that extends the time on wing of critical engine components.

Turning now to our guidance for 2025. As you have heard, we delivered a lot over the past 3 years and laid strong foundations for the group. Our actions and initiatives set us up for another year of strong delivery this year. Our 2025 guidance will see us delivering our operating profit and free cash flow, CMD commitments 2 years earlier than planned. We expect underlying operating profit of GBP 2.7 billion to GBP 2.9 billion with a year-on-year improvement in operating profit in all core divisions. We expect free cash flow of GBP 2.7 billion to GBP 2.9 billion, primarily driven by higher operating profit alongside continued LTSA balance growth.

In 2025, we expect a GBP 150 million to GBP 200 million impact from the supply chain to free cash flow similar to that phase last year. Helen will take you through this in detail. We are also upgrading our midterm targets based on a 2028 time frame. These upgraded targets reflect the strong improvement in performance over the past 3 years and the potential that we see from the business. A significant portion of the performance improvements to the midterm are underpinned by the investments and the actions that we have already taken. I shared some of them with you earlier. These midterm targets are a milestone, not a destination. As you will hear later, I am confident and excited about our growth prospects beyond the midterm.

We target an operating profit of GBP 3.6 billion to GBP 3.9 billion in the midterm, an improvement of GBP 1.1 billion to GBP 1.4 billion compared to 2024 million. I will talk to you about the drivers of this improvement shortly. Our midterm operating margin target is 15% to 17%. This compares to an operating margin of 13.8% in 2024 as we transform Rolls-Royce into a truly competitive company. Our midterm target for free cash flow is GBP 4.2 billion to GBP 4.5 billion. This compares to GBP 2.4 billion delivered last year.

Stronger free cash flow is mainly driven by operating profit and continued LTSA balance growth. I would like to highlight one important point here. Our strategic initiatives and actions aimed at driving higher LTSA margins and LTSA balance growth. We intentionally do that. Let me explain, given our starting point of a young and growing fleet and the fact that we have a significant time on wing improvement opportunity, you should normally expect continued LTSA balance growth for the foreseeable future. Additionally, our commercial optimization and cost efficiency actions further drive LTSA balance growth. I would like to touch on some of the cash drivers and Helen will talk about cash in detail.

We are capturing more than 50% of new widebody deliveries, which means our installed fleet will grow at 7% to 9% compared to 3% to 5% for the market. These are per year targets, by the way. We are driving higher normalized EFH rate through commercial optimization with a growing cash benefit from contract renegotiations and as new contracts scale up. Our time on wing initiatives mean that shop visits will peak in 2026 before falling through 1,250 to 1,350 range in the midterm. Finally, we expect to deliver an 18% to 21% return on capital in the midterm, highlighting the economic value creation potential of the business. I believe this will be one of the leading returns in the industry.

I will now talk about the key drivers behind our midterm operating and margins. As I said, Helen will talk about the cash. These midterm targets are already significantly underpinned by the actions that we have taken. We expect a continued improvement in operating profit in all three core divisions. The largest improvement will come from civil aerospace where we target an 18% to 20% margin in the midterm.

We see the potential for this business to deliver a higher than 20% margin beyond the midterm. Higher operating profit in Civil will be driven by four factors: Firstly, a further improvement in aftermarket performance with an increase in LTSA margins driven by the six levers. As mentioned, the benefits to LTSA margins and cash flows from new contracts will scale up with a further benefit as we negotiate more new and renewing contracts. I discussed time on wing earlier, which will also be a key contributor to LTSA margin improvements. We now expect to increase the time on wing of our in-production engines by more than 80% by the end of 2027. This will drive a reduction in shop visits in the midterm.

We are also driving down shop visit costs by the midterm Trent XWB-84 shop visit costs will halve versus 2019 with more than a 35% reduction already achieved by the end of last year. And all of our in-production engines, we'll see a shop visit cost reduction during the time frame. Secondly, improved widebody OE profitability. By the midterm, Trent XWB installed engine deliveries will be breakeven or positive thanks to our commercial optimization and cost efficiency actions. We also expect higher profitability on spare engines also reflecting commercial optimization and mix effect. Thirdly, a further increase in business aviation performance with increased volumes as our Pearl engine deliveries ramp up alongside a continued business improvement with both OE and aftermarket growing profitably.

In Business Aviation, we expect to grow by double-digit percentages to the midterm and significantly higher than the market. And fourthly, these benefits will be partly offset by a reduced contribution from contractual margin improvements. As I mentioned, we expect to finish our renegotiations by '26.

In defense, we continue to target a 14% to 16% margin in the midterm. The performance improvement between now and the midterm will be mainly driven by self-help. Higher operating profit will be driven by improved OE and aftermarket performance notably in transport, supported by the commercial optimization actions we have taken over the past 2 years. This is partly offset by the divested earnings. In Power Systems, we now target a 14% to 16% margin in the midterm. Across power systems, more than half of our profit comes from services, notably governmental and marine, but also our gas engines and industrial. This makes our business more robust. We expect strong services growth going forward, which will also support margin improvements to the midterm.

In power generation, we expect revenue growth of 15% to 17% per year compared to around 10% for the market. This is driven by our differentiated products and systems offering and global account management and our disproportionate weighting to data centers. A good portion of data center growth to the midterm is already underpinned by firm orders. In governmental, we see market growth of 5% to 7% to the midterm. Our strong program positions means that we will grow faster than the market with attractive margins.

And in Marine, market growth of 5% to 7%, we expect to grow in line with the market, but a faster rate than we assumed at CMD. We anticipate significant growth in our lower carbon products, particularly battery storage systems where we expect very strong growth over the next for years.

Now I'm going to hand over to Helen.

Helen McCabe
CFO & Director

Thank you, Tufan. Good morning, everyone. I will now take you through our 2024 performance. And then for the midterm, our free cash flow growth and capital frame. So let's start with 2024. Strong results, double-digit growth across revenue, profit and cash flow with the balance sheet continuing to be strengthened? And what's important is that every division is delivering. Key financial highlights, revenues grew by 17% to GBP 17.8 billion, with good end growth across all divisions. Group operating profit grew by over 55% to GBP 2.5 billion, supported by delivery of our strategic initiatives.

Operating margin grew by over 3 percentage points to 13.8%. Free cash flow, it grew by GBP 1.1 billion to GBP 2.4 billion supported by higher operating profit, continued LTSA growth and a working capital release alongside higher net investments. Strong cash flow generation meant that we closed the year with a net cash position of GBP 0.5 billion the first time since 2018 that we have been in a net cash position. Return on capital that rose to 13.8%, driven by improved operating profit and margins. And yes, those strong results have enabled us to declare our first dividend in over 5 years and to announce a GBP 1 billion share buyback, our first in a decade.

Now to the detail by division. I'll start with civil aerospace. Civil delivered the largest year-on-year improvement in profit and cash, record outcomes. Operating profit grew to GBP 1.5 billion, an increase of 79%. Cash flow grew to GBP 2 billion, more than 3x higher than 2023. Operating margins grew to 16.6%, a 5 percentage point increase year-on-year, and revenues grew to GBP 9 billion, an increase of 24%, with strong growth across both OE and services. Indeed, service revenues grew 28%, driven by higher LTSA shop visits and the benefit from our commercial optimization actions. OE deliveries grew by 16% to 529. Of these, 278 were widebody engines, which included 221 installed engines, giving us a wide-body delivery share of more than 60% in 2024.

And spare engines were 57, four higher than the prior year, increasing our operational flexibility and our ability to serve our customers. Business Aviation deliveries grew to 251, 174 of which were Pearl engines, where we see strong and growing demand for this leading engine. And total shop visits grew by 7% to just over 1,300. Of these, 430 were large engine refurbs. That compares to 368 in 2023.

Now to operating profit in more detail. Four key factors drove that 79% increase. First, higher large engine aftermarket profits. This was primarily driven by our six levers to improve LTSA profits alongside higher shop visit volumes and increased time and material profit. Second, stronger business aviation profits across both OE and aftermarket. OE deliveries grew by 28% and were done at higher margins than the prior year. And aftermarket shop visits grew by 13%. Again, done at higher margins. Third, cost efficiencies, our actions supported lower year-on-year and direct costs, this despite continued inflationary pressure. And fourth, contractual margin improvements. Net contractual margin improvements were a benefit of GBP 235 million. This compares to a charge of GBP 54 million in 2023. The GBP 235 million comprised a benefit of GBP 290 million from catch-ups and a GBP 55 million charge against onerous contracts.

We continue to make good progress across both large engine and business aviation contracts. In large engines, we continue to find win-win solutions with customers. As a result, we released further onerous provisions. We also saw benefits from catch-ups across both large engines and business aviation, driven by our actions on life cycle costs and commercial improvements. In total, all of this contributed to a gross benefit at GBP 617 million in the year. However, this benefit was partially offset by additional charges of GBP 382 million taken across both onerous and catch-ups, largely as a result of prolonged supply chain challenges. We continue to manage the supply chain very tightly.

Let me give you just a few examples of what we are doing. Procurement and supplier management teams have been integrated. Teams have been upskilled, have better tools and have better processes. In aerospace, we have secured additional raw material buffer stocks, which we are sharing with suppliers to help them tackle shortages. We are embedding around 250 people across key suppliers to provide additional skills, capability and to drive stronger integrated planning. Agile teams have stood up. Our Trent 1000 task force in place. These bring together people from operations, supply chain, engineering, technology, safety and planning. These changes are driving positive impacts. For example, we increased Trent 1000 supply chain output by around 20% in 2024. We expect the supply chain to remain challenged for the next 12 to 18 months, but it is being managed very tightly.

Let me now turn to cash. Civil delivery [Audio Gap] as we continue to strategically invest in areas such as time on wing, UltraFan, MRO and OE capacity. In summary, a very strong performance from the Civil team, delivering higher profit margins and cash and all while continuing to invest in the future.

Defense, also a strong performance, reflecting the benefits of strategic initiatives, particularly our commercial optimization and cost efficiency actions. Order intake, order book, revenue, profit margins

and cash were all [Audio Gap] percentage point increase year-on-year, a strong improvement when you consider the higher mix from the lower margins in submarines.

Order intake was GBP 13.3 billion with a bit to bill ratio of 2.9x. This was supported by a first-of-its-kind multiyear submarine contract worth GBP 9 billion with the Ministry of Defense. Order backlog at the end of the year was GBP 17.4 billion with an order cover of 90% for 2025. Revenues, they grew to GBP 4.5 billion, an increase of 13%. This was led by submarines, which reported growth of over 50%, while combat and transport were broadly flat.

As I mentioned at half year results, defense revenue growth was boosted by a one-off item associated with the submarine contract. Even excluding this, revenue growth was still 7% for the division. Year-on-year improvement in operating profit was driven by three key factors. First, strong aftermarket profit led by transport, reflecting a more favorable mix, including more spare parts sales and improved pricing. Second, strong submarine growth, reflecting the ramp-up of programs such as AUKUS. Third, cost efficiencies, including an increase in customer-funded R&D as we ramp up on projects such as FLRAA, GCAP, B-52 and AUKUS. And these benefits were partially offset by the impact from lower OE volumes due to supply chain constraints.

Defense's cash flow increased to GBP 591 million. Cash delivery was driven by operating profit and a disciplined approach to working capital. So a strong year, higher profits, margins and cash and [Audio Gap] and critical contract wins that underpin strong profit growth in Power Gen, where our restructuring of the business has led to double-digit operating margins. Operating profit grew to GBP 560 million, a 40% increase year-on-year. Operating margins grew to 13.1%, a 2.7 percentage point increase. Order intake grew to GBP 5.1 billion, a 19% increase with a book-to-bill ratio of 1.2x. OE order coverage for 2025 stands at 82%. Demand remains particularly strong in Power Gen where we have strong exposure to the fast-growing data center market, leading to a 42% increase in orders. In governmental, our order intake was also up by a third year-on-year.

Revenues grew to GBP 4.3 billion, an increase of 11%. Power Gen and governmental delivered increases of 25% and 17%, respectively. Data center revenue growth was 46%. You will see on this slide that industrial revenues were 20% lower year-on-year. This was largely due to the disposal of the low power range off highway business.

Operating profit growth was driven by three factors: commercial optimization. We continue to see the benefits from our pricing actions. This was particularly evident in power generation, which also benefited from an improved mix as we focused on larger, higher-margin products. Battery energy storage systems, where we continue to see strong opportunity and where we're on track towards profitability in the near term and cost efficiencies, what our actions helped mitigate the impact of inflation.

Trading cash flow it stood at GBP 452 million. That compares to GBP 461 million in 2023. This slight decrease reflected strong operating profit growth, record levels of investment. For example, in our next-generation engine, which will offer best-in-class fuel efficiency and power density and higher working capital as we support continued business growth to wrap a strong outcome for power systems across all key metrics.

Now let's move to the cash flow. We delivered GBP 2.4 billion of free cash flow, more than GBP 1.1 billion higher than in 2023. The main driver of the year-on-year increase was higher operating profit, which grew by approximately GBP 900 million. Other factors included investments. We continue to invest for future growth across the group with a clear focus on investments that are strategically aligned, attractive projects that generate profitable growth to the midterm and beyond. These include our GBP 1 billion multiyear time on wing program, additional capacity in Derby, Dahlewitz, and Singapore to support higher OE and aftermarket volumes, continued investments in Power Systems and Defense, investments in our engineering mainframe and in our sales and operation planning processes.

As a result, net investments were GBP 280 million of an outflow that is GBP 360 million higher than in 2023. The net LTSA balance, that was just below the lower end of the guided range, standing at approximately GBP 700 million at year-end. Around GBP 400 million lower than in 2023. The net LTSA balance was driven by higher engine flying hours and an improved normalized engine flying hour rates.

This was partially offset by a higher number of shop visits, including a record number of Trent 1000 refurbishments and the impact of managing through supply chain headwinds.

Then working capital, as you know, this is one of our key priorities at CMD, and we continue to make good progress. We released around GBP 280 million of working capital in the period. That compares to a build of GBP 360 million in 2023. A strong performance given industry-wide supply chain challenges and while we supported revenue growth. We are driving a much stronger working capital culture and discipline across the group. In the 2 years since we stood up our working capital program, inventory days have improved by more than 45 days, days sales outstanding by 14 and overdue debt has fallen by more than 40%.

Next, provisions. They were an outflow of GBP 170 million, this included outflows as we traded through our onerous contract provisions. There were about GBP 100 million lower than in 2023. Then overhedge costs, as guided they were around GBP 150 million, more than GBP 200 million lower than in 2023. Net interest costs they were broadly neutral, an improvement of GBP 145 million year-on-year, driven by improved cash delivery. And finally, cash tax costs. They stood at GBP 380 million, GBP 200 million higher than in 2023.

Tufan shared our free cash flow outlook for 2025. Let me give you some additional data to help with your models. We expect the net LTSA balance growth to be at the lower end of the guided range of GBP 0.8 billion to GBP 1.2 billion. This reflects continued growth in large engine flying hours to 110% to 115% of 2019 levels. And a higher normalized engine flying hour rate as well as the impact from higher shop visits, which grew to between 1,400 to 1,500 and the continued impact from the supply chain environment.

We expect net interest costs to remain broadly neutral. And then the cash tax cost of unwinding the overhedge position to be similar at GBP 148 million. And cash tax costs to be around GBP 200 million higher. Resilience, we have been consistently clear that a key priority is to make our business more resilient. Our results today demonstrate that we are delivering. Operating leverage continues to fall. We continue to strengthen the balance sheet, returns continue to improve.

Tufan shared how our total cash cost to gross margin ratio is now a best-in-class, and there is more we want to do. The balance sheet has been strengthened. Look at the chart in the middle. We reduced net debt by GBP 2.4 billion in the year to end 2024 with a net cash position of GBP 0.5 billion. In May, we reduced gross leverage by repaying a EUR 550 million bond, and we canceled the last remaining undrawn UKEF supported loan. Our liquidity position also remains strong, standing at GBP 8.1 billion at year-end. And as you've heard, all three credit rating agencies now rate us at investment grade and all three hold us on a positive outlook.

The chart on the right brings home our improved resilience. We're in 2019 for the first bar. It represents the percentage decline in large engine flying hour receipts, but would have taken the group to a cash flow breakeven position. Now look at the right-hand bar, which shows the equivalent percentage in 2024. Across the group, we could have weathered a much steeper decline in engine flying hour receipts, almost twice the level of 2019, twice the level. And we would still have achieved cash breakeven. We are building foundations that are much, much stronger. We are a much more resilient business.

Now moving to the midterm free cash flow, which as a reminder, we hold at a 2028 time frame. We are driving for sustainable, higher quality cash flow growth as we continue to improve the business model and benefit from the actions already put in play. We are targeting between GBP 4.2 billion and GBP 4.5 billion of free cash flow, a growth of around GBP 2 billion compared to 2024. The main elements of this growth are operating profit, growth of between GBP 1.1 billion and GBP 1.4 billion over the period is key. We achieved that by continuing to strategically and sustainably expand the earnings potential of the business with every division delivering.

LTSA, by the midterm, we expect the net Civil LTSA balance to grow towards the top end of the GBP 0.8 billion to GBP 1.2 billion range. We will drive LTSA growth through five important factors: one, continued engine growth in engine flying hours driven primarily by our growing installed fleet as we continue to grow faster than the market. We expect large engine flying hours to grow to between 130% to 140% of 2019 levels by the midterm.

And Business Aviation where we hold a material and growing market share and where the time between shop visits is longer, driving LTSA balance growth. Two, a higher average normalized engine flying hour rate. You have heard how a significant amount of work has been done to improve our LTSA contracts and how most of the cash benefit is still to come. Three, time on wing, which helps extend the time between shop visits, so also supporting LTSA balance growth. We've shared how the opportunity is significant and how we're going even further than initially planned. And again, most of the benefit is still to come.

As a result, we expect shop visits to peak in 2026 and then fall to around 1,250 to 1,350 by the midterm. Four, we expect in advance of the midterm, the cash drag from the supply chain to be gone. And five, currency.

The consumption of our legacy hedge book means our midterm guidance assumes a blended ForEx rate of \$1.31 to the pound compared to \$1.48 in 2024. This will drive a higher sterling equivalent for the dollar-based inflows.

Next, investments. Our approach will continue to be disciplined with spend, always prioritizing safety and strategic growth. Looking across the period, we expect CapEx and R&D to average above depreciation and amortization.

Working capital. As group revenues continue to grow, this will naturally result in an increase in working capital. Our working capital program will help mitigate this impact. As shared at CMD, we had a gross working capital reduction target of around GBP 2 billion by 2027. We have plans to go further. Taking all of this together, hold that across the period, we expect to release working capital.

Then the cash cost of closing out overhedge positions, which were a drag of GBP 146 million in 2024 will be going by 2027. And as our profits grow, cash tax payments will naturally increase. Whilst we expect cash to grow in all years between now and the midterm, it is important to note, it will not necessarily always be linear due, for example, to the timing and mix of shop visits.

Capital frame. Our frame will continue to focus on striking a balance between 3 clear priorities: a strong balance sheet, a commitment to regular and growing dividends and a disciplined approach to further investments and to additional shareholder distributions.

First, the balance sheet, which we have worked hard to rebuild. We are now in a modest net cash position, which is not uncommon in our industry and a sensible place for us to operate from, especially in the near term. Gross debt, we will reduce it further, repaying from available cash the \$1 billion bond, which matures in 2025. These measures along with strong operational execution and earnings and cash flow growth should help us achieve a strong investment-grade rating. We have made good progress building balance sheet resilience. And as we continue through transformation, we will remain prudent in our approach to leverage and we will maintain robust liquidity levels.

Then distributions, having strengthened the balance sheet, we are now able to reward our shareholders with a competitive level of returns. As shared at our 2024 half year results, we are reinstating regular shareholder dividends. And we are pleased to announce that the Board is recommending a cash dividend of 6p per share in respect to the full year 2024, representing a payout ratio of 30% of underlying profit after tax, the first dividend paid by Rolls-Royce in over 5 years, and the distribution to shareholders of approximately GBP 500 million.

Going forward, we will pay an interim and a final cash dividend each year. And full year dividends will be based on a payout ratio of between 30% to 40% of underlying profit after tax. We assume an effective tax rate in the mid-20% range. Over the midterm, we expect to be broadly in the middle of that 30% to 40% payout ratio, a competitive payout ratio for our industry and as our earnings grow, so, too, will our distributions.

Another important milestone in our transformation. We are announcing a share buyback. It will total GBP 1 billion, will start immediately and will complete over the remainder of 2025. Taken together with the dividend, this represents a total distribution to shareholders of GBP 1.5 billion, competitive and evidence of our commitment to growing shareholder returns.

Going forward, we will continue to strike a balance of holding a strong and flexible balance sheet as we make active and disciplined capital allocation decisions to drive shareholder value, be they further investments, organic or inorganic or additional shareholder distributions, all of which will be assessed by strategic fit and how they contribute to growing long-term value.

To close, when we spoke at Capital Markets Day in 2023, I said transformation was not easy, but that it could be done. Our results today clearly demonstrate not only that it can be done, but that we are doing it. Everyone in Rolls-Royce has worked immensely hard. It's most definitely been busy. We are immensely proud of everything that everyone has done. And we are clear there is more to do, and there is more to come.

With that, let me pass you back to Tufan.

M. Tufan Erginbilgic

CEO & Executive Director

Okay. There is definitely more to do and more to come. And I'm going to go to that. But before I go to that, let me recap. Thanks, Helen.

We covered a lot of ground. So let me recap on the key messages. Our transformation program has already delivered a step change in financial performance across the group. We have given you insights into what we are doing and how we are achieving this. The strategic actions we have taken and the investments we have made significantly underpin our '25 guidance and upgraded midterm targets. In fact, the full benefits of our actions will not be realized in full until beyond the midterm.

Let me now talk to you about why we are excited about the outlook beyond the midterm. In Civil Aerospace, we are uniquely positioned to capitalize on our advantaged positions in widebody and business aviation. As discussed earlier, the benefits of our OE and aftermarket contract renegotiations and commercial optimization actions on new and renewing contracts are progressively scaling up with the full benefits to come beyond midterm. As contracts with higher margin scale-up, we expect to deliver further progress in improving LTSA margin and cash generation.

The same is true for time on wing. We are spending GBP 1 billion on improving the time on wing of our modern engines by the end of 2027. Not only will this investment be concluded by that point, but the cash benefits of our time on wing improvements will ramp up beyond the midterm.

UltraFan positions us strongly for the next generation of aircraft, either wide or narrowbody. UltraFan is 10% more efficient than the Trent XWB-84, the most efficient engine in the market. It has a geared architecture and is 100% SAF, sustainable aviation fuels compatible.

In business aviation, we are strongly positioned on the latest large cabin business jets, including the G700, G800 and the Dassault Falcon 10X. All of these improvements in Civil Aerospace are complemented by widebody and business aviation growing faster than the market.

In Defence, the growth will be driven by a ramp-up of several major programs. On the B-52, we expect to deliver around 600 engines with production starting in the late 2020s. On FLRAA, all year revenues will also start to ramp up in the late 2020s. As a replacement for the Black Hawk helicopter, this looks set to be a very large program with potential for significant export sales in addition to the sales to U.S. Army.

Production for GCAP a next-generation combat aircraft, will be ramping up in the mid 2035 -- mid '30s actually. And in submarines, revenues from AUKUS will ramp up by around 50% from today to the late 2020s. This is a CapEx light business model with a very high return on capital.

Rolls-Royce looks forward to powering the U.S. Navy's MQ-25, the first autonomous refueler in aviation history. This aircraft will use the AE 3007N engine and expands Rolls-Royce leadership in unmanned propulsion.

In addition, we have -- we anticipate sustained demand for our mature and profitable products in both combat and transport. For example, the EJ200 engine for Eurofighter.

Our strong product offering means that we are well placed to win future contracts. Great examples of this are the SAOC and TACAMO contracts that we announced last year.

In Power Systems, we have differentiated products in power generation, governmental, marine and industrial end markets. They are all expected to grow. Our position in Power Generation remains highly attractive with significant long-term growth potential in data centers. Additional profitable growth will be underpinned by our next-generation engine in Power Systems, the first new engine in over 2 decades, which will offer significantly improved power density and efficiency. This differentiated product will create commercial opportunities and new market segment access.

We also see exciting opportunities in our low carbon -- lower carbon products, notably profitable growth from battery storage system business and for lower carbon fuel products, for example, hydrogen for our stationary business, methanol for marine and the increased use of HVO for data centers, mining and rail.

Our unique nuclear capability also means that we are well placed to capture growing demand for SMRs. We see a significant market opportunity for micro reactors in defense, space and commercial applications. Finally, we see a significant value creation opportunity in SMRs, which I will talk to now.

We are uniquely placed to win in this large and growing market and create significant value. Let me explain why. Rolls-Royce SMR is a business with a unique and differentiated product offering and an attractive cash-generative business model. The addressable market for SMRs is large and growing quickly.

The International Energy Agency, IEA, currently forecast that global electricity generation will double by 2050. Nuclear has a growing role to play from an energy supply security and net zero perspective as other continuous generative assets are phased out. Based on IEA's estimates, we see a credible SMR market of almost 200 gigawatts by 2050, equivalent to around 400 of our 470 megawatts SMRs.

We are well positioned to win in this market. Rolls-Royce has over 60 years' experience in powering the U.K. Royal Navy's fleet of nuclear submarines. Our SMRs are based on proven technologies. Our SMRs are fully modularized, reducing deployment time and offering up new locations without customized infrastructure needs, which will reduce costs and speed up our time to market. Around 80% of our SMR will be built in factories as opposed to on-site, materially reducing the risks associated with traditional nuclear projects. The larger power output will result in green electricity at a highly competitive cost without the intermediancy issues associated with solar and wind. Therefore, they don't require storage or backup systems. Finally, we are around 18 months ahead of our competitors in the GDA regulatory process in the U.K.

Rolls-Royce SMR is already winning and making significant progress. Last year, we signed this new strategic partnership with CEZ to deploy up to 6 SMRs in the Czech Republic. We were also down selected in both the U.K. and Sweden's competition. Additionally, we have significant interest from many other countries.

Our cash-generative business model is very attractive with positive OE margins from the very first unit rising over time, driven by economies of scale and the learning curve effect. Our SMR contracts will also be immediately cash flow generative because of customer advance payments as shown on the chart on the right. More than 80% of the components that make up our SMRs will be delivered by third-party suppliers. This will materially reduce our capital intensity and mitigate risks. As a result, we expect to generate a strong double-digit return on capital from SMRs.

Risks, also be tightly controlled using tried and tested technology towards R&D, reduces risk and increases speed to market. Our financial risks are shared by our strategic partners and suppliers, each of whom bring key strengths and capabilities to the business. For example, CEZ, who has experience as a nuclear operator and brings deep supply chain capability. And our initial contracts will have margin protection built into them using, for example, cost-plus contracts.

So this is a differentiated business and one that we believe has a significantly higher value than it is listed or unlisted peers. The value of the business will grow materially from now as we successfully execute and deliver growing revenues, profit and cash flows.

To summarize, we are delivering on our proposition to transform Rolls-Royce into a high-performing, competitive, resilient and growing business. We have achieved a lot over the past 2 years with significantly improved financial performance across the group driven by our strategic initiatives despite the impact of a challenging supply chain environment.

We are delivering this at pace. Our 2025 guidance will see us delivering our CMD targets 2 years earlier than planned. Today, we also issued new upgraded midterm guidance, benefiting from our expanded earnings and cash potential. Our strong delivery over the past 2 years gives us confidence that we can, not only achieve our midterm targets, but also significantly beyond the midterm -- significantly grow beyond the midterm. This growth is underpinned by our strategic initiatives and the investments that we have been making over the past 2 years and their continued implementation going forward.

A stronger balance sheet also gives us confidence to reinstate dividends and announce a GBP 1 billion share buyback for 2025. These also all show our commitment to grow shareholder returns.

We have made great progress, and we see a lot more potential. We are creating a sustainably distinctive business in terms of safety, operational excellence, customer service, advantage products and technologies with a high-performance culture.

I am very proud of the Rolls-Royce team and what we've delivered so far. They know their role in delivering our strategic progress and are energized to make a difference. Thank you for listening. Now we are going to open it up for your questions.

Question and Answer

Jeremy Bragg

Thanks very much everybody. We'll take questions in the room, and then if there's time, a few on the webcast. So you are quick, Charles. Do you want to start?

Charles J Armitage

Citigroup Inc., Research Division

Charles Armitage. One clarification and a couple of questions. The first, a clarification. I think you said amongst your key drivers of the improvement, pretty much in the first 3 minutes of your comments, there was something about T&M and moving LTSAs to T&M. Is that -- what does that mean?

The other two questions. One is the Trent 1000 time on wing improvements. Does that mean you can start regaining share? Or is it a case of most of the widebody choices have already been made and you'll probably be taking along in the 20%, 30% range?

And the thirty-one is the GBP 450 million improvements from procurements from '24 to '25 million, GBP 150 million in indirect, that GBP 600 million possibly offset by some of the catch-ups maybe, also with the contract provisions, onerous contract provisions. It sounds like your '24 -- your '25 EBIT looks a bit low.

M. Tufan Erginbilgic

CEO & Executive Director

Sorry. Are you talking about cost improvements?

Charles J Armitage

Citigroup Inc., Research Division

Your setting fact on the cost.

M. Tufan Erginbilgic

CEO & Executive Director

Yes, I'll come to that. Okay. Let's go in the order. I think clarification. What I said is, I think in CMD, we talked about that. We have been unbundling LLPs because it gives you more flexibility with commercial optimization and so on. So I said in my speech that 60% of our contracts are now unbundled. That's what I said, okay?

Trent 1000, yes, that's what that means. Frankly, we are -- I said it in my speech, we are making good progress. By the end of this year, this is going to be totally competitive engine in terms of time on wing. And the main issue with Trent 1000, I know this precedes my time definitely, there are lots of noises about this. Reliability of this engine is as good as the next. Our main issue has been time on wing. And we are effectively fixing it for good and we know it works. I mean flight test was successful, but it wasn't a surprise because Trent 7000, we actually did it. Now Trent 7000 is performing, last 2 years, better than we expected. As you know, they are brother sort of engines.

So we are seeing doubling the time, but actually Trent 7000 so far, even in an environment like Kuwait, performing brilliantly. So -- and this [Bumbly,] we call it [Bumbly,] first improvement will bring in 2Q once the certification happens. Actually, that will double the time on wing. Then the next improvement by the end of the year will come with 30%. The good news is this required flight test and therefore, Boeing -- working with Boeing and FAA certification, et cetera. The other one is only engine-level certification, we can quickly implement it. Yes, we are looking to increase the share on 787. Why not? Because this is going to be a highly competitive product. That's why we focused on that.

Your sort of calculation, I will challenge that a little bit because you cannot add them up that way because there are -- we are, for example, procurement. We are seeing those things will offset, partially offset some of the supply chain increases, number one. Number two, while we are decreasing indirect cost, as

you highlighted, we are growing, we are increasing other costs, okay? So therefore, you need -- these benefits help gross margin flows through, but you generate them up the way you just did. So it is not a catch-up or onerous contract issue because as we talked about in our conversation, we still expect good sort of onerous and catch-up in '25 and '26. We are making great progress after '26, they go -- especially onerous, go down.

Catch-up will definitely not disappear because as we continue -- the way you should hold catch-ups is underlying business improvement. Actually, onerous contracts is also underlying business improvement by definition. But therefore, we continue to improve the business. Catch-ups will continue to be there.

You raised actually first your hand, but Jeremy went there. So I let that happen. So I don't want to be unfair.

Chloe Lemarie

Jefferies LLC, Research Division

Chloe Lemarie from Jefferies. I actually have two questions. The first one is on the contract margin improvement from 2022 to 2028. Could you maybe break down the 17 points between what you got on pricing versus cost versus time on wing improvement? And is it fair to assume that the improvement beyond 2028 would be mainly the remainder of the time on wing benefits that you're targeted by 2028?

And the second question is actually, if we can -- on the narrowbodies. So can you detail the key technologies that you bring to a potential partner because we're seeing the 2 incumbents going very different routes technology-wise. So how do you think you would fit into that landscape, please?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. Two good questions. I think contract, let's talk about. I'm not going to break it down for you. That's why we talk about 6 levers, but they all play the role. So if you ask me, what are the big ones, you, specifically, you're talking about contract margin. So contract margin, it is very true that new contracts are coming with a much better margin profile than our historical contracts, okay?

Contract margin, even if, as I said in my speech, even if the engine is not delivered yet, once you sign the contract, it becomes contract margin, if you like. Therefore, even some undelivered engines in that with higher margins. Definitely, the further you go, that mix will change in favor of us because all contracts will expire, new contracts with higher margins, that will continue definitely. That plays a big role. Renegotiate contracts play a big role. I showed you the cash profile. We are talking about multibillion sort of numbers there.

Those two and then time on wing, probably three big things like shop visit cost in this period, XW went down, but actually, in the next period, shop visit reductions will add more than it did in this period, okay? That's how you may -- why, you will say. Supply chain didn't allow us to do some of the things there, okay? Product costs, the same. Next period will be better than this period.

So your point around going forward, I would disagree with your characterization. So let me tell you how it is going to play out. So that's why I said my expectation, those 2 curves will shift up. Why? So first of all, if you actually -- we said we are going to renegotiate more contracts in '25% '26, that's not in the numbers because this is only what we achieved throughout there than what we may achieve, if you like. So those things, we are making good progress. That will actually increase that. Operational improvements will definitely improve that.

But also, even if you deliver your plan. So the way you think about our contracts. Inherently, you say, I'm going to achieve time on wing X, like I will double time on wing on Trent 1000. You put a contingency against that because it's not 100% certainty that you will. If you effectively execute that, which we have been doing so far, you actually release the contingency. So even executing your plan on time in budget will improve those things. Therefore, 3 things will improve, further renegotiations, executing your plans the way you want to execute and then finding new operational improvements. And time on wing going from 40% to 80% is enormous. This is not sort of peanut. So that's it.

If I go to your narrowbody, so I will say this. We are very well positioned on narrowbody. Therefore, everybody is talking to us and we are talking to everybody. So I said it in CMD, our preference is partnership. We don't need partnership for capability, but our preference is that. So we will see where that goes. It's early days, but we have -- with UltraFan, great technologies, that's why everybody is talking to us, and great engineering capability in general are there, and UltraFan is more efficient engine, as I said, than any other engine available in the market at this point in time. And the IPs we have on that on a geared structure is very favorable. Let me put it that way.

So I think we will see how that story unfolds. But we believe we can actually do things in that space.

David, you were third.

David Howard Perry

JPMorgan Chase & Co, Research Division

Yes. I've got one very short question, one slightly longer. The short one is, would it be silly just to assume ongoing share buybacks every year given the amount of cash you're going to generate?

The longer question, if you bear with me, is you've told us that the Civil Aero margin in '28 will be 18 to 20. You've also told us that the bulk of the widebody OE, your biggest engine, is going to be breakeven, which is a lot better than I assume. Very crudely, the implication of that is LTSA margins are probably still only 30% in 2028, which is a lot lower than the aftermarket margins of your peers. So would you agree with my crude math? Apologies if I'm wrong. If you do agree, why are the LTSA margins so low and where could they go to?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. I'm going to ask Helen answer buyback program. Let me answer your sort of operating margin question. So I think, first of all, I didn't say all engines because we still have, at that point, we want to sell Trent 1000 and A380 -- sorry, A330neo obviously. I was only referring to XWB, which is factually correct.

Second, I think when you think about sort of your calculation, David, especially from today to that point. Today, we were very successful with negotiations. Therefore, we were able to book, yes, some of it, as Helen talked about, because of product cost and supply chain challenges partially offset but we were able to deliver big commercial improvements. That will not be available by midterm because we will have done that already. So onerous contracts and so on, we will have delivered by that time, frankly. So I think that is going to be for 20 time frame, that will be a negative definitely in the equation.

Do you want to answer buyback?

Helen McCabe

CFO & Director

Thanks. Thanks, David. So David, hold it, we had a clear capital frame. And as we've said, going forward, we will be consistent as how we strike that balance between our priorities. We've been consistently clear we will protect the balance sheet with a net cash position and modest net cash position. We're comfortable operating from there, particularly in the near term, not an unusual place, as I said, for the industry. Then we'll ensure that shareholder dividends are regular. They will continue to grow in line with our earnings growth. And then we will continue to assess the options beyond that, be it additional investments, organic, inorganic or additional distributions and buybacks are in that tool kit. But we will be very disciplined as to how we assess that. We will look at the strategic fit. We will look at what we do for shareholder value and return and we'll look at the appropriateness of the timing of that. So that's how you should hold that going forward.

M. Tufan Erginbilgic

CEO & Executive Director

Go ahead.

Unknown Analyst

Two for me. So firstly, Tufan, time on wing, going from 40% to 80% is obviously a very, very significant improvement. You've been talking about 40%. Come on, how are you getting there? What is really incremental that is driving that material improvement because it is significant?

And then on your 2028 guide, your cash is still significantly ahead of your profit. So when we think about your guidance beyond the midterm, you've given us some color. Is that cash going to roll and meet the profitability? Or is the profitability going to come up as the cash flow will continue to grind higher? Because at some point, there's going to have to be a realignment there. So those were the two.

M. Tufan Erginbilgic

CEO & Executive Director

That's great. So normally, I pass to Helen. I'm going to make, on the second one, one big point because I think you may want to think about this slightly differently. I'm going to make an offer to you. Then Helen will obviously build on it.

Helen McCabe

CFO & Director

I don't know what's coming.

M. Tufan Erginbilgic

CEO & Executive Director

So full of surprises, life, I guess. But time on wing, there is the direct answer, which I will come to. Then there is this sort of how does that happen, right? Here is how that happens. So effectively, that's an insight into how we run the business. I keep saying we are running the business differently. I'm not sure it resonates yet. But this is part of that.

So Rolls-Royce has been talking about time on wing, I don't know how long, definitely precedes my time. But when you actually put, okay, we are not going to talk about it. We have made strategic choices. Now, a very granular strategy, that cascades into 17 strategic programs, whole company. If you are working for Rolls-Royce, you are working one of those programs. So you know your role, right? By resourcing, time on wing is one of them. You wouldn't be surprised. By resourcing with the right talent, right money, suddenly you accelerate and more stuff comes out. So I can repeat this. So this is an insight to you, how we run the company.

There's a direct answer to you. This is mainly -- I actually referred to that in my speech. This is mainly -- other programs out there, we have been talking about. But mainly, it's XWB-84. XWB-84, effectively, what we did there is it's a conjunction -- combination of two things. We actually do a modification on compressor blade. We are hardening the root of the blade effectively. That's what we are doing there.

In addition to that, this is millions of hours of operating data with higher fidelity understanding of speed pressure and temperature within an engine with a highly instrumented sort of testing. So normally, we do our LLPs, when I say critical parts, some of critical LLPs there, okay? We do it different than our competition. Our competition goes with long times, a lot longer than we put on LLPs. We go, here is the limit, and only when we understand operational with high fidelity, we sort of raised the limit, right?

So now on XWB, we had a great time on wing, mostly driven by HPT blade right? Our time on wing limitations mostly come from HPT blade, so think that way. But the issue was, so HPT blade goes from here to here, more than 4,000 cycle, actually, which is for the new engines, enormous. We had LLPs cannot grow that long. So when you actually take those LLPs up because of the process I talked about, suddenly, you have enormous and actually refurb reduction in this time frame. We talk about after '26. That's a combination of two things. Effectively refurb reduction in 84 because of this because it is refurb because we are changing many parts. It is refurb. Combination of that and Trent 1000 blade change, not required with nonrefurbs. So you see both of them go down, and that actually drives total shop visit costs done.

I hope -- long answer, but I wanted to sort of give you -- this is not some [indiscernible] sort of thing. But we may find more opportunities. I just -- therefore, I went through that.

But on the cash, obviously, Helen will answer it. But I would like to you, guys -- here is the offer, to think about LTSA balance growth slightly differently, okay, for us. We have a young growing fleet. And we have big time on wing improvement opportunity. If our starting point was, everything is brilliant, time on wing, this 80% is not there, then I think you may be right. When does it actually end. But our starting point is -- I'm telling you almost doubling time on wing, and you are in this industry, right, you will know what that means for the whole modern engines, right? That, plus all our programs do two things: increase the [indiscernible] effectively balance, LTSA balance and increase our take on it, our margin. That is what it is designed for effectively. Cost efficiencies, our 6 levers, plus everything else we do, renegotiating all that.

So effectively, when you guys continue to think, I think this LTSA balance growth sort of temporary, think again because of our starting position and because of what we do for -- I'll tell you this, our Trent 700 LTSA balance didn't peak yet after 30 years. And you will say, "Why, Tufan?" I will say, you keep improving it, right?

So now, Helen will answer.

Helen McCabe
CFO & Director

I got what left to say?

M. Tufan Erginbilgic
CEO & Executive Director

But I want you to think very differently about LTSA balance. That's why I said it because some people think, it's not cash. It is. Why am I driving it if it is not? And the important thing is that I'm driving it, I'm increasing my portion significantly, 20 percentage points. We are not done.

Helen McCabe
CFO & Director

I think I'm just going to summarize. So I mean if you think about cash in 2028, so around GBP 2 billion higher than in 2024, think of 5 things behind that. Operating profit growth, obviously, of over GBP 1 billion. LTSA gets to the top end of that range because of their actions. Supply chain, that drag has gone away. Onerous, we heard in 2026, how we've been through most of the onerous contracts. So as you know, when we do that, you get the profit benefit, the cash takes a longer time to come through. And then tax, obviously, we expect to grow.

That LTSA growth, as you've heard, because of our position in that young growing widebody fleet, what we're doing around LTSA margins, what we're doing on time on wing, up to 2020, there is some ForEx benefit. All of that helps support. And I think your example of the Trent 700 is a fantastic way to bring that to life, an engine that's been in service for 30 years.

M. Tufan Erginbilgic
CEO & Executive Director

1994.

Helen McCabe
CFO & Director

Yes, and we haven't seen that LTSA balance peak yet. So I think that's just an easy example to bring that to life. But that's how you should hold it going forward. Yes.

M. Tufan Erginbilgic
CEO & Executive Director

Yes. Then I'll go there.

Unknown Analyst

13 years of [indiscernible], so still I haven't got used to these market events. Trent 1000 certification is now expected in Q2 versus Q1 before. Could you help us understand what the slip there is?

M. Tufan Erginbilgic

CEO & Executive Director

I mean it's very simple. Boeing start 2 months, that delayed around 2 months.

Unknown Analyst

Okay. I'll follow up on that.

M. Tufan Erginbilgic

CEO & Executive Director

No. I mean it is because it is a successful test. And there isn't anything else yet. So we said it first half, 1Q, then frankly, Boeing's strike sort of happened. And we couldn't continue with the flight test. So we start -- if you remember, I think I said it early August when we were making presentation, we started flight test yesterday or something I said, which was true. But then we had to stop when the strike happened.

Unknown Analyst

Just a follow-up on David's question earlier. Do you have a target capital structure in mind, a certain gearing ratio that you're in before? You mentioned something at H1 last year and then we haven't heard that again.

And then last question. There was one slide, Tufan, late in your presentation where you -- if I read that chart as correct, you suggest that SMR will be as big or larger than Defence in 2040, can I just sense check that as a statement?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. So I'll answer that and your capital frame question, Helen will answer. But so it can be, right? I mean, it can be. If you actually think about it, the reality is, I always start with big picture. Does that actually make sense, right? Whether you are a supply security person or net zero person, SMRs will have to play a big role, definitely in Europe if not the world, but definitely in Europe. Therefore, quite a few Central European countries went there already, as you know. And some of the Scandinavian countries as well.

So I think that big picture is true. I mean I come from energy industry. I can tell you this -- you don't want to go to net zero with solar and wind because it will be -- with the energy storage technology in the world available, that will be a disaster solution for any country goes there with solar and wind if -- with the current technology, unless you put a gas-powered backup system, which will be a lot more expensive than SMR, right? So when I say, SMR, big picture, it makes sense. It is a competitive electricity.

If you take into account, you are going to do like gas with CCUS, then SMR will be cheaper. Electricity cost, I'm talking about. All solar and wind with a backup system, again, SMR will be cheaper. So therefore, big picture, it makes sense. Competitively, it makes sense. Therefore, it can grow quickly, absolutely.

So I'm not going to speculate sort of -- because those numbers -- the point of that chart, there is lots of underpinning. They are not as robust numbers as our midterm targets, by the way. So there is a qualification there in that sense.

But over to you.

Helen McCabe

CFO & Director

Fantastic. So thanks for the question, [Ian,] and you do have a good memory, as I've come to expect from you. So net cash. As I said, we're comfortable working from that net cash position, particularly in the near term. We're back to investment-grade rating. We would like to actually get to a strong investment-grade rating. So if you think about what that equates to, it would be commensurate with the leverage of up to 1% and 1.5%. So we could go up to that point. But we would obviously be very deliberate if we did that. It would need to be for the right opportunity, which we would assess against our very strict criteria around strategic fit and how that drives shareholder value. And I think just worth saying, in case it was in the back of your mind, we don't have any intent of leveraging up for buybacks.

M. Tufan Erginbilgic
CEO & Executive Director

Thanks, Helen. Yes?

Nick Cunningham
Agency Partners LLP

Nick Cunningham from Agency Partners. A little bit of a detailed one and then perhaps a very general one. The supply chain charges that you took, I think, GBP 382 million in Civil. I just wonder what exactly those are. Are they your best guess of the impact on the cost to complete on the existing contract portfolio? And therefore, do they not recur? Or are they sort of in-year cost? So that's the first question.

And the second much more general one. The cash flow, both in the year you just reported and looking forward, it's very pleasing, particularly because I didn't actually believe my own forecast, but they are roughly there. That does have the effect of making cash pile up very rapidly and in very substantial quantities. So that really obviously opens up those strategic opportunities. In the broader sense, because obviously you don't want to open too much, but in the broader sense, where do those opportunities lie in sort of general within your existing segments or in nuclear or whatever? Anything you can say would be interesting.

M. Tufan Erginbilgic
CEO & Executive Director

So Helen, do you want to pick up both of them? And I may add sort of where I see in the big picture opportunities bit.

Helen McCabe
CFO & Director

Fantastic. So thanks, Nick. So as you see, charging the supply chain of just under [GBP 400 million,] that reflects our best estimate based on supply chain situation at the minute. The way that long-term contract accounting works, if you've got onerous contracts, then that impact that you see, you've actually take all and year. So that's how you should think about that. In relation to what's driving that, I mean, it's very consistent with what we spoke about in the past, particularly parts supply availability, casting, forging. As we said, we expect the supply chain to remain a challenge for the next 12 to 18 months. But that's how you should hold it. That's our best view at the minute.

In relation to cash flow, and you said that pileup. I think it gets back to some of the questions earlier. We've got a clear capital frame as to how we all think about decisions, about what we do with the cash balances and how we strike that balance between the strong balance sheet. You've heard how we want to get to strong investment-grade rating. We've got a clear dividend policy. We started at 30%. We expect to be in the middle of that range going forward. Not only is that an increase, but as our earnings grow, if you're doing a payout ratio, the dividend will also grow as a result of that. And then we've got clear guide rails as to how we will assess opportunities, organic, inorganic, which I think Tufan wants to speak about, or additional distributions, which could include share buybacks, but it's a good place to be operating from, yes.

M. Tufan Erginbilgic
CEO & Executive Director

I think, I mean Helen said it. A couple of things. First of all, that forecast, it's great to hear. We are forecasting the same way. But I think that forecast already includes what we want to invest in anyway, okay? So therefore up. Therefore, I'm going to take your question like where are the big opportunities rather than where do you want to invest because we are already investing. We increased the net investment, therefore.

Frankly, we are in a privileged situation. I think a part of it, where we operate, a part of it, the opportunities we created for ourselves, frankly. And there is a growth potential, obviously, in Civil Aerospace, where we are highly differentiated and that can be narrowbody, widebody. But UltraFan Ultrafan investments, for example, in our forecast, obviously, right, you should think that way. So time on wing, 1 billion will expire by that time as we talked about.

SMR, at this point, SMR will not actually require big investment. It will grow. Only thing what Helen said is -- and Power Systems, one point I'm going to make just to point out. Power System, capital and research and development right now, highest in their history, 100 plus years. That should tell you how we're thinking about it. There is a growth potential that's immense, but that's immense with proper returns, right? So there is lots of rigor, there is lots of challenge, but there is never hold back. That's why I'm not talking about in '28. Today, their CapEx and R&D is the highest on record for Power Systems because -- why? Because there is so much data center-driven growth opportunity that -- and some governmental, frankly, that we want to actually benefit from.

So we have -- only thing I'm going to talk about because we are already investing, only thing I can talk to you about, where the sort of -- it can come from any of our businesses because if we had low return business, low-margin business, frankly, we are already getting out of them. So therefore, that opportunity, organic or inorganic may come from many places, and we will evaluate the way Helen talked about.

Jeremy, do we have digital question or do you have a question?

Jeremy Bragg

Not my question. So there's a couple of questions here. Maybe we could finish on these. And one is, what do you consider the impact of potential tariffs to be in the U.S.?

And the second one, which I think you'll like, Tufan, is, when do you expect a decision on SMRs from the U.K. government?

M. Tufan Erginbilgic

CEO & Executive Director

I always like that. So I think tariffs first. We have done lots of work as you can expect. Frankly, I will say this. All the tariffs already announced, there is limited impact for us. And what else may come, obviously, I'm not going to speculate here. But I'm going to say the following. Our mindset and the processes we are putting in place, some of it being very proactive to mitigate the impacts. And because we want to run a company, that's part of -- I talked to you about distinctive performance culture. This is actually one of the principles there. How do you create response capability, mindset and capability because mindset is important. So that's my tariff answer.

I think that's GBN question. I mean it has been delayed, obviously. But we expect in 2Q, probably towards the end of 2Q GBN to come and select technologies and so on.

But here is the good news. So again, this should give you an insight to how we run the business. We actually -- we didn't want to sort of bet on one thing for the whole business. Therefore, we went out there, work with other countries and develop options so that we can actually unlock SMR potential. And CEZ deal is a highly strategic deal effectively does that. So therefore, we are not sitting here and saying, "wow, we got 800 people, we don't know what to do with it." No. There are actually, as we speak, working with CEZ on the first site already because CEZ already identified the first site. In fact, CEZ's CEO is actually coming here early March to meet me, et cetera.

So my big point is, yes, that process is very important for us. I argue, very important for U.K. because I said it publicly and privately, these new technologies come in. Offshore wind, I was in energy industry when that came. Frankly, U.K. didn't move fast enough and lost to first-mover advantage, and therefore, lost opportunity to develop wind supply chain in the U.K. It was developed elsewhere, and it will never come back. Right now, we have a leading SMR in the U.K. This is a perfect opportunity to create U.K. supply chain in the U.K. with the first mover advantage because, frankly, our mid-tier capability is unique in the world. I may have said it before. I don't know how it resonates with you.

There is -- let me spell it. There is no other private company in the world with our nuclear capabilities. I actually tell the nuclear team, if we are not market leader in SMRs and micro reactors, we made a mistake in going after that because we should be natural leaders in that space given our unique capability. So that's my GBN answer, always long answer for GBN.

Any other questions?

I think we are going to close. Thanks for coming. Thanks for great questions as usual. We are making progress. Hopefully, you agree with that. We actually expanded the earnings and cash potential of the business. But more importantly, our future mid-term targets already underpinned to a great extent by the actions we have taken. For example, 80% time on wing, we know that, otherwise, we wouldn't share with you other 40%, right? So there is no technology risk there, for example. So that's what I mean. So I think that's what we are on to. And we talked about beyond midterm because we are excited by it. Thanks again. Have a great day.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2024 Earnings Call Transcripts

Thursday, August 01, 2024 9:30 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2024-	-FH2 2024-	-FY 2024-	-FY 2025-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.07	0.08	0.15	0.18
Revenue (mm)	7860.53	9057.38	17096.00	18249.03

Currency: GBP
Consensus as of Aug-01-2024 8:23 AM GMT

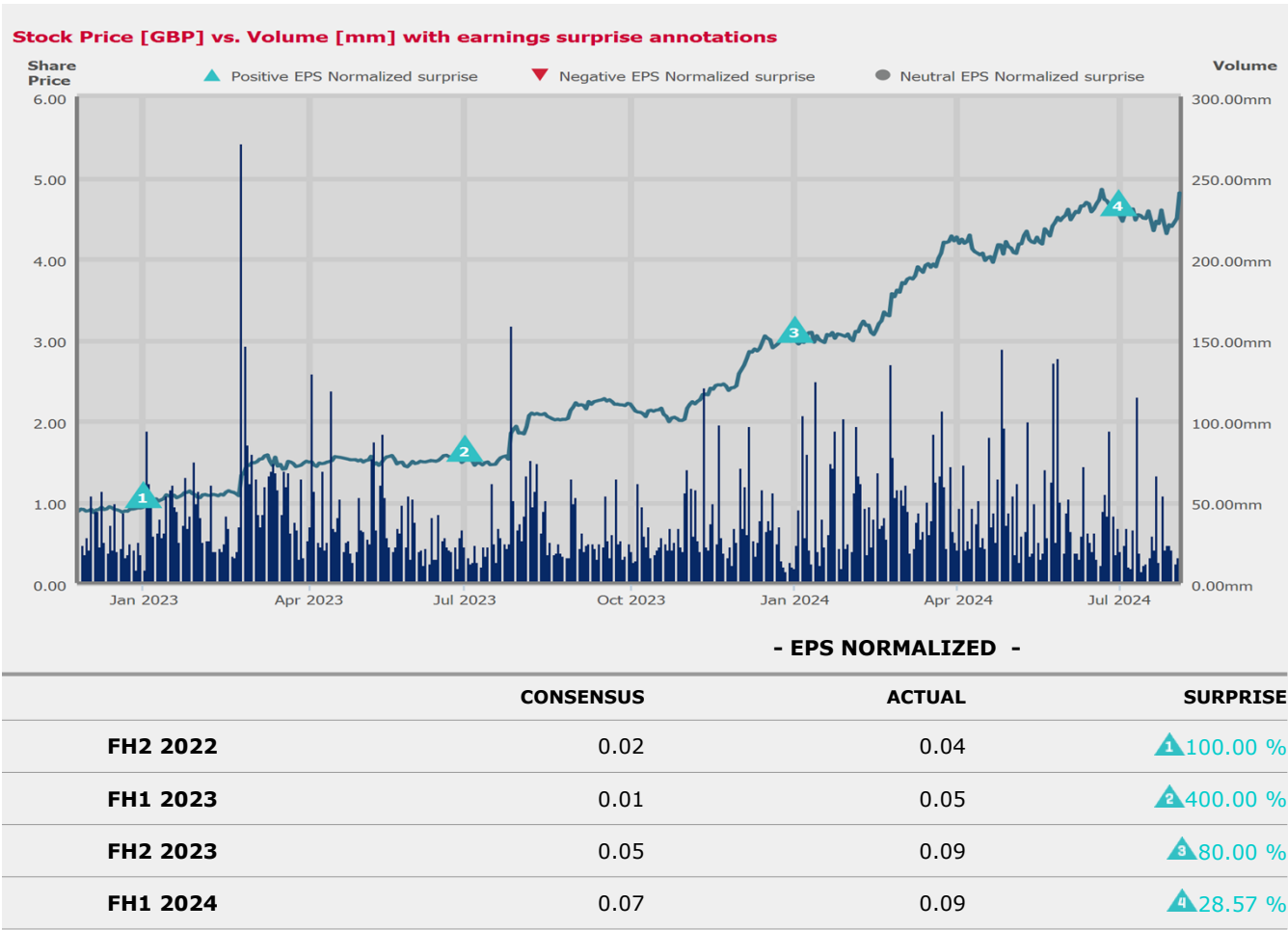


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Call Participants

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Presentation

Jeremy Bragg

Good morning, everyone, and welcome to our half year 2024 results presentation. My name is Jeremy Bragg, I'm Head of Investor Relations, and I'm joined here today by our CEO, Tufan Erginbilgic; and our CFO, Helen McCabe.

So before we start today's presentation, I'm required to show you our safe harbor statement on Slide 2. As always, the full set of results materials can be downloaded from the Investor Relations section of our website.

We're going to start today with an update on our financial performance and strategic progress from Tufan before Helen goes into more details on our 2024 half year results. Tufan will then close the presentation with our guidance and investment proposition. After the presentation, there will be time for questions from the room and from our audience online. [Operator Instructions].

So with that, I'll hand over to Tufan. Thank you.

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, Jeremy. Good morning, everyone. Our transformation aims to build a sustainably distinctive Rolls-Royce that is high-performing, competitive, resilient and growing with improving profitability and cash flow generation and a strong balance sheet and growing shareholder returns.

Operational excellence and the safety of our people and our products is our very first priority. We put safety and quality at the heart of everything we do. It is a responsibility every employee in the company carries. Our strategic initiatives aim to improve operational effectiveness and deliver best-in-class customer service.

We are significantly expanding the earnings and cash potential of the group despite challenges associated with the supply chain. We have made a strong start to the year, delivering a significant year-on-year improvement in operating profit and free cash flow across all 3 core divisions.

The strong start was driven by our strategic initiatives, notably commercial optimization and cost efficiencies. This continued strong progress gives us confidence to raise our guidance for 2024, both for operating profit and free cash flow, which I will come back to later.

We are unlocking the potential of the business and are on track to deliver our midterm targets. We are focusing on strategic progress of the business with a relentless efforts to make it better every day. Consistent with my previous transformations, we are seeing a front-end loaded strategic delivery.

As we have stated before, if we can achieve our midterm targets before 2027, then we will. We have also made good progress strengthening our balance sheet and building cash flow resilience. This progress allows us to announce today that we will reinstate shareholder distributions for full year 2024 results. This will be based on a 30% payout ratio of underlying profit after tax for the full year 2024. Helen will talk to you about this in more detail.

Let's look at our financial performance in the period. Operating profit of GBP 1.1 billion was 74% higher than last year. Our operating margin of 14% was 4.4 percentage point higher than last year. All 3 core businesses contributed to this higher operating profit. I would like to highlight some of the key drivers.

First, in Civil Aerospace, aftermarket profit was driven by higher LTSA margins and increased number of large engine shop visits. Our LTSA margins increased for all engine types, except the Trent 1000, which we expect to improve in the second half.

Business Aviation also delivered a strong performance improvement, which builds on the doubling of profit we delivered last year.

Second. Contractual margin improvements reflect improved commercial terms and lower costs across our large engine and business aviation contracts. These are underlying business improvements that result in higher immediate or future cash flows.

Third. Strong profit growth in defense, driven by improved aftermarket performance in transport and combat and growth in submarine.

And fourth. Profitable growth in Power Systems, driven by our data center growth. The actions we have taken to significantly improve the business model in power generation driving commercial optimization and cost efficiencies mean that we have been able to increasingly benefit from the attractive market growth in data centers.

In addition, across all businesses, our efficiency and simplification actions have helped mitigate the impact of inflation in the period. Free cash flow was GBP 1.2 billion versus GBP 0.4 billion in first half 2023. This was driven by higher operating profit and continued LTSA balance growth as we continue to grow our EFH rate through our commercial optimization efforts.

Lastly, return on capital improved materially to 13.8% and represents significant value creation. Our strong financial delivery in the first half further increases our confidence in full year delivery. And this strong delivery was achieved despite prolonged supply chain headwinds, in particular, a lack of availability of parts, which is causing delays to OE deliveries and shop visits.

The supply chain is an industry-wide issue, but we are proactively and relentlessly managing these challenges to mitigate their impact. We have established a new procurement and supply chain organization with an increased focus on achieving world-class capability. This includes the appointment of a Group Chief Procurement Officer with extensive industry experience.

We continue to work very closely with our suppliers to make sure we've got products in the right place at the right time. And where we need it, we have embedded our teams to support specific suppliers.

Our focus is on 15 suppliers whose delivery performance requires focused interventions. Additionally, we have a group of 26 suppliers in our high-performing supplier group as we look to focus our activities with high-performing suppliers where necessary.

We also created a dedicated multidisciplinary agile team focused solely on resolving part supply issues. We continue to make substantial progress against each of the 4 pillars of our strategy: portfolio choices, strategic initiatives, efficiency and simplification, lower carbon and digitalization.

First, portfolio choices and partnerships. In Business Aviation, deliveries are ramping up of the Pearl 700 engine for the Gulfstream G700 business jet, which entered service in April. We delivered 83 Pearl engines in the first half of 2024. Our commercial optimization actions means that Business aviation engine deliveries are now mostly profitable. We also invested to grow our capacity in Darby and Dahlewitz, which will allow us to deliver around 40% additional new engines per year from 2025 compared to 2023 and support rising aftermarket volumes.

Moving to the second pillar. Let me talk about a few other things here on the first pillar, by the way. So in line with our strategy, we also completed, in the first pillar on the divestments, sale of Direct Air Capture business. And yesterday, we completed the sale of off-highway engines business in the lower power range in Power Systems.

Now talking about Second pillar, Advantaged Businesses and strategic initiatives. In Civil Aerospace, the Trent XWB-97 was our best-selling engine with 108 new orders placed in the first half of the year. Our time-on-wing initiatives are progressing well. Here, we are investing GBP 1 billion to improve the time-on-wing of our modern engines by 40%. This includes doubling the time-on-wing of the XWB-97 in nonbenign environments.

Flight testing of Trent 1000 HPT blade is progressing well. Actually, just yesterday, we did the first flight test very successfully. I can now declare that I got the news from West Coast. So it was very successful, 1 hour, 15 minutes flight test, and that will continue 8 weeks right now. So -- but it is progressing well.

We expect the improved HPT blade for the certified by the FAA later this year. This part will more than double the time-on-wing of the Trent 1000 engine and is already in service in 50% of the Trent 7000 fleet.

We have progressed the design of further improvements for Trent 1000 and 7000 engines. This will deliver an incremental 25%, 30% improvement in time-on-wing by the end of 2025. Manufacture of these engine components is already well underway for engine testing.

We have also tested improvements for the Trent XWB-84 that will further improve the fuel burn efficiency of the best-in-class engine. Certification for these improvements will be achieved later this year and for entering into service in 2025.

In our large engine LTSA business, we delivered contractual margin improvements of GBP 431 million. This reflects continued progress, renegotiating onerous contracts in widebody as well as catch-ups in both widebody and business aviation, driven by price escalation and cost reductions on key platforms.

In defense, we are proud to be partnered with prime contractors, Sierra Nevada Corporation to provide engines for the U.S. Air Force Survivable Airborne Operations Center Program. This is another great win in defense, and we expect the order to have a near-term benefit to earnings. And in submarines, we started to work on August.

In power generation, we have improved the business model, which means that we are capturing profitable growth from our strong position in the fast-growing market for data centers.

Next, efficiency and simplification. Our new organizational design came into effect as of 1 June '24. This is about being a simpler, more agile and less top-heavy organization. An organization with clear accountabilities to make decisions at pace, where we can also leverage synergies across the group.

We are redesigning our tools and processes and changing our ways of working and behaviors to enable our organization to be simpler, more efficient and more effective. In total, we expect our efficiency and simplification program to deliver more than GBP 250 million of cumulative benefits by the end of this year, on track to deliver our targeted total annualized savings of GBP 400 million to GBP 500 million by the midterm. Within that, organizational design remains on track to deliver benefits of GBP 200 million by the end of 2025.

Next, procurement. By the end of this year, we expect to deliver around GBP 500 million of cumulative third-party cost savings. We remain on track to deliver our target of GBP 1 billion of gross third-party cost savings by the midterm, which will partly mitigate supply chain inflation.

Supporting this is a zero-based budgeting. Pilots in civil aerospace have been successfully completed and confirmed our expectation of 10% to 15% savings in third party cost through this approach. We are now in the process of rolling out zero-based budgeting across the group. This is something that Helen and I have used extensively in the past, and we have found it to be very, very effective.

Finally, Lower Carbon and Digitally Enabled. We have secured partial funding from the German government as part of a consortium to develop the necessary technologies for a highly efficient hydrogen reciprocal engine to drive combined heat and power systems.

In SMRs, Rolls-Royce is 1 of the 2 companies that have been shortlisted by Vattenfall, the Swedish power company, competing to potentially deploy a fleet of small marginal reactors in Sweden. The program is part of Vattenfall's plans to meet the rising demand for electricity, adding nuclear capacity and helping Sweden achieve its goal of creating a fossil-free economy by 2045.

In Power Systems, we won some major battery storage systems contracts. These include a contract to help ensure the stability of the power grid in Latvia through the installation of one of the largest battery storage systems in the EU.

It will have an output of 80 megawatts and a storage capacity of 160 megawatts hours.

Turning to Digital. We are now using machine learning and advanced imaging technologies to inspect turbine blades. By using this technology, in conjunction with our understanding of how each blade has

been operated in service. We have been able to remove uncertainty around our planning assumptions for blade replacements for individual engines.

This results in a faster, more consistent blade inspection process that is reducing costs and extending the time-on-wing of critical engine components. It also provides vital in-service condition information that feeds back to our design and manufacturing engineering teams, underpinning current and future product enhancements.

What I shared are just some of the highlights of what we delivered in the first half of the year. They help demonstrate that our transformation is being delivered by multiple initiatives and actions coming together successfully in order to build a sustainably distinctive business.

I will now pass to Helen to take you through the results in more detail and how we are building resilience and our shareholder distribution policy.

Helen McCabe
CFO & Director

Thank you, Tufan. Good morning, everyone. Now let's look at half year performance in more detail. First, I will take you through the key financials for the group and by division, and then how we are continuing to improve the resilience of Rolls-Royce and maintain a strong balance sheet; and finally, our new shareholder distribution policy.

So let's start with the results. They are strong, double-digit growth across revenue, profit and cash flow. The balance sheet is also being strengthened. The results show that we are running the business very differently with a focus on high-quality and sustainable earnings and cash flow growth.

Group revenues grew by 19% to GBP 8.2 billion, with good end market growth across all divisions. Group operating profit grew by 74% to GBP 1.1 billion. Operating margin increased by 4.4 percentage points to 14%, again, with strong growth across all divisions.

Free cash flow increased to GBP 1.2 billion, more than triple that over the same period in 2023. Cash flow generation in the period meant we reduced net debt to GBP 822 million compared to GBP 2 billion at the end of 2023. To put that in perspective, that is our lowest net debt position in more than 5 years.

Lastly, return on capital rose to 13.8% for the rolling 12 months, which represents significant value creation. This was driven by higher operating profit and margin, focused capital allocation and disciplined working capital management. A very strong set of results with every part of the organization leaning in to deliver.

Now the detailed by division, starting with Civil Aerospace. Civil Aerospace delivered the largest year-on-year improvement. The highlights include: operating profit grew to GBP 740 million, an increase of 85% compared to last year. Operating margins grew to 18%, a 5.6% increase compared to last year.

Revenues grew to GBP 4.1 billion, an increase of 27%, driven by higher shop visits, OE deliveries and commercial optimization. OE deliveries grew by 26% to 236. This was achieved despite the supply chain environment. Of the 236, 120 were large engines, of which 21 were spares.

Business Aviation deliveries were 116, of which, as Tufan mentioned, 83 were Pearl deliveries. And total shop visits grew by 6% to 624. Of these, 195 were large engine major shop visits. This compares to 144 last year.

Now operating profit in more detail. Four key factors drove the 85% increase. First, higher large engine aftermarket profits. The LTSA aftermarket profit grew as a result of higher average LTSA across almost all engines, combined with an increased number of shop visits. In addition, time and materials profit increased, driven by our commercial actions.

Second, stronger business aviation profitability. This was in both OE and aftermarket. In OE, deliveries grew by 59% to 160, and they were mostly delivered at positive margins. In aftermarket business aviation and regional shop visits grew by 7% to 211, which were also done at higher margins.

Third, cost efficiencies. Our actions supported lower year-on-year indirect costs despite continued inflationary pressure.

And fourth, contractual margin improvements. Net contractual margin improvements were GBP 223 million. This compares to GBP 105 million in H1 '23. The GBP 223 million comprises a benefit of GBP 216 million from catch-ups and a GBP 7 million improvement in onerous contracts.

But let me unpack that for you. In large engines, we continue to renegotiate and find win-win solutions with our customers. And in both large engines and business aviation, we saw a benefit from catch-ups, driven by, for example, our focus on life cycle cost reductions and price escalation.

In total, all of this contributed to a gross benefit of GBP 431 million. However, there were some offsets, an additional charge of GBP 208 million was taken across both onerous and catch-ups, largely due to prolonged supply chain challenges.

You've already heard from Tufan how the supply chain remains a challenge. We are very proactively managing this across every level of the organization. We are laser-focused on it.

Now turning to cash. Civil Aerospace delivered a trading cash flow of over GBP 1 billion compared to GBP 400 million in the prior period. Cash delivery was driven by higher operating profit and continued net LTSA balance growth.

This was supported by a 22% increase in large engine flying hours, bringing them to 101% of 2019 levels and a higher normalized engine flying hour rate. Expectations for the second half of the year. We expect a lower operating margin in Civil due to a higher number of OE deliveries and aftermarket shop visit mix, notably an increased number of Trent 1000 major refurbs.

Defense, another strong performance, reflecting the benefits of our strategic initiatives, particularly our commercial optimization and cost efficiency actions. Operating profit grew to GBP 345 million, an increase of 34% year-on-year.

Operating margin grew to 15.5%, a 1.9 percentage point increase. Order intake for the period was GBP 1.7 billion, with a book-to-bill ratio of 0.8x and an order backlog of GBP 8.5 billion.

Order cover for the remainder of the year stands at nearly 100%. Revenue grew by 18% to GBP 2.2 billion. This was led by submarines and combat, which both reported double-digit growth. Most revenue growth come from services, which grew 27% year-on-year. It's worth noting that defense revenue growth included a benefit due to a change in a submarine contract.

Excluding this, revenue growth was a very healthy 8% for the division. The year-on-year improvement in operating profit was driven by 3 key factors: first, strong aftermarket profit in both combat and transport, including a more favorable mix and improved pricing.

Second, submarines growth, which was very strong, reflecting the ramp-up of programs, including focus. And third, cost efficiencies, including an increase in customer-funded R&D as work ramps up on key programs that will drive decades of growth, notably AUKUS, B-52, FLRAA and GCAP.

Defense's cash flow increased to GBP 234 million. Cash delivery was driven by operating profit and an improved working capital performance. In the second half, we expect a lower operating margin, reflecting the impact of aftermarket mix and increased OE deliveries.

Power Systems also delivered a strong result. The significant year-on-year improvement was driven by our actions on pricing and costs. Operating profit grew to GBP 189 million, a 56% increase. Operating margin increased to 10.3%, an increase of 3.3 percentage points.

Order intake was GBP 2.4 billion, with a book-to-bill ratio of 1.3x. Order cover for the remainder of 2024 is greater than 100% and 44% for 2025. Demand remains strong, particularly in power generation, where we saw increased demand from data centers for backup power units and in governmental where we saw growth in land defense.

Revenues grew by 6% to GBP 1.8 billion. OE revenues grew by 10%, with service revenues broadly flat. Power generation and governmental reported the highest growth, 15% and 12%, respectively. Power generation remains an exciting opportunity, now representing more than 40% of Power Systems total revenue.

Operating profit growth was primarily driven by 2 factors: Commercial optimization, we saw the benefits from the actions we have taken on pricing in all subsegments with power generation being the standout. And cost efficiency actions. The team continued the good work in this area with their focused actions helping to mitigate the impact of inflation.

Cash flow increased to GBP 121 million. It was driven by higher operating profit and working capital continuing to be tightly managed. And as we typically see with Power Systems, which is more seasonal, we expect a stronger profit and margins in the second half of the year. So a very strong performance across all 3 core divisions, we are delivering as one Rolls Royce.

Now let's move to the funds flow. We delivered almost GBP 1.2 billion of free cash flow in the first half, GBP 800 million higher than in the same period last year, a record delivery for our first half year. The principal drivers of free cash flow growth was increased operating profit, which grew by GBP 476 million.

Other factors included: net investments of GBP 41 million, notable investments in Civil Aerospace in the first half included time-on-wing improvements, particularly on the Trent XWB-97 and further investments in our Pearl engines. In defense, we invested in test facilities in Indianapolis. And in Power Systems, we further invested in our new engine to replace the 4000 engine.

Civil net LTSA balance. This was broadly similar to last year at GBP 544 million. Engine flying hour growth and a higher normalized engine flying hour rate were partially offset by an increase in the number of shop visits.

And then working capital. As you know, this is a key focus area, and we continue to make good progress. Our working capital outflow was lower than in the same period in 2023, even as we supported business growth and dealt with the supply chain. Inventory and debtor days both improved year-on-year.

Then over hedge costs, as expected, were materially lower year-on-year. Net interest costs fell significantly by GBP 66 million, reflecting our improved cash position.

And finally, cash tax costs rose to GBP 113 million due to timing differences compared to payments made last year. Turning to the full year. We continue to expect the net LTSA balance growth to be towards the lower end of the range of GBP 0.8 billion to GBP 1.2 billion, as shop visits ramp up in the second half of the year, notably, as I mentioned, on Trent 1000 refurb.

We expect continued progress on working capital with the release of working capital in the second half and over hedge costs to remain at GBP 146 million, as previously guided. We now expect net interest to be around GBP 100 million lower year-on-year and cash tax to be GBP 150 million higher year-on-year.

Fourth, reflecting the impact of our stronger profit and cash delivery. These details are set out in our supplementary slides. One of my key priorities I set out at Capital Markets Day was the need to improve resilience and strengthen the balance sheet.

You can see from the results today that we are becoming a more resilient business with reduced operating leverage, a stronger balance sheet and improved returns. Look at our total cash cost to gross margin ratio, or TCC to GM, which is shown on the left. It shows an improvement 0.49x, already at the upper end of our midterm target range of 0.4 to 0.5.

This has been driven by 2 key focus areas: cost efficiency and commercial optimization. Our TCC to GM ratio is now almost half of what it was in 2019. It is approaching best-in-class.

We are also building resilience by strengthening the balance sheet. We reduced gross debt, excluding leases, to GBP 3.6 billion by repaying a 550 million Eurobond in May, and we canceled the last remaining U.K. EF supported undrawn loan facility.

Net debt fell to GBP 0.8 billion from GBP 2 billion at the end of '23. Our net debt-to-EBITDA ratio now stands at 0.3x, which compares to 0.8x at the end of 2023. Our liquidity position remains strong at GBP 6.8 billion. Our work has been recognized by the credit rating agencies. 2 of 3, Fitch and S&P Global, now rate us as investment grade and all 3 have us on a positive outlook.

We are building stronger foundations. We are creating a more resilient business. We remain committed to maintaining a strong balance sheet. Tufan and I have been consistently clear on this. As we set out at the CMD, our capital frame is focused on 3 clear priorities: a strong balance sheet, a commitment to regular and growing shareholder distributions and a disciplined approach to further investments, which could include additional distributions.

We have made strong progress and are now confident that the strength of the balance sheet is being sustainably improved. We intend to achieve and maintain a strong investment-grade rating and robust liquidity levels.

Today, we are pleased to announce that we will be reinstating regular and sustainable shareholder distributions, starting in respect of the full year 2024 results. A regular shareholder distribution will be based on an earnings payout ratio with a policy to distribute 30% to 40% of underlying profit after tax.

We will start at 30% in respect of the full year 2024. We have assumed an effective tax rate in the mid-20s. And over the midterm, we expect to be broadly in the middle of the 30% to 40% payout range. This is a competitive payout ratio for our industry.

And as our earnings grow, so too will our distributions. We have consistently said safety expenditure will always be our top priority. And as we continue to invest in the business to deliver earnings and cash flow growth to the midterm and beyond, we will be disciplined. All investments are assessed against the lenses of strategic fit and shareholder value.

This includes any incremental investments, which could be organic or inorganic. We have strict investment hurdle rates in the mid- to high teens for our 3 established divisions and a group-wide investment committee. It's a rigorous process.

Alongside incremental investments, we will also consider the relative merits of further distributions to shareholders, which could include share buybacks.

To close, we have delivered strong first half results against all key metrics. We are continuing to build resilience. We are becoming a stronger Rolls-Royce. We are ambitious. There is still more we want and need to do. We will remain focused and deliberate. And we are excited about the potential that lies ahead.

With that, let me pass you back to Tufan, who will talk you through our updated guidance.

M. Tufan Erginbilgic

CEO & Executive Director

Okay. Thanks, Helen. Hopefully, now you're convinced it's a strong set of results. As we can see from our results, we are expanding the profit and cash potential of the business and significantly improving the quality of earnings, despite significant challenges from the supply chain.

We are managing the business very differently, focusing on sustainable and quality profit and cash flow growth. All 4 pillars of our strategy are critical to our success. We are executing on a granular plan with clear strategic purpose and rigorous performance management.

Now turning to our guidance for 2024. Following a strong first half delivery, we are raising our guidance for the full year. We now expect operating profit of GBP 2.1 billion, GBP 2.3 billion. This compares to our previous operating profit guidance of GBP 1.7 billion to GBP 2 billion.

For free cash flow, we now expect GBP 2.1 billion to GBP 2.2 billion. This is higher than our previous free cash flow guidance of GBP 1.7 billion to GBP 1.9 billion, despite the GBP 150 million to GBP 200 million charge associated with the supply chain.

We are actively working to mitigate these headwinds, but we anticipate the supply chain to remain challenging for another 18 to 24 months. As the supply chain stabilizes, the benefits of our transformation program will be even more visible.

In Civil Aerospace, we maintain our guidance on EFH growth, OE deliveries and shop visits. By the end of 2024, based on our updated guidance, we will have delivered more than 75% of our midterm profit improvement and more than 65% of our targeted free cash flow improvement.

We have seen fast progress in the first years of our transformation due to our actions. This front-end loaded financial delivery is consistent with my prior turnarounds and should provide further confidence in our midterm targets. We are on track to deliver these in 2027, and if we can achieve them earlier, we will.

Let me summarize. We made great progress on our ambitious transformation plan and delivering the Rolls-Royce proposition. We are becoming a high-performing, competitive and resilient business with growing sustainable cash flows, shareholder returns and strong balance sheet.

Among all this, safety and quality are our top priorities and at the core of our business. Our transformation is progressing at pace and with intensity. Our strong first half results give us confidence to raise our full year guidance for both operating profit and free cash flow.

We are well on track to deliver the improvements in profit and cash flow set out in our midterm targets. We have always stated that our midterm targets are a milestone. The investments we are making today along with our strategic actions will also result in attractive profit and cash flow growth beyond the midterm.

I am truly excited by Rolls-Royce's long-term outlook. All these mean we are in a position to reinstate shareholder distributions for full year 2024 results, an important moment in the Rolls-Royce transformation and [Indiscernible] our Rolls-Royce's proposition.

We have achieved a lot, but there is more to do. We have a granular strategy, which aligns the whole organization. Strategic initiatives are owned and actioned with clear accountabilities. Everybody knows their role, what they must deliver and their part in our transformation. I am incredibly proud of how our employees are working relentlessly to reach our ambition to create a sustainably distinctive business. I would like to thank them for their hard work and the impact they make. It is their energy and commitment that is making the difference.

Before I open to questions, I would like to take a moment to thank Isabel for her dedication and contribution to Rolls-Royce over the last 5 years as the Head of Investor Relations. This is her last set of results, and we wish her luck for the future.

I was going to also announce Jeremy, but he announced himself. So I should just sort of -- that says something, he's always one step ahead of me. So Jeremy, Jeremy is obviously taking over as the Head of Investor Relations, and we have full confidence, obviously, in him, and I wish him all the success in his new role.

With that, we are going to open it to questions.

Question and Answer

David Howard Perry

JPMorgan Chase & Co, Research Division

Okay. Yes, David Perry from JPMorgan. Can I also just wish Isabel all the best? She went through some tough times, and seeing the good times now. So first question, a very high level. On the medium-term guidance you conveyed in your presentation, you are really on track, probably ahead of plan.

So just wondering what is it that's stopping you formally raising the targets or officially pulling forward what you define as the midterm? Then just being a little bit more detailed. I thought I'd ask one on Power Systems.

I just thought the growth there might have been a little bit stronger. So could you just unpick a little bit some of the things. So exactly how much is pure, pure data centers and maybe talk to the bits that were down?

And then last one for Helen, if I may. On working cap, just so minus GBP 228 million in H1. Can you just say what you think that number will be for the full year, neutral or positive?

M. Tufan Erginbilgic

CEO & Executive Director

Good questions. I'll take first and Helen will take the working capital question. So I think, David, you are absolutely right, we are definitely making good progress. And actually expanding the earnings and cash potential of this business in an accelerated way. And what is really behind that?

You need to understand how we run the business and what's the mindset behind that. We are not chasing a bunch of numbers, but actually making the sort of strategic progress is our focus. What does that mean? It is -- it means actually making the business better every day and that is what we are incentivizing with the teams as well.

And that strategic progress -- and if you actually think about combined that mindset with clear programs, very clear programs and you run them at pace and with intensity, suddenly accelerate delivery comps. And that's what you are looking at.

Because of that reason, though, it won't be linear. I mean I said it earlier as well. Actually, I've seen this movie before. Almost -- I was actually one dark night, I was sort of stepping back and thinking, what's going on here? It was going on exactly almost identical picture in terms of how front-end delivery was happening.

Therefore, it won't be linear. I know that. And -- but front-end delivery obviously derisk, I would argue, our midterm target delivery. And that's a good thing definitely. And I said it in my speech that, frankly, we will keep going with strategic progress. If we can achieve the targets before '27, we will.

Last point I'm going to make is, we always said '27 targets are a milestone. Although if I remind you how we set those targets, we actually said we are going to create high-performing competitive resilient growing business, effectively with external benchmarking, we converted them to financial targets, right? That's how we did it. So when we get there, it is going to be very competitive and resilient business, and Helen was talking about resilience earlier.

So I think -- but there are milestones. Given the things we are doing, I can actually go division by division, make it, I won't unless there is a question. But I can illustrate to you why what we are doing right now is creating more profitable growth even beyond midterm.

So your second question on Power Systems, great observation. I agree with you, 6% is not -- but as you know, David, the Power Systems have multiple subsegments in it. And the answer is -- so I'm going to

unpick it for you, hopefully. So within that, already Helen said around 40% of our revenue comes from Power Gen.

Power Gen growth was actually 15% within that, okay? Given the order intake I see right now, order intakes year-on-year in Power Gen from data centers, growing more than 40%, I actually believe that may accelerate that growth. But in first half results, it is 15%.

If you actually only look at data center portion of Power's generation, it is actually 17%. Governmental growth is also good, around 12%, but there are marine. We did -- we had a good growth last year, benchmark against that was tough.

Marine is a little bit flat year-on-year. And Industrial, mainly the business we just completed to sell. Now you know why we are selling it, but it actually shrank. So it went backwards, so -- in the first half. So -- because frankly, the reason we sold it, it was at differentiated enough business for us. Hopefully, that answers first 2 questions. Over to you.

Helen McCabe

CFO & Director

Thanks, Tufan. Thanks, David. So as you see, working capital, we did see a build in the first half of the year. It's worth noting that in that build as we look to make sure that we had particularly inventory in the right place at the right time for a product, we actually still made progress on our working capital initiatives.

That was one of the priorities that we set out at Capital Markets Day. If you look year-on-year inventory days H1 '24 to H1 '23 actually improved by 12 days. Actually, debtor days also improved. In the second half of the year, now that we've got inventory in the right place for our right products, we expect a release of working capital, and we'll continue to see improvements across inventory and debtors.

Just a little bit of context for you. Tufan and I were looking the other day. If we go back to the end of 2022 to where we are now, just to give you a little bit of a feel for what we're doing around building resilience: we've improved inventory days by more than 20 and we improved debtor days by more than 10. Yet that's all sustainable reductions while ensuring that we've got the right capacity and capability to support us in this current environment where the supply chain remains challenged.

So hopefully, that helps, David. Yes, that really expected in the second half across debtors and inventory.

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, Helen. That was one question, then I'll come to...

Nick Cunningham

Agency Partners LLP

Nick Cunningham, Agency Partners. Just picking up on that working capital question and over a sort of longer term. Rolls-Royce has built a lot of working capital over recent years because they had to for the crisis and more recently because of supply chain. But in the CMD, you seem to be emphasizing more cash profits and LTSA net balance build as the cash generator rather than working capital.

But whereas, it seems sort of obvious externally that working capital should be a really big source of cash looking slightly further out. So do we need to get past the crisis in supply chain to be able to release some of that? Can those day numbers sort of get back to where they were pre-COVID, if you like?

And then a second question, which is -- having followed Rolls-Royce for so long, it seems to be an odd one to be asking now. But capital structure, the resumption of the dividend and the sheer quantity of cash that you're generating makes one want to ask about what is the appropriate capital structure for Rolls looking forward?

I mean historically, you might have said, well, you should really be a net cash business in the balance sheet. A bit like Airbus' as well on the basis that it's a very volatile and typical industry. Is that the case? And sort of what sort of balance is an appropriate balance?

And then finally, and apologies for a really nerdy one. But Rolls-Royce has a lot of historical U.K. tax losses. In fact, it wrote-off a chunk of them because it thought it would never recover them. I don't think that's true any longer. So how much tax shelter do you have? And should that keep your average tax rate down below a sort of industry norm? And can you even write some of them back? That's it.

M. Tufan Erginbilgic
CEO & Executive Director

Helen, those are for you. I may add a few points on the second point, but...

Helen McCabe
CFO & Director

Fantastic. Okay. So thank you, Nick. So I've written them down. So tell me if I miss anything. So I think to your first question, working capital. So if I take you back to Capital Markets Day and just remind you of a couple of things that we said there.

So we said at Capital Markets Day that we were looking to -- on a gross basis, we had a program of work to underpin GBP 2 billion of working capital release. Now that was in addition to how we supported the business and grow. So obviously, you need working capital to build for that and to deal with some legacy concession payments. So that GBP 2 billion was in part offset to support growth and address those legacy concession payments.

If I stand back from that and see, well, how we are actually progressing on that GBP 2 billion? We have delivered GBP 0.4 billion off that. And you can clearly see that come through in those metrics that I was sharing with David. Inventory days already have improved by 20% that is not inconsequential while we support the supply chain.

Debtor days have improved by 10. There is more that we want to do, and we will do, but we are making good progress on that. But that's how you hold that working capital question. So hopefully that helps.

In relation to your balance sheet question, I think we have been consistently clear that particularly where Rolls-Royce has come from a historic perspective that our first priority always after safety is making sure that we have a strong balance sheet, a resilient balance sheet, and we maintain that.

And you saw from the slide that I had up that we say we want to have a strong investment grade profile, yes? Now investment-grade profile for some that differs. Some may be say BBB+, so what does that equate to from a net debt-to-EBITDA perspective, 1 to 1.5.

I think to your specific question, where we are at Rolls-Royce at the minute? I would definitely be comfortable running with the level lower than that and 18 months in to a material transformation program, more prudent and to run with the net cash position.

So that's how we'll hold it in the near term and the medium term. And as I said, as I was going through the results, we will always be incredibly clear and disciplined about how we choose where to invest and why, but we will always make sure that the balance sheet is appropriately protected as well. So that's how you should just hold our intent around the balance sheet in the near to the medium term. And you did -- apologies.

M. Tufan Erginbilgic
CEO & Executive Director

On resilience, I'll come from a slightly different perspective. I think balance sheet answer hopefully you got. But I would like you may want to think about Rolls-Royce slightly different than you thought about Rolls-Royce before. So I think the resilience -- resilience has the aspects that Helen talk about.

One aspect of it from a cash generation perspective, if you actually think about, all Rolls-Royce had one division effectively, and it got TCC GM almost 1. So that means every time somebody coughs, sort of you are falling down. So that's one thing.

Second, cash generation was an issue in that division or in general. And therefore, even you didn't need COVID, you need a proper recession, frankly, to be in negative territory. If I take you to even the current Rolls-Royce, not even where we are going to go.

But you effectively have 2 divisions, Defense and Power Systems, I would say, with ratable earnings and cash almost isolate -- I mean, at least to a greater extent, isolated from cyclicalities because one defense, obviously, related to other things. The other one, we just talked about data centers, sort of digital transformation rather than every quarter, there is a recession or something.

In the past, they were there. But in one, you were making 0 money, 0 cash generation -- negative cash generation. So if I were you, I didn't worry about them. But right now even, we are delivering between those 2 more than GBP 1 billion cash. So that cash is not cyclical. That's why -- and then you go to civil, you got this sort of in the first opportunity stumbling, sort of division replaced by a big cash surplus, which creates the cushion.

I mean, looking -- flying hours, we are saying 101%, right? And we upgraded the guidance, and Civil has a lot to do with it. So that should -- that cushion makes it a lot less volatile and TCC GM went from one to almost half, sort of if you think about it, so when you think about volatility, cyclicity, you may want to think about Rolls-Royce differently versus some other peers in the industry.

Helen McCabe
CFO & Director

Thank you, Tufan. So in relation to your final question, so deferred tax. So obviously, as we continue to expand earnings potential, then we do look at the deferred tax balance, both recognized and unrecognized very closely. And if you look at some of the notes to the accounts, you may not have time to do that, Nick, there is a comment in there that in the half year, we have recognized any element of deferred tax and that is something that we'll continue to monitor very closely, and we take a very close view on that. I wouldn't say it was -- it remains prudent, but appropriate. Yes. Thank you.

M. Tufan Erginbilgic
CEO & Executive Director

Thanks, Helen. Ian, do you still have the question?

Ian Douglas-Pennant
UBS Investment Bank, Research Division

Yes. So my question has changed slightly given your last answer. So I have in my head, and apologizes, I don't have my notes with me, so I can't check it, but you used to be talking about a small net debt position being the target capital structure, and that seems to have changed this morning. So given Tufan's comments about this being a different company, I guess, why?

And then second related question, even if you are aiming for a small net debt structure and even if you do start to pay a dividend, as you're targeting, you're still going to be generating more cash than you're using unless you start doing large-scale M&A. Does that mean a buyback is a conceivable outcome or how would you resolve that difference? I'll leave it there.

Helen McCabe
CFO & Director

Yes. So just to clarify, so I mean, at the minute, from net debt to EBITDA, we're at 0.3. Just to be clear, I said in the short term, if you're in a positive position, I'm fine with that 18 months into a material transformation program. I think we've been consistently clear as to how we hold our capital frame, yes, and how we've set that out.

We've always said safety, then we said the balance sheet. We're making good progress on that, you can see from the metrics that we shared with you today. Then we said resumption of shareholder distributions. Today, a nice milestone, I think, in the Rolls-Royce journey announcing after more than 5 years that we will be resuming the distributions.

And then after that, those strategic priorities in those 4 pillars are the frames that Tufan took through. We have a very clear strategic frame, and we will use that to help guide what we do with our capital. So we will always be driven by strategic clarity based on our very detailed and clear strategy. We will then be driven shareholder value, what is the right thing to do there and how we balance the 2 of them.

And we have options and we will look at how we balance those different options between further investments, organic, inorganic or further distributions, which may include share buybacks, but it will always be driven by that clear capital frame and those clear strategic lenses we've been consistently sharing with you.

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, Helen.

Charlotte Anne Keyworth

Barclays Bank PLC, Research Division

I'm Charlotte Keyworth from Barclays. I was going to ask about share buybacks, but I think we've probably exhausted that one there.

M. Tufan Erginbilgic

CEO & Executive Director

Yes, yes. Good conclusion.

Charlotte Anne Keyworth

Barclays Bank PLC, Research Division

Yes. So my first question then was around the Civil margin in H2. So you took a GBP 410 million onerous contract provision last year. And I was surprised to see how little you'd release in the first half. So my question is, if with the shop visits being higher, does that include any assumption of further release from what you're seeing in the second half contributing to the margin? That's the first question.

And then the second one, actually, I was watching your often cheerful LinkedIn post, Tufan, you mentioned SMR. And I saw you were calling on the U.K. government to offer a contract by the end of the year. And I appreciate you've obviously got to the shortlisted position with Sweden. But should we infer anything on that time line in terms of strategic decisions because clearly it's burning cash at the moment.

M. Tufan Erginbilgic

CEO & Executive Director

Okay. I think first question, Helen may want to add sort of some color from accounting perspective as well. But I think second half margins actually not very complex in terms of this year, why we are saying it is going to be lower because OE delivery -- I mean, because of supply chain issues, frankly, more of our shop visits and more of our OE deliveries sitting now in second half, okay? So obviously, OE deliveries have a different margin profile on it. That's one thing.

Second, on the shop visits, the biggest step up -- if you remember, February this year, we talk about when we set the guidance, we said Trent 1000 shop visits will double this year. And you actually see that effect, but more of it, a lot of it will happen second half rather than first half.

And Trent 1000, and there is the cash implication of it as well. Trent 1000 is our highest cost shop visits because of some sort of historic issues, frankly, but we are going to improve. But our run rate on shop visit cost and because of our shop visit program on Trent 1000 will improve significantly by the end of this year.

But calendar year impact will not be there. So therefore, you are effectively looking at high shop visit cost circling cash, cash implication and lower margin -- LTSA margin that combination lower LTSA margin shop visits and OE deliveries is pulling the sort of operating margin down, okay?

Helen McCabe

CFO & Director

I think you've covered it. I mean, Charlotte, as you said, at the end of last year, we took that in provision for the supply chain. You know onerous contracts that because they're owners you have to take the full impact of that in the year that you do. So it's not built into the future margins. And this year, when we talk about the 208, the onerous part of [Indiscernible] take it in the period. So it's not built into the future piece. So I think you've covered the rest of it, Tufan that was the accounting part. Thank you.

M. Tufan Erginbilgic

CEO & Executive Director

I mean, good news is, I just announced 1 week flight test, that's significant because that certification will allow Trent 1000 shop visits to actually flatten going forward rather than keep going up, right? So that is -- we have been actually working with Boeing very closely because that's an important moment frankly. And I was delighted that first successful flight happened yesterday, literally.

And it is going to be 8 weeks flight test, standard the documentation, then hopefully, we get the certification, then that's the process. So going to SMR. First of all, thanks for at least somebody is following my LinkedIn post. So one data point, that's good.

So I think -- I mean, there are a couple of things there, really. First of all, we are really -- that milestone means, i.e., final phase of GDA process, regulatory process, means, a, recognition by the regulator, our technology; b, actually, that means we are almost 2 years ahead of everybody else, right? Literally, 2 years ahead of everybody else.

So what needs to happen right now is really a decision -- technology selection decision is due with GBM November-December that needs to happen without any delay. I mean it is already 6 months delayed. I'm not going to bore you sort of with my first-mover advantage point.

But my point is, U.K. missed offshore wind supply chain development in the U.K. If we are not careful, U.K. will miss SMR supply chain development in the U.K. because first mover will shape that supply chain, and that's true. And then exports will come. So big economic growth aspect.

But I think earlier the better that technology selection, but no later than end of November. And equally importantly, by the end of 1Q next year, there needs to be really clear, committed projects so that we can go into execution phase.

To your point, many countries actually watching GBM process, and we are working with them, they actually like our technology, like Sweden, Czech Republic, they actually sent very capable teams to do due diligence on our technology and they were delighted to see what we got.

So they are sort of eager to employ our technology. But they are looking at GBM process, but what if U.K. doesn't endorse this, then I am a little bit sort of exposed. I don't believe there is that risk, absolutely, because we are 2 years ahead of everybody with a proven technology with lots of capability. I don't think there is that risk. But dating there is that risk, therefore GBM process is very important, right?

I'll go there, then I'll go to Jeremy, it seems like...

Unknown Analyst

[Indiscernible] from Goldman Sachs. And I'm extending my thanks to Isabel for all the help in the ramp up and support. So 2 questions. The first one is on the supply chain. And I'm wondering if you could help us understand the commentary from Airbus in June regarding the Trent 7000? Is there any issue that you're facing on this engine with your supply chain? So that's the first one.

The second question is to understand whether the GBP 150 million to GBP 200 million of cash impact that you mentioned due to the supply chain was already assumed in the guidance at the time of formulating it in March. I'm asking because by looking at the upgrade of the full year guide, it seems that there's been an element turning more positive in your assumptions of cash flow since then. So I was wondering what that is?

M. Tufan Erginbilgic

CEO & Executive Director

Thanks. Thanks for the questions. I think -- very short answer. Frankly, we didn't cause any issues. We were 1 engine behind first half, okay, 1 engine, 7000. So literally 1 engine, I can say it. So therefore, there is no -- I mean there is no issue we cause to any air framers, frankly. And that's our plan for second half.

It is easy to say, but not easy to achieve. But team did a great job. We got there because, as you know, not many companies can say that in our industry because supply chain is really challenging. Now that I spend probably more than I would like to spend on it, I know how challenging, but we are managing it proactively.

To your question, in our guidance in February, we knew a little, but not to the extent that we would actually say GBP 150 million to GBP 200 million. So we now know more and that's the cash impact. By the way, more of it, more cash impact will be in second half. When you guys think about your cash formula for second half, you need to think that way, okay?

That's first half, very small portion of it because there is a lag in some of these hits and the second half will be equally challenging, we believe. So there was little frankly, in our guidance. Therefore, we didn't talk about it because we don't want to talk about small numbers.

Having said that, I think in my script, I talk about the things we are doing to mitigate that impact. So we are going to obviously do as much as possible to mitigate that impact. But also, we are highlighting that supply chain will continue to be challenging, at least 18 to 24 months. But we will manage it and mitigate as much as we can and that's why I talk -- I'm not going to repeat everything I said in the script, but those actions are there.

And frankly, I meet with agile team weekly basis, weekly basis. So that should tell you the intensity and pace on it, right? Jeremy?

Jeremy Bragg

Thank you. So we've got some questions online, which I'll go through -- I'll deal with them one by one. So firstly, from Ben Heelan. Please, could you give an update on how the pricing negotiations are going with onerous contracts? And is there more to come in the second half and in future years?

M. Tufan Erginbilgic

CEO & Executive Director

That's it? Okay. Let's go with that. Thanks, Jeremy. So I think -- thanks, Ben. Price -- here is how you would like to think about our renegotiations. By the way, when I go to renegotiations, I want to remind you that our LTSA margin expansion, there are 6 levers, 3 of them efficiency, 3 of them top line. Always keep that in mind because otherwise, you won't understand what is going on with LTSA margin, right?

For example, our shop visit cost went down this year as we planned, right? So that's contributing to LTSA margin improvement. It's not only pricing. But because Ben is asking a specific question on onerous contract negotiations. Frankly, we started last year, as you know, OE contract negotiations as well as some airline contract negotiations, we made great progress. And last year and first half, we actually book some of it.

And short answer to Ben, yes, there is more to do. It is not like new conversations, but progressing conversations are there. Until they are landed, obviously, we cannot book them. So there is some to go still in terms of negotiations. And if you ask me how it is going, actually, overall, we did -- I would argue that we did a great job, and team has done a great job in terms of what we achieved, but also in terms of

how we find win-win solutions, therefore, what we achieved strengthened our partnership with airlines or OEs rather than creating tension.

So it is not only good performance improvement, but actually, it became good partnership improvement on the back of it. So -- but there is more to come.

Jeremy Bragg

So next one, I'm going to consolidate a couple and that sort of round off the supply chain, I think, which is, firstly, you've taken GBP 400 million of charges last year and GBP 200 million now, what exactly do they -- are they, so is it higher parts costs or new agreements? And is there a risk that you might take future charges? So that's the first question.

Second question is, the 18- to 24-month time frame hasn't changed, so are you seeing a prolonged impact? And the third question is on the GBP 150 million to GBP 200 million cash which is, again, exactly what is it? Are you having to provide financial support to suppliers? Is it higher costs, et cetera?

M. Tufan Erginbilgic

CEO & Executive Director

Well, there are lots of questions there pointing out to the same thing. Yes, we took last year's and this year's, you are absolutely right. Both of them were supply chain related, some product cost increase and parts availability is creating some customer disruptions. It also includes that.

But almost answer to the first question is in the second question. Yes, because of prolonged supply chain, yes, we said 18 to 24 months, I don't -- we keep managing these things very closely, but I don't have a crystal ball to say this is it. So about 18 to 24 months, yes, it prolonged.

And as a result, we got more charge. Is there a risk to be more? Hopefully not. In fact, our mitigating actions may improve that. So the way I hold onerous and catch-up hit, when it comes to this, frankly, commercial agreements are commercial agreements, they are there to stay.

But if we can actually improve these things, hopefully, we can actually claim some back. But definitely try not to have additional hit. So that's our intent. In a way, GBP 150 million to GBP 200 million is the cash conversion, if I may say, because as you know, our accounting when it comes to onerous and catch-ups, we get immediate impact.

Cash is a different issue. So GBP 150 million, GBP 200 million is effectively this year's number because of supply chain-related costs, including customer disruption costs and again, we will -- and if we are saying 18, 24 months, we see a challenging environment. But again, we will try to mitigate as much as possible. But that's where we are at this point.

Jeremy Bragg

So next one, switching it up is on Trent 1000, which is what's your confidence of regaining market share on Trent 1000 given the time-on-wing improvements you've got scheduled with particular reference to the British Airways decision to switch to the GE engine?

M. Tufan Erginbilgic

CEO & Executive Director

So I think -- I look at -- as you may expect, I told about this long and hard. So sometimes people think because of our pricing actions, we are losing contracts, et cetera. That's not true, actually. So first of all, we are only thing -- we are remunerating our pricing actions is the investments we make and the risks we take.

In the past, Rolls-Royce didn't actually price that fairly and we are right now. So our issue with Trent 1000 is not reliability. It is -- reliability of this engine is as good as the competitor engine, but time-on-wing has been the issue, therefore, to gain market share in this, we are -- it is -- we created this structured program well resourced. We are investing GBP 1 billion in it. It's not all Trent 1000 by the way, all engines, but Trent 1000 and 97 are the key ones in it.

And the flight test is a very, very significant moment because getting to that point. But that, that is certified. We will double the time when we think about it. Then we have next year, we have another 25%, 30%. Here is the good news about that, that requires only engine-level certification rather than aircraft-level certification which is a lot faster.

You don't have to do flight tests with Boeing and all that stuff. Once those 2 happen, you have a very, very competitive time-on-wing, equal to our competitors on Trent 1000. And with that, if you actually look at right now, all the orders coming into the industry, they will be only delivered '27, '28, '29, if you are lucky.

So we are already -- sort of we will be ready when the new deliveries come and you will say then why aren't they ordering because they need to see -- we need to deliver, they need to feel confident about that. That's what we are in.

But actually, it works. We know that because we retrofitted 50% of the fleet in Trent 7000, even in Trent 7000 with these new blades, even in sort of nonbenign environment, like Kuwait has it, actually so far, it is running really, really well. So -- and it is already a couple of years, right?

So I think -- do we believe we can regain market share? Absolutely. Otherwise, we wouldn't have invested in time on wing. That is the only thing holding us back.

Jeremy Bragg

So next question is about the broader environment for airlines and a softening of airline ticket pricing and profit warning. So a question from Phil Buller at Berenberg, which is basically our ability or confidence in delivering our midterm targets in an environment where potentially demand and pricing is softening for airlines.

M. Tufan Erginbilgic

CEO & Executive Director

Frankly, first of all, we don't see it yet, but I'll come back to that flying hours in a minute. But we don't see that. But I would like you guys to make a distinction between competitive intensity in airline business versus the demand, right? Because they are talking about yield, which has a lot to do with competitive intensity.

So I think we don't see that issue. I mean we talk about supply chain. This, so far, frankly, demand is not an issue. If you look at our order book or Airbus, Boeing order books, you will conclude that's not -- demand is not the issue, but actually supply chain is the issue to deliver that.

Second thing is passenger growth is already happening, 6% growth this year. Some people expect double-digit growth this year by the time year is over. So passenger growth is happening.

And another point I'm going to say, there may be sort of -- I'm not going to sit here and project cyclicity of this industry. But fundamentals, this is going to be a growing industry. Passenger numbers are expected to double, especially driven by India and China. I may point out our strategy was very deliberate to play big in India and China.

If you notice, we have a great position soon with one more announcement, which will tell you how we are reinforcing that position. So -- but that -- we have a great position to capture that growth, which will be driven by India and China. But -- and if you look at Boeing and Airbus, they are saying aircraft -- number of aircraft in the next 20 years will double, which is in line with the passenger numbers doubling.

Last point I'm going to say, look at our results and then Helen's resilience presentation. Our results, EFH, we said 101 sort of 100% almost, and we are upgrading our guidance. Frankly, if I was in your seat, probably you would be thinking, hey, your EFH is a little bit light.

By the way, supply chain is something to do with it as well to some extent. But what does it tell you? We are actually expanding underlying performance in this business and with that, making it more resilient because environment will be what it will be.

But earlier comments from Helen and me, which should tell you, we are ready to deal with any environment, although I don't see that environment -- I don't actually read that cross from competitive intensity airlines to this. By the way, even in airlines, obviously, I talk to CEOs, different airlines see the picture slightly differently.

Jeremy Bragg

So we'll make this the last one, I think, guys, which is focusing on narrowbody this time. So this is per the comments [Indiscernible] you're moving ahead with the demonstrator engine for the narrowbody market. Is this a change in strategy? And what made you the decision to go it alone versus your prior comments about doing it as a partnership?

M. Tufan Erginbilgic

CEO & Executive Director

There's no change of strategy. We are pretty consistent company. We deliver what we say. So in CMD, if you remember, that's the first time we officially told you that where we are going to participate, where we are not going to participate. Part of that, we said narrowbody is something attractive for us, and we will participate preferably with partnerships. Nothing has changed in that.

And what gives us the confidence to participate in that is our engineering capability, obviously, but also UltraFan, next-generation engine will have to be more efficient. And most efficient engine today in the industry is 84. UltraFan is 10% more efficient than that. And actually, at plane level, we believe you can get to 15% efficiency doing some other things on the plane combination.

And IPs we have on UltraFan, a coverage of them and the duration of them positions us well. Why are we going with the demonstrator? Because, frankly, that doesn't mean we don't want to partner, but that means we would like -- we don't want to wait and position ourselves well out there.

So our preference didn't change, our strategy didn't change, but we actually see opportunities to progress this. And while we are progressing UltraFan with small engine as well, some additional funding comes with it because it is a different space. So there are some advantages of that as well.

Jeremy Bragg

Great. Thank you. We'll leave it there. Thanks very much, Tufan and Helen.

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, Jeremy. I think while we are closing, first of all, thanks, Helen. And I think thanks for coming here, and thanks for all the questions. Thanks for your engagement in general with Rolls-Royce. We believe we are really making good progress. And today, hopefully, you get some data point in that progression, and I'm actually excited about what we will deliver not only in midterm, but also the future beyond that. And we are making good progress. Most importantly, our organization is responding to this brilliantly and that makes a difference. Thank you for coming. Have a great day.

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Rolls-Royce Holdings plc LSE:RR.

FY 2023 Earnings Call Transcripts

Thursday, February 22, 2024 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2023-			-FY 2024-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.10	0.14	▲40.00	0.13
Revenue (mm)	14839.35	15409.00	▲3.84	16043.27

Currency: GBP
Consensus as of Feb-22-2024 8:04 AM GMT

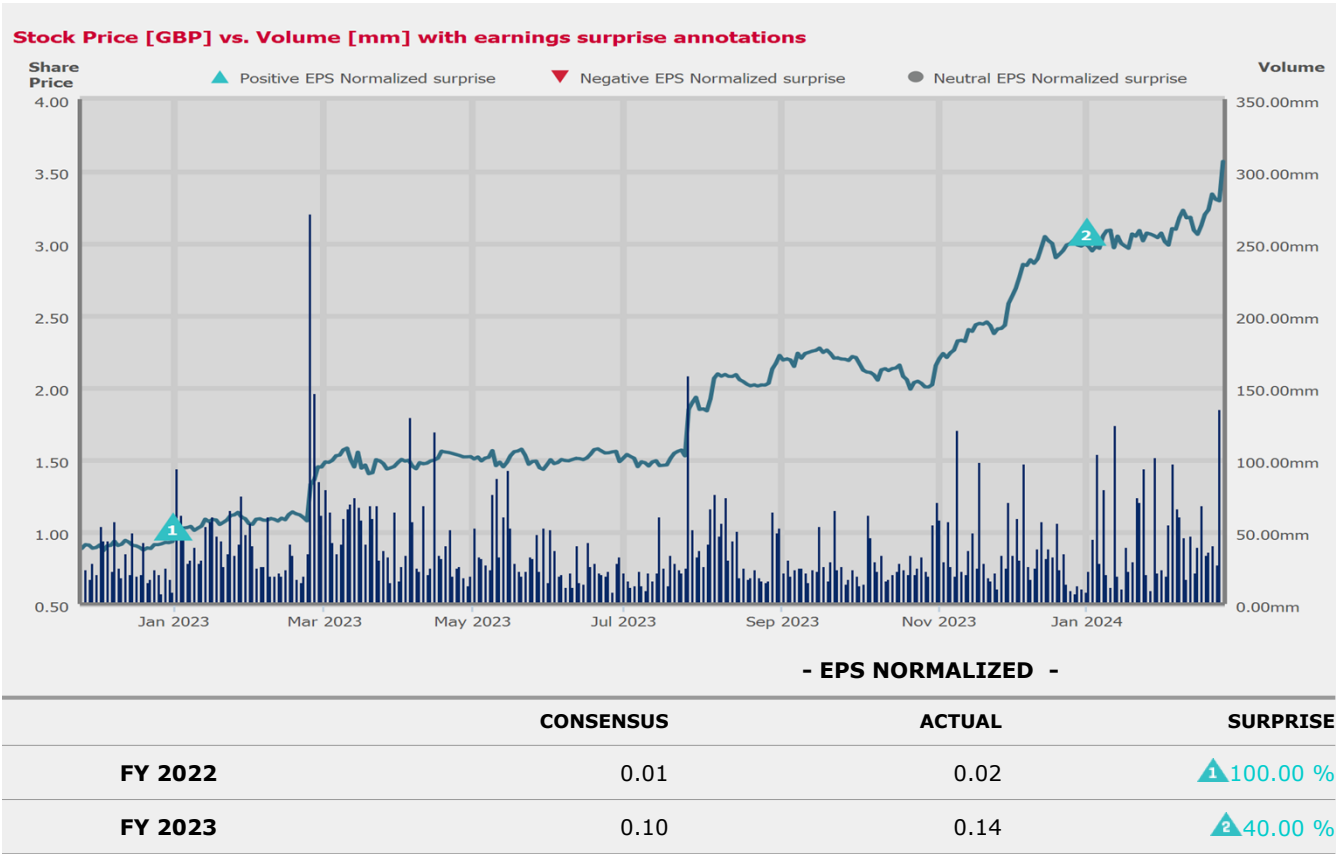


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Call Participants

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Presentation

Isabel Green

Head of Investor Relations

Hello, and welcome, everyone, to our 2023 full year results presentation. I'm Isabel Green, Head of Investor Relations. And I'm joined here today by our CEO, Tufan Erginbilgic; and our CFO, Helen McCabe.

Before we begin, I'm required to show you our safe harbor statement on Slide 2. As always, the full set of results materials can be downloaded from the Investor Relations section of our website. We're going to start today with an update on our performance and strategy from Tufan, and then Helen will present our 2023 results. Tufan will come back at the end to present our 2024 outlook and wrap up.

We'll take just over half an hour to present the slides, after which there will be time for questions in the room and from the audience online. In the room, please do use your press to talk microphones so that everyone online can hear your questions.

So with that, thank you very much. I'll hand over to Tufan.

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, Isabel. Good morning, everyone. Thanks for coming. '23 was a big year for Rolls-Royce. We put in place a transformation program and strategic framework that is unlocking our potential to be a high-performing competitive, resilient and growing business. We worked at pace, achieved record results. Our strategic focus and disciplined execution helped to grow our operating profit to GBP 1.6 billion, and we converted this into GBP 1.3 billion of free cash flows.

This significant step-up in performance was driven by our actions with record results across the group, driven by commercial optimization, cost efficiencies and our strategic initiatives. We are creating momentum and a track record of significant delivery. This time last year, we set guidance ahead of expectations as our actions supported 25% uplift to the plans we started with.

Then at the half year, we upgraded guidance by around 40% as we delivered better-than-expected first half performance. And now today, we delivered record results. Double what was in Rolls-Royce plans less than 18 months ago. In Civil Aerospace, we delivered a fourfold margin increase. In Power Systems, we talk about the potential of the division if managed well, and now we have the best profit in 114-year history. And in Defense, our margin of 13.8% is almost at our midterm range of 14% to 16%.

This performance is underpinned by our new ways of working. A winning mindset is key to our success. We have an energized and aligned workforce led by a new executive team. We are managing the group very differently. We improved our capability in commercial optimization and changed the way we manage our costs and capital allocation for the most effective outcomes.

To support all these, we significantly improved management information and performance management. We have a lot more to do here, though. In November, at our CMD, we shared our new strategy with clear strategy. Detailed strategic initiatives are owned by the divisions with clear accountability and performance management to ensure we deliver. We are building on strong foundations, our achievements in 2023 give confidence in our outlook for this year, where we expect continuous improvement in both profit and cash. This is despite ongoing macroeconomic and supply chain challenges, which we will continue to mitigate with our actions.

Our strong progress so far and the plans we have in place give us confidence in our midterm targets. By the end of 2024, we expect to deliver more than as we are targeting for the midterm. We plan to achieve our targets by 2027 time frame. But if we can get there sooner, we will.

Let's look at 2023 in more detail. Operating profit of GBP 1.6 billion was more than GBP 900 million higher than in 2022. Our midterm target of GBP 2.5 billion to GBP 2.8 billion implies around GBP 2 billion of profit growth between 2022 and 2027. In '23 alone, we delivered almost half of that.

Our group operating margin of 10.3% in '23 more than doubled year-on-year as we focused on commercial optimization and cost efficiencies across the group. Again, this represents our midterm target of 13% to 15% as we close the gap to our competition.

Free cash flow also more than doubled from GBP 0.5 billion to GBP 1.3 billion, a record for Rolls-Royce. This was achieved despite continued supply chain challenges. Our higher operating profit and a net GBP 1.1 billion movement in the LTSA balance drove this improvement. Free cash flow was GBP 400 million higher than in 2019 despite engine flying hours of only 88% compared to 2019.

This again demonstrated how much -- same cash performance of the group. Finally, we delivered a return on capital of 11.3%, the first time that the group has achieved a double-digit return on capital for many years. These results reflect the hard work and focused actions of all our teams. However, we still have a lot more to do.

Last year, all of our established divisions contributed to the significant improvement in operating profit and margins with commercial optimization and cost efficiencies common in all of them. The largest improvement year-on-year came from GBP [Technical Difficulty] million improvement in operating profit and a 9 percentage points increase in margins to 11%. Putting this in context, in 2022, at the Civilian Investor Day, Rolls-Royce guided high single margins by 2024 or 2025, based on a return to 100% of 2019 engine flying hours.

This shows how much we change. We are delivering significantly beyond this already as we benefit from our transformation actions. In Defense, operating profit grew by 30%, with a margin of 13.8%, [Audio Gap] The team has done a great job here. The improvement in margins was mainly due to our strategic actions as opposed to volume growth.

Finally, Power Systems. For the full year, Power Systems margins improved by 2 percentage points to 10.4 percentage points [Audio Gap] rising and cost efficiencies. The second half of the year was very different to the first. Just as we said, it would be in February. In early 2023, we took actions to raise prices and deliver cost efficiencies to improve profits and cash to a record level.

We have a clear strategy based on 4 pillars: Portfolio choice, strategic initiatives, efficiency and simplification and low carbon and digitalization. Let me talk about the progress in our strategic delivery starting with these first 2 pillars on this slide. Firstly, portfolio choices. At the CMD, we said we would be investing differently. Focusing on those opportunities where we have a chance to differentiate and where we can lead.

In Civil Aerospace, the UltraFan program successfully tested at full power in 2023 in trials that also showed the power gearbox handled accelerations and decelerations 20x faster than we had previously achieved. Last year, we continued to invest in our Pearl 700 engine was certified by FAA for gas streams, G700 and G800 aircraft.

In Defense, we [indiscernible] of the AUKUS submarine program and received formal confirmation of the FLRAA program in the U.S. Work has commenced on both programs as we image for our future on these key platforms. In Power Systems, work has begun on a new engine that will join our portfolio alongside our current Series 4000. This will be the first major new engine program for Power Systems in more than 2 decades.

In SMR, we entered the second phase of the GDA regulatory process and were shortlisted in the U.K. government's technology selection process. We took the decision to exit our electrical business or alternatively for the right value reduce our position to minority with an intention to exit fully in the midterm.

We are progressing well on this. We also announced the disposal of our off-highway low-power range diesel engine business, which is expected to complete this year. Moving on to the second pillar, strategic

initiatives. In Civil Aerospace, we are investing GBP 1 billion in time on wing improvements. This is a multiyear investment. We are working on the final stages with Boeing and the FAA on certifying the new [Audio Gap] double the engines time on wing. We expect it to be approved this year taking us to a competitive level of durability by next year, while the reliability remains very strong.

This is the same improvement that's very strong. This is the same improvement that we have certified on the Trent 7000 blade, which we have already retrofitted to over 20% of the fleet. And we aim to double the time on wing of the Trent amongst over the next 2 to 3 years with our investment in HBT blade coatings that are more resilient in areas with plus of sand and dust.

In benign environments, where performance is already good. We see potential for a 50% increase in time on wing. We are also driving down shop visits costs. For example, we achieved 10% reduction in this assembly and repair ours on the Trent XWB-84 in 2023, and we have a clear plan for continuous improvement.

As part of our program, last year and major airline contract renegotiations were either concluded or progressed. I was personally involved in agreeing win-win solutions in these negotiations, and we have more to do on this in 2024. In Power Systems, we installed and commissioned a major battery storage system to support renewable power into the public grid in the Netherlands.

This 30-megawatt project with 60-megawatt battery storage capacity is one of the largest battery storage system anywhere in Europe. Now moving to our other 2 strategic pillars. We are becoming a more efficient business and simplified organization. Our efficiency and simplification initiatives aim to deliver sustainable annualized savings of GBP 400 million to GBP 500 million. Around GBP 150 million of this has already been achieved in our 2023 results. And we expect a further GBP 200 million from our organizational design changes, which will remove 2,000 to 2,500 [indiscernible] by the end of 2025.

Earlier this month, we began the consultation on our new proposed organization design, which will remove 2 layers and improve spans of control making it more strategically aligned and efficient. We have a number of third-party cost initiatives that aim to deliver GBP 1 billion cumulative savings by the midterm. Last year, we achieved GBP 130 million of this.

We are centralizing the procurement function at the group level. This will generate further savings as we reduce duplication and unlock synergies. We are also introducing zero-based budgeting. This will aim to save an additional targeted 10% to 15% in cost by applying a proven approach.

The final strategic pillar is low carbon and digitally-enabled business. We remain committed to becoming a net zero company by 2050 and supporting our customers to do the same. In 2023, we met our targets to test our in production civil engines with 100% SAF, sustainable aviation fuel with 100% SAF transatlantic commercial flight 787 with our Trent 1000 engines.

In Power Systems, we proved that our Series 2000 and 4000 reciprocating engines can also operate sustainably with testing and certification last year using sustainable fuels. It is not just a say of that getting good results. We have successful hydrogen testing programs in Civil Aerospace and Power Systems and digital tools. For example, we implemented a new digitally mapped demand forecasting tool for supply chain management in Defense, resulting in GBP 75 million estimated cost savings in the next 3 years.

This value should increase as the remaining engine programs are onboarded are critical to our success. There is no silver bullet. This is about executing granular plans with clear strategic purpose and performance management. This is how we are delivering. This is why we outperformed in 2023. We look forward to 2024 and the medium term with confidence that we will fully unlock our potential.

I will now hand over to Helen to cover 2023 results in more detail.

Helen McCabe
CFO & Director

Good morning, everyone. Record 2023 results. They demonstrate that we are managing the business very differently. That we have a clear focus on delivering high-quality and sustainable earnings and cash flow and that our strategic initiatives and transformation program are delivering at pace.

The key financial highlights. Group revenue grew by 21% with strong growth across all divisions. Our advantaged businesses are uniquely positioned in end markets. [Audio Gap] GBP 1.6 billion, operating margin more than doubled to 10.3% due primarily to commercial optimization and cost efficiency actions across the whole of the group. The largest year-on-year performance was in Civil Aerospace, but margins in Defense and Power Systems also substantially increased.

Free cash flow was GBP 1.3 billion, more than double that of 2022, an all-time record for Rolls-Royce. Strong cash flow generation meant that we reduced net debt to GBP 2 billion, a reduction of more than 40% year-on-year, and our return on capital rose from just under 5% in 2022 to over 11% in 2023, driven primarily by improved operating margins, but also by our disciplined capital allocation and working capital management.

So let's move to performance by division. Civil Aerospace. I'll start with a summary of the highlights, then go into more detail on financials, the impacted industry-wide headwind. Civil Aerospace delivered the largest year-on-year improvement in profit and operating margins. We delivered operating profit almost 6x higher than that of the prior year. It increased to GBP 850 million from GBP 143 million in 2022. We achieved double-digit operating margins of 11.6%. That compares to 2.5% in 2022.

We grew revenues by 29% to GBP 7.3 billion. That was driven by large engines and business aviation deliveries as well as higher shop visits and commercial optimization. OE engine deliveries. They grew by 29% [Audio Gap] despite supply chain challenges. Of these, 262 were widebody engines, which included 53 spares. That supported increasing number of shop visits, that did as our fleet grows and total shop visits grew by 18% to 1,227. Of these, 368 were large engine refirms compared to 248 in 2022.

Operating profit in more detail. There were 3 key factors behind that sixfold increase. First, widebody. We delivered higher aftermarket profitability with an increased volume of LTSA shop visits and a higher profitability per shop visit driven by our commercial optimization actions. In terms of shop visits, there was an increase in Trent 1000, Trent XWB and Trent 700 refurbishments in the second half of the year.

We also benefited from a materially higher contribution from time and materials where we increased the pricing of life limited parts by an average 12% in the year. Second, Business Aviation. We more than doubled profitability, again, driven primarily by aftermarket with increased shop visits and improved commercial optimization as a result of the team's actions.

Business Aviation deliveries increased by 19% to 196, driven by growing demand for apparel engines; and third, cost efficiencies. Our actions supported lower indirect costs with a reduction year-on-year despite broader inflationary pressures. But we also faced some headwinds, industry headwinds. Industry supply chain challenges drove higher costs. This impacted catch-ups of higher costs and the net movement of onerous contract provisions. Catch-ups were a charge of GBP 29 million, GBP 119 million benefit in 2022. But if you recall, 2022 benefited from a material positive adjustment associated with inflation that triggered price escalation causes which, as we expected, did not repeat in 2023.

We also took onerous contract provisions totaling GBP 410 million again, primarily as the result of industry supply chain challenges as we recognize the impact of higher future product cost. This impact was broadly offset by the strong progress we made on contract negotiations. Our actions to progress or close all key contract negotiations in conjunction with time and wing improvements drove a significant release of provisions in the year, GBP 385 million cash. Civil Aerospace delivered trading cash flows of GBP 626 million. A GBP 400 million [Technical Difficulty] mainly due to higher operating profit and a continued LTSA balance growth as engine flying hours increased to GBP 16.5 million with large engine flying hours standing at 88% of 2019 levels. And working capital outflows were lower than the prior year while net investments were higher as we invested in our strategic projects.

In summary, a very strong performance from Civil. Defense. The results reflect a material improvement in operating profit and margins as we delivered on our commercial organization and cost actions [Technical

Difficulty] GBP 562 million, a 30% increase. Operating margins for the full year were 30.8%, around a 2 percentage point increase on the previous year and very close to our midterm targets, as you've heard from Tufan.

We saw strong demand across all of Defense's key end markets with strong order inflows with a book-to-bill ratio of 1.3x, which drove a record order book of GBP 9.2 billion. Revenue growth was double digit, 12%. This was driven by volume and pricing. There was growth in all key end markets, notably submarines and combat, which grew by 20% and 18%, respectively.

The year-on-year improvement in operating profit was driven by 3 key factors: commercial optimization. The team did an excellent job renegotiating contracts, ensuring our value-based pricing guide rails were followed as contracts came up for renewal. Cost efficiency actions. We managed costs and revenue grew and indeed, we just indirect costs, reflecting the impact of our strategic choices and increased customer funding with an R&D fund.

Defense's cash flow increased to GBP 511 million. This was largely driven by higher operating profit, but also reflected strong working capital performance with inventory reducing in the year and continued strong customer inflows from deposits.

Next, Power Systems. As you've heard, Power Systems delivered record results in 2023. Operating profit increased by 44% to GBP 413 million with an operating margin of 10.4%, a 2 percentage point increase compared to 2022. Order intake was 4.3 [Audio Gap] for 2024. Demand was strong in our advantaged businesses of power generation, marine and governmental. Revenues grew to GBP 4 billion, a 16% increase with a 34% growth in power generation, in particular, data centers where we have a leading position. Growth in Marine was also strong, as you can see from the slide. Increased operating profit was primarily driven by commercial optimization, our actions to address all subsegments, cost efficiency our actions, which resulted in lower indirect costs, again, despite volume growth and inflationary pressure and power gen.

In the year, profitability tripled as we addressed the business model, focusing on both pricing and cost improvements. Cash flow. It broadly tripled year-on-year to GBP 461 million with an exceptionally high cash conversion ratio of 112% versus 56% in the previous year. Our working capital initiatives were particularly impactful with a substantial inventory release in the second half of the year as well as high levels of advanced deposits, some of which we received earlier than expected.

Power Systems, like Civil and Defense brought home a very strong 2023 performance. Now we delivered GBP 1.3 billion of free cash flow, approximately GBP 800 million higher than 2022. The main driver of the year-on-year increase was higher operating profit, which grew by over GBP 900 million.

Turning to the other factors, investments. We continue to invest in growth opportunities for the business with a clear focus on investments that are strategically aligned. Attractive projects that generate profitable growth to the midterm and beyond, such as time on wing, investments were around GBP 200 million higher year-on-year. LTSA. As expected, the net LTSA balance grew. It was around GBP 300 million higher than the prior year, reflecting engine flying hour growth and higher normalized engine flying hour rate.

It also included some one-off benefits such as the recovery of the GBP 100 million of debt that we had previously written off. Then working capital. As I said at the CMD, this is a priority, and we made good progress. Our working capital outflow was lower than in 2022. We released working capital in the second half of the year with all 3 divisions releasing inventory in the second half. Inventory days reduced.

And as we focused on overdue and unbilled debt, debtor days also reduced. I'd like to just pause and thank the finance teams and all of the divisions for the work on this in a very difficult macro environment. Everyone did a great job. We are making sustainable progress in working capital and the program we have in place, and I expect that to continue into 2024 and beyond.

Next, provisions. They moved by just over GBP 200 million. This includes the payment for the Collins legal judgment and outflows as we traded through our onerous contract provisions, then overdue hedging costs, sorry then overhedge costs. GBP 100 million, GBP 60 million higher than in 2022. Net interest costs. These

reduced by over GBP 140 million, driven by improved cash delivery and the benefit of higher interest rates.

And finally, cash tax costs of GBP 172 million. They were similar to prior year as we had guided. We delivered a record cash delivery for Rolls-Royce in 2023. Cash remains an absolute priority for the whole team. Tufan will talk to the outlook for 2024, but let me give you some data points to help with your cash models.

We expect the LTSA balance growth net of RRSP prepayments to be at the low end of the guided rate of RRSPA to GBP 1.2 billion. This reflects growth in short visits and mix impact and a non-repeat of the one-off impacts, such as the GBP 100 million of debt recovered in 2023. And as we repay debt and continue to strengthen the balance sheet, we expect our net interest costs to reduce modestly in 2024. We expect cash tax costs to be roughly GBP 100 million higher as profit grew and the cash cost of unwinding the overhedge position to reduce to GBP 146 million, as we have previously signaled.

Now moving to how we are building resilience. A key priority I set out at CMD was how we are building a more resilient business with an improved balance sheet, a better operating leverage and higher returns. You've heard examples of how we are driving efficiencies across the group. For example, the GBP 150 million of cost efficiencies and the GBP 130 million of reduction in third-party costs.

Actions such as these have supported our TCC to GM ratio improving to 0.5x, significantly [Technical Difficulty] 2022 and indeed in 2019 pre-COVID. We are making strong progress towards our midterm target of 0.4x to 0.5x as well as making our profit delivery more resilient and expanding the earnings potential of the business, we have also strengthened the balance sheet to GBP 2 billion and our net debt-to-EBITDA ratio at the end of the year was below 1x.

Our gross debt of GBP 4 billion was broadly unchanged, and it remains our intent to repay the forthcoming EUR 550 million bond from underlying cash as it falls due midyear. Liquidity remained strong, standing at GBP 7.2 billion at the end of the year and that is after we retired 2 undrawn facilities of GBP 1 billion each in the year. Our efforts to improve resilience, rebuild the balance sheet and put in place has been recognized with upgrades from all 3 credit rating agencies in 2023.

As I previously shared, once we are confident the balance sheet has sufficient, sustainable resilience and that we are comfortably at investment-grade profile, we intend to resume shareholder distributions. To conclude, we have delivered strong financial progress in 2023, with strong results across all divisions. This performance has been underpinned by our clear strategy and delivery of our strategic initiatives.

We are running the business very differently. We are building a track record and delivering on our commitments. And with that, let me hand you back to Tufan.

M. Tufan Erginbilgic
CEO & Executive Director

Thanks, Helen. Last year, we delivered strong results despite an uncertain geopolitical environment, high inflation and interest rates, recession risk and significant supply chain difficulties. We expect the supply chain to remain challenging for another 18 to 24 months. Supply chain issues have resulted in higher product costs in 2023. In fact, Helen mentioned that. Across the industry in Aerospace, there are bottlenecks caused by both labor and parts shortages.

Higher interest rates and reduced availability of credit have also impacted some of our suppliers. This is something that we will continue to monitor closely, [Technical Difficulty] introducing digital and AI tools to better manage the supply chain. In 2024, we will actively manage these challenges and continue to transform Rolls-Royce to be a more resilient business by continuing to improve our total gross margin ratio and strengthening our balance sheet, as Helen mentioned.

In addition to our actions, some trends affecting our business partly insulators. In Civil Aerospace, we have a growing market share in widebody. We expect to benefit from a continued recovery in global travel and in particular, international travel in Asia. In Defense, we see more long-term support for Defense and governmental spending resulting from geopolitical tensions. Recent order wins such as FLRAA, AUKUS and

B52 will drive growth for decades to come. In Power Systems, we expect to see growth in governmental driven by secular data center growth.

Turning now to our guidance for this year. We expect progress towards our midterm targets. We expect to deliver operating profit of GBP 1.7 billion to 2 billion, with margin improvements in all divisions and free cash flow of GBP 1.7 billion to GBP 1.9 billion, driven primarily by higher operating profit. This guidance assumes large engine flying hours at 100% to 110% of 2019 levels, reflecting yet to deliver 500 to 550 OE engines, of which around half will be widebody engines.

Spare engine deliveries are expected to be broadly similar to 2023 number. And we expect 1,300 to 1,400 total shop visits, including 450 to 500 large engine refurbishes. Based on what we achieved already in 2023 and our guidance for 2024. By the end of this year, we will be over halfway towards achieving our midterm targets for operating profit and cash flows [Audio Gap] delivery and impact of our transformation and strategy.

Effectively, we are front-end loading performance improvement delivery for our midterm targets. We have a bold, but achievable plan to transform Rolls-Royce into high-performing competitor and resilient business with growing sustainable cash flows, a strong balance sheet and growing strategy to achieve this, which is owned across the organization.

Our transformation is based on building a sustainably distinctive business. It has 4 key elements. First, operational excellence. The safety of our people and our products is the [Audio Gap]. We put safety and quality control at the heart of everything we do, and it is a responsibility every employee in the company carries.

Our strategic initiatives aim to improve operational effectiveness to deliver best-in-class customer service despite the supply chain challenges. Second, our advantage products and technologies are highly competitive. We already have some of the best products and technology in the industry.

We are investing further to improve our products significantly. Our highly advantaged product portfolio will sustainably drive stronger long-term financial performance. Third, we are becoming more focused, enabling increased investment in the most important programs, while deselecting those that are not aligned to our strategy or they don't meet our investment criteria [Audio Gap] or strategic plan or exit.

This focuses and aligns our organization on the most value-creating activities. Fourth, our new mindset and the distinctive performance culture we are building are fundamental to delivering our plans. We have an aligned one Rolls-Royce that can fully realize its [indiscernible]. We have ambitious, but achievable midterm targets.

There is much more for us to do, but we are building a track record of delivery, as you have seen in our results today. And we are confident that we will generate value for all our stakeholders and deliver our Rolls-Royce proposition. Now I'm going to open the floor for questions. You were quick. I'll start here. Then I'll go there.

Question and Answer

David Howard Perry

JPMorgan Chase & Co, Research Division

It's David Perry JPMorgan. Congratulations on your success [Audio Gap] huge jump in Civil Aero a little bit, and it's even better if you look at it without the contract catch-up of last year, it's over GBP 1 billion. And Helen, you talked a bit to the reasons, but could you sort of just put some weighting on those reasons, cost versus aftermarket versus business jet, et cetera?

Secondly, Tufan. I know you don't want to comment any more on engine flight hour pricing per hour. But just maybe you're willing to tell us what the percentage change in the average price was in the year-over-year, maybe for the second half and maybe what [Audio Gap] 2024.

M. Tufan Erginbilgic

CEO & Executive Director

Thanks, David. Civil, I agree with you. It was a good year for Civil Aerospace business definitely. I think -- and Rob is here, I'm sure at the break, if you want more details, I'm sure he is going to be willing to share that with you. But I think the big factors. I'm not going to repeat because your question was more sort of where the emphasis is.

I think here is how you may want to think about this. Aftermarket obviously has driven it both LTSA and T&M, time and material LLPs. And in both of them, commercial optimization play their role. And then business aviation growth was significant profitable growth. Costs are interesting because if you're actually thinking about net cost efficiency but cost thing is, you more than offset inflation there because there is inflation in direct cost, more than offset the inflation, i.e., net of inflation, you are when you have cost savings, that means all your pricing actions flowing through the bottom line.

That's a big leverage impact, right, in any business, not to mention this business. So that is what was going on here. I think in terms of numbers, LTSA and time and material were the biggest contributors, cost contribution was less. But if you think what it would have been because normally inflation would have increased our cost. That didn't happen, and you had net benefit that was important contribution. So you predicted rightly, I'm not going to talk about sort of -- because -- not because we are hiding it, David. But actually, the way we are running this business is very different.

And we need to sort of a common understanding on that. So we are actually looking every opportunity either for cost reductions or pricing. So therefore, there are some systematic sort of approach, some very disciplined execution. But within that, there is lots of dynamic thinking going on.

And as a result of that, some of this -- so if I give you a rule of thumb, it is not going to work necessarily. But I said it in CMD, and I will continue to say it because effectively, this year's EFH rate was actually almost identical to our forecast in CMD and our projection for 2024 is similar to our CMD numbers and it's similar to -- and that's what you should expect going forward because of our pricing actions. Thanks, David. I'm going to go there and come back here.

Ross Law

Morgan Stanley, Research Division

Ross from Morgan Stanley. So first one on the engine flyer assumptions for this year, 100%, 110% of 2019 what's assumed in that in terms of installed fleet size? Is that going to continue to grow? Secondly, on and material pricing, Helen, you mentioned you achieved 12% in '23. Interested in your thoughts for '24 there. And then lastly, just on the provision in Civil of GBP 410 million. You said that's obviously supply chain led, maybe a bit more detail about what types of supplier or what types of product drove this?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. I'm going to ask Helen to pick up the product cost. I think on EFH effectively 100%, 110%. Yes. Short answer to your question. Yes, our installed engine base growing, and you should expect that to grow because our market share is growing. So -- and 100%, 110% is no longer you shouldn't think and it is even more true going forward. You shouldn't think market recovering from COVID. If I give you a percentage, half of it market recovery, half of it actually installed engine growth. Looking forward, you want to have much recovery rather, you will see more normal market growth, but over and above that our growth. So we actually said in CMD widebody market growth we expect between 5% to 7%, but we said our growth will be more 7% to 9%. So same dynamics, I think, playing out here definitely.

On T&M, yes, we made similar price increase this year as well. That will be my short answer.

Operator

Fantastic. So Ross, thank you for the question. So supply chain. So the GBP 410 is I think several between all of the divisions is the one that's been most impacted by supply chain challenges. If you look at the macroeconomic environment, high inflation, high interest rates, lack of credit in some of the markets. But lack of credit and some of the supplier base is under pressure. What does that do? That causes impacts to operations, product costs, parts availability that everyone has seen coming through.

The team under Rob's leadership has done an excellent job leaning into that, very proactive, you heard how across the group and the majority of it sitting in Civil. We've actually taken actions, which has given us GBP 130 million benefit. The very practical things underpin that, where Rob and the team actually sent in a task force to provide support. One of them we sent in for our people to provide additional support. We're looking at what's our make-buy strategy, what's our component strategy? Where should we be moving to dual sourcing?

So yes, macro environment, should we be moving to dual sourcing? So yes, macro environment is challenging. We expect 18 to 24 months that we are very proactively leaning in to address and to mitigate that as much as possible.

Nick Cunningham

Agency Partners LLP

Nick Cunningham, Agency Partners. I just wanted to apologize in advance for a very simplistic typical analyst question, but some -- if I add up the cost savings that you talked about that are still to go, they're more than the delta in profits to 2027 that you're aiming for.

And of course, you'll have volume growth and so on in that period as well. So presumably, there are some offsets. I'm guessing inflation is one of them. But are there others like some sort of give backs in terms of investment in R&D, for example, that we should be thinking about in terms of how you get to that sort of net.

M. Tufan Erginbilgic

CEO & Executive Director

To math right, because I don't get there with that math. But I think we effectively said GBP 400 million to GBP 500 million indirect costs, right, net savings. So GBP 150 million, we delivered obviously. So the rest, that means around GBP 250 million, we will deliver. So that will contribute to our midterm targets.

But it doesn't achieve itself midterm targets. I'm sure you appreciate that. So there are -- there is lots of commercial optimization going on. And you heard the product cost increase frankly. In CMD, we knew product cost increase. Rob talked about. I talked about one of the 6 levers, we have product cost reduction project. We were actually using the baseline we knew then because it was November, we knew then bit higher. So from that baseline, we are effectively reducing the product cost. So that is how you should actually think about the components here.

Helen McCabe

CFO & Director

Can I add? And I was going to say, I think, of course, we've allowed for inflation in our models, Nick, absolutely. And growth costs which we look at very closely to make sure that we've got the right support to support our strategic initiatives going forward.

M. Tufan Erginbilgic
CEO & Executive Director

Thanks for sitting there. That's our inside joke last time I couldn't see him. He was hiding somewhere else.

Ian Douglas-Pennant
UBS Investment Bank, Research Division

It's Ian Douglas from UBS. First on supply cost inflation that you're seeing. Helen, how do you think about this in terms of working capital reduction, especially around inventory? Do you need more safety stocks than perhaps you thought you did pretty. And secondly, when do you think you would feel that you are sustainably investment-grade credit profile, and therefore, you could start returning capital to shareholders?

Helen McCabe
CFO & Director

Fantastic. So supply chain and inventory. As I said, 2023 was a difficult environment for everyone. Since we launched our program every division in the second half of 2023 released inventory. And I think that, combined with a reduction in inventory days, while we're growing the business, reduction in inviable improvement, do we need to build inventory? One of the things that we're doing, we're doing multiple things, as we're being very deliberate around where we're holding inventory and what we need to hold it for.

If you look, and it's across Civil, Defense and Power Systems, we have got work plans in place to be much tighter in our sales and operating plan, and we've identified pockets even in a difficult environment in 2023 where we can release inventory because we had elements of inefficiency across the chain. Power systems agreeing how they manage their inventory flow so that, that didn't set as work in progress for excessive amount of time.

So do I expect to build inventory? In absolute terms, no, because we'll be very deliberate as to how we manage the end-to-end chain, I expect continued progress on our working capital program going forward. In relation to investment-grade profile, as we've shared before, our priority is to strengthen the balance sheet and get it to where it needs to be to support us in delivery of our midterm targets.

After a number of difficult years for Rolls-Royce, we are absolutely determined that we will do that and deliver on our promises for all of our stakeholders. We are making progress. So once that balance sheet is sufficiently strengthened, and once we are comfortably and sustainably investment-grade profile, we are committed to resuming shareholder distributions. And at that point, we'll come back and update you further.

Victor Allard
Goldman Sachs Group, Inc., Research Division

Victor Allard from Goldman Sachs. I wanted to follow up on T&M, we've seen a very strong increase in 2023. We talked about pricing in terms of unbundling some content that you've talked about in the past and at the CMD. Could you please share some color in terms of do you see volume growing this year? Should we think about it as growing in line with large refer but probably even outpacing that figure?

M. Tufan Erginbilgic
CEO & Executive Director

Thank you. I think yes, we are unbundling in the new deals, definitely. And I think I mentioned last time that our current portfolio, if you look at it, 50% unbundled, 50% bundled. So roughly, roughly talking. So -- but going forward, differently, we want to make whole system more flexible. So that's the drive. So if

you actually think about this is not only for T&M, but for everything we do because we are taking actions, proactive actions and the more -- in a flexible system, that's what they will do.

So our mindset is definitely there. So yes, normally, you should expect that to go up with the shop visits, but there is a caution there that it depends on the mix because some shop visits, obviously, that is well [Audio Gap] approach to that because that's not how this is going to work.

Unknown Analyst

I'm Stephan from Bank of America. Just asking from the credit side about investment-grade profile and obviously, net debt is a big part of that, but also just wondering what ideally be? And then -- and next question is just a lot of industrial businesses. There's been a lot more focus on factoring and reverse factoring programs and any indication of where you're taking that going forward?

M. Tufan Erginbilgic

CEO & Executive Director

I will answer the second question straight. We want cash flow growth of the company rather than doing the [Audio Gap] if you like. with that some kind of engineering.

Helen McCabe

CFO & Director

So how you should hold gross debt, net debt so we've got a strong liquidity position. You heard me say GBP 7.2 billion. We will always ensure that we have sufficient levels of cash and access to undrawn facilities to ensure that we have the operational and financial flexibility we need to deliver that we have. We look at that very flexibility, we need to deliver on our strategy. We look at that very, very closely.

And as I also shared, we have a clear plan detail in '24 and '25. Our intent is for the bonds that fall due in '24 and '25 to repay those from cash. But it's something that we look at very closely. It is tied to that balance sheet resilience.

M. Tufan Erginbilgic

CEO & Executive Director

So Isabel, you are well, let's go there.

Isabel Green

Head of Investor Relations

Just checking one microphones on do I need to. Yes it is grand. I would need to use the seat microphone as well. I've got 3 different areas of questions online. The first one in terms of Phil Buller, Berenberg, who sadly can't be in the room today. He asked labor shortages were cited as part of the reasons of the provision. So are we taking -- we're taking employees out of our own organization and has given what we see?

M. Tufan Erginbilgic

CEO & Executive Director

Okay. Let me -- yes, thanks for the question. Let's be very clear what we are doing. By the way, I wasn't referring to our labor shortages. I was referring to industry labor shortages. In our case, we didn't have that issue. Normally, smaller suppliers really have that issue for everybody's benefit, but it really have that issue. May mean that you are not actually producing the engine. So it just our plans. We are very clear. We have been actually increasing direct labor, but we look at productivity improvements. So we actually improved the productivity last year.

And while you are increasing direct labor, you are increasing production, direct labor supports that we drive productivity improvements. Our 2,000, 2,500 is mostly what we call sort of indirect. Therefore it is not volume related and consultation right now. And as I mentioned in my script, by the end of next year, we should have broadly finished that program in terms of exits and so on.

Isabel Green*Head of Investor Relations*

If I could follow up. I've got 3 analysts with 3 questions on the same theme. So I'll read all of them out and cover them in the answers. So Emerick Folan from Kepler Chevreux asks, what is the current time on wing for Trent 1000 and Trent XWB? And how does that compare with the Trent 700? Clari Lemarie asks, could we talk about the Trent 1000 fix as of today is the HPT blade on the take across both the Trent 7000 and the Trent 1000 fleets -- and again, Ben Helene of Bank of America also asks, could we discuss time on wing, Trump 1000 and where we are on certification of the final fix? So thank you all 3 of them. Thank you for your answer.

M. Tufan Erginbilgic*CEO & Executive Director*

I then frankly, let me take it up in that order. But -- so engine technology change in Civil Aerospace because Civil Aerospace went to fuel efficiency. And with that, frankly, because there is one question here, can you compare it with Trent 700. That's why I'm saying it. And this applies to all. It's not Rolls-Royce specific issue. You are -- this industry, as you know, I'm not insider, but I came from outside.

My reflection of it somehow industry move their expecting different results. Frankly automotive industry went through this journey before aviation industry because of the emission standards in automotive industry. When you want more efficiency, it comes with higher temperature and so on, and therefore, cycle time is lower. So no, I think no engine we will produce Trent 700 cycle time. But what we are doing with our engines, taking them to a very competitive level, okay, in any environment. That's what we are doing.

XWB824 is the best engine right now, durability, reliability and fuel efficiency in widebody market without any doubt, and you can ask any customer. Therefore, we are actually saying now all of other engines we have, we want to take it -- I talk about GBP 1 billion investment in time on wing. We -- it is a very structured program. Not to mention, Rob. I actually [Audio Gap] already doubled the time on it. Last year, by the end of last year, it was going to be certified. Unfortunately, it didn't and it got delayed. And this year, we now -- we are working with both Boeing and FAA. Frankly, I was there, I met meetings a month ago with both Dave Cardon and the new head of FAA work with and accelerate and certified this year.

Then shop visits, how long it is going to take this year -- in '22, if you remember, we already retrofitted 20% of it because you wait for the shop visits for the engines to come to shop visits to retrofit. But importantly, we are making another 30% improvement on Trent 1000. Therefore, I said in my script that by the end of next year, it will be absolutely fully competitive engine on durability, as good as the competition and reliability is already very good.

By the way, reliability of all our engines are very, very good. On 97, I think in none -- sort of in benign environments, it's actually a good engine. We like -- I'll give you some numbers and it sells really well. Last year's orders, 135 aircrafts. We only expect that to grow on 97. So it is a good performing engine in what is called as non-dusty, non-[indiscernible] environments, i.e., sort of something like Middle East and so on. But our time on wing program, which will take like Trent 1000 I said by the end of next year, we will be there. I think this will take a couple of years, 2, 3 years for us to take it to the market.

What it is going to do, it's going to double the time on wing to enable that. I actually met with Tim Clark last week. He's very happy where this is going to go. He cannot wait for that to come to the market. I can assure you. So you can ask him yourself, because I was there Friday meeting him. So pretty up to date I would say. But -- so I think frankly, that will double time on wing in nonbenign environments. And already good performance in benign environments. We will increase it 50%.

So once we do all that, thinking about the impact, it is going to have all our shop visits and or lack of them, I should say, so -- and the EFH rate and so on. So that's why I sometimes say all the things we are doing obviously helping midterm delivery, but it is going to create even much bigger value in the future, take this 97.

It will be actually the highest trust best aircraft probably 4 years, 3 years from now. So is that going to help our midterm results? Maybe a little bit. Is it going to help -- is it going to create enormous value

beyond that because you don't anymore invest GBP 1 billion, but you got all the benefits of it? Yes, and Trent 1000 the same.

So I think that's a long answer, but it is an important program for us. It is one of the 6 levers that Rob drives very hard.

Isabel Green

Head of Investor Relations

Thank you, Tufan. Before I go on to -- I've got time for one last question, which I'll read out from online, but just to say thank you for everyone online for the number of questions we've received. There are a lot of them. Clearly not time to do all today, but my team and I will get back to you individually. So thank you. And apologies if you didn't make the cut. The final one that I'll read out today is from Bob started from Vertical Research, who has said Airbus noted last week that the pricing on current widebody competition is challenging. How does this reconcile with Rolls-Royce's ambition of getting much better pricing on new Trent engines?

M. Tufan Erginbilgic

CEO & Executive Director

So I think we are very aligned with Airbus. First of all, I should say. And I had Saturday dinner with [indiscernible] as well, by the way. So we have very good alignment between the 2 companies. Definitely, that's how you should think about it. And our pricing, one correction on that question, it's not an ambition. We are actually -- we have been implementing it. So it is an implementation for good 12 months. There is no new ambition, we will continuously implement that pricing framework that Airbus is well aware and well aligned.

And obviously, we have similar situation with Boeing. So it's not an ambition. It is well in execution with very good results because last year, in the last 15 years, we record orders for Rolls-Royce. We got 700 engines. Our order book is longer than it has ever been. I think it is in your supplement that 1,600, I'm rounding the numbers a little bit. 1,600 engines in order. So you can do the math, how many years engine order that is. So I think our pricing position is all about remunerating the value we create and creating win-win solutions as a result of that. Isabel, any more questions?

Isabel Green

Head of Investor Relations

That's all we have time for online today. So back to you to wrap up, Tufan.

M. Tufan Erginbilgic

CEO & Executive Director

Any pressing question in the room, I always ask sort of okay, very good. Thanks for coming, and thanks for all the questions digitally as well. Thanks for all the questions. And frankly, we think we are making great progress with our program. You can see it is not one division. It is all the divisions delivering. And you can see the same themes coming through. Why is that? Because it is one Rolls-Royce, actually implementing similar actions where the market opportunity is. And therefore, you hear commercial optimization, efficiency, working capital improvements and so on across the board. And we are on that agenda.

One thing I'm going to say, thinking about cumulative delivery. And I've been in this journey before. Don't look at every discrete year. We have midterm targets. The way we are really running this business is no longer teams are targeting a number they want -- we want to make strategic projects at pace.

Some years, that will mean you over deliver. Some other years may offset that a little bit. Most important thing on a cumulative basis, are we actually on track. And I would say if you look at our profit and cash numbers, I would say we almost -- when we deliver 2024 midpoint, if I take, it is going to be almost 60% delivery on the performance improvement both on profit and cash in 2 years.

So this is the opposite of hockey stick. I hope you appreciate that and demonstrates our progress. With that, thank you very much. Have a great day.

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Rolls-Royce Holdings plc LSE:RR.

Analyst/Investor Day

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Presentation

Isabel Green*Head of Investor Relations*

Hello, and welcome, everyone, to our 2023 Capital Markets Day. I'm Isabel Green, Head of Investor Relations, and I am delighted to welcome all of you to our event today. Before we begin, I have a few notices to share. Firstly, Q&A. There's a lot of you here, so no more than 2 questions each. And please use your press to talk microphones, which are in your seats so that everyone online can hear you. For those of you online, you can submit your questions on the Q&A box. My team and I are also available after the event if you want to e-mail us.

Secondly, there are no practice fire alarms scheduled here today. So if you hear an alarm, leave the room by your nearest available emergency exit. And finally, please take note of our safe harbor statement.

The forward-looking statements we make today are subject to the usual risks and uncertainties. Further details can be found in the Risk section of our latest annual report. Thank you. We will now begin.

[Presentation]

Tufan Erginbilgic*CEO & Executive Director*

Okay. Welcome, everybody. Good afternoon. And if you are joining from the U.S., good morning as well. Thank you for taking the time to join us today to those in the room and to those online. I hope you enjoyed the video. Every time I watch it, I am impressed and energized. Rolls-Royce is a great company with a rich heritage, a company with so much to be proud of and so much potential. And it is that potential and how we will deliver it, we will share with you today.

We have been making progress in creating a high-performing, competitive, resilient, growing company. We delivered strong first half results helped by transformation and performance management. We are accelerating financial delivery and raised our full year guidance earlier this year. This progress gives us confidence in the delivery of our strategic plan and the midterm targets.

First, I would like to introduce my leadership team. They represent an outstanding mix of deep technical and commercial expertise and bring a fresh perspective. Presenting today, Helen McCabe, our CFO; Adam Riddle, Defense; and 2 brothers there, Rob Watson, Civil Aerospace; and Jörg Stratmann, Power Systems.

And here, but not presenting, we have Chris Cholerton, on the front row; and Nikki Grady-Smith, blue dress lady; and Simon Burr, just next to her, our technology crew, Sarah Armstrong, our HR Director; and Mark Gregory, our General Counsel. You will have the opportunity to meet them during the day.

As video suggested, Rolls-Royce is at a pivotal point in its history. This year, we developed a clear strategy that will see this great company perform to its full potential. We have made material progress, but there is more we want to do. That is what we are addressing today.

Today, the team and I will take you through how we plan to do that. I will start with this strategic update and share our midterm targets, then I will set out our clear and granular strategy. Following that, Helen will take us through the financials, including our capital framework. We will then take the questions from the room followed by an extended break, during which those in London can experience our on-site exhibition and those online can explore case studies and exhibits virtually.

When we return, you will hear from the 3 divisional presidents about our detailed strategic initiatives, which will -- which underpin our targets. We will conclude with a final Q&A and key takeaways.

I want you to leave today with a powerful sense that this strategy is clear and that it is different. It will take Rolls-Royce to a top-tier competitive performance.

It will be rigorously delivered, and it is owned by the whole organization. Everyone is aligned and focused on its delivery. I am proud of what our teams have achieved so far. This is our proposition which we shared with you before. Firstly, build a high-performing competitive and resilient business with profitable growth; second, grow sustainable free cash flow, generate cash from operations and be disciplined with capital investment; third, build a strong balance sheet and grow shareholder returns.

By doing this, we will become a stronger partner to our customers as they meet the challenges and opportunities that define the future. We will unlock the full potential as we translate engineering excellence into strong financial performance. We will have the financial strength to invest in growth and grow shareholder returns. And we will create more opportunities for our people. So everyone can be a part of an energizing, rewarding and world-leading team.

Turning to our differentiated position. We have a strong portfolio of products and technologies in attractive markets. From these positions of strength, we are transforming to become a stronger business with a high-performance culture.

In Civil Aerospace, we are positioned to grow in the wide-body and business aviation markets, which are market-leading, efficient and high-performing Trent and Pearl engine families. These products power the latest and most advanced aircraft types, such as the Airbus A350 and gas streams, G700 and 800.

In Defense, we are a trusted long-term partner to the U.S. Department of Defense and U.K. Ministry of Defense. We have an exceptional order pipeline in transport, combat and submarine, helping to secure our long-term growth profile.

In Power Systems, we have a greater mix of revenue in high power segments where the margins are stronger. This gives us a structural advantage compared to our peers. And in Nuclear, our capability is unrivaled.

We have the broadest capability in the industry and are leveraging it in the new markets such as small modular reactors, SMRs, and micro reactors. All of this is underpinned by our strong brand, deep customer relationships and partnerships. Our transformation is also making us stronger and more efficient and resilient. Transformation is driving high-quality earnings growth and more ratable and growing cash flows.

To achieve this, we need to work as one Rolls-Royce with different ways of working and driven mindset to make a difference and achieve win-win solutions with our partners; a differentiated culture -- performance culture, where performance is tightly monitored and actions are timely taken; a new organization to simplify, build capability and become more efficient; strategic clarity that enables a more focused and aligned organization, clear on accountabilities and sharing the same ambitions; a business which is externally focused and benchmarked. All of these will make us more differentiated. So you can see why I am feeling so confident about our future.

And of course, at all times, the safety of our customers and employees will remain of paramount importance. Let me take a few moments to talk about our advantage technologies. We are experts in systems integrations. Our customers are not just buying an engine. They are buying a solution that integrates into a larger system, an aircraft microgrid or yacht integrated seamlessly to create the power and propulsion they need.

Our advanced manufacturing techniques mean that we can consistently create complex and detailed parts to an exceptionally high specifications. Our expertise in controls and electrical systems underpins the high performance and reliability of our products. Our next-generation developments are also advantage.

Today, I will just cover two, UltraFan and Nuclear. UltraFan is distinctive, developed to be competitive in the wide-body and narrow-body segments. It has scalable trust ranging from GBP 25,000 to GBP 110,000, enabled by a gearbox that delivered 64 megawatt on test and aerospace power record.

The suite of UltraFan technologies delivered a 10% efficiency improvements on the most efficient engine available today. By the way, just to remind you, probably you know, but most efficient engine is our XWB-84. We can retrofit some of these technologies into today's engines, such as the Trent XWB to increase time on wing and fuel burn efficiency.

Next, Nuclear. Our distinctive nuclear capability means we are in the best position to play a leading role in the SMR and micro reactor markets. Our SMRs are based on a modular construction that reduces cost, risk and time to construct compared to large nuclear projects. Our micro reactor technology is being designed for off-grid nuclear power applications, answering the demand for energy security and low-carbon solutions.

Moving to our strategy. In February, we launched our transformation and strategic review to clearly set out how we could unlock the potential of the business. Our strategic framework is clear. There are 4 pillars, first, portfolio choices and partnerships, the markets we have chosen to operate in, businesses we want to invest in and the partnerships that will help create truly winning positions.

Second, our advantaged businesses and strategic initiatives, how we will create competitive business, expand our earnings' potential and sustainably improve our performance. Third, efficiency and simplification, the importance of a company-wide focus to drive synergies that will enable us to be more competitive and simplify the way we operate.

And finally, fourth, our commitment to the energy transition and capturing the benefits of becoming digitally enabled. This granular strategy will help deliver our proposition, to be a high-performing company with quality profits, competitive margins, growing sustainable cash flows and resilient returns.

Before I take you through each part of the strategy, let me share our midterm targets. We want to achieve these at pace. They are based on our expectations for 2027 time frame.

But if we can get there in an accelerated way, we will. These are compelling targets and mean a step change in Rolls-Royce performance. They are underpinned by our strategy and demonstrate we are creating a new company, taking Rolls-Royce significantly beyond any previous financial performance.

The high and achievable bar that we have set is reflective of our new winning mindset. We will quadruple operating profit from the 2022 baseline to achieve between GBP 2.5 billion and GBP 2.8 billion and we will expand our operating margins to between 13% and 15%, equal or better competitive performance benchmark against our peers.

We aim to grow sustainable cash flows to between GBP 2.8 billion and GBP 3.1 billion, more than 100% conversion of our improved profits. And finally, we are targeting 16% to 18% return on capital, improving by more than 10 percentage points compared to 2022, creating a compelling investment proposition.

Delivering these targets will mean we have created financially and operationally strong business. They are a milestone on our journey, not our final destination. I would like to emphasize this point, and we will continue to grow into the long term. As I mentioned in August, our progress in the coming years will be progressive, but not linear year-on-year.

We will provide guidance for 2024 at our results in February. This year, we are achieving good performance improvement. Our current trading is in line with guidance provided with our half year results, and it is unchanged. Turning to the operating margin targets by division. The targets demonstrate that we are building a business which will perform competitively or better than our peers.

Civil Aerospace has the biggest step change, moving from just 2.5% operating margin in 2022 to 15% to 17%. In Defense, we started from a stronger place but can still do better. We plan to improve to 14% to 16%.

In Power Systems, our most diverse business, we will deliver a step-up from 8% in 2022 to between 12% to 13% in the midterm. These are also all best on record performances and represent a significant performance improvement to unlock the potential in every division. They are underpinned by divisional strategic initiatives and efficiencies across the group.

Turning now to the first pillar of our strategic framework, portfolio choices and partnerships. Our strategy is granular. We are making choices and executing on them. This allows us to allocate resources more effectively and drive profitable growth.

We have segmented our portfolio into 3 categories: key investment areas for performance improvement and growth; partnerships to create truly winning positions; businesses and activities we will exit. Our strategic choices will drive value creation. We will focus our investments on areas where the market is attractive and growing, where we have or we could have a differentiated position with good market share, strong customer recognition, excellent products and technology that will generate midterm and long-term value so that we can win.

In Civil Aerospace, we will focus on wide-body and business aviation, leveraging the value from our Trent and Pearl engine families and investing for the future with the UltraFan. In Defense, we have opportunities for greater performance in transport, combat and submarines. We can also use our expertise in adjacent fields such as nuclear micro reactors.

And in Power Systems, we will focus on governmental marine and power generation end markets, where we see the strongest demand and an opportunity for better returns from our power dense and reliable solutions. In some cases, partnerships can help to strengthen our market positions, bring new skills, build capability and scale as well as derisk and reduce capital investment.

In Civil Aerospace, we believe we are well positioned to reenter the narrow-body market. By choosing a partnership approach for the next program, our UltraFan technology is a vital step towards this. At the right time, with the right partner, we will decide the next steps.

For SMRs, a broad set of partners will strengthen our position to deliver the overall solution and reduce the future capital call. We have extensive nuclear expertise, partnerships can bring funding and skills to complement this.

In Power Systems, our focused strategy in PowerGen will make this business more efficient and competitive and drive faster profitable growth. We are also considering potential partnerships to further grow our market position, broaden our power generation offering and benefit from cross-business synergies.

Battery storage systems are a logical complement to our stationary power generation business as we have transferable capability.

We are already developing a good position in Europe, a partnership with access to additional markets could strengthen our position. But this strategy is also about making confident choices on where we will not invest. We are looking to exit non-core businesses that are not a strategic fit for us, and we believe hold more value to others. In total, we expect to generate between GBP 1 billion to GBP 1.5 billion in gross divestment proceeds across all divisions during the next 5 years.

To be clear, we will only sell assets at the right time and at the right price. One point I would like to make, this GBP 1 billion and GBP 1.5 billion, obviously, is not included in our midterm targets. That free cash flow doesn't include that.

For example, in Rolls-Royce Electrical, we are looking at options to exit in the short term or alternatively for the right value, reduce our position to a minority share with an intention to exit fully in the midterm.

We believe, given the world-class capability we have built in advanced air mobility that this will represent good value to a third party and will allow us to focus on our core electrical engineering activities in Civil Aerospace, Defense and Power Systems.

Before talking about market growth, I want to talk about the current macro environment. Geopolitical outlook is uncertain. GDP growth in the next 10 years is expected to be lower than in the past. Inflation and interest rates continue to be higher, and this may continue for longer.

In the short run, we may see a recession and weakened demand in some parts of the world. Additionally, we expect industry-wide supply chain challenges in Aerospace to continue for another 18 to 24 months. However, despite these challenges, our focus is ensuring we are building a truly resilient business that is better able to manage this volatility and continue to grow.

Our strategic initiatives will enable us to grow at a rate above the market in some spaces. In some areas, we are somewhat insulated from market volatility. For example, there is a growing need for aircraft globally. Demand will continue to grow in data centers due to the increased demand for digitalization and AI.

We expect Defense budgets to continue to grow and these are partly insulated from GDP fluctuations. Looking at market volume growth rates, I will take each of these in turn, starting with Business Aviation. Market growth is forecast to be 3% to 5% per annum to 2030, growing above GDP, driven by an increasing number of high net worth individuals and new aircraft programs.

Rolls-Royce is advantaged in the large cabin market with a strong brand. Our position on the latest Gulfstream, Bombardier and Dassault platforms is driving higher than market growth. By the midterm, we will power 3 of the 4 fastest, largest, longest-range business aircraft, and we plan to have a fleet of more than 9,000 business jet engines.

In commercial aviation, in wide-body, market growth is forecast to be in the region of 5% to 7% per annum to 2030. This is driven by post-COVID recovery, fleet renewal and a growing middle class in markets such as India and China. We expect our wide-body business to grow faster than the market in the coming years mainly due to the platforms we are on.

We also have a new opportunity to grow in the freighter market due to the launch of Airbus A350 freighter. In Defense, the market in combat and transport is expected to be flat to 2% volume growth to 2030. We plan to grow slightly faster than the market as we delivered the newer aircraft programs we have won.

Submarines is also a growing market. Nuclear-powered submarines are critical in building strategic defense capability and our position as the provider of nuclear propulsion and power to the U.K.'s Royal Navy is unique. Australia will require nuclear propulsion capability under the August agreement with new boats that will be powered by our reactors entering into service in the early 2040s.

Over the long term, in Defense, our growth outlook remains really strong with up to 5% average annual growth expected from '22 to 2040. This is underpinned by our recent wins on FLRAA, in partnership with Bell, the B-52 reengineering program, Arcus and the Global Combat Air Program, known as GCAP.

In Power Systems, overall, we expect the market for power generation solutions to continue to grow at an average rate of 5% to 7% per year. We have a strong market position in mission-critical applications such as data centers, where we have more than 20% market share that generate more than 70% of our OE revenues.

Data centers are growing rapidly, driven by global trends for data processing and AI. Our Power System solutions currently back up every third e-mail sent in the world. Battery storage solutions are another growth market where we see growth of around 20% per year and an opportunity to benefit from the demand for low-carbon energy and expect to achieve profitable growth.

In mobile solutions, such as yachts, tanks, Navy and Commercial Marine, we expect average market growth of 4% to 6%, fueled by double-digit growth in governmental segments in the midterm. In summary, our portfolio is well positioned to capture growth in these markets. And given our focus on performance improvement, we will also be more resilient business, better able to manage and respond to external shocks.

Now let me take you through the strategic initiatives which underpin our profitable growth. On the left-hand side of the slide, you can see the relative contribution of each division with improved profitability in Civil, Defense and Power Systems. We also expect profits to benefit from portfolio choices, such as in new markets where we exit Electrical. The other exits are expected to have some adverse impact on profitability.

On the right-hand side, you can see the underlying drivers in each division, including the benefit of our group-wide efficiency and simplification program. The business presidents will take you through this in much more detail, but I'll give you the key points. I will start with the initiatives in Civil Aerospace, where we expect the most material uplift.

In Business Aviation, the market success of the Pearl engine family has been outstanding and we have a strong order book that is driving fleet growth. This positions us well to optimize commercial outcomes and grow our margin. In wide-body, there are 6 levers to improve LTSA margins that I have talked about before, three of which relate to cost and three to revenues. These are extending time on wing with better product durability and greater use of digital tools, lowering shop visit costs with better working practices, reducing product costs with better buying and engineering, keeping engines earning for longer with contract extensions and conversions, implementing a new value-driven pricing strategy to our new and renewing contracts as well as addressing onerous and low-margin contracts.

And finally, driving rigor on contractual terms and conditions. We have already made good progress on these items. In this period, we continue to improve our LTSA margins due to our performance improvements on 6 levers.

The same commercial and cost disciplines are being applied to other areas of our wide-body business too, with profitability improvements coming through in time and material, OE and spare engines. We also see a favorable spare engine mix with more XWBs contributing to our improved performance.

Growth comes on top of this. Our in-service fleet is growing faster than the market. We power 1/3 of the wide-body aircraft in service today. And in 2022, more than half of new deliveries in the industry were powered by Rolls-Royce engines. However, this growth along a '22 margins -- 2022 margins would only drive a small fraction of the improvement. We are guiding in the midterm.

We actually did this exercise. Our actions that are expanding the margins this year and in the midterm allow us to benefit from this growth.

Moving to Defense. This business was already performing well, but there is still an opportunity to improve through strong performance management, commercial optimization initiatives and efficiency. We have common growth drivers across transport, combat and submarines. Firstly, growth from volume and mix as we move from legacy programs to new funded programs. Secondly, the same focus on commercial optimization and value pricing behaviors as we applied in Civil. And finally, we are prioritizing investment as we focus our spend and benefit from an increase in customer-funded programs.

In Power Systems, our profit growth is being delivered by strategic initiatives, focused on Power Generation, Governmental and Marine end markets. In Power Generation, we are optimizing our cost structure and focusing on key markets to drive margin growth.

We are also expanding our micro grid solutions and extending our services offering in battery storage systems, which is moving to be a profitable business in the short run.

In Governmental, we are capturing near-term growth with scope expansion and investment. And in Marine, we are developing alternative fuel solutions to strengthen our synthetic fuel ready portfolio. As you can see in the graph, all our businesses see sustainable performance improvement from efficiency and simplification initiatives.

This brings me on to the third strategic theme. We had a total cash cost to gross margin ratio of 0.8 in 2022. And before that, 0.9 in 2019. I'm skipping for obvious reasons, all the COVID years. You can calculate them, but they are not positive numbers. This is around twice the best-in-class level for a business like ours. This will approximately halve by midterm taking it to a market-leading level.

To achieve this, we are tackling costs from multiple angles. Firstly, we are rightsizing the organization and ensuring it is structured to support sustained efficiencies. We have already announced plans to reduce the number of roles across the company by between 2,000 and 2,500.

We expect this to be largely completed by the end of 2025 with an annualized sustainable benefit of around GBP 200 million. We expect severance costs of between GBP 200 million to GBP 250 million, which will be taken as an exceptional charge.

The new organization will be aligned to strategic delivery, removes duplication, enables simpler, more agile ways of working. It will be underpinned by upskilling more efficient processes, better use of technology and a common operating model.

Next, procurement excellence. We have plans to deliver around GBP 1 billion of gross third-party cost savings over the next 5 years, which will help offset the impact of inflationary and product cost increases.

We announced last month a new enterprise-wide procurement and supplier management structure to further build capability and leverage scale. One recent example of procurement improvements was a review of our building services contracts, which cover around 70 sites worldwide and had not been reviewed for 8 years. We retendered this contract and achieved GBP 38 million savings over 5 years.

And finally, zero-based budgeting. We have set a 10% to 15% reduction in targeted areas. Starting next year, we are taking a clean sheet approach to spend. Both Helen and I have experience in this area. I am confident this level of benefit can be delivered. We are also aligning R&D spend to our strategy, for example, through the exit of Electrical. And we are benefiting from increased third-party funding.

TCCGM is an important metric. We track and pay attention to it because it is a measure of the operating leverage of our business and its resilience. Across the group, our efficiency initiatives and the choices we make will deliver sustainable and sustainable is the keyword here, sustainable annualized savings of GBP 400 million to GBP 500 million in the midterm, making us more competitively advantaged and fit for the future.

Turning to the first part of our fourth strategic pillar, lower carbon. We are committed to becoming a net-zero company by 2050 and supporting our customers to do the same. We will play our role to reduce emissions within this strategy. This will also create new growth opportunities. Our foundations to do this are already in place.

We are making good progress towards making our own operations net zero with a 60% reduction in our Scope 1 and 2 emissions achieved since 2014, but there is more to do to fully decarbonize.

For Aerospace & Defense, the best solution to decarbonize is sustainable fuels, which can deliver an 80% reduction in life cycle carbon emissions compared to fossil fuels. All the commercial air engines we produce and our most popular reciprocating engines are now all compatible with sustainable fuel.

We are excited to announce that today, we are powering Virgin to make the Rolls' first transatlantic 100% safe flight with a commercial airliner. I don't know if you have seen it outside. Unfortunately, it sort of had some delay, but it is now there. I'm told. So around 12:00, it actually took off. And given that we expect that to land in JFK around 3:30 local time. But this is not all because our Defense team supported RFA's first 100% safe flight on a voyage aircraft last year.

In Power Systems, we are evolving our engines and developing alternative fuel solutions such as methanol, hydrogen, hybrid and battery storage solutions. In partnership with super yachts shipbuilder, Lürssen, we are already working on offering methanol-powered engines for super yachts.

And in Nuclear, I already talked about the potential opportunities with SMRs and micro reactors, which will be needed to decarbonize the grid and can produce the power necessary to create synthetic fuels.

In addition to the U.K. interest in SMRs, we are deeply engaged with governments, developers and potential industrial customers in Czech Republic, Finland, Sweden, U.S.A., Poland and the Netherlands.

To summarize, we will transform our business to low carbon without requiring high levels of investment today or in the midterm and the energy transition creates new opportunities. Second element of our fourth pillar is digital enablement. We are focused on 4 areas of innovation: enhancing the customer experience, accelerating the product design, improving manufacturing, and empowering our people.

Let me give you some examples of where we are already in action and where we see further potential. Starting with customers. Our intelligent engine platform provides two-way communication with our engines, delivering vital health and performance data to our secure cloud. With digital twin capabilities, we

can predict the forecasted time an engine stays on wing. This is improving dispatch reliability and reducing disruptions for our customers and their passengers.

Our future vision is raising the bar to 100% availability. If you imagine that world where everything is planned and predictable improving the service we offer customers. Secondly, digital tools impact how we design, build and transport our customers' fleets.

Powerful virtual simulations can save up to 25% time in the rigorous development and certification testing of new engines. Taking this to the next level will accelerate product development of new technologies to market. Using AI will create new versions of existing products 15% faster, reducing the cost and accelerating the time of bringing new engine programs to market in the future.

In manufacturing, we continue to improve by having more insight into operational performance. Our turbine manufacturing process leverages AI machine learning using data science to better understand the turbine cooling hole, cutting process, predicting defects before human inspection.

If you want to know about more this process, here is the man, Simon, there. So for any questions.

But in the future, we will enhance this technology with visual AI to inspect parts given real-time results and revolutionizing routine maintenance. And finally, we are empowering our people to transform their working environment with the right digital tools and fostering a digital culture.

Looking ahead to the future, we aim to remove 20% of repetitive tasks using automation, Generative AI and digital assistance, reducing cost and giving our people more time to focus on higher-value activities. We are already in action, but there is also a lot more to do and therefore, more opportunity in this area.

Before I close, I want to share why am I -- I am excited about our long-term outlook, too. I have spent time on our strategy and shown the rigor underpinning our midterm targets. Obviously, division presidents will give you a lot more than I did. The same drivers underpin our long-term growth opportunities, too.

In Civil Aerospace, the long-term growth is being driven by the strength of our Pearl and Trent engine families, which will power the in-service fleet well into the 2040s. In Defense, we will see the benefits of recent wins, such as B-52, FLRAA, Arcus and GCAP programs. These programs will ensure we continue to grow in these markets with engines that will remain in service for 30, 40 years after they are delivered.

We also see long-term potential for our competitive portfolio of Power Systems products. Development of more fuel-efficient platforms and adaptation to new fuel sources will drive demand. SMRs have a compelling long-term growth story. We could have the first units producing power by early next decade if orders are placed soon.

And there are also new business opportunities such as narrow body aviation where we are well positioned to partner on the next generation of aircraft with the UltraFan and in Nuclear micro reactors too.

In closing, I am confident and excited by the potential I see across Rolls-Royce. We have the expertise, drive and the team to deliver this. We have a strategic plan to deliver our Rolls-Royce proposition to become high-performing, competitive, resilient and growing profit and sustainable cash flows.

We will also have a strong balance sheet and growing shareholder returns. We have made a good progress in 2023. We are accelerating financial delivery. Our progress so far and transformation actions give us high confidence in the delivery of our strategic plan and midterm targets.

Our strategy is granular. We are clear on the choices we need to make to shape our portfolio and prioritize investment. We have strong foundations and advantaged businesses in growing markets with performance improvement initiatives, which are underpinned and owned.

The organization is aligned and mobilized to succeed with a more efficient and simpler structure.

Our businesses are capable of delivering low carbon solutions and digitally enhanced processes and services. All this is enabled by our new mindset, better ways of working and our performance culture.

These elements combined will create a distinctive capability in the industry. This is evident in the targets we have set, targets, which represent a step change in performance to make Rolls-Royce financially stronger than it has ever been. We are building one Rolls-Royce, a company that will be able to deliver on the potential of our world-class technologies, invest to grow, lead the next-generation, thinking for our customers and play an important part in the energy transition. Thank you. Now I'm going to hand over to Helen.

Helen McCabe*CFO & Director*

Thank you, Tufan. Good afternoon, everyone. It's great to have so many of you with us today in the room and watching online. Tufan has set out our strategic frame and midterm targets.

I will now take you through my key priorities as CFO, our free cash flow growth and our plans to strengthen the balance sheet and our capital framework.

Before that, I'd like to share my initial reflections since I joined Rolls-Royce. First, I'm delighted to be here. Everyone has been hugely welcoming. We are all focused on working together to deliver Rolls-Royce full potential. Rolls-Royce is renowned for engineering excellence.

In my first few weeks, I visited our sites across Europe, the U.S., and the U.K. and saw this firsthand. It was great to walk the factory floors and see some of the world's most powerful efficient engines being built. Our products, power, protect and connect the modern world. That's quite a nice thing to be able to tell your kids when they say, so what is it you actually do at work all day.

I've also been struck by the passion, commitment and motivation of the people I've met. They are hugely proud to work at Rolls-Royce and rightfully so. However, we need to capitalize on our advantaged positions and be more deliberate in our strategic choices. We need to improve the quality and grow earnings and cash flows to deliver the financial performance we are capable of and that investors deserve and expect from us.

We have made substantial progress this year. That was evident in our first half results and our full year guidance, which we reconfirm today. We have started the journey, but there is much more to do.

Before Rolls-Royce, I spent 30 years in large complex global businesses with engineering and technology at their heart. I was a CFO of a global business with multiple divisions, which is a profit of more than \$10 billion, a business where Tufan and I previously worked together, including on material transformation programs.

In the last one, costs were reduced by \$3 billion and the earnings potential of the business expanded by more than \$5 billion. Transformation is not easy, but it can be done.

That's the opportunity that attracted me to this role. And it shapes the 4 big priorities I have as CFO. These are: first, integrated performance management. One of the outcomes of the strategic review is the need for improved processes and a stronger culture of integrated performance management. In my previous business, my approach was that strategic plans were linked to annual budgets, which in turn were linked to in-year performance management. We actively tracked performance and made interventions proactively. Targets were underpinned and owned across the whole of the organization. That was not done well at Rolls-Royce. That's already changing in 2023, and we will strengthen it further.

Second, commercial and cost optimization. My focus is to develop sharper commercial acumen and a more cost-conscious culture. I support a philosophy where everyone acts like an owner. They treat every pound spent as their own and make it count. That's the mindset we are driving for. We're already upping our game with new frameworks and better training in place to build skills and capabilities. Again, still more to do.

Third, delivering a sustainable improvement in working capital; and fourth, our capital framework. We need a strong balance sheet. I will come back to the last 2 as their key priorities. Before that, I will turn to free cash flow. We had a clear ambition for what Rolls-Royce can deliver. It is based on extensive

benchmarking, the rigor of our strategic review and our transformation plan. In the midterm, which we see as being around 2027, we are targeting between GBP 2.8 billion and GBP 3.1 billion of free cash flow, a growth of around GBP 2.5 billion compared to 2022.

Let me walk you through the main elements of this growth. Operating profit growth between GBP 1.8 billion and GBP 2.1 billion over the period is key. We achieved that by sustainably expanding the earnings' potential of the business, by being laser-focused on our strategic choices, by having all divisions firing in all cylinders and by driving for an improved quality of earnings as demonstrated in the margin targets we have set.

We are making good progress. 2023 profits and margins are forecast to be materially above those of 2022. Our investment approach will be disciplined with spend targeting strategic growth, including the innovation and engineering excellence we are renowned for. We plan for CapEx and R&D to be above depreciation and amortization across the period. This compares to 2022 but it was approximately GBP 300 million below.

We expect the net Civil LTSA balance to grow between GBP 0.8 billion and GBP 1.2 billion per annum. This compares to a net growth of around GBP 800 million in 2022. And on working capital, we are forecasting a release over the midterm.

Then cash tax payments. These will naturally increase in line with our profit growth. And as we pay down debt and strengthen the balance sheet, our financing costs should we just compare to the GBP 350 million outflow in 2022.

Last, the cash cost of closing out historical overhedged positions, which were a drag of GBP 300 million in 2022 will be going by the midterm. Our actions will make our cash flows more robust and ratable with our free cash flow to operating profit ratio improving across the period. Whilst we expect cash flows to grow in all years between now and the midterm, it is important to note, it may not always be linear, due, for example, to the timing and mix of shop visits.

I will now dive deeper into the Civil LTSA balance. A key driver of our Civil Aerospace business model is that we received cash inflows from engine flying hour receipts ahead of shop visit costs being incurred. The best way to understand the true cash impact to Rolls-Royce is to look at the net movement of the LTSA creditor, the offsetting LTSA asset and the prepayments we make to our risk and revenue sharing partners.

This chart shows that. It shows the expected growth in the net LTSA balance. As I said, we expect this growth to be in the range of GBP 0.8 billion to GBP 1.2 billion per annum to the midterm. Why? First, we have strong positions in growing markets, we expect robust growth in our engine flying hour receipts as the market continues to recover and grow and as our fleet expands, we expect large engine flying hours to grow between 120% to 130% of 2019 levels by the midterm.

Second, Business Aviation. Here, engine deliveries will grow to 250 to 300 per year, which compares to 165 in 2022. These engines are used less intensively than wide-body ones. So the time between shop visits is longer, driving the LTSA balance growth. Third, on a normalized basis, we're also achieving a higher average rate per engine flying hour from our contracts.

On top of these initiatives, we are seeing the benefit of some of our other strategic initiatives, including time on wing. As you'll hear from Rob, and if you get the opportunity from our great teams who are managing the expos, we have a comprehensive plan to extend the time and wing of our modern engines. However, we still expect large engine refurbs to grow to 700 to 750 in the midterm.

And finally, currency. The consumption of our legacy hedge book means our midterm guidance assumes a blended ForEx rate of around \$1.36 to the pound compared to \$1.50 in 2022. This drives a higher sterling equivalent for our dollar-based inflows.

So as you can see, there are several factors that influence the net LTSA balance growth. As the gross numbers, such as invoiced flying hour receipts are large, there can be a degree of volatility in any given

year. To recap in LTSA, the growth in engine flying hours, the shape and expansion of our engine portfolio and our strategic initiatives will drive growth in our net LTSA balance each year.

Working capital. It is a key focus for me -- for us as we look to strengthen our balance sheet and improve our return on invested capital. We have a detailed plan to drive a material and sustainable improvement across the period. However, some of this benefit will be offset as we address legacy headwinds and support the business as it grows.

Overall, as the chart shows, we expect a net release of working capital over the midterm which will further increase our net liability position. Let me unpack that for you. We have completed a detailed analysis of each business, including industry benchmarking.

We have detailed insights from this work, if I share just 2. First, we found that supply chain management and production plans were not as tightly linked as they should have been. And second, the supplier and customer terms were not always clear, consistent order Tier 2. It was clear that we were and are leaving value on the table.

Insights like these have helped us design programs that will support the sustainable release of around GBP 2 billion of working capital benefits. The largest opportunity relates to inventories. We are targeting a meaningful reduction in inventory days. Some of the steps we are taking across the group includes improved demand planning, ensuring we order parts and materials only when they are needed, reducing holding times in our warehousing and optimizing buffer stocks.

In Power Systems, for example, we found we were holding several years' worth of stock when it was not needed. The team will now own that. In Civil, we are reducing unnecessary buffer stocks by almost GBP 100 million this year. Across all our businesses, we are improving how sales and operation planning links to inventory planning. Mindful of current industry challenges, we are also improving our supply chain management. We are working closely with our suppliers and we are driving tighter management of lead times, ensuring we have inventory when and where we need it.

We are making progress. We expect to release inventory in the second half of this year. We also see an opportunity to improve receivables. Squads are in place to drive down unbilled debt and ensure it does not build again. For example, in Civil Aerospace, we have sped up by more than 25%, the invoice review process when engines are overhauled. And there is more Rob's team tell me they want to get after.

These improvements mean we had a clearer, quicker and consistent view of what should be built and when, better for us, more predictable for our customers. We are also reviewing customer payment terms and sticking to them more consistently. We have implemented a new tool across the group that gives us a more granular real-time view of customer debt than we ever had before.

It allows us to be more proactive and follow up on accounts before they become overdue. And we're also improving our payables performance through being more disciplined and consistent in supplier payment terms. So lots to get after and a lot still to do. The team are owning and driving these changes.

But there are a few headwinds, the largest being an outflow associated with concessions, totaling around GBP 800 million across the period. There are 2 roughly equal parts to this. First, deferred Boeing concession payments, GBP 200 million of which impact 2023, which we have already guided.

Second, an impact from historical agreements with customers to delay concession payments owed to them. These deals date back several years, in some cases, more than a decade. Our focus is now sustainable and quality cash growth.

Next, as group revenues grow between 2022 in the midterm, this will naturally result in a relatively small increase in working capital. But the big picture is we expect to release working capital over the midterm. We are managing working capital differently. We are managing cash differently. We are focused on sustainable improvements, delivering a higher quality of cash flow.

With that, let me move to our capital frame. Our capital frame is focused on 3 clear priorities: a strong balance sheet with an investment-grade profile, a commitment to growing shareholder returns, and a

disciplined approach to investments. Strengthening the balance sheet is a clear priority. We are positioning Rolls-Royce to better withstand volatility and external shocks and give us financial flexibility for the future. Better for us, better for our shareholders. Our cash flow growth will enable us to reduce our gross debt by paying down our near-term debt maturities as they fall due, namely the EUR 550 million bond in 2024 and the \$1 billion bond in 2025.

The increasing strength of our liquidity position means we may also look to close some of our more expensive undrawn facilities early. The result in improvement in our net debt-to-EBITDA ratio will make our balance sheet much more resilient and should position us comfortably with an investment-grade profile, which we intend to maintain.

When we are confident that the strength of the balance sheet is assured, we are committed to reinstating and growing shareholder distributions. Whilst we're not at this point today, we expect to be there in the near term. And our current thinking is our policy going forward will be based on an earning payout ratio.

This should result in growing shareholder distributions, consistent with our expectations of profit and cash performance. Once the criteria for a return to distributions are met, I will come back and share more.

The final area of our capital framework is our approach to investments. We will prioritize the most profitable growth opportunities across all of our businesses and allocate the appropriate level of funding to them to drive increased shareholder value. These investment decisions are ranked based on strategic fit, where we can and want to win.

We have strict investment hurdle rates in the mid- to high teens for our 3 established divisions. We also have a group-wide investment committee process where Tufan and I review and sign off on all investment cases above GBP 25 million. To summarize, we are building a strong balance sheet, which will underpin an investment-grade profile in the near term.

When we have strengthened the balance sheet, we plan to resume shareholder distributions. Thereafter, we will optimize between shareholder distributions and further investment in the business. And our investment decisions are focused on driving greater value creation.

To close, we are driving for a sustainable and higher quality growth in earnings and cash, with an improved return on capital. This is underpinned by better operating leverage. We have a clear capital frame centered around creating and maintaining a strong balance sheet with an investment-grade profile.

We are committed to resuming shareholder distributions in the near term. Our investments and allocation of cash will always be returns and risk-focused and anchored and strategy. We are ambitious for the business. These are big steps we are taking. There is more we need and want to do, and we have the detailed plans to deliver our targets. And I am confident that we are building the financial strength to shape and own our future.

With that, let's move to Q&A. Thank you.

Question and Answer

Tufan Erginbilgic*CEO & Executive Director*

Thanks, Helen. Okay. Now we are going to open up for questions. David, I think you have sort of somewhere -- yes, that should work, hopefully.

David Howard Perry*JPMorgan Chase & Co, Research Division*

David Perry from JPMorgan. I've got 2 on -- and maybe the only 2 I'm allowed today. On Civil Aero, the first is, I'm a bit surprised by your view of engine deliveries, I think it's GBP 300 million to GBP 350 million, which looks quite light compared to what Airbus and Boeing are guiding to. So can you just talk to that? Have you taken a haircut or have you assumed a very low market share on the 787?

The second one is more philosophical. But based on the plan outlined today, you're going to be very profitable and very cash generative in the next few years. Are you still wedded to the LTSA business model? We know other companies are trying to encourage some of their customers to go towards more time and material. Did you consider that in your strategy review?

Tufan Erginbilgic*CEO & Executive Director*

Okay. Thanks, David. I think, first of all, on your second point, sort of LTSA business model. I mean I said it all along that, that business model actually works well if you price the risk well. So because who is complaining in a high interest rate environment, getting the cash in advance. But it comes with a risk profile that you need to price well. Second thing I'm going to say on that, our strategy is not unbundling time and material.

So by doing that, we are actually creating flexibility for ourselves because your EFH rate effectively doesn't include time and material, and that gives us flexibility and that is a change in strategy without any doubt because that change we actually made this year, effectively.

So -- and I know you are keen to sort of do we have a margin on it. We definitely have good margin on LTSA. And I can categorically tell you, given the program, 6 levers I talked about. And frankly, Helen touched on time on wing as well, those levers will actually improve, not only contract profitability, but also our LTSA margin in this period. So I think your first question was -- I think our plans -- I'm going to make it very simple. Our plans are totally in line with Boeing and Airbus plans. They are totally aligned.

There was one question sort of 2 rows behind David. I don't know if still exists. But okay, over to you.

Robert Alan Stallard*Vertical Research Partners, LLC*

Rob Stallard from Vertical Research. A couple of questions, only allowed 2. First of all, on the disposals, GBP 1 billion to GBP 2 billion of gross proceeds. I was wondering if you could elaborate on what sort of assets you're looking to get rid of. You mentioned Electrical, but -- and also what revenues those businesses might be generating at the moment? And then with regard to the LTSA balance, the other part of that equation, of course, is the trajectory of shop visits so if you just give us some idea of how that's going to pan out over the medium term.

Tufan Erginbilgic*CEO & Executive Director*

So I think I'm going to pass to Helen in a minute for shop visits. On divestments, I actually said GBP 1 billion to GBP 1.5 billion, you inflated that to EUR 2 billion. But if we can achieve that, we will. But so -- but I think it is GBP 1 billion, GBP 1.5 billion. And I said it in my conversation, effectively, it is -- when you have granular strategy, day 1, some of you, I don't know how you help when I said, we need a granular

strategy. It does many things for you. It becomes performance management and engagement to, I won't talk about it in divestment context. But what it does is it gives you line of sight, not only at divisional level, really subdivision, subsegment level.

Then you decide with that kind of granularity, do you want to invest in that business or not. You can make decisions at that level. And that's what we are talking about here. Therefore, we set it across the group. That means all the divisions by definition, and it is true. And obviously, we specifically, why did we talk about electrical specifically today because it is, in a way, one division that I needed to sort of highlight, but others are actually subsegment, subdivision level.

Helen McCabe*CFO & Director*

I'll take the question on shop visits. So thank you, Rob. So as I said, so LTSA balance growth, we expect that to be in the region of GBP 0.8 billion to GBP 1.2 billion per year. As I said, there's a number of factors which does influence that, which is why we've given you a range. Shop visits and the mix of shoppers, it's being one of those. If I look out towards the midterm year, I think it's probably hold in your mind when it comes to shop visits in total around 1,400 to 1,500, that compares approximately to be about 1,000 or 1,100. And Rob, I think, will give you more detail. He's given me the thumbs up. He'll give you more details specifically on the large engine shop visits when he talks. I don't want to steal his thunder, but I've given you the total.

Tufan Erginbilgic*CEO & Executive Director*

The multi -- but you were the first one, then I'll come to you guys. Yes, go for it. Can you -- do you mind using microphones because nobody -- online, they cannot hear you.

Nicolas Ducarre*Spinecap SAS*

Yes. Can you hear me?

Tufan Erginbilgic*CEO & Executive Director*

Yes.

Nicolas Ducarre*Spinecap SAS*

Nicolas Ducarre from Spinecap. So just a question on tax. You mentioned tax is naturally supposed to increase going forward. I think there's a big element regarding tax, which is the amount of net operating losses that [Widerøe] has accumulated over the year. That's a giant amount. Some is disclosed and recognized in the statements, some is not. And it's -- at least for me, it's a bit complicated to understand to which extent you will be able to use those losses and offset them against profit. And it's not very detailed in the materials you provide. So do you plan to have a workshop on this? Because this -- I mean, this could be quite a lot of value, to be honest.

Helen McCabe*CFO & Director*

So great question. So I'm happy, so we can take offline with the IR team and take you through more details, but a couple of things I would say on tax. So you're absolutely right. I did say that we expect our tax charge to increase, as you would expect, in line with profit.

I think from a modeling perspective, if you hold a cash tax rate for certain mid-20s, that reflects our geographical spread. Some of the shields that we hold in relation to tax in the U.K., if you go back and you look at our half year accounts, we do have a deferred tax on the balance sheet of about GBP 2.8 billion. There's some of that, which is not recognized on the balance sheet. That becomes complicated.

But looking as we put the plan together, I do expect that deferred tax asset on the balance sheet to come down over the period.

But it is rather complicated by how you bring on some of the new elements that haven't been recognized so when -- but we have looked at that and modeled it, but that is not driving any of our, obviously, profit and cash flow growth going forward. But happy to take you through that in more detail offline.

Tufan Erginbilgic

CEO & Executive Director

On the third row, there's a lady and man. Ladies first, then we go from there.

Charlotte Anne Keyworth

Barclays Bank PLC, Research Division

Charlotte Keyworth from Barclays. I just had one question actually on pricing. You mentioned about the -- one of the factors in the LTSA balance growth was actually your engine flight hour for widebody increases. I know it's a commercially sensitive topic, obviously, but you've seen some benefit from that already in the first half of the year. How much -- how should we think about that from a sort of tracking perspective to the medium term? Obviously, you've been coming discussions. I should imagine some engines are easier to discuss than others in terms of potential uplift, but I'm just really...

Tufan Erginbilgic

CEO & Executive Director

Short answer is, obviously we want -- I mean, as I said, sort of, we always want win-win solutions with our customers. And that goes into also contract question. But contract improvements, the way you need to think about how do you improve profitability of contracts. We actually have 6 levers. Pricing is only one, right?

So I'll come back to your question. I'm not sort of deflecting on it, but it is important that we have other levers. When it comes to pricing, yes, we take commercial actions because we need to reflect the risks. My answer to David's question because new engines have more shop visits and so on. This is an industry issue, industry, more fuel efficiency, that means engines come to shop visits more often. So we need to price it in the right way. Yes, Helen said it already per rate, you should expect that to go going forward every year, and that is effectively what we have here. Helen, do you want to add anything to that?

Helen McCabe

CFO & Director

I think you've covered it. And I think -- I don't know if this is behind your question, but maybe just an additional piece, I think we're saying that by the midterm when we get to that year, then substantively. We have unwound the majority of the onerous contract provisions. So I think it's most definitely not back-ended by 2027 and we do expect to have worked most of that through. Yes. Thank you.

Tufan Erginbilgic

CEO & Executive Director

Thanks, Helen. We'll go -- okay, there are three. I didn't realize it is three. Okay. I thought it was two.

Unknown Analyst

I guess two questions [indiscernible] You said CapEx and R&D are going to increase going forward in [indiscernible] going forward? And second question on XWB-97 engine explaining about the durability of those in engines? You guys have like comments in it?

Helen McCabe

CFO & Director

You want me to repeat the questions?

Tufan Erginbilgic

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CEO & Executive Director

No, that's fine. We will repeat. Helen, do you want to pick up the first one? I'll take the second one.

Helen McCabe

CFO & Director

Fantastic. So two parts to your question. So CapEx and R&D. So we're not going to get year-on-year guidance. But I think easy way to hold the CapEx is our net investments are increasing each year. And if you use 2022 as a base, actually, over the midterm, they're going up by more than GBP 300 million, yes, versus 2022.

R&D, indeed, the simplest way to hold that is we expect our gross R&D spend to be broadly flat over the period. Now the important thing to remember there, when I speak to R&D and CapEx is because of the actions that we're taking as part of our strategic review, our portfolio will be smaller and more focused. So actually, that isn't a like-for-like portfolio base spend. But I think those two data points will help you with that triangulation.

Tufan Erginbilgic

CEO & Executive Director

Okay. I want to be done with that role, and we will go somewhere else. XWB, Sorry, 97. Let me tell you this, first of all, the best engine in the industry is XWB-84, right? So let's not be sort of -- it is the most efficient durability and reliability perspective best engine. If you count to XWB-97 higher thrust engine, the same sort of family, I should say. And it is actually a very good engine. It has been out there almost 5 years.

If you look -- we sell it really well, and Airbus sells it really well, therefore. In benign environments it is very good engines. Only in very harsh environment, like sand, et cetera, then obviously some Middle East sort of Middle Eastern countries sort of tend to be in that category. What we are looking to do in this period are time on wing improvement for all the engines that also include 97, and it will actually improve in that period significantly, and it will be like R84, if you like, because it will further improve benign environment, time on wing, but also it will significantly improve non-benign environment. So I'm going to move that way because otherwise, let's go there.

Charles J Armitage

Citigroup Inc., Research Division

Charles Armitage. A couple of questions. First of all, resilient. It's on either side of you. You are the least resilient or Rolls-Royce, [indiscernible] during COVID, GBP 4 billion outflow, GBP 1 billion of that was factoring, but so GBP 3 billion underlying, MTU had 0, Safran has cash inflow. How are you changing the way you do business to make that more resilient?

Tufan Erginbilgic

CEO & Executive Director

Very good. Great question. The heart of what we are doing. So let's talk about that, right? Your cash cost to gross margin ratio is [0.9] in 2019. So going into COVID, Rolls-Royce had 0.9. I run lots of businesses in my career. I never seen 0.9. Frankly, it is a revolution for me, right? So there is always learning opportunity in life. But -- so -- when you are a 0.9, what is it telling you? You don't need COVID. You need a good recession. We are going to be in negative territory, right?

That is the mindset. You may look at it, you may say too funny to scale this that today's targets telling you that is a mindset and the performance improvement and how you actually run the business, right? If you allow that to happen, you will never be resilient. Now you come to point 4, which is I talked about, if you remember, that business enormous, the resilient.

But I'll give you another lens on resilience, right? What this plan is saying because we are not creating value not only in similar space, but actually 2 more ratable businesses, Power Systems and Defense, their cash generation will be a lot more than in the past. What does it do? Ratable break? So you not only sort

of TCC GM resilience, you also create cash generation perspective, 2 rigs that actually not volatile as much as Civil Aerospace. And then you think you do [indiscernible] in similar Aerospace, you create that TCC GM lots of room to play with when the volatility comes. That is what we are doing with this program.

So this is not bunch of numbers, they look cash is good profit, whatever, however you hold it. It changes the shape of the business. Therefore, I say it transforms the business right? Those words there actually mean something for us, every one of them, and that's what we are doing. That is mindset. If actually roadshows did that in 2019, they would have dealt with COVID a lot better than I can tell you, a lot better.

Charles J Armitage

Citigroup Inc., Research Division

Excellent. Sorry, my second question, if I may. The -- you mentioned about LTSAs and pricing the risk correctly. Presumably, you have plans on how time on wing, how the cost of the overall -- the cost per hour will be coming down. How can we get comfortable as external people the -- how can we get comfortable that those are priced appropriately and that you haven't made on the downside, huge assumptions that time-on-wing is going to get up, you priced it accordingly. And if it doesn't come in, like that, those downside risk, how can we get comfortable with that?

Tufan Erginbilgic

CEO & Executive Director

So I think Rob will talk this afternoon. So the time-on-wing improvements, we are planning next 3, 4 years 40% improvement, right? All the engines will improve sort of varying degrees, not all the same, obviously. Most improvement will come from 97 and Trent 1000 as you may expect, frankly.

So I think that's the -- in contract accounting, frankly, when we deliver that time-on-wing, I think there is an upside, I would say. But we put normally contingency in case it is not delivered. What it does tell you is actually, when we deliver, there is going to be upside because of the contingency, right. So -- and I think Simon is here at break. He can explain to you how we are going to do that.

But I'll tell you, Trent 1000, we doubled the cycle time already. Once it is certified next year in Boeing, it is actually with Boeing, there is nothing we can do or should do. It is technically right. They know it is technically right. We need Boeing FAA certification effectively and that's going to more than double Trent 1000 cycle time already. This is not a sort of new work. Let's see what the engineers do. It is done. We know it works because we did the same in Trent 7000, it works. They are sort of broader engines, if you like.

Helen McCabe

CFO & Director

So we've also got the [indiscernible] outside actually with the teams and you'll hear the passion from them about what they're doing on time-on-wing. So it may be a nice one to visit, but you'll hear the motivation, the detail from that as well.

Tufan Erginbilgic

CEO & Executive Director

Very good reminder. I'll go there -- sorry, I need to go to you. Otherwise, we will have a problem, sort of revolution. Thank you.

Nick Cunningham

Agency Partners LLP

Nick Cunningham from Agency Partners. I hope you don't regret allowing me to ask my question. It's a technical modeling type question really, which is -- you're giving absolute numbers for 2027 for some numbers. Is there an inflation assumption built into that? And if so, what is it? Or is that all on 2023 prices?

And then if you like the sort of second, but very related question is that the cost reductions, for example, GBP 400 million to GBP 500 million total cost reduction you've talked about, is that an absolutely lower cost relative to 2022 base? Or is that relative to where you would be in 2027 based on the volume expansion you expect?

Tufan Erginbilgic*CEO & Executive Director*

Okay. We don't do small [indiscernible]. I'll tell you that. I think second part of your question is very clear. It is lower cost, GBP 400 million to GBP 500 million, okay? There is no -- it could have been this, it would have been this because this is not a financial modeling, right? We spent good time on strategic review. Then to me, financial plans are strategic plans. You just financialize the strategy you work. By the way, when you are working the strategy, you are already financializing, right? So what is the growth potential of this market? Are we differentiated? How much we can grow? That's in a way financialization already, right?

Then we translate all those into 5-year plan. Therefore, this is not a sort of less model things. So it is pretty much grounded in our strategic review and the financials. Yes, it has inflation assumptions, ForEx assumptions and so on and so forth. We won't share it with you, but sort of you can see where the world is going. Obviously, front-end higher inflation, lower than sort of less so. And then that applies to cost, et cetera and so on as well as obviously top line. Yes, we do apply. I'll go here.

Julian Cook

Julian Cook from ATKA Capital. It seems that on the narrow-body, you've already made a decision to partner as opposed to maybe going on your own. I mean we saw -- you used to be with Pratt and obviously decided not to go ahead with the geared turbofan, which with hindsight is probably a good decision. Why so early decision not to perhaps go on your own?

Tufan Erginbilgic*CEO & Executive Director*

So I think what we are saying is given the great work, Simon and team did it on UltraFan, frankly, for some years. That -- and the IPs we have on UltraFan, I think we are well positioned for wide-body as well as narrow body. Yes, we are seeing financially, I think sort of to derisk things a little bit, partnership approach will be a good approach for the next generation.

Obviously, partnership needs to work. If it doesn't work, we can consider alternatives because we are actually bringing a technology into this. So that's how we see it.

Unknown Analyst

Yes, following up on narrow body. Does it really make sense to entering that space through a partnership? It's a very competitive playing field and is it worth the investment?

Tufan Erginbilgic*CEO & Executive Director*

Okay. I will disagree with you. I never called duopoly very competitive place, but the economics books will disagree with you, I think. But -- and duopoly, it is. So -- and with [indiscernible], we can go in because of our technology and engineering and so on. But we are the probably only one who can go in. So therefore, for the -- we will -- I said it day 1. We will not do anything, which is not going to bring profitable growth. We are -- we don't want -- I want you to take away from this.

To deliver these numbers and grow beyond that, we don't need to answer narrow body. It is an opportunity. And given there are only few companies, I'm not going to name others in the world who can actually do that with partnership approach, I believe it can be a profitable place. And if it is not profitable, we won't do it because we don't need to do it. Roger.

Unknown Analyst

So if you're. Your financial targets are met, ballpark, not exact numbers, but something like over the next 4 years could generate, call it, GBP 10 billion of free cash flow, there are not that many high-quality growing companies in the world with high barriers to entry that could convert half of their market cap to cash over 4 years. So my question is, why isn't -- you talked about getting a good return on investment, why isn't buying back your stock, one of the better returns on that investment?

Tufan Erginbilgic

CEO & Executive Director

Sorry, why buying Microsoft...

Unknown Analyst

Your stock.

Tufan Erginbilgic

CEO & Executive Director

So let's go -- Roger, thanks for -- yes, your math is not too bad. So I think we will generate cash, definitely. One thing I will disagree with you, the half of sort of market cap because I'm hoping market cap will be a lot more than that at that time. But sort of -- but I take your point. So I think, frankly, when we create a strong balance sheet, which is our intent, and we will reestablish Helen talk about shareholders' returns. And then we are already investing quite a bit in this.

Frankly, one thing you should take away, our investments here, therefore, I said midterm targets is a milestone will actually deliver more in the future. Like take time-on-wing, you can actually integrate my friend drop in an hour time or so, you will see his time-on-wing and Simon's improvements will actually deliver in this period, but deliver more in the next period. I can tell you, genuinely tell you. So therefore, this is a milestone we will keep going.

That will then -- we would like to be in a position to say, okay, depending on how we see the world depending on share price, we can decide to give more to shareholders. It can be buyback. It can be whatever or further investment into the business. Frankly, when I came day 1, I mean I didn't have that luxury. So where do you want to invest? So it was an academic question. So [fright night] is becoming with the delivery of this plan. It is becoming a reality. But we will be very responsible. We are not after market share. I said it many times. We are after good high-quality profit and cash generation, but sustainable cash and profit generation of this company. So sorry, is there one more question or not?

Isabel Green

Head of Investor Relations

I was trying to get the one last question come from our audience online. But if you would like to give...

Tufan Erginbilgic

CEO & Executive Director

Let's get one last and then we'll go to Isabel. Apologies, we couldn't answer all the questions.

Ian Douglas-Pennant

UBS Investment Bank, Research Division

I appreciate you taking it. It's Ian Douglas-Pennant. I even move seats in order to catch your eye lines. So I appreciate you.

Tufan Erginbilgic

CEO & Executive Director

You did well by the way.

Ian Douglas-Pennant

UBS Investment Bank, Research Division

Sitting in the corner by the way, for those ones to ask you questions, sorry about that. So two questions, please. Firstly, for Helen. You said that the improvements is going to be progressive, but not linear. How not linear should we assume it is? I mean, given the performance that you had in H1, is it like 80% in the first half of the planning period? Can you help us think through that?

And secondly, if I think about the cash flow targets that you've given, at least versus my numbers, the big difference is the time-on-wing or the shop visit assumptions. Could you help us break down to find just like philosophically the magnitude of the different interventions that you're making and how important they are in driving the difference, just holistically speaking.

Tufan Erginbilgic

CEO & Executive Director

So I'm going to ask Helen to cover the first question, but let me pick up your second question. I think this is important, okay? Because I realize, frankly, before we announce idealized sort of you may not get to the free cash flow that we are getting to, but there are good reasons. This is really high quality and sustainable cash flow. So what is in it? It is driven by operating profit. And in 2027, we have more cash-based operating profit in 2027, i.e., rather than provisions, et cetera, et cetera. Therefore, more of the profit converts to cash. That is very important.

Second important thing is LTSA growth and Helen talked about the drivers of LTSA growth. I'm not going to repeat those drivers. But if you take those drivers, let's break that apart. It is effectively your installed engine base is growing and with an extended time-on-wing and your commercial practices increasing your unit rate, that is sustainable as long as you continue to increase your installed base. And if you look at our forecast, therefore, I'm saying LTSA growth will be sustainable because if you look at for a while, probably maybe 10 years, you should expect those drivers enforce and with growing installed engine base.

If you actually combine the two high-quality cash-based operating profit with sustainable growth in LTSA and the margin profile on that LTSA balance is improving every year. That's going to be the case. Suddenly, you have a pretty sustainable model for a long time. That's how philosophically you should actually think about this.

Helen, over to you.

Helen McCabe

CFO & Director

Fantastic. So thank you. So to your question on progressive, not linear. So the way to hold that is we do expect year-on-year profit and cash growth, but can't necessarily take a straight line and draw it from '22 to '27. I don't think that's experience of how our transformations have gone in the past. And indeed, there's too many variables in there.

But a couple of things that I would just reinforce year-on-year profit and cash flow growth we expect. And in case there's any concerns, it's most absolutely not back-end loaded. I think I already shared two data points on that. Working capital, we expect a release over the period. That is not a big release by the midterm, and we already spoke around onerous contracts and catch up yet that, that is not coming towards the back end as well. So hopefully, that helps.

Tufan Erginbilgic

CEO & Executive Director

So Isabel, over to you.

Isabel Green

Head of Investor Relations

Thank you, Tufan. We have got a very large audience online. So I'm going to quickly squeeze in a question from [indiscernible] at Deutsche Bank, who mentioned, would we consider retendering for debt to accelerate our deleveraging. And also ask now we're mentioning investment-grade profile as opposed to

investment-grade rating, could we confirm that the latter is still the priority before resuming shareholder payment?

Tufan Erginbilgic

CEO & Executive Director

So I'll let Helen to answer the first one. Investment grade, we talked about profile because that is in our hands, which we can create that profile. We are not a rating agency. Therefore, we cannot rate ourselves. That's why we talk about profile. And Helen talked about it in near term, we expect to get there. And frankly, you can -- you have nice models, model it. You will see that in near term, we will get there. And therefore, we talk about investment grade profile.

Over to you, Helen.

Helen McCabe

CFO & Director

Thank you. So to the question on debt, as I shared, we actually have plans to reduce our gross debt from our cash. So we have maturities that fall due in '24 and '25. We're very clear that we will close those down through cash, and we have no intent of strengthening the balance sheet and getting back to that investment-grade profile by raising cash. So that is not our intent.

Isabel Green

Head of Investor Relations

Thank you, both. And we are just very slightly behind schedule. So we're taking a break now. The schedule does say we'll return at 10 past 3. I think we'll make that near 20 past 3. I'm sure everybody has got enough time to get through the expo. So if you're watching online, please take this opportunity to enjoy the videos that we shared on our website. For those in the room, you've got a map in your bag showing the layout of the exhibit.

You will see we have a dedicated exhibit area on the outside of the auditorium near you came in this morning. We are restricted on the number of people we can have in the area, so we'll be operating that on a first come first serve basis.

Presentations and Q&A in that area. We'll take about 15 minutes for each stand and there are other exhibits outside the doors. If you could leave please through the doors down here on the right that will help with your flow into the Expo area. We're going to be using this auditorium for two of the exhibits. These 2 are not repeating at the end of the day, but the presentations will be around later if you want to ask them. So please do some of you stay here or come back to me or that team. Our executive team will also still be on hand in the coffee area, if you want to ask them questions.

So enjoy your break and see you back here at just under an hour. Thank you very much.

[Break]

Presentation

Isabel Green*Head of Investor Relations*

Settle down. We are, I think, live again online. So welcome back everyone in the room and online. We will now continue with the formal part of the afternoon with presentations from each of our business presidents. There's more time for Q&A with all of the presenters at the end.

So now it gives me great pleasure to welcome my colleague, Rob Watson, President of Civil Aerospace to the stage.

Robert Watson*President of Civil Aerospace*

So good afternoon. Welcome back. I hope you had a great break and took the opportunity to explore the Expo either in person or online. And for those in the room, I also hope you had the chance to talk to some of our inspiring colleagues to learn more about the actions we're taking to turn Rolls-Royce into a high-performing, competitive, resilient and growing business.

I'm Rob Watson, President of Civil Aerospace, and I've been at Rolls-Royce for 13 years and have worked across all the divisions in Defence, with Power Systems and in global and operational roles across the group. I'm going to build on Tufan and Helen's presentations and take you a little deeper into the Civil business, our view of the market opportunity and the strategic levers we're focusing on to drive the margin improvement Tufan mentioned saving us from just 2.5% to 15% to 17% in the midterm.

Firstly, most of you know our business, put simply, we make and service gas turbine engines for airplanes. You'll see in the civil fact sheets that we power more than 35 types of commercial aircraft and today, we have more than 12,000 engines flying around the world. On this slide, you can see how we think about the core product portfolio for the business.

In business aviation, we have roughly 70% market share of all aircraft in service in the large cabin business aviation market in 2022. We actually have closer to 85% share of the very long range and ultra-long-range aircraft, which is the most valuable segment of the business aviation market. This positions importance because while the very long range and ultra long-range segment is forecast to grow between 3% and 5% by 2030, our growth will be between 8% and 9% per year as we bring new engines into the market. And in the midterm, we expect to see engine flying hours for Rolls-Royce powered business aviation aircraft, increasing to between 120% to 130% measured against levels from 2019.

In widebody, we had a 55% OE delivery share in 2022 and 36% market share of installed engines. We power 4 out of 5 new generation widebody aircraft, and we're sole source on 3 of those. It's a great position to be in. While the total widebody market is forecast to grow between 5% and 7% per annum to 2030, we expect to grow above the market rates due predominantly to the growing installed base of Trent XWB engines and the related growth in engine flying hours that drives our revenue. In the medium term, we expect to see engine flying hours for Rolls-Royce powered widebody aircraft recovering to between 120% to 130% of 2019 levels.

Our competitiveness has been proven this year as we've won major orders, for example, from Air India and Air France, more recently with [EVA], Egyptair and Ethiopian Airlines. And we also see further upside potential from freighter orders to I'll talk more about that later. As I mentioned, we also have a strong presence in the regional market and with the V2500 with 2,000 regional aircraft in active service and more than 35 million to 40 million engine flying hours still ahead of us. And we also see an opportunity to continue to support the V2500 into the 2030s.

So to recap, we're in valuable market segments. We're building on a strong industrial base and our installed base strength and forecasting new deliveries means we expect to grow materially above the market rate for both business aviation and the widebody market. Let's talk a little about how we see

our growth in the medium term. Our operating margin target range is 15% to 17%. And judging by the reaction on people's faces when Tufan shared this, you appreciate it's a big improvement.

So how will we get from 2.5% to 15% to 17%? We'll achieve this by executing granular focused plans that will underpin profitability in our business aviation and widebody businesses as well as the enterprise level focus on transforming our business into a simpler and more efficient operation. I'll explain each of these initiatives over the next few minutes. But in essence, the market success of the Pearl engine family in the business aviation market has been outstanding. And as a result, aircraft deliveries will grow 9% per year over the midterm, and we'll see aftermarket growth, and we'll focus on commercial optimization.

Then in widebody, we focus on 6 levers, which underpin delivery of the margin growth, keeping our engines flying for longer, value-driven pricing, contractual rigor and then staying focused on controlling shop visits and product costs and extending time on wing. These commercial and cost disciplines will drive our aftermarket margin improvement.

And finally, we're leveraging the power of one Rolls-Royce to simplify our organization and drive efficiencies. We're already seeing tangible benefits in areas such as third-party spend and disciplined capital allocation. All of this activity is underpinned by our culture. It's our people who will deliver this improvement, and we'll retain our focus on products and people safety that you would expect from a world-class engineering organization. And the great news, we're already seeing tangible results. Our margin in the first half of this year is already double digit, and we have clear plans to continue to build on that progress for the midterm.

So business aviation. Let's talk a little more about how we're on track to deliver returns that are materially above industry average. And basically, there are 3 drivers: first, we're increasing our market share with our new Pearl engine family, which is seen as today's engine family of choice in this growing market segment. We've won the last 3 major campaigns due to the engine's superior performance. And if you've not already, [Dirk and Allen] are available to talk at the Expo about this fantastic engine family. By 2030, the main platforms in this market will be Rolls-Royce powered. Bombardier's aircraft with a Pearl 15, Gulfstream with the Pearl 700 and Dassault with Pearl 10x.

And why are these wins importance? Well, we're playing in the biggest business jet segments, which accounts for more than half of the total value of the business jet market. Second, there's a similar growth story in the aftermarket. Our installed base is growing. We delivered 165 engines in 2022. And we see that growing to 250 to 300 engines in the medium term. That's growth of 80%. We're seeing continued growth in flying hours. Business aviation bounced back strongly. We're currently at 110% for 2019 levels. And we also have a very popular and differentiated services model, corporate care, which provides comprehensive support and maintenance for our customers. And here, we're seeing 2% to 3% annual growth on top of an already large installed base of BR710 and 725 engines.

Finally, to maximize this market growth, what really matters is our commercial and cost discipline. Over the midterm, we'll deliver 100% operating profit growth by reducing our unit costs, improving our commercial terms and implementing value-based pricing.

Okay. For widebody, as I referenced, we have 6 levers to improve our margin performance. So let's talk about the first 3. Firstly, we have a significant installed base, which is incredibly important to us. We're absolutely focused on keeping our engines flying and earning for as long as possible. For example, with the Trent 700, our most profitable wide-body engine today, we're focused on contract extensions and transitions, basically the transfer of ownership from one operator to another. And in addition, the A330 passenger to freighter conversion market, a rapidly growing market is a really good opportunity for us.

Our Trent 700 has 80% market share of all committed freighter conversions on the A330. This is important as the engines are likely to fly much longer as freighters than as passenger aircraft. Commercial optimization is also critical. As you would expect, we're also reviewing our contracts and working hard to get better value propositions for ourselves and our customers. And we're doing this by creating win-win opportunities identifying areas where we can provide additional value to our customers, such as additional service coverage or enhanced engine availability, whilst securing better terms for Rolls-Royce. By doing

this, we aim to increase our operating margin and in some contracts, released some of our onerous contract provisions.

We're also adopting a value-driven pricing strategy for new contracts, spare engine sales and our time and material business. This ensures we capture the maximum value from our engine and the aftermarket services that we sell. Our strategy takes into account market trends, customer needs and competitive dynamics. It also sets the right price for our aftermarket service contract based on the risk and service we offer over the contract duration. This is hard work for the team, but we're already having an impact. And importantly, our teams are confident they have my and a wider management team support in driving these negotiations to successful outcomes.

Finally, engine volumes and mix drive a lot of opportunity. We plan to grow ahead of the total widebody market growth through to the end of the decade, there are some significant metrics behind this growth. Over the medium term, OE deliveries will increase from 190 to between 300 and 350 a year. Major refurbishments grow from nearly 250 to between 700 and 750. Annual total shop visits grow from just over 1,000 to between 1,100 and 1,200. And our LTSA engine flying hours grow from 10 million to over 18 million over the same period growing to between 120% to 130% of pre-COVID levels by the midterm.

The next 3 strategic levers really focus on how we underpin profitable growth. First, let's start with time on wing. Put simply, this is extending how long our engines stay on wing, and therefore, lowering the number of shop visits. The real determinants of time on wing are the operational profile of the engine, where it flies, at what rate, for how long and the consequent durability of the engines parts. To keep engines on wing, we're continually investing in product development to drive durability across the fleet, and we continue to forecast at least a 40% improvement in time on wing in the medium term. For example, we've been improving the design of HP turbine blades in our Trent 1000 and Trent 7000 engines to give them a longer operating life. And where we have life limited parts, we're focused on extending that life in as it's often the expiry of these parts that drives a shop visit.

Secondly, when we do get to a shop visit, we are focused on reducing the cost of each shop visit across all engine types. By midterm, we'll have halved the cost of a Trent XWB shop visit. In fact, at that point, the XWB will be the cheapest of the Trent's overhauls, a major opportunity for us given its position in the product portfolio towards the end of the decade. And we're achieving these cost savings through multiple initiatives, including using AI tools to manage the work scope of the shop visit, optimizing how we strip and build the engine to keep time in the shop to a minimum, investing in technology to improve our repair capabilities rather than replacing parts and where possible, making better use of service used material.

Finally, we're continually focused on product cost reduction. Here's 2 examples that bring that to life. Firstly, focusing on our high-performing suppliers. We're transferring work to them from underperforming parts of the supply chain. Of our total GBP 2.5 billion spend in the external supply chain this year, GBP 685 million is spent with this group. And since 2020, we've awarded GBP 3 billion worth of work to our high-performing suppliers.

Secondly, with roughly 200 engineers focused on driving technical cost out, identifying how we can reduce costs through better parts design, manufacturing methods and reducing scrap and waste. And we continue to wrap a digital thread around our operations, whether this is using our intelligence engine to support in-service engine performance or our smart factory, which connects supply chain data to create a manufacturing digital swim. This enables data-driven decision-making to minimize capital expenditure, working capital and waste.

In summary, this laser focus on our 6 strategic levers will improve margin performance and profitability. And if you're not already, I encourage you to speak with some of our brilliant team in the Expo or watch the videos if you're joining us virtually to learn more about some of these exciting initiatives.

As well as focusing on operating margin improvement, we also remain focused on our future, critically the energy transition and the drive to reduce emissions in our sector. Our starting point is to maximize the efficiency of our current fleet as many of these engines will remain in service for the next 2 decades and beyond. The Trent XWB-84 really sets the benchmark here with 15% better fuel burn than the original

Trent's engine and great reliability to match. I think as Tufan mentioned earlier, is delivering 99.94% on-time reliability for departures for our operators today.

The Trent 7000 powering the A330neo is the latest addition to the Rolls-Royce widebody family and has a similar step-up in efficiency. And we've demonstrated that all our production engines are 100% SAF compatible. And excitingly today as Tufan mentioned and hopefully you saw out in the Expo, we're powering the world's first commercial transatlantic flight fueled by 100% SAF. And my Customer Director, [Yuen] is on Board, I spoke to him before the flight took off, and he said the buzz was electric. And this is a big step forward, not just for Rolls-Royce, but the whole of the aviation industry and for Yuen's selfie collection with Richard [Branson], I imagine.

And part of the SAF story is around achieving scale in production volumes, which is not within our control. What we can do, though, is continue to focus on ever more efficient gas turbines because whatever the fuel source, it will be a gas turbine powering large aircraft for decades to come. And here, our UltraFan technologies play a critical role. Earlier this year, we started testing our UltraFan technology demonstrator engine in Darby, and we've now run the engine at full power. It's another major milestone. And as the engine architecture is scalable, it can be considered for both widebody and narrow-body applications on future platforms.

And while we expect this geared architecture will be 25% more efficient than the first Trent's engines and therefore, a critical step in our sustainability road map, some of the technologies can be used in today's engines to play an important role in driving time on wing for our current fleet. So as well as continuing to invest in technology, we're embracing earlier opportunities to exploit this technology in our current fleet.

So to recap. We're in valuable market segments. We have a strong installed base, and we expect to grow materially above the market rate for both business aviation and the widebody market. We're focused on commercial and operational discipline, and the levers outlined today will ensure we deliver 15% to 17% sustainable operating margin growth over the midterm. We've already made good and tangible progress, as you saw in our half year results and fundamentally, enabling the energy transition remains a priority for our future.

If you were to ask me what's different and why I'm confident our plans to deliver this level of performance improvement will deliver, my simple answer would be we're clearly aligned as one Rolls-Royce. We've got detailed granular plans, and we're rigorously performance managing our operational execution. We know what we need to do and how we're going to do it. And as you've seen in 2023, we've already made a great start.

I hope you found this session informative and insightful. I'd be happy to answer any questions in the Q&A. But now I've got a great pleasure in handing over to my esteemed colleague, President of Power Systems, Jörg Stratmann.

Jörg Stratmann

CEO - Rolls-Royce Power Systems AG

Yes. Thank you, Rob, for handing over, and congrats on the flight today. I think this is some kind of historic. So also, a very warm welcome from my side or guttentag, as I would say, at home. It's really a great pleasure for me to introduce Power Systems, which is a substantial pillar of the Rolls-Royce Group.

But before I start, I'd like to say a few words about myself and also my passion. I joined Rolls-Royce about 1 year ago, coming from the automotive supplier industry, which is known for its emphasis on continuous improvement, process optimization and also rigorous cost management. And my goal, when I joined Power Systems was to transfer this knowledge and experience. And I'm happy of all the improvements we have already today implemented and the momentum we have generated for the changes to come.

And this is exactly why I wanted to be part of Rolls-Royce. I'm often asked if my expectations have been met. And I can tell you, they have been exceeded, and this, for many reasons. Our great markets with diverse applications and our extensive customer base. But also, I'm impressed by our outstanding technology and by the continuous efforts of our highly engaged employees who enable us to achieve successful and sustained business performance.

So today, I want to set out our strong positioning in highly attractive growth markets. Our strategic initiatives to capture market performance improvements and how we are already transitioning to lower carbon solutions. So let's talk about how we will explore the full potential of Power Systems.

Power Systems operates in highly attractive growth markets. And based on our strong product portfolio and our unique sales and service network, we are a leading player with double-digit shares across our markets. So in Power Generation, we are a leading supplier for a variety of applications, such as the rapidly growing data center market. In governmental, our propulsion systems are well placed for the current investment cycle into military vehicles and naval vessels with a strong market share of above 30%.

In Marine, we have a market-leading position in the highly profitable Yacht market and also a strong position in Commercial Marine. And in Industrial, we are a key supplier to service-intensive applications with high running hours like rail and mining. All our markets show an excellent outlook with an annual growth rate of 2% to 7%. And often -- and this is important, often decoupled from GDP development. So for example, our Power Generation business benefits from the global digitalization growth leading to significant investments into new data centers and resulting in an average growth of 5% to 7% per year. And in governmental, the current investment cycle leads to a market growth of about 10% per year in the next 3 to 4 years.

Our broad positioning in different industries further makes us resilient to market volatility in individual sectors. And across our markets, we can leverage an installed base of more than 160,000 units. And this installed base is the basis for our service revenue, which represents about 1/3 of our total business. Compared with our peers, we have structural advantages. And these include a higher share in the more attractive high-power segment. The unique and great mix of products, systems and solutions and a very good market understanding through direct customer access. So building on these advantages, we have defined clear strategic initiatives to outgrow the markets and significantly increase our returns.

So now let me set out our plan to build on these advantages -- this is a [indiscernible], doesn't matter. So again, I would like to set out our plan how we build on these advantages and how we will significantly improve our performance. So we will deliver our strong profit growth through 4 key strategic initiatives and additional efficiency and simplification measures across our business. So first, in Power Generation, we are focusing on optimizing our cost structure and further scaling the business, benefiting from our strong position with key data center customers. And these scale effects will also create additional benefits as the engine platforms are the same across our different markets.

Second, in governmental. In our governmental business, we are aiming to capture strong growth through our leading market position and also expanding our product scope. Third, in Marine. We will strengthen our market position and realize further growth through our system strategy. And fourth, our Battery Energy Storage Systems business complements the Power Generation business, which is strong data center segment, and it expands our markets towards new applications, such as utility scale storage. We expect that the demand for battery storage will grow at around 20% per year, and we will continue to leverage our existing system capabilities and market access to even outgrow this market.

And finally, we will increase efficiency and drive simplification in our business. So to give you some specific examples. We will streamline our organization. We will reduce third-party spend by an optimized supplier portfolio, and we will create additional synergies with Rolls-Royce. And we believe these strategic initiatives will unlock our potential and bring us to an operating margin of 12% to 14% midterm. And yes, there's a lot to do, but our teams are unified behind this.

So next, I will give you further details on the first 3 initiatives, starting with Power Generation. So Power Generation is a highly attractive growing segment with a huge profit pool and also significant margin improvement potential, with the 9% revenue growth per year is also 1 of our biggest growth drivers. And this growth comes particularly from more than 20% increasing annual spend into AI-ready data centers. This is a great colleague, yes? So -- and thanks to our strong position in this market today, we will capture this significant growth.

We also see great potential in service through additional offerings, such as upgrade and retrofit kits, also digital services. So we are planning to double our service business midterm. Significant potential also comes from an increased focus on commercial optimization. So first, we are optimizing our internal cost structure and investments. Second, we will benefit from volume effects. And third, we will leverage our global production footprint. So for example, we will benefit from an increased localization of our engines by 40 percentage points in China.

On top of these measures, we are investigating to further broadening our offering and improve our cost structure through strategic partnerships. This will help us to share investments, capture market share and also lower our cost base. So just -- thank you, a second 1. So just on the -- on a side note, might be interesting. So do not worry about any blackouts today as this building and also this room are backed up by our Power Systems engines. So there are 8 of them on the roof of this building.

So let's talk about our governmental business. The governmental market is highly attractive for us with strong growth, good margins and a leading market position. And here, we are a key supplier for tank programs of the NATO partners, and we also see increasing demand of the NATO allies. So in fact, we serve major tank platforms around the globe, such as the Leopard, the Puma, the Boxer or the [anti-bunker]. And current geopolitical tensions have resulted in increasing security needs globally. And therefore, we see more than 10% annual market growth in the coming next 3 to 4 years. And we are in a strong position to capture that growth and even outgrow the market from both, the sale of new equipment and also higher service revenue.

In addition, we see opportunities to provide our customers not only with the perfect propulsion system, but also with more integrated solutions such as ship automation products. And we are well positioned to triple our revenue in this area. We're also focused on disciplined investments and technologies to strengthen our longer-term opportunities and to underpin our leading position.

So now let's come to our Marine initiative. Marine is a key profit contributor for us with even further potential for profitable growth. Here, we plan to strengthen our #1 position in yachts and improve our position in Commercial Marine through the following key levels. So first, we will create profitable upsell potential and differentiation by providing our customers with fully integrated solutions from bridge automation to propulsion systems. And as part of this bridge-to-propeller approach, we acquired the company team Italia this year, a high-value player with strong automation capabilities enabling us to offer integrated bridges for luxury yachts. And let me tell you when you are on a ship or even better on a yacht, as you look into this engine room and hear the engines running, power systems engines, this is spectacular. It's really spectacular. It's fantastic. Whenever you have the opportunity, please do so.

Second, we will secure our leading portfolio position by offering alternative fuel-ready engines to support our customers' transition towards sustainability. And alternative fuels will play a key role, especially in short and midterm transition, and our key engine platforms are already being released step by step to run on this. In the long term, we see methanol as the prime decarbonization path and are therefore also developing methanol-based solutions for our engines.

And finally, our high-margin service business provides us with great growth opportunities. With a revenue share of more than 40%, it is a substantial profit contributor. And to capture additional potential, we are developing new digital solutions, such as equipment health monitoring, which provides our customers with higher availability of their equipment. 1/3 of topic that we are driving is energy transition. And here, we have made already significant progress towards offering lower carbon solutions, enabling our customers' journey to net zero.

The speed of transition and customer demand strongly varies between our market segments. Many of our customers, such as data center and governmental clients will continue to use combustion engines well into the future. Combustion engines will remain highly relevant for many years, but increasingly powered by sustainable fuels. So by the end of 2023, I'm really pleased to say that all our major engine platforms will be released to run on these fuels. And we already see first customers such as the mining corporation, Rio Tinto using our engines with a sustainable diesel substitute HVO.

In Marine, we are developing methanol-based solutions and for Power Generation, we see hydrogen-based engines as a future solution. These developments are based on existing engines. And given the progress already made, we are well prepared to deliver this transition. Hybrid solutions will be key in various segments. So we already offer them in the yard or the rail business. So in the U.K., for example, you can enjoy our hybrid rail system by taking the Chiltern Railways Line from London Marylebone to Aylesbury. In our important Power Generation business, engine-based systems will continue to dominate the market. Yet, we are also very well prepared for the gradual transition towards battery-based solutions as we have the required capabilities and products already today.

And finally, digital solutions will contribute to the decarbonization by increasing efficiency of our products. Digital products like asset and fleet management and equipment health monitoring will enable us to generate additional value streams.

So let me conclude. In summary, Power Systems will contribute significantly to the success of Rolls-Royce. We have a resilient business model with strong market positions and opportunities ahead in growing markets to unlock the full potential of our business. And we have a clear strategy to deliver this. It's built on a resilient business model and the combination of cost efficiency and substantial growth in attractive markets. This will significantly contribute to the profit and cash improvement of Rolls-Royce.

In addition, we are well prepared for the energy transition to secure future business opportunities. So all Power Systems employees, including the management team and, of course, myself, are aligned and mobilized to deliver on this strategy and to succeed with the One Rolls-Royce mindset. So together with Tufan's leadership and the entire company worldwide, we are really looking very positively forward into our future.

And now with all these great opportunities in front of us, I think you can understand why my expectations about Rolls-Royce and Power Systems have been exceeded. So we have achieved a lot, but we are just getting started. There is much to do, but we are all really excited to continue our journey.

And with this, I will now hand over to my dear colleague and friend, Adam for Defence. Thank you.

Adam Riddle

President of Defence

Thank you, Jörg. Jörg and I have now worked together for a year, and I have great admiration for him. His passion and dedication of Power Systems is all on display is highlighted in his remarks.

I also want to acknowledge Rob. He was one of the first people I met in Defence when I joined Rolls-Royce 10 years ago, and it is a real pleasure to be here with him today.

Good afternoon, and thank you for attending. Today, I'm going to discuss how Defence is playing its part in creating a One Rolls-Royce that is to fund outlined, delivers on its potential. For me, it also marks the culmination of the strategy view that I worked on in my previous role. So it's a big day. I plan to take you through a quick overview of our business today, show how transformation is improving our midterm performance and highlight how our recent program wins can unlock the door to long-term growth.

Before I start, I would like to acknowledge my 11,000 Defence teammates. As a former U.S. Army Officer and longtime member of the Defence industry, it is a real honor to represent them. All of them are dedicated to our customers and to ensuring they can accomplish their missions, providing assistance when natural disaster strike, providing deterrents in the air and sea or medevacating those in need of medical care. All those customers depend on us every day, and we take our role in delivering for them very seriously. We also take our role in delivering to our shareholders very seriously, which I will address shortly.

As you'll see in the fact sheet, the Defence business largely includes aero and naval gas turbines and nuclear submarine propulsion. Indianapolis is the mainstay of our transport engines. Bristol is the center for combat. Raynesway in Derby is home to our nuclear submarine business. And our sites in Mississippi, Massachusetts and in Canada focused on our naval capability. In all, we have over 16,000 engines in

service with around 160 customers globally, and we work in close partnership with the U.K. MOD and the U.S. DoD.

I've spent most of my career in strategy here at Boeing and Anheuser-Busch. So I concur with two funds analysis of how we make decisions about our portfolio: Is the market attractive? Are we differentiated? Can we generate competitive financial returns? And when I look at our Defence business, I believe there is strong evidence that we tick all 3 boxes and therefore, enjoy advantaged market positions.

Our financials have demonstrated that the defense market is resilient. We maintained our customer and shareholder commitments throughout the COVID pandemic. In the global security situation that has developed since has led to governments increasing their commitment to defense. Our half year results showed strong revenue growth and order pipeline. Our customers continue to invest in capability in our core markets and we have demonstrated that we are differentiated.

The versatile AE engine family has enabled us to win positions on the C-130J, V-22 and MQ-25 in transport and 13 others if you're counting. Our full engine combat capability enables us to power today's aircraft and position us as an international partner for the development of future platforms.

Our capability in nuclear submarine propulsion is unique. We are the only company that can design, manufacture and support naval reactors. The high-power density of our naval gas turbines brings real advantage as mission systems require more space on modern warships. And in helicopters, we've accumulated huge experience in military and civil programs.

We also believe our business model is differentiated. Defence programs typically generate positive financial returns throughout the life cycle to include design, development, production and service. And the life cycle last 40, 50, perhaps even 80-plus years. In transport, we are still making T56 engines for the Hawkeye, over 60 years since they first rolled off the production line. We are proud to have enabled the U.K. continuous sea deterrent to operate since 1969. And our model 250 remains a mainstay, the small helicopter market over 60 years after its first deliveries.

Our customers have benefited from the technology and capability that we have developed in partnership with them. Our shareholders had benefited as well, and that continues. Products we are designing today will be generating sustained and profitable returns for this company many decades into the future.

But we know we can do more to contribute to the Rolls-Royce transformation in the short to midterm through a combination of prioritizing our growth markets and delivering improvements in areas that are within our control. Our half year results demonstrated margin improvement through work already underway. This will help us unlock our full potential. Looking forward, over the midterm, we aim to grow that margin to 14% to 16%.

Revenues are increasing in our core markets of transport, combat and submarine, which has a positive impact on our operating profit. I will take you through some of the growth drivers on the next slide.

As with our other divisions, we believe that transformation will deliver tangible efficiency and simplification benefits in the short-term. I've already mentioned the significant margin improvement we have realized through its early stages. The work we are doing on organization design, third-party cost, inventory reduction and other work streams will further improve our financials and sharpen our competitive edge.

For example, I believe we will find synergies as a result of consolidating our engineering and procurement activities that will enable us to prioritize resources and generate significant financial benefits. While we will experience some legacy retirements over the midterm, the actions I have mentioned will enable us to improve our overall operating profit performance.

We are targeting key areas to provide margin uplift over the midterm. For instance, on volume and mix, the overall transport fleet is growing, generating higher flying hours and more shop visits. For example, AE shop visits increased by 22%. In combat, changes to the products mix yield higher profit due to the scale of newer programs. It's a similar story in submarines, which will see an increase in volume, funded development and infrastructure. All of this is underpinned by our exceptional order pipeline, GBP 8.5 billion at the end of 2022, which provides high certainty to our midterm revenue projections.

On commercial optimization, all of our major contracts will be renewed over the midterm, which provides us with the opportunity to work with our customers to offset external impacts such as inflation and ensure we capture the fair value for our products and services.

From an investment prioritization standpoint, the strategic review process enabled us to take a more focused view on where and how we invest. Our major customers strongly support our core differentiated strengths in transport, combat and submarines. And as a result, our customer-funded R&D is due to increase by 150%.

And there are more opportunities for funded programs in these areas. Our choices are customer-led and reflect their priorities. And on cost management, our half year results demonstrate that Defence is already making progress in this area, and we'll capture additional benefit from the group-wide transformation activity.

So in the midterm, we are improving performance largely through being smarter about how we operate, making sure we are doing all we can to achieve our potential. And this is positioning us to better execute the new generational programs that we have won.

Early in the last decade, we realized that our portfolio was maturing. We needed new programs to replace anticipated fleet retirements or our competitors would replace us. So we focused on winning big programs in our core markets, and we did this by utilizing our strengths. We leveraged our partnership experience to secure our position with Bell on the U.S. Army's future long-range assault aircraft and also on Tempest in the global combat air partnership.

We worked as one Rolls-Royce to win the United States Air Force contract to re-engine the B-52. And our capability enabled our selection to power the new AUKUS submarine fleet. All of this underpinned by the innovation, which is in our DNA.

These wins start to increase our volumes just beyond the midterm horizon, and our position on them can unlock even greater growth over the long-term. We are anticipating a CAGR of between 4% to 5% between now and 2040, which will be faster than the market.

In transport, the U.S. Army's FLRAA program is just one element of the future vertical lift market. With this win, we are in a good position to capture other DoD and international sales that are likely to follow. If you would like to learn more about these opportunities, please talk to [John, Shay and Jenere] in the [indiscernible] side. They led our FLRAA team and are excited to tell you how we did in partnership with Bell.

In Combat, we are very proud of our B52 win, which enhanced our reputation as a major U.S. defense supplier and has opened doors as a result as we re-engine an aircraft that has been in service for around 70 years. We are also positioning to power the Air Force's future autonomous combat platforms. We can offer a military variance of civil engines in this space. We also have proven rapid development capability through the MOD funded Orpheus program, which offers international opportunities in which, again, you can learn more about via the online expo.

In the U.K., our leading partner status in Tempest has led to our participation in the global combat air program, which has further international export potential while our full engine capability is providing other opportunities to partner with governments seeking to develop their own combat capability.

It's also worth pointing out that digital capability was crucial in winning B-52 and continues to be a game changer for us as we develop our GECAT power system.

And in submarines, what we always thought of as a U.K.-only market has now expanded to include Australia through the AUKUS agreement. It represents a large expansion for our submarines business in Raynesway. And the unique capabilities that we have developed there have the potential to be leveraged into other growth markets. For example, micro reactors can play a big role in helping energy security and resilience and energy transition, both in the defense and civil environments. Again, you can learn more about this in our online expo.

So in summary, we have a strong and resilient business today. We know we can do more and are taking specific actions to realize greater value and grow our margins tomorrow. We are transforming as part of One Rolls-Royce to deliver even better performance in the midterm through improving volumes, commercial optimization, investment prioritization and cost management. We are leveraging our recent wins to deliver an exciting future with long-term growth in programs that will run for decades.

And finally, I want to finish where I started. That last picture shows the importance of what we do. It is the inside of a Rolls-Royce powered aircraft during an evacuation, taking people in peril out of harm's way. We are here today because somebody somewhere is keeping us safe. They're relying on us to deliver each and every day and we are exceptionally committed to our duties.

Thank you. I will now hand you back to Isabel.

Isabel Green

Head of Investor Relations

Thank you, Adam. So I'm now going to welcome all of our presenters back up on to the stage for our second Q&A. We've got about half an hour for that. As a reminder to those of you in the room -- don't do this corner because Tufan can't see you, so I think Ian has now moved. But make sure you use your microphone. Everyone online does want to hear your question. If you are online, if you put a question to Q&A box, we are monitoring that. I hope we will get time for 1 or 2 questions from online at the end. Over to you, Tufan.

Tufan Erginbilgic

CEO & Executive Director

Thanks, Isabel. I'll try to pick people that -- who weren't actually able to ask questions in the first session. So -- but anybody, let's go. Let's start there, then we'll go there.

Question and Answer

Ross Law

Morgan Stanley, Research Division

It's Ross from Morgan Stanley. A couple for Rob, please. Firstly, on your shop visit assumptions. You said 1,100 to 1,200 total shop visits, 700 -- or 700 to 750 of which are large overhauls. That implies that C&R shop visits are actually lower in 2027 versus 2022. Is that math correct? And if so, what's driving that?

Secondly, on fleet size, how many large engines do you expect to have in service in 2027? And what proportion of that is the new generation programs, so T1000 XWB and the 7000?

Unknown Executive

So Ross, just so you can hear, thanks for those questions. So yes, your math is correct. So we see a significant increase in our large refurbishments and therefore, there is a corresponding slight drop in C&R about 10%. That's largely driven by Trent 1000 coming out of a more intense program of check and repair by the end of the medium-term plan.

Second question was what's the distribution end? I mean, around 60% of that large engine fleet in 2027 is XWB, so 84 and 97. And then I would say probably about 80% of the total fleet of those new engines with the balance to 700, 800 and 900. I'll have to get you the absolute number.

Tufan Erginbilgic

CEO & Executive Director

Thanks, Rob. There was one question there, if I can go there.

Unknown Analyst

A couple of questions. First of all, this morning, earlier today, you mentioned that electric air mobility is something you're not basically going to pursue. Is that because you don't believe in the overall opportunity or it doesn't reach certain thresholds in terms of profitability that you think can make out of it? Because you get your views. It's obviously an area that's getting a lot of hype there, some very highly valued company, which obviously we wonder where the value is. But so your thoughts on that?

And the second question has to do with the engine issues that you faced when you came out with the 787s with the Trent 1000, I believe. And obviously, the problems that Pratt is facing today with DTF. What is -- what are the lessons learned? How will Rolls-Royce look in the future to mitigate and not have these issues? Because as we know, these are multibillion-dollar cost issues for a company like yours.

Tufan Erginbilgic

CEO & Executive Director

So I'm going to ask the second one, Rob, to answer. Let me pick up the first one, electrical. I see -- I don't want to say more because there are confidentiality around some of the conversations. But one thing I will say, if you look at what the team presented, we have great growth opportunities in our business -- in our core businesses. Then in addition to that, we are actually, like take micro reactors, given our distinctive position, we are -- we should be natural leader, not a player, leader in micro reactor.

Battery storage in Jörg's team that's highly transformable skill set. And in this time period, you have seen it from my chart as well as Jörg's chart, that business in a very short period of time will be profitable, then grow from there. In this period, actually, it is becoming profitable. And not to mention the growth picture in the core businesses that Adam, Jörg and Rob talk about. So it is really simply to say two things that we have great growth opportunities and we need to actually allocate our resources more effectively there.

Second thing, we believe we built very good capability in advanced air mobility. We believe it is going to be a better value to a third party. But having said all that, people need to understand, we are not ruling out like regional aircraft with hybrid. I mean, I can totally see our technologies is there, so I need to be

Careful. But I can totally see hybrid, and we are actually working on it, hybrid solution in regional setup. And that business already established business, it needs to be transformed to lower carbon version, if you like. And I can totally see us playing there. Therefore, in the presentation, I talked about keeping the capabilities to support Aerospace, Defence and Power Systems business. Rob?

Unknown Executive

So on the Trent 1000, I think there are two elements to consider. I think the first lesson learned was around just making sure that when we bring an engine into service that we're satisfied with the maturity of the technology in the engine and then we've done the right level of maturity testing to support it once it's entered into service. So the right testing regime in advance of entry becomes really, really important. So you properly understand and you have a stable set of products attributes.

The second point, learning specifically for Rolls-Royce, I think, was our reaction to the Trent 1000 after we had an issue that we needed to respond to. And we were a huge amounts in how we need to scale up and prepare as an organization for that kind of in-service events. So alongside making sure when we do new NPI programs that we've got the right testing schedule and that we're pacing that program properly.

The second element, which gives us greater confidence is, we absolutely understand what we need to have around us to support that engine EIS and in the early years of its service so that we can respond quickly and intervene if we need to rather than we end up something of a larger scale magnitude. Thanks, Rob.

Tufan Erginbilgic

CEO & Executive Director

I'll go sort of same name sort of faces. So why don't we start with you? It seems like -- all right.

Robert Alan Stallard

Vertical Research Partners, LLC

Rob from Vertical Research. A couple of questions. First of all, Adam, that margin increase in the Defence division in the industry that would generally come from a mix shift, but I was wondering if your split cost-plus and fixed price is altering materially in this medium-term time period?

And then sort of a bigger picture question for you, too Adam and Helen as well. Both of you have spent a lot of time in the energy industry, obviously. What would you see as the key similarities and differences you've identified coming over to Aerospace and Defence?

Tufan Erginbilgic

CEO & Executive Director

Okay, Adam, do you want to start?

Adam Riddle

President of Defence

So when looking at the margin, I think it's important to look at all the contracting types we have throughout the globe. So when specifically focused on Pearl 15, the US SSRO and here, that is a place where we have to make sure that we fully substantiate our cost and maximize our org.

Specific to your question, there is volume growth in combat, transport and submarines in that growth there are places where we are benefiting from mix.

And then on the margin and margin point, we also have to focus on, as I mentioned in the presentation, transformation, reducing costs, focused investment, being as efficient as we possibly can, TCC to GM ratio and being good stewards for our customers as we run our business.

Tufan Erginbilgic

CEO & Executive Director

So on the second question, I'll start and Helen, please jump in. I think -- I mean, I'm not sure. Some of it energy sort of driven, but most of it is really similarities coming from one aspect of it, large, complex, multi-business, multidivisional global business, managing that business is very different because obviously, when I was coming through the ranks I -- first business I managed was not a global business. I know the differences, right? So it is very different. You need to know how to think about that. It is very different. And that's common.

Second comment is this business is driven by technology, engineering and safety is very important, including obviously our customer safety and the people safe to use our products. Again, those 3 are very critical. Frankly, I come from the businesses all technology we use as a differentiator, okay? Same thing is obviously happening here. And I think those are big similarities.

And then Helen and I from sort of customer end of i.e., downstream. So we deal with customers and all the airlines were my customers, right? So just to give you an Air BP, all the -- Air BP was in my portfolio. All of them were my customers. So sort of you have a view about B2B, B2C branded business and customer management aspects of it is very, very sort of important.

And energy transition is the last one I'm going to say. You come obviously spending lots of time on energy transition. And it comes handy on some areas right now because we have a view, like I talked about SAF versus hydrogen, for example, and so on. Helen?

Helen McCabe
CFO & Director

Thank you. So I'll be additive. So a couple of similarities. So -- and I worked together in a previous life, we did a couple of transformations together. I think two we did together. This is our third. And I think the rigor in the successive transformation is quite transferable, and there's a couple of things which are fundamental to how you think can go about transformation.

The importance of being really clear as to what your strategy is and take that to a granular level cannot be underestimated, which is why you've heard us today I'll talk about the depth and the detail and the process that we've gone through. I think, Tufan, you talk about 400 to 500 people being engaged in this process. It's not just us sitting up here.

So a clarity of strategic thought direction very, very important. Your ability then to galvanize the organization behind that and to align the organization behind that strategic clarity is incredibly important so that everyone knows what they're working on service of and the objectives are aligned, and we saw that in our previous transformation.

And then two other things, I would say the importance of execution discipline and the rigorous performance management around that is very important things always haven't that you don't expect. So having that fleet of foot of ensuring that you are rigorously performance managing your strategic performance, day in, day out, and that's why I talk about integrated performance management that you link it from strategic objectives through to your annual plan through to your in-year performance management.

And because some things always don't work as you expect, the importance of resilience, ensuring that your strategy has to have the right balance between top line and bottom line growth and that you actually build up that very, very solid base from which to grow. So that as you capture margin improvement, that actually falls to your bottom line and you're building a very, very strong foundation. So those are a couple of additives.

Tufan Erginbilgic
CEO & Executive Director

Very good points, Helen. Thank you. I'll go there, then one.

George Zhao
Sanford C. Bernstein & Co., LLC., Research Division

George Zhao from Bernstein. So a lot of discussion on margins so far, so I wanted to ask about the revenue side. If I take your midpoint of the operating profit and margin guide, that implies about GBP 19 billion of revenue by 2027 at the midpoint, about a 7% CAGR from where we're this year. So if we assume Civil Aerospace above that, Defence and Power Systems somewhere in the low to mid-single digit, is that what you're assuming in the targets there? And related to that, given the plans to dispose some of the Electrical business, what is the 13% to 15% margin target assumed for the absolute losses for the New Markets division?

Tufan Erginbilgic

CEO & Executive Director

So I'll -- I mean, I'll very briefly answer it. So we are not going to give you sort of numbers because this event is not about that. But I think you can calculate revenue the way you did. Obviously that would be a perfectly legitimate way of calculating.

Effectively, in New Markets, if you actually think about this period, is benefiting effectively from 2 things, obviously, exit on Electrical, although we will keep some capabilities, as I said, to support our businesses. Second thing, it is going to benefit from, effectively, we are planning, in a value-creating way, we will still be the biggest shareholder, but we are going to be less than 50% on SMR.

That is sort of our thinking in this period. And that happens not immediately but in this period. And those 2 things, effectively, you may want to think when you think about New Markets. I won't give you numbers, but you will sort of figure out what that means.

Okay. Let's go there.

Ian Douglas-Pennant

UBS Investment Bank, Research Division

It's Ian Douglas-Pennant at UBS. Jörg, could you help us understand within the power business, which of the subdivisions within your business where the -- there are greater or lesser synergies with businesses outside of power, let's say?

And Helen, inventory release and the cash flow that comes from that, what allowances have you made for the supply chain getting better or worse from here, especially given the ramp-up in volumes?

Tufan Erginbilgic

CEO & Executive Director

Jörg, do you want to take that?

Jörg Stratmann

CEO - Rolls-Royce Power Systems AG

Yes. Question #1, if I got the question right, you are asking for synergies, Power Systems with Rolls-Royce, right? So -- and I would say the beauty of our business model is that we are using the same engine platforms across our applications. And we do then application engineering to have them ready for the different markets. And with some -- we have some large volume business, some smaller, but the large volume business gives us the scale to be very competitive in the smaller markets, in the niches.

So when we talk now about synergies, it's across the platforms. This is what I want to say. So it's not in single applications. But it's, for example, if you look to ET&S, it might be in software. It might be in electronics. It might be also in the arena of procurement, in particular, indirect but also some direct and of course, across the board for processes, methods, tools we are using. These are actually the synergies we are looking for.

Tufan Erginbilgic

CEO & Executive Director

Thank you. By the way, ET&S, you may not...

Jörg Stratmann

CEO - Rolls-Royce Power Systems AG

I'm sorry. It's our R&D, so engineering and technology.

Tufan Erginbilgic

CEO & Executive Director

We now created new organization, as you know, which is going to serve all 3 divisions. We call it Engineering, Technology and Safety, and Jörg was referring to that. Thanks, Jörg.

Yes, sure.

Adam Riddle

President of Defence

So one thing to highlight on synergies, Jörg's business, the Defence business is commonality of customers. So we often work together in working with our customers. For instance, our 2 teams were just together in Washington, D.C. at the AUSA conference. That's the place where there is overlap in synergy between the 2 orgs.

Tufan Erginbilgic

CEO & Executive Director

So to summarize, I think you will see sort of synergies at customer level. Definitely, engineering and technology synergies, you will see. Then the procurement and supply chain synergies is the third area, which we haven't really explored before. None of the things -- except the customer one, which we can get better and better. Others actually will be new synergies, if you like.

Helen McCabe

CFO & Director

Inventory. So thank you for the question. So actually, we were just as a leadership team discussing risks last week. And supply chain and inventory risks was something, which Adam, Jörg and Rob all spoke to. So yes, we are mindful for those. You see the next particularly probably 18 to 24 months remaining challenging.

However, that said, as I mentioned earlier, we still expect to release inventory the second half of this year. Why? Because we've identified areas in the supply chain where we weren't being efficient. So Rob and the team getting after pockets of buffer stock that they were holding, which were not required, 100 million. Jörg has had his team out looking at sites, factories where they were actually holding inventory of quite a few years of stock, which was not required.

So there are some areas of, I don't want to say low-hanging fruit, but areas of inefficiency that the team are getting after at the moment where they're improving processes and systems. And we will continue to do that, but we are mindful of the industry supply chain challenges out there. Despite that, we have a detailed plan where we do expect to release inventory over the midterm.

And to your question on growth, have we built growth in for inventory? Yes. If you go back to and have a look at the chart that I showed when I spoke to working capital, you can actually see that we have built some growth in both for inventory and as we think about our debtors and creditors. So we have built growth in to support revenue growth going forward.

Tufan Erginbilgic

CEO & Executive Director

Thanks, Helen. If I can go there.

Christophe Menard

Deutsche Bank AG, Research Division

It's Christophe from Deutsche Bank. Two questions. The first one is on the shop visit cost reduction on the Trent XWB. Last year, I think you mentioned minus 40%, which was a good target. It's minus 50% this year. So what enabled that further improvement? And what headroom do you further have on this?

And the other one is on Power Systems. Services seems to be one of the areas where you can do some improvements. It was highlighted already in the CMD in 2018. You were looking for a target of 40% of the total sales. Do you have similar targets now? Or is it more specific to power? I think you said a lot on power generation. But is it other areas as well?

Tufan Erginbilgic
CEO & Executive Director

Okay. Rob, then Jörg.

Robert Watson
President of Civil Aerospace

On shop visit cost reduction, I think a good example of the progress we're making, I was in Singapore a couple of weeks ago and we have a joint venture there with Singaporeans. And we've been investing in some repair technology that we'll use in that shop. So we need to build capacity across our MRO network. We're looking at how we scale that up for the midterm, and we've been really thoughtful about how we use that opportunity to address costs.

So Singapore partnered with EDB, government agency, which provided some funding to allow us to focus on developing some technology, some R&D activity that would drive some short-term benefit for the group by looking at introducing repair technology, repair technology sell on the shop floor with the shop that allows us to identify and repair components rather than just replacing the new parts.

What that does is bring the cost down. It means we don't have to wait for the parts to be delivered to the shop, so we're speeding up the amount of time that the engine spends in the shop. And it's that kind of example where we're getting some good government gearing. We're prioritizing our R&D spend for those short-term returns, and we're thinking about how we improve time in the shop and the scope of the work that we do on an engine to give us access to that kind of improvement on shop visit cost.

Tufan Erginbilgic
CEO & Executive Director

Thanks, Rob. Jörg?

Jörg Stratmann
CEO - Rolls-Royce Power Systems AG

Yes. On service, service is obviously a very important part of our business. I said this is roughly 1/3 of our business. And so we have some areas where the service share is higher. I mentioned this for Marine, where we are above 40%. But we see the, let's say, the opportunity to grow here actually in all the different applications.

So I mentioned PowerGen. There will be retrofit solutions. There will be upgrades. We see this also in governmental. So don't forget, governmental is very important on the new equipment but also in the in-field service. Also here, we see product upgrade. So we stay on the same platform, but we upgrade the product, and with this comes additional service; industrial, high-running hours applications. I mentioned rail. I'm mentioned mining. We have really opportunities across the board in service.

And it's not only -- it's very important to grow it and to take this opportunity. But if you offer a great service, it's also a competitive advantage you can play in the new equipment because this is the reason why customers want our products. So service will gain importance in the midterm.

Tufan Erginbilgic
CEO & Executive Director

Thanks, Jörg. Yes?

Nick Cunningham*Agency Partners LLP*

Nick Cunningham again from Agency Partners. A couple of questions. One, on the LTSA balance, that's increasing GBP 800 million to GBP 1.2 billion a year through the 5-year period. At what point do you expect that to neutralize? Or do you indeed expect [this new focus]? From memory, I think that was expected to have happened before that point. So sort of kind of what's going on with that, if you like?

And then the other thing is we used to talk a lot about the unit loss on large engines, OE, \$1 million or GBP 1 million, whatever. That's not been specifically brought up in this presentation, although, I guess, it's covered by product cost. But do you foresee a point at which, at least in terms of direct costs, an OE engine can get to breakeven?

Tufan Erginbilgic*CEO & Executive Director*

So I'm going to ask Rob to answer the second question. But obviously, Helen and Rob, feel free to add to first question as well.

Frankly, LTSA balance, like you, I was seeing, okay, well, how should I think about this sort of going to the future. It is actually more straightforward than you think. So a short answer for a long time, therefore, you need to think about LTSA balance increase as a sustainable increase.

Why? I think Helen covered that. But it's very -- I mean, it's very simple and very complex, but I'm going to simplify it. So as long as your installed engine base grows, right, and you are increasing your unit rate, not to mention time on wing improvements we will be making, but even if you don't make, let's say, status the time on wing at some point, if your installed engine base continues to grow and your EFH rate improves because of your commercial optimization, LTSA will continue to grow, especially if your engines are young. And that is the case in our case.

Therefore, I said earlier today that actually you need to think about our cash delivery is effectively better quality operating profit, better quality in the sense that it is more cash-based. Okay? It's good quality right now as well, but it is more cash-based in midterm. In that sense, cash terms and LTSA, which is actually sustainable beyond this period because our engines will grow well beyond this period, right, our installed engines.

And because we are actually capturing market share, Rob talked about it, I talked about it sort of and that's how you need to think about. Those are the drivers in force here effectively. Rob, on the second one.

Robert Watson*President of Civil Aerospace*

Yes. So you're right. I mean product cost is the focus for us, and it's one of the biggest drivers that underpin that margin improvement. We have made huge progress last 5 years on the OE cost reduction, and we're always focused on it both because of the OE benefit that it brings and also in our services business if we're bringing the cost of parts down.

So we continue to target improvement in that. We're more or less around the industry benchmark. I think it's about 3% gross product cost out each year, and we continue to prioritize allocation of engineering resource and CapEx to continue to drive that cost reduction program.

Isabel Green*Head of Investor Relations*

Sorry, we're running out of time. I'm going to get the last question online if you may.

Tufan Erginbilgic*CEO & Executive Director*

Please, go for it.

Isabel Green*Head of Investor Relations*

So the question comes online from [Michelle Blite] from J O Hambro, saying your slides in the first section indicated SMRs could be bigger than Defence and Power Systems in the long term. Please, could you comment on the clarity you've had from the U.K. government on plans there and where internationally, you could take the Rolls-Royce SMR technology? And I think you did give a list of some of those nations in the earlier presentation.

Tufan Erginbilgic*CEO & Executive Director*

So I think that's the revenue chart. I just remind everybody. So yes, I think if you go to the future, I mean, you need to think about big picture. Somebody said I came from energy industry. So I have a view, right? I always took a view. Frankly, Europe will never go to net zero unless nuclear plays a roll, right? U.S. has few other options. I'm not going to dwell on it here. But that's the big picture.

When you come to nuclear, you have choices. You have SMR or nuclear projects -- big nuclear projects. Their risk profile is very different and history demonstrates that that's true. So then you conclude SMRs need to play a big role. And we are actually bringing know-how from our submarine business. It is a proven technology.

In that sense, so let's go to your question, but big picture, it makes lots of sense. Yes, U.K. process continues at this point. I think it is important that, frankly, if you think about how advanced we are in generic design assessment, we are probably 2 years ahead of anybody else for Europe and U.K. because technology is sort of specific for U.K. and Europe. That is -- we are actually ahead of anybody else.

So second thing is, therefore, it's not about we will be selected or not. I would be very surprised, frankly, if we are not. So it will be hard to explain to anybody, to myself as well. But so -- but the point is not that. Point is actually, this process, I said this to the government, frankly, very openly, you need to come with committed projects at the end of it so that we go into execution and with some funding.

So -- but given latter part of that question, what other countries you are working with, I actually listed there. I'm not going to give you the same list, but I'm going to say, Chris and the team is working very, very closely with Czech Republic so that we have actually joint work streams and so on. And we also have even a sort of an opportunity in the U.S. as well that Chris is progressing. And other countries I mentioned, Scandinavian countries like Sweden and Finland, et cetera, they are actually genuinely interested.

Once this thing sort of gets on the ground, people can touch and feel because with new technologies, there is always some hesitation, when you start to touch and feel, frankly, this is going to be a little bit like, again, energy sort of industry talking offshore wind. This is going to explode. I actually say to Chris, worry about the supply chain catching up with you, but he is working with -- on supply chain already. So I think there is the opportunities set here in the period that I was talking about.

With that, I think we are going to -- I'm going to make some sort of closing remarks given that Isabel disappeared. That's my cue to say, actually, maybe it is time to conclude.

So first of all, [indiscernible] than we could answer, but hopefully, we answered many questions you had. And if you have more questions, Isabel and team, definitely, they are waiting for you to help you there.

But before we close, I would like to remind you of the key messages from today. Rolls-Royce is at a pivotal point in its history. We are transforming our performance, and we have a clear vision for the journey we need to make.

We have a strategic framework that will deliver a step change in financial performance in the midterm. We are making choices about where we will invest and the shape of our future portfolio where we should partner and where we should exit. We have advantaged businesses in attractive markets with

differentiated technologies. Our strategic initiatives will unlock our potential and create more value for our -- all of our stakeholders.

Our group-wide efficiency and simplification program will deliver sustainable benefits, making us more resilient and competitive. And we are becoming a lower carbon and digitally enabled business. Playing our part in the energy transition and benefiting from the advantages AI and data can bring, we are already in action, and there are lots of opportunities for us here in the future.

I think this part, we haven't spent lots of time, but the second part of -- lower part of this slide, but that is a very key part of key difference, which is actually causing these outcomes that I would like to sort of summarize very quickly.

We are working as one Rolls-Royce. All of our people are aligned and mobilized to succeed. We have a new mindset and stronger performance management. We are embracing new ways of working and over time, this will develop into a distinctive performance culture.

We are executing with strategic clarity. This strategic clarity, combined with granular strategic plans, focuses and aligns the organization and makes strategic delivery relevant to all our people. So everyone has a role to play, and we will manage performance closely to ensure delivery.

We are externally focused and benchmarking our business against the competition, commercially and financially, so that we constantly improve our business to world-class levels. And we have simplified our organization and are strengthening our capabilities in key areas.

I am confident and excited about the opportunities we have at Rolls-Royce. Now that I laid out our plans, I hope you are too. We have the expertise, the drive and crucially, the team that can deliver. All of this will help us deliver our Rolls-Royce proposition: to become a high-performing, competitive and resilient business with growing sustainable cash flows, a strong balance sheet and growing shareholder returns.

This Rolls-Royce will be able to do things tomorrow it wasn't able to do before. We are transforming our business ready for our changing world, fit for today, tomorrow and the future.

Thank you for joining in the room and online today, and I hope to see you all in the near future in our February results presentation. But before we close, I would like to also thank whole leadership team. It's a very strong leadership team. It is actually privilege and pleasure to work with them not only because what they have done today but what they have delivered so far and more importantly, what they will deliver in the next couple of years.

And one last word, these events don't happen without lots of people working really hard behind the scenes. And I would like to thank, really personally thank all of our employees who make this happen. Thank you very much. Have a great day.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2023 Earnings Call Transcripts

Thursday, August 03, 2023 8:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2023-	-FH2 2023-	-FY 2023-	-FY 2024-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.01	0.04	0.05	0.08
Revenue (mm)	6148.35	7831.41	13869.15	14956.19

Currency: GBP

Consensus as of Aug-02-2023 7:18 AM GMT

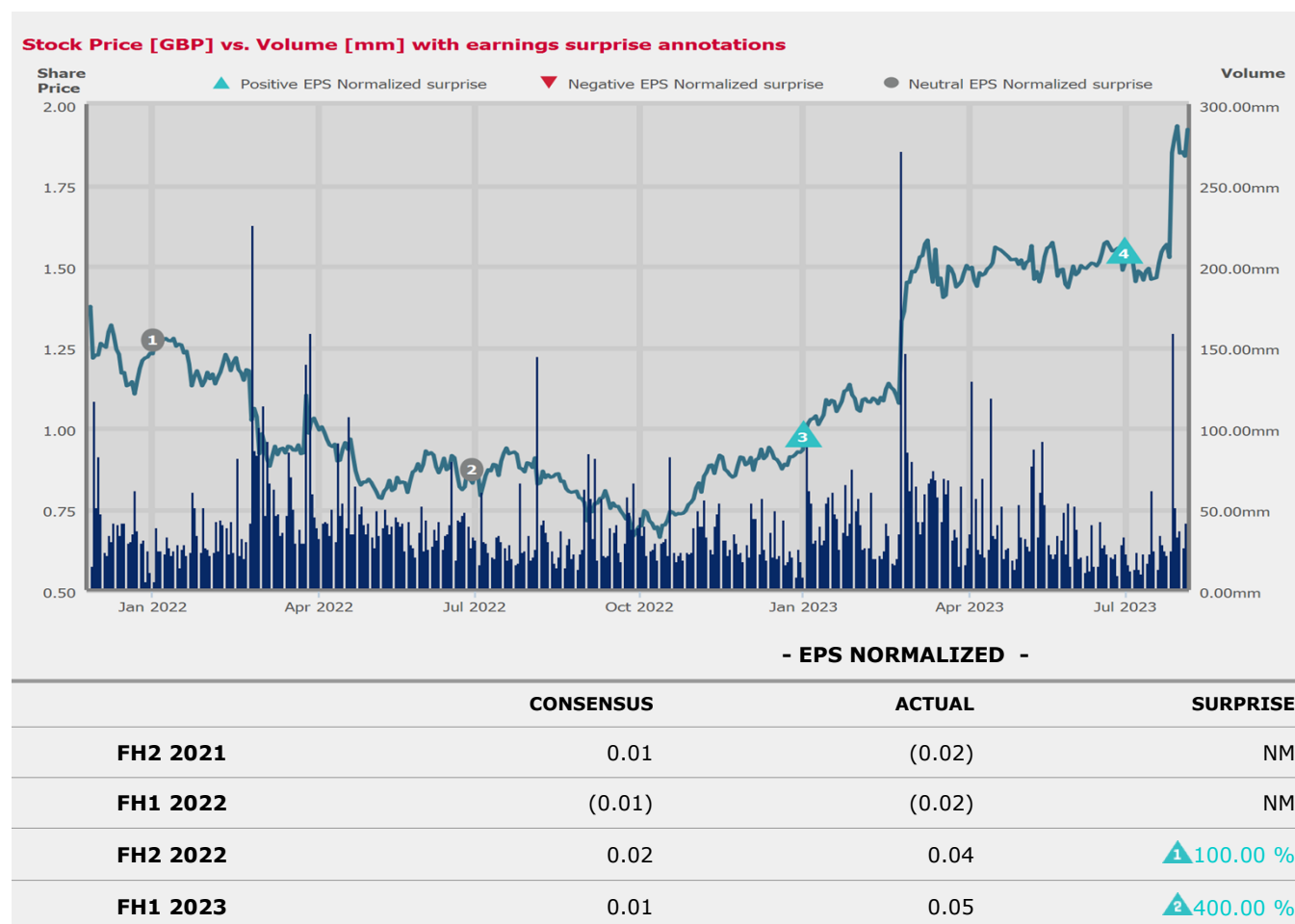


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Presentation

Isabel Green*Head of Investor Relations*

Hello, and welcome, everyone, to our 2023 half year results presentation. I'm Isabel Green, Head of Investor Relations, and I'm joined today by our CEO, Tufan Erginbilgic; and also Panos Kakoullis, our CFO. Our presentation today will take around 30 minutes, leaving plenty of time at the end for Tufan and Panos to answer your questions.

And welcome to UBS, first time we've been here in a while. [Operator Instructions]

Moving on, before we take -- begin, we take note of the safe harbor statements on Slide 2, as always. The results information can be downloaded from our website with the full risks and disclosures. I will now hand over to Tufan.

Tufan Erginbilgic*CEO & Executive Director*

Thanks, Isabel. Good morning, and welcome. I will start by presenting the highlights of our first half before handing to Panos to cover the financials in detail. I will then talk about transformation progress. We pre-released our results headlines a few days ago. So the key messages of today's presentation should not surprise anyone. First, improved operational delivery is helping us deliver stronger financial results.

In Civil Aerospace, OE deliveries and LTSA shop visits rose year-on-year by 26% and 24%, respectively. Our planned time-on-wing improvements are progressing well. This is 1 of the 6 levers that we are pulling to improve LTSA margins. We have applied for certification for the latest Trent 1000 fix, which will more than double the time-on-wing of that engine.

Our order book has grown in all 3 businesses. Our large engine backlog group for the first time since 2018, including a large order from Air India in the first half. We also performed the first successful test of UltraFan demonstrator engine. The first time all the technologies have been tested together. This program will position us well for the next generation of aircraft. Technologies from UltraFan will also improve the time on wing of existing engines.

In Defense, the AUKUS submarine agreement builds on our already strong pipeline, underpinning the long-term outlook for profitable growth in the business. And demand remains strong in Power Systems. Revenues grew more than 20% in the first half, with record level of order cover for '23 and '24. Transformation delivered strong initial results and helped us raise the guidance for the full year, even though our February guidance already included some expected benefits from transformation without which it would have been a lot lower.

Commercial optimization is driving commercial actions and pricing improvements across all divisions. We are tightly managing costs across the group as revenues have grown and improving the productivity of our operations. We are also making choices and allocating capital at the group level to the most profitable projects. Our transformation program is progressing at pace, but we still have a lot more to do.

Our early interventions have had a significant and sustainable benefit on our financial results. This is actually in line with my experience of past transformations that suggests the rate of improvement is higher in the early stages.

Finally, our financial results. We delivered a 9.7% margin in the first half of '23, with the improvements driven by Civil Aerospace and Defense. The strong results in the period reflect end market growth and transformation benefits, notably from commercial optimization and cost efficiencies.

As a result, we are expanding the earnings potential of the business and accelerating financial delivery. They also support the increases to guidance we announced last week. We are transforming Rolls-Royce into a high-performing, competitive, resilient and growing business. Our progress in the first half was

delivered, despite a challenging environment. Large engine flying hours recovered as expected to 83% of 2019 in the first half of the year. But the supply chain remains challenging, particularly in Civil Aerospace, where we have also been impacted by the 2 supplier fires.

Inflation remains high, but we have managed to more than offset the impact at the group level through cost efficiencies and pricing increases. Interest rates are rising. All our debt is currently fixed, but deleveraging and returning to an investment grade credit rating is a priority. This slide shows some of the metrics that we presented to you in February.

All metrics show significant progress versus last year. Operating profit was GBP 673 million in the first half with a margin of 9.7% and in Civil Aerospace margin of 12.4%. These margins are the highest delivered in both the group and Civil Aerospace since the introduction of IFRS 15.

This demonstrates expansion of earnings potential and accelerated delivery. Free cash flow in the period was GBP 356 million. This compares to an outflow of GBP 68 million in the first half of 2022. The next TCC to GM, i.e., total cash cost to gross margin. This is a measure of the operating leverage of the business, and it is resilience.

Our TCC/GM ratio was 0.6 in the first half of 2023. This compares to a ratio of 0.8 in '22 and 0.9 in 2019, pre-COVID. We are already making Rolls-Royce much more competitive and fit for the future. Finally, our credit rating. This year, Moody's and Fitch, both raised their outlook on Rolls-Royce to positive, and S&P also raised our rating from double minus -- BB minus to BB.

Our net debt has fallen from GBP 3.3 billion to GBP 2.8 billion. We are happy with our first half results, which show a significant improvement in the underlying performance. What encourages us is that these results demonstrate the interventions that we are making are working.

However, we still have a lot more to do to continue to expand the potential of the business. With that, I would like to hand over to Panos.

Panos Kakoullis
CFO & Director

Good morning, everyone, and thank you, Tufan. In the first half of 2023, group revenue increased by 28% year-on-year to GBP 7 billion. Revenues increased across all divisions, with Civil Aerospace up 38%; Power Systems up 24%; and Defense up 15%. Operating profit increased from GBP 125 million to GBP 673 million with a margin of 9.7%. This was driven by continued revenue growth, coupled with early transformation benefits, notably, cost efficiencies and commercial optimization across the group.

The increase in operating profit was driven by 3 things: higher aftermarket profits in Civil Aerospace; increased large spare engine sales compared to the prior period, again, in Civil Aerospace; and revenue growth and margin improvements in Defense. Free cash flow improved from an outflow of GBP 68 million in the prior period to an inflow of GBP 356 million. And that reflected higher operating profit in both Civil Aerospace and Defense and increased large engine flying hour receipts. And that was partly offset by a working capital outflow in the period.

Our net debt position decreased from GBP 3.3 billion to GBP 2.8 billion. We've got GBP 7.4 billion of liquidity, comprising cash and cash equivalents of GBP 2.9 billion, and undrawn facilities of GBP 4.5 billion. Our strong liquidity position enabled the cancellation of a GBP 1 billion bank facility in the first half that we deemed surplus to requirements. Our next debt maturity is a EUR 550 million bond loan note in 2024, which we expect to repay with underlying cash flows.

Now moving on to performance by individual business unit and starting with Civil Aerospace. Operating profit and cash flow improved significantly. This was driven by an underlying recovery in large engine activity and continued growth in aviation, coupled with cost efficiencies and commercial optimization.

Large engine flying hours were 83% of 2019 levels in the first half of '23, that compares to around 60% in the prior period. We delivered 188 engines, including 115 large engines, of which 18 were spare engines.

We carried out 591 total LTSA shop visits, including 144 large engine refurbishments. So that compares to 477 total shop visits and 113 large engine refurbs in the first half of '22.

Civil Aerospace revenue was 38% higher at GBP 3.3 billion, with OE and Services up 58% and 30%, respectively. Revenue is higher across our portfolio, with growth in large engines, business aviation, regional and V2500. Civil Aerospace profit of GBP 405 million compared to a loss of GBP 79 million in the prior period, with an operating margin of 12.4%.

That increase in operating profit is driven by 3 things: Firstly, higher aftermarket activity. That included more shop visits, greater shop visit, individual shop visit profitability and a greater contribution from both large engine T&M and also from business aviation aftermarket growth; secondly, increased large spare engine sales; and thirdly, cost efficiencies, notably the tight control of indirect costs.

Targeted contract improvements were GBP 105 million in the period compared with GBP 270 million in the first half of last year. That included contract catch-ups of GBP 70 million compared with GBP 219 million in the prior period. But you remember that prior period benefited from strong inflation-driven price escalation. Onerous contracts improved by GBP 35 million in the period compared to GBP 51 million in the prior period, again, due to our actions on commercial optimization.

Trading cash flows improved from GBP 63 million to GBP 401 million, primarily driven by a GBP 479 million improvement in operating profit. In addition, the LTSA balance grew by GBP 727 million in the period compared to GBP 433 million in the prior period. That growth reflected EFH growth and our commercial optimization actions, notably improved average rate per flying hour, driven by escalation and customer pricing negotiations.

It also reflected the anticipated collection of overdue debts that we previously provided for. A portion of our LTSA receipts are payable to our risk and revenue-sharing partners and that reduces the amount of cash retained by Rolls-Royce. So of that GBP 727 million LTSA balance growth, approximately GBP 500 million benefited our cash flows in the period. Those improvements were partly offset by increased working capital outflows. We expect inventories to fall in the second half of the year, reflecting the normal seasonality of the business as well as the impact of our working capital initiatives coming through on the transformation.

We expect Civil Aerospace's operating profit in the second half of the year to be broadly similar to the first half. Turning now to Defense. We've had major contract renewals in both combat and transport and are focused on commercial optimization to support profitable growth. Our successful run of new orders continued. The AUKUS agreement benefits us as we are the sole source provider of power and propulsion system for the U.K. nuclear submarines.

Work has now begun on the V-280 Valor program this year, and we secured funding for our global combat air program activities. The robust forecast of defense budgets in most western geographies underpin the long-term outlook for the business. Revenue growth was strong, up 15%. This reflects increased underlying demand and a first half-weighted delivery profile. OE revenue was up 17%, helped by the increase in funded development programs in both combat and submarines.

Services revenue increased 13% with growth in all 4 segments. Operating profit grew by 33% in Defense and was driven by strong revenue growth and product mix. Operating margin of 13.6% compared to 11.7% in the prior period, with the increase driven by pricing actions, a more favorable product mix due to the timing of high-margin spare parts in the first half and cost efficiencies.

Trading cash flow was GBP 76 million, which compared to GBP 89 million in the prior period. Higher operating profit was offset by the absence in advanced payment from one of our customers in the prior period. For the full year in Defense, we expect modest revenue growth with a slightly lower operating profit in the second half of the year. And we expect stronger trading cash flow in the second half of the year as a result of two things: key milestone payments on newer programs and our actions to reduce inventory.

Moving now to Power Systems. Our order inflow remains robust, with a book-to-bill of 1.1x and a record level of order cover with revenues fully covered for the remainder of 2023 and 32% covered for 2024.

Revenue growth was up 24%, driven by stationary power gen equipment and continued strong sales of mobile power solutions in both marine and mining.

Operating profit was GBP 125 million, which is broadly flat versus last year. Margins were lower than in the prior period with the initial benefit of pricing increases, offset by the negative impacts of both product mix and higher costs. We expect margins to increase in the second half of 2023, due to the second half weighting of pricing actions and seasonally higher volumes. So we expect full year margin to be higher than in '22.

Trading cash flow was an inflow of GBP 22 million compared with an outflow of GBP 76 million in the prior period. That was driven by operating profit broadly flat versus the prior period. There was an increase in inventories, reflecting strong volume growth in the first half of the year, so a bigger business, and the expectation of seasonally higher revenues in the second half.

We expect improved cash conversion in the second half as we unwind those inventories to meet demand and also due to the impact of the working capital initiatives coming from the transformation. Finally, new markets, reported an operating loss of GBP 78 million. That's in line with our expectations and compares with a loss of GBP 48 million in the prior period. The electrical testing has begun on a new small gas turbine to power hybrid electrical flight as part of a turbo generator system for advanced air mobility.

Our SMR business is progressing well through the regulatory process in the U.K. and has now entered Stage 2 of the GDA process. We saw a trading cash outflow of GBP 42 million compared with GBP 30 million in the prior period, with SMR costs continuing to be largely covered by third-party funding.

Now the next slide sets out our summary funds flow. In the first half of '23, we had a GBP 356 million free cash inflow compared to an outflow of GBP 68 million in the first half of 2022. This can be broken down into three broad categories. Firstly, our operating performance has improved by GBP 0.8 billion compared to the prior period. This was driven by higher profits in both Civil and Aerospace and the increase in engine flying hour receipts ahead of shop visit costs, which resulted in our LTSA balance growth.

Secondly, working capital was an outflow of GBP 600 million, which is around GBP 300 million higher than the prior period. That increase was driven by an increase in inventories of approximately GBP 600 million, due to continued supply chain constraints and anticipated higher revenues in the second half. There was a net outflow of around GBP 300 million from receivables and payables, offset by net inflow from advanced payments receipts.

Finally, other impacts change by a net GBP 100 million outflow compared to the prior period. With that, I'll hand back to Tufan.

Tufan Erginbilgic
CEO & Executive Director

Thanks, Panos. In February, we set out the Rolls-Royce proposition based on three pillars: First, creating a high-quality and competitive business with a focus on profitable growth and operational efficiency with higher EBIT margins and returns; second, growing sustainable free cash flow with growing cash from operations and disciplined capital investment; third, building a strong balance sheet and growing shareholder returns.

Our immediate priority is to return to an investment-grade credit rating, then resume shareholder distributions. We also talk about priorities we are focusing on to deliver the Rolls-Royce proposition, which are shown on the slide here. Of this, safety at the top remains our first priority, taking care of our people and products.

These priorities all have an underlying philosophy, which is what I would like to focus on today. This is how we are now running the business. This is different to the past and is helping us to improve our financial delivery and strategic progress. This is shown in bold on the slide. First, we are primarily focusing on the quality of earnings and cash, not market share. This impacts how we approach new and existing orders and contracts.

This is a change in mindset. We are concentrating on profitable growth. However, I still expect our volumes and market share to grow as we continue to improve our operations and our service to customers. We are aiming to achieve best-in-class operating leverage levels. Again, this is a change in mindset in terms of driving higher gross margins and driving cost efficiency to ensure that our business is more competitive and resilient to the external environment.

Our TCC/GM improved materially in the first half of '23. But there is still more work to do to achieve best-in-class ratio. Next, we will target cash as an input, not as an outcome. This is another important philosophical difference. Previously, group cash flow was an outcome based on the expectations by divisions. Now group cash flow is an input into a framework, which is used to inform the divisional targets.

Our strategy and annual planning is done on this basis. Choices are made to invest in profitable projects and growth opportunities. This leads us neatly to capital allocation. We are allocating capital to the best projects on a group-wide basis. Before, we allocated capital by division. This new approach enables us to allocate resources more effectively and efficiently to the highest priority areas strategically and for profitable growth.

We are prioritizing projects based on their strategic and financial value and execution risk. Finally, we remain committed to becoming a net zero company by 2050 and advocating for policies that support the industry sectors we operate in. We continue to progress our energy transition activities. A stronger Rolls-Royce will play a more powerful role in the energy transition.

Our transformation program launched at the start of this year with 7 work streams to deliver a step change in performance. We are in action. Initiatives have been identified for delivery in '23 and beyond. But we still have a lot more to do. The early interventions that we have made in 2023 have given us the most immediate and significant impact. This is why we talk about accelerating financial delivery.

I would like to talk to you about 3 of these work streams and how they help our financial delivery in more detail. First, efficiency and simplification. We are getting clearer on the operating model for the group, focusing on synergies across divisions and functions, optimizing spans and layers and simplifying the organization. At the start of the year, we intervened to reduce indirect costs and tightly control headcount and made -- we made some activity choices.

We are also improving productivity in our operations. We will manage all indirect third-party costs globally to leverage synergies across the group. By doing so, we expect to achieve a material reduction in indirect third-party costs. We are taking the same approach with direct procurement, where around half of the categories overlap between the divisions. Again, this will enable us to capture economies of scale and optimize commercial opportunities.

An example of direct cost synergies relates to castings and rings. Previously, these were procured separately by Civil Aerospace, Defense and Power Systems. A cross-divisional team was formed to find ways to reduce the cost of these items, which have identified potential procurement savings of up to \$20 million per year.

Second, commercial optimization. The objective of this work stream is to improve contract profitability and take appropriate commercial actions. We are focusing on three main areas: wide-body margins, business aviation and Power Systems pricing.

In Civil Aerospace, we are pulling on 6 levers to improve our LTSA margins, 3 of which relate to revenues and 3 to costs. These are time-on-wing improvements, reducing the number of shop visits will drive up our LTSA margins.

Shop visit cost reductions. We are focusing on driving down the cost per shop visit by optimizing our overall process, reusing and repairing parts. Product costs. We redesigned parts to lower the cost of building and servicing engines.

Fourth, rigorously enforcing our contractual terms to ensure that we are paid what we are owed. Fifth, we have a new pricing framework in place to ensure that all new and renewing contracts have a satisfactory level of profitability. All new and renewing contracts are now reviewed by the Investment Committee.

Finally, engaging directly with the customers to address onerous and low-margin contracts. We have an onerous contract provision of GBP 1.4 billion. We must rebalance these contracts. A strong Rolls-Royce will be a much better partner to our customers and deliver superior service. I have personally spoken with each and every customer with which we have an onerous contract. Our immediate focus has been on the 6 most onerous airline customers, who represent more than half of the onerous contract provision.

A further 10 customers have been identified as key opportunities. We have set up joint task forces with the customers to work together for a win-win solution. In business aviation, we have almost a 70% of the installed base of large cabin business jets. Our market share is growing based on our position on new jets. We are working on customer segmentation on the aftermarket with a view to offering customers a premium aftermarket offering. Time-on-wing and cost improvements in business aviation drove contract catch-ups in the first half of the year.

In the first half of the year, we also raised time and materials pricing for large engines by 12%. This contributed to first half results significantly. We also continue to improve the profitability of our OE business.

In Power Systems, we have applied a similar approach to Civil Aerospace with detailed analytical work by business segment on the pricing of OE and spare parts. We have enacted price increases across the portfolio that had provided some benefit in the first half, which -- with much more to come in the second half. We have also benefited from this in Defense, where we had major contract renewals in both the combat and transport segments. We have focused on commercial optimization to improve profitability.

Third, working capital. We have identified opportunities to deliver a sustainable improvement by optimizing each of the components of working capital as part of a multiyear program. Progress on this so far has been slower than I would have liked due to the challenging environment. We are increasing our focus on this now.

In the first half, working capital deteriorated, as you heard from Panos, by GBP 600 million, driven by higher inventories, reflecting continued supply chain challenges, including the impact of the 2 supplier fires and in anticipation of higher volumes in the second half. This is largely as expected, and we still expect to release inventories in the second half.

We have already made some encouraging progress with overdue debts and collecting customers' advances. This is based on rigorous data analysis and new digital tools to analyze overdue debt by customers. We have more to do on working capital in the second half of the year, and this will continue into next year and beyond as this is a multiyear program.

Finally, let's look at our guidance for 2023. As you will know, we communicated our upgraded guidance on 26th July. The external environment is largely as we predicted in February. We still expect large engine EFH at 80% to 90% of 2019. Our guidance for shop visits and deliveries are also unchanged. The supply chain remains challenging, notably in Civil Aerospace. And we expect that to remain to be the case into 2024. We delivered strong first half results, helped by transformation and performance management.

We are accelerating our financial delivery and our upgraded guidance reflects this. We now expect operating profit of GBP 1.2 billion to GBP 1.4 billion in '23 versus our old guidance of GBP 0.8 billion to GBP 1 billion. This factors in targeted contract improvements of GBP 200 million to GBP 250 million, including catch-ups and onerous provision releases. We now expect free cash flow of GBP 0.9 billion to GBP 1 billion in '23 versus our guidance of GBP 0.6 billion to GBP 0.8 billion.

This guidance includes an LTSA balance change of GBP 1 billion to GBP 1.2 billion, of which GBP 0.8 billion to GBP 0.9 billion is expected to benefit our cash flows in the period. Our free cash flow also factors in GBP 200 million of legacy Boeing concession outflows, a GBP 150 million impact associated with supplier fires and new GBP 100 million relating to a legal judgment.

To summarize before we go to Q&A. We have delivered strong results in the first half, helped by transformation and rigorous performance management. These have been achieved despite the challenges associated with inflation and supply chain. We are accelerating our financial delivery and have raised our full year guidance. We are working at pace on our transformation plan, but there is still much more to do.

We will come back to you in November to present the outcome of strategic review and set medium-term targets. Before we open for questions, I would just like to take the opportunity to thank Panos for his hard work and contribution over the past 2 years and wish him the best for the future. Thank you. We look forward to your questions.

Question and Answer

Ross Law

Morgan Stanley, Research Division

Ross Law from Morgan Stanley. Firstly, on pricing. Clearly, a key pillar of the transformation plan. Can you maybe give us some context on how this benefited in the first half and also maybe some color by segment? Secondly, on supply chain, where are the bottlenecks currently? You mentioned 2 fires, but where else are you seeing issues?

And lastly, on Power Systems. You also mentioned negative mix. Can you maybe give us some details around the margin delta between, for example, marine and power gen?

Tufan Erginbilgic

CEO & Executive Director

Okay. So I'll take it in that order. I think pricing question, that is what I tried to give you sort of color there. But effectively, what we did, we were very focused with that work stream. And that work stream, the way you should think about it, it works together with the line management, obviously. So they are the same in that sense.

But effectively, we thought widebody and LTSA but also time and material was a focus area because, for obvious reasons, we thought potentially is big there. Business aviation was a big focus because I was very public on that, that business aviation, we have a great platform, but we haven't commercially leveraged that platform. Therefore, that was an obvious area to focus on.

And both on OE level as well as aftermarket, by the way. And then the third one, Power Systems pricing. And one word on that. Yes, first half was weak in Power Systems, but we knew. And frankly, that should tell you how we intervene because when we actually started our program, which was almost as January as you know sort of, it was already first half -- to a great extent first half pricing or lack of pricing was locked in. And Panos talked about higher costs also in terms of hiring, et cetera. They already hired people were coming in.

Therefore, our interventions will play out on both dimensions second half, right? So I think -- and then what we did, frankly, we didn't deploy that work stream on Defense. But what we did is -- because the opportunity set was smaller. But what we did is we transferred the learnings pretty quickly, and they applied that. Actually, Defense numbers include both on OE as well as aftermarket, pricing and commercial actions. I hope that gives you a sense on that one.

Supply chain question is, I think I said it, frankly, industry, everybody is talking about it. As you know, airframers talking about it. Right now, limitation in the industry is supply chain. And we have the same issues. And our issue was a little bit multiplied because of 2 supplier fires. And that actually -- we talked about GBP 100 million -- GBP 150 million impact. But actually, initial impact was going to be a lot more than that when we analyze.

But team has done a great job to minimize the impact to GBP 150 million that we are sharing with you. But the gross, without interventions, actually number was a lot because I've been heavily involved. I did at least 5 reviews with the team on that. So therefore, I know pretty well our starting position. But supply chain, frankly, unfortunately, because of this V-shape, supply chain issues, I don't think Civil Aerospace supply chain, gas turbine supply chain will stabilize anytime soon.

I definitely expect that definitely next year, maybe beyond, so. But we also see other supply chains. So there are some overlaps, obviously, between Power Systems and Civil and so on. But Power Systems supply chain after COVID had this similar issues of COVID recovery, but it is stabilizing because they didn't have V-shape that industry, they had more like U-shape, if you like. So that is stabilizing.

Your last point on Power Systems sort of margin, I'm not going to give you specific numbers. But yes, marine business margin profile because your specific question marine versus power gen. Marine business

power -- margins profile is much better than power gen. And we are actually improving power gen this year, even with the numbers you see and second half more, we are actually improving power gen margins. But structurally, that margin structure differences like that. There is one question there. I'll come to you David after that.

Nick Cunningham

Agency Partners LLP

Nick Cunningham, Agency Partners. Obviously, you have substantially beaten expectations, to say the least, both in the half and in guidance. And that, as you said, is despite the fact that the external impacts are -- have not really changed in terms of what you're expecting. So obviously, a large component of that is cost and pricing.

First question is, what's the risk that you're getting the inflationary benefits in your pricing before you suffer the adverse impacts of inflation in your cost? So is there a danger that you're going to end up giving back some of this gross margin benefit that you've seen so far?

Second question, you've been generating a lot of cash despite inventory increases. So you're obviously carrying, I presume, much more inventory than you think it should be. Is it possible to put any kind of quantity on that inventory? And finally, normally, even in a good year, Rolls-Royce uses a lot of cash in the first half, I mean, typically hundreds of millions and then gets a lot more than that back in the second half.

This year is completely different than that. Is that a structural change? Should we expect that to be the case going forward? Or would there something special happen in '23 to shift that balance?

Tufan Erginbilgic

CEO & Executive Director

There are three questions. I'm going to let Panos answer the second one around working capital. But let me tackle the inflation question. I don't think so because, actually, in a way, what is going on here is we already got big inflation impact in our numbers, if you think about it from last year onwards.

And then this year, we continue to see that. The way to think about it -- now this is -- I'm giving you a 30,000 feet view. The way you may want to think about these results, you are absolutely right, commercial actions and cost efficiency named self-help drivers here. The way you should -- we effectively neutralize with our cost efficiencies, neutralize inflation impact.

And we -- actually, all the pricing actions, not only pricing because commercial actions, multi. I'll give you a commercial action example, right, beyond pricing. I think pricing, everybody understands. But in our LTSA balance, we talk about sort of -- Panos talk about debt that we actually provided for. Basically, that's the debt we've written off because we -- company thought we would never get it back, COVID and so on and so forth.

Therefore, everybody focused on what we do. I'm not denying what we do is not important, very important, but how we do is equally important because I've been involved in, as I said, all the onerous contracts. But on this one, I wasn't. But the tone you said, framework you create, what team did, they look for opportunities. They start, yes, I'm going to go and negotiate this because I know if they call Tufan, probably, he is going to defend me.

Suddenly, these things come through. And that is GBP 100 million, right? It's not a small change. That's GBP 100 million we never had, frankly. I mean reality is we written off by definition. We never had. So therefore, when you think about, I call commercial optimization, everybody says, he's talking about pricing. Including pricing, but I am thinking about commercial actions because in business aviation, we are doing customer segmentation. And that is creating value.

So you need to think about commercial actions wider than that. So I think -- your last question, then I'm going to pass it over to Panos for working capital. So there are -- in our business, there are some structural reasons why first half, second half play out. But there are some reasons that we make it

that way. So what we tried to do this year, tried to push some of those things, you will say, why Tufan? Because it actually reduces the risk profile of your delivery. That's why that was a focus area.

We didn't do anything sort of -- but we effectively, whatever in our power that in normal sustainable business improvement sense, we can do because I cannot overemphasize all our improvements here, sustainable improvements. That is what we are interested because this is initial results, we want to continue to build on it. So over to you.

Panos Kakoullis

CFO & Director

Yes. I'd probably add one little thing to the first answer as well. Just from a profit perspective, LTSA margin recognition is based on forecasting your future costs. So that will have though your inflation concern would be built into those future costs. So that's the basis of that being recognized that's built in.

In terms of your cash point, you're right. The cash performance in the first half was driven by that increase in operating profit across Civil and Defense, as we highlighted. The LTSA balance increase, again, as we highlighted, together with those commercial optimization actions that are in there that drove some of the areas that Tufan was covering, it was offset by GBP 600 million negative outflow on working capital.

Then when you work through it, you'll see inventory went up GBP 600 million. We expected it to go up in the first half, partly as a result of that seasonality because Power Systems is heavily second-half weighted in terms of unwind of inventory. Civil Aerospace, we've got more shop visits and more OE deliveries in the second half, again, some of that seasonality, but also some of that impact of supply chain is bumping up. We do expect an unwind, but think of that as an unwind from H2 -- H1 into H2, not from year-to-year.

Tufan Erginbilgic

CEO & Executive Director

David?

David Howard Perry

JPMorgan Chase & Co, Research Division

David Perry from JPMorgan. Of course, so many questions. I know I'm going to have to decide which are the most important. So can -- let me choose these three. First of all, the EBITDA guide. You've given us the year for the group and you've given us Civil Aero at double H1 800 . It doesn't imply a particularly good performance for the rest of the group. It's 400 to 600 in aggregate for the rest of the group, which is either equal to last year or well down on last year. So just at a high level, can you comment on that, please?

The second question is the free cash flow guidance for the year, to me, looks quite low, given the LTSA inflow. Are you assuming a very big outflow in other working capital ex LTSA? So you just speak to that. And then I guess the third one would be, if I just pick up what Panos just said, which is LTSA profit is based on a forecast of future profits. And your comment, Tufan, about the rate of progress at the beginning of your program is much faster than later. How much of the journey on the Civil Aero margin improvement have we just seen already this year or in the first 6 months?

I mean should I take a 9% margin this year and now dream of 20%? Or am I thinking it's 9%, but a lot of the goodness has happened and there's just a bit more to go?

Tufan Erginbilgic

CEO & Executive Director

Thanks, David. As usual, good questions. So first of all, operating profit guidance, your first question, I think, is GBP 1.2 billion to GBP 1.4 billion. Yes, I can totally see why it may come across sort of conservative. I think let me reiterate what we said in that write-up. We said Civil will have similar operating profit second half. And that should tell you, frankly, first half benefits when I look at it, they are all sustainable benefits. And second half, frankly, similar profile. I cannot see there anything that I would say this is one-off.

So that is how you should hold Civil. I think that will play into your last question as well. And then we said, in Defense, we expect operating profit lower second half and Power Systems, the other way around. Then you look at the environment, we have lots of uncertainties in the environment, especially supply chain challenges and uncertainties.

And because supply chain challenges, frankly, they -- because of this V-shape that we talked about was bad, but it was actually coupled by some other world events like interest rate increases and funds flow getting tightened to the supply chain, some of the companies. When you are in V-shape trying to expand your capacity, funds flow sort of tightened. I'm talking about smaller companies, right, that is actually creating lots of issue.

So we effectively, in our guidance, reflected some of the risk profile of external environment. So if I move to your free cash flow point, I'll say a few things, but I might -- Panos to say what he would like. But is how I hold it. I think take our operating profit guidance, which is around GBP 400 million better than our previous guidance, give or take GBP 100 million of it comes from onerous and catch-up. So that means GBP 300 million coming from operating profit and another GBP 200 million cash coming from LTSA.

So GBP 500 million upside, then we highlighted 2 items there, which are new. They weren't in our February guidance. One is we said supplier fire impact is now GBP 150 million, not GBP 100 million. And second thing is this new legal judgment. Frankly, we are going to appeal that. That is -- I think it is public, I can tell you, that's the Collins court case, which goes back to, I don't know how many years, but it's not a new court case, but the judgment came in July.

So -- and we provided that for in income, but obviously not in cash. So that is -- that's creating. So that is your GBP 350 million. So if you look at our increase, GBP 200 million to GBP 300 million in cash, the difference is we are a little bit more conservative on working capital release than we were in February. I hope it sort of math works there for you.

Panos Kakoullis
CFO & Director

The only thing I'd add to that, the Collins provision that you referred to was made in prior years. So it's not in -- it doesn't hit this year's profit.

Tufan Erginbilgic
CEO & Executive Director

Yes. That's what I meant. We provided in previous years because, frankly, to the team, obviously, I'm new. But to the team, this wasn't a surprise. Anyway, and your margin improvement, I mean, this is one of those questions you know I won't answer, but a good question, nevertheless. So I think -- what I said is true. I think ideally because when you're around 250 miles an hour, so you don't think about it every day. But I went back 1 week and one sort of everything must coming together, I said, okay, let me see how it compares with my previous experience.

And 2 experiences, I can tell you, almost identical, almost identical. I know you got surprised why these results. In that sense, I'm not. And the thing that rate of improvement is really high early on. And I talk about why that is the case because you analyze the business and you make obvious interventions. When I say obvious, I don't mean easy because if it was easy, somebody else would have done it.

But obvious interventions based on your analysis, and then that creates that sustainable, which is all good because sustainably, you are getting to a new level. But from there, I really caution you guys to extrapolate it on a linear basis or anything like that rate of improvement will be different at different stages.

So last thing I'm going to say, David, I think when we come in November, obviously, with strategy review outcomes, we will then talk about midterm targets. But I should say one other thing because some of you were still probably thinking this is too good to be true. But one other data points always help in this kind of conversations, right? One data -- 2 data points for you when we talk about operating profit margin. One is 12.4 and 9.7, both of them, actually the best on record since IFRS 15 change.

And if you make IFRS 15 change adjustments to the history, you may actually find most likely that they are also the best on record, when the flying hours still 80%. So why am I saying that? That is, one data point should tell you how much self-help improvements there. But second data point is equally important, and David, you will relate to this.

Almost a year ago, Rolls-Royce set a midterm target of single digit for Civil Aerospace, probably they were thinking that is '25, '26 in terms of years when you say midterm at that time. We obviously overachieved that by a margin. So those are 2 data points tells you rate of improvement is high, and it is self-help because when they set those targets, I'm sure they assume full recovery on the flying hours and so on and so forth, right? So I think that should tell you the self-help improvement here. But never forget about my caution that rate of improvement will be different going forward.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

George Zhao from Bernstein. First one on the collection of the overdue debt. Is that mainly behind you? Or how much more of the opportunity from that is still ahead of you? And second, on the increased pricing in Civil Aero. Is the contribution more from new contracts or revisiting older contracts? You mentioned the 12% T&M price increase. Is that comparable for the LTSAs? And how much portion of the LTSA contracts have been able to -- have you been able to renegotiate?

Tufan Erginbilgic

CEO & Executive Director

I'll let Panos to answer the overdue question. On your pricing question, I think, frankly, it is coming from everywhere a little bit. But time and material is important in this because we always talk about LTSA contracts, et cetera. When I say time and material, some of you may be thinking, but 80% to 90% of your stuff is LTSA contracts, how do you actually make that much impact by time and material price increase?

Remember, almost 50% -- these are rough figures. Almost 50% of our LTSA contracts, actually LLPs in a way unbundled, therefore, the customer pays for them separately. When you make a price increase 12%, half of with the shop visit increase because time and material, obviously, more shop visits, more need for that, that actually makes an impact. So that's how you should hold it in your mind.

Obviously, it is both profit and cash in that case, unlike sort of LTSA improvement. So it is everywhere, frankly. We also increased our onerous contract and catch-up numbers, as you know, from February guidance, roughly, roughly GBP 100 million. I'm rounding. So that's how you should think about it. Overdues?

Panos Kakoullis

CFO & Director

Overdues, we talked about this at the February announcement. There was a collection of some overdues in last year's numbers in the second half. We said there was more to come. Some of that came through in the first half, but there is still more to come. And there is -- there are some elements that even -- won't even recognize this overdue as Tufan highlighted earlier on, where we previously provided around some minimum utilization that we didn't think we would get that is now being built and will be collected.

Chloe Lemarie

Jefferies LLC, Research Division

Chloe Lemarie from Jefferies. The first one I was going to ask about what surprised you in the pace of transformation. But based on your prior answers, I'm going to ask you what actually delivered in line with what you expected, but pretty fast compared to our, I guess, expectations? Whether the willingness of customers to come back to the table and renegotiate contracts, was it the actual leverage that you could get on some of the transformation plan? Or just the cost -- other cost savings benefits?

The second question I had was on the LTSA invoicing. We're now in H1, well above the 2019 levels, GBP 2.3 billion compared to, I think, around GBP 1.7 billion. So could you explain what drives that significant

improvement when we just -- we're still below the 2019 volumes? Or maybe going forward, how should we think of the pound amount for incremental flight hours?

Tufan Erginbilgic

CEO & Executive Director

Okay. Two good questions. So I think -- I mean, one -- I'll specifically answer that question. But one thing I really want you guys to think about how these 3 divisions -- and some of you are saying Power Systems is sort of disappointing or whatever your wording is. Effectively, this is -- these results are not one thing. Don't look for a silver bullet, okay? And that's my experience. And that makes these things more powerful because you mobilize the whole organization with a clear purpose, with a clear framework and then interesting things happen.

And that is the stage we are at, right? Therefore, it is -- I'm saying to you, we haven't deployed commercial optimization work stream in Defense. Frankly, they know what they did. They called the commercial optimization team. And we didn't do it. One reason we didn't do it, price was smaller. The other reason was confidentiality. Frankly, you need to get lots of clearance to go in there. And we didn't have time. We were in rush. But they called the commercial optimization. They sat down with them, then they went and took OE and after pretty tough OE and aftermarket actions. So that's how you should care.

But specifically, I always talk about 6 levers, right? I talk about in my script. Therefore, our LTSA improvements will not always come from because customers are coming forward. But I can tell you this. Those 6 levers are there, and we will derive them in a very rigorous way, okay, number one.

Number two, we are partner to customers. If you think about partnership because you may be thinking, why are they even entertaining you, right? Because there isn't one I can tell you, which didn't agree to establish a joint workforce. There isn't even 1 OEM or aftermarket sort of airline, I should say. And you may think what is going on here. Thinking about what we do, we are a long-term partner, more than airframers are, right?

Because you sell the plane, at least, for that transaction you are done. You sell the plane, our engagement is still another 15, 20 years on that plane, right? We are a true partner up. If my true partner comes to me and says, this is really one-sided contract, Tufan. So you got 2 options, you call us not a partner and transactional, then I deal with you next 15 years on that basis. Or you come to the table, we resolve this. We create win-win, then we build on it together and create even a much better future. That actually brings people to the table, right?

That is the sort of your second question, LTSA and Panos, please jump in. But here is how I hold it. We gave you a rule of thumb in the past. We won't give you another one. Do you know why? For two reasons. Because we are in transition and industry is in transition. What do I mean by that? Industry in transition because new engines like XWB coming. Without any doubt, they are better engines, fuel efficiency, et cetera, but they cost more.

Therefore, they are priced differently on EFH level, right? Therefore, mix changes, your EFH rate is going up. We are in transition because we are taking commercial actions and pricing actions that is also increasing that. So therefore, we won't give you a rule of thumb because it is going to be a moving target. One thing you should expect, it will continue to go up because of those two factors, right? Per rate -- per unit will continue to go up.

Ian Douglas-Pennant

UBS Investment Bank, Research Division

Ian Douglas-Pennant at UBS. So just continuing on that answer you were just giving, I guess, on pricing. To what extent do you need to go back and have conversations with Airbus themselves? To what extent is that kind of base contract that you've built on need to be negotiating in some way?

And secondly, on cost reduction. In Civil business, at least, the commercial and admin and R&D costs declined in absolute terms in H1. How did you achieve this in such a short time frame? You have a heavy

unionized workforce. I mean is there just no travel going on? Is it stuff as basic as that? Or like how do you even do that?

Tufan Erginbilgic

CEO & Executive Director

Okay. Very good. On Airbus, I won't comment on individual conversations. You shouldn't expect that to happen. But I would say Airbus is a great partner. And obviously, we have had long and good relationship and that will continue going forward. I think on cost efficiencies, it is sort of what we did, obviously, industry is in the recovery, right, i.e., you are scaling up, sort of more OE, more shop visits and so on.

Therefore, you want to invest. If you look at our first half capital spend is higher than first half last year. I think Panos shared that. Why is that? Because we are investing in that recovery, right? Because R&D and capital, we will do the right things for the company, for sustainable growth of the company.

So -- and we are increasing first half, towards first half because, actually, when recovery is coming, we didn't want any of our machinery to fall apart while sort of scaling up sort of that was the reason. But for the same reason, we also increased direct labor, but our eye has been on productivity improvements when that happens. Therefore, no cost reduction there.

But then indirect labor and indirect headcount, we -- and the activity choices, I talk about indirect sort of let me talk about both of them separately. I think indirect, by definition, that's not your variable cost, right? So -- but some companies don't manage that rigorously. And frankly, Rolls-Royce has been in that journey. That's why I made the comments I made about Power Systems, so. And but I think when you rigorously manage that and we put a system in place, really, system in place for indirect headcount and cost management, and that actually made sure that we did the right things, but we didn't do unnecessary things.

Second thing is, when I talk about granular strategy, some people are saying, this guy is talking textbook language. It's not textbook language. It is my experience. I didn't learn strategy in textbooks, but I did it by doing. So I think when you are that clear with strategy, you are not here, you are here. You can make activity choices because you are here, right?

You can make activity choices. It tells you what you will do, what you want to. So combination of both has been driving. Obviously, activity choice, you make it, that activity is gone because I don't like options management in business. If you don't have choices, you don't have a strategy. So I don't know if it answers your question, but that's what I would say.

Isabel Green

Head of Investor Relations

By the way, we're pushing it a little bit on time, and we are -- but I do have some fairly couple of questions online, probably more than questions we've got time to answer. But if I might just take two of them as the -- to answer if I may ask you, if I may, Tufan. The first one comes from Phil Buller, Berenberg. It's a two-part question, I'm afraid. So I'll probably talk the question for maybe longer than the answer. But the first one, thank you for the comments on philosophy, including the focus on quality of earnings, not just cash.

Philosophically, do you believe earnings are as important as cash or as a function of each other for Rolls-Royce as they are typically for other industrials? And related to that, how should we think about the LTIP frameworks? Is it cumulative cash concept likely to be deemphasized in favor of clean earnings?

He also asks, we talk about being well positioned for the next-gen aircraft with UltraFan. Rolls-Royce has always been well-positioned from a technology standpoint. The issue has always been extracting positive returns on the technology. So is it a must to do? And how do you think about the payback period you would be happy with on a new platform? And I'm sorry, the question probably took longer than the answer.

Tufan Erginbilgic

CEO & Executive Director

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No, no. There are 3 questions there, I think. Let's deal with it. So first, earnings versus cash. Frankly, I'm a guy, I want all of the above. So I think that's what I would say, I think. And even in Rolls-Royce, I know our accounting sort of makes it a little bit timing-wise different. But even in Rolls-Royce, I think both earnings and cash are important, so. And they are actually a function of each other in a way.

Therefore, I'm not going to say I like this more than that. But obviously, for any company, cash generation is critical. I mean at the end, that is -- earnings is a proxy of your cash generation, if you like. And therefore, they should go hand-in-hand. But obviously, cash generation has to be there as sort of if you really push me, I said, "Oh, I want both of them."

But if you really push me, I think I will go for cash because that's effectively the value creation. LTIP, I'm not going to comment on it right now. As you know, we are at the stage that our remuneration policy is expiring. So there is a work that Board leads, obviously, Remuneration Committee leads on the new remuneration policy. And it's not right for me to comment at this point in time.

And UltraFan, there are -- even within UltraFan, there are multiple questions there. But I would say the following. I think first of all, UltraFan team has done a very good job. And it is a technology demonstrator. You need to think about that way, okay. And it has 2 purposes. One is to position us well for the next generation of engines, and it does exactly that.

Second purpose is -- but I'm going to come back to the first purpose. Second purpose is actually because we test the technologies there, we are going to use them right now, especially on time-on-wing improvements in the -- for the existing engines. And we have a very systematic program to improve time-on-wing for all the engines we have. I talk about Trent 1000 today. But all the engines in the next 4 years, frankly, we are going to get all the engines to what I call their destination level. That's our program.

So -- but if I go back to first purpose, UltraFan, it is built, if you have seen it, in fact, in my first slide, there is a picture, nice Tiffany colors. By the way, that's part of IP. So -- but that is a big engine, so -- intentionally, because we will scale down to wide body even to narrow body. It is scalable.

And that's how you should hold it in terms of -- profitability, absolutely. I'm not going to give you a payback period right now because next-generation aircraft is not going to happen before 2030, and we need airframers, obviously, to go there first. But I will say this. We won't do anything not profitable. I will say that categorically.

Isabel Green

Head of Investor Relations

And just one last question I'm going to squeeze in because it's come up on from a number of questions have come in, but it actually is Ben Heelan at Bank of America, who I'll read out, which is asking, with the cash flow improving materially, how are we thinking about the time line of getting to investment grade? And adding on for a couple of the other investors online, if we've got any plans to reintroduce the dividend this year and our preference for dividends versus buybacks, if you have any comments on those, please?

Tufan Erginbilgic

CEO & Executive Director

Okay. Good question, Ben. So I think we said it in February, I think we want to get to investment grade at pace. And given the progress we are making, I think I believe that will be reality. We will get there at pace. I don't want to give a time because, as you know, you hit the investment-grade metrics, then rating agencies need to get there. So therefore, our first task is to hit the metrics, and we are making excellent progress towards that.

And therefore, I won't give timing, but it is our first priority, which goes into the second question, dividend. And frankly, our first priority is to get to investment grade. After that, yes, we would like to reestablish dividend, absolutely. Dividends versus buybacks, we are now doing some work on the -- frankly, until you get to investment grade, it's a little bit sort of not important point.

But once we get to investment grade, it is important point, what kind of capital structure we want and what's the cash framework for the company. We are already doing that work as we speak. And obviously, that will play into whether it is buybacks, dividends, et cetera. It is too early, Ben, to comment on anything like that.

Isabel Green

Head of Investor Relations

Thank you. We'll call it there because I know we have other meetings to start at 10:30. Thank you very much.

Tufan Erginbilgic

CEO & Executive Director

Thank you. Thanks for coming.

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Rolls-Royce Holdings plc LSE:RR.

FY 2022 Earnings Call Transcripts

Thursday, February 23, 2023 8:30 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2022-			-FY 2023-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.01	0.02	▲100.00	0.03
Revenue (mm)	11689.25	12691.00	▲8.57	12728.88

Currency: GBP

Consensus as of Feb-03-2023 2:35 AM GMT

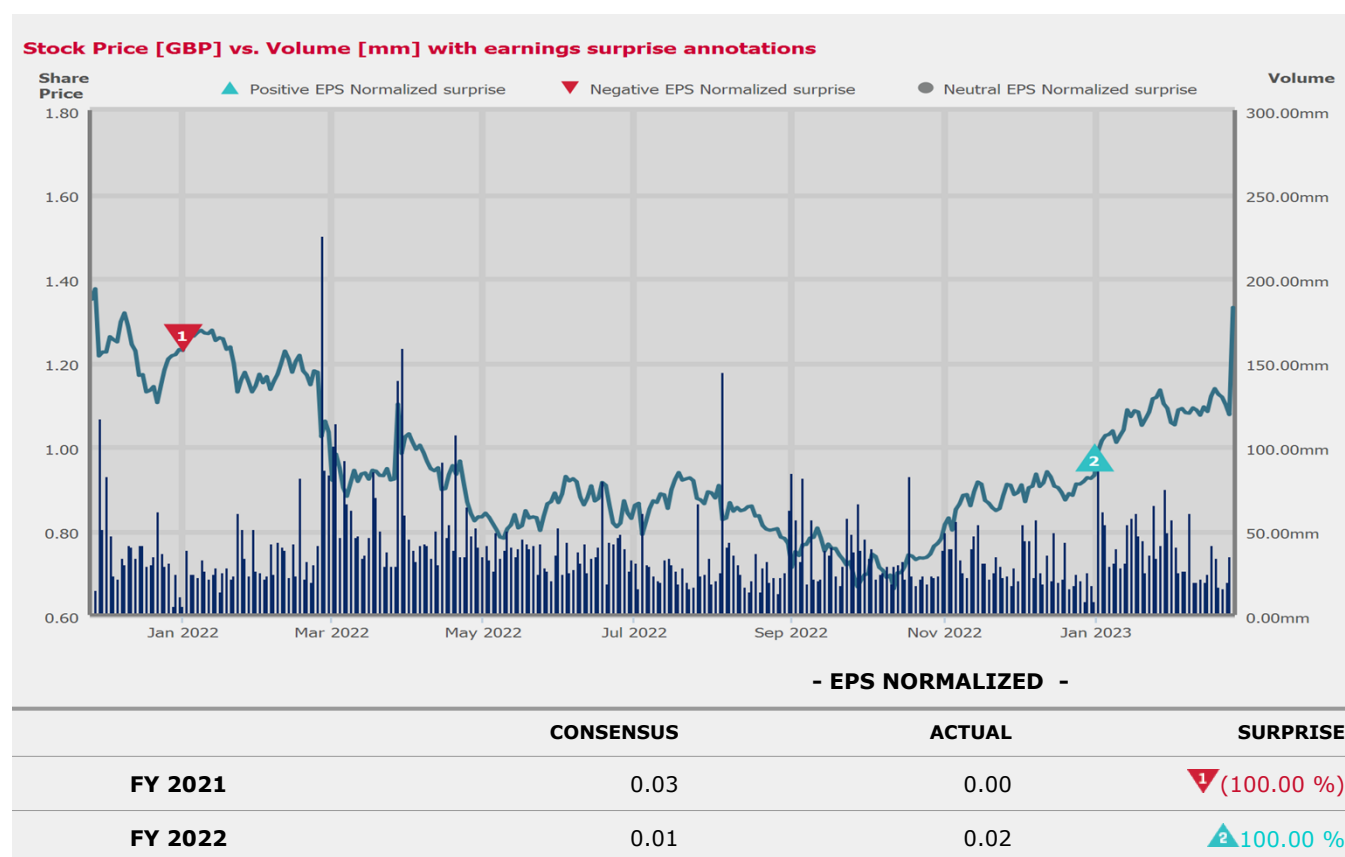


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Presentation

Isabel Green*Head of Investor Relations*

Okay, I'm just looking for a way from the back to let us know ready. We are. All right. So thank you. It's lovely to be back here at the Stock Exchange again. Thank you all for coming out on person on such a busy morning, and welcome to our 2022 full year results presentation. I think most of you know me, but I'm Isabel Green, Head of Investor Relations. I'm joined here today by our CEO, Tufan Erginbilgic; and our CFO, Panos Kakoullis.

Before we begin, I'm required to show you our safe harbor statement on Slide 2. As always, the full set of results materials can be downloaded from the Investor Relations section of our website. We're going to start today with a short introduction from Tufan, and then Panos will present the 2022 results. Tufan will come back then to talk about his observations and priorities in the future.

The presentation today is going to last around 45 minutes, so there will be plenty of time for your questions at the end. So with that, thank you very much. Over to you, Tufan.

Tufan Erginbilgic*CEO & Executive Director*

Thanks, Isabel. Hello, everyone. To those in the room, it is good to see you in person. For everyone watching online, welcome too. As this is my first results announcement at Rolls-Royce, I will introduce myself before handing to Panos.

When I was approached last year about the opportunity at Rolls-Royce, I was drawn by the strong brand and reputation, and it is important as a global company. There are only a handful of companies whose products have helped shape modern society, from the development of jet engine itself, to the wide range of engines and systems we make today. Our ingenuity has helped bring the world closer. However, I also found a company that wasn't achieving its full potential operationally or financially. I saw an opportunity to make a real difference and take Rolls-Royce to a much stronger position.

Before joining Rolls-Royce, I spent 20 years at BP. I led the onstream business, and before that, the lubricants business through their turnarounds. I also spent several years on the Board at GKN and most recently worked in private equity. In all my previous roles, I have driven step changes in performance, set clear strategies and delivered sustained improvements in profit, cash flows and returns. Everything I've seen since arriving has made even more confident in the potential to do the same at Rolls-Royce.

I'm now going to ask Panos to run through the 2022 results. You are going to hear that business has delivered improved performance last year. However, you are then going to hear from me that these results are not good enough for a company like Rolls-Royce. We have higher expectations for this business, and we are clear on how we are going to deliver on them. Over to you, Panos.

Panos Kakoullis*CFO & Executive Director*

Good morning, everyone, and thank you Tufan. In 2022, group revenue increased 14% to GBP 12.7 billion. We had strong growth in revenue in Civil Aerospace and Power Systems, which were up 26% and 23%, respectively, as volumes started to recover. There was a more modest 2% growth in defense. Operating profit increased by GBP 197 million to GBP 652 million, and that was driven by three factors: firstly, improvements in long-term contract margins in Civil Aerospace. Secondly, increased profit from spare engine sales again in Civil Aerospace. And thirdly, significant revenue growth in Power Systems.

Now that was partly offset by the non-repeat of the GBP 140 million foreign exchange credit in 2021, which was in Civil, lower spare parts sales in defense, increased R&D in new markets. And also, common with many others, the impact of inflation, notably in Power Systems. Free cash flow improved by GBP 2 billion year-on-year from an outflow of GBP 1.5 billion in 2021 to an inflow of GBP 505 million in 2022.

And again, that was driven by 3 things: firstly, the improved cash flow in Civil Aerospace, which reflected strong growth in engine flying hour receipts ahead of shop visit growth; secondly, higher defense cash flows; and thirdly, a reduced working capital outflow. Our net debt position have improved from GBP 5.2 billion at the end of 2021 to GBP 3.3 billion at the end of '22. And that was due to the completion of our GBP 2 billion disposal program and the free cash flow that we generated during the year.

Moving on now to the performance by business unit, and I'll start with Civil Aerospace. We saw a continued recovery in international travel in '22, driving up our large engine flying hours to 65% of 2019 levels. The reopening of China towards the end of the year drove a further improvement in January, up to 79% of 2019 levels. This supports our expectations for large engine flying hours to be between 80% and 90% of 2019 levels as we move in 2023. The recovery in large energy flying hours was also complemented by robust performance in business aviation. We carried out 1,044 total shop visits in '22, which is a 10% increase against the 953 million in 2021. For 2023, we expect between 1,200 and 1,300 total shop visits with a step-up in large engine shop visits as higher flying hours activity converts into increased demand for aftermarket services.

Engine deliveries rose by 15%, driven primarily by business aviation. We delivered a total of 190 large engines, which is 5 fewer than the prior year. We delivered 44 large spare engines, which is 8 more than the prior year. Large spare engines represented 23% of total OE deliveries, which is higher than the usual 10% to 15% as we build the spare engine pool to underpin fleet health and improve resilience ahead of the anticipated increase in shop visits. We expect spare engine volumes to remain at a similar level that's in total terms in 2023 and '24.

As in all our businesses, supply chain management and wage inflation were more challenging in 2022. We manage this through commodity hedging, long-term supply contracts and pricing. Now they have also recently been 2 fires at important suppliers, one in late '22 and one in early '23. These have put additional pressures on our operations. Whilst they did not impact 22's results, they will impact cash flows in '23. Civil Aerospace revenue was up 25% on the prior year to GBP 5.7 billion, with OEM services up 23% and 26%, respectively.

Revenue is higher across all of our portfolio, large engines, business aviation, regional and V2500. Civil Aerospace profit of GBP 143 million, compared with a loss of GBP 132 million in '21. The year-on-year increase was driven by 3 things: firstly, improved profitability on LTSA contracts, reflecting commercial discipline on pricing, costs and contractual terms. This resulted in GBP 319 million of contract catch-ups in '22, which compared to GBP 256 million in the prior year. There was also a GBP 51 million decrease in the onerous contract provision, which compares to a charge of GBP 122 million in '21. That's which reduced the expected losses on those contracts. Secondly, higher volumes and a different mix of large spare engine sales with more third-party sales to capacity providers than in the prior year; thirdly, higher aftermarket profit driven by V2500, business and regional as well as increased large engine shop visits. These were offset by GBP 140 million headwind from the one-off foreign exchange revaluation benefit in '21, which did not repeat in '22.

Our trading cash flow was GBP 226 million, which is a GBP 1.9 billion improvement prior year. This reflected the recovery in engine flying hours ahead of shop visit growth, which resulted in growth in the Civil net LTSA balance of GBP 792 million. Higher cash flows from spare engine sales and also a smaller working capital outflow compared with the prior year, driven by a reduction in overdue debts and a lower cash outflow on the Trent 1000 engines.

In 2023, we expect the change in the LTSA balance to be between GBP 500 million and GBP 700 million, which reflects a slightly lower level of growth than in '22 due to an increased number of shop visits, including more wide-body refurbs. We expect to continue to collect on overdue balances and target continued contract improvements, which could result -- should result in contract catch-ups of between GBP 100 million and GBP 200 million.

If we now look at defense, revenue was up 2% organically, and we expect a similar level of growth in 2023. Submarine revenues grew by 18%, which were at a relatively lower margin. Transport and combat revenues grew modestly at 4% and 2%, respectively. Naval revenue fell by 19%, which reflected supply chain challenges. Defense is a long-cycle business and does not immediately benefit from rising defense

spending and geopolitical tensions. However, there is a supportive budgetary backdrop, and we've been successful with some large order campaigns. In 2021, we were selected to provide the power plant for the B-52 engine replacement program. In 2022, the Bell V-280 powered by AE1107F engines were selected by the U.S. Army for the Future Long Range Assault Aircraft program.

Operating profit of GBP 432 million was down by 10% year-on-year. The 11.8% operating margin was 1.6 percentage points lower than '21, but at the upper end of our expected range. The year-on-year decrease was mainly due to the non-repeat of GBP 45 million of high-margin spare part sales in '21 that we called out at the interim results.

R&D spend increased by 9% as we invested in long-term programs that will create value in future years. Trading cash flow was up 13% from GBP 377 million to GBP 426 million. This gave a cash conversion of 99%, which is up from the 82% in 2021, mostly due to the favorable timing of our customer advance payment of around GBP 60 million, which is not expected to repeat in 2023.

Moving on to Power Systems. Order intake in '22 totaled GBP 4.3 billion, which was 29% higher than in '21 with a book-to-bill of 1.3x. Power generation continued to perform well with growth in orders for power solutions to provide backup power for critical locations such as hospital and data centers. Revenue was up 23% in '22 to GBP 3.3 billion, a significant rise despite the constraints to deliveries from the supply chain. Although absolute operating profit increased by 17% to GBP 281 million, Power Systems operating margin fell by 0.4 percentage points. That was due to higher costs, some of which were due to inflation and supply chain disruption, increased self-funded R&D and some one-off charges, including impairments and write-down of assets due to the Russia-Ukraine conflict.

Trading cash flow was 28% lower in '22. Cash conversion was only 56% due to increased inventory to manage supply chain disruption as well as meet the volume growth. That was partially offset by structurally higher advanced receipts from customers.

Finally, New Markets. These are our early-stage businesses, Rolls-Royce Electrical and Small Modular Reactors. In '22, New Markets reported an operating loss of GBP 132 million, which compares to a loss of GBP 70 million in '21 and a headcount increase of around 80% to approximately 1,000 people. This is in line with the guidance we gave in '21, and for SMR was largely covered by third-party funding.

Now the next slide sets out our summary funds flow for '22. We saw a GBP 505 million free cash inflow from continuing operations compared with an outflow of GBP 1.5 billion in '21. The GBP 2 billion difference year-on-year can be broken down into 3 categories: Firstly, our operating performance has improved by GBP 1.2 billion. This was driven by trading growth in our established businesses and the increase in engine flying hours receipts ahead of shop visits costs, which caused the steep increase in our LTSA balance. Secondly, working capital was an outflow of around GBP 500 million in '22 versus GBP 800 million in '21, which has a GBP 300 million improvement year-on-year. Inventories increased by around GBP 900 million due to supply chain challenges across the group as well as volume growth. This was partially offset by just around GBP 400 million of the inflow from receivables, payables and contract balances. This was led by advanced payments in Defense and Power Systems and a reduction of overdue debts in Civil of around GBP 180 million.

Finally, other movements, that was an outflow of GBP 1.5 billion in '22 versus an outflow of GBP 1.9 billion in '21, a GBP 400 million improvement year-on-year. This reflected lower lease payments and derivative settlement costs as well as similar tax and interest costs. Pension costs were lower than in the prior year as the U.K. defined benefit scheme is now fully funded and in a surplus position.

Turning now to the balance sheet. We ended '22 with GBP 3.3 billion of net debt, which is down from GBP 5.2 billion at the end of '21. We completed our disposal program in the year and used the proceeds to pay down GBP 2 billion of debt. We retained strong liquidity. We agreed a new 5-year GBP 1 billion sustainability-linked facility which is 80% guaranteed by the UKEF and that remains undrawn. We've seen positive momentum this year with rating outlook upgrades from Moody's, Fitch and S&P, but there is more to be done. We're committed to returning to an investment-grade credit rating through systematically improving our underlying cash generation as well as our profitability.

I'm going to hand back now to Tufan to show his observations on and priorities for the business.

Tufan Erginbilgic

CEO & Executive Director

Thanks, Panos. In the future, I look forward to being more emotive in presenting our operational and financial performance. Now I would like to start by sharing my early observations and some key issues that I see. I spent the last few months learning about our company with the teams, including time in our largest sites in U.K., U.S. and Germany. We have great people, who are dedicated and committed to the work we do. We have some of the best products and solutions in the world, supporting the needs of our customers in complex and heavily regulated industries with high barriers to entry. We have good market positions in our key segments.

The businesses we have today are improving as our end markets recover. As Panos showed, our results improved in 2022, helped by recovering markets and some benefits that will not repeat at the same level. We cannot rely on market recovery alone to deliver better performance in the future. I have much higher expectations from the business and improvements need to be delivered on a sustainable and underlying basis.

Rolls-Royce has been underperforming for an extended period. Our 5-year TSR of negative 67% is evidence of this and shows this is not just a COVID issue. Cash generation is unsatisfactory, and our debt is still too high. Too much of our gross profit is simply covering our overheads and interest payments. A weak balance sheet and sub-investment credit rating limit our ability to invest in growth for the future.

We have recently completed an extensive benchmarking study that confirmed our margins are below the competition on a like-for-like adjusted basis. Our low operating margins and relatively high fixed cost base leaves us financially exposed when uncertainty impacts our markets. As a result, in the last 5 years, even excluding 2020 due to COVID, we have averaged a return on capital employed of just 3.5%. We have also not had sufficient strategic clarity to make investment choices. Instead, we have been trying to keep too many options open.

More importantly, let's turn now to the overall proposition we are looking to create for investors. I believe we have the potential to be a much higher quality and more competitive company, a company focusing on sustainable earnings growth and cash generation with a winning mindset and culture that drives and rewards outperformance. Underlying performance improvements will drive higher operating cash flows. This coupled with disciplined capital allocation, will grow our sustainable free cash flow. A strong and flexible balance sheet will allow us to grow shareholder distributions and fund future growth. We will build a strong Rolls-Royce to deliver this proposition. We are already in action, and we are proceeding with a sense of urgency.

This slide sets out our priorities and in a way, our philosophy, how we are thinking about running this business, which is different from what has been done in the past. These are the priorities we need to focus on to deliver the Rolls-Royce proposition. They deliberately overlap. They will drive better performance independently and collectively. First, we will improve earnings and cash potential of the business. The focus will be on quality growth in profits and cash rather than just revenue and market share expansion. Second, we will create an efficient business with a competitive cost base and improved operating leverage. This will make us more robust to the external environment.

Third, we will target sustainable cash generation and will deleverage our balance sheet at pace. We remain committed to recovering our investment-grade credit rating and resuming shareholder returns. Fourth, we are delivering -- we are developing a clear and granular strategy to prioritize investment opportunities. We will allocate capital centrally to the attractive market opportunities and programs. And fifth, we have an important role to play in the energy transition and remain committed to achieving net zero.

We will develop a robust framework to make the right choices. We will focus our investment on the most attractive market spaces and programs, evaluating all energy transition opportunities to ensure we are delivering the best value for Rolls-Royce and the shareholders. We must only invest in new technologies where we are differentiated, where the market opportunity is sufficiently large and where there is a viable

business model and synergies with our existing activities. By adding complementary capabilities, we can build winning propositions and derisk the group. Partnerships will be a purposeful part of our strategy. All this will be underpinned by our most important priority, to ensure that our people and products are safe. This is the right thing to do. We care about our people and the people that rely on our products.

We have launched a transformation program to deliver a step change in performance systematically and at pace. I'm chairing the weekly transformation planning group and the whole executive team will spend time together each month to focus on this. Work has already started on critical workstreams. To support this, we have appointed a Chief Transformation Officer reporting to me directly. We have several workstreams. We have appointed senior leaders to the first for efficiency and simplification, commercial optimization, working capital and strategic review. I will talk about these in more detail on subsequent slides.

The business improvement workstream is being led at the business unit level. We have set challenging targets based on rigorous peer benchmarking analysis. This identified the performance gaps, our relative position in key businesses and scale the potential for improvement. We are now working on the detailed plans to deliver that potential.

The remaining 2 workstreams, changing the culture and performance management are critical to lasting change. We will drive them by bringing the right mindset with our teams to be proactive and timely in our actions so that we can manage performance effectively. In January, I got together with our top 80 leaders for a working session on delivering change. We focus on how we will lead the business through this transformation together as an aligned organization where everyone is mobilized and knows their role. We have also engaged the whole organization in an extensive communication effort on the opportunity ahead. This will be an ongoing activity.

I'm going to share more details about some of the workstreams, starting with efficiency and simplification. This is about identifying and delivering sustainable improvements across the whole group focused on 3 things: organizational review, footprint consolidation and optimization, direct and indirect third-party cost efficiencies. This will improve our operating leverage so that we are competitive and robust to the external environment.

As you can see on the slide, our costs are high compared to our gross profit. And we are a long way from best-in-class. Across the group, we have work underway to identify synergies across all our divisions and functions and to simplify our whole organization. A significant part of the cost reductions during COVID were activity-related, and largely in our civil business. These costs have been going up again as activity levels come back. Our efficiency and simplification plans look to achieve sustainable cost efficiencies across the group that take the activity increase into account. We will also be looking to capture efficiencies -- efficiency opportunities within each division and function. We are already in action on this. For example, in Power Systems, we are already removing duplication and optimizing the organizational setup to accelerate decision-making.

Commercial optimization is about getting the right reward for the risks we take and the value we create for our customers. It will focus on Civil Aerospace and Power Systems. A stronger Rolls-Royce will be a better partner for our customers, more able to deliver operationally and invest in product development. To support this, as part of our executive process, we established a group operating committee. I have already met with a number of our largest customers and they understand this. We have also changed our commercial discussions on new contracts and renewals. In Civil Aerospace, for example, we set up a task force to review all the large engine LTSA contracts. We are also working to lower our product cost and drive up the margins in contracts to ensure we achieve the returns that are aligned with the risks that we take.

It is early days, but the results are already starting to come in. We improved several onerous contracts on the balance sheet at the end of last year, and we achieved double-digit price increases on spare parts. We will drive further improvements this year to the margins of both profitable and onerous contracts. And in Power Systems, we have already been able to renegotiate the prices with a benefit to profit and cash flows. These efforts continue as we speak.

We are becoming a commercially-minded and capable organization. At the end of 2022 -- let me talk about working capital, by the way, right now. But -- and which is actually very linked to commercial optimization in a way. And at the end of 2022, we have GBP 25 billion gross working capital tied up in the business. Our net working capital, GBP 2 billion higher than our position before the pandemic despite being -- revenues being lower. We are confident that we can deliver a significant and sustainable reduction in working capital across the group by deep diving into the operational value chain and optimizing each of the components of working capital. Our immediate focus is on improving inventory management and recovering overdue receivables.

The final workstream is our strategic review. This is already underway. Let me start by making it clear that this is not just about what businesses should stay in the portfolio and what we should sell. My early take on the portfolio is that all of our established businesses have the potential to create significant future value. One of the outcomes of the strategic review will be to determine which areas we will invest in and which we will not. To support this new strategic rigor, we will centrally allocate capital to the most attractive market spaces or programs. This is a change from the past when there was more autonomy within the individual businesses. This more disciplined approach will mean more effective resource allocation of limited available capital. We will continue to support critical safety programs as well as investment to enable the business to execute on the opportunities presented by the market recovery, but we cannot continue to allocate capital to projects that have low returns.

Beyond strategic clarity, a granular strategy will be an effective alignment and performance management tool as well as changing the culture. A clear strategy supported by the right performance management can be cascaded down and used as a powerful engagement tool to align the whole organization. We will have a strategy implementation plan that makes it clear and meaningful to individuals how their business performance and individual objectives contribute to the strategy and midterm goals.

With the right engagement and processes, this not only aligns the organization but also becomes a good performance management tool. We will have the new strategy and midterm targets for you in the second half of this year, along with the metrics, we will be reporting against to track and measure our progress.

Before I wrap up, I want to share our view of 2023 and our guidance for financial performance this year. In 2022, our performance improved, driven by good underlying progress, but there are also some benefits that will not repeat at the same level. These are detailed in the supplementary slides for you, along with some additional guidance detail we hope you find useful.

We expect to achieve a higher operating profit and cash flows this year, reflecting the actions we are taking and the market growth as wide-body flying recovers and as we convert our order book into profits. For 2023, we expect to deliver operating profit of GBP 800 million to GBP 1 billion, which includes a benefit of GBP 100 million to GBP 200 million from targeted contract improvements versus around GBP 300 million last year. We expect free cash flow of GBP 600 million to GBP 800 million, which factors in GBP 500 million to GBP 700 million of LTSA creditor growth versus the growth of around GBP 800 million in 2022 as shop visits increase. It also factors around GBP 200 million year-on-year headwind associated with the unwind of legacy or [indiscernible] concessions and around GBP 100 million impact of 2 fires at suppliers late last year and early this year. We expect this GBP 100 million cash impact to reverse next year. There are environmental uncertainties and challenges in this guidance. We will need to be agile and commercially minded as we manage the external risks of inflation, supply chain disruption, interest rate rises and recession.

So to summarize the key takeaways. We aim to create a high-performing competitive, resilient and growing business. We have a significant opportunity to expand our cash generation and profitability. We are already in action to improve underlying performance. We will set a granular strategy with midterm targets. We have a lot of hard work ahead of us, but we are moving fast and there are big potential rewards for all of our stakeholders when we get this right.

Thank you for listening. I will now open the meeting for questions.

Question and Answer

Tufan Erginbilgic

CEO & Executive Director

[Operator Instructions]

Nick Cunningham

Agency Partners LLP

It's Nick Cunningham from Agency Partners. You've spoken about the restructuring and actually answered quite a lot of questions that were in my mind. But there's another few that come out. I mean one is Civil has been through a really tough, really 4 or 5 years because you have the Trent issue and then you had the pandemic and you've cut the size of the business by 1/3 already. So how do you bring the people with you with yet at a round of change? And in particular, how do you avoid losing the good people that you want to keep when you're in the sort of labor market that we're in at the moment?

And then a separate question. And I guess it's something you'll probably be talking about in the second half. But how do we work out where the Rolls-Royce is outperforming, what recovery would have brought anyway? Now how do we assess, if you like, your performance above what the market would have brought?

Tufan Erginbilgic

CEO & Executive Director

Okay. Very good, two good questions. Let me pick them up in that order. You are absolutely right. What Civil did, I guess, in COVID, you are referring to job cuts and so on. That's exactly what Civil needed to do because activity disappeared in the market. And therefore, the company was bleeding cash, and as a result company did what it needed to do in the Civil business. But that kind of when activity comes back, as I made it clear in my remarks, that kind of thing is necessary because you are bleeding cash. But when activity comes back, those costs come back in, and that has been actually happening. And now we are intervening with that because when the costs come back, I showed you the cost chart, your competitiveness doesn't change, i.e., if you're uncompetitive, and I believe facts are there that we are uncompetitive. Our benchmarking study demonstrates clearly that we are underperforming on a like-for-like basis our competition. So therefore, that process was necessary but doesn't make you a better company in a sustainable basis. So what we are trying to do is with our transformation program is really create a business sustainably more competitive and stronger company. And that's what we are trying to do. But second part of your question is how do you bring people with you. Interesting, I know in the press sort of some comments have been made, but reality is when we engage our people, they are actually very excited about this future because who doesn't want to work for a successful company. Who wants to work for an underperforming company. So I believe we will be able to unlock the potential actually with our people. Yes, in this process, in the transformation process, everybody has a role, and we need to actually mobilize to whole force. And I would say, frankly, apart from many things, I think one thing will make a big difference is to make sure, and therefore, I talk about strategy and everybody knowing their role, everybody has a role in this. And that way, we will make this very different with -- starting with clarity why we need to change. Very clear strategy, everybody knows their role in their strategy and then performance managed in a way that actually we performance manage strategic progress.

So if I come to your second question, recovery, I'm sure you all have your models, how much recovery would take this business to, and obviously, last year, Civil business gave you some numbers as well for midterm. I would say when we come back with our targets, we can actually talk about how we are going to measure our success. But I'm going to say this -- I'm not going to talk about targets right now, but I'm going to say this, I have higher expectations from this business. And once we set midterm targets, then you can measure our progress against that. It won't be only my success though. I don't hold it that way. This will take the whole organization. And that's the power of this. Thanks for your question. There is one question on the back, then I'll come here.

Chloe Lemarie*Jefferies LLC, Research Division*

Chloe Lemarie from Jefferies. I had a first one for you, Tufan, actually. So your predecessor focused really on fixed costs. You seem to focus a little bit more on positioning and focused investments. So first question is, is there more to do on the fixed cost side. And in terms of positioning, et cetera, is there something to do in the portfolio, i.e., some areas that you've identified do not belong or is this just a matter of steering investment where it needs to be spent? Second question would be for Panos, if we could go to the free cash walk between '22 and '23. You already gave the LTSA elements, but I wanted to see if you could give some more color on the Trent 1000 concession payments, please?

Tufan Erginbilgic*CEO & Executive Director*

Okay. Let me pick up the first question, fixed costs and investment. Let me start with fixed cost. Do I believe we need to reduce the cost base of Rolls-Royce? Absolutely. Therefore, we -- if you look at the structure of our transformation program, one of the workstreams is about efficiency and simplification. And I gave you -- I realized for this industry a new measure, I used that in the past, this total cash cost to gross margin. That measure is, in a way, operating leverage of the company, right? And how much of our gross margin is actually consumed by our cost. And that is very high right now in Rolls-Royce. And we will need to reduce that. And our hope is to get it to the best-in-class levels in the graph that I demonstrated. That way we are going to be much more competitive company, and frankly, much more robust company if there are external shocks because any company needs to be ready for external shocks, but it will also create space to make investments.

Second part of your first question is investments here and there. I think our strategic review is pretty extensive review. I said it in my speech, I don't believe Rolls-Royce today has a granular strategy to make the choices. And that will allow us to make the choices and there will be investment choices, there will be partnership choices. I don't want to right now double guess, but it is a pretty robust process. And again, we don't run, that is not -- because strategy is an alignment tool as well as obviously a management tool. But we run this strategy in a way that lots of people actually already involved. So that is -- but at the end, we will make choices and we will focus to our organization, though I believe Rolls-Royce needs to be a more focused organization and make more choices, investment choices and so on, absolutely. So Panos, over to you.

Panos Kakoullis*CFO & Executive Director*

So I think your question was around the walk from '22 to '23. So -- on free cash flow. So a material increase in free cash flow between '22 and '23. You've seen in the supplementary slides, we've called out the lumpy items. We've done that both for profit and for cash year-on-year. The way I think about it, so we've got increased profitability in both Defense and Power Systems, obviously driving increased cash flow there. On the Civil side, higher EFH receipts driven by the 80% to 90%. That's partially offset by that ramp-up in shop visit costs, and you can see that coming through in the lower number on the movement in LTSA creditor of GBP 500 million to GBP 700 million. Tufan has talked about the workstream from working capital. So we are anticipating within that a structural improvement in underlying working capital that comes. We can talk a little bit in a minute around phasing, especially on cash flow. We have got some headwinds that we've called out, again, in the supplementary, and Tufan called out in the guidance. So the concessions, the legacy Boeing concessions of GBP 200 million outflow on that. And then the GBP 100 million as a result of the fire at the suppliers or the 2 fires at suppliers, which we expect to reverse in '24. So that's effectively a move from '23 to '24. The other lumpy items we've called out, the hedge closeout costs, that goes up slightly year-on-year. Tax is broadly flat. There's a little bit of an improvement in interest of 25 to 75. As a result of the fact, we paid down the U.K. [EF] debt. Other items sort of are broadly similar. So material increase.

Just the other point I'd highlight for you on free cash flow. We've always been a second half weighted business on free cash flow. That will be the case in '23 as well, particularly driven by some of the supply chain challenges that we've highlighted the impact of those 5. So there is a heavy weighting and

the benefits of transformation would likely to be second half weighted as well, will then increase that weighting.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

George Zhao from Bernstein here. First one for Tufan, you talked about turning around the subpar performance of the company from recent years. But I think we can agree that Rolls-Royce certainly did try to improve itself during that stretch. Even excluding the cuts during COVID, there were numerous rounds of restructuring in the last 5-plus years. So you believe was the shortfall of the company to improve the performance in the past? And what will we do that is different from what has been attempted before to drive a sustained improvement?

And second one, just how do you assess the supply chain as you look to ramp up on the widebody new engine production as the targets laid out by Airbus recently, do you think that's feasible?

Tufan Erginbilgic

CEO & Executive Director

Okay. Thanks for the questions. Frankly, I don't want to comment on what was done, what wasn't done in the past in terms of structuring. I already talked about how I hold the COVID restructuring. When it comes to, therefore, I would rather talk about what I am -- what we are going to be doing. And frankly, as I shared with you before, I have some experience in turnarounds. And I'm afraid I'm going to repeat, in any turnaround at least 3 things are very important, really get the organization to understand the reality and why they need to change. Second thing is get very clear strategy that you can make it relevant to everybody. And I talk about that being an alignment tool as well as performance management tool, I actually seen it in action. It can be very, very powerful. And then very good performance management, which we need to improve in Rolls-Royce. We need to improve performance reporting as well as performance management. All those three areas, frankly, sort of needs to take place in Rolls-Royce. And you need to go at pace. And therefore, we create a transformation program. In these things, you need to be very systematic and go at pace. And we could have chosen to say we are going to improve the performance and deploy it to the business units with no central governance, et cetera. That was one way of doing that. I didn't think that was going to create the right outcome. This is one difference I'm going to overemphasize. This is group-wide program, not Civil Aerospace. Obviously, Civil Aerospace is included in it. With a very clear transformation program, which is very holistic, it goes from performance management and culture to all the way clear actions on efficiency, optimization and so on. So you need to have those components in place and then align the whole organization then interesting things happen in a positive sense. So that's what we are looking to do, and that's the journey we are on.

On supply chain point, yes, I think we have -- I would say we have slightly 2 different supply chains because Power System supply chain is slightly different than Civil Aerospace and Defense. Because of activity disappearing in Aerospace with COVID, as you know. So the whole supply chain really reduced the capacity, reduced labor, they took -- now they are all trying to bring that up while activity is recovering. That is becoming a challenging thing for the whole industry. I'm talking about industry. And therefore, my view is actually that supply chain will only stabilize between 12 to 18 months for [indiscernible]. Power Systems didn't have the same level of dip with COVID. That supply chain is actually stabilizing more and it will stabilize and improve much earlier than the other one. So that's how I hold it. Our Airbus targets, they are in line with our production targets as well. So we are totally aligned. There's one question there, then I'll come here.

Charlotte Anne Keyworth

Barclays Bank PLC, Research Division

Charlotte Keyworth from Barclays. I just got one question. I was just picking up on your comments around opportunities for better terms on LTSA contracts. Obviously, you can start that endeavor straight away with the new ones. But for the renewals, I think the average length is about 12 years. And I just wondered if you could give us some idea in terms of phasing of when the roll off of those contracts would peak? And when you start, you get the opportunity to renegotiate.

Tufan Erginbilgic*CEO & Executive Director*

Okay. Let me -- and Panos, you may want to sort of talk about the average life of the contracts. But let me pick up the question on sort of -- here is how I hold it. Obviously, any new contracts and renewals, we want to make sure that actually everything commercial terms reflect the value we create. And when I say the value we create, I take it seriously. I -- we have some things to do to improve our operating efficiency and effectiveness, right? So therefore, we can actually serve better to customers. Therefore, I'm actually thinking about this win-win. For existing contracts, though, it is clear that some of our contracts are not good. As you know, in balance sheet, we have onerous contract provision. So therefore, we are actually engaged even for those contracts to find win-win solutions with our key customers. I already met, as I said in my speech, some of our key customers. And the key here is we need to improve our operational effectiveness and create more value for them and then get better terms, and that's the win-win because any sustainable partnership will have to be win-win. That's my experience. So that's how we are actually going about it. Panos, in terms of how much left in our sort of...

Panos Kakoullis*CFO & Executive Director*

The average earnings life term is a little bit lower than the number you said. It's closer to 8, 9 years rather than the 12. The other I would add as well, it doesn't just have to be a pricing discussion on an existing contract. There's also effectively contract management. So how an engine is flowing? Is it flowing in the way that's contractually agreed because there are different rates depending on how it's flown. And maybe in the past, people were more forgiving on how it's flown. We're being much tougher on making sure the contractual terms are enforced within that.

Unknown Analyst

This is Alessandro [indiscernible] from JPMorgan. I'd like to ask Tufan two questions on behalf of David Perry and one question to Panos please. For the first question, Rolls-Royce, as a net LTSA liability of GBP 7.4 billion on its balance sheet. Have you done a specific audit of the contracts behind this liability. In other words, are you happy with the pricing charge for future shop visits and expect that future profitability as this liability converts into actual work revenue and profit? Second question is Rolls-Royce has net debt of GBP 3.3 billion plus a number of other liabilities on its balance sheet. Why are you confident that organic deleverage is the right solution? And the question for Panos, apologies if I've missed it, but I can't see any 2023 guidance for divisional EBITDA. Please can you help us here?

Tufan Erginbilgic*CEO & Executive Director*

Very good. Best regards to David, by the way. So let me pick your -- in the order you asked actually. So LTSA GBP 7.4 billion. My answer would be, first of all, we have obviously margin in that LTSA creditor balance that you are referring to 7.4%. And secondly, our commercial optimization workstream specifically targeting actually multiple workstreams plays into this. Let me talk to that, specifically targeting improving -- we already have a margin in LTSA creditor balance, just to be clear. Second thing is commercial optimization and some of the things we shared on the earlier question, will obviously look to improve commercial terms and our take from those contracts but also, we are focusing on efficiency and cost because by doing to -- I always believe you need to play on both ends, if you are going to have a turnaround, gross margin improvement as well as cost. So we are going to be focusing on the efficiency as I articulated in my presentation, and that cost efficiency actually includes shop visit cost as well. So there is the product cost out on OE and there is also a shop visit cost as well as sort of cost of the whole organization. So both of them will actually improve our margin on LTSA credit. On your second question, we have -- why I believe organic cash generation. I think I see the potential of the business. This business, if it is managed in the right way, and that is what we are looking to do, I believe has good potential to generate cash. And that will require, as I said, we are now already into performance improvement effectively our agenda. What -- the way you should think about what we presented is -- because we presented lots of things. The way we structured this with transformation program and business initiative plans at business unit level, we are looking to drive performance improvement as we

speak. So we are actually in action as we speak. Because we didn't want to wait even for 1 day. So there is a huge sense of urgency there, right? That's how we -- then strategic clarity will follow that. And then we are going to combine the two. Then you have a very clear strategy, which will allow you to make choices and performance improvement, transformation program is already progressing. Both of them will actually come together what we will call strategy implementation plan with midterm targets, and we will push that plan down to the level that actually a whole organization can relate to that. They know their role in it. That's the game plan here. But we are already on performance improvement side of it and strategic clarity will follow that. Panos.

Panos Kakoullis*CFO & Executive Director*

I think that the last question was around divisional guidance. We haven't given divisional guidance, so you didn't miss it. So the guidance we've given around operating profit is the GBP 800 million to GBP 1 billion for '23. And we've called out within that GBP 100 million to GBP 200 million of targeted contractual improvements. We will come back later this year, as Tufan has said, around medium-term targets.

Harry William Freeman Breach*Stifel, Nicolaus & Company, Incorporated, Research Division*

It's Harry Breach here from Stifel. Maybe one for each of you. Panos, will have the easy one, and forgive my ignorance and lack of time earlier on. Can you help us with the dollar revenue increase in 2022 for the T&M side, and then the LTSA side separately? And whether when we look to '23, we should be thinking about similar numbers. I won't embarrass you by asking for the number, but if you could give us a sense of that. Maybe for Tufan. Tufan, one of the -- as I'm sure you know, one of the tremendous challenges is in trying to normalize for differences versus peers at Royce and currency exposure and hedge book in installed base maturity and aftermarket intensity with fewer takeoff and landing cycles, the more narrow body focused competitors and in the broader portfolio outside Civil, and the comparative R&D burden on the business as it is today. How confident are you normalize for them? And then secondly, can you share at all where you think the normalized margin was in '22 and where the peers were like-for-like in their businesses in '22, so we can see what the gap is normalized?

Tufan Erginbilgic*CEO & Executive Director*

Okay. we actually done that work, normalization work in the benchmarking that I talked about in my speech. And what that study did is really -- because there are -- you are right, there are structural differences between the peers. And we actually look at Power Systems as well. It wasn't that benchmarking was not only about Civil Aerospace, it included all 3 divisions, all big 3 divisions, I should say. And what we did in that study, we said, okay, what are the structural differences. And we then -- we know what they are because I want to know, frankly, because some of the structural differences, you can do something about it as well. Then we look at the performance gap outside that. It is very clear. I won't give you numbers right now. But when we come back with midterm targets, sort of you will see the signs of it there. It is very clear we have performance gap. I mean performance gap rather than total gap in all divisions especially in Civil Aerospace and Power Systems, to a lesser extent in Defense, partly because of the nature of that business. But -- so we actually done that work. And obviously, it is informing already, as I mentioned in my speech, our performance actions. Because what we did with that, not only we are putting that into sort of transformation program, i.e., what we need to go with that. But actually, we created a business unit level targets based on that so that business units are already working on it. So that is how actually we have done that. But you are right, there are differences.

Panos Kakoullis*CFO & Executive Director*

So I think the other question was on time materials, [indiscernible] pounds rather than dollars, so the time materials increased from -- in terms of revenues from GBP 629 million to GBP 865 million, so still around about 20% of service revenues within that. The primary driver of that increase was the V2500, and the other elements of the increase will relate to LTSA customers, so those elements that aren't covered by

LTSA, I think, as we've talked about in the past. As you look at '23, you can expect a sort of a continued recovery in V2500. That will be the sort of the main driver of 23% revenue growth in that area. Okay, David.

Unknown Analyst

So two further questions, please. The first one is, do you think the Power Systems is a core business for Rolls-Royce? Does it have synergies with the rest of the group? And the second question is, how committed are you to the new market strategy?

Tufan Erginbilgic

CEO & Executive Director

Okay. Two good questions, as I should expect. So let me start with Power Systems. When that business properly managed, it is actually a very good business. It's got a structural advantage from the previous question, actually, that when we did the structural part of it in benchmarking, it got a structural advantage versus competition. And it got really good potential to be a growth -- really good growth business with very good returns. And therefore, create value. I think that is where my focus is because that will create value for Rolls-Royce and shareholders. But also, I'm not sure that business fully understood in terms of 2 other things. Actually, I spent 7 years of my life -- last 7 years of my life on energy transition, looking at everything, frankly. Pace of energy transition in Power Systems, in the key segments of it will be slow. Second thing is even more important, some of the really most profitable key segments in Power Systems because Power Systems is not one thing, really. Some of that actually not a new engine development, but actually modification. Let me give you an example. Like take Marine, which is a very profitable, good business. Commercial Marine as well as yards for Power Systems. Take that, everybody is talking about energy transition. I spend lots of time on it even long before I joined Rolls-Royce. Methanol or ammonia will be the net zero solution for Marine. Either of them can run in diesel engines. So all you have to do is a modification and some test rather than a new development, new this, new that. It is the same business model with some modification. So that's actually important for this business. So in summary, it is really a good business. That doesn't mean we are not going to -- some aspects of it partnering with somebody may be a good idea, and that's all part of strategic review. So I will never rule out anything like that. That's not what I am talking about because at the end, this is about actually creating the winning positions for every business we have out there. So that would be my power.

Your second question was new markets. I think we need -- we are going to have a strategic review definitely, and that will tell us for those businesses what the right answer is, what's the best way forward. But I would say the following for SMR, definitely. I mean if you look at SMR, it is actually a very proven technology and interesting technology. And it definitely creates 4 things for the U.K., I would say. Because U.K. is a big factor in the success of that program, frankly. But definitely, it can play a big role in net zero for the world, but also for U.K. Given the world we live in, I think supply security is increasingly important. And for U.K., it will be important from a supply security perspective. And then two other things, I believe it will actually contribute to U.K. economy significantly because it has the potential to create significant employment and create significant exports. But for that to happen, obviously, we are working with other countries as well. But naturally, all the countries are expecting first U.K. government to support it, i.e., for the first project, then that will give confidence to all other countries to go there. So therefore, we have been engaging with U.K. government and will continue to engage. But there is an urgency there because we've built a very capable team on SMR. It's a big team and capable team, and it is important to sustain that team. And without project, it is going to be difficult to sustain. Second thing is there's competition. We are not in an isolated world. And in a new technology, first mover advantage is important. Therefore, there are other competitors. Therefore, actually, we need to land this as quickly as possible with U.K. government so that we can go ahead with the project. That's what I would say there.

Isabel Green

Head of Investor Relations

I have got two questions from the web side.

Tufan Erginbilgic

CEO & Executive Director

Yes, sure.

Isabel Green

Head of Investor Relations

So I've got a few questions that have been submitted online. Firstly, a 3-parter from Ben Heelan from Bank of America. So Ben has asked, Tufan, you talked about a high fixed cost base versus peers, but Rolls has been through 3 large restructuring programs since 2015. How easy is it going to be to improve this? He also asks how we feel about the makeup of Rolls-Royce' portfolio. Does it make sense in its current form? And the third part of this question, Airbus announced production increases, how confident are you on the ability to manage the production increase? How should we think about the medium-term headwind to earnings and cash from the production ramp-up? I do have more questions, but that's all from Ben.

Tufan Erginbilgic

CEO & Executive Director

Okay. Let's deal with this. I think -- so cost reductions was the first question, I believe. I mean, in a way, I covered that Ben in some of the questions. But effectively, I'll say that GBP 1.3 billion cost reduction was mainly in Civil Aerospace. It didn't actually include other divisions or the group to a great extent. And second thing is that was activity driven, i.e. activity demand disappeared, therefore, Rolls-Royce did what it needed to do. Actually, they've done the right things. I'm not in any way -- I'm not saying they didn't do the right things. They absolutely did the right things. But it was activity-driven. When activity recovers, those costs have been actually coming in even last year. So what we are now trying to do is really intervene with that, starting from this year and then create a more sustainable and more competitive cost base but improved cost base going forward because the idea here is to make Rolls-Royce more competitive. There is a purpose. It's not about managing liquidity, managing this, actually taking Rolls-Royce to a much better level. So -- that's what we are trying to do. Is there room? Yes, because there is another angle on that. I already talked about how I hold Civil cost, but also -- let's face it, Rolls-Royce has been run as 3 decentralized divisions. We are not going to run it that way. We are one team, one company and we will take all the synergies not only between divisions, but divisions and group -- and the functions the same because even the functions within functions, actually, we have synergies. So there is a big synergy opportunity because it has never been actually looked at because of the operating model and the mindset being very different. And then there is a simplification opportunity beyond that, I believe. So yes, I believe there is room for efficiencies for the reasons I mentioned. On the portfolio question, in a way, I tackle that, Ben, in my speech as well, how I hold established businesses at this point. But we will do the strategy review. And as a result, we will come back where we need to do what and how we are going to prioritize investment opportunities. So I don't want to repeat the same thing there. And Airbus production increase, yes, our plans are aligned with their plans. Yes, supply chain is challenging, as I covered that earlier, but our plans are aligned to Airbus plans.

Isabel Green

Head of Investor Relations

And apologies, some of these questions get submitted earlier in, but I didn't want to edit them out. So I've also got a multipart question from Ian Douglas-Pennant of UBS. So he asks, when can we expect the revised medium-term targets from the strategic review? What does engine flying hours at 80% to 90% to 2019 levels in '23 imply in terms of the China recovery? Are you expecting a slow ramp-up? And when you did the benchmarking exercises on efficiency versus peers, what do you think the potential for the business is at Rolls-Royce for cash flow and margins? And then finally, from Ian, do you have the right senior team around you, more hires needed similar to the Transformation Officer already hired?

Tufan Erginbilgic

CEO & Executive Director

Well, Ian, you got some questions. I think this flying hours, I'm going to also ask Panos for his views. But on the targets, midterm targets. I mean, as we said, we are going to complete this strategic review and come back to you in the second half of this year with midterm targets as well as the findings of a

strategic review. So that is that. 80%, 90% flying hours, let me say this. January number is 79%. So in that context, Ian, we are actually confident if China doesn't go backwards in terms of COVID, it will continue to improve. Therefore, 80% to 90% looks good in terms of assumption. But obviously, within that number, we still expect sort of Europe and U.S., almost 100% levels and China slightly lower. And therefore, more room for China to improve because in some other regions like Europe, actually, we may be higher than 100%. So -- but do you want to add anything?

Panos Kakoullis*CFO & Executive Director*

That's the right numbers. I would say the other -- I would add, in '22, China was around about 10% of total engine flying hours compared to 2019, it was about 18%. So you can sort of see the scope for increase. But that 80 million to 90 million is a combination of China getting up towards that level, but coming from a low base and the stronger than that performance in Europe and Americas.

Tufan Erginbilgic*CEO & Executive Director*

On your last 2 questions, i.e., on the benchmarking efficiency versus peers, I can categorically tell you there was efficiency potential in all of our divisions. Some are more than others, but definitely in all of them in the benchmarking study that also supports the comments I made earlier. So -- but I'm not going to give you any numbers at this point. Again, when we come back with our midterm targets, hopefully, all this will come together. But I don't want to go into the numbers at this stage. I think on senior team, I will say as an executive team, we actually -- they all embrace the change, and they all embrace the transformation program. They are actually driving it. And therefore, we are able to go fast. So I wouldn't say anything more than that, Ian.

Isabel Green*Head of Investor Relations*

Okay. So in the interest of time, because I think we are sort of running up against the clock now, I'm going to apologize to those who have submitted questions by pulling a few together into my own multipart version of a question. Otherwise, I think we'll never get to the next stage of the day. So the questions that have come in include any timeline we have in mind for getting back to an investment-grade credit rating? And also any timeline for the assumption of shareholder payments? Do we expect to take any restructuring charges related to the strategy review? And also any guidance we can give on the phasing of free cash flow in 2023, particularly in regard to that earlier part about any restructuring charges we might need to take.

Tufan Erginbilgic*CEO & Executive Director*

Okay. Lots of questions there. So I think starting sort of -- let's do the work, and once we do the work, we will obviously -- if restructuring charges necessary? Absolutely, we are going to come back to you. But at this point, we need to do the work. That is definitely potentially be there. And at the right time, we are going to be informing you. Other questions?

Yes. I think our priority is articulated in a way in the press release as well as in the script. Our priority at this point is to get to, obviously, the cash generation, and with that, get to investment grade at pace. I'm not going to give you a time on that at this point. But we would like to go there at pace because strong balance sheet will allow us, which is your second part of your question to resume shareholder returns as well as invest in the future. The way you may want to hold, and I have it in one slide, actually. But in terms of -- obviously, cash generation is our focus. The way you may want to hold the priorities, with that, first, we are going to deleverage the balance sheet and get to investment grade. And then we are going to look to reestablish shareholder distributions, and then it will be between shareholder distributions and investment in the future, and we will make those choices. So that's how you may want to think about how we are proceeding.

Panos Kakoullis

CFO & Executive Director

I think the final part of that question was around phasing of free cash flow. And I think we picked that up in one of the earlier.

Tufan Erginbilgic

CEO & Executive Director

Yes, I think Panos covered that, I believe. Okay. First of all, it was 1.5 hours. You have been very generous with us. Thanks for listening. Thanks for your questions. Thanks for your engagement. I think my key message are there. Well, we are really looking to create a very competitive, growing and resilient company here. Secondly, we believe in the potential for cash generation as well as for profitability and to take Rolls-Royce to a much higher level.

And third point there is very important because we are really in action. We designed this in a way that performance improvement actions are happening as we speak right now. And obviously, strategy and midterm targets, we will come back to you. One thing personally, I should say, I'm really excited about the opportunity, and we have a great team. And I'm looking forward to engaging with you at the right time, and I'm sure we will have lots of conversations. With that, have a great day.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2022 Earnings Call Transcripts

Thursday, August 04, 2022 8:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2022-	-FH2 2022-	-FY 2022-	-FY 2023-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	(0.01)	0.02	0.01	0.04
Revenue (mm)	5406.63	6336.24	11615.68	12584.74

Currency: GBP

Consensus as of Jul-29-2022 7:32 PM GMT

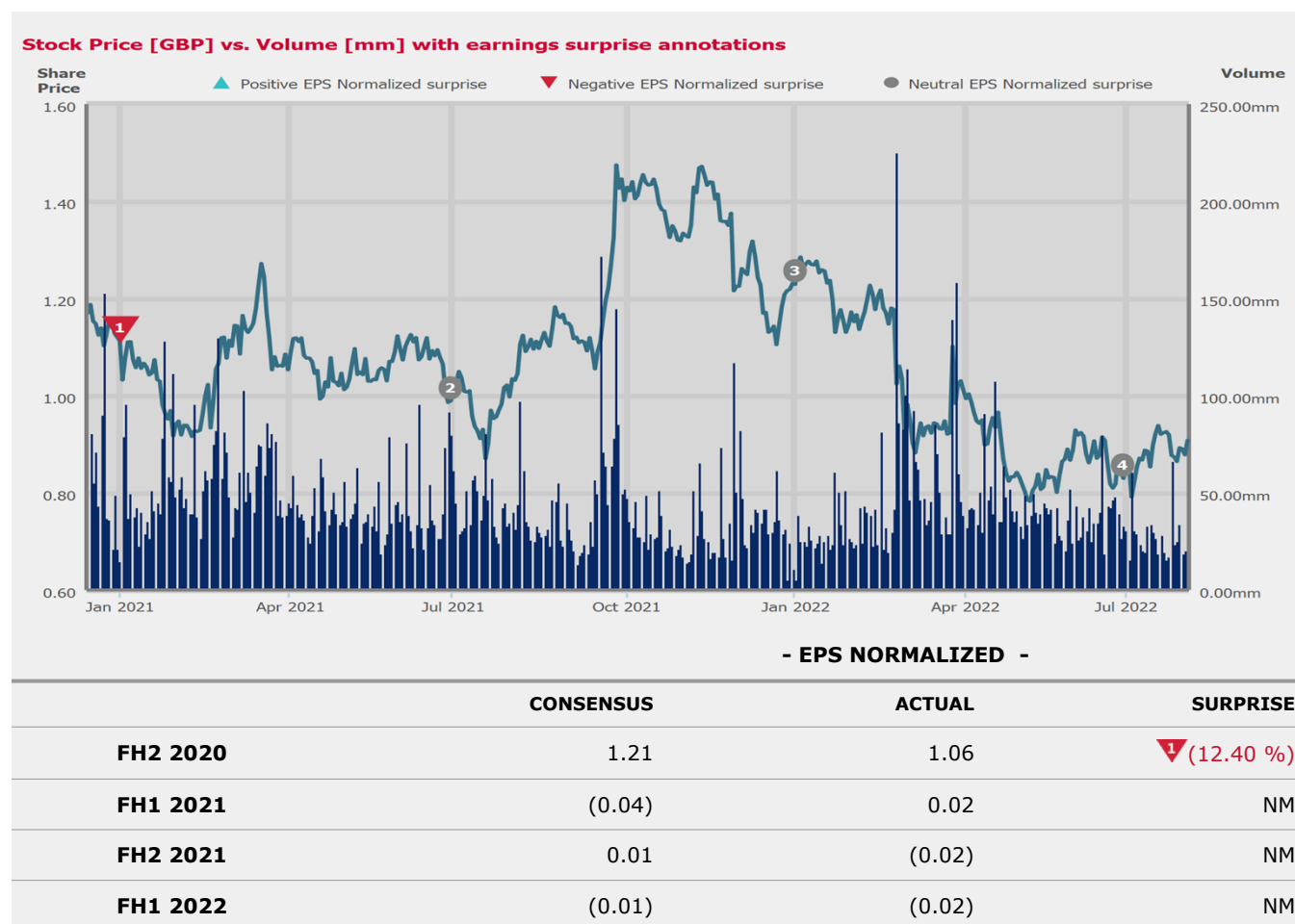


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Presentation

Isabel Green*Head of Investor Relations*

Hello, and welcome, everyone, to our 2022 half year results presentation. I'm Isabel Green, Head of Investor Relations, and I'm joined today by our CEO, Warren East; and our CFO, Panos Kakoullis. As usual, today's presentation will begin with a summary of our operational and financial highlights from Warren, followed by a more detailed review of our financial results and Panos, and then Warren will talk you through how we are securing a sustainable future for the business. Our presentation will take just over 30 minutes, leaving time at the end for Warren and Panos to answer your questions. Before we begin, please take note of the safe harbor statement on Slide 2. As always, the full set of results materials can be downloaded from the Investor Relations section of our website. I'll now hand over to Warren.

David Warren Arthur East*CEO & Executive Director*

Thank you, Isabel. Good morning, everyone, and thank you for joining us today for our results presentation. I'll start with a summary of our performance. We've made good progress in the first half with growth in order intake, revenue and cash flow, and that's based on demand for our products and services, which are improving meaningfully with another period of record order intake in Power Systems accompanied by continued recovery in civil aerospace engine flying hours, and we have good visibility of revenues in defense with a strong order book.

Second point, middle of this slide, we're taking the necessary actions to protect our business from the risks of inflation, supply chain disruption and a tightening labor environment. We can see the benefits of productivity and efficiency improvements, and we expect to see more progress come alongside us being ever more disciplined on our commercial terms. And these actions taken together enable us to deliver on the commitments we've made, working right across the group to deliver better performance for all of our stakeholders.

Now let's turn to operational highlights. In Civil Aerospace, shown in the top left-hand box, picture of Dassault 10X Falcon. We've seen some great milestones in the first half of 2022. Our new Pearl 10X engine powering that plane, successfully underwent its first test run, and it didn't miss a beat. And Gulfstream's G800 business jet, which is powered by our Pearl 700 engine achieved its maiden flight. In fact, some of you may have seen it across at Farnborough a couple of weeks ago. We've also assembled the first UltraFan large engine demonstrator, which will go on test later this year with 100% sustainable aviation fuel. The cover picture is a picture of that engine. And more generally, for our newest engine programs, we're continuing to invest in ways to improve time on wing between services to maximize the value for us and for our customers. In Defense, that's top right-hand box, we have a strong order book and we have achieved our first milestone on the B-52 program. That was a critical review in support of activities for the integration of the F130 engine onto that airframe.

In Power Systems, moving to the bottom left of the slide, we're delighted to announce another period of record order intake in the second quarter. Demand has been especially strong for power generation with orders including mission-critical backup power for data centers, and orders for some large customers like semiconductor companies worldwide. Finally, in our New Markets segment on the bottom right, we've seen great progress, too. This is a picture of us signing an MOU in Farnborough in July with Hyundai Motor Group to collaborate on bringing all electric propulsion and hydrogen fuel cell technology to the advanced air mobility market.

And with Rolls-Royce SMR, as demand for power and energy independence increases, we've announced a short list of sites for our first SMR factory in the U.K. As a reminder, this is important because we anticipate that 90% of our SMR products will be built in factories before being transported to sites for assembly. And that factory-built modular approach will drive a significant reduction in the cost of continuous zero-carbon electricity, and that's an important part of the solution for energy independence.

So turning to our financial summary. Free cash flows have improved by GBP 1.1 billion, and that reflects the higher engine flying hour receipts, which were up 43% versus the first half of 2021 as well as cost control and working capital discipline.

At the same time, we are facing the impact of global supply chain challenges and cost inflation, but we're actively managing these through a sharper focus on pricing, productivity and costs. You'll hear quite a bit more on that from panels as we go through. Some examples. We're partnering with key suppliers, ensuring that we have contractual pricing protection in place through long-term contracts. We're looking at innovative changes in our manufacturing processes to manage rising costs and supply chain bottlenecks, for example, by repairing and reusing spare parts where we can. And where necessary, we're derisking our customer deliveries by temporarily increasing inventories. We're also delivering on our commitments to rebuild our balance sheet in the medium term. And we've now received the required regulatory approvals for the sale of ITP Aero, and we expect that transition to complete in the coming weeks. The proceeds will be used to pay down the GBP 2 billion U.K. export finance supported loan.

Our liquidity position remains strong with GBP 7.3 billion of liquidity, including GBP 2.8 billion in cash at the end of the period. We had net debt of just over GBP 5 billion, including leases, and no significant debt maturities before 2024.

In terms of the guidance, the group targets for 2022, which we set out in February are unchanged. This is despite the increasing challenges and risks around the pace of market recovery, global supply chain disruption and rising inflation that we think may continue into 2023. And with that, I'll now hand over to Panos for a deeper dive into our financials. Thank you.

Panos Kakoullis

CFO & Executive Director

Good morning, everyone, and thank you, Warren. Despite a challenging external environment, we've delivered materially improved cash flows versus the first half of 2021. But we still have more work to do. And let's just take a look at the numbers. The results on the following slides were they're presented on an underlying basis for the continuing businesses in the group. Group revenues, GBP 5.3 billion. That's 4% higher than last year on an organic basis. Revenue growth was strong in Civil Aerospace and Power Systems with lower revenues in Defense, which had a tough comparator last year.

Operating profit of GBP 125 million was below last year's GBP 307 million, lower principally due to the absence of a foreign exchange revaluation credit in the first half of 2021 in Civil Aerospace. That doesn't repeat this year. It was a one-off accounting adjustment of around about GBP 270 million, about half of which unwound in the second half of 2021. And that was already factored into our full year 2022 guidance, and as I said, it's not something we expect to repeat going forward. Defense profits last year, where they benefited by around about GBP 45 million from legacy spare parts sales, which again did not repeat in the first half of 2022.

We reported a free cash outflow of GBP 68 million compared with an outflow of GBP 1.2 billion in the first half of last year. That continues our trajectory from the GBP 4 billion outflow in 2020 and the GBP 1.5 billion outflow in 2021 and moving up towards a modest positive for the full year this year. In Civil Aerospace, total engine flying hours, including business aviation and regional flights where they were up 33% year-on-year, showing a continued recovery in large engine business and a sustained high level of demand in business aviation.

Large engine long-term service agreement flying hours, they rose by 43% in the first half to 4.5 million. You have to remember, we're still in the early stages of that recovery. So that's still only around about 60% of 2019 levels. Large engine major refurb, where they rose by 22%, although total shop visits were only up 6%. Again, we expect further growth in the second half of 2022. Civil Aerospace revenues grew 8% year-on-year, and that's higher shop visit activity and long-term service agreement catch-ups, offset by fewer OE large engine deliveries. The catch-ups where they reflect strong execution and commercial discipline. That means we've got higher anticipated profitability across the life of these contracts going forward.

Civil Aerospace, reported an operating loss of GBP 79 million against a small profit last year. As I noted earlier, last year's profit included that one-off foreign exchange credit of around GBP 270 million. Adjusting for this, catch-ups and some small favorable provision movements in the period means that Civil's underlying profitability was broadly flat year-on-year. Civil delivered positive GBP 63 million of trading cash flow again, a significant GBP 1.1 billion higher than last year. With costs rebased, as volumes recover, we see Civil Aerospace becoming the cash engine for the group.

In May, we held a Civil Aerospace Investor Day in Derby. If you didn't attend, I'd really encourage you to watch it on our Investor Relations website. We set out 5 key value drivers for the business: one, maximize service receipts; two, reduce service costs; three, improve OE margins; four, grow business aviation; and five, make sure we benefit from a favorable point in the investment cycle as we exit what has been a period of intense product development. And we're going to be reporting on these drivers on a consistent basis going forward.

As part of that day, we also set out medium-term financial targets based on engine flying hours recovering to 2019 levels by around 2024. Within those targets, we expect a low double-digit compound annual growth rate in total revenues based on 2021 as the start year, a high single-digit operating margin and trading cash flow to comfortably exceed operating profit. We remain confident in our ability to deliver these targets and in the operating leverage of the business as our revenues grow. Our defense business, that's a long-cycle business. And it doesn't immediately benefit from the big geopolitical changes we're seeing at the moment in the wider world. However, rising budgets in most Western countries do underpin our confidence in the long-term outlook for this business and its annuity-like cash flows.

We've recently won some very important contracts, that Warren referred to, the B-52, and there are other contracts we're bidding for, such as the Future Long-Range Assault Aircraft for the U.S. Army to reflect -- replace its fleet of Black Hawk helicopters. And we are expecting a decision on that in the coming months. Underlying Defense revenues, GBP 1.6 billion, they were 9% lower than in the first half of last year, and operating profit was GBP 189 million. That gives you an 11.7% margin.

As I noted earlier, the first half of 2021 included an unusually high level of legacy spare engine sales, which added roughly GBP 45 million to profit. Trading cash flow, GBP 89 million, was equal to last year. In Power Systems, we've seen very strong demand, 53% growth in order intake in the period and a book-to-bill ratio of 1.5 with a record quarter for orders in Q2. Order cover is already at 100% for the rest of 2022.

And in fact, in some of our end markets for 2023, we are close to full capacity already. Revenues in the period grew by 20% year-on-year. And that's despite some challenges around Ukraine and the supply chain that Warren referenced. Underlying operating profit, that was GBP 119 million, giving an 8.7% margin against 3.5% in the prior period.

Trading cash was an outflow of GBP 76 million compared with an inflow of GBP 71 million in the prior period. And that partly reflects some working capital investment to support the currently very high levels of revenue growth. We've also got some issues in the supply chain there, and that's resulted in inventory build, which we are working very hard on to make sure we reduce in the second half.

Finally, let's look at New Markets. That includes the SMR and Electrical businesses. New Markets reported an operating loss of GBP 48 million in the first half of 2022. And that, as you'd expect, reflects the ramp-up in R&D costs as we grow our teams. We've got just under GBP 0.5 billion of committed funds in place to cover the R&D costs for our SMRs over the next 5 years. And only 10% of that is the amount we will fund ourselves. The investments that we're making in this segment have a broader synergistic benefit across the whole group, and Warren is going to touch on that later.

This next slide that sets out our group cash flows starts at underlying operating profit. Our free cash outflow was GBP 68 million in the first half. That compares with an outflow in the prior period of GBP 1.2 billion. Our stronger cash flow performance year-to-date gives us confidence in our ability to deliver modestly positive free cash flow for the full year. That GBP 1.1 billion cash flow swing can be broken down into 3 broad buckets. Firstly, we saw an operating profit performance improvement of around about GBP 490 million. And that largely reflects the growth in large engine flying hours in Civil Aerospace.

Secondly, working capital, that was GBP 350 million better as inventory build was partly offset by strong customer collections in period, particularly in Civil Aerospace and improved performance on payables. And thirdly, other impacts were GBP 230 million, better than the prior period with a lower pension contribution and derivative settlement costs. and higher profits coming through from discontinued operations, offsetting higher interest costs. We saw limited impact in the period from concession payments. We started the year with around about GBP 300 million of net concessions slipped from 2021.

Now at that time, we thought those would largely unwind in 2022. Since then, we've seen those further delays in 787 deliveries and the associated concession payments. Important to note though, that's largely offset by a reduction in concession receipts on new Trent 1000 deliveries as Boeing itself manages its own inventory. So as a result, concession outflows were expected to be slightly lower than we originally anticipated. But there is a larger headwind coming in 2023 as those growth slips are compounded in '23 by continued low receipts from Trent 1000 new engine deliveries.

Now when I started this role, I set out 3 clear priorities for the business: deliver on our commitments, simplify how we report and invest wisely for the future. And I just want to give you some examples of our progress in each of those areas. So firstly, delivering on our commitments. We all know how challenging and uncertain the external environment is, given the war in Ukraine, the impact on supply chain, rising inflation, phase of recession and continued intermittent lockdowns in China.

Nevertheless, we stay committed to delivering on what we have promised. I want to share with you some of the ways in which we're actively managing the current situation. Firstly, through commercial discipline and on pricing and also on contract management. In Civil Aerospace, we've been able to contractually pass on higher input prices on both OE and aftermarket through indexation clauses.

In Power Systems, that's a shorter cycle business, we've also been able to raise prices in an environment where demand is very strong and margins are very closely leveraged to volumes. And in Defense, we're working hard to manage supply chain costs through long-term purchasing agreements and focusing on pricing with customers.

Secondly, we are focused on controlling our cost base to ensure that there is operating leverage as revenues grow. We focused on our supplier list, seeking to work with the very best performing suppliers. And in most cases, we have long-term agreements in place, which offer us good protection from near-term price pressures. A case in point, titanium. We've already secured a long-term agreement with a U.S.-based titanium supplier, which means that we continue to be increasingly less reliant on titanium from Russia. Another example, on the Pearl 10X, where our innovative digital sourcing approach has allowed us to achieve a 10% cost reduction on parts by consolidating our spend with 4 high-performing suppliers. And more broadly in civil aerospace, we've taken proactive steps to further strengthen our focus on supplier management in the first half.

That included very careful selective hiring to support and manage the supply chain. We've established tiger teams in those severely stressed parts of the supply chain, including the use of external specialists. On the commodity side, we've also have hedging in place to protect us for near-term volatility, and an example would be nickel. We currently hedged 75% for 2022 with significant levels of hedging in place for the next 4 years. Jet fuel, we're 80% hedged in 2022 with a ramp down out to 2025.

Now finally, working capital remains a key focus and in particular, customer collections and driving down inventories. Next up, simplify how we report. An example of how we are driving simplicity across the business is our new approach to foreign exchange hedging, which is more cost effective, brings us into line with our peers to allow comparability and allows us to more proactively manage risks. Historically, we've hedged a declining percentage of our foreign exchange exposure across a rolling 10-year horizon, and that was based on our projected U.S. dollar revenues.

Now the issue that gave us going into COVID was we were carrying a very large hedge book, much larger than our peers. And because the material impact COVID had on our medium-term forecast of U.S. dollar revenues, we found ourselves over hedged. And you're all aware, there was a GBP 1.7 billion cost to unwinding these hedges that we charged in 2020, that we feel the cash flow impact of until 2026. And it's worth remembering every \$1 movement in the hedge rate impacts our operating profit and cash flows

by around about GBP 25 million to GBP 30 million. Under our new approach, we're going to be carrying a smaller hedge book with a declining percentage of cover over a 5-year period, which will mean that market movements in foreign exchange will impact us sooner.

The chart on the slide that shows our current hedging position. We've got some flexibility to move these hedges around, but we are largely hedged at \$1.50 to the pound until 2026. From then, you'll start seeing the benefits coming through from the new hedging approach. And my third priority, making sure we invest wisely. We've got strict criteria that we follow when considering new investments. Firstly, they need to be aligned with the group's strategy and focus on sustainability. Warren is going to pick up on that theme shortly. 75% of our R&D investment in the medium-term will be on lower carbon technologies and making our existing products compatible with net-zero.

We also continue to invest in improving the profitability of our products by increasing time on wing, efficiency and productivity. Now whilst we're seeing increasing investment in New Markets, our established businesses are critical to. Around 80% of our CapEx and R&D this year will be focused on Civil, Power Systems and Defense. Next, we very carefully consider the risk reward profile of each investment based on an estimate of its IRR in a range of scenarios. Our investments, where we aim that they generate a combination of near-, medium-term and longer-term returns. That gives us a balance of protecting and growing our established businesses and pursuing longer-term growth opportunities at the same time.

An example of an investment that will generate return in the near-term is the work we've done on extending the time on wing in the Trent 700 engine. At the other end of the spectrum are our investments in electrolyzers and in SMRs. Now for these more longer-dated investments, we make sure that we have a sufficiently high IRR on a risk-adjusted basis.

Just to give you an idea from a process perspective, all investments over GBP 5 million are reviewed by our group investment review committee. That meets monthly, I've shared all of those meetings since I started with the business. We set a very high bar when considering new investments, and there are many examples of projects that didn't make the grade. And we continue to focus on in-flight reviews of investments to make sure we improve the accountability and delivery on existing projects. And I'm going to keep coming back to these 3 themes in the future. So delivering on our commitments, simplify how we report and making sure we invest wisely.

Now my final slide. Despite the challenges around inflation and the supply chain, we are confident in our ability to deliver on our commitments. At the group level, we still expect to deliver low- to mid-single-digit revenue growth. a broadly unchanged operating margin year-on-year and modestly positive free cash flow. And that guidance is based on expected improvements in civil aerospace, driven by higher large engine sales and also increases in shop visits.

Our divisional guidance has changed slightly. In Civil Aerospace, we now expect to deliver good revenue growth in 2022. In Defense, we're now guiding for a low double-digit operating margin in the full year for 2022. That's lower year-on-year due to higher investment spend and also the nonrepeat of those legacy spare parts sales I mentioned earlier.

And lastly, just to help the modeling, a word on tax. We're still expecting group cash tax payments to be broadly similar to the GBP 185 million paid in 2021. Now we expect the P&L charge to be lower than this, but due to the geographical mix of our profits and losses, we will see a higher-than-normal P&L tax rate this year and in 2023. And with that, I'll hand back to Warren.

David Warren Arthur East
CEO & Executive Director

Good. Thank you, Panos. Now securing a sustainable future. When we talk about sustainability, of course, we mean in terms of the energy transition and addressing climate change, but we also mean ensuring business sustainability with disciplined investment for sustainable returns. But before I talk about the future, I'd also like to touch upon last week's announcement regarding the new CEO appointment and a few personal reflections. It's been a great privilege to have been entrusted with the stewardship of this company over the last several years. And I've enjoyed support from loads to people. I especially want

to thank the amazing people at Rolls-Royce who make it all happen. In spite of some really challenging events and indeed, all the changes that I have thrust upon them.

We've dealt with some major challenges in that period. And I'm pleased to reflect on how much the company has changed in that time. Indeed, the appetite for further change that we've developed. Rolls-Royce is now much leaner, more agile and more focused than it's ever been. We've taken significant costs out and developed a more cost-conscious culture across the whole organization. But we've not lost the focus on excellence, nor our ingenuity, which enables us to punch well above our weight.

We've developed more efficient, durable and sustainable products and services that will serve our customers for decades to come. And in addition, we've embarked on a net-zero pivot. As you know, in my book, disruption like this spells opportunity. So I'm more optimistic than ever about the future. I'm also proud of our broader leadership team, which like our people at large is, on average, younger, much more diverse and much more agile. That gives me the confidence to pass the baton to Tufan, who joins us in January. Together, they will create that sustainable future for Rolls-Royce. Now on a sustainable future, the #1 thing is to make the group sustainable as a business. Key to this is leveraging the asset which is our installed base. The largest earnings potential lies in our large engines powering the world's youngest wide-body airline fleet, where we power the majority of aircraft types available for airlines to buy today. Alongside this, we have over 9,000 business jet engines and more than 16,000 defense engines as well as over 40,000 customers for our Power Systems product. And as we outlined at our Civil Investor Day in Derby recently, we work intensely to increase the profitability of our installed base, and that's the asset with significant barriers to entry that drives our sustainability from a business point of view.

Now I want to shine a light on the technology behind the business opportunity in the other sense of the word sustainability. We're a business that's focused on power, more accurately, perhaps turning stored energy into useful power in particularly difficult applications. This offers challenges, but it also creates excellent barriers to entry once you've developed that domain expertise. Now you hear today about alternative forms of stored energy, and it can all sound very complex. But actually, this is a continuation of our long journey. For much of the time since, say, 1940, we've worked with 2 forms of stored energy, fossil hydrocarbons and nuclear power.

Looking forward, sticking essentially with the same difficult applications where we draw on our decades of expertise and those barriers to entry, I mentioned, we moved from 2 forms of stored energy to 4. If we look at the hydrocarbon stream, we anticipate that over the next 20 years, we will see a switch to synthetic fuels. It will remain prevalent for decades in our reciprocating engines, but in particular, it's going to be relevant for our gas turbines for long-haul aviation. We're ensuring that our gas turbines are ready now for that transition.

Looking to nuclear, moving up the slide, we have multi-decades of experience in providing safe nuclear power in a really challenging application, and that gives us the confidence in our capability to deliver our SMR solution. The huge reduction in the cost of continuous zero-carbon electricity that our SMRs provide makes us firm believers that it is the right solution to decarbonize the grid and to enable stand-alone industrial applications such as producing the synthetic fuels and at the top of the slide, the hydrogen.

There are even future opportunities in space applications with micro reactors. Now electrification is an established trend with progress in battery technology. And for us, initially, this means using battery storage for hybrid propulsion and microgrid solutions on land. However, this is rapidly becoming relevant in aviation. We have several contracts in urban air mobility and commuter aircraft for full electric power and propulsion. And these subsectors will produce revenue and profit relatively soon. We can see full electric and hybrid and more electric solutions moving from smaller aircraft to larger ones as the technology matures.

Now in order to achieve true net-zero, we will, I'm sure, be deploying hydrogen-based power and propulsion solutions in time, even to our widebody customers in long-haul aviation. And I'll show how we prioritize and invest into those alternative forms of energy storage using hydrogen as an example, if we move to the next slide.

Let's just look at the hydrogen pathway. We can deploy hydrogen in a reciprocating engine in a gas turbine with hydrogen fuel cells in between. The gray areas on the slide represent the investment periods and the green areas show where we can make revenue and earn profit. Hydrogen is gaining relevance in many markets, and our customers look to us to help them decarbonize. And some of these are way off, but we need to be ready with the technology as that technology and infrastructure matures. And you can see that whilst we must be active and present, hydrogen and the gas turbine together for wide-body aviation is a minimal investment today. And based on what we can see, revenue is not likely before the late 2030s. But we're investing now where we see short-term potential for deployment and business return at the top of the slide, for example, around reciprocating engines and coming down the slide in fuel cells moving from land-based stationary to mobile and later into the air.

There are opportunities, too, for inorganic growth -- for instance, the recent acquisition of the electrolyzer specialist Hoeller, will help us to move to market quicker in Power Systems. Alongside disciplined prudent investment in some cases. The best approach, though, is to form partnerships. At Farnborough, the partnership that we announced with Hyundai that I mentioned earlier, includes hydrogen fuel cells. And we also announced the partnership with easyJet, and that's all about hydrogen in gas turbines.

Now these investments and partnerships are creating knowledge, skills and capabilities that flow across our group, creating benefits and applications between our different businesses. It isn't just about the technology, it's about the people. You've heard me say many times before that our key differentiator is our people. So I'm pleased we continue to be a company where talented individuals are keen to work. Since 2021, we've seen an increase of 48% in applications for our early careers and 58% of the graduate hires in 2022 are female and 36% from ethnic minority backgrounds.

In addition to hiring though, it's even more important that we create an environment where all our people can deliver to their full potential. And that means being really inclusive. We support over 20 employee resource groups across all diversity strands, including faith, ethnicity and gender networks. The largest one of those is Prism, which supports our lesbian, gay, bisexual and transgender community here in the U.K. And we're proud that this network has received multiple externally recognized awards.

We can see how inclusion, coupled with the right incentivization, encourages the right business outcomes. For instance, looking at our patent award scheme, in 2022, nearly half of the new inventions filed related to our net-zero ambitions. We've introduced a new approach to learning and this includes a refreshed digitally enabled approach for all of our people to get learning out really quickly. One key aspect of this is a digital internal marketplace for so-called gigs. These are bite-sized pieces of work that are matched on the basis of capability to people anywhere across the organization, leading to much more agile working and ensuring that we develop a capability irrespective of any internal organizational boundaries. And that's especially crucial for highly sought after fields like electrical engineering.

So let's conclude. A reminder of what we have covered. We've progressed well in the first half of the year with substantially better cash flow as we manage our costs and the markets recover. It's a tough environment, though, and we're addressing this with a focus on the operational and commercial actions that can protect our performance. And we're sticking to our commitments. The disposal of ITP has been approved and it will complete in the coming weeks, and we're well positioned to achieve our guidance. I'm convinced that with the best people and breakthrough technologies for the energy transition and a more modern and much leaner business with a bright and exciting future ahead. And with that, I'd now like to hand over to the moderator to open the meeting to Q&A.

Question and Answer

Isabel Green

Head of Investor Relations

[Operator Instructions] Thank you. And so a question here from the webcast and to Warren, actually. So Warren, your results today have got quite a lot of noise, and you say you're progressing well, but I can't see it coming through in the numbers. Can you tell me a bit more about what's going on in the business?

David Warren Arthur East

CEO & Executive Director

Yes. I'd say we're progressing well because we can see growth. We can see growth coming through in revenues. We can see growth in orders. Our Power Systems businesses just had a record quarter for orders. And actually, the first quarter was very strong for orders as well. So we now have a record order book there. And I can see a massive swing in the cash flow. A reminder of the trajectory, COVID, minus [GBP 4.2 million], last year, minus [GBP 1.5 million]. This year, we said we'd be modestly cash positive and the first half has set us up very well for that being just a GBP 68 million outflow.

And what's really driving that is a recovery in engine flying hours in our Aerospace business as well, large engine flying hours up 43%. And so I think that's the indications of progress. Now when you look at our profit and just compare first half this year to first half last year, then I think that's what's caused a little bit of noise this morning. I think it's important that we understand the moving parts behind that. So I'm going to ask Panos to explain that one.

Panos Kakoullis

CFO & Executive Director

And I think you're right, at first blush, when you look period-on-period, or what's happened to operating profit, and I called it out in the presentation, GBP 125 million versus GBP 307 million, it does look. And what we tried to do is just to be helpful to pick out what's really going on behind that? And particularly when we're in the environment we are now of going through breakeven, relatively small numbers either way, it can have a distorting effect. So what we've tried to do is pick out things that are effectively one-off, and we tried to do that in a balanced way. So you'll see that there is a nonrepeat of a revaluation credit. There's a foreign exchange revaluation credit of around about GBP 270 million in last year's numbers due to the change in foreign exchange rates.

There was also a GBP 45 million benefit from the legacy spare parts sales within the Defense business last year, didn't repeat this year. Again, that's consistent with what we expected. Year-on-year, we're benefiting from more positive catch-ups this year than last year, and you can see a benefit of around about GBP 50 million coming through from that. And also this year, we've got a one-off write-off on a legacy contract from a business that we sold just under GBP 30 million.

So when you strip all of those elements out and say, right, what is going on with the underlying business, you end up with an operating profit a little bit up year-on-year. again, it's sort of indicative of the underlying progress.

Isabel Green

Head of Investor Relations

Now we're going to start to take questions from audio lines. And the first question from the line of Robert Stallard, Vertical Research Partners.

Robert Alan Stallard

Vertical Research Partners, LLC

Yes. A couple of questions from me. First of all, Warren, you mentioned the -- that you're enforcing indexation in your contracts and the Power division is seeing good pricing. Is this enough to cover the

cost inflation that you're seeing coming through the system? And is there a bit of a timing mismatch here that you're getting the price benefit and for the cost impact? And then secondly, Panos, my phone was giving me grief when you were talking about the 787 payments and how that's going to flow out. I was wondering if you could clarify what you said?

David Warren Arthur East

CEO & Executive Director

Yes. I understand your point, Robert, about price before cost, and we're very, very tuned in to that. And the first thing to do is, of course, pass on as much of the inflationary pressure as you can from a contractual perspective. And then you have to look to your costs and think about how we can control those costs. which we're absolutely doing. And part of that is softening the blow of the inflationary pressures by things like hedging, things like long-term supply agreements with our suppliers, focusing on the smaller number of suppliers so that we can actually strike better agreements. Some of these supply agreements, fortunately, do stretch out for a very long period of time. And so we consider that we're well protected. There is a balance to be struck between the pressure that you're getting from costs going up and how much you're able to pass on. And when I talk about commercial discipline, I mean tilting the balance of that so that it is largely within our favor.

Panos Kakoullis

CFO & Executive Director

Yes, just a bit to add to it. And you can look at the 3 businesses in different ways. So the Civil Aerospace business, we are -- and I think you talked about enforcing indexation. We are being robust around how we do that. You can see a little bit of the benefit coming through -- the future benefit effectively coming through from the catch-ups. And a lot of those catch-ups are driven by the expectations through that enforcement. From a cash perspective, it actually comes a little bit -- it has a little bit of a lag because it sort of catches up year-on-year. On the Defense side, it tends to be through contract renewals, which happen regularly. So again, a little bit of a lag there. Within Power Systems, when you have got record demand and a very strong order book, you can be much more regular around price increases. And as Warren has said, the other element is you control costs. So we would have been clear around focusing down on the critical suppliers, the ones that are the best performing supplier. And to be a best-performing supplier, it's not just about cost. It's about being able to deliver to the highest quality as well. And you'll have heard in the -- maybe in the presentation, we talk about digital sourcing on the Pearl 10X. That's a fancy way of saying we had a supplier conference and a 10% reduction in pricing going forward, and that gets locked in with very low levels of indexation. And that together, as Warren has said, with hedging around commodities, put us in good shape around that. On the 787 payments, coming into the year, we talked last year about that GBP 300 million slip from '21 into '22 on concession payments we expect to go out. Those haven't happened yet. They look like they might slip in into the following year. It doesn't actually have as big a benefit in terms of lower outflow happening this year as you would have anticipated because Boeing themselves are managing their own inventory.

So new concession receipts are lower than we expected. So the net-net impact is not big this year. It does, though, create a little bit of a headwind for next year as some of those slip into next year. Those payments without necessarily having new orders coming in for and that would generate new concession receipts.

Operator

Now we're going to take our next question. [Operator Instructions] The next question comes from the line of David Perry from JPMorgan.

David Howard Perry

JPMorgan Chase & Co, Research Division

Yes. Do you hear me. okay?

David Warren Arthur East

CEO & Executive Director

Yes, we can. I've got great 4 questions. I don't know if that's too greedy. They're quite short. The first one, the Defense guidance of low double-digit margin, I just wanted to clarify, I mean, are we thinking 10% to 12%? And then is that a baseline going forward? Because Defense margins historically have been hard to forecast. The second one is the finance charge was a lot higher than I expected in H1. I just wondered if you can help us think about the full year. And maybe even going forward because obviously, you've got ITP proceeds and you're going to pay off some debt. Tax charge, clearly very high. Will the second half be the same as the first half? And then the last one, please, the fourth one. The LTSA inflow, GBP 433 million in H1. I think that at the CMD, you talked about the 500-ish a year. So is it still GBP 500 million for this year? Or is it going to be meaningfully higher than that.

Panos Kakoullis*CFO & Executive Director*

I'll try and keep them, as you said, quite short ones. I'll try and keep them short and sweet. I think on Defense, it's consistent with where we were expecting this year to be. We wanted to be more explicit about that guidance as we went through the -- into the second half, just to make -- to be as helpful as possible around that.

Last year, we did have a little bit of the number being flattered by those legacy spare engine sales. So that's why you see that coming down. It is now representative, I would say, of the mix going forward. So some of the older work was a little bit of a higher margin, and we got the impact coming through of the single-source regulations as well. So you can think of it as that sort of level going forward and the range you talked about is a sort of sensible range to be thinking about, maybe a little bit towards the higher end of that 10% to 12%.

On finance charges, in terms of the actual P&L charge this year, there's a little bit of extra this year because last year, the U.K. EF loan, the GBP 2 billion we took out sort of midway through the first half. So you've got the anniversary-ing effect of that for a full 6-month period. But think of that as being sort of the charge going forward adjusted for ITP proceeds. So as we said in the release, ITP proceeds, we're going to use to pay down the GBP 2 billion U.K. export finance loan. And that's our only floating interest rate loan. All the other loans are at a fixed rate. So that will give you an idea.

On tax. The tax charge does look unusual because we've got 2 territories, the U.S. and Germany, where we are taxpaying. In the U.K., we made taxable losses and we've got a lot of loss to use going forward. So there's no actual charge that comes through from that. So you do get a slightly odd-looking number because you've got 2 taxpaying jurisdictions and the largest one isn't. From a cash perspective, I think of last year and this year being broadly the same. And in terms of the LTSA, you're right, back at the -- back in Derby on the 13th of May, we sort of talked about in the medium-term being around about a GBP 500 million number on the LTSAs. It is going to be meaningfully more than that this year. You quoted the GBP 433 million for the first half of this year. It's going to be, again, meaningfully more than that as those engine flying hour receipts come through.

The relationship of that with actual shop visits happening and some of that LTSA creditor effectively ending up being -- taking through revenue, that's one of the sort of judgments that we have to take, but it will be meaningfully more than the GBP 500 million this year.

David Howard Perry*JPMorgan Chase & Co, Research Division*

And just a follow-up on that. The GBP 500 million a year then, do we -- is that an average? If it's much better this year, is it lower in the future years? Or is it just this year is a one-off and it's still the GBP 500 million a year going forward?

Panos Kakoullis*CFO & Executive Director*

I think we said GBP 500 million by the medium-term, so over the next few years, it is going to be higher levels than that, depending on trajectory of engine flying hour receipts and the level of shop visits going forward.

David Warren Arthur East*CEO & Executive Director*

Yes. I mean I think an elevated rate in the short term is a logical consequence of the sector is recovering from COVID, flying is starting to happen and the shop visits are going to follow. I mean don't forget, we've got a load of shop visits that pre-COVID would have happened over the last year or so, that have effectively been delayed, and that's what's causing the LTSA increment to be at a higher rate right now.

Operator

Now we're going to take our next question.. And the question comes the line of George Zhao from Bernstein.

George Zhao*Sanford C. Bernstein & Co., LLC., Research Division*

My first question is now, how do you assess the health of your supply chain as you and the OEMs consider potential wide-body production ramp-up? We're seeing a lot of supply constraints on the narrow-body side of engines right now. And while clearly, the wide-body, they're not taking the same level of ramp-up as the narrow-bodies. Are there risks that some of your suppliers that are involved in the different programs could take some challenges in ramping up?

And secondly, I wanted to understand a bit more about the price indexation on the LTSAs. We've heard some of the other peers comment that they are more preserved against inflation on the time and material versus the long-term agreement. So how do you contract your work here? Is there more of a cap within the LTSAs where which we can pass on the cost inflation, that may be less favorable than the time of material agreement.

David Warren Arthur East*CEO & Executive Director*

So I think the key difference between narrow-body and wide-body is obviously the absolute volumes. And that's why the situation is very intense in the single aisle space at the moment because everybody didn't quite come to a grinding halt, but everybody suddenly went very, very slow and now they're being pressured to ramp up very steeply, but the numbers are all large. Obviously, as you pointed out, wide-body is a slower recovery, which gives us also breathing space. But also the absolute numbers are much, much smaller. Now we talked about and Panos cited a supply chain conference a moment ago in an answer to an earlier question. And that's the sort of engagement that we are having with suppliers. Basically, we are spending more with fewer suppliers.

The relationship with those suppliers is richer, the contract terms can be longer and more rigorous. And so those are the steps that we are taking. Obviously, there's real world risks that all of these suppliers face -- but by close working relationship with those suppliers and we've hired people, we're hiring people specifically to manage suppliers at the moment. And we also have task forces from within our business working with suppliers. And I think those measures taken together put us in reasonable shape. And we do anticipate the widebody volumes recovering not sort of immediately, so we do have some time for this, but we can see them recovering. I've been quite vocal in the media about commercial discussions taking -- ramping up and that is going to result in new OE demand over the coming years, but we think we're pretty well positioned for it. LTSA price escalations and the like...

Panos Kakoullis*CFO & Executive Director*

Just a couple of sort of points of detail around the management and the supply chain. It's procurement specialists, and we've hired around about 70 extra people, specialists in that area. And as those of you who were at the Civil Day back in Derby, will remember Sebastian Resch, our Operations Director. He always talked about -- it's about boots on the ground. It's about spending time with the suppliers to make sure that we're in the right place in the queue. And we understand day-to-day, and we manage day-to-day what's going on around that supply chain. On the indexation point, I think you asked, is there a limit? Is

there a ceiling effectively? Is there a cap? Actually, there's a color. So first few percentage points, we can pass on directly. Then there's a color, a couple of percentage points. And then beyond that, what's called hyperinflation from a contract terminology perspective, we can pass that on again. But each contract will be negotiated on its own terms, but that's the broad shape.

Isabel Green*Head of Investor Relations*

Isabel, again, I've got a question from the webcast. Chloe Lemarie from Jefferies has written her question in. So I'd like to be 2 questions out from her, please, if I may. Firstly, stripping out or the one-offs in Civil, it appears there was a GBP 100 million year-on-year increase in operating profit for the division. Can you provide some color on what drove this between OE and aftermarket or between large engines and others? And the second question from, Chloe, please. Can you detail what drove the catch-up recorded in Civil this half? Additionally, how are you seeing the Trent XWB aftermarket trending in terms of operating performance?

Panos Kakoullis*CFO & Executive Director*

So just in terms of stripping out the one-offs, when I gave the response earlier on, I was looking at the one-offs across the whole group. The one-offs that specifically apply to the Civil business are the GBP 270 million foreign exchange credit from last year. It doesn't repeat. So you strip that out. The net year-on-year benefit of the catch-up, which is just around just over GBP 50 million. And then we had a little bit of provision released this year versus last year, which gave us a benefit. Actually, when you strip those out, you end up with Civil in the first half being broadly flat.

So it's -- I don't think it's the GBP 100 million you talked about. It is broadly flat. If you unpick that, to say, right, what is behind that from both an OE and Services perspective. OE, we are broadly flat. You can see the sort of installed deliveries at first half this year versus first half last year. It's broadly flat. The mix is actually more in favor of business aviation than wide-body. So that gives us a little bit of a margin uptick. Services, on the other hand, you can see quite, I think, about 22% for memory increase around Services. But that's more -- that's on the wide-body and 6% overall on all shop visits. The mix goes the other way a little bit on that one. So that's -- if you look at those underlying -- underlying operating drivers. -- and that will get you to the broadly flat once you strip out those one-offs. In terms of what happens going forward and what underpins our view around the outlook for the full year, there is a significant ramp-up in shop visits in the second half, which generates a significant amount of profit and a number of spare engine sales.

We'd originally thought there'd be a few more spare engine sales in the first half, but those have now moved into the second half. And that's a combination of, as I mentioned, of engine sales to customers and also to third parties that operate a pool. In terms of what drove the catch-ups, a lot of that catch-up is around pricing, and it's around that pricing, that commercial discipline that we've been talking about, particularly around business aviation, as those indexation clauses effectively come into effect and mean that we've got greater profitability on those contracts going forward. And I know I've stressed it a few times around the importance of looking at catch-ups and what they are telling you because they are saying that over the life of those contracts, if it's a positive catch-up over the life of those contracts, we expect those to be more profitable going forward, and there is a catch up now when we look at -- how much we've traded in the past. Works both ways. So we need to be balanced around that. So within Defense, you'll see there's a GBP 22 million charge in defense around some risks on inflation. XWB performance.

David Warren Arthur East*CEO & Executive Director*

Yes. XWB performance, I'm actually not quite sure whether you mean how the shop visits are going or how the engine is performing and therefore needing shop visits. But let me have a go. We continue to be pleased with XWB. The actual sort of in-service performance of the engine is excellent, and we get great feedback from our customers. We are -- have been gradually pushing out the service interval on

the 84,000s through a process of inspections because obviously, we don't want to do a shop visit until we absolutely have to. And that's been encouraging, and we've spoken about that before. And then those who came to Derby, I think, saw lots of activity aimed at systematically extending the service interval, and we expect that to continue on both the 84,000 and the 97,000 over the coming years. If that's what you meant by the performance in shop visits, then that's the story.

Isabel Green*Head of Investor Relations*

Thank you. I've got 2 more questions. They're quite short. So I'm going to ask them both one after the other. The first one from [indiscernible]. Very short question. Where do you expect working capital to come out for the year? And then secondly, from [Spinecap], could you give us a bit more detail on what changed on the FX hedging and how much net U.S. dollar exposure you expect to have by '24 or stroke '25?

David Warren Arthur East*CEO & Executive Director*

I think you can do both of these.

Panos Kakoullis*CFO & Executive Director*

I can pick that up. In terms of working capital for the full year, you'd expect to see a sort of slightly negative working capital. That unwind of inventories is going to be a little bit more than from where we are now, it's going to be a little bit more than offset by the increase in the performance on payables. So expect it to be a sort of slight negative for the full year. In terms of the FX hedging, current book, I think it's around about GBP 21 billion in terms of exposures going forward. As I said in the presentation, the aim of the new policy is to make life a little bit simpler for everyone in comparing us with others, also allows us to be more proactive in how we manage that risk as well. So you'll see a policy going forward of a declining cover over a 5-year period. For that to fully be in effect, it's going to take a few years because we've got a hedge book at the moment. That's, I guess, the past policy means we're 100% hedged for the next 5 years. And as that unwinds and we put the new policy in place, you'll see that start coming down over time.

Operator

The next question comes from the line of Olivia Charley from Goldman Sachs.

Olivia Charley*Goldman Sachs Group, Inc., Research Division*

My first question is just a follow-up on the shop visits. I know you just mentioned with clearly that you're expecting to see a big step-up in the number of shop visits happening in the second half. And I was wondering if you could just give us some more color on that. I mean, I can see the release on the first half. There's only been a pretty modest step-up in shop visit numbers in the first half guidance, I think that you've given for the full year implies a sort of 20% increase in the midpoint. So I'm just wondering what's driving that really material step-up in the second half? And what kind of is giving you confidence in the ability to sort of step those volumes up? And then just a second question around engine flying hours. Could you give us a sense of what the exit rate is for the first half or where you're tracking roughly now and therefore, what you're expecting to see in the second half? And then also just sort of what gives you confidence in this path to full recovery by 2024? And what are you seeing in sort of Asia Pacific and China as well.

Panos Kakoullis*CFO & Executive Director*

Okay. I'll take the first 1 yes. Just in terms of shop visits, Olivia. So -- you saw just over, I think, just over 400 in the first half, and we're guiding to around between 1,100 and 1,200 over the full year. And the big driver of that, frankly, is the engine flying hours growth. As that growth comes back, the shop visits follow.

So that's what we're seeing, that's what we're seeing effectively being scheduled as we go into the second half. So that's the big driver around that.

David Warren Arthur East

CEO & Executive Director

Yes. And on engine flying hour trajectory, then -- as I said a few moments ago, for the first half as a total, then we're at about 60% of 2019 levels. We guided for between 60% and 70% for the year as a whole. We're reasonably comfortable with that now because, obviously, having got to 60% for the first half, the exit rate is above 60%. We track it on a weekly basis. And we're around about -- or we have had over the recent weeks around about 65% or so. Now exactly how much of that is going to continue into Q4, it's hard for us to say. But we -- having reached 65% -- we're pretty confident we can see through our Power Systems business actually, early signs of the actual lockdown situation in China starting to get a bit better. The lockdown situation in China has been the key retardant for the Rolls-Royce fleet of engines in terms of keeping our engine flying hours back. So I think that's going to be a contributory factor in the second half to move up from these rates towards the 70% as we get to the year-end. And elsewhere in Asia, we are seeing demand and flights full. We spoke to a lot of airlines at Farnborough a few weeks ago, and people are reporting full flights and challenges with actually being able to sort of deliver on those. So it's not a demand issue at the moment.

So we're still confident of that recovery in '24. I think it will depend -- the actual rate will depend on the broader economic climate. And it's a little bit too early to speculate on that actual rate, but you can see us getting very close to 2019 levels by 2024.

Panos Kakoullis

CFO & Executive Director

And just maybe just give you a little bit more color around China. So I think when we look back to 2019, China was around -- China Airlines were about 17% of engine flying hours. They're around 11% at the moment, and they're at 40% of 2019 level. So there's quite a lot of scope for growth within that as those lockdowns ease.

Operator

The next question comes from the of Andrew Humphrey from Morgan Stanley.

Andrew Edward Humphrey

Morgan Stanley, Research Division

I've got a couple on Power Systems, if I may. Firstly, it seems like a lot of the strength you highlighted in orders there was around backup power supply and the like. Can you go into a bit more detail on what is driving that particular strength in the short term? Clearly, a lot of the discussions that we're having at the moment are around potential gas shortages in Europe over the winter? Is there any kind of overlap there with your business? And secondly, on that, I wanted to ask a bit more about inventory. You've highlighted that you're expecting some unwind in the inventory you've built up over the second half of the year. I wanted to kind of ask about the character of that. I mean is that inventory build in the first half? Has that been sort of prophylactic to protect against some of the supply chain issues that we're seeing? Or are there kind of project delays that we need to keep an eye on? And to what extent are those within your control?

David Warren Arthur East

CEO & Executive Director

Okay. Let me kick off. I think some of the demand that we're seeing around power gen at the moment is a little bit of recovery from projects that were held up during 2020 and 2021. And so we're seeing the orders come through from those now. And yes, Power gen has been strong. With regard to the sort of overall energy situation, gas -- potential gas rationing in Europe and so on. Actually, this is being a positive driver for us not so much in terms of power gen, but in terms of demand for engines for fracking as people seek to mitigate the gas supply challenges. So we've actually seen a positive impact as a result

of that. I think the inventory build is -- no, it's not to do with project delays. It's to do with a combination of proactive building for the second half, which under normal circumstances, we do anyway in Power Systems, to manage our load throughout the year. But also the supply chain challenges and the blockages. I think, Panos said a few moments ago, mentioned about the semiconductors that we've seen holding us back in Power Systems. And some of it is undoubtedly due to that one of these task forces that Panos referred to and is specifically around semiconductors in Power Systems.

And we have been successful there and we've secured supplies for ourselves and for our suppliers. So that we can get that inventory shifted in the second half of the year. And we're continuing with that task force, by the way, because we do anticipate that to be a very tight situation at least into the middle of 2023. And so we want to clear the way ideally through to the end of 2023 as far as that particular part of the supply chain is concerned.

Panos Kakoullis

CFO & Executive Director

Maybe just to give you a little bit of a broader feel around supply chain within our systems because it was, I think at this time last year, we were highlighting it as we could see some of that coming and it's maybe an advantage of having a shorter cycle business within the group that we can see that a little bit earlier than maybe in the longer cycle businesses. But -- every week, there's broadly 30 to 50 suppliers that the team there are constantly monitoring what is going on there because anyone -- and not just my presume it could be across a number of areas, that anyone of those could cause a bit of a line stop. So they manage it at a very tight level. And you can see that -- what that trend looks like on a week-to-week basis. So it's that sort of level of granularity to make sure we keep production going.

David Warren Arthur East

CEO & Executive Director

And tracking that we saw through the second half of last year, and we reported in fact, at our full year results. So that trended down during the second half of the year and into Q4, but it has trended up again in the first part of this year. And what we're seeing is the impact of that right now. I think that's it.

Operator

The next question comes from the line of Nick Cunningham from Agency Partners.

Nick Cunningham

Agency Partners LLP

Yes, coming back to EFH, it looks very much like you'll hit the 80% number sometime in '23, perhaps on average '23 as a whole. And you used to say not so long ago that, that 80% was key to a free cash flow of, I think, as much as GBP 750 million. And does that you still recognize that number, does it still stand? And if not, what's different? In very broad terms, what are the big deltas if you like? And then second question -- general and sort of geopolitical around China risk. I mean Russia is obviously same as the risk, the trapped assets for Western corporate. China is an order of -- several orders of magnitude bigger than that, plus also a much greater supply chain risk, and it's a really big end market [indiscernible] or wasn't. Is there anything at all Rolls Royce can do to manage that risk? Or is it just there? Or at least is there something you can do to manage that risk on a medium-term basis is just something you think about it?

David Warren Arthur East

CEO & Executive Director

Yes. I didn't actually fully hear that second part of that question. Did you?

Panos Kakoullis

CFO & Executive Director

No.

David Warren Arthur East

CEO & Executive Director

Let's do the EFH one. I mean, broadly, Nick, yes, we, at the same time, gave a rule of thumb that said approximately GBP 30 million for 1%. And if we are around about 60% to 65% for somewhere between 60% and 70% for the year as a whole. Then the extra sort of 15% gives us an extra GBP 450 million, which broadly puts us into the zone. So I don't think we're sort of too far out. Obviously, there's been -- since we made that comment, there's been a huge number of puts and takes and changes in the boundary conditions around there. But yes, I think if you peer at those numbers, you can still see it.

Panos Kakoullis

CFO & Executive Director

I guess, the bit I'd add on that -- but lots of things have changed since then. We talked about some of the other risks and challenges. We'll give guidance on '23 when we get that.

David Warren Arthur East

CEO & Executive Director

Absolutely. Nick, is there any chance you could sort of repeat the China bit?

Nick Cunningham

Agency Partners LLP

Yes, sorry. What I was saying was that there's clearly increasing geopolitical risk around China, around supply chain end market demand, trapped -- potential trapped assets [indiscernible] in Russia. Is there anything that Rolls-Royce can do to manage that risk, perhaps not in the near-term, but in the medium-term? Or is it just too big to be able to manage that.

David Warren Arthur East

CEO & Executive Director

Yes. Well, look, China remains an important market for us for both Civil Aerospace and for Power Systems. And for the time being, we are continuing to do that business in China. And I see huge demand for air travel in China on wide-body jets. And I don't actually see the Chinese getting those jets from anywhere else right now other than the Western suppliers. And so the Chinese airlines remain important customers for us, I think, for the foreseeable future. Yes, there's geopolitics, which is going to happen around that. But we can only control what we can control, and that means supporting our Chinese customers.

In terms of the supply chain, then -- we totally understand that there may be some tightening of the export control sort of in regulations and what we're allowed to source from where and so on. But we aren't hugely dependent on Chinese suppliers and in most cases, we have multiple suppliers for every vital commodity that we really need or every vital part. We do have a small handful of single-source suppliers, but we're not really seeing China as a major risk there at the moment. It's [going] to be monitored. It's clearly in the discussion for us as an executive team. It's clearly in discussion for us as a Board. And I think you can rely on us behaving quite sensibly around that.

Panos Kakoullis

CFO & Executive Director

And I think just pick on that, specifically coming into this year. A lot of things changed geopolitically as we came into this year. And what we've been very active in doing and Warren talked about as an executive as a Board, making sure we properly scenario plan, and we looked at to particular new emerging risks coming into the inflation and how we were going to manage and risk manage around inflation and the other one was around China. What if there was something very dramatic on China? We're not just going to wait to react to it, what can we do now to make sure we're in the right position.

Operator

The next question comes from the line of Harry Breach from Stifel.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Yes. And I'm sorry if I've missed something as the line quality here has been a bit troublesome. Two ones, if I can. Firstly, guys, time and material, we almost don't talk about it anymore on the calls, but it more than doubled in the first half and it was more than all of your P&L aftermarket revenue growth. Yet we're still less than half below our previous 50% low below our previous sort of first half sort of peak levels in T&M. I'm just wondering if you can give us any flavor in terms of shop visit demand on that side of the business, how that's trending?

And then secondly, guys, just so returning to a popular theme of escalation. On the OE side, my understanding is that it applies to your schedules of PDPs and PUDs, right? So therefore, is going to accelerate the cash you get coming in. So you should, in fact, get on the OE side at any rate, you should be getting a benefit from timing from higher escalation rates, right? We firm cash in. Is that a correct understanding on the OE side? Or is there something I'm missing?

David Warren Arthur East

CEO & Executive Director

Yes. We were able to look at the detail on T&M just then.

Panos Kakoullis

CFO & Executive Director

Yes. And the interaction that's going on T&M. So -- and I think you're probably looking at one of the notes in the accounts around things that are a point in time as opposed to over time. Within T&M, there will be pure T&M that you're referring to, but there will also be elements that are covered under our long-term service agreements that aren't within the scope of that. So there'll be some parts, for example, that end up being within that. Going forward, we see sort of T&M being as we get to a more normalized level, it's still around about from the Civil Aerospace perspective, think of it as around 20% of the business. When we're at the levels now and as we're going through that recovery, you can get some of the distortions that you're talking about.

David Warren Arthur East

CEO & Executive Director

Yes. And the escalation clauses on OE and the timing. I think this is a variation on the very first question, actually, about the timing of us getting cash payments and escalation and the costs coming out later. And it's the same answer. We've managed the contracts. Obviously, it's good to be able to enforce escalation and then we have to manage the cost side of the equation. And we -- that's what we're doing, and that's what we've described. And if we can tilt that balance so that the customer and the supplier piece is in our favor, and we can do that in a win-win way with our suppliers, then that's good news, and that's what we're setting out to do..

Operator

Now we're going to take our last question. And the last question comes from the line of Zafar Khan from Societe Generale.

Zafar Khan

Societe Generale Cross Asset Research

Good morning, everyone. I've got couple of clarification questions, please, and then 1 on costs. Starting with the cost one. I noticed the commercial admin costs in the first half, it's up by about 15% half-on-half. Just wondered if there was some one-off in there? Or it's just as business resumes and starts to take off, the cost inflation then comes in.

And then the 2 clarifications, please. Just on the indexation, I imagine there must be a cap in terms of how much inflation can be charged in any year and then there's kind of acts of god. And with inflation running at 9%, 10%, will you have to bear quite a bit of that increase yourselves because I imagine you'll have to share the pain with the customers. And then just a clarification on the cash and shop visits. I

think in answer to David's question, Panos, you were saying that you expect a lot more shop visits and therefore, that should help the LTSA cash inflow. I'm getting confused here. I was under the impression that shop visits means you can recognize revenue, which is basically a P&L item. But if you're doing the work, then you're incurring cash costs, so more shop visits that you have, okay, benefits the P&L but it's negative for cash flow. So just need a clarification on that, please.

Panos Kakoullis

CFO & Executive Director

Sure. Let me pick -- I can pick up all 3 of those. So I think you talked about the C&A growth around about 16%. There is an element that's effectively underlying growth of the businesses as in fulfilling on the Power Systems side, that sort of growth? And then a Civil Aerospace picks up, you have also -- you're anniversary-ing a one-off 2. So in last year's comparative, we have got a benefit of furlough for part of the period. So that as we get into the full year, you should see a more normalized level of growth. In terms of indexation, I think there was a question earlier on similar sort of theme. It's not a cap, it's a color. So up to a certain level, we can pass it on. Then there's a color of a couple -- 2 or 3 percentage points that we can't pass on. And then beyond that, what's called effectively a hyperinflationary clause kicks in, which means we can pass on again. So there's not a ceiling on this. You're bound to have customer discussions around how that is going to be enforced and how it works.

What's going to be important for us is, we apply rigorous commercial discipline in having those in having those discussions. The point I was making on your final question was, I think, because David was asking how much is that LTSA creditor going to grow? And what causes it to grow is engine flying hours, cash comes in. What causes it to shrink is shop visits happening. Because as the shop visit happens, it comes out of that and goes into revenue in the P&L. So that's -- that's -- I was -- when David was asking me how much is it going to grow by? Engine flying hours cause it to go up, shop visits cause it to go down a bit. That's how I would read. In terms of what that means from a cash perspective, if you think about it from a P&L perspective, the costs that go with the shop visit would similarly go into the P&L at the same time. So you'd see the revenue and the cost to do with the shop visit going through the P&L. That turns into operating profit from -- in terms of the start of your bridge from operating profit to free cash flow.

David Warren Arthur East

CEO & Executive Director

And I'm being told there are no further questions. So just to quickly summarize, the message that we've been talking about this morning is one of good progress. And we measure good progress by growth in revenue, growth in orders, big swing around in cash driven by a strong recovery coming through now in Commercial Aerospace, driven by continued strength and record orders in our Power Systems business, and good visibility on Defense. We've also talked a lot about the operational challenges that we are seeing, just the same as everybody else and just the same as we've been talking about. But we're doing a lot of blocking and tackling. We're doing a lot of anticipation and put a lot of long-term protection in to ensure both supply and protection against inflation. And taken together, that progress, combined with the discipline, the operational discipline, commercial discipline, protecting us against those external pressures is what's enabling us to maintain our guidance. And yesterday, we announced completion of the conditions or the final approval, regulatory approval for the ITP transaction. And so we're delivering on that commitment of strengthening up the balance sheet, and we'll be paying down that debt just as soon as we get the proceeds. So that's it. That's the summary of the message. And thank you all very much for joining us.

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Rolls-Royce Holdings plc LSE:RR. Special Call

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Presentation

Rachel Walker

Good morning, everyone, and welcome to our Civil Aerospace Investor Day here in Derby. We are delighted to have so many of you here in the room with us in person today, and also joining us online on our webcast. My name is Rachel Walker. I'm the Senior Vice President for Services Systems. What that basically means is I'm in charge of delivering a world-class operating system for our services business through things like our intelligent engine, which I'll be telling you a bit more about this afternoon. But for now, I'm going to let you know what's in store for you all today.

So we want to start the morning with a presentation of our key value drivers and we'll explain how we expect those to translate into improved performance over the next couple of years., We have around 40 minutes for Q&A following the presentation. And at that point, we will need to draw the live feed online to a close. But for those of you still in the room, there'll be plenty of opportunity for further discussion with our colleagues, both through the launch and throughout the afternoon.

This afternoon, we're going to be taking you on a tour of our civil business. There will be 4 tours in total. One with my team and I of our services business. We'll have one with our finance team with our Civil CFO, Arvind Balan and his team. So we've got the opportunity to delve further into some of the financial details. And we'll have two tours of operations; one of our production test facility, which will be hosted by our EVP for Civil operations, Andy Greasley and one of our turbine blade facility, which will be hosted by our EVP for turbines, Gareth Hedicker.

So [William] to get you back from the tours at 3:30 so that you can collect all of your belongings. Unfortunately, we won't be able to do a live stream of the tours today, but we will be videoing some of the best bits and make sure that, that's available online for any of you joining us virtually today.

So I will be giving you some more details of the tour just before we break for lunch. So enjoy the presentation. But just before I hand over to our CEO, Warren East, I need to tell you that there are forward-looking statements in our presentations today that have some risks and uncertainties. So as such, our actual results may differ from our expectations, but you will find all the usual full disclaimers in the presentation packs today.

So that's it for me for now. I'm going to hand you over to Warren East. Thank you.

David Warren Arthur East *CEO & Executive Director*

Thanks very much, Rachel. And thank you very much, everybody, for making the journey this morning, and you're in for a good day, I promise you. You're quite used to hearing from me and from Panos about the great market position and opportunity that we have in our Civil Aerospace business. You're used to hearing from me about the great engineering and technology that sits behind it. And you will probably [bored silly] with hearing from me about the efforts that we've been making to improve our business, the resilience and the operational leverage and so on, that is leading to increased profit as we look forward.

We want you to go away from today having met the people behind all that, understanding why our business is more resilient, understanding the quality of that operational gearing and the strength and resilience of the team behind that. And so I knit forward, you're not actually going to hear any of that from me. You're going to hear it from the people that actually do the business.

So the team is led by Chris and Chris will be up here in a moment, and he runs our Civil Aerospace business. You'll be hearing from Arvind, our CFO in Civil. We'll be hearing from Dominic, who runs our services business, and Sebastian, who masterminds the operation. Now those four presenters are a balanced team in themselves, both Dominic and Chris have been with Rolls-Royce for many years. And so they bring a huge amount of experience, customer knowledge, customer relationships and a deep understanding of the products that they're dealing with.

That's balanced with Arvind and Sebastian who've been with us who are relatively new and bring a wealth of outside-in experience outside in perspective to this team. Of course, you're only going to hear from four presenters this morning, but the rest of the Civil leadership team is shown here on the bottom of the slide, and the team, I'm not going to make them stand up now because we'll be here all morning on introductions. But the Civil leadership team has scattered amongst the room.

And you'll also be hearing if we move on to the next slide, as you go on the tours, you'll be meeting a bunch of the people that sit behind that leadership team and make it happen. So I hope you have a good day, and I hope you go away with a real feeling and understanding of the strength of our Civil business. Over to Chris.

Chris Cholerton

President of Civil Aerospace

Well, thank you, Warren, and good morning, everyone, and welcome to the heart of our Civil Aerospace business. I, too, am delighted you're here to join us today. And I hope on the tours, people will be sharing with you all that's been done to drive change in the business and to make the business stronger, leaner, more simple and more efficient. And after a few very challenging years, I believe, now very well placed to prosper as our market recovers. So when you go around the facilities, you will, of course, see the drivers of value in action. But I also hope that you feel the pride, the passion, the care for the company and see the expertise of the people who are doing the work because we do have great people.

And they do important work, just a thought to have in your minds through the day, a Rolls-Royce Civil Aerospace powered aircraft takes off about every 20 seconds. And those trips are connecting societies, connecting businesses, driving economic growth. So what we do has real purpose and importance.

So as mentioned by Rachel, you're going to hear a lot about services, about operations and about the financial outlook, in a bit more detail than we gave yesterday. But let me start with a summary of our strengths and priorities.

So why am I confident in our ability to deliver results? Really, four key strengths I want you to have in your minds. We have leading products in growing markets. Clearly, our core markets are the wide-body aircraft market and the top end of the business aviation market, both are attractive, both are growing, and we have a large share in both. And consistent investment over many years in growing that installed base has delivered a large embedded value. And now is the time from the actions were described to release that value, and a few of the levers there.

And when we put an engine on aircraft, we capture, through its life, about 90% of the services value. We have deep customer relationships with great longevity. And as the engines mature, both industrially and technically, tremendous opportunity to take out costs and increase margins. We've had intense focus, both before the pandemic and accelerated through the pandemic in driving cost reduction, efficiency and focus on margin. And you're going to hear a lot about that has already been described. But let me just say here that I'm confident that the cost reductions we've achieved will be substantially sustainable as our load returns, and we will get that gearing that Warren mentioned. And finally and importantly, very few companies can do what we do. And we continue to invest in the technologies, which will both enable us to get greater value from our existing products, but also to shape the future in aviation.

Let's just take a look at our journey to this point because I think it's important context for the day. And there are 3 distinct phases. In the decade prior to 2018, we're investing heavily in bringing new products to market, developing those products and all the enabling technologies. We were investing in ramping up our industrial capacity with industrial output peaking in 2019. And we were growing our installed base. That actually doubled when you take the large engines and our business aviation market consideration. And you can see the market shares, there's large market shares, which I mentioned.

I started this role at the start of 2018 and as well as the operational ramp-up we're focused on, clearly we're also driving and focused on productivity and efficiency, which has been a good start for when the pandemic hit. But of course, there were 2 key headwinds which -- to our financial performance: One was the disruption we were causing with the durability issues on the Trent 1000. That disruption is now behind

us, and we've made very good progress in validating and implementing permanent fixes to those issues; and secondly, of course, the pandemic, which caused the biggest restructuring in our history. We took out some GBP 1.3 billion of cost at the group level, that value dominated by the savings we'll describe in Civil Aerospace.

So with that now behind us, I look forward with optimism. Because as our market recovers, the better operational gearing from the cost reductions we've made, we're focused on sustainable cash generation and margin expansion and some 5 key levers of value, which I would describe. And our 2024 outlook, which we gave yesterday is a reflection of that. But of course, it's not the destination, it's the next step in the journey. We will continue to improve beyond that.

Very briefly, let me just start talking about our products and its embedded value. This is a quick reminder, it's in your pre-read packs, but it just shows our product portfolio. We have a very strong position in business -- at the top end of business aviation. We're powering the flagship products with Gulfstream, with Bombardier and with Dassault with our new Pearl engine taking those positions. It's an attractive market, a buoyant market and a resilient market. In our wide-body portfolio, we power 4 of the 5 of the new widebodies, all 4 of those, which are actually in service, with 3 sole-source positions with Airbus. And we also have the leading product on the -- of the old ranges on the A330 with the Trent 700, which remains a very important product for us.

This portfolio is, I believe, very well placed to perform strongly and allow us to release significant value. Our legacy large engines are relatively young. And the most important of those, the Trent 700 is only 11 years old. It's the market-leading product on the A330. It's the most attractive to our customers. It will be the first to transition and the last to retire. And remarkably, considering it entered service in 1995, we believe still over 40% of the flying hours of that program is still to come in the future.

On our modern wide bodies, very much higher market share, powering those leading products, which I spoke about, and over 90% of the flying hour is still ahead of us. And as we mature industrially and technically and pull our value drivers I described, that's the great opportunity to release value. And in Business Aviation, it's very strong position at the top end of the market, the most valuable part of the market, still 70% of those flying hours ahead of us.

Looking now at market recovery, which will drive our profitable services growth. The freighter market has been very strong for us. And it's way above where we were in 2019, a very buoyant market. And some opportunities we have to keep our fleet flying. A good example being the passenger to freighter conversions that we're seeing on the A330s, where over 85% of the available capacity for conversions is taken by Trent 700 powered A330s. And of course, beyond this timeframe, the fantastic new opportunity that we're powering the A350 freighter, a real growth opportunity for us.

Business Aviation, I've spoken about, is already recovered in terms of flying hours and very strong market indicators. Number of billionaires continues to grow at about 8% a year, [they've virtually used] aircraft available, very high book-to-bills out of the airframers. But of course, the most important sector to us is the large passenger aircraft. And here, we've had some stumbles in the recovery and some differences around the world. Long term, that is linked to GDP growth. If I look around the world, very strong recovery so far in Europe and the U.S., encouraging indicators now in Asia Pacific, but China currently lagging with the lockdowns, which is having a near-term impact.

Growth going forward, as I said, correlates to GDP -- base -- the fundamentals are strong. When you consider only in 2018, only 4% of the world's population actually took an international flight, plenty of growth ahead of us. And we anticipate like most market commentators and based on our own fleet by fleet, customer by customer analysis that flying hours on the passenger market will recover in 2024.

So turning now to our focus on cost and the value drivers. When the pandemic started, we took tough decisions at pace and executed the largest restructuring in our history and completed ahead of schedule. And I'm proud of what we achieved in that time because it sets us up to grow again from a far stronger base.

The numbers here show what we achieved. If you compare 2019 to 2021, we took about 1/3 of the business cost base out in operating costs in headcount, including about 1/3 of management. reduced footprint in both our OE facilities and in services footprint and reduced investments, some from the natural investment cycle and some from choices made. But Importantly, it was also determined that it's not just about cutting costs, we needed to emerge with a fundamentally more efficient operating system.

And so to that end, we've tackled organizational structure, reviewed what we make ourselves and what we buy, what we do ourselves in transactional areas and what we buy. We've looked at -- we've driven process simplification, and we've driven digital enablement and digital tool sets, which have matured after many years' investment to help drive efficiency. But importantly, we've also focused on leadership and a shift in mindset and behaviors to the organization. And I think this has been a real accelerator to some of those -- some of that mindset. In particular, I'd pick out a far deeper cost consciousness in the organization, having relentlessly reviewed every flavor of cost in the business that has stuck deeply. So far higher commerciality and cost consciousness.

Very clear accountability for ownership of connecting activity to results in financial results and improvement results in the business. And after challenging norms so hard through our restructuring, and achieving those results, a greater belief that ambitious targets can be met and exceeded, and that will stick with us and be very valuable. So more to do certainly, but a deeper culture of that continuous improvement drive.

So what are the drivers of value in the business? What really matters in the business? Five themes in the next presentation, we'll give more color to these. The first is maximizing customer receipts. And clearly, the most dominant driver there is the recovery of the market, recovery of flying hours. But we also, as actions we can take in keeping our fleet flying and managing the contract extensions, the aircraft transitions that Dominic will speak a little bit more about, maximizing our flying hours.

And importantly, as we look through the life cycle, adapting our servicing -- services scope and making sure pricing truly reflects the value we bring. We're out of launch pricing phase. So frankly, we're also looking to operate with greater commercial edge.

Secondly, services cost reduction. Dominic will talk about this, and you'll see more of this in the tours, but making sure engines last longer on wing and when they do come off wing spending less money on them. Sebastian will talk about our improvements in OE margin. So driving operational efficiency, cost reductions on the product, purchasing strategy to drive reductions in what we buy. I pick up business aviation growth because we're at a point of transition from our very successful BR series of engines to the Pearl family of engines -- so we'll see a growth in those 3 new platforms, as I described, and driving cost reduction on that product is an important driver.

And finally, the investment cycle. We're entering a less intense period of new product introduction, a greater proportion of our engineering talent and horsepower being applied to engineering maturity and cost reductions. And also, driving a more capital-light approach utilizing partnerships -- facilitated by partnerships where applicable. So they are the key value drivers, and you're going to see a lot more -- see and hear a lot more about those.

So now looking to the future. This chart shows the market segments of our industry. And below the technologies which we're investing in to position ourselves to win in those market segments when opportunities arise, as we've done in Widebody and in Business Aviation and more recently in commuter and eVTOL.

So if I look at the technology strategy, 3 key pillars. Firstly, we continue to drive a step change in the efficiency of gas turbines. Gas turbines will remain hugely important in aviation. They're going to be powering long-range aircraft for decades to come. And we pursue this technology over a range of sizes. So the smaller size, we're investing in technology, which we're going to bid on the Embraer -- or bidding on the Embraer turboprop. We believe there we have a compelling proposition. And the larger size, our UltraFan technology demonstrator, which is at the heart of our strategy for future widebody and indeed any future narrowbody opportunities.

Sustainable aviation fuel is key to decarbonizing aviation. We've been running ground test and flight test to show compatibility of our engines and making very good progress. And also some of the thought leadership on -- to encourage and promote the ramp-up of SAF in the industry.

And finally, investing in the demonstration of some of the more disruptive technologies like electrification, hybrid electric and indeed hydrogen. And you'll see in our world speed record with the all-electric aircraft, you've seen our wins with vertical and others. We've also run the world's most powerful hybrid electric demonstrator. And our aim here are to capture key IP, which will position ourselves for future commercial opportunities.

So we will play a vital role in the decarbonization of our industry and see it very much as an opportunity for us. And very briefly because we like exciting pictures. Here in Derby, the world's most advanced gas turbine is in its final stages of build, and we hope to test that in the coming months. So shown here are just some of the pictures, the world's most powerful gearbox, our composite fan blade, enormous composite fan case and the core of the engine being built.

I should stress that the UltraFan technology demonstrator, yes, it can -- it positions all the technology for future large engine applications, but also has technology which can add value to our existing engines. An example being, some of it may be just composites and high-temperature technology shown in the top corner. So more to come on this on Farmborough, but we believe absolutely that we have a world-leading capability.

So to summarize the 4 key strengths of our business. We have great products on the right aircraft, huge embedded value created from many years of investment and now is the time to release that value, intense focus on cost and efficiency and expanding margins. As Warren pointed out, I've been in the business a long time, and I can very genuinely say to you that our focus and traction on cost reduction in all its flavors and the engagement of our teams in making money is the best I've seen.

We've always had great engineering talent, which leads in the future of aviation. And we're investing in the technologies that will position us to win. So overall, I'm confident that we have a stronger business, a business that will get even better and with some exciting growth opportunities ahead of us.

And with that, I'll pass it over to Dominic, who will talk to us about services. Thank you.

Dominic Horwood

Good morning, everybody. It's great to be with you today. Thank you for coming to see us. I'm going to be speaking about how we're driving improvement in our services business. We fully recognize the need to improve our financial performance. The services team is completely committed to doing this. You'll meet some of them later in the tours. You'll hear from them, you feel their passion, their excitement and their commitment to drive improvement in our business. Together, we all really do believe that this is a time for releasing, for delivering the potential of our installed fleets, as Chris has described.

I'm going to be talking about the 3 drivers of services improvement that you saw in Chris' presentation. We're going to start with maximizing services receipts. Securing the value that every engine represents and driving improvement and driving growth. We're then going to talk about how we attack cost in services and improve margins under LTSAs. There are 2 big drivers, the first is to extend time on wing, reduce the shop visit frequency, lower the cost under the curve. The second is to reduce the cost of those shop visits when, of course, they have to occur.

So let's start with maximizing services receipts. It all begins, of course, with having great engines on the right airplanes, as Chris said. And we are confident that we're going to see continuous growth of our fleet as Hugh, and who's here, continues to sail with Airbus and Boeing into the future. And we see significant growth in the Trent family fleets and in the Business Aviation family fleet. Both will grow faster than the market because of the respective position we have on the right airplanes and our market share.

Now these fleets are still young, ahead of us is so much opportunity, so much flying. You can see here that the vast majority of the flying hours for these engine programs are in the future. Now we've always had a goal of getting as much value from the engine as every engine represents in service. Building out from

our Total Care and Corporate Care services, we've now established our Care Store, which is the leading industry menu of services for customers, offering choice and flexibility. This has allowed us to capture an unparalleled quantity of flying hours across our plans with long-term service agreements.

Now it is not enough to grow fleets. It's not enough to grow market share. We want to deliver a better financial performance. So as Chris said, the services team and Hugh and his customer team are absolutely totally focused on getting better commercial outcomes and driving the right pricing solutions. As our fleets mature, as we move decisively beyond the launch phases, as we reach the first renewals of some of those early contracts, we see opportunity to drive that together. Of course, all of this has to be done while supporting our customers. That, in the end, is the core of any services business.

Now it may surprise some of you to see that our expectation is to see 40% of the future of the Trent 700 fleet is ahead of us, as Chris described. I'd like to talk a little bit more about that. I would hope if you ask anybody in our industry, they will say the best engine on the A330 is the Trent 700. It is also the youngest engine on that aircraft. That's because of the market share we had towards the latter stages of the production of the aircraft.

Airlines still like A330s. We are being successful at extending TotalCare contracts. The A330 represents a different economic solution to a new airplane, but it is still one that works, particularly for young airplanes. Of course, we reached a point where we need to work with the airline to transition an airplane, often when the airplane is a leased airplane reaching the end of the lease. And we're getting better and better at working with our leasing partners at transitioning airplanes, and we've transitioned more than 200 A330s so far.

What's new in this market is passenger to freighter conversions. We've seen a significant increase in the available slots to convert A330s, and they make good freighters. We expect to see 300 slots made available by the end of this decade. So far, of the aircraft that have been selected to put into a slot, the Trent 700 powers 80% of those aircraft. Again, the Trent 700 is the engine people want on their future A330s. This is why we believe the Trent 700 will remain a strong foundation for the large engine business. And this is why the shop visit quantities of Trent 700s, the revenue and the profitability will continue for us.

Now of course, all of these efforts, growing fleets, keeping engines earning, it's all about getting airplanes to fly. Our business model relies on airplanes flying. It's driven, of course, by engine flying hours. Engine flying hours drive our services receipts. We know that as the COVID restrictions reduce, we will see increasing flying hours across the world. We see that today in Asia, in Europe and in the U.S. The China, of course, is a notable exception at the moment given the restrictions they're still under. We expect to see progressive growth of flying hours out into the medium term.

Now when routes open up, we are seeing pent-up demand, which gives us even more confidence that we will see the flying hours return. Flying hours drives engines to shop visits, and it is the new generation Trents reaching their first refurb that will drive the growth in shop visits and the recovery. And by 2024, we expect -- sorry, by 2023, we expect to get back to the same amount of shop visits in larger engines as we had in 2019.

Business Aviation, reasonably stable. We are going to see a drop in regional aircraft shop visits, but actually, we knew that before COVID. It's driven by the retirements of the U.S. regional fleets, most notably the Embraer 145. This is the fuel of the growth of our business that Arvind will be talking about later.

So that gives you a view of what we're doing to drive maximize service receipts. But top line growth is not enough. We've got to drive to improve margins through attacking cost. The very best way of attacking cost in long-term service agreements is to push the time on wing extend the period where the engine stays on the airplane, reduce the frequency of shop visit costs.

Time on wing is improving across all of the new generation Trents. If we take the Trent XWB-84 as our example, we've already achieved the level that we set ourselves in our business. We have plans to go beyond that level, and we won't stop. As we've shown on the Trent 700 over its life, we will continuously

improve. Every day is truly a learning opportunity to get more from these engines, and they remain very, very young.

The Trent XWB-84 is a much more reliable engine as well, whether it's delays and cancellations that you as passengers may experience or it is in-flight shutdowns, of course, more severe, we see a dramatic improvement in reliability. Bring all this together and the average time on wing improvement across the new generation Trent fleets is going to be 40% by 2025. And that is what the whole of the services team is driving for.

So how do we draw him on wing? Well, it starts with product improvements, improving the design of the components working with Simon Burr, making the engines fundamentally better. The most notable example, of course, is the HP turbine blade and you'll hear more about that in the turn. We can also do analysis, work with our regulators and push out the relatively conservative positions we took at the beginning of the programs on life-limited parts.

We can also test engines beyond the point they were tested in the original certification, explore the boundaries of the capability of the engine and demonstrate again to ourselves first, our customers and our regulators that the engine can tolerate higher temperatures for longer.

Lastly, we need to work with our customers, work with the pilots of the airlines and make sure they're operating the engine as well as possible to get the best possible time on wing. The great thing about our services, TotalCare, CorporateCare is that airlines want the same as us. They want the engine to stay on wing. We are aligned in our incentives. It's a very powerful part of our service business model.

It may surprise you perhaps to know that it's really important to keep engines clean. A clean engine is an efficient engine, and efficient engine runs cooler, a cool engine will last longer on wing. You're going to see some of these new technologies in the tour. So these are 4 things we're doing to drive time on wing.

Perhaps the most exciting development of technology is the use of new digital capabilities, analytics, big data, twins, artificial intelligence to drive our thinking to give us insights on how to improve time on wing. Imagine if you like, that when we deliver an engine, we're not just delivering a physical product, we're rolling out a digital connection, a thread between us and the airline, us and the airplane. Down that thread is flowing terabytes of data, and it's getting more rich in its use all the time. We're using this data to give us unique insights to life of a particular engine, to life of a specific part within the engine.

This is advancing at a tremendous pace. We haven't been able to do these things before. It is definitely giving us an advantage on these new generation Trent engines. We call this the intelligent engine. Rachel leads that work, and you'll be hearing more about that in the tour later.

Now once you've really driven time on wing as much as possible, you do each shop visit, you've got to get the cost out of that shop visit. Taking our example again of the Trent XWB-84, we've taken 40% out of the shop visit cost in 2 years. We've gone fast down that maturity curve. We've done just over 100 of these first refurbishments. Now we won't keep up that pace, of course, but we will keep learning. The fleet remains young. 80% of the Trent XWB-84s we delivered have not even reached first shop visit, let alone the ones to be delivered in the future. Every shop visit we do truly is a learning opportunity. And we're applying this to all of the new generation Trents.

Again, we know the levers to pull. It starts with working out how to overhaul the engine, how to apply the lean thinking that Sebastian will be talking about to get the labor cost out to speed up the overhaul and there are new techniques that we're using to do that. But again, you're going to hear more about from the team. They're really excited about what they're doing.

You do ultimately get to the point, you must focus on the parts and the materials that we're using. The best thing to do is simply to reuse the parts. As we learn more about the engines, we can reuse parts more often. Ultimately, you can't just reuse the part. You have to do something. But before you throw it away, really should strive to repair it as much as possible. Repair generally is economically more effective, and we can apply a lot of learning from the Trent program to these new engines to accelerate and drive repairs.

What's also exciting is new technology like additive manufacturing, 3D printing to bring new types of repairs into the business. All of this is helping us drive down the cost of the shop visits. The intelligent engine comes in here, too. All of that data coming from the airplane helping us to predict what we need to do when the engine reaches the shop. But it's also the data from the shop itself, everything they're seeing, feeling inside the engine, pictures, information helping us to judge how to improve shop visit cost in the future.

So we're absolutely determined to pull on these levers, but we must also work closely with Sebastian because ultimately, we do have new parts going into these refurbishments and we need Sebastian to drive down the cost of those as he's going to talk about later.

So I hope this gives you a quick but powerful feeling that we're really trying to pull on these drivers that Chris described. Maximize services receipts to capture the services value that an engine represents and to drive the growth, fuel the growth that Arvind will be talking about in our outlook. Then driving margin improvement by extending time on wing, reducing the number of shop visits, but when they occur, really driving down the shop visit cost. The services team are excited, passionate, committed to do this. And we really have got a relentless focus. And I share what Chris said, I've been here a long time, too. I think what we have created as a culture and a focus is really the best it's ever been in this regard. Thank you.

Sebastian Resch

Thanks, Dominic, and great energy in the room, by the way. And I'm looking forward to see the shiny eyes as soon as you see the engines. I'm certainly energized to talk about operations and more energized even to talk about the improvements which we have done. So operations in Rolls-Royce, what is operations? That's basically make and buy of parts, modules and whole engines and basically both for the OE customer, for the airframer and it's for the aftermarket. But you might not appreciate the majority of the make parts and defense is also done by Civil Aerospace.

So the ratio between make and buy is very important for us, and we continuously improve it. If you look to an engine, roughly 30,000 parts need to come all together in the assembly and test line. And from a value perspective, 25%, we are making on our own footprint and 75%, we are buying in our supply chain or with our risk and revenue sharing partners.

One of the core make commodities is turbines. It's quite exciting. I was running that business for some of our peers 5 years long and this turbine technology, this is a 97K turbine plate HP1, very very potent, and it's cutting-edge technology and when I say cutting-edge technology, this blade is running constantly at a temperature above melting point of the metal. It's producing energy and power, more horsepower than a Formula 1 car. And that is only possible because of cutting-edge technology, that means single crystal, casting, advanced cooling, advanced coating. That's what we are doing in turbines. And it's very important, as Dominic said, it's very important for service, for shop visit cost, for time on wing, very important. And it's a very challenging supply chain, by the way, I can tell.

You might have read a Bloomberg article about short force, a recent article about short force in delivery on the narrowbody and long [indiscernible] engine. But the root cause of that article, casting of metal, right? And we are very proud and very privileged that we have invested heavily into that capability end-to-end, which only can do a handful of people in the past and now harvesting that in the future and having more resilience in our supply chain.

So that's quickly an overview about what operations is. More importantly, let's talk about what we have done and even more importantly, the appetite going forward to do more. And basically, I will divide my section, again, in make and buy. On the make side, it is a structural cost out. The sustainable cost out, cost out on the make side when we're making parts, costs which are not coming back when volume is rising. And the second piece will be all about buying and getting the value, the well-deserved value as a company out of our supply chain. Hope that makes sense so far. So let's have a look where all and a lot comes together.

It's the OE margin of widebody engines, which we are building. And clearly, it's in our industry, one of our business models that we are losing money at the beginning and then generating cash and make money

in the aftermarket. We will and we are changing that game. And that's actually what you see on that slide because despite the fact that the volumes on the OE side have been reduced by roughly 50% in the last 2 to 3 years, we have reduced the OE losses by more than 30%. It's quite powerful, more than 30%, if you're losing 50% of the volume. If you add spare parts to that basket, we will breakeven even in this year. And that is super important and was only possible with rigorous cost management and unique cost management in the whole organization. But it's not only important for OE margins. It's also really, really the foundation that Dominic and his team in service can be successful because a lot of that cost out also contributes in the aftermarket.

So how have we done that? Let's go first of all into the make side of business, so making parts. The best way to describe how we have improved efficiency and effectiveness, but also productivity in operations is this chart. And what it basically is, is you take your operating cost and divide operating cost by volume. That's what this is. We talk about cost rate. That's basically the average cost rate in our domestic footprint.

And what you see here is quite an amazing picture. What you can see here is that we have already achieved pre-COVID cost rates in our factories, despite the fact that we have still 30% less load. So what we have done is we have broken the link between volumes and costs. So you might wonder, okay, Sebastian, how have we done it? We have done that through a new operating model, more centralized, leaner and being able to be more agile in our decision-making. We have done that through a rigorous focus on indirect variable cost.

We also have invested heavily in lean. I started my career as a lean consultant, so I'm really passionate about lean. And I can say we have invested in lean and see now the great results, results which you see on the slide and results, which you can see, feel during the shop tour. Because shiny eyes because we have the greatest engines is nice, but now we have people getting shiny eyes because of cost out, because things are leaner, because things are working in a different way.

And last but not least, the whole consolidation, which Chris already mentioned, was a significant contributor to the slide, what I've showed you, breaking the link between volumes and costs. Let me give you 2 evidence points, and you will see much more evidence points during the tour. First one is on the indirect variable costs. You see 2x 15% cost out. The first one is consumables. It's very important. It's a cost -- one of the cost drivers in operations is consumables. And formally, we have bought that with 100 to 200, depending on the commodity suppliers. And now we are using integrators. Integrators who help us to consolidate that volume, and so we can leverage buying power through different industries.

The second example is I talked about the small turbine blade, right? Let's talk about the big blade, the fan blade at the front of the engine. You will see it later. And shipping these fan blades, it's very, very expensive, very expensive. And what we have done is, basically, we have done -- we have applied a better planning for our logistics, and we have developed new transport solutions. And frankly, we have just copied with pride because in service, we have done that for years. And now this new transport solution gives us 5 million benefit. Only this transport solution gives us 5 million benefit per year going forward. Also that shows the new cost culture, getting things scaled up, copy with pride using the power of the group.

And the last example, I think the most powerful way of telling that story is just to do it afterwards because it's about the consolidation. Formerly, we had 3 assembly and test sites, one in Germany in Dallwitz, one in Singapore, and one in Derby in the U.K. Now we have one center of excellence where we will visit that center of excellence in the afternoon. And this center of excellence gives us a lot of operating cost benefits because of that consolidation.

So I talked about make. Let's now come to the buy part. The best way to describe how we are getting more value out of our supply chain is simply that we are now using the best suppliers in the world. We have started 3 years ago, a journey which is called high-performance supplier group, so best suppliers in their commodity. And this class leading suppliers, they are best with regards to quality, cost and delivery. And we have more than doubled that sourcing at the class leading suppliers over the course of the last 3 years. This will give us a lot of benefits commercially but also frankly, it will give us more resilience, which is really important.

You can see some of that is externally recognized with the Financial Times headline. For me, it's important that sometimes it is misunderstood. Okay, Rolls Royce is stopping collaborating with suppliers? No, it's more the other way around. Working with high-performance suppliers, what it really means is a next level of collaborations and the next level of trust between a supplier and a customer because it is a partnership. And I think that is really important.

So how have we done that? Again, a couple of evidence points and more on the tour. First of all, through consolidation, as I mentioned, rigorous digitalization and investment into our people, procurement excellence, and last but not least, I want to talk about resilience. So let me give you again 2 evidence points. The first evidence point is, again, the consolidation. The [Beach] conference, the Pearl 700 precision machining conference, that is a nice example of describing how we are doing that. So we entered that conference with 14 suppliers. And we ended up in that conference with four suppliers, four leading suppliers, class-leading suppliers who are giving, going forward, us a lot of benefits. And you see 3.2 billion is now the sourcing volume with these class leading suppliers.

The second example is the digitalization of supply chain, end-to-end, which really means, in this example, more than 4,000 contracts are now digitalized. And with intelligent tools, we avoid contract leakage. Basically, understanding what the fair value is what we deserve. I can't talk about supply chain management and procurement in these days without covering resilience. We all know these days, there is quite some supply chain disruption. And this supply chain disruption, we believe with consolidating to the high-performance suppliers, we are managing quite well and discuss it's resilience. But also, our financial exposure is something we have done our homework.

We have put several long-term agreements in place. The majority of our contracts have flat pricing -- of our top value contracts have flat pricing. Of the remaining contracts, we are using indices. And the majority of these indices are kept, and they are using the same indices we are using on the customer side, and they flex quite nicely and give us even an advantage. Also on the hedging of material, I think we have done our homework. The majority of our material, we hedge. And we not only hedge for ourselves, we also hedge it for our suppliers because we are having a directed buy model, which is using the Rolls-Royce buying power.

Let me summarize quickly what I said. I talked about the changing game on OE margin, how we have reduced the OE losses by 30% despite the effect of 50% reduction of load. I talked about how we have broken the link between volumes and load. And last but not least, I talked about on the buy side, how we have restructured the supply chain. And with this new civil and new civil operations and having the appetite for improving, improving and improving, that's the lean mindset, which we now have. I'm very, very confident that we are ready for the ramp-up, which is ahead of us.

And with that, I hand over to Arvind to give us more details on the financial outlook.

Unknown Executive

Thank you, Sebastian. Hi, everyone. My name is Arvind. I'm the CFO for Civil Aerospace. I've been in the role for 5 fascinating months. So with that immense depth of experience, I'll be telling you the financial story today. I've got to do the clicking myself. All right.

I tried to think of our business as in value drivers, in metrics as blocks of value. It helps to understand it better, it helps to manage it better and explain it better. So I'm going to use that framework, but I'll maybe just take you through the framework to start with. On the top, we have operational inputs. These matter to us, we track them. OE deliveries is where we spend our money and we create assets and these assets, we put them in the sky and they fly around. And they're backed by engine flying hours. The longer they fly, the more flying hours we have, the greater our cash is.

You put enough flying hours behind that asset, you get a shop visit. And that's where all this cash turns into profit for us, roughly speaking. So I'd like to -- I think of my business as in value drivers of OE, services and investments. OE is about cost management, productivity, efficiency. We spend money there, we break even on OE. And then services is about time on wing. It's also about cost, but it's about

collecting that cash in at the right time and turning that cash into profit. So we are an aftermarket business. That's where we make our money.

And then the third value driver is investments. As a CFO, you'd expect me to talk about that. That's how we spend our capital and how we make sure that we spend it really wisely. These value drivers manifest themselves in what you see in the last line, and that's the outlook we put out, revenue, operating margin and cash flow. So I'll be talking about revenue, operating margin and cash flow as building blocks today, and I'll be sort of dipping into the value drivers.

So let's get on with it. The first one, revenue OE. We see OE growth at mid-teens CAGR over the medium term. Most of that is driven by the Airbus programs and by some return of the 787 production. We see really good growth on Business Aviation. Business Aviation, OE growth, especially with the new Pearl family is expected to grow faster than widebody. And so our outlook on revenue on OE is low teens CAGR, and most of that is because of the mix, which you can see on the little donuts. It's a higher proportion of business aviation in that mix.

The second building block, revenue services. We see services volume over the midterm, grow at low double-digit CAGR. We're seeing a lot of engines come back into the shop after COVID. And we're seeing a greater proportion of major refurb. It's in the region of about 20%, 1/3 in the medium term in the outlook period. And so what we see on services revenue is a growth of high single-digit CAGR. You put the 2 together and overall in revenue, driven by volume growth, driven by growth in wide-body and business aviation, our outlook is low double-digit CAGR on revenue. There's an impact of mix. There are headwinds. There are a few tailwinds as well, but that's where we expect to be in the next few years.

The next building block we spoke about is margin. Now I admit when I came into Civil Aerospace, we were very much as a business on a journey over the last few years, our focus was on market share. We were a market share business, and Chris has talked about on the segments that we are in, how high our market share is. But we've made a conscious change to focus on profitability as well because that matters, too. That's normal. Many businesses go through this evolution. And so we haven't been great on margin than on profit in the past. But that's definitely not where we want to be in the future. Our outlook is that in the medium term, will be at high single-digit margins in our business. And we would try to show you the breakup of where that comes. A big chunk of it, of course, comes from shop visits, shop volumes. Dominic talked about all the amazing things that are being done in that space.

You see a little blue sliver, and that's a great story. We make some money. We make some margin on OE. We don't lose money on OE, this is OE with spare engines -- OE and the spare engines contributes to our profit picture. We've also reduced our overhead since 2019. We spent about GBP 1 billion in 2019. We've reduced it by 1/3. I've spent a lot of my time in large industrial companies to take overheads out by a third, I have very, very rarely seen. We need to take a step, we need to pause and just think about it. That is a huge chunk of change to take out of a business, and it comes with discipline. It comes with the management focus because that's structural takeout, that cost won't come back. That's footprint that's gone out, that people that's gone out.

And then the last driver is lower R&D spend. R&D spend will be in the region of 5% of sales going forward. And the combination of these factors makes our margin where it is high single digit. If you said, is that enough Arvind, I'd say they're definitely not enough. We have a much greater ambitions than that. But I'm happy that in the medium term we would be at this point, but there's a lot more juice. There's a lot more things to squeeze. The cost journey is very much in its evolution. We know how to take costs out. We've got the governance, the infrastructure, the metrics, the KPIs, the internal cadence, and it's about keeping that focus and growing on that journey. The same with OE margin. Dominic talked about shop visits. This is a good place to be. We're in the foothills of much better profitability with the medium-term single high digit.

And then we go into the last block, which is cash flow. And the first bit on cash flow is how we spend our investments. I joined Rolls-Royce from Shell, which is a company that used to spend a lot of money. And there's one thing that I've learnt -- two things, actually, that I've learnt about investments. One, always get your capital allocation right, but two, that's the hard one, don't spend money at the bottom of the

cycle when you shouldn't. It's very, very important for us as a business that we're disciplined about our capital, and that we sweat the capital that we've already spent, we need to make sure it returns.

So we've come off a peak as you see there on the slide, we come off a peak of very large capital spend. And it's important that we're disciplined now and focused on getting the value from that capital. So I believe our investments are at the right level today and they ought to be in this place.

When I looked at where our investments are going. Back in 2019, more than half of our investments was on what we call NPI, new product introductions, new stuff, and maybe a quarter on time on wing. In the medium term, we're looking at more than 60% of our capital spent on time on wing. And what that means is our capital allocation now is well aligned with our corporate strategy which is our capital allocation will drive and maximize value from our installed base. And I think this is a great story going forward.

The other part of cash, engine flying hours. Now I don't have a crystal ball, but we believe that in the next couple of years, flying out should be back at 2019 levels. So our outlook says high teens CAGR in the medium term. Some of the flying receipts will go into aftermarket revenue and through Dominic's cost management will turn into margin. And the other part of it will sit on our balance sheet as an LTSA balance.

Now I see LTSA balance as accrued revenue. It's cash that we've gotten, we're waiting for a trigger event, a shop visit to turn that into revenue. It's a good thing. Now it can vary based on the ratio between shop visits and flying hours. And we expect through the medium term and beyond, that would be approximately a \$0.5 billion per annum of flying receipts on the balance sheet.

This is my last slide. So I'm going to recap before I get to it. There's a story here, but it's -- we're very much on a journey. And the story is good take -- cost take out. There's volume growth. There's discipline on investments. There's a better understanding of LTSA balances, but most importantly, there's a business that's gone through a very difficult time to the Trent 1000 issues, through COVID, to restructuring, to cost takeouts that has learnt and has developed the muscle to manage its finances in a better way.

We have the internal processes. We have the internal mindsets. We have the internal drive to win to get even more out of this. And so what this means from a cash point of view is we go from GBP 1.7 billion cash out in 2021 to a position in the medium term, which will comfortably exceed operating profit. We'll break even this year, maybe a bit more, but we'll be in a very comfortable cash position in the medium term. And that won't be the point at which we plateau, there will be a lot more beyond that.

Now there's one thing that I must say as a CFO when I look at this business, it's not just the quantity of cash that matters, it's the quality of that cash. And it's very important that we [dwell] with good quality cash. So what I've been telling you today as an outlook does not include concession slips, does not include deals, it doesn't include invoice discounting. This is good old clean cash. And in the teach-ins today, in the tours, we'll explain to you how we walk from profit to cash. Our commitment to you is that we will keep our focus on cash generation, but it will be good quality cash over the next few years. So thank you for listening. And I'd like to invite my colleagues back on stage for Q&A.

Question and Answer

Rachel Walker

Thank you very much Arvind, Chris, Dominic and Sebastian. So just whilst we get ready for the Q&A, a reminder for people on the webcast that if you want to send us any questions for Q&A, if you could send them to the Investor Relations e-mail address, which is investor.relations@rolls-royce.com, one of my colleagues is monitoring that inbox and will hopefully let me know nearly end if we have any questions from you.

Just to reiterate in the room, we have a relatively short Q&A time. I know we could probably spend all day in this room taking your questions, but I've not refer to get you out and see things. So we're going to have a relatively short session. Please give the microphone back to the, one of my colleagues when they pass it to you to ask your questions after you've asked it. If we can get as many questions in, I think it'll benefit everybody we can. So in the room does anybody want to put their hand up to ask a question. I think probably Table 6 was quickest on the buzzers, if someone can get a microphone to Table 6.

Nick Cunningham *Agency Partners LLP*

Nick Cunningham, Agency Partners. You've taken your charts out to 2024 when you've looked at overhauled volumes. And so clearly, what's happened in the last couple of years is that you've had low utilization and use of the installed base. And you've extended the time on wing by the work that you've done. But doesn't that mean that it's a timing issue. There's still going to be a wave of overhauls to come, they are just after 2024 now? So that's question number one. Question two, really arises from having paid 7 quids for a coffee and a bun at St Pancras this morning. Inflation is clearly a big issue. And so I think there's a lot of interest in the industry from our side, in how the pricing formulas work, both on the supply side and the customer side, how much of it you have to take particularly as it goes through different levels of inflation? That's basically it.

Chris Cholerton *President of Civil Aerospace*

Okay. Thanks. Let me start on the second question first, and then I'll ask Dominic to talk about the shop visits question. Inflation, clearly, we're not immune, obviously. But we do think, overall, we have reasonable protection. I mean, if you can break it down into a few pieces, one on sort of the operating costs and paying benefits, synergy and such like. Secondly, on the supplier contracts, as you mentioned, both OE and MRO and the customer contracts, both OE, LTSA and some time and material.

And as was mentioned, we have escalation formulae in those supply contracts and customer contracts. On the supplier side, as Sebastian said, a lot of flat pricing and some capped pricing. On the customer side, also escalation, both on OE and LTSA. And I think our pricing escalation is always at least as good as the cost escalation. And perhaps Sebastian, do you want to say a little bit more about our hedging as well because that's another aspect of the elemental and how it protects against inflation there. I think actually our biggest exposure currently is on the pay inflation. But of course, the guidance and an outlook we've given, we made that with full consideration of the inflation environment we're in.

Sebastian Resch

Yes. I start maybe with hedging. So hedging is, for us, important because roughly 30% of our spend is raw material. So elements, metal elements are very important for us to protect. The majority of our material spend on the raw material side, we have hedged for this year, we have hedged basically nearly every material over the 5-year plan. Nevertheless, over the years, it clearly also goes down. They have a tight governance. In this tight governance, what I really mean is we have a hedging committee where we discuss what we are hedged because hedging is not coming for free. So where we invest. But maybe I'll give you one specific example. Nickel, for example, is important for us.

In nickel, I think today is \$28,000 per metric ton. And what we have done is this year, 70% is hedged, 70%, so significant hedging, and we have hedged because that is important with pre-war levels. And that story is true through our whole portfolio.

Nick Cunningham
Agency Partners LLP

Thank you. Dominic on the services future?

Dominic Horwood

Yes. Thank you for the question. I think as we described, the shop visit growth over the period, I was discussing, was driven by the new generation Trents reaching their first refurb. That will continue. The fleets continue to grow, though that fleet will continue to age. It will be tempered to a degree as we look forward by improving time on weighing. That is a good thing. We will continue to see shop visit grows well into the next decade. And indeed, we'll have to keep expanding our MRO network to support that, and you'll see future announcements from us with partners to do that. So yes, some tempering of the shop visit growth because of that time on wing improvement, but it is fundamentally the growth of fleet, the growth of flying hours that continues that journey.

Rachel Walker

Thank you. Sorry, we'll move back to Table 4 before -- I know Table 6 has kept the microphone, but I'm just going to let them move around a little bit. Good try. Table 4 next question, please.

David Howard Perry
JPMorgan Chase & Co, Research Division

It's David Perry at JPMorgan. I guess my questions are both for Arvind. The first one is the journey to high single-digit EBITDA margin, can you just talk us through it? Is it linear? Is it back-end loaded? And then the second one, just following the comment, the question Nick just asked. So this LTSA cash flow of GBP 500 million a year, I think not dollars, so where does the TotalCare creditor peak on your balance sheet and in what year?

Unknown Executive

I can answer the first one relatively easily. It is pretty linear from now the high single-digit growth. Where does the creditor balance peak, again, this is subject to the shape of the curve on engine flying hours, but we expect it to peak a little after the medium-term outlook that we've given. But it's -- I must disclaim it, it's subject to the shape of the EFH recovery curve.

Rachel Walker

And just for those of us in the room to let you remind you, we do have finance as one of our tours later, so we can talk about it and quite a lot more in LTSA. For those on the web, there will be some appendices slides that go up at the end of the day, with a little bit more detail there and obviously happy to take any extra questions into the Investor Relations team for follow-ups. Hands up again for the next question. I'd like to come forward to Table 7, please.

Unknown Analyst

[Hassan] from Morgan Stanley. You guys have talked about increasing the receipts you get from your customers and reducing costs from suppliers. But some of them have been saying, taking the opposite side of the client, suggesting that they might spend less on some of their maintenance costs. What makes you think that you can take this value? Has something changed in your supplier power or bargaining power in general?

Unknown Executive

Sorry, just repeat the crux of the ...?

Unknown Analyst

The crux of the question is, you're trying to get more money in your invoices and less on your suppliers. Has something changed in your bargaining power in general?

Sebastian Resch

Its Sebastian. As has been described, the work we've done on getting the class leading suppliers and the contracts we put into the base of the purchasing strategy. And we've done a good job on securing flat pricing in a high proportion, not all, of those highest spending contracts and the ones we don't have escalation caps. But it was articulated in our pricing caps, they're at least as good as that.

Unknown Executive

Yes. So in general, because we have no narrowbody. We have some disadvantage on buying power. And we only can compensate that with consolidating our volume. That's exactly what we did, and I described, and we have more than doubled that consolidation of volume, and we are using the best suppliers. And we are partnering with them and also have installed long-term agreements. And that gives us then the advantage, and this is the value which we are now seeing.

Rachel Walker

Hands were up again. I feel I'm going to go back to Table 6 because I do feel like I slighted them slightly by steering the microphone away.

Robert Alan Stallard

Vertical Research Partners, LLC

It's Rob Stallard from Vertical Research. A couple of questions. First of all, for Arvind, this is hopefully quite a simple question. Normally, when an aerospace supplier sees OEM growing ahead of aftermarket, the margin goes down, not up. So I was wondering of what I'm missing there. Is that something to do with the Bizjet OEM or spare engines in there that are making that slightly different? And then secondly, to follow up with Sebastian on the whole inflation thing that Nick mentioned. Isn't there risk that if you're not allowing your suppliers to pass on inflation, you're financially damaging them and that you could be ending up with supplier stress down the line?

Unknown Executive

Yes. Rob, it is business aviation. Business aviation growth. Chris talked about number of billionaires. Business Aviation growth is really, really strong, and that's changing the skew and the mix.

Unknown Executive

Yes. And to the second question, so we take it clearly serious, and we are monitoring the risks which we are seeing in the supply chain continuously. We call it watch tower. We have 5 criterias how we are mapping and monitoring and controlling our suppliers continuously. We're doing that with external available data, but we also have third-party support. We have roughly 600 suppliers. And in that watch tower, we have 24 suppliers and 4 in treatment. So if I look back in the last 2, 3 years, that financial risk coming from the supply chain is manageable. But clearly, we are not immune, and our suppliers are not immune. So it is a watch area. And even more, it is important to work with the class-leading suppliers because they are much better able to deal with the headwinds which we are seeing these days.

Rachel Walker

And I think Table 4 were next in the queue.

Charles J Armitage

Citigroup Inc., Research Division

Charles Armitage at Citi. Extending the time on wing is clearly massively positive. But equally, you've also got some assumptions when you started signing of those LTSAs that you were going to extend the time on

the wing. So how -- from an external viewpoint, can we be comfortable that you are extending the time on the wing faster than you thought you were going to when you first sign those LTSAs?

Dominic Horwood

Thank you for the question. I mean I think there's obviously a spectrum of time on wing across the products. We talked about the Trent XWB-84 and the confidence we have in that and that has actually got the capable of exceeding the levels we were targeting, as I showed. You know about the situation we've had on the Trent 1000, that would obviously be an example of an engine that hasn't managed to achieve the time on wing we initially wanted. We continue to improve that to get it back to where it needs to be. So I don't want to get into individual programs, but I understand your point and our goal is to drive all of the programs to a time on wing that meets our business requirements or exceeds it.

Rachel Walker

Any more questions in the room, and then we'll check on the lines in there is any -- sorry, one over here.

Unknown Analyst

[indiscernible] Investments. What are the prospects on the 787? And what does that program look like going forward for you because you've obviously clearly got a lower market share there?

Unknown Executive

Yes, thanks. And clearly, the 787 currently got its own delivery challenges, and we continue to work very closely with Boeing and helping where we can to get that moving. And clearly, our reputation took a knock on the statement on the 787. We've worked very closely with those customers through that period or for disruption. But the way we handled it through the disruption has now at least got some credit in the way we treated customers through that period and the way we -- and our customer focus through that period. We're now in good shape. The engine, take out the particular issues we have, is no different in its reliable statistics and [job statistics] and any of reliable statistics as any other Trent.

So we put a lot of money into making this engine as it should have been. And we have that -- there's closed customer relationships. So we intend to keep pushing and we know our share is low. We're not going to do anything silly, of course, on pricing to do so. But we think with the engine performing as it now does, we have opportunities still to have -- to make wins. I mean the last win there was in Lufthansa, which is a flagship customer, and we believe we'll win again in the future.

Rachel Walker

Table 7 has a question.

Unknown Analyst

I'd just like to come back to a point Arvind mentioned about Rolls-Royce being previously market share-focused business versus now also focusing on margins. So I'd just like to get a sense of the profitability of the old programs versus the new ones and just try to understand if you guys have been very aggressive on pricing, previously? And therefore, if we should expect structurally lower margins in the long run? And also just to clarify what timeframe that you mentioned by medium term. You talked about the engines being 2030, should we understand the medium term as being 2030 as well?

Unknown Executive

So I'm not going to get drawn into buy engine program, what this means on profitability and margin. This is a mindset that I'm talking about, which is -- which in the past was about trying to get more of our engines out there at any cost. I'm not suggesting we didn't focus on profit, but it was on market share. Today, we're seeing a lot more focus. If I look at the way [indiscernible] in the room, I look at the way we do our business evaluation when we bid for deals, there's a very clear focus on profit. It's a question on, does this make sense? What's our return on sales, et cetera? And it's -- that's what I meant by the shift. It's become very important for us to recognize the value of our product and help our customers

understand the value we provide and have them pay for it as well in the most collaborative way. So it's that mindset and I wouldn't want to go into specific engine programs at this stage.

Now on your second one, I think this is a question I expect, what is medium term? And the bigger question is why don't you just put a number there and make our lives easier? And the reason is because we want to stand here today as a business and tell you that we've been on this journey, and we're really proud of where we are today, and we recognize there's a lot more to go. So we want to be transparent to you. But we also recognize that I do want to make commitments to you that I can't meet. That's not what we're about. And we live in such a volatile world. I really can't tell you where EFH will go. Dominic's talked about some of the geopolitical events in front of us.

So the reason why it sounds ambiguous there is that it's intended is because we want to tell you the journey we're on, but we can't tell you when we'll get there. I'm assuming 2, 3 years but that's as far as we can go in terms of certainty. And I'm sure you appreciate that as well.

Unknown Executive

I'll just add as a leadership team, clearly, with that view of 2 to 3 years, of course, intensely focus was on making that as early as we can, but it's around when some of the uncertainties are a little more stable.

Rachel Walker

I think we have back Table 6 again.

Aymeric Poulain

Kepler Cheuvreux, Research Division

Aymeric Poulain from Kepler Cheuvreux. Just to understand if you are back to 2019 peak engine flying hours of 15 million plus, do I understand correctly that you're targeting EBIT of more than GBP 500 million and something that is of the same magnitude for free cash flow, operating free cash flow, I mean, is that a reasonable assumption?

Unknown Executive

I mean our outlook is in the medium term, which we've just answered is of the order of 2 to 3 years, of which one of the factors is that we anticipate also then flying hours being back at 2019 levels, high single-digit margin and cash flow comfortably exceeding profit.

Rachel Walker

Sorry, I can see one of the back table, I think got the hand up first. Sorry, we'll come back to Table 6 again afterwards.

David Howard Perry

JPMorgan Chase & Co, Research Division

It's David Perry, again, if you don't mind. Just so we can understand because this whole thing of medium term, it's a bit arbitrary, I think. I mean is it medium-term and then your cruise at that level? Or is it medium term? And then this excess cash flow versus a bit falls away? And then the second one, Arvind, I know you said you didn't want to comment on programs, so maybe if I make it more high level. We're in the home of the widebody business here. I mean where is the widebody business in the medium term? Is it breakeven? Is it profitable?

Unknown Executive

David, I feel like you're asking me to tell you something I don't want to tell you. We've guided in the medium term. And you said what happens after the medium term? The whole point of being ambiguous about the medium term was because we're not sure of when we'd get there, like I said, 2, 3 years, we hope it will be in the shorter end of it. So I really don't want to be drawn about what happens to the world after that. I still maintain, we want to be transparent, but we want to make commitments that we can meet.

What happens to the widebody? We expect volume growth. But in the medium term, given it's a few years, we don't expect a significant change from the current portfolio mix that we have today. So it'll be fairly constant.

David Howard Perry

JPMorgan Chase & Co, Research Division

But profitability better.

Unknown Executive

Yes. Profitability better of course. Yes.

Unknown Executive

And in the -- this point beyond, as I said in -- when I spoke, it's not the destination, clearly, we know we need to further improve returns. And our ambition will be to approach the returns enjoyed by our competitors as our engines further mature.

Rachel Walker

And there's 2 questions waiting from Table 6, and I'm going to try and keep us on time, so that's probably going to be the last 2 questions.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

George Zhao from Bernstein. On the UltraFan, I guess what kind of assumptions on future aircraft programs, when do you need to make the business case for that program to work? And you talked about trying to get on to the narrowbody competition. But I guess what is the realistic path to get there considering the competition and exclusivity we've seen over the programs there?

Unknown Executive

Yes, I'll take that. So the UltraFan is the technology demonstrator as I described to service the future opportunities that we'll see in widebody or narrowbody, and of course, the widebody being our absolute core market. So we're -- we've chosen to invest well ahead of a market need because you need to put demonstration of technology, showing you got a ticket to the game with customers is absolutely critical. So we're pursuing the technology demonstrator. And then we'll -- just the phasing, depending on the actual reality of any market opportunity, which is going to be well into the 2030s we'd anticipate on widebody and now it is 2030s on narrowbody too. But we have to invest now and demonstrate it, want to feed the technology to our existing engines, but also because this is complex stuff and we need to understand our risks early so that we can then better adjust the phasing of investment.

Your question on narrowbody. When you've got that technology and put so much money into it, you want to [indiscernible] across the biggest possible market opportunity. And it is highly relevant to the narrow future narrowbody engine. So our ambition would be enter into narrowbody to better utilize over a wider [indiscernible] technology. The opportunity isn't there just yet. So I'll be trying when that opportunity arises, I'd anticipate running to next decade. And we'll no doubt do execute that as we have in many of our -- all our Trent programs actually in partnership, so we start to think of the sort of partnerships that might be valuable to us for that opportunity in our strategic planning. But there isn't -- it's not such in front of us just yet.

Rachel Walker

And final question to the main Q&A. Just to remind you, we do have the full Civil leadership team with us today, scattered on the tables will be around at lunch. So if you didn't get a chance to ask your question, one more last one -- sorry, last one on Table 6, and then we will -- that will be our last question for you to wrap up then, Chris.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

It's Harry Breach here from Stifel. Just 2 very simple ones. Maybe first one for Arvind. Arvind, just on the large civil engines, just to be super clear, were you saying presently large civil engine OE, including spare engine is breakeven at the operating profit level or the gross profit level? And then next one is a kind of conundrum and that I think I'm probably not the only one that has wrestled with it over time, which is trying to understand the meantime between refurbishment shop visits on large engines. Historically, Rolls used to say, well, it's between 4 to 6 years. And I could never get that to correlate with what we knew about the deliveries of large civil engines historically. Can you give us some idea of where we are now in terms of meantime between refurbishment shop visits and how you see that moving?

Unknown Executive

Shall I take the first one first. All right, I'll give you the first one. Yes, Harry, right? Did I get your name right, Harry? Yes. We expect in the medium term for large widebody engines OE to be breakeven, including spare engines.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Just to be clear. Just trying to understand that.

Unknown Executive

I'm giving you an outlook.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Including spare engines at operating profit levels?

Unknown Executive

Including spare engines at operating profit levels. Dominic?

Dominic Horwood

Okay. Thanks for the question. So we spoke earlier about the work we're doing on improving time on wing. Obviously, there's a range of operations with the airlines, different airlines fly in different ways. I think your estimation of 4 to 6 years' time on wing is broadly in the correct space as an average of the fleet and where we're driving to get the engines to in the time scale that we discussed. Obviously, on the Trent 1000, we're not at that point today. As you know, we're rolling out the modifications very successfully that will get us back to that location. So 4 to 6 years, time on wing is where we want these engines to be.

Chris Cholerton

President of Civil Aerospace

Okay. Well, thank you for your questions and your interest. I recognize there's no doubt many, many more if we could have another half hour. So of course, we are around with you over lunch and on the tours this afternoon. And that will -- they will no doubt prompt even more questions and follow-up beyond. But thanks for your attention, and we'll just break for lunch.

Rachel Walker

Okay. So yes, thank you all again for your questions. If we didn't quite manage to get to your questions today, you also have the option to post an e-mail into Isabel Green and her team. and we'll provide our contact details at the end of the presentation as well. Now we've come to the point where we now need to end our live feed. So for all of you who have joined us virtually today, I want to thank you all for listening. And please do look out for the videos of the tours that you'll be able to view on our website online next week. But for now, thank you very much.

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Rolls-Royce Holdings plc LSE:RR.

FY 2021 Earnings Call Transcripts

Thursday, February 24, 2022 8:30 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2021-			-FY 2022-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.03	0.00	▼ (100.00 %)	0.06
Revenue (mm)	11704.98	10947.00	▼ (6.48 %)	12564.30

Currency: GBP

Consensus as of Feb-14-2022 6:11 AM GMT

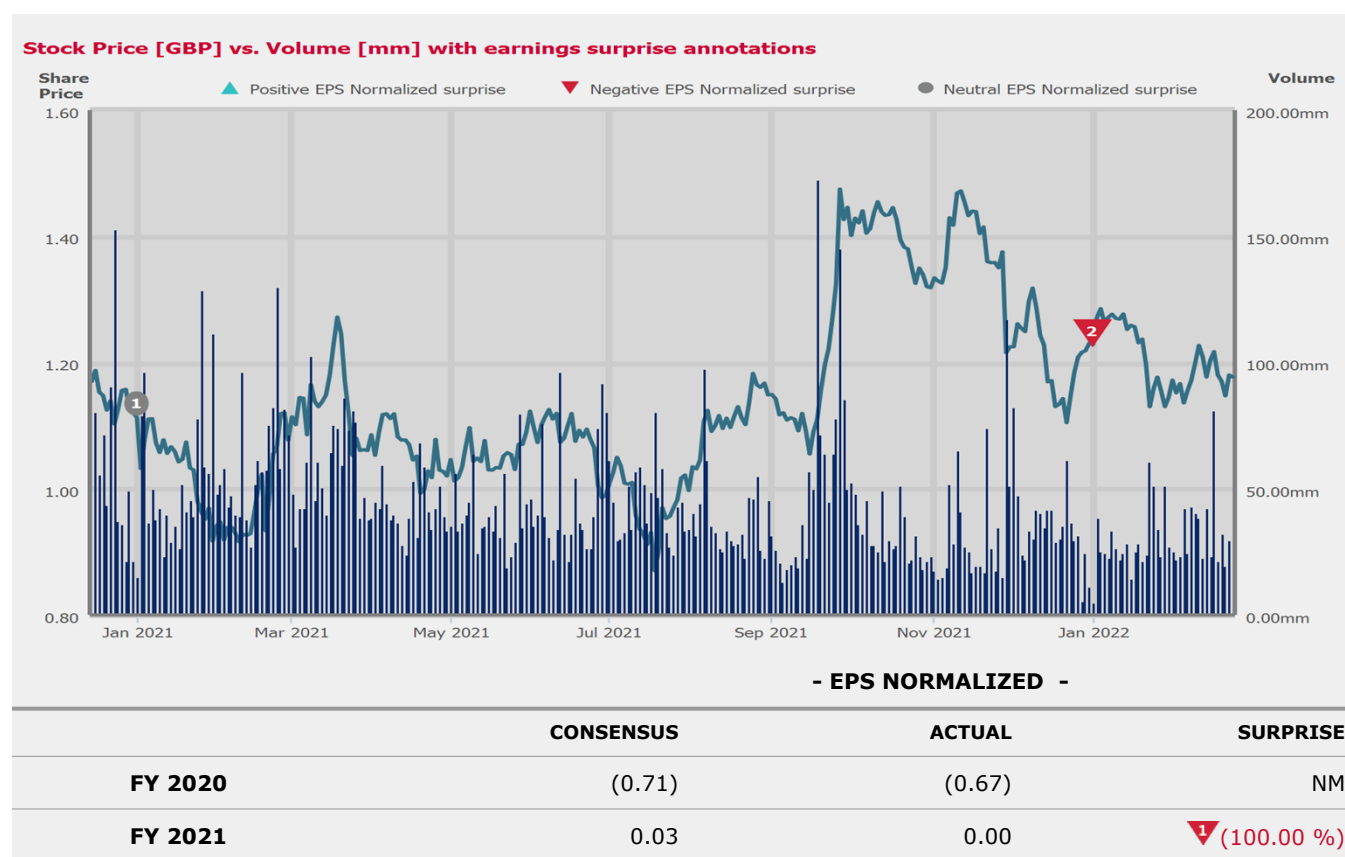


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Presentation

Isabel Green*Head of Investor Relations*

Hello, and welcome, everyone, to our 2021 full year results presentation. I'm Isabel Green, Head of Investor Relations. And I'm joined today by our Chair, Anita Frew; our CEO, Warren East; and our CFO, Panos Kakoullis.

Before we present our results, I'll hand over to Anita to say a few words on our other announcement this morning.

Anita Margaret Frew*Independent Non-Executive Chairman*

Thank you, Isabel, and good morning, everyone. You'll have seen our announcement this morning that Warren plans to step down at the end of this year. By then, Warren will have spent 9 years on the Board and almost 8 years as CEO, a relatively long tenure and a tribute to his strength and commitment.

As a result, we're now starting an open and transparent search process for Warren's successor. Warren has a real passion for the business, which engenders pride in our people and confidence amongst our stakeholders. In his time at Rolls-Royce, he's created a dramatically different business and has positioned us well to generate substantial value from the drive to net zero.

Finally, I would just like to thank Warren on behalf of the whole Board for his tremendous work. It's not over yet, though. I know that while we carry out the search for his successor, Warren will continue to lead Rolls-Royce with all the dedication he has shown throughout his time at Rolls-Royce.

I'll now hand back to Isabel to introduce today's results.

Isabel Green*Head of Investor Relations*

Thank you, Anita. Today's presentation will begin with a summary of our improving performance and an update on our commitments from Warren before handing over to panels for a more detailed review of our financial results. Warren will then conclude with an update on our ambition for sustainable growth and value creation. In all, our presentation should take around 40 minutes, leaving time at the end for Warren and Panos to take your questions.

Before we begin, please take note of the safe harbor statement on Slide 2. As always, the full set of results materials can be downloaded from the Investor Relations section of our website.

I'll now hand over to Warren.

David Warren Arthur East*CEO & Executive Director*

Thank you, and good morning, everyone, and we appreciate you joining us on what I know is a very busy day for many of you.

Now as Anita mentioned, I have decided to step down at the end of this year. I'm extremely proud of what all of us at Rolls-Royce have achieved since I joined the company. Rolls-Royce today is a culturally and strategically a very different business. We're also a completely different organization commercially and operationally, much more efficient and productive with sound operational gearing that will create value from additional growth.

I'm sure you'll see some of that in our results presentation this morning. You'll also see that we have a clear vision and direction to lead the transition to net zero, and we're already seizing opportunities with tremendous future potential. I understand no Chief Executive's job is ever really complete, but I feel

that with the advances we've made and the momentum and energy we've shown and our firmer financial foundations, now is the right time to look for the future. Now there'll be a time for reflection at a later date. Right now, as you would expect, I'm fully committed to leading the business. So let's get on, and we'll talk about that.

So let's look where we've got to and turn to the results for last year. I'd like to start by celebrating what an important year it's been for Rolls-Royce and to think about some of my own personal highlights from 2021. Now in November, I joined my colleagues at COP26. A few years ago, we wouldn't have even had Rolls-Royce at the Climate Conference. But today, our business and the future of our business is all about the energy transition.

In the picture on the left of the slide, I'm with the Nuclear for Climate team. You can see they represent the young workers of today, and they're drawn from multiple nations all working in the nuclear industry. They're all really passionate about protecting the world, their world, from the negative impacts of climate change. And they're concerned about the positive contribution that nuclear can make to the future energy mix. It was particularly encouraging to speak with them and many others at COP26 about the need for our technologies in this space and, in particular, the role for our SMRs.

Furthermore, we showcased a number of our technologies in the green zone, as you can see in the photo on the top right of the slide. Exhibits included our double world record-breaking spirit of innovation aircraft, which helped visitors to understand how we, at Rolls-Royce, can be part of the Climate Change solution. However, it's not just our new businesses that we should celebrate. Our established businesses are also driving our journey to net zero, and the image here on the bottom right shows the launch of one of our latest MTU hydrogen fuel cells in a microgrid at our facilities in Friedrichshafen. That's it being switched on for the very first time. It took 6 months for the microgrid demonstrator to go from decision to commissioning of the first MTU battery energy storage system, and that's a great example of our agility and how quickly we're delivering new solutions.

Let's move on now to our 2021 operational performance highlights. I'll begin by focusing on civil and, in particular, the restructuring program. And this was an enormous undertaking building on earlier productivity and efficiency programs. It's really transformed our Civil Aerospace business. The picture here is of programmable machine tools at our turbine blade facility in Darby. These machines have been transferred across from Crosspointe in the U.S., and they can easily switch between designs and have absolutely minimal manual oversight. This means one person can now do the work of several previously, and what used to be a time-consuming manual setup is now fast. It's largely software, creating flexibility as well as much greater throughput, and that's just one example.

Moving on in Defence. We're very proud to have been awarded B-52 engine replacement program in the U.S. This award secures new business for the coming decades after entry into service in the late 2020s, and it's a huge achievement for our Defence colleagues. And I'll talk more about Defence opportunities later in the presentation.

In Power Systems, you'll remember at the half year, we were seeing orders well ahead of the year before. And in the second half of 2021, order intake accelerated with record order intake in the fourth quarter, giving us the largest order book in Power Systems history.

Moving to the bottom of the slide. In Rolls-Royce Electrical, we're thrilled with the success of our 2 world records with the Spirit of Innovation aircraft. This demonstrates the real pace at which electrical technology is accelerating into the world of aviation and creating new opportunities. We're excited to be exploring the varied applications for air mobility.

In the middle at the bottom, in Rolls-Royce SMR, as you know, we decided some time ago focus our civil nuclear activities on SMRs, small modular reactors. In the second half of the year, we have secured U.K. government grant support alongside equity investment to progress the project to the next phase.

And last, in the bottom corner, but certainly not least, we're making good progress with disposals. Back in October 2020, we committed to undertaking a series of disposals to reshape our balance sheet. Three

of these disposals have already completed, and the sale of ITP Aero is agreed. It's announced, and it's expected to complete this year.

Let's have a look at our financial summary. We have 3 great outcomes from the progress we made in 2021. One, we have improved financial performance. Two, we're delivering on our commitments. And three, we're still investing for growth and sustainable value. Our cost reductions and market growth have helped us to return to profitability in 2021. And while we still had a cash outflow in the year, you can see from the histogram on the left of the slide, this was substantially improved from 2020 and is expected -- and is ahead of expectations.

And as mentioned in a moment ago, our restructuring program has delivered more than GBP 1.3 billion run rate savings, and our disposals are on track to achieve the total proceeds of around GBP 2 billion. Our sustained investment in research and development is enabling us to deliver market-leading technology focused on net zero. And this unlocks opportunities to deliver long-term and sustainable value in both our established businesses and the new ones that we're reporting on separately for the first time today. And our ability to maintain investment even in these difficult times is supported by a strong liquidity position with no debt maturities before 2024.

Now moving on to the next slide. I'm going to add some color on just a couple of topics. Let's start with the restructuring program. The activity here was mostly about Civil Aerospace. It was about rightsizing in the short term and then taking advantage of efficiency and productivity enhancements so that we can scale up output without a corresponding increase in operating costs. Not only have we exceeded our run rate savings target and we've removed more than 9,000 roles across the group, we have done so 1 year ahead of schedule.

Our Civil business operation is now about 1/3 smaller than it was in terms of footprint and headcount. And that makes Civil leaner, a much more efficient and productive business and one that is ready for future growth. The focus now is on ensuring that the benefits we've achieved are sustained.

Now some pictures of friendly faces. Before passing over to Panos, I'd just like to take a moment to focus on our executive team. The real breadth of experience and expertise is enhanced by these recent additions. So last May, we mentioned -- we welcomed Panos Kakoullis, our CFO, who joined us from Deloitte with over 30 years experience of managing large multinational, multidisciplinary teams helping major organizations to deliver change.

Top right on this slide, Grazia Vittadini has joined us as Chief Technology & Strategy Officer. Grazia brings to us extensive expertise in both Aerospace and the emerging and disruptive technologies from, amongst other things, her 20 years experience at Airbus laterally as their CTO.

I think it's important that a balanced team brings a combination of fresh thinking from outside the organization, but also deep knowledge from within the organization. It's important also to demonstrate to others internally that career development to the very top level is just part of how we do things around here. So in January this year, we promoted Sarah Armstrong to the role of Chief People Officer. Sarah has been with Rolls-Royce for more than 15 years, most recently as the leader of HR in our Civil Aerospace business, where she had a pivotal role in delivering that restructuring program I talked about a moment ago.

And in January, Rob Watson, President of Rolls-Royce Electrical, joined our executive team. Rob has been with us for 10 years. And over the last 4 years, he has played a fundamental role in the development of our Rolls-Royce Electrical business as we invest for a more sustainable future. We have a strong, capable and driven executive team, and I'm very confident in their ability to deliver our vision for the future.

So thank you. And now over to Panos to talk about our financial performance.

Panos Kakoullis
CFO & Executive Director

Good morning, everybody, and thank you, Warren.

We are very proud of our achievements in 2021. Against a backdrop of challenging and unpredictable market conditions, we've delivered improved financial performance that's been driven by cost reduction and market growth. Results you can see on these slides, where they're all presented on an underlying basis, and that's for the continuing businesses in the group.

Revenue that stayed steady. So it's less than 2% lower than 2020, and we've seen a much more balanced contribution from across our businesses, with Civil Aerospace now contributing around 40% of the total. Lower wide-body volumes and lower shop visits in Civil Aerospace were balanced by growth in both Defense and Power Systems.

Operating profit, that's GBP 414 million, and that's a GBP 2.5 billion improvement compared with 2020. And that reflects the significant cost savings from the restructuring program that was largely focused on Civil Aerospace. Defence performed well and more than covered its increased R&D spend.

Power Systems, that grew strongly. It benefited from recovering end markets and better utilization on the shop floor. The underlying loss of GBP 2 billion in the prior year, we had included GBP 1.3 billion of one-off charges in Civil Aerospace, and those were mostly related to the impact of COVID-19.

Free cash flow in 2021, that's an outflow of GBP 1.5 billion. But again, that was substantially improved on the prior year. We saw great progress on cost reduction, stronger operating performance included higher flying hour receipts in Civil Aerospace and much more targeted capital expenditure. The working capital outflow that you see, GBP 800 million, that was mostly driven by concession payments and lower OE deliveries in Civil Aerospace.

If you can look at the improvement on prior year, the prior year also included the non-repeat of GBP 1.1 billion negative impact from the termination of invoice factoring in 2020. On the whole, a very substantial step in the right direction on our recovery journey.

If we move on now to Civil Aerospace. The Civil Aerospace financial performance, again, significantly improved as we neared completion of our restructuring program. Gradual market recovery and the non-repeat of those COVID-related one-off charges from 2020, that also helped enhance our financial performance. Overall, revenue was down 10% on prior year. If you break that down, OE revenues were down 29%, reflecting the reduction in engine deliveries as fewer large engines were required to fulfill customer build schedules, whilst sales of spare engines where they increased.

Business Aviation OE deliveries were down as we transition to newer engine programs, which are now growing well from a low base. Services revenue was up 6% on the prior year and included GBP 214 million of positive long-term service agreement catch-ups compared with a negative catch-up of GBP 1 billion in 2020. They also reflected lower shop visit volumes and a reduced contribution from the V2500 engine program. The underlying operating loss of GBP 172 million was significantly better than the GBP 2.5 billion loss in 2020. We continue to focus very heavily on those areas that are in our control, and we're seeing sustainable cost benefits from that restructuring program.

Our trading cash outflow was GBP 1.7 billion, again, a substantial improvement from last year in 2020. That was driven by engine flying hours. They were up 11% compared with 2020. In fact, second half engine flying hours were up 57% year-on-year. As COVID vaccination programs, they enabled key routes to reopen, although they are still at reduced volumes. Lower operating costs, lower CapEx and working capital outflows in 2021 as well as the non-repeat of that invoice factoring termination in 2020 also contributed to that improvement in cash flow.

If we turn now to Defence. Our Defence business continued to perform well, with strong demand for both OE and services driving growth in all of our end markets. That's combat, transport, submarines and naval. Underlying revenue, that increased by 5% on an organic basis to GBP 3.4 billion, with services revenue up 6% and OE revenue up 3%. Underlying operating profit was GBP 457 million. That's an increase of 3% compared with 2020. It was driven by sales growth and a positive mix towards higher-margin spare parts and spare engine sales. Now that profit growth, that occurred despite a 28% increase in R&D spend. That was made to support our ongoing product development and the growth opportunities ahead of us.

Trading cash flow was GBP 377 million. That gives a cash conversion of around 80%. That's a fairly normal level for our Defence business. The prior year, that trading cash flow, that included an adverse impact from the timing of deposit receipts.

Finally, we have a strong order book in Defence that follows several years of high intake with a 5-year average book-to-bill of 1.1x and 85% order cover for 2022.

Moving on now to Power Systems. Our end markets recovered well over the course of 2021. The order intake of GBP 3.3 billion was 24% higher than the prior year with a much faster conversion seen to sales in that business than we would typically see in Defence and Civil Aerospace. Order growth was strongest in Marine, Defence and Power Generation. Underlying revenue of GBP 2.7 billion was up 3%. Services grew at 10% as product utilization increased. OE broadly flat. Sales were higher in Industrial and Power Generation, partly offset by lower activity in China.

Underlying operating profit, GBP 242 million, up 37%. Operating margin was 8.8%, that's 2.2 percentage points higher than the prior year. That's due to the mix of sales towards higher-margin aftermarket spare parts as well as improved utilization in our manufacturing facilities. We also experienced lower warranty costs. Trading cash flow, GBP 219 million, representing a cash conversion of around 90%, despite an increase in inventory related to the global supply chain disruption we experienced in the second half of 2021.

I move on to new markets. Now we've separated out our early-stage businesses. Those that have got high growth potential, we put them into a distinct reporting segment: new markets. This gives increased visibility to the investments we're making to address the new opportunities that are being created by the transition to net zero and the Energy transition.

There are 2 businesses currently in this segment: Rolls-Royce SMR and Rolls-Royce Electrical. These businesses where they leverage our existing engineering expertise and capabilities to develop new sustainable products. Rolls-Royce SMR secured GBP 490 million of funding in 2021, including GBP 50 million we committed ourselves. We've already received around GBP 30 million of that funding. And the remaining cash inflow, that's going to be phased over the next few years to align with the underlying specific spend.

In 2021, a ramp-up in investments saw R&D costs of GBP 68 million, GBP 16 million of that in SMR and GBP 52 million of that on Electrical Power and Propulsion technology. Over the next 5 years, we anticipate spending over GBP 1 billion in R&D in these businesses, although our cash spend will be considerably lower due to that third-party funding for SMRs.

New markets, they are naturally more challenging to forecast given the pace of customer demand ramp-up and also the regulatory approval process. What is clear, though, is the fact that the potential opportunities for these businesses are significant. We believe they could generate more than GBP 5 billion of combined annual revenues by the early 2030s.

If we turn to the next slide, we set out here our summary funds flow. We saw a GBP 1.5 billion cash outflow in the year from continuing operations. That's a significant improvement on the GBP 4.2 billion outflow in 2020 and much better than our expectations that we set out at the start of 2021.

If you break the movement down, you can break it broadly down into 3 buckets. Firstly, we saw an operating performance improvement of around GBP 2 billion. That was thanks largely to our cost savings in Civil Aerospace and also revenue growth in both Defence and Power Systems.

Secondly, our GBP 800 million working capital outflow was GBP 700 million better than 2020. That was mostly due to that non-repeat of the unwind of invoice factory. That was partly offset by a planned increase in inventory in Defence and Power Systems to meet both expected sales volumes as we went into 2022 and the impact of global supply chain disruption in Power Systems.

And thirdly, around about GBP 100 million of other impacts. That reflected lower CapEx, partially offset by the higher hedge book closeout costs in the year. Our free cash flow is continuing to improve. The

combination of restructuring and growth driven by recovering end markets is putting us on track to get back to positive cash generation.

Turning now to our balance sheet on the next slide. We are committed to rebuilding our balance sheet and returning to an investment grade credit profile in the medium term. We're on the pathway to achieve this as we benefit from reducing uncertainty, improving financial performance and our strong strategic focus on the energy transition. We've previously announced 4 disposals, which are expected to generate around GBP 2 billion in total proceeds, including approximately GBP 200 million of retained cash. The final and largest of these disposals, ITP Aero, is still expected to complete in the first half of this year, pending the necessary regulatory approvals.

Disposal proceeds, together with the underlying free cash flow generated by the group, will be used to reduce net debt. We ended the year GBP 5.2 billion of net debt, including GBP 1.8 billion of leases. Our liquidity position is strong, GBP 7.1 billion of liquidity, including GBP 2.6 billion in cash at the end of 2021. And that is after we repaid during 2021 -- the 2021 EUR 750 million bond and also the GBP 300 million COVID corporate financing facility. A strong balance sheet is very important for us. We will balance the pace of that rebuild with the investment opportunities across our portfolio to make sure that we maximize the long-term return for our shareholders.

Moving on to investments. Our technology and engineering expertise gives us a critical role in enabling the transition to a low-carbon global economy. We have significantly upgraded our approach to analyzing investment cases to place an even greater focus on sustainability and broader ESG considerations whilst maintaining investment discipline. Our investment spend is very much focused on making our existing products compatible with net zero, pioneering new technologies that can meet the accelerating demand for cleaner technologies as well as identifying additional applications for our current portfolio of technologies. It is key that we optimize our investments in order to most effectively deliver our strategy, maximize our return and achieve our net zero commitments.

Our investments in both SMRs and electrical propulsion create net zero solutions and opportunities in new end markets. We have best-in-class products in markets with high barriers to entry. And taking advantage of that, generating a healthy return on our investments, well, that's a priority for us.

Now we've seen the 2021 financial performance. I just wanted to recap on the priorities that I set out to you all back in August. As a reminder, 3 priorities: deliver on our commitments, simplify how we report and invest wisely for the future.

Firstly, delivering on our commitments. Right now, I feel very comfortable that we're making great strides. We've delivered the sustainable savings from our restructuring program, and we continue to make sure that a large proportion of the costs that have gone out stay out even as the load grows as demand grows. We've exceeded our GBP 2 billion free cash flow guidance for 2021 by over GBP 500 million. And GBP 300 million of that was due to concession slippages, and we shared that with you in December. And I'm not going to claim any credit for that. That's not controllable. The rest, though, around GBP 200 million is due to our improved trading and cost performance and surpassed the commitment despite engine flying hours being worse, frankly, than we expected when we set the guidance right at the start of 2021.

Secondly, we do need to simplify, break down the complexity around our financials. There is progress to be made in having more straightforward financial communications. Now I've taken some steps already to reduce the complexities, easy-to-understand disclosures, helping comparability between years and across peers. There is more to come during the course of 2022. I'm making sure that the changes we make align from the ground up with how we drive the businesses and reward performance.

And thirdly, we will continue to invest wisely for the future, creating sustainable value. We are at a very exciting point, huge opportunity to lead our markets in the journey to net zero. We also have the opportunity to take our innovation and technology into new markets with incremental growth, and we won't stop investing in our current products either. There are good near-term returns available from increasing durability and efficiency. So as I said, 3 things: deliver on the commitments, simplify how we report and invest wisely.

If we move on to outlook. We are well positioned for the anticipated growth in our end markets. Despite some challenges around the pace of market recovery, global chain -- supply chain disruption and rising inflation, I am confident that we will see continued positive momentum in our financial performance. We expect low to mid-single-digit revenue growth in 2022. That's supported by a strong order book cover in both Defence and Power Systems and a continuation of the gradual improvement in civil aerospace, along with an expected increase in spare engine sales. We expect our operating profit margin to be broadly unchanged as underlying operational improvement is balanced with increased engineering spend to develop sustainable growth opportunities with a gradual shift in spend towards new markets, Defence and Power Systems.

We expect to generate modestly positive free cash flow in 2022, representing a substantial improvement on 2021. Now that increase comes despite the concession slips that I mentioned earlier, going from '21 into '22. As has been the case in prior years, cash flow will be seasonally weighted towards the second half of the year.

Looking further ahead, long-term revenue growth will be driven by technology and innovation opportunities and rising global demand for sustainable power. This will be supported by well-targeted investment. We aim to spend around 75% of our investment on lower carbon growth opportunities in the medium term. So a lot of opportunities ahead, a lot of growth from the energy transition, a lot of variables to manage and a much more agile and balanced business geared towards capturing that growth in a profitable and sustainable way.

And with that, I'll hand back to Warren.

David Warren Arthur East

CEO & Executive Director

Thank you, Panos. Now the title on this slide reflects the terminology that I used last month actually at our Annual Senior Leadership Conference, sustainable in both centers of the world, given our products and markets clearly sustainable in terms of climate and impact or not on climate change. But my internal message was very much more focused on sustainability in the business sense, meaning generating profits and cash from our activities and seeking growth.

From a behavioral point of view for our senior leaders, that means adopting a restless pursuit of ever greater levels of profit and return, holding our heads high, seeking out and capitalizing on growth opportunities. And I'd like to focus for the next few minutes on how we're driving growth and sustainable value in our established businesses: Civil Aerospace, Power Systems and Defense before then moving on to the new markets.

So I'll start with Civil. The fundamental restructuring program that we've delivered means that we now have much lower costs, much improved operational gearing. Now we can see significant growth in demand in our factories, and that's accompanied by only small incremental growth in our operating costs. This is extremely important as we continue to generate value from our large installed base. Around 2/3 of our engines are covered by long-term service contracts that will deliver value way out into the future.

We also have more than half of the market share for new large engines with more than 1,500 on our order book. Our current order book includes 58 Trent XWB engines for Airbus' recently launched A350 freighter. The A350 F represents a great opportunity for us to take share in a market that has been until recently dominated by Boeing and GE. We're also seeing fantastic growth opportunities in Business Aviation, where our family of Pearl engines is now offering market-leading power and efficiency and outstanding low noise and emissions performance.

The slide here shows a picture from Dassault of their Falcon 10x. At the launch, we and Dassault revealed that they've chosen our Pearl 10x engine to exclusively power their brand-new flagship aircraft. And Gulfstream have chosen our Pearl 700 to exclusively power their new ultra long-range business jet, the G800. That's in addition to its use already announced on the G700. Pearl 700 testing is progressing very well, and we're now in the final phase of regulatory approvals. And we and Gulfstream are delighted with the results of the flight test program, and we expect to receive certification later this year.

So now I'll move on to Defence. And we're seeing good growth opportunities in this business. And that's critical to -- this business is critical to protecting people around the world. In 2021, we concluded a multiyear program of investment to revitalize our facilities in Indianapolis, creating a world-class campus with advanced manufacturing capabilities on a smaller and more efficient footprint. And that's a very similar story really, but on a smaller scale to the restructuring program that we just spoke about in Civil, baking in operational gearing, which enhances the benefit of future growth. And this was recognized last year as we secured the award for the highly competitive B52 engine replacement program, generating \$2.6 billion of business for the coming decades with entry into service towards the end of this decade.

We intend to bring that operational gearing benefit to future growth as well as we pursue further design wins, and we remain in a competitive process, for instance, for the Future Long-Range Assault Aircraft program in the U.S. in partnership with Bell Textron. And a win here would be very significant driver for our long-term growth in Defence. Of course, back in the U.K., we continue to work with our partners: The Ministry of Defence, BAE Systems, Leonardo and MBDA on the Tempest program with developments, including the recently announced collaboration with Japan on a Power System demonstrator. We also continue to support the U.K. MoD in the collaboration announced last year between the U.K., the U.S. and Australia on nuclear submarines.

Looking further ahead, Defence, of course, is a very long-cycle business. We are supporting customer demand for novel products that deliver advances in technology and sustainability. Investment opportunities include areas such as hypersonics, small engines and even power in space.

Now I'll move on to Power Systems. We saw order intake accelerate in Power Systems with the business achieving the best ever order book in its history. We have a strong established position with our MTU brand engines and a loyal sticky customer base of over 40,000 customers. We're focused on supporting the transition to net zero, and we've set some challenging targets to carbon dioxide emissions. For many, that means deploying microgrid solutions like the one in the picture here with renewables, storage combined with backup from reciprocating engines. And of course, in future, those reciprocating engines will be powered by synthetic fuels or hydrogen as we continue developing those technologies.

In 2021, we formed a partnership with cellcentric to develop hydrogen fuel cells. Following on from this, we've been awarded a significant contract to provide the first-of-a-kind net zero microgrid, which will combine fuel cells and hydrogen combustion engines for the port of Duisburg in Germany. And hold on to that thought for a moment because I'll talk about airports in a little while.

Some of the strongest demand this year has been from data center customers. Our standby power solution was recently chosen by a hyperscale data center customer. And as we expand our geographic reach, we'll grow market share in this space.

Right, so that's our established businesses. Now we'll turn to what we call new markets. Our newly established reporting segment, including both Rolls-Royce SMR and Electrical. Whilst these businesses are at an early stage, as Panos explained, they come with huge growth potential focused on addressing the opportunities created by the transition to net zero.

Starting with Rolls-Royce SMRs. We're using existing technology, which we've been taking to market for decades, over 60 years, in fact, in our nuclear submarine work. The diversification here is into new markets with nuclear power plants for both on-grid and off-grid applications. And we're seeing enormous amounts of support for this technology. In 2021, we secured a sizable third-party funding through a U.K. government grant and equity investment from strategic and financial partners. And this is helping us to fund our SMR design through the regulatory approval process and support us as we search for sites for those factories that will manufacture the first units.

First, orders for the U.K. market are anticipated within the next couple of years. SMRs are a core part of the U.K. government's 10-point plan for a green industrial revolution. Our SMR is designed to deliver 470 megawatts of power on a size that is -- a sight, rather, that is only the size of 2 football pitches, and that's very power dense. They've been engineered for low-cost and repeatable manufacturer, making them competitively priced with solar and wind, but without the associated intermittency challenges and costs and including all the costs of eventual decommissioning and waste management. What's also really

exciting about SMRs is how they can support our other businesses in the necessary production of green hydrogen and net zero synthetic fuels.

Now moving on to Electrical. In Rolls-Royce Electrical, we see, again, high growth potential. This is where we take a relatively new technology to a market sector that we know very well. Rolls-Royce has the mix of technologies and the skills that we've built through decades of sector-specific knowledge and experience combined with market access, and that's what makes us win.

With lots of people -- well, I mean, lots of people have the technical ability to work in the electrical propulsion and power markets, we have aerospace in our DNA and a track record of success. It's relatively easy to build electrical machines. They're all around us in many different shapes and sizes, typically low compared with the world of aviation, the power capabilities that this is relatively low to lift a heavy object into the sky and move it through the air for hundreds of miles needs much more power, and the energy required has to be carried in that vehicle as well. And that is getting into the realm of hard stuff: weight thermal management, structural integrity, all very challenging and extreme levels of safety and reliability too, and it all becomes extremely difficult in a narrow application.

But that's where the decades of experience and the depth of knowledge at Rolls-Royce makes the difference. We are highly differentiated. We have the experience and the expertise and the safety track record to succeed. And this is a growing market, too. We've partnered with vertical aerospace, and we power their VX for all electric urban air mobility vehicle. Vertical has \$5.5 billion worth of preorders for over 100,000 rather of these products from some of the world's biggest and most innovative airlines.

We're also strategically partnered with Embraer's urban air mobility spin-out, EVE. By the end of last year, EVE had already secured over 1,700 of aircraft preorders worth \$5.2 billion. And we have a collaboration with Tecnam and Widerøe announced at the half year for an all-electric powertrain for the commuter market, and that's targeting entry into service in the mid-20s.

Our electrical business is not just for airborne solutions. We're combining our expertise in electricals with our experience in power systems to develop a business opportunity for energy and charging infrastructure for airports and for vertiports in preparation for the advanced air mobility market. All in all, it's an extremely exciting time for our Electricals business with many tangible opportunities in the pipeline.

So to summarize today's presentation and our full year results, we're proud to confirm that our financial performance is improving, thanks to both cost reduction and market growth. We are delivering on the commitments that we promised and we're investing to drive growth and deliver sustainable value into the future. Together, these make Rolls-Royce a better, balanced and more sustainable business. And with that, we'll turn over to Q&A.

Question and Answer

Isabel Green

Head of Investor Relations

[Operator Instructions] And we've got a question on the website from [Lavinia Sherwood], who asks, how is restructuring helping to support the anticipated business ramp-up.

David Warren Arthur East

CEO & Executive Director

Okay. Well, thank you very much. I'll answer that a bit qualitatively. I mean the restructuring is all about inserting operational gearing into the business so that when activity increases, it delivers real value in terms of profit. And we're confident that operational gearing will persist because the costs will stay out, and we can look at our civil business and say it's 30% smaller in terms of footprint and in terms of headcount. Now those factories are not coming back.

We've installed machines like I talked about in the presentation, which reduced cycle time hugely. We've changed our design processes, again, reducing cycle time hugely, driving up the productivity. In fact, with the reduced level of activity that we're still seeing in 2021, we have underutilized assets, but those assets will be utilized when the growth comes back. And so the growth will be able to come back, as we said, with relatively small increment in terms of operating costs. I don't know if there's anything to add to that, really.

Panos Kakoullis

CFO & Executive Director

Yes, I think -- if I think about it from a quantitative perspective, as we look to 2022, there is going to be a load increase in the Civil business. And seeing how that load increase manifests itself, think around about 30% more load going through that business. And when we look at it from an operating cash cost perspective, it's around about 6%. So it's a disproportionate increase in load supported by that gearing that Warren's referred to already.

And if I just added, I guess, a little bit of experience from having now spent quite a bit of time in the business and wondering around the shop floor and talking to our people, and we've talked about it a little bit in the past around the mindset of our people, what we're able to do now and what I'm able to do now is link in some of those individual activities that I see on the shop floor, how they're thinking, what they're thinking around quality, safety and efficiency and how that starts manifesting itself in lower cost going forward.

David Warren Arthur East

CEO & Executive Director

Thank you.

Isabel Green

Head of Investor Relations

We're ready to take the next question, I think, from the phone lines, please.

Operator

Your first question comes from the line of Celine Fornaro from UBS.

Celine Fornaro

UBS Investment Bank, Research Division

It's Celine Fornaro. That was a nice one. Right. The first one would be actually on providing slightly more color, if you could, on the cash aerospace and the trading cash performance there and the dynamics that

are underlying, I would say, as you highlighted on the introductory remarks, and that are likely to stay in '22 and '23. And what I'm thinking here or interested in is if you assume some sort of a pickup in the shop visit, how do you think your estimated cost in the shop visits are trending compared to the real cash cost that you are incurring, and that's true for A350, 787 and A330.

And my second question is on the GBP 1 billion of cash savings that you have achieved, excluding CapEx. How should we think about the return of these costs, looking at '22, '23, please?

David Warren Arthur East

CEO & Executive Director

Okay. I'll -- thanks for the question. Kicking off more color on that cash. I mean, clearly, cash incoming depends on the rate of recovery of activity in the markets. We do anticipate the steep increase in activity, which we saw second half on second half in the '21 numbers to continue, albeit at a slightly sort of a slower rate because you're building on a larger base as we go through '22. So consensus forecast would be for approximately a 50% increase in flying hours.

Now you can see when we think about shop visits and our planned number of shop visits to deal with that, you can see from the answer that Panos gave a moment or two ago, we're anticipating roughly a 30% increase in load on our factories. And that's really driven by the component demand from those shop visits.

And the cost of those shop visits is clearly related to the cost reductions that we talked about a moment ago. And that sort of takes us into the second half of your question on the GBP 1 billion, and I'd sort of bring you back to Panos' answer a moment ago where we're sort of divorcing the load increase from the operational cost increase. You're probably going to go on and ask us about material cost increases and supply chain challenges and all those sorts of things as well. And of course, those are baked in, but I'd remind people of the long-term nature of this business, the long-term nature of the contracts that we have with suppliers and the escalation clauses that we have in there.

Operator

So your next question comes from the line of Robert Stallard from Vertical Research.

Robert Alan Stallard

Vertical Research Partners, LLC

This is probably a question for Panos. You highlighted the GBP 300 million positive benefit from concessions in '21, and it's a very sensitive topic. But what are your expectations for concession payments looking into the 2022 numbers and potentially to 2023 as Boeing eventually restart deliveries on the 787.

Panos Kakoullis

CFO & Executive Director

Thanks, Robert. Yes. Probably hard to predict because it does depend on some regulatory outcomes. The assumption we've made is that GBP 300 million slipped into '22 as you'll have seen. We do expect to see some unwind as we go through overall through the course of the year. It's going to typically depend on deliveries. Overall deliveries of new engines this year, we're expecting to be flat. But I'm seeing that go into 2022, it could potentially slip a little bit into '23. We will highlight it for you as and when we have greater clarity on it. And it's something we pull out, and you heard me talk about it earlier on in the presentation, it's an uncontrollable. So I'm not going to claim credit for it, if it doesn't happen. And if it happens earlier, then we'll highlight it.

Robert Alan Stallard

Vertical Research Partners, LLC

Yes. And as a quick follow-up -- I'm sorry. I can hear myself, sorry. And then maybe a question for Warren. On the fantastic name Vertical Aerospace, I was wondering what your thoughts are on potentially monetizing that stake at some point in the future? Or is this a long-term investment?

David Warren Arthur East*CEO & Executive Director*

Goodness me. This is, as far as we're concerned, a long-term investment. It's sort of cementing a partnership as it were. We're looking at that whole space, and as I say, huge growth opportunity. There are uncertainties around that. The market really doesn't exist today.

And so there's a big error on what that market is going to look like in, say, 2030. We're very confident when we look at our partners though that we're looking for a balance of partners like vertical aerospace, which are new companies tackling this market, and companies like EVE, the spinout from Embraer, where you have a more established player. We're interested in powering as many of them as possible because, as I just talked about a moment or two ago, we think we have real differentiation there. And as far as investments are concerned, we're not going to be making a habit of investing in everybody, but where we can do a little bit of catalyzing then we will.

Operator

So your next question comes from the line of George Zhao from Bernstein.

George Zhao*Sanford C. Bernstein & Co., LLC., Research Division*

I guess, first question, can you just talk more about the increased investments in '22, driving the flat margins for this year. How much higher? And how much of that is going to the new market? And I guess second question is more on those new markets. I mean you decided to give the GBP 5 billion revenue outlook by the early 2030s. I guess, why was now the time to give this figure when we're clearly in very much of an infancy of a stage for these new ventures? And I mean now that you've given us this GBP 5 billion number, could you give us some details on how you get there? And what are some of the investment requirements over the medium term to succeed here?

David Warren Arthur East*CEO & Executive Director*

Okay. I'm going to ask Panos to talk about the '22 investments, and I'll come back and add some color on the new businesses that we talked about this morning.

Panos Kakoullis*CFO & Executive Director*

So thanks, George. So -- and you'll have picked it up from both the release and how we presented. There is a sort of a pivot away into some of those growth opportunities over the course of the next few years, probably a little bit away from civil and where the civil business is. And the increased level of investment, you better see them effectively in 3 places. So Defence, where we've got some big bids coming up, and we're in that stage of ramping up around those bids now.

Power Systems, in particular, because that's -- you heard us talk about energy transition. That is where the big opportunities are sitting right in front of us at the moment. We've got 40,000 very, very sticky loyal customers who are coming to us now increasingly. In fact, we had a Board meeting earlier this week when we were looking at the ramp-up of that order book around that. So the investments there are around the technologies and the system solutions to help those customers. So you see it coming through there.

And as you've rightly said, around new markets. And we very deliberately for this year, trying to give you more clarity. We've pulled out those new market businesses into that segment, both SMR and Electrical, and we pulled out to show you how much R&D. Now the -- there's a big element of that ramp-up that does happen in '22 in those new markets. So -- and I think we've used sort of the word substantial, so you can think about that as a sort of near doubling of investment in that. That doesn't all come through in terms of cash. That will definitely be a P&L because those are businesses that we control and consolidate. But you saw from an SMR perspective, how much of that is coming from both government funding and third-party shareholders.

And as you go forward, that cash profile, particularly on SMR, is matched by customer orders and deposits coming in and matches off on that, how that spend happens. And I think we've talked about what we expect the rough spend over the next 5 years to be on new markets, which is around about GBP 1 billion mark, which about GBP 0.5 billion we will fund ourselves.

David Warren Arthur East

CEO & Executive Director

Yes. And I think Panos has sort of answered really the second part of the question there as well. We're talking about GBP 1 billion of investment. And we pulled it out because we want to demonstrate that this is investment not just sort of central R&D costs. Clearly, if we're -- I imagine it was a completely stand-alone start-up business. You have to paint to your investors a picture of the sort of return that you're going to make, and that's why we're talking about GBP 5 billion in the early 30s.

Now clearly, as I said in an answer to a question a moment ago, there is uncertainty around here. We're expecting these electrical aviation products to enter into service around about the middle of the decade, maybe between the middle of the decade and the next couple of years after that. The SMRs, we've talked about having orders in the next couple of years with revenue recognized in proportion to costs. But we're talking about getting these on the grid around about the end of the decade, maybe 2030 a little bit beyond. So there's uncertainty in it, but we're trying to paint a picture just to sort of scope out roughly the sort of size of contribution that is being made by those businesses in that time frame. It is very, very approximate.

I would just highlight, Panos referred to the investment that we're making in Power Systems, however. This is an established business with existing customers, with much shorter development cycles. And so we absolutely expect to see a revenue impact from the net zero investments in Power Systems well before the second half of this decade.

Operator

Sir, your next question comes from the line of Ben Heelan from Bank of America.

Benjamin Michael Heelan

BofA Securities, Research Division

I had a couple of questions around the guidance. I was quite surprised to see the low to mid-single-digit revenue guide at the group level. Is there any divisional breakdown that you can give us around that?

And then secondly, on the margin, you've talked about the operating margin being flat. Is there any color you can give around gross margin? Obviously, you've said R&D and investments are growing. So how should we think about the gross margin progress as we go through this year?

Panos Kakoullis

CFO & Executive Director

Yes. And you'd have seen we've done something different in how we talk about guidance going forward, and that was a very deliberate reflection on the shape of the business that we have now. It's a very different business to the one we had 2 years ago to a much more balanced. You had Warren talked about much more balanced and sustainable business. So 40% of it in Civil Aerospace; 60%, the majority now is Defence and Power Systems.

So when we thought about guidance, and you've heard me talk about a much more balanced view of the KPIs that we think about. So that's why we've talked about revenue growth. That's why we talked about margin in addition to what we've traditionally talked about around cash. And then there's in due course, start -- with that track record bill start thinking about what's the return that we can start demonstrating on that.

From a revenue perspective, that low to mid, how does that pan out across the businesses? So you've seen very strong order book. I think Warren referred to it record order book in Power Systems. That

turns into revenue over the course of this year. So you can see good growth coming through in the Power Systems business.

The defense business is a steady business. The big wins that we've talked about, they take time to come through. I think Warren talked about, that secures decades effectively for -- into the future. That doesn't come through immediately. So think of that as that's modest in terms of revenue. And then that leaves you effectively Civil Aerospace, which again is modest growth. And that's primarily determined by what happens around activity driving increased shop visits. You'll have seen in the release some of the factors that start affecting that. We had some long-term service agreement catch-ups, which went through revenue this year. So that's a factor that you have to think about from a headwind perspective on revenue.

And then as you look at those in terms of margin, if I go through the sort of 3 businesses. The Defence business, we had a good mix around margin this year, just go into 2021 around spare parts and spare engines. Those are typically higher margin. We get back to a more normal level of mix next year. So that has an impact on your gross margin. Similarly, when we think about Power Systems, again, there was quite a high element of service rather than -- that tends to be a little bit higher margin as well. So that's how that changes.

And then from a Civil Aerospace perspective, the margin mix of the business going forward is definitely changing. We're into the newer engine programs. Those are the programs that are flying more frequently now than they were in the past. They are earlier stage. We recognize less margin on those as they are less mature. There's a lot of margin left to come. And when I look at the balance sheet and I look at that long-term service agreement balance, that creditor that sits there, that is -- there are big chunks of that, that our potential margin as we work our way through, as Warren has talked about, how those cost savings come through, how we increase time on wing. That has a direct impact on margin as we go into the future.

Benjamin Michael Heelan

BofA Securities, Research Division

Okay. Great. Just a quick follow-up because I thought earlier in the call, you talked about expecting a roughly 30% increase in load for shop visits. So how do I tie the 30% increase in load to the kind of modest growth in Civil Aerospace? How significant is that revenue headwind from the catch-ups?

Panos Kakoullis

CFO & Executive Director

So Ben, the load was across the whole of the Civil business, including business aviation. So there's quite a big ramp-up in OE for business aviation as we go through this year. So it's OE ramp-up in business aviation and an increase in shop visits across the board. So that's how I think about it.

Operator

Sir, your next question comes from the line of Harry Breach from Stifel.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Warren and Panos, can you hear me?

Panos Kakoullis

CFO & Executive Director

Hello. It's fine.

David Warren Arthur East

CEO & Executive Director

We can.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Great. And forgive me because I missed the first half hour of this. Can I just -- first of all, can I just ask about time of material last year. I think sort of in the -- sort of first half of this year, T&M was about 16% of overall underlying revenue for Civil Aero. Can you -- and I might have missed this, so please forgive my ignorance. Can you give us a sense of where it was for full year 2021 and how you might see that trending in '22, if you can?

And then just thinking about major shop visits, I think in the presentation, you kindly gave us the number for Civil last year. What should we be expecting compared with that 208 base in 2021? What should we be expecting for this year and going forward? Because there is some discretion in the scheduling of those. I appreciate long-term trend will match EFH, but there may be some scheduling discretions. So any help would be gratefully appreciated.

Panos Kakoullis

CFO & Executive Director

Yes. So on -- we didn't talk about time materials, so you didn't miss that bit. Second half, first half, think about that as roughly the same. So there wasn't a significant disconnect between the two. In terms of shop visits, you are very right. It is driven by actual flying activity. And what Warren referred to what the market is anticipating around increase in engine flying hours, there is always a little bit of a lag in terms of how that comes through. But shop -- expect shop visits go up, probably a little bit less than flying hour activity given that lag that is typically there.

Operator

Sir, your next question comes from the line of David Perry from JPMorgan.

David Howard Perry

JPMorgan Chase & Co, Research Division

I'm sorry, I missed a fair amount of the speeches, so I apologize if I'm asking something you've covered. I've got 2 questions, both of you, I think, Panos, one is high level and one is more detailed. High level, you say you want to simplify how we report. I look at H1 '21 where you delivered a massive beat in Civil Aero EBIT. I look at H2, the full year where there's a huge miss and guidance, way below consensus. I think none of us on the sell side have accrued, frankly. What is it that you can change that makes this somehow more predictable and therefore, more investable? And so it's quite a high-level question.

The much more detailed one is, you've clearly guided to an EBIT number well below the sell-side consensus. Can you just walk me from this EBIT number to the cash flow in 2022? So what are you assuming out for working capital? What are you assuming on the LTSA time? That would be very helpful.

Panos Kakoullis

CFO & Executive Director

Sure. So let me take that up. So I think as we said at the half year, and you and I have had some good discussions, David, around simplification. When I look at how we simplify the way we communicate, the way we -- as you said, the way we help you understand the business and make it more investable, I think what we've done for this full year, we have started to give you some more clarity. So we've shown trading cash flow by business, which is something we hadn't done before. We've pulled out what we're doing on the investments within the new markets, again, to give some clarity on that.

And frankly, we started to use a little bit of nomenclature that is more common. So when I want -- because I want to have comparability, I think, across years in between the peers. And when I look at what our peer group do, I want to be -- us to be aspiring to that. There is still more to go, and you may have missed it when I was talking about it earlier on. This needs to be done ground up, right? I'm not going to put something over the top for a sort of veneer in how I present because it's fundamental to how we run the business on a day-to-day basis, making sure that the underlying value drivers that Warren and I spend time within the business as we push on those and as we start showing you what those value drivers

are and how we think about them, how they link up to the outside performance. And when you do that, budgeting, remuneration, how people get rewarded, the whole thing has to work in a robust way.

So things still to come, things that will help what you've asked for are what we do around foreign exchange and our hedging policy, which is different to what others do. And that will take time to put in place. And particularly, the last point you made there effectively is around contract accounting and having a much tighter link between what happens in the underlying contract and how that shows up from a profit and cash perspective. You will never get a direct link between cash and profit in any long-term contracting business. But how that trend can be much more easily seen. So we've done some, and there's more to go.

In terms of your effect for your comment on profit. We've never really given guidance around profit in the past. It's been -- it was more observation when I came in because it was a predominantly Civil Aerospace-driven business, there was a lot of focus around cash. It's a different shape business now. It is a much more balanced shape business. That's why we started talking about revenue. That's why we started talking about margin as well as cash and to come how we think about returns. So that's why that profit is there. I don't view it as missing guidance. I view it as helping you think about guidance and consensus going forward because it's nothing we've really talked about in the past, and that's been very evident when I look at the range of profit that the analyst community had in the past. It's never really been taught about. Now we want to put it in a much more understandable way.

In terms of the big movements around cash and how profitability comes back, let me come back to that in a few minutes. It is a detailed question. If we take the next one, then I'll come back to you.

Operator

Sir, your next question comes from the line of Andrew Humphrey from Morgan Stanley.

Andrew Edward Humphrey

Morgan Stanley, Research Division

Maybe a couple of bigger-picture questions. Warren, we talked a lot today about opportunities for the business and the kind of more balanced portfolio going forward. Could you maybe talk about how you would view the biggest challenges for your successor? And there's another kind of broader question, where does the departure of warrant purchased in terms of any potential mid-term target setting that we might see this year?

And then I also wanted to ask a bit about Power Systems. Clearly, we've seen a very strong performance there on orders. Clearly, that is also a shorter cycle business than the Civil Aero. So I wanted to ask about what additional challenges there may be in terms of supply chain management and protection around the margins that business is making over the next couple of years?

David Warren Arthur East

CEO & Executive Director

Okay. Well, I'll go with those, Andrew. Thanks very much. So I think the challenges over the next several years, the strategy is very clear. The challenge is there is a lot of opportunity out there, and it's making the investment calls and balancing that investment alongside looking after our existing business. So we talk about value creation from our installed fleet, for instance, in Civil Aerospace, extending the time on wing. That takes engineering effort resource investment and so on. But so do the opportunities in Net Zero that we talked about, both within Power Systems, actually within things like electrical aviation and even in defense addressing net zero opportunities. So the challenges of those. And we included a slide in Panos' presentation, the bit that Panos presented around how we think about investment and deploying capital. And I think therein lies the biggest challenges over the next several years.

As for target setting, medium-term target setting and so on, we'll come to that. When we talked about my moving on this morning, that is the end of this year. And so I'm -- after we do this results presentation, I'm back to running the business. And any target setting that we do around the middle of this year will be no change.

Supply chain challenges, particularly in Power Systems, we do expect the supply chain challenges that we've seen over the second half of 2021 persisting through quite a bit of 2022. Right now, if we compare what we anticipate those challenges to the impact that they might have on a sort of otherwise budget, think high tens of millions of pounds up towards GBP 100 million as an impact for 2022. So if miraculously, we're able to deal with those supply chain challenges and they go away, then there's some potential upside there. But we're not hugely optimistic about that happening anytime soon.

Panos Kakoullis*CFO & Executive Director*

Let me just come back to David's point. I sort of reflected on it. So -- and I think, David, you asked the sort of the detail point around the bridge between operating profit and free cash flow and what's sort of driving that. There's going to be a number of things going on the way. We're going to get to a more normal pattern of working capital within the business as engine flying hours start to increase, and we've talked about what that ramp-up would look like. Offset a little bit by the shop visits, but those tend to lag. There is some increased investment spend that we talked about, both from a CapEx and an R&D perspective going against that. There's the continuation of the hedge ongoing costs. That's going to be a little bit lower than we saw this year. Most of the other factors stay the same. So that's typically what you'll see going through.

At a macro level, if you just look one number to the other, the bridge isn't trying to bridge very much, but there are lots of ins and outs to get you from one to the other.

Operator

Sir, your next question comes from the line of Charles Armitage from Citi.

Charles J Armitage*Citigroup Inc., Research Division*

A couple of questions. I think David is doing a bit better than I am. I'm struggling to get to Ben's question. Low to mid-single-digit sales growth. So we've got a 30% increase in load in Aerospace and profit recognition and revenue recognition along with work done. We've got GBP 3.3 billion inflow in Power Systems versus GBP 2.7 billion of sales in orders, and that converts pretty quickly. We've got Defence stable. We got a negative GBP 200 million -- a headwind of GBP 200 million from CSA catch-ups. I'm struggling to get down to low to mid-single-digit growth, given lots of growth in Power Systems and seemingly Civil Aerospace. What am I missing?

Panos Kakoullis*CFO & Executive Director*

So Charles, that was on the revenue side.

Charles J Armitage*Citigroup Inc., Research Division*

Yes.

Panos Kakoullis*CFO & Executive Director*

Yes. So I think on Civil, we said -- when I answered earlier on, I said modest growth in Civil because that's determined by shop visits coming through and the recognition of revenue around those shop visits. They typically lag, as we've said, around what's happening on engine flying hours.

On Defence, we said broadly stable. There's a little bit of up, and there's good growth within Power Systems. When you take all of that mix together, that's how you end up with low to mid.

Charles J Armitage*Citigroup Inc., Research Division*

Okay. I fully think a bit harder on that. Next question. On SMR, what do you need to have -- what -- effectively what level do you need to have carbon cost to make -- to be able to be viable output for SAF production? Alternatively, what can you produce the fund of SAF?

David Warren Arthur East

CEO & Executive Director

Yes. I'll have a go at answering that, but I can't answer it explicitly to be honest. I mean, what we do know is that SAF requires a huge amount of energy, and the electrification of multiple sectors is putting a huge amount of demand on traditional generation. SAF is a sort of large increment on top of that. You have to use energy to create hydrogen. You then have to use energy to combine that hydrogen. You have to use energy to capture carbon dioxide as well and then put it together.

So the rationale is that it's a zero carbon effective way. We know that the levelized cost of electricity is comparable with wind. We know that, that includes the cost of decommissioning and waste management, and that the cost of wind and solar and the like doesn't include the cost of storage required to offset the intermittency. So I can't give you an answer in terms of carbon price, but I can give you an answer in terms of the large amount of demand, which is there, and the comparable competitive cost of electricity.

And then you get into the sizing and the logistics of arranging for large amounts of powerful things like SAF plants and significant hydrogen generation plants and the infrastructure that has to be put around it, and that's the economic argument for an off-grid application.

Operator

I'll now hand back to Isabel for question from the webcast.

Isabel Green

Head of Investor Relations

Thank you. And there's actually quite a lot of questions on the webcast, and we're not going to get through them all today. And in fact, quite a few of them, I think, have been covered by the answers given. But just to say if anybody feels that they need a direct answer, do come back to the Investor Relations team.

So the last question is actually from someone on the buy side. So we have [Tim Ashton] who Warren is asking you, how much do you think Rolls-Royce has changed in your tenure? I'm going to add so far on that because I know that you're not finished yet.

David Warren Arthur East

CEO & Executive Director

No, no, I'm certainly not finished yet. Yes, it's a difficult question and it's hard to quantify it exactly. I mean what I said this morning was that if I compare the company I walked into with the company we have now is chalk and cheese. From a cultural and behavioral point of view, it's a very different business. Some of the messaging I hope we've got across this morning is that from an operational point of view, it's also a very different business with strong operational gearing baked in so that as we lean towards growth in the future, that growth will have a big contribution to real value creation. So I think it is fit for the future.

I think, two, we have a very clear strategic direction, and it's very much a broad-based power group that we look at now and that gives us a much bigger opportunity set. The future of this business is not dependent on long-range, long-haul aviation. So that's a sort of summary, but it's probably time for a longer discussion rather than an answer in a Q&A like this. I'd also highlight a huge difference in the people, by the way, just for finishing on that. We have a much smaller organization. But if I look at things like the senior leadership group here, it's about 60% smaller. It's between 5 and 10 years younger. And I think these are some of the intangible things, which make a massive difference to the agility and the ability of the business to be competitive going forward.

Thank you. I think Isabel is busy telling me that, that is the last question. So thanks, everybody, for joining. We do appreciate that you've had a very busy day today, even before events that happened

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in Ukraine. The messages we'd like you to take away. Improving financial performance in our result is evident here, the operational gearing that we've talked about. We are delivering on our commitments, and we're very focused on the future, both in terms of the opportunities for growth in our established businesses and in the new businesses. And we look forward to seeing you with an update on progress when we give you an update at the half year. Thank you.

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Rolls-Royce Holdings plc LSE:RR.

Sales/Trading Statement Call

Thursday, December 09, 2021 9:00 AM GMT

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Warren D.A. East

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George Zhao

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Presentation

Operator

Hello and welcome to the Rolls-Royce Trading Update Call. [Operator Instructions]

Just to remind you, this conference call is being recorded.

I'll now hand you over to Isabel Green, Head of Investor Relations. Please go ahead with your meeting.

Isabel Green

Head of Investor Relations

Thank you, Simon, and good morning, everyone. Welcome to our update conference call today. With me are Warren East, CEO; and Panos Kakoullis, CFO. We will begin with a few introductory remarks from Warren and then go on to Q&A.

But first, I am required to remind you we may make forward-looking statements and that actual results could differ from guidance. Thank you. Over to you, Warren.

Warren D.A. East

CEO & Executive Director

Thank you, Isabel, and thank you, everybody, for joining us today. So as the year draws to a close, I'm pleased to reflect this morning on the progress that's been made across the company this year as we definitely become a better quality and a more balanced business.

Now despite the ongoing uncertainties related to the COVID-19 pandemic, we continue to deliver on the elements that are within our control, and we're focused on the commitments that we made 12 to 14 months ago.

And now turning to those commitments to start with. Our restructuring program launched in May 2020 is now delivering sustainable savings. It's quicker than expected as we reduce costs and deliver a leaner and more efficient company. By the end of the full year this year, we expect to have removed more than 8,500 roles and saved more than GBP 1 billion. And this positions us well for the GBP 1.3 billion target by the end of 2022.

Also, trading performance is improving, and that's reflecting the gradual recovery in international flying combined with the market recovery in Power Systems and ongoing resilience in our Defence business. And a net cash inflow was achieved in the third quarter of 2021, reducing our second half outflow. And as a result, our full year free cash outflow is expected to be better than the GBP 2 billion previously guided. In addition, around GBP 300 million of original equipment concession outflows are now expected to fall in 2022 rather than 2021 due to the delayed delivery of aircraft for which we have already supplied engines.

We're also firmly on course to complete our disposal program with proceeds totaling around GBP 2 billion, and these disposals include Civil Nuclear Instrumentation & Control ITP Aero, Bergen Engines and AirTanker Holdings. We plan to use the proceeds from these disposals, together with underlying free cash flow, to reduce net debt.

Turning to our businesses now and what's been happening since we last updated you.

We're seeing overall better results and better order intake. In Civil Aerospace, large engine flying hours have continued to recover gradually as -- helped by certain key travel corridors reopening and, in particular, in early November, the transatlantic routes. Our large engine flying hours currently account for around -- are currently around about 50% of 2019 levels. And so if you put that with the 43% average in the first half of the year, that's approximately 46% year-to-date. Engine flying hours in business aviation remain above the 2019 level.

However, the pace of travel recovery remains uneven as countries are managing the ongoing challenges of the COVID-19 pandemic. And events over the last 10 days or so, bring that to mind.

Moving on to our Defence business. Current trading is in line with our expectations with a steady demand from customers. And in September, we were delighted to have been chosen for the B-52 replacement engine program, and that's an agreement to power the U.S. fleet of 76 8-engine aircraft for the next 30 years. It's a significant contract win for Rolls-Royce, and the initial phase of the contract for testing and development has a value of around \$500 million, and the total contract is valued at \$2.6 billion.

In Power Systems, the recovery of customer demand in many of our end markets is driving good growth in order intake. But as a shorter-cycle business with higher inventory turnover, Power Systems has more exposure to the current global supply chain disruption than either our Civil Aerospace or Defence business, and the significant near-term supply chain pressure that we're seeing right now looks set to continue for some time. Meanwhile, of course, we're focused on supply chain management and procurement practices that are helping to mitigate the impact in 2021. We're closely monitoring that as a business risk for 2022.

Elsewhere in the business, we're making good progress with new markets, successful funding for Rolls-Royce SMR and significant achievements in Rolls-Royce Electrical. Rolls-Royce SMR, small modular nuclear reactors, moved into its second phase with a special-purpose vehicle established, support from investors and from the U.K. government. The funds raised so far support the U.K. Generic Design Assessment process for new nuclear power plants and will help identify sites for the manufacture of the power plant modules.

And in Rolls-Royce Electrical, we're very proud to claim that our Spirit of Innovation aircraft is the world's fastest all-electric aircraft after it recently hit a top speed of 345 miles per hour, which was well over 100 miles per hour faster than the previous record over a prescribed 3-kilometer course. This achievement has also provided us with invaluable insights, though, into aerospace battery systems, which we will, of course, be applying in other new markets like urban air mobility.

These investments in net zero technologies and the solutions also help us to grasp the tremendous commercial opportunities of the global energy transition, and that sits behind driving our long-term value. It all underpins our strategy of creating a better quality and more balanced business, which can deliver significantly improved returns and cash flow into the future.

Now with that, then, enough of a summary. I'll hand back to the moderator, and Panos and I will take your questions. Thank you.

Question and Answer

Operator

[Operator Instructions] Our first question comes from Celine Fornaro with UBS.

Celine Fornaro

UBS Investment Bank, Research Division

I have two, if I may. The first one is if you could maybe elaborate a little bit more on the cash performance where you flagged some better trading dynamics leading to a slightly better cash flow for this year. So maybe you could provide a little bit more color on what happened there and what is going on and what could be sustainable for 2022. So stepping a little bit away from the concessions debate.

And my second question would be on the Power Systems performance, where it seems that the message for this year is that you seem to be making or landing where you wanted to land, but a bit of a degree of caution on 2022. Is that more on top line or on profitability?

Warren D.A. East

CEO & Executive Director

Okay, thanks. Panos, do you want to take that one?

Panos Kakoullis

CFO & Executive Director

Yes. Just -- thanks. In terms of free cash flow performance for '21, if you take out the concession point, as you've highlighted, so we had guided to GBP2 billion outflow originally. The GBP 300 million moves from this year to next year to make GBP 1.7 billion. And what we're saying, it's both a combination of trading performance and also the restructuring, the benefits of that coming through quicker than we had originally planned for. And that's a continuation of the theme that we highlighted in August when we set out the half year results. So it's a little bit better than GBP 1.7 billion is where I'd be looking at.

In terms of -- you asked what that means for FY '22. We see the flip from -- of the concessions from one side to the other side of the year-end. We'll give guidance on '22 when we get to our full year results.

And I think in terms of Power Systems, which was your second point, and I think you -- the -- we're not short of demand on Power Systems. There is a lot coming through. We've got a very strong order book. It is actually fulfilling that demand. Where there's -- effectively, if you look across supply chains across the world, there's just some indigestion as a result of bounce back in demand.

In terms of impact this year, think of it in terms of low tens of millions. There is definitely risk that we're highlighting as we go into next year. We'll update you on that as we go into next year, but it's something that we manage very, very carefully. It's not a demand point, it's more around fulfilling that demand.

Operator

Our next question comes from David Perry with JPMorgan.

David Howard Perry

JPMorgan Chase & Co, Research Division

Yes. One question for Panos, one for Warren, please.

Panos, back at the H1 results, you said one of your goals would be to set and achieve medium-term targets. We just had MTU and Safran in the last few weeks. You gave quite detailed guidance all the way through to '24, '25. So I just wondered, how far away or close do you feel rolls-Royce is in being able to help us with some guidance there?

And then the one for Warren, please. It's an ESG question. I'm just curious about the Civil Nuclear, the SMR opportunity, which looks exciting. I just wondered, is it completely tied to owning forever the nuclear submarine propulsion business? Can the two technologies ever be separated? Or do you have to keep ownership of the military piece to support the SMR opportunity?

Panos Kakoullis

CFO & Executive Director

Thanks, David. In terms of your question on medium-term targets, as you'd have seen from the update here, very focused on delivering on the commitments that we've already made and making sure that we crunch through those and on other promises. We will give guidance on '22 as we go into '22 with those results and then look at the nature of what that guidance might be you've -- I've highlighted before around getting broader than just free cash flow to make sure we got a more balanced view on guidance.

In terms of looking more at the medium term, we'll let that develop as we go through next year. We're going through sort of 5-year planning processes at the moment. As we go into next year, we'll look at how we roll those out.

Warren D.A. East

CEO & Executive Director

And on your specific one about the submarines, David, well, a couple of observations. We've set this up as a special-purpose vehicle. Rolls-Royce currently owns approximately 80% of that, and we probably will, as time progresses, get some additional third-party investments in there. But I think for the foreseeable future, you will see us continue to own a significant majority of that business.

Obviously, from a technology point of view, this is a low technology risk venture because we're taking six decades of experience in submarines and applying it to a new market space. And there's considerable strengths in that.

Also, from a technology point of view, these are very long development cycles. And one of the challenges we have is you have a bunch of engineers who are doing the development phase, and then you go into the sort of productization phase and then the support phase, and the design engineers that you have haven't gotten necessarily another program to work on. So it's quite handy to have a couple of different markets to be -- to keep that expertise in-house.

Having said that, SMRs, by the time we get into the early 2030s, if the -- particularly the off-grid opportunities that we've talked about to generate hydrogen, green -- proper zero-carbon hydrogen and proper zero-carbon synthetic fuel, if they materialize, then, of course, the size of this business could completely dwarf the size of Rolls-Royce today. And so that will be for another generation of management to work out how to structure that at the time.

Operator

Our next question comes from George Zhao with Bernstein.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

I guess first question, how are you evaluating when China could reopen its borders to traffic because that's a huge part of what 2022 could look like?

And then second question is on the B-52 win. Can you talk about how that's going to impact the cash flow over the next few years?

Warren D.A. East

CEO & Executive Director

Okay. Well, let me start with China, where there are plenty of commentators out there. We listen to exactly the same intelligence that you do. We sometimes have meetings with ambassadors and those sorts of people. Frankly, we don't get a lot of extra intelligence that way.

China has been dealing with the pandemic in a very binary fashion, full on, full off. And we can see that behavior in the domestic routes that we power in China as well, where it's very volatile. One minute, the routes are completely open and we're back at 2019 levels of engine flying hours. The next minute, it's full off.

The international bit, our intelligence is that this will be a long way out, probably towards the end of 2022. But who knows? As I say, we've seen healthy recovery in our domestic position in China. Obviously, there's cargo, and China has continued to put on flights for cargo.

So our international-related China stuff is at around about 30% of our 2019 levels, while domestic has been much higher. So it's not completely on-off, but it's very much daily change from the Chinese authorities, and we don't really know when the international one is going to fully open up.

Sorry, on B-52 -- yes, sorry. Sorry, B-52. It's a development phase at the moment, and engine supply will happen, I believe, in the sort of period from about '28/'29 through to 2038 or so. And we have a contract at the moment for the development phase. I said that's about \$0.5 billion over that period. So you can do the arithmetic and lay that across the next 5 years.

Operator

Our next question comes from Nick Cunningham with Agency Partners.

Nick Cunningham

Agency Partners LLP

Yes, a couple of questions. On Defence, I think you're indicating sort of flattish, which is in line with what you said back in March, if I remember rightly. But you did a very strong first half. So that would obviously imply a weaker second half. Is there any significance to that? Or is that just some detailed timing issues that don't mean anything for going forward?

And then on the rebate question on 787. I think you said you expected GBP 300 million of rebates to be paid in the second half. I presume that was your expectation as of August. If we look at the total outstanding, if you like, total customer cash you're carrying that you expect to pay back to them, it involves a lot of supposition on our part to try and get to an estimate. I get to about GBP 1 billion. Is that in the right sort of ballpark? Or is it horribly wrong?

Warren D.A. East

CEO & Executive Director

Okay.

Panos Kakoullis

CFO & Executive Director

Sorry, effectively -- I think we -- you're right, Defence was stronger in the first half than we had originally anticipated, and it's purely a timing thing, Nick. So we had a higher proportion of sales of spares in the first half, and that tends to sort of happen more second half in other years. So it had a skew compared to our plan. So we end up, full year, where we expected to be. Just first half, second half switched a little bit in terms of phasing.

Warren D.A. East

CEO & Executive Director

And on the concessions, we're being pretty explicit about GBP 300 million worth of concessions slipping from one side to the other. And most of the concessions are related to the 787 program. And we've had a bit of concession flow this year on the final deliveries for 380s. But apart from that, it's now going forward pretty much all related to Boeing 787 deliveries. And obviously, we're somewhat at the mercy of Boeing's production plans.

Nick Cunningham

Agency Partners LLP

Just to sort of narrow down a bit, obviously, I think, roughly 105 that Boeing has in inventory. Is your portion of that sort of proportionate to your normal market share sort of 35% to 40%?

Warren D.A. East

CEO & Executive Director

Yes, I would take that as a good rule of thumb. I mean don't forget, a concession on an individual aircraft is not a sort of fixed price because we have a fixed price that is agreed, a list price with Boeing. But then, the actual concession for an individual aircraft that gets delivered will depend on the commercial arrangement that we reached with that airline.

So as long as you work with fairly sort of big numbers of aircraft, you are right. But as the numbers of aircraft get smaller, then I'm afraid you just have to listen to the numbers that we disclose.

Operator

[Operator Instructions] Our next question comes from Harry Breach with Stifel.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Yes. Can you hear me?

Warren D.A. East

CEO & Executive Director

Yes.

Panos Kakoullis

CFO & Executive Director

Yes.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

Yes, great. Can I just ask maybe sort of a couple of slightly more technical ones? I guess first of all, you might remember about a year ago you guys gave us the sort of rule of thumb number of the GBP 30 million delta for every 1% change in engine flying hours versus the 2019 baseline. Is that still a sort of good working assumption for us to be using going forward?

And secondly, just thinking a bit about the time and materials side at civil. I suppose what I'd say is looking at the broad market, it looks as if shop visit activity sort of across all the air engine companies has been picking up fairly strongly in the third and fourth quarter. Can you give us some feeling about how T&M revenues activity are picking up for you in the second half of this year?

Warren D.A. East

CEO & Executive Director

Do you want to say the rule of thumb, Panos?

Panos Kakoullis

CFO & Executive Director

Yes. The rule of thumb, as you called it, that we talked about just over a year ago, it's an okay approximation, and it was done at a point in time given the engine programs and where they were at that particular point in time. But -- so going forward, it's not a bad thing to use. It's not one that I overly use within the business but not a bad thing to keep in mind.

Warren D.A. East

CEO & Executive Director

And on the shop visits and the time and materials, well, our proportion of time and materials activity hasn't sort of particularly changed. I think that what you really want to think about is the shop visit activity. And there has been, generally around the world, a pickup in shop visit activity as aviation generally has grown back. But of course, don't forget, a lot of that, as seen by our competitors and others in the sector, is around short-haul travel.

We're very focused on our fleet, which is primarily focused on long-haul travel. And right now, we can anticipate a significant pickup in shop visit activity. But this is one of the things that we have to manage in a fairly agile way because, as we said in the introductory remarks, the recovery is -- it's not linear. It will be bumpy. There are steps forwards and steps backwards. And emergence of variants and things is a step backwards, but the underlying trend is all forwards. So that underlying trend will drive shop visits that is driving an underlying significant step-up in the load on our factories to build components for next year.

But in the detail on a week-by-week basis, we'll be looking at the actual demand for components from shop visits, whether that's paid on a time and materials basis or on a long-term service agreement basis. As far as we're concerned, the difficult bit is managing that load on our factories as the shop visit ramp comes towards us. But ours is going to be behind the rest of the industry because we're not servicing short-haul aircraft.

Panos Kakoullis

CFO & Executive Director

And if I just sort of joined your 2 points together as well, when you think about the rule of thumb, it's not -- don't think of it as 100% because if I'm -- if we've got lower engine flying hours, which means there's lower cash inflow from that, that means most likely, and it's what we saw this year, shop visits get pushed out. So that cash outflow from shop visits moves out in addition to the inflow from lower engine flying hours.

Operator

Our next question comes from Christophe Menard with Deutsche Bank.

Christophe Menard

Deutsche Bank AG, Research Division

I had quick questions. The first one, on B-52, more specifically on free cash flow, should we expect a prepayment in the coming years? Or is it really we should think about it as the tranches and seeing prepayment in 2028 when you -- or 2027 when you -- or before the first deliveries of engines?

The -- on the SMR, did you actually dispose a 20% stake and received GBP 145 million in cash? Or is it me misunderstanding? And if you received -- I mean, if that was cash, did you receive it in 2021 or is it for 2022?

And the last point is on ITP. You haven't mention any retained cash that you could have. Could you give us a range of what you could retain when the transaction closes?

Warren D.A. East

CEO & Executive Director

Yes. Okay.

Panos Kakoullis

CFO & Executive Director

So on -- I'll pick up each of those. On B-52, on prepayments, clearly that's commercially sensitive. We will factor that into guidance as we go forward. But as Warren has said, that is likely to be in the more medium term, the impacts of that, than the shorter term.

SMR, the -- effectively, the way the transaction works, you are right, there is a disposal of 20%. But don't think of it as an M&A transaction because it's effectively disposal of 20% to bring in funding into that particular business. So it's not used for anything else other than going into that business. The profile of

that cash comes in over the next few years to match the actual funding requirements for the business as it develops the technology and starts to build out.

On ITP, the retained cash point, clearly that's something that we've not disclosed at this stage because it is commercially sensitive, and it is subject to negotiation, where we end up with. There is a floor to it, though, but I'm not going to disclose that now.

Operator

Our next question comes from Wasi Rizvi with Redburn.

Wasi Rizvi

Just a couple. One, if we could just think about free cash flow for next year because you talked about a GBP 300 million swing for next year. But then I guess restructuring is going better. And the engine fly hour recovery, who knows? But as we sit here today, are you thinking that we are probably still positive next year? And what -- when you think about in regards to what could change that?

And then a second one was just on Power Systems to better understand the supply chain issues you've talked about. If you could kind of pinpoint maybe what the pinch points are, whether it's more transport, whether it's more component availability, so we just know which -- or what to look at and what to look for and easing and to get more comfortable on Power Systems heading into next year.

Warren D.A. East

CEO & Executive Director

Yes. Okay. Let me take that then. On the free cash flow for next year, I mean, yes, we're clearly signaling this GBP 300 million of concession slipping from year to year, which means we've got a GBP 300 million headwind for next year. Also, we have a sort of lumpy recovery and -- in terms of gradual recovery. And I think engine flying hours, they'll be what they will be. But as we mentioned at the half year, the uptick that the industry looked for and hoped for in the first half of this year did not materialize for the Northern Hemisphere summer period. And so we're going into 2022 at a lower level than we previously expected. So those are all headwinds.

That said, we still expect to be and plan to be, and we're pushing with the things that we can control to be in positive cash territory for next year. When we get to our full year results in February, then we'll give exact guidance. But remember the context. Last year, GBP 4.2 billion of cash outflow. This year, it's going to be better than GBP 2 billion. It's going to be better than GBP 1.7 billion. And next year, it's going to be a positive territory. So there's a fairly well-defined trajectory there on free cash flow.

Now your second question was about specifics on Power Systems. Look, these are the sort of supply chain challenges that virtually every other company on the planet is seeing. Good examples in our business would be where we supply a system with a reciprocating engine and, say, a generator set and some control electronics, and the supplier for the control electronics just can't get the semiconductors. Semiconductors is a big part of those sorts of products. Meanwhile, we've got an engine and a generator that we've sourced, and we can't deliver the whole product. And so that's the type of supply chain challenge that we're seeing. It's not really a freight issue, it's more a component supply issue. And that's what we'll be managing closely as we go through next year.

Okay. All right, well, with that, apparently we have no further questions, so let me just sort of summarize with this morning's messages.

Our financial performance is improving. We're seeing healthy demand in our Power Systems business. The order book is strong and up. We're seeing a gradual recovery in aviation in our civil business. Business aviation is doing well, above 2019 levels. Gradual recovery in the commercial space. We're seeing new opportunities coming through on top of a continued resilient performance in our Defence business.

We're delivering on the commitments that we made around the time of the rights issue. We're ahead of plan with our restructuring program, which is obviously putting us -- giving us great operational gearing for when -- as the top line recovers with recovering markets. We are on plan in terms of our disposal plan

with transactions announced to generate around GBP 2 billion of cash, and we expect those to close during 2022. And we're seeing improving cash flow as well, as I just described.

We're concentrating on controlling the things that we can control, and that's enabling us to deal with volatility. And the pace of recovery in aviation is enabling us to deal with the supply chain issues that we face. And we're focusing our investments looking forward on the huge business opportunity in the energy transition, which will drive significant growth for the future.

So that's where we are now. We'll be back in 8 to 10 weeks, whenever it is, with our full year results and wish you a good, festive season. Thank you.

Operator

This now concludes our teleconference. Thank you all for participating. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2021 Earnings Call Transcripts

Thursday, August 05, 2021 7:30 AM GMT
S&P Global Market Intelligence Estimates

	-FH1 2021-	-FH2 2021-	-FY 2021-	-FY 2022-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	(0.03)	0.00	0.00	0.04
Revenue (mm)	5373.96	6405.54	11889.32	12857.34

Currency: GBP

Consensus as of Aug-05-2021 8:18 AM GMT

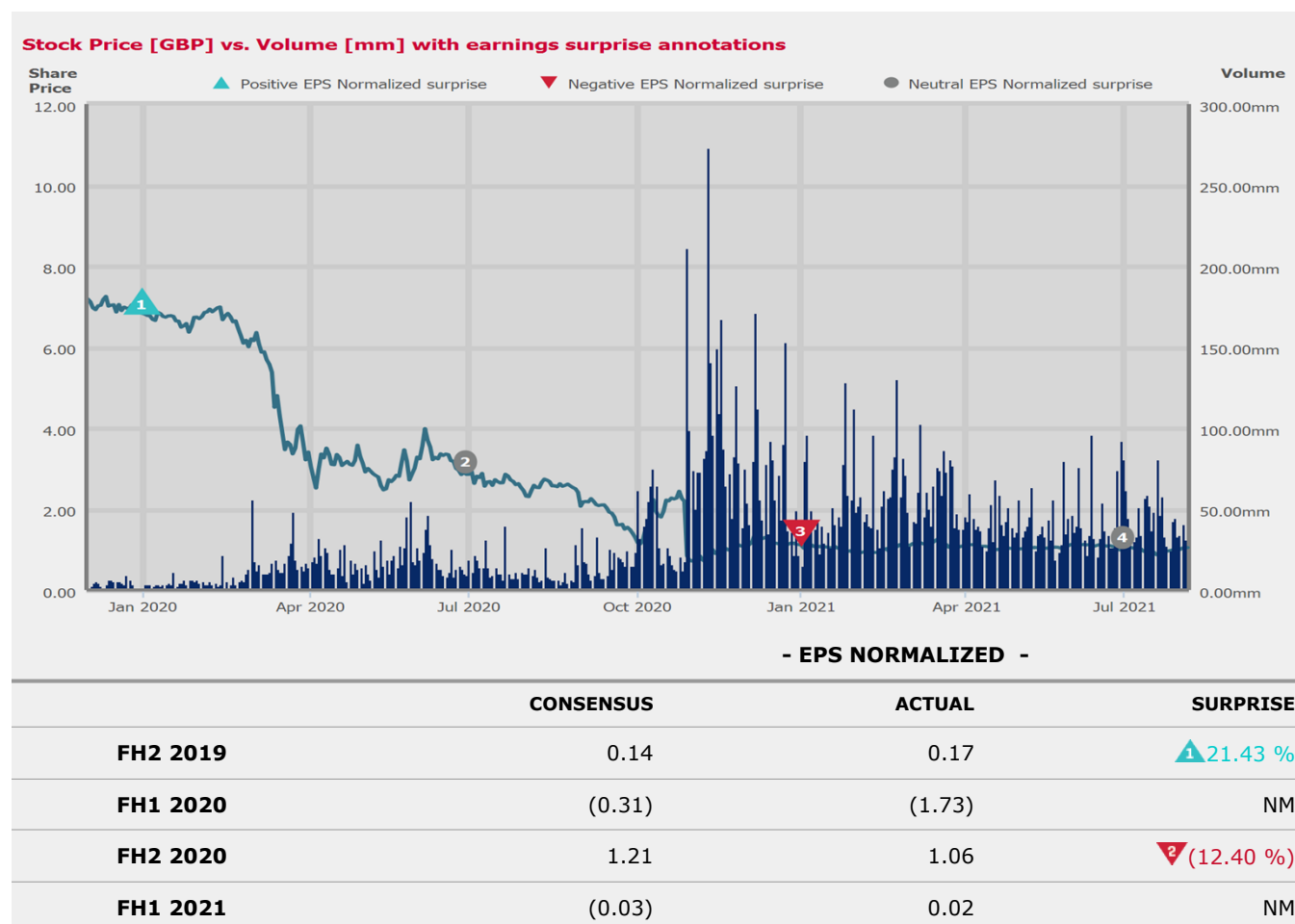


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Presentation

Operator

Good day, and thank you for standing by. Welcome to the Rolls-Royce 2021 Half Year Results Conference Call. [Operator Instructions] Please be advised that today's conference is being recorded. I would now like to turn the conference over to your presenter today, Isabel Green, Head of Investor Relations. Please go ahead.

Isabel Green

Head of Investor Relations

Hello, and welcome, everyone, to our 2021 half year results presentation. With me here today are Warren East, CEO; and Panos Kakoullis, our recently appointed CFO. Warren will begin today's presentation with an overview of our first half performance before handing over to Panos for a more detailed review of our financial results. Warren will then conclude with an update as we look out to the future. In all, they should take less than 40 minutes, leaving time at the end for your questions.

Before we begin, please take note of the safe harbor statement on Slide 2. This results presentation contains forward-looking statements that involve risk and uncertainty, which may cause the actual results to differ materially. The full set of results materials can be downloaded from the Investor Relations section of our website.

Thank you, and over to you, Warren.

Warren D.A. East

CEO & Executive Director

Thank you, Isabel. Hello, everyone, and thank you for joining us for our virtual half year results presentation. As Isabel mentioned, I'm very pleased to be joined today by our new CFO, Panos Kakoullis. Panos joined us in May, bringing with him a wealth of financial experience from over 30 years at Deloitte, and we're delighted to have you on board, Panos.

Since our full year results, we've also appointed a new chair, Anita Frew, who joined the Board a month ago and will succeed Sir Ian Davis on the 1st of October. Anita is an experienced chair with in-depth experience from 2 decades of Board appointments, both in the U.K. and internationally, and we look forward to utilizing her skills for the benefit of the group.

I'd also like to take this opportunity to thank Sir Ian Davis for his outstanding contribution and dedication to Rolls-Royce and his stamina. We wish him the very best for the future.

This half, we also appointed Mike Manley as Non-Executive Director, and he joined the Board from the 1st of July. Mike has led businesses in the automotive sector in Europe, Asia and the U.S. and we value what his capability and experience will bring to us.

This half, however, has not only been busy in terms of Board appointments. It's also been a great chance to get out on the road again. So here, on the slide, are a couple of examples. In late May, we opened our new testbed in Darby. Testbed 80 is the world's largest and smartest indoor aerospace testbed and covers both production and experimental testing requirements.

And it was a major milestone for us. It's essentially a scientific instrument that's about the size of a cathedral with the most advanced testing technology we've ever used. We were delighted to have the right honorable Kwasi Kwarteng, Secretary of State for the Department of Business, Energy and Industrial Strategy to join us for the opening ceremony.

I also recently joined U.K. rail operator Chiltern Railways as they celebrated their 25th anniversary, and they chose that event for the first journey on the public rail network for their new hybrid flex train. That

was the result of a joint project that we've undertaken with Porterbrook, the U.K.'s largest owner of passenger rolling stock to bring hybrid trains to the U.K. network.

The hybrid flex uses our MTU Hybrid-PowerPack, and [Jens Gorcka] with me in the picture is our engineer who's been babysitting it through several months of final trials and testing. This is just one of many examples of how our technology is playing a pivotal role in the transition to net zero. And we were absolutely delighted to be part of the groundbreaking team alongside Chiltern Railway and Porterbrook. And that hybrid flex is due to begin regular services in September.

So now moving on and looking at our first half highlights. We've seen good progress and improvements in many areas across the group, and we're delivering on our commitments. Business performance is in line with our expectations and guidance, and we're moving forward with new business opportunities for future growth. In Civil Aerospace, we've made excellent progress with the restructuring program, and I'll go into that in a bit more depth in a moment.

Business Aviation had a strong performance with flying activity returning to levels that we last saw in 2019, and that's also been the case for our large engines that are operated on domestic routes in both the U.S. and China.

And in Defence, there has been demand for technology-led solutions with the U.S. Department of Defense and the U.K. and Ministry of Defense remaining completely committed to serious modernization and decarbonization of their fleets.

In Power Systems, we've seen a recovery in our order intake and book-to-bill ratio with orders up 19% year-on-year, led by demand improvements in all our markets, but particularly in marine, governmental and power generation.

In June, we went public with our net zero pathway, and we announced targets which set out our plan to develop new technologies, accelerate the take-up of sustainable fuels and drive step change improvements in fuel efficiency, and as well as decarbonizing our existing businesses. We're making disciplined investments in some exciting and potentially very significant new growth opportunities to lead the way to net zero power with our innovation and engineering excellence and grow the civil aero business into subsectors that are new for us.

Turning to the next slide. Let's have a quick update on the progress that we've made on the restructuring program we announced 15 months ago. That's been focused on our Civil Aerospace business. We committed to a reduction of at least 9,000 Rolls across the group. To date, we've removed around 8,000, and we remain confident of reaching our target. That will be a reduction in civil aero of about 1/3 of management roles with commensurate reductions across staff functions, engineering and manufacturing.

Our footprint rationalization is progressing well. We launched our large engine for assembly in Singapore as we consolidate that activity here in the U.K. We've moved equipment from Crosspointe in the U.S., and ahead of closing that facility, the machines were already up and running in Darby and contributing to improved productivity there.

And when complete, we will have consolidated 11 sites down to 6, delivering productivity and operational cost benefits. And that builds on our investments in efficiency that we made previously, and we continued to roll out during 2020. So all in all, we're now achieving significant reductions in cycle times and overall productivity improvements.

With CapEx reductions as well and operational cost improvements, we, therefore, remain on track to deliver cash cost savings of at least GBP 1 billion in 2021 and over GBP 1.3 billion of sustainable run rate savings by the end of 2022.

Moving on to the next slide to summarize what this means for our financial performance. We've had a solid start to the year with improving cash flows and profits as expected. Our business split is looking more evenly balanced.

Our underlying operating profit increased significantly at GBP 307 million. And our free cash flow, though still in negative territory, was also markedly improved to just under 1.1 -- GBP 1.2 billion of cash outflow for the half as we transition towards positive cash generation.

Our restructuring program is delivering results. And as I said a moment ago, we expect to achieve over GBP 1 billion in savings versus 2019 this year. This also makes us a leaner organization with a lower breakeven and much better operational gearing as growth resumes. And our disposal program is also progressing well towards our target of at least GBP 2 billion in proceeds.

With GBP 7.5 billion of liquidity and no maturities before 2024, we're confident our position is strong and not dependent on the pace of Civil Aerospace recovery. And in addition, of course, we expect to generate funds as we execute on our disposals activity.

So I'll now hand over to Panos for a more detailed review of our results.

Panos Kakoullis

CFO & Executive Director

Good morning, everybody, and thank you, Warren. I'm delighted to be here taking you all through my first set of results. I'm very excited to have joined Warren and the rest of the Rolls-Royce leadership team in helping the business achieve its true potential in the coming years.

And what attracted me most is the opportunity to help fulfill that potential by very clearly delivering on the commitments we have made; by building a balanced, profitable and cash-generative business; by getting the balance sheet back into good shape; and by helping capture the demand and upside created by the energy transition. So let's just move on to the numbers.

Our half year results, which we presented here on an underlying basis for the continuing businesses in the group, where they show a solid start to the year. Our restructuring program is very much on track and has helped to drive our return to profit in the period.

Underlying revenue, that stayed steady, only 2% lower than the first half of 2020. And we've seen a much more balanced contribution from across the business units. Last year, well, the first quarter was relatively unaffected by the emerging pandemic, and as you'd expect, provides a challenging comparative whilst the second quarter last year was severely impacted. In fact, April 2020 was the low point for industry flying hours. This half year has been much less volatile despite some continued uncertainty with gradual recovery across the period.

Operating profit was GBP 307 million. This reflected the significant cost savings from the restructuring program that was largely focused on Civil Aerospace. We've also benefited from some favorable timing and the mix of activity in both Defence and Power Systems. In addition, last year's underlying operating loss of GBP 1.6 billion included GBP 1.2 billion of one-off charges in Civil Aerospace, mostly related to the impact of COVID-19.

In the first half, we've incurred GBP 174 million of financing costs. This primarily reflects the interest charges and facility fees on the debt and facilities that we secure to underpin our robust GBP 7.5 billion liquidity position. That liquidity provides us with the confidence in our ability to withstand ongoing uncertainties around the pace of recovery in international travel. Financing costs in the prior period where they included a GBP 1.5 billion one-off charge on closing the overhedged position.

Turning now to Civil Aerospace. We've seen an overall improvement in performance driven by the significant cost actions we've taken. In addition, we're seeing a recovery in business aviation and domestic flying activity, where our engine flying hours have returned to 2019 levels during the period.

Large engine long-term service agreement flying hours were 43% of the 2019 level, up from 34% in the second half of 2020. And this gradual upwards trend is still constrained by ongoing international travel restrictions and the uneven progress of vaccination programs around the world.

During the period, we completed 284 large engine shop visits, 92 of which were major overhauls. Demand for new aircraft is expected to follow once existing fleets are well utilized. We delivered 100 large engines

and 48 business jet engines in the first half, broadly in line with expectations. Civil revenue is GBP 2.2 billion, some 13% lower than the comparative period. We've returned to operating profit at GBP 39 million.

We continue to focus very heavily on the areas within our control and have seen substantial sustainable cost benefits from our restructuring program. We are well on the way to reducing the size of our Civil Aerospace business cost base by around 1/3.

Our Defence business, which is set out on the next slide, continues to perform well. Revenue of GBP 1.7 billion is up 17% year-on-year. Operating profit is at GBP 269 million, up from GBP 210 million in the first half of 2020.

We've seen continued demand and improved operational performance. This is driven by the continued resilience of our submarines business, coupled with early delivery of spare engines and higher spare parts sales. That mix, which delivers better margins, has historically been more second-half weighted.

Now that favorable timing of mix in the first half is expected to result in a stronger first half versus second half performance. So our full year expectation is for broadly flat revenue and profit in Defence are unchanged. We have a strong order book, giving us confidence in that outlook with more than 70% cover for our expected sales in 2022.

In Power Systems, which we set out on the next slide, revenues were broadly stable in the first half with an increase in services offset by a reduction in OE deliveries. Operating profit was GBP 41 million, up from GBP 33 million in the first half of 2020. We've seen a rise in higher-margin aftermarket spare parts, partly offset by low factory utilization on OE manufacturing.

Now the other point of note here is that order intake was up 19% to GBP 1.4 billion. This is led by improved demand across all of our end markets with particular focus in marine, governmental and power generation. Most of that recovery in OE order intake is expected to be realized as revenue over the next 6 to 12 months. We're also seeing interest in lower carbon solutions growing, and we continue to wisely focus our R&D investment on these products.

Turning to the next slide. We've set out our funds flow. We saw a GBP 1.2 billion cash outflow in the period from our continuing operations, which is a significant improvement on the GBP 2.9 billion outflow last period. And just to help you understand it a little bit better, we've grouped this movement into 3 buckets.

Firstly, we saw a trading improvement of around GBP 1 billion. This looks through some of the noise of noncash items and was driven by a fundamental improvement in EBITDA, thanks in large part to our cost savings. Our capital expenditure was lower too, in line with planned spend as part of the restructuring.

Secondly, our working capital outflow was GBP 1.2 billion better than the first half of last year. This was mostly due to the non-repeat of the unwind of invoice factoring. Our concession balance fell by GBP 239 million, which was lower than we planned for due to third-party deliveries moving out. Our strong liquidity position means we are not sensitive to the precise timing of the unwinding of these delayed concessions.

Thirdly and finally, there are around GBP 500 million of other headwinds year-on-year. Payments relating to the cash cost of closing out the overhedged position in 2020 increased in line with our previous disclosures. And you can see the detail of that in our supplementary slides.

Interest and facility fees increased as guided with higher average debt and committed fees on facilities that strengthen our liquidity position. Pension cash costs were higher due to a one-off catch-up on a payment that was deferred from last year.

Our free cash flow is continuing to improve. The combination of restructuring and recovering end markets is putting us on track to get back to positive cash generation. We remain confident we can deliver on our guidance for around GBP 2 billion outflow for the current year.

Turning now to our balance sheet on the next slide. We ended the period with net debt before leases of GBP 3.1 billion, and we expect to end the year around GBP 4 billion. To rebuild our balance sheet and get back to an investment-grade credit profile in the medium term, we are very focused on executing on our

disposals program, together with tightly managed operational improvements in driving positive free cash generation from the business.

A strong balance sheet is important to us. We will balance the pace of that rebuild with the investment opportunities across our portfolio to make sure that we maximize long-term return for our shareholders. Our liquidity position is strong at GBP 7.5 billion. That is after repaying the EUR 750 million bond and the GBP 300 million COVID corporate finance facility in the period. And we've recently extended the 2022 GBP 1 billion unutilized loan facility to 2024. That means all of our debt maturities extend to at least 2024.

We're confident in our liquidity position. It's strong, and we're not dependent on the pace of Civil Aerospace recovery. The disposals program is progressing well and we continue to target proceeds of at least GBP 2 billion. We can't say much in detail here because of the ongoing processes, but we are having very constructive discussions and expect to achieve proceeds within the next 18 months.

Early this year, our announced agreement to sell Bergen Engines was interrupted. We're now back on track, and you'll have seen the agreement that was announced yesterday. We're focused on getting the right results for our shareholders, and we will continue to do so in a measured way with plenty of liquidity, and there are no near-term pressures as we rebuild the balance sheet. We will focus on making sure that we achieve the right value for our investors.

Moving on to outlook. We've made a good start to 2021, and our guidance for the full year is unchanged. We continue to expect to turn free cash flow positive sometime during the second half of this year. We also expect a full year free cash outflow of around GBP 2 billion, which would represent an improvement of over GBP 2 billion on 2020.

This outlook was supported by continued resilience in Defence, growth in order intake in Power Systems, a gradual recovery in Civil Aerospace and our actions to drive down costs. As previously highlighted in our full year results in March, our guidance does, of course, remain sensitive to the timing of OE concession outflows on already delivered wide-body engines.

Looking further ahead, we are confident that when border restrictions are lifted, the recovery of international travel will accelerate. The recovery we are already seeing in domestic aviation is encouraging. Free cash flow of at least GBP 750 million is still achievable in a 12-month period when engine flying hours exceed 80% of 2019 levels. However, given the uncertain pace of recovery in international travel and looking at industry forecasts, it is unlikely that this will occur in 2022.

We have a clear pathway back to a net cash position in the medium term. We have plenty of liquidity to manage the uncertain pace of the recovery in engine flying hours in the meantime. We're positive on the near-term opportunities in both Defence and Power Systems. The opportunities in our new areas of business, electricals and SMRs. We remain agile in our response to external factors and continue to deliver on our restructuring, rebuilding our balance sheet and investing in our future.

Before I hand back to Warren, let me just give you 2 minutes on what I'm very much focused on going forward. I very clearly heard 3 things in meeting our investors: One, make sure you deliver on the near-term commitments you've made; two, simplify financial reporting, make it easier for us to understand the business; and three, set achievable targets for the medium term and then achieve them or even beat them.

And here are my clear priorities, which I'm going to keep returning to and reporting against. We need to deliver on our commitments, and right now, the focus for me is to realize the sustainable savings from our restructuring program, making sure the costs go out and stay out. That gives us a clear route to rebuilding our financial position.

Last year, that was a very challenging one for Rolls-Royce, and we were well supported by our investors, lenders and the U.K. EF. As a result, we have around GBP 3 billion of net debt today. That is too high. We will reduce it over the coming years.

Secondly, we need to simplify. We need to break down the complexity in our financial communication. There is progress to be made in having a more straightforward way of explaining the finances in our business. I've taken some steps already to reduce the complexities and there is more to come.

And finally, as we look in setting those targets, we look to the future, we're going to continue to wisely invest in that future. We're at an exciting juncture with huge opportunity to lead our markets in the journey to net zero. We also have the opportunity to take our innovation and technology into new markets with incremental growth. And we won't stop investing in our current products. There are good near-term returns available from increasing durability and efficiency. So 3 things: deliver on the commitments, simplify how we report, and invest wisely.

With that, I'll hand back to Warren.

Warren D.A. East

CEO & Executive Director

Thank you, Panos, for the clarity there on our half year results, and thank you for the insight into the priorities that we've been discussing. I'm now going to turn to the future and the opportunities to further progress our business.

So as many of you know, in June, we launched our net zero pathway and its targets. And although we operate in some of the hardest areas of the global economy to decarbonize, we showed our commitment to playing a fundamental role in meeting the challenge of climate change.

Now that doesn't mean that we're stepping away from our traditional markets rather, that we're applying our engineering expertise and technology to find innovative and more sustainable solutions, which enable our customers to do things like continue flying without damaging the environment. At the same time, those solutions can generate additional growth opportunities for our business.

On the left-hand side, you can see how a focused range of our interrelated technologies is applicable to decarbonize the complex critical systems in which we operate within a broad categories of energy, transport and to the built environment. So there's not time today to discuss that part of the slide in depth.

The main graphic demonstrates our technology pathway to net zero in 3 broad categories with fuel efficiencies, new technologies and sustainable fuels, we can make a huge difference to Scope 3 greenhouse gas emissions by 2050.

On the right-hand side, you can see compatibility with sustainable fuels plays a central role as we outline some of our net zero targets and commitments. These are also reflected in our remuneration policy.

By 2023, we aim for all of our in-production commercial aero engines and our most popular diesel engines to be compatible with sustainable fuels. And by 2030, for all of our new products to be compatible with net zero operation. And in our Power Systems business, we aim to achieve a 35% reduction in lifetime emissions of new products sold. And by 2050, our ambition is for all of our products to be compatible with net zero operation. Now these are not simple goals. These will require collaboration across our businesses within Rolls-Royce as well as within a growing and evolving ecosystem.

So looking to the future. Looking to our future strategy, it is about enhancing profitability in our existing businesses and developing growth opportunities triggered and enabled by the energy transition. The foundation is our large installed base.

We're driving value in our existing portfolio through product enhancements that increase the efficiency of our products, so delivering more value to the customer, and also increasing durability in our civil business, for instance, leading to increased time on wing and therefore, increased profitability of our long-term service agreements.

In Civil Aerospace, we're now entering a lower investment phase as our engine programs mature. Now our focus is on further productivity and efficiency gains, for instance, with increased use of digital technology. Meanwhile, we're ensuring compatibility of our civil and business aviation engines with sustainable aviation

fuels, and our UltraFan architecture will deliver a further step change in efficiency, making it easier for our customers to adopt the more expensive SAFs in the long run.

In Power Systems, we have a loyal customer base with replacement cycles that are regular and relatively predictable. And that gives us a great opportunity to work with those customers as we convert together, driving penetration of greener technology based around hydrogen, hybrid, and pure electric solutions. We're also exploring ways to expand our network further into newer growth regions globally.

In Defence, our products have long life spans, which require us to provide upgrades and aftermarket services. We're also making investments in adjacent opportunities to expand our product portfolio further. And as mentioned at the full year results, we estimate over GBP 7 billion of lifetime value from tenders that are related to the B-52 re-engining program and the U.S. Department of Defense Future Vertical Lift program. We're also working with our Defence customers on compatibility with sustainable fuels and opportunities for new and greener solutions.

Now the energy transition also creates opportunity for new business. In Rolls-Royce Electrical, we're focused on the electrification of aviation. For us, that's about applying new technology to a market that we know very well indeed. For instance, safety and weight considerations, of which we have a thorough and deep understanding, are absolutely paramount.

This offers some of the most exciting and innovative areas for growth outside of our current portfolio. We now have over 300 engineers working in our aerospace electrical business, a fourfold increase over the last 2 years. And since we last updated you at the full year results, we've made excellent progress on the development of our all electric propulsion systems for smaller aircraft.

Now our commercial contract with vertical aerospace, left-hand picture on this slide, is progressing very well around the eVTOL vehicle, and they recently announced preorders for 1,000 aircraft with a potential value of over \$4 billion. Vertical also recently announced their intention to list on the New York Stock Exchange.

In another subsector, we announced a collaboration with Tecnam and Widerøe to cover the development and delivery of the zero-emissions P-Volt commuter aircraft, that's the middle picture on this slide, targeting an entry into service in the middle of the decade. We're also now testing a 2.5-megawatt power generation system used in hybrid electric propulsion. We saw a picture of that generator also on the front cover of this presentation.

We'll talk more about Rolls-Royce electrical and for that matter, SMRs, our full year results, reflecting the way that we create focus on these areas internally in line with normal requirements for segmental reporting.

Now it's not just about developing new technology for markets we know well. The energy transition is also an opportunity to take technology we know well and apply it to new markets in pursuit of growth, and that's what we're doing with SMRs. So turning to SMRs, or small modular reactors, it's not just about developing new technology for markets we know well. No, the energy transition is also an opportunity to take technology that we know very well and apply it to new markets in pursuit of growth, and that's what we're doing with SMRs.

Firstly, SMRs it's important to note that as with Rolls-Royce electrical, any SMR revenue generated will be additive to the current portfolio. And the reason why we see so much potential in SMRs is because they're affordable for both on-grid and off-grid applications, providing zero carbon nonintermittent electricity, but they're also scalable to create large quantities of zero carbon power in a reasonable time frame, and it's increasingly clear that the world needs large-scale practical solutions fast.

It's important to note that this isn't just about electricity for the grid. SMRs are ideal for the production of zero carbon hydrogen, synthetic aviation fuel, and other sustainable fuels so further enabling the production of clean energy for a range of different sectors and applications. And those countries around the world seek to comply with their legally binding carbon abatement targets, the stable supply of low-cost power becomes incredibly important. Our SMRs fit that need perfectly, creating a substantial global

opportunity, even though our initial efforts, highlighted here in the time line on the slide, are focused on a U.K. grid-based application.

We're particularly excited just now as we're in the process of forming a special purpose vehicle to take the program forward into the next stage of its development and we intend to enter the U.K. regulatory process this calendar year. And we'll step through the regulatory and policy processes in tandem, and we'll be targeting first power to the U.K. grid around 2030 with export orders following shortly thereafter.

So let's summarize. I'll reiterate some of the key points for a takeaway. First and foremost, we're delivering on our financial priorities. Our restructuring is on track and delivering the results that we expected. Our disposal program is also progressing well towards our target of at least GBP 2 billion in proceeds. Our cash flow and profitability are both showing significant improvement, and they're on track for our 2021 guidance. And we have the strong liquidity and clear pathway needed to get back to net positive cash and an investment-grade profile.

Furthermore, as we look forward towards a low-carbon future, we will play a leading role in the transition to net zero carbon emissions by 2050. And that is through both decarbonization of our existing businesses and through multiple exciting growth opportunities for incremental business. And with that, I'd like to...

Question and Answer

Operator

[Operator Instructions] And the first question comes from the line from Andrew Gollan from Berenberg.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

Welcome, Panos. 2 questions, please. First one is on the concession payments issue. So what is the expected benefit to free cash flow this year from the deferred payments on the Trent 1000? And compared to your assumption when you first guided to a free cash flow -- or free cash outflow of GBP 2 billion? And I guess, effectively, is it just an offset to the lowered hopes engine flying hours? So that's the first question.

Second question on the all fleet exposure. So pre-COVID, can you say what the percentage of engine flying hours were from Asia Pacific, ex-China? And given the slow progress of vaccinations there, what are your expectations for flight hours in that region in 2022, please?

Warren D.A. East

CEO & Executive Director

Yes. Okay. Panos...

Panos Kakoullis

CFO & Executive Director

I will do. Thank you. Thanks, Warren. Delighted to be here for my first set of results. And I guess, Andrew, what I would say when I look at full year guidance, and one of the things that struck me as I came into the business was this is a very broad-based group with 3 businesses in it. And there are a number of variables, both -- some in our control and some not in our control when we look at that full year guidance.

We've reiterated the GBP 2 billion outflow this year. There are definitely some ups and downs within that. You've mentioned concessions. There are some concessions that could go out and there are indeed some that could come back in. So there is some variability there. There is, I guess, a hedge within that around recovery in engine flying hours as well.

So when I look across the whole group, we're comfortable in reiterating that guidance for this year, when I look at each of the variables, particularly the ones that are in our control. We've sort of highlighted the benefits that we're getting from the cost measures and the restructuring that we've already taken within the group.

In terms of fleet exposure around those details. One thing I would highlight, and you've talked about China in particular, we have seen a recovery in domestic flying hours back to 2019 levels. And we know there is a significant part of that comes from Chinese domestic flight.

Warren D.A. East

CEO & Executive Director

Yes. I think the answer on the regional piece is that, yes, we do have an exposure in Asia and our big customers, Cathay and Singapore, clearly sort of facing reduction compared with where they were pre-COVID. As Panos said, we've been -- we can see the underlying demand in that region from the domestic travel in China.

And it is just a question of how quickly orders can open, and that's a question of how quickly vaccination rates can get to a level to have significant proportions of the population vaccinated. And clearly, that's one of the contributory factors to what we're seeing as a very slow and gradual improvement in our overall engine flying hours.

To answer specifically around the proportions, then it's approximately 20% of 2019 levels of engine flying hours that are exposed to international flights in that part of the world.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

If I could just follow up quickly on the concession payments answer. So if we simply break it down, I mean, at one point, we were talking around a target of GBP 750 million free cash flow at 80% engine flying hours. And if we assume a sensitivity of GBP 300 million or so for 10 points.

So if we take step down on the engine flying hours assumption of 10 or 20 points, say, and then adding a headwind from concession payments catching up, does that indicate a scenario that we could be closer to breakeven free cash flow in 2022? Or is that just too simplistic?

Warren D.A. East

CEO & Executive Director

I think it's a bit too granular. And no, we're on a clear trajectory. I mean, last year's cash outflow, we know was over GBP 4 billion. This year, we're sticking to a cash outflow of around GBP 2 billion. We are sticking with our comments sort of going through to reaching cash positive at some stage during the second half of this year.

And we'll be coming out with some specific guidance on cash for 2022 when we do our full year results. But we absolutely expect to be in positive cash territory by some margin.

Operator

The next question comes from the line from Robert Stallard from Vertical Research.

Robert Alan Stallard

Vertical Research Partners, LLC

A couple from me. First of all, obviously, been a lot of reports of older aircraft being retired and their engines being retired as well. I was wondering if you've seen any impact as a result of parting out of older wide-body aircraft in the first half that was any different from what you saw in the second half of last year? And then on the business jet side, the Gulfstream G700 with the Pearl engine, are you seeing any additional challenges in getting that engine certified?

Warren D.A. East

CEO & Executive Director

Well, no particular changes to the patterns that we've seen on retirements of older aircraft in the first half of this year versus what we saw in the sort of in the second half of last year, really. I mean, and as far as our fleet is concerned, obviously, this impacts things like the RB211s and the Trent 800s. We've got specifics around Trent 900s on 380s, where some of those much larger aircraft have been parked.

I think the thing looking forward for us is how quickly the A330s that have been parked return to service. And if we look there, we were coming into the pandemic, the sort of de facto market leader in terms of share. And that had been a relatively recent, i.e., sort of last 5 to 8 years phenomenon, and therefore, our engines are significantly newer.

And so we would expect that the younger engines on the Rolls-Royce-powered A330s are the ones that will be favored when those A330s go back into service. On the Gulfstream and the new program that we're doing there, there are no particular extra challenges with certifying that engine at the moment.

Operator

The next question comes from the line from Jeremy Bragg from Redburn.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

A couple of questions, please. First one on the breakeven rate for engine flight hours for free cash flow. So sorry, I'll put that a bit better. You're aiming to break even from a free cash flow perspective at some point in the second half of this year, and would you be able to state the engine flight hours required to do that, please?

Second question on engine flight hours again. When do you think you will return to 2019 levels roughly? And that's obviously the net of retirement and deliveries. But I guess where I'm going here is you've taken 1/3 of cost out structurally in civil. So I'm just kind of curious to sort of see your view of when that recovery point is, please?

And then the third question, if I may, please, around R&D. I note that you're spending 75% of gross R&D on sustainable technologies from now. Have you revised your assumptions on the self-funded R&D that you might spend over the next few years, please? And do you think -- do you still think there is a route to market for UltraFan given the lack of any new wide-body platforms?

Warren D.A. East

CEO & Executive Director

Yes. Righto, Panos is going to have the first question, and I'll...

Panos Kakoullis

CFO & Executive Director

Yes. Let me pick up on your first question around breakeven, Jeremy. I think as I mentioned earlier on, there are a number of ups and downs and variables that contribute to our results. Engine flight hours, as you rightly pointed out, is one of them. That's not one that's within our control.

When we reiterated the guidance for this year, that GBP 2 billion outflow and that positive at some point within the second half, we do look at all of those variables. The impact of the restructuring, some of the headwinds that we had in the first half of this year, which we've called out. When I put all of those in the mix, that's how we get confident that we will get through that breakeven rate this year.

In terms of the forecast going forward, when do we get to 2019 levels? There are a lot of industry forecasts out there as to -- we can look at -- you can look out and rather than us adding our own. I'd encourage everyone to look at what the wider industry forecasts are.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

On that though -- Panos, sorry to interrupt. I mean, we can look at the industry forecast, but you've always been quite assertive in the past that you've got a younger and better positioned fleet than the industry on average. So I'm guessing you must have your own separate view on that, please?

Panos Kakoullis

CFO & Executive Director

We do, and you can -- I think you can look historically how we have tracked against those industry forecasts. And I wouldn't expect us to be outlined with those industry forecasts.

Warren D.A. East

CEO & Executive Director

Yes. And again, industry forecasts are not very different from our own expectations of getting back to 2019 levels. And I think we've been fairly consistent that, that is some way off probably in the sort of 2024, maybe even 2025 time frame, we're going to see -- we will see a pickup when international travel opens.

The demand that we're seeing where it has opened is a good indicator that there's plenty of demand there. So we can't be any more clairvoyant than anyone else. It's a few years away before we get back to 2019 levels. And that's an indication of the changed behavior that everybody talks about around travel.

On R&D, then there's no big change to the absolute quantum that we've talked about before. I think what you are seeing in some of our commentary, though, is a tilt towards net zero and lower carbon, and an intention to push that up over the next several years to be 75% of our R&D investments and CapEx investments. And that is a process that we're going through at the moment, fairly disciplined capital allocation over the 5-year -- next 5-year period.

Well, I think that's about it really on the answer.

Operator

The next question comes from the line from Ben Heelan from the Bank of America.

Benjamin Michael Heelan

BofA Securities, Research Division

I had 2. The first one, you highlighted you're making good progress on the disposals, and you said there's not much incremental you can give on those processes. I was wondering if you could give any indication about how you think about the impact to that GBP 750 million of targeted free cash flow when you finally have disposed of those businesses? So that would be the first question.

And then the second question, back on the concessions point because at the very beginning of the year, we were expecting a massive outflow, in particular, from 787 concessions. And I think Panos, you mentioned about GBP 300 million outflow in H1. Are you expecting an outflow on 787 concessions in the second half of the year?

Panos Kakoullis

CFO & Executive Director

So I think your first question was around disposals and the impact of those disposal on free cash flow. It's not a significant impact. And you can see actually within our announcement where ITP is stripped out. So you can see that it's not a significant number.

In terms of the concession payments, we are dependent on airframe of deliveries. And as you know that there are some well-documented uncertainties around that. We do still expect to see an outflow. Some could move out, some could move earlier, but we took those into consideration when we looked at full year outturn on the GBP 2 billion outflow.

Operator

The next question comes from the line from David Perry from JPMorgan.

David Howard Perry

JPMorgan Chase & Co, Research Division

I have 2 questions for you, if that's okay. First one is sort of philosophical on the balance sheet, which you've mentioned you want to improve. And you mentioned specifically the GBP 3 billion of net debt is too high. But that's a very narrow definition of your net debt. It excludes operating leases and a lot of other financial liabilities that may or may not be treated as debt in your eyes.

So I'd just be interested in how you see the balance sheet in and around? And then the second part of that question, if the ITP disposal happens, what do you think the next steps are, whether they can be wholly organic or other external actions might be needed?

And then my second question, please, is you talked about wanting to simplify financial reporting. But I think your predecessors all had the same ambition as well. My view is probably the business model is just too complex. So the question for you is, are you comfortable with the LTSA business model? Or do you think Rolls needs to move away from that to achieve your goal of more simplified reporting?

Panos Kakoullis

CFO & Executive Director

I think on balance sheet, I think you heard in the comments that I made earlier on an ambition that we have in the medium term to get back to investment-grade credit profile. Lots of liquidity at present, so that GBP 7.5 billion of liquidity that we've got at the moment means that we can do that in a measured way and make sure that we invest wisely at the same time just to pick up on one of Warren's comments earlier on.

I recognize the point around other liabilities in the balance sheet. You consider all of those in and around when you're looking at getting back to that investment-grade credit profile. I think also it's going to be important as we look at the shape of the business going forward and as a more balanced business going forward. The gearing within the business may well look different to outlook in the past. So that's another consideration that you need to have.

I think in terms of your second point around ITP disposal. I'd reiterate the point around liquidity. Liquidity is there. There is plenty of liquidity. We're not dependent on engine flying hours recovering. So I don't see the need for any other nonorganic I think, measures.

In terms of financial reporting and your points around the business model, I'm comfortable with the business model. It's a smart business model. In fact, many businesses that I've been -- I've worked with in the past would love to have a business model where you have your customers being effectively so sticky and then you can work hard on making sure you deliver at a sensible cost.

Does that -- I think your comment there was does that contribute to the complexity of financial reporting? No. I think spending time, and I have spent a lot of time now understanding the underlying business drivers. The underlying business drivers are straightforward once I spend some time. It's now how we make sure we translate that into a way that the outside world can understand in a more straightforward way.

David Howard Perry

JPMorgan Chase & Co, Research Division

Well, good luck with it, and I look forward to meeting you next week.

Operator

The next question comes from the line from George Zhao from Bernstein.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

We talked a lot about engine flying hours, so I want to focus on, I guess, on pricing. So on flight hour contracts, compared to the start of the year, have you seen any major changes in the trends around these prices when engines change hands or when new contracts are signed? And second question, a quick one. What proportion of the large engines are deployed on domestic routes today? And do you think that's sustainable?

Warren D.A. East

CEO & Executive Director

Yes. Engine -- or long-term service agreement pricing, our basic pricing model hasn't changed. Clearly, we have been engaged during this time where airlines have been restructuring, filing for bankruptcy and coming out of bankruptcy, restructuring, there's been new contracts to strike.

And I would say there's been a mix there where we have -- and I think we've mentioned this in the previous results, we have been working with customers to accommodate some of their short-term financial challenges in the normal way of a commercial negotiation that generally involves something on the other side.

And so that might manifest itself in terms of a period of lower per hour rate at given types of usage of an engine compensated by higher rates a little way down the road. And so sort of normal warp and weft of commercial negotiations have happened there. In terms of normally moving from one owner to a second

owner then the principle that we quite often secure higher rates on that transition, that's actually held up remarkably well during this period.

On your second question about domestic and large engines used on domestic. I mean, it's -- there's -- we have 2 areas. North America, we have some older engines that are used domestically. And in China, we see a lot of wide-bodies used domestically. And then case by case, different airlines have parts of their fleet with wide-body engines used domestically. And Japan is a good example of that with both ANA and JAL.

And all in all, domestic use was about 10% of our total pre-COVID 2019. And obviously, it's a bit greater now as the sort of traditional long-range international stuff has fallen away. But I would see upward pressure because regions like China, in particular, and in Japan, we can see large numbers of people traveling short distances and airlines are using large wide-body jets to do that. And so I think the 10% is probably a floor and the 20% to 25% that we're seeing today is probably a bit too high for long-term sustainable and the answer is somewhere in between.

Panos Kakoullis

CFO & Executive Director

And George, just something I'd probably add on the pricing point, and you can see it in the half year numbers where we've got some long-term contract catch-ups, which are the result of some of those commercial negotiations.

So I'm a big believer in us being rewarded for the value that we bring, and we recognize that within the long-term contracts when we've got that value. So you can see some of that upward gain around those commercial negotiations coming through there.

Operator

The next question comes from the line from Chris Hallam from Goldman Sachs.

Chris Hallam

Goldman Sachs Group, Inc., Research Division

So just 3 questions from me. Warren, perhaps first on strategy. There's no mention of hydrogen or absolute zero on your 2050 emission slide. And that's obviously a bit different to what some of the aircraft manufacturers are saying. So is that a different view of the future? Or do you expect to play a smaller role in propulsion if the industry does eventually partly transition to hydrogen?

Second, perhaps, Panos, on the EFH payments. Can you give us an idea just on how predictable those payments are because I think most of them are done annually in relation to the coming year. So how difficult is it to firm up the level of those payments given the uncertainty on the shape of the recovery? And are customers paying on time?

And then finally, just on free cash flow phasing. You've said you'll move to positive free cash flow at some point in H2. There's obviously a lot of seasonality in the business, but there's also the gradual EFH recovery and the savings benefits is kicking in. So should we sort of be assuming that H1 next year is better than H2 this year and then H2 '22 is better than H1 '22?

Warren D.A. East

CEO & Executive Director

Okay. Chris, let me just answer your first question. Also, have a go at that second one. So I think the simple answer is hydrogen is included in inverters new technologies on that slide. I did mention in the presentation that we haven't really got time this morning to discuss that slide in a lot of detail. And there is a huge amount of detail behind that slide.

Hydrogen will play its part in lots of different sectors. It's probably less likely to play a part in long distance international travel than there'll be shorter distance, smaller airplane place for hydrogen to play,

that's what we're currently believing. But it's very much part of our piece, and you should have a look at our net zero report that's on the internet that we launched a few weeks ago.

Panos Kakoullis*CFO & Executive Director*

And then in your other 2 questions, on engine flying hour payments, no particular concerns around the customers being able to pay. They're paying on time as we expect. In terms of the pattern of those, mostly the payments are based on hours flown. Occasionally, some pay based on shop visits. But again, that is relatively predictable, subject to engine flying hours actually being flown as we said earlier on.

In terms of your seasonality point, you're right. We maintain cash flow positive as we go through the second half of this year at some point. When you're looking at next year, think of that upward trend continuing for the course of the whole year. So the full year impact of the restructuring benefits coming through, the GBP 1.3 billion run rate we've talked about, the recovery in engine flying hours. Power Systems, we've called out the increase in the order book, that starts turning into revenue and then cash as you go through next year.

Defence remains resilient. And the underlying seasonality that you referred to that you've seen over past years, you should expect that to remain with the second half of the year being the more positive compared to the first half of the year.

Operator

The next question comes from the line from Andrew Humphrey from Morgan Stanley.

Andrew Edward Humphrey*Morgan Stanley, Research Division*

I've got a couple, if I may. One is on Civil Aerospace profitability in the first 6 months. Panos, you mentioned positive contract catch-ups in the period, but it also looked to me as though the underlying performance -- the clean performance on civil aero gross profit stability was stronger than maybe it was reflected in consensus. So I wanted to ask if there was anything specific in the mix either in terms of engines coming in for service or in terms of customers that would flatten that in this period?

Secondly, maybe one for Warren. We've obviously had confirmation of an A350 freighter entry into service 2025. I wanted to ask you about how you're assessing the opportunity there in terms of any additional capacity you may need to make available?

Panos Kakoullis*CFO & Executive Director*

Yes. So let me pick up on the Civil Aerospace profitability. So nothing specific in the mix to call out there around the underlying.

The other point I'm sort of curious about is around contract catch-ups. So sometimes when I see commentary on them, they're sort of viewed as something to ignore or to overlook. The reason those contract catch-ups are there, and they're positive contract catch-up is twofold. One, I've already mentioned. So when commercial negotiations, we've been robust, and we see that being baked in as a benefit. So it means the long-term contract as a whole is going to have a greater margin because of that, and this is the catch-up to recognize that.

And the other element that we've called out there is the cost savings that are now baked in. So we plan for cost savings, but we don't recognize them until we are sure of them and they start to flow through. And I think particularly within business aviation, those catch-ups are going through.

So I recognize that we're looking at a 6-month period, but I tend to look at long-term contracts as long-term contracts, and what's their -- what's happening to the margin of those contracts over their life, and those catch-ups represent an increase in margin over those.

Warren D.A. East

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CEO & Executive Director

And to your question on the A350 freighter. Obviously, that announcement for Airbus has been a little welcoming, and we're delighted with that. It's a very welcome pull forward as far as we're concerned of growth in demand for our engines.

We won't need to worry about any incremental capacity. I mean, don't forget, we have -- essentially have capacity for about 500 new large engines per annum, and that's the rate that we were delivering at in 2019.

Yes, we've been doing some consolidation of our facilities, but it's very much a consolidation activity. And we would expect to be able to scale up again later in the decade when demand returns without having to move on and open new factories and that sort of thing because of the huge productivity improvements that have been baked in. So we don't need to invest in any additional capacity. But the A350 freighter is a welcome sign.

Operator

Your next question comes from the line from Nick Cunningham from Agency Partners.

Nick Cunningham

Agency Partners LLP

Yes, I'm having dealt with a lot of detail, perhaps one could ask a more general question looking forward. And I think thinking past the crisis, you wanted to reduce your costs to the point that Rolls-Royce became -- Rolls-Royce civil aero engines became intrinsically adequately profitable, which it hasn't been in the past.

And so what I wanted to ask is, what would adequately profitable look like? And how would one measure that? And given what you know about your costs and future overhauls and so on, would -- when we get to, say, 2024, 2025, we get to 100% of 2019 EFH, would you then be adequately profitable on that basis?

And then a second longer-term question, slightly longer even than that, sustainable fuel, I think, is a sort of linchpin of your plan for zero carbon and clearly, very important and this enables you to stick with your existing technologies to a great extent. What's your assumption about how competitive SAF can be relative to fossil fuel costs? And do you have to assume some tax, if you like, concessions for SAF and a carbon tax on hydrocarbon fuels in order to make that work?

Warren D.A. East

CEO & Executive Director

Yes. Well, in terms of our ambition for profitability in civil, then -- so we've been working on improvements in productivity in civil and cost out in civil for a while. The restructuring that we've been through the process of implementing over the last 12 months. By the way, we have a little bit further to go yet because this consolidation from -- of 11 sites going down to 6, that's not actually complete until the back end of next year and possibly even a little into 2023 for some of those sites. So we're not quite done yet, but the heavy lifting has been done on that.

And then we will have -- and I've referred to it as -- in the presentation, as a better breakeven and better gearing as demand returns and that will, we believe, take us into a competitive zone in terms of profitability for our civil large engine business. And that would be certainly in the mid-teens.

As far as SAFs are concerned, looking forward to net zero, this isn't a Rolls-Royce thing. This is an industry thing. For long-distance international travel, the industry doesn't see a technology solution that's appropriate other than synthetic aviation fuel. For shorter distance, smaller aircraft, then full electrification, hybrids, hydrogen, all of these sorts of alternative technologies have their role to play. But in the long-distance wide-body space, then it's going to be SAF.

Now the good news is, of course, that things like our small modular nuclear reactors are very useful in terms of zero carbon electricity because large-scale SAF production requires large-scale green electricity. And that electricity can also be used for things like hydrogen, as I mentioned.

The cost of SAF at scale, we believe, will be approximately twice the fossil fuel equivalent that fossil fuel has at the moment. Now that's a little bit of a sort of industry guess. That isn't a Rolls-Royce guess. It's an industry expectation at the moment. And that's why it's important that we introduce things like the UltraFan new architecture to have a step function in efficiency to help our airline customers be able to adopt that. And you might have seen some of the airlines working on their cost projections and how they've been deeming that SAF will be affordable.

Panos Kakoullis

CFO & Executive Director

And Nick, I probably just to add on the first point around profitability. Again, coming in, I look across at a better balanced group now, and I look at Defence and Power Systems and the opportunities there, the resilience and opportunities from energy transition and push hard around what those margins should be to be competitive within the marketplace. So I don't just look at civil. I want to make sure that we are looking across the whole business and shining a light across each of the businesses.

Nick Cunningham

Agency Partners LLP

And very full answers for which I'm grateful. But just to clarify on the, if you like, adequate profitability, mid-teens would apply to civil and to the group? Or would you say a mix -- is there an intrinsic mix of margin across the different businesses?

Panos Kakoullis

CFO & Executive Director

There's going to be a mix.

Operator

The next question comes from the line from Harry Breach from Stifel.

Harry William Freeman Breach

Stifel, Nicolaus & Company, Incorporated, Research Division

It's Harry Breach here. Could I possibly just ask maybe 3 questions, if I could. Just back in March, I think you guys said you were expecting large engine shop visits. This year, I think, about 240 and then 400 next year. I guess over the last few years, those large engine shop visits have been a key indicator for us to try and model the business. So it's very helpful if we can have some sense of where they're heading. You've done 92 in the first half. I guess that leaves about 148 in the second. Is 240 still the expectation for this year and 400 next year?

And maybe secondly, guys, we almost don't talk about time and materials aftermarket revenue at civil anymore. But just trying to look at the financials, it looks as if looking at the analysis of aftermarket revenue is recognized at a point in time for civil and looks as if it was down really quite steeply.

I think GBP 193 million is the number, if I've read it correctly, for the first half of '21 versus GBP 746 million in the first half of last year. Can you help me -- maybe I've made another silly mistake, but could you help me to understand whether T&M has fallen significantly and what the sort of drivers are?

And then finally, Warren, I guess, again, in the past, pre-COVID, we used to talk about when across the portfolio, original equipment unit losses would get through breakeven. Obviously, last year was heavily disrupted with a lot of rescheduling of production plans, and it wasn't a meaningful number. But can you give us some idea, Warren, about when you think we'll get through breakeven in terms of original equipment unit losses?

Warren D.A. East

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CEO & Executive Director

Okay. I think we're going to have to answer these questions quite quickly.

Panos Kakoullis

CFO & Executive Director

Yes, let me just rattle through the first couple. I think, shop visits. It's obviously dependent on what happens on engine flying hours. So one that's harder to predict, but a little bit of a shift to the right around that.

On timing materials, you're right, the fall is there, but there are again, lower -- less flying is going on, which means fewer of T&M type shop visits. Also, V2500 is a little bit lower around that.

Warren D.A. East

CEO & Executive Director

On the OEM breakeven point, yes, you're right. Disruption caused last year made it very difficult for us to continue sort of reporting that because obviously, there were large chunks of unrecovered cost. We will try to provide some guidance on that with the full year results. But certainly, our ambitions haven't changed and it's a question of volume. And of course, the restructuring will give us a significant tailwind in that regard.

Operator

The next question comes from the line from Charles Armitage from Citi.

Charles J Armitage

Citigroup Inc., Research Division

A couple of quick ones. First of all, going back to Jeremy's question, wide-body market flying hours will recover whenever it does. But if you look at -- compare Rolls-Royce to the overall market, you've got a younger fleet, you're delivering more engines than you have compared with your market share on the fleet, and you've got a few old engines to retire.

So that should grow faster. But on the other hand, you don't have the freighter exposure. So do you feel that Rolls wide -- large engine will grow -- will recover faster or slower than the widebody market as a whole? That's my first question.

Warren D.A. East

CEO & Executive Director

Yes. Well, it's a slightly loaded question. And the answer is the correlation that we saw last year between what's going on in the industry at large and recovery of usage of some of our engines, I think that holds going forward. It holds as far as things like our XWB are concerned, very pleasing utilization of some of those.

You're right in terms of freighters, older aircraft. We are now seeing freighter conversions, passenger freighter conversions going on with A330s and so on. And again, because our engines are the younger models of those aircraft, then I think there is a favorable tailwind for us. And obviously, as I said in answer to an earlier question, we're delighted with the Airbus freighter -- dedicated freighter announcement. So broadly correct, the -- we would expect to be on the positive side of a recovery trajectory.

Charles J Armitage

Citigroup Inc., Research Division

Great. Second question is EFH pricing. As I understand it, there's a matrix dependent on how far the routes are and whether they're hot and high, et cetera. Now as I understand that the stage length has come down, which would imply that the price per hour should be going up, yet we haven't heard anything about that. Is that a -- one of these long-term benefit in kinds or trading short term for the long term? Or is it not coming through? Or what's happening on that one?

Warren D.A. East*CEO & Executive Director*

Yes. I think intrinsically, you're absolutely correct. It's quite hard to see that coming through in the overall numbers. We'll take the point on and see if we can throw some color on that with our full year results. But you're absolutely correct in terms of the principles that you outlined there.

Charles J Armitage*Citigroup Inc., Research Division*

Okay. And the final question is, we were sort of agonizing over this in 2019 and it seems to be rather less important in the whole scheme of things. But the Trent 1000 10 HPT was due to be -- the fix was due to be certified around midyear '21. So a GBP 24 million increase in the provision. What's happening on that one?

Warren D.A. East*CEO & Executive Director*

Yes. I think -- well, as we sort of indicated at our full year results, that certification has been pushed out. We don't have that certification yet. We are expecting that certification before the end of this year. But in the detail, the FAA and their relationship with Boeing, they've had a lot of other things to do, basically.

And certifying our Trent 1000 blades is a bit lower down on their priorities than it was when we made our original estimate. We are confident in the parts and we're already making the new parts to fit when we do the overhauls just as soon as that certification happens and we're expecting it just before the end of this year, probably.

Charles J Armitage*Citigroup Inc., Research Division*

So from the Rolls-Royce perspective, it's the -- the technology work is done...

Warren D.A. East*CEO & Executive Director*

Yes. It's all complete and we're in the queue as it were.

Operator

And our last telephone question comes from the line -- from Celine Fornaro from UBS.

Celine Fornaro*UBS Investment Bank, Research Division*

I'll have 2, if I may. The first one would be trying to reconcile the second half of last year performance with the first half of this year performance. I'm trying to reconcile a little bit or maybe you could help me with that on the profit reach on the cash bridge because clearly, there is a strong improvement in the profit even if I put on the side, the GBP 166 million and TSA contract recognition. But we don't really see that from a cash point of view.

So maybe you could help us on the moving parts, understanding what is the restructuring contribution or the flying hours, or [indiscernible] and other things there? And then my second question would be regarding something you touched about. But yes, certainly encouraging H1 performance. But how do you think you compare yourself versus other industrial businesses who have had really strong H1 results. And so what could you change in Power Systems there? Or is it very heavy H2 [indiscernible]

Panos Kakoullis*CFO & Executive Director*

On the first one, I suggest we take that one off-line, and we can take you through that outside of the call.

Warren D.A. East

CEO & Executive Director

And on the second one around Power Systems and some of the Power Systems competitors, I think you have to look in -- at the power categories that -- where those competitors have seen a strong rebound in the first half, and we're not actually in those power categories, which is why we haven't seen it in Power Systems.

But what we have seen is a near 20% uptick in orders. And so we are seeing a rebound, but it's probably 6 months or so behind that -- some of those competitors you've seen.

Celine Fornaro

UBS Investment Bank, Research Division

But in terms of the profitability of 3.5%?

Warren D.A. East

CEO & Executive Director

Well, I mean, that is a result of a whole lot of factors. And it's basically less revenue actually going through with the same cost. And obviously, because of some of those competitors, as I said, have seen the impact some 6 months or so ahead, then that will be reflected in higher profitability.

Panos Kakoullis

CFO & Executive Director

And I think you have seen in the past, it's a second half-weighted business. So margins we're expecting for the year are in line with our previous expectations.

Isabel Green

Head of Investor Relations

Thank you, Celine. And Isabel here. I've got one question that came through on the webcast just to finish up with, which is for you, Panos, and it's from Rory Smith at Investec. He's asking if we can talk a little bit more about the steps you've already taken to simplify reporting and what you expect may change in terms of KPIs that we produce and how we're going to improve our reporting going forward?

Panos Kakoullis

CFO & Executive Director

I think early days at this stage. What we've tried to do with this half is trying to take a little bit out of the noise between statutory reporting and underlying reporting. So you can see that that's been simplified. Then looking at the underlying business drivers, how we get a better understanding of how those flow through the financials, and there is more to come, particularly as we look at hedging and foreign exchange going forward. But that's a bit more of a medium-term project.

Isabel Green

Head of Investor Relations

Thanks, Panos. And so back to Warren to close the call. Thank you, everyone, for their questions today.

Warren D.A. East

CEO & Executive Director

Yes. Thank you all. Just the quick summary to take away is that we're delivering on commitments made here. Restructuring is on track, the disposals program is going well, we are seeing significant improvements in profitability and our cash flow, and again, a continued position of strong liquidity and that journey to net cash in the medium term.

And that's enabling us to have some confidence around the disciplined investments that we're making in the future in our low-carbon businesses, which will be incremental around -- incremental to our business as it exists today. So with that, I'll finish, and we'll be back to tell you about our full year results in due course.

Operator

Thank you. And that does conclude the conference for today. Thank you all for participating. You may now disconnect.

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Rolls-Royce Holdings plc LSE:RR. Shareholder/Analyst Call

Thursday, June 17, 2021 3:00 PM GMT

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Call Participants

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Presentation

Operator

Hello, everyone, and welcome to the Net Zero Launch Investors and Analysts Panel. My name is Seth, and I will be your operator. [Operator Instructions] I will now hand the floor over to Isabel Green to begin. Please go ahead, Isabel.

Isabel Green

Head of Investor Relations

Thank you very much, Seth. And good morning, and good afternoon, everyone. So I'm Isabel Green, Head of Investor Relations, and thank you for joining our net zero pathway roundtable event today. Firstly, apologies for the late change for the conference call format. And for anybody who hasn't already accessed the slides, they are available on our website for you to download. And we will start with a short introduction by our CEO, Warren East, which we'll refer to those slides. We'll follow that with a Q&A session, and we have a panel of our senior managers from across our business with us today. So we very much look forward to receiving your questions at the end.

So now I'll hand over to Warren. Thank you very much.

Warren D.A. East

CEO & Executive Director

Great. Thanks, Isabel, and thank you, everybody.

And I think you can find the slides in the Results and events section on the Investors section of the website. And I am going to start -- I'm going to start on Slide 4 of the presentation there.

We're going to set out road map for achieving net zero by 2050. We're going to explain a little bit more about some of the technologies that will enable us to get there.

Global commitments to net zero have, we think, reached a tipping point. The chart -- the few pie charts in the middle of the chart there, pointing out that 68% of the global economy, 56% of the world's population are now covered by net zero targets. Achieving net zero is an imperative for our customers. It's imperative for our people and the communities in which we work. As well as being an imperative, for us as a business, it's also a great commercial opportunity, and we're very excited to be playing our part in this big change in society, but also addressing that opportunity.

So Slide 5. Demand for power is increasing and the industries that we serve are among the hardest to decarbonize. And because of this, our innovation to help our end markets reach net zero is essential to achieve the global transition. As we pivot away from fossil fuels, we'll be both expanding our business in traditional markets and migrating to net zero through the use of sustainable fuels and new technologies. And that will also mean that we'll be entering new areas, supporting further growth and technological development. The chart on the bottom of the slide looks like just a migration, but actually 100% at 2020 represents 300,000 gigawatt hours. 100% in 2050 represents 1.8 million gigawatt hours. So there's significant business growth in here as well as transition that we're talking about.

So moving on to Slide 6. We have, of course, many years experience in pioneering innovations that meet some of the world's really tough engineering challenges. In Civil Aerospace, the Trent XWB, that's top left of the picture there, is the world's most efficient large civil aero engine in service today. And efficient engines are absolutely vital because they will help stimulate and support the take-up of sustainable fuels.

Now we've been growing and expanding the reach of our business as we've aligned ourselves towards championing sustainable power for several years. And from testing of hybrid electric systems, like the rail picture in -- at the top of the slide and marine a few years ago, we now actually have real commercial products here. The microgrid that you can see on the top right is at our factory in Friedrichshafen. It's

been online since 2019. It's enabled us to go from demonstrating microgrids to actually selling them all around the world.

Last year, we acquired Kinolt, energy storage specialists. And that's now in -- left middle of the slide, that's now our Microgrid Competence Center. And the picture there is our battery container unit manufacturing plant in Ruhstorf in Bavaria.

In aviation, we took a significant step towards electrifying flight with the acquisition of the aircraft back in 2019, and that's the picture in the middle. And as far as engine testing is concerned, with sustainable aviation fuels, we've tested Trent 1000 engine with 100% sustainable aviation fuels in Darby and also the Pearl 700 business jet engine.

And finally, in the bottom right of the chart, our small modular reactor consortium is up and running, and it's aiming to be the first design to be assessed by U.K. regulators starting in the second half of this year.

Moving on to Slide 7. The pie chart shows our total emissions footprint. And you can see the emissions from our own manufacturing and production and office facilities, excluding product development and testing, make up a very small, but nevertheless, important proportion. We've actually halved those emissions over the past 5 years. And last year, we declared our target to get them to net zero by 2030.

But the chart shows clearly the vast, vast majority of our emissions, the scope 3 emissions associated with both the supply chain, but more importantly, the use of the products that we sell. So the abatement of the product-related emissions during their use is where we can have the most impact, and therefore, that is the primary focus for our decarbonization plan.

Now there is -- I'm flicking on to Slide 8. There's no one single solution to this. It's going to require multiple technology solutions and partnership across policymakers and across industry. Our pathway involves introducing new technologies, ensuring that our products are compatible with sustainable fuels and making our products more efficient to stimulate and assist in the take-up of those fuels. And this way, we believe we can take our emissions, bend that curve down to net zero by 2050. In fact, our business as a whole could be said to be there sooner as we introduce zero carbon technologies like SMRs into new areas that are outside the scope of our current business.

To emphasize just how significant we see this opportunity is, we're focusing our R&D investment on the necessary next-generation and lower carbon products. And we expect to spend 75% of our gross R&D in these areas by 2025, compared with approximately 50% in 2020.

So Slide 9. Today, we are committing to ensuring that our new products will be compatible with net zero by 2030. And all our in-use products will be compatible therefore with net zero by 2050. And a new engine that can use SAF is only part of the solution. We expect that our current products are going to be used for several decades. So today, we're pledging to have proven all our in production, commercial and business jet aero engines to be compatible with 100% SAFs by 2023. And that will mean that 2/3 of our Trent engine fleet and 3/5 of our business jet fleet currently in service will be SAF ready. We're also exploring the use of SAFs in defense application, including as part of our involvement in the [Tempus] program here in the U.K., and we've carried out extensive tests with our U.S. Defense products.

In our Power Systems business, we've defined a science-based interim target to reduce the lifetime emissions of new products by 35% by 2030. That's relative to 2019. And that, we believe, is an industry-leading ambition. We're also testing hydrogen fuel cells, in the middle of the slide there on the left. And we're putting 4 of those together into a new demonstrator that we hope to have up and running by this summer. And we are also targeting to have integrated many more modules to create a 2 megawatt solution in an operational microgrid for demonstration by 2030.

On the bottom of the slide, we're also planning to have approved the MTU Series 2000 and 4000 class engines that's extensively used in marine and power generation applications for use with sustainable fuels by 2023. These engines together represent the majority of the MTU engines that we make and sell today.

Moving to Slide 10. The transition to net zero represents a real opportunity for us. In aviation, we have opportunities for hybrid electric and all-electric applications across a host of completely new markets for

us, including urban air mobility, commuter and regional markets. We've learned a lot from our work on the Spirit of Innovation, all-electric plane, that's bottom left on the slide. The characteristics that air taxis require from batteries are very similar to what's being developed here. So we're powering the Vertical Aerospace urban air mobility aircraft, top left, which will be able to undertake zero emissions flights of over 100 miles on a single charge. And Vertical has already secured conditional preorders for 1,000 aircraft, and that's worth \$4 billion, with entry into service from as early as 2024.

And middle left, we're working with Tecnam and Widerøe to deliver an all-electric passenger commuter aircraft, which will be ready for service in Norway in 2026.

Further up the power scale, we recently started testing the first elements of a powerful hybrid electric power propulsion unit at a specially designed test bed in Bristol.

And back on the ground, we've developed a solution called [grid up] in Power Systems, which brings together renewables, grid power, hydrogen production, fuel cells and backup power into an uninterruptible CO2-neutral power supply system that can be used to provide power for data centers.

On the bottom right of the slide, our SMR technology. Our SMR technology will be able to create competitive zero carbon power for communities and for industrial processes. And it opens up a really significant export market opportunity for us. Another potential area for SMRs is to provide zero carbon power for things like direct air capture and sustainable fuels production.

So let me summarize what we're doing. We've pledged to achieve net zero carbon in our own operations by 2030, to be a net zero carbon business as a whole by 2050, and to take a crucial role in stimulating and enabling the sectors in which we operate to reach net zero by 2050. To help us achieve this, we've set a series of short-term targets. And yes, they're all connected to executive remuneration, to make many of our current products compatible with sustainable fuels.

Now at its heart, Rolls-Royce is really all about taking stored energy and turning it into useful power. We believe that, that must and it can be made compatible with net zero carbon emissions through the development of the technologies with which we operate.

In summary, we can see a clear pathway to net zero by 2050. With that, I'll hand back to Isabel to chair the Q&A.

Question and Answer

Isabel Green

Head of Investor Relations

Thank you, Warren. So I can start now by introducing the rest of our panel, and really keen to get questions for all of those who are volunteered their time today to help answer your questions. So with me today, we have Tom Bell, he is the President of Defence; Rachael Everard, Head of Sustainability; Andreas Schell is President of Power Systems; Paul Stein, our Chief Technology Officer; and Rob Watson, Director of Rolls-Royce Electrical.

So operator, can you please remind people how to register a question and then perhaps come back to me for the first question to give people a chance to put their hand up? Thank you.

Operator

[Operator Instructions]

Isabel Green

Head of Investor Relations

Thank you. I just wanted to wait for people to register their questions. Rachael, if we could start with a question for you, please?

How does the pathway we published today align with the other public and industry frameworks? And particularly, I'm thinking about things like sustainable aviation U.K. road map and ATAG Waypoint 2050.

Rachael Everard

Great. Thanks for the question, Isabel. So, broadly the pathways are aligned. The ultimate goal is to reach net zero carbon by 2050, as time tells us we must. There are some differentiating factors. Rolls-Royce is a technology-led company, has a technology-driven transition to net zero, and that's what we are setting out today. So many of the levers are the same: more efficient engines; increased use of sustainable fuels; and exciting new breakthrough technologies.

Of course, our pathway reflects the breadth of the group. And the diagram that Warren talked about showed the potential role of SMRs as an example to further bending the curve as well as negative emissions technologies like BECCS in accelerating our transition.

Isabel Green

Head of Investor Relations

Thank you, Rachael. We have got some questions online now. Operator, can I hand back to you to introduce and bring them on the call?

Operator

Of course. So the first question comes from the line of Robert Stallard of Vertical Research.

Robert Alan Stallard

Vertical Research Partners, LLC

I have a couple of questions. First of all, a lot of what you're talking about relies on SAF, sustainable aviation fuel, which at the moment is very, very expensive compared to kerosene. What can Rolls-Royce do to get the cost of SAF down and also expand its availability to your customers around the world?

And then secondly, realistically, at what point in the future do you think we'll be in a situation to replace a large civil aircraft engine with an alternative power source like all-electric or hydrogen?

Isabel Green

Head of Investor Relations

Thanks, Rob. Warren, can I ask you to have a few words on that and perhaps also we'll ask Paul Stein to add some comments there?

Warren D.A. East*CEO & Executive Director*

Yes. Well, let me just chip in to begin with then on SAFs and what we can do with the cost. First of all, one of the reasons for the costs being so high at the moment is that we're at very early stages in terms of proportion of SAF that is used. So around about 0.1% of the aviation fuel used in the world today is SAF. So scale is a key factor.

Another key factor is the cost of electricity that is used in the production process. And we do believe that there's a lot of SAF that's going to be required. That means a huge amount of energy is going to be required. And that's where off-grid zero carbon energy from things like our small modular reactors is going to come into play.

And then at the other -- on the other side of it, of course, we perhaps recognize that SAF for a long time are going to be somewhat more expensive than fossil fuels. And so we believe we have a part to play in stimulating the take-up of those by making it more economically possible by making progress in improving the efficiency of our engines.

Paul, you might want to answer the next bit, hopefully?

Paul Stein*Chief Technology Officer*

Yes. I might also suggest that, Tom, when I finish the next bit, you might want to say something about what's happening in the States to help stimulate the growth of SAFs under the States' net zero path.

On the question about powering large aircraft, before 2050, we firmly believed that large aircraft flying medium to long distances will continue to be powered by ever more efficient gas turbines fueled by sustainable aviation fuels. And that's because none of the technologies that we're exploring -- and as Warren had indicated earlier, we're exploring a number of very exciting technologies, electrification and hybrid electric and even hydrogen power. But none of them really are suitable for those very long-range flights or carrying large numbers of people. So we see the future of aviation really being ever more efficient engines, which is one of the reasons why we're investing in UltraFan, a rapid ramp-up of SAFs in the way that Warren just described, and then the investment in those novel technologies to really transform aviation, not just to achieve net zero, but to really redefine the way communities are connected.

But Tom, are you happy just to take up the question about some of the activities going on in the States to stimulate SAF?

Tom Bell*President of Defense*

Absolutely, Paul. Thank you. Tom Bell here again.

Yes. Here in the United States, in -- we know that the Biden administration has made climate change a focus of the new administration. And the Biden administration has committed over \$2 trillion to this problem in the next budgeting cycle. So it's a significant issue that is gaining a lot of momentum. And as a result of that, we see many legislatures in our House and in the Senate that are advancing bills to help the industry create SAF fuels to meet the emerging demand. As Warren spoke to very clearly, our job is to facilitate that emerging demand and make sure the engines are compatible with SAFs. We're partnered with companies to create the SAF. And our legislatures around the world are looking at ways that they can help lower the barrier to entry to make SAFs more economically viable for the producers, and therefore, put it at all the points where it will be required to make it a significant part of the Civil Aerospace market. So very exciting times that we're witnessing emerging all around us.

Operator

The next question comes from [Andy Jones] at [indiscernible].

Unknown Analyst

Firstly, congratulations on the new strategy, in particular, the science-based target for Power Systems. I'd imagine those are both a large amount of work, so well done. I just had 3 quick questions, if that's okay. The first one is just a clarification between net zero carbon and net zero, if you could explain that differentiation? And whether that's a question of data or materiality or something else? Second question, just, again, interested in the feasibility of science-based targets in civil aviation business before 2050. And how much that would depend on the changing goals at the value chain level to be able to do that? And thirdly, just interested in, I guess, how the company's reporting will evolve in regard to the alignment of capital allocation with the net zero goals?

Isabel Green

Head of Investor Relations

Thanks, [Andy]. And perhaps I'll ask Rachael to start it off with some answers on those?

Rachael Everard

Yes, [Andy], thanks for the question. So first up, on the net zero versus zero carbon. So the primary focus of the report is on carbon emissions, but we are kind of talking at a broader level around Rolls-Royce's impact on the climate and greenhouse gases more collectively. So we've been quite clear where we're talking specifically carbon or we're talking CO2 equivalent hopefully, if I'm not clear, throughout the report. But broadly, we are talking about our position of getting to net zero carbon by 2050.

And on your second question on Science Based Targets initiative. At the moment, I think it's fair to say we don't yet have clarity on the convergence of the breakthrough goals that we require to have -- get the whole of Rolls-Royce Group to be able to set a science-based target, particularly some of the more complex sectors that we're part of in terms of aviation and as well as the articulation of the role that new technologies that we are pursuing like SMRs, like electrification and also the negative technologies like BECCS won't be abating current Rolls-Royce scope 3 emissions, but can play a really important role in accelerating the global energy transition.

So we are working in partnership with the Science Based Targets initiative at the moment to understand how we can make sure we can set a verified group target through the net zero global standard consultation over the coming months. I'm really excited about that continued engagement with them. And we are continuing to talk to the Race to Zero coalition that we are really proud that Rolls-Royce is one of the founding members with them. Actually, Warren participated in a launch event about a year ago today to work with them on the sector breakthrough goals that they've identified as being the significant tipping points we need to reach by 2030 in order to reach net zero by 2050, such as the 10% SAF uptake goal for aviation.

And the third question?

Warren D.A. East

CEO & Executive Director

His question was about reporting and changing to reporting. So look, obviously, will be reflecting some of this in our external reporting in due course as and when it becomes appropriate. But FYI, internally, we are for the first time now adopting ambitious objectives for the medium term in terms of the proportions of our revenue that we expect to be at zero carbon by intermediate date. So we're not just planting a flag in 2050 and saying, we're going to go from here to there. We have a sort of a pathway with interim milestones. But we're not here today to discuss those interim milestones, but we will be prepared as and when it's appropriate to report externally.

Isabel Green

Head of Investor Relations

Sorry. Andy, did you have any follow-up on that or if not, we'll pass to the next question?

Operator

Our next question comes from Celine Fornaro at UBS.

Celine Fornaro

UBS Investment Bank, Research Division

I would have one which I would hope is more like food for thought. But I was wondering how should we think about evaluating management teams. And this comes to probably topics of variable remuneration or incentive plans to make sure that the decision that they take today are compelling and relevant for things that are actually going to influence 2035. And maybe the next management team is not going to turn back and say, actually, got that one wrong, we need to reinvest again. How are you thinking about that? You answered on the previous question about the reporting on the revenues. But also in terms of your own performance assessment, how do you think about that?

Isabel Green

Head of Investor Relations

Thanks, Celine. I think it's -- yes, that's a question that's going to be answered probably slightly differently by some of the executives of the business units because it does -- the actions and the targets. Whilst we have group level targets, there obviously individual achievements are being set at those levels as well. So again, sorry, Warren, would you like to kick off? But perhaps we could also ask to hear from Power Systems and Defence on things that have impacted them specifically.

Warren D.A. East

CEO & Executive Director

Yes. So while I'm talking, Andreas and Tom, please contemplate how you're going to add to this.

Actually, Celine, I think it's just a build on what I said in terms of -- we have some internal targets. We're not making many of those internal targets public today, but remuneration is connected. Some of the things we have said today, remuneration targets and the testing of our existing engine products by 2023. For instance, there's a very, very tight link there. And come March 2021, you'll probably be able to read about that in the remuneration report -- 2022, I mean, you'll be able to read that in the remuneration report.

Today, we talked about the proportion of our R&D expenditure that we are targeting at net zero products and activity, moving up from 50% in 2020 to 75% in 2025. Clearly, in order to achieve that, we'll reflect an objective like that in the internal objectives and that are tied to remuneration. So I don't think there's -- we're not going to be doing anything special with remuneration just because it's a different type of objective. It will be the same sorts of linkages that we apply to normal financial measures.

But Tom, Andreas, anything specific from Defence or Power Systems?

Andreas A. Schell

Chief Executive Officer - Rolls-Royce Power Systems AG

Yes, Warren. If you want me to -- Tom, you go first.

Tom Bell

President of Defense

I'm sorry. Okay. Yes, for us in Defence, obviously, we're going to be doing everything with our customers to help the existing suite of products run on synthetic fuels. And we are also in discussion with Warren and the Remuneration Committee about measuring that.

But the more exciting opportunity for Defence is actually helping our Defence customers become net carbon-neutral themselves. And so we're looking at it more as a growth opportunity for Defence, because what happens is, as governments turn their attention to net zero economies, and they want to lead the

way in showing that it's possible, they quickly realize, to the degree they haven't figured it out already, that their militaries represent the lion's share of their carbon footprint. Militaries around the world are always one of the dominant carbon emitters of any government.

And so the opportunity is there for us, uniquely positioned as Rolls-Royce is not only a gas turbine manufacturer, but also a power systems company and a company that has unique capabilities globally in the nuclear world to bring that together to go to militaries, to go to ministries of defense, to go to departments of defense and talk about our partnership with them to help them become net zero across the whole estate. And so for us, yes, remuneration is the net zero target of our business and our products, but it's also a growth opportunity for us in Defence.

Andreas, over to you.

Andreas A. Schell

Chief Executive Officer - Rolls-Royce Power Systems AG

Thank you, Tom.

Well, for Power Systems, you noticed in the announcement, there is a clear science-based target out there, which is for new products sold really to reduce carbon dioxide emissions by minus 35% on the basis of 2019 by 2030. So there is no mistake in the organization, it's very clear what needs to get done and those get flowed down.

Why is there a heightened sense of urgency in the Power Systems business? Because we are, in comparison to Civil Aerospace and Defence, in a much shorter business cycle. And actually, the demand on behalf of the customers is arriving a lot sooner there. And for that reason, we really kind of have that science-based target now to reduce. And in order to really kind of accelerate that, we did change our organization earlier in the year, and we created a business unit structure. And one of the 4 business units is totally dedicated to develop sustainable power solutions. So there is a team that comes to work where the 100% objective is to create the sustainable solutions in order to get to the carbon dioxide reduction.

Operator

Our next question comes from Chloe Lemarie from Exane BNP Paribas.

Chloe Lemarie

Exane BNP Paribas, Research Division

I had a couple. The first one would be on making your existing portfolio compatible with 100% sustainable aviation fuel. What would it look like from your customers' perspective? Would it be offered as a retrofit option or simply a matter of certifying the existing hardware?

And the second question, I noted the link you made while in between your small modular reactor solution, which could help make sustainable aviation fuel scalable and affordable. Are you currently seeking partnership that could make you involved in that part of the supply chain?

Isabel Green

Head of Investor Relations

Thanks, Chloe. I think give Warren rest at this point, maybe ask our Chief Technology Officer to address your questions, if that's okay. Paul, can you please speak to both of those for Chloe?

Paul Stein

Chief Technology Officer

Absolutely. And thanks for the question, Chloe.

So sustainable aviation fuels, you're probably aware, we can blend them up to 50% right now within the certification that is open to us. To move to 100%, we have to do a little bit of recalibration of the engines because sustainable aviation fuels have actually got a lot more energy density than fossil fuels. And secondly, we have to deal with a technical issue to do with the material we use in the seals of the engines.

So once we've taken our engines through certification, we've not actually come up with a specific formula, but I can imagine, we're simply -- at engine rotation time, when the engines come in for overhaul, we would simply upgrade the seals and recalibrate the control systems. We don't really see that as a major issue for us in making our engines compatible with 100% sustainable aviation fuels.

The second question was about can SMRs -- I think you're saying, can we use it as a pathway to hydrogen and sustainable aviation fuels? And the answer is a clear yes. And we've been working with some major oil and gas companies in looking to see how we can use the energy and residual heat of the small modular reactor in order to drive down the cost of what's called e-fuels. These are purely synthetic sustainable aviation fuels. And so far, the results look quite good, but these won't be available in quantity probably until the middle of the next decade. So we'd certainly see initially a ramp-up of waste to fuel and biofuel processes and then moving to e-fuels with time.

E-fuel is also being used in our Power Systems division. And perhaps I could just ask Andreas to come in on the non-aviation side. Andreas, do you want to add something?

Andreas A. Schell

Chief Executive Officer - Rolls-Royce Power Systems AG

Yes, absolutely. Thank you, Paul.

So in Power Systems, we really pursue a strategy that on -- in applications where today, we don't really see the physical capabilities of new technologies to be applicable, let's say, for instance, in high sea marine applications, that's the place where we then need to go for e-fuels. And of course, we need to kind of deliver complete solutions to our customers, and that in cases will evolve or will include also that we supply them with the equipment to generate synthetic fuels, of course, in smaller quantities. Wherever we can shift technologies where that's physically possible, we are going to kind of pursue technological changes.

And we are present in 13 different industries, and some of these industries are already in the process of converting right now. Examples are rail propulsion, where instead of a pure diesel propulsion system, we are offering a hybrid propulsion system with significant fuel reductions of up to -- fuel consumption reduction of up to 25%. Or another example is data centers, where the owners of data centers have declared that by the year 2025, they do not accept basically diesel-powered backup generators as a backup. So some of these industries, we really need to kind of convert sooner, but there, we will pursue technological changes.

Last, we are converting our major product lines, the Series 2000 and the Series 4000, to be 100% compatible by the year 2023 with e-fuels. And I think that's a very important milestone. And to be clear, I think that also kind of applies a bit pressure then to come up with the fuel in itself for usage.

Operator

Our next question comes from George Zhao at Bernstein.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

My first question is, what is the pivot from 50% to 75% R&D expenditure on lower carbon means for aggregate spending? I mean is this -- does this represent incremental spending? Or is spending simply being redirected from legacy systems that naturally would have faded anyways?

And secondly, could you just talk about the technology overlap between what you're doing in the Civil Aerospace and the Power Systems side to help accelerate the development?

Warren D.A. East

CEO & Executive Director

Yes. I'll kick off on the R&D one. And I think then point towards Andreas and Robin between them possibly to talk about migration of Power Systems technology into the aerospace world.

On -- we're talking proportions of our R&D rather than absolute terms because we don't want to talk about absolute levels of R&D in 2025 today and effectively be issuing guidance for that sort of thing.

You're right. Some of the expenditure that we have been applying to our large gas turbines in Civil Aerospace, for instance, over recent years would have probably had a tendency to come off a bit, as a large number of new engine programs reach maturity, there's less work to do and so on. But it is more than that.

If I step back and think about the last -- the whole sort of COVID pandemic. And yes, I can observe there that the world of commercial aerospace is definitely contemplating a period where commercial aerospace is going to be a smaller proportion of the global economy than we would otherwise have expected it to be. And that's well known from other discussions that we're having with you guys and I'm sure we're having with everybody else in the sector.

And at the same time, probably a reflection of the last 18 months is that the general push around society for migration to a net zero world has gathered huge momentum. And I indicated that in probably the first or second slide that we presented this afternoon. And so if you take those 2 things together, it makes a lot of sense for a business like Rolls-Royce to tilt the balance a little bit of that R&D expenditure a little bit more than would naturally have occurred just because of engine programs reaching levels of maturity. And that's what's behind the, let's call it, a migration perhaps rather than a pivot from 50% in 2020 to 75% in 2025.

Andreas or Rob -- Andreas, why don't you go first?

Andreas A. Schell

Chief Executive Officer - Rolls-Royce Power Systems AG

Yes. Thank you, Warren.

Well, I -- when it comes to R&D, what I think, first, when I kind of think about us as a group is Rolls-Royce being a technology company. And within that company, Rolls-Royce Power Systems, really due to its shorter business cycle, is exposed sooner on to some of the required transformation due to customer requirements or legislative changes. And hence, we kind of really feel the need to also change over our product portfolio much sooner than, for instance, in some of the longer-cycle businesses. And in that regard, we benefit really from the central R&D capabilities that exist within the group, for instance, in Rob Watson's area when it comes to electrical. And in exchange, I think the group then gets the benefit from Power Systems really being first in experiencing what that means to deploy the technologies into applications and hand it over into the customer hands. And I think this is some of the benefit that we can deliver at Rolls-Royce because we're integrated as one group.

Robert Watson

Senior Vice President of Customer Business Asia-Pacific

I'd add from an electrical point of view. As Andreas said, we've been able to leverage some of the Power Systems capability certainly on batteries and microgrids. And the electrical systems architecture, the Power Systems are out in front developing. But at the same time, we have some great examples. For example, us in Singapore with our [electronics] team, where we're taking megawatt scale converts as we developed for the E-Fan X program for aerospace and using a lot of the topology software as the algorithms to then help develop megawatt scale converters for the Kinolt's battery solutions. So there's a really good 2-way flow of technology, both in hardware, software and in engineering skills.

Operator

Our next question comes from Liren Li at MFS. [Operator Instructions]

Liren Li

Okay. Great. And I just have 3 questions, please. The first one is just quickly, I wonder in the scope 3 emission disclosed today, could you just give some color on how that breaks down into your different segments of Power Systems and Civil and Defence?

And then I guess my second question comes back to Paul's comments on the long-term outlook for medium and long-range fuel aerospace aircraft still being gas turbine powered. So -- and I guess most estimates says SAF adoption will only be maybe 10% by 2030. So just curious, longer term beyond that and by 2050, sort of your thinking around what level of SAF is required to actually help the longer-range aviation segment to reach net zero. Are you expecting that to be 100% SAF? Or is it -- does it have to be offset by some kind of carbon capture or offset schemes?

And then my final question is just around -- your thinking around how your, I guess, R&D and CapEx is aligned with the rest of the supply chain, so Airbus and Boeing. Just sort of any color on whether you're kind of thinking along the same line. And so how you plan to kind of work with them and the entire sector?

Isabel Green

Head of Investor Relations

Thanks, Liren. I think it would require answers from a few different members of the panel there. And perhaps, Rachael, for the first question, would you mind talking about our scope 3?

Rachael Everard

Yes. Thanks for the question, Liren. I guess, a reminder that the nature of scope 3 emissions reporting means that the figure is always an estimation, of course, always someone else's scope 1 and 2. And actually, for that reason, we're not providing any further detail on the breakdown across the different businesses, particularly, we do consider that to be commercially sensitive and restricted, particularly in relation to our Defence business. But it wouldn't be inappropriate to assume that the breakdown of revenues across the group is broadly proportional.

Isabel Green

Head of Investor Relations

Thanks, Rachael. And then perhaps, Paul, over to you for the next question about the longer-term outlook for gas turbines and the -- looking at the SAF.

Paul Stein

Chief Technology Officer

Yes. And thanks, Liren. I think one thing that we all have to bear in mind is that we're at the start of the growth of a massive industry in SAF, Liren. And right now, we're only powering 0.1% in fleet [indiscernible] SAFs. And the world's energy companies, including our own pathway through SMR for SAF, are now gearing up for a huge global industrial scaling. IAG has already predicted that they'll have enough SAF to commit to 10% by 2030, and they made a statement of that recently. The EU is going through the refuel initiative, which is likely to commit to a much higher figure by 2035. And we believe there is a pathway to get to 500 million tonnes of SAF per year by 2050, which is what we need to completely decarbonize aviation.

Isabel Green

Head of Investor Relations

Thank you. And then finally, Warren, would you mind picking up the question about the R&D and the alignment with the supply chain?

Warren D.A. East

CEO & Executive Director

Yes. Supply chain and -- and with customers. And I think there's 2 parts to this answer. The first is that there is a natural alignment. Whatever the topic, whether we're talking about journey to net zero or whatever, we as a business have to be aligned with our customers. If our customers are applying a lot of R&D on net zero technologies, whether that be ships or airplanes, it doesn't matter. We have to be aligned with them. Otherwise, we're not going to sell any products to them. So I think from that point of view, from our existing customer base, we're pretty aligned. And the same is true with our supply chain,

because if our suppliers didn't align their businesses with ours, as you sort of move along the value chain, then it just wouldn't work.

But just one thing I should bring out here is -- one of the things we've been talking about today is the opportunity that's in the net zero report and then the energy transition, and that is to -- for us as a business to be working in other areas. And we've highlighted a couple of examples today. We've talked about electric aviation, and how electric aviation brings us to urban air mobility, brings us to small commuter aircraft, smaller regional aircraft and so on, where we're just not present today. And so yes, we do have to spend some R&D there, and we're aligning there with future customers.

What we're doing with Rolls-Royce Electrical is taking new technology, but we're applying it very much into a field that we understand, in a market that we understand. But surely, there are going to be different customers in that market.

And then with SMRs, we're taking some technology that we're quite familiar with, the underlying nuclear technology there, and we're applying it to a completely new market.

And so in those 2 areas, where we're really creating completely pure growth opportunities, obviously, we have to get our R&D out a bit ahead of our customers.

Isabel Green

Head of Investor Relations

Thank you. I think we have run over time slightly, but perhaps you could just squeeze in one last question, please, operator. If you've got one more that we could add?

Operator

Of course. So we'll take the last question from Mouchumi Bhuyan from Spinecap.

Mouchumi Bhuyan

And congratulations on setting up science-based target. I just have one question. So are these targets only internally verified, or these are also verified and certified by SBTi already?

Isabel Green

Head of Investor Relations

Great question. So as I said earlier, we are engaging with the Science Based Targets initiative. The target itself that we're setting for Power Systems that Andreas has described is not yet verified. As you might be aware, it's quite a lengthy process to go through, but it is fully aligned with their methodology for new products lifetime -- life cycle emissions reduction, and does align with an emission trajectory to maintain global warming well below a 2-degree emissions trajectory. So we are just in the process of having that target verified.

Warren D.A. East

CEO & Executive Director

Maybe If I could add. We're working with SBTi to kind of get this set up, and we will communicate about the specifics behind the 35% reduction for Power Systems later in the year.

Isabel Green

Head of Investor Relations

Thank you. Thank you. And I'm very sorry for everyone that had a question that didn't get answer today. It has been a popular call. Unfortunately, [indiscernible] we have time for. So if you do have more questions that you want to come back to me or my team with, obviously, there's a lot of information also available on the website. So please do continue to engage with us as we proceed along this journey. But thank you for joining the call, and thank you to our panel for providing all the answers.

Warren D.A. East

CEO & Executive Director

Yes. Okay. Thank you for joining us. Thank you for your support.

Isabel Green

Head of Investor Relations

Bye-bye.

Warren D.A. East

CEO & Executive Director

Bye.

Operator

This concludes today's conference call. Thank you all for dialing in. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

FY 2020 Earnings Call Transcripts

Thursday, March 11, 2021 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2020-			-FY 2021-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	(0.71)	(0.67)	NM	(0.02)
Revenue (mm)	11014.58	11763.00	▲6.79	11598.59

Currency: GBP

Consensus as of Mar-11-2021 8:29 AM GMT

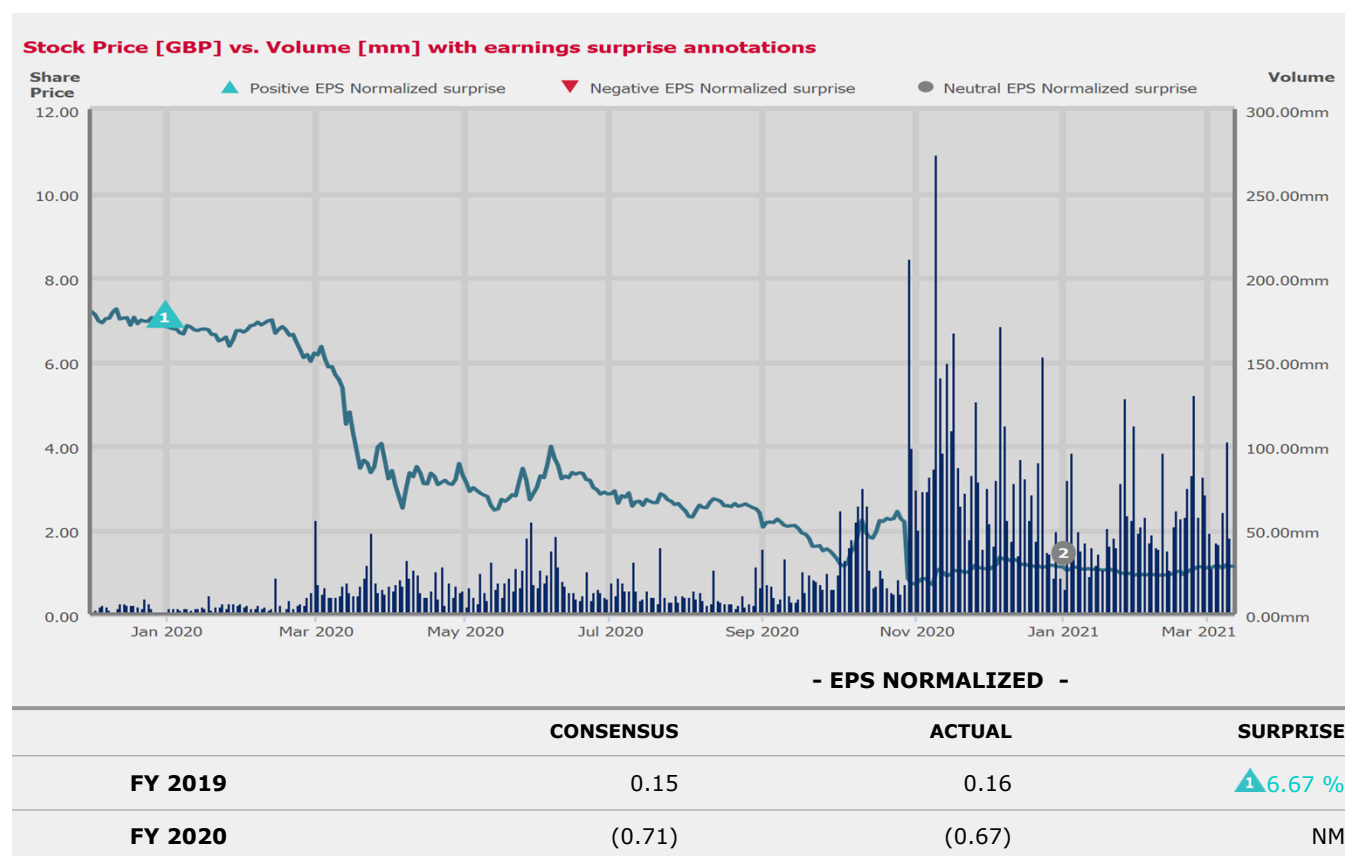


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Presentation

Operator

Thank you for standing by, and welcome to the Rolls-Royce 2020 Full Year Results. [Operator Instructions] I must advise you that your conference is being recorded today, Thursday, the 11th of March 2021. I would now like to hand over to the speaker for today, Isabel Green, Head of Investor Relations. Please go ahead.

Isabel Green

Head of Investor Relations

Welcome, everyone, to our 2020 full year results presentation. With me today are Warren East, CEO; and for his final results with us, Stephen Daintith, CFO. Also with us today is our Deputy CFO, Ben Fidler. We'll start the presentation shortly with an introduction from Warren, followed by a more detailed review of results by Stephen; and lastly, returning to Warren for an update on our outlook and strategy. In all, this should take about 40 minutes, leaving plenty of time at the end for Q&A.

Before I hand over to Warren, please take note of the safe harbor statement on Slide 2. This results presentation contains forward-looking statements that involve risks and uncertainty that may cause actual results or developments to differ materially. A full set of results materials can be downloaded from our website. Thank you, and over to you, Warren.

Warren D.A. East

CEO & Executive Director

Good morning, everyone, and thank you for joining us. Now before we look at our performance in detail, I'm going to reflect for a moment on the extraordinary and unprecedented year in 2020. And you can see from the images on the top of the slide there about just how devastating it was for our sector. It was also devastating for many people. It was a year where our colleagues made many personal sacrifices. And despite all the challenges, they still managed to dig deep to find the solutions to help keep our company strong for the future. And I'm very mindful of the fact that around 7,000 of our colleagues, some of whom have worked with Rolls-Royce for many years, have left us as we took actions to restructure and protect our business. And I thank all of those colleagues, both past and present, for their contributions, their diligence and their hard work.

Looking at the images on this slide, I'm particularly proud of the practical support that our people have given to the communities in which we work, doing things such as making face shields and volunteering to help those in need. As a company, we also endeavored to give back to our community. We launched the Emergent Alliance, and that's now growing to more than 140 members. And we've worked together there with the community using data analytics to assist economic recovery. Here in the U.K., we also joined the ventilator program, and we've been providing home learning and STEM materials to encourage online learning for young engineers and inventors of the future.

Finally, of course, I must thank our investors and our lenders who helped us and gave us additional liquidity to weather this crisis. So as we move forward, preparing for the recovery and investing for the future, we're very aware of the responsibility that we now have to honor the support we've received from all of our stakeholders by delivering on commitments that we've made and achieving those goals.

So now moving on to group performance. I'm on Slide 5. When COVID arrived early in 2020, it had an immediate and very material impact on our business. You remember, we came into 2020 with great positive momentum, and that momentum that we had at the start of the year was overtaken. And in response, we took decisive and effective actions to protect our people and protect our business. We introduced new ways of working to protect our colleagues, and that enabled us to maintain operations throughout with minimal disruption. We took mitigating actions that save more than GBP 1 billion in cash. We secured more than GBP 7 billion of additional liquidity and to secure the future. And we embarked on a very large restructuring, the largest restructuring in our history, to fundamentally change the economics

of our Civil Aerospace business, and that's going to save more than GBP 1.3 billion of annual costs on an ongoing basis.

We've also committed to rebuild our balance sheet, which is supported by a disposal program, where we're targeting more than GBP 2 billion from disposal by 2022. And despite the enormous pressure on cash and the cost reductions, however, we managed to continue to investment in sustainable, low-carbon solutions for the future. And I'm going to come back and say much more about that later in this presentation.

We're now looking at the business highlights for 2020. I mean the impact of COVID on our business, you can see on the right-hand side of the chart different businesses affected in different ways. The impact of COVID was most acutely felt in our Civil Aerospace business with engine flying hours reducing sharply in April to less than 20% of 2019 levels. And as the year progressed, those flying hours gradually recovered. Now while the rollout of vaccines and testing gives us good reason to look forward to the recovery, the impact on our industry is severe, and OE demand is expected to remain low for several years.

On large engines on wide-body aircraft, that's where we're most exposed to the downturn. International and business travel particularly was affected, and that's likely to recover slowly. Regional and narrow-body flights have been marginally less impacted with fewer cross-border routes. Business aviation was relatively resilient, and that was helped initially by repatriation flights at the start of lockdowns and, of course, much less exposed customer base.

How -- we've made good progress on our fundamental restructuring program in civil, around 5,500 of the roles removed so far from our business from the Civil Aerospace and that will, of course, give us permanent cost efficiencies and help reshape the economics of our business for the longer term. And I'll talk more about that later in this presentation. Despite the challenges, we've managed to continue to serve our customers, we've managed to design and manufacture solutions and invest in new technology. We've achieved our target of eliminating aircraft on ground due to the Trent 1000 durability fixes. And we've now got enough parts and MRO capacity there on Trent 1000 to avoid a recurrence of any customer inconvenience, even if miraculously all travel restrictions were lifted today.

In ITP Aero, we've seen, of course, similar market dynamics because Civil Aviation accounts for about 70% of ITP revenues and Defence activities in ITP contributing the rest. That performed relatively resiliently. Power Systems was less affected than our Civil Aerospace, but still quite affected by what happened, but it has a number of end markets, each with its own dynamics and that has helped to balance the business performance in Power Systems. Government end markets, for instance, were the most resilient, whereas industrial and marine suffered from the impact of lower economic activity and lockdown restrictions. Our strategy in Power Systems to grow in China also helped the overall performance of that business with structural growth and market share gains continuing. And our solutions to support and enable the transition to lower-carbon power have had a good year driven by investments in batteries, hydrogen fuel cells and hybrid systems.

And moving to the bottom of the slide, Defence. Defence had a good year because our government customers remained committed to the programs that we're delivering, and our order book remains strong. And this year has -- or 2020 has been a real reminder of why the Defence business is an important one for our group, delivering profit growth even in what turned out to be the most challenging of years across the rest of our business.

Now I'll hand over to Stephen to talk more about our financial performance.

Stephen Wayne Daintith
CFO & Executive Director

Thanks, Warren, and good morning, everybody. So our full year 2020 results were severely impacted by COVID, as Warren has just outlined. In addition to the trading impact, there were a number of large onetime charges in our underlying and reported results. Now they're shown here on this particular slide, Slide 8. These charges were mostly incurred in the first half of the year when the outlook suddenly deteriorated. Group revenues declined by more than 20%. This reflected the drop in activity in Civil Aerospace, ITP Aero and Power Systems but also the impact of a GBP 1.1 billion negative catch-up charge

on our Civil Aerospace long-term service agreements. This related to changes in the outlook on our long-term contracts as a result of COVID, which led to the derecognition of some of the revenue that has been booked in prior years.

Now we had a gross loss of GBP 512 million in 2020. This included GBP 1.3 billion of onetime charges, most notably the impact of the contract catch-ups that I've just talked about, although the gross profit charge was slightly lower than the revenue impact after taking risk and revenue share partners into account. In addition, we took a GBP 213 million charge related to onerous or loss-making contracts. Now we don't have many of these, and they are mostly related to the Trent 900 engines on the Airbus A380s. As the largest passenger plane in service, these have been particularly affected by the fall in passenger demand.

It's been a very tough year for everyone in our industry. A number of our customers have had challenges with their liquidity and financial stability. We have responded commercially with relaxations of certain terms and conditions, and we're keeping a close watch on the customer credit risk. Prudence requires that in some cases we provide for specific customer credit risk, which is why we have taken an GBP 86 million charge in this respect. The final large charge on our underlying results is the GBP 1.7 billion financing cost charge related to our hedge book. Our U.S. dollar hedge book provides cover for transactional currency risk because our dollar receipts usually exceed our dollar costs. The impact of COVID on our future forecast left us significantly overhedged and so in 2020 and early 2021, reduced the hedge book at a cost of GBP 1.7 billion spread over the next 6 years.

Now you can see on this slide the business unit performance in more detail. As Warren has already talked about the market drivers of our performance, so I won't need to cover those again. What you can see here is the scale of the impact of the drop in performance in Civil Aerospace has had on the group as well as the impact of the COVID-related onetime charges, which make up most of the loss. Power Systems, Defence and ITP Aero all contributed positively to operating performance, albeit only Defence achieved year-on-year growth, up 8% on 2019.

Now this next slide details the successful mitigating actions we took this year to help protect our financial and liquidity position. We've had a laser-like focus on cash costs, culminating in year savings of more than GBP 1 billion compared to our plan at the start of the year. The largest savings of around GBP 500 million came from a reduction in pay and benefits. Now this was a result of 3 key things: Number one, a pay cut for senior managers during the 9 months between April and December; secondly, support from government furlough schemes; and thirdly, savings starting to come through from the reduction in roles in the second half of the year. Furthermore, we reduced our capital expenditure by around GBP 300 million. We stopped all nonessential spend and rephased some of our projects. About 2/3 of our savings were in Civil Aerospace, where earlier plans to increase capacity were shelved as we now expect to meet the forecast load within our existing facilities. We've reduced the pace of investment in spare engines, and we've also challenged capital plans across the group.

Engineering spend was also reduced as industry-wide delays have allowed us to slow down our R&D spend without jeopardizing our commercial objectives. We've also saved on third-party costs and travel and absorbed the additional investment needed to make our workspaces COVID-secure. Now most of our mitigations were onetime or temporary. However, some of the savings are expected to roll into our fundamental restructuring program, helping to deliver the GBP 1.3 billion of annualized savings by the end of 2022. Achieving more than GBP 1 billion of savings so swiftly is testament to the collaboration, dedication and focus from everyone in the business. Not only have personal sacrifices been made, but we have pulled together to find savings, no matter how small, to contribute to the group-wide effort to protect our business. I'd like to thank everyone at Rolls-Royce for the part that they have played delivering this extraordinary response to the COVID crisis.

Now on this next slide, we had a GBP 4.2 billion group free cash outflow in 2020 compared to a GBP 900 million inflow in 2019. This GBP 5.1 billion year-on-year movement can be divided into 3 broad categories. Firstly, compared to 2019, there was a GBP 3 billion impact from operational factors, but this is mostly due to the lower engine flying hour receipts from the long-term service agreements, but also includes lower time and material receipts and the impact of under-recovery of fixed costs, particularly on civil OE, original

equipment, volumes. Although Power Systems and ITP Aero contributed positively to group cash, they were down year-on-year, which was only partly offset by growth in Defence.

Secondly, we had a GBP 2.1 billion swing in working capital, moving from a GBP 0.4 billion inflow in 2019 to a GBP 1.7 billion outflow in 2020, and this was mostly due to our decision to stop invoice factoring, which resulted in a GBP 1.1 billion adverse one-off timing impact to cash. The rest was a reflection of the underlying reduction in working capital as our activity levels diminished significantly in 2020. This compares to the previous trend of cash inflow from working capital as we grew the business. Now finally, there were a range of other smaller factors moving in both directions, which largely net each other out. Included within these are the costs of closing out the hedges in 2020 as well as the positive swing of around GBP 400 million from the lower capital spending due to our cash mitigations.

This next slide shows how these 3 movements show up in our summary funds flow in more detail. The Civil Aerospace net LTSA balance grew by GBP 479 million in 2020, which may feel a little counterintuitive given the significant fall in flying hours. Now this is the result, though, of the GBP 1.1 billion contract catch-up to revenues that I outlined a little while ago. Typically, we expect to see an increase in the LTSA balance as we grow the fleet. However, this year, if we adjusted out the catch-up effect, we had a reduction in the LTSA balance as revenues, which, as you know, are driven by shop visits, were larger than the flying hour receipts. The GBP 138 million movement in provisions is the net result of new provisions for onerous contracts, offset by the reduction in provisions related to the Trent 1000 in service costs. You can also see here the GBP 202 million cash impacts of closing out unutilized hedges.

Although the cash headwinds from the hedge book and Trent 1000 fixes are substantial and multiyear, they are not permanent elements of our cash flow. In 2020, the cash impact of these combined was around GBP 700 million. Moving on to '21 and '22, they are expected to be around GBP 800 million and GBP 500 million, respectively. But beyond 2023, importantly, the headwind from Trent 1000 is expected to be de minimis. The last of the hedge cost will be in 2026. Now further details of these are included in the appendix slides.

Moving on to the next slide. We strengthened our liquidity in 2020 to cope with the uncertain outlook and near-term cash impact of the COVID crisis. At the start of 2020, we had GBP 6.9 billion of liquidity and a net funds position of GBP 1.4 billion. Our GBP 3.1 billion of debt included EUR 750 million of bonds maturing in 2020 and \$500 million maturing in 2021. Now we had expected to cover these maturities with the cash generated by the business. With the arrival of COVID, we took the precaution of drawing down on our GBP 2.5 billion revolving credit facility, which had a duration out to 2024. As the extent of the pandemic became apparent, we took the necessary actions to ensure that we would have enough liquidity and a sufficiently long maturity profile to manage even in a severe but plausible downside scenario.

We agreed new loan facilities, GBP 1 billion with a 2-year term and GBP 2 billion with a 5-year term, and we lengthened the GBP 2.5 billion revolving credit facility to 2025. We were supported by the U.K. credit export agency with an 80% guarantee on the 5-year term loan. In the fourth quarter, we added to this with a GBP 2 billion bond issue and a GBP 2 billion rights issue, which were both well supported by our investors. This leaves us all in a strong liquidity position with around GBP 9 billion at the start of 2021, and most of our debt does not mature until at least 2025. This gives us the strength to weather the near-term cash outflows and we expect to return to generating cash from operations in 2022. Today, we have GBP 5.5 billion of undrawn facilities. And additionally, we have just agreed a GBP 1 billion extension to the 5-year term loan with the UK. Export Finance and our syndicate of banks. We do not expect to draw on this extension even in a downside scenario, but it provides an important safety net.

Moving on to the next slide. Our strong liquidity will, therefore, see us through this crisis, but afterwards, we will need to rebuild our balance sheet. We do not intend to remain in a net debt position. We're in a cyclical industry and need a strong balance sheet to be able to weather the storms without jeopardizing our commercial position or our through-cycle investments. The first step on the road to financial recovery came from the support of our shareholders, with the GBP 2 billion proceeds from the rights issue in 2020. We expect to at least match this with proceeds from disposals, which I'll say more about in a moment. The remainder of the bridge comes from cash generated organically from operations, the actions we are taking to restructure the business. And the expected recovery in engine flying hours should enable us to

get back to a healthy cash generation by 2022. This underpins our ambition to reach a net cash position in the medium term, consistent with an investment-grade credit rating.

Now on this next slide, and before I hand back to Warren, I promise to say a bit more on our plans for asset sales. We got off to a good start with 2 disposals all really agreed and due to complete later this year. Firstly, we agreed the sale of our Civil Nuclear instrumentation and control business to Framatome. Secondly, we agreed to sell Bergen Engines to TMH International. Now this transaction has been temporarily paused at the request of the Norwegian government to be further reviewed by them. It is not for us to speculate on the outcome of the government's review. However, it should be noted that the sale of Bergen is only one part of our disposal program. Although both of these are good businesses, neither of them were central to our future strategy, and they did not generate any material profit or cash flows. Between them, they generated about GBP 300 million in annual revenues.

The largest of our planned asset sales is ITP Aero. We've started the disposal process with the proposed transfer of our Hucknall facility and some of the work from Barnoldswick into ITP. We are holding talks with a number of interested buyers. No one is being ruled out, and we are working closely with all the key stakeholders to find the right path forward. We've got a number of other assets under consideration too, not just in Civil Aerospace but across the group. We're not in a position to name these yet as they are at a relatively -- still in their early stages. But we expect to see further progress by the end of 2021 on all processes.

Now I'll now pass back to Warren to discuss our outlook and our strategy.

Warren D.A. East

CEO & Executive Director

Thank you, Stephen. Okay. Let's move on. Now, as I said before, this has been an unprecedented time. We have faced up to the challenges with decisive and effective actions to take control of the things we can control and manage the things that we can't control. And within that framework, we have 3 clear priorities as we look forward. First of all, restoring our financial performance, then thinking about how we maximize value from our existing capabilities for the medium term and, looking further forward, how we deliver the science-led innovation in sustainable power that's going to take us forward into the longer term, and I'm going to take each one of these in turn.

So let's start with our financial performance and how that changes. The -- we'll step back for a moment and look at the global economy. The impact of COVID on the global economy has been greater than any other event in recent history. You can see from the chart on the top right here. Nonetheless, there is cause to be optimistic about a V-shaped recovery, and that's underpinned by the efficacy of vaccines and the decline of infections in locations where vaccinations and testing have been rolled out. The data is -- initial data is very encouraging. The pace and timing for opening up borders, however, remains uncertain today, but it's clear from our airline customers that there is significant pent-up demand from consumers for flights just as soon as they're able to resume. And this could be accelerated by vaccine passports, air bridges or other risk-based approaches between countries with low levels of infection.

Now in Civil Aerospace, there is, as you know, a historic correlation between GDP and flying with growth in passenger miles increasing at around 1.5x the pace of economic growth. And there's also a strong link between the development of the country's economy and the penetration of flights per person. And as a result, fast-growing economies with low levels of air travel fuel the long-term expected growth trends for our industry in the coming decades. And this makes it hugely important that we develop the right low-carbon solutions that will support these economies to develop cleanly and sustainably, and I'm going to elaborate more on that in future.

Now Power Systems is also a GDP-plus business. But unlike Aerospace, it doesn't have particular issues around opening up of travel corridors and government-to-government agreements. And so we expect the V-shaped recovery in GDP to result in a faster recovery of revenues and profits. Defence, as I said earlier, has been less impacted by the crisis. It's also less impacted on an ongoing basis by fluctuations in GDP because government allocations are driven more by the need for investment based on geopolitical risk. And actually, we don't see that geopolitical risk changing anytime in the near future. But of course, there

will be pressure or likely to be pressure at any rate on total government budgets in coming years as they seek to repair the economic and social damage that has been caused by COVID.

So moving on to Slide 19, talking about Defence and Power Systems. I'll start there with a little more detail. Power Systems and Defence have been the bedrock of support for us this year, and they've contributed over half our revenues and generated both profit and cash for the group. Power Systems provides the power for industrial and agricultural growth as well as travel and infrastructure, and reliable power is critical for continuity of services, and our microgrids and backup power solutions can provide that. And as we see economies reopen and get back to business, so we expect our customers' capital expenditure cycle to accelerate, and that will drive a sharp recovery in demand for our OE and for aftermarket services.

And so we see our Power Systems business returning to 2019 revenue levels by 2022, along with a margin recovery back to double-digit levels. And that is helped by structural growth in China, that I've mentioned before, and increased pace of development of low-carbon solutions as well as the general recovery from COVID. In Defence, we have a stable outlook. We have a strong order book. We're working continuously in that business to offset inflation and pricing pressure with savings and operational efficiencies. And we think that we're in a good position to benefit from future program opportunities as they emerge.

So now let's look at Civil Aerospace on Slide 20. Clearly, the pace and timing of recovery in engine flying hours remains uncertain, but the progress on vaccines and testing is encouraging. At the start of the year, in January, we updated our expectations for 2021 to reflect the challenges that the world is seeing from new virus variants and new national lockdowns, and our view of a recovery in 2021, we modified, and this is particularly about the Rolls-Royce fleet, by the way, that we modified to an average of around 55% of 2019 levels, and that remains unchanged as we sit here today. Today, activity is actually below that level. But based on third-party projections and conversations with our own customers, we expect the recovery to pick up in the second half of the year as flights fill up and the airlines open more routes. And this recovery is likely, of course, to be led by short-haul leisure demand, and that will be followed by business trips and long-haul journeys.

Now turning to our expectations for engine flying hours in 2022. We're now expecting around 80% average flying hours in 2022 compared to 2019, and that's different from the 90% we talked about previously. The impact of this downward revision on our GBP 750 million cash target has been mitigated by additional management actions and our latest view on certain cash movements. We've also refreshed our plausible and severe downside scenario to make sure we're well prepared should the recovery take a little longer. Full details of our scenarios are included in the press release. But in summary, we see a reasonable worst-case of around 45% of 2019 levels in 2021, that's flat on 2020, but it's a bit higher than the levels we're seeing today, and approximately 70% of 2019 in 2022.

So we continue to see a disparity between the different engine programs, the chart on the top right-hand side slide, and you can see that shows that the newer, more efficient aircraft and engines are the ones that are recovering faster than the more mature ones. And that's, of course, driven by the economics for airlines as they look to minimize their operating costs. And it's also driven as well by the geographic mix and customer concentrations of our fleet. You can see our Trent XWB engines have been the fastest to recover. They've already reached around 60% of prior year flying hours by the end of 2020, and that's followed closely by the fleet of Trent 1000.

One of the bright spots for the whole industry last year was the winning combination of our Trent XWB engine on the Airbus A350. This is the most fuel-efficient wide-body aircraft in the world and it has versatility to serve both long-haul and short-haul routes. Now we're already exclusive on the A350-1000 variant of the aircraft, and we are extending our position, our exclusive position, on the A350-900 variant, and that accounts for the bulk of the A350 fleet, and that extension has agreed with Airbus out to 2030. Now that's in line with the development time line for our next-generation UltraFan engine program. And just to remind you, by the way, that we're also the exclusive engine provider for the A330neo with the Trent 7000.

So Slide 21. I talked so far about recovery factors that we can't control, engine flying hours, behavior of airlines and the like. Now I'm going to talk about things that we can control. We were quick to recognize

the need to self-help actions to control our cost base and position our business for the future last year. And in May, we announced a fundamental restructuring program, the largest we've ever undertaken. The impact on our people of a change program at this scale cannot be underestimated, and we didn't -- certainly did not take this decision lightly. We're consulting with colleagues on the proposed actions. We're working with unions and employee representatives to try to limit the number of compulsory redundancies and protect as many livelihoods as we can. We've increased support for mental health and well-being, and we're helping those that are affected by redundancy to find alternative roles, sometimes elsewhere in Rolls-Royce, sometimes outside of the company.

But the outcome we're targeting is clear. We need to restructure our cost base and eliminate the under-recoveries and set up the framework that will enable us to recover strongly when activity levels return. So we've set the target to achieve annualized pretax savings of more than GBP 1.3 billion by the end of 2022. And our plan for this includes the removal of more than 9,000 roles, and most of those are in our Civil Aerospace business. It includes consolidation of our operational footprint and cost discipline right across the business. And we're also looking to keep our capital expenditure low, and we're aiming to be at the better end of our peer group range of 3% to 4% of revenues in that respect.

Now we made a strong start in 2020. In 2020, around 7,000 roles were removed across the business, mostly through our voluntary severance programs, but also as a result of hiring freezes via contractors, some compulsory redundancies. We also began consultations to consolidate the major Civil Aerospace operating sites, consolidating 11 sites down to 5, with activities being moved to the most productive cost-effective hubs and a reduction in the duplication of work in multiple locations. We're engaging with all the stakeholders to make sure that our actions are both fair and effective.

Now let's have a look at the economics. Changes are fundamentally altering the economics of our Civil Aerospace business, and that's shown here on Slide 22. The majority of our cost savings are targeting fixed costs in our Civil Aerospace business. We're reducing headcount by approximately 1/3, and we're looking to lock in substantial savings from those site consolidations and efficiency improvements. And on top of that, most of the planned group capital expenditure savings are also in Civil Aerospace. And there, we have a reduction of more than 50% versus the 2019 levels. And that's, of course, helped by the growing maturity of our newest engine program, so some of that CapEx was going to reduce anyway.

At the same time, we're seeing our variable costs reduce with load, but we're also pushing those variable costs even further. We're challenging ourselves to achieve better pricing and engineer greater efficiency to reduce per-unit cost and waste. It really is a fundamental transformation of the Civil Aerospace cost base. It's a program of self-help, and that will enable us to create a stronger business with more sustainable cash generation and a permanently lower fixed cost base, regardless of whatever the pace of recovery happens to be.

And as the next slide shows, it sets us up well to benefit from huge operating leverage as the market recovers. So let's look and see what that means for our future cash flows, on Slide 23. We can't control the pace and timing of recovery, which, in turn, is the main driver of recovery in both the aftermarket and the OE receipts part of our business. So those are the blocks above of the axis. But what we can control are the blocks below the axis, which I've just talked about on the previous slide. But here, you can see spread out in time. We can influence the rate of cash burn during the downturn. And also, consequently, the operational leverage that we enjoy as the flying hours improve.

In 2020, large engine flying hours were 43% of 2019 levels, and we delivered around half as many of new large engines. Business jets and regional did show more resilience, but still, the fall in receipts was quite significant. And you can see our response in the reduction of the turquoise bars below the line, representing the operating cost and capital spend. And that begins in 2020 with the cash mitigation that I talked about. But it continues in 2021 and 2022 as the restructuring program makes those savings permanent and expands them even further.

However, due to supplier lead times and working capital movements, in 2020, it simply wasn't possible to reduce our total costs at the same pace that we saw in the fall in receipts. And that's what drove the Civil Aerospace trading cash outflow of GBP 4.6 billion. In 2021, this does begin to improve because that purchasing reduces with lower volumes and as we're able to turn off those taps, we still have a working

capital headwind to contend with, and that is driven primarily by the OE concession payments that we talked about shortly before Christmas as a backlog of 787 aircraft are delivered by Boeing, and that triggers payments from us to airlines. The timing of this is completely outside of our control. And while we expect significant concession outflow in the first half of 2021, we may slip a little bit to the right.

Nevertheless, you can see the cash flow as a whole begins to improve in 2021. Once the market recovers more fully, you can see Civil Aerospace returning to positive cash flow. And assuming flying hours reach approximately 80% of 2019 levels, on average, in 2022, we will see the Civil Aerospace business delivering cash flows that support our group ambition of at least GBP 750 million of free cash flow. Looking longer term, the actions that we've taken to change our cost base and position for the recovery mean we're confident we'll be able to keep those costs low as volumes increase and that will deliver better cash margins in the future than we have achieved in the past.

So that brings me back now to the group outlook for the near term, on Slide 24. We're expecting free cash outflow of around about GBP 2 billion in 2021. The first half will see the worst of the outflows, mostly due to the shape of expected flying hour recovery and the timing of those concession payments. In the second half, there should be benefits as the vaccine and testing allows more routes to reopen and working capital pressure begins to ease on those concession payments. Both halves are expected to see cash outflow overall. But at some point during the second half of the year, we expect net cash outflow to become net cash inflow, marking the inflection point in our recovery. Now as we move into 2022, we expect those improvements to continue and drive sustainable positive cash inflow and that could total as much as GBP 750 million in the year as a whole in 2022.

And that's not adjusted for any disposals that may have completed by then but it does remain contingent on the recovery in flying hours to at least about 80% of 2019 levels. Now despite the uncertainties of the exact timing of that, we're confident that over a 12-month period, starting at some point in 2022, we're going to achieve that target. Looking further ahead, our ambition to get back to at least GBP 750 million as early as 2022 includes up to GBP 500 million of temporary headwinds from the Trent 1000 fixes and the closure of our overhedged positions. So our projected future cash flows will benefit as these diminish in the years going forward.

So Slide 25, now that we've -- that's effectively covered how we are restoring our financial performance. I'm going to move on to how we're positioning ourselves for the recovery and creating a sustainable future. And that's 2 things: first, by maximizing the value from our existing capabilities in civil, in Power Systems and Defence; and secondly, through the science-led innovation in sustainable power that we talk about quite a bit. And that includes exploring opportunities with things like sustainable aviation fuels, exploring opportunities around hydrogen, and I'll come on to talk about that in a moment.

So on Slide 26, maximizing the value from our existing capabilities, it's all about what we can do in each of our business units to really capitalize on our position. We've invested heavily in Civil Aerospace over recent years, but that major investment cycle is now largely complete and our fleets are amongst the youngest in their respective markets. So the focus now is on extracting aftermarket value from that installed base with more than 5,000 large engines and 7,000 business jet engines, and we can do that by improving time on wing and continuing to reduce the cost of components. Similarly, in Power Systems, we've got an installed base, more than 150,000 large engines, which gives us a great foundation to build upon. We're also exploring how we can really grow our strategic position in China, which is a fast-growing market for Power Systems, as well as commercialize our electrical, hybrid and hydrogen solutions. In Defence, there are 2 particularly notable engine programs, and we're awaiting decisions on those in the next 2 years or so. These are the B52 re-engine program and the future Vertical lift program. And together, they have an estimated lifetime value of more than GBP 7 billion. And we're also continuing to work on through-life upgrades to engines in service.

Slide 27 shows what this means for our capital allocation. On the left-hand side of the slide, you can see how we're pivoting our midterm investments away from civil towards Power Systems and Defence because, as mentioned, the major investment cycle in civil is now largely complete. And in 2019 and 2020, we spent more than 70% on Civil Aerospace and ITP Aero. But looking into the medium term, we're going to see that decline, and it will be more like 50%. Now if we look at the chart on the right, we can

look at that capital allocation through a different lens. This is a lens where we are accelerating our focus on carbon -- on low-carbon technologies and sort of self-funded and disciplined R&D.

And as we move towards the midterm, the proportion of our investments in low-carbon and next-generation engines will really be the lion's share. The current investment in current technology falls from around 2/3 in 2019 to around 1/4 in several years' time. And that rapid shift in investment spend reflects our net-zero ambitions. If we are to become a carbon-neutral business by 2050, and that means enabling the markets that we serve to be net zero by 2050, then it's vitally important that we take the steps now that will enable us to create more sustainable power in the future.

Slide 28, so I'm going to take each of these in turn and start with low carbon. Firstly, UltraFan, our next-generation aero engine. As many of you will know, this new engine architecture is forming an exciting part of our sustainability journey. For starters, it's 25% more fuel-efficient than the first generation of Trent family engines. It's also 100% SAF compatible, sustainable aviation fuel compatible. Now that efficiency is very important as SAF will inevitably be more expensive than fossil fuel to begin with. Now I mentioned SAF a moment ago, and there's a lot of interest in this area recently. So just touching on that for a moment. For journeys over 1,000 nautical miles, alternatives like electric solutions and hydrogen solutions become very challenging or even impossible.

So for Rolls-Royce, we see the use of SAF, or sustainable aviations fuel, as being vital. And they require little change to our existing engine architecture and what we're working on with partners in the industry is SAF that can be simply dropped into the engine. They also have higher energy density and fewer impurities. And additionally, they can be created synthetically using captured carbon, using a zero-carbon energy source and that's what gives us our net zero. You may have read the announcements we've made recently about successful tests on our wide-body business jet engines. We've also been testing SAF in our Defence engines, and all the results have been extremely promising.

However, it's not just aviation that can benefit from more sustainable fuels. Our Power Systems business also has a separate unit called Power Lab, and that's dedicated to our sustainable future. And there, we're exploring the use of synthetic fuels in our Power Systems portfolio. Our hybrid electric solutions reduce further our CO2 impact, and we're embracing hybrid solutions in many different areas across the group. You've seen pictures of hybrid trains before from Power Systems. In Power Systems here, on the bottom of the slide, we have a picture of a hybrid electric engine based on the Series 2000 engines, ideally suited for yachts and provides increased power and lower noise pollution.

Now let's turn to Slide 29 and talk about enabling net zero. Now remember, an UltraFan engine running 100% synthetic aviation fuel generated from net-zero electricity is indeed net zero, but we're doing more. As with SAF, there's been a lot of interest and excitement in the aviation sector around the use of hydrogen. And just like others in the industry, of course, we're exploring the fundamentals of hydrogen in aviation. It's a very exciting area and one that really pushes the boundaries and uses our existing engine technology. Our existing engine technologies could be adapted relatively easily to utilize hydrogen. There are large challenges for the industry that are -- industry more broadly, however, to overcome. But it's exciting to see the effort building around hydrogen. I'm confident that we have the technical capability to support our aviation customers if that is indeed the direction in which the industry moves.

Aside from the use of hydrogen in aviation, there are also many opportunities for hydrogen in our Power Systems business. We're cooperating, for instance, with Daimler truck on stationary hydrogen-powered fuel cell generators, and that would act as a CO2-neutral emergency power generator for critical facilities like data centers. And we're also working on ways to make energy storage more carbon-neutral. We recently made a majority stake in the acquisition of Qinous, which is central to our microgrid solutions, enabling renewable power and energy storage. I would also like to talk about SMRs, or small modular reactors. You've heard us talk about that before.

Rolls-Royce has unique expertise in high-density nuclear technology from decades of experience in Defence. SMRs are small nuclear power stations which are factory built, which have the ability to deliver electricity in a net-zero way. In turn, this electricity could further contribute towards our net-zero ambition as, of course, it could be used to power the synthetic production of SAFs or indeed of hydrogen. And we

have U.K. government support for SMRs, and we're targeting the first power by 2030. They have much lower CapEx requirements, much smaller footprint per gigawatt.

Now turning to Slide 30. I'm going to come back to aviation. And the progress we're making in electric aviation is particularly important for small- and medium-distance journeys and is an area where we're seeing a huge amount of interest and growth. Now you may have noticed on Tuesday that we announced our first commercial deal in the urban air mobility market. It's a very significant step towards commercializing our technology. The deal with Vertical Aerospace uses a Rolls-Royce electrical power system, which will be integrated into the piloted eVTOL vehicle. It's also particularly exciting as it has the potential to transform the way that people and freight move from city to city. In the commuter and regional space, we've got a partnership with Italian airframer Tecnam to jointly develop the P-Volt. That's an 11-seater aircraft in an all-electric battery and fuel-cell configuration.

And today, I'm announcing that we are expanding the successful research program between Rolls-Royce and Widerøe to cover all elements of developing and delivering the zero ambitions, people commuter aircraft that could be used in the Norwegian market from 2026. And in the small propeller space, you might have read our announcement earlier this month that the Spirit of Innovation aircraft, part of the ACCEL program, achieved another major milestone. It's on track to be the world's fastest electric airplane. It successfully did its taxiing trial propelled by its 50-horsepower or 400-kilowatt electric powertrain, and we are hoping to see the first flight of that aircraft in the spring.

So let me summarize. Before we end our presentation today, just a reminder of what we've been talking about, the decisive and effective actions we've taken to address the challenging market conditions we faced in 2020. We made in-year cash savings of more than GBP 1 billion from one-off mitigating actions with the support of our stakeholders. We've strengthened our liquidity position to increase the resilience and support our long-term strategy. We've also made strong progress on our fundamental restructuring program and we've commenced our disposal program to raise over GBP 2 billion in proceeds.

If we look forward, ahead to the recovery, then we're confident that those restructuring actions that we've taken in 2020 will enable us to have permanent cost efficiencies. We remain committed to supporting the decarbonization of our end markets by pivoting our R&D and CapEx towards lower carbon solutions. And I'm confident we'll be able to offer -- continue to offer growing low-carbon technology for a more sustainable future.

Now before I hand back to the operator now for Q&A, as I mentioned, or in fact, as Isabel mentioned at the start of this call, this is Stephen's final full year results with us. And I'd obviously like to thank Stephen for all his hard work and support, particularly during the recapitalization efforts of the last year. I want to thank him for his friendship over the last 4 years as well and help with putting this business back where it belongs. So thank you, Stephen. I think Ocado is very lucky to have you. And now as the rest of you know, Ben Fidler, who's here with us today, is stepping up to the role of interim CFO for a few months until our new CFO, Panos Kakoullis, joins us in May. And with that, I'd like to thank you all for listening and hand over to the moderator for Q&A.

Question and Answer

Operator

[Operator Instructions] We have the first questions coming from the line of Andrew Humphrey from Morgan Stanley.

Andrew Edward Humphrey
Morgan Stanley, Research Division

I've got a couple, if I may. One is on flying hours. I mean I think on -- over January and February, Rolls-Royce flying hours, as far as we can tell, were around 36% of 2019 levels. Assuming they stay at a similar level over the rest of the first half, are we effectively saying we need to be at 75% of 2019 levels in the second half to meet the cash guidance for this year?

And my second question is sort of a bit longer-term around XWB. You've obviously secured the exclusive position on the 900 until 2030. I was curious about the reason for specifying that variant. I mean I assume that the 800 and the 1000 would not be sufficiently large-volume opportunities in themselves for a competitor to make significant inroads in there. I'd be interested in your view on that. And also, does the kind of specification of sort of 2030 as an end date for that exclusivity mean, effectively, that could be dual-source from 1st of January 2031?

Warren D.A. East
CEO & Executive Director

Right. Thanks very much, Andrew. Well, let me take both of those. I mean the engine flying hours, undoubtedly, we can see what's happened in the first couple of months. And there is a huge amount of uncertainty still in the timing of the recovery. And yes, our base case does expect a recovery to resume in the summer. Things like vaccine rollouts and the efficacy of vaccines are important to that. But also airport testing or health passports or whatever the solution is going to be will also require government to government interactions and lastly, public confidence, people have to actually get on the airplanes. So yes, there's a lot of uncertainty.

And yes, the arithmetic that you suggest about overall percentage of engine flying hours is there. Of course, don't forget, engine flying hours, there isn't a literal connection of engine flying hours to our cash performance this year, but there's definitely a directional relationship. And our base case does depend on that recovery. So we'll just have to wait and see. And we're going to concentrate and continue to concentrate on the things that we can control and manage the things that we can't control, like timing and pace of recovery.

On XWB 900, you'll recall, 12 months or so ago, there was a huge amount of speculation about our competitive position on A350 and GE having conversations with Airbus and so on. A huge amount of speculation and uncertainty in the community. And so we're delighted to put that speculation to bed for the remainder of this decade. And you're right, the 900 variant is the volume variant. It's a hugely successful airplane. And technically, yes, when a period of exclusivity finishes at the end of 2030, then it could be dual-sourced at the end of 2031. But as I pointed out in the presentation a moment ago, the 2030 date does coincide pretty much with the timing of likely UltraFan and next-generation aircraft and those sorts of things. It's a useful round date as well. To say exclusivity to the middle of March 2031 or something like that doesn't seem like a very -- seems spuriously accurate date. So we'll see. But for now, we're delighted with confirming the exclusive position across all the variants of the A350.

Operator

We have the next questions coming from the line of Celine Fornaro from UBS.

Celine Fornaro
UBS Investment Bank, Research Division

If I may, I would have 2 questions, please. The first one is regarding your GBP 750 million free cash guidance for 2022. So if we try and work it backwards a little bit in terms of the businesses, we know that roughly the non-Aerospace part of the business would generate approximately GBP 700 million of cash and then you would have GBP 600 million of headwinds coming from the tax, interest and the hedge book. So that would imply that Aerospace basically needs to generate roughly GBP 600 million in 2022 with a scenario of 80% flying hours. I just -- this is way above the 2019 level, which was in the high 400s. Maybe you could just explain to us the path towards that and if this logic seems accurate based on the headwinds on aftermarket and the rebased volume offset somewhat by restructuring.

And then my second question would be I've just seen this morning an appointment, a new appointment with a new effect on the Board by Mr. Paul Adams. So maybe you could share a few words on his background and what he would bring to the business given his operational focus. You are midway through a restructuring and a potential portfolio sale of some assets.

Stephen Wayne Daintith
CFO & Executive Director

Celine, it's Stephen here. So let me start with bridge to the GBP 750 million free cash flow as early as 2022 that you referenced. And you're absolutely right, the key driver here will be the recovery and turnaround in Civil Aerospace. Let me just take you through -- if I just work, let's say, from the outflow of GBP 4.2 billion that we saw in 2020 and take you through to 2022 and what are the key drivers of that material improvement in free cash flow over those 2 years. So first of all, the single-biggest driver is of course the improvement in the engine flying hours that we see, close to GBP 1.2 billion of cash flow improvement. And that's essentially driven by engine flying hours rising from the 43% of 2019 levels that we saw in 2020, particularly in the final 9 months of 2020, improving to the guidance that we're giving today of our expectation of around 8% of 2019 levels in 2021 -- sorry, in '22. And every 1%, as a rough rule of thumb, equals GBP 30 million. So there's a -- that is your first key item really in that bridge.

We're then also expecting to see about GBP 900 million of improvement in Civil Aerospace just in market impacts, and this will be around the regional engines, the V2500 and just generally, wide-body time and material improvement. That's going to be a big driver of that. We're also going to see higher spare-engine volumes in 2022 that we saw in 2020, which was a pretty subdued year for spare-engine demand, as you might expect. And finally, a key thing that we shouldn't forget about in Civil Aerospace is we're going to see around GBP 300 million lower Trent 1000 costs. We're about GBP 520 million this year. That will reduce to around GBP 200 million or so in 2022, so that's another key driver.

When we look at Power Systems and ITP, put those 2 businesses together, we're probably going to see around GBP 200 million of improved cash flow out of those 2 businesses in 2022. Another key item that we're working through and, in fact, this is an item that we've made good progress on during 2020 is our group restructuring program. We're expecting a GBP 500 million contribution from that compared to our 2020 numbers. Those are reductions in operating costs and capital expenditure. Just as a reminder on that, the cash mitigations of the GBP 1 billion of savings that we delivered in 2020 were against our pre-COVID budget, whereas the GBP 1.3 billion of restructuring savings that we first indicated on the 20th of May, when we announced our 9,000-headcount reduction, they're measured against our 2019 cost base. So in short, this difference means that despite the 2020 mitigations, there's still GBP 500 million of benefit to come across '21 and '22 and not just the headline GBP 300 million.

Another key point here is to bear in mind that we actually see a reduction in the 2020 temporary headwinds as well that we saw, and these are 2 key areas, really. Number one is in the fixed cost under-recoveries, particularly in Civil Aerospace, to the drop, sharp drop in volumes that we saw in 2020 as COVID really kicked in and that we've talked about the OE volumes just now. And then we've also got a one-off FX impact in 2020 as well as our U.S. dollar costs exceeded our revenues. And in that scenario then, we translate rather the achieved rate at the prevailing spot rates at the time, closer to sort of GBP 130 million-or-so rather than the GBP 150 million-or-so in the hedge book. And given that our costs exceeded our revenues in 2020, that has a material around GBP 400 million FX headwind to 2020 that won't be repeated in 2022 as our revenues and costs get closer aligned in U.S. dollars.

Finally, we had a GBP 200 million increase in pension, interest and tax, pension cost swings in 2020 due to a deferral of the 2020 cash costs into '21. So that's another item in that respect as well. So that gets you to the GBP 750 million as early as 2022. And I would put some qualification around that, very much dependent on the 80% of engine flying hours that we've highlighted today and also very much dependent on the pace of our restructuring program and the delivery of the savings as well. I think we've made very good progress during 2020. There's still much to do, particularly as we get into the discussions around the potential site implications in Civil Aerospace. But we're pleased with the progress that we're making and pretty confident about delivering those full savings from our restructuring program.

That's it really on the GBP 750 million. Warren?

Warren D.A. East

CEO & Executive Director

Great. Thanks, Stephen. And on Paul Adams, well, we're very pleased to welcome Paul Adams to the Board. I'd point out that we also highlight that 3 of our directors are leaving the Board. They're timing out. And so this is part of the normal succession process. Now Paul was Head of Engineering at Pratt & Whitney for some years, and so he clearly has some very relevant industrial experience. And that compensates for some of the industrial experience that we are losing with the timing out of those 3 directors. But it's also very relevant industry experience. And I think his technical background is going to be particularly useful as we go through the next decade with next-generation engines to bring on and transition to new technologies.

Operator

We have the next questions coming from the line of Chloe Lemarie from Exane BNP Paribas.

Chloe Lemarie

Exane BNP Paribas, Research Division

I have 2 as well. The first one would actually be building on Celine's question on 2022 free cash flow. If we keep all things equal and add back we're missing 20% flight hours to go back to 2019 level, I would assume you could deliver about GBP 1 billion from civil and even possibly GBP 1.5 billion once the hedge book and Trent 1000 headwinds have gone. So could you say whether this is broadly your ambition for the division or would there be elements that would cap that performance going forward?

And the second is on your R&D and technology road map. Would you see the need to return to past R&D peak by, let's say, the middle of the decade as you help fund that innovation to move towards the decarbonization goals? Or are these technologies actually less R&D-intensive than prior programs, having quite a lot of commonality with your existing portfolio?

Stephen Wayne Daintith

CFO & Executive Director

So thank you. I'll do the first question, Warren, and I guess, you'll do the second.

Warren D.A. East

CEO & Executive Director

Yes, that's fine.

Stephen Wayne Daintith

CFO & Executive Director

So yes, it's a good point actually, the GBP 750 million as early as 2022, that actually includes Trent 1000 costs. We're guiding those costs in that year of between GBP 100 million to GBP 200 million in Trent 1000 costs. That's pretty much the final year of material Trent 1000 cash costs. And then we've also got within that number, the cash cost of closing out those FX forward contracts in respect to 2022 as well, and that's around GBP 300 million. So you put those 2 numbers together, neither of which will be permanent, the

Trent 1000 costs will stop earlier than the FX cash costs, and you'll see in the appendix the timing for those total cash costs.

And just as a reminder, on a profit basis, we took all of the profit impact, about GBP 1.7 billion, in underlying costs as part of our financing costs in 2020. So the P&L impact of that has already rippled through, but the cash profile rippled through across from 2020 through to 2027. So your interpretation is correct that one could see a route to free cash flows greater than GBP 1 billion in the absence of those 2 headwinds. Warren?

Warren D.A. East
CEO & Executive Director

Yes. And the question on R&D. Well, I mean, clearly, we are talking about being -- having an organization that is a science-led innovation. And so we could spend almost anything on R&D. But our challenge is to make sure that we can do this in a profitable and effective way. And we've made -- if you push COVID to one side for a moment, we've made lots of investments over recent years to enhance the productivity and efficiency of our engineering efforts. And so yes, we remain absolutely confident that we can maintain R&D within the sort of envelope that we've now established, which is significantly less than it has been over the last several years.

But don't forget, 2 factors driving that, the improvement in efficiency and productivity, but also the fact that we're coming to the end of the investment -- the big investment cycle in new engines in our Civil Aerospace business. And that's why we're able to make a massive change, like I showed on the slide a moment ago, in terms of how much we're spending on Civil Aerospace, tilting the investments that we are making into the other divisions and also into the newer technologies. So you'll see the absolute level of R&D remain roughly flat. You'll see the shape change significantly.

Operator

We have the next questions coming from the line of Chris Hallam from Goldman Sachs.

Chris Hallam
Goldman Sachs Group, Inc., Research Division

Yes, so 3 quick questions. First, on Slide 14. Are you able to put any time frame around the GBP 2 billion of cumulative organic free cash flow that you've highlighted after 2022? And should we assume that, that's net of a 2.5x dividend cover ratio, i.e., that you're paying out 40% of free cash flow and dividends over that period?

Second, back in February 2019, you withdrew from the NMA due to the tight schedules associated with the program. If it comes, it seems like the EIS date for that program has been pushed out to 2027 or so. And obviously, you've continued to make progress on UltraFan in the past 2 years. So is there a chance that you're interested in that program once again?

And then finally, if the U.K. were to significantly reduce the number of F-35s it plans to operate, would that have a meaningful impact on your Defence business? Or should we think about that being driven more by the global fleet number than by the U.K. fleet number?

Stephen Wayne Daintith
CFO & Executive Director

So we're really talking in the midterm sort of 3, 4 years is the time frame that we're referencing there. I mean clearly, a lot of uncertainty ahead still, a lot of restructuring to do and a lot of engine flying hour recovery to happen. But that's a sort of rough guide on the timing.

And I -- sorry, Chris, I missed the second part of the question there. I was writing down the first part of the question. So what was the second part of the question again? I missed that one.

Chris Hallam
Goldman Sachs Group, Inc., Research Division

Yes, sorry. So precrisis, you used to operate on a 2.5x dividend cover ratio, right? So you used to pay out 40% of your free cash flow in dividends. So as you try and get to net cash, are you assuming within that net cash position that you will have paid out around 40% of free cash flow in dividends?

Stephen Wayne Daintith

CFO & Executive Director

No. That is not part of the -- of that modeling right now. I mean it is something that we clearly will be considering. As we get into sort of 2023, I would imagine will be the earliest that start considering the dividend coming back. I mean we clearly want to be in a world whereby we've come out of COVID the other side. We're confident in our cash flow profile. We are very keen to get back to a -- that net-cash position that you just described. And we can see a route there, as I said, over the next sort of 3, 4 years or so. And at that point, I think, we'll be ready to have the debate about dividends.

But right now, we're laser-focused on our disposals program, generating the at least GBP 2 billion from that program and very focused on the restructuring program and getting this business back to the sort of economics that make sense for Rolls-Royce. That GBP 750 million as early as '22, that's the first gating point and then taking it beyond there, particularly as the Trent 1000 FX headwinds disappear as well. But I think it's going to be around, at the earliest, '23, '24 debate around the dividend pick-up again.

Warren D.A. East

CEO & Executive Director

Okay. And so your second question, Chris, was around UltraFan and NMA, I suppose. And yes, you're right. We were very explicit about the reason why we withdrew from that proposed program a couple of years ago and that was around the timing of our UltraFan program. Our UltraFan development has gone well since then. And we're sort of gearing up for a demonstration early next year. So then it will depend -- whether we go ahead with it at that stage or whether we pause at that stage, it will depend on the timing of new aircraft programs. And the product is -- or the product will be scalable. It will go across single-aisle and dual-aisle applications. It will be applicable for new aircraft, compatible with 100% SAF and so on. So yes, it's quite applicable. But we'll have to see if programs actually materialize and when they do.

On the F-35s and the U.K. government's cancellation, then actually, obviously we're more geared to the whole sort of global F-35 program than just the U.K. program. But I would also note that the U.K. is talking about channeling that investment into the Tempest program, where we are obviously playing a crucial role.

Operator

We have the next questions coming from the line of Andrew Gollan from Berenberg.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

So 2 questions for me, please. One on new engine volumes and one on shop visits. So on the new engine volumes, you've lowered the outlook slightly to, I think, GBP 200 million to GBP 250 million, which is understandable, I suppose. So firstly, can you give us an update on the engine unit losses in 2020? And with that kind of lower-for-longer-volume outlook, what's the trajectory you're expecting now for reducing that number going forward? And I guess I'm referring here to the pre-COVID target of GBP 0.4 billion per engine?

And then second question on shop visits. Can you break out the volumes in 2020 as you have done before? So in terms of major refits and check and repair. And what is assumed within the cash guidance over the next couple of years, in particular, please?

Stephen Wayne Daintith

CFO & Executive Director

Right. Yes, let me start on the OE volumes. I mean of course, on our OE volumes, we are completely dependent on the airframe build rates. And I think in 2020, we demonstrated a certain amount of

flexibility being able to respond to that and manage our supply chain accordingly. So we will just respond to those build rates. As far as the losses are concerned, in 2020, whilst we can respond to build-rate changes, in 2020, the change was rapid. And so actually, OE losses as we came into the year at full throttle, we had no chance whatsoever of being able to respond and scale down our operation quite as fast as the volume disappeared. So lots of under-recovery in 2020.

And so in a way, the 2020 number was pretty meaningless as far as our forward-looking ambitions are concerned. Now to those forward-looking ambitions, however, we're -- that is precisely why we are resizing our business with this restructuring, that is to deal with the anticipated OE volumes and also the anticipated volumes of spare parts for the aftermarket. And so I think we'll be back with more news about OE loss ambitions. But hopefully, we're resizing our operation accordingly to meet those lower volumes.

Warren D.A. East

CEO & Executive Director

Okay. So shop visit volumes. We actually have quite a bit of this detail already on Page 12 in the first half of the release, but I'll go through it in any event. In 2020, we had 278 -- sorry, 272 large engine major shop visits, as you described in those -- major refurbs. In 2021, that number is going to be closer to 240. So a slightly lower level. But that's going to start to -- it rises then quite sharply as we're talking around 2022 to around 400 in 2022. So that's the broad trajectory of major shop visits over the course of the next couple of years compared to our 2020 levels.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

That's helpful. And all the best, Stephen, in your next challenge.

Stephen Wayne Daintith

CFO & Executive Director

Thank you very much.

Operator

We have the next questions from the line of Ben Heelan from Bank of America.

Benjamin Michael Heelan

BofA Securities, Research Division

One on retirement because we haven't really touched on that in great detail. You do still have a relatively large exposure to four-engined aircraft and retirements should be picking up as we go through 2021. So how do you think about the impact of retirements of 380s, 340, 747s on that flight hour recovery?

Stephen Wayne Daintith

CFO & Executive Director

Yes. Well, we're not guiding specifically on retirement today. But when we look at our engine flying hour forecasts, which are -- what the guidance is or what's really the driver for aftermarket revenue, then we're effectively taking into account that retirement risk. I mean we know that airlines are preferring the newer aircraft. We showed that in the presentation. And we do have exposure to some of these older aircraft. And undoubtedly, airlines are going to retire the less efficient aircraft more quickly and in preference to the others. So yes, we're taking that into account. And in fact, in the data appendices to the presentation, then I -- we've got the data about those older aircraft and what happened in 2020, and that's probably an indicator of what airlines are doing.

Operator

We have the next questions coming from the line of Robert Stallard from Vertical Research.

Robert Alan Stallard

Vertical Research Partners, LLC

I have a similar question to Ben, actually. Looking in the back in the appendices, roughly 1/4 of your civil revenues in 2020 came from time and material and other, and that actually held in pretty well compared to long-term service agreements. So I was wondering if you could explain what was going on there. And also looking forward into '21 and beyond, how do you expect T&M to track from here?

Stephen Wayne Daintith

CFO & Executive Director

Yes. Well, basically, we expect T&M to track with activity. The long-term service agreement actual numbers were hit by the catch-ups. And so if you want to look at sort of activity, then look at shop visits and how those are developing. And time and materials is more of a reflection of activity, whereas long-term service agreements are wrapped up in accounting as well as what's actually going on in the field. So that's the difference. And we would expect time and materials for those engines where we have time and material contracts, that will just reflect flying activity as we go forward. And therefore, the recovery.

Robert Alan Stallard

Vertical Research Partners, LLC

Can I just follow-up on that? Because down 9% year-on-year would seem a very good performance given the prevailing activity we saw in 2020. So I was wondering if there was any offsets in that number.

Stephen Wayne Daintith

CFO & Executive Director

Yes. Well, I think 2020, we have to regard as an unusual year, and that's the way I'd sort of look at it. I mean don't forget, we came into the year with a bit of a backlog of airplanes needing shop visits. We did take the opportunity of 2020 to burn down those queues and that also meant burning down some of the time and materials demand as well.

Operator

Your next questions come from the line of Jeremy Bragg from Redburn.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

I wanted to ask, please, again, on the GBP 750 million guide for 2022. So you're achieving it despite lower engine flight hours. So I wondered if you could elaborate, please, on what the mitigating factors were and whether the cost cutting is just happening a bit sooner or whether there's a potential for it to actually wind up being bigger than the GBP 1.3 billion. That was the first question, please.

And then the second question was on the IAE royalties, which I wonder if you could quantify them for 2020 and give a kind of view of what's baked into the 2022 guidance because that's, again, rather like the FX, something which doesn't last forever.

Stephen Wayne Daintith

CFO & Executive Director

Okay. So thank you for that. I'll start off with the GBP 750 million. Yes, you're quite right, back in October with the rights issue, we highlighted a GBP 750 million number as early as 2022, but based on engine flying hours being at 90% of 2019 levels. And we're now reconfirming that GBP 750 million, but obviously with a lower 80% of 2019 levels. I think the key driver of this is we actually made really good progress in 2020 in our restructuring program. We got further than we thought we would and which means that we're delivering those savings earlier than we thought. And in 2022, the GBP 1.3 billion of savings that we've quoted is the exit run rate at the end 2022, so clearly, we're getting that earlier. We're going to get it earlier in 2022 as well, and that's one of the key drivers.

I think another aspect here is that there have been some benefits from COVID. We now have a 13-week rolling cash flow forecast by business that's given us more granularity than we've ever had, I think, into the operations of our individual businesses. We've been working hard on our budget for '21 and '22 since

October with the rights issue, and that's identified, I think, some further opportunities for improvement, particularly around our capital allocation and operating costs to help us reconfirm that GBP 750 million. And we've got a pretty robust plan, I think, for the next couple of years now. There are some timing items that have impacted 2021, that GBP 2 billion cash outflow in 2021 that may benefit 2022. So there's an item there just to bear in mind as well. I think as it stands, though, we are pretty comfortable with the GBP 750 million as early as '22, but very much dependent on that 80% of engine flying hour level in 2022 compared to 2019 levels.

And again, that in itself is very much dependent on the recovery in the second half of the year, as Warren talked about once the vaccination programs globally kick in. I mean it's become apparent, talking to other countries and our customers in the aerospace sector generally, that the rollout of the vaccination program will be a really key gating item. And I think most countries looking for a majority of their population to have been vaccinated before global travel restrictions start to get lifted in a meaningful way. So that is probably the one key indicator for us to watch out for.

Warren D.A. East

CEO & Executive Director

I'll pick up the second half of the question. Just as I start on that, I'd also point out that the U.K. government is hosting the G7 this year. And this getting flying going again is a sort of multi-government thing that has to happen. And so our government relations team are very much spending time and effort lobbying the U.K. government to play a leading role in getting this risk-based approach to opening up flying again.

Now IAE royalties. IAE royalties simply pretty good reflection of the flying hours for that V2500 engine. And so in 2020, very roughly, 50% down. We expect to be recovered quite a bit in 2022. Don't forget that this is effectively a single-aisle. It's a short-haul aircraft. Short-haul recovers before long-haul. And so we would expect that to come back a bit more substantially than most of our activity, which is wide-body long-haul, by 2022. But also, don't forget that this royalty stream is going to disappear in 2020 and -- or in 2027, anyway. So it's one to note, but it's not really the major driving factor of our business.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

A follow-on, please. What were the timing items that might benefit 2022 -- 2021 -- sorry, what were the timing items that might benefit 2022, please? You mentioned that, but I wasn't really...

Stephen Wayne Daintith

CFO & Executive Director

The item here, and we talked about this before, is credit notes that we've issued in respect to the Trent 1000 customer disruption. I think in the main, that's one of the items that we -- no surprise, our airlines' using their credit notes earlier. And we're working actually pretty well with our airlines to help them through their cash pressures to the extent that it's appropriate for us to do so and not to damage ourselves. But I think it's the early use of credit notes is the one thing that I would point to that are in the '21 numbers and therefore benefit 2022.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Got you. Okay. And good luck, Stephen.

Stephen Wayne Daintith

CFO & Executive Director

Thanks very much.

Operator

We have the next questions coming from the line of Sean Stewart from JPMorgan.

Sean A. Stewart*JPMorgan Chase & Co, Research Division*

I have 4, please. Firstly, and similar to Ben's question, your base case is for engine flying hours to be 80% of 2019 levels in 2022. But what is your assumption on the size of the fleet in 2022 versus 2019?

And then secondly, your guidance on free cash flow to greater than GBP 750 million as early as 2022, which essentially has a lot of flexibility as far as guidance goes. Are you able to provide us with the minimum guide on free cash flow actually in 2022 on the current perimeter?

And thirdly, Warren, you provided some color on some of your near-term margin expectations for your Power Systems business. Given that you retained Civil Aero as somewhat tied to shop visit activity and engine deliveries, 2 things that you have guided on and which are perhaps not as volatile as the outlook for engine flying hours in the near term, please, can you provide us with like your margin expectations in the Civil Aero business in 2021 and 2022?

And then finally, you subjected some assets into ITP to make it perhaps more attractive to a potential buyer. Are you able to please quantify what the sales and EBITA -- what sales and EBITA have been injected into that business, please?

Stephen Wayne Daintith*CFO & Executive Director*

Yes. Right. There's quite a lot there, and I have to say I didn't hear all of it completely accurately. But let's have a go at some of them. So size of the fleet in 2022. Look, we're guiding -- or we're not guiding. We're making assumptions about the engine flying hours that we expect in 2022. And that's the -- that's a reflection of activity. It's a reflection of airline schedules and their current plans, combined with top-down forecast. Now in those current plans, we're not taking particular -- it's about airline schedules and their expectations. Exactly how many airplanes they're going to have servicing those routes is not something that is of particular relevance to us. And so yes, we're taking retirements into account, things like A340s retiring and four-engine aircraft generally retiring more than the ones that are current...

[Technical Difficulty]

Operator

We have the last questions coming from the line of Harry Breach.

Harry William Freeman Breach*Stifel Europe, Research Division*

Yes. Can you hear me, Warren and Stephen? Can you hear me?

Operator

Please bear with us. One moment, please.

[Technical Difficulty]

Stephen Wayne Daintith*CFO & Executive Director*

So we're not giving -- sorry, I've just been told here the line's -- shall I carry on? Okay. I'll carry on with my answer. We're not giving minimum -- 2022 free cash flow guidance. But to help you, what I would say, all things being equal, engine flying hours is the key thing to watch out for. So 1% equals around GBP 30 million and GBP 750 million, we've said 80%. So variation around that 80% number of 2019 levels, 1% equal to GBP 30 million. That's probably as best as I can give you in terms of a minimum number for 2022.

On your other questions, we're not guiding on civil profits. We haven't done previously and nor do we intend to. It's a level of detail that we're not going to go into. I think even now it is less likely, more than

ever, given the general uncertainty generally as we're still in the thick of COVID and we have all the recovery ahead of us to go through and the restructuring program to go through as well. So I think that's probably going to be something to say, but for this time next year.

Isabel Green

Head of Investor Relations

I think there may be a small interruption on the line there. If anybody did miss part of Stephen's answer and wants to come back to Investor Relations later, we can run through that again. Apologies, but I think some of you may have lost sound for a short period. Back to you, operator. Sorry, is there any more questions online? If not, I've got a -- just 1 on the webcast. I'm going to -- actually, sorry, 2 on the webcast, I'm going to turn to.

Firstly, Nick Cunningham here from Agency Partners wanting to know more about the longer-term pattern for the major overhauls and wanting to know the impact that has as those visits start to ramp up in the later years. So if you've got any further commentary on the cash growth skyline of the overhaul scenarios, that would be welcomed by Nick.

Stephen Wayne Daintith

CFO & Executive Director

Yes. I mean, Nick, the shop visit volumes will start to increase. I mean you all have seen that from the big orders that came through over the last 3, 4, 5 years, those first shop visits start to flow through, and that is built into our plans. They will grow but so, at the same time, do engine flying hours. At the same time, we see the nonappearance of the FX costs that I talked about earlier, and we also will have seen the back of the Trent 1000 cost by then as well. So despite that growing shop visit volume and therefore, the cost headwind that goes with it, there are some very significant tailwinds as well ahead for us. So that's how we compensate that.

Isabel Green

Head of Investor Relations

Just asking one last question, and apologies for anybody who didn't get their question answered. Obviously, we will come back to you individually if you weren't able to get a response online. There's a question here about SMRs for Warren. Just saying are you confident in sort of a 2030 target for SMRs given the pressures on R&D spend and how we're making those priorities. So if you have any comments you'd like to make on the SMR outlook, that'd be appreciated.

Warren D.A. East

CEO & Executive Director

Yes. And so the answer is we're confident in the program at the moment. I mean this is very early stages at the moment. Just had the government go ahead and we'll be fleshing out the detail on that, I think, over the next 18 months to 2 years. But suffice to say, we think it's a very exciting program. Rolls-Royce has absolutely unique expertise in this area. And we see it as an essential piece of net zero for the U.K. but also excitingly, as I pointed out in the presentation, for other applications like SAF and hydrogen. So we'll flesh that out over the next couple of years.

Isabel Green

Head of Investor Relations

Okay. Thank you. That's -- I'm afraid that's all we've got time for on the webcast questions. We have run out of time. Just to say, for anyone who missed that period of answers, we will make sure there is content in there in this transcript, which will be out later today or if not, maybe tomorrow on our website. So sorry if anyone missed that, the answer will be published.

Back to you, Warren.

Warren D.A. East

CEO & Executive Director

Great. Well, thank you very much, everybody. The messages that we need you to take away are that the worst is behind us as far as COVID is concerned. I'm very pleased with the progress we're making on the fundamental restructuring, particularly of our civil business to reset the economics of our civil business and give us great operational leverage as the recovery happens. And that's going to mean that we can tilt the balance of our capital allocation going forward so we're well positioned for this future recovery and a net-zero world in the future. Thanks very much.

Operator

Ladies and gentlemen, that does conclude our conference for today. Thank you for your participation. You may now disconnect your lines. Thank you.

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Rolls-Royce Holdings plc LSE:RR.

Sales/Trading Statement Call

Friday, December 11, 2020 9:00 AM GMT

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Presentation

Operator

Hello and welcome to the Rolls-Royce Trading Update Call. [Operator Instructions] And just to remind you, this conference call is being recorded.

I'll now hand you over to Isabel Green, Head of Investor Relations. Please go ahead with your meeting.

Isabel Green

Head of Investor Relations

Thank you, and good morning, everyone. With me on the call today are Warren East, CEO; and Stephen Daintith, CFO. We expect the call to last for around 0.5 hour, including the prepared remarks, which will take 10 to 15 minutes.

Before I hand over to Warren, I'm required to remind you that on the call, we may make forward-looking statements and actual results could differ, as per Page 4 on our press release.

Thank you, and over to you, Warren.

D. Warren A. East

CEO & Executive Director

Thanks very much, Isabel. Thanks very much, everybody, for joining us. I'll make a few opening remarks as usual.

We're coming to the end of 2020 now. It's been a year that's completely unprecedented, unprecedented challenges. I think it's right to just have a quick reflect on our performance and some of the commitments that we've made for the years ahead.

Going all the way back to the beginning of the year, we came in with good momentum, having turned a bit of a corner as we emerged from a period of -- extended period, actually, of investments in new large civil engine programs to be looking forward to a period where we would see higher returns, reaping the returns from that investment on our large installed base and increased market share that has been achieved. We were also on a position of solid growth in Power Systems and Defence with a particularly strong order book there.

Then COVID, and an exogenous issue, nothing we could do about COVID. Our focus had to be on the things that we could control. And when the first wave of COVID hit, we took quick decisive actions to conserve cash, restructure our Civil Aerospace business. By the time of our interim results, we've already achieved approximately GBP 350 million of in-year cash savings. And now we are confident that we will deliver our target of more than GBP 1 billion for the full year.

We've also made good progress with a more fundamental restructuring. In May, we announced at least 9,000 roles will be removed by the end of 2022. In October, we launched our GBP 5 billion refinancing package. That was necessary to increase resilience to see us through this crisis and strengthen our balance sheet as well as support our long-term strategy. And we're very pleased to have concluded that process.

We're also very grateful for the support that our investors showed us at that time, both with the equity raise and with the debt that it serves to unlock. This means that we can now look forward with confidence that we have sufficient liquidity to get through this crisis no matter how extended it is.

Turning to what's happening in the business since we last gave you an update. In Civil Aerospace, our year-to-date large engine invoiced flying hours were at 42% of 2019 levels. We've been seeing a gradual tick-up in flying activity every month since April. October and November combined were at 33% of 2019 levels, and that was a trend up from 29% in Q3 and 24% in Q2. Meanwhile, our business jets have continued to perform relatively well, with demand much less affected by the pandemic.

Now while the second wave of COVID-19 has delayed near-term recovery in air travel, it's very good to see the recent progress on vaccination. That's encouraging welcome news. Flying looks likely to exit 2020 at a lower level than we expected, and that is likely to recover more slowly in the first half of 2021. But we still expect recovery then to accelerate in the second half as borders start reopening and economies pick up.

We've continued to see the disparity in the pace of recovery for different routes and different aircraft. And in particular, we've seen improvement in flying hours in areas like China where infection rates have been kept very low after the first wave passed and travel restrictions have been reduced. We've also seen the fastest recovery on the younger aircraft, those programs that have the newer planes, things like the Trent XWB-97 on the A350-1000. That's already back to 2019 levels. Now that's only a relatively small part of our installed base, but it's an indicator of the -- of what happens with our younger fleet.

To preempt any later questions, by the way, on in-service issues on some of our Trent 1000 and Trent XWB engines, just a quick update there. We've completed our inspections of all high-cycle Trent XWB engines. We found early signs of wear on the first stage of the IPC blade in around 20% of cases, which is exactly the same as we reported in August. Most of these were already being refurbished, returned to the customers, and we have ample spares in place. The root cause investigation and testing is still proceeding, but it has progressed as planned.

[One of] the Trent 1000 in-service issues, we remain -- we first achieved the ambition about 0 aircraft on ground, clearly helped a little bit by the pandemic. But we have continued with the development work on the final fix for the HPT blade on the Trent 1000 TEN, and we remain on track to start installing that by the middle of next year. During the year, we have built sufficient spare engine capacity such that even if all those Dreamliners took to the air again tomorrow, we would be fine to maintain that 0 aircraft on ground position.

Our Defence business has been largely unaffected by COVID-19 throughout. We've been able to keep all our facilities operational throughout, and demand has remained intact. We benefited from very good support from our government customers. And 2021 revenue cover in our backlog is around 90% at the moment for Defence.

The recently announced multiyear defense budget increases in the U.K., very encouraging. They're supporting the investment in next-generation capabilities, including the Tempest program, and we're a core partner there. We've recently received an order from the German Air Force for 56 new Eurofighter engines, and that has benefited our Defence business. It's also benefited ITP Aero.

Our Power Systems business has been impacted by the pandemic but much less so than our Civil Aerospace business. Some sectors and regions are holding up better than others. Again, a bright spot for us is China where we have been growing market share, as you know, in recent years, and strategic relationships there have helped us increase our market presence. At a recent China International Import Expo, we announced provisional agreements with 6 Chinese companies, almost 1,000 MTU engines and systems, for instance. And our book-to-bill in Power Systems as a whole this year is getting to about 1. Demand from government customers in Power Systems has been resilient throughout, and we're starting to see early signs of recovery in some of the other end markets.

Now whilst the current year is important and the impact of COVID is important, it's also important that we keep an eye on the future and look ahead. And despite everything that has happened this year, we've been able to keep focused on our ambition to deliver more sustainable power. We know that society at large is at a pivotal moment in the drive towards a net 0 carbon economy, and we think that Rolls-Royce has a key role to play. We're a leading British industrial technology company. And our key role is not only to do the right thing for ourselves but to drive change through innovation in our products and services.

We already make some of the world's most efficient jet engines, things like the XWB on the A350. That's the most efficient wide-body plane available in the market today. But as we look ahead to the future, we are investing in hybrid and electrical alternatives. In November, we ran ground tests to demonstrate that our Trent engines can operate with 100% sustainable aviation fuel, and that's an important piece of groundwork for industry-wide certification.

To achieve net zero, society needs a huge step-up in power generated from alternative sources like nuclear power. The U.K. government has committed GBP 215 million for a 4-year development program for our small modular reactor consortium. This investment in our nuclear energy solution will support the decarbonization of power generation in the U.K. But we've also signed strategic agreements with Exelon Generation and CEZ, highlighting the international appeal of our small modular nuclear reactors.

Back inside the business, our key focus, as I said at the start, is being on controlling what we can control and the restructuring that we announced in May, for instance. We've had to adapt to very challenging new reality as we look forward. And that has presented the difficult choices about consolidating our global production footprint. We've had to make some very tough proposals after the last few months, but we can't afford to retain capacity where demand in the medium term has been so dramatically reduced.

We announced a number of proposed changes for our Civil Aerospace business as we focus on reducing costs and positioning the business for recovery. Last week, we announced the proposal to transfer some of our structures and products manufacturing to ITP Aero and further changes at some of our civil manufacturing sites to make them more competitive and reduce costs. These changes are in addition to the proposals that we'd announced previously about bringing assembly and testing of our wide-body engines back and consolidating in the U.K. and consolidating our fan blade manufacturing into Singapore. It includes the -- we'd already announced the closure of a manufacturing site in the U.S. and a reduction to workforce in Germany.

Now this makes it a very difficult time for some of our people. We have removed more than 5,500 roles this year, but that has mostly been achieved through voluntary severance and early retirement. And that's helped us move ahead much more quickly with less uncertainty for our people. We're actively engaging with the trade unions, and those discussions are very constructive but remain ongoing.

So now moving on to our financial priorities. Rebuilding our balance sheet, increasing our resilience, these are absolutely key to positioning the company for the future. When we launched our GBP 5 billion recapitalization in October, we made a number of commitments. And I'm very aware of the responsibility that, that means we now have to deliver on those commitments over the coming years.

Firstly, we're targeting more than GBP 2 billion in proceeds from disposals. On Monday, we announced the agreement to sell our civil nuclear instrumentation and controls business to Framatome. This business, by the way, doesn't include any of our nuclear submarines activity or any of our SMR, small modular nuclear reactor, activity. It generated around EUR 100 million in revenue last year. It has a workforce of about 550 people across sites in France and the Czech Republic and in China.

There are other assets under consideration for disposal. And we've talked before about ITP Aero. And we've also [since] mention, and it's true, medium speed gas and diesel engines business, Bergen Engines, we're also looking to divest. We'll say more about these as and when it's appropriate to talk about them.

So moving on to operational cash flows. We do expect to see free cash outflow in the region of GBP 4.2 billion this year. It's an approximate guidance. The actual outturn is heavily influenced by timing of significant working capital cash flows around the year-end, so we can't be more than approximate at the moment. And in particular, there are some issues around OE concession payments, which depend on the timing of new aircraft deliveries to airlines and either outside of our control.

This guidance, however, I'll remind you, does include GBP 1 billion of the negative impact from the cessation of invoice discounting that we talked about with our half year results. It also reflects the huge effort group-wide to save more than GBP 1 billion of in-year cash costs. As a result, we expect overall our year-end net debt position to be around GBP 1.5 billion with liquidity of around GBP 9 billion, which is enough to see us through the crisis even in reasonable worst-case scenario.

Our primary goal from a financial standpoint is to get the business away from consuming cash as soon as possible. We are targeting reaching breakeven at some stage during the second half of 2021, primarily driven by our reorganization program. Now the timing, the exact timing, will also be a little bit impacted

by the pace of recovery in engine flying hours. If the recovery is slow, it might be a bit later in the second half. But we're going to do our best to get there as soon as possible.

The other key financial objective is to generate at least GBP 750 million of free cash flow as early as 2022. And of course, that is linked to the pace of market recovery. But it does include headwinds like Trent 1000 remediation costs, foreign currency exchange, rightsizing on the hedge book costs that we talked about earlier this year. And obviously, as we look forward into the future, those one-offs will disappear. So GBP 750 million remains firmly within our sights in that time period. In the medium term, our restructuring will enable us to be a leaner, healthier business, stronger operational gearing than we would otherwise have been and well positioned for a recovery in revenue.

2020 has been a very tough year, indeed. There's still a lot of work to be done in '21, but we think the fundamental drivers behind our business remain intact, and we can see structural and strategic growth opportunities across all our core businesses.

I've talked long enough, so I pause now, and we'll answer your questions.

Question and Answer

Operator

[Operator Instructions] Our first question comes from the line of George Zhao from Bernstein.

George Zhao

Sanford C. Bernstein & Co., LLC., Research Division

Warren, you said in the past there has not been discounts on the flight hour contract prices. So when operators are under the service agreements with you, it may be more difficult for them to cut back the cash outlay. But how do you think about the downside of that, right? I mean, where elsewhere do you envision potential pressure either now or in the future as operators are still very much under pressure to cut that maintenance? And we've seen that where they have flexibility under Time & Materials model elsewhere. They have been doing exactly that to cut maintenance.

D. Warren A. East

CEO & Executive Director

Well, look, I think what we've said before is that as far as invoicing during 2020 is concerned, then the contracts are in place. And we've tried to be reasonable with our airline customers in terms of rescheduling payments and the like. And we've tried to be reasonable.

On a forward-looking basis, as airlines seek to resize their fleets, and there'll be some airplanes that get retired and other airplanes that get flown, we'll do our best to maintain our flying hour rates. But where it's necessary to have a trade-off between offering temporary discounts on flying hour rates in order to keep our airplanes flying rather than somebody else's, then we'll work with airlines and with leasing companies to come up with sensible commercial win-win packages.

And our flying hour rates are a portion of the costs, but they're by no means the only costs for an airline. There's the financing costs and many other operational costs. So hour rates are a very small part, actually, of airline operating costs, but we recognize we've got a part to play in that.

Operator

And the next question comes from the line of Andrew Gollan from Berenberg.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

A couple really for me. Firstly, on the engine flying hours, you indicated 70% down in Q4 roughly. You mentioned, Warren, within your prepared remarks about utilization of the XWB. Can you give an indication of what's going on in terms of utilization for the other models? So particularly, the Trent 700 I'm interested in and Trent 100 -- sorry, Trent 1000. That's the first question.

D. Warren A. East

CEO & Executive Director

Yes. So I think Trent 700 -- the older you get, the less utilized you are. That's the basic rule of thumb. And it's really quite difficult to generalize much more than that.

Very, very approximately, Trent 700 is about half the utilization rate of XWB at the moment. XWB and Trent 1000 on A350 and the 787, these are the aircraft that are getting used most in the wide-body space at the moment. And then when you get into A330s, used less. When you get into the older aircraft, then it's used even less. And that's all of them. But we've got a bunch of different airline customers that all have just different approaches.

Very approximately, utilization of aircraft, whether an aircraft is being flown or not is just one measure. And how much it is being flown is another measure. So XWB and Trent 1000, they're getting used a lot. So

XWB-97k is back to the levels that it was in 2019. But that is a very small part of our fleet. When you get into higher -- bigger volumes and so on, then they use a bit less.

And then during an individual day, whether an aircraft is used, maybe it used to be used 2 or 3 times a day, and now it's being used once a day. On average, XWB is about 12 hours a day at the moment for those that are getting used, which is significantly less than it would normally be used.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

Sure. Okay. And then the second question is around free cash flow and the various guidance you've given for '21 and '22. So can you confirm what you've -- what you're guiding is premised broadly around the base case scenario of a recovery to 70% in '21 and 90% in '22? And what gives you confidence that this is still realistic given the trends we're seeing today? Is it maybe availability of vaccines that's just going to free up everything in that time frame? Is that what you're assuming? Or any comments around that would be helpful.

D. Warren A. East

CEO & Executive Director

Yes. So I think we're going to give a bit more specifics about this when we do our full year results. I mean there's a huge amount of uncertainty around what's going to happen in 2021. And there's less uncertainty, obviously, about what's going to happen in 2022 because we do see a picture of vaccines helping, vaccines being a significant factor. But it's all about government-to-government relationships and opening up of air corridors and routes. That is we see a 2021 -- second half 2021 phenomenon. And that's why we can be a bit more certain about 2022 than we can be about 2021, which is giving us confidence.

That's giving us some confidence in underpinning our GBP 750 million target for 2022. What's giving us most confidence, however, is, as I said in the remarks a moment or two ago, the things that we can control. We know we are removing fixed costs from -- out of our business and improving the operational leverage. And that's the primary factor. Engine flying hours are going to -- and the rate at which engine flying hours come back is going to affect timing. And that's why we're a bit more uncertain about 2021. We remain confident we can get into positive cash generation territory in the second half of 2021. Whether that's at the beginning or the end of the second half, that depends a bit on engine flying hours and how they perform.

And don't forget, we do have the other half of our business, which isn't Civil Aerospace large engines. Business Aviation, holding up very well. Defence, holding up very well. Power Systems, responding a bit like Civil Aerospace but much less so, and it's a shorter-cycle business. And if we look, for instance, at the rate of recovery in Power Systems in China, we saw that come back quite swiftly. So just remind people that there's another half to our business as well.

Operator

And the next question comes from the line of Ben Heelan from Bank of America.

Benjamin Michael Heelan

BofA Merrill Lynch, Research Division

One, I guess just back on what Andrew was asking there. I guess another way to ask it was you said that the recovery to positive free cash flow is going to be dependent on that recovery in engine flying hours. Is there a way to gauge what level of engine flying hours need to be back relative to 2019 in a given month for you to be free cash flow positive? Is there a way to frame it around that? That would be the first question.

And then the second question, could you talk a little bit, has there been interest in ITP and Bergen? And are there any other facilities that you're considering putting into ITP to make it more attractive to bidder?

Stephen Wayne Daintith

CFO & Executive Director

Thanks. I'll take that -- those 2 questions, Ben. So yes, we're not going to go into specifics at this stage around the shape of flying hour recovery in '21 and moving to cash positive. We'll share more of that with our full year results in March. I think what I would say, though, is that we've been tracking our cash flows very carefully over the last 9 months. We've seen a good trajectory and a good -- we've got good confidence around that ability to turn cash positive sometime during the second half of next year.

On ITP, we are already engaging with the potential buy universe on this. There are several interested parties. And we expect that there'll be a pickup in activity in the first half of next year as we really get into the sale process and we go through the management presentations and all that usual sort of malarkey that goes on with a disposal process. And we'll keep you updated on the progress as we go along.

Operator

And the next question comes from the line of Nick Cunningham from Agency Partners.

Nick Cunningham

Agency Partners LLP

Yes. A couple of perhaps slightly longer-term questions. Obviously, there's been a lot of learning in the last year also for everybody. And I was wondering what the experience has said to you about what's a prudent capital structure is to aim for at the end of all this process. [Does it also sort of] have to be net cash, if you like? And would that be before or after the lease liabilities, to be more precise?

And then the second question, GBP 1.3 billion cost reductions. To what extent are those just aligned with the anticipated lower revenue base? Or is some of it going to result in a lower unit cost? And if so, is there any indication as to what proportion we might see contributing to a lower cost base going forward?

D. Warren A. East

CEO & Executive Director

In terms of our view on ideal balance sheet, that hasn't really changed. We're looking for a net cash positive of circa GBP 2 billion in the medium term. I think we had that view coming into this crisis, and we were on a good trajectory to get there during 2020 actually. We were confident of getting there in 2020, coming into the year at GBP 1.3 billion to GBP 1.4 billion net positive. And I think that's still a sensible goal. It's driven by requirements to keep R&D going and that sort of thing.

I'm terribly sorry, the second half of the question has completely slipped my mind.

Nick Cunningham

Agency Partners LLP

Sorry. It's the cost reduction, to what extent is that...

D. Warren A. East

CEO & Executive Director

Yes. No, I mean, of course, there's costs coming out through loads coming out. But no, the GBP 1.3 billion is structural.

Nick Cunningham

Agency Partners LLP

So in other words, that would entirely stick if revenue came back up to 2019 levels, GBP 1.3 billion lower cost that...

D. Warren A. East

CEO & Executive Director

Yes, yes, absolutely. Yes, yes, yes. I mean you only have to talk to some of the unfortunate people who are losing their jobs, and it's sticking as far as our cost reduction is concerned.

Operator

And the next question comes from the line of Timm Schulze-Melander from Redburn.

Timm Nikolaus Schulze-Melander

Redburn (Europe) Limited, Research Division

I'm standing for Jeremy Bragg. I have a 2-part question, if I can, just thinking about the Trent 1000 and aircraft on ground being a sort of unexpected beneficiary of this COVID crisis. First part of question is, could you just tell us what will happen to the Trent 1000 provisioning flows in '21 and '22?

And then just, again, on those Trent 1000 sort of expected cash flows in 2021, what are you expecting now compared to what you would have expected, let's say, a year ago?

D. Warren A. East

CEO & Executive Director

Yes. So I think with our half year results, we talked about a reversal of provision on Trent 1000. And that was based on the fact that disruption that we had previously anticipated to be continuing to accumulate during 2020, we're now not seeing. And because of the ability to generate spare engines, we're now not anticipating. Even if they all started flying tomorrow, we wouldn't anticipate accumulating any more disruption costs. And that's why we were able to reverse that provision.

And then in terms of the impact on cash flow in 2021 and 2022, then the -- we're still anticipating the already accumulated disruption costs and things like credit notes being utilized as before. I mean do you have any rephrasing...

Stephen Wayne Daintith

CFO & Executive Director

Yes, no change in previous guidance on that one. And as a reminder, '21 and '22 will be the last 2 years of any material cash outflow on the Trent 1000. So '23 will be an [income] by those cash flows. And that GBP 750 million number that we guide to as well for '22 includes the final year of Trent 1000 cash costs of around GBP 250 million in that year.

Timm Nikolaus Schulze-Melander

Redburn (Europe) Limited, Research Division

Great. Very clear. If I could just sneak in one follow-up, and that's, Stephen, on your replacement. So Warren, could you maybe give us an update on where the company stands on the CFO search?

D. Warren A. East

CEO & Executive Director

Yes. Well, it's still ongoing, but we expect to be able to -- we will have an announcement in due course. And obviously, you can't announce these things until everything is signed and filled. We want to choose the right person to replace Stephen. And I'm sure by the time we get to our full year results, we'll probably have some news.

Operator

The next question comes from the line of Sean Stewart from JPMorgan.

Sean A. Stewart

JPMorgan Chase & Co, Research Division

I just have one quick question, please. You've reiterated your guidance this morning for at least GBP 750 million in free cash flow in 2022 pre the disposal. Are you able to give us any EBITDA guidance behind that free cash flow guidance, please?

Stephen Wayne Daintith

CFO & Executive Director

No, we're not, actually. We may say something with our full year results next year, but no. And I would just flag -- just a wording point here. Just to be specific, we said GBP 750 million as early as 2022, so just to qualify that somewhat. But as it stands today, that's very much in our plans. But no, we're not giving any EBITDA guidance at this stage.

Operator

The next question comes from the line of Harry Breach from Stifel.

Harry William Freeman Breach

Stifel Europe, Research Division

Just a couple, if I can. Can you give us any sense about how Time & Materials revenues are trending? Have we gone through the bottom there specifically? Or are we still seeing sort of deteriorating trend?

And then slightly different note, just thinking about receivables collection rates, can you give us a feeling about how those are going? Stephen, this is probably pushing it far too far. But in terms of payment deferrals and delays you granted to customers, can you give us any sense about whether those are sort of reducing now to schedule the holding, customers aren't asking for payment deferrals? Any sense would be really helpful.

Stephen Wayne Daintith

CFO & Executive Director

Yes. I'll do the second question first. As you might expect, we're seeing a number of dynamics right now. We're seeing airlines saying that they are just not able to pay minimum flying hour per contractual terms right now, and we understand that. But we are building up a debtor's balance that you'll see at the year-end, therefore, of overdue debt.

What we're also seeing and that we expect to see in '21 is increasing credit note utilization as well. So we're seeing airlines using credit notes to avoid the cash outflow. Again, no surprise there. I'm not going to go into details of numbers at this stage, but these dynamics are certainly out there.

Beyond that, we -- at the same time, though, we have many customers who are paying cash for their minimum flying hours as well, and they're in the majority. So it's just worth highlighting that side of it as well. And so I think those are probably all I would say at this stage on the cash flow dynamics around our customers this year.

D. Warren A. East

CEO & Executive Director

Yes. And on the long-term service agreement versus Time & Materials, then it's broadly similar. And just a couple of comments. In the long run, of course, Time & Materials is more prevalent on the older programs than it is on the newer programs. And so you would expect to see in the long run Time & Materials declining slightly as a proportion. It's never going to disappear because as we've said before, part of our long-term service agreement includes an element of Time & Materials for parts that mutually we agree with airlines and not covered by those long-term service agreements. So broadly similar is the picture at the moment.

Harry William Freeman Breach

Stifel Europe, Research Division

And if I can just -- to clarify my understanding, Stephen. So when you take a credit note from a customer, is there any security you have for payment of that credit note?

Stephen Wayne Daintith

CFO & Executive Director

No. These are customer credit notes that they have that they can use against our flying hours. So that is...

D. Warren A. East

CEO & Executive Director

So for instance, when we agreed a compensation payment for disruption on Trent 1000, instead of actually paying over pound notes to an airline, we gave them a credit note that they could then cash in at some stage in the future.

And each contract is a bit different. Sometimes, we talk about proportions of those that you're allowed to use and so on, and it's all individual commercial negotiations. But there is a picture, general picture of credit note utilization in this period as airlines are struck for cash. And that's going to continue in '21 and '22.

Stephen Wayne Daintith

CFO & Executive Director

They each have their own timing terms but also a degree of magnitude terms as well.

Operator

And we have one more question from the line of Andrew Humphrey from Morgan Stanley.

Andrew Edward Humphrey

Morgan Stanley, Research Division

I know we're not talking in too much detail about 2021, but I wanted to make sure we understand some specific components of it if we're trying to kind of build models that bridge from 2020 on cash flow. You've obviously been quite clear about the nonrecurrence of the invoice discounting effect. I think we can probably do our own arithmetic on the flying hour impact based on an assumed level and the sensitivity that you've given around that. But I wanted to ask about other specific effects on free cash in 2021, specifically the first half of 2021 versus 2020, that you can quantify versus -- so for instance, the benefit of restructuring or any other components that you'd care to highlight versus this year as we're building bridges.

Stephen Wayne Daintith

CFO & Executive Director

I'll highlight 2 or 3. First of all, the savings from the restructuring, the full savings, full run rate savings to be delivered by 2022 is GBP 1.3 billion. Now that will more than replace the GBP 1 billion of cash mitigation actions that we've taken in 2020. That's a key component. Another important component is capital expenditure. I won't go into specific numbers at this stage, but we are expecting a further downwards revision of capital expenditure in '21 versus the 2020 number. So that's important as well.

I think the third area I'd point to is our operating costs generally and the work that we've done there during 2020 to really identify those nonessential items of spend where we can operate with a lower cost base. And I think we all -- probably all experienced that during COVID-19, caused us to have a new lens of a way of working generally, and that has -- we see opportunity in our operating costs as well. So those are the 3 key areas sort of outside of those assumptions that you just highlighted.

Operator

And we have one more question from the line of Andrew Gollan from Berenberg.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

One more for me, please. Working capital question and cash again, I suppose. So can you give some idea of the quantum of risk around the customer concessions issue? Or maybe answer this way, what is the scale of payables that built up on delayed buying 787 deliveries?

Stephen Wayne Daintith

CFO & Executive Director

I actually -- I'm not going to go into specifics around it. They can be material. You have seen that in recent years, but I won't go beyond that. And it's very much down to, as we've said in our trading update, the timing of aircraft deliveries, whether it's before the year-end or after the year-end. But beyond that, I wouldn't really want to add any more.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

So to be clear, it's -- the risk is over and above the GBP 4.2 billion guide.

Stephen Wayne Daintith

CFO & Executive Director

Yes, that's correct, yes.

D. Warren A. East

CEO & Executive Director

I think that's as far as questions are concerned. So let me just sort of summarize the messages we want you to take away.

We're concentrating on controlling the things that we can control. We're very pleased with our progress on that, particularly around the restructuring and the operating costs, as Stephen just discussed, and that means there's essentially no change to our forward-looking guidance. We remain confident of achieving positive cash flow, going through that breakeven point in the second half of 2021 and generating GBP 750 million of free cash flow as early as 2022.

And with that, well, thank you very much, and we'll be back to report on the full year properly in the first quarter.

Operator

This now concludes the conference call. Thank you all for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR. Special Call

Thursday, October 01, 2020 8:30 AM GMT

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EXECUTIVES

D. Warren A. East
CEO & Executive Director

Isabel Green
Head of Investor Relations

Presentation

Operator

Hello, and welcome to the Rolls-Royce conference call. [Operator Instructions] Just to remind you, this conference call is being recorded.

Today, I am pleased to present Warren East, Chief Executive; Stephen Daintith, Chief Financial Officer; and Isabel Green, Head of Investor Relations.

I will now hand over to Isabel to begin the call. Please go ahead with your meeting.

Isabel Green

Head of Investor Relations

Thank you, Keith, and good morning, everyone, and thank you for joining our call at short notice. As introduced by Keith, I've got with me this morning Warren East and Stephen Daintith. In a moment, I'm going to hand over to Warren for some introductory remarks before we open the lines for your questions.

A little disclaimer here. I mean on the call today, we may refer to the investor presentation that was published today. It's available to download on our website.

I also need to remind you that we may not be able to respond to certain questions relating to rights issue or bond offering details, and that's for regulatory reasons. And we will not be able to discuss specifics of the rights issue or the bond offering themselves.

We will direct you now to our announcement this morning for those answers and the prospectus for those details.

Thank you, and over to Warren.

D. Warren A. East

CEO & Executive Director

Thank you, Isabel. Good morning, everybody, and thanks for joining us.

I'm pleased to be in a position now to update you on the plans we have to improve our liquidity headroom and reduce our level of balance sheet leverage to safeguard our business as we return to generating strong positive cash flows. For those of you looking at the slides, I am going to refer to some of the slides. And so we'll start on Page 5, which shows the package of solutions that we're proposing and that package coming together to increase our resilience through a combination of complementary self-help and external measures.

Now the impact of the COVID-19 pandemic on our business and our industry has been unprecedented, we've said that before. And despite entering this year with excellent momentum in our operating and financial performance and despite the rapid measures we've put in place to deliver GBP 1 billion of cash savings in 2020, we still expect to experience a free cash outflow this year of approximately GBP 4 billion.

Now we acted quickly to address the impact of the pandemic because alongside that GBP 1 billion of one-off in-year cost savings for 2020, we launched a fundamental restructuring, predominantly of our Civil Aerospace business, in order to deliver annual pretax cash savings of GBP 1.3 billion by the end of 2022. And we believe this restructuring program, together with an anticipated recovery in the end markets, will help us to restore financial performance. And we aim to be delivering free cash flow generation of at least GBP 750 million excluding any impact of disposals as early as 2022.

However, the pathway to that sustainable, positive cash flow remains dependent on the recovery from COVID-19 particularly with regard to long-haul air travel. And there is significant uncertainty about the precise timing and the shape of this recovery, and so the possibility of delay in that does remain. And we

consider it prudent, therefore, to prioritize resilience and flexibility, in particular, taking into account our reasonable worst-case scenario.

And as a result, today, we're announcing plans to increase our resilience through the uncertainty with the recapitalization package. We're commencing a GBP 2 billion rights issue and intend to launch a bond offering of at least GBP 1 billion in the near future. In addition, we have agreed commitments for a new GBP 1 billion 2-year term loan, and we have an indication of support in principle from UK Export Finance Bank for extension of their partial guarantee of our existing 5-year term loan to support an increase in that term loan of a further GBP 1 billion. So these additional potential loans are subject to various conditions including, importantly, completion of the rights issue. So this is an integrated package.

We believe that these actions, coupled with targeted gross proceeds of more than GBP 2 billion from a number of potential disposals which we announced at our half year results in August, would enable us to navigate the uncertain macroeconomic environment. It's not been an easy decision to get here. We've already put in place more than GBP 4 billion of additional borrowing facilities since the start of this crisis, but there is a limit to the amount that we can reasonably expect solely from our banks and the bond market without addressing the leverage as well.

We have approximately GBP 3.2 billion of debt and credit facilities due to mature over the next 13 months. And that includes the undrawn GBP 1.9 billion revolving credit facility, which will be canceled on completion of the rights issue. The GBP 3 billion cumulative proceeds from the rights issue and the intended bond offering announced today will largely cover those maturities and allow us to deliver disposals in a manner that ensures enhanced value for shareholders.

So now let's move on to Slide 8. We've spoken a lot about the uncertainty in the timing and the shape of recovery. We believe that the base case shown here is the most probable outcome, and our large engine flying hours data over July and August has tracked slightly ahead of expectations. However, uncertainties remain around the timing and the shape of recovery, in particular, given the inspection rates are rising again especially when you think about Europe.

Our reasonable worst-case scenario assumes a significant delay in recovery with engine flying hours in 2021 at only about 45% of 2019 levels. And in that event, in addition to lower large engine flying hour receipts, we would expect adverse trading conditions across the rest of our business too, probably with the exception of Defence, which we expect to remain resilient. So there's more detail on the reasonable worst-case scenario included in the working capital statement on Page 31 of the presentation and also in the full rights issue prospectus, which should be read prior to making an investment decision.

It's our responsibility to prepare for the reasonable worst case. And in consideration of the outcome alongside continued global and macroeconomic uncertainty, we've determined that it is in the best interest of shareholders to take the actions that we set out today.

Slide 10 sets out the reasons why we need to rebuild our balance sheet and what our ambitions are in the medium term. We aim to restore the company to a net cash position in the coming years through a combination of GBP 2 billion gross disposal proceeds, as we announced in our half year results, and an expected return to positive free cash flow during the second half of 2021 and a GBP 2 billion rights issue announced today.

This is important commercially, competitively and financially. A strong financial position does matter to our customers. In Civil Aerospace, airline customers signed multiyear service contracts with us. They want to know that we can be relied on as a long-term partner, and we'll live up to our side of the contract. Similarly, in Civil Aerospace and Defence, we're committed to long-term investment cycles in order to win positions on new programs. Our customers need to know that we are resilient enough to be able to invest in those products through the cycle. And that's why we remain committed to our ambition to return to an investment-grade credit rating in the medium term, and we think that we need to act now to prevent further deterioration and start the journey back to where we need to be.

So Slide 14 now, moving on to Slide 14. This shows our sort of recovery path back to free cash flow generation of GBP 750 million as early as 2022, premised on our base case recovery assumptions before

adjustment for any potential disposals. And we spoke about this at our interim results, so I'm not going to go through it all in detail again today but just a little bit more color on how we expect that improvement in cash generation to unfold.

First, cash flow recovery is not dependent on any large working capital inflows, only on the nonrepeat of the working capital outflows that we're experiencing in 2020. And that includes the impact of our -- the onetime impact of our decision to cease the invoice discounting.

Secondly, we expect an improvement of around GBP 2 billion in cash from Civil Aerospace business with engine flying hours expected to return in our base case to 90% of 2019 levels by the end of 2022 as well as improvements in time and materials work and, importantly, significantly lower Trent 1000 in-service costs and lower losses on installed wide-body OE deliveries.

Thirdly, the actions we're taking to resize our fixed cost base and reduce our capital intensity. We've reduced our head count already by over 4,000 since we announced the cost reduction program in May. And we're confident that by 2022, we will have delivered the approximately GBP 1.3 billion of annual cost benefits that we've identified.

While timing and shape of the recovery is uncertain, we think that these actions, which aren't or in our control, will enable us to adapt and thrive whatever the future holds.

Finally, we can see continued resilience in Defence and a recovery in Power Systems, and that's expected to contribute an additional GBP 200 million to '22 cash flows compared to 2020 cash flows. So remember, the GBP 750 million cash flow ambition still includes nonpermanent costs. Nonpermanent costs of approximately GBP 300 million related to reducing the size of our FX hedge book, and it includes GBP 200 million to GBP 300 million related to Trent 1000 disruption and in-service costs. And so those nonrepeat items will still be there in that GBP 750 million in 2022. We expect our target free cash flow to grow further in the future as those temporary negative outflows diminish over time.

Moving forward a little, Slide 16 and 17 are a reminder of our strong foundation in Civil Aerospace established over decades of investments in engineering and design. We've recently completed a multiyear investment cycle. We've got 4 wide-body engine programs that have been launched since 2010, which have taken our market share of in-service wide-body passenger planes up from 26% 10 years ago to 38% by December '19. Our share of the order book is even stronger at 55% in December 2019. And our investment overall in our Civil Aerospace fleet means that by the end of 2019, we had more than 5,000 installed wide-body engines with an average age of less than 9 years. And so most of the planes that we power are the newer, more-economic, lower-carbon-footprint planes than our customers and their passengers want to use.

As our engine programs mature, the investment needs to reduce, of course, manufacturing efficiency improves, pricing increases, and the risk of in-service issues diminishes. And all of that creates a significant inflection in the financial performance. We think that we were already actually reaching that pivot point before COVID-19. But despite the current disruption, these underlying value drivers will continue to have a positive impact on our business performance.

Now we tend to focus a lot on wide-body. Our business aviation has been less impacted by COVID-19 than the commercial aviation. For those people that can afford it, business jets enable passengers to mix less with other travelers and have more control over their flight plans. And we've got over 7,000 engines installed on business jets, and our strong product positions mean that, that gives us 30% -- more than 30% of the market by value. And this is an area of Civil Aerospace that's often overlooked when we talk about our performance, but it's a key pillar of our strategy, an area where we've seen more resilience through the COVID-19 pandemic.

On Slide 18, we sent out the ambition for the future beyond 2022. In addition to the embedded value in Civil Aerospace, we can see potential for underlying growth in both Defence and Power Systems.

In Defence, we had a record order intake in 2019. It's actually the fifth -- the 5 years of very strong order intake in Defence. And in addition, we're competing for new business to drive growth in Defence into the longer term on programs that will be running for several decades into the future.

And in Power Systems, we're well positioned in key growth areas such as mission-critical backup power. And we're also driving market share in high-growth markets through our expansion in China and India. And as a result, we think Power Systems can grow at a 5% to 10% underlying revenue CAGR from 2021.

Underpinning all of that growth beyond 2022, the world is shifting ever more towards a net zero carbon economy. And the breadth of our engineering expertise and our established access to a range of end markets means that we're well positioned to play a crucial role in the transition through increasingly efficient gas turbine engines in Aerospace, through innovating with hybrid products in Power Systems, and that's actually paving the way for sustainable aviation as well through hybrid technology and aviation. And also, we're working on sustainable aviation fuels.

So once we achieve our aim of restoring financial returns and a more appropriate balance sheet, we'll be accelerating these aspects of our strategy, and you'll see substantial growth in that starting to happen by 2025.

So to sum up, over the last 6 months, we've taken swift actions to minimize our cash outflow, restructure our business and position it for the future in response to both the short-term and medium-term impact of the pandemic. We believe that the restructuring program, alongside an anticipated recovery in our end markets, will help us to restore financial performance. But there is significant uncertainty around the precise timing and the shape of the recovery from COVID-19. And as a result, we do consider it prudent to prioritize resilience and flexibility.

We thought carefully about the capital needs that we'll have over the next few years, and raising additional capital at this time will provide us with 3 key things: improved financial resilience and more liquidity headroom across 2021 in order to weather the macroeconomic risks before we return to strong cash generation, which is expected as early as 2022; an improved level of balance sheet leverage supporting disciplined execution and investment to ensure that we can maximize value from our existing capabilities; and thirdly, flexibility to allow us to pursue disposals in a manner that delivers value for shareholders as we position the group for the long term to benefit from the new technologies that we have focused on sustainable power.

We thought carefully about the size and the shape of this integrated package to ensure that this is sufficient to secure us against the downside risk and also that it supports our deleveraging towards a net cash position over an acceptable time horizon. And as a result, we see this as a final major step in our balance sheet repair. The focus is now on executing our turnaround and securing the disposal proceeds.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2020 Earnings Call Transcripts

Thursday, August 27, 2020 8:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2020-	-FH2 2020-	-FY 2020-	-FY 2021-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	(0.31)	0.12	(0.21)	0.10
Revenue (mm)	5575.49	7358.61	11695.17	12465.50

Currency: GBP

Consensus as of Aug-27-2020 8:45 AM GMT

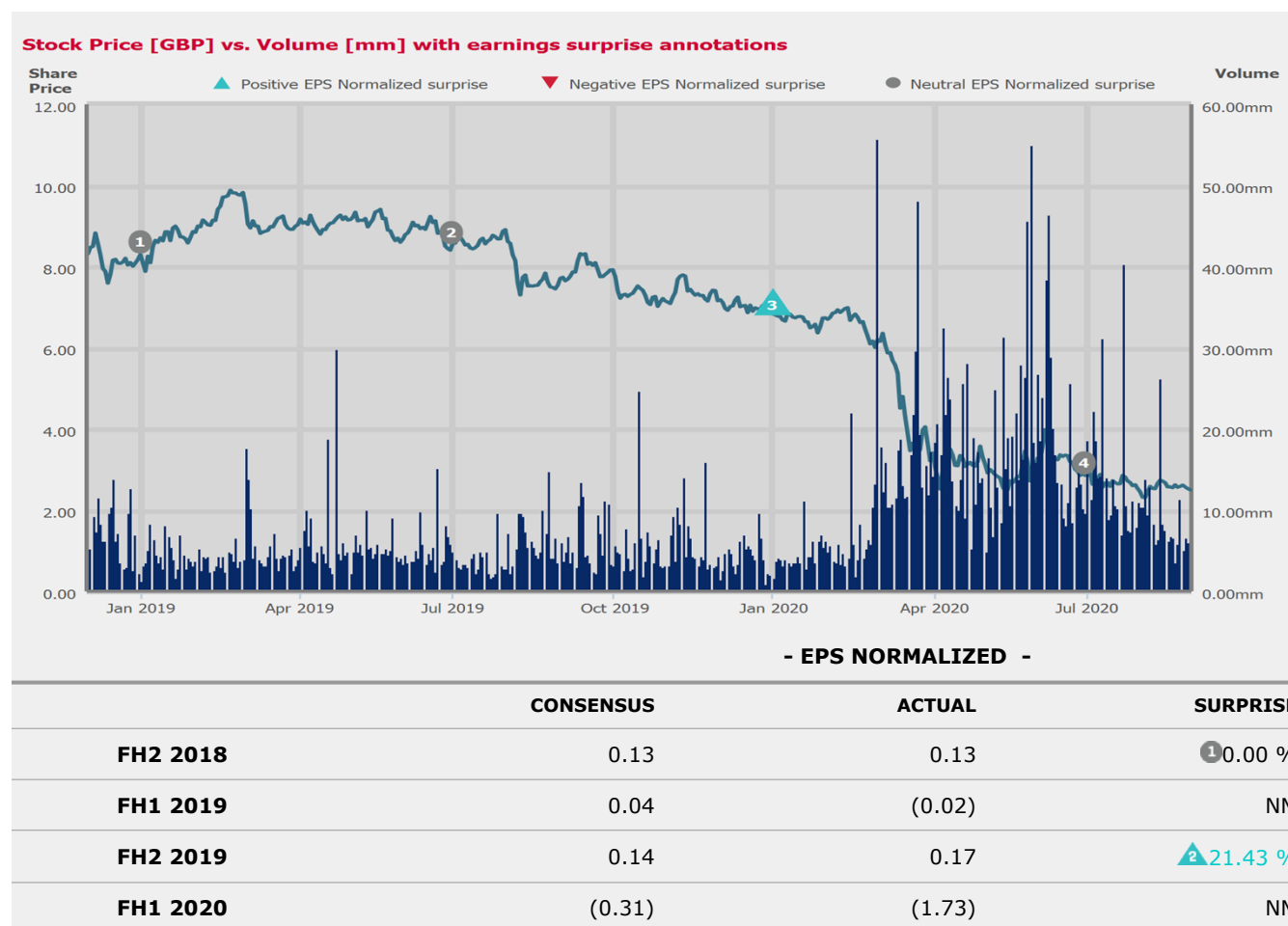


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EXECUTIVES

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CEO & Executive Director

Isabel Green
Head of Investor Relations

Stephen Wayne Daintith
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George Zhao
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Nick Cunningham
Agency Partners LLP

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Societe Generale Cross Asset Research

Presentation

Operator

Ladies and gentlemen, thank you for standing by and welcome to the Rolls-Royce plc 2020 Half Year Results Conference call. [Operator Instructions] I must advise that this conference is being recorded today, Thursday, 27th of August 2020.

And without any further delay, I would now like to hand the conference over to your first speaker today, Isabel Green, Head of Investor Relations. Thank you. Please go ahead.

Isabel Green

Head of Investor Relations

Welcome, everyone, to our 2020 half year results presentation. With me today are Warren East, CEO; and Stephen Daintith, CFO.

We will start the slide presentation shortly with an introduction from Warren, followed by a more detailed review of results by Stephen and an update on our plans for the future from both Warren and Stephen. In all, this should take about 50 minutes, leaving time at the end for Q&A.

Before I hand over to Warren, please take note of the safe harbor statement on Slide 2. This results presentation contains forward-looking statements that involve risks and uncertainties that may cause the actual results or developments to differ materially.

Thank you. And over to you, Warren.

D. Warren A. East

CEO & Executive Director

Thank you, Isabel. Well, it feels as if this year has been all about COVID. Although we came into the year, and indeed, started with good momentum, COVID-19 arrived in Q1 and has had a material impact on the whole of the civil aviation sector, and it significantly affected our first half performance and our outlook for the future. Lower activity in civil aerospace drove a 24% reduction in group revenue, and that led us to a GBP 1.7 billion operating loss in the period.

When COVID hit, we acted quickly. We acted quickly to keep our people safe to minimize operational disruption, and we provided practical assistance in the countries and communities in which we work. We acted quickly to strengthen our liquidity position with new borrowing facilities established. Also, we rapidly responded on costs, driving immediate short-term reductions in discretionary spend and CapEx with GBP 350 million delivered in the first half of the year, and we're on track to achieve our target of GBP 1 billion of savings for the full year.

Looking a little bit further ahead. In May, we announced the largest restructuring of Civil Aerospace we've ever undertaken, fundamentally resizing to align our capacity with expected future demand and save at least GBP 1.3 billion of ongoing costs across the group.

We also want to take steps to rebuild our balance sheet in the medium term. And today, we've announced planned disposals to generate more than GBP 2 billion of proceeds. We will come back to that later on.

Turning to Slide 5. This is an outline of what we're going to cover this morning. As you know, we're in the middle of an unprecedented shock to the civil aviation sector and that's going to take a number of years to recover from. We have a clear strategy however to lead Rolls-Royce through these difficulties. And we're creating a leaner and a more balanced company for the future on the other side.

So today's presentation is split into 4 sections. Stephen will talk through the interim results in some detail and our plans to strengthen our balance sheet. And I will cover our extensive restructuring program for Civil and the wider strategic priorities.

So with that introduction, over to Stephen.

Stephen Wayne Daintith

CFO & Executive Director

Thanks, Warren, and good morning, everybody. So as Warren said just now, although we started the year with positive momentum from a strong 2019, COVID-19 has severely impacted our business. The worst impact was very clearly in Civil Aerospace with large engine deliveries and flying hours each down around 50% in the first half of the year. ITP in the Civil Aerospace sector was similarly affected. Power Systems has been less severely impacted with industrial markets suffering the most. And Defence has remained resilient with good support from ongoing government programs. You'll see that in the slide attached.

So Slide 7. You can see on Slide 7 the impacts of COVID in our divisions in more detail. In Civil Aerospace, looking at that chart there on the top left, flights were grounded around the world from around the middle of March with April the worst month when large engine flying hours were down around 80% compared to 2019. For the second quarter as a whole, flying hours were down around 75%. The data since then has shown modest recovery, but remained weak as governments tried to find a balance between containing the virus and protecting their own economies. Business jets and regional flights have been less impacted with fewer cross-border routes.

Now we've been working closely with our airframe customers, particularly Airbus and Boeing, to reschedule engine deliveries to match their reductions in build rates. We expect to remain at lower levels until at least 2022.

Power Systems was less impacted. Industrial end markets were hit by economic disruption, but Marine and Power Gen have actually held up relatively well.

Now as you might expect, our Defence business was resilient with no material impact from COVID and delivered a strong profit growth in the first half of the year.

Moving on to the next slide. So here are the group underlying numbers. First of all, revenue was down in the first half mostly due to the significant reduction in the contribution from Civil, as you can see from the chart. Our underlying gross loss of GBP 967 million included GBP 1.2 billion of COVID-related one-off charges. So what are these? Well, these results include significant negative contract catch-ups, GBP 866 million in revenues and GBP 814 million in gross profit. And as a reminder, a catch-up happens when there is a change in projections that results in a recalculation of the future value of our long-term service agreements. Now in this case, it was negative because of a decrease in the forecast of engine flying hours over the term of the contracts. And these are due to revised assumptions around things like utilization levels, parkings and retirements. On average, there's been a modest negative impact on expected contract margins as a consequence of these revisions.

Also in Civil, and in addition to the catch-ups, we incurred a GBP 309 million charge for estimated future losses on a small number of contracts. Most of these related to Trent 900 engines. And there's also a GBP 95 million charge for specific customer provisions and customer credit rating changes.

As a reminder, when we have a contract that moves into a loss-making position, we recognize all expected future losses upfront. And unfortunately, this period, we have a small number of contracts which have either become loss-making or where expected future losses have actually increased.

Our underlying loss before tax of GBP 3.2 billion also included a GBP 1.46 billion underlying finance charge to reduce our U.S. dollar hedge book. We took the necessary decision to reduce our hedge book because the industry downturn left us over-hedged by around \$10 billion. Now had we not done so, there is a risk that a further weakening in sterling would leave us in a more -- much more impacted position. In addition, we were net purchasers of U.S. dollars in the first half of this year and unable to utilize our hedge book in the period. Now this means that our underlying results are presented at an effective rate of \$1.24 to the pound in the first half of 2020. That's pretty much the spot rate in the first half of the year. This compared to the hedge rate achieved in the first half of 2019 of \$1.53 to the pound.

Next slide. So a quick run-through of our underlying business results now starting with Civil Aerospace. Revenue was down 37%, as you can see from the chart, with steep declines in both original equipment, OE, and aftermarket services. We reported an operating loss of GBP 1.8 billion and that includes that GBP 1.2 billion that I referenced earlier of one-off charges that mostly came as a result of COVID-19.

Total shop visits were up marginally on the prior year. We eliminated aircraft on ground due to Trent 1000 durability issues and performed scheduled overhauls and check-and-repair visits on high-cycle engines that were mostly booked in before flights were grounded. We continue to expect the final Trent 1000 fix to be certified and ready to fit to the fleet by the end of the first half 2021.

Moving on to time and material profits. Now this includes the V2500 flying hour payment, that's reduced with the lower aircraft utilization. The benefit to profit from fewer loss-making large engine in-store deliveries is more than offset by lower business jet and large spare engine sales and under-recovery of fixed costs.

Now you recall, as announced in early August, we have found some signs of wear to IPC blades in some Trent XWB-84 engines at the first shop visit. Now this was identified during proactive checks we had in place. None of the engines have suffered in-flight shutdowns, and none of our customers have been significantly inconvenienced as a result. We've put in place a process now to check all engines, over 2,300 cycles, on a regular basis. And until a permanent solution is found, we'll now replace this part as standard at the first shop visit.

The annual financial impact is not actually considered to be material. Notwithstanding this matter, the Trent XWB remains the most successful engine launch we have ever had. And the early performance of this program has been successful both operationally and financially.

Now some of you will have noticed that we've not reported our usual operating metrics today: average OE loss per engine, for example, or the aftermarket margin. Now we're still tracking these internally and striving to deliver fundamental improvements, but the extraordinary circumstances that we're facing have affected the usefulness of reporting them. For example, the benefit of lower losses on a single engine are offset by lower plant utilization.

Now let's move into the second half of the year. Shop visit activity will start to reflect the drop in fleet utilization as engines reach service milestones more slowly. Also, the actions we took in the first half to slow down procurement, eliminate noncritical spend and reduced pay will start to offset some of the performance declines. So an important trajectory in the second half of the year.

Moving on to the next slide in Power Systems. So looking at the Power Systems numbers. Revenue was down 11% to just under GBP 1.3 billion with similar falls in revenue for both OE and services.

On the OE side, our customers in industrial markets were the most impacted by lower activity levels, particularly with exposure to oil and gas and mining. We experienced a reduction in demand for smaller yacht engines. Some marine yards closed for much of the second quarter. But on the government side, our Marine business performed relatively robustly. Power Gen activity started the year well, but did experience a slowdown in the second quarter, most notably, in fact, in the U.S.

Order intake included 40 MTU engines and generator sets. These were used for a main propulsion and onboard power generation for 5 new Type 31 general-purpose frigates for the Royal Navy. We've also celebrated a sale success with Irish Rail, ordering 41 Hybrid-ready PowerPacks during the second quarter, and there's potential there for a further order of around 30 Hybrid-PowerPacks per year starting in 2023. So good momentum there.

Services revenues were negatively impacted by lower fleet utilization, particularly in transport and oil and gas markets.

So for Power Systems, operating profit was down 79% to GBP 22 million, showing the underutilization of the fixed cost base, which was unable to react to the speed of the downturn in demand. It also included in that number an inventory write-down of around GBP 20 million on the back of weakness in commodity market demand.

Now despite the challenges of the current market condition, we're still focused on benefiting from structural trends and increasing our share in fast-growing markets. We've added 2 bolt-on acquisitions to enhance our Power Systems offering with the addition of Qinous in January and Kinolt in July. Qinous brings electricity storage solutions to enhance our microgrid offering, and Kinolt provides uninterruptible power supply systems that are great addition to help us grow our share of the mission-critical backup power generation market.

Our push to expand into China remains high in our agenda, and we've expanded our partnership with VPower Group, enhancing our relationships to include distribution of our MTU products in China.

Moving on to our Defence business now on the next slide. So our Defence business saw limited impact from COVID-19 and performed well into -- in the first half, delivering another strong set of results. Demand remained resilient and our government customers remained supportive in both our key markets, the U.K. and the U.S.

Revenue of just over GBP 1.5 billion was marginally higher than the prior year with increased service revenues relating to a growth in naval repairs and higher spare part sales. OE revenue was also up, helped by favorable phasing of deliveries. Operating profit was 19% higher, driven largely by mix and benefit of group-wide efforts to cut costs, including salary reductions and lower travel costs. Mitigating actions to manage the supply chain risk and operational disruption from COVID-19 were successful with no material impact to us or our customers.

Our Defence business is steadily growing, and we're investing for the future with investment in facilities and people. We completed the revitalization of our operations facilities in Indianapolis over the summer, and this will be one of the most productive sites enabled by digitalization and technology.

And finally, moving on to ITP. ITP has faced the same challenging market conditions unsurprisingly as our Civil Aerospace business. Demand for OEM services were severely impacted by the grounding of fleets and the reduction in build rates for our OE customers, particularly for wide-body engines. In Defence, ITP saw lower OE volumes on the TP400 and adverse phasing on the EJ200 activity.

Operating profit of GBP 10 million was down 70% despite significant management efforts and actions to cut costs.

So returning to the group results and looking at our cash flow, the summary funds flow in the first half of the year, which is a really important slide, this one. There are 5 key drivers that reconcile the underlying operating profit of a loss of GBP 1.669 billion to the group free cash flow, again, an outflow of GBP 2.801 billion.

There are 5 key drivers that reconcile those 2 numbers, and let me go through these one by one. First of all, starting with the Civil Aerospace net long-term service agreement balance. Well, that grew by GBP 788 million in the first half of the year. Now this may seem counterintuitive given the significant fall in flying hours that we're highlighting today. But this is the result of the GBP 866 million contract catch-up to revenues that I referenced a little earlier. Typically, we do see an increase in the LTSA balance. However, if we adjusted out the catch-up effect, we would have seen a reduction in the LTSA balance as revenues, which are driven by shop visit costs, but larger than the reduced level of flying hour receipts. So I hope that makes sense.

Secondly, CapEx on property, plant and equipment was over GBP 100 million lower, in fact, to be precise, GBP 127 million lower than last year, as we immediately stopped all noncommitted spend in March to save more than GBP 1 billion of in-year cash costs, that's in total, across all of our efforts to mitigate the impacts of COVID.

Similarly, on the third point, CapEx on intangible assets was down by around GBP 100 million with lower capitalization of new civil engine programs as we reassessed our near-term investment priorities.

The fourth bucket, working capital. Now there's a lot going on here, so we've got a separate slide on that coming up and I'll go through this in detail shortly.

And finally, the movements in provisions. The growth in the provision balance is the net result of just over GBP 300 million of new provisions for onerous contracts, my earlier comments, offset by approximately GBP 500 million due to a reduction in provisions related to the Trent 1000 in service costs. The lower flying hours this year and in our forecast means that more of our Trent 1000 engines will be able to have the final fix installed at the next shop visit, reducing forecast shop visits and customer disruption costs and saving around GBP 300 million. The other savings come from an improvement in onerous contracts with reduced losses as a result of lower engine utilization.

Now moving on to the next slide and a deep dive on working capital. So starting with inventory build of around GBP 300 million, that's the top half of this chart. We acted quickly to control our supply chain to mitigate the impacts of COVID-19 on our operations. We secured access to all the parts we needed while minimizing the buildup of any excess parts. However, some items, as you know, are ordered many months in advance and so a build in inventory was unavoidable. We also saw an increase in finished, but undelivered engines as our customers adjusted their build schedules. We expect a significant inventory unwind to take place during the second half of the year as we settle down to the new lower normal pace.

The change in net receivables and payables includes GBP 1.1 billion from our decision to stop invoice discounting. Previously, we had used this to pull forward cash due from airframers who have fairly long payment terms. This provided us with short-term liquidity. Now this year, in light of our drive to cut all unnecessary spend and our strong liquidity position, we decided to stop doing this. The remaining GBP 400 million deterioration in working capital comes about almost mathematically -- mechanically, sorry. In our Civil Aerospace business, it works with a negative working capital pattern. We're collecting the money owed to us from our customers ahead of carrying out the work. However, if business shrinks, we see an outflow of cash as the situation unwinds. The good news is that this will stabilize when the market starts to recover and reverse when we return to growth.

Okay. And moving on to the next slide and our expectations for the recovery. We've based our forecast on a thorough review of all the data. We've included current airframer build rates, industry and macroeconomic forecast, together with the bottom-up analysis of our own fleet. And we believe the worst is actually behind us in terms of the severity of the impacts on wide-body engine flying hours. They dropped 80% to the low point in April before recovering to between 70% and 75% down in May, June and July.

Now based on our base case scenario, we expect our large engine flying hours in the full year 2020 to be 45% of the 2019 levels, and you can see that in the table there up at the top, before recovering to approximately 70% of 2019 levels in 2021 and 90% of 2019 levels in 2022. We don't expect a full recovery until 2024.

Now why do we believe that this will be the shape and timing of our recovery? A few things here. According to the latest IATA forecast, global revenue passenger kilometers, RPKs, are expected to recover to 64% of 2019 levels in 2021 and then to fully recover by 2024 with domestic travel expected to be stronger than international travel. During the first half, Rolls-Royce large engine flying hours were down 46% and they outperformed those revenue passenger kilometers that were actually down around 58%.

There are several explanations for this. First of all, it reflects the impacts of falling airline load factors. Now we're not exposed to how full planes are. It's the flight that matters to us. Secondly, we've seen resilient demand in freight and domestic travel, which account for approximately 20% of our flying hours. And thirdly, we have a greater exposure to China and the Far East, which have seen the fastest recovery to date. And finally, worth reminding ourselves, we have one of the youngest fleets with an average age of around 9 years, younger, more efficient and more versatile wide-body planes like the A350, where we are the sole engine supplier with our Trent XWB engines, and we're seeing much higher utilization levels there.

Now we expect that these factors will continue to benefit our installed base, leading to accelerated market share gains with lower retirements of Rolls-Royce wide-body aircraft in the coming years.

Now of course, we will recognize that the pace and shape of the recovery is uncertain, and no one has a crystal ball. Therefore, in addition to our base case, we've considered a plausible and severe downside scenario to make sure we are ready to take the necessary further actions. Now as a guide, we estimate

that each percentage point movement in large engine flying hours are worth about GBP 30 million in flying hour cash receipts, and I'll come back to this point later. And you can see on the table there how we've highlighted what the downside scenario looks like in respect of engine flying hours.

So on the next slide. We're expecting to see around GBP 4 billion of free cash outflow in 2020. Now that implies around GBP 1 billion outflow in the second half of the year. Now it's a significant improvement from the GBP 2.8 billion outflow we're reporting today in the first half numbers with a relative benefit from inventory unwinding and an increase in spare engine sales.

The GBP 1.1 billion impact from invoice discounting was a onetime hit in the first half and won't reoccur.

Our cost mitigations delivered around GBP 350 million in the first half of the year. We're confident in achieving at least GBP 1 billion in total. So that implies at least GBP 600 million of mitigations in the second half of the year. Headwinds in the second half, however, include lower engine flying hours and a further expected reduction in income from Time & Materials.

Now in addition to the free cash flow, we expect to incur in the region of GBP 400 million or so of costs related to our restructuring program. This compares to GBP 87 million in the first half, which mostly related to the tail end of the 2018 program.

Now based on this guidance, we're forecasting therefore around -- net debt of around GBP 3.5 billion at the end of 2020, a deterioration of around GBP 5 billion over the year.

We do expect further free cash outflow overall as we look across 2021, but at a significantly reduced level compared to 2020. Helped by a little seasonality, we are targeting a return to positive free cash flow during the second half of next year. Warren will come back to this point later.

We aim to restore annual free cash flow to around GBP 750 million as early as 2022 as we look beyond 2020, driven primarily by our expectations for market recovery, restructuring savings and the nonrecurrence of the working capital headwinds that we have in 2020.

Now both of these targets are before the impacts of any potential disposals and they also exclude costs related to the restructuring program. However, both targets do, as a reminder, include around GBP 300 million in each year of costs related to the reduction of our over-hedged U.S. dollar position that I referenced a little earlier.

So our 2021 and 2022 targets are stepping stones in our recovery, and they do rest on the base case assumptions we have made, if, as is entirely possible, the world takes a little longer to get back to normal, then these targets could take a little longer to achieve. But we are confident that the self-help actions we are taking will get us there in the end.

So I'll pass back to Warren now to talk about the steps we've taken to restore our financial performance. Warren, over to you.

D. Warren A. East
CEO & Executive Director

Thank you, Stephen. Now I've said before, this crisis is not of our making, but it's what we do about it that matters, and that's what we're focused on. And that's why we took the decisive actions early on to strengthen our liquidity. And that's why we acted quickly to begin the restructure of our Civil Aerospace business. I'm going to talk about that soon.

I'll start with this slide, however. The phrase cash is king has never been more apt than it has been for us this year. Now those of you looking for some precise cash flow guidance here, please put your rulers away. This is not a calibrated chart. It's an illustration of our monthly free cash flow based on what we've seen so far and our expectations for recovery.

Our target is for a sustained return to positive cash flow at some stage during the second half of 2021 and it's based on the drivers that are shown on this slide: first of all, a gradual recovery in engine flying hours; secondly, a stabilization of the rate of procurement as we adjust from previously higher levels

of production and output to expected lower levels; and thirdly, achieving our planned savings from our restructuring program. Of course, it's also helped by the usual positive second half seasonality that we see in our business. But nevertheless, we expect, overall, this recovery to be sustained as we go through into 2022. And this slide illustrates how we expect this to play out over time.

So let's move on. This slide shows the cash bridge from 2020 to 2022, and it shows clearly the 3 steps in our plan for sustainable recovery. We expect a recovery of our Civil Aerospace aftermarket. We expect to see savings from our restructuring plans materialize. And we expect recovery in Power Systems to combine with ongoing resilience in our Defence business. Stephen has already spoken about the GBP 1.8 billion working capital outflow this year in the first half and why we don't expect that to recur in 2021 and beyond. And similarly, we don't expect a repeat of the in-year mitigating actions to save costs in 2020 with most of these only delivering a onetime benefit. The restructuring benefits will replace that onetime effect.

So now I'll talk about these 3 things in more detail. Firstly, the recovery of the Civil aftermarket. We expect our large engine flying hours to recover to 90% of the 2019 levels by 2022 as Stephen mentioned a minute or 2 ago as global travel once again becomes a normal part of people's everyday lives, and that's supported as well by ongoing fleet growth.

The chart on the top half of this slide, which I showed with our full year results in February, reminds us of the relative use of our fleet, which Stephen referred to a moment ago, and consequently, our expectations of market share growth as airlines shrink their fleets through retirement. And as flying hours recover generally, this market share is what really matters to Rolls-Royce flying hours, and therefore, our aftermarket revenue.

However, I should stress the timing and shape of recovery remains uncertain. And if the flying hours take longer to pick up, then our journey back to GBP 750 million will be slower.

We're assisted a little by the diminishing annual cash costs related to the durability issues that we've had on the Trent 1000 and that diminishing cash cost is a helpful tailwind. These costs are projected to fall as we roll out the fixes. And by 2022, we expect the headwind from this to be between GBP 200 million and GBP 300 million, which is GBP 250 million less than what we're seeing in 2020.

Next slide shows the second driver and this is about our restructuring program. As you know, the world around us has changed and so we're changing, too. We're undertaking the largest reorganization of Civil Aerospace in our history. Net-net, we're shrinking our capacity by about 1/3. We remain committed to retaining our expertise and our capability, and we will continue to focus on the high-value manufacturing and services that differentiate us.

Now a severe downturn has caused us to take some difficult decisions, and that results in an unfortunate but absolutely necessary reduction in roles. In total, we're proposing the removal of about 8,000 roles from Civil Aerospace and a further 1,000 mainly from central functions. Nobody likes to make compulsory redundancies, but we are therefore doing what we can to help support our people as we make these very necessary changes to our business. More than 2,500 voluntary severance and early retirements have been agreed in the U.K. And we've moved some of those people who've been working in at-risk roles successfully over to our Defence business, which has continued to see strength on the back of its large installed base and high levels of order intake that we've seen recently. And so as of today, with more than 4,000 departures this year globally with another 1,000 expected by the year-end.

The cash cost of restructuring is expected to be about GBP 800 million with -- in total with GBP 400 million this year, GBP 300 million in 2021 and the remainder in 2022 and that roughly mirrors the pace of these departures. We don't expect to see OE demand recover for several years, so a consolidation of our manufacturing facilities is inevitable.

As part of our detailed analysis to establish the right balance, we're moving certain activities to fewer sites in order to optimize utilization and that will help us be more efficient and productive. The first phase of the proposals includes consolidations shown on this slide: from 3 sites to 1 for wide-body engine assembly and tests, from 2 sites to 1 for fan blade production, from 2 sites to 1 for advanced turbine blade machining

and from 3 sites to 2 for blisk production. Now not all of the sites losing work will close completely, some will continue with other activities. But by the end of 2022, we expect to save a total of GBP 1.3 billion in costs from our restructuring program, GBP 700 million from head count reductions and the rest from lower indirect costs and CapEx.

Moving on. Our restructuring is not just about job losses and consolidation. A lot of our parts are made in-house and we get most benefit from owning the supply chain where our engineering and experience is a differentiating factor, especially where we have design and manufacture that are closely related. And we're reviewing our manufacturing activities to explore further outsourcing opportunity. And that would lower our capital intensity and increase the flexibility of our cost base.

And it's not just in OE that we're making changes. In our maintenance, repair and overhaul, or MRO, shops, we're driving efficiencies to adapt to the post-COVID world. We have a growing fleet of young engines. So despite the near-term shock to flying, we will actually need to grow our MRO capacity over the coming years. And we plan to maintain that capability consolidated into fewer locations and meet the future growth by enlarging our external network.

As well as overhauling engines, an important part of our TotalCare package for airline customers is the provision of spare engines, and we typically spend between GBP 50 million and GBP 100 million each year on spare engines, which support our customers when their engines are off wing.

And we're looking at a number of possible ways to reduce the number of engines that we hold on our balance sheet and therefore reduce our capital intensity. All of these actions are supporting a more flexible cost base with lower capital intensity, better returns for our shareholders. Historically, our investment in CapEx in proportion to sales has underperformed that of our peers. And through these changes, we believe that we can narrow the gap.

So stepping away now from Civil Aerospace to the third key driver of the recovery on Slide 23. Diversity in our business has helped us to weather this crisis, and that continues to be a key pillar of our strategy for overall group resilience.

Our Power Systems business, on the top of the slide -- our Power Systems business is exposed to a broad range of sectors. And whilst it also has suffered from the impact of COVID-19, that is, to a lesser degree, than in our Civil business, and we're forecasting a faster recovery. In Power Systems, we expect most of our end markets to recover by the end of 2021 and we're targeting a full recovery to 2019 revenue levels by 2022.

Switching to Defence. Defence has been a resilient sector throughout the whole COVID-19 disruption so far and shows every indication of continuing that way. We're benefiting from strong order intake over the last 5 years. And we've got an installed base of more than 16,000 engines and still growing that we have to maintain.

Now I'll be back to talk about our strategy expectations for the future in a moment. But before I do, Stephen is going to lead you through our plans to strengthen the balance sheet. Stephen?

Stephen Wayne Daintith
CFO & Executive Director

Thanks, Warren. So let's get back to the numbers. So as Warren said earlier, cash is king, and we have an important journey ahead of us to make sure we maintain our strong liquidity and to restore our balance sheet.

Now this slide shows our sources of and uses of cash and the actions we've taken to ensure we have enough liquidity.

We started the year with GBP 6.9 billion of liquidity, and we used about GBP 3 billion of this in the first half of the year. We preemptively drew on our GBP 2.5 billion revolving credit facility, and we added a new revolving credit facility for GBP 1.9 billion that remains undrawn. We also used the government's COVID commercial financing facility scheme to draw GBP 300 million of loan notes. And we're thankful again for

the government's support, not just on that facility, but also as they partly guaranteed our new undrawn GBP 2 billion term loan facility.

So taking all that into account, we had GBP 6.1 billion of liquidity at the end of June plus the new GBP 2 billion term loan, so near-term liquidity is strong.

Now looking ahead for the next 18 or so months, let me take you through the key factors influencing our liquidity. So taking our starting point of just over GBP 8 billion, over the next 18 months, we have GBP 3.2 billion of debt maturities. You can see those in the chart below. We have an aggregate GBP 800 million of restructuring costs that's mostly Civil Aerospace related. And we have the last of our Deferred Prosecution Agreement payments, as well as our expected free cash outflows in 2020 and 2021 that I outlined a little earlier.

Now as you might expect, both in our base case and downside scenarios, we're taking several actions so that we can maintain appropriate headroom. Now these include: a program of potential disposals to generate at least GBP 2 billion; the reassessment of Civil Aerospace's make-versus-buy strategy, which will reduce our capital intensity that Warren talked about a little earlier; we're exploring new forms of industrial collaboration; and finally, we continue to review a range of additional options to further strengthen our balance sheet and liquidity and this includes the refinancing, of course, of the debt and RCF maturities that are on the horizon.

We'll come out of this downturn with considerably more debt than we started with. And as such, it won't surprise you to know we're pursuing a number of potential actions to strengthen our balance sheet.

Now moving on to my last slide, Slide 26. A strong balance sheet is essential in our line of work, and strengthening is one of our top priorities. This is why we remain committed to our ambition of an investment-grade credit profile in the medium term and are considering a number of options to help us return to a net cash position.

Further to the self-help that is behind our free cash flow recovery and going back to my earlier comments, we've identified more than GBP 2 billion of proceeds from potential disposals that could be achieved within the next 18 months. One of the potential disposals we're considering that we're announcing today is ITP Aero. As part of this process, we're exploring options that would enlarge the scope of ITP's capabilities, increasing its value prior to disposal. Now whether or not a sale takes place, ITP Aero is a key partner and we will retain a long-term relationship with it across our Civil and Defence programs.

Now as you'll recognize, I can't go into too much detail at this stage on this or indeed any other potential disposals as we're still in the early stages and I wouldn't want to impede the consultation that will be needed before we reach any certainties. And of course, all disposals are subject to finding the right buyer, and most importantly, the right price. But I'm confident we can achieve substantial proceeds and at the appropriate value.

And with that, I'll hand back to Warren. Thank you.

D. Warren A. East
CEO & Executive Director

Thank you, Stephen. Now just a few more slides on our strategy before we open up the call for your questions.

So starting on Slide 28. We know COVID has changed the shape and the future of the civil aerospace market. And some of the changes are obvious today and plain to see and others will only become apparent over the years as the world begins to recover. But we have to make some fundamental changes, too. So we've taken this crisis as an opportunity to really rethink and accelerate some of the ways in which we do business from manufacturing to what we outsource, to the facilities we need and how we collaborate with partners for the long term to reduce our future capital costs and risks. Taken together, these measures should mean much improved operational gearing as the market recovers and we return to growth. It will be a very different Civil business in future.

Looking forward, we see a lower carbon technology as being essential. If anything, the changes over the last few months have accelerated the drive towards better, cleaner power solutions. The world is demanding cleaner energy, and we need to find the right approach that enables us to continue to lead the way in our markets without taking on unacceptable costs and risks.

Slide 29 shows the strategic areas to improve returns in Civil Aerospace. To really benefit from the large installed base we've built and growing market share as we continue to build it, firstly, we need to improve our manufacturing efficiency. Post COVID, our consolidated footprint and smaller fixed cost base will do just that.

Secondly, we see a substantial opportunity for improvement in our aftermarket returns by extending the time on wing and working with MRO partners as our base of over 5,000 installed large engines grows. And that's where we have real alignment with the needs of our airline customers, and it's key for us to benefit from the annuity-like characteristics of our model.

Thirdly, we're looking to reduce the amounts that we need to invest to get new technology to market. We already have a number of risk- and revenue-sharing partners in manufacturing. But as technology develops, we need to think more broadly and work with more industrial partners to accelerate those developments and to share the upfront investments.

Moving on to Slide 30. There are, of course, exciting opportunities in Power Systems and Defence as well. In Power Systems, we have structural growth opportunities as we increase our share in growing regional markets like China and India and right across all the sectors in which we operate. We look to build on the large installed base we have and increase our services penetration with long-term service agreements similar to those that we've successfully deployed in our Civil business. We have the right products, too, for mission-critical power generation market. And we're leading the energy transition with our hybrid and microgrid solutions. Power Systems also has the potential for even better margins as we shift manufacturing to some lower-cost locations.

Moving to Defence. In Defence, we've been well supported through this period by our government customers, and we've seen commitment from them on new programs. In the U.K., we've welcomed new partners to Team Tempest, where we continue to make good progress. In the U.S., there are 2 very exciting opportunities on the horizon with a combined estimated lifetime value of GBP 7 billion. We submitted our proposal for the B-52 re-engining to the Department of Defense this year. And we look forward to submitting our future vertical lift proposal with Bell in 2021.

Longer term, being pioneers of lower carbon power remains at the heart of our long-term strategy. And earlier this year, you will have seen us join the UN's Race to Zero campaign. Our breadth of activities uniquely positions us to develop and deliver solutions that will change the way people travel and access power. We believe our work on sustainable aviation fuels, which is developing momentum, is the fastest way to achieve net zero long-haul travel. It can be adopted without any change to the existing engine architecture and infrastructure. And we're also looking at hybrid and electric solutions with an ambition to pave the way for regional hybrid aircraft by the 2030s.

In Power Systems, we aim to be the leader in hybrid power solutions. We were the first to market with our hybrid rail packs and with the yacht system under development. Our environmentally friendly mobile gas engines entered service this year, powering a passenger ferry. And the second ferry is currently under construction and scheduled to enter service at the end of the year.

Our small modular reactors are gaining traction. Now these are really game-changing and could materially accelerate the transition away from fossil fuels for both grid power and stand-alone applications. We also see a significant opportunity for SMRs to generate carbon-free electricity and create sustainable aviation fuels. Combined with the appropriate carbon capture, this, which would be a truly net zero carbon solution, potentially producing SAFs on a scale and cost that will accelerate their adoption.

So slide to summarize. We started 2020 with good momentum, but external events quickly overtook us in Q1 and placed us on a very much more difficult path. However, we've taken some fast, decisive actions strengthening our liquidity, launching our largest ever restructuring of Civil Aerospace to step change our

performance and we believe that the worst is behind us in terms of the severity of the impact on wide-body engine flying hours. We're now looking at a range of options to repair our balance sheet led by self-help, with potential disposals already identified. And we're absolutely unwavering in our commitment to improve returns. We're well placed in each of our markets where each remain attractive over the long term. And we're looking forward to continuing the path to becoming a broad power group, leading the way to a lower carbon future.

And with that, I will stop and hand over to Q&A.

Question and Answer

Operator

[Operator Instructions] Your first question comes from the line of Chloe Lemarie from Exane BNP Paribas.

Chloe Lemarie

Exane BNP Paribas, Research Division

I had a couple. The first one is on the ambition to resume to investment-grade over the midterm. Can you give more color on the timing? I mean when you'd feel you absolutely need to return to investment-grade. And would that mean that you need to return to a net cash position or is it actually more driven by EBIT performance?

And the second set of question is related to Civil operating profit. So if we exclude the COVID-19 one-offs, you recorded about GBP 300 million loss in H1. And that was about the same the level of cash losses you recorded last year just on the large engine OE. So how should we think of the H1 '20 OE losses and the rest of the business? Should we think stable OE losses and the rest was just a 0 due to lower volumes? Or any color on this would be really helpful.

Stephen Wayne Daintith

CFO & Executive Director

Okay. Thank you. So Stephen here. I'll cover the first question around return to investment-grade. Return to investment-grade is important to us given the industry that we're in. Our customers are committing to us when they place orders, making long-term commitments around engine programs that will be on their aircraft. So that's an important commitment that we're giving them, and our credit rating is an indication of the health of Rolls-Royce. So returning to that investment-grade is important.

I think right now, it's not as important as perhaps it has been given that we're unlikely to see big new engine program orders over the next 2 or 3 years given the markets, but also given where we are in our engine program development at the moment. So it's a priority, but not as important a priority as it has been.

On the question around what is it about? Well, I think returning to net cash is important to us. We referenced that today. We'd like to get there over the next 2 or 3, 4 years. Similarly, growing profitability and cash flows is an important lever as well. And of those two, the second one of those is the most important one. We've highlighted today that we are targeting to return to free cash flows of around GBP 750 million as early as 2022. That will be driven really by the pace of the restructuring program that we're driving today -- that we're going through at the moment, sorry. And it will also be driven by the pace and shape of the recovery in engine flying hours over the next 12, 24 months.

So both of those factors will be important for us as we look to get back to investment-grade status. Warren?

D. Warren A. East

CEO & Executive Director

Okay. And the other question was about Civil operating margin or operating profit in the half. I mean there are fundamentally 3 reasons here. We've got lower activity and that lower activity is driving things like lower V2500 payments, lower Time & Materials and so on. There's a little bit of lower spare engine sales to sit alongside that lower levels of activity. And then because we've been unable to rightsize our fixed cost base as quickly as the change in activity levels, then we have got some underutilization as well in our facilities, which has pulled things down. So under-recovery of those fixed costs. And I think that just about summarizes it.

Operator

Your next question comes from the line of George Zhao from Bernstein.

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George Zhao*Sanford C. Bernstein & Co., LLC., Research Division*

Stephen, you talked about getting to 70% of the 2019 engine flying hours by '21 partially based on the outperformance of the IATA projection. The 64% recovery forecast from IATA you cited refers to total passenger traffic, not just international. So how much contribution of your fleet is intra-China that gives you confidence that despite the all wide-body fleet with 80% exposure to commercial traffic that you can still outperform the total passenger trends?

And second question related to that. You talked a lot about the trend of the flying hours, but the other side of the equation is the dollar-per-hour rate. And given the airlines may be flying the aircraft but at much lower load factors, have they tried to negotiate for lower rate on existing contracts or looking to pay lower rates on the newer contracts?

Stephen Wayne Daintith*CFO & Executive Director*

Okay. Thank you for your question. Yes, so on flying hours, I'm glad you pointed this out. The geographical mix of our engine flying hours is really important. When we look at our sort of top 5 markets, we have China, Japan and South Korea are all in our top 5 markets. The other 2 are the U.S.A. and the U.K. So we are well placed there given the shape and stage of recovery in those markets. China in itself is around 20% of our coverage and around 6% of that. So in other words, 6% out of the 20%, that is, is domestic China. So that's helpful for us, and this goes to my earlier comments during the presentation just now around it's important to look at the granularity of engine flying hours for us: the engine programs that we're in, the geographies that we're in, the routes that we're flying, the age of our fleet. All of those are important factors. So it may be misleading to look at an average across an IATA statistic on revenue passenger kilometers. And it's perhaps better, we believe, to look at engine program by engine program and route by route and so on. So that's how we'd arrived at our numbers today.

D. Warren A. East*CEO & Executive Director*

Yes. And your second question was a little bit about, well, are people trying to ask us to compensate them for lower load factors effectively? I mean, of course, we recognize the fact that some of our customers are under severe pressure and there is an ongoing commercial discussion. But to balance that sort of thing, in many of these contracts, we have minimum utilizations and so on. And so I don't think there's been any material impact whatsoever from actual renegotiations. We're trying to support our customers through this phase as much as we can, but we've also got our own business to run.

Operator

Our next question is from the line of Celine Fornaro from UBS.

Celine Fornaro*UBS Investment Bank, Research Division*

I'll have 3 questions, if I may. The first one is regarding your 2022 cash outlook, which is now guided for GBP 750 million, whereas before, probably it was more at least GBP 750 million. But in this number, you're now benefiting from a GBP 330 million cash tailwind, I would say, on the 787 lower costs incurred. So what has gone worse? Or do you already know early July that you would have lower 787 costs? That's the first question.

The second question is regarding the sizing of your disposal, approximately GBP 2 billion-plus. I know Stephen addressed it, some of it, in the presentation. However, I'm not really sure how I understand how you get to that number given the slump in performance in ITP. So how do we think about how would we get to GBP 2 billion? And is it a lot of small divestments or a big large chunk? So maybe you can help us. And if you think of selling any MRO participations in your JV?

My final question would be regarding the shape or the timing of the shop visit costs and the timing of those, I guess, beyond 2020. So in 2021, do you expect more shop visits than in 2020? So if you could compare that, that would be great in your assumed scenario.

Stephen Wayne Daintith

CFO & Executive Director

Thanks, Celine. Okay. Well, I'll kick off with the GBP 750 million. And just as a reminder, we've said as early as 2022. Very much still significant uncertainty around the shape and pace of the engine flying hour recovery. So just to put that qualification around it.

So if I just sort of go through the sort of key building blocks to how we get to that number. Well, first of all, in 2020, we'll have seen that GBP 1.1 billion one-off impacts from ceasing invoice discounting. So there's a benefit there in 2022 that won't be repeated. We're also going to see the benefit of the GBP 1 billion large working capital outflow that we're going to see in 2020 across inventory, but also receivables and payables movements. Rolls-Royce Civil Aerospace, in particular, is a negative working capital flow business given that we often receive cash from our customers in advance of activity. Now when activity starts to wind down and reduce, that impact goes the other way. So we've seen a headwind from that this year, which we don't expect to see in 2022. At the same time, we're expecting, and this is the single biggest driver, an improvement in the civil aftermarket driven by engine flying hour recovery largely in excess of GBP 2 billion. We also are going to see, to your question, lower Trent 1000 costs. We're going to see Time & Materials improvements as well. We're expecting to see our Trent 1000 costs around GBP 300 million lower than 2020 numbers, which is about GBP 100 million lower in '22 versus the old guidance.

By the way, when we gave our GBP 750 million number in July, we already knew the impact of the Trent 1000. That was actually implicit within that number that we -- when we gave you that number in July as well, just to explain that one.

We're going to see a modest benefit in Civil OE as average losses continue to recover, that's another part of the bridge. And we're going to see higher profits in each of Power Systems, Defence and ITP, particularly Power Systems and ITP versus the 2020 numbers that we're highlighting today and then it will be there for the full year as well. And then at the same time, we're going to see an improvement in the year in the cost base as well, the restructuring that we're doing in Civil Aerospace, the pace that we can get through that. We're highlighting today 4,000 head count reduction already this year, with a further 1,000 to follow before the end of the year. And certainly, I think by the middle of next year, we'll be well way -- well through that restructuring program in Civil Aerospace to give us good confidence about that GBP 1.3 billion of restructuring savings that we're expecting for 2022.

So those are the key drivers that get us to that GBP 750 million. Just flagging again, there still remains uncertainty around how flying hours profile over the next couple of years.

Warren, do you want to take the next question?

D. Warren A. East

CEO & Executive Director

Okay. So the next question was around the GBP 2 billion. I think the first thing to note is that, actually, the price at which we bought in -- or bought back the share of ITP that we didn't own was actually quite a good price. And so I think the difference -- although the valuation might be down a little as a result of COVID is where you start from is quite important. But of course, our target of GBP 2 billion comes from a series of potential disposals here. There are other assets involved. We're not being specific this morning and we can't be specific this morning about other assets. But I draw your attention to track record. And as an example, the disposal of L'Orange a couple of years ago where we weren't talking about a whole chunk of activity that we regularly report on. We were talking about an asset that sits within one of our businesses where we thought it was time to do an intelligent recycling of capital. And that's the sort of thing that we're looking at.

So there isn't a small list here. There's a list of several potential assets that we're looking at, at the moment. And as and when we're in a position to talk about something specifically, we will. But the

statement we made this morning is that we're confident of more than GBP 2 billion over the next 18 months or so.

I think the third question about shop visits and shop visit timing and what happens over the next couple of years with shop visits. Yes, we do expect this to grow beyond 2020 because our fleet that is continuing to fly is growing and it is maturing. So shop visits have slowed in 2020 simply because of the depressed levels of flying activity, but we will see that recovering. And of course, we will see the engine flying hours recover as well. So the actual aftermarket margin will grow as well.

I think that's it, the third question. Yes.

Isabel Green

Head of Investor Relations

I've got a couple of questions coming in online now, which I shall read out for management.

So Jeremy Bragg is asking for a little bit more detail on the timing of when we're looking to restore the balance sheet by, and in particular, if or when a rights issue might be needed. Is it better to wait for things to get better or risk that they get worse?

Stephen Wayne Daintith

CFO & Executive Director

Okay. Well, I'm not going to be drawn on any speculation about a rights issue. So on the balance sheet, so are we waiting for it to get better? First of all, key message: we have strong and adequate liquidity today. More than adequate, in fact, when we look at our base case scenario as you'll see this highlighted in there. Long term, we have an ambition to return to a net cash position, going back to my comments just now a question from Celine.

The drivers of returning to a net cash position, what are the key things they're going to get us there? Well, first of all, the self-help stuff that we're doing on costs: the GBP 1 billion of cost mitigations this year that we announced as early as April; the GBP 1.3 billion of restructuring savings that we've announced in May -- on May 20. There will be an unwind of some of the cash mitigants in 2020, of course, around sort of paid deferrals and so on. Some of those items will unwind going forward and pay cuts and so on. At the same time, we're anticipating a significant recovery in the aftermarket that will help our net cash position. The disposals that Warren just talked about, at least GBP 2 billion. We have good confidence and conviction around those and delivering proceeds there over the next 18 months. And we continue to assess a range of other options as well. So that's how we're thinking about balance sheet at the moment.

Isabel Green

Head of Investor Relations

And another question we've also got on the webcast here from Ben Heelan. He would like to ask if we can give some more information on the industrial partnerships we talked about.

D. Warren A. East

CEO & Executive Director

Yes. I don't think there's anything specific that we can give about that. Of course, if you look at our history, we've always done a certain amount of partnering. We have a handful of risk- and revenue-sharing partners that are part of our existing Civil programs. But as we look forward, these new products that we contemplate, things like UltraFan and beyond, have a greater range of new technologies within them. And developing those technologies to make them all ready to put into engines is a lengthy exercise and it's a risky exercise. And so we'll be continuing to look for new partnerships, perhaps a little bit more at the development end around new technologies to share some of that risk. And also, frankly, accelerate some of those technology developments so that we can get the benefit of them sooner rather than later. And that's the direction of travel that we're talking about.

So nobody specific, but probably a wider range of players than we've historically been involved with.

Operator

Your next question comes from the line of Chris Hallam from Goldman Sachs.

Chris Hallam

Goldman Sachs Group, Inc., Research Division

Just 2 quick questions for me. So first, on the 2022 free cash flow guidance. You sort of already answered my question with your earlier response to Celine. But is it fair to say that the only working capital assumption you're including in that GBP 750 million number is no working capital outflow, i.e., a nonrepeat of the big 2020 outflow? But given your negative working capital business, wouldn't you expect to be seeing some degree of inflow in 2022 as activity improves? So that's my first point.

And then secondly, on disposals. Again, you've already covered some of the ground on this topic. But given the outsourcing comments, I suppose it's fair to say the revenue number for ITP is going to look different. So how should we think about the push and pull between higher revenues at ITP due to more outsourcing from Rolls-Royce versus lower revenues due to lower overall activity in the Civil world? And where would you expect the net to shake out relative to 2019?

Stephen Wayne Daintith

CFO & Executive Director

Okay. Thanks. Thanks for your question. So on working capital assumptions for '22, the assumption that you stated, the answer is broadly yes. We could see a modest positive contribution from working capital in 2022. It is a very modest assumption though in our modeling. It's not a material number.

One item that I should have referenced whilst I've got the opportunity to talk about '22 as well that's within our GBP 750 million model that I just ran through. There is also the headwind of the GBP 300 million or so of hedge cost as we settle those -- that over-hedged position for that particular year and that's the spot rate. And that's around the -- sorry, through the FX forward contracts that we've taken, and that's about a GBP 300 million hit. So that GBP 750 million number is after that exposure. So that's a good way of looking and thinking about it.

And the question next, Warren, view on ITP?

D. Warren A. East

CEO & Executive Director

Yes. I mean, I don't think we can be specific, I'm afraid, on a revenue number for ITP in 2022. I mean, I think the question is basically correct in terms of pushes and pulls when you look at ITP and call ITP a partner. But what matters to us is overall profitability. And we talked about make versus buy. It's a constant question that we're asking about make versus buy. We have to recognize that you can't just make snap changes and have them effective within a matter of months because lots of these parts have to be -- go through a qualification cycle when they move from one manufacturing location to another. So it's far too complex really for us to be, frankly, misleading people with guidance on specific numbers. But your question is right. There'll be a little bit of a balance there, and the number will be what it be. I just can't give you the answer right now.

Operator

Next question comes from the line of Nick Cunningham from Agency Partners.

Nick Cunningham

Agency Partners LLP

[indiscernible] sort of famously W shaped with an outflow in between the reporting dates. Presumably, with the factoring gone and Civil smaller, it will be less [indiscernible]. What I wanted to ask was if we could remove the overlay [period], how much you need to -- liquidity you need to have at the beginning or end of a period to be comfortable to get through that normal seasonality? What is it? How much headroom do you need to [indiscernible]

I think less important question, but presumably, you've [indiscernible] visits during the first half because you've been doing the shop visits, but the flight hours haven't been undertaken. So that's some cash that should come back. Is that relatively near term and therefore built in [indiscernible] the sort of beyond '22 period?

Stephen Wayne Daintith

CFO & Executive Director

Okay. Thank you. Thank you for your questions. You're cutting out quite a bit, but I think that we heard enough of the first question to answer it. And I might to have another go at the second question, but I'll do the first question to begin with.

So the W shape. No. I mean I for one will be quite pleased to see the back of this, that W shape. I think the cessation of invoice discounting means that it should go away. I mean there should not be material seasonality in our business and so that will be a consequence of that.

Your question was then around sort of the cash flows and the -- I'm trying to recall the second bit of it. No. Sorry, the headroom area. I think you should be thinking about sort of low single digits of billions of pounds for what is meant by comfortable headroom. And that's what we've used in all of our statements and modeling. So it's not a 0 case. It's very much a low single digit, so GBP 1 billion to GBP 2 billion or so of comfortable headroom. That's the sort of number that we've used in our modeling. Warren?

D. Warren A. East

CEO & Executive Director

I'm afraid on the second question you just broke up too much. So can we have another go at the second question?

Nick Cunningham

Agency Partners LLP

Yes. I apologize. If you can't understand me, stop me. The question is, have you been effectively banking [indiscernible] of and so there [indiscernible] one place for [overhauls] anyway. And so therefore, that's effectively cash to come back in at some future date? And is that already in the near-term cash flow forecast or is that to come back later?

D. Warren A. East

CEO & Executive Director

Yes. No. I think we're still slightly struggling. It's -- we've -- well, I think the point is -- I'm struggling to hear the question really, but I think the question is around is there a big benefit from the lower number of shop visits, and I think that's what it is in terms of cost. The answer is not really in that we have fixed costs that are part of our MRO network that don't go away and so there's a cost in that in itself in any event. So I don't -- I shouldn't -- it shouldn't be regarded as being a material benefit. I think that's a just good question. Sorry, I'm not answering your question. It was just very difficult to hear it that's all.

Stephen Wayne Daintith

CFO & Executive Director

I think another point, just to reinforce this, the shop visit, the volumes have not fallen materially in the first half in any event. So the -- although the mix has changed, the volume has remained pretty much flat year-on-year.

D. Warren A. East

CEO & Executive Director

If you've still got a question, then maybe take that as a call with our Investor Relations team off-line after the event.

Operator

Your next question comes from the line of Mr. Khan from Societe Generale.

Zafar Khan

Societe Generale Cross Asset Research

I have 3 questions, please. The first one is just on the JV and associates contribution, which is quite encouraging. Could you just tell me where that's coming from, presumably MRO and leasing? Or is there something else there? That's the first question.

Second one is just on the tax charge and the cash-out on tax this year and perhaps next year because of the mix of profits and losses is geographically quite skewed towards Germany and U.S. So just want some idea on that.

And then the old topic, I'm sorry to come back to this. But the long-term service agreement contract balance change, I've been looking at this for a couple of years now, but I still cannot get my head around this. And I would have imagined in the first half of this year, that would have been a big negative number yet it's a very big positive number. Is that just backing out the losses that are in the line above, in the underlying operating profit so it's kind of canceling that? How does it actually work? I know, Stephen, you touched on this in your presentation, but you were going quite fast for my brain to process. So if you could just please help me and tell us what that looks like for the full year. And you've said in the past that as an ongoing number, that should be around about GBP 300 million positive per annum. But that's not been the case.

Stephen Wayne Daintith

CFO & Executive Director

Right. Well, why don't I do the LTSA balance first? And sorry if I went too quickly in the presentation. So this actually grew by GBP 780 million in the first half of the year. So that's a credit to that balance in the year. Now just as a reminder though, the contract catch-ups that have taken place or when they do take place, they are a revenue adjustment. And the double entry in the case of a sort of negative contract catch-up is a debit to revenues and a credit to the LTSA balance. And that number that we're highlighting today in the first half is GBP 866 million, and that's down to that sort of reassessment of engine flying hours around our engine programs. And I should also point out at this stage that 700 and the 900 were the 2 biggest contributors to that GBP 866 million. And that makes sense given the, number one, for the 700, the amount of revenues that have already flowed through that mature engine program, the materiality there. And number two, Trent 900, which is the most impacted engine program when we think about future engine flying hours, and you'll have read all the press around the Trent 900 retirements and so on.

So when you take off that GBP 866 million, you're then into a reduction in the LTSA balance from that GBP 788 million that I referenced there, that's an GBP 80 million-or-so reduction. Now one might have expected it to be larger than that, but I just think it's worthwhile just highlighting the difference between invoiced engine flying hour receipts and -- but also the cash receipts that come in as well and there can be a disconnect between the two. And I think that's just another factor to take into account. So hopefully, I've given you some of an explanation there around that one.

We don't expect more catch-ups in the second half. And in fact, they could actually shrink in the second half as well so I think that's an important factor to bear in mind.

I'll very quickly cover the cash tax item as well. Just as a reminder, we don't pay cash tax in the U.K. where we have, number one, sufficient accumulated losses to offset any future profits. And at the moment, our U.K. business remains an unprofitable loss-making business. We pay cash tax in the U.S. and Germany. We're expecting that it will be -- well, in 2019, it was about GBP 175 million; first half of this year, GBP 34 million, and that's largely driven by the reduced profits in our Power Systems business that we've highlighted today. And then going forward, I think for 2020, across '21 and '22, as the U.S. and German businesses grow, I think you should be thinking about GBP 250 million or so as a good guide of cash tax in each of those 2 years.

And then, Warren, do you want to cover the first question that was asked in this one? Sorry, this is about sort of the JVs.

D. Warren A. East

CEO & Executive Director

JV. Yes. I mean I think the -- our MRO networks have sort of continued to operate in spite of the depressed environment. As we said a moment ago, shop visits have essentially been flat in the first half of the year and that's really a driver of the performance from those JVs.

Zafar Khan

Societe Generale Cross Asset Research

Okay. And Stephen, just on the tax rate that we should be looking at for '21, '22. Any kind of an underlying rate that you can guide us to?

Stephen Wayne Daintith

CFO & Executive Director

Yes. That's a -- it's a really tricky question because it's very much driven by the sort of the mix of profits across territories, so it's hard to be precise. I would think of the tax rate as being a low negative number. But there's no deferred tax assets, so there's no credit on the U.K. loss that we have seen in previous years. Because you'll recall, last year, we stopped adding to the deferred tax asset. And this year, in fact, we derecognized some of the deferred tax asset in light of a revised view of when U.K. profits are likely to flow through. So for your modeling on effective tax rate, I would assume a low negative percentage number.

Zafar Khan

Societe Generale Cross Asset Research

Sorry. A low negative percentage number means a tax credit?

Stephen Wayne Daintith

CFO & Executive Director

Sorry. So for the full year, 20%, same as in the first half. I think that's the -- yes.

Operator

Our last question comes from the line of Andrew Humphrey from Morgan Stanley.

Andrew Edward Humphrey

Morgan Stanley, Research Division

Just a couple from me. Wanting to ask about the kind of make-versus-buy decisions that you're making. And specifically, what benchmarking exercises you've done versus peers to work out what the optimum level might be on that. And secondly, you've given us some benchmarking versus peers on tangible CapEx. I wonder if you could give us a bit more detail on, say, overall investment levels, including intangible and R&D. I mean I know that's an area you focused on in recent years. So if you could give us an idea of where overall investment ratios might turn out in the medium term compared to some of the peer group.

Stephen Wayne Daintith

CFO & Executive Director

Yes. Okay. Well, look, on the make versus buy, I can't go into specifics at the moment. This is a constant exercise. I think all we're highlighting is the changes we're making, the restructuring that we're doing in terms of site consolidation that we announced this morning in terms of overall head count reduction creates a catalyst for looking at that make versus buy again and saying, are we really doing what's right for us?

Now what's right for our peers might be completely different. We're seeking to look at make versus buy from a point of view of profitability and deployment of our capital. And we'll come out with the answer,

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which is right for us. I expect that, that will probably mean some -- a little bit more buy and a little bit less make, which is essentially being less capital intensive transferring more of, essentially, our fixed costs into variable costs, giving us a bit greater flexibility.

The comment we made on the slide a little while ago in the presentation about making our capital intensity a bit closer to the range of our peers was simply meant to illustrate the fact that if you see us move in that direction, this is a healthy direction. It makes us more competitive. But I think you can see from the first part my answer, obviously, it's making our business more competitive.

And then on the investment question. So you'll recall that over the last few years, we've actually ramped up investment levels across both R&D and CapEx, number one, as we brought several new engine programs to the market; and number two, as we've increased our capacity for the volume we were anticipating, particularly OE volume in Civil Aerospace. Coming out of that, for natural reasons around the engine program development, but also COVID related, R&D cash spend, GBP 1.1 billion cash spend in 2019. I think you can expect to see that decline modestly as we get towards 2022. I think maybe declines, maybe GBP 100 million, GBP 200 million reduction in R&D cash spend.

I think, CapEx, I think that's where you're more likely to see a material change in profile. We spent around GBP 750 million in 2019. That number for 2020 is more likely to be about GBP 600 million, so quite a material reduction. And then, again, I think if you're thinking around 2022, you're probably looking at a number of somewhere between GBP 400 million to GBP 500 million in 2022. I think that's a decent guide on capital expenditure where, having built the capacity, we think we can manage at those lower capital expenditure levels that I've just highlighted.

D. Warren A. East

CEO & Executive Director

Yes. I think what's important, just to sort of add a little bit of context on that capital expenditure. Stephen's talked about the quantum there on R&D and CapEx. One of the things we are doing is thinking about the shape of that CapEx over the next several years. And if I look at the shape by business, we are emerging from a period where we've spent a huge amount of investment on our Civil Aerospace business, created a portfolio of relatively new and new engines. Now is the time to capitalize on those new engines. And over the next several years, you will see us going a bit less capital-intensive in Civil. But now is the time we can free up then some of that investment to target these zero carbon areas, which are showing up in our Power Systems business initially, in some of the electrical activity that we're doing for future in Aerospace and for some of the new exciting opportunities that we've got ahead of us in Defence. So -- as well as the quantum, it's important to think about the shape of the R&D and CapEx.

With that, I think that was actually, I'm being told, the last question. So we'll thank you all for your questions.

And before we disappear, I just want to take this opportunity to quickly summarize. And I'll start by talking about our other announcement this morning. So Stephen will be leaving us. So I want to say thank you very much to Stephen for being a great colleague and a great influence on our business over the last several years. He's overseen great change to our finance team and built a very strong finance team over the last few years and injected some rigor there. The executive team will miss him and wish him well. He has overseen or helped us drive very significant changes in our business. And that has actually manifested itself in, if you look over the last several years, a big improvement in free cash flow generation, coming from negative through to getting on for GBP 1 billion of free cash flow last year. So thank you very much, Stephen.

And actually, I'll start my summary then with that point. That was a great position to come into 2020 with some good momentum. Unfortunately, the COVID crisis struck fairly fast in the first quarter. So we have acted quickly to secure liquidity. We've acted quickly with our very significant spend mitigations for 2020. We've recognized the market outlook and undertaken the largest restructuring of our Civil Aerospace business to date. We do think that, that is going to deliver a step change in performance for our Civil Aerospace business so that we can really capitalize with great operational gearing on that installed base that I talked about just a moment ago.

And looking a bit further forward, we have the self-help actions underway to make our -- repair our balance sheet after this crisis as we look beyond the crisis so that we can really maximize value from those existing positions and secure our long-term ambitions.

So I think that's the summary. And thank you all very much for your interest.

Operator

That does conclude our conference for today. Thank you for participating. You may all disconnect.

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Rolls-Royce Holdings plc LSE:RR. Shareholder/Analyst Call

Thursday, May 07, 2020 11:10 AM GMT

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Call Participants

EXECUTIVES

D. Warren A. East
CEO & Executive Director

Ian Edward Lamert Davis
Independent Chairman

Presentation

Ian Edward Lamert Davis*Independent Chairman*

Hello, everyone, and thank you for joining us today. My name is Ian Davis. I'm Chairman of the Board of Rolls-Royce. Due to the social-distancing measures all of us are being asked to take in the U.K. to protect ourselves and others from COVID-19, we've taken the unprecedented step of not meeting with you face-to-face today. That is one of several changes we've had to make to the Annual General Meeting in order to comply with health guidance and changes required by the stay-at-home measures introduced in the U.K. As the situation becomes clearer over the coming months, we will explore ways in which we can offer you an opportunity to engage in person with your Board. But I hope you will see that we have endeavored to do what we can to give you, our shareholders, an opportunity to engage with us today in what are exceptionally challenging times.

I'm joined in the room by Warren East, our Chief Executive, at the required 2 meters distance, of course, who will provide a review of 2019. He'll then talk more about what we are doing to ensure the wellbeing of all our employees and to assist the communities in which we operate to combat COVID. He will also talk about the important and critical steps we are taking to strengthen the operational and financial resilience of our business.

In the notice of meeting, we ask you to submit questions in advance and thank you to those who took the time to do that. A number of questions will be covered by both my address and Warren's. And in addition, we have several questions, which we'll address at the end of our presentation. If you have any further questions as a result of this meeting, please do contact the company's registrar, and we will be glad to answer. You can find the relevant details on the Investor Relations page of our website.

As I said, we've had to make other changes to the way we conduct the business of the AGM today. And immediately before this broadcast, we held a closed meeting in order to consider the business set out in the notice of meeting. I'm pleased to say that together with all your votes that were received in advance, all resolutions were passed, and the results will be available on our website later today.

Immediately after the conclusion of this meeting, we'll hold a general meeting on a single resolution recommending an increase of our borrowing limits in order to give us greater flexibility at this time. We do not have plans to borrow out of this limit. But in a time of uncertainty, we believe it is prudent to create headroom to give management flexibility to act as necessary. Your Board believes that the resolution being proposed at this general meeting is in the best interest of the company and its shareholders as a whole. And the Directors have voted in favor of this resolution. Details of the outcome of that meeting, which will also be closed, will be posted on our website later today as well.

Traditionally at this point, I'd introduce you to your Board, but for obvious reasons, they are not physically with me today. I'd like to welcome Dame Angela Strank to your Board. She joined us at the start of this month and will be a member of the Nominations and Governance Committee, the Safety, Ethics and Sustainability Committee and The Science and Technology Committee. Dame Angela is currently Chief Scientist and Head of Downstream Technology at BP and a member of their executive management team, although she will be retiring from BP by the end of this year.

During 2019, we announced the appointment of George Culmer as a Nonexecutive Director. He joined at the start of 2020 and is a member of the Nominations and Governance Committee, the Audit Committee and the Safety, Ethics and Sustainability Committee. A Chartered Accountant, George, was until recently Chief Financial Officer at Lloyds Banking Group, and is also the Senior Independent Director at Aviva.

During 2019, we were starting to see the departure of Ruth Cairnie as a Nonexecutive Director, following her appointment as Chair of Babcock International Group. Ruth made extraordinary contributions to the Board and to the group, not least in her role as Chairman of the Remuneration Committee.

Also in 2019, Brad Singer, a Partner and Chief Operating Officer of ValueAct Capital stepped down as a Nonexecutive Director. Since joining us in 2016, Brad had been an active member of the Board, offering a valued external perspective and helping us to drive progress in our efforts to transform Rolls-Royce. I'm sure all of you will join me in thanking both Ruth and Brad for their contributions over the years. They were also terrific colleagues and friends at the Rolls-Royce.

Lewis Booth will have completed 9 years on the Board this month and is stepping down as Chairman of the Audit Committee. However, the Board has approved that he will remain as an independent Nonexecutive Director and as an Audit Committee member, to provide continuity of support to Nick Luff as Nick takes over as Chairman of the Audit Committee.

The Board also approved the time extension for Sir Frank Chapman to remain as an independent Nonexecutive Director and as Chairman of The Safety, Ethics and Sustainability Committee, recognizing his significant support for our safety, ethics and sustainability agenda. Sir Frank Chapman would have completed his 9 years on the Board in November this year. I'm pleased to report to you that both Lewis Booth and Sir Frank Chapman will be remaining with us until next year's AGM at the latest.

I'll hand over to Warren in a moment, but first, I'd like to make a few introductory remarks. As I said earlier, these are exceptionally challenging times. The COVID pandemic has created a global shock, the full scale of which is still unfolding, especially the longer-term economic consequences on all countries, notably on government, finances and uneconomic growth. All our stakeholders are feeling the effects from customers, partners and suppliers to governments, employees, their families and you, our shareholders.

Your Board is receiving regular updates on the measures being taken by management to deal with the impact of the pandemic on Rolls-Royce. The primary impact has, of course, been on our civil aerospace business, which accounts for approximately half of the company. Anyone who raises their eye skywards will see the result of the grounding of airline fleets across the world. In April, the International Air Transport Association warned that global air traffic for 2020 could be 48% below 2019 levels. And as half the revenues we make in civil aerospace comes from engine-flying hours, fewer flights means less cash coming into our business.

We, like many executives in the broader aerospace sector, will be working with partners to ensure a successful and orderly restart of the industry. We must mitigate this impact whilst positioning ourselves to the future that will come. We have commenced a number of contingency measures in order to mitigate the impact on our 2020 financial performance, ensuring we can deal with a sudden short-term repercussions of the virus on our business. Warren will outline these measures in further detail in a moment.

We appreciate the swift action taken by governments across the world to support businesses, but we must also take difficult decisions ourselves to ensure that we endure this period and emerge strongly on the other side. And that will require support and sacrifices from all our stakeholders.

Given the rising level of uncertainty as to how the COVID situation will develop, your Board has decided not to recommend or make final payment to shareholders in respect of the 2019 final year. Your Board believes that in light of the uncertain macroeconomic outlook this is an appropriate and precautionary measure to take at this point as the group seeks to ensure an appropriate level of liquidity in the event of a prolonged reduction in trading activity. I'd like to thank all our shareholders for understanding why this is a prudent step to take at this time.

In order to bolster our financial resilience, our employees are seeing a 10% reduction in salaries. While senior management, including the executive team, have accepted a 20% reduction, which is being mirrored by your Board. The remuneration committee meanwhile will make full use of its discretion to amend any future executive awards under the group's long-term incentive plans to avoid any windfall gains caused by general stock market recovery, which is something I think all of us are hoping we will eventually see.

The exact shape of the future and to which we will emerge is still the subject of much debate and conjecture. However, it seems likely that this virus and its effect on the global economy will have a lasting

impact. The civil aerospace market will need to evolve and adapt in the years to come. And with the support of our stakeholders, we are confident that we can recover and continue to lead the way.

During this time, we've derived strength in the diversity of our business units. Our Power Systems business has been less significantly impacted and defence operations have proven resilient to the disruption.

You all heard me talk before about culture, about how making sure every employee can be at their best. It's so important to the success of the business. I can honestly say that the behaviors and dedication I have seen exhibited across Rolls-Royce during the last few weeks have made me feel very proud. All of us on the Board would like to thank our people for their dedication, support and effort at all times, but particularly in the current environment.

I will now hand over to Warren.

D. Warren A. East

CEO & Executive Director

Thank you, Ian. So as Ian has said and all of us joining online and not in person can see, these are exceptionally challenging times, not just for our business and the industries in which we operate, but for everyone. In this unprecedented period of uncertainty, we have rapidly adapted our business to safeguard its future for all of our stakeholders. We've implemented heightened safety procedures to protect our people who need to be in the workplace, whilst many others are working from home. We're also providing practical assistance to combat the impact of COVID-19 on the countries in which we operate.

In the U.K., for instance, we've put some of our manufacturing and supply chain expertise to use in the drive to increase the supply of ventilators for hospitals. In parallel, we have strengthened the financial resilience of the group to ensure that we are well positioned to weather them pandemic. We're working hard to mitigate the near-term disruption caused by COVID. We're making stronger progress than expected on our mitigating actions, giving us confidence that we can now deliver up to GBP 1 billion of savings this year. However, we must also take difficult but necessary decisions to ensure that the group emerges from this period with an appropriate cost base for what will be a smaller commercial aerospace market, which may take several years to recover.

I'm proud of the dedication and commitment of all of my colleagues and thankful for the continuing support of our shareholders and other stakeholders during this challenging time. But before we return to COVID-19, the first part of the business of this meeting for me is to report back to you, our shareholders, on the progress of Rolls-Royce in 2019. For those of you on the phone, the slides for my presentation are available on the website, and you can now follow this review of the year on Slides 4 to 8.

Starting on Slide 4. We ended 2019 with positive momentum, showing solid progress right across the group, thanks to a good finish to the year following a tough first half. We reported 25% growth in full year underlying operating profit and an encouraging level of free cash flow, over GBP 900 million, driven by higher profits, improved efficiency, and a reduction in inventory as the year progressed.

On to Slide 5. In 2019, we delivered a robust trading performance across all the divisions. Civil Aerospace improved its underlying profit significantly with record engine deliveries, good aftermarket performance and improved OE unit losses. In Power Systems, we saw revenues increase despite some tough end markets, with growth in power generation and market share gains in Asia. During the year, we also increased our services penetration, further capitalizing on more than 140,000 MTU engines that we have in use worldwide.

Defence performed well throughout the year despite a headwind from the adverse OE mix, another year with a very strong book-to-bill ratio meant another record order intake in Defence of GBP 5.3 billion. Alongside good operational performance, this produced a healthy cash flow.

2019 was a pivotal year for the resolution of our Trent 1000 engine durability challenges. We have made significant progress and have now achieved fixes for 8 out of the 9 issues. However, the engine's durability issues weighed heavily on 2019 in terms of financial cost of returning the fleet to the levels of service

that our customers expect and dealing with the unacceptable disruption that we've been causing them. As the year drew to a close, we carried out a detailed technical reevaluation of our progress on the final fix, a new high-pressure turbine blade for the Trent 1000 TEN. Based on this reevaluation and on our test activity, we reset the financial and operational expectations for the engine last November with a revised estimate of the final durability of the engine's high-pressure turbine blades. And this allowed us to provide certainty for our customers and greater clarity for investors. As a result of the Trent 1000 issues, and as announced in November, we recognized a net exceptional charge of the GBP 1.36 billion within our 2019 financial results, contributing to a reported loss of GBP 852 million for the year.

We're progressing well with the final new HP Turbine blade and have now started engine testing. Despite everything else that is currently happening, we continue to expect certification of this component in the first half of 2021. We've also now overhauled enough and spare engines and have spare engines such that once fitted, our aircraft on the ground reduces to about 10. And we remain on target to achieve single digits by the end of the second quarter of this year.

On to Slide 7. Our restructuring efforts gained momentum in 2019 with run rate cost savings of GBP 269 million, indirect headcount reduction followed the introduction of new processes, taking the cumulative net indirect headcount reduction to almost 3,000 of the 4,600 goal we set back in 2018 for 2020. I was very heartened by the performance and the behaviors that I saw within the business, particularly in the second half of last year. And that gave me increased confidence coming into 2020 that the changes we've been implementing over the past 2 years are indeed creating a tangible and sustainable cultural performance shift within our business.

Strategically, we've bolstered our ambitions to be a leader in low-carbon technologies during 2019. We acquired eAircraft, the electric and hybrid electric aerospace propulsion activities of Siemens. And that added new products and a team of specialist electrical designers and engineers to our portfolio as well as a handful of design wins. Late last year, we also unveiled the plane which will seek to break the speed record for an all-electric aircraft as part of our ACCEL program. Power Systems is, of course, already well advanced in the provision of low-carbon energy, such as hybrid propulsion systems for applications, including trains and yachts. During 2019, we signed customer contracts and framework agreements for hybrid solutions for both those markets. We're increasingly taking our expertise in power generation and integrating it with power management systems, renewable energy sources and battery technology. This will create microgrids that can deliver cleaner decentralized energy. Since October, we've been operating our own micro grid at Friedrichshafen. And during 2019, we received the first customer orders.

Early in 2020, we further enhanced our capabilities in this area with the acquisition of a majority holding in power storage specialist, Qinous. We also completed the sale of Commercial Marine and agreed the sale of our North America Civil Nuclear business in 2019.

For those of you on the phone now, I'm moving on to Slide 9. And at the time of our full year results at the end of February, the impact of COVID-19 was still evident predominantly in China. And we said it was a macro risk to our business but took the decision to provide guidance excluding COVID for 2020. This would provide a benchmark for the year ahead, upon which investors could build their models before considering their own assumptions of the impact of the disease. Since then, as we all know, there is almost no part of the world that has not been impacted. And the scale of the measures being brought in by governments to slow the spread of the virus is unprecedented. By the time we reported our results, we had a detail of the impact on flying hours into and out of and within China.

In March, however, we started to see flight restrictions being implemented in many more countries. And come April, airlines were grounding large proportions of their fleets. As a result, in early April, we withdrew our financial guidance for 2020. Due to the unprecedented reduction in air traffic caused by COVID, we're anticipating a significant net cash outflow during the second quarter, and it remains too early to guide on the likely outcome for the full year.

Slide 10. In terms of the impact seen so far, Civil Aerospace widebody engine-flying hours were approximately 40% lower in the first 4 months of the year. This reflected a fall of 90% in April as airlines right around the world have temporarily grounded large proportions of their fleets. As a result of this lower level of activity, we're now enacting a significant reduction in the volume of service visits in our

maintenance, repair and overhaul shops compared with our original plans. And consequently, now we expect MRO volumes in 2020 to be moderately below 2019 levels. Additionally, our airframer customers have reduced aircraft production rates. And as a result, we now expect to deliver about 250 engines in 2020, down from our previous guidance of 450 announced in February.

During this time, we do derive strength from the diversity of our business units, with almost half our sales coming from non-Civil Aerospace place end markets. Our Defence business continues to perform robustly. However, the impact of social distancing and elevated absence levels is presenting some operational challenges, particularly for some of our suppliers. We're closely monitoring our supply chain. We're taking actions, where possible, to mitigate the impact on our own productivity. Since our trading update in April, Power Systems has experienced a deterioration in demand due to the impact of COVID-19 on economic activity in our end markets. And in particular, we've seen our industrial end markets heavily impacted, especially mining and oil and gas. Service activity is also lower and several yacht production facilities have temporarily closed. Delays to construction projects has affected PowerGen demand also. However, as we look ahead, we anticipate a trend for higher data traffic to result in increased demand for mission-critical backup power for data centers. As a result, Power Systems' financial performance for 2020 is likely to be materially lower than it was in 2019, although we do still expect it to contribute positively to group profit and cash flows for the full year.

Slide 19 for -- Slide 11, sorry, for those of you on the phone. Throughout this outbreak, our top priority has been to do everything we can do to safeguard the lives and livelihoods of our people and to play our part in helping our customers, partners and communities. Proactive measures remain in place at all our facilities to help keep our people safe and minimize operational disruption, and they're aligned with local and national guidelines. These include remote working practices alongside workplace measures such as social distancing, enhanced hygiene procedures and modified shift patterns in our manufacturing facilities. This enables us to continue to serve our customers in these difficult times.

We're supporting our communities with whatever practical help we can offer. In the U.K., we're very proud to be a member of the VentilatorChallengeUK consortium, which is producing additional ventilators for the NHS. Our role is to lead the development and execution of a parallel supply chain to feed assembly lines for the Smiths paraPAC300 ventilator. In a little more than 1 month, we've established a new supply chain to deliver over 3.5 million parts with a team that includes project managers, manufacturing engineers, buyers, quality controllers, who've worked right around the clock. These parts are being delivered to production lines in the U.K. who are ramping up production of ventilators and will soon be producing at least 1,500 units a week.

Across Rolls-Royce, teams are using their skills in manufacturing techniques, including things like 3D printing to produce personal protective equipment, including over 10,000 face shields to help protect the local health care staff. One team in the U.K., working with medics and engineers at the technology manufacturing center, developed, tested and put into operation a shield to protect frontline staff from frequent exposure to aerosolized COVID-19, all in just 1 week. And these fast-make prototype activities were supported with funding from Innovate UK.

As a leading promoter of science, technology, engineering and mathematics, or STEM, activities designed to inspire the future generation, we are also playing our part in helping the many people who need to keep children excited and learning during these trying times. We've made a wide range of materials available on our website. These include things like lesson plans linked to the U.K.'s national curriculum on flight, electricity, recycling and green energy. These materials all use our all-electric ACCEL aircraft program as their starting point. We also have indoor learning activities available through our partnership with the Scout Association. Just last week, we published content from our digital academy offering our world-class digital training program to help people and businesses around the world learn new digital skills. Of course, it's available on our website range from bite-sized, hour-long sessions to fully certify training programs. Our R2 Data Labs team, meanwhile, has assembled a group of leading companies to collaborate on the Emergent Alliance. A selection of data analytics experts will combine traditional economic, business, travel and retail data sets with behavior and sentiment data and so as to provide insights that will support the global recovery from the pandemic.

Turning now to Slide 12. COVID-19 has caused significant disruption to the global aerospace industry with an unprecedented reduction in air traffic. And in order to mitigate the impact on our 2020 financial performance, we immediately implemented a number of contingency measures. In response to the change in outlook resulting from the global spread of COVID-19 and to ensure cash headroom in the event of a prolonged reduction in trading activity, we took a precautionary decision in March to draw fully on our GBP 2.5 billion revolving credit facility. An additional revolving credit facility of GBP 1.5 billion was also secured in April to bolster the group's liquidity position. This has now been increased to GBP 1.9 billion following the completion of discussions with a larger group of banks.

Notwithstanding our financial and liquidity position, as Ian said earlier, the Board decided that in the light of uncertain macro outlook, it would no longer recommend a final shareholder payment of 7.1p per share in respect to 2019. Now I understand this will be a disappointment to many of you, but it is the prudent thing to do. We've made better-than-anticipated progress with our self-help specific mitigation activities to further reduce our cash expenditure. We now expect to generate a cash flow benefit of up to GBP 1 billion this year. We're achieving this by minimizing discretionary costs, such as noncritical capital and expense capital projects, consulting and professional fees, ceasing all nonessential travel and postponing external recruitment. We've also introduced reduced working hours and removed overtime. We're reducing salary costs across our global workforce by 10% this year, subject to local legal requirements. Our senior managers, including the executive team, have taken an additional 10% pay cut. There has also been a corresponding reduction in fees for Nonexecutive Directors of the Board.

We've taken a number of immediate actions to adapt to the current market conditions, and we've reduced volume expectations, both original equipment production and maintenance, repair and overhaul activity. These include working with our supply chain to reduce direct procurement as well as placing over 4,000 of our own employees in the U.K. on furlough. We've pledged to ensure that they receive no less than 80% of their salary. And we will make up any difference beyond the government caps.

Looking ahead, the severity of the disruption caused by COVID is expected to lead to a smaller commercial aerospace market, which may take several years to recover. And as a result, we're actively pursuing changes to our business, particularly in Civil Aerospace, to better align to the medium-term market conditions. We're committed to working with our trade union and the employee representatives as well as our customers and suppliers as we adjust to the new outlook and establish a more appropriate cost base in order to secure our future for all stakeholders. We've promised to give our people further details of the impact of the current situation, on the size of our workforce before the end of the month, and we'll consult with affected employees in due course.

Finally, on Slide 13 now. Our strategic choices over the last few years, including streamlining our portfolio, investing in our management systems and building a culture of agility have helped us to respond quickly to COVID with the actions to mitigate the immediate impact. There's a lot of speculation about the exact shape of this recovery from the pandemic. And obviously, we've worked through a number of scenarios, but I firmly believe that flying is a societal good and will be one of the drivers of any global economic recovery. And once that recovery begins, the shape of our portfolio, the synergies between our different divisions will leave us well placed to capitalize on the long-term potential of our markets.

I firmly believe that the world on the other side of this pandemic will be even more focused on the provision of lower carbon, more sustainable power. And this plays very well to our strengths and our strategy. The transition to low-carbon power was always going to be an opportunity that we could seize through increasingly efficient engines and our world-class innovation, becoming a disruptor in new markets. Now those opportunities may come even sooner than we originally anticipated. We must, and we will emerge from this period ready to pioneer the power that matters.

Thank you. I'll now hand back to Ian.

Ian Edward Lamert Davis
Independent Chairman

Well, thanks, Warren. Traditionally, at this point, I would ask the questions from the floor. But this time, we requested that shareholders send us their questions in advance. And thank you to those of you that did.

I'll now read out those questions for the benefits of everyone watching and listening in, and Warren or I will address them. The first question is from Mr. [Ablaster]. It is, the current severe decline in civil aircraft utilization helps emphasize the importance of the B-52 reengineering program for the U.S. Air Force. Mr. East mentions this in his strategic report review on Page 8 of the annual report. Does he yet have any further news on this very important opportunity for the group? Warren?

Question and Answer

D. Warren A. East*CEO & Executive Director*

Yes, of course. So the U.S. Air Force is continuing to progress the reengineering of its fleet of B-52s with a new in-production commercial off-the-shelf engine. And we anticipate that a request for proposal will be issued very shortly in the coming weeks and a selection decision made by early 2021. And we will compete with our F130 engine, a variant of the commercial BR725 engine. Should we win, we will manufacture, assemble and test the F130 engines in our newly modernized facilities at Indianapolis. We consider the F130 to be a perfect fit for B-52. It's the right size, the right thrust and fuel efficiency, and it's a modern design with high reliability and a proven service record. Thanks, Ian.

Ian Edward Lamert Davis*Independent Chairman*

The next question is from Mr. [Neil,] who ask, to what extent does the Adour T-45, powering the Goshawk U.S. Navy pilot training aircraft figure in the company's accounts today?

In the 1970s to 1980s, I worked on the T-45 program in Darby, Bristol and Long Beach, ending up as Project Program Manager. I believe that T-45 is still going strong and contributing to Rolls-Royce's income, is this so?

D. Warren A. East*CEO & Executive Director*

Firstly, I'd like to thank you, Mr. [Neil,] and all your colleagues for the work put into the program. The enduring returns that we see from military programs over an extended period of time are one of the core characteristics of our Defence business. We continue to service and support the Adour engines, known as the F405 in the U.S., that power the U.S. Navy T-45 training fleet based at 2 military training sites in the Southern U.S., and this does indeed continue to provide us with a steady flow of service revenue into our Defence business. So thank you again.

Ian Edward Lamert Davis*Independent Chairman*

Turning to a question from Mr. Atkinson. When UltraFan engine goes into service, do you anticipate that it will be a niche product? Or will it have such a wide application that it will threaten the continued existence of other manufacturers? Again, Warren.

D. Warren A. East*CEO & Executive Director*

Yes, of course. UltraFan, as many of you know, is a demonstrator program for a whole suite of new technologies. It's not simply one single new engine. Those individual technologies will give us competitive advantages as well as options. Exactly how we use them and when we use them is not something, for obvious competitive reasons, that I'm going to talk about today. I'd also add that UltraFan is an important step towards lower carbon power. The architecture behind it is even more efficient than the Trent XWB, which, as I'm sure many of you know, is the world's most efficient, civil, large gas turbine engine in service today. Thank you.

Ian Edward Lamert Davis*Independent Chairman*

I have 3 questions from Hermes Investment Management. The first is when will Rolls-Royce publish company-specific metrics and targets for its key product areas that reflect the longer-term ambition for its role in the low-carbon transition and against which stakeholders can evaluate progress and impact? Warren, you want to take this one?

D. Warren A. East*CEO & Executive Director*

Sure. As part of our broader review of our sustainability strategy, we're reviewing sustainability targets this year with a particular view to replace those which expire at the end of 2020. We're proud to already have a leading target to reach net 0 emissions from our own operations and facilities by 2030. We're also committed to playing a leading role in enabling the vital sectors in which we operate to get to net 0 emissions by 2050. One of our key tasks is to articulate more clearly what this means, what the potential pathway, where we will -- the potential pathway that we'll take to reach net 0 emissions by 2050, including considering potential future targets. And we will provide more on this when we've completed the work.

Ian Edward Lamert Davis*Independent Chairman*

The second question is, will the company commit to advance climate disclosures over the next 2 reporting cycles with the aim that by 2022, it achieves material alignment with the intention of the TCFD and as per the 5-year implementation aim of the task force's recommendations. Warren?

D. Warren A. East*CEO & Executive Director*

Yes. We've taken steps to enhance our climate-related reporting over the past few years and to bring it in line with TCFD recommendations. This includes strengthening our related governance, including climate scenarios into our strategic planning processes and reviewing our treatment of climate-related risk. A further step in strengthening our reporting will be the consideration of product-related climate targets in relation to the above. Thank you for that question.

Ian Edward Lamert Davis*Independent Chairman*

Thanks, Warren. And I'd like to add a comment that it is reassuring to see that the desire for demonstrable action on climate change remains high on the agenda despite the immediate pressures of COVID-19 today. I was pleased to receive the statement from Hermes accompanying these questions submitted on behalf of the Climate Action 100+ investor coalition. This recognized the continued commitment Rolls-Royce has demonstrated in building the company's position and the school of thought on the necessary transition to a low-carbon economy. This is a topic I believe to be of the utmost importance.

And so the last of 3 questions from Hermes is, will the Remuneration Committee seek to include a climate metric or metrics in the variable pay plans of executive team. If so, what would the metrics be? And by when would the committee seek for these to be included?

Let me answer this one. The remuneration policy is being left deliberately open for the addition of further targets, with a particular expectation that we may introduce ESG-related targets in the future, particularly ones related to climate, in line with the sustainability review mentioned earlier.

Our next question is from Ms. [Nazari.] What is the time line on which the company is planning to convert all its aircraft into all-electric aircraft, given that a similar situation to the COVID-19 pandemic is bound to happen again if we do not take action quickly enough regarding the climate crisis. Warren, would you like to take this?

D. Warren A. East*CEO & Executive Director*

Yes, of course. Despite the immediate pressures of the COVID-19 crisis, the climate emergency hasn't waned. And we remain committed to playing a leading role in enabling the vital sectors in which we operate to get to net 0 emissions by 2050. There's no doubt that this must be a core part of the post-COVID recovery of aviation, in particular, but there won't be one single solution that will get us there. We must have a combination of technologies, including further improving engine efficiency and other

measures such as the increased use of sustainable lower carbon fuels to achieve that. Electrification will play an important part, particularly in the smaller end of the market. And here we expect to attempt to break the world's speed record with a fully electric single seater plane this year, and we expect to introduce our first certified propulsion unit for 2- to 4-seater aircraft to the market by 2023, the technologies that we're developing for these smaller aircraft and then we scaled up and applied over time into larger aircraft, particularly regional. And at the larger end of the market, particularly for widebody long-haul flights, we don't yet see a viable technological pathway for fully electric flight. But we do anticipate there will be more electric planes, perhaps with some form of hybrid technology, but more likely using fuel sources that are not fossil fuel based. And these technologies will take time to bring to market and must be supported by the right policy environment that ensures that they really are sustainable and don't compromise product safety. We remain confident in our ultimate goals that aviation can be compatible with a net 0 carbon future by 2050. Thank you for that question.

Ian Edward Lamert Davis

Independent Chairman

Now to a question from Ms. [Brand] from CCLA Investment Management on behalf of the coalition of investors with assets under management of approximately GBP 2.2 trillion. While we fully appreciate the extraordinary pressures that you are under at present, we would urge you to address the threat posed by COVID-19 to the mental health of your workforce and the risk it poses to the overall sustainability of your business. We are encouraging businesses to develop a specific mental health action plan during COVID-19 for all your employees and would welcome hearing your approach.

Thank you for this question. I'll take this on myself. I think all of us have, to some extent, been feeling the strain that these unprecedented times. It's particularly hard to those while self isolating or spending an extensive amount of time within their homes and away from colleagues, friends and family. This is a very necessary precaution, but it does not make it any easier. Your Board is acutely aware of the impact of the virus on people's mental health. We've been regularly updating

[Audio Gap]

by management on the advice and resources being offered through internal communications to our people. We also have mechanisms in place, which enable us to keep in touch with our people on furlough. Ultimately, however, it is a job of all our managers to make sure they remain close to their teams, that they emphasize with those who are feeling anxious right now and that for one of a better phrase, they keep everyone's morale up. As just one example, I know Warren has been made a personal video every week to make sure he can connect with as many people as possible and provide as much reassurance as he can.

The next question is from Mr. Hamilton, who asks, in view of the fact that inequality is widely recognized as one of the greatest evils in the U.K., is it not time that the remuneration of directors and senior staff is substantially reduced?

Well, Mr. Hamilton, the remuneration committee maintains a very close watch on levels of executive pay in order to ensure that we can attract and retain the people that we need. You'll see on pages 14 and 15 of the annual report, the very clear links between our key performance indicators and remuneration. As you will also see in the report of the committee from Page 85, we've always taken a careful approach to executive reward. After the third year running, the committee has not proposed any changes in quantum for existing Executive Directors.

I'll return to this topic with the next question, which comes from Mr. [Shepherd], who asked, the company has recently said it is anticipating losing a lot of orders in the face of possible reduction in travel and, therefore, a reduction in the need for aircraft. As a consequence, it has been -- it has warned as likely to be redundancies. Presumably, the members of the Board will be reduced pro rata, and all of them will be very happy considering their need to receive the full amount of our remuneration expenses. Perhaps already, they are only taking 80% of their remuneration and expenses to show sympathy with those who have been furloughed.

Thank you for the question. As we said in the trading update in April, we have already reduced the salaries of our senior management, including the executive team by 20%. There's been a corresponding reduction in fees for Nonexecutive Directors.

The penultimate question comes from Mr. [Cunningham,] who says, you will not need me to tell you that the impact of COVID-19 on the airline industry is devastating. All areas will have to take their share of the pain. But what concerns me is that the capability of the company to design, develop and certificate a comprehensive large engine will be lost forever. It must already be diminished. It is this engineering competence that is only possessed by the 3 large aero engine companies. However, what concerns me is that there is no one on the Board who really understands how the commercial airline industry works. So I urge you to find somebody who can fulfill that role on the Board and not only listen to them, but be mindful that for the long term, engineering capability will be key to a successful future, not just technology.

Thank you for the question. Your Board is very mindful of understanding the needs of the airline industry, and we receive regular insights from the leadership within our Civil Aerospace business, which retains incredibly close size not only with the airframers, but within the airline industry as a whole. As to your broader point, we're also very mindful of the need to protect Rolls-Royce's ability to innovate. And the Board has extensive experience of engineering as well as technology and indeed as well in the aerospace sector as well, contrary to what you claim. Several of our members on the Board are chartered engineers. And together, we collectively have many decades of experience, perhaps more than some of us who care to admit, within companies engaged in high-value manufacturing, advanced engineering, safety critical technology as well as airlines. I believe your Board is very well-qualified and versed in both engineering and technology.

Last question comes from Mr. Barton. As it's been very impressive how skills and capabilities are being used to benefit society with ventilators, face masks and the like, given this ability to step up and do something different successfully in a crisis, what are your thoughts around repurposing some of our people and facilities currently involved in this civil aero work to enter a new line of business for Rolls-Royce in an area of post-COVID that will have a demand. Perhaps medical equipment or electrical power. This could be a temporary venture to bridge a slump in air travel. And if it proves really successful, it could be continued with also. Warren, do you want to take those on?

D. Warren A. East
CEO & Executive Director

Yes, with pleasure. Interestingly, a few weeks ago, I visited the team working in Darby to support our work on ventilators. And obviously, I was maintaining the appropriate social distance, but I was particularly impressed by the entrepreneurial spirit shown by the team. It's very unlikely that on the other side of the pandemic, Rolls-Royce will be going into the medical devices business. However, the behaviors that I saw on display, the agile way in which the people were problem-solving and the collaboration with multiple teams are exactly what we've been driving for across the company and are exactly what will help us get through this challenging period.

This isn't a crisis of our making, but it's a crisis that we do face, and I've been very impressed with the way that colleagues across the group are tackling it. In reality, it's almost certainly the darkest hour for our whole company since the 1970s. Thanks to much hard work from all of our people, including some of the difficult changes we've made over the last few years, we are a much stronger company today than we were then.

COVID-19 pandemic has shown that we derive strength from the diversity of our group. Rolls-Royce stands upon 3 legs, not just one. Our Defence and Power Systems businesses have always had close links with our Civil Aerospace business. Defence has benefited from civil's work in gas turbines and has civil products in use with defence customers, such as the MT30 naval gas turbine engine. Power Systems has learned a lot from civil about data collection and creating aftermarket services. And civil and defence have both been able to learn from Power Systems' experience in hybrid electrical systems. Power Systems has hybrid electrical products in service with customers right now and is learning valuable lessons that can be drawn upon that from -- for the rest of the group.

On the other side of this pandemic, the world will have the need for vital power that we produce. And I firmly believe that the call for that vital power to be lower carbon will be strong. And this plays to our strengths and strategy. And we've emerged from troubled times before to achieve incredible things, and we will definitely do so again. Thank you.

Ian Edward Lamert Davis

Independent Chairman

Thanks, Warren. There are no more questions to address. So I'd like to draw this meeting to a close. Thank you all for joining us today. All of us on your Board are sorry that we've not been able to meet in person as we usually do at this time of year. As I said earlier, as the situation becomes clearer over the coming months, we will explore ways in which we can offer you an opportunity to engage in person with us, perhaps in the autumn. In the meantime, thank you for your continued support and stay safe in these unprecedented times.

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Rolls-Royce Holdings plc LSE:RR.

FY 2019 Earnings Call Transcripts

Friday, February 28, 2020 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2019-			-FY 2020-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.15	0.16	▲6.67	0.27
Revenue (mm)	15409.32	15450.00	▲0.26	15402.50

Currency: GBP

Consensus as of Feb-28-2020 8:25 AM GMT

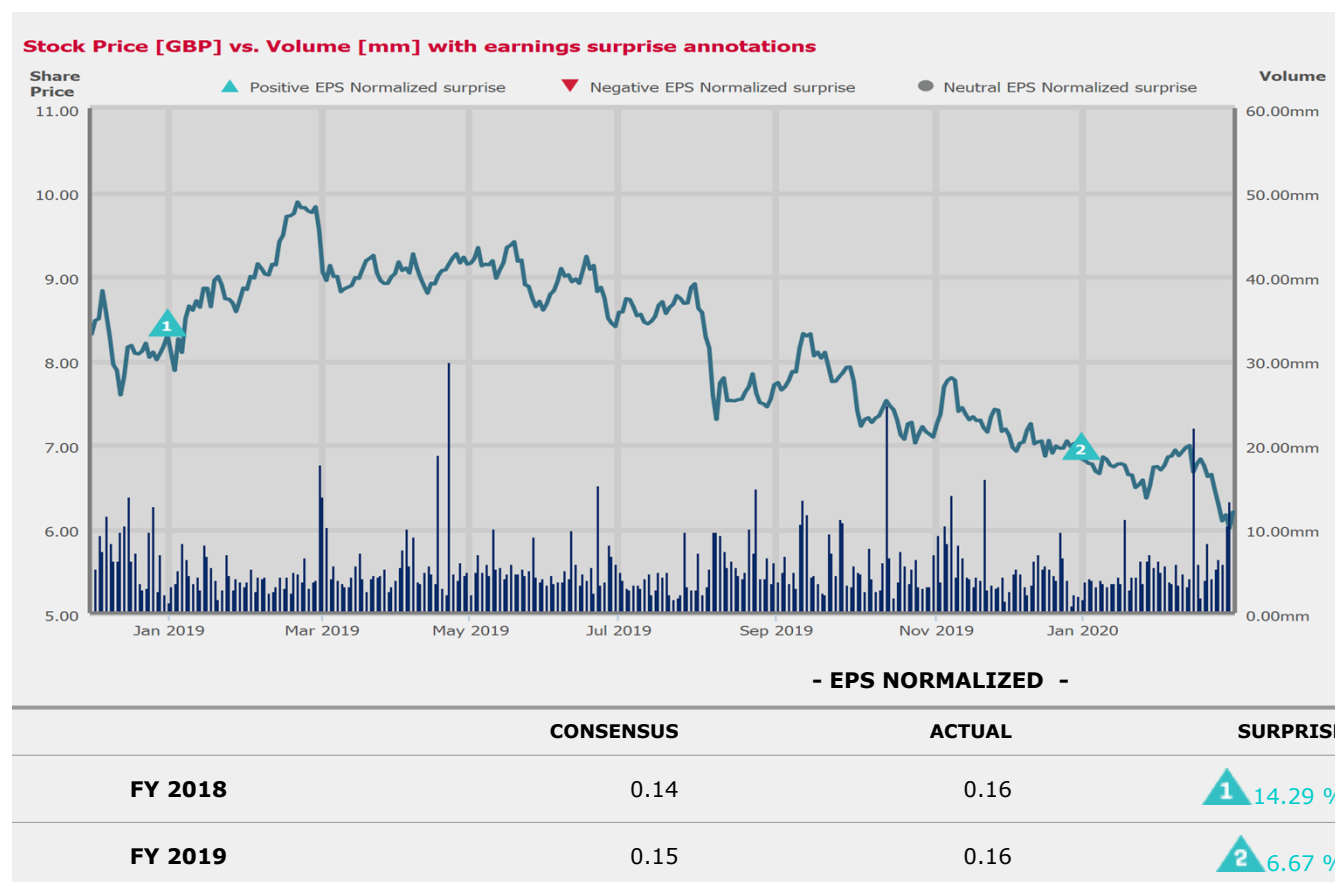


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Presentation

Peter Lapthorn; Investor Relations Manager

Hey, good morning, everyone, and thank you for joining us here at the London Stock Exchange, and for those of you joining online. My name is Peter Lapthorn. I work in the Investor Relations team here at Rolls-Royce, and it's my pleasure to welcome you to our 2019 results.

The agenda for today's presentation is that our CEO, Warren East, will give an overview of the year's performance and some of the strategic highlights. And then our CFO, Stephen Daintith, will take you through some of the more detailed financials. Warren will then wrap up and give his view for the year ahead as well as the longer-term outlook.

Our presentation is expected to take around 50 minutes, and then we'll have time for Q&A, both from the audience and here online -- and online. You can do online questions through the webcast services.

Finally, can I ask you to switch off mobile phones? We are not expecting any drills today. So if you do hear an alarm, please exit in an orderly manner.

I think that's all of the safe harbor and the boring stuff out of the way. So with that, I will hand over to Warren East.

D. Warren A. East *CEO & Executive Director*

Thank you, Peter. Good morning, everybody. Thank you for coming along. I hope you enjoyed the video rolling while you're having coffee and pastries out there, a little bit of subliminal messaging. And the picture of the electric plane on the front cover of the little handouts we've got there, we're just 1 quarter away from flying that now. So some exciting highlights to come in the year ahead. But before we get there, I'm going to talk about 2019 to start with.

So here's a summary, and we're very pleased that we ended up with very strong progress across the group. We ended up with a strong finish to the year. It was a tough first half in 2019, but we saw very encouraging behavior changes around the group. And we could really see the effects of the transformation that has been ongoing within the company in some of the behaviors, which were necessary to drive that performance into the end of the year. So very pleasing to have an underlying operating profit strongly up, and that is really what's underpinning the quality of that cash flow number that's delivered as well. We have as a Board held payments to shareholders. There are some environmental risks out there, which I'll be talking about in a little while. But in summary, a strong set of results.

Because 2019 was a year of delivery. In 2019, we delivered strong trading performance. We delivered significant progress on the Trent 1000. Trent 1000 has dominated a lot of the conversation about Rolls-Royce for the last 18 months. But actually, underneath that, and I'll show you a slide in a few moments, we've had some excellent progress on that. Restructuring has been going on for a little while. But again, we've continued with the progress on that. We've continued with delivering on portfolio simplification, and we've delivered on our forward-looking strategy to capitalize on the upcoming energy transition and the journey to low carbon for the world at large. I'm very pleased with the momentum that we established, particularly in the second half of the year, particularly in Q4, particularly around the behaviors of our people. And that momentum has carried forward into 2020, and that underpins our confidence in 2020.

Stepping back and looking at the market environments, I'm just going to go around the 3 key areas of our business. So in civil aerospace, which is half of our business, we continue to build our installed base. It's now over 5,000 large wide-body engines. Passenger air traffic demand has settled back to a steady state rate. We have had a few years of some quite superior growth, but it is, in 2019, more of a steady state, long-term trend. Build rates from airframers were adjusted during 2019, and as a consequence, our forward-looking projections of build rates for large wide-body engines has changed. In some ways, I think this build rate adjustment from the airframers has alleviated somewhat the concerns which were growing

in the industry about oversupply. And so that's actually quite a positive thing from a market environment point of view, and of course, it's led by what's effectively been slower-than-anticipated retirements over recent years of older aircraft. And I've got a little picture later showing pictures about retirements and so on.

In our Power Systems business and the sector there, we have had a cyclical downturn in the markets served by our Power Systems business, particularly following a pull forward a year or so ago from some of the traditional markets. However, from our point of view, we've seen encouraging growth opportunities in new applications and new geographic regions.

Defence, in our Defence business, after several years of pause, we're now seeing new programs coming through from the key Defence customers, particularly the U.S. Department of Defense and here in Europe with the U.K. Ministry of Defence as well. And so the new programs are getting closer in the Defence environment.

Down at the bottom of the slide here, we're on our journey towards 0 net carbon. And across all of our markets, our customers, we found in 2019, getting much, much more receptive to our thoughts on this. And we're pleased to have, I think, established in 2019 a position of thought leadership.

Before I go into detail of the business, I'll just build on that last point. Thought leadership in terms of leading a trend within our industry towards 0 carbon, taking the responsibility that we need to take for this, and that's in products that face up to the market. It's in the underlying technologies which feed those products, where we've seen great acceleration in our capabilities around electrification, for instance. We've seen progress on nuclear reactors with small modular nuclear reactors, a great source of 0 carbon electrical power. And we've seen a lot more industry engagement in the reality that the world needs to solve the synthetic, sustainable fuel challenge ahead.

Little bit of practicing what we preach on the bottom of the slide here for our own operations. This is a picture of our site in Friedrichshafen, where we have installed a microgrid. We're starting to sell microgrids, but we've installed our own microgrid, and this solar-powered microgrid is generating about 30% of the energy requirements for our plant in Friedrichshafen. Enough of the future for the time being.

I'll now have a quick update on what's been going on in the business. So in our Civil Aerospace business, we've seen a year of sustaining improvement in underlying operating profit. If you look, that's been happening over the last several years, and 2019 was no exception, a significant increase in underlying operating profit in our Civil business driven by the usual drivers that we've been tracking for the last several years. Customer confidence is pretty good as well. So from a forward-looking point of view, from orders coming in through the door, approximately nearly, they're [using] 2/3 of widebody new orders in 2019 coming to Rolls-Royce. From an operational point of view, our operations are getting into much better shape. We're improving performance there, improving stability, improving cycle times, and generally improving performance. It's not just about our wide-body engines in civil aerospace. We do have some exciting programs in business aviation as well. And in 2018, we launched the Pearl family of engines. The first Pearl family engine entered into service in 2019, and the second Pearl family engine was launched in 2019. That's going to power the new Gulfstream aircraft.

In Power Systems, I mentioned from a market point of view, there's a bit of a downturn in the sector served by our Power Systems business. And so we were encouraged to be able to grow our business into that environment, grow our business at the top line and grow the profitability of our business. And how do we do that? Well, we did that through targeting new applications, the newer applications, particularly strong in mission-critical power, backup power, and also by pushing hard on developing our business in what's new geographic regions for us and particularly in China. And it was great on some of the new technologies as well, to see progress on things like microgrids and hybrids. And that hybrid, I'll probably come back to a bit later in the presentation. But in the space of 2.5 years, we've gone from concept to proposal to MOU to order to, in the next several months, delivery of Hybrid Rail PowerPacks. So very solid progress from our Power Systems business.

Defence. Defence, the standouts for 2019 in Defence was about orders, another year of record book-to-bill, taking our order book to a record level as well. And it was another good year for delivery of cash. In

the background, I mentioned we're getting closer to those new programs. So actually, our R&D is going up a bit. So you will see the margins coming off a bit over the next couple of years in Defence, but we're capping off a period of 4 to 5 years of building the order book. And over the last 5 years, book-to-bill has been above 1x. And so our future in Defence, particularly driven by some of the service contracts, is in -- looking like very good shape.

Now I know that everybody wants to hear a bit more about Civil than they do about Defence and Power Systems, so we're going to have a couple of deep dives on Civil. I can't stand here and not talk about Trent 1000. Obviously, we did a little bit of an update in November. And in the results announcement this morning, you will see no change from what we announced in December. No change in terms of projected return of AOGs to single digits, no change in exceptional costs and so on.

During the year, we made some pretty good progress, good progress in actively managing the situation, continuing to extend our MRO capability and our MRO capacity. And we are confident that, that GBP 578 million of cash cost in 2019 is the peak year of cash costs for Trent 1000. So we are beyond that peak. As we look forward in 2020 to single-digit position around the midyear, then we'll be underpinning that with more spare engines as we announced in November.

On the histogram here on the bottom of the chart is about just that reduction in aircraft on ground. And you'll see in 2019, we had to take a step back, and we took a step back proactively by -- because we needed to pull forward a replacement of intermediate pressure turbine blades on one of the variants of the engine. And having originally generated indigestion in our MRO network and having been eating off some of the indigestion, we then generated [the load] more and so pushed the AOGs down again, and that effectively pushed out the period when we'd get back to single digits. But there has been no further deterioration on that since we announced that in Q4 last year, so we're currently sitting around the mid-30s in terms of disruption.

This slide is an update of the slide that we showed in November, which summarizes the 3 engine [marks] for Trent 1000 and the 3 key issues, and we are now in a position of 8 out of 9 of the design changes are done. We've got one there, the Pack B IP compressor waiting to be certified. There's no change to that design. We're totally confident that, that will get certified. It's simply a question of priorities in terms of the fact that that's the last one. Other than the final box over there, where, as we said in November, the design work for the high-pressure turbine blade on the TEN, that's still underway. As I stand here this morning, I'm a lot more confident than I was last November about that design work. It's progressing well. And in the coming weeks, we will be running an engine with that new design. We'll be going to type test, and hopefully, then on to certification.

The chart has been updated, though with these little pies to show that it isn't just about doing the designs, it's about rolling those designs into the fleet. That's what minimizes the disruption and ensures a healthy fleet. And the pies on the left in each box, a snapshot of where we were 12 months ago, and the pies on the right in each box represent where we are today in terms of rolling those fixes into the fleet. So I hope you get a sense of momentum here of how the fleet is getting healthier as we go.

So moving on, it isn't all about Trent 1000. Trent XWB has now reached 5 years in service. And the leading engines are surpassing our expectations in terms of durability, in terms of performance. It's our most reliable engine, and its efficiency holds up very well in service. So the airlines love it. And actually, the customers love flying on the airplane as well. The 350 is a great airplane.

Points on the XWB. It's today just over 10% of our installed fleet, but it's approximately half of our wide-body deliveries. And it's on a journey to be around 1/3 of our fleet in the mid-term. So this is a very important engine for us. So it's very important that it has an outstanding record of performance.

There are other programs as well. I've already talked about the Trent 1000. Trent 700 is still our largest volume. It's 1/3 of our fleet nearly. It's the major workhorse of the Trent fleet. We've seen great progress over the years in extending the time on wing for the Trent 700, and so it's a little bit of a benchmark and barometer for the newer engines that are coming along behind. And it's an auspicious day today because it's 25 years to the day that the first Trent engine went into service. It was a Trent 700 25 years ago on the 28th of February, and it's still going strong after 25 years.

At the newer end of the spectrum, Trent 7000, and we put this up because the Trent 700 powers the A330, the Trent 7000 powers the A30 -- A330neo. And we're putting all the lessons we've learned from the Trent 1000 into that engine. It is based on the same architecture as the Trent 1000 TEN. But putting all the lessons in, then we are confident in the performance of that engine.

Looking a little bit further forward at our installed base because it's the size of our installed base that underpins the medium-term business confidence. And the size of our installed base is about new airplanes going in, it's about older airplanes retiring. And this chart shows that actually, if you look at the older airplanes that are going to retire, i.e., the ones on the left-hand side of the slide at the bottom, it's dominated by our competitors. And at the right-hand side of the slide, the present day, you see our market share. And you recall, our market share in terms of orders, approximately 2/3 of the orders in the last 12 months, for instance. So we think we are well positioned through this retirement cycle that is going to be coming up over the next several years, well positioned to continue to grow our market share, and that underpins the installed base.

Enough of deep dive on civil. By the way, the clock in the bottom -- in the back of the room, guys, has stopped working at 9:07. So I've just realized that it's actually 20 past 9. So sorry about that. We're now going to move on to -- I thought, blimey, it's going slowly. Change and transformation. Change and transformation is at the heart of creating a higher performance business, which is capable of delivering quality results. And over the last 18 months or so, we've seen great change in the management. We've seen change in pace. We've seen change in process and the development of a forward-looking strategy. So we now have a very different business than we had a few years ago to face the challenges that are around today.

Just recapping some of what we talked about on the Capital Markets Day in 2018. We talked about simplifying our organization structure, streamlining processes and investing in automation to enable our people. So during '18, we sorted out the structure. During '19, we made great strides in terms of reducing process, removing duplication and installing automation to enable our people. And that's carrying on in 2020. So A&M are continuing to help us to actually deliver the benefits of this transformation. But basically, we are on track for what we set out at the Capital Markets Day, delivering what we said we were going to deliver, and that's measured in some ways by achieving run rate savings. And if I look, for instance, some specifics, product change process and end-to-end digital design, that sort of reduction in engineering hours, that sort of improvement in productivity is baked into our plans. And that frees up resource to concentrate on the future. And I talked about improvements in our operations earlier. There's a focus area there, and I think other good indications are the change in trajectory of that inventory that we saw halfway through the year, demonstrating a sharpening up in our operations. And in our service business, we've had to grow our MRO capacity. But the good news is we're growing our MRO capacity faster than our investment in MRO because we're getting better and smarter at doing it.

So improved productivity across all these 3 areas, and these are the fundamental 3 areas that make our business tick, we're either developing this stuff or we're building this stuff or we're looking after it when it's in service. And why are we doing all that? Well, we're doing it to position our business for the future. At the Capital Markets Day, we talked about bending the cost curve, and this is a focus on R&D, for instance, but bending the cost curve, reducing the cost as a percentage of sales. So in the R&D domain, that means effectively keeping our R&D flat as the sales grows. And within that fixed envelope, you can see here how we're tilting the amount of money spent towards future-looking technologies. So that's why we're doing this transformation so that we can position the business -- we can deliver the business performance and position ourselves for the future.

So with that, I'm going to hand over to Stephen to talk about our 2019 numbers in a bit more depth.

Stephen Wayne Daintith

CFO & Executive Director

Thank you, Warren. Good morning, everybody. So I'm going to take you through the full year results, give an update on the key drivers that we first highlighted back in the middle of 2018 at our Capital Markets Day, then we'll go through a quick review of each business, and then we'll go into guidance for 2020. So just running through these.

So at a glance. We gave ourselves a lot to do in the second half, but with the -- we're pleased to be reporting today a strong underlying operating profit growth of 25%. And what's most encouraging about this, this is the core driver of the growth in our free cash flow, and we'll see that again in 2020.

Moving on to free cash flow, GBP 911 million. So driven by that growth in profits. And especially strong performance in the Civil Aerospace aftermarket. We're going to see shortly the Civil aftermarket cash margin and how that's developed over the last couple of years. We also received, very late in the year, some insurance receipts in respect of insurance that we had in respect of grounding of our wide-body engine fleet, and we could claim against that on the Trent 1000. At the -- we have been negotiating these for well over 12 months, this particular insurance arrangement. And we reached the conclusion of those negotiations towards the end of the year. And hence, the receipts, which arrived in right at the very end of the year as well. So at the halfway through the year, limited visibility around that and not much certainty.

Civil Aerospace. We saw a strong improvement in operating profit in Civil Aerospace as well. It's the first time that we've seen profit in Civil under IFRS 15. As a reminder, that came in at the start of 2018, we no longer capitalize the losses on the OE sales. And so very encouraged to move to operating profit in civil aerospace.

And finally, gross debt reduction. We reduced our gross debt by GBP 1.1 billion. Reporting today a net cash position, this improved to GBP 1.4 billion. An important priority for us. We'll come into the details a little later, to strengthen our balance sheet and return to a single A rating.

Let's go to the revenue slide. Revenue business by business. Our delivery in 2019 was in line or better than guidance for every business. I won't go through the exact numbers, but you can see there in the blue just to the right of center, what we guided a year ago. And then the middle there, the growth for each business. Really solid growth in Civil Aerospace, 10% growth driven by both OE and aftermarket. Strong growth in Power Systems, and we'll go into the detail, in a challenging market. Defence growth, in line with guidance. And good growth in ITP, which we'll go through shortly when we go through the business reviews, but largely driven by increase in Civil Aerospace volumes.

Moving on to profit, and there's the profit profile for each business in 2019. And again, margin guidance that we gave a year ago met or exceeded in every business. A relatively modest margin in Civil Aerospace, but moving into profitability. Power Systems back into double-digit territory. Defence, increased investments in R&D, as Warren mentioned, causing that drag. And ITP, good improvements in margin in ITP, largely around our simplifying of the contractual relationship between ITP and Civil Aerospace, with ITP very much now as a full-fledged member of the group and very much a traditional parts supplier to Rolls-Royce. And we simplified those contracts there. So good performance in operating profit and a strong performance in particular into the year-end, especially in Power Systems that delivered on much of the projects that have been built up during the course of 2019.

Moving on to free cash flow. So we had a strong end to 2019 following a challenging first half, and just 3 or 4 items here to just call out that helped us deliver this good free cash flow. Inventory reduction. We'll go through the detail very shortly, but a very significant inventory reduction in the final quarter. Disciplined spend control as well. You'll see that today we're reporting C&A costs down 4% year-on-year. That was another good achievement, largely around discipline around discretionary spend. Capital expenditure was also down year-on-year, and good discipline there as well, but driven largely by some large projects coming to their conclusion during the course of the year, and I'll go through that detail. And as I just mentioned, the Trent 1000, we secured those insurance receipts. What's not included in this list is a strong Civil aftermarket performance as well in the second half, and we'll see that when we go into the details of the long-term contract creditor and how that moved year-on-year. We also saw in our cash flow an improved quality as well. There's a materially lower contribution from net receivables/payables, still a large contribution, but materially lower than last year, and I'll talk about that in a second.

Cash return on invested capital was stable at 12% and that's despite our R&D investment being at the highest levels of cash spend of GBP 1.1 billion per annum. And the chart down the bottom shows a material free cash flow improvement from the low base of 2016 when we were generating just GBP 100 million of free cash flow. So bear that GBP 800 million improvement in mind, which I'm going to come to as we go through the cash drivers of performance that we first highlighted in the middle of 2018.

So when we look at those drivers of cash flow, and we break them down, looking at our summary funds flow statement, looking at the balance sheet movements, tying that in with operating profit, here is the composition of our free cash flow improvement of GBP 305 million. And what's most encouraging is that GBP 507 million of that was driven by operational cash flow improvement: increased operating profit; the growth in the Civil deferred revenue balance, that long-term service agreement creditor on the balance sheet represents deferred revenue cash receipts that haven't been traded through the P&L account; and then lower CapEx as certain large projects have come to a conclusion. R&D cash spend is stable, so it's not through any reduction in R&D that these numbers are being delivered.

A lower working capital contribution of GBP 50 million is a headwind. And the peak year for the Trent 1000 costs of GBP 152 million is also a headwind, and that includes the insurance receipts as well. So you put all that together, you get to your GBP 305 million. And it's color-coded there, which matches this next table, which goes through the summary funds flow statement itself to show you how we've allocated the individual lines to deliver those numbers. So that's how the maths all works.

Working capital improvements. Now just on this one as well because it does attract a lot of attention, and often it's regarded as always bad, which is far from the case. First of all, in the second half, we saw a GBP 390 million reduction in inventory. That was the task that we had ahead of us at the half year after that big build of inventory in the first half of the year. Civil Aerospace and Power Systems had particularly strong fourth quarters. There's been a tight focus on supply chain management that will continue through 2020. The buffer inventory that we built up on the Series 1600 in Power Systems, as that production moves to India, that will start to unwind. The sales and operations planning process in Civil Aerospace. I think I've mentioned previously, a lot of room for improvement there. We're starting to see the signs of improvement, it's taking place more regularly with a smaller number of people perversely working a lot better than all the various committees that often cause complications there, but that's a lot more efficient as well, and that's helping drive that inventory improvement. We expect to see the vast majority of working capital contribution in 2020 from further inventory reductions.

We have just over GBP 4 billion of inventory on our balance sheet, about half of that is in finished goods, which ought to flow through quite quickly. There was a GBP 574 million increase in net receivables and payables. Our Defence business had a very good year for cash flow generation, driven by that strong order book intake of just over GBP 5 billion and GBP 200 million contribution towards that GBP 574 million. And then another example here of what I regard as good working capital management, a more disciplined collection of overdue debts, reducing those from 20% to 15% of trade debtors. And driving that GBP 130 million contribution. So don't be surprised that there's more of this in future years. There should be. This is good, healthy discipline. And these are what I would regard as durable working capital improvements.

So putting this together, we have a significantly improved cash position at the year-end. We have year-end net cash of GBP 1.4 billion. That's led by that group free cash flow number of GBP 873 million. Of course, we received the Commercial Marine and Power Development proceeds in aggregate of GBP 453 million. There was a GBP 1.1 billion reduction in gross debt as we repaid the GBP 500 million bond and then the EIB loan as well. We have one maturity in 2020 of \$500 million bond in the second half of the year, and we'll consider whether to refinance or retire that bond in due course. That gives us, together with the cash that we have in our revolving facility of GBP 2.5 billion, that gives us almost GBP 7 billion of liquidity. We do, though, have a credit rating challenge right now, given where we are, and we have a strong ambition to return to a single A rating. We highlighted this as a strategic priority for us in 2018, and it remains, and we are very much determined and focused to get back to that rating. It will be around operational delivery and delivering the Trent 1000 fixes and demonstrating that we've retired that risk.

So the progress on the key levers. These are the 3 key levers of cash flow growth that we first highlighted in 2018 at our Capital Markets Day, and they remain as true today as they were then, and they will be for the next 5 years as well. So what are they? First of all, reducing the loss on our OE wide-body deliveries. There was a further improvement in the year of around GBP 200,000 per engine in the reduction of the loss. The XWB-84 leads the average loss reduction. There's been a GBP 400,000 improvement per engine since 2017, which was the base year that we're comparing against from when we first unveiled these drivers in 2018. So let's just use 500 engines, GBP 400,000 improvement per engine, that's around a GBP 200 million improvement from this particular initiative.

The wide-body aftermarket cash margin delivered a further GBP 300 million improvement, moving from GBP 1.6 billion to GBP 1.9 billion aftermarket cash margin. That's a GBP 500 million increase since the -- over the 2017 base. It's worth reminding ourselves as well that in 2018, our 2022 goal for the aftermarket cash margin was GBP 2 billion. And we're already at GBP 1.9 billion. This should grow further as aftermarket flying hours grow, but also as we extend time on wing and the gaps between shop visits as well, a core priority for us in Civil Aerospace.

And then finally, bending the fixed cost curve on the right-hand side there, and this is the aggregate of commercial and admin costs, R&D and CapEx put together. Right now, we are 280 basis points lower as sales reduction during the course of the year, which in aggregate brings us to around 400 basis points lower since the 2017 base.

So put all that together, that's about GBP 100 million contribution there. So it's not -- the maths isn't quite exactly the same. But the point is if you add up the GBP 200 million, the GBP 500 million and the GBP 100 million from those 3 key drivers, you get to an GBP 800 million improvement over the last 2 years, which happens to conveniently be the free cash flow improvement as well, although they are -- there is a mixing of drinks a little bit here, but it gives you an idea of the direction and the contribution from these 3 key drivers.

Here's a bit more detail on the wide-body engine deliveries, 510 in 2019, a record year for deliveries. That's how the profile of losses has improved over the last 3 years in the top right there. Worth pointing out as well on the deliveries, the big pickup in volumes of the Trent 7000 in 2019 versus 2018. So very small, just 2% of the pie down there, Trent 7000. And on the right-hand side, 21% Trent 7000 deliveries. Just calling out on the left-hand side here, the Trent XWB-84, we saw a 22% reduction in OE losses. And by the end of next year, we expect the XWB-84 to be a breakeven engine.

The aftermarket cash margin has now moved from GBP 1.6 billion to GBP 1.9 billion. This is driven by -- on the -- above the horizontal line there is the cash coming in. That's just wide-body, 15.3 million engine flying hours, and then -- from the 5,000 installed engine base. And then down at the bottom there, are the costs that go out during the course of the year in respect of the major refurbishments. That's the scheduled every 5 years-or-so shop visits. The check and repair visits are the sort of more the case is sort of ad hoc depending on specific instances. And this one, for example, is where most of the Trent 1000 check and repair visits in respect of the issues that Warren ran through is going through that line in there, and then there's various other costs as well. So delivering ahead of our Capital Markets Day ambition, at GBP 1.9 billion, and within touching distance of the 2022 goal.

On the right-hand side there, the key drivers of growth, 7% engine flying hour growth in the year. Strong time and material growth as well. We'll see this shortly in the Civil Aerospace Profit and loss account, 14% growth. Yield improvements as well. And growth in pay at shop visits events. Now this is important. There are many of our customers who prefer to be paid at the shop visit rather than through the flying hour process. That has a higher yield per flying hour than had they just paid as the hours were generated, but it's an important dynamic.

This is an important slide, and it's a reminder of the trajectory that Rolls-Royce is on to become increasingly a services business. It's a reminder of our installed base. When you add up the Civil Aerospace installed base of 14,000 engines, the Power Systems installed base of 146,000 and then 16,000 in Defence, the 176,000 engines driving this service revenue. And you can see the makeup there of long-term service agreements, GBP 3.8 billion and other services of GBP 4.1 billion, growing at 13% and 8%, respectively. So now representing 52% of our revenues and a growing source of revenues with recurring, visible, higher-margin business. And so a lot more certainty around these revenues from this large installed base.

Key initiatives for us to drive higher returns: extending the time on wing in civil and defence aerospace, the point that I mentioned earlier, which will only help improve the aftermarket cash margin; optimizing repair technologies; and increasing use of digital capabilities, better predictability about the health of the engines and when they're going to be required to be serviced and how quickly to turn them around.

Bending the fixed cost curve. C&A costs were down 4% year-over-year. Capital expenditure was down GBP 158 million year-over-year, beating the guidance that we gave as those large projects came to completion. C&A costs, I've mentioned. You can see the charts there. Just as a reminder though, R&D is at its highest levels at just over GBP 1.1 billion of cash spend. And then you can see the progress that we've made as a percent of sales for each of those lines of the cost curve.

Trent 1000 in-service cash costs. 2019 is the peak year of those cash costs, gross cash costs of GBP 578 million before the benefit of that GBP 173 million of insurance receipts, and you can see the profile that we're expecting and guiding to over the next 3 or 4 years.

So a quick run through our businesses. Operating profit of GBP 44 million in Civil Aerospace, driven by wide-body OE -- sorry, driven by OE revenue growth of 4%, services growth of 14% in equal measure across LTSA and time and materials, still a very healthy source of high-margin business for us, delivering that 10% overall, driving gross profit improvement and subsequently the operating profit that we're reporting today.

Our Power Systems business. Good revenue growth in what are challenging markets. You'll see some of the others in this sector having -- reporting less -- much lower revenue growth than Power Systems has experienced. Good growth in Power Systems in power generation and good opportunity in China, where we see good progression there as well.

Our Defence business, pretty much as we guided. Underlying revenue broadly stable at just 1% growth, a little bit of a margin decline given that increased investments in research and development, but some good opportunities for that business in its pipeline. And we're hopeful for even more big order wins in 2020 for Defence, but a really knockout year for our Defence business. And I should call out here the very high cash conversion in our Defence business driven by those big order wins and a big contributor to the cash flow performance for the group. So an outstanding year for our Defence business.

And then finally, ITP. ITP is a business now full -- fully-fledged member of the group, reported very good revenue growth of 21%, largely driven by aerospace volumes. As a reminder, ITP is a risk and revenue sharing partner on certain Rolls-Royce engines but also on Pratt & Whitney and GE engines as well. So it's a partner to various players in the aerospace sector. The operating profit growth was partly driven by a GBP 25 million one-off benefit in respect of the adjustment of those trading terms between Civil Aerospace and ITP to better simplify arrangements between the 2 companies.

So moving on to the guidance for 2020. Underlying revenue. We're looking at Civil Aerospace revenue being stable to low single-digit growth, very much driven by that revision to OE volumes, 450 to 500-or-so engines in 2020. Power Systems, low single-digit growth anticipated there. Defence, stable to low single-digit growth. ITP -- and ITP stable at GBP 936 million.

And on operating profit. Civil, growing by 50 to 100 basis points improvement in margin in Civil Aerospace. But as a reminder, we're guiding today that our R&D -- capitalized R&D will be between GBP 100 million to GBP 150 million lower in 2020 than in '19, and that will mostly be in Civil Aerospace. So one might think that, that's a slightly low-margin improvement in civil, but we should bear that into mind. Power Systems, further margin improvement there of another 100 basis points. Defence business, stable. And then ITP, a small margin improvement there as well.

Operating profit growth. Putting all this together of at least 15%, and that gets you to around GBP 1 billion of operating profit in 2020.

Core free cash flow of at least GBP 1 billion, and I should call out that this guidance excludes any material impact from COVID-19 in 2020.

How does that bridge to cash flow, profit and -- oops. So how does that bridge from profit to cash? So here are the big moving parts. GBP 1 billion of operating profit, the core driver of the free cash flow growth. The LTSA deferred revenue, we think, will be broadly stable year-on-year at around GBP 750 million. Capital spend above depreciation and amortization, again, broadly stable at GBP 600 million. Working capital contribution of GBP 600 million in 2020, but reinforcing my earlier point that, that will be led by inventory unwind, and I think around sort of 3 quarters or so of that GBP 600 million being in

inventory unwind. The movement in provisions, around GBP 500 million. That's largely the Trent 1000 that you would expect. And then other, tax, interest, pension, broadly stable at around GBP 250 million. And that's how we get to our GBP 1 billion of free cash flow, at least GBP 1 billion of free cash flow in 2020.

With that -- I should add one more thing. There's other more detailed guidance, by the way, in the appendix of the slides that you've got here around various other drivers.

With that, I'll hand over to Warren. Thank you.

D. Warren A. East

CEO & Executive Director

Thanks, Stephen. Okay. Right. I'm going to look forward a little bit more. Earlier, I talked about momentum, and I talked about momentum around changed behavior and changed levels of performance. That continuing momentum coming in from the second half of 2019 is what gives us the confidence in 2020. As Stephen said, little footnote here on the left-hand side of the slide, and the guidance that he just stepped through, and in fact, all the guidance that we have in our earnings release, is subject to the fact that it excludes material impact from COVID-19 in 2020. But that said, we would expect our operating profit growth to be around 15%. The number that Stephen mentioned and at least GBP 1 billion of free cash flow in 2020.

Importantly, we look through COVID, because we see the fundamental drivers of the business, and that's what's driving our confidence in GBP 1 of free cash flow per share in the midterm.

Now I'm not going to ignore the COVID situation at all. We're taking it very seriously. And what's important is what we're doing to manage the situation as far as our business is concerned. So our priority is, of course, our own people, and we have daily monitoring of the situation in all of our locations, and that's coordinated and comes into our Chief Medical Officer, who reviews that situation every day. We're also doing daily monitoring of the business risks, and the business risks break down into what's happening potentially to our revenue and importantly, although we're not a business that is subject to lots of just-in-time deliveries and that sort of thing. It's important that we keep a daily track on our supply chain. And that is -- that's what we're doing at the moment through our supply chain leadership. This is clearly 1 of those known unknown situations. The things we don't know are how long the disruption is going to go on for and to what extent the disruption is going to spread around the world. So here on the bottom of the slide, we've got a few data points so that you can scope out some of the potential impact to our business. I say potential impact because, of course, the third unknown is the extent to which we're able to mitigate the damage should there be material damage. Here are some parameters. Chinese airline customers, it's about 10% of our backlog today. Flights touching China is about 20% of our engine flying hours. How much of that should we take into account. I can't tell you. But what I can tell you is that year-to-date flights touching China are down by approximately 15% between the 15-ish percent in January and 50% in February. So I can also tell you from our daily monitoring of the supply chain and our daily interaction with customers through our Power Systems business that operations in China are getting back to normal. Our key suppliers. We have a handful of key suppliers in China. These suppliers are all back at work, and we have had actually no interruptions in our Civil Aerospace supply chain as a result of the shutdown there. So that's kind of the scope of the situation. The monitoring of the situation that we are doing. And in terms of contingencies and how we can mitigate against that. Well, we're the same as any other business. So we look at the financial impacts, and what can we do about deferring expenditure, what can we do about deferring investment, what can we do about deferring or freezing hiring, and what can we do about the actual staff costs that we take on a day-to-day basis. And like any other business, we're pulling on all of those levers. So that's the situation as far as COVID is concerned for our business. COVID is a reality, and we have to manage through that. And I say manage through that because though it is a reality. And I mentioned earlier, I think we're in better shape than we ever have been to deal with that reality. We must look beyond and looking beyond, takes us to our priorities for 2020. Customer priorities are very clear about meeting our commitments and about getting the Trent 1000 AOGs down.

From an operations point of view, we need to continue the improvements that we've made over the last 18 months or so, particularly driving towards achieving the GBP 400 million of run rate savings. Having successfully changed the trajectory on inventory. We need to continue driving that forward. From

a financial point of view, obviously, the emphasis is on quality of cash and strength of operating profit. And from a people and culture point of view, we need to build on the fantastic changes that we've seen, embedding those behavioral changes, building on the encouraging momentum that we have seen.

So that, in the longer term, we can be a leader. We can be a leader in terms of behaviors. We can be a leader in terms of business performance. And we can play a leading role that we want to play in the energy transition over the coming decades in all of the sectors in which we operate, because we see that as a fantastic business opportunity.

And with that, I'll stop, and we'll hand over to Q&A. So who wants to go first?
We got one, we got one over there. That side.

Question and Answer

Robert Alan Stallard

Vertical Research Partners, LLC

Rob Stallard from Vertical Research. A couple of questions, if I may. First one, easy 1 for Stephen. 2020 guidance, what sort of embedded commercial aerospace aftermarket growth rate have you built into your forecast and if you could break it down by long-term service and the time and material, that would be great. And then perhaps 1 for Warren and a longer-term question. You have cut your forecast for wide-body engine deliveries going forward. So you're coming down from roughly 500 last year to potentially 400 in the out-years. What sort of impact does that have, particularly in terms of your targets for reducing the loss per engine on OE?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So the Civil drivers. Well, we talked about 450 or so 450 to 500 engine deliveries. That's a key driver. The average loss per wide-body engine. We'd hope to get that to around GBP 1 million per engine. So for the GBP 200,000 improvement. That's the goal for us there. XWB, clearly on the road to breakeven by the end of the year. So average on that number will be sort of 0.2, 0.3 I would expect that sort of -- that's what we're looking for. Engine flying hour growth, you should be thinking high single digits, 8%, 9% engine flying hour growth is a key driver for us. And then in number of shop visits, we did just short of 1,000 shop visits in 2019. And I would suggest that using something around 1,100, 1,200 shop visits is a good guide. Major refurbishes roughly as it was in 2019 of between anywhere of 300 to 350-or-so, and then about 800-or-so check and repair visits is the rough composition of the -- so those are the key drivers of the Civil profits and cash flow in 2020.

D. Warren A. East

CEO & Executive Director

And coming on to the wide-body deliveries. Yes, the wide-body deliveries that we would expect to make over the next several years is lower than perhaps the estimates we had a year or 2 ago. But what drives our business is actually the size of that installed base. And so we will still be at north of 6,000 wide-body engines in a few years. Because the size of the installed base is about the retirements and the rate of retirement as well as the rate of new aeroplanes going into the market. And the -- so that's the sort of key point.

The other point to bring out, of course, as you saw in Stephen's presentation, our midterm ambition is underpinned by that aftermarket margin growth, the total aftermarket margin contribution, which we estimated at GBP 2 billion in 2022. And as Stephen just showed, we're at GBP 1.9 billion in 2019. So we're an awful long way through that process already. And in fact, we're probably going to exceed our assumptions, and it's those assumptions, which underpin our midterm ambition. And as for the volume and its impact on that trajectory of OE loss reduction, I don't actually see a material impact by the difference in volume. This is not a hugely sort of high-volume activity anyway. And the costs are dominated by the costs of those components and the cost of the components is dominated by the design of those components. We continue to spend engineering effort on modifying designs to take cost out, we take cost out on an annual basis. And those plans are proceeding according -- just unaffected by volume. You saw in the numbers that Stephen talked about. It's led by XWB. I said XWB is half of the total volume. We will ship our first breakeven XWB in the fourth quarter of this year, which takes us to the average that Stephen mentioned. And we are confident of achieving that.

Stephen Wayne Daintith

CFO & Executive Director

I can just -- I didn't answer your question about the LTSA split and the time and material split. I'd say, time and material. I mean, great performance in 2019, probably sort of high single digits-or-so in 2020. And the LTSA, the number of -- volume of shop visits, clearly is a key driver there. But 1 thing to watch

out for is that -- and again, this is true in 2019 where we have Trent 1000 shop visits, check and repair visits that are related to the exceptional cost activity. We trade those costs through the provision that -- and it won't therefore, hit the LTC, the long-term creditor balance. So the deferred revenue is not reduced. The LTC balance is not reduced by those shop visits. If you see my point, which is a slightly accounting point, but -- and that partly explains the growth in the long-term creditor this year.

Celine Fornaro

UBS Investment Bank, Research Division

Celine Fornaro from UBS. I was just wondering if you could explain the mechanics through the Civil trading cash, which saw a nice improvement this year to GBP 400 million. And so how do we think about that for 2020 because potentially could be slightly worse. Depending on all the dynamics you've assumed? And then my second question would be on the 787 overall market share. And in terms of the recent announcement from ANA to go with GE and thoughts there on your assumption on potential volume on the TEN?

D. Warren A. East

CEO & Executive Director

Okay, do you want to have a go at the mechanics or shall I -- shall I do the ANA one while you're just [indiscernible]

So on 787, we look at it from a sort of fairly macro position. And it isn't just about share on 787, it's about share of wide-body orders, I think, approximately 2/3 of the wide-body orders in 2019 is a reasonable result. We are taking orders on Trent 1000 as well. Obviously, we are disappointed with the decision from ANA. We're disappointed, but realistic. ANA already, 83 of their aircraft are powered, of their 787s, are powered by Rolls-Royce. And to be 100% dependent on Rolls-Royce when you have the choice is perhaps an unrealistic assumption when you get to a fleet that is growing at that sort of size. And so to have 15 aircraft and a few options going to GE is not something that particularly surprises us but, of course, we're disappointed. We retain a very close relationship with ANA. And I think if you talk with them, you'll find that they're very pleased with the way in which we've handled the situation for their fleet, the importance of their fleet notwithstanding COVID for the Japanese Olympics this year. And in fact, in the next several weeks, all of their Trent 1000 powered aircraft will be in the air rather than on the ground.

Stephen Wayne Daintith

CFO & Executive Director

Sorry, and on the improvements in the Civil Aerospace, trading cash flow. Well, again, going back to those drivers of cash flow growth generally across the group. Our original equipment losses coming down and lower volumes at the same time as well. There's going to be a contribution there. The aftermarket cash margin will continue to grow. Maybe I think a couple of GBP 100 million or so, there may be GBP 100 million or so from the first 1 that I mentioned. I haven't yet mentioned business jets as well. Business jets had a very strong 2019 and is well placed for 2020. So we're going to see some further improvements in the business jet contribution.

Trent 1000 costs coming down as gross cost, but of course, we don't have the benefit of the insurance receipts. So that is a headwind there. And we are expecting further improvements in C&A costs generally across the group in 2020, building on the momentum that we developed in the second half of 2019.

Most of the headcount reductions in that we're announcing today, the cumulative reduction of 2,900. I think 2,000 of those are Civil Aerospace. And you're going to start to see that full year benefit of that 2,000 headcount reduction flowing through in Civil Aerospace. So putting all of those together, gives us confidence around further improvement in trading cash flow in Civil Aerospace.

Nick Cunningham

Agency Partners LLP

Nick Cunningham, Agency Partners. I apologize in advance because this is in grave danger of being nerdy. Both of my questions in fact. Thank you for the disclosure on factoring, which is really interesting. And

I just wanted to try and understand it better in terms of how it moves across the year. And what the rationale of using it is, does it reduce the cost of capital and so on? And then second, I think probably equally nerdy, but possibly more generally interesting. If we look at the decarbonization, if you like, road map, how do you see that playing out in sort of very broad time scales and route to market? And what kind of mode of power source do you see developing?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So let me cover factoring. And we are as you know, we've been very keen over the last few years to add transparency to our numbers and our guidance is pretty detailed, and we kind of explain our numbers at length as well. And an extra piece of transparency that we're bringing today is our details of around invoice discounting or factoring as it's otherwise known. And let me just explain where we are on this. It's -- factoring is a common place activity in the aerospace sector. We've been doing it for over a decade now. I would say 2016, though, was the first time that we materially got into invoice discounting, and that was largely around the time when the airframers changed their own settlement terms. And we introduced it to normalize the cash flows with physical delivery of engine volumes. So you've got a symmetry around those cash flows.

The last 3 years, it's averaged at the year-end, it's just over GBP 1 billion, as it does in this year. The way to think about it is that if we haven't done any invoice discounting this year. Our cash flows will be GBP 95 million lower, which is the delta between this year's activity and last year's activity. But the average over the last 3 years has been, as I said, just -- I think it's GBP 1,037 million over the last 3 years. That's the rationale for why we do it. It works well for us. And you're right, there is a cost of capital attached to it, but it's pretty modest, and it's only for a short period of time as well because really, you're just advancing November, December invoices into current year rather than waiting until January and February. So it's only in place for a very short time.

D. Warren A. East

CEO & Executive Director

Okay. And the other 1 around the decarbonization road map.

I mean, obviously, I'm not going to be too specific on dates here and basic principle is that the smaller the aircraft, the more electric. And so we see an opportunity in the sort of helicopter size market disruption, new products for all-electric to hybrid. And then in the regional space, we see an opportunity for hybrid coming sooner than we do into the narrow-body space. So you have hybrid designs in the mid- to late 20s moving through to larger aeroplanes in the early to mid-30s. And then in the larger space, we don't see an alternative to kerosene in terms of energy storage, but we do see opportunities for sustainable synthetic fuels. And there the decarbonization bit is all about the source of the electricity that's used in the synthesis process. So clearly, it's not very sustainable if the electricity comes from a carbon rich source. But as the world electrifies in a cleaner way, then there will be opportunities for clean electricity to generate synthetic fuel. We do see a potential role for hydrogen in that mix, and we are spending effort with some of our partners on exploring the opportunities for hydrogen, but it is going to be about the challenge of storing that hydrogen and again, about the clean source of electricity to produce the hydrogen in the first place.

Synthetic fuel is going to be limited by the ecosystem and the rate at which the ecosystem can develop and the faster it develops, the faster the cost will come down. The more the cost is up there, the more delay there is in that. And I suspect, as with any new technology, there will be a bit of a hysteresis, a tipping point, and then we'll get there. And it's important that we do things like UltraFan and more efficient gas turbines because whether we're burning hydrogen or whether we're burning synthetic fuel, there's still a cost associated with producing that. And so the less of it that we can use, the better. And so we see a very firm role for UltraFan and more efficient gas turbines, whether they used directly for the UltraFan propulsion or whether the core out of UltraFan, the more efficient core is used in a hybrid application in a smaller aircraft. The project is absolutely vital.

Harry William Freeman Breach

MainFirst Bank AG, Research Division

It's Harry Breach here from MainFirst. Could I just ask you, Warren, you touched on coronavirus in the slide earlier on. Can you just say -- have you had any deferrals of delivery dates for on wing or spare engines that have been cited to be coronavirus capacity related? Secondly, if I remember well, and I probably don't. Back in July at the interims. If I remember, you were saying that the breakeven date across the large engine deliveries, including spares, if I remember, was to 2023. Firstly, have I got that number right? And secondly, is there any change given your lower wide-body delivery expectations. And then just final one, maybe for Stephen. Stephen, just in 2019, for the civil aero LTSA revenue stream. Is it possible for you to just give us an idea of the pay at shop visit versus the sort of pay per flying hour monthly settlement?

D. Warren A. East

CEO & Executive Director

Yes. Let me kick off. We haven't seen any deferrals attributed to the impact of COVID yet. But of course, that is a phenomenon, which is in the realm of our sort of planning and our sort of scoping the size of the potential impact from COVID, but as of today, we haven't seen any of that. The breakeven point and the volumes. I mean, first of all, the volumes don't make any difference as the answer to the previous question. Do you -- you're jumping in on something?

Stephen Wayne Daintith

CFO & Executive Director

Yes, I'll happily go along this one. There's a GBP 400,000 average loss per engine by 2022.

So I'm sorry, what was the number? you seem -- [quoting] 2023?

Harry William Freeman Breach

MainFirst Bank AG, Research Division

[Those are -- it was] across the portfolio for installed engine deliveries. [Integrate] even in [indiscernible] remember that date well.

D. Warren A. East

CEO & Executive Director

We haven't actually -- I mean, I think I remember a little bit the conversation where there was a slight bit of miscommunication from the presentation. You know, As Stephen says, the line that we are sticking to is just under GBP 500,000 across the portfolio by 2022. And the other data point that we're sticking with is breakeven on XWB 84k by the end of 2020. And as I said, we will achieve that second one. It's close we're going to get there in 2020.

Stephen Wayne Daintith

CFO & Executive Director

Okay. And on the -- sorry, the mix of shop visits as well. And I'm talking here around the sort of the major refurb shop visits.

Harry William Freeman Breach

MainFirst Bank AG, Research Division

[Let's just say] revenues by pay at shop visit versus...

So I think my question has been just -- I was trying to get at the for civil aero LTSA revenues, what the mix there was between the pay at shop visit part and the...?

Stephen Wayne Daintith

CFO & Executive Director

I would -- okay, I'd hope for at least 20% pay at shop visit. Perhaps sort of the mid-high teens. And then the rest would be with flying hour. It's a relatively -- the important point -- dynamic in 2019, we have 3x

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the number of pay at shop visits in the second half of the year than we had in the first half of the year, which somewhat explains the strong second half performance from cash generation on the long-term creditor that we're seeing in the numbers today. That's an important dynamic.

D. Warren A. East

CEO & Executive Director

Thank you. One -- just pass it along, I think, is the best answer.

Unknown Analyst

A couple of questions. First of all, presumably, the 97k is 1 of the big lose -- big loss makers at the moment. Is there any reason why it shouldn't get to breakeven like the 84?

D. Warren A. East

CEO & Executive Director

The -- you're right, the 97k is 2 years younger than 84 in terms of entry into service. And so that is 1 of the loss-making contributors. It will follow the trajectory. We -- I can't commit today that will actually get to 0. I mean, what you've seen because it depends how far out you take these things, and we put a lot of effort into extending the time on wing. It's possible that we don't want that to get to breakeven because it's possible that we actually want to spend the money and have the components that improve the durability and the time on wing for service of and -- a given engine because we actually make more profit out of that, than we make from trying to squeeze a technical profit on the OE. So generally, it's a good idea to make as little loss as possible on the OE, but when you get in the detail and you get to the smaller numbers, then it might actually be better not to do that economically for the [program] and for the -- for our overall profit.

Unknown Analyst

The next question is a group of questions is, you've tripled the number of spare engines on the Trent 1000. How come it was so low?

D. Warren A. East

CEO & Executive Director

Capacity and capital. Simple as that. I mean, we -- it's a new engine. It's obviously had issues. And the reason that we were able to improve the spare engines a little bit last year, and we're going to take another big step forward this year is because we now have the capacity to do that.

Unknown Analyst

[indiscernible] related to that, the -- it must be a pretty tough job being the Trent 1000 salesman at the moment. Why on earth would any airline sign up to buy 1 right now, [indiscernible] [serious] question? Is there enough in your backlog to see you through to H1? Is there any chance of us seeing a Trent 1000 order this year?

D. Warren A. East

CEO & Executive Director

Yes. Well, I mean, there are Trent 1000 opportunities for us this year. And we do hope to take orders this year. Why would anybody do it? Well, because of the overall performance of the engine, the overall actual reliability of the engine. And the fact that actually, our competitor while having spare engines to protect against the disruption that we've seen, when you get in the detail, there are issues with our competitors' engine as well. Now I'm not going to stand on the platform and talk about that. You can talk to Boeing, you can talk to airlines about their experiences of the engines on 787. But the answer is, we wouldn't be taking the orders we're taking now, if our engine was so bad that it was such a tough job being the salesman.

Unknown Analyst

And the final 1 is bit of a philosophical one. A couple of years ago, you said that you typically had 4 in-service problems at any one time. It would take a couple years to sort out each and [one would solve them] [indiscernible] So there's probably GBP 200 million-ish of cost underlying. With the Trent 1000, you've had 3 problems and it cost you GBP 2.5 billion. There will be undoubtedly in-service problems with your other [indiscernible] engines at some stage. How can you give us any reassurance that it's going to be a GBP 100 million problem, not a GBP 2.5 billion problem?

D. Warren A. East

CEO & Executive Director

Well, and the answer, of course, is that we can't give any guarantees but we can give assurances based on the very data that generated that original assumption in the first place. It wasn't based on thin air. It was based on our experience of 25 years of the Trent engines. And that is the experience we've had and some of it does come of our own making when we're trying to actually sort of extend the life of time on wing of the engine, and we've made great progress on Trent 700, over 25 years in doing that, but it hasn't all been linear.

And sometimes, we end up with a great idea to extend the life or reduce the cost. And then 2 years later, in in-service, we find some issue. And those are the sorts of issues that I'm talking about that crop up regularly.

The Trent 1000 has been absolutely unprecedented in our history. That's what everybody tells me. And we are grinding through it. Obviously, we've spent a lot of time and effort learning from those lessons. So we can take steps to minimize the probability of that happening again. I think if you look at the later engines, XWB is our example of the later engine, then, as I said, we're fleet leaders at 5 years now achieving the number of cycles that they set out to achieve. And the airlines seeing excellent reliability during that process and excellent hanging on to the engine performance as well as it goes through time.

Peter Laphorn;Investor Relations Manager

[indiscernible] quickly here with a couple from the webcast. We've had 2 on the LTSA creditor inflow from David Perry and Zafar Khan both asking it was an encouraging inflow in 2019, we're guiding to a similar level in 2020, what might 2021 look like? And what are the drivers around that being a bit higher than previously thought. And then secondly, a quick -- a second 1 from David on delivery guidance and whether we think 400 to 450 is the floor for wide-body deliveries?

Stephen Wayne Daintith

CFO & Executive Director

Okay.

D. Warren A. East

CEO & Executive Director

Do you want to do the first 1 or should I do the second one?

Stephen Wayne Daintith

CFO & Executive Director

I'll do the first one. I'll get the long-term creditor out of the way. So as a reminder, this is the balance on our balance sheet, the credit balance it's the deferred revenue from flying hour cash going in there and then revenue gets traded through as the shop visits take place. We had a very strong second half, GBP 500 million better than the first half. In fact, there's 3 or 4 key drivers of it. So first of all, engine flying hour receipts, good flying hour growth, but we also, as you know, we reconcile at the end of each quarter. The actual engine flying hours compared to the invoiced engine flying hours, and we do often see upside there. It's not so straightforward as just number of flying hours flown. And it's the type of flying hours as well. There are different prices around different parts of the flight experience. So that -- it's a pretty complicated reconciliation. We run that through, and we saw some good upside from that activity in the second half.

Pay at shop visits. We had 3x the volume of shop visits in the second half as we had in the first half. I talked a little bit about the high yield. That was a driver of growth as well, particularly strong business jet performance in the second half, which gives us encouragement for 2020.

And then finally, the -- well, penultimate point, the GBP 100 million revenue catch-up that we had, that suppresses the drag -- the [pullout] of revenue as well that we reported. And then the final piece is the number of Trent 1000 check and repair visits in the second half that goes through the provision, again, which isn't hitting the creditor, but you're still getting cash generated from those flying hours flowing through in any event. So those are the 4 or 5 key drivers. 2020, you'll be thinking about the same sort of drivers. I think it's too early to talk about 2021. What I would say though is that flying hour growth high single-digit sort of approaching double-digit flying hour growth is -- it remains the fundamental principal driver of cash flow generation in 2021.

D. Warren A. East

CEO & Executive Director

And on the question of build rate and is our current estimate, the floor. Well, what I can say is that the current run rate supports the demand, the final demand, we have seen the demand fall to what appears to be more of a long-term run rate growth in demand. And I think if I go back 6, 12, 18 months, even. There was a lot more noise about overcapacity in the industry. And that overcapacity being ahead of that underlying demand, and therefore, there's been a little bit of an overhang. And I think the build rate adjustments have been pretty, pretty well sort of expected.

Obviously, short term, we don't know the impact in 2020 of the virus outbreak and the disruption that results from that, and what -- to what extent that might spill over into some deferrals, I already answered that question. And so technically, there might be a little bit of deferral there. But actually, I can see more indicators to increase that demand for build rates. The underlying demand is going to carry on growing along with economic growth. And I think with the changes in sort of public opinion around flying, airlines are going to want to deploy cleaner, more efficient airplanes as and when they can afford to do so. So if anything, I can see a little bit of a sort of demand increase signal, but we're not going to call that just yet.

I think we've got one -- we've got the microphone over there. So we'll come back to you. We've got about 4 minutes.

Unknown Analyst

Yes, this is really, really [specific. Just standing.] If I've paid you for a flying hour, is there any way I can get the money back from you?

Stephen Wayne Daintith

CFO & Executive Director

No. Not typically. [Seeing] around the back of the bike shed. I mean, it's a very good point because I know what you're getting at here with the question because there is some commentary that the -- we should regard the credit balance as debt. Will that -- the cash is contractually ours and remains ours. Even if the airline stopped flying the planes forever. The cash is still our cash contractually. So that's the way we should regard it.

Unknown Analyst

[indiscernible] creditor, [let alone] debt?

D. Warren A. East

CEO & Executive Director

It's deferred revenue, it's on the balance sheet as deferred income. Yes.

Benjamin Michael Heelan

BofA Merrill Lynch, Research Division

Yes. It's Ben from Bank of America. Just one on the credit rating, you said you want to get back to A rating, what sort of metrics do you think we should be looking at in terms of that path, and what you think you need to get to A?

Stephen Wayne Daintith

CFO & Executive Director

We've had a lot of dialogue as you might imagine with the rating agencies, with both Standard & Poor's and Moody's on this one. I mean, [what] is very clear and their priorities align with our priorities. Operational performance improvement, delivering a high-quality operating profit growth and cash flow generation. If you're looking for a metric, Standard & Poor's, in particular, are looking for a 14%, 15% EBITDA margin. So that to get us to sort of move us into that single A rating category.

What I can say is that when we look at our plans, and then we look at the numbers that we're talking around in the mid-term, we can see good progress over the course of the next 2 years on that ambition. And what is critical, though, is clearly derisking the Trent 1000. Warren talked about delivering that final fix on the high-pressure turbine blade on the TEN, getting it the design through in 2019 and certified in early 2021, and then we can start installing those blades, and we get the Trent 1000 back to a healthy engine. So that's very much how the rating agencies are looking at it, and we know what we need to do, and we're absolutely focused on it.

George Zhao

Bernstein Ag

George Zhao from Bernstein. Could you talk about the CapEx spend needed in 2020 to build the spare lease pool engines to support the Trent 1000. And given that not all the fixes will be done by 2020. Is there concerns that you may need to continue to build more spares beyond next year?

Stephen Wayne Daintith

CFO & Executive Director

So our CapEx was around GBP 750 million in 2019, and that includes an element, about GBP 100 million in round numbers of investment in Trent, in spare engines, a large proportion of which is Trent 1000. In 2020, we're going to be maintaining the underlying spend, that's before the Trent 1000 build, but we're going to be increasing overall capital expenditure by GBP 100 million, GBP 150 million or so in respect of that additional engine build for the Trent 1000. And the way to think about this is that let's use a proxy of GBP 4 million, GBP 5 million per engine, that's about sort of 20 engines or so that we're building in addition, in 2020. In addition to the 20-or-so that we built in 2019, if that makes sense.

D. Warren A. East

CEO & Executive Director

To answer, is there a danger that we're going to have to build some more. What we're effectively doing is pulling forward spares that we would otherwise have built anyway, as the size of the fleet grows. And so I don't think we're going to need to do an extraordinary number of spare engines. I mean, certainly, from an operational point of view, if we do the spares that we plan to do in 2020, then we should be able to protect the fleet. And then, over the subsequent years, we'll grow back into that volume. And then we will continue to build spares as the size of the fleet grows. So I don't anticipate any 2021 enormous step-up in the CapEx for more Trent 1000 spares.

Stephen Wayne Daintith

CFO & Executive Director

But as it stands today, this build of Trent 1000 engines will be a very good return on capital when we consider the cost that we're currently seeing for every day that an aircraft is on the ground.

D. Warren A. East

CEO & Executive Director

Okay. It's 10:30 on the clock. So let's assume the clock is now telling us the right time. So thank you all for coming. I mean, the key takeaway messages here, I think it's a strong set of results for 2019. Our performance to deliver on that, particularly after a very tough first half. As Stephen said, we left ourselves a lot of things to do in the second half. But the team has delivered and shows what this organization is capable of doing in terms of delivery.

I think COVID-19 and the disruption, which flows from that. This is a macro for everybody is a known unknown at the moment. We will keep you updated with the implications but we're in pretty good shape on that at the moment with daily monitoring of the situation, daily contact with the supply chain. And we're already seeing our suppliers and the customers with whom we deal in regions, which were first affected by the virus, i.e., Greater China, we are seeing a return to levels of normality there. But we look through that, and we can see the fundamental drivers of our business performance having improved. The fundamental levers that we talked about at our Capital Markets Day and before, we can see progress on that. We can see momentum, and we can see those drivers continuing. And that's what underpins our confidence in the medium term. And we also want you to take away the fact that we're not ludicrously short-term focused on GBP 1 billion in 2020 and GBP 1 per share of free cash flow in 2023. We are thinking beyond that as well. And developing a future for this business to build on that platform through the energy transition.

And with that, we'll be back in July, late July to tell you about how we've got on in the first half of this year. Thank you.

Stephen Wayne Daintith

CFO & Executive Director

Thank you.

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Rolls-Royce Holdings plc LSE:RR. Special Call

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Presentation

Operator

Hello, and welcome to the Rolls-Royce trading and Trent 1000 update. [Operator Instructions] Just to remind you, this is being recorded.

So today, I'm pleased to present Warren East, CEO; and Stephen Daintith, CFO. Please begin.

D. Warren A. East

CEO & Executive Director

Right. Thank you, Hugh. Good morning, everybody, and thanks for joining us at relatively short notice.

You have seen our trading update this morning. And we also have distributed a presentation around the Trent 1000, and what we're going to do now is quickly go through the presentation on the Trent 1000. We're joined this morning by Simon Burr, who's our Head of Engineering in Civil Aerospace, and he will step through some of those slides.

Let me just start with a contextual slide to begin with. So I'm now on Slide 2. And this lays out the fact that on the Trent 1000, we have effectively 3 versions of the engine in service: Package B, Package C and TEN.

And on the Trent 1000, we have, for the last couple of years, been wrestling with 3 fundamental issues with the engine, issues with durability in the turbine section. And what has caused the hiatus really around Trent 1000 was when we discovered some issues in the compressor section of the engine where we discovered cracking in compressors that we worked out would have a potential safety issue. And therefore, we had to instigate a regime of inspections with removals of defective components and replacement of defective components to ensure safety of the fleet. And all of those inspections and the removals led to effectively overwhelming our repair and overhaul network in the state that it was in at the time. And that led to aircraft being parked on ground, which led to disruption for our customers, which has led to costs. And that's what the hiatus is really been about.

However, if you lay it out, as we have on this slide, we have 3 versions of the engine, 3 fundamental issues, and we need to fix all of those issues. So the slide shows a snapshot of where we are today. We have fixes for all of the issues on 2 of the [marks] of engines, the B and C. We have fixes for the IP compressor and the IP turbine blade on the TEN as well. A number of those fixes have already been certified. As you can see, the extent to which the replacement components have been rolled into the installed base, the fleet that's out there flying at the moment. And we've made significant progress on all of that over the last 18 months.

We now have one issue, the high-pressure turbine blade on the TEN version of the engine. That design has been ongoing and we expected to introduce -- to have a tick in that box and to have a green tick of that certified and be installing that in the early part of next year, but recent testing has shown that we can't achieve the durability that we want to achieve, and therefore, it's going to take us longer.

Now at that point, I'll hand over to Simon to just give you a little bit more detail on the issue with the TEN high-pressure turbine, and then I'll come back and talk about what we are doing about it.

Simon Burr

Director of Engineering & Technology - Civil Aviation

Okay. So good morning. This is Simon Burr.

So the high-pressure turbine blade, the illustration, hopefully you can see, expresses gases from the combustor. And you've probably seen, Rolls-Royce has communicated before, these blades each absorb the energy equivalent to what you see in a Formula 1 car, very energy-intense. The alloy system -- the

material system we use in this space has been the same for over a decade and we know how it behaves in-service. The same system is used on the XWB very successfully and on other engines.

But the issue isn't -- has nothing to do with the material system. It's about how it's cooled. The blade itself is surrounded by gases but -- or above the melting point at the center of the blade, but that design is used on all -- that concept is used on all jet engines and gas turbines for many years. In order for the blade to survive it has cooling that goes through the center of the blade through multiple passages and also has a film on the outside of the blade that protects the blade from these very hot gases. It's called film cooling. So the blades have around 200 very small holes in them to create that film. That design system is being used very -- for many years very successfully. The issue at hand is not the blade's materials or how it's made, it's the cooling. So the cooling, what we are doing is we're doing 2 things. We're increasing the amount of cooling air and making a slight redistribution of some of those holes that create the film -- that protects the film or the cooler air which protects the blade.

The engine went into service with an expectation of a particular life. And we've put an inspection rating with that, and that's been successful to make sure there's no operational disruption, i.e., no events in-service. It's a recurring inspection regime to make sure the engine performs in the air, take-off and in the air [in common] as expected.

Half the circuit we've done, as we've inspected engines, what we found is the engine is -- the turbine blades fell off, deteriorating faster than anticipated from the original design. So we don't have to take engines off and replace the blades.

The design change that we're putting in has increased cooling. And as I've said, a slight redistribution of the cooling holes, and then we have to do a series of arduous tests by, first of all, ourselves and then Boeing and then our regulators that we've got satisfactory life.

So that's the sort of core of the story. The HP turbine blade design simply takes engines live, so it's a critical part, as it were, in the design of the engine.

So what we've done, if I just go on a slide and spend -- to tell a detailed review, we've done a series of tests. Intently, the travel patterns hasn't -- is actually certified sort of higher for us than the previous [layer end]. So it's designed to operate up to 76,000 pounds of thrust, back seat, from 74,000.

The vantage point is in the take-off on climb, that's what we've -- that's the design point we have to worry about. And we've done a series of tests, and what we need to do is to make sure that [the MPs that blow the reed] will be absolutely robust in-service. The test results show that we need to make a further requirement, and we're going to do that. And we have a series of tests to complete to satisfy ourselves that the blade will operate in the way expected.

So that, well, actually you'll see those are the steps we are taking. The way the end blade is made, the material systems, identical in detail. It's in the detail of the design of the blade and the cooling system itself. Hopefully, that sort of covers the essentials of what we're doing.

The last thing I would say is that we now have a very good model of how the blade is performing in-service. In designing a solution, if you can model what's happening and replicate that in models, what's happening in-service, then you can be pretty confident in the design solution. So when you commit to testing, you know what -- the outcome you expect will be achieved. So we've got a good model now for what's happening in-service on the TEN fleet, and that's led to our strategy in terms of overall management of the fleet until the new blade is in-service.

D. Warren A. East
CEO & Executive Director

Thank you, Simon. So if we click on to what are we doing about this, well, the key thing is to provide certainty to our customers because as I've said at the start, the hiatus has been caused by aircraft on ground, which -- disruption for our customers, and what they need above all is certainty as to when they will have an aircraft available so that they can fill it with passengers.

And we also need, of course, to resolve the situation and put the final tick in the final box on Slide 1 as soon as possible. So what are we doing about putting that tick in the box as soon as possible? We're giving Simon more resources to deal with that problem, making sure that we have dedicated people working on it to bring this new design through testing as soon as possible. We have to create test engines in order for that to happen. And so we've freed up capacity to make sure that we can create test engines as soon as or as quickly as possible to accelerate the design.

The other thing that we really need to do is make sure that -- moving towards the certainty for our customers, we need to get through the backlog of all the overhauls that we need to do as quickly as possible, and that means increasing the capacity of our repair and overhaul network. And if you follow the story, we've been doing that consistently over the last 18 months. And indeed, we are redoubling our efforts there. We are repurposing some of our facility from assembly and test. We are repurposing some of our facilities with our component facilities to make the components required. We're adding test bed capability, and we're also attending to service near-wing with our customers, so maximizing the MRO capacity.

And the other thing that we're announcing this morning is that we are investing in additional spare engines so that when we do end up with an aircraft that would otherwise be on the ground because we can't get something through the repair and overhaul network as quickly as we'd like, then we can deliver a spare engine and have the aircraft flying again in a matter of hours rather than a matter of weeks or months. So those are the 3 actions that we're taking to effectively provide certainty as soon as possible to our customers.

I'm going to hand over to Stephen to talk us through the financial implications of all this.

Stephen Wayne Daintith

CFO & Executive Director

Thanks, Warren. Good morning.

So concurrent with the engineering review, we've carried out a detailed financial review of the consequences of these matters that we're announcing today. These are factored in the revised timing for the high-pressure turbine blade introduction, which is now the first half of 2021. We've also taken a more conservative view of the ultimate high-pressure turbine blade durability.

But putting this in very simple terms using the 20th year as the final year of the shop visit for our engine program, typically, we'd expect a shop visit every 5 years, and therefore, having 4 shop visits over that period. We're now looking at a period of closer to 4 years for every shop visit. So you're going to have 1 extra shop visit over that 20-year cycle. That extra shop visit then causes us to look at a -- our 20 customer contracts. We carried out a detailed financial review of our customer contracts and assessed the impact of that extra shop visit on each of those 20 customer contracts. And 3 of those contracts, we are highlighting as loss-making contracts and reporting those losses today as a part of our exceptional charge, which also includes the revised in-service cash cost estimates on the Trent 1000.

We've also carried out a detailed financial review of the Trent 7000 of customer contracts undertaken. I don't expect any material impact on profit or cash on the Trent 7000.

Moving on to the next slide. The Trent 1000 in-service cash costs, what does this do now? I know in this chart here we show that in the first half, how we guided on the Trent 1000 cash costs and our revised estimates that we're releasing today.

So first of all, 2019, we're now expecting 2019 to be around GBP 550 million compared to the GBP 450 million to GBP 500 million that we previously disclosed. 2020 will be similarly GBP 400 million to GBP 500 million. 2021 will be GBP 400 million to GBP 550 million. You can see there the impact of the Trent 1000 and TEN version in-service cash costs coming through. And just to be clear on this one as well, that the GBP 400 million increase over the GBP 1.6 billion increase isn't foreseen at the time of the 2019 [in Trent].

So previously, we have set that to be around GBP 400 million, and we guided that number as within normal contingency levels over '21 and '22. We're now expecting an incremental GBP 400 million to that number, taking the total therefore to GBP 800 million on the TEN. And that cash cost will be spread across 2021, '22 and '23. So when you add on the GBP 800 million cash costs on the TEN, that timing profile, the GBP 1.6 billion that we've previously disclosed on the other variance of the Trent 1000, that issue of total cash costs across the years 2017 to 2023 of GBP 2.4 billion.

Moving on to the next slide. How do we get to the GBP 1.4 billion exceptional P&L charge? This is principally composed -- comprised, I'm sorry, of these 2 items, broadly equal comps, the additional cash costs to cover the customer disruption and remediation shop visit costs. This is almost all of the GBP 800 million of in-service cash costs on the TEN that I've just run through on the previous slide. And then the second part of this is the upfront recognition of future contract losses on just a few -- on a handful of customer contracts that are part of those 20 contracts that we've carried out a review of as a consequence of this engineering review. The full accounting treatment will be finalized with the full year 2019 results.

On the 2019 outlook, guidance is maintained, but we now expect the outcome towards the lower end of the range. On the bottom right-hand side of that chart shows the guidance that we've given, underlying operating profits of GBP 700 million, plus or minus GBP 100 million; and core free cash flow is GBP 700 million, plus or minus GBP 100 million. So it's still within that range but towards the lower end of that range.

Civil Aerospace has had continued growth in engine flying hours, continued progress on OE loss reduction. It has been a modest impact on profit from the additional engineering investment on the Trent 1000.

Defence, continue to expect stable sales, investment in future programs and continuing to drive higher self-funded R&D. So Defence is still a very solid performer for the group.

Power Systems trading remained healthy. Within Power Systems, we see continued growth, but delivery deferrals on a small number of larger projects impacts the full year 2019 revenue growth. So we're now expecting low- to mid-single-digit growth in Power Systems. Clearly, that will flow through to margin and impacting the profit guidance here today.

ITP is trading in line with expectations.

D. Warren A. East

CEO & Executive Director

Great. And with that, we'll now be happy to take any of your questions.

Question and Answer

Operator

[Operator Instructions] Our first question is to the line of Chloe Lemarie of Exane.

Chloe Lemarie

Exane BNP Paribas, Research Division

Yes. I have 2 questions, please. The first one is on 2020 free cash flow, which is now actually a step change from 2019, with no year-on-year benefit from the Trent 1000 essentially. So could you please work us through your latest assessment as the key moving part there in terms of working capital tailwinds, the restructuring benefits, et cetera?

The second question is on the Trent 1000 TEN HPT blades. You now expect the fix to enter service in H1 2021. It's quite some time out from now. So are there any intermediate steps that we could track to see whether the fix risk any further delays until then?

D. Warren A. East

CEO & Executive Director

Okay. Do you want to...

Stephen Wayne Daintith

CFO & Executive Director

Yes, I'll take this 2020. The biggest single driver of growth in 2020 is going to be the growth in underlying operational profit that we're expecting. That's driven largely in Civil Aerospace where we expect to see an improvement in gross margins delivered by the continued OE deficit reduction program that we're working through and the benefits of our restructuring efforts. And so underlying operating profit, we're expecting material growth from 2019 levels. Not being explicit on that guidance yet, but clearly that's a key driver to our props for our cash flow performance in guidance in 2020.

We're expecting on the long-term credit set at the inflows that we're guiding previously of around GBP 400 million from that. CapEx, that includes capitalized R&D, will remain steady at about GBP 1.4 billion or so, so recurring free cash flow will grow nicely. And then we're going to have around, in total, around GBP 700 million of costs on the Trent 1000, which will be in respect of the GBP 550 million that we're highlighting today plus -- sorry, GBP 500 million or so that we're highlighting today plus the increased investments in spare engines that we'll see in capital expenditure, an extra GBP 200 million of cash costs there on spare engines to bring down the AOG levels from the levels that we're seeing today. And that investment has a very good payback, less within -- less than 12 months. We clearly would have liked to have done more during the course of 2019. We didn't have the capacity to build those spare engines since one of the benefits of the slightly softer wide-body market we're seeing today is that gives us that capacity now to build those spare engines to bring down the aircraft on ground. And then the bad news will be working capital benefit, which will offset the GBP 700 million, pretty much equal and an offset to the Trent 1000 cash costs of GBP 700 million. And the vast majority of that will be the inventory unwind that we finally expect to see, having clearly not made the progress we would have liked to see in 2019.

D. Warren A. East

CEO & Executive Director

And on the question about things to look out for between now and the middle of 2021 to see that we're on track, basically we need to do a lot of testing. We need to test the new designs on the ground and then test the new design in the air and then engage with the regulators for certification and approval.

And so we will have opportunity to update you at regular intervals. We'll be communicating. I'm sure there'll be an update on this with our final full year results in February. We'll provide you with updates

and regular communications throughout the period. And what you need to look for is that we're making progress on -- through that testing regime.

One thing I'd also highlight is the thrust of, well, all this extra effort that we're making and talking about this morning is providing certainty to our customers and bringing down the number of aircraft on ground. So you should look for the trajectory from where we are now to single-digit aircraft on ground by halfway through next year. And we'll obviously have an update on that in February.

Operator

Our next question is from the line of Olivier Brochet at Crédit Suisse.

Olivier Brochet

Crédit Suisse AG, Research Division

Yes. I have 2 questions as well, one as a follow-up to Chloe's. If you could also help us understand what will happen in 2021 compared to the various bridge elements that you've provided for 2020, please?

And the second one is on Power Systems. If you could provide a bit more color on the projects that are being deferred, please, so that...

D. Warren A. East

CEO & Executive Director

Okay. I'm going to be -- first question. Could you just say that first question again? We didn't quite hear it.

Olivier Brochet

Crédit Suisse AG, Research Division

Sure. On the first question is on the 2021 free cash flow. I understand it's not the point of providing a guidance there, but how can you -- or can you provide us some elements of -- to compare what will happen in 2021 on the free cash...

Stephen Wayne Daintith

CFO & Executive Director

Yes. I'll just -- let me just fix there. We're not giving sort of details on it. I'll just give you 3 big drivers in 2021. Clearly, we should expect ongoing profit growth, good profit growth, the restructuring efforts really flowing through by then. No material changes in things like capital expenditure or R&D. You shouldn't expect any material changes there. The Trent 1000 costs starting to come down, to an extent, in 2020. And clearly, working capital, not expected therefore to play a major contribution in our free cash flow. So that's the sort of rev guide you should be thinking about when we think about 2021.

D. Warren A. East

CEO & Executive Director

Your second question was about the Power Systems expectations for this year?

Olivier Brochet

Crédit Suisse AG, Research Division

Yes. So to understand, which sort of contracts have been postponed so that we can track when they come back?

D. Warren A. East

CEO & Executive Director

Yes. Well, there are a couple of large PowerGen contracts, and we are providing just part of the solution for large data center installations. And so although we have our products all ready to go, there are other project delays which have -- the project is basically being pushed over into 2020. We have no concerns over whether those projects will happen or not. This is a sector that's growing very strongly. There's no question about the demand for data centers. It's just the specific project logistics.

Operator

The next question is over the line of Andrew Humphrey at Morgan Stanley.

Andrew Edward Humphrey

Morgan Stanley, Research Division

I wanted to ask, first, on the IP compressor, the grid you put up at the start on Slide 2 and the 25% of the Package Cs have been refitted there. I would say that might be a kind of slightly lower number than some people have been expecting. Can you talk about the cadence of replacements there and how it fits into the bigger picture of where you would have hoped to be at this stage?

And secondly, on the kind of noncash charge that you've taken today relating to future contract losses on the TEN, could you give us an idea of, I guess, where that fits the Trent 1000 program in terms of overall profitability at this point and whatever implications that might have for, I guess, the profitability of future contracts on the Trent 1000?

D. Warren A. East

CEO & Executive Director

Yes. Okay. Well, as for the pace of fitting these fixtures, we only do this when the engine is in for an overhaul, when it's actually needed. This isn't like a sort of consumer world where you sort of have a product recall and the consumers bring their cars back to have new brakes fitted or whatever. These engines are very reliable engines, and our airline customers love flying them. It's the durability issue that we have. And so they carry on using that asset, flying the engine as much as they can until it actually reaches the time that the durability runs out and the compressor needs to be inspected. And then if it is inspected and is defective and it needs replacing, then it will be replaced with the new fix rather than the current -- rather than the one that's being withdrawn. So that's why we expect it will take several years just for all the boxes on this chart to turn green, but that's not a bad thing. That's actually a good thing.

Stephen Wayne Daintith

CFO & Executive Director

And then on the Trent 1000 engine programs. Well, it's important to look at this, first of all, in the context of the 20 contracts, first of all, that we have today. Clearly, the margin -- the aftermarket margin on those contracts has been weakened by the reduced durability of the blade and the cost that we're incurring over the next few years as well that will flow through the contract pacts. So that margin, you should think about that as material decline. Using round numbers, one could go from around 20% or so to now sort of moving into single-digit territory or high single-digit, that sort of margin, but that's made up of a mixture of very profitable contracts and some not so profitable. And it's those few not so profitable that we're highlighting today as loss-making contracts. But an important distinction here is that going forward, new contracts that are outside that period of increased cash costs will be at a healthy margin, and we expect, therefore, the margin over time to start improving and then get back towards that sort of 20% or so that I just mentioned.

D. Warren A. East

CEO & Executive Director

Do we have any further questions? Hugh, do we have any further questions in the queue?

Oh, well, in that case, thank you very much. I think you know how to -- if anybody does have any further questions later in the day, then you know how to contact us. I hope you found the material useful. And we'll be in touch with our full year results in February. Thank you.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2019 Earnings Call Transcripts

Tuesday, August 06, 2019 8:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2019-	-FH2 2019-	-FY 2019-	-FY 2020-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.04	0.19	0.23	0.37
Revenue (mm)	7001.99	8337.28	15350.47	16013.92

Currency: GBP

Consensus as of Aug-06-2019 8:50 AM GMT

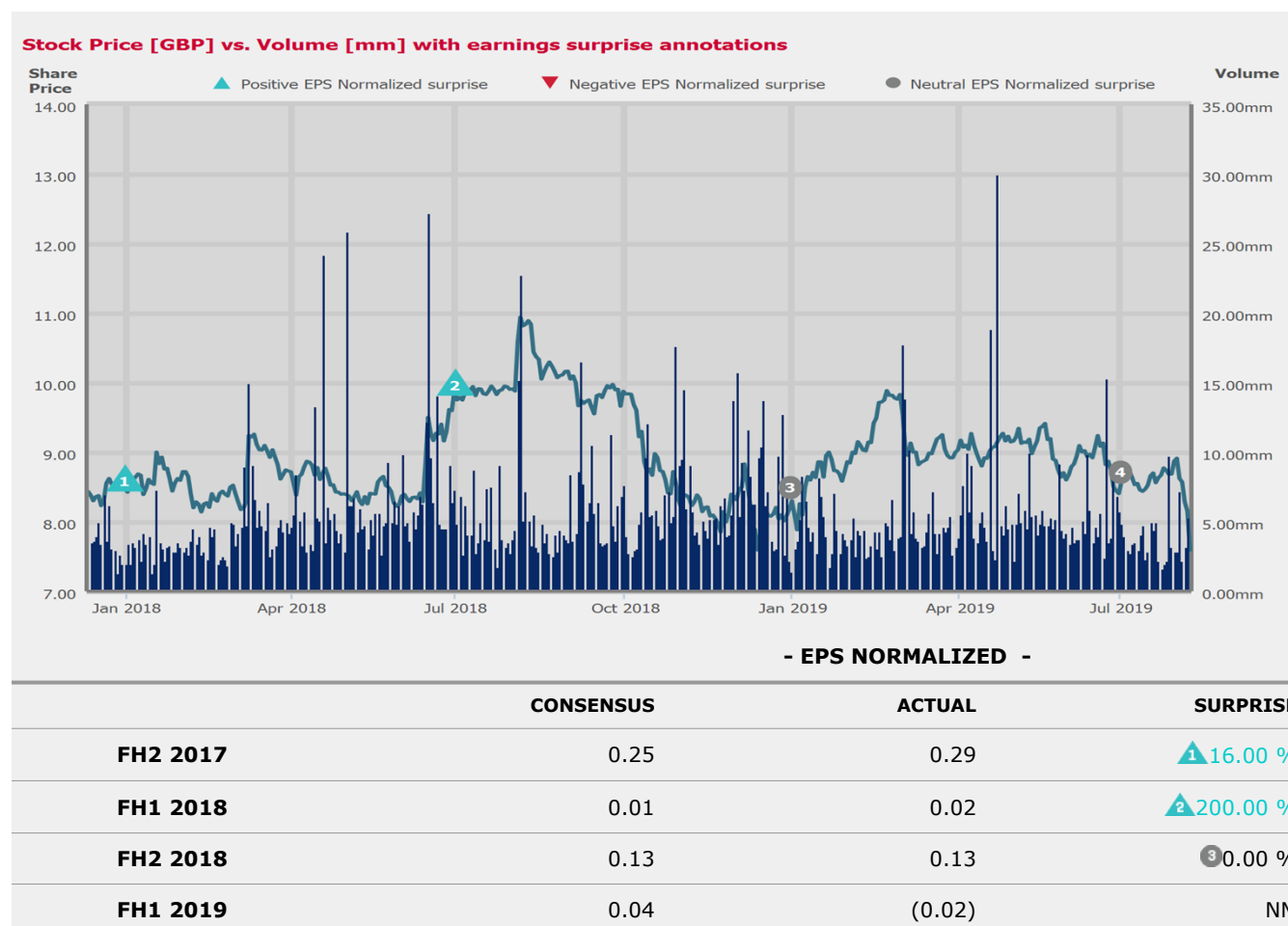


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Call Participants

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Presentation

Jennifer Ramsey*Head of Investor Relations*

Great. Okay. So thank you for joining us here at the London Stock Exchange and for those of you joining online. My name is Jennifer Ramsey, and I lead the Investor Relations team at Rolls-Royce. It's my pleasure to welcome you to the 2019 half year results.

The agenda for today's presentation is that Warren will start with a presentation to talk around his perspectives of the business, the progress we've made in the first half. And Stephen will, our Chief Financial Officer, will talk about our financial results. And then Warren will round up with his view for the year ahead.

Our presentation today is expected to take around 50 minutes and then we'll have time for Q&A, and that will be both from the audience and online, if you can feed those through online. And if you wish to ask a question, you can do that through the webcast services if you're online. We'll endeavor to those -- answer those questions along with those in the room.

Finally, can I ask you to switch off your mobile phones so that we make sure there's no interference. And we're not expecting any emergencies today, so if an alarm does go off, please make an orderly exit.

And with that, I'll hand over to Warren. Thank you.

D. Warren A. East*CEO & Executive Director*

Good. Thanks very much, Jennifer. Good morning, everybody. Thank you all for coming out and joining us. And I was just sort of looking at the number of chairs in the room and thinking that either something must be going on or it's the middle of summer. So for those of you who made it here, thank you very much. I'll do a little overview of sort of from a group perspective and then a summary by business.

So starting off with a slide with which you're familiar, sort of key numbers. And we summarized this whole sort of set of results really when we were talking about it as further progress. And I think you can see some progress in these numbers. And as we get into more detail, you will see progress on both financial performance, from an operational point of view and from a strategic point of view. And I hope we can cover all that in this presentation.

But anyway, to start with, we're pleased to see a good uptick in underlying revenue and a growth in operating profit driven by our Civil Aerospace business, approaching breakeven, and good strong growth in Power Systems as well. And obviously that drove an increase in underlying profit before tax.

Core free cash flow was an outflow of approaching GBP 400 million. That is normal seasonality, and Stephen will talk about the drivers of that, but there's quite a bit of inventory build in that, which in absolute terms was a similar level to the inventory build that we saw in the first half of last year.

The dividend per share, constant for now. And obviously that's a matter for our Board to discuss in due course. But for the time being, that's constant. Underlying EPS looks like a very disappointing number. There is an associated change in a tax charge that sits behind that, and I'm sure we can cover that in the detail.

Looking at highlights from all around the business. Civil Aerospace, obviously 50% of our business, good engine flying hour growth, about 8% engine flying hour growth. And we were very pleased to see the OE loss reduced for our large engines. I'm pleased to see good progress on the Trent 1000 issues, and I'll talk about that in a little more detail in a short while. And around the turn of the year, there were some serious questions around Trent 7000, and that's the engine that powers the A320neo. And it's good to see a big turnaround in Trent 7000 shipments, and so we saw a good number of those being delivered in the first half of the year.

Power Systems, very healthy progress in the first half. Good bookings. Book-to-bill ratio, 1.1. We're seeing continued steady progress on connectivity in the installed base, which is driving a shift towards more long-term service agreements. That's sort of data connectivity of the engines that are out there driving that shift. But the order is really being driven by PowerGen-type applications and a move to more systems away from pure standalone engines.

Defence, again, a good first half, very strong order intake, book-to-bill of 1.5. And along with that order intake came some healthy customer deposits. That is part of the business model that sits behind Defence where we get paid early. So it's a -- that's the sort of financial dynamics of that business, so that was good to see some of those payments coming through. It was also good to see some of the efficiency improvements in our U.S. operations coming through to offset some of the lower-margin activities that we saw elsewhere in the business. And again, I'll talk about that bit more, later.

In ITP, I think good revenue growth. Clearly, it's exposed to Civil Aerospace, exposed to our Civil Aerospace business and others. And we're seeing growth right across the piece there. Lower profit, this is phasing of different programs. And so actually, what's driven the lower profit is more of an engine mix issue, and we'll see that mix issue change with phasing in the second half of the year.

More generally, across the group, our restructuring program, in line with our plans set out at the Capital Markets Day in June 2018. And the summary on financial, I think we can see good revenue growth. We are comfortable with the free cash flow phasing, its typical seasonality. And if I look to the balance sheet, an improvement in net cash position. And so later on, we'll discuss why we remain comfortable with the GBP 700 million free cash flow expectation for the year as a whole.

Now I'm going to step through 3 slides with slightly different perspectives. First from a shareholder perspective, then I'll look to a sort of external perspective and then I'll look at an employee perspective. So as far as an ownership sort of perspective is concerned, this is a reminder of the goals that we set out at our Capital Markets Day just over a year ago. And those goals have not changed one bit, and we remain absolutely on track to deliver on those goals.

So free cash flow ambition, going out beyond 2019 to at least GBP 1 billion in 2020 and GBP 1 per share of free cash flow as a midterm ambition. We are comfortable with those goals. We talked last year about disciplined capital allocation, and we're comfortable with how we're doing that at the moment. And in terms of strengthening the balance sheet, we completed some disposals this year, and that was good to see.

I think I'd remind people, at this stage, it's not just about disposals. So you saw some bolt-on acquisition activity that's happening as well, and that's helping us accelerate some of our strategic initiatives. We set out a type to that capital allocation. We set out some goals in terms of quality of cash return. And again, we're comfortable that we're still on track to return that measure through the cycle.

And as far as payment to shareholders is concerned, then it's not really a 2019 issue for us. As I've said, that's constant for the time being, but we're absolutely confident that we can start returning to some sensible levels sometime very soon. But the basic point is, what we set out at the Capital Markets Day a year ago, we're comfortable with those goals.

If I switch now to more of an external perspective. One thing we've noticed over the last 6 months is a little bit of a aviation as being set up as the villain of the piece as far as environmental damage is concerned. Well, yes, aviation is built on setting fire to hydrocarbons. And we've been talking for some time about the fact that we, along with a whole load of other sectors, need to wean ourselves off that and wean ourselves off it quite quickly. But from a business point of view, we would contend that it's up to us and our customers and others in the ecosystem to lead rather than react to public opinion. And so we are about creating a more sustainable future. But I think it's important as a business that we remember we have to generate the returns now in order to fund the R&D that's required to make those changes.

So if I look at our products, well, our products do probably drive -- they drive the carbon footprint. They are about converting stored energy into useful power. And today, that stored energy is in the form of hydrocarbon fuels. But our engines continue to get more efficient. Most of our R&D is spent on making

those engines more efficient. Some portion of our R&D is around new technologies, particularly around electrification to address this issue.

Internally, from an operational point of view, we've set ourselves a goal to be 0 carbon, except for that, that we use to test our gas turbines by 2030. And we're comfortable with that goal. And from a people point of view, within the business, we think it's important to create an environment and a culture for the people of the next several decades. And so we're setting about doing that.

So talking of people and internally and the changes that we have to make to our business internally, the key objective is really not in the key objectives box. It's here on the left-hand side of this slide. The key objective is basically to create a more sustainable, but importantly, competitive business. And in order to do that, we are setting about reducing our central costs. We are setting about making sure that decisions are made closer to the customers within businesses. And I'm pleased with the progress that we're making on those objectives.

If I quantify some of that in terms of run rate cost savings from our restructure program, we are saying with our release this morning GBP 134 million run rate cost reduction from the restructure program so far. Obviously, we set out last year GBP 400 million annualized run rate by the end of 2020. And at GBP 134 million to date, we believe we are actually on track.

You'll see more in the second half as we, flipping down to the bottom of the slide, as we make more progress on simplification. I've talked a little bit about the balance sheet and simplifying the portfolio. But internally, we're concentrating on introducing new systems, new processes. These are new systems dealing with people and talent management; finance and how we handle our finances; engineering, how we design our products; product change processes, how we ensure the integrity and safety of our products when we make design changes to reduce costs; purchasing and so on and so on. And these are not incremental tweaks to our systems and processes. This is where we're taking out as much as 50% of the steps in processes affecting thousands of people around the group.

So we've been putting the building blocks in place to make many of those changes over the last 12 months. And we're actually initiating using some of those, some of those new processes right now in Q3. And that will translate into further headcount reduction in the second half of this year. And so we expect to be at about 2,700 headcount reduction by the end of this year.

So now a little bit of a business update, looking around all the businesses. I'll start with Civil Aerospace, obviously our largest business. I'm pleased to see flying hour growth at 8%. That's ahead of market traffic growth. That's really because, of course, our fleet is growing, and it was pleasing to see that being driven by Trent 1000 and XWB.

XWB has also been a key driver in the reduction of the OE loss that we make, the loss that we make when we sell each engine. So on XWB, that came down by 1/3 over the last 6 months. And that contributed to an average reduction year-on-year of GBP 0.2 million or 13%, which we're quite pleased with.

Trent 7000. There were a few questions at the turn of the year around Trent 7000 and the rate at which we were able to deliver these engines. That rate improved in the first quarter of the year and sustained in the second quarter of the year. And so by the halfway through the year, we've delivered over 50 of these engines and we're comfortable that, that is now in production.

XWB, I mentioned growth is a driver for engine flying hour growth and unit cost reduction. If we just look at the stats for that particular engine now, it accounts for 11% of our fleet. So the reason we're so keen on things like the average cost of an XWB and the loss that we won't be making, that we'll actually be breakeven by the end of 2020 on XWB, is because it is the largest volume engine coming out of Rolls-Royce over the next several years. So far, that engine is with -- is operating very reliably with 27 airlines around the world and it's clocking up plenty of flying hours.

Business aviation. We shouldn't forget business aviation. There's a lot of emphasis on large engines when we talk about our Civil Aerospace business. 12 months ago, I stood here and surprised everybody with the launch of the Pearl family and the Pearl 15. We've now completed all the necessary certification around the Pearl 15 so that, that will enter service between -- sometime between now and the end of the year.

And it's up to the airframer and not us anymore because we've delivered everything we need to deliver in terms of a production standard engine. And that's giving us a lot of confidence around the Pearl family and the opportunity that, that gives us to gain further market share in the business aviation sector.

I can't not talk about Trent 1000. So let me start by saying this is still causing a number of our customers' significant disruption. And our main focus when we talk about Trent 1000, obviously we report it to the investor community, but our main focus is our customers because these are the people who've bet the farm on choosing Rolls-Royce engines for their Dreamliners, and we are causing some disruption. The good news is we're causing an awful lot less disruption than we were causing 12 months ago. The number of aircraft on the ground today is about half of what it was a year ago, which is very encouraging.

And that happened because we have got on with redesigning blades. We're now in the Pack C version. You can see Pack C accounts for approximately 50% of the Trent 1000 fleet. Every time we're replacing compressor blades on Pack Cs, we're replacing with certified new blades and so that engine flies off and it's healthy. And that's why I say that the health of the Trent 1000 fleet is steadily improving. It's a steady improvement because a lot of those engines are flying around absolutely fine and they won't need replacing for some time. So it is going to take us a while to roll the new design into all of the fleet. There's no need to do that immediately. The other versions of the engine, the redesigns of the compressor blades are underway. And we expect the TEN version to be ready for installation before the end of this year with Pack Bs following soon after that.

However, earlier this year, switching to the far right-hand side of the slide now, we did find that the reduced life expectancy of the high-pressure turbines on the TEN version of the Trent 1000 turned out to be even more reduced than we expected it to be. So the life limit of 1,000 cycles, let's be clear, is completely unacceptable for a typical customer. And so we were redesigning the turbine blades. However, we found that some of these blades come off a couple of hundred cycles before then and need replacing sooner. So even more unacceptable for our customers. We've obviously spent quite a lot of time and effort investigating this. We anticipate that this will affect around 1/3 of our TEN fleet. And you can see the portion of the overall fleet which is TEN, and so you can see what 1/3 of that would look like.

And in order to deal with that problem, at the moment, we're redesigning the blades. We're also managing those affected airplanes. That is putting an additional load on our repair and overhaul facilities. We've already grown our repair and overhaul facilities, but this additional load is extending the turnaround times in those shops. And that means that for the Pack Bs and Pack Cs in the middle of the slide there, we are going to take a little bit longer to return those fleets to a position of single-digit aircraft on ground. It is possible we'll get there for the end of the year. But it's also very possible that the polluting effect of the TEN will cause that to delay a bit longer. And that, unfortunately, is where we are. I'm still pleased with the progress we're making on managing and fixing all these issues, but the reality is that we've still got a lot of hard work to do before it's out of the way.

So that's Trent 1000. That's Civil Aerospace. Moving to Power Systems. Power Systems, this is a picture of a data center because quite a lot of our Power Systems products go into backup power supplies for a data center. I was very keen to have a data center picture that looked unambiguously like a data center rather than a factory, so you get the inside view, not the outside view. The reason I was keen on that is because this is a sector that, if we were actually playing in it, is growing at a compound annual growth rate of 25% or so per annum. So that fuels a huge demand for backup power, and that's why we're seeing such a lot of backup power demand in this sector for our Power Systems.

That's helped drive a very healthy order intake. And additionally, the regional penetration of these products is small in some parts of the world, and we see a fantastic opportunity to grow our market share in some of those areas. Our business here is much more resilient than that of some of our competitors, which is -- whose businesses are more narrowly focused on certain sectors. We have a very broad spread of applications in our Power Systems business, and that makes it much more resilient than some of our competitors. That regional penetration did contribute to some of the inventory build, by the way, and I think Stephen will talk about that in a few moments.

I'm pleased to see the operating profit performance as well. And if I look towards the right-hand side of the slide and look towards the future, we see a continuous evolution in the markets and applications for

our Power Systems business. And we're very excited by microgrids where our products are enabling the uptake of renewable power and renewable power technologies. And microgrids, generally, I had a picture of a train at the last presentation, that's a microgrid that hybrid trains -- a microgrid that goes along the railway track. We're seeing quite a lot of stationary applications now in renewable power, and we've established a joint venture activity or a partnership activity with ABB to accelerate that.

Defence. Defence really characterized by strong order intake and associated customer deposits that's coming with that. I talked about efficiency. And in the modernization box there, our facility in Indianapolis, we embarked on a modernization program a few years ago. We're seeing that come through now. We're starting to actually produce in the new facilities. We're busy demolishing some of the older facilities. And that extra efficiency is enhancing the profitability of those products, which is helping to offset some of the profitability headlines -- headwinds, rather, we're seeing in other parts of the business. It's been a healthy period for sales on the F-35. And it's been a healthy period for future products and future opportunities as well, both a couple there in the U.K., Tempest and the hypersonics program announced by the MoD a little while back, but also elsewhere around the world.

And finally, on ITP Aero, good to see the revenue growth there, as I say, heavily exposed to the Civil Aerospace sector generally. About half of the business being Rolls-Royce, so we know jolly well the growth that ITP is exposed to there. There was a temporary product mix effect, which we will see unwound. And we're actually investing in that business and continuing to grow it, investment in new facilities. As far as new technology is concerned, we're collaborating with the folks at ITP around some of our new technologies in UltraFan.

With that, I'm going to hand over to Stephen, and he's going to talk through the results in a bit more numerical detail. Thank you.

Stephen Wayne Daintith

CFO & Executive Director

Okay. Good morning, everybody. Thank you, Warren. So our results for the first half. First of all, a reminder of our reporting format. Our core business, Civil Aerospace, Power Systems and Defence and ITP Aero, that's our core business, and firmly cementing ITP in there as a core business for us.

Our half year results, pretty much as we expected 6 months in. Good revenue growth across the group, 7% core business underlying growth. And good profit growth as well, growing to GBP 203 million of operating profit. We also see the typically seasonal first half cash outflow. If you look back over the last sort of 5, 10 years, you'll see this in Rolls-Royce. We build in the first half of the year, we deliver in the second half of the year, so it's pretty typical seasonality. And I'll go into the drivers of the free cash flow in a little while.

Looking at the income statement through a slightly different lens, broken down into its parts. There's the revenue growth again. Gross margin, improving somewhat, the gross margin percentage, and actually quite pleasing when you consider that we highlighted the Civil Aerospace drag on gross margin in the first half of 2019 due to the mix of shop visits, and I'll come to that point shortly.

Commercial and admin costs, I'll talk about this, probably the one more disappointing number in our results today. We want to make more progress there. We expect to in the second half and even more progress in 2020. R&D costs are up slightly, but at cash cost, they come down because we're capitalizing less R&D than we did previously, just to explain that number.

There's the profit growth. The financing costs, that includes the first-time inclusion of the costs attached to the IFRS 16 inclusion for the capitalized assets, which come into our accounts for the first time as from January. And there's the cash flow number down at the bottom there and cash flow per share.

So looking at the -- on our revenue streams and the mix of revenue streams. All revenue streams growing nicely. I think probably what's most encouraging, LTSA service revenue, high-margin business, growing very well, 14%; organic change of 13% revenue growth. Service revenue is still growing nicely as well. A lot of this is the time and material type of revenue in Civil Aerospace on some of our older legacy engines. But OE revenue is growing at 4% around deliveries in Power Systems and Civil Aerospace.

And looking at the mix of our revenues. We now have 54% of our revenues as service revenues, and this is going to be a growing proportion of our revenue base as well. So higher margin and growing proportion of our revenue mix over the next 5 years.

So the progress on our key levers. Now these are the key levers that we called at our Capital Markets Day pretty much this time last year. And we highlighted 3 core drivers that between them would contribute GBP 1.75 billion of incremental cash flow to Rolls-Royce in the midterm.

Those 3 core drivers are: first of all, reducing the loss on the engines -- on the unit loss on each engine that we sell in Civil Aerospace, wide-body engine deficit reduction; secondly, the improved aftermarket cash margin, the receipts that we collect from our airlines in advance of the shop visits and the margin when you compare the costs, the receipts against the cost, and I'll show that in a second; and then bending the fixed cost curve, bringing down the proportion of our revenues that we put towards R&D, CapEx and commercial and admin costs.

Progress achieved against those targets on each of those. I'm going to go through the detail of them, but in short, we've seen a GBP 50 million benefit in the half on the OE deficit reduction. We've seen a further GBP 100 million benefit in the improved aftermarket cash margin. And we continue to bring down the proportion of costs that we're applying to R&D, CapEx and commercial and admin costs.

So a bit more detail on each of those. First of all, so GBP 200,000 improvement per engine, that's half year on half year. That's GBP 1.5 million to GBP 1.3 million half year versus half year loss per engine. Over 250 engines, that gives you your GBP 50 million benefit in the half year.

And you can see the wide-body deliveries, 257 delivered. We've put 14 in there, that's made up of 239 installed and 18 spare engines, 1 spare engine lower than the first half of last year. And I'll come back to that 18 number when we talk about the second half and what's anticipated there for spare engines. But we've also highlighted 14 engines here that have been shipped. They're sitting on the assembly line of the airframers. So that's part of our inventory build, this inventory that's just waiting for -- ready to be invoiced. We've got a further 36 completed engines in inventory, so 50 in total. At the end of the year, we'll be closer to 15, so I'll come back to that number shortly when I explain the inventory build.

Looking at the top right, a very nice and successful transition to the Trent 7000. So just comparing first half last year with first half this year, we invoiced 41 Trent 700s pretty much coming to the end of its OE life. But starting its OE life, the Trent 7000s, 61 -- sorry, 54 Trent 7000s and just 7 Trent 700s. So a very successful transition to that new engine.

Bottom left there, engine sales volumes. You can see how the mix is changing. These big 4 engines are going to dominate our OE production in Civil Aerospace over the next 10 years, which will shift -- make for, I would hope, a better coordinated supply chain and assembly line in Civil Aerospace as well and the benefits that will come from that. And there on the bottom right is the improvement that we've made over the various halves on the wide-body average loss per engine.

The aftermarket cash margin. The biggest single driver of our cash flow growth in the midterm is going to be the aftermarket cash margin. Remember that GBP 750 million aggregate improvement compared to 2017. In the half, we saw a GBP 100 million improvement half year versus half year. And what this chart does is highlight the income that comes in, at the top half of this chart and down at the bottom here are the costs to the income, is driven by the size of the installed base. The flying hours that, that installed base generates, 6.9 million engine flying hours this time last year, 7.5 million in the first half this year. That's an 8% growth. We're pleased with that growth. And that comes on the back of, if you recall, the 20% growth in the first half last year. So 20% and then 8%, that's 2 periods of good growth, driven by the installed base, the size of the installed base, but also the increased utilization of our engines as well. Being newer engines, that's an important factor in this one.

And then down below, what's the cost side of the equation? It's the cash costs, an important difference here. This is the cash cost of the shop visits that take place during the period. So in the first half last year, we had 137 major refurbs; and 141, pretty much the same number. These are the scheduled shop visits that take place.

The check and repair though, a very different dynamic. About 20% growth in check and repair visits. Shorter visits often at customer request and a big growth there in that. And that's driving the 18% growth that we're seeing in the long-term service agreement revenues in Civil Aerospace. That's the driver of that growth, not the engine flying hours itself. An important point on this one, we recognize the revenue and the profit in the aftermarket when the shop visit takes place. We're collecting cash all the time. We recognize the revenue and the profit only when the service takes place. That's why the volume of shop visits is an important dynamic.

One thing -- one more thing to say as well about this. Gross margin will be highly dependent period-on-period by the mix of shop visits that take place in the reporting period. In the 141 shop visits in the first half of this year, we had a lot more Trent 900 and 1000 visits than we had, say, 700 visits in the mix this time last year. 700, higher-margin business; 1000, 900, less good. And that explains the gross margin impact that we called out, the net potential negative gross margin in the aftermarket cash margin.

So GBP 100 million improvement in the underlying cash margin. Typically, we're expecting anywhere between sort of GBP 150 million to GBP 200 million per annum, so very much on track for the overall improvement in the aftermarket cash margin.

The third driver, bending the fixed cost curve. Core cash R&D at 6% of sales. Important to note here that we are coming out of investment cycle. We've brought to the market 7 new engines, Civil Aerospace, over the last 10 years. There's been a 70% increase in our R&D, looking at the bottom right-hand corner there, in R&D since 2010. So the 6% midterm ambition is very much in line with industry peers. If you look around, that's pretty much the industry standard, that 60 -- 6% there.

Core CapEx as a percent of sales, we've built capacity across our particularly OE line over the last few years to accommodate that ramp-up in OE deliveries. We expect it and aspire to a midterm ambition of 4% of sales. We're already in this year bringing down our CapEx by about GBP 75 million. R&D, should have mentioned, is coming down by GBP 100 million this year. That's the guidance that we've given. What you will see though in capital expenditure, you'll see a change in mix in CapEx over the next few years as we invest more in our MRO supply chain to accommodate that growing service business. That's certainly what you would expect.

C&A cost as a percentage of sales, I think this is where we would like to see more progress in the second half and certainly into 2020. And then finally, on the -- I just talk on the right-hand side there about R&D and CapEx. An important point as well is that the R&D cash cost reduction is largely driven by headcount reduction. The 1,300 heads that left the company last year as part of our restructuring, 2/3 of that were in engineering. So you would expect to see most of the benefits from restructuring that was carried out last year in our R&D line rather than the C&A line.

So -- and I should call out as well that what you will see over the next few years is R&D in Defence rising somewhat for some exciting initiatives that we have in there, largely around -- sorry, and largely around electrification, the growing investment there as well, which Warren talked about as part of his presentation.

So the progress on restructuring. The top part of this chart shows where we are year on -- for each reporting period on the gross headcount reduction, the net headcount reduction and then the cumulative at the end of the period. So at the end of 2018, we had a net headcount reduction of 1,300 heads, a gross reduction of 2,000. The first half, 540 gross headcount reduction; net 300. Therefore, at this stage, we're 1,600 heads into our 4,600 headcount reduction.

We have had some questions is that, can't you move at a faster pace? What we're addressing at Rolls-Royce is the underinvestment in technology, systems and process. And Rolls-Royce, over many years, its investment has gone into, as one might imagine, gas turbine engines. We're addressing that. So therefore, it's not so easy to take headcount out in the absence of that investment, which we're now putting back in to allow for the headcount reductions to take place.

During 2019, we will, notwithstanding that comment, see a further net headcount reduction of 1,400, taking us to a cumulative net headcount reduction of 2,700. And then in -- by 2020, delivering the full

4,600 headcount reduction. Table down -- at the bottom half of this table there shows the cash cost for each period and also the P&L charge as well. And highlighting once again the run rate savings at the period end of GBP 134 million that Warren called out.

Summary funds flow, really important slide. What we do with this table is we reconcile our underlying operating profit, the GBP 203 million that you'll recognize from those earlier slides, with the trading cash flow and, subsequently, the group free cash flow that we're reporting today. This is not the reported profit which, of course, is netted on a different base. So they have adjustments in between, we have Forex and so on, so this is the underlying operating profit that you saw in those previous slides.

Okay. So let's go through this. There are 5 key drivers of the free cash flow outflow of GBP 391 million compared to the operating profit of GBP 203 million. First of all, we do have higher profit, GBP 62 million. Inventory build, you'll see here inventory is GBP 433 million, higher than it was at the start of the year, not dissimilar though from the build that we saw to Warren's earlier comment in the first half of last year.

The Civil Aerospace net LTSA balance change, this represents the deferred revenue, the cash that we've received from our customers that we're not trading through the profit and loss account in the period. I've got a table that shows that in a second.

The movement on provisions -- sorry, I should say the change in net receivables/payables is GBP 391 million. That's almost entirely driven by the customer deposits that we saw in Defence that Warren mentioned, around GBP 300 million attached to those customer deposits in Defence, largely around 2 Ministry of Defence contracts and 1 Middle Eastern contract. So very good order wins there and the deposits that flowed with them. The movement on provisions of GBP 271 million, that's almost entirely made up of the Trent 1000 cash costs that we incurred in the first half of the year. Net interest paid and received, not much to talk about there.

And getting us down to our trading cash flows, let me just go through those key items, the 5 key drivers: the profit, the inventory build, customer deposits, the further growth in the receipts and the Trent 1000 costs. So the key drivers of the cash flow performance, underlying profit. Underlying profit across the group, clearly for the second half of the year, we're going to expect to see further improvement. If we're going to deliver our operating profit guidance of GBP 700 million, GBP 500 million of underlying operating profit expected in the second half of the year.

Inventory, down GBP 433 million. That reflects the typical seasonality and planned inventory build in Civil Aerospace and Power Systems. I've got a chart in a second that shows that detail. We expect to see in the second half of the year at least a GBP 500 million unwind in the second half. You'll recall that when we gave guidance for our 2019 cash flow, we did indicate that it would be an inventory upside or wind-down from the opening position at the start of 2019. So clearly, given that sort of GBP 433 million increase, there's a GBP 500 million-plus improvement expected in inventory in the second half of the year.

Receivables and payables, the inflow largely due to those customer deposits and advances of around GBP 300 million, driven by those recent order wins in Defence that I mentioned. Broadly neutral on trade receivables otherwise, and growth is offset by better overdue debt collection. And I have talked about this before, there's a lot that we can do on good old-fashioned working capital management of bringing in our aged debt better than we have done in the past. There's still lots of opportunity there.

Underlying increase in the deferred engine flying hour revenue, GBP 120 million. This is the contribution from the higher invoiced engine flying hours in excess of the revenue that we've recognized as our installed base grows. We recognize the revenue when the shop visit takes place. We collect the cash all the time, but only the revenue when the shop visit takes place. I've got a chart that shows this. It is lower year-over-year by GBP 175 million. That's primarily due to the absence of the material aftermarket deposits that we saw in the first half last year. We had one big customer that converted onto a TotalCare arrangement. There was a buying fee attached to that, that explains almost all of that GBP 175 million.

Provision utilization, the GBP 271 million, that reflects the utilization of the Trent 1000 exceptional provision. Total in-service cash costs were GBP 219 million. You can see the vast majority of that GBP 271 million. In the first half, it's worth highlighting that costs were not covered by a provision. We didn't have

a provision then. So those costs in the first half of the year of just over GBP 100 million would have flowed through the income statement, or the LTC balance, either of those 2. The remainder due to increased utilization of other provisions that we have around the group.

So inventory. Where does the build come from? And how does it unwind? That's what this chart does, and I'll try not to spend too long on here. There's a lot of detail in here. But in very simple terms, it's across the 2 businesses of Power Systems and Defence. So in Power Systems, there's been a build of buffer stock in India. We're moving the Series 1600 engine production from Friedrichshafen to Pune in India. We've got a joint venture with Force Motors, based down in the southwest of India. And they have partnered -- they're a partner of Mercedes, for example, a key partner with Mercedes. That comes online in the second half of the year. We've built buffer stock for that particular initiative to -- in anticipation of that move to India in the second half.

We've also built inventory for China. We're anticipating strong China sales growth in the second half. This inventory is built and in the supply chain on the oceans, on its way to China or into China, going through the supply chain, waiting to be invoiced in the second half. Very good visibility around that inventory.

Warren talked about building PowerGen systems solutions rather than moving -- changing our mix from loose engines towards a systems solutions. That has a longer lead time, for the build of those systems, and that's part of the inventory build as well. And again, that will flow through in the second half. There have been 1 or 2 project delays, particularly a large project in Chile, mostly customer-caused. And those projects, we're confident around those being completed in the second half and invoicing them.

And then finally, there were some earlier parts purchase in Power Systems to smooth the second half production as well, which will wind down during Q3 and Q4. So good visibility of how the inventory has got built, but also very good visibility of how it unwinds in the second half.

Civil Aerospace, inventory build for what we're anticipating to be a good delivery in the second half and good build in the second half, including 14 engines that are currently already on the airframer assembly line. Those will unwind, of course, in the second half. And there's, therefore, going to be a reduction of finished goods held in inventory right now. Right now, in inventory, we have 50 finished goods, 14 of which are on the assembly line. At the end of the year, we're looking -- our typical end-of-year run rate is about 15, so 50 down to 15 over the course of the year. That's, again, a key driver of the reduction. So there's a very clear pathway to reducing the inventory in the second half of the year.

The long-term contract creditor. An important point to think about the long-term creditor, this is all about revenue. It's not margin, it's not costs, it's revenue. It's the buildup of the revenue that we collect -- the cash that we collect, I should say, as our engines fly and the flying hours generate the cash from our customers. We debit the cash and we credit the balance. We started with GBP 4.5 billion on the balance sheet. We collect more cash as the half progresses, GBP 1.7 billion of cash collected. That's a function of the number of flying hours and the yield per flying hour. And then off -- we deduct from the creditor the revenue that we attach to a shop visit when it takes place.

So what we do under IFRS 15, we look at the stage of completion of the contract based on the cost that we've incurred and the cost to go. We know, therefore, what cost -- progress that we've made on the contract and we recognize the revenue that we then need to record in respect to that particular shop visit that's taken place. And we deduct, therefore, the revenue that moves then into the profit and loss account, debit this one and the credit goes into the P&L account.

There's an FX adjustment of GBP 150 million. And what this does is accommodate for the fact that you have a balance sheet here at a certain spot rate, you have a balance sheet over there at a certain spot rate, and in between, you have cash flows at our achieved rate. So we're accommodating and triangulating normally -- normalizing all of that. And there's an equal and opposite GBP 150 million that would otherwise be in the other line in the summary funds flow, but we've taken -- we've netted those 2 off for the ease of presentation.

So an important point, this is deferred revenue, reflects the difference between invoiced flying hour receipts and the P&L revenues traded. This is a piece of work that we did in April, May earlier this year,

following all the various calls that we had on this particular item and how it worked, but hopefully this simplifies it.

So looking at our balance sheet. We are well-funded. We've got liquidity of GBP 6.7 billion. You can see we've got net cash on the balance sheet at the half year of GBP 4.2 billion, debt of GBP 6.2 billion, that net position of GBP 1.9 billion. We've had a group free cash outflow of GBP 429 million. But we have got the proceeds from Commercial Marine, net proceeds of GBP 451 million. We also completed the disposal of Power Developments and that gave us GBP 29 million. We've got no material maturities coming up now until October of 2020. And we remain focused on our ambition to return to a single A rating. The drivers of the GBP 42 million higher financing cost, I highlighted that earlier on, it's the inclusion of IFRS 16 in those capitalized assets.

Our capital allocation priorities remain unchanged, a strong balance sheet and improving our credit rating, as I just talked about earlier. Funding organic investments, Warren talked much about this, to drive growth and technology leadership, particularly in the current environment of the airline industry and coming under close scrutiny with environmental concerns.

Payment to shareholders, increasing our dividend as free cash flow grows, an important ambition for us, and Warren alluded to that earlier on. M&A, we'll be disciplined and selective. I think it's fair to say that the focus right now in Rolls-Royce is driving operational improvement of our existing business rather than looking at M&A priorities.

We're committed to restoring our shareholder payments to an appropriate level over time. Free cash flow will be the key driver of growth and best indicator as the time -- when the time to do that. And we view it in the context of overall capital allocation priorities.

Business unit review, just running through our businesses one by one reasonably quickly. Civil Aerospace, organic revenue growth of 11%, good growth. And you can see that strong services growth there of 18% that I mentioned earlier. But also strong services growth in time and materials, growing at 17%, still growing very, very nicely. Gross margin improvement, notwithstanding that mix of shop visits that I alluded to earlier, and you can see the progress we've made on the operating loss.

Civil, very much moving towards profitability. We gave guidance at closer to breakeven. You never know, with a fair wind we might even see profitability in the second half and perhaps even on a full year basis, but we shall see. Lots to do still. The drivers, highlighted down the bottom there, anything else that I haven't called off. Gross profit and margin, of course, is improved by the OE losses. And what else? I've talked around those. The operating loss improvement, perhaps not as great as one might have thought. The R&D charge is higher, and the C&A cost increase is impacted by the absence of prior year credits that was in the 2018 number.

A little bit more detail, OE revenue growth. Good OE growth of 6%. Strong growth in business jets as well. These are offset by a material decline in the V2500, which is now pretty much a service revenue business for us. Services revenue growing by 18%; that 20% growth in large engine shop visits that we called out earlier. Business jets, again 29% growth, led by again the volume of shop visits but also some positive catch-up adjustments in that business.

Large engine fleet, I've talked about these numbers, up by 7% year-over-year; 8% flying hour growth, very good growth against that challenging comparison of 20% growth in the previous period. The outlook, around 10% revenue growth, Civil Aerospace, profit closer to breakeven. This is unchanged guidance from that which we gave in April this year when we gave our full year results for 2018.

Power Systems. Notwithstanding some market nervousness about these markets, very good growth in Power Systems, 6% revenue growth. Gross margin improvement and decent profit growth as well. A strong second half expected for Power Systems. Revenues will be about GBP 500 million, GBP 600 million higher than the first half as well. And a strong profit contribution from Power Systems in the second half of the year, very much a reflection of that delivery on that inventory build in the first half of the year.

OE revenue growth, 6%. Warren alluded to this and showed the photographs, strong demand for Power Generation products in data center markets. And this growth that we're reporting, despite the

nonrecurrence of the 2018 pre-buying effects on the emissions regulations around construction and agricultural markets, so very pleasing revenue growth with that potential headwind.

Services revenue growing at 7%; and an increase in the installed base, well over 150,000 engines in Power Systems. And good progress in the LTSA strategy. It's growing nicely, still only 7% of service revenues but growing nicely. And again, good order intake in Power Systems, so good confidence around 2020.

Looking a bit more, then moving on to Defence. Underlying revenue growth in Defence for -- I think the story for Defence the first half of the year are some big order wins and some big customer deposits and a good book-to-bill ratio and a good order book ahead for Defence. So a very solid performance for our Defence business. Gross profit is higher as well. Operating margin is stable despite the higher R&D spend on future technology with some good C&A improvement there.

The gross profit is hit, to an extent, by the lower U.K. combat profits, offset by benefits from the operational efficiency in our facilities. You recall the Condor investment, the benefits very clearly flowing through there to protect us against what would otherwise be dampened margins due to the cessation of the Tornado support contract.

Breaking that into a little bit more detail. Revenue growth, 4%, combat and naval growth, in particular, although lower transport volumes, particularly on the medium-range tanker transport engine. Service revenue growth of 1%. Strong order book, GBP 2.3 billion of orders coming in and a 1.5x book-to-bill. So really strong order performance in Defence in the first half of the year.

And then finally, ITP Aero, good revenue growth driven by higher Civil Aerospace OE volumes across Trent and the Pratt & Whitney programs. So the aftermarket decline is due to phasing there. And we called it out there that we've got lower high-margin aftermarket sales in this mix. So it's a mix impact in ITP in the first half of the year. We very much expect it and have good visibility around the unwind we expect to take place in the phasing in the second half of the year and maintaining our guidance at that 10% revenue growth and margin stable against 2018.

So just highlighting there that the margins are at lower levels of high-margin spare sales. That will improve in the second half. And they've got temporary OE mix headwinds that is, again, dampening the profitability in the first half of the year that will unwind in the second half.

So the guidance for 2019. Here's how we get from our GBP 400 million outflow in the first half of the year to a GBP 700 million inflow on a full year basis. Three big drivers of contribution: one is the higher underlying profit led by Power Systems, improvement in ITP Aero and Civil Aerospace moving closer to breakeven. In aggregate, contributing around GBP 500 million in the second half.

We're going to see at least a GBP 500 million unwind of those inventory levels in Civil Aerospace and Power Systems. And one point, I think, that's worth making on inventory is that we should expect to see inventory improvements and we should aspire to inventory improvements over the next 5 years. We carry GBP 4 billion of inventory on our balance sheet, which is around 6 months' worth of inventory. So there's a lot to go for in this space even after having done this unwind that we're seeing in -- that we are expecting and looking for in the second half of the year. Very good visibility around that.

And then the final piece is the GBP 100 million contribution from the growth of the engine flying hours ahead of sales. That's the deferred revenue, the long-term contract creditor growing by that much. And those are the 3 core drivers that get us to that GBP 700 million inflow on a full year basis.

Guidance. This slide is unchanged from the one that you saw earlier in the year and very much a further good step towards at least GBP 1 billion of free cash flow in 2020.

Thank you very much.

D. Warren A. East
CEO & Executive Director

Thanks, Stephen. I'm just going to make a few comments before we hand over to Q&A. And I thought we'd start with a little bit of an external perspective on the markets in which we're playing.

Top half of this slide, Civil Aerospace. There's been quite a lot of discussion about the wide-body market and its condition. So as we look forward, we look at the -- in terms of shipments of airplanes and, therefore, engines for us, we can see the airframes that we're designed into at the moment. And we can see what the airframers are predicting in terms of build rates, and that translates into an engine delivery rate as far as we're concerned. And if I'd been standing here a few years ago, you might have seen about 600 in that box. And you're looking at 500 today. That is where we are in terms of build rates.

When we analyze that, however, it is just putting into numbers what we have been saying in various investor meetings over the last year or so. After a period of ordering above trend, then we're seeing actual shipments of airframes align more closely with the underlying rate of growth of demand in the market. And that looks like about 500 engines over the next several years.

Don't forget, our installed base is comprised of the engines that are there, minus the retirements, plus the engines that get shipped in the period. And so the installed base that we expect to see in a few years' time, we can see going through the 6,500 mark in a few years' time. The 257-or-so engines invoiced in the first half of the year, offset by about 36 retirements in the first half of this year, so there's this kind of picture there. Actually, the installed base is probably the more important number for us, but we mustn't ignore the rate at which we're modernizing our fleet. That's the market environment.

In Power Systems, market environment there, I'd characterize that as what are the drivers there? And we're seeing a couple of drivers. We're seeing really environmental concern causing people to want cleaner power solutions. That's creating opportunity for us, particularly around microgrids and the like. We talked about data centers. It looks like that's set to continue for some time, data centers, and also expansion into parts of the world where we, frankly, don't have that much of a market share which we think we can go after. So those are the drivers there.

In Defence. Then in addition to the standards that you see on the slide there, which is really our key markets, I mean the U.S. customer for us is approximately 50% of our Defence business, the U.K. is approximately 25% and the rest of the world is the remaining 25%. And you can see the reasons for growth there. I think in addition, we're seeing new technologies. And particularly in the U.S., we're seeing investment now going into new technologies for Defence. And electrification plays across all 3 of these sectors. In Defence, it's much more about capability than environmental concern. So that's really the -- and I've already covered ITP Aero effectively in Civil Aerospace.

That's an external view. As far as we're concerned, we have a strategy which is unchanged. So this is a slide with which you are familiar. We think this is a framework which equips us well for the future. Activity in the first half was good in supporting these various initiatives, and I think the commentary that came out of the Paris Air Show demonstrates a healthy momentum there. So I'm not going to talk about that in more detail.

The power that matters is increasingly low carbon. We don't propose that Rolls-Royce is the panacea that's -- the company that's going to solve all the world's climate problems. We can play our part, however. And similarly, electrification is not the one answer to everything, but it will play a significant part in that. And electrification really flows through all of those boxes on the slide.

So just to summarize where -- what we're up to this year and looking forward. We broke it down. This is a slide I showed you a couple of months -- a few months ago. We look at customers, we look at technology, we look at what we're doing inside and how all of those translate into financial progress. I think we made, as I said at the start, good progress in terms of financial metrics, good progress both operationally and strategically as well in the first half.

But I stop at this point, and we'll go on to some questions and answers.

Question and Answer

D. Warren A. East

CEO & Executive Director

First one. We need to move the microphone along.

Unknown Analyst

I'd like to ask 2 questions, if possible, which are quite different from each other. Firstly, on working capital, we can have a really good go, I think, at modeling LTSA, cash profits and so on. But the, if you like, the conventional working capital, the other working capital is extremely hard to model. It's very volatile period-to-period and it was a big positive in '17 and '18. So what I wanted to ask was, what are you assuming within the GBP 1 billion free cash flow in 2020 and the GBP 1 per share of free cash flow subsequently? And are there any clues as to how we model that, if you like? What set of assumptions should we apply going forward?

And then should I ask the other question at the same time? The totally different question really for Warren is you've called out the electrification issue very early, and agree with your enthusiasm about it. The motor industry is a little bit further down the line. It's going through a big process of consolidation, JV-ing and so on, to sort of cope with the cost of that. Rolls-Royce is, if you like, medium size within the aerospace industry. And UTC and Raytheon, at least part of their rationale for their merger, is that they need to be bigger to cope with practical electrification. So where does Rolls-Royce sit in, in that? How are you going to afford it going forward? And how does that sit with the 4% to 6% R&D as a percentage of sales sort of aspiration that you outlined?

D. Warren A. East

CEO & Executive Director

Okay. Want to do working capital?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So working capital, so what have we modeled for 2020? Well, I think you'll be relieved or pleased to know that we haven't modeled any benefit from either receivables or payables in 2020 in our working capital models. We have, however, modeled further improvement in inventory reductions, which, going back to my earlier comments, I think, is very attainable. In our very simple model, we have between GBP 200 million to GBP 300 million of further improvement in inventory. That's beyond that which we expect to deliver in the second half of 2019, but nothing well beyond that.

D. Warren A. East

CEO & Executive Director

Okay. And on the electrification question, well, I think it's early days at the moment. But I would point out that one of the reasons why we are so keen on the activities that go on in our Power Systems business is because our Power Systems business is exposed to applications where electrification is playing a key role today. And so I've always said that it's much better, I think, to develop our technologies, systems solutions and the like with real customers and real applications rather than develop them in a lab and then hope you can fly them one day. And that's what we're doing with our Power Systems business.

So as far as the 4% to 6% is concerned, 2 things: one, we're developing a lot of that technology on the back of existing revenue today; and secondly, I think you have to remember the context. As Stephen mentioned, we've been through a period -- a whole decade, actually, of huge investment in R&D to deliver our gas turbines that we have as -- in the portfolio today. The Pearl 15 was the seventh new production engine in a decade. And I said on the wires call this morning, that is the richest period of new engine development for Rolls-Royce in its entire history. We don't have to develop those engines anymore.

They're developed. Obviously, we're spending time and effort taking cost out of them, improving the efficiency, improving the durability and so on.

But we're already seeing the ability to basically shift resource away from those programs and deploy some of that resource. Had I had more time to talk about the last slide, I would have talked about the changing skill mix that we're looking for, different shaped engineers and so on. But basically, we believe that we can approach this problem with the resources that we have within the R&D envelope that we currently have. I mean when I say within, it will fluctuate by perhaps GBP 100 million or so in either direction, but it is quite a substantial level at the moment.

Unknown Analyst

Can I just follow up slightly on the working capital question? I mean normally, a growing manufacturer, you'd expect to use working capital a bit, although obviously you feel that you can squeeze inventory somewhat. So for our sort of longer-term modeling assumption, should we just sort of grow working capital with sales? Or do we assume that you can beat that?

Stephen Wayne Daintith

CFO & Executive Director

I think you can assume that we can beat that. And the reason why is that I do think there are opportunities, there are opportunities in receivables. I think there are old debts there to collect that run into small hundreds of millions of pounds to go for. And inventory durations, we can do a lot better on our supply chain to synchronize our supply chain than we do. Our S&OP process, sales and operations planning, is not what it should be despite all the effort that goes into it. So I think there's -- I'd point to the inventory opportunity as a way of dampening those what would otherwise be headwinds, as you've rightly point out, whether working capital outflows and challenges from the growing business.

But the one thing I would point out, it is -- whilst it's easy to model working capital, it's very difficult to know for certainty. Because, of course, you can have some big order wins in Defence, as we've seen in the first half that help, which is good news. And that's part of the characteristics of that business. So we have got a very clear model. It's largely around inventory improvement to offset any working capital drag.

D. Warren A. East

CEO & Executive Director

Okay. Going back.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

It's Andrew from Berenberg. Two questions. One on OE losses and one on Defence. So on the OE losses point, I think you said the XWB was down by about 1/3 on -- in scale terms. So firstly, how much of that was operational? And how much of that was pricing? And then a kind of follow-on from that. Overall, can you say anything about the other engine programs? Did they actually contribute? Or was it all driven by XWB?

And then on the Defence question. I think, Warren, you said several times about the profit headwinds in the Defence business being offset by operational performance in the U.S. What exactly was that? Is that just a mix? I think you said about the Tornado contract. What are we talking about, some kind of structural shift here that's just being offset by new facilities?

D. Warren A. East

CEO & Executive Director

Okay. Shall I just answer that Defence one and you can look up the numbers on the engines. So on the Defence one, I said that 1/2 the business is roughly U.S. and 1/2 -- and 1/4 is the U.K. and 1/4 is the rest of the world. We are seeing particular pricing pressure in the U.K. with single-source regulations and the like. And if it were not for operational efficiency gains elsewhere, then that would be showing through in the numbers. So that's the offset that's happening. There's more efficiency to come. We've only just

started. Our Condor program doesn't really finish until end of this year, beginning of next year, when we've got all the overhead cost out that is coming from withdrawing from the older facilities. But when that is in place, we will have executed a program to improve basically the fixed costs of running our operation in Indianapolis. And that will continue to be a benefit.

I think on Stephen's slide, there was something about profitability in Defence over the next few years. You will see a bit of investment in R&D. I talked about new opportunities in Tempest in the U.K., hypersonics in the U.K. I talked about the success that we've had with Bell on vertical lift in the U.S. There are also opportunities around B-52 that we are very optimistic we've got an excellent solution for reengine-ing the B-52. It's great that we've got an excellent solution, but we don't get it designed in without investing a little around that excellent solution to make sure that it gets designed in and then to make sure that we can produce it at a sensible economic cost. So there is, over the next several years, a little bit of a profit headwind in Defence caused by some increased R&D.

Stephen Wayne Daintith

CFO & Executive Director

But I think a key point is that Defence will remain a nicely profitable margin business for us. It's on the margin that we're talking about.

D. Warren A. East

CEO & Executive Director

No, but those OE loss reduction on XWB, yes, it is a mixture of continued removal of launch discounts from the mix and ongoing cost reduction. And XWB is the biggest driver of our average cost reduction. But those cost reduction programs are running across -- or the cost reduction activities, rather, are running across all the engine programs. And it depends whether it's a particular component change or a change in a methodology. If it's a change in the methodology, which we are introducing, creating a lot more automation in our component production facilities, then clearly that applies across all the engine programs.

Andrew Edward Humphrey

Morgan Stanley, Research Division

It's Andrew Humphrey at Morgan Stanley. Three questions on 3 different engine programs, if I may. First, on Trent 1000. As we look over the next couple of years, there still seem to be quite a few open slots where aircraft have been ordered but don't yet have engine orders attached to them. So how should we be thinking about that? Are you seeing any change in terms of customer body language around preparedness to order? How tight they can get to the delivery slot before ordering?

Second, on the Trent 7000. The A330 was a particular area, I think, where Airbus has seen some pressure from Boeing on the 787. I think you've indicated you've made some concessions on aftermarket pricing for that engine to make that aircraft as a package more affordable for customers. How material an impact on that -- on medium-term cash flow targets is that in the mix?

And thirdly, on XWB, I think we're coming up to the 5-year anniversary of some of the earliest engines in service. We should start to see material volumes coming in for first shop visits over the next year or 2. Can we draw any conclusions, I guess, from the earlier engines that are anniversary-ing their 5-year period at the moment?

D. Warren A. East

CEO & Executive Director

Gosh, 3 questions, all Civil Aerospace. So on Trent 1000, our assumptions are that we maintain the market share that we have today, that we -- which is approximately 35%. On a customer-by-customer basis, if the customer is a Rolls-Royce house, we would say we're more likely to win that, but we're not taking anything for granted. And we celebrate if there's a bit of a turnover. And I'm sure that the other guys do exactly the same. It is quite aggressive at the moment. However, if you look in the first quarter of the year, we were very successful. We took 100% of the orders in the first half of the year -- sorry, first

quarter of the year on 787s. We have subsequently lost a couple to GE. We're not surprised to lose Qatar. They're an existing GE customer on the 787. We were disappointed to lose Air New Zealand. However, it was a small volume. It was only 8 aircraft, and the customer told us there was an extraordinary offer that was non-refusable from our competitors.

And whilst -- moving on to the second bit of your question really around A330. Whilst obviously in a competitive environment, one needs to respond to aggression with aggression, there are limits of commercial common sense. And so we won't always go there. We will endeavor to be aggressive in secure business where we can. I don't think there's a material sort of center of gravity shift going on. There's always a spectrum. And we have a sort of expected business case. And we are taking some business way above that and some business way below that, and we look at it on a portfolio basis. And that applies to how we do Trent 1000 and how we sell 7000s on the A330neos at the moment as well.

And yes, of course, we have seen Boeing be very competitive towards Airbus and the Dreamliner pricing, I mean, now and giving the A330neo a run for its money. But actually, in the first half of the year, I think if you look at the mood music now compared with 12 months ago, then the story on A330neo is really very different from where it was 12 months ago.

On XWB shop visits, it's still a little bit early to draw any conclusions. The fleet leaders are -- well, the fleet leaders are getting to the time when it's due, but actually the engines are performing very well. And so they're not actually -- we haven't had as many shop visits as we would have expected so far. We do expect those shop visits to start happening as we get towards the fourth quarter and into the first half of next year. And so probably next March is a better time for that question.

Stephen Wayne Daintith

CFO & Executive Director

And just on that pricing point that you mentioned and how it might impact medium-term cash flows. Very little, is the answer because, of course, it will only represent a very, very small proportion of our installed base, which will by then be 6,000-plus engines. So a tiny impact. Margin compression on that particular engine program, to an extent, but still the volume impact will offset that of the size of installed base, the growing installed base and the flying hours and the cash that, that generates.

D. Warren A. East

CEO & Executive Director

We have some coming from online, and I'm conscious of the time and the online demand. So should we just, do you mind, just switch to online for a moment and then we'll come back.

Jennifer Ramsey

Head of Investor Relations

All right. We've got -- well, there are quite a few online. So I will do a four-part question, apologies for that.

Firstly, on free cash flow seasonality, a question about industry seasonality and why it's stronger in H2. And Airbus -- it's obviously an issue for Airbus. And Airbus have spoken about their ambition to fix it and whether or not we have any ambition around that.

The second question is on sustainable share of time and materials aftermarket growth because that has been very strong, and it continues to be strong, was strong in last year as well.

A question about our capacity. We've now spoken about delivering 500 large civil engines per annum. And previously, we've spoken about 600 and having a capacity of 600. So what would we be doing with any extra overhead recovery if we were actually delivering 500 per annum?

And then finally, on the LTSA, we have a question that talks about how quickly we would burn through the creditor. And given the fact that we've come down -- it's GBP 120 million this year, would this reduce to 0 in terms of on a 12-month run rate? The question is whether our order backlog would reduce to 0 and the LTSA creditor reduce. And if you can discuss a little bit more about the LTSA creditor.

D. Warren A. East*CEO & Executive Director*

All right. We're going to start off. Stephen is going to answer the first one about seasonality.

Stephen Wayne Daintith*CFO & Executive Director*

Yes. So seasonality, it's a good question because you can say, well, why is there seasonality in the industry? Because there isn't, engines are flying all the time and passengers are flying and so on. So why seasonality? I think it's just the nature of the industry. Just sort of, there's a -- it's build first half, deliver second half. And you'll see it's across the industry. The Airbus have the same issues. We know that other engine manufacturers with exactly the same issue as well. So that's just the natural cycle. There's no clever answer to this, I'm afraid. That just seems to be the way that the industry operates.

D. Warren A. East*CEO & Executive Director*

We'd love to smooth that out, if they want to. I think it will make a difference. And we're a supplier, so we will naturally benefit from their initiative.

Time and material is longevity. I mean time and materials contracts generally apply to older engines. And our older engine fleets, and there are a couple of portions, there's a regional fleet and a large fleet. The large fleet is about 1,000 engines at the moment. So out of around 5,000, we've got roughly 4,000 Trents and roughly 1,000 older engines. They are time and materials. And gradually, those engines are retiring.

But what we're seeing is that as older engines transition to subsequent owners, there is a greater propensity to move to time and materials or some of the long-term service agreements with Flex, with a greater proportion of a greater time and materials content even though it's a long-term service agreement. And so I think its longevity is going to be there to stay. The only thing that would destroy it is if we made our insurance contracts of the long-term service agreements so attractive, that it would wean people off time and materials. But you don't get something for nothing in this world. And if we made them so attractive, then they'd probably become less profitable for us. And so I think the mix is here to stay.

Overhead recovery. Well, I know the engine volume is reducing from 600 to 500. But don't forget, there's an installed fleet out there of nearly 5,000 engines today, large engines. Most of Rolls-Royce production facilities are used to create components. And a lot of those components are going into servicing the 5,000 engines rather than assembling the 500 or 600 engines. And so I think there's -- obviously we will, in terms of variable cost that would be dedicated to assembly, then we can respond to that change quite quickly and take the cost down. But as far as the fixed cost of installing capacity are concerned, it is mostly around the components. And so I don't see a serious issue with that.

And when we think about LTSA?

Stephen Wayne Daintith*CFO & Executive Director*

No, I mean it's a good question. As you might imagine, we model this as well. I mean essentially, it's a function of the size of our installed base, the flying hours that generates, the utilization of our engines and then we also model the shop visits that go with that installed base. And our plans assume a growing installed base. And if we look over the next sort of 5 to 10 years, a rule of thumb, a good rule of thumb is that the long-term contract creditor should grow by around anywhere between GBP 300 million to GBP 400 million per annum. That's a good rule of thumb. It can vary in that space according to shop visit experienced during the particular period.

And therefore, the GBP 4 billion will carry on growing. That deferred revenue on the balance sheet will carry on growing. That will ultimately trade through the profit and loss account in time when the shop visits take place, but it should carry on growing. So I won't put a number on it on that sort of what the number might be in 10 years' time. But if you use that sort of simple maths that I've given, you can get there. But certainly, it's not going to be winding down. It's still going to carry on growing.

D. Warren A. East

CEO & Executive Director

Okay. I think we better come back here into the room. Have we got any more online, by the way? Okay.

Harry William Freeman Breach

MainFirst Bank AG, Research Division

Harry Breach from MainFirst. Can I just pick up, firstly, just the T&M question that got asked online. Just the 17% year-on-year growth in the first half, just in terms of trends you're seeing at the moment in the shop network, are you seeing that sustaining July, August at the moment?

And then second question, if I can, and forgive me if I missed an explanation to this earlier on. But just the point of view about no longer accruing deferred tax in the U.K., a sort of a simpleton like me might assume that, that might indicate you're not assuming much taxable profit generation in the future in the U.K. Can you correct my mistake and just help us to understand a little more about why we didn't accrue that?

And then finally, again, I'm a bit of a simpleton. The hedge book, I think, in the release you said still at, what, \$1.54? We're 3 years after sterling started to crater following the Brexit vote in June '16. Can you just help me understand why the hedge book rate is still so much so far above spot?

D. Warren A. East

CEO & Executive Director

Yes, sure. The short-term time and materials...

Stephen Wayne Daintith

CFO & Executive Director

You do the time and materials, and I'll do the next 2.

D. Warren A. East

CEO & Executive Director

Yes. Okay, right. So unfortunately, Harry, that's just too short term. I'm not going to comment on that. I mean most of our day-to-day MRO discussion right now is about juggling things around to make sure we have sufficient capacity to deal with our customers that are getting disrupted by the Trent 1000 situation. And so that's our #1 sort of MRO issue that we deal with.

I think the growth year-on-year in time and materials is clearly not a sustainable level of growth. I mean all of these things will trend to the underlying growth of market demand for air travel. But you saw a little blip and it's a healthy, healthy blip that we have at the moment. And such things will happen from time to time.

Stephen Wayne Daintith

CFO & Executive Director

Okay. So the deferred tax asset. Well, first of all, what is it? So well, it's GBP 1.1 billion. That represents the tax, in very simple terms, the tax, the U.K. tax on the cumulative U.K. tax losses that we have that we will use in the future. So there's no time limit to using those losses. We will use them. Deferred tax asset stands at GBP 1.1 billion at the end of 2018.

When we look at the recovery period, in other words when we're going to recover those tax losses, it's actually a 25-year-or-so recovery period for those tax losses in the U.K. In the U.K., we make losses using a round number of around GBP 500 million. We make very good profits in the U.S. And in Germany, we get taxed from those profits in those jurisdictions. But in the U.K., pay very little cash tax in the U.K., so of course, we're making losses in the U.K.

So in order to use that deferred tax asset, we have to be making profits in the U.K. And the recoverability period for the full GBP 1.1 billion, to get full use of that, is 25 years. We took the view that it was prudent

to draw the line at 25 years. This assumption makes no change whatsoever to cash flows. It's just the effective rate of tax because, of course, when you've got a very small profit number and you're not getting any benefit for that GBP 500 million or so of U.K. losses, you're being charged on your U.S. and Germany profits, giving you a very high tax charge on a very small profit number, resulting in that very high, if not loss number, that very high effective negative tax rate, if that makes sense. I hope it does.

Harry William Freeman Breach
MainFirst Bank AG, Research Division

So would that effective tax rate be one we should model at continually?

Stephen Wayne Daintith
CFO & Executive Director

No, not at all. I mean just to put this in perspective, if we didn't have that effect, we're probably down at a 40% or so tax rate this year. Long term, what you should model, as we move into U.K. profitability, is something in the low 20s, which is really the -- what you might expect because that's a mix of the U.S. and Germany taxes both in the low 20s and the U.K. tax rate is at 17%. So that's what you should be modeling from sort of -- well, I won't put a date on it. But in the medium term, we should be modeling a low-20 tax rate. But the key, of course, is turning to profitability in the U.K.

And then the hedge book, yes, you're dead right, we did have a full hedge book of in excess of \$40 billion. We have been winding that down to an extent through natural usage. But also, we haven't entered into any new hedges in the last, what is it now, the last 8 months now. So we were already locked in at that \$1.54 rate that we're seeing for 2019 several years ago. And indeed that has been the rate in '18 and '17 as well, there or thereabouts.

You will start to see decline over 2020, 2021. And then in '22 and '23, you'll start to see, if you look at the shape of the hedge book, a sharp decline, assuming we don't take out any hedge rates. But even if we were at the forward rate, we would still see a material decline in our achieved rate. So it's going to be some time before we start to see the benefit -- the real benefit of the achieved rate being significantly lower and, therefore, taking benefit of that strong dollar. Just reminding ourselves, we have around \$6 billion of cash inflows coming into this business to pay for U.K. costs every year.

D. Warren A. East
CEO & Executive Director

Okay, thanks. I think that has to be the penultimate question, I'm afraid. So we've got time for one more because some people have to go.

No? We've got one more on -- should we do the last one from online then? Yes, Jennifer.

Jennifer Ramsey
Head of Investor Relations

Sure. Can you just quickly comment on restructuring plans? Because the results talk about exceptionals related to the June '18 restructuring plan, but there are other restructuring charges as well. Can you talk about the other restructuring?

D. Warren A. East
CEO & Executive Director

There were a handful ongoing before June. Do you know the numbers?

Stephen Wayne Daintith
CFO & Executive Director

There's no material change to what we highlighted at the full year other than an increase of around GBP 60 million in our provision for the cessation of the Airbus 380 program.

Jennifer Ramsey

Head of Investor Relations

Yes. It is related to restructuring.

Stephen Wayne Daintith

CFO & Executive Director

I'm sorry, well, we've given the numbers that we've highlighted today. Nothing to add beyond that, actually.

D. Warren A. East

CEO & Executive Director

I mean there were some ongoing restructuring programs in place when we announced the program that we talked about a year ago in June '18. And I would imagine the exceptionals being referred to are from those legacy restructuring programs that are still happening at the same time as we're doing this major activity.

Stephen Wayne Daintith

CFO & Executive Director

They primarily relate to Power Systems and our Defence business with the closure of the Oakland site.

D. Warren A. East

CEO & Executive Director

Okay. With that, I'm afraid we're out of time. But thank you all very much for coming along and for your support.

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Rolls-Royce Holdings plc LSE:RR. Shareholder/Analyst Call

Thursday, May 02, 2019 11:00 AM GMT

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CEO & Executive Director

Ian Edward Lamert Davis
Chairman

Presentation

Ian Edward Lamert Davis*Chairman*

Well, good morning, everyone, and welcome to the Rolls-Royce Annual General Meeting. I hope you didn't have too much difficulty getting here. I know the traffic has been very, very difficult around Central Bristol, but very, very pleased to see you all here.

My name is Ian Davis. I'm your Chairman. And I'm joined on stage by Warren East, our Chief Executive; Stephen Daintith, our Chief Financial Officer; and members of our Board Committees, Lewis Booth, Chair of the Audit Committee; Ruth Cairnie, Chair of the Remuneration Committee; Sir Kevin Smith, Chair of our Science and Technology Committee, who's also our Senior Independent Director; and Irene Dorner, a member of the Safety and Ethics Committee and our employee champion on the Board.

You will shortly hear from Warren, who will provide a review of 2018, and then we'll move on to the formal business of the meeting. But first, I'd like to highlight a few key developments.

We entered the year with a refined vision and strategy and the determination to improve our efficiency and operating performance. During the year, we embarked upon an ambitious restructuring program and increased the focus of the group by rationalizing our portfolio and simplifying our corporate structure. Your Board and management absolutely recognize the need to improve our operational competitiveness and performance. This is an ongoing task, but signs of progress are increasingly clear.

After a period of heavy investment, we're focused on generating strong returns and the cash flow that will allow us to compete even more effectively in what continue to be attractive growth markets. During 2018, we took a significant step on this journey.

Our performance has improved significantly from the position in which we found ourselves 4 years ago and we further strengthened our balance sheet in 2018. However, it is sustainable free cash flow upon which we must base our shareholder payment strategy, and we still have work to do in order to deliver that. It remains our stated objective in the long term to progressively rebuild payments to shareholders to an appropriate level, subject to the cash needs of the business.

We did experience setbacks in the year, the most significant of which were the operational issues with our Trent 1000 agent -- engine. This has caused pain for us and, even more importantly, for some of our customers. This has been an area of continued and continuing focus and oversight by your Board. And I would like to praise the sterling efforts of our engineering and customer support teams in addressing these issues while maintaining our absolute dedication to ensuring product safety, which is and always must be our most important priority.

You will have to be relieved to hear that I do not intend to spend much time on the U.K.'s withdrawal from the European Union. Suffice to say that we took steps to prepare for different potential outcomes, with a particular focus on supply chain continuity and retaining essential capabilities. We have continued to brief the U.K. government, other governments and regulatory agencies on our Brexit-related issues and your Board is regularly updated on our risk mitigation activities. These measures remain in place today as we await clarity on the political situation.

Strategically, we continue to invest in the innovation that will help us realize our goal to be the world's leading industrial technology company. During 2018, we increased our momentum on technologies to protect the competitiveness of our core products, on digital technologies to drive productivity across manufacturing, design and services and on developing hybrid electric technologies. Hybrid electric and all-electric technologies are becoming increasingly important across all our markets. We have always pursued clean, safe and competitive solutions to deliver society's vital power needs. With rising prosperity and increased demand for power on one hand and the impact of emissions on the other -- on the climate on the other, this task is becoming more and ever more urgent. We have a crucial role to play in creating

cleaner, more sustainable and scalable path for the future. Our ability to help customers and society with the transition to lower carbon solutions is and will be a critical priority for your board.

We also understand that technology in and of itself is no guarantee of success. We must have a high-performing culture with a diverse and ambitious workforce capable of sustaining our innovation.

During the year, significant work was carried out to reinforce the behaviors that we need to foster our work environment where every employee can be at their best. In addition to generating exciting growth and technology options, we must strengthen our culture in order to retain and attract the talent we need for the future.

Delivering a long-term impact requires us to have a sustainable business and that means our commercial organization needs to be as world-leading as our technologies. Across Rolls-Royce, our immediate focus is on improving our financial and operational performance to generate improved returns. This will give us the sound and credible financial platform we need in order to remain at the cutting edge of innovation in our markets. Our medium-term prospects remain bright and our long-term growth opportunities are truly significant.

I'll now hand over to Warren to provide a review of 2018.

D. Warren A. East

CEO & Executive Director

Thanks, Ian. Morning, everybody. Thanks very much for coming along, as Ian said. Now, we -- you could be excused to thinking that we are making a bit of a habit of holding the AGM at football grounds. Conference facilities are very convenient, but there isn't really a theme here.

The reason that we're here this morning is, of course, to underline the importance of Bristol to the Rolls-Royce Group, a connection that goes back to 1966 with the acquisition of Bristol Siddeley Company. But of course, you can't come to Bristol without sort of feeling aviation and aerospace. Back to the early part of the 20th century, I'm told that Sir George White announced his intention to build a factory and build some flying machines and 5 months later, a Bristol-designed aircraft to the skies. And when I was told about that, I thought, gosh, we can learn a thing or 2 about timescales from some of our forebears.

But today, in Bristol, we have about 3,000 employees and more than half of them -- just more than half of them are associated with our Defence business. And there's really -- a lot of our Defence business happens out of Bristol: the EJ200 for the Typhoon, the TP400 for the Airbus A400M, the LiftSystem for the lift -- the vertical takeoff versions of the F-35s, and looking forward then, the Team Tempest activity around the new combat aircraft for the U.K. announced at the Farnborough air show last year. Well, the team working on that is here in Bristol. And it's also responsible in Bristol for Naval activity and, in particular, the MT30 gas turbine, which serves for a number of navies around the world. Naturally, if we look at all the support that we do to navies, there are about 17 navies around the world being supported effectively from Bristol.

Outside of the Defence realm, here in Bristol for our supply chain components and technologies for our Civil Aerospace activity and, looking forward, new lightweight components built around carbon fiber composites for really lightweight fan cases and fan blades and the like. So actually, there's a very long heritage and a very long history, but also there's emphasis on looking forward as well, and that's a good proxy for the group.

I put up this slide last year at the AGM. We had redefined our vision and strategy for the future. And this really talks about a balance between current product and services, making our operations more efficient and innovating around new products, services and technologies for our operations to make us fit for the future and create that leading industrial technology company that Ian spoke about a few moments ago.

We began 2018 by talking about restructuring the group and moving from 5 business units to 3, doing things like aligning all of our Defence activities into one business would be an example. But moving from 5 to 3 has enabled us to get close to customers, increase the pace of operation and really build a foundation to remove the unnecessary duplication, which should grow over many, many years, in our business. And

the 3 interlocking circles there on the slide represent our 3 businesses. And we're already seeing benefits of this new structure where the businesses operate within what we call a principle of freedom within a framework. And I'm delighted to see that, that's starting to bear fruit now.

If I move on as well at that restructuring, Ian also mentioned the portfolio, the range of our activities. Well, during '18, we completed the sale of L'Orange, a fuel injector business, and that enables our Power Systems business to focus on growth opportunities now and enables us to allocate capital to cool, future, cleaner technologies.

And we also announced in 2018 a strategic review of our Commercial Marine activity -- or of our Marine activity. We moved, as a result of that strategic review, some of our Marine activities to different parts of the group. So the Naval Marine activity moved to Defence. Some of our large naval engine or marine engines moved to our Power Systems business. And then that resulted in the sale of the rest of the business, the Commercial Marine activity, and that was completed just last month. So there was quite a bit of activity on tidying up of the portfolio.

And that created a great foundation. So in the middle of last summer, we did announce the restructuring that Ian mentioned. This is a 24-month program of fundamental restructuring, creating a much smaller corporate center, much smaller corporate support functions, reducing layers, removing complexity.

Now, some of that obviously results in reduction of headcount and that's always a difficult topic and a difficult thing to do. However, we have to think about the future and we have to think about the future of all of our workforce and all of our customers. And we have to fundamentally change the way we work, creating a simpler business, healthier, more dynamic, with greater productivity where you can make faster decisions, all those sorts of things, targeting really an environment where we can realize the benefits of the investments that have been made in the past and seize the opportunities now that we need to seize for the future.

One of the big changes that we are trying to make, as I think Ian alluded to, was changes in behavior. So when I talk about the way we work, I don't just mean the structures in the way the business is organized, but actually how people go about their day-to-day jobs. And it's been great to see some of those changes starting to happen during 2018. And a great example of that was how the organization responded to the challenges that we faced around the issues that emerged on the Trent 1000 engine. That's the engine that powers the Dreamliner.

Now, as Ian mentioned, many of our customers experienced severe disruption according -- as a result of that. There were all sorts of interesting facts and figures. And I went to Japan in September and I gave an interview in a magazine article and I was referring to almost 0.5 million passengers in Japan alone that had been affected or had their journeys affected by the Trent 1000. So this was a big deal and it's a big deal for our customers and our customers' customers, and we understand that.

But the good news was the organization responded in a thoroughly constructive, collaborative way. We saw new parts, new service techniques developed. We quickly increased our capacity to create small -- to create components. We quickly increased our capacity to do repair and overhaul and deal with and support our customers through that operational disruption. And we closed the year with a new design for the compressor blade, done and certified, and it's now being fitted into engines. And the health of the Rolls-Royce-powered Dreamliner fleet is now improving on a day-to-day basis.

And we haven't got it on this slide, but facts and figures around there. We had between 40 and 50 airplanes on the ground for most of the second half of last year. In the first quarter of this year, to a roundabout, now that number's between 30 and 40. Actually, it's in the lower 30s for -- at the moment. And we expect to be in single digits, which is back into a sort of normal zone for the size of our Trent 1000 fleet, by the end of this year. So that is how we dealt with the Trent 1000 issue.

Now I want to -- just a quick summary of some of the financial results. We described the year a couple months ago with our annual results as a year of solid progress, and that's because we don't want to get too excited about it. But this revenue growth, top line growth was really very strong, driven by good performance in our Civil Aerospace business with 12% overall revenue growth and our Power Systems

business with 15% overall revenue growth. And that good growth in revenue was also reflected in a healthy growth in profitability measures, albeit I know off a very small base. And that led to a doubling of our free cash flow, which is a good step on the journey to at least GBP 1 billion of free cash flow by 2020 and GBP 1 per share of free cash flow in the medium term, a good step towards those goals particularly when you take into account the GBP 430 million that we had to spend on the Trent 1000 issue last year.

Delving into some of the numbers in a little bit more detail behind those headline numbers. Our Civil Aerospace business, notwithstanding the Trent 1000 issue, aside from that, actually had a pretty good year. Very strong growth in flying hours. We now have 4,700 -- well, as of the end of 2018, 4,700 large engines in store. That's 25% greater than the number 5 years ago. They're more efficient engines so airlines tend to use them more because they're more efficient than some of the older engines and therefore, these airplanes are flying more hours a day. So that helped to drive the 14% growth you see in flying hours there.

Back inside Rolls-Royce, we worked hard on things like reducing the deficit when we supply one of these engines out to our customers. We also saw entry into service of 3 new engines in February. The more powerful version of the XWB, the XWB-97K was launched in February. And at the end of the year, the Trent 7000 is powering the new version of the A330. And we saw some important milestones during the year as well, be it 84k version of XWB past 2 million hours. It's now over 3 million hours. And the Trent 700, which powers the earlier version of the A330, passed 50 million hours and has been very successful.

And just to share that we haven't forgotten the corporate jet business. We launched the Pearl family in the middle of last year as well, the first of the Pearl engines going on a new aircraft from Bombardier. And obviously, we couldn't talk about that before because corporate jet people like to keep these things quiet until they're absolutely ready to announce them.

But moving away from Civil Aerospace, some of you might have traveled either to or from London. I found the line that comes through Bristol Parkway and will be traveling these days on these new Hitachi trains. They are powered by Rolls-Royce Series 1600 engines. Very pleased to see those entering into service. And actually, pioneering some new long-term service agreements, taking that service business model from our Civil Aerospace business and starting to apply it into other sectors.

Our Power Systems business, not only did it see strong revenue growth, but also saw strong order growth last year, driven by actually strong markets indeed, but also increasing market share, particularly in some regions like China where in order to service the expected demand that we see there, we created a new joint venture. It was launched -- about 12 months ago, the first engine was produced. And by the time, 2 months ago, I stood up and talked about our results, we have produced over 100 engines out of that facility.

If I flick onto Defence, we described that as a solid year. It was a particularly strong year in terms of order backlog and -- order intake rather to grow the backlog. So we saw orders for more F-35 LiftSystems, more EJ200 engines. We also saw design wins so -- that will lead to more orders in future with, for instance, the U.S. Navy. And we saw some new customers for the Multi Role Tanker Transport, which is powered actually by the Trent 700 engine, a Civil Aerospace engine, but still in the Defence application there. And we saw a continued success for the MT30 in Naval, MT30, again, coming out of Bristol. So that's a quick run around the businesses.

I just wanted to talk a little bit about technology investment. And I've said before, this is about both current and future. It's very important with very long-term contracts that we continue to invest in technology for current products. That investment goes into things like optimizing the designs for cost reductions so that over time, we can make more profit out of selling the same things and importantly, out of improving the in-service performance, longer time on wing. Again, this is key to driving our profitability. And you don't get something for nothing in this world. So that's the result of investment in technologies for our current businesses, and that's things like material science, design tools, production techniques and so on.

But it isn't all about current technologies. We also need to keep an eye on the future. And here's a picture of what our new UltraFan demonstrator might look like in a few years' time. This is a very significant

architectural change to our gas turbines, first significant architectural change for many decades. It's going to lead to a step function improvement in efficiency that will result in a big improvement in carbon emissions and also achieve a significant improvement in terms of noise and nitrogen oxide, perhaps 50% improvement in nitrogen oxides. The core of the engine, the Advance 3 core, we tested during 2018. We tested it at full power. It's performing brilliantly. Our people who are working on that are delighted with how that's going. We also tested the gearbox which drives the large lightweight fan at the front of the engine. The gearbox is being run up to about 70,000 horsepower and testing for that is going well also.

Now, at the end of last year, we made an important commercial decision about UltraFan which we announced in February when we decided not to take part in Boeing's new mid-market aircraft. And that was because we absolutely did not want to do anything that will jeopardize the success of this UltraFan program. And we concluded that the timescales for the Boeing project would simply be too aggressive and we would not have a product mature enough in the time line of the Boeing project. And so that's why we withdrew from that opportunity, but it doesn't in any way indicate a -- any dent in our appetite for making this an excellent product when it comes to market.

However, we have to think also beyond UltraFan. And I've spoken before about electrification sweeping across the industrial landscape. Electric propulsion is coming to the air as well. We set up a separate capability group in Rolls-Royce because we do need to adjust our skills and position our skill base for the future as well. So we created that electrical group. And by the end of the year, we have 3 programs targeted at electric flight. We have a partnership activity with Airbus, a hybrid demonstrator aimed at regional transport, and so regional type -- size of aircraft. At Farnborough last year, we announced the concept in EVTOL. That's a -- just to sort of size that, that's a hybrid concept, but it -- and it would take 4 to 5 people about 500 miles at about 250 miles an hour. So that's the sort of size we're working on there. And thirdly, a local project here, a partnership with a local company where we are targeting an all-electric flight, very small aircraft, but all-electric flight. And we are hoping to break the world speed record for electric flight with that aircraft. So innovation there for the future in electric flight.

But it's not just about flying, although that's quite interesting and sexy and you can have good pictures about it. It looks quite boring on the bottom of the -- on the bottom right of this slide there. But we are also spending a lot of time and effort investing in new materials and production techniques to make things lighter and tolerate higher temperatures and the like to make our engines more efficient. You saw on the video the little robot that you can send into engines to inspect things. And in our Power Systems division then, we're very keen on microgrids where we see great potential for encouraging the take-up or faster take-up of renewable power.

So that's a quick run around the business, a quick run around the technologies. Where are we going looking forward? Well, having stabilized the business, having built some foundations in 2017 and 2018, you see from what I just presented, we're busy targeting the future, playing our part as the world looks towards a power which doesn't damage the environment so much. We have a key part to play in that. But very much also remembering there isn't going to be a future unless we have a healthy competitive business with the right skills with -- where operational excellence is celebrated alongside technical excellence built on diverse talent. And so it's essential that in the immediate short term, we complete our restructuring program at pace, we start to realize the economic benefits of past investment so that we can seize those opportunities in the future across all markets.

Thank you. That's a quick review of 2018.

Ian Edward Lamert Davis
Chairman

Okay. Thanks, Warren. I hope that gave you all a sense of what we were up to in 2018 and the momentum in the company.

I'd now like to start the formal proceedings of this Annual General Meeting. All shareholders will have received the annual report by post or a notification by post or e-mail. That's -- it is available to view on our website. All shareholders will also have received a notice of meeting together with explanatory notes of resolutions being put to the meeting today. This was published on the 25th of March.

In line with best practice, a poll will be taken on each of the resolutions set out in the notice. The poll will be administered by our registrar, Computershare Investor Services.

Please do not complete your poll voting cards yet. I'll explain the procedure later in the meeting and I will indicate when you should mark your votes on the cards.

I now declare the meeting closed. Sandwiches and light refreshments will be available outside the meeting room in the Heineken suite. As I said, my fellow directors and I will be joining you and we'll be happy to take any further questions or comments and to chat with you in a more informal setting.

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Rolls-Royce Holdings plc LSE:RR. Special Call

Wednesday, April 03, 2019 8:15 AM GMT

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Call Participants

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ANALYSTS

Unknown Analyst

Presentation

Pamela Mary Coles

Company Secretary & Chief Governance Officer

Hello, good morning, welcome. I think we're ready to start. My name is Pamela Coles. I'm the Chief Governance Officer. We'll just start with a few housekeeping items, if we may. So I'd just like to say that there are no safety fire alarms this morning. So if anything, if you hear any alarms, please would you follow the signs and follow the staff out of the building.

The second thing I'd just like to say is that there is a safe harbor statement in the back of the slides and for those of you on WebEx, we'll come to them at the very end of the slides, so I just would like to draw your attention to that.

And thirdly, would those of you in the room please just turn off your mobile phones. Just turn them to silent, that would be great. Thank you.

So the agenda this morning is on Slide 3 of your packs, which is in -- in the packs that you've got on your chairs. So we're going to go through this morning, this morning it's being on WebEx as well. Just get to the agenda quickly.

So Warren is going to give us some time this morning. He hasn't got very long with us. So Warren is going to give us a quick presentation and then we'll have a very quick Q&A with Warren. And then we're going to go into some presentations, which will be part of the WebEx and then we'll have a break and then after those presentations, we'll have a short break and then there's an opportunity to have some Q&A in more informal sessions after that. So that's the outline for this morning.

And I'll just hand over to Warren.

D. Warren A. East

CEO & Executive Director

Thank you, Pamela. Good morning, everybody, and thank you all for coming along. So I'm going to give a very short reprise of some of what we talked about when we presented our annual results a few weeks ago by way of introduction and then hopefully we'll have 5 minutes or so for Q&A from me before we do the other sessions.

A few weeks ago, we presented our full year results and we described this as a year of solid progress, and I think it was a year of solid progress, good growth in underlying revenue, I mean, very strong growth in revenue. Half our business in Civil Aerospace, and the real driver here is growing fleet and increase in flying hours. However, good -- improving discipline around the business translated that growth in revenue into good growth in all the profit measures, a roughly 30% increase in underlying operating margin, delivering a more than twofold increase in cash flow for the year.

So we talked at length about our financial results a little while ago, and I'm not going to really dwell on that much more. It was good to see, however, the results being delivered right across the business.

So in Civil Aerospace, the engine flying hour growth up 14% year-on-year, a key driver of top line. But internally as well, we worked hard on reducing the loss that we make when we sell every large engine, and that loss reduced on average across all the engines shipped last year from GBP 1.6 million to GBP 1.4 million.

We also launched 3 new engines in our Civil Aerospace business during the year, the 97k version of XWB, that's on the A350-1000. And at the end of the year, the Trent 7000, which goes on the new Airbus A330. And in the middle of the year, we launched the Pearl 15, the first of what we hope will be a series of new engines for business jets.

The year was dominated by commentary and news around how we were dealing with an issue on the Trent 1000, which powers the Dreamliner. And we did have an issue there on the compressor section of that engine, and good news is that by the end of the year, we had turned the corner on that and we now foresee a gradual decrease in the number of aircraft on the ground.

Now I know there was a little bit of news yesterday -- that broke yesterday around the high-pressure turbine section of the TEN version of that engine. And if anybody wants to ask me a question on that later, please ask a question on it and we'll deal with it then; otherwise, we'll be here all morning.

Power Systems. Power Systems is about 25% of our business and we saw excellent growth there, driven admittedly by some buoyant markets, particularly in PowerGen, but we also saw new product introductions, growth in service revenues and some encouraging long-term service contracts being signed.

Our Defense business saw a solid year, very pleasing increase in order backlog in defense and some strength right across the defense portfolio. It was particularly pleasing to see in the middle of the year us being part of the new group of companies engaged with the U.K. Ministry of Defence on their Team Tempest Program, which is next generation of combat aircraft, being contemplated by the U.K. Ministry of Defence.

Back inside the business. In the middle of the year, we announced a restructuring program, targeting a GBP 400 million per annum cost saving, targeted mainly at commercial and administrative type areas, removing duplication and the like. I'll talk a bit more about that in a moment, but at the end of the year, we were on track for our objectives set out there.

And bottom of the slide there, I talked about finances before.

So let's look forward for a bit, our long-term vision. And you've seen -- or some of you have seen this slide before. I'll start at the bottom of the slide. Our business is now simplified into 3 businesses. So our Civil Aerospace business, otherwise known as commercial aerospace by some companies, that's about half of our business. And it is a very long-cycle business. And the sums of money involved in investment programs are very large. So it's essential that we have a balanced portfolio from a financial point of view with shorter-cycle businesses and stronger, reliable cash flow. And so 25% of our business is in Power Systems, much shorter-cycle business, 25% of our business in Defence, where we have very reliable steady cash flow. So that gives a balanced portfolio, which is a firm platform.

But looking forward, there are some inescapable trends and observations to make about our business. First of all, we need to vitalize our existing capabilities. We have grown market share in all of these sectors over recent years and we spent about 2/3 of our R&D money on making sure that our existing product portfolio continues to be refreshed and maintains our competitiveness. And we'll talk about that a little bit more as we go on.

Other inescapable trend sweeping right across the industrial landscape is electrification. Now we need to move away from connecting things by mechanical shafts and improving our environmental footprint with an electrification, whilst maybe not the panacea, is certainly a serious contributor there. And when Paul talks a little bit about innovation shortly, then I'm sure he will cover some of that.

In terms of how we go about doing our business, another inescapable trend is digital technology. And we are busy embracing digital technology, just the same as everybody else to maintain our competitiveness. And that translates into transforming how we do our business from both a production point of view, and the picture is obviously interesting from a production point of view, but also more importantly, perhaps in the way we work and when Harry talks a bit later about some of the changes we're making around culture then that's also about transforming our business.

So little lead in there to how we change the way in which we do things. First of all, structurally, this is the new structure that we announced in the middle of last year. And the idea here is to, as it says at the top of the slide, really create conditions for our businesses to be successful and solve problems themselves. We're seeking to remove duplication and unnecessary bureaucracy that exists within the group by empowering our businesses, giving them freedom within a framework. And as such, we then hope that our businesses can deliver improving returns, not hampered.

So the diagram on the right-hand side of the slide shows a very lean head office and this is a substantially reduced section and that's supported by Group Business Services, which is really in 2 parts, the traditional Group Business Services, transactional services that run across our businesses, but also what we call our Innovation Hub, which is about having part of the group that is very lightweight, that supports the businesses with underlying technologies and strategies that are perhaps beyond the investment horizon of individual businesses, but necessary for the future success of the group.

So Group Business Services and Innovation Hub are 2 parts there supporting our 3 businesses and they're drawn as 3 interlocking circles because of the collaboration that exists between the businesses. For example, service models switching between Power Systems and Civil Aerospace; technologies and supply chain switching between Civil Aerospace and Defence; and similarly, common customers existing between Power Systems and Defence.

So talking about that Group Business Services and the Innovation Hub, obviously, we spend a large amount of money on R&D every year. And as I said, a good proportion of that is about revitalizing and vitalizing our existing portfolio. Some of it is about the future, however. And so we're continuing to make progress at the moment on the next generation of our gas turbines. This is the first serious architectural change that we've made to our gas turbines for about 60 years. So it's absolutely vital that we continue to invest in this technology to make sure we have a competitive solution, which just, as it says up there, 10% more efficient than Trent XWB. Trent XWB is the most efficient gas turbine on the planet today.

And by changing our architecture, we're aiming to get at least 10x more efficient and that means 10x cleaner in terms of carbon emissions, and also, we're addressing nitrogen oxide emissions and noise. So that's a serious development.

But looking further beyond that, I mentioned electrification and our developments in bringing electrification into the world of aerospace. Again, Paul will talk a little bit about this in future, but the futuristic image at the top there is showing some distributed electrical propulsion in an aircraft, taking another step forward in terms of efficiency beyond the architectural change that I just talked about.

And our Power Systems business, the picture at the bottom here, refers to the fact that we have launched some new products in microgrids. I mean, the electric or hybrid aircraft that I referred to a moment ago is essentially a flying microgrid. And so why not have the technology on the ground as well. In fact, we're developing it on the ground and then translating it into the air.

And then we're talking about how the Innovation Hub also serves the rest of the business in terms of bringing underlying technologies that then get turned into products and services.

So building beyond breakthrough in 2019. This is the slide that I put up at our annual results, just laying out what are our key priorities for 2019. There is a near-term mission, of course, to make this business perform. And so when I talk about on the right-hand side, financial progress, this is the acid test of, are we actually making progress? We need to continue to improve our underlying cash flow and performance of the business, and we have been fairly explicit about near-term targets of more than GBP 1 billion of free cash flow in 2020 and we have reasserted our confidence in achieving that a few weeks ago with our full year results.

And we also talked about a slightly further out financial measure, getting to more than GBP 1 per share of free cash flow in the medium term, and I'm comfortable that the market seems to have interpreted that medium term as around the 2023/'24 time frame. That will, of course, enable us to continue to strengthen our balance sheet. And that combined with discipline around the capital allocation builds us a resilient financial platform to take the business forward, so that we can continue to service the growing fleet that our customers use.

We can -- in '19, we need to make sure that we increase our production volumes, that growing fleet needs more spare parts, the fleet is growing at a faster rate, so we need to supply more new engines. And during 2019, we aim to make a lot of progress in terms of mitigating the disruption that we suffered last year around the Trent 1000. Paul will talk more about technology in a few moments and Harry will talk more about our people and culture and the activities that we're engaged on there.

So with that, we have a few minutes in the agenda, I think. That is probably the fastest presentation I've ever done in this sort of forum. I've never actually been on time before, but there is time for a few questions. But we're very happy to move on if there are no questions.

Question and Answer

D. Warren A. East
CEO & Executive Director

Yes, we got 1 question.

Unknown Analyst

Can we talk about yesterday's news that...

D. Warren A. East
CEO & Executive Director

Yes, right. So yesterday's news, yesterday's news concerns the high-pressure turbine area of the Trent 1000 TEN. And when the TEN was launched, the high-pressure turbine blades were launched with a limited life because we already recognized that these blades when they are subjected to at high temperatures and they were rotating very fast, effectively, they sort of stretch and cracks develop. And what you want to do is make sure that you can contain the temperature and contain the material so that the cracks develop at a rate which gives a life for the turbine blade that is within the normal expected life of the turbine blade. These things are consumable parts in a jet engine. And what's happening is that they're actually being consumed a little bit faster than we anticipated when we introduced the limited life on those parts. This has been observed as part of our normal inspection regimes. It's been observed with some airlines, notably Singapore because they have large -- larger fleet of these engines. And also because they have particularly arduous mission, which accentuates this issue. Now it is a known issue. It's one that, therefore, we were addressing. And obviously, at the moment, we are working hard with Singapore Airlines and we're investigating to see how many other airlines may be affected by this earlier-than-planned cracking of the blade. What it may mean is that we have to replace a load of blades sooner -- load of turbine blades sooner than we would otherwise have expected on the engines that are deployed by some of our airlines, the airlines that use the engines in a way that exposes them to high temperatures, which causes the crack to propagate faster than expected. It's a known problem. We expect to be able to manage this problem with the normal service operations within the cost limits that we talked about a few weeks ago and within the timescales that we talked about a few weeks ago. And the new design of turbine blade is in progress, it's being tested at the moment, it's being live tested. It's making good progress through that live test. And it will be available towards the back end of this year, as it was always going to be available towards the back end of this year. And so aside from the incremental disruption to some of our customers, which obviously we express a lot of regret to those customers and we work very closely with those customers to minimize the disruption that's caused by this, we expect to be able to contain the issue. It's in no way related to the issue that was highlighted last year around the compressor, it's a completely different part of the engine.

Any others? One more. Yes?

Unknown Analyst

You mentioned Warren the drive to [indiscernible] the individual businesses.

D. Warren A. East
CEO & Executive Director

Yes.

Unknown Analyst

How do you make sure you get the balance right between [indiscernible] the individual businesses? And yet retaining good oversight?

D. Warren A. East
CEO & Executive Director

So this is down to the way that we manage sort of leadership across the group. And it starts with our executive team and the 3 business leaders are peers as part of our executive team. And when I appoint people to our executive team, they're told you're an executive of Rolls-Royce first and you happen to be assigned to running the Defence business, or you happen to be assigned to running the Power Systems business or you happen to be assigned to running HR. They are peers as a unified executive team, and we work on issues together. And that propagates down to the next layer of our enterprise leadership group, where again we encourage lots of working between the businesses as peers, as executive leaders of the group.

Final one, I think.

Unknown Analyst

Can you talk a little bit about incentives and how you're thinking about driving incentives through the organization under the new structure? So you talked for example about certain measures like CF ROI, like cash per share and I'm just wondering how you think about -- how do you sort of organize the entire group around certain measures?

D. Warren A. East

CEO & Executive Director

Yes, well, I mean, some of it is about communication and making sure that people across the group are aligned behind those measures, understand the importance and the interrelationship of those measures. And you can incentivize all you like, but you actually need people to sort of understand it. To the extent that some individuals will be a little bit more incentivized by financial reward, of course, we align our financial rewards behind these as well. Now for the time being, our senior managers are all incentivized around, and there is a serious emphasis on cash flow, but of course, that is balanced with profit. And I think when Ruth talks a little bit in some of the breakout sessions about remuneration, you'll also see how that's joined up.

All right. Thank you very much.

Presentation

Ian Edward Lamert Davis*Chairman*

Well, good morning, everyone. I'm Ian Davis, I'm the Chairman of Rolls-Royce, and thank you for taking the time to be with us.

You will have heard from Warren a brief summary of the business. And I do just want to say although the focus of this meeting is ES&G, the absolute priority of the board is to ensure the financial and operational performance improvement in the company to get to where we can and we should be, but also to ensure that we're making investments in building the organization capacity to position ourselves for the future.

And at bottom, I've said this before and I'll say it again, Rolls-Royce is a growth company in a growth sector. And we have to take our fair share of the financial rewards as well as the business opportunities of that.

So I hope what Warren illustrated and the reason we started off with the business, this is about performance, it's not about governance, it's about performance. And I'd like to just say a few words in that context about the role of governance or ES&G in terms of performing. I sometimes fret that governance in the debates has got divorced from performance. My philosophy is that they are the same. They are 2 sides of the same coin, except to me, governance, in particular, is more about the sustainability of performance. Those of you that work in the sector would know there is very little academic evidence that links narrow performance and governance strength, but there is a lot of evidence suggests that well-governed companies continue into the future much more enduring and we can see high-performing companies with weak governance sooner or later crash and burn and all of you will have your own example.

So the way I think and the board thinks about governance, it is actually a performance tool as well as something that it allows you to fulfill your obligations to society, to investors and your employees and so it's an integrated part of the way we try and see things.

I sometimes fret that ES&G are linked together, environmental and social issues are important and governance is a different type of issue. You think about boards, you think about systems or controls, you think about cultures where E&S are specific issues, but nevertheless, we'll go with the Zeitgeist, ES&G is the way it is and that's what many of you folks saw and that we will try and cover each of those 3.

I'd just like to say a few words about governance and about what Rolls-Royce is doing to strengthen and improve its governance systems. And I hope you will understand, they do it in the philosophy, this is part of a high-performing company, a high-performing culture that's going to be around in 20 years' time, which we absolutely intend to be.

So let me just say, in terms of governance, you can either think of it in terms of legalistic framework, what the FRC is saying and all the rest of it. We do look at that very carefully, Pam is going to talk about that and we're very, very mindful of regulatory and social trends, not just in the U.K. by the way, but also across the world, though I think it's fair to say that the U.K. is probably more active in this space. But fundamentally also, what are the underlying trends that are coming from investors, from employees, from customers and society. And our view is that there are 4 or 5 trends that are not going to go away. These are enduring trends that they've been building over time. On the whole, I think these are very welcome trends. I think they're good for everyone. And our philosophy is not trying to react in the context of regulation, but try and get ahead of them. How can we actually just get ahead of these trends and be the innovators that we want to do in everything that we do.

I won't spend too much -- the issue will be familiar to you, and many of them came from you, but I just want to just put them down, that there is this focus on purpose, culture and risk. You can be cynical about it because people talked about that a lot, and Drucker talked about that a lot 30 or 40 years ago. These

are enduring trends, these are not new, but they are -- if you're a cynic, you could say they're coming back into fashion. I personally think people are realizing just how important they are.

Risk, I think has got a bit lopsided. Everyone talks about risk. No one talks about opportunity, and you have to look at risk in relation to opportunity. Purpose and culture, the Zeitgeist words at the moment. I don't think that's going to go away. I call it democratization of the company. I think this is an enduring trend across all societies, including Asia, that workforces expect to be more involved in the companies or the organizations that they work for. I think this is an entirely welcome trend. I can't talk about how responding to that, not something to be resisted by boards, but to be embraced. So for example, I'm not hostile to the idea of workers on boards, it may not work, but I've seen it work for us or in the U.K., but I've seen it work in Denmark and in Sweden. And so the attitude of the board is not to dismiss any idea around these things.

ESG, it's absolutely -- again, those of you in the room, this is going to be a big, big trend, even in the U.S. if I can say that is where they're beginning to get quite interested in this because they see the link to performance, they see the link of the relationship of business to society. And if business doesn't have a good relationship with society, we will not perform, we will not be able to do what we're meant to do.

Financial audit. This isn't a -- you could have just said this is just Rolls-Royce saying, and I would understand that, but I think all companies, particularly in the U.K. and in the U.S., this is not going to go away. The truth everyone talks about too big to fail. No company can fail without somebody saying there's an audit or a governance failure. That's reality, and as failure is a bad thing, even though we were taught that failure was part of how markets work, the reality is society thinks of failure, there must have been an audit screwup, there must be a governance failure. That's not going to go away. And so we are going to respond to a need for increased scrutiny of audit finance and indeed ethics as well. There is tremendous focus on ethical behaviors across companies.

And finally transparency of everything. This is the most dangerous of all. I think on the whole, transparency is thought to be a good thing. But when it is bogus transparency or partial transparency, this can be incredibly dangerous as well. But nevertheless, I think we all think as a board, this is a trend that is not going to go away. People expect more. The role of social media, the expectations of younger generations is they expect people to have access to these things.

So this is the way the framing if you like of the key governance trends, and the philosophy of our board is, let's get ahead of those trends, not wait for the regulators, not lobby, not argue, and all the rest of it, engage, and I hope you realize we are trying to engage with all the regulatory bodies in the U.K. and indeed in the U.S. and where appropriate in Germany and countries like that, but we really want to try and get ahead of these trends so that we can get a bit of a march.

And if I could just pick 2 or 3 examples of how as a company we're trying to get ahead of the trend, and I'll just say a little bit how does it influence how I think about board composition as just one specific example.

So if we take democratization of the company and board, we talked about how can we get the workers' voice and I don't mean just the union's voice, I mean, the workers' voice. People who actually work for us a bit more visible in the board, there are 2 or 3 ideas we're experimenting with. First, we'll have you hear from Irene who is our designated workforce -- worker representative on the board. She is a board member. She'd say she is also a worker as well, which she most certainly is, a very hard worker too. But this is an innovation by U.K. terms, it has somebody who gets out, meets across the world with the workforce, engage them, listen their views, talks not just to unions, and that's proving very, very successful. And from a board point of view, incredibly enlightening as well. We are hearing things that we would never have heard or seen that are more than just anecdotes.

We've embraced on democratization and meet the board philosophy. So whenever board members go to a subsidiary or an operating unit, which we all do, all board members are expected to visit at least 1 and preferably 2 companies across stint, they will have a meet the board event with the workforce. So you get that Q&A open, that's partly to demystify the board. So a lot of workers think of boards as having some weird people, who want to sit there sort of plotting things. They only realize when they talk to you, "Oh

you did what I did 30 years ago," just the right fact of engaging when trying to create an open dialogue and the best way to do that is through people, so we have a meet the board culture.

And we're also trying to get more employees involved in the board, so you will be listening to Summer, who is a board apprentice. Many of you know that Rolls-Royce has a history of apprenticeship, but we're very keen that apprenticeship isn't just 15-year-olds with spanners learning to be great electrical engineers. It's a concept. All of us in this room could be apprentices and we're trying to use apprenticeship as a concept to build the capability of the company. And we have a board apprentice team, 6 of our highest-performing -- 6 to 8 of our highest-performing young managers apprentice themselves through access to a board member, board relationship and attend nonconfidential board meetings. So I hope that just gives you a flavor of how we're doing on that.

On the financial audit and ethical integrity, I won't go into the detail. That's been a huge issue for us. We have an extraordinarily complicated set of financial systems, which we have managed to make even more complicated ourselves. We're trying to work very hard on that, and we are going to -- that will be one area we're increasing board reps that have skills around that area. So building deep -- bringing in deep financial audit skills will be another way to help deal with that. So that's an area where a governance approach would influence how we think about board composition.

And then just finally, if I can just talk about transparency of everything. I hope you will have seen in our -- what we write and what we say that we're trying to be more open as a company, we welcome it, we learn from it. But also even this meeting itself is an attempt at transparency. It's a danger that -- we just get happier and talk, but in reality it's an opportunity for you to talk to us, to ask us, we got 6 board members here. So I do hope that you will treat this as a transparency opportunity, just to lobby us afterwards, talk to us, ask a question. So this is all part of intent for us to be more open with our investors, our workforce, our customers and with society in general.

So that's just a few words that frame the philosophy of what we're trying to do. We're trying to innovate and do specific things around each of these areas in addition to absolutely following and being best practice citizens on all regulatory and other requirements.

So just with those few words of introduction, I'll now hand over to one of our board apprentices, who's going to talk a little bit about the role, but also I'd just say, do please, any of you that want talk to me or any of the board members, just find me, and if you don't get to talk to me, just drop me an e-mail or give me a call if you'd like a discussion.

Summer Smith

Vice President of Talent Management and Diversity & Inclusion

Thank you, Ian. As Ian said, my name is Summer Smith and I have the privilege of being a part of the Board Apprentice Program. We are about 6 months into the Board Apprentice Program. And through that process, it's an 18-month program. It's the second time the program has been run and actually, there is quite a lot of lessons learned from the first one and structure being changed from the first program. There are 6 of us that go across all business areas, and we have been participating since November in this program and focusing on attending multiple committees, as Ian said, focusing on where the committees are not confidential. You'll see that atop here, looking at audit, safety, ethics and sustainability and science and technology.

The first 9 months, we participate in one of the committees and then the second 9 months we participate in another one. And it's designed, me for example, coming from HR, I go to a committee that's not linked to what my day job is starting with audit -- or starting with science and technology, and working with Paul on that committee and then rotating the one that's more akin to my day job like safety, ethics and sustainability.

We also attend some of the other committee meetings as we're allowed to, to get exposure to the range of things that the board work on and what they do and looking at the key trends Ian talked about when he talks about workforce engagement and transparency. I have been absolutely shocked at how much we get access to. It is very beneficial for all of us. Many of us interact with the board in our day jobs, but many

of us would never have the opportunity to see the breadth of responsibility the board has, how they use governance to drive performance. And a big important part that we've always looked on is just listening to them and how they make decisions. This group of board members has been very transparent and open with us, and that's been a very valuable part of the 6 months of the program.

Additionally, we also have executive team sponsors. So I -- for example, I'm assigned to Harry and we review our learnings within the program. We also attend additional board events like the AGM and meet the board, which Ian has referenced.

And lastly, we attend master classes and those range from looking at board evaluations to what are key topics that have happened in the last couple of years that the board looks at. And as a manager -- high-potential manager in the company, having this very unique opportunity, having a small group of 6 in a very intimate setting with this group of board members will be very invaluable in my development and one of the best programs that I have been on. And I'm very excited for the year ahead to continue that learning and also pay it forward for the next group that hopefully comes in, in terms of what can be improved and what's been the best part of it. But I do see it as an absolute privilege in living up to the key trends that Ian has referenced.

So with that, I'll hand over to Pamela.

Pamela Mary Coles

Company Secretary & Chief Governance Officer

Thank you, Summer. That's just a picture of our 6 Board apprentices that we have this year. So I'm only going to be up here for about 30 seconds because actually my corporate governance report is in this book which you've all got and it would take me quite a long time to go through that. So I was really just going to say that, as we know, there's been a lot going on in the corporate governance space in the last year. So we have reported and we are fully compliant with the 2016 corporate governance code but we've tried to report in the spirit of the 2018 corporate governance code in our annual report, which hopefully if you haven't had too much chance to read because it only came out last week, you will have a chance to read in full when you can't sleep at night. We have as a Board -- that we've taken the Board through quite a number of initiatives, the new initiatives that were in the 2018 code and we've reported in the spirit of the code. And we spent quite a bit of time on stakeholder groups and if you get a chance if you look at Pages 66, 68, we've got quite a stakeholder engagement map that we've put in there and there's more details on our website. So I'm not going to say any more about that. In the Q&A sessions. I'm happy to say more about that at any time, I'm also happy to take any calls at any time during the year or if anyone has any questions in advance of our AGM then please do just give me a call or anyone in the team. So that's all I'm going to say. And I'm going to hand onto Lewis Booth, who is Chairman of our Audit Committee, who's going to just say a bit more about that.

Lewis W. K. Booth

Independent Non Executive Director

Thank you. Good morning. It seems to have been another busy year in the Audit Committee. So I thought I would just try and summarize the things we've been considering during the year.

First of all, we completed the transition to PwC as our new corporate auditors. And they've done a good job during the transition, including shadowing KPMG at the end of 2017 when they rid themselves of nonpermitted work. We benefited from having a new team auditing us, but I have to say there's been a lot of additional work during 2018 to make sure we didn't see any reduction in audit quality. So we did an extensive review prior to the half year results. We did a full balance sheet review in the second half of the year, we had a hard close in October to make sure that they and us were doing the things that we needed to do and that all led up to the completion of the 2018 year-end accounts.

In addition, the FRC completed an audit quality review of KPMG's audit of our 2017 accounts, that was their last piece of work for us as our auditors. The AQR identified a couple of estimation -- a couple of areas of estimation risks and we reviewed that with PwC in detail before we closed the year-end accounts to make sure that we had learned the lessons from the 2017 AQR.

2018 was also the first year that our accounts were prepared embodying the new standard of revenue recognition IFRS 15. I'm glad to say the company have done an enormous amount of work preparing for that, so the transition went pretty smoothly. There were a couple of issues that we went through and the company reviewed that with us and we agreed the appropriate treatment. But I have to say it went much more smoothly than anticipated in recognition to the company for the work they did.

A key part of the role of the audit committee is to review the judgments made in our long-term contract accounting, particularly in Civil Aerospace. I wanted to just pick out 3 highlights, I guess, you'd call them, things we spent special attention to during 2018.

First of all, the abnormal cost on the Trent 1000 issues. We established a set of ground rules on when to treat unexpected cost, including significant disruption costs as abnormal costs and reviewed these at half year and the full year. Only the Trent 1000 was affected with abnormal costs. We also examined the impact of the curtailment of the Airbus A380 program. The exceptional costs associated with the reduced production period were reviewed and subsequently excluded from underlying performance. We also did a thorough review of our contracts to satisfy ourselves that we've made provisions where any contracts were judged to be onerous. The company continues to implement the rewire program, and we reviewed the criteria for classifying costs as restructuring costs and then excluded them from the underlying results.

And finally, we continued to review the risk management process as well as the 3 specific areas of principal risk that are allocated to the Audit Committee, those are business continuity, IT vulnerability and market and financial risks. We believe that the risk management process is being successfully embedded into Rolls-Royce and it's increasingly being factored into the decision-making process.

And with that very quick summary of what we've been doing in the Audit Committee, let me hand over to Sir Frank Chapman on Environmental.

Frank Joseph Chapman

Independent Non-Executive Director

Good morning, everyone, and welcome. Let me add my welcome to those of earlier. I'd like to introduce myself Sir Frank Chapman. I'm a nonexecutive Director and also the Chair of the Safety, Ethics and, as recently added, Sustainability Committee. I'm joined this morning with by Sir Kevin Smith, who's Senior Independent Director and Chairman of the Science and Technology Committee; and Paul Stein, who is the Chief Technical -- Chief Technology Officer. He's also the Chief Technical Officer as well. But -- and together, we're going to attempt to answer your questions later on in the breakout sessions in the areas of environment and sustainability and there are 1 or 2 other areas that we might like to think about in that.

Now remember when we speak about -- we speak about environment and sustainability, we could also drop that into 2 large buckets. The first bucket is we, of course, have an ongoing business. We manufacture products and we sell these products, and there's no time to stop actually when you manufacture and market these things to stop thinking about environment performance and actually cost performance and the series of other things. So we're working very hard, for example, to improve fuel efficiency. And it's mentioned by the Chief Executive earlier on, the real success story there as an example is Trent XWB, the most efficient aircraft now in the sky. So we like to say that because it's true and we ought to recognize that for our customers and also for our employees and for our followers. It does go beyond that though when we create waste, we take materials and we dispose of materials, which are valuable. So we must work very hard to reduce the amount of waste and indeed, the amount of waste that goes into landfill because waste also has the potential to create contamination. So we're doing a lot of work also in those areas.

The second area we can think about is actually the proceeds, if I could put it that way, of the very large investments we're making in future technologies, the new family of UltraFan mentioned earlier also by Warren, has the potential to make a step change in the emissions footprint of our products, we're working very hard to bring that forward in a whole family of products that can address a series of power ranges, very important investment. Beyond that, of course, we have the electrification. Now electrification, let's not kid ourselves, it's not going to come in overnight. It's a very long program, but it has the potential to

fundamentally change the impact on our environment and our mode of travel, it will take a long time. We need to invest in it now.

So having said that, I don't want to wrap this up by forgetting to say that when we talk about the committees in the context of environment and sustainability, we don't always mention all the things they do. And one of the topics very close to my heart is safety performance, both in terms of product safety performance and occupational safety performance. This is one of these things if you take your hands off of it, you could end up in the place where you would wish not to be. We have a moral obligation to do these things properly. We have an expectation growing amongst our shareholder community and those that follow us, and our employees have an expectation that we should do well. And I'm happy to share with you some of the things that we are doing in those areas in the breakout session.

So let me not take the real work away -- the time away from the real work, which is from Paul. Paul?

Paul Stein

Chief Technology Officer

Thank you very much, Sir Frank, and that gives us a chance today to give you an environmental perspective on our technology investment and how Rolls-Royce is pioneering both evolutionary and revolutionary change to help the environment.

So Rolls-Royce technology can help reduce net CO2 emissions in several sectors. Aviation, which accounts for 2% of global CO2 is clearly a focus for us and we'll see how we're helping with that in a while, but we're also actively developing technology to reduce emissions in rail and maritime and power generation, which, in fact, is the world's largest emitter of CO2 accounting for 42% of the 32 gigatons of CO2 produced globally. And we'll see later how we're helping to decarbonize that sector as well.

In terms of governance, Sir Frank has touched on this, our group environmental strategy is governed by an Environmental and Sustainability Committee, which we set up internally to provide a focal point for the executive team and that's overseen by the Science and Technology Committee for our products and services and the Safety, Ethics and Sustainability Committees for our operations and that gives us some clear accountability now for driving the environmental agenda. And our strategy really falls into the 3 elements: ensuring our products remain on an improving environmental trajectory; investing in brand-new approaches, made possible with new technology; and ensuring the environmental impact of our operations are minimized with an aggressive target of 0 greenhouse gas emissions by 2030 from our operations.

In aviation, our environmental strategy is mostly focused on reducing net CO2 emission and it really itself divides into 3 areas. So firstly, steadily improving the fuel efficiency of our products on the trajectory of about 1% per year for the past 15 years. So aircraft, it's about 1.5%, but the engine nowadays is the lion's share of environmental performance. We're working increasingly closely with fuel companies now to reduce net CO2 emissions by encouraging sustainable, scalable and compatible fuels for more organic waste and sustainable biofeedstock, and we're planning to make some joint announcements with the oil and gas industry shortly on increasing blends of sustainable fuels with time.

And finally, breakthrough technology, as Warren alluded to earlier, mostly through the electrification of aviation. Our engines powering the widebodied aviation fleet have been steadily improving from the Trent 700 that powers the original A330 through, as has been said already, the Trent XWB powering the A350, which is the world's most fuel-efficient gas turbine flying today, a 15% improvement in efficiency per thrust. But we're now developing a new engine core, it's called the Advance 3, itself a 5% improvement, but for our next-generation engine, this will be mated to a large composite fan, driven through a gearbox to create UltraFan, an impressive 25% improvement over the Trent 700. UltraFan will be nearing the aerodynamic and thermal dynamic limits of pure gas turbines even though it will be powering aircraft for the next 40 years, but another technology leap is needed to meet these flight path 2050 goals that the industry signed up to in the year 2000. But UltraFan itself is a tour de force of the latest materials technology, a lean-burn combustor to reduce nitrogen oxide emissions, a new gas turbine architecture really made possible with high-performance computing clusters that let us really understand now the full thermomechanical performance of these products and whole new material systems like ceramic matrix composites. So this is going to be connected to this huge composite fan through a 70,000-

horse power gearbox, which we've tested in Germany, which slows the rotational speed of a fan down, allowing a very fast-moving core, which is small and a huge fan, and to give you a sense of scale, you can thread Concorde through an XWB engine or the front part of Concorde anyway, and you could thread an Airbus A220 through UltraFan when we finally put the fan together. But a revolution is coming, which is the electrification of aviation, which for the next 2 decades, just to emphasize, is probably going to affect the smaller aircraft more than the larger ones, new types of small machines, some will be just helicopter replacement machines, but some addressing whole new markets -- such as air ambulance, cargo delivery, new military payload delivery drones will emerge over the coming few years and we've developed an evolution of our model 250 helicopter engine into a hybrid drive power pack to serve all of those companies, some startups and some big companies, that are building EVTOL platforms.

In the mid-size, regional hybrid aircraft will start to evolve based on hybrid electric technology, which allows for aircraft to be 10% to 20% more environmentally friendly, but also have much shorter runways and much quieter. And we believe that's going to create a new mode of mass transportation, actually moving some traffic away from other transport modes either people or cargo. And some you will have seen Boeing's recent announcement of a series of cargo turboprops with them anticipating that trend.

And then finally, in the much longer term, middle of the market aircraft up to widebodied, will eventually be equipped with electric fans to control the airflow around the aircraft. But this is not the next decade, this is more like 2035 to 2040, but such is the gestation time of aerospace technology we're having to invest now. We're very pleased that in the regional hybrid area, we are ahead of the game with Airbus on the E-Fan X program, which we anticipate will be the world's first flying demonstrator of this hybrid electric technology.

Moving on from aviation, our Power Systems division is doing much at both the engine level and the systems level. So making our engines operate on synthetic gas derived from waste power is providing a whole new market for us. And to give you a sense of scale, some studies have shown that 4% of the U.K.'s electricity could be produced through waste gasification processes, which is why we're investing in that technology.

Gas operation of engines, while gas is still a fossil fuel, at least, it reduces CO₂ and NO_x compared with diesel by 22% and 90%, respectively. And so many customers, particularly marine customers want to convert to LNG. And then hybrid trains where we're pleased that we have a global lead by anticipating the market before others, which uses regenerative braking and a parallel drive system, which allows trains to coast into stations on electric power, regenerating a battery, leave stations on battery power and then the engine starts down the track, which reduces noise and emissions. And we already have 4 customers that we've announced recently, Irish Rail, Porterbrook, Abellio in Germany and Alpha Trains in Germany.

Microgrid technology combines reciprocating engines under smart control, and that provides a much better balance into a grid full of intermittent renewables than large combined cycle gas turbines. So many of you will have seen manufacturers of these large combined cycle gas turbines in trouble because these systems don't work very well at part load, and so we're taking up the slack. The global market for microgrids is estimated at GBP 40 billion by 2030, and now we've announced a partnership with ABB to work more closely with one of the big players to really capitalize on that growth and we're very optimistic about that. And perhaps, the biggest impact on global CO₂ from Rolls-Royce technology is our design for a small modular reactor, a prefabricated nuclear power station, which gets shipped to site and made on-site, which has been accredited to be able to deliver 0 carbon energy at GBP 60 a megawatt hour, which is about onshore wind levels of electricity, and we're working with the U.K. government to try and get this over the line.

And then finally, as has been said, our operations, where we are targeting 0 net CO₂ emissions by 2030 covering scope 1 and scope 2. And the picture at the top shows our MTU operations in Aiken in South Carolina, where we're producing a megawatt of solar energy, which provides 20% of the energy for the plant at peak. I could've put a picture up of our facility in Seletar where 11% of the power for that site is now derived from solar power. So we really are on trajectory to meet our target of reaching 0 greenhouse gas by 2030.

So that's all I wanted to say to you to summarize what we're doing with our technology to help the environment. And I think, I'm now handing over to Harry.

Harry Holt

Chief People Officer

So last year as we were refreshing our vision and strategy, we also looked at the business system and the people framework that were going to deliver that vision and strategy. And in the people framework, which is in the annual report as well as listing the capabilities and competencies that we felt we needed over the long term, we also listed the behaviors and values that whilst not a completely exhaustive list of everything that we would like to see in the company was what we felt to be the most powerful concept that could deliver the sort of culture that we aspire to as a leading industrial technology company. Now the problem with lists is, particularly of values and behaviors is they can become a little bit sort of utopian and never ending. So we limited ourselves to just 4 behaviors and 3 values. In certainly all my experience and external study suggest that just coalescing around a small number of simple rules, behaviors, values, call them what you will, is actually the surest guide to cultural change. So our desired culture starts at the top of this slide with a care promise that we're going to create an environment where everyone could be at their best. And I know that sounds a little bit fluffy, but actually as the saying goes, "You can create a much more wonderful company based on love than fear or more importantly, if you want happy customers make sure your employees are happy first." But that statement for us in Rolls-Royce is actually quite powerful because it draws very heavily on the high-performance culture work that we've been doing over the last few years, which is all about individuals being at their best. It, I think, sends a very powerful message about diversity and inclusion, it's a very inclusive statement. And it also signals our aspiration to change the way in which we lead and moving away from the traditional hierarchical command-and-control model to one where leaders focus less on controlling others, but more on actually supporting, enabling and coaching their teams to succeed and to grow. So our 4 behaviors or our ABCs, as we've called them, are up there.

First of all, embracing agility. Now that's designed to help us from a behavioral perspective adapt to changing circumstances, to be a little bit more open-minded to different ways of doing things and ultimately, to be more entrepreneurial, to be bold, clearly you need to be bold to be pioneers, that's part of our vision. But also being bold in terms of challenging the status quo in all aspects of our work, and being bold also implies being prepared to fail occasionally, but if you fail, you learn, you pick yourself up and you move on.

Pursue collaboration, particularly important internally to make sure that we breakdown the silos, which may be a result of creating 3 empowered businesses. So that collaboration is a way of guarding against that, but it's also beyond the boundaries of Rolls-Royce so that we collaborate and become the best possible supplier to our customers, customer to our end suppliers and partner with our external partners. And collaboration is clearly a prerequisite for us to go on being as creative and as innovative as we want to be. And seeking simplicity there really to cut through the complexity that has previously sort of beset the business so that we can communicate simply with our employees, so they understand what's expected of them and that we can reduce our internal processes to the smallest and simplest number of steps. Our core values, they're sort of eternal. They start with what we previously called our brand promise of being trusted to deliver excellence, that's a source of great pride and purpose and loyalty within the company. Acting with integrity, obviously there to ensure that we don't lapse into the sort of behaviors that led to our Deferred Prosecution Agreement, but also to make sure that we treat each other with the integrity, respect and dignity with which we ourselves would like to be treated. And then operating safely, as Frank mentioned, not only because tens of thousands -- hundreds of thousands of our customers lives hang on the slender thread of our own product safety, but also because all of our employees and their families and loved ones expect us to return them home at the end of the working day safe and unscathed. So our previous efforts at cultural change have perhaps slightly petered out between deciding what we want to be and deciding what we're actually going to do, and that's partly been because we haven't had many of the foundations in place, it's partly because we've tried to advance on too broad a frontage and it's particularly because we haven't addressed leadership and leadership is absolutely fundamental, in my view, to any successful cultural change. So last year and this year, our focus is on these 5 things, doing these 5 things really well, starting with embedding those values and behaviors, making sure that they

don't just remain nice words on a pretty slide, and we're doing this through a framework of making those values and behaviors very clear, making them known, making them real for people, and then ensuring that all of our reward recognition and talent management systems are aligned to reinforce those values and behaviors throughout the company.

Second and third both focus on leadership. So first of all, we are bringing about a significant change to the composition of our leadership cadres at all levels. Warren has said previously that the executive team is 90% different to what it was just 3 years ago, it's also 35% smaller. And last year, we did a similar exercise on the next leadership layer down in the organization the so-called enterprise leadership group. And that leadership cadre is now about 35% smaller than it was a year ago and about 35% different with probably a little bit more change to come, and we're going to continue that exercise throughout all leadership levels in the company. The leaders that do stay with us need our help to be the best possible leaders that they can be. They need learning, they need education, they need training, they need coaching, mentorship and they need that throughout their career, but particularly they need it when they move from one level to another, so they get a license to operate at the next leadership level up in the company.

So building a really coherent framework of leadership learning and a culture of continuous improvement among our leadership population is a real area of focus.

We then have a specific issue to address to eradicate the residual bullying and harassment that still goes on in the company, particularly it has to be said here in the U.K. and in Derby. And how on earth can we aspire to an environment where everyone could be at their best if we've still got pockets of this behavior going on. So we're right in the middle of a campaign to address that and Irene will speak a little bit more about that in a moment.

And then finally performance enablement, a much stronger performance enablement framework and culture, partly because that's the way in which you reinforce the values and behaviors, partly it's because an area that we've traditionally been weak on and partly because if you want to actually stretch people and get higher and higher performance, you have to give them challenging goals and then help them to achieve that. So that's what we're doing. How do we know if we're going to be successful? Well, ultimately, the right culture is all about creating the right business outcomes so rather glibly that's the place to look for the acid test of whether we got the right culture, but there are a number of other ways in which we can measure progress. Here are some objective measures, it is worth just saying that the subjective measures are equally important. So what do we, as an executive team hear, when we're out and about talking to people? What does Irene, as the employee champion, hear when she is out and about? What are our employees posting on Yammer? And most importantly, what is our holding team telling us? Now our holding team has been put together specifically through the restructuring program as a means for us to really tune in and listen to the company as a whole. So there's a number of subjective measures, but the more objective ones are up here. We have an ethics helpline. So analyzing the data about concerns being raised, the substantiation rates, the anonymity rates would all help us to gauge progress. We can, of course, measure the actual physical change to our leadership cadres and I gave you some statistics earlier on. We have an annual employee survey where the scores have held relatively flat over the last 3 years, which is actually quite encouraging given the amount of turbulence and change in the company, but clearly we want to improve and we're moving to a new employee survey platform, which Irene is going to talk about in a moment.

We have an aspiration for all of our sites to be accredited on the LiveWell Scheme by 2020. We're making very good progress towards that. And that's because our leaders are increasingly recognized looking after the well-being of their employees ultimately enhances engagement and ultimately leads to better productivity. And we've got a balanced scorecard for safety measures to gauge that value of operating safely and D&I targets, which are well-publicized in our annual report and we're making progress against those and I'll speak more about that in a moment. So diversity and inclusion. Now I normally talk about diversity and inclusion sort of under the heading of our people agenda as opposed to our cultural agenda. But, of course, the 2 are inextricably intertwined. D&I is both a contributor to and a consequence of the right culture. And during the restructuring program, we have both an opportunity and threat from the perspective of diversity and inclusion. I mean, clearly the opportunity is substantial change across

the company allows us to accelerate our D&I agenda, but the threat is that the 4,600 job cuts that we announced last year will, of course, largely fall in those support functions, particularly IT, finance and HR, which are traditionally more diverse than the rest of the company. So we've had to think very carefully about how we exploit that opportunity and mitigate that threat. We've done a number of things in terms of changing how we govern and lead D&I to be more aligned with our empowered business model. So we've moved away from an overly centralized approach and now we have our 3 businesses taking more accountability and leadership for D&I because after all they actually own the majority of the hiring and firing decisions. And they clearly own the environment in which the majority of our people work. We spent time making sure that internally we have a much more coherent and comprehensive suite of targets to support the delivery of those external targets that are published in our reports. And we've made a concerted effort to have a much more powerful leadership shadow on D&I with each member of the executive team having 3 or 4 personal commitments on D&I, and we also continue to increase and enhance our network of employee resource groups. These are groups that our employees put together to concentrate on a particular area of diversity across our global footprint. Most importantly though we are looking at and we have been looking at our policies and practices to ensure that we do our level best to attract and recruit diversity that we can then retain it once we got it, and then most importantly perhaps we can develop it so that it reaches its full potential. So under attract and recruit, last year, we did a complete end-to-end review of our recruiting process. We made a number of improvements, for example, gender neutral job specifications, job -- sorry, gender neutral offer letters, specific training for hiring managers, particularly focused on unconscious bias, increased use of social media, and a particular focus on our early careers pipeline, where we try to reduce where appropriate the qualifications to make those early career programs more accessible. We provide specific coaching to ethnic minorities going through the recruiting process. And, of course, we've run a number of outreach programs with our ERG groups to attract in particular sectors of the diversity spectrum. Retain. Our focus has really been on retaining the diversity that we have as we go through restructuring. We're doing a reasonable job there. Actually, our statistics tell us that, particularly on gender, we're retaining our female employees at about the same rate as our male ones, but clearly, we want to do better than that in order to shift the dial more quickly. And then on develop, the focus here has been on ensuring a high degree of diversity on all of our key development and succession plans. You heard about the Board Apprentice Program, which is 50% female and 50% from ethnic minorities. If we look at the internal succession plans, for the executive team, for example, that's gone from 8% female to 30% female. And if I look further down the talent pipeline, we're at about 40% to 50% female managers in our longer-term succession and talent pipeline plans.

So lots more to do, but quite a lot done already. So on that note, I'm going to hand over to Irene, who's going to talk on employee engagement.

Irene Mitchell Dorner

Independent Non-Executive Director

Good morning. I'm Irene Dorner, I'm the Employee Champion, and I'm standing between you and a stretch of the legs and a cup of coffee, so I'm very well aware of my responsibilities this morning.

This slide, I think, is probably in the wrong order. So I'm going to go to the third point first. I've been an Employee Champion for probably 2 years now. And Ian billed it, nice to know that I'm hard-working though, Ian. Thank you for that. Ian billed it as an experiment when we first started this. And I think that's probably right, bold, but not floating by itself in the organization because, I think, you can see that there's a lot going on. We have our diversity inclusion activity, we've got our Board apprentice activity. We particularly got the meet the board activity and I really, truly believe that had we had an Employee Champion, who was dropped into the organization without this other network and web of people and culture activities going on, it would not have worked, because I connect into those things and also a stakeholder committee of interested people not just of Harry on HR, but Pamela from the governance side of things, the union side of things and interested employees around the organization, who help direct my activities into the organization so that we can maximize the impact. So I think that the -- my activities have been wide-ranging, it started off as an experiment, I had to invite myself to things. We had to invent an idea of where I might go, and now I can tell you that I'm invited all over the place, in fact, trying to limit the amount of time I spend in the organization has become the problem rather than actually trying to encourage people to invite me. I am not the whistleblower of last resort. I'm not the person -- although I

could be, and if I saw something that I thought was thematic, I would bring it back to the center, but I'm not part of the daily whistleblowing activity. And I would say that the -- I am sometimes just the eyes and ears of the management, people ask me to look at things, while I'm out now. I would sometimes say I find things that management might think are there, but sniff it but can't quite tell it. I'm an independent pair of eyes. I find out a lot, I confirm a lot, actually. I don't think I've brought anything back to the Board in the center, which has been a total surprise to everybody. And I think that we will watch now as we develop and we've realized that 1 person can't do this, so not only do all of the nonexecutives hold town halls and meet-the-people events when they go out. But we have now recognized the need to appoint a new Employee Champion in North America, which will be Beverly Goulet, and we're working on how she will get around an extraordinary large geography and link in to other people who can help her as well. Some of the outcomes of this, Harry alluded to the new employee opinion survey, it's not that we didn't like the old one really, it's just that we couldn't get it all the way through the organization. We had feedback that it wasn't getting right the way down, it was too long, too cumbersome. It has been flat, it's been shortened, it's been turned into much punchier questions, a few of them, very few of them actually compared to a standard employee survey. And it's much more focused on leadership and much more focused at the changes that we are trying to generate and therefore, much more actionable. And we've already had some good feedback that it's being used more than the previous survey.

The biggest deal probably on Harry's slide in terms of if you don't want to spread your activity over too wide a field, there are some things that you can see and focus on immediately. The biggest deal, in my opinion, is the anti-bullying and harassment campaign that we now have going. And I brought this back to the Board as part of my report last year with some trepidation, you don't come back to the Board as experienced as ours with the report like that without some concerns about how this might be seen. I could not have been more changed in my approach when I turned up with the report not only were the nonexecutives totally on-site, but the management have jumped on this in a way that has been seen in the organization as just an extraordinary sea change of "Oh, you really get this then, and we're really going to change something." It fits perfectly with the CARE campaign and we're bringing everybody to work in their best condition so that they can perform the very best that they possibly can. And frankly, it's just the right thing to do, but it has caused change to the organization, which I think will help in all sorts of different ways like changing HR processes and changing the way that leaders lead the organization. I'm going to wrap up because I suspect that my role is better as part of the Q&A session, as part of a wider Q&A session in the breakout session. And so I'll stop there. I think I'm probably introducing coffee, I'm apparently introducing coffee, and so now you're allowed out to go and stretch your legs and grab a coffee. Thank you very much.

Pamela Mary Coles

Company Secretary & Chief Governance Officer

Thank you, Irene. So just before you go to coffee, that ends our presentation this morning. So I'd just like to say thank you to everyone on the WebEx and that we'll say thank you to you.

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FY 2018 Earnings Call Transcripts

Thursday, February 28, 2019 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2018-			-FY 2019-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.14	0.16	▲14.29	0.28
Revenue (mm)	14815.43	15067.00	▲1.70	15313.04

Currency: GBP

Consensus as of Feb-28-2019 8:37 AM GMT

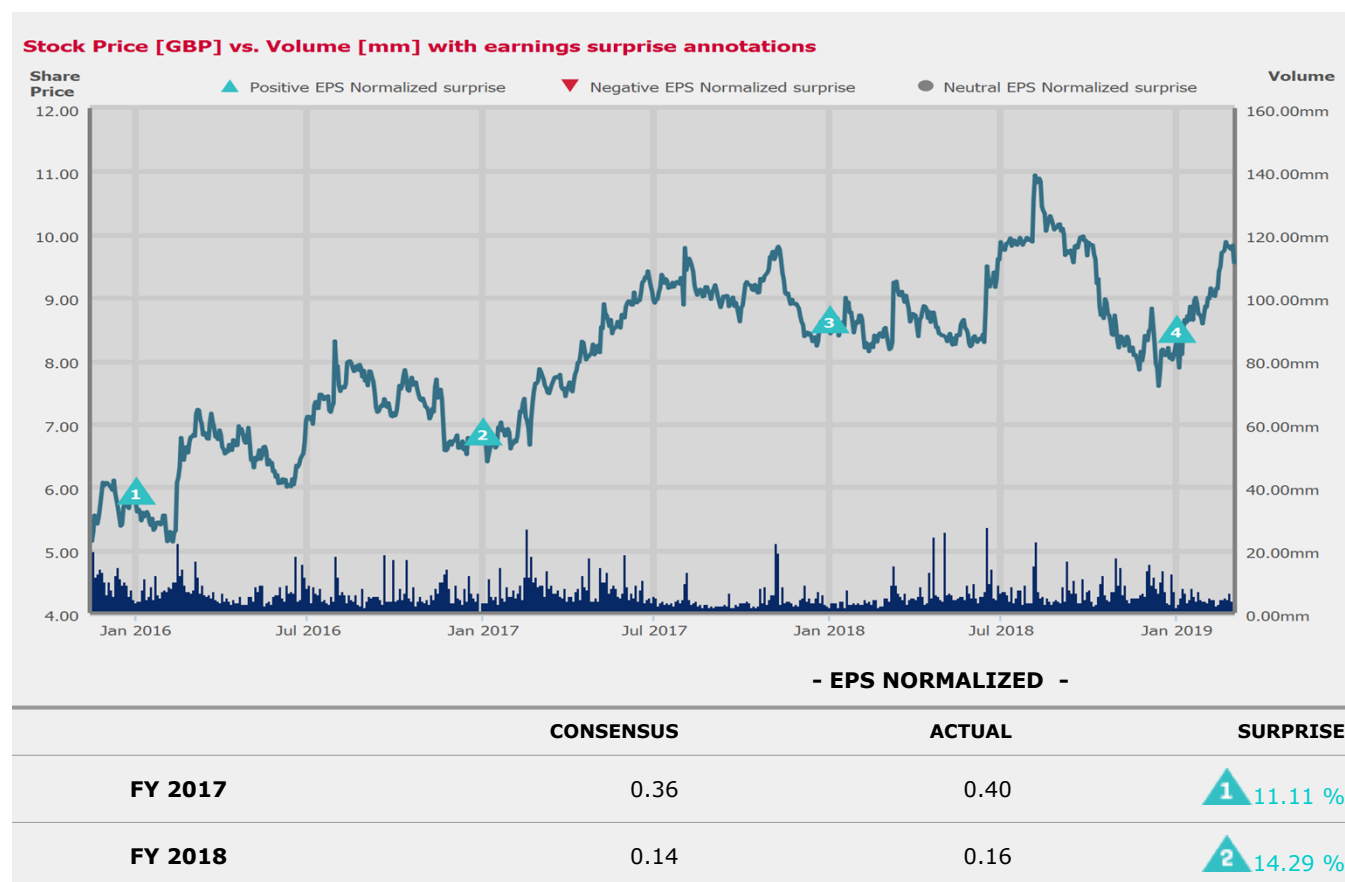


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Presentation

Jennifer Ramsey*Head of Investor Relations*

Okay. Good morning, ladies and gentlemen. It's 9:00, so we'll start. Thank you for joining us here at the London Stock Exchange. And for those of you joining online, my name is Jennifer Ramsey and I lead the Investor Relations team at Rolls-Royce. And it's my pleasure to welcome you to the 2018 full year results presentation.

The agenda for today's presentation will be Warren, our Chief Executive, will start. He will share with you his perspectives of the 2018 year and the challenges that we've encountered. Stephen Daintith, our Chief Financial Officer, will talk through the financials. And Warren will round up with an outlook for the year ahead.

The presentation should start, which should take about 45 minutes, and we'll have about 45 minutes for questions. We'll have questions in the room. And for those of you who want to ask questions online, please do so through logging your questions on our webcast service, and we'll endeavor to ask those in the room.

Finally, can I please ask you to turn off your mobile phones?

We have no plans for emergencies this morning. So if any emergency alarms do go, please make an orderly exit.

And with that, I will hand you over to Warren.

D. Warren A. East*CEO & Executive Director*

Good. Thank you very much, Jennifer. And thank you, everybody, for being with us this morning.

So I'm going to start with an overview of the group, and then we'll talk a bit about the different businesses. We'll talk about, as Jennifer said, some of the issues and then have a little look at where we're investing at the moment for the future.

So in terms of a summary of results, we've summarized it as solid progress. Actually, it -- we're very pleased with the performance in 2018. It was a year of actually quite strong growth in underlying core revenue. And that revenue growth drove, when combined with good discipline and rigor that hopefully we're introducing or you're seeing us introduce through the way we're managing the business, that revenue growth has helped us translate into good growth on the profitability measures. And that's resulted in a more than doubling of free cash flow when you look at our core business. And core, we're defining as the business looking forward. There's a little bit of a restructuring which happened during the year that I'll come into in a few moments.

It's a significant step on our journey towards our 2020 goals, about more than GBP 1 billion of free cash flow in 2020 and our midterm cash ambitions that we started talking about in the middle of the year at the Capital Markets Day in June. Obviously, there is more work still to be done in 2019, and we'll talk about that as well. But in reflection of that more work to be done, you'll see the dividend per share held flat.

Summary level look at the group.

Civil Aerospace, good results in terms of flying hour growth and good progress on reducing the cash deficit that we realize on every engine sold. We had a good year in terms of new engines launched, and I'll come to some of those shortly. And obviously, the year was dominated by -- all the news flow in the year was dominated by issues around the Trent 1000, which we'll cover in more detail.

Power Systems had another excellent year. At the half year, Power Systems was the standout performer. And Power Systems continued to perform through the year. And as we say, there's strength across key markets and very pleasing to see good growth in service revenues. I'll come back to a bit of detail on that.

Defence, we describe as a solid year. The standout piece there was additional new contracts, particularly in the Aerospace parts of our Defence business. And that left us with a very encouraging book-to-bill ratio and a very encouraging boost to our order backlog in Defence.

At the Capital Markets Day in June, the subject was a group-wide restructuring. And at the end of the year, we would say we are on track with the time line that we set out in June. On track in terms of net headcount reduction, on track in terms of trajectory to our goal of saving GBP 400 million per annum run rate by 2020.

When you put all that together, the financial performance showed good strong revenue growth, more than doubling of free cash flow. And it's particularly pleasing to see that happening, although we'll talk about exceptional charges from a cash flow point of view, it's particularly pleasing to see that happening against the headwinds of resolving the issues that we faced on Trent 1000.

Now I'm going to talk around the different businesses, and I'll start with Civil Aerospace. And we have a few slides on Civil Aerospace because Civil Aerospace is half of our business. And the good news is that we saw fleet growth during the year. So now by the way, with 4,700 large engines out there in service, that's 25% more engines, large engines, flying around than 5 years ago. And that fleet growth, together with the fact those engines are newer and more efficient, and therefore, better for the airlines to use, is one of the driving factors behind the strong growth in engine flying hours.

At the same time, back at Rolls-Royce, we've been working hard on reducing the deficit on -- that we make when we sell a new engine. We still do make a loss on average when we sell a large engine. But that loss has come down by 13% year-on-year. And that's in spite of introducing, as you'll hear a bit later, new engines. Obviously, on the new engines, when they're first launched, their losses tend to be significantly larger. So that 13% reflects some very good progress in things like the XWB.

And coming on to the XWB. The 84k version of the XWB continues with excellent performance in service, over 99.9% dispatch reliability. We hit the 3 million flying hours milestone a little while ago. And actually, in terms of volume shipments, that engine is going very well. And it's also going out the door very reliably.

Obviously, there was a little bit of news flow in the other direction around Trent 7000, particularly towards the end of the year. The good news is that we did get the Trent 7000 into service before the end of the year. And as everybody in the room I'm sure knows, we didn't get quite as many into service as we had hoped or intended to. But actually, the first couple of months of this year have gone very well for that as well and so now there are growing deliveries on the Trent 7000.

Halfway through the year, we talked for the first time about the Pearl family, new family of corporate jet engines. And the Pearl 15 was launched, that's going to power the Bombardier aircraft. And we're looking forward to the Pearl 15 entering into service towards the back end of this year.

Now as I said, the news flow was dominated by Trent 1000. This is the engine that powers the Dreamliner. And this morning, we are talking about adding an extra GBP 100 million to the expected cash costs of dealing with this issue over the total period from 2017 through to 2022. Most of those costs are incurred in 2018, the year just gone, GBP 431 million in 2018. We're expecting GBP 450 million this year. Notice that's a round number at the moment, GBP 431 million is a slightly more precise number because we've done that. So I can't guarantee it'll be exactly GBP 450 million, but it's of that order in 2019. We do expect that to decline significantly in 2020 by approximately GBP 100 million. And it's falling materially after that.

Now the thing about the Trent 1000 issues, it has, of course, caused a huge level of disruption for some of our customers and a portion of those Trent 1000 customers have been seriously affected. And clearly, we've been putting an awful lot of effort into managing that from an operational point of view and helping those customers by minimizing the number of aircraft they have on the ground. So we do sincerely regret the disruption caused to those customers, and that's why we're spending all this money on fixing it because we want those airplanes all flying as soon as we possibly can.

There is a bit of P&L treatment on Trent 1000, and I'm sure Stephen will cover the detail of that later. But because of the nature of the costs incurred, we have extended the exceptional P&L charge.

In terms of what's happening on the ground and resolving the fixes, here's the issue -- here's an update on the fixes. We had a fantastic Christmas present, which was the Pack C version of the compressor blades, the new designs were certified. And the first airplanes with those new certified blades are flying now, which is good, because that is an over -- that's signaling an overall increase in the healthiness of the Trent 1000 fleet.

We had another Christmas present, which was sort of over the Christmas-New Year period in that the TEN version of the Trent 1000, which has hitherto had a hard life limit on its compressor drum, that hard life limit has turned into an inspection regime. And as we inspect those engines, we've discovered no issues whatsoever to date on the Trent 1000 TEN. But that has saved our customers an awful lot of disruption by resolving and removing that hard life limit.

There's an order here, you'll see from the dates there, there's an order. We've dealt with the Pack C first because most of the 600 Trent 1000s that are in service are Pack C. So clearly, to minimize disruption, we had to deal with that one first.

Trent 1000 TEN is the new engines going into service as we speak. And that's why logically, that's the next one to deal with. And that compressor blade design is effectively the design that is done, and we're now going through the process for certification. And the equivalent blade for the Pack B engines is coming along behind that. And the reason it's coming along behind that is because there's a relatively small number of Pack B engines out there. The incidence in the Pack B of the fault is much lower than in the Pack C. And so in disruption terms to our customers, this has minimal effect and that's why we're doing it in that order.

The little chart on the bottom of the slide shows the trajectory of improvement of aircraft on ground as we go through this year. So aircraft on ground on Trent 1000 is going to be a feature for at least the remainder of this year. But we do expect to be in single digits by the end of 2019.

Just to put that in perspective, the number in the second half of 2018 oscillated between 40 and 45 engines. And as we speak in Q1, it's around 35 engines. Today, it happens to be 31. But that is -- it varies according to which engines get inspected and which we have to deal with.

So that's the update on Trent 1000.

Continuing with Civil Aerospace. The other little bit of news that cropped up in the second half of last year was the issues we had with delivering new engines. And we did expect to deliver, and we updated guidance actually shortly before the end of the year. We're expected to deliver approximately 500 engines. We actually only made 480 -- or we made 480 deliveries. We made more than that, but we didn't get them all tested and out the door.

And so we did actually manage to minimize disruption to customer deliveries. So 96% of the aircraft flew away on time to their customers during 2018. But the reason for the shortfall is shown up on the right-hand side of the slide. There were some very well-known issues in the Aerospace supply chain which affected us, affected our competitors, and that was a little bit of the capacity issues with some key suppliers.

The thing that particularly affected us was mix of engines in the second half of the year. The newer engines played a more significant role in the second half of the year. And when you're introducing new engines into production and coming up that sort of period of industrialization, then you do run into issues. And indeed, we did run into issues, particularly around the Trent 7000, where we had some initial learning curve, basically, poor yield on final test.

And just to sort of quantify that a bit, you can see that in the second half of the year, we were shipping significantly more, a greater proportion of those new engines. And to put it in perspective, the Trent 7000, in particular, on the bottom right of the slide there, in the whole of last year, 32 engines; in January this year, 11 engines. 11 engines is roughly at rate for the year 2019. In fact, if we can do 11 engines every month, that would exceed the number of engines we need to supply this year on Trent 7000. So we are confident that we have those learning curve issues behind us.

So just a little bit sort of post the end of 2018 but relevant, I think, for this morning, some recent announcements. So a week or so ago, a fortnight ago actually, it became public that Emirates had been doing a fleet review. And in conjunction with Airbus and ourselves, they were looking at effectively derisking their business, and they concluded they needed a different mix of airplanes. So they made 2 decisions: to cancel outstanding -- some of the outstanding A380s and order some more smaller airplanes. And the good news is that the more smaller airplanes that they ordered, a mix of A330neos and A350s, of course, they are Rolls-Royce-powered aircraft. So broadly, this is good news for us.

Now as far as the A380 is concerned, obviously, the A380 and the canceling of the A380 program is a matter for Airbus and not a matter for Rolls-Royce. So you have to talk to Airbus about that. But what we do know is that we have a good number of airline customers who operate the 380 and whose passengers enjoy flying on the A380. And we are totally committed to supporting those customers and keeping those Rolls-Royce-powered A380s in service for the next 20, 25 years, as long as it takes. And so that's the message from us on the A380 cancellation.

Now this morning, we have also announced that -- or we have announced that we have made the decision to withdraw from Boeing's proposed NMA platform. Many of you have heard me talk before about the NMA being potentially an attractive proposition from a strategic point of view, and it was all a matter of overlapping our UltraFan development program with the NMA requirements and seeing if we could achieve a sufficient overlap there to make a sensible answer from a commercial and a risk point of view. We have concluded that there is not sufficient overlap to create an engine out of the UltraFan architecture within the Boeing timescales at a sufficient level of maturity to tick those boxes in terms of risk and commercial common sense. And so we have made the decision to withdraw from that program, and we have notified Boeing. We actually notified Boeing shortly before the end of 2018. And it's all a matter of our conclusion that we could not achieve a sufficient level of maturity in the time available. And if you don't achieve a sufficient level of maturity, you lay yourselves open to all sorts of in-service issues, customer -- potential customer disruption, and that's not a good place to go from a risk and a commercial point of view. We remain, of course, completely committed to the UltraFan architecture and creating that architecture, all the technologies behind it, and I've got a bit more on that to say later.

Just having a quick look at the time there. We'll step on it a bit here.

XWB-84k, we're very pleased with that. This has been an excellent engine. Great reliability in service. Customers love it. We have made significant steps in closing the cash deficit on every engine that we ship there, and we still expect to be at cash breakeven in 2020 on XWB-84k.

The 97k version entered into service in February last year, and so far, our customers are telling us that, that is also doing very well. And later this year, we expect the first shop visits for the 84k version.

Now moving on from Civil Aerospace. I had a great weekend last weekend. Went down to Cardiff. And I spared you the Welsh regalia this morning. But the other reason it was a good weekend is because I left Paddington Station here on one of these Great Western Rail-operated Hitachi trains, which is, of course, Rolls-Royce-powered with our series 1600 engines in a diesel-electric configuration. And we have had a lot of success with new rail programs that are being introduced at the moment with this product. That puts us in a great position as all these train operators need to get their trains cleaner in those regions of the world where there is not wired systems for electrifying the rails to introduce our hybrid platform. And we've had considerable success with our hybrid platform in 2018. So far, only in terms of MOUs and evaluations, but I'm confident that we'll see some of those turn into orders shortly.

It was a good year then and that sort of thing has been driving things like order intake. The reason I put the train up there as well is because we've been introducing long-term service agreements, taking the Civil Aerospace model into Power Systems and being successful in signing up several of these long-term service agreements. All of that is -- has driven volume and that volume has driven an increase in operating profit.

China represents a great growth opportunity for our Power Systems. Our presence in China is relatively small today. But through our joint venture, we are hoping to grow that significantly.

As a measure of just how fast things can move in China, we introduced -- or we actually rolled off the production line our first engine in April last year, and we've now delivered over 100 from that joint venture.

Around the rest of the Power Systems business, we also saw a number of product launches, which we hope will translate into business in due course.

So moving to our Defence business. Structure there in the bottom left-hand corner. We pulled the various strands of our Defence activity together into one business. And so the picture this morning is a frigate powered by the MT30 marinized gas turbine rather than a picture of an airplane, thought you might like a different picture this morning from Defence.

But actually largely driven by the Aerospace portions, we've seen a significant increase in the backlog in Defence, and that's probably the highlight for 2018.

Halfway through the year at Farnborough, we were also pleased to be selected as one of the full key partners on the U.K. MoD's Tempest program.

ITP Aero. Very much part of Rolls-Royce but runs separately. We saw solid growth in ITP Aero. Obviously, that is significantly driven by not just Rolls-Royce activity in the Civil Aerospace sector, but by some of our competitors who have programs active with ITP.

Moving on from the business overview, restructuring. Halfway through the year in June, we talked about our restructuring program. This is a recap of what we said. We're simplifying to 3 businesses. We're getting rid of lots of duplication and enabling our businesses to operate with a little bit more freedom, yet within a framework, so that we can get the center out of the way and operate in a more modern, faster way.

So how have we been getting on? That was in June. What we've done so far is established a Group Business Services section. And this is pulling, basically, the internal services together, removing lots of duplication, removing lots of multiple interfaces between people within the business creating friction, slowing things down. Got rid of all of that. And that's been active since the beginning of 2019.

Similarly, an Innovation Hub, where we've pulled skill sets together that are relevant right across the group, so that's things like our technology group, digital group, strategy group. If you think about it, makes a lot of sense to have your future technology and your strategy tied together.

We also announced in June that there would be an associated headcount reduction with all of this, 4,600 people. As of the end of the year, it's about 1,300. And that, by the way, is concentrated on the indirect headcount rather than the manufacturing headcount because actually in some parts of our business, we're needing to grow capacity. But we believe we are on target, too, at about 30% of the way through on run rate cost savings.

We announced the sale of a couple of parts of our business during 2018 and they are proceeding. We expect the sale of Commercial Marine to complete sometime in the first half of this year. It is probably in the second quarter of this year that, that will complete rather than in March. But it's on track for completion with the necessary regulatory disposals having taken place.

Little look to the future, where are we investing. We're investing in 3 buckets, basically. So the current technologies make our current product portfolio healthy and future-proof. We're investing in enabling technologies to make that all more cost-effective. And then we're investing in some future technologies to get out beyond the current products and services. So those are the 3 key buckets. Right now, this is -- we're investing quite a lot in the current technologies, both from a sort of underlying material science point of view and a new design point of view, but also enabling tools to make our engineers more effective.

Looking a little bit further forward. UltraFan. In UltraFan, we had a great year in terms of hitting the milestones on our UltraFan architecture development. Just a reminder, this is basically a high-power

gearbox driving a very low speed fan to create efficiency. It's going to be a significant step forward in terms of efficiency, in terms of noise reduction and in terms of emissions.

And during the year, we have run the core up to full power. We've been demonstrating to ourselves and experimenting with the new composite materials around the fan and the fan case and also with the combustion system, the new lean burn combustion system. So actually very pleased with how the UltraFan program is going.

Looking a bit further forward. We said we're championing electrification. That's manifesting itself in a few electrification programs in Aerospace. It's manifesting itself in things like entering into the microgrid business. And the 2 pictures on the bottom right there, robotics in engine maintenance. We think this is an area where we can take a lot of cost out of the engine maintenance and actually improve some of the reliability of that activity as well. And the picture on the bottom left there is demonstrating some of our investments in advanced materials.

So with that, I will hand over to Stephen, and I'll be back for a summary shortly.

Stephen Wayne Daintith
CFO & Executive Director

Thanks, Warren.

Morning, everybody. I'll do my best to stick to the timetable and I've got only about 15 minutes to go through the financial, so I'll do my best. It's okay.

So the full year results for Rolls-Royce. And I'll just pause on this side -- slide for a second. Warren showed this, but just to reinforce, I think, the revenue growth and remind ourselves that Rolls-Royce is a growth business and a strong revenue growth business as well. And that's a core part of our progression and ambition over the medium term.

A reminder of our reporting format. We will be talking mostly in this presentation around our core business. And our core business, Civil, Power Systems, Defence, ITP, that's where it stops. Below the line, Commercial Marine, L'Orange, they're noncore businesses that either have been sold or going through a sales process to get you down to the group results. So it's core business is what we're highlighting here.

The core for 2019 will become the group for 2019, just to reinforce that point.

So the group underlying results. Just putting it all in perspective by each division. Particularly strong revenue growth in Civil and Power Systems, 12% -- sorry, 12% and 15%, respectively. Defence, solid, getting us to core business revenue growth of 10%. Really good progress.

Earnings per share growing nicely from 2.3p to 16p, but still a long way to go in earnings per share.

I'm looking at the income statement in entirety. Revenue growth, 10% revenue growth. Gross profit growing at 4%. Gross margin growing at -- to -- is now just 10 basis points up to 15.7%. Impacted here by the contract catch-ups in the Civil Aerospace business that we'll see shortly. If you take that number out, you get closer to a 17% margin.

And if we put the gross margin in the context of our midterm ambition of GBP 1 of cash flow per share by the midterm, we're looking at a gross margin of around 20% for Rolls-Royce. That's the sort of number that's consistent with that GBP 1 of cash flow per share.

I'm going to get through each of the line items over the next couple of slides.

Underlying operating margin of 4.4%. Again, a lot of room for improvement there. Again, midterm ambition, putting it in that perspective, around the 10% operating margin over the midterm.

Cash flow per share, growing nicely, 34.5p, GBP 1 in the midterm.

And cash return on invested capital, and I'll talk about that in a little while as well, 12% for the year, down 13% from the 13% last year, but I'll share that detail with you.

Looking at the breakdown of the revenue growth. So Rolls-Royce is not just a revenue growth story, but it's across all revenue streams as well. It's not just one that we're dependent on, it's across all revenue streams.

OE revenue growing by 10%, driven by the growth in activity and deliveries, particularly in Power Systems.

LTSA service revenue growing a nice 11%. The strong flying hour growth is a key driver there.

And then other service revenue as well, a nice high-margin business for us, and that's in respect largely of sort of spare parts sold to some of the older engines, such as the RB211, the Trent 500 and 800 as well. Getting us to that group gross margin of 15.7%. And if we adjust for the contract catch-up accounting adjustments, we're closer to 17%.

Core business R&D. So as a group, our gross R&D cash spend was up to GBP 1.378 billion for the year. Net cash spend was up 8%, you can see there, the GBP 1.1 billion. And once we deduct the capitalized amount of GBP 498 million and then add back the amortization impairment, we get to a net R&D P&L charge of GBP 650 million. So our capitalized R&D was GBP 100 million or so higher than we had anticipated, largely driven by, well, first of all, the increase in cash spend but also just the timing and phasing of certain engine programs, particularly around the Pearl 15 that drove that increase in net capitalization. We're guiding today that we're expecting that capitalized amount to come down by around GBP 100 million in 2019.

Just as a reminder, at the bottom here, at the bottom left-hand corner, 2018 is expected to be the peak year for R&D cash spend.

Commercial and admin costs, declining organically by 2%. This is a line item where we expect to see good progress over the next few years, particularly as the benefits of our restructuring program start to kick in. Our midterm ambition is to get to 5% of sales, we've made progress on that during 2018 at 6.9% of savings, but still clearly some way to go. The headcount reductions that Warren mentioned, the 2,000 to 2,500 or so during 2019 will be a key driver of that.

Restructuring and exceptional costs. We have a GBP 1.4 billion in total exceptional cost that we're reporting today for 2018, made up of 4 key buckets: the Trent 1000, GBP 790 million, an increase from the GBP 554 million at the half year, largely driven by the numbers of aircraft on ground being at elevated levels for longer than we thought at the half year, and I'll go through the accounting on that, I'm sure, during the Q&A, but I want to eliminate it now because I'm sure 1 or 2 questions might come up there.

The restructuring in the bottom left-hand corner is largely around the group restructuring program that we announced in June of this year. Total cost for that program of around GBP 500 million. Run rate savings of GBP 400 million. The cash cost for the group restructuring in 2018 was just GBP 70 million, to put that in context.

Trent 900, the closure of the A380 program, GBP 186 million exceptional cost for us, largely around onerous contracts, the impairment of some intangibles and various tooling write-offs.

And then, finally, a pension adjustment in respect of gender equalization provisions.

Summary funds flow statement. As -- what we've tried to do here is summarize the key movements between underlying profit before tax and then group free cash flow. I think the 2 key numbers to highlight: working capital change, a GBP 581 million benefit; and then the growth in the Civil Aerospace, net long-term service agreement balance change. And let me just go through those items one by one.

So the underlying working capital reduction. We benefited GBP 581 million from this. So what were the key moving parts? Well, first of all, we had a materially higher payables at Civil and Power Systems, driven by increased trading, particularly in Q4, at Civil, related to the ramp-up, particularly around the Trent 7000, and in Power Systems, with a strong order book that I'm going to talk about in a second and that Warren alluded to as well for Power Systems that ceases into 2019.

We also benefited from around GBP 400 million of supplier payment terms standardization led by Civil Aerospace. And this is effectively looking at our extending, where appropriate, our supply of payment terms so that we can essentially extend those payment terms, for example, let's say, from 60 days to 90 days, and benefit from that.

What we -- we did a lot of work on working -- we continue to do a lot of work in working capital at Rolls-Royce and we do see opportunities around the group. And I've alluded to this previously. Whether it be collection of old receivables, inventory management, supplier payment terms is one just opportunity.

We improved our overdue debt collection. It was another driver for us. At the same time, a couple of negatives. We had GBP 150 million concession unwind in Civil, you recall the benefit we had last year. We had higher receivables in Civil and Power Systems, driven by the increased trading activity. And finally, the most material of these items was increased inventory reflecting the operational challenges in Civil and the volume growth in Power Systems. So we had around GBP 400 million growth in inventory over the course of the year. Putting all these together got us to the GBP 581 million benefit for 2018.

Looking at the change in the Civil Aerospace net long-term service agreement balance. And this is -- the movement here is largely driven by the customer receipts that we receive from our airline customers, driven by widebody engine flying hour growth, growing at 14%, and also increased business aviation flying hours. This cash outflow from the major shop visits, which is up from 240 to 286, and also from the check and repair shop visits growing from 356 to 569.

Now this balance, this credit balance also includes the negative contract accounting catch-up adjustment of around GBP 300 million. And that adjusts for the difference between revenue and cash flow.

So this balance effectively represents deferred revenue for Rolls-Royce, cash collected in advance of the shop visit. Cash receipts are higher than revenue and it's a core part of our business model, this particular mechanism. It will continue reflecting flying hour growth.

So looking at the group balance sheet. You'll recall that the group balance sheet is the #1 of our 4 capital allocation priorities. We've materially improved our free cash flow. And we've actually improved our net cash/debt position, moving from a net debt position of GBP 305 million at the end of '17 to a net cash position at this year around of GBP 611 million.

We completed the disposal of L'Orange. We've announced sale of Commercial Marine that Warren talked about. We issued preemptively EUR 1.1 billion of bonds at attractive rates. We've prefunded all existing debt maturities to the end of 2019. We did that during the year as a sort of in anticipation of a Brexit event in 2019.

And we reiterate our ambition to return to a single A rating.

Shareholder payments. We are holding the final payment at 7.1p per share and that gets us to a total payment of 11.7p. And I've put that in the context of the capital allocation priorities, in the bottom right-hand corner here. Strong balance sheet to improve our credit rating and returning to that single A rating, to fund organic investment to drive growth and technology. The dividend payment to shareholders, we'll increase dividend as free cash flow grows. We aspire over the midterm of 2.5x free cash flow dividend covered through the cycle. But we put -- we look at our shareholder payments in the context of our capital allocation priorities. And finally, disciplined and selective mergers and acquisitions activity.

Moving one by one through the business units. Civil Aerospace, revenue growth across the board. OE revenue growing 8%; services, 12%. And I mentioned earlier that strong services growth, that spare parts revenue growth, high-margin growth out of the legacy engines, the older engines, the more mature engines, 12 -- 21% growth there. The V2500 was a big contributor to this revenue growth.

The gross margin impacted by the contract catch-ups. We put in a line in here. If you were to adjust for both '18 and '17 for the contract catch-up adjustments, and this is in respect to the long-term service agreements, and I'm going to talk about this, I expect, during the Q&A, and the volatility that's implicit within IFRS 15, it would have been a 10.4% gross margin at Civil Aerospace.

Engine sales. Just to go into bit more detail for Civil Aerospace. As we're using Warren's words, half of our business. Widebody sales went to 469. We did ship 11 further. We're guiding to 520 for 2019.

Bottom left-hand corner, a reminder that around 2,300 widebody engines that are on order and a mix of those with the Trent XWB being a key driver of that.

So you recall the 3 key drivers of growth for us over the midterm. The number one of these being the reductions in the OE deficits. We made good progress again in 2018 on this goal, a 13% reduction. The average OE loss is now down to GBP 1.4 million.

Looking at the top right there, the XWB-84, particularly good progress with 32% improvement in unit loss. And as a reminder, our goal is that for 2020, XWB-84 will be breakeven. And indeed, across the -- by 2022, we expect the margin across the widebody fleet OE to be breakeven.

I won't dwell too much on this slide on the interest of time.

Engine flying hour growth. Large engine invoiced engine flying hour growth grew by 14%, reflecting the growth in the installed base but also the increased utilization of those engines. The large engine in-service fleet, just going back to the earlier comment, 8% growth to 4,757 engines now in service.

Shop visits. Shop visits grew, 46 shop visits extra in 2018. This is the major shop visits, the ones that take place every 5 or 6 years or so. And then check and repair visits, growing significantly, largely driven there by the accelerated maintenance activities you might expect on the Trent 1000.

That -- putting all that together gave us a GBP 200 million benefit to the widebody cash margin. The OE deficit improvement gave us a GBP 100 million benefit to -- at the OE level.

When you put all that together, together with the benefit from the increased growth in spare engines to support the growing fleet, we finished with a GBP 400 million improvement to the widebody underlying cash margin.

And this is a slide that we first introduced in 2017 in an attempt to give a more user-friendly perspective of how cash flow works in Civil Aerospace on a driver basis.

So just moving very quickly through the rows. First of all, we solve for original equipment, number of engines invoiced times the sort of loss per engine. Then underlying services, the growth in flying hours. Spare engines, you can see the Trent 1000 costs coming in there as well, taking us through -- to a widebody cash margin of GBP 900 million after the Trent 1000 costs.

And then after we go through the other engines and through to R&D and CapEx and so on, working capital benefit, you end up with trading cash flow of GBP 200 million for Civil Aerospace.

Going forward, over the midterm and into 2019 as well, we are expecting working capital change to become more normalized. I'll talk about that later.

Power Systems. Strong revenue and profit growth. 15% organic growth in Power Systems, really strong growth, flowing through nicely to growth in our operating profit of 20%. The margin -- the gross margin is impacted by the product mix. We have a -- there were an increased lower-margin sales in construction and agricultural markets, offsetting any benefit from the increased volumes and the improved factory utilization.

Looking forward for Power Systems and just coming to that order book point. There's more than a 20% increase in the order intake year-over-year. Better order cover ratio than the prior year as well, so Power Systems is well placed for 2019. But as a reminder, and Warren mentioned this, 2018 did benefit from that pre-buy-in effects in respect to the emissions regulations that are being introduced in 2019 for diesel engines. So one shouldn't expect the sort of revenue growth we saw in 2018 and 2019 for Power Systems, and I'll get to the outlook in a second.

Defence. A solid year for Defence. Revenue, pretty much flat year-on-year. Operating profit down slightly due to gross margin deterioration with lower combat and submarine volumes, but partially offset by the increased demand for the Multi Role Tanker Transport engines that Warren mentioned.

Operating margin down. Slightly higher R&D spend. Our Defence business is moving into an investment phase over the next 3 years. We should see the sort of trend that we saw in 2018 be replicated in 2019 as well.

I won't dwell on this. I think I've mentioned -- strong order book for Defence as well. Good orders received during 2018, a 1.3x book-to-bill. And the closing order backlog there now is GBP 6.8 billion. So good progress on the order book in Defence.

ITP. Solid growth in ITP. 6% revenue growth. Operating profit, growing nicely as well by 3%. And I won't dwell on this one. The outlook for ITP for 2019, 10% revenue and profit growth.

A couple of accounting policy updates. With effect from the 1st of January, 2019, IFRS 16 will be bringing operating leases onto the balance sheet. The effects here will be an increase in our assets by GBP 1.8 billion and an increase in our liabilities by GBP 2.1 billion. The impact on PBT is negligible. No change to cash, of course. Just sort of update you on that accounting change.

And IFRS 15. IFRS 15 requires the disclosure of unrecognized revenue. This is the closest, I guess, proxy to the value of the order book. But it is quite different from the way we used to disclose the order book. First of all, it includes only firm purchase OE orders. That represents about 9 months' worth of OE orders. And it represents the entirety of any contracted aftermarket revenue. Whereas the previous order book value prepared included all OE orders at list price and then just 7 years of aftermarket. So very different basis of calculation. But somewhat reassuringly, the numbers aren't dramatically different, although it's complete. One might argue, it's a coincidence, but that's where we've got to.

Guidance for 2019. So just running through these. 2019 outlook. Civil Aerospace, around 10% revenue growth; Power Systems, going back to my earlier comments, mid-single-digit revenue growth; Defence, stable, again reinforcing those earlier point -- comments that I made; ITP, around 10% growth; Civil, the loss reported of GBP 162 million will be approaching the breakeven position during 2019. Power Systems' margins will be about 100 basis points higher. Defence, 100 points lower. ITP, stable.

And you put all that together, we get to core profits of GBP 700 million, plus or minus GBP 100 million, and free cash flow of GBP 641 million. Again -- sorry, GBP 700 million plus or minus GBP 100 million.

Just those ranges, putting it in the context of a GBP 15 billion revenue business, those ranges seem large in respect of the absolute numbers of profit and cash that we're guiding to. But in the context of the size of our business, you -- they're actually quite small, just to put it in that context.

And a further step towards our free cash flow of at least GBP 1 billion in 2020.

Finally, reinforcing and reiterating our midterm ambition to move to at least GBP 1 of cash flow per share by the midterm, currently at 34.5p.

Cash return on invested capital, at least 15% through the cycle. We're now at 12%, a little higher than we reported at our Capital Markets Day. And just as a reminder though, that cash return on invested capital we reported then of 9% was on old GAAP balance sheet basis. This is an IFRS 15 balance sheet basis and they're markedly different balance sheets. So just to put that in perspective. And that has caused us, therefore, to be more ambitious around the 15% cash return through the cycle. Just to make that point.

We're using CROIC now, increasingly so, within the business as I -- to help us to with our capital allocation decisions as well, which is encouraging, that the -- it's not just how we report progress, but it's how we measure and manage and work within Rolls-Royce as well.

And with that -- just before I wrap up, I just want to say I know the group finance in Derby are watching now and PwC are watching. Just want to say thank you very much to the team who had done with our first year orders and the first full year of IFRS 15, an absolutely cracking job over the last 2 or 3 weeks. So thank you very much for everybody watching up in Derby and to Price Waterhouse.

Warren, over to you.

D. Warren A. East

CEO & Executive Director

Thank you, Stephen. Bearing in mind, mind the lousy job that I did of keeping to time in the first half. I won't keep you long on this, and we'll get on to Q&A.

So rather than stepping through this, you can read this in the book. This is a very logical set of our sort of high-level objectives for 2019. You'll see not a huge change in terms of what we're doing year-on-year because they all sit within this sort of wider-term high-level thing. We've put this in as a reminder, that it's about making sure we have a balanced portfolio. A lot of our expenditure goes into vitalizing our existing capabilities. That means that products and services that we operate today, how we make sure we continue to operate those and develop new versions of products and services evermore cost-effectively. The tools that we're using to do that and then largely reinventing the business through digital, through adopting digital technologies, to link our designs to our manufacturers, to our supply chain and so on. Transforming the way we actually operate the business, both from a manufacturing point of view, and as you heard Stephen say a moment or 2 ago, by how we measure and manage our performance. And then looking forward to the future, with new technologies, very much embracing the inevitable electrification that's sweeping through the industrial landscape at the moment.

And so with that, we'll move straight to your questions.

Question and Answer

D. Warren A. East

CEO & Executive Director

So I'm sorry, I didn't spot who went first. Those who are driving the microphones, please, we've got a couple here. And then in the middle. Why don't you fire away, Christian? Do you want to go first?

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Two questions from me, the first on the Trent 1000 and then second on the NMA. On the Trent 1000, are you at -- or do you see on the horizon the point at which you will be comfortable or confident in that you will have fully provisioned for the cash outlays required in the future to get this program back on the right footing? And then secondly, around NMA, can you elaborate a little bit on your concerns about not reaching sufficient maturity on Boeing's time line? I mean, it seems a bit from the outside and granted, obviously, we're observing from the outside with a lot less information, but that UltraFan has been actually progressing quite nicely against a number of development milestones. So if you can just clarify or elaborate a little bit on what's kind of changed your mind or drove the decision, that would be great.

D. Warren A. East

CEO & Executive Director

Okay. So I'll do the NMA one and you talk about the Trent 1000.

Stephen Wayne Daintith

CFO & Executive Director

Sure.

D. Warren A. East

CEO & Executive Director

So it's hard to put much more color on it, really. The reality is that Boeing have a specific engine program that they are working towards. The exact specifications of that engine are not completely tied down yet in terms of requirements. But based on the extensive work that we've done with Boeing in tracking those specifications and looking for how that overlapped with our UltraFan program, we simply couldn't find sufficient overlap and there would have to be additional work that needed to be done specifically for the engine variant that would be required for NMA. Now of course, technically, we could make that work, that wouldn't be a problem. But we do know from bitter experience, that you need to do a huge amount of very rigorous testing work to ensure a certain level of maturity when the engine enters into service. And we simply couldn't find enough hours in the day, even if you threw many more bodies at it and much more money at it, there's simply not enough hours in the day to do all that work in time to get to a sufficient level of maturity in time for Boeing's timescales. And it -- so it comes down to what makes commercial sense and how much sort of risk do you want to put into that program. And we chose to be completely open with Boeing and our customers and our investors that rather than get into a program and get towards the delivery dates and saying, sorry, we can't do this, it's -- we need to do an extra year's worth more testing. Once we've ascertained that we just couldn't make it fit in the timescale to get to that level of maturity, we had to withdraw. And that means that we can concentrate on our UltraFan architecture development, which, as you rightly observed, is going pretty well at the moment. I'm very pleased with the progress in 2018 on that. But that is targeting an architecture development and the milestones that we have to hit in that. And it just takes you to a different place than what was required for NMA.

Stephen Wayne Daintith

CFO & Executive Director

So the Trent 1000. So the Trent 1000 will -- is, first of all, just as a reminder, is a multiyear cash cost over 6 years from 2017 to 2022. In total, around GBP 1.5 billion of cash cost, being broadly GBP 100 million in 2017; GBP 450 million in '18 and '19; GBP 350 million in '20; and then the balance of GBP 150 million or so over '21 and '22. That's the profile. That is GBP 100 million more than we expected at the half year. But we do believe now that with the regulatory approvals that Warren mentioned in his presentation that we've received over the last couple of months and the 1 or 2 that is still expected and with the improvement in the aircraft on ground situation falling into single figures towards the final quarter of the year, those will be the key sort of drivers of us getting certain around the cash and the cost profile on the Trent 1000. Around 80% of the cash costs are being incurred over '18, '19 and '20. And just as a reminder as well, that just over half of the total cash costs are broadly in respect to the customer disruption costs and claims that were -- in respect to our customers, caused by the aircraft on ground. So the aircraft on ground, we have made improvement over the last couple of months, reducing from the average of 41 during the second half of last year to 35 now. We expect to see that continued decline during 2019. And it's that, that gives us the confidence. Along with the approvals from the authorities, regulation authorities, we feel confident that the GBP 1.5 billion cash cost is a solid estimate.

D. Warren A. East

CEO & Executive Director

Pass it along, and then we'll go to the middle.

Robert Alan Stallard

Vertical Research Partners, LLC

Rob Stallard from Vertical Research. A couple of quick questions on the 2019 guidance, probably for Stephen. First of all, you said working capital normalization. Does that mean roughly breakeven for 2019? Secondly, what are your expectations for group CapEx this year? And then finally, looking at the Civil division, how do you expect the aftermarket to progress both for long-term service and for older engines in 2019?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So 2019 guidance, so working capital normalized levels. I think the only material item of working capital that we're expecting at this stage is a reduction in inventory. And one might expect that given the growth in inventory that we saw during 2018, which is largely driven by the Trent 7000 production ramp-up but also the growth in Power Systems. So that's the only single material item of working capital that we're expecting. Aside from that, we're not anticipating or planning for any significant items in either the payables or the receivables line. Having said that, and I've mentioned this before, Rolls-Royce in our industry is an industry of lumpy cash flows, and they can -- the timing impact -- can have an impact. But at this stage, there's nothing in our guidance that assumes anything other than the inventory improvement. Second question, sorry, was?

Robert Alan Stallard

Vertical Research Partners, LLC

CapEx.

Stephen Wayne Daintith

CFO & Executive Director

Yes, CapEx. I don't know whether we gave an explicit guidance, but CapEx, if anything, we should be declining slightly from current levels and then, let's say, anywhere between GBP 50 million to GBP 100 million and then steadying down at that level over the next 5 years. That's the plan for CapEx. And it has grown over the last few years. Just as a reminder of that to accommodate the production ramp-up that we've seen over the last couple of years and continue to see.

Robert Alan Stallard

Vertical Research Partners, LLC

Finally, on the aftermarket?

Stephen Wayne Daintith
CFO & Executive Director

The aftermarket progression?

Robert Alan Stallard
Vertical Research Partners, LLC

Yes. I expect old engines versus long-term service.

Stephen Wayne Daintith
CFO & Executive Director

I think we had very good year on old engines. We can't expect that sort of growth to continue. We still think we're going to see good growth, particularly on the V2500 to the next sort of 3 years or so. But I don't think we can expect to see that sort of revenue growth continue. So we ought to be a bit more circumspect in our longer-term horizon and moving into single-digit territory for revenue growth there.

D. Warren A. East
CEO & Executive Director

Can we -- thank you.

Nick Cunningham
Agency Partners LLP

Nick Cunningham from Agency Partners. I wanted to ask about the thinking behind holding a dividend. Because it's sort of -- it sends an opposite signal to the commentary and the guidance, the medium-term guidance, and it's not actually very much money. These are percentage increase and it's not very much money. So I wanted to understand that. And then second, different question. On the NMA decision, what's the route to market for UltraFan in that case? I mean, the obvious one would be a sort of A350neo stretch. I -- will you be ready for that? And does it also mean that, effectively, the pairing has now become Rolls-Royce and Airbus, GE and Boeing, and Rolls won't do another Boeing program?

D. Warren A. East
CEO & Executive Director

Shall I do that one?

Stephen Wayne Daintith
CFO & Executive Director

Yes and I'll do the dividend?

D. Warren A. East
CEO & Executive Director

You do the dividend. It's certainly not our intention that the sort of Airbus-Rolls, GE-Boeing thing is accentuated. And to that end, it would have been very good to being able to participate in the NMA program. But we've gone into why we couldn't participate in that, so I won't repeat that bit now. As far as UltraFan is concerned then, it's a scalable architecture. And it's scoped to scale from by 2,500 pounds of thrust through to about 110,000 pounds of thrust. And that means we can go after widebody, we can go after single aisle. We expect the first opportunities will be in widebody, things like you suggested just then in the question. Obviously, introduction of new airframes is a matter for both Boeing and Airbus. But I can assure you that our relationship with Boeing is very rich and very healthy. And over the last 12 to 18 months, while we've been working together very closely on the Trent 1000 program, it's been a great opportunity for some of the Boeing engineers to wander around in Derby and get a much better idea of how our UltraFan program is developing. So I'm actually quite optimistic with both airframers for the future and UltraFan.

Stephen Wayne Daintith*CFO & Executive Director*

And on the dividend, yes, the dividend will be under review in 2019. We are clearly approaching that territory where it is appropriate to reconsider our dividend and restore it to previous levels. Just to put that in the context of a couple of things. Number one, we're also extremely keen to return to a single A rating and improve our balance sheet. So that's a key priority for us. And number two, we have the ongoing issue of the Trent 1000 and the GBP 450 million or so of cash cost there as well. So we're just balancing it against those other priorities and managing through there. It will be under review in 2019, but it was certainly approaching that territory where it's appropriate to start restoring the dividend again. And just on CapEx, sorry, we do -- we are explicit about that guidance and it's GBP 75 million reduction in 2019. So between that GBP 50 million to GBP 100 million that I mentioned.

D. Warren A. East*CEO & Executive Director*

Okay. The microphone is just moving that way. And then it's going to go back a row.

Andrew Edward Humphrey*Morgan Stanley, Research Division*

Andrew Humphrey at Morgan Stanley. Just a couple of quick ones, one on IFRS 16 and one on Power Systems. Stephen, you mentioned IFRS 16 will be neutral at PBT level. Can you tell us what the impact would be on EBIT? And the second question on Power Systems. I think over the course of 2018, you've highlighted a level of prebuying there ahead of some regulatory changes. You're still guiding for growth in 2019. Clearly, there -- I mean, if that's the case, there must be a stronger level of underlying growth in that business. So maybe talk about the offsetting factors there a bit, that would be great.

Stephen Wayne Daintith*CFO & Executive Director*

Shall I take quickly the IFRS 16? Yes, the operating profit level will be about GBP 30 million, GBP 40 million benefit. Just an estimate at this stage, but that's what it will be, yes.

D. Warren A. East*CEO & Executive Director*

And on the sort of the situation in Power Systems, I mean, we highlighted a couple of things. As Stephen said, 15% growth last year. The prebuying was one of the factors behind that. And unlikely that, that can be sustained. However, we're not looking into complete reversal because some of the other growth in Power Systems is in things like PowerGen. It's in things like adoption of some of our new variants in gas engines where, don't forget, we're coming from a very small base. And as I alluded to in the presentation, a little bit in terms of geography as well where, again, in some parts of the world and in particular in China, we're coming from a very small base. From a cost point of view, we've had a significant barrier historically in China and that's why we set up the joint venture. And I think when we set up that joint venture, when we talked about it, first of all, we said it's partly about cost to make ourselves more competitive in China, but also to make ourselves more competitive generally because then we can export some of that to the rest of the world. But in terms of initial production from there, it's about targeting growth opportunities in China. And compared with some of our competitors, we do target a much broader field of applications. And so that's really what's underpinning our growth expectations for this year. Not as racy as last year, there was that particular factor, but we still expect single digit -- mid-single-digit growth.

Zafar Khan*Societe Generale Cross Asset Research*

It's Zafar Khan from SocGen. Stephen, just on Slide 40, the change in Civil Aerospace net LTSA balance, which is quite a big benefit to the cash flow, Slide 40. Obviously, you've got, on the positive side, the growth in the flying hours. But I suppose as the fleet matures, you're going to get more shop visits. So what should the decay look like in that number going forward?

Stephen Wayne Daintith*CFO & Executive Director*

Yes, I've been asked this before and I think we -- we're expecting this margin to grow nicely over the next 5, 6 years. Growth will continue. It will carry on growing, albeit at a much smaller rate as the 6-year anniversary comes up for those first shop visits of those delivered 6 years previously and when the ramp-up first started in OE production. So we should be thinking around sort of 2024, '25 is when we start to see the growth plateauing and then instead growing more steadily at more moderate levels. But over the next 5 or 6 years, we are going to see good growth in this margin.

Zafar Khan*Societe Generale Cross Asset Research*

But that particular number in the cash flow statement, should we be looking at that number being stable over the next 4, 5 years?

Stephen Wayne Daintith*CFO & Executive Director*

It will depend. It will depend on the nature, a mix of the shop visits year to year. Essentially, it'll also depend on flying our patents as well. We've had some very good years of flying hour growth and it will depend on that. So -- but your logic is not wrong. It's -- that -- it ought to be a relatively linear type of relationship, but it will depend very much on the mix and type of shop visits.

D. Warren A. East*CEO & Executive Director*

So let's move that way, and then we'll come over to you, Celine.

Charles J Armitage*Citigroup Inc, Research Division*

If I could just sort of -- Charles Armitage at Citi, just continue that a little bit more. The GBP 944 million, is that about where you would have expected it? Was it particularly good? Or was it particularly bad? Are we looking at GBP 700 million to GBP 1 billion or are we looking at GBP 700 million to GBP 900 million?

Stephen Wayne Daintith*CFO & Executive Director*

Yes. We should also, on this point, remind ourselves that this includes the credit to the balance sheet from the expense, the debit of the contract catch-up in Civil. So approaching GBP 300 million of this is noncash. So the number is closer to GBP 600 million rather than the GBP 944 million one. And we do point that out on the slide once you adjust for that. But notwithstanding that point, yes, that's how we should be thinking around the sort of the cash receipts from the aftermarket activity.

Charles J Armitage*Citigroup Inc, Research Division*

So GBP 600-ish million for next few years, then...

Stephen Wayne Daintith*CFO & Executive Director*

Again, very much depending on how flying hours, aircraft, particular engine growth but also on the type and mix of shop visits. And we are going to see a ramp-up in shop visits to mirror the growth in the installed base over the last few years as well.

D. Warren A. East*CEO & Executive Director*

Could you pass the microphone on to that end of the room to Celine? And then we'll come up to the back on that side.

Celine Fornaro*UBS Investment Bank, Research Division*

Celine Fornaro from UBS. My first question would be regarding the growth in the old engines and the flying hours. And some of these engines you're probably paying those yourself as a compensation to some of the airlines that have got 787 issues. So I just want to understand if that's capturing that revenue number and how would you account for that? And my second question is regarding the single A credit rating, which is clearly one of your top priorities for the year. So how do you think the rating agencies will react to the results today and the guidance?

Stephen Wayne Daintith*CFO & Executive Director*

So I'll do the second question first. So...

D. Warren A. East*CEO & Executive Director*

And I'll do the first.

Stephen Wayne Daintith*CFO & Executive Director*

And you could -- definitely. So the single A rating. I think in my conversations with the rating agencies, underlying free cash flow is their core metric and growth in the free cash flow. I think they'll be pleased to see net cash on the balance sheet. But they also look very hard at the quality of the cash flows as well. And there are those that will look in -- and we -- clearly, we benefit from working capital in our current year cash flow. And whilst we have a benefit from those normalizing -- standardization of supplier payment, something that you only do that in the year and it's a permanent benefit in the year, but it's not repeatable year after year. So the rating agencies will look at that. So I'm expecting they'll be pleased with the progress. They are extremely keen that we deliver our at least GBP 1 billion of free cash flow by 2020. And they'll be looking at the quality of that cash flow as well. So as it stands, I think they'll be encouraged, but I'm not expecting any material change at this stage from the rating agencies. Warren?

D. Warren A. East*CEO & Executive Director*

And I think if I've got it right, it was about older engines and the service revenue that's flowing from those older engines and the possible contribution of that caused by us leasing older aircraft as -- to help our customers with the disruption. It's true that that's one of the tools that we've used to help our customers through this time, and that's one of the things that we're paying for in these extra costs. But actually, compared with -- I'd draw your attention to one of the slides in Stephen's presentation where we're talking about key cash drivers in Civil Aerospace and the service piece. I'm afraid I haven't got the number of the slide here because I'm on another version than yours, but there is just a lot of activity amongst the older engines. And if you think about the quantities of aircraft that we've had on the ground, there just simply haven't been that many Trent 1000-based aircraft on the ground. The volumes of other aircraft we've had to lease to help customers out is very small compared with the numbers that are contributing to this older engine service revenue. So it probably is a very small factor in that. But we're talking typically -- and not on all the airlines affected, but some of the airlines affected, it would be small single-digit number of aircraft that we've been leasing for periods of months. I think we've got a few over here. And it's important to go to Jennifer because she has some of the online ones. So should we just do some of the online ones first? And then we'll come back to the group on that side.

Jennifer Ramsey*Head of Investor Relations*

Okay. So this is my chance. I'll ask in typical sell-side fashion, so I have 3 parts. So the first part, first question was, is it ethical to pay -- to delay paying suppliers? And is it effectively borrowing money at expense of suppliers? Stephen, if you wanted to answer that question. Secondly, are we prepared for a no-

deal Brexit? We haven't had any Brexit questions, so I thought I'd raise that because there were a number of Brexit questions. And finally, can we comment on where we are in terms of win in orders for the Trent 1000? And are we seeing our market share being lost there, given the number of campaigns that we ran in '18? And how do we view the future?

D. Warren A. East

CEO & Executive Director

Okay. You do the supplier and I'll do the other 2?

Stephen Wayne Daintith

CFO & Executive Director

Yes. So is it ethical to delay paying suppliers? Well, first of all, we're not delaying paying suppliers, we've renegotiated payment terms with suppliers, which is an important distinction. And let me just put this in perspective as well. On average for our large suppliers, we pay on 75 days on average. The industry averages anywhere between 90 to 120 days. So if anything, we're well below industry practice. And we're also signatory to the Prompt Payment Code. And when we look at that and compare ourselves, again, with others in the industry, we're a top quartile performer in terms of paying on time. So I can see the point that's being raised in the question there, but it's not applicable to Rolls-Royce.

D. Warren A. East

CEO & Executive Director

And Brexit. Brexit has wasted a huge amount of a lot of people's time over the last several months, and it's not going to waste anymore of our time. We are ready for whatever outcome happens with Brexit. Clearly, we've had to plan for the contingency of a no-deal Brexit for a long time because, obviously, we have to operate our business on the 30th of March, whatever happens. And to that extent, we have been building necessary buffer inventories. We have made the necessary movements of job functions, no actual transfer of jobs, but job functions, from out of the U.K. into mainland Europe based out of our Dahlewitz site for regulatory approvals. And so we're as ready as we can be. We can't guarantee that every single one of our suppliers is as prepared as they could be. We've spent a lot of time making sure that we've asked our suppliers and we have challenged their answers. But at the end of the day, one of those engines takes an awful lot of parts and it only takes one of those parts not to be there for the engine not to go, and so that is a risk. But we have taken all the steps that we can see is necessary. And I should also point out that in terms of flight disruption around Europe, flight disruption between the U.K. and EU countries, typically, this is a narrow-body activity rather than a widebody activity. And of course, with the exception of the number of V2500s, and that's a relatively small part of our service revenue, then we're not exposed to that Brexit risk. On the Trent 1000 and the market share, a couple of facts. Our market share has declined in terms of new orders. And it does set -- our market share today is about 35%. We had, obviously, hoped ahead of this issue that, that share would be growing from mid-30s towards 50%. I would interpret what's happened as a delay in that trajectory. The Trent 1000 is actually a very reliable engine, has a 99.9% dispatch reliability, and our customers who are flying the Trent 1000-powered Dreamliners, whilst not initially, clearly, they were very disrupted, are able to partition in their minds the operation of the aircraft when the engine is behaving normally and take that away from when the engine isn't there at all. And so we do think we have a product. It would be wrong of me to say that the issues we faced haven't affected things. Certainly, our competitor has utilized the situation to their advantage with some very aggressive sales campaigns. Wouldn't you? And so I actually don't think this is a long-term thing, but it's undoubtedly an interruption. It's one we're obviously very sensitized to. And it just so happens that the campaigns that happened in the -- particularly in the first half of last year, didn't -- did not go our way. But that doesn't mean to say that we're wringing our hands with horror. And we're putting our best foot forward on what we believe is a competitive engine and a good solution for those customers. We're engage in campaigns now and in the future. So now we need to move into a few questions here in the second row.

Harry William Freeman Breach

MainFirst Bank AG, Research Division

Harry Breach from MainFirst. Can I just ask, firstly, the large engine OE losses, I think GBP 1.4 million for the full year, I think you said GBP 1.4 million for the first half as well. Is the fact, therefore, that we don't seem to have seen second half improvement just a function of new product introductions in second half? Can you give us any color on the sort of the pace of improvement in '19 on that? And then next question, completely different, sort of slightly relooking at Rob's question on T&M aftermarket. Appreciate what you say about unsustainability at 21% organic. But at the same time, the dynamics of V2500 are quite favorable. Can you give us a bit of your sense about current T&M spares and shop visit demand in your fleet here in February 2019? Is it still running at last year's pace? And then the very final one, and sorry to labor this, Warren, in particular. We talked earlier on about cost estimate stability on Trent 1000. Can we maybe look at the technical side? Can you give us a little bit of feeling like what gives us a confidence that we're not going to make further durability discoveries on Trent 1000 where we've kind of got to the bottom of the barrel on discoveries?

D. Warren A. East

CEO & Executive Director

All right. So the first one was cost trajectories and how it's unfolding with the balance of this year on OE. Is that right?

Stephen Wayne Daintith

CFO & Executive Director

Yes, the OE improvements that we're expecting.

D. Warren A. East

CEO & Executive Director

The OE improvements that we expect to see this year. Well, Stephen outlined that there are 2 data points: breakeven on XWB by 2020 and breakeven on the portfolio by 2022-ish. The latter is obviously dependent on the product mix because what's going to happen is XWB will actually go into a state where we make a positive contribution every time we ship an engine. And some of the -- for some of the other engines, low volume, I'm sure the Trent 900s that we ship over the next couple of years we'll never make an OE profit on. For the others, then Trent 1000, Trent 7000, you know there's a lot of commonality between those engines, and there's actually a lot of commonality between the 97k version of the XWB and the 84 version of XWB. So we're moving from a situation of multiple engines in a relatively small volume to essentially 2 engines and variant and 1 variant each thereof. And therefore, a higher volume of all of those engines, which is why we expect to see that second trajectory. But the rates at which we get there will depend on the product mix. And as we look through 2019, then we can see we're going into 2019 with XWB accounting for approximately 50% of the shipments, and the remainder made up by these new engines, largely the 97k variant on which we make a loss and Trent 1000/7000. So I think we'll see a continuation of the trajectory that we're on. And we absolutely -- there's nothing that we can see today to suggest otherwise.

Stephen Wayne Daintith

CFO & Executive Director

Should I do the T&M one?

D. Warren A. East

CEO & Executive Director

T&M one.

Stephen Wayne Daintith

CFO & Executive Director

Yes, T&M one. I don't think we're going to see the 21% growth that we saw in 2018, 2019. But it remains a healthy -- today, you asked the question about today, it's a healthy and growing part of our business. So I think if you held me to it and if I were to hedge my bets, I'd say you should be thinking around sort of 10% growth in 2019.

D. Warren A. East*CEO & Executive Director*

Okay. And are we going to find some further durabilities on the Trent 1000? Durability issues? Look, I cannot sit here and rule out that we won't find some issue on any one of our engines in the future. That's just how things are. However, what I can assure you of is that the Trent 1000 situation was, if you look at the whole history of the thing, very unusual in having multiple issues with one engine. And if you think about it, there were a number of iterations of that engine to get the thing right. Where we are now with Trent 1000 TEN, we are confident that we have solved the fundamental turbomachinery issues that have caused all the hiatus in 2018. We know we've got that design right to the extent that we have been thoroughly testing, Boeing have been thoroughly cross-examining, and the airworthiness authorities have been convinced not only in terms of certification of the redesigned parts, but very thorough analysis of the failure mechanism and what sits behind that. So the best brains in the world on this have spent the last 6 months on it. So that's as confident as we can be. As I say, you can't possibly rule out there might be some other issues in the future, but that's the same as any other engine. I think we've got Rami before we...

Rami Yehuda Myerson*Investec Bank plc, Research Division*

Rami Myerson from Investec. On spare engines, you talked about an increase of GBP 112 million of revenues from sales of engines to your engine-leasing JVs. Can you maybe talk about the profit and cash contributions from those JVs to underlying profit and cash? The second question would be on long-term deliveries. In the past, I seem to remember a chart where you talked about 550 to 600 deliveries a year. Next year's only 520. Do you still plan on getting to that 600 in the time frame of 2022, 2023? And lastly, on NMA, would you consider participating as a partner in one of the engine programs of one of the -- of your competitors if they are selected for that program?

D. Warren A. East*CEO & Executive Director*

Okay. Should I...

Stephen Wayne Daintith*CFO & Executive Director*

Shall I kick off with the OE one, the spare engines?

D. Warren A. East*CEO & Executive Director*

Okay.

Stephen Wayne Daintith*CFO & Executive Director*

Yes, you should think about half of that number as sort of contribution to profit and cash, sort of as a rough guide.

D. Warren A. East*CEO & Executive Director*

Second question was, okay, volumes of large engines.

Look, when we put up our projections of volumes, it is our best estimate at the time. What I would say is we've probably got a tighter grip on demand signals from our airframers than we possibly had a couple of years ago. And that isn't to say that they take some orders and they try and shove a few other things in. So things could change. I think we're in the zone of 500 to 600. We know we have the capacity and the run rate to deliver at over 600 per annum if we need to because we've done that. We've done 160-plus in a quarter over the last couple of years. Clearly, when we're going through introducing new engines, that gets interrupted a little bit. But as I say, that's largely behind us. And what you see today is basically

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the result of our sales and operations planning process for 2019 based on the demand signals from our airframers. And as we look forward, the demand signals that we're getting at the moment are for in that zone of 500 to 600, but it could change. And on NMA, would we partner with somebody else? Well, we'll have to see what happens and who gets selected. We've made our decision in terms of our proposed offering. If we can do something useful and it makes commercial good sense to partner in future, then, of course, we're open. But now we have to see how the future unfolds. One behind and then one over there and then back to the middle, okay? And we're at 10:29 at the moment, so we're going to have to be fairly swift.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

Andrew Gollan from Berenberg. The question is on contract catch-ups, quite a big negative in the year, almost GBP 300 million. Firstly, specifically on that, what's driven that this year or in 2018? And then perhaps a broader question. The negatives generally have trended to be bigger over the last few years, if we look back at the data you offered us. Is that indicative of a bigger issue in terms of contract assessments over the long term because we're making increasingly large negative adjustments. So a bit of a devil's advocate, but can help us understand that, please?

Stephen Wayne Daintith

CFO & Executive Director

Yes, okay. So first of all, the contract catch-ups. First of all, this is an IFRS 15 treatment. This is a very different treatment for contract margin reviews that take place during the year we -- on our 187 contracts that we have with various airlines. And the way IFRS 15 works is that it looks at the cost to go on the contract. And any variation in that cost to go, either positive or negative, has an adjusting effect on the revenue previously reported. This is the catch-up of revenue. So what this can mean is that -- and the volatility of IFRS 15 has demonstrated here that the very small changes in estimates of the cost to go on high-margin business -- high-margin engines that are significantly through their program but was still with a large amount to go, relatively small changes can lead to a disproportionately high adjustment to revenue previously recognized. And in respect to the GBP 276 million, that's most true of the Trent 700, of course, high margin, but halfway through its program -- of its revenue collection. And that's largely what this is in respect of. And it's largely just around utilization of the aircraft by these customers, causing us to have a slightly different view on the cost to go. And it's implicit within the volatility of IFRS 15 and how that works. And what we will be doing is building, I would say, more contingency into our estimates around contract margins going forward to protect us from those volatile swings. So a slightly technical answer, but it's an important one. And it also plays into sort of how we think about outer years as well. And then the second one. I think this -- I don't think it is indicative of any sort of malaise, generally. I just think it happens to be first year of IFRS 15 and that impact. But you're not wrong that if we look over sort of '14, '15 or so, we were seeing benefits, and then sort of '17 and '18 unwinds. I don't think one should read too much into that. It's a very specific event in 2018 that's led to this Trent 700, in particular, contract catch-up.

D. Warren A. East

CEO & Executive Director

Okay. Thanks. Final 2 questions. I think we've got one there and then we're coming back to -- did we ever get to you? Right. And sorry, Zafar, you've already had a go, okay? So we'll do one there and one up there.

Olivier Brochet

Crédit Suisse AG, Research Division

Olivier Brochet with Crédit Suisse. Two questions quickly. The first one on spare engines for 2019 and beyond. Can you help us understand what you have in your plans compared to the 50 that you did in '18? And second on UltraFan. I understand that you don't have a -- you don't have an engine for an aircraft, so it's very difficult to answer that question. But what sort of RRSPs do you have in mind for that program?

Stephen Wayne Daintith

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CFO & Executive Director

Okay. So spare engines, 50 spare engines delivered in 2018. And spare engines are an important part of the whole ecosystem for the airlines and ourselves, particularly important in 2018, of course, for the Trent 1000 issues to have spare engines available to help service that particular issue. We're not expecting significant growth from the 50 in 2018. You might be thinking around sort of 60 or so, but not massively dissimilar from the number that we saw in 2018.

D. Warren A. East

CEO & Executive Director

And risk and revenue-sharing partners for UltraFan engines, probably the usual suspects. I couldn't be any more specific than that at the moment. I mean, it's a new architecture, but it's still a gas turbine, and we still need to work in the domain. So it will be the usual suspects.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Jeremy Bragg from Redburn. One question on working capital, sorry to keep hammering away at this. So there's a GBP 400 million benefit from payables which, I guess, reverses next year. So that's GBP 400 million in my free cash flow bridge as a negative. What I don't really understand is exactly what happened with the engine concessions because that was a big benefit last year and you've given this number of GBP 150 million and I don't know whether that's an absolute number or a bridge number. So did you in fact see a GBP 600 million headwind this year in respect to engine concessions, which was offset by the GBP 400 million positive of...

Stephen Wayne Daintith

CFO & Executive Director

Yes, we did.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Great. And then the next question, again, a clarification, please. You said breakeven on the portfolio for OE engines by 2022. But unless my mind is playing tricks, I thought the last deck said GBP 0.4 million loss per engine, please?

Stephen Wayne Daintith

CFO & Executive Director

Yes. Well, maybe I'm thinking sort of midterm 2023, but that's certainly the direction that we're in, so -- we're on.

D. Warren A. East

CEO & Executive Director

It's math and we'll look at the difference between those 2 things. But as we sit here today, we're on that trajectory in the medium term. And as I said in an answer to a question, I wouldn't want to step in too accurately. It has to be 0 at this particular month because it is going to depend on the product mix that we're actually shipping at the time.

Thank you. I'm sorry, we're out of time. But thank you all very much for your attention.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2018 Earnings Call Transcripts

Thursday, August 02, 2018 8:00 AM GMT
S&P Global Market Intelligence Estimates

	-FH1 2018-	-FH2 2018-		-FY 2018-	-FY 2019-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	CONSENSUS
EPS Normalized	0.01	0.13	●0.00	0.14	0.28
Revenue (mm)	6584.82	8335.29	▲0.43	14951.62	15434.98

Currency: GBP

Consensus as of Aug-02-2018 8:26 AM GMT

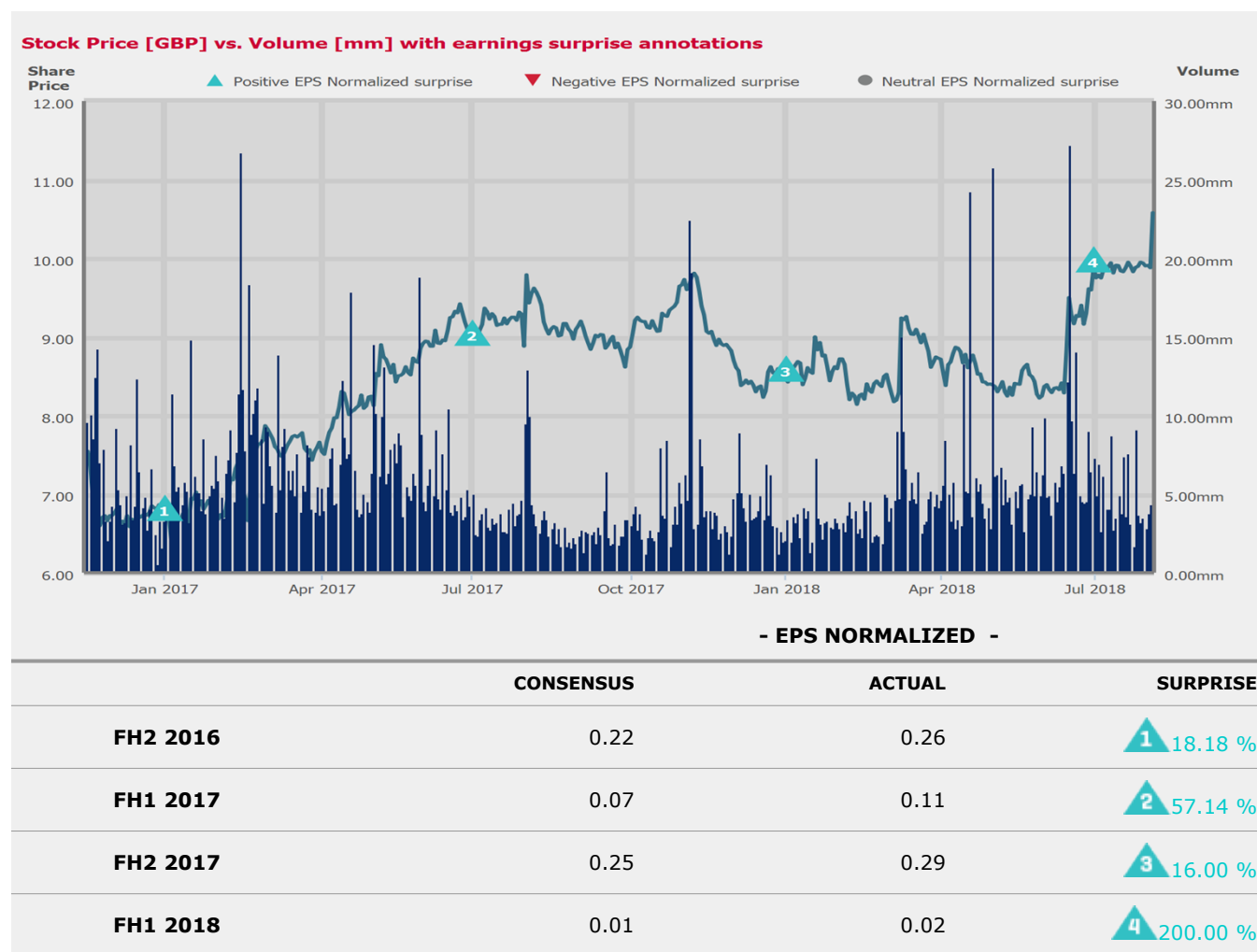


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Presentation

Jennifer Ramsey

Thank you for joining us here at London Stock Exchange and for those of you who joined us online. My name is Jennifer Ramsey, and I lead the Investor Relations team at Rolls-Royce. Welcome to our 2018 half year results presentation.

In terms of the agenda today, Warren East will be -- our Chief Executive will be sharing his perspectives on the progress of the first half of the year. That will be followed by Stephen Daintith, our CFO, he's going to talk you through the financial results in more detail. And then, Warren will then round up with the outlook. In terms of format, the presentation should take around 45 minutes and we'll have time for Q&A at the end, and we'll be here to take questions online. Please access the webcast services to access the questions via our web page.

And we'll endeavor to take these questions as long with the questions -- that are in the room. We're not expecting any fire alarm test today, so if the alarm does go off, please leave in orderly fashion by the doors. And can I kindly remind you to switch off your mobile phones. And with that, I'll hand over to Warren.

D. Warren A. East

CEO & Executive Director

Great. Thank you very much, Jennifer. Thank you, everybody, for coming along with us this morning. So as Jennifer said, I'll start with a quick overview, and I'm well aware of my reputation for not being able to keep the time, so I'm going to do my best this morning. So we have quick plenty of time for questions and answers.

So a quick summary. This is a good slide. It shows good half-year progress for 2018, and that's really what is underpinning our confidence in the full year, which is why we've made the comments we've made this morning about full year free cash flow and profit at the upper half of our guidance range.

Basically, all of these metrics are moving in roughly the right direction, and it's a strong performance across all parts of the business. And I'm particularly encouraged by good control of some of our costs -- particularly our discretionary costs as well in the first half. So we're feeling pretty good about it from an overall point of view.

I'll talk about that in a little bit more detail and run around the businesses, and then some comments on the restructuring. So our Civil Aerospace business, good metrics here. Obviously, overshadowed by the issues we're seeing on Trent 1000. I'm going to talk about Trent 1000 in just a moment. But large engine production is up, it's up about 24%. Encouraging to see the run rate there. We're well positioned on a run rate for the second half of the year. We do have a change in product mix going into the second half of the year that we can probably talk about a bit later but -- and that's going to bring its own challenges, but it's a very good first half position to start with. And that's obviously, led to growth in the installed fleet. So we are now up to about 4,600 large engines in the installed fleet, which is great and you're seeing the size of the fleet driving growth in engine flying hours. It's encouraging seeing that come through to the business. We've also made good progress in the OE losses. And I think both Stephen and I can talk in a little more detail in a few moments about that.

Very good to see new engines launched as well. We obviously couldn't talk with you in March about our new Pearl engine that's launched in business aviation, but it's also encouraging to see some of the other new engine activity as well. So all in all, a good half for Civil Aerospace, and I'll talk about Trent 1000 in a moment.

Power Systems, again, a standout performance from our Power Systems overall growth of the about 13%, driven by volumes and strong growth in the target markets, particularly in Marine and Industrial sectors.

Defence was a solid performance, very good on cash and a good development of pipeline, the opportunity pipeline, which we believe can turn into orders in the second half of the year.

At our Capital Markets Day, a few weeks ago, 6 weeks ago now, we talked in more detail about the restructuring program that we announced. And I'm pleased to say that that's going down very well inside the business, and we're making good progress on that.

Taken all together, that gives us a good platform from a financial results point of view at this half way stage in the year, growing in confidence for the full year. And now I'm going to go into a bit more detail. And I'll start with the Trent 1000 issues, since this is really a sort of contextual backdrop that has been a big issue for us in the first half of the year.

It's been an even bigger issue for our customers. And I have to say that, of course, we apologize and do regret all the disruption caused to our customers. If you are customer who has a large fleet of Rolls-Royce powered, 787s then there is -- there has been an unacceptable level of disruption. However, we are working very constructively with each and every one of those customers on a customer by customer almost engine-by-engine basis, so that we have the situation with each customer's engines plotted out over the next 12 to 18 months. And that is a dynamic situation, but we're working very closely with them on that. And I have to say that in spite of all the disruption caused, our customers generally are being incredibly supportive and by working together, we are achieving minimal disruption for those customers.

So from an operational point of view, at our Capital Markets Day, we had just passed what we believe to be the peak of aircraft on the ground, and I'm very pleased with the team performance that has managed that situation. We have seen a lot of creativity, we've seen a lot of commitment and some very good results. The actions and the pace of response has been very good. We are now sitting a well below that peak of just under 50 aircraft on the ground and increased MRO capacity is absolutely keeping pace. We're just slightly ahead because we are on a slight-downward trend of the inspections and the fallouts from the inspections.

More importantly, we're also making great progress on the long-term fixes here, and obviously, 6 weeks since our Capital Markets Day and the update I gave then, I'm 6 weeks more confident in the final fixes to the situation around the Trent 1000s. So from an operational point of view, that's good.

When we stood here in March, we talked about the cash impact on 2018 and 2019, and obviously, the additional inspections that have come to light since then and the full sort of extent of what it takes to deal with all those inspections. We were able to quantify the '18 impact at our Capital Markets Day in June, and say that, that's actually increased from the expected GBP 350 million to GBP 450 million in 2018. And over the last several weeks, we've been busy quantifying the cash impact in 2019 and 2020, and that's what we're talking about today, the cash impact in 2019, we now expect to be the same as 2018, GBP 450 million. We do expect that to reduce in 2020 by GBP 100 million and fall very significantly after that. And Stephen will talk, I'm sure, in a little bit more detail around the exact timing of that. And moving on to the expected P&L treatment of that where we've taken an exceptional charge this morning. So we'll cover anything else about Trent 1000 in the Q&A session.

Another key topic at our Capital Markets Day was our rewire program, the restructuring and addressing significant change to Rolls-Royce across structure, across process, people and culture. And I'm pleased with the progress that we've made over the last 6 weeks since the Capital Markets Day. But of course, what I'm really pleased with is the progress that we've made internally since February when we kicked off this program in earnest. The restructuring that we announced at 3 business units has taken place. We are making good progress with tightening down on what is going to be our smaller, very lean head office. We have launched group business services, organization, and generally, marching forward on that restructuring. Our executive team has been in action around the business consulting with thousands of our employees.

So here's a summary of what happened. The group business services organization is bringing together about 2,000 people from functions like finance and HR and legal, to support our empowered businesses. We have established another central grouping, bringing together things like strategy and our technology group, really focused around beyond the investment horizon of our businesses, creation of genuine

competitive advantage and intellectual property, and that's quite a small team of a few 100. So I said, the executive team's been around the business. We have face to face met with thousands of our employees around the business since the middle of June. And that's been an effort from all of our execs who've been hunting in pairs. It's been a very rewarding exercise, a lot of 2-way communication. We've actually been able to use the input from our employees to help set priorities. It's actually initiated some short-term immediate actions, which have been quite useful and helping us with our zero-based budgeting approach to making significant changes with our processes.

And in terms of the headcount reduction that we announced in the middle of June, then we're on target for our goals there. We're conscious of the fact that this is about real people. It's 4,600 people leaving the business by the end of 2019, with approximately 1/3 of that happening during 2018. We are on target for that.

So that's restructuring. Now I'll just do a quick [cantor] around the 3 businesses. And looking at Civil, it's not all been about the Trent 1000 in Civil in the first half of the year, and that's really what's quite encouraging. Trent 1000 is, I'll say, I'm being very pleased with the excellent response from our business, but we've been able to do that at the same time as a lot of other good things happening. So it's good to see growth in usage of the fleet, and you see a significant growth half year on half year in invoiced flying hours, partly, of course, driven by the increase in the size of the fleet. So it's encouraging to see the ramp-up in volumes. We've been on this journey of 300, 400, 500 and hopefully, this year about 600 engines being -- large engines being produced. We're on track for that. And encouraging as well to see progress on the OE losses, driven by XWB, but Stephen will show a bit later some of the other engines contributing there to reduction in cash losses.

In terms of fueling that in the future, encouraging to see the new engines coming through, so Trent 7000 achieved certification and those of you who visited Farnborough a week or 2 ago, will have seen the Trent 7000 on the new A330. And again, on new engines, very good to see the launch of Pearl. Obviously, it's been in development for some time. We haven't been able to talk about it. It's a very well-kept secret. But good to see a resurgence there and at the time was when we see a little bit of uptick in the business jet market as well. I mean, it isn't all about the current activity. We're also seeing good progress on new technology, looking further ahead and our UltraFan core demonstrated we've had some very good results in terms of testing there.

On Power Systems, as I said, another standout performance, really, very encouraging momentum at Power Systems, the pipeline for the second half and for '19 also looking good, driven by strong markets, particularly Marine, Industrial. And that's been -- that extra volume has been helping our margins, looking ahead to cleaner technologies, demand there for gas power. And in terms of what we've been doing inside the business, then a continuation of the simplification I've talked about several times, standing in this very spot. We're continuing with the reduction in the number of product variants. We've now reduced about 30% of the product variants. Obviously, progress is bit slower at that because you get the low-hanging fruit first. But we're continuing on that journey. I also talked before about Power Systems and service and the massive installed base we have out there and how we aim to do a much better job on service in our Power Systems business pushing digital, pushing connectivity. Obviously, we are prioritizing the relevant applications there. We've also -- we have actually seen the first, really, digitally driven applications in people's hands to help with the service there and the replication of the service center model that's in our Civil Aerospace business, up and running in Power Systems. It's good. And looking ahead, Power Systems, we also, again, driven by underlying fundamentals cleaner, fewer emissions, more efficient engines and also system solutions that we're working on in Power Systems. So all in all, a good first half year there.

Defence. So what we can describe as solid progress, I mean -- actually we haven't any huge announcements to make about what's been going on in Defence in the first half of the year. Clearly, there was some work upfront on the structure, putting together different pieces of our business, all related to Defence under one umbrella. That's been encouraging. We're seeing actually some early signs of first customer contact where that's actually becoming quite useful to join up.

Good to see the F-35s appear in the U.K., from a U.K. perspective. Good to see the MT30 getting outside of the U.K. and the U.S. traditional navy, so in Korea and in Japan. I mentioned before the pipeline in

Defence looking good for the second half of the year and again, those of you who are at Farnborough saw us on the platform alongside BAE and others with the U.K.'s new combat program that was announced there.

Just one tiny bit to finish on the overall shape of the portfolio, so we've talked about cleaning up the portfolio and we talked about the elements of that before. So as of the half year, pleased to be able to talk about the bottom half of this slide there where the sale of commercial Marine has been announced. We rearranged a few of the pieces in the -- in our formerly Marine business before we embarked on this process, which meant that we had essentially just a Commercial Marine operation to sell. I'm very pleased that we found an excellent buyer in Kongsberg for that business and a good result financially.

And with that, I'll hand over to Stephen. Thank you.

Stephen Wayne Daintith

CFO & Executive Director

Great. Thank you, Warren, and morning, everybody. So Warren's kept us on time, and I'll do my best to stick with that. So thanks for joining us for the half year results. And as Warren said, I think an encouraging start to the year, certainly ahead of our own internal expectations. We don't issue half year a consensus -- sorry, guidance numbers for consensus. But it's certainly ahead of our own internal expectations. So just running through the numbers. There's the agenda: the half year results, a quick cantor through the business units, accounting policy updates and then guidance for the balance of -- well, for the full year 2018.

So the half year results. First of all, we'd like to introduce a new format, that we're going to be using on a go-forward basis to how we present the Rolls-Royce numbers. Highlighting what we consider now the core business, so we've announced the sale of Commercial Marine, we completed the sale of L'Orange. So those are coming out of our core numbers. Late December last year, we completed the transaction for ITP, so that comes into our core numbers. And that's how we've arrived at our core business. So this is when you see the expression core business throughout the presentation and in the RNS. That's what this is all about.

And in fact, we've got a -- we've shown our guidance, updated our guidance to show this new format as well, which is consistent with the treatment that we adopted audit for the group in March earlier this year with the full year results.

So the group underlying numbers. First of all, revenue growth, 26% growth in revenue across the group, and we'll see that's some very strong contribution from Civil, Power Systems and ITP as well. And -- sorry, that was 26% for Civil Aerospace, that was 14% across the group. Civil Aerospace growing at 26%, that was growing in OE, long-term service agreement revenue but also in time and material revenue as well. So good growth across all 3 revenue streams. Power Systems growing at 13%, ITP growing at a very nice 19%. That's largely driven by its share on the Rolls-Royce engine programs.

Core business, therefore, growing at 16% and the group underlying results of 14%. So good revenue growth, and as we'll see in a couple of slides, across all our 3 core revenue streams of OE, LTSA and time and material revenue.

And then looking at the profit on a business-by-business section. And the underlying operating profit or loss in Civil was a GBP 112 million, but that's GBP 149 million improvement on the equivalent period last year.

Defence was pretty much flat. Power Systems, nice profit growth in Power Systems. So GBP 56 million on an organic basis to GBP 80 million, and that's good flow through of profit from revenue growth into profit.

ITP growing by GBP 32 million to underlying operating profit of GBP 40 million, and you get to the group perspective there. Core business is growing by GBP 183 million. And as a strapline there, just to remind us on free cash flows, we'll see in a little while, GBP 211 million growth in organic, free cash flow to GBP 72 million negative, but a significant improvement on the first half last year. And group free cash flow and -- at GBP 267 million improvement there as well. So good progress across the group.

Looking at the core business underlying results when you add all up and take into account R&D and C&A and bring in some details in there. So there's a 16% revenue growth, gross profit growing by 12%, R&D costs are down slightly by GBP 100 million or so, 28% organic change. But just to make the point, and I'll show a slide little later that really demonstrates this clearly. Our cash spend on R&D is actually up on last year. So we are spending more than last year, but the hit to the P&L account is lower, largely driven by the increasing capitalization in line with our new policy, and I'll show you that detail in a second.

C&A costs are up by 4% to GBP 479 million, this is the indirect expenditures across the group. Most of our businesses, in fact, are flat, if not down on C&A. And it is in Power Systems that was -- that's really driving this increase at a group level, and that's largely a phasing difference, which we expect to correct itself to an extent in the second half of the year. So core underlying profit growing by GBP 183 million and core free cash flow at the bottom there, which I'll explain in a second growing by GBP 214 million.

Looking at the 3 revenue streams that I mentioned a little while ago. So whilst we were reporting core underlying revenue growth of 16%, it is not as though it's just one of our revenue streams that's sort of driving that 16% growth, it's pretty much, it's good growth across our 3 core revenue streams. OE revenue, 19% organic growth, largely driven by the Civil Aerospace ramp up, which we'll talk about in detail and the growth in Power Systems.

LTSA service revenue, again, the flying hour growth is a big driver of that. But also the shop visits growth as well in LTSA service revenues, and again, largely Civil Aerospace. And then other service revenue, time and material revenue, we see this growth in Power Systems but also in Civil Aerospace, where -- which you'll in a little while, the growth there in the -- on legacy engines, the old-fashioned time and material parts and so on -- high margin business growing very nicely. So it's encouraging to see a balance of growth across the group and not just in one particular area.

Key point here, we actually have a good visibility of revenues as well. We have a very clear order book around Civil Aerospace. And as we'll see in a little while, Power Systems as well has good visibility around its order book and, indeed, a strong order book as well. And we'll go into that.

And you can see the mix there of the types of revenue streams: OE 49%, growing at 19%; LTSA 25%; and other service revenue 26%. So a good balance of revenue streams as well.

Here's the chart on R&D. So R&D actually increased by GBP 43 million on a cash basis to GBP 663 million. Third-party contributions represents government funding and so on to contribute towards our R&D programs. So our net cash spend is up by 14% to GBP 518 million. We're capitalizing GBP 239 million of that spend. And if you recall, when we highlighted our new accounting policy, we're capitalizing a little earlier and stopping capitalizing a little later than previously and the comparative for the first half of '17, did not have that new accounting policy in place. So that's why you got a bit of a disconnect between those 2 numbers.

So the core R&D P&L charge for the first half GBP 296 million. What else is there to say on this slide? I think where there is increased investment is in Civil Aerospace largely, the advanced-development programs, the UltraFan progress continues as Warren talked about. And we've got the new business aviation family, the Pearl 15, which we announced earlier this year. There's an increased spend in Defence as well, which we'll see shortly, explains the Defence profit before tax, operating profit coming down slightly, and that's on future program investment to support those new orders that Warren talked about that we're expecting in the second half of the year.

So restructuring. And Warren's talked quite a bit about this already, but let me just put these sort of -- the financials on this. The exceptional P&L charge that we're reporting today for the first half of the year is GBP 132 million and the test for this, this is largely headcount-cost related. The test for this is that our employees have a reasonable expectation of being impacted by this program and that's the test for when you -- is the trigger for the -- for putting the provision in place for that headcount reduction. And as a Warren mentioned, we've carried out, I think, every [ELT] member -- executive team member has probably done 40 to 50 town hall sessions around the Rolls-Royce Group over the last 4 weeks, not just U.K. but across the U.K. but also Singapore, Germany, the U.S. around all parts of the global Rolls-Royce, and explained in detail the restructuring program, the implications of it, but also what we're looking to try

and achieve out of it from a cultural and a process change across the business. So it's been a good start on delivering plan.

The next 5 months are -- is a critical time when we then start implementing on those headcount reductions. Just as a reminder, we have highlighted that we're expecting around 1/3 of the headcount reduction to be in 2018 and the balance in 2019.

The benefits of this reaffirming the benefits, GBP 400 million of net savings run rate by the end of 2020 around fixed cost and headcounts. Going back to my point about process, a much simpler, more responsive business structure, improved efficiency and effectiveness. And what's been encouraging, just to reinforce Warren's words, is the degree of enthusiasm across the workforce to get involved in this restructuring. So we've been delighted at that reaction.

Total costs of GBP 500 million, so the GBP 132 million is a proportion of that GBP 500 million. I think we guided to around 25% in 2018, so we're kind of a broadly on track with that, maybe a little bit ahead of it. But on its own way, that's good news because it demonstrates the progress that we're making on the restructuring.

Just as a reminder as well, the underlying profit and free cash flow excludes the one-off restructuring items. So this GBP 500 million cash cost is excluded from our underlying cash flow and profit numbers.

The Trent 1000 and 900, I have combined the 2 engines on this chart, but the numbers, particularly as we get into sort of '18 through to '20 and beyond, a very large majority of those are in respect to the Trent 1000. So the 7th of March guidance that we gave was GBP 350 million cash cost for the Trent 1000 and 900. Since the Pack C and Pack B Airworthiness Directives, that cost has increased to around GBP 450 million. As Warren mentioned in his presentation, we are now expecting 2019 to be broadly flat with 2018 at around GBP 450 million, 2020 falls by GBP 100 million to about 350 million and then, we have a material reduction into '21 and '22 beyond that. The updated impact, what does this extra cost reflect? It reflects the cost of the compressor rotor blades and the significant ongoing customer disruption over a period of time as these Airworthiness Directives remain in place. We'll talk about that in a second.

I should say, as well, that all the cash costs for the Trent 1000 or 900 are included in our underlying free cash flow guidance and targets that we've given for the years ahead, just to make that point. So whilst the accounting treatment, we'll get to in a second, is around the accounting of it, in cash, Trent 1000 and the 900 in-service cash costs are included.

So the triggers for the exceptional treatment and over the last few weeks, we've exercised a lot of brain cells on this treatment with our auditors, with our audit committee, with our brokers, and we have all landed on the -- this accounting treatment that we're highlighting today for the Trent 1000. A GBP 554 million provision that we're setting up for the exceptional costs of the Trent 1000. Total costs over the next 5 years that's '18, '19, '20 '21 and '22. So what are those triggers?

Well, first of all, and we've put these words very -- prepared these words very carefully because these are the sort of triggers that we will use going forward, should we ever be in the position again. We're certainly not expecting that and what we have is a pretty unique event with the Trent 1000 and -- but this is just to clarify exactly what has triggered this treatment. So first of all, a series of abnormal events, giving rise to a significant level of cost of a nature not normally expected. And most importantly, it's not reflected in the contract price, not included in the original long-term contracts. The abnormal events, I think this is -- the material technical issues arising from the regulatory Airworthiness Directives and the Airworthiness Directives fleet wide is an important trigger as well. It's a wide-ranging impact across the fleet of an entire product type, Trent 1000 and is causing significant disruption to our customers. In these cases then, the cost of disruption, wasted material, labor, et cetera in respect of the abnormal events will be treated as exceptional in the P&L.

When we do all our sums, that item comes out at GBP 554 million and that represents around 40% of the total cash cost of resolving the Trent 1000 issues for the period over 1 January '18 through to 2022. So it's a multiyear provision, 40%. The balance of around 60%, therefore, will be recognized over time in the P&L

through our normal contract accounting margins over the next 15, 20 years, that balance of around GBP 800 million also.

Final bullet point is just reinforcing my earlier comment, the cash costs will continue to be fully reflected in underlying free cash flow as they are being for 2018.

The drivers of the growth in free cash flow, and we're reporting a GBP 267 million improvement on the prior year and a number of drivers that get us to that number. First of all, increased cash inflows from civil aftermarket and engine flying hours. Flying hours growing at 20% on an underlying basis, a good strong growth there and a good cash generation from there.

Higher spare engine volumes. We have a much better mix of spare engine volumes, first half, second half compared to last year, which was very much second half weighted. So there is a growth, therefore, in the first half this year compared to what was a relatively low number in the first half of last year, as the spare engine volumes were very much second half weighted. So there's a benefit in what is at the moment a very buoyant spare engine market, and not just because of the Trent 1000 issues because there are so many new engines going to a number of operators who'd like to build up an inventory of spare engines for their new fleet.

Defence and other business working capital improvements. You might recall from the Capital Markets Day, we're encouraging all of our businesses to work harder at working capital in inventory, in debtors, in creditors. We still have a large balance of old debtors to be collected. We still have some supplies that we tend to pay a little earlier than the terms than we ought to. So there are old-fashioned opportunities for working capital improvements. Inventory remains at too high a level as well, which I talked about. There's good opportunities there. And then mitigation actions are continuing as well to the Trent 1000, as Warren alluded in his presentation, managing discretionary spend very tightly, particularly on travel costs, which have come down quite significantly over the last few months and in capital expenditure as well.

On the other side of the coin, the outflows, Trent 900, 1000 engine in service costs, we've guided to the number around GBP 450 million in 2018 in -- for the full year. Power Systems is modestly lower due to the order book composition, but also if you recall Power Systems last year had a particularly good cash flow performance, and particularly, in the first half of the year, which of course, you can't tend to repeat that year after year. And then we've talked about the high future program R&D investment across Civil and Defence. And that gets us to the numbers in the middle of the page there. Slightly higher tax, slightly lower pension costs reflects in the surplus that we have in our pension scheme, and there's the out turn below of group free cash flow but also highlighting the core free cash flow. And all of these items give us confidence, therefore, around the full year 2018 cash flow. Hence, the updating to guidance today to be in the upper half of our guidance range for cash and, indeed, profit as well.

Looking at working capital a bit of detail, we tend to get quite a bit of questions on working capital, so we put this slide in just to help that analysis. Inventories have grown by GBP 427 million. One shouldn't be surprised at inventory growth with Civil Aerospace and Power Systems and the volume growth that we're seeing in those businesses. Of course, I think there's an argument to be had around the efficiency of our inventory balances, but that's another story. The increase in trades and other receivables, again, largely volume driven. And then increase in trades and other payables, there's been a material increase in the Civil long-term service agreement creditor balances, which has been driven by the engine flying hour growth in advance of revenues recognized. And within that number, there's also the GBP 154 million prior year contract catch-up adjustment, which is a debit, a cost to our P&L accounts in the first half of the year, which I'll talk about in a second.

We've got phasing ahead of the H2 volume ramp-up. The Power Systems, again, as you would expect that given the order book and growth expected in the second half of the year. And you got underlying volume growth in Civil Aerospace as well. So an equal and opposite match for that inventory growth that we're seeing up above at the top of that chart.

The group balance sheet -- just reinforcing our ambition to return to a single A rating category. Single A rating, I should say. And just a couple of things, during the first half, we completed the disposal of L'Orange. We announced the sale of Commercial Marine. And at the same time, we successfully issued

EUR 1.1 billion bond at attractive rates to pre-fund the existing debt maturities until the end of 2018. So our view that '18 is probably going to be a better year than '19 for debt maturities, and so we pre-funded that.

And just on this point on a balance sheet on these disposals as well. I mean what I like about these 2 transactions is that we end up with broadly GBP 1 billion extra cash on the balance sheet, but 0 loss to profit or cash in our numbers, which is a nice piece of portfolio management from a financial perspective.

Shareholder payments, we're holding those flat for the interim payments of 4.6p per share, cost of that is about GBP 86 million. We are committed, we mentioned this at the Capital Markets Day to restoring shareholder payments at an appropriate level over time. And 2.5x free cash flow dividend cover through cycle, this is sort of a rough guide that you should be using to think about how we're approaching dividends. We view dividends in the context of our overall capital allocation going back to the Capital Markets Day and the source of cash return on invested capital that we're looking for across Rolls-Royce.

So the business unit review, much of this I've touched on already, so I will try and run through these slides. Underlying revenue growth in Civil 26%, right in the middle of the chart there. And you can see the growth in OE revenue, there's a benefit there in that number related to those spare engine volumes in the first half of the year, which sell at a list price, of course, rather than at the post-concession price that we see in the deliveries to the airframers and then subsequently on to the airlines. Long-term service agreement driven by the growth in flying hours and shop visit growth and then services time and material around often legacy engines and sales of spare parts.

So revenue growth of 26%, good profit flow through, improvement profit by GBP 149 million. Within these numbers, the operating loss, there's a net capitalization increase of GBP 174 million. But at the same time, in that middle bullet point, there's a GBP 154 million negative contract catch-up in our numbers, which are broadly awash -- those 2 things. And you'll recall that in roughly May and November of every year, when we have our material contract pack reviews to look at things like what are the operational assumptions for our fleets, what's our assumptions around retirements, what are we seeing about what visibility are we getting on the cost of shop visits and how much they're aligned with the plans that we have for those long-term contracts, and we adjust our contract margins for any changes in all of those things. This year, we have had times when there's -- this has been a positive number. For the first half of this year, it's a negative number to the tune of GBP 154 million.

Engine deliveries grew by 24% to 259, wide-body engines in the first half of the year. And again, with reinforcing Warren's comments there, looking at a number there in the high 500s, if not getting towards 600, on a full year basis, therefore. Looking at the mix of the revenues there, 45% Trent XWB, you can see a few more Trent 700s and 900s and around a quarter or so, 28% Trent 1000s. The order book profile is on the left-hand side, and again, just reiterating the increased spare engine deliveries.

Seven business -- a growth of 7 business aviation engines, so there's an improving market for business aviation. Pearl 15, we believe is arriving at the right time.

The OE loss on our engine, there's a 15% improvement, a bit of this is mix improvement. XWB-84 continues to make good progress towards its break-even target by 2020, which we're -- again, which we're reaffirming today. It's both cost and price reductions improvements, I should say. The Trent 900 has a temporary pricing impact, so please don't read too much into the 15% for the first half. I think that's going to be completely replicated in the second half. The mix will change significantly in the second half. We have a large ramp-up in the Trent 7000 production in the second half, and traditionally, our newer engines have a higher OE deficit than our older engines.

Engine flying hour growth grew at 20% over the period, one of the standout numbers in today's results, I think. We have a growing fleet, but we also have a growing flying hour growth as well, represents invoiced flying hour, representing good passenger traffic. But also the use -- our fleet is getting younger. And as our fleet gets younger, the utilization of our fleet gets better. And that's also driving flying hour growth as well. And that's the fleet now just short of 4,600 wide-body engines.

Shop visits. On the left-hand side, are the regular overhauls that take place, the major shop visits, they've grown by 46, from 91 to 137. And then the right hand-side are the check and repair type visits, the unanticipated shop visits for various items. And as you might imagine, the key driver of that significant growth in the first half was around the accelerated maintenance activity on the Trent 1000 that Warren has talked about.

Looking at the XWB, we talked a lot around on the Trent 1000, quite rightly, given its financial impact and customer disruption. But as a reminder just on the XWB-84, now entering its fourth year over 2 million flying hours now, 99.9% dispatch reliability and the 1 or 2 engines that we have brought in for routine inspection or to carry something out are performing very well at this stage. So it's a case of [touched] -- we're 4 years in, but at this stage, the XWB-84 is performing extremely well. And this is important, given its significance to the order book and what the fleet will look like in 5 years' time. So it's an important health indicator for us.

Power Systems, moving on to that business, again, using Warren's words, a standout performance for Power Systems. Very much showing the conviction that Andreas demonstrated during the Capital Markets Day, and these numbers reinforcing those statements around the strength of that business. 13% growth and good profit flow-through, GBP 26 million operating profit growing to GBP 80 million. And this growth is across pretty much all end markets. And the one market, which is down slightly is Power Generation markets, which is largely due to a very good first half of the sale of engines into China to support the growing data center market in China. A good operating margin improvement as well as 330 basis points.

On Power Systems, again, growth across both of its core revenue streams of OE and services are pretty much said -- talked to those words. Just on the order book as well, there's good visibility at the order book but also a very good order coverage as well. It's over 80% coverage of the order book right now, and that's well ahead of where it was this time last year. So it gives us confidence, therefore, around the Power Systems revenue performance in 2018.

And then finally -- sorry, not quite finally, but ultimately, Defence, a solid performance in Defence underlying revenue flat on an organic basis, operating profit down slightly but largely due to higher R&D spend. That's partly offset by reduced C&A costs. And looking at Defence. And again, reinforcing Warren's comment, we do have a good pipeline of orders that we're expecting to flow through in the second half of the year, the orders are very much weighted in that direction. And we remain confident on the outlook that we've given for 2018 for our Defence business.

Quick word on ITP. We completed the transaction at the end of December. ITP is a very important partner to Rolls-Royce. It has shares on all our key engine programs, particularly the newer engine programs and it has it where it has, for example, shares of around 10% or so on the XWB. The underlying revenue growth is driven by the growth in Rolls-Royce Civil Aerospace program. The margin shows good improvement, higher aftermarket volumes and improved OE mix and some good growth in operating profit as well, growing from GBP 8 million to GBP 40 million. Organic change of GBP 32 million, and there's a 19% revenue growth.

Quick accounting policy update IFRS 9 is effective 1 January '18, small adjustments to reserves on that date, no restatement of comparatives and has no material effects on our first half numbers. And this is just accounting for financial instruments. IFRS 16 will come into play on the 1st of January '19. We'll update you on this later on the year and the impacts on Rolls-Royce. But all of our leases, including operating leases, we'll come on to the balance sheet. So for example, leases for our car fleet, for example, will come on to the balance sheet.

And we'll update you more on that one, we're making good progress on the policies. The impact assessment working with a very good software tool to capture all the data. So we'll be in a position later this year to report you what that looks like for Rolls-Royce.

The property and aircraft engines are the most material item. Interestingly enough, the car fleet cost has the most complication with all the detail that's attached to that, but that's a different story.

So the guidance for 2018 that we are updating today. This is just a reminder of where we were, free cash we guided GBP 450 million that excluded ITP at that stage on the 7th of March. Updated free cash flow guidance on a like-for-like basis, so the red bar there shows you where we think we're going to be on a like-for-like basis comparison to where we were on the 7th of March. So we now think we're going to be somewhere in the top half, the upper half of the range. The core business, if we then add ITP in and take out Commercial Marine and L'Orange, free cash flow there is at GBP 400 million. Because as we highlighted at our full year results on the 7th of March, we expected ITP to have a GBP 50 million cash outflow in 2018.

Profit outlook. The guidance we gave was GBP 400 million, plus or minus GBP 100 million for profit, again, that excludes ITP. On a like-for-like basis, again, similar to the free cash flow guidance, we're highlighting now we expect to be in the top half of the range. And then if we look at our core business, so we throw in ITP, take out commercial Marine and L'Orange, we're now expecting to be GBP 450 million because we guided this ITP would deliver around GBP 50 million of profit in 2018. So just hopefully, you can get your heads around that matters. It's a little complicated, but I hope you can see now how we're looking at Rolls-Royce.

And that's it for me, and I'll hand over to Warren for some concluding comments.

D. Warren A. East

CEO & Executive Director

Great. Thanks, Stephen. Right, I got 3 slides here and I'm going to cheat a bit. So we can get on to Q&A, and I'm going to flick through and go slightly in reverse order. So first half results. Obviously, the emphasis is very much around 2018. And we put this slide in because we wanted to say that, yes, we are concentrating a lot on what we're doing this year.

We've got a lot of things on our plate in terms of restructuring, in terms of Trent 1000 and so on. But the future doesn't just happen. We have to make it happen. And you saw this slide at our full year results, but you saw it with different pictures. And so we're putting it up here, same slide, to show you that our approach to the future is very consistent, hasn't changed, and we're executing according to plan. But in spite of everything that is happening and that we're doing in 2018, we have an eye on the future. So yes, it's about the balanced portfolio, and we just talked about restructuring -- restructuring the portfolio. But starting on the left-hand side of the slide, clearly the inescapable theme towards more electrification, okay. We're actually doing things about it.

Those of you who visited us at Farnborough would have seen us investing in pure electrical, seen us investing in small-scale hybrid and seen an update on the larger-scale hybrid activity that we're doing in conjunction with Airbus, and so the picture changes a little bit there. Reinventing with digital. Yes, we've been dealing with this Trent 1000 issue this year. Actually, we've been deploying R2 Data Labs team to work on that program, and the Trent 1000 team have been benefiting from the data analytics that we've been deploying through R2 Data Labs. So the reinventing with digital is starting to be real. And transforming our business in terms of production. A couple of weeks ago, those of you who look at these things very closely will have spotted us announcing a little robot developed in conjunction with Nottingham University, been doing that for a little while, but now we're actually bringing that into use, so that we can automate some of these inspections that are costing us a lot of time and effort and people and if we can automate that a little more, it can be both cheaper, faster and more reliable.

And down at the bottom, the picture here is a picture of composite fan, which will be used on UltraFan in the future. As these fans get larger and larger, you just can't make them out of the titanium anymore because they get too heavy. And clearly, we need to be working. This is one of the ingredient technologies for the future. So I just wanted to put that in. Coming back to 2018, at our Capital Markets Day, we talked about restructuring. This is a fundamental big thing that we really need to get done over 2018 and 2019. And the must-dos that we put on the slide in June. This is a reminder. We're working on all of these must-dos now.

And you heard from both Stephen and I, how pleased we are with the start of that progress. And continuing in reverse order on the slides, our priorities for 2018 completely unchanged in terms categories

of priorities, good start to the year in the first half. In the second half of the year, we absolutely need to continue to think about our customers, we need to make sure that our production ramp-up continues to happen. We're well positioned at the half year for it to happen going forward. There's a change in engine mix. We do have some challenges producing significant quantities of new engines, 7000s and 97Ks in the second half of the year. We think we're well positioned to do that.

With that growth in the fleet now 4,600 large engines out there, as Stephen mentioned, we have been expanding the service network, again, the eagle-eyed would have spotted a few press releases about joint ventures and licensing out there. So that we can build the MRO capacity in line with the demand. And we continue to deal with the Trent 1000 issue, both the operational management of the inspections and the customer issues and the long-term fix -- that we're [indiscernible] fixes that we're working on for the Trent 1000 engines. So very much priority there. Not forgetting the future, the technology pieces, I spoke about not forgetting resilience, the future of the business built very much around the transformation program, the restructuring that we're doing, pleased with the progress there.

Put all that together, that's why we're confident in tone this morning with the financial outlook for 2018. But this is only half time, and we've got a lot of work to do in the second half. So with that, I'll let you ask us some questions.

Question and Answer

D. Warren A. East

CEO & Executive Director

So I'm not sure who want to go first. Who wants to go first? In the middle, Jaime.

Unknown Analyst

It's Andrew, I'm sorry. Three, if I may. One is on the 20% flying hour growth, which I think was a standout number this period. Can you tell us how much visibility you had on that in June, particularly in relation to guiding around mid-term targets? The second one is on working capital, clearly there's been a substantial benefit in the half year. A lot of that came from organic flying hours growth but there are clearly other moving parts around that. And there's been limited discussion around the concessions, which we thought would unwind after a pretty favorable position in December. So perhaps give us a little bit more color around that and how those that evolves in the second half. And then finally on the Trent 1000, you've taken a charge representing around 40% of your overall costs. Can you tell us to what extent that sort of derisks program margin on the rest of the Trent 1000s, as we look ahead and as we try and kind of model it on a P&L basis over the mid-term?

D. Warren A. East

CEO & Executive Director

Sure, I'll do the first one and -- you're doodling...

Stephen Wayne Daintith

CFO & Executive Director

I was scribbling down the question for number two [indiscernible] number three when we get there, but I'll come back to it.

D. Warren A. East

CEO & Executive Director

Okay. I mean, yes, of course, we have some visibility of flying hours. We're in daily communication with our customers, and we haven't got thousands of customers, there are several hundred. In terms of being precise about this, then, we can't always model accurately and when we talk about invoiced flying hours, then we can see significant growth over the next several years. I think Stephen's comments about the age of our fleet are particularly pertinent. And so if you consider airline customers who have a mixed fleet but want to retire some airplanes, they're going to retire the older airplanes first. So the Rolls-Royce share of the underlying growth in the market will tend to increase because of our younger fleet. And of course, we are growing our fleet and compared with competitor, we're actually shipping more large engines, and so you got the underlying growth in our fleet as well. So there's those 3 things.

Stephen Wayne Daintith

CFO & Executive Director

Okay. And on the working capital guidance. I think, first of all, on the concessions item. Well, in the first half of the year, we actually again had some Trent 700s and 900s that we delivered that again have the concession that it gets paid in subsequent periods. So we were able to offset that potential headwind. We still expect it to flow through ultimately, as the Trent 700s, in particular, wind down. And that may very well be in the second half of the year. As it stands, working capital as a contribution to free cash flow for a variety of reasons, I still expect it to be a modest generator of cash flow for us going forward each year. Inventory levels, we have around GBP 4 billion of gross inventory on our books, there's opportunities there. Less than 3 turns of inventory. So I think there's a really good opportunity to improve that one. Debt, as I've talked about and, indeed, payables as well. So I think there are working capital opportunities. So we shouldn't expect that there should not be contribution going forward. But certainly that headwind on the concession item, I'm expecting it to be second half of this year, but it may move into

the first half of 2019, very much dependent on the profile of the 700 and then 900 deliverers. And sorry, your third question was?

Unknown Analyst

Was just on the Trent 1000 charge and the extent to which taking that charge upfront now basically derisks program margin for the [indiscernible].

Stephen Wayne Daintith

CFO & Executive Director

Yes, to an extent, it does. I mean, clearly, if we're taking GBP 554 million of cost now through the income statement that would otherwise flow through the contract margin. And if I try and put this in sort of financial terms what it means, in 2018, for example, it would have been about GBP 32 million hit to profit through in the contract pack margin in 2018, had we not accounted for that GBP 554 million. So trying to put in financial terms for you.

Jaime Bann Rowbotham

Deutsche Bank AG, Research Division

Jaime Rowbotham from Deutsch Bank. Three questions, very similar topics, I'm afraid. So Stephen, on the working cap in the first half, if we x out the benefit from the increase in the contract creditor, there was an underlying working capital outflow. I think not perhaps as big as we might have seen in previous years despite the seasonality of the business. Did that benefit from some of the work you've been doing around bad debtors or debt factoring or sale-and-leaseback type stuff or is that all still to come? Secondly, I was grateful for Slide 24 on the Trent 1000. The comments you made, so you'll spend an extra GBP 200 million roughly than what you previously thought over the course of 2019 and 2020, and that does not affect your confidence in the ability of the group to deliver around the GBP 1.2 billion of free cash by 2020 from what I understood, but perhaps you could clarify. And then lastly, cash costs of restructuring, were there any in the first half that were excluded from the GBP 72 million free cash outflow? Apologies if I missed it, what was the cash cost on the Trent 1000 in the first half? And presumably, having now identified some of Trent 1000 as exceptional, you're not about to start x-ing that out of the underlying free cash flow?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So the short answer to the first question is, yes, that pretty much flowed through. There might be some impact, but it's not material on those first few items that you mentioned, the washout in terms of working capital. On the Trent 1000, yes, we are reaffirming our confidence in 2020 free cash flow, getting to our GBP 1 billion number. I mean, clearly, as we're indicating today, not 2019 and 2020, are each GBP 200 million more than we had anticipated on the 7th of March. But our visibility and confidence around the rest of the group, across Civil, Defence and Power Systems means that we still feel confidence around that GBP 1 billion around -- GBP 1 billion by around 2020 that we've highlighted earlier. Clearly, it means, of course, that number might be a little lower than it might have been a few -- a couple of months ago, but it's still nice -- we're still nicely confident around the overall conviction around that number. And indeed the GBP 1 of cash flow per share by -- in the mid-term. The cash cost of restructuring in the first half of the year, no, there were no at all, in fact, cash costs in the first half of the year on the restructuring.

Jaime Bann Rowbotham

Deutsche Bank AG, Research Division

Trent 1000 cash costs -- is there some?

Stephen Wayne Daintith

CFO & Executive Director

Trent 1000 cash cost? We don't actually disclose that number, and we're choosing not to. I will give you an update on the full year cash costs at the end of 2018.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just 2 questions for me. Firstly starting with the XWB-84. Just broadly speaking, how do you think about the drivers of the unit cost improvement year-over-year with respect to pricing getting better and getting through launch customer pricing, if that's applicable or how much of that is applicable? And versus, say, reduction of unit cost from learning curve improvements and benefits from any other initiatives. And the second question is around the, say, for lack of a better descriptor, the legacy portion of your aftermarket portfolio, Trent 800s, older 700s that are maybe on their second contract or in time and materials and then RB211s. How has performance of that group over the last half changed your outlook going forward, for the rest of this year and beyond just at least in general trends, positive, same, negative?

Stephen Wayne Daintith

CFO & Executive Director

So the XWB-84, I think that we mentioned previously, the improvement in the deficit still the majority is price driven rather than cost driven, but cost increasingly paying a contribution. So I would kind of think about sort of 70-30 in that mix in terms of its percentage contribution to the deficit improvement. But moving much more in the cost direction, as the volumes pick up in particular. So that's where we are today. And then Warren, the second question.

D. Warren A. East

CEO & Executive Director

Yes, so on the second question, the -- basically, the older engines and the service revenue that we derive from the older engines, there's not been a material change that I want to highlight in the first half of the year. I think the confidence that we are portraying about the full year is not really driven off. I was asked a question earlier this morning, what's the one thing? And there isn't a one thing. It's across the piece. And the fact that there is effectively no material change in those legacy engines, doesn't affect our confidence in the second half. I think Celine is next.

Celine Fornaro

UBS Investment Bank, Research Division

And so 2 questions, if I may. The first one would be on the 787-10, if you could talk about that one a little bit and I guess, you may have done some checks on that engine, too. How is it flying? How is it behaving? And if there is any charges there or any risks there from a technology perspective or what you've had on the other 787s? And the second question is related to the business jets, if you could just give us a little bit of a view on how should we think about the deliveries of the BizJets and also commercial interest on the Pearl engine and maybe getting another OE backing. What's the time frame on that?

D. Warren A. East

CEO & Executive Director

Okay. Right-o. So on the TEN, it is a different engine but it is clearly -- it's a Trent 1000 and there are common components. And so a couple of things. When the TEN was originally certified, there was some life limitations on some of the components built into the certification. Those life limitations have not all been alleviated yet. And so I think there will be some overhauls, as a result of those life limitations, as we get into the fourth quarter of this year and the first half of next year. As a precautionary measure, then we are changing the design, we're taking the lessons out of the Pack Bs and the Pack Cs around the compressor that we're dealing with at the moment. And rather than wait for potentially those issues to arise on the TEN, we are redesigning the corresponding blades on the TEN as well. And part of the costs that we've talked about and fully scoped out this morning, include both the expected additional overhauls from the life limitation on the TEN that we have at the moment and on the precautionary redesigns. The Pack Bs and the Pack Cs also have some issues that we're dealing with in the turbine section of the engine as well. And we're not anticipating those issues to occur on the TEN because they're already a different design of turbine blade and they already have different coating. But the turbine blade life-ing is something that we attend to in terms of putting engineering effort into taking cost out of the whole engine maintenance program, if we can extend the life of turbine blades generally, then we will. And we're

doing that on the TENs, as we speak, but it's rather separate from the question that you asked, I think. On the business jets, then, yes, we're seeing a little bit of an uptick in the market at the moment, which is good. And Stephen mentioned, from sort of sentiment point of view, it's a good time to be launching a new family of engines. On the Pearl 15 on the Bombardier planes, Bombardier are really hoping, I think, to have those planes entering into service around the end of next year. And so in terms of sentiment, and how they're being taken up is really a question for them right now. But we're seeing positive signs from all our business jets, airframers in terms of demand signals, as we look into 2019. So then, I think, we had a couple in the middle.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Jeremy Bragg from Redburn. I've really only got one question, please, and it's on Trent 1000 again, sorry for that. You've described the situation as dynamic and without -- we need to be sort of abrasive about it, the cost estimate has increased a couple of times. And at what point -- what needs to happen for it to stop being dynamic, i.e. at what point do you think, okay, we can draw a line under this, it's not going to increase anymore? Or is there a risk that as we get through '18 or '19, you say, well, actually '20 is a bit worse?

D. Warren A. East

CEO & Executive Director

So first of all, let me caveat the whole thing. On all of these engines, until you actually get a sustained period of operation between regular maintenances with no issues, then you can't guarantee that there won't be some other issue. Okay. So I'll say that. Everything I'm now going to say about the Trent 1000 is about the identified issues. The identified issues, it came to light back end of 2016 through '17, and it was described as a dynamic situation because we were learning about what those issues are. And that culminated in discussion with the airworthiness authorities just before Easter this year when we agreed with them, Airworthiness Directives around the compressor. The turbine section was pretty much understood by that stage, but we had issues with the compressor, which frankly, weren't really well understood until we got to around about the first quarter of this year and realized that we had to basically redesign these blades. I am, as I said, 6 weeks more confident in the final solution than I was at the Capital Markets Day. And in terms of the diagnosis of the problem, and the manifestation of the problem that has now not really evolved since around the end of last year. So it's pretty stable. So you can never say never. But as far as these issues are concerned, that we're dealing with at the moment, we think we have them fully scoped. We have a maintenance program agreed, as I said, with the airworthiness authorities and we have an operational program agreed on a customer-by-customer basis with each of our customers. And so as far as this set of issues is concerned then, I think, we have a very good handle on it. And that's why it's sort of ceasing to be a dynamic situation.

Nick Cunningham

Agency Partners LLP

Nick Cunningham from Agency Partners. Couple of questions, a nerdy working capital one and then a more general question. On the working capital, short-term trade payables went up a lot and long-term trade payables fell. Now I'm just struggling a bit to understand that because you would have thought if the payables are reflecting the increase in LTSA receipts that you've received ahead of overhauls, that would be a long-term issue. So I wondered if one could get inside that a bit. And should I go on to the -- on the second question is a much wider one and slightly odd, but CFM and IATA announced a deal to liberalize the aftermarket for CFM56s and LEAPs, early this week, sort of nicely timed for the [indiscernible] world to be at the beach, I think. But the -- one suspects that was to fend off an European Commission enforcement action and that would seem to be quite a monumental event, which might undermine the business model at least for them but maybe for the industry. I mean, do you see other OEMs, including you having to do similar deals is one question and then the second question is, would you go after the CFM aftermarket, if it effectively opens up to you?

Stephen Wayne Daintith

CFO & Executive Director

So working capital. Yes, you're right, it is a nerdy question and I anticipated that, and I've got a pretty nerdy answer as well, actually. So I'm happy to talk on the telephone with you later, if you'd like to go through it. But right now, I'll just go through the key drivers of each and without specific numbers. And if you want to follow up, we can do that. So on the increase of GBP 1.4 billion in the current liabilities, we've moved Commercial Marine's assets held for sales. That's a big chunk of the adjustments. And the Civil and also it includes Civil LTSA revenue on shop visits that are greater than the cash received. So that's 2 of the big drivers in there. And then the GBP 1.7 billion increase on the -- sorry, delta on the other side, on the current liabilities, it represents Civil and Defence deposits, the AE 1107 in particular. Then the Civil LTSA cash received has been greater than shop visit revenue for certain items there at -- in advance of the shop visits. We've also included in that movement is the Civil LTSA catch-ups of around GBP 150 million that I highlighted earlier. There's also some risk and revenue-sharing partner deferred income money that's in there. And finally, there's quite a significant movement on the regional and business jet, LTSA movements as well. So there's a lot of things going on in this classification. Again, if you'd like to have a follow-up, then I'm very happy to do that, but that's the best answer I can give you at the moment.

D. Warren A. East*CEO & Executive Director*

Okay. And on the general question, I'll try to be brief because we could go about that -- it's an interesting topic. So the EU inquiry that came to light, although it was launched a couple of years ago, that this appears to be related to. Yes, we did respond as requested to the inquiries. We've eventually heard nothing about this since. At the time, we said we think it's rather more to do with the narrow-body section of the market than the wide-body section of the market. And indeed that looks like that's the case. To your sort of then broader question about what happens to the service market. Well, there is a profit pool there, and you know the relevant interested parties are the airlines themselves. Independent repair and overhaul operators, airframers and engine manufacturers. And our hook to maintain a claim on that profit pool is the knowledge that we have of our engines and the intellectual property that's embodied therein. And I see that profit pool and the different players as a sort of normal market evolution. You take a snapshot today, and this is how it works. Clearly, there's scope there for evolution as different players jostle for different shares of that over the future, and all the engine manufacturers have the same hooks as we do in terms of knowledge and intellectual property in the engines. And so I can't predict exactly how that will play out over multiple years. What I could say short term, about our intention to go and service a load of CFM engines and vice versa is that we all are playing battles with the boundaries of the laws of physics. We've all got what you might call issues with our engines and our customers in terms of durability of components and reliability and so on. And I don't think -- I think all of us are pretty occupied with dealing with our own issues for now.

Harry William Freeman Breach*Raymond James Euro Equities*

It's Harry Breach from Raymond James. And just 2, firstly, I was really struck by the strength of T&M revenue growth at Civil in the first half. Can you give us a feeling about the particular engine programs driving there? On the margin impact of the T&M revenue growth being so far in excess of the LTSA growth and how you're thinking about T&M in the back half of this year. Is it sustainable? Was there some big lump in overhaul scheduling, given how you're seeing the lives of those T&M engines. And then just turning on to maybe a much simpler thing. The R&D capitalization resulting from the policy changes, clearly, very significant in the context of operating profit overall. As we look to the sort of second half, should we be thinking about roughly double that number in the second half and can you give us some feeling for how that net capitalization number is going to be evolving, given it's sort of looking like about GBP 350 million on annualized run rate?

Stephen Wayne Daintith*CFO & Executive Director*

Okey doke. So on the time and materials, the 2 key engines that are generating revenue there are RB211 and the 700, and these are the more mature engines that are not necessarily on long-term service agreements. The margins are good margin on this business and it's a business -- it's a revenue stream that we don't probably talk about as much as we should do. It's a nicely profitable. And clearly over time,

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it will become smaller over a long period of time as we move to a very ambitious sort of total [care] agreement-type basis. But it's going to be with us for quite a bit of time to come and at a very healthy margin. And I think I've answered the sustainable question there as well. R&D capitalization, you should be thinking around GBP 400 million or so on a full year basis, the capitalization and then that will be a pretty good sort of steady state amount for the next few years, particularly as we go through relative new engines, finally getting certified, finally getting on wing, and then we'll start to tail down as we get into sort of, I would say, the 2021-, 2022-type time period, and you would naturally give -- as the engines becomes more mature, that the capitalization will cease and we'll move into a steady state.

D. Warren A. East*CEO & Executive Director*

Over here. And then we must remember, we've got a couple coming through online. So let's go just there first and then down to the online ones.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

Rami from Investec. Three questions. On the free cash flow guidance, in the AGM statement, you talked about a similar cash outflow to H1 '17, and you've obviously done a lot better than that commentary provided at the trading statement in Q1. But guidance is still -- the change is smaller than we would have anticipated. Is there something we need to be concerned about -- you concerned about in H2, which limits the upgrade to guidance? Second on Trent 1000, we understand that part of the compensation, some of the engine manufacturers have provided to airlines has been through credits on future engines, sales and on maintenance events. Does the GBP 1.4 billion include the credits that you may provide to some of the airlines for future engine sales and maintenance? And the last one, just on the French, German, the SCAF program, would you be able to bid for that via your German facility in the future?

Stephen Wayne Daintith*CFO & Executive Director*

Okay, so free cash flow on a full year basis. I think Trent 1000 cash costs in particular will be more second half weighted than first half weighted, so that's another reason. And then I don't want to raise -- I come back again to this sort of the working capital subject, but I think it's just -- it's difficult to be precise around working capital, given the very nature of the sort of items that take place. You've got concessions, you've got customer deposits, you've got repayments of customer deposits, you've got collection or payment of risk and revenue-sharing partner fees. And so we naturally built in a degree of estimation around working capital, therefore. So as it stands, we're comfortable to give the guidance, the updated guidance that we have given to finish in the top half of the range, and nothing more beyond that. And then the second question, the short answer is no.

D. Warren A. East*CEO & Executive Director*

And the third question, the short answer is yes. I think Jennifer, we have to come to some online, just to be fair.

Jennifer Ramsey

Yes, there's a question from Chloe at Exane. How should we think about the margin profile of the Trent 1000 aftermarket. Arguably at this stage, you've put a quite a lot of costs on a small margin. So going forward, does that mean that margin improve -- could improve slightly with time, as risks are retired or will the margin remained depressed through the life of the engines, which are affected by the current issues?

Stephen Wayne Daintith*CFO & Executive Director*

I think -- well, the Trent 1000 margin has a lower aftermarket margin than, for example, the Trent 700, which has a good aftermarket margin and XWB and so on. But we do, as the questioner asked, we do

expect that to improve as we retire the risk and the costs that are attached to the remediation of the current issue, around '20, '21, '22, we ought to start seeing improvement then.

Jennifer Ramsey

Another question. In terms of the restructuring, Warren, how do you plan to keep the restructuring in line with your current long-term strategy post-2020? I guess, this is in regard to increasing development costs of new products, post-2020, and keeping a cap on our indirect costs.

D. Warren A. East

CEO & Executive Director

Yes, so what we're doing with the restructuring at the moment is basically a bit of long-term maintenance on the organization. We are modernizing a lot of behaviors and processes and simplifying, removing activities that perhaps were appropriate at one stage in the past that are no longer appropriate going forward. And behaving a bit more like a sort of modern competitive company. I think that is a one-off change, and we hope to get through most of that change during 2018 and 2019. Of course, then companies, such as ourselves, that depend on technology, as the sort of the life blood of our future products and business. Of course, we have to spend money on that. And that's the very reason why we're doing all this effort on transformation. We have to generate a sensible, competitive amount of cash. So that we can reliably continue to invest in R&D at the sort of levels that we need to invest in. I don't anticipate any great kick-ups in investment in R&D after 2020. It's business as usual, and you'll see us investing a sensible competitive proportion of annual turnover in R&D, generally, going forwards. Right, we don't have any more from online line?

Jennifer Ramsey

We have one -- we a few from David Perry, but some of them have been answered already. So this is his third question. He's just suggesting that he wonders, Stephen, whether you answered Jaime's question around if any of the Trent 1000 cash costs would be treated as exceptional items in free cash flow.

Stephen Wayne Daintith

CFO & Executive Director

No. Sorry, just to absolutely clarify -- our underlying free cash flow will include all the cash cost outflows in relation to the Trent 1000.

D. Warren A. East

CEO & Executive Director

Thanks for that clarification question. Any others in the room before we wrap up. No? Great. Well, in that case, thank you very much, everybody, for your support, and we'll be back with some full year results early next year.

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Analyst/Investor Day

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Presentation

D. Warren A. East

CEO & Executive Director

Good morning, everybody. And I must say thank you all very much for coming along. This is a fantastic turnout, shows that there are a lot of people interested in Rolls-Royce, so thank you very much.

I'm going to start with a few of the sort of boring things, probably, like the fact that if there is some alarm, we go out through there, and the Rolls-Royce people will direct us to where we have to stand. And just to be good if everybody can turn off the noises on their mobile phones, please. Thanks very much.

The agenda that we have for you this morning is, I'm going to introduce things for a few minutes at the start, and then we're going to have an example of one of our businesses from Andreas. Harry is going to talk about the restructuring that we announced yesterday. Stephen will show how that translates into numbers, and then I'll make a few comments to close with.

So after my introduction, why have we chosen Power Systems, it's an example of one of our businesses that's in transition at the moment. And Andreas will illustrate some of the improvements that we've been making over the last 12 months and we aim to be making over the coming years. The other reason we chose it is because when we discuss things with the financial community generally, we spend about 55 minutes of every hour talking about Civil Aerospace, and we thought it'd be a good opportunity to talk about part of -- another part of the business.

Yesterday, we announced a fundamental restructuring. I'm going to talk a little bit more about that in a few moments and Harry is going to plunge into some depth. Yesterday, the emphasis was very much on the people side of things. And today, we're going to, in the last session with Stephen, talk about how that translates into returns. I hope you'll go away with an impression of why this change that we're making is absolutely fundamental and why it's not just another cost-reduction exercise.

However, before we get started on the business of the day, I do know that there's a lot of interest out there in what's happening short term and, in particular, what's happening with our Trent 1000.

So right at the top of this slide, as we said in March and as we said in April, this is a situation which is causing a number of our customers a huge amount of disruption. So we had a team down at [iarta] in Sydney last week, and they were absolutely [flat tack] with our airline customers spending a lot of time reviewing the plans that we have and basically working -- checking in at a high level on how the close interaction with those airline customers is going in the detail.

I think to summarize the situation where we are at the moment, we have completed the first stage of the initial inspections on all the Pack C engines. The good news is that we've sort of gone through the peak of that, and the incidence of aircraft on the ground turned out to be less than we actually feared. And the incidence of failure on the repeat inspections, because we're now into repeat inspections, so far, is going better than we had anticipated, which is all good news. And we have started a one-off inspection of the Pack B engines, there are 166 Pack B engines, and we're going through a one-off inspection right now of those to establish some data. It looks like at much, much higher cycles, much, much later in the engine life, there may be a similar issue. And I mean, the good news is it's much, much later in the engine life, so it actually happens after a scheduled maintenance in the main, but we want to gather some data to get to the bottom of that.

However, the -- we anticipated a pretty grim situation with aircraft on the ground. And so we told you in March, we were going to add lots of capacity to deal with this. The good news is we have added lots of capacity. We've trebled our maintenance capacity. We've reduced the cycle time, the time it takes to go through one of the inspections and to go through replacement of defective parts. And the bottleneck has now shifted from MRO capacity to logistics. The fact that an airline is based in one part of the world, we have a repair and overhaul, which we have spread around the world, but it's still physically removed, in many cases, by up to a week or so of transport for a very heavy item in both directions. So logistics is

probably now the bottleneck on bringing this peak of aircraft on the ground down and for an individual airline to bring the number of aircraft we have on the ground down. The good news is, when we wrote this slide, we were getting on for 50. We never actually hit 50. And as of last night, we were at 44, and it's starting to decrement pretty daily at the moment.

Now there are 3 stages. First of all is inspection, then there's deal with it and then there's fix it. And on the fix it side of the chart, as far as the Pack C compressor rotor blade is concerned, which is what's caused a lot of the concern over recent weeks, we have a new design. It's -- testing is going well on that new design at the moment. I saw it last week. And we hope that, therefore, we will be able to pull the fix for that in from Q1 next year into the end of this year. So that's continuing to move on a positive trajectory.

We'll then fall back to the limiting factor, which is turbine blade capacity, and we have been addressing that. And since the 7th of March, then we've continued to improve on turbine blade capacity. And actually, since the beginning of this year, we now have approximately 50% more turbine blade capacity than we had at the start of the year. And so we will, we believe, be able to eke through this problem.

What difference does that make to our guidance? Well, the key message here is that our guidance for 2018 is unchanged. We clearly laid out on the 7th of March that we expected 2017 costs to approximately double in 2018 and then fall in '19 and '20 and so on. Since the 7th of March, we've had accelerated inspections on Pack C. We've decided that we want to investigate for data gathering on higher cycle engines on Pack B. But because we had a better aircraft on the ground situation than we anticipated, because our MRO response has actually been at the high end of expectations, then actually the good news is that the cost of those incremental pieces is not going to be quite as much as we thought. And so netting out those, we end up at approximately GBP 100 million of additional cash in 2018 compared with where we were on the 7th of March. And as we said in April, we've taken additional mitigating actions to cover that GBP 100 million, and that's a bit of re-phasing of some nice-to-have projects, cuts the discretionary expenditure, and that's how we are maintaining our guidance.

So now I want to get into the business of the day. That's the end of the Trent 1000 update. Getting into the business of the day. So I put this slide up, our full year results. This was a summary of where we got to with our transformation program announced in 2015. In 2015, it was obvious that some significant change was needed. We did some change. We completed some of what I called organizational hardware, and we needed to do some organizational software. In March, I reported good news, we've done some of that, but there's a heck of a lot more to go. And today is about that awful lot more change that we need to make in terms of the organizational software.

And what we have discovered is that in order to do that, we need to make some much more fundamental change to what I was previously calling the organizational hardware; i.e. the structure of the organization. So much more radical change is needed to the structure in order to achieve this whole thing and make the obvious change that is necessary for Rolls-Royce.

So today, it's a pivotal moment. And it's an intentionally big word, pivotal, and I'll come back to it in a moment or 2. Basically, an awful lot of preparation has had to be done, not just over the last few weeks, not just over the last 6 months since we got A&M in to -- to help us with this, but actually over the last several years. I had a number of questions yesterday from the media about, well, why on Earth didn't you announce this 3 years ago? Because actually, that would have been exceedingly foolhardy to announce that 3 years ago. We had to get on with stabilizing the business, do some really sort of crucial things, tighten grip on the business and prepare for a big change to do it properly, things like we did have to stabilize the business.

A crucial question a few years ago was, could we deal with the volume ramp-up from approximately 300 engines to approximately 600 large engines per year, okay? So that's getting there, well over 500 engines last year, nudging towards 600 this year.

We had to bring several new products to market. And actually, over the last 3 years, 4 new civil engines have entered into service. Now it's absolutely essential to get these solid foundations in place. There was

some tidying up of the portfolio to do, and we've been addressing that through a combination of some reorganizing and some disposal activity that you've heard about.

And last but not least, I had to establish a leadership team that was up to the task and up for the task of leading this company through a fairly pivotal change. And that leadership team has changed significantly over the last couple of years, and you can't do that overnight. So 90% of the executive leadership team has changed. And we now have a mixture, approximately 50-50, of established players promoted and fresh thinking from outside to deal with this task. So that was the answer yesterday.

A summary of what we announced yesterday in terms of facts and figures. Well, we're going for something which is much, much slimmer, leaner, more nimble. Net savings, GBP 400 million net costs per annum from the end of 2020; net cost approximately GBP 500 million. That will unfortunately involve the loss of about 4,600 jobs. I spent a lot of yesterday explaining that a lot of those jobs will be lost in the U.K. And consequently, a lot of them will be lost in Derby. They are management and support functions, largely. And that is making the big structural changes necessary so that we can really effect a proper culture change, and Harry is going to talk about that in a lot more detail.

The idea is to create a world-class business that matches our world-class technology. And it's no secret or it's no coincidence that we've got a picture here of our newest engine, one of the Pearl Series for business jets that was announced a couple of weeks ago -- was launched a couple of weeks ago. No coincidence we've got that picture there to reflect the newness of the new management system and the new behaviors that are going to be apparent in this business from now on.

So what now? Oh, before I go on to what now, sorry, a bit of context. And again -- so this is back to why I used the word pivotal. It's important to understand that this is a new phase in the development of the company. This isn't a cost-reduction exercise from 2015 to 2020 to achieve some better returns. This is about making an organization that is ready for the next phase of its development. I said in the media yesterday, we've been around for 100 years, we want to thrive for another 100 years, and a fundamental change is required. So at the left-hand side of the slide, we've got a period of evolving engine architectures. We've got a period of developing market share. We're now going from the developing market share phase into the using market share phase, where we use that market share to generate returns and invest in new technology going forward.

So to put some metrics on that. 15 years or so ago, we had about 1 in 7 of the large jet engines flying around. Today, we have about 1 in 3. And we have an order book that will take us to about 1 in 2 in a few years' time. We invented the TotalCare product way back before the turn of -- into the 21st century, but actually, we had a very small share of that. Now to make this business really work, we need to have an annuity type income. And so what's been developing over that period is the TotalCare packages evolved from few to most of them. And in fact, when we take orders today, about 99% plus go out with a TotalCare package. And we needed to move from what is essentially a bespoke business, where we made very small volumes of a large number -- or a number of different varieties of engine to much higher volumes of only a few varieties of engine. We need to move from bespoke to industrial and also, as I mentioned earlier, double that capacity in just the last 3 years. So that's the wider context for this change.

What now? What now then? Our ambition is a much, much simpler business, one which doesn't celebrate complexity, but celebrates simplicity. And we've structured the business, we'll talk about, in terms of 3 empowered businesses. And we think that those businesses can deliver materially improved returns as we move into this next phase. We understand on technology that we need to be using the world's best technology, but we can't necessarily own it all. We need to be quite selective in terms of what we own, what we produce, where the key intellectual property is and where there's other world-class technology that perhaps isn't key intellectual property for Rolls-Royce, where we need to do some partnering, so that we can be the world's leading industrial technology company. And by world's leading, I mean not just a company that responds to market changes, but a company that actually makes the market change, and that is a market leader. And Stephen is going to talk a bit later about translating some of this into financial returns. And there are a couple of midterm ambitions here on this slide. And I want you to note that we're talking not just about quantum, but about quality as well. It's not just about how much return, but it's return related to input and, therefore, a measure of the quality of that return that we're going after.

And so what are our resources available? I tell our people that our competitors have access to all the same technology that we do. They have access to all the same customer base, all the same equipment and so on. The only difference is the people. Well, that's true. The people are the differentiating asset. We have access, of course, to 3 basic categories of asset: the people, the things and the money. And the difference is in the people, and the people determine how we use the things and how we use the money. And so the emphasis in this change is going to be around the people and how the assets get used.

Now Harry will show -- so this is the proposed structure that enables the change. And Harry is going to show a contrast between what we have today and where we're going. And what we have today has brought us through the last phase, has enabled that growth in market share and that evolution of engines and the creation of the next generation of engines. So it's not bad, but the complexity that is buried therein has generated a huge culture of bureaucracy, slowness, duplication and just a culture of complexity. And we need to move to a much, much smaller lightweight corporate center. We need to have empowered businesses that operate with freedom, but freedom within a framework, not chaos.

And I've deliberately pushed people in preparing these presentations that you're going to see this morning, that we represent this as 3 interlocking circles, not 3 blocks of PowerPoint. And the 3 interlocking circles are there because although these businesses face different market sectors, these businesses share intellectual property and share technology and share philosophy. So the synergy in our supply chain between Civil Aerospace and Aerospace Defense is obvious, the synergy between the Power Systems, Defense activities and our broader Defense business is obvious in the customer relationships, as is some of the technology. And the technology and service synergies between the Civil Aerospace business and Power Systems business are there, and they're there to be exploited. But we do it in a lightweight empowered way, rather than through the treacle of an overweight center.

So we're going to talk about accelerating culture change. Harry will go into bit more detail than this, but I want to get across the message that simplicity is a state of being. That's what I told our leadership conference this year. And that is the sort of overwhelming state of being that you need to get to, to make this happen.

So pace. Pace is appropriate, but generally, I mean, faster. And if you look at the complex situation we've come from, you have a chunk of people doing things in a complicated way, so it takes them a long time to do it, but you've still got to do a whole load of things. And so you end up hiring more people in order to get more stuff done in the same period of time, but that makes things even more complex. And so you get weighed down even further, and you get into a negative spiral or vicious circle, and that's what I mean by complexity killing and why we have to move to a state of simplicity. So pace and simplicity lead to efficiency, and that's enabled by a framework which is empowering.

And that efficiency will improve our productivity and give us the world-class business to match the world-class technology. And we're looking for efficiency in those 3 things: the people, the things and the money. So that's the message. And when we get there, we will have replaced the vicious circle or negative spiral by hopefully a virtuous circle where, again, thinking about those 3 things, the people, the assets and the money, we -- those are key to create the outputs, which is market leadership and strong financial performance.

So that's a little bit of introduction. We're going to step back from the restructuring program that we announced yesterday to give a flavor of what it looks like in a business that is transitioning right now. So over to Andreas.

Andreas A. Schell

Chief Executive Officer - Rolls-Royce Power Systems AG

Thank you, Warren. Good morning, everyone. I'm very proud today to present Power Systems. And as Warren said, if you only get 5 minutes of an hour of your attention, I need to use my time wisely.

Since I'm also new to Rolls-Royce, a quick introduction. Andreas Schell, 48 years old. I started my career in Stuttgart with a company, back then, Daimler-Benz, then DaimlerChrysler. Then I spent about 10 years of my time in the U.S. and then followed by about 4 years here in the U.K. I've also worked with Fiat

Chrysler on their private equity ownership, and then later in my career moved over to UTC and in the UTC Aerospace business. And then in December 2016, I was hired by Rolls-Royce. And since then, I'm running the Power Systems business, and I'm very proud to be part of the power -- of the Rolls-Royce business.

With that, let me kind of introduce Power Systems to you. I will -- since you're not so familiar with Power Systems or you may not be so familiar with Power Systems, I will start with a quick overview. But then, most importantly, we have been driving a lot of change in the last 1.5 years, and I'd like to introduce what we have done to make this business fit for the future. And then follow and finish it out with our plans for the future and give you a perspective on what, midterm, you can expect out of the Power Systems business.

All right. So I'm very proud to stand here on behalf of the 10,000 employees of Power Systems, and they sit mainly in 11 locations in 5 countries around the world. We sell about 25,000 engines and units per year. These include the lower power range that we do together with a partner. The engines are grouped mainly in 4 product families: the 4000 Series, which is really the very, very famous main product line; the 2000 Series; then a series called classic engines, large engines, mainly the 8000 Series; and then a smaller series called the 1600 Series. And they are used in 24 sub-applications. The way we sell into the market is we go partially directly to the end customer, but we also sell through a distribution network. And this distribution network is a hybrid distribution network. So we have some of our own MTU subsidiaries in certain countries and regions. And in other regions, we sell through third-party distributors, so a hybrid network, and there are benefits for our business to do it that way. This gives us about 140 sales partners, but more than 500 authorized dealerships around the world that sell our product.

The one thing that I find extremely attractive about the Power Systems business is the installed bases. It's more than 100,000 engines. Now you could kind of say, how does this relate to the 25,000 engines sold per year? The 100,000 units installed bases are the ones that we really develop and make within Rolls-Royce Power Systems and MTU. Those are the ones that are mostly serve as revenue-generating engine, and we'll come back later to what we do with the installed bases already and what we're going to do with that in the future. Customer concentration, top 10 accounts for about 17% of the sales. I'll talk about the customers later again, but I can tell you, we have fantastic customers in the Power Systems business.

Some key attributes. There's a lot that Power Systems has in common with the rest of Rolls-Royce: a very high brand recognition and we have a significant R&D experience in Power Systems. I think this is something that both have in common. But there are many areas where Power Systems can learn and has learned from Rolls-Royce. One area is the experience that the Civil Aerospace business has in aftermarket when it comes to developing products like long-term service agreements, which is something that Power Systems didn't have. And I can tell you, within 1 year, because of the experience we have across Rolls-Royce, we were able to kind of close the gap towards our competitors quickly and aggressively.

But there are some things that are different and that -- they are good ones. When I look at the financial side, we have a very short-cycle order book. There are certain engines that are standard type engines where we can fill the order book in 3 to 4 months. The governmental business is the longer side of it, which is about 3 or 4 years after order when we can put it in the order book, so again, a couple of months up to 3, 4 years to fill the order book. The business enjoys a double-digit EBIT margin, and it provides the opportunity and, as shown last year, that it has a very high cash conversion rate.

The market profile. I said before, we have fantastic customers. The customers are everything from small, little family-owned business that operate our engines, and they rely on the function of that engine day to day. If the engine fails, they can't generate revenue. But at the upper range, we also have large mining conglomerates that are multibillion-dollar businesses. But I can tell you, what's common to all of the customers is the passion for what they do, and this is something that's reflected also within Power Systems, so diversified end markets and customers.

Revenue profile, about 2/3 coming out of OE, 1/3 generated out of service revenue, something we'll talk about that later again that we will want to change and increase the percentage of service revenue as a total.

Geographical split, 45% in Europe, but what needs to be considered in that number is that a lot of the European customers actually take the engines, generate systems and then export to global markets. Also noteworthy, between China and Asia Pacific, today, 27% of the total revenue in that region and growing. Also noteworthy, 23% in the Americas, so we have to always monitor geopolitical situations and respond, and that's what we do in the business, but well-diversified. And that diversification has helped us going through downturns, through down-cycle situations, and we're not as susceptible (sic) [susceptible] to down cycles as other peers in the industry.

Now let me talk about the -- what value we generate out of the market. The market itself is about 1.2 million units or EUR 27 billion of value. That's the total addressable off-highway market, excluding automotive, truck and on-highway applications. With our product lineup, as we have it today, we can service about 440,000 units or EUR 13 billion of that. Now we punch above our weight. We get 5% of the unit share, but we take 15% of the value of that market with our products. So we are premium in that segment, all in.

Let me introduce some of the segments that we do business in. First, Marine. We are amongst the top 3 participants in the Marine segment. In Marine, we do mostly direct sales. About 70% of the sales we transact directly to end customers. Keep in mind, end customers are often shipbuilders. And then in the service, the end customer is the owner or operator of the vessel, so a multistage industry.

On applications, we are very strong in naval with a share greater than 25%. And I really like this, when you ever consider to buy a luxury yacht, the engine you want to have should have the MTU brand on it. And this is what a lot of the customers aspire. It really is something they show off when you go to boat shows. They open the engine rooms, and they are really proud for the technicians to kind of open it and show the MTU brand in their engine compartment, really something to be proud of in that industry. Projected growth, about a 4% CAGR, and so we expect the market to be EUR 2.1 billion in 2022.

Second segment, and we like this even more than the Marine segment. Why? There is a lot of growth in that in Power Generation. There is so much power demand out there. And with what we do already today, we are right in the sweet spot of this. There is growth, and there is about a 6.7% growth projected in power generation. Now we're very focused in Power Generation. We don't do everything. Our equipment is used in mission-critical applications. If you use your smartphone later on today, there is a very high probability that the backup power provided when the grid goes down comes from Rolls-Royce Power Systems MTU. This is what customers are willing to pay a premium for. When the grid goes off, there is a battery storage that takes over for a few minutes, but then an MTU-branded engine has to switch on and provide power within minutes thereafter and basically back up the facility. So data centers, hospitals, companies, everybody who needs reliable power, this is basically the market we care about.

The other reason we really are very passionate about Power Generation is, we are going to talk about microgrids later on today, which is a whole new different business segment. And I think we fit right in the sweet spot of that with our ongoing development. Again, we enjoy 1 of the top 3 market positions there. Products we sell in that market, 4000, 2000, 1600 Series, both diesel and gas systems.

Third segment, Industrial. The Industrial market is a bit different to Marine and Power Generation, which are somewhat easy to introduce. This is a very complex and very diverse segment for us. What you find in that segment is everything from railway application, oil and gas, huge mining trucks. Mining trucks, we have our engines on a mining truck with ballast, which can carry the weight, the takeoff weight of an A380 on its back. There's 2 4000 Series engines that power up that truck, largest mining truck in the world. So very diverse. We're doing well in, in particular, railway, in mining, fracking, but also in construction and agricultural equipment.

Now this market is very sensitive to regulations, and they are not the same all across the globe. They vary strongly, so we have to kind of monitor this always. And that's why in that segment, you often have very special effects and cyclical behavior of that. For instance, right now, because of the introduction of a new regulatory emission stage coming next year, there is a prebuy effect in the smaller, lower power range that we enjoy right now, but we'll have to deal with that then next year. The reason I'm really passionate about this segment is all of these applications are heavy-use applications. This is the best place to be for service,

we'll come back later on. This is where we start connecting the engines because we need to monitor the use and the wear of the engines.

Let me give you one example, a mining truck. The engine in a mining truck is pretty much dead after 3 years. So it will come back, and we basically repair it, restore it. And we can do this 3 times over the lifetime of an engine. That means in about 10 years, you have generated about 3x the value of that engine on that engine. So this is how mining, for instance, works for one example. 5.4% CAGR, but as I said, we really like that segment because of its potential in-service.

I'm not going to spend much time on this chart. But for completeness, we also work -- or we also offer our product in the Defense sector, so land-based battle tanks, infantry fighting vehicles and howitzers. It's a stable market with a recent increase in governmental spend. We enjoy a bit of a future upside in that market. We also, after the realignment of the businesses across Rolls-Royce, have now ownership for the civil nuclear business. There, we are present on 195 reactors in 20 countries. And I think all of you are aware, we just recently completed the sale of L'Orange to Woodward. While we have transacted this, we enjoy a long-term partnership with L'Orange since injection systems are still an important part for our engines.

Now I'm very proud of this chart, really, on behalf of my team. In the end, doing business and having fun with all of these end market applications is one thing, but it needs to translate into financial results. And I think you all agree with me, 2017 was a very strong year for Power Systems. Now a lot of people were quick to say, okay, the markets came back and -- okay, yes, the markets came back.

We also were able to take share last year because we made changes in the sales organization and we approached customers in a much different way. In parallel to this, we also focused last year on cost reduction in the business. We took C&A down by 7%. We reduced R&D down by 6%. I'll explain later why we reduced and why we were able to reduce R&D. Which then resulted in a 240 basis points gross margin improvement, and it allowed us to increase operating profit by 61% in 2017.

How do I feel about 2018? We've given guidance for revenue on high single-digit growth, and I'm quite comfortable at this point in time with that guidance. Operating profits, I expect the margins to be stable, but there are going to be some effects. I talked about the prebuy effect in the lower power range, and that's revenue but very little margin coming along with that. And then in Power Generation, we will have less lose (sic) [lost] engine sales with higher margins, but this will be basically made up by more systems sales. So at this point in time, I feel comfortable with the margins being stable. And 2018 looks, at this time, to be yet another strong year for Power Systems. And I can assure you, we will continue to monitor and optimize our cost in the business.

Now Warren talked about the importance of people being a strong and an important asset in the company. And when I talk about what we have done last year, this will also be a story about the people and what our people have done in Power Systems to make it fit for the future. When Warren asked me to join Rolls-Royce in December 2016, I needed a few weeks to kind of do an assessment of Power Systems. And here's what I saw, here's my view on arrival.

A bit of a personal story, my family comes out of the area in Southern Germany around Friedrichshafen, and I've always admired MTU. It was kind of like a dream for me at some point in time to lead this business. I mean, you look at this blue and red, they resemble the flames in an engine. It made me really kind of wanting to work for that company. I was a little puzzled when I started how this icon, how this hidden treasure did not perform the way it should or it could. And here are some of my views. Positive, a real hinge for engineering. Our people pride themselves, we don't play Premier League in engine development, we play Champions League. When we do engines, we do the best engines. So a hinge for engineering.

A strong market share in niche markets. You wouldn't believe how proud our people were to tell about the stories when we kind of took in certain niches pretty much everything away. There is the Marine segment where our engine has pretty much kind of gotten 2 competitors out of the segment altogether, but again, in niches. Super-dedicated workforce and a transformation program that I felt was really, really good, maybe not kind of delivering the results yet, but it was a well-set up program.

There were a couple of things that I felt I needed to do to take a deeper look at. The leadership culture in the business, I needed to understand the core drivers of this business. And again, when you kind of operate in such a diverse end market, this takes a little while to understand how you kind of generate orders and how you deliver against these orders and, more importantly, how you generate margin out of that. I noticed an absence of digitalization. Lots of PowerPoints about how digitalization could be, but very little in place. And there were some things that really required immediate attention. 20% of our portfolio was driving the majority of the profits. In fact, 20% of the portfolio also generated 80% of the revenue in the business.

By the way, a big dissimilarity between H1 and H2 financial results, very big dis-balance (sic) [imbalance] between the 2 halves of the year. I -- an absence of a customer-focused mindset in the business. And then I think very similar to the words that Warren has chosen for the company, we needed to improve pace, simplicity and agility. There were always endless discussions. There was a governing body. It took about 3 months for presentations and for big topics to get to the top of the house for a decision. And if you couldn't decide on it, it took another 3-month cycle to bring it back. We now have a much faster decision-making cycle in the business. There is alignment on the top. There is very little time spent on protocols and minutes of the meetings. And there is focus on execution right there after once we come to an agreement in the business.

So for 2017, the key focus was to address culture and leadership, number one. 80% of the folks that work with me -- and I have one of my colleagues here with me, Matthias Vogel, who is in a new position, has been in the business for quite a while. He is the Executive Vice President of Network Distribution and Service, a new position we created because we needed to separate OE sales from service because they have to be focused on selling and focused on differentiation through service excellence. But 80% of the leadership team, we made changes. We brought people in from other industries, people in from the outside, but we also focused on promotions inside of the business through identifying talent.

Sales and service, clear messages, putting the customer front and center. That doesn't mean to kind of sell for free. And then as I said, service excellence and different -- to create differentiation in the industry.

Clear focus on product and quality. It's not that product quality was completely out of whack, but it wasn't there where you would expect the premium manufacturer to be, so focus on that. We appointed a new vice president of quality, and he had the clear mandate to show everything that's not per standard. And so we have a bit to work through, but the results are stunning because the customer is experiencing a much, much different product already right now. On product development itself, more rigor on product development. We introduced a new organization called product management to avoid generating small variants and pretty much not seeing the sales coming -- following through.

And then last but not least, clear focus on cost and cash. The leadership team meets once a month. And we look at this meeting, it's called performance assurance meeting, it's a mandatory attendance meeting, and we see where we are against budget. And it drives and promotes accountability in the business. When in the second quarter, we needed to focus on cash, we added cash as a KPI to this one, and I think the results speak for itself. But clear accountability in the business, no hiding in the organization, the people in sales stand up for their KPIs, the people in operations stand up for their KPIs and we all come together. And if we're off, it's not a question how did we get there, it's a question what do we do to kind of mitigate this. And I think it has really sparked a different culture in the Power Systems business.

I said we had a transformation program in place, and it was really, really good. 15 work modules, we weren't in the position to really generate results out of that. That has changed. So 2017 actions, I spoke already about the H1 versus H2 activity balance, and this creates for a much better absorption in factories, as you all can imagine. So to give you an example, Q1 in 2017, the factory was down for a couple of days because there was nothing to work on. We started on January this year with a full production schedule on the factory loading, and that's what you want to have because then you have better absorption rates in the factory and your cost basically is much better applied.

Then on direct material cost reduction, 4.3% material cost reduction. To be quite fair, the team has done material cost reduction for years. The 4.3% was a little bit of uptick. We are now looking also at technical measures to take cost out. You don't always have to use the most expensive material. You have to use

the material that works and belongs to the function of a part in an engine. And then very importantly, looking at target operating model, the way we work, so we made changes to sales and service. We made changes in the engineering organization, changes in the quality organization, and I can see the benefits of it because there is more clarity. So again, coming back to the concept simplicity, people understand what their job is and, therefore, we can operate much faster.

And then 2018 focus: ongoing product review, a lot more sales and service campaigns, focus on net working capital and most importantly, I'll speak about this later on, digital where we have made a massive improvement in just 1 year.

Let me give you one example out of the transformation, and this is about product portfolio. I said -- I mentioned already 80% -- 20% of the product portfolio generating 80% of the revenue. So we had to really kind of take a look at the re-prioritization of the engine roadmap. There was one engine we had developed and in years, we had sold 5 of them. Now we kept the parts in the business because, I mean, of course, if you want to sell it one more time, you need to kind of have the parts. So there are people in indirect who renegotiate supplier contracts for an engine that you don't really sell. So we put up an organization called product management, gave them the mandate to review this.

Here are the results. This started in 2015 already, but we are now down from 850 engine variants that you could order back in 2015, down to 600. And long term, we will be around 500 engines. And again, if an engine is taken off, we take the part out of the system. We'll keep a few parts in service because we need to stand by our customers should they have a repair on the engine sold, but that's it.

So rationalization of the engine portfolio. Now then that begs to the question, what do you do going forward to avoid this? So there is now continued modularization. In the future, when sales comes back and says here is a great application, think about the industrial market, a lot of diversity there, we really go together and there is a clear assessment done, do we really need that engine? And if we need it, how can we use the parts we already have in the system and take a modular approach?

Another thing we have done is, the 1600 Series engine was always, in its 11 years, suffering from -- there were some variants that were selling very well, but most of the variants were sold at a loss. We didn't really make a lot of parts for that engine. Most of it came from a supply base in Western Europe. So that engine, I'll talk about this later, was moved into a joint venture with an Indian partner and the supply chain will get localized in India. So -- and from there, we will basically then export to the global market.

All right, so much about change in Power Systems. And now the question comes, what next? So I'll talk about key trends. I will talk about our strategy and the implementation. And I will also speak for a moment about what I define success for Power Systems in the medium term.

I could speak about this chart for hours, and I had to already this year a couple of times because it's so key for the business. Let me start with a very small anecdote. When I started last year, I have 2 sons, 14 and 12 years old. The 12-year-old came one day home and said, "So dad, all of this discussion about the diesel, is diesel everything you make?" Yes, we had the same laughter at the dinner table. I -- but it makes you think about the business you run.

Now let's be clear, we play Champions League in diesel. And it's a pretty profitable business. However, the diesel is not only in the public perception and the public discussion, the question also is, what do we do with this business? And let me be very clear, the diesel is anything else but that. If you speak to customers in the Outback in Australia, 3 flight hours north of Perth in a mine, and you speak to them about alternatives other than diesel, you have to have a lot of arguments to convince them because diesel is a very energy-efficient carrier and, therefore, they love it.

The same for yacht customers in the end. Now having said this, there are clear rules and emission regulations out there that we have to comply with. In a yacht, for instance, a 4000 Series engine, you have to increase the volume by about 40% to incorporate future emission regulations and put exhaust gas after-treatment on it. So you give the owner of that yacht less cabin space and increase engine compartment space. That's not what yacht builders want to sell.

Having said this, so these are the key market trends, regulations and green policies all around the world. Norway putting a ban on any internal combustion engines in the marine usage in fjords for instance. Alternative fuels and energy sources. A Marine example, only 0.3% of all Marine today is penetrated by the use of natural gas instead of diesel. So a big opportunity.

Propulsion and electrification. So we have customers who come to us and say, well, is there any chance you can do some sort of a hybrid on our application? Also, this industry, when you go to a mine, and mines, as remote as they are, they are highly digitized today already, connected autonomous operation of mining vehicles, for instance. And then last but not least, I really believe the era of repair and spare parts comes to an end also in the off-highway industry, therefore, thinking about life cycle services. So we really had to think about new solutions and new approaches for Power Systems.

Integrated power solutions, again, we will continue to do diesels. We're good at this, and there is no reason to kind of get out of it. We need to make sure that diesels are compliant to emission regulations, and that's very important to us. But we also need to be open to new fuels, gas. We already have a Marine 8V and 16V for a mobile application in gas. We have gas in our power generation lineup, and there are some product portfolio gaps that we are about to close. We are also thinking about fuel cell technology, hybrids in 2.5 years from now in the marketplace, and down the road on our roadmap also, are pure electrical solutions. Then system intelligence, integrated automation, remote and autonomous operating engines. And then last but not least, life cycle offerings. I mentioned that before already, this is where we really greatly benefit from the experience in the Civil Aerospace organization.

So 3 key schemes. We need to reshape our core. Examples -- and again, we need to retain our competitive engine portfolio, very important, because that fuels everything we do for the future. But additional growth coming through joint ventures and partnerships and localization of production.

Life cycle services. Digital-enabled, which we'll talk about on the next page, and then turning Power Systems into a solution provider. Again, we are good in engines today. In the future, we will be very good at being a solution provider, that requires us to do a bit of a capability buildup in electrics and automation.

Reshaping the core. We signed an agreement with Yuchai Power to establish a joint venture, and I was personally in the city of Yulin, which is about 300 kilometers away from the Vietnamese border. And I was personally there in April to take receipt of the first engine coming off the production line, about 1 year 14 month after we had finalized the agreements with this. Working very closely together, so we have a couple of people from Friedrichshafen, Germany, who are permanently in the city of Yulin. We are not going to build the latest model of our 4000 Series engine over there. But because of the parts commonality, after localization, we will be able to kind of get locals' parts also out of Yulin for usage in other factories around the world.

And then we signed an agreement in April this year with Force Motors in India, and this is the localization of the 1600 Series in the City of Pune in a joint venture with them. They will do assembly and tests of the engine, but we will -- we also plan to localize about 80% of the supply chain in India and then use it for the domestic power generation market and also export for global markets.

Life cycle services. Life cycle services, for me, go hand in hand with digitalization. I cannot imagine how companies really will be in a position to talk about life cycle services unless you really kind of make sure your assets are connected. Because that drives advanced analytics and data-driven value care agreements, in the end, you really need to know how you tailor your life cycle offerings to your customer. And we, last year, signed an agreement where we guaranteed uptime of the equipment. And as an example here in the U.K. with a railway company, the duration of the agreement is 27.5 years. You cannot sign an agreement like this unless you really kind of get the data to understand what you're doing there.

So in 2017, as I said earlier on, we really didn't have a digital organization. So again, the leadership team got together in March. On April 1, and this was not a Fools' Day joke, on April 1, we started the digital organization with 40 positions. Those were filled -- 3/3 of them -- 3/4 of them were filled by domain experts, by system experts from inside the company. And 1/4 came from the outside because for digital, we needed new capabilities there, so we started the digital unit. And today, we have digital products, whether these are applications, we started first with digitizing the customer interface there. And by now,

we have more than 2,000 assets connected. It's a KPI that I follow every week and every month very closely because, as I said before, there is more than 100,000 units out there that want to be connected.

2018 focus is continuously to connect the fleet, but we will also now embark into horizontal digital transformation. And what we mean by that is that we will go rigorously through every function in the company. And inside Power Systems, we talk about X of the future, so service of the future, which I will show to you on the next page, and sales of the future, factory of the future. And every one of these functions has to own the future picture and then we use digitalization to really kind of optimize the business. The digital team will be doubling in budget and the team size during the course of this year.

So here's a picture on services of the future. And I'm sure you have seen these pictures before. Again, we did have very little to nothing about a year ago. Many of the elements of this picture are in place. And for me, this starts with the customer. Our customers, for their equipment, want more uptime. And it's hard to see, but that makes them rest well, and it allows them to kind of spend time on their leisure. We, at the other end of the whole chain, we care about data because that data is worth to us a lot. It helps us to kind of drive the business, make the right decisions within the business and steer the business.

So this whole chain, if the customer is up there, he has -- he or that customer has their own operations center, and we are connected to this. So on the example of the train here in the U.K., these trains are connected. I could pull out my smartphone right now, and I could take a look where each one of these trains are operating. And we had 6 failures of the engines. That wasn't good. Good thing is we were able to predict failure #7 and avoid that failure from happening and, therefore, from disrupting the service of the customer.

So -- but now we, on our end, we have a customer care center. This is where the data comes together. There is a team permanently sitting there monitoring operations. And this team is fully empowered. If they feel there's a need to call Warren and get a plane orchestrated to get a part out there to a customer, they are empowered to do so. We didn't have to do that because, so far, we didn't need it. But this is the empowerment that team has to really serve the customer and make sure the equipment is in place.

Now down the -- downstream, it's very difficult for us to have all of the spare parts available. Wouldn't it be great for us to know the failure rates based on the utilization of the assets and have an optimized inventory management? That's the next step in the journey on services of the future. But as I said, a lot of the elements of this picture after 1 year of work are in place already.

Turning Power Systems into a solutions provider. Now a solutions provider, it is a little bit more than selling product because you're selling all of a sudden solutions. And it's a different thing for the sales force. And that's why we talk very often about we need to develop new capabilities in the business. This is more about consulting the customer. So the way this works today, our people look into the spec, they negotiate with the customer sometimes about elements of the spec, but in the end, it's a product or a gen set or a marine system.

Well, in the future, a lot of the customers, especially in the energy market, asking for wider systems, and so we need to kind of develop our sales force and develop capabilities for them to become and act more like consultants. And this has implications on the product side, where we talk more about integrated propulsion, where we will talk more about microgrid. A microgrid is the combination of a controllable energy source and a noncontrollable energy source, like photovoltaics or wind, an energy storage device and an intelligent control.

Now today, we do with gas and diesel-powered generators one element of that one. We have started to develop a battery storage container made by MTU. And I can tell you, it's been a very -- it's a very interesting product, short time before launch. On the capabilities, we need to kind of embark more on project development. And then we spoke already about life cycle services and the advancements we need to make there.

Coming to the end of my presentation. Where do I see the Power Systems business in medium term? An average sales growth of 3% to 5% above GDP. Why do I feel this is possible? We will be -- we will continue

with what we have developed and what we have in our pipeline to take share, and we will also embark in new applications that will allow us access to markets where -- that we don't play in.

Operating margins, I can imagine us being in the mid-teens. Volume is our friend, and we have more volume than we had in recent years, so good factory absorption, and I can see this trend continuing on. Localization also will help because it will allow us to kind of get parts at a lower cost. And I think 1 year ago, we were trailing -- I was a bit jealous on some of the peers in the industry. It was kind of hard to imagine that we would get close to them. I think we have surpassed many of them within 1 year, and that's why I'm confident, if we just stay the course and optimize cost in the business, we will continue on that trend.

The next line is a very important one to me, given all of the environmental challenges there to kind of lower our dependence on diesel as a main product and, therefore, 10% to 15% in the midterm need to get generated out of a non-diesel product line. And then I think also very important to change the split of OE and service more towards the 60:40 range, eventually even kind of doing better than that. So this won't happen overnight. But I said, I can see us going there in a couple of years.

Last page. I hope I gave you a good impression of Power Systems and that you now know a bit more about this business. I really think this is a fantastic business. It has fantastic customers with a great leadership team in Power Systems that has just started to work together to transform this business. There's more to be expected from us. And there is a strong drive amongst the leadership team to transform this business into a solutions provider. I think we already have a very good position in the marketplace today, and we are a worthwhile investment. Thank you very much.

Harry Holt

Chief People Officer

Right, hello, everybody. I'm Harry Holt, I am the Chief People Officer in Rolls-Royce. I've been in the company for just over 7 years. I've held a number of different appointments, in our headquarters, in our Civil Aerospace business and most recently running our Nuclear business division.

Before I joined Rolls-Royce, I had another career. I was an officer in the British Army for over 20 years. I commanded men and women on combat across the globe, and I also held a couple of senior jobs doing policy and strategy in the Ministry of Defense.

I've held this role for just shy of 6 months, and I have to say it's a very invigorating and exciting role to have for 2 main reasons. First of all, I always think that there's no such thing as good or bad companies or good or bad organizations. There's only, really, good or bad people and good or bad leaders. So being the Chief People Officer, accountable for making sure that we've got the right people and the right leadership, seems to me to be quite a stimulating and rewarding place to be. And the second reason why it's an exciting time to be in this position is because of the restructuring program that I'm about to talk about because I believe that it's a fantastic opportunity for Rolls-Royce's future.

So I'm going to talk about restructuring. I'm going to talk, first of all, about our approach. I'm going to talk about structure, culture, processes and people. And then I'll leave you with our next steps.

So I think Warren was crystal-clear on the requirement for restructuring. After a period of really significant investment by the company, first of all, in R&D to develop a whole series of new civil aircraft engines; and secondly, in the capital expenditures, so that we've got the wherewithal to deliver those engines at volume, we now need to reposition ourselves, make ourselves fit for purpose for this next phase in our cycle so that we can generate the right returns on the investments that we've previously made and also so that we can achieve our longer-term strategic ambition of being the world's leading industrial technology company.

So with that goal in mind, how have we gone about trying to achieve it? Well, we have looked at more than just structure. We've looked very thoughtfully and strategically at structure, culture, processes and people because of course, the 4 are highly interconnected. And it's only by simultaneously changing all 4 that you can bring about the sort of lasting change that the company needs.

If you just change structure, there's a real danger you just end up with the same old people operating the same clunky processes in the same old culture, but with just some different reporting lines. And we're categorically not going to do that. Instead, we focused on culture, structure, process and people, applying those 4 common principles of pace, simplicity, efficiency and empowerment, looking not only at where we can potentially reduce activity and take heads out of the organization, but also where we may wish to enhance operational or strategic capability.

Now Warren has been very consistent and clear on the principles of pace and simplicity. They are both really states of mind, states of being, where in any given business circumstance, you ask yourself, how can we go quicker, how can we make this simpler? And efficiency is more than just doing the same for less. It's also about potentially doing more with the same resource. And empowerment is a theme that comes across very strongly every year in our annual employee opinion survey, when our people tell us they don't feel fully enabled to do the jobs that we ask of them, we have a tendency to centralize and elevate decision-making as opposed to delegate decisions to those people that are best informed and most capable of making the decisions in a timely manner. So we need to invert that traditional hierarchical command and control pyramid, and that's a theme I'll return to later on.

The outcomes are twofold: firstly, to generate better returns on the order book and the product portfolio that we have today; but secondly, to make Rolls-Royce more strategically resilient. And by that, I mean more capable of absorbing the inevitable ups and downs that happen in our market and, at the same time, to invest in new technologies and growth for our future. So fundamentally, the restructuring program is a risk-reducing measure for the company's long-term future.

So what have we actually been doing since January when we announced our restructuring program? Well, we've been doing a very great deal. With the help of Alvarez & Marsal, who joined us in early February, but firmly led by the new executive leadership team, we have been doing a really rigorous diagnostic of the organization, which we've now largely finished. And we've also been developing plans for implementing the new structure.

We've had a team of about 80 people working on this full time, about 50 from Rolls-Royce and about 30 from Alvarez & Marsal, running a number of different work streams, each one of which is sponsored and owned by a member of the executive leadership team. And in fact, the executive leadership team has met almost weekly to review progress on those work streams. We've managed to rack up over 3,000 man days of diagnosis and planning. And we've used a number of tools, we've used a number of A&M proprietary tools. We've used a number of industry standard tools, like SQL and Tableau, to help us to identify and visualize where we've got areas of duplication, where we've got areas of inefficiency. And we've applied those tools to over 18,000 different job types, and that's given us sight of about 2,000-or-so things that we can either completely stop doing or we can significantly change.

We've also been doing analysis on our structure. So we've applied these tools to our structure and discovered, for example, that in areas of the headquarters, we have up to 9 to 10 layers between the Chief Executive and the bottom of the organization, which is clearly far too many, and the new structure drives us down to about 6 or 7. Equally and linked very closely to layers, we've looked at our spans. And in some areas, again often in the central functions, we discovered that the average number of spans is down at about 2 or 3, which is clearly too low. And again, in the new structure, we'll push that up closer to 10.

We discovered a number of managers who don't even have any direct reports. We discovered a number of technology projects that were still going, but now they seem to be misaligned with the original business objective that conceived them. As well as all this structural and activity analysis, we've also looked at the health of the organization, conducting an organizational health diagnostic, and I'll return to that later on.

I think it's worth saying that from the outset, we asked Alvarez & Marsal to challenge us. We asked them to make us feel uncomfortable. And I'm pleased to say that 5 months in, I'm giving them an 11 out of 10 on that front.

So the outcome at a summary level, as you heard yesterday, is that we believe by changing the structure, simplifying the business, reducing the number of layers, increasing the number of spans, simplifying our

processes and, most importantly, overall, stopping nugatory activity, we can reduce by about 4,500 jobs. And broadly speaking, they come out of the functional support, first of all, functional support in the center. So the corporate center of about 4,300 will move to about 100 in our lean head office and about 2,600 in Group Business Services, and a number of functional support resource coming out of our businesses at the same time.

So let's look first of all then at structure. So the current and old Rolls-Royce structure was based on the traditional matrix model with a considerable amount of resource, about 4,500 heads in the corporate center grouped into the traditional functional groupings of IT, HR, finance, legal, et cetera. And partly because those functional groupings were in the center and partly because they owned and controlled the majority of their resource, they were far too dominant in the matrix. They were able to launch initiatives almost at will. They were able to insist on the businesses taking services that the businesses might not require. They had almost endless meddling rights.

And the cost of all that, all that resource and activity, was about GBP 1 billion per annum. And that was then recharged back to the businesses, allegedly in proportion to their size. But in reality, that meant that the businesses had almost no visibility of what they were being charged for, and they certainly had no control or ability to reduce it. The matrix was complex. Accountability was opaque. There was considerable scope for duplication of activity. And decisions took a very long time to reach because almost every one had to agree them. And if, heaven forbid, something went wrong, it was all too easy to legitimately point to somebody else in the matrix.

So the new structure is simpler, focused on 3 empowered businesses, each one of which focused on our customers, enabled by a Group Business Services organization, providing demand-led support services for those 3 businesses on a best value for money basis and a lean head office doing corporate governance, group strategy and ensuring that we fulfill our corporate responsibilities as a publicly listed company. And we show this very deliberately with the customers and businesses at the top, and funnily enough, the lean head office at the bottom because that signifies that inversion of the pyramid that I mentioned earlier on.

So I'll just go through in a little bit more detail, starting with our 3 empowered businesses, Civil, Defense and Power Systems, where we've made some minor adjustments to make them more customer-focused and to make us easier for our customers to do business with. So for example, putting naval marine and submarines into the Defense business means that our Defense customers now really only have to deal with 1 or 2 Rolls-Royce businesses as opposed to 3 or 4.

Our empowered businesses will be the absolute mainstay of the organization. It will certainly be where the vast majority of our people reside. And they will drive competitive and financial performance for the group. They'll have the maximum accountability for their own outcomes, consistent, of course, with overall corporate governance, the group strategy, shared value across the group and our corporate responsibilities. What that does mean is they now have accountability and authority for their P&L. And most importantly, they get control over the support services that they require and visibility and control of the costs of those. They now get their hands on all of the resources they need to really continuously drive productivity, quality and performance improvement as well.

Now as Warren said, we are very clear that we're not creating 3 independent fiefdoms. The businesses will also share the same business model. They will all be developing advanced technology to apply to system solutions for our customers that we then service through life. They'll continue to collaborate and learn from one another. Power Systems, for example, being able to take advantage of the decades of learning that we have in our Civil business on engine health monitoring and long-term service agreements, so that they, too, can extract greater value out of the aftermarket. And our Civil and Defense businesses clearly share the same core gas turbine technology. They share a number of the same suppliers.

Enabling those businesses, we have the Group Business Services organization, where we are going to effectively pool our support services, so our professional and transactional services, into one entity to drive value across the group. That will have a real culture of customer service provider and a mindset where services are driven solely by customer demand and then measured solely through customer satisfaction. It'll have a culture of continuous improvement, looking to continuously enhance value through

process standardization, process simplification, leveraging the obvious economies of scale and then, of course, taking advantage of outsourcing, offshoring and increasingly, robotics and automation.

Interestingly, it gives us an opportunity for the first time to really create a multifunctional, multi-process, end-to-end capability, and that's a bit of a mouthful to say. What I mean by that is that we have some of our big processes, like Source to Pay, where at the moment, you have different functions manning -- managing different discrete elements of that process and, therefore, managing all of the handoffs and interfaces between them, which is unduly complex. In this new model, we can put those people together into one coherent team to manage and improve that process genuinely from end to end.

I think Group Business Services will grow. I think the scope will grow as we learn and as we bring in new capability and as the businesses get used to working in this new model. And it will certainly be a very exciting opportunity to build and grow global and diverse talent.

The lean head office, and you may spot that we've got a leaner font on the word lean, just in case you'd miss that point, based in London but in a new location, a new smaller location, more accessible for the majority of our people, closer to King's Cross. And that will provide the senior leadership for the group. It will provide the group strategy. It will ensure the disciplined allocation of capital consistent with that strategy. And of course, it will continue to provide corporate governance, control and assurance.

So moving on to culture. So culture, it's such a nebulous concept, isn't it? But we all know that it is very, very important. I think the saying goes that culture eats strategy for breakfast. So in the same way as we conducted an analysis of our structure, we've conducted an analysis of our culture using an organizational health diagnostic tool, using our annual employee opinion survey and using Alvarez & Marsal to conduct a number of focused interviews for us.

And the first thing that came out loud and clear is there is plenty about our culture that's really laudable and really fantastic and we need to preserve and enhance. We need to preserve and enhance that sense of pride that all of our employees feel for working for Rolls-Royce, and that engenders a fierce sense of loyalty to our company. We have a consultative and inclusive atmosphere, and that engenders very high degrees of innovation. But equally, there are some aspects of our culture that we certainly need to change, and I've just listed the sort of to and from on the right-hand side of this slide.

So first of all, we revel in complexity, and we need to get much simpler and much clearer. So we have a thing called the Rolls-Royce Management System, which is designed to provide people with the processes and procedures that they need to follow to get their job done. That feels like an eminently sensible thing to have. But when you look inside it, you discover we've got 167 group procedures containing 751 different steps, which are governed by 6,955 different rules. And if you look even further, you can find 3,424 embedded links to take you to separate documents, providing how-to guides and local work instructions. And in fact, if I printed it off and brought it here today, I'll have to cut down 28 trees to produce the 5,450 sheets of A4 paper, and that's printing them on both sides. That is what I mean by reveling in complexity. Maybe it's because designing and building the world's most efficient gas turbine aero engine is actually a pretty complicated thing, otherwise, everyone else would be doing it. We somehow believe that complexity is an end in itself. And clearly, it isn't, and we need to become much simpler and clearer.

We have a tendency to gold plate and duplicate. The Rolls-Royce solution is not often -- not always a good moniker. I remember running the Nuclear business. We made a small acquisition in North America for about \$5 million to \$6 million, only to be told by our own people that we were going to have to spend considerably more than that to bring the single facility of this new business up to Rolls-Royce's group property standards. And this was on a building that had been cleared by the U.S. regulator to handle nuclear contaminated material.

We have a culture where we tolerate low productivity and poor performance. Last year, less than 0.1% of the workforce left due to poor performance, or put some numbers on that, that's 1 engineer out of a population of about 17,000. I know we have some really great people, but they can't all be that good. So a much stronger performance management culture is where we need to get to.

One of the reasons why the performance management culture is poor is because of the lack of accountability in our structure. It's really difficult to put your finger on someone and say, this was your accountability, this is how it's turned out, here are the outcomes, good or bad. And of course, the stories of internal approvals needing 25 or 26 signatures are more than just sort of anecdotal. They are symptomatic of an organization that shies away from individual accountability and somehow thinks that the more people that can take shared accountability, the better the outcome. And we all know from experience that it's often the reverse that applies.

And then last but by no means least, a lack of cost awareness. And of course, the danger of giving you lots of stories here is that you come away thinking that we're profligate, which we are not. We actually have a lot of very good people working on cost reduction very successfully day in and day out. But we still have too many aberrations where we seem to incur ridiculous cost just because someone, normally acting out of their best of intentions, thinks that they're upholding a group policy or standard. Again, in my last business in Nuclear, I discovered that 3 people had flown all the way from Bolton to Grenoble simply to erect a Rolls-Royce sign because they didn't trust a local contractor to be able to do that consistent with Rolls-Royce's branding policy. So we haven't yet got the sort of cost-conscious mindset that we need.

Now clearly, changing culture takes time. It's not going to happen overnight. It takes strong leadership. So the new leadership team that we have is really driving the cultural change. We've launched our new behaviors, our ABCs, as we call them, so be agile, be bold, be collaborative, be simple. And those new behaviors are woven through our new leadership expectations. And we're increasingly judging people, judging leaders on how well or how badly they can live up to those expectations. And that will clearly have an impact on their performance appraisal, on their rewards and, clearly, on their longer-term prospects within the company.

And as I mentioned earlier on, we are changing the leadership model, seeking to move away from that traditional hierarchical pyramid, to invert that pyramid where leaders are less focused on how they control others and more on how they can build and develop and enable their teams to solve the problems that are in front of them. We call it leadership through people. I think it was Steve Jobs who says, "It's not clever to hire smart people and then tell them what to do. We hire smart people so they can tell us what to do."

So our processes and systems are clearly another area which can help to shift culture. And of course, we need to simplify our processes. We need to reduce the process burden, otherwise, we can't reduce by 4,500 jobs, or at least we can't unless we want to have an organization that's got fewer people in, simply working twice as hard to keep the old clunky machinery going.

So we've looked at a number of our processes, of which we've got several hundreds, many in the Rolls-Royce Management System, many elsewhere. And we've applied the 4 simple principles of stop, simplify, improve and automate. We've started with some of the biggest first, and I'll just give you a couple of examples to show you what we've achieved, but also to show you the opportunity for future achievement.

So the management system I spoke about earlier, 167 group procedures, 44 of those procedures had to do with how we manage customer relationships and the services that we provide them. By putting together a small team, applying some good lean methodology, applying a good dollop of common sense, we've managed to reduce those procedures down to just 18. And more importantly, we've reduced the 1,065 rules governing those procedures down to less than 40.

We've also had a lot of success with indirect procurement. 3 years ago in 2015, we spent about GBP 2.7 billion per annum on indirect procurement using very outdated systems that lacked pace and lacked transparency.

Over the last couple of years, through a project called IPEX, indirect procurement excellence, we've introduced a new world-class source to pay digital platform called Coupa, which is integrated across our ERP systems and across our major geographies. And at the same time, we've upskilled the buying teams and simplified our processes.

And the outcome has been very pleasing. We've managed to reduce the time it takes to process purchase orders by about half. We've managed to exceed the 5% industry benchmark savings in the various indirect

commodities that we procure. We've reduced the total spend down from about GBP 2.7 billion in 2015 to a target of GBP 2.3 billion this year. And we've done all that with a team that's 23% smaller than it was. So it shows you what's possible.

We've also tackled our annual budgeting cycle, which Stephen quite rightly is very pleased with. Up until recently, our annual budgeting cycle took us 10 months. We were in the cycle from April through to February. It involved over 10 -- well, tens of thousands of different spreadsheets all being developed bottom up. And you can imagine the number of man-hours that went into that. And at the end of it, in February, we then had a locked and pretty static budget. So by changing our approach, swapping all those thousands of spreadsheets out with one simple tool, driving the budget top-down based on a few simple value drivers, we've now shortened that process to just a couple of months, September, October. And because you can change the assumptions on the value drivers, it is actually a dynamic tool and you can update your forecasts whenever you so wish.

All that is a sort of corporate office process improvement. Clearly, the businesses continue to drive improvement on the shop floor, in our operational processes, where we continue to get really good results through a combination of lean methodology, but importantly, by empowering the teams and leading in that different way, leading through people.

So for the XWB, for example, we've managed to reduce the snags on the build line by 27%, simply by linking the engine fitter with the engine inspector by a new IT system, so that each time the engine inspector sees something that's wrong, the engine fitter that caused the fault gets instant feedback. That was more than just a system improvement, of course. It's a cultural improvement where we work with the unions to make sure that the fitters were really embracing a culture of continuous improvement, desperately trying to drive the snags down and the product quality up for our customer.

Sticking with the XWB, obviously, our biggest volume engine, we've managed to drive the turnaround time, turnaround time is the amount of time the engine spends on the testbed before it gets shipped to the customer, from 58 hours down to 22 hours, the Holy Grail being to get it down to 15 hours because if you can get all our large engines down to that sort of level, then we don't need significant additional testbed capacity and a single testbed is about GBP 70 million to GBP 80 million of capital expenditure. So some of these simple operational process improvements, as well as clearly improving our productivity and customer satisfaction, actually can help to lower the overall investment bill for the company.

So you can have the best structure in the world. You can have all the best processes in the world. You can have the best culture in the world. But if you haven't got the right people in the right jobs with the right skills and the right tools at the right time, and most importantly, with the right leadership, you are doomed. So our people strategy is absolutely essential to the overall restructuring and it includes 4 elements that you can see here on this slide.

So first and foremost, we need to enhance our leadership capability across all levels of the organization, from the top to the bottom; and at the same time, change the leadership model to one where we lead through people and we enable our teams as opposed to controlling them per se. And we have rolled out, as I mentioned, new leadership expectations, and we're also going through a complete refresh of all of our leadership learning and leadership courses, not only so those new expectations are embedded in them, but also so that our leaders get a license to operate, as it were, before they move to the next level of leadership.

Linked closely to that is improvement in our talent management to make sure that we've got the right leaders in the right place at the right time, and also to improve and strengthen our succession planning.

Three areas of focus here. So first, to ensure that our leaders really understand that identifying and developing talent is one of their core accountabilities. Secondly, being much more proactive and systematic about how we manage people's careers, moving people across the company so that they can get the right experiences and grow the right capabilities so they can fill some of the biggest jobs in the right time frame. And then thirdly, being slightly less risk-averse and conservative in some of our appointment decisions. And obviously, as we go through this restructuring phase, we've got a particular focus on keeping and promoting our key talent.

This will all help with our diversity agenda. Diversity is important to us, not only to make sure that we've got access to the largest possible pool of global talent, but it's also important because it's only by having diversity of experience and diversity of thought that we can be as creative and as innovative as we need to be to succeed. So diversity is all about creating better business outcomes for Rolls-Royce.

And then finally, capabilities where we have certain capabilities where we're strong today and we need to preserve them. So we do have deep functional and technical expertise that we want to preserve. We are innovative and we certainly need to preserve that. But there are other areas which need enhancements or indeed growth. We need more business and commercial acumen across the organization. We need stronger program management in all of our businesses. And as we pursue our new strategy based around the 2 pillars of electrification and digitalization, we clearly need more electrical skills and data scientists in the organization.

So next steps. So yesterday, we made our announcement. That really signaled the end of the diagnostic phase of restructuring. We've now very firmly moved into the implementation phase and we will be beginning consultation with our people. You're familiar with the overall number of 4,600, and broadly speaking, we would expect about 1/3 of those jobs to be lost this year and the remainder to be lost during Phase 2 and Phase 3, complete by mid-2020.

4,600 is actually a very big number. I think it was Stalin who said one death is a tragedy, a million is a statistic. And even though, thankfully, we're not talking about life and death here, we are talking about peoples' livelihoods. There are real people behind this slide with real families, real dependents and real hopes, dreams and fears. And so how we as a company treat them is of the utmost important (sic) [importance]. We will absolutely treat them with fairly -- with fairness and respect. We will make sure that we involve them as indeed we have done over the last few weeks and months. We will involve them and their representatives at every stage of the process. And where we are selecting people into new roles in the new organization, we'll make sure that that's a completely transparent process based solely on merit.

All of that is important clearly to the people that are going to leave. But it's actually equally important to the people that are going to stay behind because it sends a very, very powerful signal of the sort of company that we are and we will remain.

So can I just leave you with 3 messages? So as Warren said, having stabilized the business, having created and built and developed a new leadership team, we are now ready for this restructuring program. And it is a program that focuses not just on structure, it's actually a really fundamental change to structure, culture, people and processes. The second thing I'd like you to take away is it's only by stopping, simplifying, improving and automating our work to reduce the overall burden on the system, that we can let these jobs go. And then the final thing is that this is all about better results today, but it's also about preparing ourselves and building ourselves so that we're better positioned to seize and exploit the opportunities in our future.

Thank you very much, everybody. I think we have now got a much needed coffee break and not Stephen.

[Break]

Stephen Wayne Daintith
CFO & Executive Director

Okay, I think we're all set. Morning, everybody. My name is Stephen Daintith, Chief Financial Officer for Rolls-Royce, been here just over a year.

This session is around delivering the returns, and I think just to put sort of Rolls-Royce in context, we're a growing business. We reported good growth in 2017, we expect to report good growth in 2018, revenue growth, and we expect that revenue growth to continue over the next few years as well. We're also coming out of a significant investment cycle. So we're entering the phase now of delivering the returns on that investment cycle.

And today, we're going to share with you our 2 KPIs that we'll be tracking most closely to measure the success of those returns. Number one is cash flow returned on invested capital, I'll talk quite a bit more about that a little later; and then cash flow per share. And just to give you some context as to how we've built this model up and Harry alluded to it as well and I talked a little bit about it a year ago at the half year results, we're building and have built within Rolls-Royce a driver-based approach to modeling our business. So X times W divided by Y equals Z with the 3 key drivers there, using that as an example, to get to an absolute number. And that way, we can better track performance and delivery metrics, and very much as Andreas was talking about in his business in Power Systems, tracking our progress.

So we've developed this model and this model allows us to develop a rolling forecast for Rolls-Royce, whether it be over a 5- or a 10-year period with great detail behind it as well. Clearly, a lot of assumptions driving that, but that's the essence of where we're trying to get to. And in time, this rolling forecast will in fact replace the budget process because we'll always be updating our model on a driver-based approach.

What we're going to hear about this morning are the 3 key drivers. There are plenty of others, but 3 key drivers to deliver those returns. At the end of this session, there'll be about an hour for Q&A. So just to let you know that we won't finish immediately after me. There is an hour set aside for Q&A.

Right, let me get into the presentation. So what are the key drivers of the increased returns? And there are 3 significant ones: reduced OE cash deficit per engine; the improved aftermarket cash margin; and what we're describing as bending the fixed cost curve. Important at the top there, underpinned by significantly increased returns across our 3 businesses. Andreas talked about those mid-teen margins for Power Systems. We expect something very similar for our Defense business as well. And our Civil business, perhaps not quite at that level, but certainly moving up into the high single digits as Civil progresses over the next few years. All 3 of those will drive and result in cash return on invested capital growing. We've given a midterm ambition this morning around what that means. And midterm ambition, you should be thinking 5, maybe 6 years, that sort of time period because I'm sure that question will come up.

So first of all, looking at this key driver of OE cash deficits. There are 3 key factors behind the drive to reduce the cash deficits on our original equipment. As you know, we sell off civil engines at a small deficit today of about GBP 1.6 million cash loss per engine. And through 3 key factors of pricing, cost and mix, we expect that to come down significantly over the next 5 years and I'll be a bit more explicit about that on the next couple of slides.

The Trent XWB-84 in particular, we're highlighting as a breakeven engine by 2020 and that's a key driver of part of the journey that we're on. And looking at the cost reduction side, in particular, as a contribution to that reduced cash deficit, there are 4 key drivers of that: sourcing, engineering change, commercial terms and partnering and then how we manufacture the OE.

Let me just give you some practical examples of what's happened within Rolls-Royce. So the Trent 7000, for example, we've transferred the pipe supply from Spain into Mexico. We get about a GBP 50,000 benefit per engine from that. On the right-hand side, there is a fan case. That's this part of the engine here. We've reduced significantly the amount of raw material that we get before we start forging it to produce the finished design. We've reduced it by around 2 tonnes lower per engine of raw material and that again drives around GBP 50,000 benefit per engine. So there's 2 changes, GBP 50,000 each.

Commercial terms and partnering, this has been very effective. We work with our suppliers to get improved commercial terms for them, but at the same time better pricing for us in cost of the engine design. XWB-84 and 97, in particular, driving a GBP 20,000 benefit per engine from that collaboration working with our suppliers. We haven't always had a great reputation for working with suppliers at Rolls-Royce. I would hope that we've dramatically improved this over recent years or certainly over the last couple of years or so. I would say on this whole area as well, the civil team each year have a very detailed list of initiatives to pursue along these lines to deliver that ongoing opportunity of cost reduction in original equipment.

Method of manufacture is important as well. We have a large disc facility. Many of you may have visited it, up in Washington in the Northeast, big investment going in there. I'm going to talk this one in a second

when we talk about the cash return on our invested capital, and that's delivered a benefit of about GBP 30,000 per engine.

So when you pull all that together, what does it mean to us in terms of cash flow over the next 5 years? Well, our widebody installed deliveries are going to grow from last year's 444 to about 600 this year. And we lost last year, if you remember from the full year results, about GBP 1.6 million cash per engine. That GBP 1.6 million we expect to decline to about GBP 400,000 over the next 5 years. So we decline by GBP 1.2 million per engine. And using simple maths, we get to an average cash deficit reducing by that much and an incremental cash flow contribution to the group of about GBP 500 million per engine, number one of our key drivers.

Number two of our key drivers is the aftermarket cash margin and probably the single largest driver, certainly one of the largest drivers. The key factors around this one: the growth in the installed base, I'll show you the numbers in a second; the flying hour growth that will follow that growth in the installed base; shop visits and how we expect those to develop over time; the in-service issues. There'll be a lot around this presentation that we'll talk about the future and the good things that are going to happen but we shouldn't forget there is risk within our business. The Trent 1000, the Trent 900 is a very good example of the risk that is within our engines and their performance. We assume a certain level of performance. The Trent 1000 has shown that it doesn't always happen that way and we're accommodating it this year and next year and so on.

The risk and revenue-sharing partnership program shares as well. This is a significant part of the equation to take into account that we've modeled. This is going to grow quite significantly over the next few years as a proportion of our engines have a higher contribution of the partners that we've worked with to develop those engines in the first instance. So that's an important factor.

However, having looked at all of that, modeled it through, this is where we get to on our assumptions. So the installed base will grow from 4,400 to around 6,500. Here are the assumptions that we've taken, around 550 to 600 deliveries per annum, and this won't be linear completely over the years but it's pretty -- that's a good guide. And we have about 100 to 150 retirements per annum when we look throughout the aging of our fleet and so on as well.

We've got 2,400 widebody engines on order. There's the 6,500 we end up with in 2022. And this should drive a 10% growth in engine flying hours by 2022, getting us to that 6,500 number.

Major shop visits, what's going on here? Well, these are the major shop visits, first of all, and then we've got check and repair visits. The major shop visits are when the engine reaches the point of its regular service interval, whether that be 5, 6, 7 years. In 2017, we had 240 of those. In 2022, we're going to have around 650. That's a reflection of the size of the growth of the installed base, but also looks at the maturity of the fleet. We have a younger fleet than most as well, which is helpful.

The check and repair visits are the Trent 900, 1000 type visits that are out of the regular sequence of scheduling. So well over half the 350 number in 2017 was down to the Trent 900, 1000. So that's the area of most uncertainty in terms of how that develops. 2018, for example, that number will grow to maybe 500, 600 check and repair visits, depending on how we get through the inspections of the Trent 1000 engines.

The average cost of each of these varies considerably as well. As a good guide, you could use GBP 1.5 million also for the cost of a shop visit, a major shop visit. And in 2017, GBP 400,000 per visit as a guide to what that number looks like as well. But I'm hoping you can pick up a degree of the granularity that have gone into our modeling to help us get to the midterm ambitions that we've shared this morning.

Two additional important levers down the bottom here, maximizing the time on wing but also driving down the shop visit costs, both key contributors.

So what does this mean when you put it all together? We are aiming to exceed GBP 2 billion of widebody cash margin over the next 5 years, growing from GBP 1.3 billion in 2017 to GBP 2 billion, in excess of GBP 2 billion, over the next 5 years. And we've taken certain assumptions here. So there's the bit that I've just talked about in terms of the installed base. As a good guide, net of risk and revenue-sharing partner

percentage contributions, you should be thinking around GBP 500,000 per engine per year in terms of modeling this as a good guide.

We talked about major refurbishes. We talked about the check and repair. There are other parts of the aftermarket cost base that are outside of this driver-based approach, things like the cost of leasing engines for total -- for the TotalCare provision. Transportation costs are in that number as well. And also, the engine health monitoring business as well and activity is in there.

The products in-service costs, these are any additional costs that might creep into the margin in respect of items like the 900 and the 1000.

An important point: as often sort of speculated in the commentary as to when this growth might slow down, we've modeled through the '20s to see based on what we think deliveries are going to be, what we think retirements are likely to be, looking at the aging of our fleet, and we actually see continued growth throughout the 2020s in absolute terms. Growth will slow down. The rate of growth will slow down as the installed base grows and starts to flatten out, but also as the shop visit-cum-incidents per installed base starts to get higher as the fleet gets older. So the growth will slow down, but it will carry on growing throughout the 2020s. That's an important point.

The third item, bending the cost curve. So what do we mean by that? Three key factors that will help us bend the cost curve: the restructuring program that Harry talked through a little while ago; the investment cycle, the significant investment cycle that we're coming out of; and then the capacity that we've now built into our production capability to deliver those 600 engines a year.

There are 4 components to what we call the cost curve. Commercial and admin costs, that's indirect expenditure. That's the amount largely that Harry was talking about in respect to those recharges across the businesses. Net R&D cash spend, you'll be familiar with that number, whether it be across civil, Defense and Power Systems and we'll show the profile of that in a second. And then certification and participation costs. These are costs that go in, first of all, when we test the engine prior to delivery to the customer, that's certification. Participation fees are the fees we pay to an airframer to participate on a program. And then finally, capital expenditure. These are the 4 areas of fixed cost, GBP 3.1 billion in total.

So first of all, bending the cost curve, the restructuring program. We highlighted yesterday GBP 400 million of net savings, run rate savings, by the end of 2020. It's driven by reduced fixed costs but also headcount, simpler, more responsive business structure and efficiency and effectiveness around the organization. Much more simple, less complex, lots of things that we're going to stop doing that we do today and deliver a more streamlined and simple and effective business.

The savings will flow through. Just thinking about timing, I think there'll be a small portion in 2018. Clearly, we've got a lot to do this year to start delivering. We have a target of 1/3 of headcount by the end of this year, but only a small portion this year. '19 and '20 will be the 2 years when we start to see those savings really flow through. We'll share more at the half year on the phasing of the savings. In terms of 2,000 -- in terms of the costs of the restructuring program, we have a GBP 500 million cash cost estimate to implement, largely redundancy costs, but a decent portion of system investment to facilitate the delivery of this program. And you should be thinking roughly around, I would say, 80% headcount redundancy costs and the balance being the systems investment as a rough guide today. Again, we'll update you more at the half year results.

In terms of timing, around 25% of that in '18 and then the balance over '19, '20. I'd probably say about sort of the remaining 50% -- or maybe 60% in 2019 and then remaining 15% in 2020 as a rough guide. Again, we'll give you updated estimates as we go along.

The treatment of this, we'll treat the costs outside of underlying profit and free cash flow. So we'll disclose the amounts, but we'll take it outside of underlying performance. Timing and impact, we'll confirm again with the half year results. GBP 400 million of savings, GBP 500 million of costs, so a pretty good payback.

So commercial and admin costs. This is the profile over the last few years of how these indirect costs have moved. '14 and '15 was quite a significant reduction driven by the absence of the Energy business but also by the fact that in those years, a bonus was not paid, to be frank, due to the performance of the business

at that time, and that's quite material to our numbers. That's about GBP 100 million or so of that number across the group, but relating again to that 1.1 billion that we see today. We expect those costs to reduce to around 5% of sales. That's our ambition, that's our midterm ambition. And largely driven by the GBP 400 million of restructuring savings that we announced yesterday morning. Previously, we had operated at about 8% or so, dropping to around 5%.

R&D. Putting this in context, our R&D, net R&D, has grown by -- from GBP 700 million to GBP 1.2 billion over the last sort of 7 years or so. Again, putting it in context, we have brought to the market 6 new civil aero engines during that period during the last 10 years. On average, Civil NPI has been around 50% of group R&D spend. We're unlikely to see that period of activity again over the next 10 years as we move into a service business after having been an R&D, an OE business, very important point. So whilst the trajectory of that exact curve, don't read too much into the slope of that curve, the point is here that we do expect net R&D to decline rather than grow over the next few years. We will still be investing, as you might imagine, significantly in products for the next 10, 20 years, but not at the absolute amount level as we've seen in recent years. That's the key point.

The ambition, to decline to around 6% of sales as the pace of Civil NPI slows down. And then at some point, we will again move into an investment cycle, but that won't be in the next sort of 10 years. We won't see this sort of activity again. We're very much moving into an aftermarket space.

CapEx. Similarly, there's been a 60% increase in CapEx since 2010, up from 3% to 6% of sales. We've built in the capacity for our business to deliver those 550, 600 engines a year. So it's important to put Rolls-Royce in context of the investment cycle that we've been in over the last 5, 10 years. 60% growth, we expect to decline to around 4% of sales on a go-forward basis. That's our midterm ambition.

So bending the cost curve, what does it mean when you put it all together? We expect -- this is the rise from 17% to 23% of sales. Our ambition is, as we'll show on the next slide, is that this comes down significantly over the next few years. Putting this into practice and showing the numbers, we decline from around 23% of sales to 15% of sales over the medium term.

So another of our 3 -- the third of our key drivers. Contributes around GBP 500 million per annum. So OE, around GBP 500 million; aftermarket, around GBP 750 million; bending the cost curve, around GBP 500 million. All 3 of those will then help drive the improved cash return on invested capital and cash flow per share.

Working capital is a key consideration. It is a feature of Rolls-Royce. It will continue to be so. We are a negative working capital business, but we have not included a material contribution from working capital in the modeling that we've got over the medium term.

So capital allocation. How do we approach capital allocation? We have 4 key priorities across Rolls-Royce as to how we allocate our capital. Number one is a strong balance sheet; number two is to fund organic investment; three is our reward payment to shareholders; and four is M&A.

Let's look at those in a bit more detail. So strong balance sheet, why is it important? Well, credit rating matters for 3 key reasons. Number one, customer confidence. We do have, as we showed on those previous charts, long-term investment cycles for our aerospace programs, multiyear service contracts. Our customers need to be confident they are investing in a strong and healthy business. Number two, our competitive position. The credit rating does matter. It does matter when it comes to our debt and our funding. It's important and it supports our ability to continue to acquire competitive financing. Thirdly, we run a very large hedge book, as you know, approaching \$40 billion, to manage our exposure to dollar inflows over the next 10 years or so. So a strong credit rating really matters. We have an ambition to return to a A rating. All my conversations with the rating agencies indicate that they, too, have an eagle eye on free cash flow and as do we, so that will be the key guide as to the rating agencies' view on free cash flow and rating.

Number two, funding organic investment. So how are we approaching organic investment or the R&D and CapEx of around GBP 2 billion that we spend today across the business? First of all, increased rigor on R&D and CapEx across the board. We have an investment review committee that meets now every month.

I chair that committee. The majority of the executive team also attend that committee. We run through all the investment proposals. We have -- these are the 4 metrics against which we assess the credibility and the traction of each investment that's being put forward: internal rate of return, net present value, cash return on invested capital and also the maximum negative cash flow to the business.

We prioritize our projects accordingly as well, and I was asked a question earlier on around sort of Power Systems getting investment in the business, for example. Well, it gets -- there is not one business that's favored. It's the returns that we favor and the visibility and credibility of those returns. So we shouldn't think necessarily that this is a Civil Aerospace-dominant business in that respect. We have a suite of metrics providing us the balanced appraisal, you'll see them there.

We include within our investment proposals now mandatory minimum contingencies. There has been a, I would say, a streak of optimism in previous investments that have taken place, which have caught us out.

Demand and cost scenarios are assessed to measure sensitivity. So we carry out rigorous sensitivity analysis to see how sensitive a proposal is to a particular individual assumption. We view them quarterly to monitor progress, and they must demonstrate a return 5% above our weighted average cost of capital of 10%, which is the group. So we're targeting a 15% cash return on invested capital for each investment. This was -- this process was introduced in 2017, so it's still pretty new the way it's working today. But I would hope and expect it to make a significant contribution to Rolls-Royce going forward, particularly how we look at our investments.

Let me just give you a couple of examples of things that have worked well and one example that -- of things that haven't worked well. So our Washington Disc Facility was a GBP 100 million investment. We delivered it under cost, a net NPV 24% better than plan, a 50% lead time reduction, and this was despite a 7-month slip in the program. Lessons learned, we used well-proven production methods, knowledge transfer from previous projects such as Crosspointe in the U.S. and dynamic on-spend phasing to cope with timing changes. So this one worked well.

What didn't work so well? Well, this was a new engine control facility that we built in Birmingham, GBP 35 million increase in cost. There was an investment cost of GBP 84 million, so pretty significant slip. A 2-year slip to the timeline. Pretty bad net present value. And 2 years post-launch, we'd underestimated the costs. A 12-month delay as well. 1 year later, that had got even worse. So lessons learned: increased rigor, segregated phases of breaking down our projects into individual time lines and milestones and put controls in place to strengthen the whole process through more rigorous and ongoing reviews.

Capital allocation priority number three, payments to shareholders. So this shows our dividend history over the last 10 years, rising from 14p through to 23p and currently back down at 11.7p per share.

Free cash flow will be the guide for us as to when we reconsider our dividend. That bullet point down here, that will be the key driver of how we look at our dividend and how a dividend might grow. We aspire to midterm 2.5x free cash flow dividend cover through the cycle. So this is our guide as how we're looking at dividend.

We are committed to restoring payments to an appropriate level for our shareholders. They have been patient, and we hope at the right time when free cash flow is at the right level and the balance sheet is strong, that we can then revisit the dividend.

Mergers and acquisitions, a key criteria that we use to assess M&A opportunities. Alignment with strategy, there's synergy potential across the group; value creation, again, linking in with that 15% cash return on invested capital; the cultural and management fit, but also our own balance sheet resilience, the ability to carry out and afford significant M&A. Technology, portfolio and growth are all key aspects when we assess the M&A opportunities that come our way.

So measuring our success and pulling this all together into KPIs, and this was an interesting part of the exercise as we approach and say, how do we translate into a couple of succinct and effective KPIs that we can use not just to report performance but also to manage performance across the business. There's no point having a cash return on invested capital KPI if you're not working that way within the business and

rewarding our people through that KPI as well. So it became interesting developing this one. We settled on these 2 and here's the reason why.

So again, around a year or so ago, I started here. I think then we made the point that cash flow was the key driver for us going forward of economic performance. Rolls-Royce in the past has, I think, largely been a profit-driven business and has benefited from long-term contract accounting through using a profit measurement. But its cash flow is the best and key indicator of economic performance. And our goal is to drive a cash flow culture across the group. We've made some progress with that. We've got a long way to go, but it's a key part of what we're trying to achieve.

So cash flow per share, this will be key to long-term incentive plans, and I would hope directly aligned with shareholders' interests.

Cash return on invested capital, it's a measure of investment efficiency. Let's just go through these 2 in a bit more detail. So cash return on invested capital, cash flow based, and this is the key aspect here, is that it's not just cash generation itself but it's asset efficiency. It's the return on the investment that we've put into Rolls-Royce, that its R&D and capital otherwise can be quite a lazy tool to generate cash flow. There's just cash flow itself per share in absolute terms. You're not looking at the efficiency of that investment. And that's the way we want to work as a business and get our business managers working that way as well.

So cash return on invested capital, how have we looked at this? A couple of things: we've worked a lot with Credit Suisse on their HOLT instrument. You'll all be familiar with the HOLT tool. So this methodology is anchored in HOLT, although it's not precisely the same as HOLT. HOLT starts with profit, we start with cash.

It's probably best if I start on the right-hand side of the screen here on the denominator. The denominator is the invested capital in the business, and here is how we've arrived at our denominator of GBP 18.7 billion invested in the group today at the end of 2017. So we've used a 15-year historic net R&D investment.

Most of these numbers, by the way, you can get from our annual report. And where you can't, well, the IR team will be helping the analysts show how we've derived these numbers. PP&E and software gross at cost, product, plant and equipment. Participation and certification costs are on the invested capital as are other intangibles. Working capital and provisions is in invested capital, and operating leases are in there as well. On operating leases, we've used a perpetuity valuation of current operating lease payments to arrive at that invested capital for operating leases. An important point as well is that the deferred income from our aftermarket is not in the working capital number.

Annual cash return. So then having decided what the denominator is, the invested capital, clearly, you need to approach free cash flow to make sure that you've got a right sort of apples-and-apples comparison. So free cash flow, we then remove and add back to free cash flow, net R&D spend, CapEx on product, plant and equipment and software spend, participation and certification fees, other intangibles. The inflow, outflow from working capital, adjusted for the -- that's not excluded from cash flow, just to make that point, and then operating lease payments. And we come up with GBP 1.8 billion of cash generation from our invested capital on a like-for-like basis. Anchored in HOLT and a 9% return, therefore, in 2017.

So what are we calling out today as our goal for the midterm? We've got a 15% target. Looking at that, its important context is how the business model works for Civil Aerospace. And we put in here a very simple illustrative example just to remind us as to how Civil Aerospace works for a typical 2,000 engine program. Typically, it costs us around GBP 1.5 billion, GBP 2 billion of R&D and CapEx for that engine program. We then have installed OE losses of around GBP 3.2 billion. So there's 2,000 engines at a GBP 1.6 million loss per engine currently have today. And then on a go-forward basis, over the next 25 years, we have around a GBP 10 billion aftermarket cash margin that flows through over the next 25 years. That's the most simple way of looking at the business model of Civil Aerospace.

So right now, we have quite a few engines that are just entering this phase of the cycle. There's 6 new engines that we talked about. Some are newer than others, but you -- hopefully you get the feeling of where we are.

So annual cash return on invested capital, how do we expect this to develop? Well, you'll see that we've declined quite significantly over the last 4 years from 17% down to 9%. I guess, one key point out of this is that we have been there before at high cash return on invested capital. Right now, the 9% shouldn't come as a huge surprise when you think about the dynamics of how the whole calculation and process works and the investment cycle that we're in at the moment and coming out of. So we're at a low for our cash return on invested capital. We expect that to grow over the medium term, 9% currently, and a 15% growth through the cycle.

So how are they going to embed it in our planning? Well, improved returns on current invested capital. It goes back to my earlier comments really, making sure that as we review all investments, they're at least achieving returns that support our cash return on invested capital ambition. That's how we're going to work as a business when we assess our investment.

Cash flow per share, very simple terms, this is much more simple, this one. We are dividing underlying free cash flow by the number of shares.

Just as a reminder, underlying free cash flow is everything before dividend and M&A and, currently, the SFO fine that we're paying off. Delivered by the 3 key drivers, but also underpinned by the 3 high-performing businesses.

Currently, our cash flow per share is around 15p. Over the medium term, again, you should be thinking 5, maybe 6 years, to exceed GBP 1 billion cash flow per share -- sorry, GBP 1 cash flow per share. That would be something.

I think one thing I would say in respect of this midterm ambition. The model is there. The metrics are all clear. The roadmap is clear. We've got a new executive team. We've gone from 14 down to 9 executives over the last 12, 18 months or so. Pretty much everyone is brand-new in the role. We have a team aligned around this ambition, determined to deliver it. But at this stage, it's just a PowerPoint.

And we shouldn't forget that. There is risk in our business, there's execution to deliver on as well. But there is a clear way ahead and it makes sense the way ahead, and we're all determined to deliver it in our own parts, but also collectively. And that's an encouraging place to be, acknowledging though that currently it is just a PowerPoint, and there's lots of work to do.

So hopefully, that's given you a good indication around our ambition. And now I'm going to hand you over to Warren for some closing comments before the Q&A. Thank you very much.

D. Warren A. East
CEO & Executive Director

Good. Well, thank you, Stephen, and nice to see everybody was awake for his rather ambitious cash flow per share target.

Anyway. I'm picking up where Stephen left off because, to summarize, it's all about execution. So Harry talked about the state of the way we have been doing things at Rolls-Royce. And that way that we've been doing things, call it culture if you like, has been very, very resilient.

We've had a few generations of Rolls-Royce management try to tackle this, and we've spent the last couple of years preparing. Because you can't just tackle it by wading in and cutting a few costs here and there because it doesn't go away. And that's why it's taken a little while to get to today. And as Stephen mentioned, a crucial part of that is the leadership team.

But I think we have prepared, over the last 2 to 3 years, to get to this pivotal point. And so even though it is just PowerPoint at the moment, and we all acknowledge the fact that the proof of the pudding is in the eating and it is really all about the execution, I believe we are now prepared to execute. We're capable of executing and we're determined to do so.

And there are a handful of things from this restructuring that we absolutely must do. And driving out unnecessary costs, more often than not, that's simply about stopping doing unnecessary things. Removing the complex and duplicative processes, well, Harry described quite a lot of those -- sort of the duplication that's there. So my favorite word, simplify, is really the next step to remove those processes, so that we can get on to the improve and automate phase, which is developing a real performance culture.

But behavior in that is key. And I'm looking for ownership behavior from the executive leadership team, from the senior leadership team and from the people in Rolls-Royce. And I think because we're building on a very, as Harry said, proud workforce that is totally committed to this company, I think we're standing in a great place to be able to do that.

So I hope you got the message from today, it's fundamental restructuring. This isn't a short-term thing. This is a moving from one phase of Rolls-Royce to another phase of Rolls-Royce. It's moving from building market share based on years of development through to using market share to deliver both returns and to deliver the sort of cash we need to invest to build ourselves a thriving future.

How are we going to do that? Well, it's about empowered businesses and freedom within the framework. And that's really how we're going to implement simplicity. And that simplicity enables the release of the benefits from all those past investments.

And we had a bit of debate about this slide internally, and I insisted on using the word release rather than realize because actually, those returns have been there all along, embedded in the business model, and they're there for everyone to see. But unfortunately, they've been trapped, captured by the complexity and the bureaucracy of our operation. So I deliberately used the word release because now we're about to do that.

And my second favorite word probably after simplify is rigorous. Stephen talked about a rigorous investment process. And too long, Rolls-Royce has had a fundamental confusion between detail and rigor. And that applies to our engineering, and it also applies to the way in which we've run the business.

Now the good news is we've been learning some lessons, and I'm pretty confident that the leadership team now fully understands the difference between rigor and detail. And of course, it's rigor that matters when we're developing success. So that rigorous investment process is very necessary.

And it's also necessary to remember that you can't just do change and then sort of pack up and go away. It has to be a continuous process. I talked about being a leading industrial technology company, which means moving the market. That means we constantly need to adjust and move and think about where we can do things to enhance our position vis-à-vis our competitors, and that's what will make us a really leading industrial technology company.

So now we're going to have -- the good news is we have managed to finish more or less on time on that bit. So now we're going to go to Q&A. I'm going to sit down over there. There are microphones, I believe, Jennifer? Yes. And it's got some, and we'll take your questions.

Question and Answer

D. Warren A. East

CEO & Executive Director

Yes. Let's go. We've got one here at the front, so let's start here. And then we'll go over that side. Have we got 2 microphones? Yes, okay. So let's have one over this side. Thanks.

Philip John Buller

Barclays Bank PLC, Research Division

Yes. It's Phil Buller from Barclays. Just a few questions, please. I guess it's obvious that it's a story of future cash flow. But can I just start a little bit nearer term and ask about 2019, please? There do appear to be a number of headwinds. And if I look out where expectations were, a couple of days ago, I think consensus was looking at around GBP 700 million or GBP 800 million of both EBIT and cash flow into 2019. I guess it'd just be helpful to know where we might be so we can help get the starting point of the bridge to the GBP 1 of the cash per share. The second question is on the shape of the underlying balance sheet leverage over the next couple of years, as EBIT is obviously a little bit volatile near term, cash flow is depressed near term and, I guess, IFRS 16 also [giving] some lease liabilities onto the balance sheet with debt next year. So where do you see leverage getting to coming to the end of 2019? And should we assume that there's no prospect of the 1.8 million of outstanding shares changing, I guess, over that timeframe? And longer term, I'm just keen to get a handle on your top-down assumptions of the market environment come the early to mid-2020s? Have the -- has Boeing launched the NMA? Do you foresee any pressure from transition pricing on widebodies in a high oil price environment? Do you think that there's any prospect of narrowbody aircraft impeding on North Atlantic routes and so on? I guess just the macro items which are outside of your gift to control.

D. Warren A. East

CEO & Executive Director

Okay. Thank you very much. Stephen is going to start with the first 2.

Stephen Wayne Daintith

CFO & Executive Director

Okay. So '19 cash flow. Well, as you know, we don't -- we haven't given guidance on 2019 and market consensus is just north of 4 -- GBP 700 million or so, I think. You know that we've guided to GBP 450 million free cash flow for this year and are on track to now go beyond the GBP 1.2 billion in 2020. So I'm not going to give any guidance on '19 right now. As we normally do, we'll do that at the full year results early next year. But I think, clearly, somewhere between those 2 numbers is where we would expect to be, notwithstanding the headwinds, as you've pointed out, on things like 1 or 2 areas of working capital, and indeed the Trent 1000. But the growth that we see in the business and the other opportunities around working capital, I mean, good old-fashioned working capital, we have over 100 days of inventory on the balance sheet, for example, that we're having a crack at. And in classic sort of debtors and creditors, we have opportunities there as well. So as it stands, I'm not giving guidance on '19, but it's somewhere, with a good step, towards the number that we're looking for now in 2020. The next one was balance sheet leverage. There are no plans for shares, by the way, no adjustments to shares in that calculation. I think -- well, clearly, free cash flow growth will be a key guide as we're looking at leverage and profit growth. We have announced the sale of L'Orange, which, of course, helps the balance sheet. I'm sure there will be a question later on, on commercial marine and where we are with that one, and we've got the potential proceeds coming from that as well. So I'm not concerned about the balance sheet leverage. We are -- rating agencies completely take into account those lease obligations that you referenced. And like ourselves, they're very focused on free cash flow, looking at the balance sheet and the strength of the balance sheet. Warren, do you want to do that final question?

D. Warren A. East

CEO & Executive Director

Yes. So the -- and the third question was about market environment, generally, narrowbody encroaching on widebody space with trans-Atlantic routes and so on. I mean, yes, of course, we can see that happening. And it's been a topic of some discussion for a while. When I've asked around about that amongst the customer base, it seems that there's always a trend to experiment and differentiate offerings and so on. But numeric -- when you set sit back and look at the numbers, then the potential narrowbody encroachment on these long-range routes is pretty much balanced by the widebody adoption on much shorter routes in populous parts of the world. If anything, probably more so in that direction at the moment, but that doesn't mean to say that it'll always exist like that. As for NMA, then, obviously, it's a hot topic of debate. And probably one question that you ought to address to Boeing rather than to us. My slightly guarded view about these things is that when you have a market in a couple of sectors and there seems to be a hole in the market, quite often there's a reason for the hole to be in the market, but that doesn't mean to say that things can't evolve. I think we need to go to this side, yes.

Andrew Edward Humphrey
Morgan Stanley, Research Division

It's Andrew Humphrey at Morgan Stanley. Just a couple, if I may. One is probably an extension on the NMA question, but framed in terms of the midterm guidance. So if we're talking about 5 to 6 years from now in terms of how you're framing that mid-term, we're talking about a phase where, as you say, you've come off the back of a significant surge in investment. You should be at a point where the majority of your installed engine base is relatively mature and operating in a steady state. And you may or may not be at the point where you're about to kind of go into another round of investment into the middle and end of the next decade. With that in mind, should we be thinking about the source of numbers you're targeting in terms of that midterm guidance, in terms of the cost to sales ratio as being mid-cycle type of targets? Or is that a kind of, this is how we think things should look when the business is actually operating pretty maturely and we've been able to optimize those cost ratios fully? And then I just have one more, if I may. The -- was just kind of a shorter-term thing, you've clearly talked about huge increases in terms of capacity to handle things like Trent 1000 and the compressor blades. I think you also talked about traveling workshop capacity and a 50% increase in blade capacity. Those clearly are things that happened, but you can't build another fab overnight, so clearly, there's a lot going on in terms of processes there. Could you maybe talk a little bit about how you're instilling those sorts of practices and the kind of things that allow you to engage in that sort of very effective crisis management into the rest of the business?

D. Warren A. East
CEO & Executive Director

Okay. So just on the sort of, long term, how much R&D and what's the effect on NMA in the middle of the next decade and so on. Clearly, if we don't do any new engine development, then the number is going to be a lot less than the target that Stephen had on the slide. We anticipate doing some new engine development. Whether it's NMA or whether it's larger engines based on our UltraFan architecture for widebody jets in the latter part of the decade, it's a combination of those. And many times we've debated the question in this sort of forum, and we've said, yes, specific NMA involvement will add GBP 1 billion to GBP 2 billion over a period of 6 to 7 years to the development. Now whether that constitutes actually an upturn compared with what we've just been through on -- or whether it is sort of sitting still within the range, I think it's probably more within the range. But having talked -- Stephen's had a chance, I'm thinking he can answer that through-cycle question. Before he does comment on the crisis management and the blade capacity and so on, 2 things. The blade capacity is something that we need anyway. What we've had to do is pull forward and accelerate a little bit some of the extra blade capacity that we need because of the size of the installed base, the size of the fleet that's out there that was on Stephen's slides, shows clearly the normal MRO. We need more blade capacity, that's the plan. It's been pulled forward a little bit because of the Trent 1000 issue. On MRO capacity, a similar thing exists, except that to deal with the extraordinary peak of activity around the Trent 1000 issue, we have had to go for some more temporary measures in terms of MRO capacity. And that's why we've been able to triple specifically the lines available to deal with the Trent 1000 issue. So this isn't -- we haven't suddenly tripled our overall MRO capacity, what we've tripled is the ability to deal with Trent 1000. It has surfaced some fantastic behaviors. In fact, I got a picture last night from our head of engineering in Civil Aerospace of a new engine stand that has been developed, approved, manufactured and sorted out all within the space of a

matter of tens of days, about 6 weeks. And this has been driven by the crisis, obviously. But in terms of being able -- looking forward and utilizing that sort of lesson, then we can develop from that because this engine stand can not only be manufactured in a very short period of time compared with normal engine stands. Compared with a huge cost of a normal engine stand, it's a fraction of that cost. And it's basically applying the principle of switching from heavy bespoke furniture to IKEA flat pack. And one of the other advantages of the IKEA flat pack is that you can ship it around the world quite easily and get this stand to airline home hubs, and there, they can do on-wing activity on the new stand. That would not have happened without the Trent 1000 issue that we're dealing with now. It's a lesson that we can build into our normal activity. So that's that. Do you want to comment on mid-cycle R&D?

Stephen Wayne Daintith

CFO & Executive Director

Yes, sure. So we have included within our modeling and our statements an NMA scenario in there. And what that does is it just means sort of, at most, R&D will be flat. And if it declines, well, it just declines at a slightly lower trajectory of decline than it would otherwise do without the NMA. An important couple of points there. We will be looking for about 15% cash return on invested capital from the program, so there will be rigor around this investment program. Having just brought a lot of MPis to the market, clearly, we want to have some rigor around this one. Another key important point, we've already spent around GBP 500 million developing the way we've got to the UltraFan so far, which will be a key part of the architecture for any solution for the NMA should we choose to pursue it, that particular program. So it's not as though we have a standing start today in respect to this particular investment.

D. Warren A. East

CEO & Executive Director

Okay. So I think we're over this side. Microphone coming up, yes. Look, let's go to the front and then we'll work back, if that's all right.

Nick Cunningham

Agency Partners LLP

It's Nick Cunningham from Agency Partners. I wanted to ask about some of the potential consequential risks from the restructuring process. It seems that you're doing 2 things. One is taking quite a lot of people out or a lot of people out, and the other is going from quite a large HQ to a very small one with the lost resources spun out into the divisions. And so 2 obvious risks arise. One is you've got a lot of commitments that you still have to fulfill in terms of development, production ramp, fixing the Trent issues and so on. So would you have enough overall resources to deal with contingencies? And then the second one, which is probably a bit less obvious, but if you go to a very small HQ with powerful divisions, is it a risk that the pattern that we see in many companies in the past, BAE, Airbus, Leonardo, Leidos, whatever, developed where you get barons running the divisions, taking on risks which HQ can't control and which have adverse consequences in the end?

D. Warren A. East

CEO & Executive Director

Okay. Harry, you're going to go with...

Harry Holt

Chief People Officer

Yes, I should do the people, the first part of the question. So the key thing to, I think, stress upfront is that we're not actually taking any jobs out, of people that are manufacturing the current products or supporting the current fleet. So all the resources we actually need to deliver to our customers in support of the fleet will be untouched. But I think we're pretty confident about being able to reduce the number of sort of functional resource, largely for the reasons that I explained. That in the old structure, we had considerable resource in the center driving activity in the businesses that the businesses didn't really need. And by stopping that, you can actually considerably reduce the number of functional people required.

D. Warren A. East*CEO & Executive Director*

And in terms of the barons, then I have taken a lot of care in developing the leadership team that we have. And I take a lot of care over stressing the importance of the fact that these people are executives of Rolls-Royce who happened to be assigned to be doing this job or that job, and they work very much as a team. Their characters are chosen to fit in with that mold. Of course, it's a risk, but that is how we mitigate the risk, and that -- it's my responsibility to deal with it. Now we're over this side, Richard and...

Celine Fornaro*UBS Investment Bank, Research Division*

Celine Fornaro from UBS. I've got 3 questions, if I may. The first one would be on Power Systems. And I just would like to -- clarity for a change. And I'd just like to clarify, in terms of your progression, so you are including the Civil Nuclear business in your performance progression. So are you tackling the business as well? Or does it just mean that the nonnuclear business is outstanding performance? And secondly, if you can comment on your Defense, to only 3% CAGR growth. When you look at some of the contracts or order book, Rheinmetall seems a bit more ambitious than that. My second question would be on the business jet engine development. And any lesson learned from that development and how you did it that you could share with us to show that maybe something has changed in the Civil Aerospace business? The first thing we noticed is that it was kept top secret for 6 years. And finally would be on the working capital, which we haven't discussed very much. But if you could share with us the impact potentially of the culture change, yes on support functions, but into working capital elements that you can control. So here, I'm really talking about the inventories at group and Aerospace level.

D. Warren A. East*CEO & Executive Director*

Okay. So Andreas is going to kick off with the Power Systems question.

Andreas A. Schell*Chief Executive Officer - Rolls-Royce Power Systems AG*

Well, let me talk first about Civil Nuclear. Most of the progression in Power Systems is driven by the nonnuclear part, by the majority of the business in off-highway engine applications. We have started to look at the Civil Nuclear business and the opportunities because Power Systems before already did make up power generation for nuclear power plants. And we're looking at synergies there on the sales side, but also kind of internally. And we'll progress on that as we go forward. Your question on defense. We are -- the defense market for us is wider. And the 3% CAGR applies to the wider range of application, so that's wider than just Rheinmetall, which would be the tank business, the battle tank business. And so the 3% is an aggregate number and really reflects a reasonable assumption about market growth and defense for the products we can serve.

D. Warren A. East*CEO & Executive Director*

Okay. So the second question was lessons from the recent business jet development and business jet launch. It's a market where you have to keep these things secret. The customers are very, very careful about not talking about their new generations until they're absolutely ready to go, contrast with the large airframers who talk about it for years. So if you want to supply and partner with those people, then you have to make sure you can keep that pretty secret as well. I think we were lucky that the world didn't find out about that 3 or 4 months ago when actually, it was certified and the record was available for anybody who looked hard enough to find it. But fortunately, they didn't, and so it was a bit of a secret with the big reveal a few weeks ago. Lessons for us. Small teams, very focused, compared with our large civil engine programs which are very dispersed. And really, the same sort of a complexity disease that Harry was talking about more generally, some of those large civil engine programs have suffered from that. Whereas the corporate jet program is done essentially in one location with a smaller team, very, very focused. They've incorporated new technology in it in much the same way as we incorporate new technology in the large engines, and so I don't think there's much to be learned from that part. And one thing we have

learned to improve generally on the business jet engines is, going forward, we have just appointed the head of business jets onto the leadership team of the Civil Aerospace business. That person wasn't there before. That person was reporting in through all the programs. And I think we do need to apply a little bit more focus on the business jet programs at that leadership level because that development was a little starved of resource, which led to some program slippages. And so looking forward, we won't be suffering from that in the business jet programs. And Stephen, the third question?

Stephen Wayne Daintith

CFO & Executive Director

Yes, working capital. Working capital is often all regarded as bad cholesterol, but there are elements of good cholesterol in working capital. And when I look around sort of Rolls-Royce, there are plenty of opportunities to go for. But let me just run through those in sort of simple terms. So I won't quote specific numbers because they are material. But I -- in terms of the opportunities, if you consider trade debtors, for example, we have a large balance of old disputed trade debtors to go for. That's a material number. We now have a team on the case in Civil Aerospace, a dedicated team chasing these down. We actually have trade debtors right now today as we're approaching the half year that have gone beyond their payment terms. So that's a good one to chase clearly, but attention to detail there. Trade creditors, we actually paid a reasonably material number of our suppliers early last year, at the end of 2017. And so getting consistent payment terms around our suppliers is an opportunity that we're getting into the detail of. And most material there was in inventory. When you adjust -- look at our balance sheet inventory from a gross perspective, the number that you see on the balance sheet is net of provisions. We have almost GBP 4 billion of inventory, gross inventory on our balance sheet, and well in excess of 100 days. And what we've done now is, by business, break this down by type of inventory, moving all the way through from raw material, work in progress, finished goods, all the way through, and spare parts. So we have by business -- number of days of inventory by type, by business. And there is a project team led by an individual, naturally, who is driving this through and working across the businesses to address the -- our efficiency around inventory. So lots to go for on inventory. It's not all bad cholesterol. There's some very good cholesterol around working capital as well that we have dedicated teams working on. And your point about the culture of cash flow as well. I mean, we have this one of the 4 priorities that I have within projects, that I have within the finance community generally, is attention to working capital and attention to free cash flow. And there's a dedicated team just generally working on that, educating the businesses around the group on the importance of free cash flow, but also the other ways of looking at it through the balance sheet and not just through revenue and margins.

D. Warren A. East

CEO & Executive Director

Okay. I think we're on this side. So [Allen] is working from the front to the back on this one.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami from Investec. Two questions. One, you've talked a lot about the cost base and the improved cash. Can you also talk a little bit about the revenue line going forward, particularly around how you're working with the sales team to actually start and fill up the order book? Order intake for a lot of your large engines hasn't been particularly strong over the last few years, and how you're working internally with your partners to fill up the hopper so when we get to 2023, you don't come off a cliff. And the second one is around digitization. And the Power Systems presentation was very useful. But can you talk about it from a broader group perspective in terms of investment, how much you're spending, how many additional people you are adding for that effort? And how the negotiations with the OEMs on who collects the data, who manages the data, who utilizes the data is actually progressing, given there's a lot of your peers investing in that.

D. Warren A. East

CEO & Executive Director

Yes. So I mean, on the backlog, and in particular around the large engines, we are following a product cycle effectively. And from around the middle of last year, then, definitely, activity has come off quite a bit. And I've asked -- been asked this question quite a bit and I've delved into that quite a bit as well. It does appear to be a product cycle thing or orders did get ahead. And what we're seeing is activity in terms of rescheduling rather than ordering new airplanes. In terms of what can we do about that, well, of course, we -- each major airline customer has a team within our Civil Aerospace business, small sales team with technical people sat behind, that are engaged in a constant dialogue of reviewing peoples' fleet requirements and how they're changing their fleet requirements going forward. So there's no rocket science in it. It's classic key account management and we do it the same as everybody else does. I don't think we can do anything particularly different about that, except perhaps develop some of those relationships, building on the second half of your question, around the engine health monitoring, where we introduced the activity quite a long time ago, with the newer engines got vastly more sensors collecting data on the engines than used to be the case. And so we have invested in digital capability to do something with that. And we've probably been a bit tardy about making that investment. But certainly, over the last 18 months, we've ramped it up significantly. It's proved incredibly useful in terms of assisting with classic engineering and diagnosing the Trent 1000 issues. And at the same time, we're doing sort of business development activity with a handful of airlines at the moment. And I think that helps develop lock-in with the airlines, which helps with the ordering process and the order intake in due course. End of the day, of course, it's pretty competitive. And we design on certain airframes, our competitors design onto other airframes, you take part in the sales down at both levels really. The airframe and, in the case of 787s then, engine against engine. And as I say no rocket science, except perhaps for developing that customer relationship around the data. We've -- you asked a question specifically about resource. I don't want to spend a lot of time now on resource. We can deal with that off-line. So this side, yes? Okay.

Robert Alan Stallard*Vertical Research Partners, LLC*

It's Rob Stallard from Vertical. Andreas, a quick question for you. Power, what's the current sort of cash conversion, cash margin you're seeing? And do you see the same opportunity for that cash margin to progress in line with the operating margin target that you set out? And then, secondly, Stephen, for you, you talked about the rating agencies and trying to get your credit rating back up. Will they be using the same adjusted free cash flow number that you're using? Or will they be including the cost of the redundancies?

D. Warren A. East*CEO & Executive Director*

Okay. Andreas?

Andreas A. Schell*Chief Executive Officer - Rolls-Royce Power Systems AG*

I don't have the specific cash conversion number for 2017 right at my hands, but it's very high. There were a couple of effects last year on, for instance, kind of doing a proper job on invoicing, completing project work. So there were some one-timers, especially in the second quarter last year, that really helped us. Now very comparable to what Stephen said before, continue to work net working capital, especially the bad cholesterol part of the net working capital, is clearly a focus going forward. We still -- and I gave you an example today how many parts we keep in our parts inventory. And as we go through this, I think we're still seeing opportunities on net working capital. But let's be very clear, this is not going to work over the course of a quarter, this will take a little bit of time to do this proper.

Stephen Wayne Daintith*CFO & Executive Director*

Yes. And just to add to that number, the cash conversion in Power Systems in '17 was well over 100%, driven by the attention to detail that Andreas talked about in that second quarter on working capital and cash flow. And that was a big contributor to cash flow improvement for Rolls-Royce generally on working capital. On the restructuring costs and the credit rating agencies, I have no doubt that they will look at the

picture in its entirety. And I know we have Moody's in the room today, hello. So I know you'll be looking at it. And quite rightly, too, because it is the real sort of really reported number and so on. But I think the route through to free cash flow growth, and the savings that come from the restructuring and the pace of the payback from this restructuring are all good indicators that I would hope that we could encourage the rating agencies to see the world that way as well. So that's where we are on that one.

D. Warren A. East

CEO & Executive Director

Okay, thanks. It's over this side, and it's working back. Well, we're going to finish working back. And then the newer questions will come -- taking one.

David Howard Perry

JP Morgan Chase & Co, Research Division

Yes, back here. David Perry from JPMorgan. Also 3 from me. The first 2 are just factual clarifications, please. The first one, the GBP 500 million cash cost, is that a post-tax number? And if it is, just what will the EBIT number be that you treat as exceptional? But just as a factual clarification. The second one, also sort of factual, has a bit of forecasting in it. But I'm not getting into the rights and wrongs of anyone's ROIC definition, everyone's got their own. But you leave the TotalCare creditor out of it. What will that number actually be in 2024? Just to kind of help us think about that. And then the third one, which is about guidance, and you may not want to go there. But I struggle, me personally anyway, with the lack of any earnings guidance to back up the free cash flow guidance. Can you give us any help at all in terms of 2022, 2024? Whether it's EBITA or whether it's EPS, just to help us try and triangulate the free cash flow guidance, please.

Stephen Wayne Daintith

CFO & Executive Director

Okay. So the GBP 500 million is -- well, the cost of the GBP 500 million is the gross redundancy cost, in very simple terms, plus the cost of investment in technology systems, with finance being a key part of that, in fact, to deliver the savings that we have in mind. So that's how we've got to the calculation. The TotalCare cash -- sorry?

David Howard Perry

JP Morgan Chase & Co, Research Division

Just maybe -- maybe I asked the question badly. I mean, that GBP 500 million in EBIT, would you treat it as exceptional? And GBP 500 million in cash. Or will the EBIT and the cash number will be different? That was all I was...

Stephen Wayne Daintith

CFO & Executive Director

They shouldn't be different. They shouldn't be repeatedly different. The -- I would say the one thing is that the investment spend will be a capital item rather than a P&L item, the investment spend, if that makes sense. Is that what you're getting at?

David Howard Perry

JP Morgan Chase & Co, Research Division

Yes. Really, I'm just saying is there no tax spend applied to that?

Stephen Wayne Daintith

CFO & Executive Director

Well, then, yes, clearly, there will be. There'll be -- that's an EBIT number, so there will be a tax benefit from the costs of those restructuring. Yes, there will in that respect.

David Howard Perry

JP Morgan Chase & Co, Research Division

So the EBIT is not going to be GBP 700 million that you treat as exceptional?

Stephen Wayne Daintith

CFO & Executive Director

No.

David Howard Perry

JP Morgan Chase & Co, Research Division

All right, fine. Okay, sorry.

Stephen Wayne Daintith

CFO & Executive Director

Okay. The TotalCare creditor. So I think the chart that we showed a little earlier should have showed the business model for Civil Aerospace and how it works, and how we include within our cash flow the aftermarket cash that we get in from engine flying hours after incurring the OE cash losses as part of the business model when we sell the engines into the airframers in the first instance. I don't have that number right now on 2024. We will have a think about it. So I'm afraid I can't give you that. But clearly, it's going to grow significantly. And I think a key part of our balance sheet over the next few years, you will see a large deferred income balance grow, we talked about this before, on our balance sheet in advance of our recognition of the profits attached to shop visits when they actually take place. So in the first 4 to -- 4, 5 years or so of the new engine, we'd hope that there's not going to be a shop visit, therefore, you're collecting cash all the time, building that up on your balance sheet as deferred income and putting it in your bank -- in the bank accounts. That's going to be a large credit balance on the balance sheet on a go-forward basis. But I don't have the 2024 number to hand. And finally, on earnings guidance, too early to give you that. The earnings, as we pointed out at the full year, under an IFRS 15 regime, are a lot more difficult to model because they are -- you model them around sort of frequency of shop visit, and costs of shop visit and so on. So it's something that we are getting to. Very much at the moment, our focus is on cash, and we've driven the model on that basis. At some point, I'd like to be able to share those numbers with you, but we're not ready yet.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from...

D. Warren A. East

CEO & Executive Director

Oh, I think -- okay. Go on. Go on, Christian. Sorry. We were trying to alternate like a game of tennis, but never mind.

Yes, go ahead. Go ahead now. You've got it, yes.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just a couple of questions, one starting at the high level. You've talked a lot about the restructuring kind of focusing on taking out layers of -- redundant layers of management and the personnel, and how you found various pockets of opportunities on that. But so far, you seemed to have ring-fenced the factory floor with respect to both personnel and also to -- so I was wondering if you can address that. If that's a future phase or are you happy with the headcount or personnel deployment in the factories relating to direct manufacturing costs? And then, additionally, around where you see additional investments with respect to tooling, maybe automation down the road. Automation was alluded to, but maybe some more detail on that. So I guess my overall question is, is there sort of like a next gear or a next phase in this restructuring as we look down the road that more directly deals with direct manufacturing costs? And then the second more tactical question is, with respect to the recent issues on the Trent 1000 in particular, how confident are you that you won't see similar issues crop up later with the

XWB family or this Trent 7000 family, assuming that you've run these programs to ground to look at this potential risk?

Harry Holt

Chief People Officer

Yes. I'll pick up the first part of that on sort of possible reductions on the shop floor. So over the duration of this restructuring program, which is the next 18 to 24 months, I think we've got sufficient visibility of the load on our factories to be very clear on what headcount we need to deliver that load, those products to our customers. So we're comfortable that the number of people we've currently got is actually what we need to deliver our commitments to our customers. And in certain areas, Derby, for example, we have agreements with our employee representatives to protect against redundancies over the next sort of 12 to 18 months, and we'll make sure that we honor those. So for the next, as I say, period of the restructuring program, we feel that we've got the right level of resource to deliver on our current commitments to customers.

D. Warren A. East

CEO & Executive Director

Okay. And in terms of where that goes in future with potential investments in new manufacturing technology and so on, then, of course, we're doing that. And of course, at some stage in future, we may have significantly more automation in our facilities and that may mean that we can free up some of the people. I would stress, however, that because of the installed base growing, the demand, particularly for the components, is going to increase over the coming years rather than decrease. And so it could be that you'll see our headcount be fairly flat in that part of the business, but our actual output continue to rise as we benefit from more automation. Question on XWB and Trent 7000, and what about the risk of the issues we've seen on Trent 1000. Well, we cannot be sure about XWB and its sort of -- and the durability of all the components until 20 to 30 engines or so get to the first shop visit. And it's simply too new. We've probably got about another 15 to 18 months to go before we reach that stage. So it would be foolhardy to sort of say yes. However, if I look at the issues that are prevalent on Trent 1000 at the moment, then we see no evidence at the moment of the turbine issues occurring on XWB. If I look at the design that went into XWB, it was a different design flow. It was more modern tools that we used. And obviously, because of the issues on Trent 1000, we're doing an awful lot more inspection of XWB engines now, which is giving us still a lot of confidence that we're not seeing early signs of the turbine issues. As for the compressor issues, then basically, we've checked the arithmetic and the issues are not going to occur, as we've seen on Trent 1000. On Trent 7000, then, as you know, it is derived from Trent 1000. And so what we will be doing is making very certain, when we start making volumes of Trent 7000, which we haven't started yet, that any modifications that -- and design improvements that we can take from the Trent 1000 will be incorporated into the Trent 7000. However, from the testing that we've done on Trent 7000 so far, we're not seeing a potential for those issues, but we will make absolutely certain. Trent 7000 will enter into service later this year, towards the end of Q3. And the volumes of Trent 7000 that will be manufactured before such time as the final fixes in Trent 1000 are available, are very small. So if there is an issue, it will be a very small contained issue. So hopefully, that's enough of an answer. Now we must do 2 questions on this side. Thanks.

Zafar Khan

Societe Generale Cross Asset Research

It's Zafar Khan from Soc Gen. I have 3 questions, please, if I may. And first one is just on the engine OE deficit, Stephen, that you were sharing. And it's very encouraging to see that on the XWB-84, you're talking about breakeven in 2020. Yet for the portfolio, you're talking about a GBP 400,000 deficit in '22. So where is the -- so if I'm averaging, because that's an average you've given, that means something is losing a lot more than that. So could you help us understand that, please? That's the first one. The second one is just on this CROIC. By the way, I think a WACC of 10% seems a little bit high, but I don't want to argue that, just noting that as I ask the question. The 15% number that you've got to, how did you get to that number? Is it a peer group comparison? Is it some benchmarking you've done? So if you could help us understand that. And then I have a question for Andreas, if I may. The 100,000 units that you want

to connect, the digitalization, how much is it going to cost to connect, say, one unit? Who bears the cost? And how do you account for that?

Stephen Wayne Daintith

CFO & Executive Director

Thank you. So the OE deficit going to GBP 400,000 per engine. So yes, your XWB-84, correct, going to break even, and a large proportion of what the mix will look like at that point. But we also have new engines that are part of that. So this -- and we tend to find that new engines, launch pricing tends to be less keen than a mature, a more mature engine. So the -- and the 7000 and the XWB-97 are the 2 most significant examples of that. So it's that feature that allows us to only get to GBP 400,000. I say only get to, but if you look at the context of the mix and the volume, that still -- for the other 2 engines, would still be an improvement on where it is today and certainly, I think, getting around about or close below the 1.6 average in any event, so making progress there. There's a lot -- it's really all about launch pricing of the younger engines. The cash return on invested capital. So we have a group WACC of 10%. And we arrived at this by looking at our cost of capital, the beta of Rolls-Royce. And we have quite a high beta as it stands today when you look around the risk that's been attached to the business in recent years in terms of our profit predictability, so to speak. We have a 15% -- we are comfortable with it. I think it gives us -- it's a good risk management tool. We've approached it that way. I should make the point as well that we actually have different working -- weighted average cost of capitals for different sectors. So for example, the short-cycle businesses have a lower weighted average cost of capital than the long-cycle businesses. So for example, Power Systems might be sort of, let's say, 8% weighted average cost of capital. The cost-plus businesses like defense, where we're on a contract, it's cost plus, but it's quite a small margin, cost of capital there might be 6.5% or so. With Civil Aerospace, a longer-cycle business, 12.5% cost of capital seems more appropriate. So the 5% is a good guide, a good -- we believe it's a good risk metric, particularly when we look at previous experience of our investments and have gone very well, 1 or 2 have gone not so well. And I think the 15% is the appropriate hurdle rate we ought to be aspiring for, for Rolls-Royce. So that's how we got to 15%.

D. Warren A. East

CEO & Executive Director

Andreas?

Andreas A. Schell

Chief Executive Officer - Rolls-Royce Power Systems AG

To the connection of the fleet. First of all, I said it's greater than 100,000 units in the field, but not all of them need to be connected. There are some of these applications that have very low utilization. There are some Marine applications where engines get a few hundred hours per year. There are some back-up power generators that only get a double-digit number of hours per year. So you really don't need to focus on those applications. But we focus, as I said before, in Industrial, for instance, on high-utilization assets. The cost to connect such an asset is actually threefold. It's the technical connection, so a technical unit, that ranges anywhere from EUR 80 per unit up to EUR 500, up to EUR 800 per unit for a very complex marine application that you need to make seawater-proof and ready for the ambient conditions over there, that we would need to include in the costs for future engines and that's already kind of planned in. Then there is the cost to really kind of transmit the data. That ranges all the way from very simple [UDEC] protocols that cost you about EUR 1 per month, but it can be also a bit more expensive. And then the third bucket is basically to host and analyze the data. And we will kind of work with our customers. Some of it will be borne by the customers, some of it we will bore -- bear because we actually kind of both have benefits on this when we talk in terms of long-term service agreements. What's really important to note is long-term service agreements have actually 2 winners. It really kind of actually gives a shared benefit, and therefore, I think it's fair. And I've seen, so far, a very positive reaction from the marketplace.

D. Warren A. East

CEO & Executive Director

Great. Thanks, Andreas. We've actually got a couple of questions coming in online, so we'll take those. And then we'll have to move to the final questions because we're going to run out of time.

Ross Hawley

Just a couple online, one from a large shareholder. Some of your GBP 11 billion of R&D since 2010 will have been on concepts with no real revenue attached to date. Do you sort of have a sense as to how much? But importantly, are there any concepts coming out of the R&D which you look to have exciting addressable markets coming from? And secondly, do you see any material risk to your aftermarket revenue expectations from airframe as own ambitions in this space?

D. Warren A. East

CEO & Executive Director

Okay. So if I look at the GBP 11 billion and take the sort of rather rule of thumb that Stephen mentioned a little while ago about roughly half of the R&D expense coming from large Civil Aerospace NPI for the last several years, so we've got half of the remainder -- or sorry, we've got -- half of it as a remainder. I actually don't know the answer to know how much of it is concepts that haven't gone everywhere, but I suspect it's probably no more than 20% of the remainder. So about 1/10 probably of that number in total over the last however many years for the GBP 11 billion will have gone on concepts where, frankly, we haven't got much of a return. We may get some return in future. And an example might be, for instance, our fuel-cell joint venture, where, frankly, right now, I can't tell you what sort of return we're going to make on that. It seemed like a good idea when the original investments were made, and it may materialize and turn into a good thing in future. Sorry, Ross, what was the second half of that question?

Ross Hawley

Any coming out which excites you?

D. Warren A. East

CEO & Executive Director

Any...

Ross Hawley

And in terms of concepts which you can see are of interest to the market?

D. Warren A. East

CEO & Executive Director

Oh, yes. So I think we've been fairly open. Some of the more exciting concepts are probably around the advent of electrification. And you saw us sign an agreement with Airbus shortly before the end of last year. We -- that program's on track. We still, with Airbus, hope to fly the hybrid demonstrator in 2020. That sort of thing is exciting. I mentioned fuel cells a moment or 2 ago. There's all sorts of other interesting alternative fuel cell type technologies that could be used for the storage medium in the hybrid systems in the microgrids that Andreas talked about earlier.

So we've got one -- I think we've got 2 over here, if you don't mind, Tony. And then we'll come back. So we got 2 here, and then these are the final 3 questions. We'll try and be quick.

Derek Johnson

I'm Derek Johnson, Nitorum Capital. I wanted to talk a bit about the cash return on invested capital metric. So you have that going from 9% to 15% through the cycle. My question is, that's an increase of like 60%, 70%, but yet you have cash flow per share increasing 7x from last year to your midterm goal. So just trying to reconcile those 2 metrics. And also, what is the cash flow per share goal throughout the cycle? Because I think your slides said, in '15, that metric was 14% and cash flow per share was significantly less than GBP 1 per share. So just trying to better understand through-the-cycle numbers on cash flow per share.

Stephen Wayne Daintith

CFO & Executive Director

Okay, Derek. So right, so cash return on invested capital. Sorry, could you just go back to the part of first part of the question again? I was thinking more about the cash flow number there, but the first part of the question?

Derek Johnson

So the metrics going from 9% to 15%, so roughly speaking, that's increasing 60%, 70%. I would actually think the denominator would be going down as you exit this investment cycle, so I think it could actually be higher. I mean, it's pretty comparable to the number in 2015 when I think the slides showed 14%.

Stephen Wayne Daintith

CFO & Executive Director

Yes. We have worked hard to ensure that these 2 are, as you might imagine, in tandem with each other. And it can be quite sensitive to any assumptions around the base of the invested capital. So I can assure you that we've got the model correct so that they, the 2 do sync up with each other. And the next...

D. Warren A. East

CEO & Executive Director

We might have to come back to you on that and [indiscernible].

Stephen Wayne Daintith

CFO & Executive Director

Just show you the maths on that.

Derek Johnson

And then in terms of mid-cycle capital per share versus medium-term?

Stephen Wayne Daintith

CFO & Executive Director

You mean sort of in the period, in between sort of where we are today and where we get to?

Derek Johnson

Well, the slide show 15%, it says through the cycle, but the cash flow per share just says medium term, not through the cycle.

Stephen Wayne Daintith

CFO & Executive Director

Oh, it's not. Right.

Derek Johnson

So is there a difference between the 2?

Stephen Wayne Daintith

CFO & Executive Director

Well, I guess the cash flow per share is more sort of a point in time to exceed GBP 1 per share of free cash flow. We would expect that to grow free cash flow. We'd expect to see continued growth in the business. The cash return on invested capital, 15% through the cycle, what we're trying get across here is that's sort of on a steady-state rolling basis. That's the sort of cash return on invested capital you ought to see out of Rolls-Royce, that sort of 15% number. We get to that number by midterm, that's sort of 5, 6 years from now. And then the sort of the average ought to move in that direction as well, to 15%. I'd look at it that way. That's what we mean by through the cycle.

D. Warren A. East*CEO & Executive Director*

So our penultimate question on this side, and then we're going over to that side for the last one.

Andrew Paul Gollan*Joh. Berenberg, Gossler & Co. KG, Research Division*

Andrew Gollan from Berenberg. Penultimate question [with it]. So the first one is on the Pearl engine and what was keeping it secret for so long. Opportunities there. Are you targeting, for example, the Hemisphere, which is facing a similar issue to Dassault last year in terms of delay into service? And if not, what other opportunities if -- of course, that you don't have to keep a secret? That's the first one. And the second one to Stephen, just to reconcile -- I keep going back to this working capital thing, reconcile a couple of statements you made. You've answered some questions just now that indicate big opportunities within working capital. But I think in your slide presentation, you kind of implied that there were no -- I think it was no material impact from working capital changes in the assumptions in the guidance you're giving today. So can you just help us understand what you're telling us?

D. Warren A. East*CEO & Executive Director*

Sure. So on the Pearl engine, when we launched that in conjunction with Bombardier the other day, we launched the Pearl [blur] and talked about a Pearl family. And we deliberately talked about a Pearl family to imply that the engine which is being launched is not the only one that we hope in the family. However, as I said, it's a sector which is characterized by secrecy. And therefore, we can't talk about other family members that may or may not exist in future because they tend to be in conjunction with one of the corporate jet airframers. It is our ambition to more than recover the position that we lost in market share in large cabin business jets. So as far as I'm concerned, any of these large cabin opportunities are up for grabs, subject to, as we've talked about this morning, if that means developing an engine with a business plan that doesn't make sense according to the rigor that we are intending to treat these projects with, then we'll find other ways of doing it. But yes, definitely, the opportunities are there, and we're going to go after them.

Stephen Wayne Daintith*CFO & Executive Director*

And on the cash flow, so working capital. So what we've done, we've normalized free cash flow to exclude the benefits or negatives -- the positives or negatives of material working capital movements because, in our view, it would be wrong to include a number that's a target that includes a significant working capital benefit in that year. Because, of course, you can only do working capital once, you can't do it year after year after year. It becomes much, much harder. So we've taken out that distortion. Clearly, we're not going to leave working capital on the balance sheet. And where we do see opportunities to get more efficient on our asset base, and I've talked about it, whether it would be inventory days, trade debtors, supplies and so on, we will pursue those opportunities. But we've purposefully normalized our cash flows so we don't get any distortion from those impacts. That's what we've done.

D. Warren A. East*CEO & Executive Director*

Thank you. Sandy, would you like to ask the last question?

Sandy Morris*Jefferies LLC, Research Division*

Yes, so it'll be swift. Just really asking, just out of a squabble that's evolving over here. If any member of the finance team had inadvertently said free cash flow to exceed GBP 1.2 billion in 2020, that was a slip of the tongue rather than him reading the budget there.

Stephen Wayne Daintith*CFO & Executive Director*

I think I know what you're getting at here. I mean, I think with GBP 400 million of savings delivered by the end of 2020, I mean, clearly, it will be hard to dispute GBP 1.2 billion in 2020. And that -- if pushed, that will be a kind of sensible guide, the way to be thinking around that sort of number now that we've said that we do expect to exceed GBP 1 billion. But clearly, there's a lot of puts and takes along the way. We're in the middle of managing pretty significant issues on the Trent 900 and 1000 and how that evolves, that's the risk around the business. So don't treat that as a sort of hard and fast number. We've made the point there that we do now expect to exceed GBP 1 billion in 2020.

Sandy Morris

Jefferies LLC, Research Division

Okay. And I'll follow off with Harry if he doesn't mind on how you avoid these rationalization people. If I can just...

Harry Holt

Chief People Officer

They screened you out. [indiscernible].

D. Warren A. East

CEO & Executive Director

Great. Okay. All right. With that, we're done. So thank you all very much for coming this morning. We appreciate the support. And we'll be back with our half year results at the very end of July or the beginning of August. I'm not quite sure now, but thanks for coming.

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Rolls-Royce Holdings plc LSE:RR. Shareholder/Analyst Call

Thursday, May 03, 2018 11:00 AM GMT

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Call Participants

EXECUTIVES

D. Warren A. East
CEO & Executive Director

Ian Edward Lamert Davis
Chairman

Paul Stein

Presentation

Ian Edward Lamert Davis*Chairman*

Well, good morning everyone and welcome to the Rolls-Royce Annual General Meeting. I'm Ian Davis, I'm your Chairman and I'm joined on stage by Warren East, Chief Executive; Stephen Daintith, Chief Financial Officer and the Chairs of our board committees; Ruth Cairnie, Chair of the Remuneration Committee; Lewis Booth, Chair of the Audit committee; Kevin Smith, Chair of Science and Technology Committee and also our Senior Independent Director; and Frank Chapman, Chair of the Safety and Ethics Committee.

You will shortly hear from Warren who'll provide a view of 2017, but I'd like to highlight personally a few key developments. There's been great progress in building this active leadership team. We've refreshed our strategy and long-term vision, we've refined our capital allocation process, we've delivered financial results ahead of budget and expectations, and we have ramped up production in our civil aerospace business. We have initiated a simplification of the group into 3 businesses and are embarking upon a fundamental restructuring. This will make for a more simplified and more focused business.

At the same time, we have some significant ongoing operational challenges, particularly with some in-service fleet issues. This has created challenges to some of our customers and there will be some more to come. Our absolute priority -- our absolute priority -- is to overcome these. Customer trust and confidence has to be our #1 goal. Nevertheless, after a very few challenging few years, I believe that Rolls-Royce is building real and sustainable momentum. Progress will not be smooth, given the nature of the industry and the number of new products we are in the process of introducing into the market. And I do not want to underestimate the risks. But the medium-term prospects look increasingly bright and the long-term opportunities for us remain significant.

During 2017, there have been a number of changes to the board. In April, Stephen Daintith was appointed to the board in his role as our new Chief Financial Officer. And following the departures of 3 non-executive directors in 2017, we are delighted to welcome to 2 new faces; Beverly Goulet, most recently as Senior Executive with American Airlines Group joined us in July. We announced 2 months ago the appointment of Nick Luff, Chief Financial Officer of RELX Group, who joins the board from today, subject to shareholder approval. Welcome Nick.

This time last year, I talked about the extraordinary change, including political change that we had seen in 2016. The U.K. referendum decision to leave the European Union provides a number of challenges for us as a business. Europe is really important to us, as it is a large market, but also of course, much of our operations in our supply chain is in Europe, as is much of the regulatory framework that ensures that our products and service is fully compliant with international standards. As you can imagine, we are actively engaged with the government as it continues its negotiations.

We are a long-term business with very long investment cycles. We've continued our commitment to, and investment in, next-generation technologies and facilities that will be crucial to competitiveness and value creation. I would draw attention to the fact that we have sustained investment in capital expenditure and R&D, notwithstanding short-term financial pressures. We are putting increased emphasis on strategic partnerships and collaborations. These collaborations range across electronics, composite materials, gearbox technology, digital technologies and services. We are determined to be at the forefront of the next technology revolution, built around artificial intelligence, data analytics, machine learning and digital. This will be crucial to our future competitiveness, as well as to our ability to attract and retain exceptional talent.

So we thought it would be appropriate to show a film outlining some thoughts on the future path. And then I've asked Paul Stein, our Chief Technology Officer to give us an insight into the next-generation technologies that we are working on right now. Paul will be followed by Warren and then I will conduct the business of the meeting.

[Video playing]

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Paul Stein

Good morning, everyone. So this morning, we'd like to share with you some of the pioneering technologies in Rolls-Royce, some of which we just showcased on the video, and really show you the great things that our people do. This is going to be a brief run through how we're developing the jet engines to keep pace with our customers' demands about the exciting impact that electrification is having across our business and the opportunities it creates, how we are using digital technology to change the way we do things, how we're using technology to support our responsibility to the environment and how developments in manufacturing technology are having a great impact on us.

Since its invention in the 1940s, the jet engine has changed immeasurably as we've introduced continuous improvements in fuel efficiency, in noise and reliability. And this has led us to the world's most fuel-efficient jet engine, the Trent XWB, powering the Airbus A350. This engine uses 15% less fuel than the first generation of Trents, the Trent 700 that powers the A330. And to provide a context, a full A350 uses about the same fuel per person as a Ford Focus, except it goes a bit faster, except the RS. All of this comes through advances in materials, to allow engines to run hotter and so more -- be more efficient through the ever-better use of design in the computer, ever-better design of turbo machinery and the use of digital technology to monitor our products while in service.

Materials in the hot end of our engines need to work now in gas temperatures of around 2,000 Kelvin; that's half the temperature of the surface of the sun and to-date, nickel super alloys have been the only solution. New ceramic materials, able to operate 250 centigrade hotter than metal parts, but at 1/3 of the weight, are now beginning to mature and we are now starting to test these materials. We can now analyze gas turbine performance, like never before, using high-performance computer. For example, the image on the bottom left of this slide here shows a fan blade-out stimulation, which is now so accurate that the regulator allows us to reduce testing, instead of -- and use analysis instead.

Despite the incredible performance of the XWB engine, we can't rely on the Trent family forever. And so now we're developing UltraFan, a brand-new engine core, the first change since the RB211, will drive a huge composite fan via a gearbox, which is the picture you see on the bottom right. It's going to be ready to fly as a demonstrator in a few years. An UltraFan represents a leap in fuel efficiency through this pioneering technology. The gearbox itself is a marvel of design, 70,000 horsepower, yet small enough to fit behind the fan. We've had 7 universities, 3 German and 4 U.K. universities, have been helping with the design of this amazing piece of technology. And the result is the UltraFan will be a 25% improvement compared with the first Trents.

But the journey doesn't even end there. As the earlier graphic showed, electrification is now changing the face of aviation, at least in smaller aircraft. The Boeing 787 was the first step in electrifying passenger aviation. In fact that has 1.5 megawatts of power generation on a 787. Just to contextualize that's about enough to power 100 houses, and that made it the world's first more-electric aircraft. But for smaller aircraft, we're now developing hybrid-electric propulsion. This is pioneering new designs, such as quiet regional city hoppers, which is set to rival intercity rail for cost and convenience in mass transportation. It is seen as a game changer.

Our E-Fan X demonstrator, which we're doing jointly with Airbus and Siemens, will be the world's first demonstration of this technology. Powered by Rolls-Royce AE 2100 engine, it will be generating 2.5 megawatts of electrical power, all designed by us, and this will exceed any previous record for aviation power generation. And this electrical power is also needed by defense customers, who need it for advanced sensors and for other purchases.

On land, our MTU engines are now being sold as micro-grids. Reciprocating engines linked to generators in multiple units are now seen as a better way to match renewables for power generation. A hybrid rail is great technology for suburban railways, silent in stations, 25% less fuel and no infrastructure change to the railway system. And our Power Systems technologies are ahead of the game here in demonstrating its potential to customers. To create the capability and skills and the technology we need in electrical, we've created a new team, Rolls-Royce Electrical, so we can move forward with the right pace to respond to this market.

Digitization is another game-changing technology, impacting design, manufacture and service and support. Individually, the application areas bring significant value. But as we chain them together into a digital thread, they are helping the designer connect with the product in service. And in aerospace it's a concept we call the intelligent engine.

And then new technology is constantly being developed and we're adopting it with pace. For example, the Internet of Things, which we are now deploying for tracking assets, such as our engine stands. virtual reality is being used for prototyping the assembly of our power gearbox that I showed you earlier on. And as Ian said earlier, artificial intelligence, a ubiquitous technology, which we are already using across our business, from applications as varied as examining in-service data sets to, to even verifying suppliers have been invoiced correctly.

Monitoring products in service has been done in aerospace since the 1990s, and now Rolls-Royce Power Systems [indiscernible] application uses exactly the same service model of monitoring assets, then dispatching service interventions accordingly. So as with electrical, we formed a new team R2 Data Labs, to bring together this key digital know-how and to build a digital ecosystem, which can be tapped into across the group, such as our recently published link to The Alan Turing Institute in London.

We are very sensitive to the impact of our products and operations on the environment. So while representing only 2% of man-made CO₂, aviation must do its bit. The industry agreed, back in 2000, to targets, which broadly reduce engine CO₂ by 1% per year and we are on track. UltraFan, though, may be the last step using pure gas turbine technology before we need the electrification technology, I spoke of earlier, to drive down towards a 30% CO₂ reduction, which is seen as the place we need to be.

The petrochemical industry is also doing its bit and we're working more closely with them to credit fuels, which are sustainable, scalable and compatible. Shell, BP and Virgin are all sponsoring scalable biofuel processes, which can turn any organic biomass into a jet fuel compatible form and we hope to see these scaling over the next decade. But the built environment produces over 40% of man-made CO₂ and this is where our technology could have the greatest impact. As we said, the full Rolls-Royce Power Systems' micro-grids, burning biofuels or gas, to match wind and solar intermittency, are seen as much better solutions now than large gas-fired stations. But for 0 carbon baseload electricity, we have using our unique nuclear expertise to develop a small modular reactor. Our 440 megawatt SMR design has now been accredited to produce electricity at GBP 60 a megawatt hour, making it competitive with wind power, and we are now in discussions with the U.K. Government about how we can drive this technology forwards.

Then, of course, the way we run our business is also important to the environment and our target to reduce energy by 30% from 2014 to 2020 has already been met and we're delighted at that. And one great example of reducing fossil fuel dependency is our solar array at Seletar in Singapore, which now supplies 11% of the plant's needs.

Manufacturing technology is also the key to lowering cost and enabling new designs. The robotic tape-laying machine, you see here, laying out a composite fan case, enables designs barely possible with manual processes. On the right of the picture is our advanced factory in Washington, which produces fan disks. Here a digital process controller measures the feature dimensions after every single cutting process, enabling constant correction of the cutting tool. And the result has been a 300% increase in productivity compared to the previous facility and a 99.9% right first-time rate on fan disk, which is just world-class. And, of course, 3D printing allows us to create complex geometries, such as fuel spray nozzles in a single piece. All of these Industry 4.0 techniques, so-called robotics, digital closed loop control, 3D printing and making our entire manufacturing systems for our suppliers is helping us unlock 25% productivity gains, which have been calculated to stem from this revolution. We really are in the forefront of this change in manufacturing.

We invest significantly to create underpinning capabilities in technologies, in demonstrators to mature our technology and in new products and services to create new business options. We received significant contributions to our R&D through third-parties, such as the U.K.'s Aerospace Technology Institute and the E.U. Clean Sky program, as well as through defense programs. We're very inventive and we protect our intellectual property through patents. And last year, 704 patents were approved for filing and that's more than any other U.K. company.

We have an exciting career development scheme for our technologies with our fellows representing the pinnacle of technical expertise and they have now an international reputation across the industry. And the net result across all of our businesses is a substantial flow of technology to keep our products competitive, our services profitable and our business options open for the future. Rolls-Royce is a technology-rich company, pioneering the power that matters and our new strategy to remain strong in our core capabilities while building electrical and digital is opening a great future for us.

Thank you for listening. I'm now going to pass it to our Chief Executive, Warren East.

D. Warren A. East
CEO & Executive Director

Thank you very much Paul and that's a fantastic introduction to what I was going to say. So we could sort of shorten the AGM a bit at this point, if you like. Now, I've got a few other things to say as well. First of all, thank you all very much for coming along and for your support of our company. And when I sit here a year ago, I talked about the company in transition, and Paul has clearly signposted in the presentation that he just did some of the transitions that we are embarking upon as far as technology is concerned. And that's absolutely fundamental to how we transition our company and position it to be successful for the next several decades, as it has been in the past.

So I'm going to talk about wider company transition. But I'll start with that strategy to which Paul just alluded. We are all about power and we have a lot of domain expertise. We have a huge amount of domain expertise in aerospace, and through -- and in the world of defense and through our Power Systems business in several other sectors. But the common thread which joins it all up is power, and it's not just any old power, it's about power that we -- as we say that really matters. So that's the common thread.

But how do you turn that into a sustainable business going forward? Well, the underpin on the slide there is the balanced portfolio. And this is a balanced portfolio, when you look at it from a financial point of view, with different parts of the business having different cycle times, different levels of capital intensity and different -- whole sort of product cycles. Also exposure to different sectors, because recognizing that some markets are quite cyclical, some go up and down, and it's all about balancing risk.

So that's from a technical -- that's from a financial point of view. But, of course, we also want a balanced portfolio from a technical point of view. So that technologies, which develop in one part of the business or in some market sectors, which are clearly going to transfer to other sectors in future, we can develop in a sensible way with customers, with real applications to spread our risk and to create fundamentally better solutions going forward.

So building on top of the balanced portfolio, we first of all need to look after the technology we have today and make it ever-more competitive. And the journey that Paul talked about with the UltraFan demonstrator is a fine example of that, fine example about how we continue to squeeze more cleanliness and more efficiency out of the gas turbines, which are fundamental to more than half of our business.

But looking ahead and moving now to the left hand side of the slide, the electrification message is very clear. Electrification is happening across all industrial sectors to a greater or lesser extent and will gradually spread across all industrial sectors as we look forward. It's an inexorable trend and through our Power Systems business with applications like micro-grids, with the hybrid train which is effectively a mobile micro-grid, then we can develop those vital technologies, the components we need for when electrification moves into some of the other areas, so we can merge that expertise in technology with the expertise that we have, the domain knowledge that we have [in here] looking forward. So that's an example of technology moving across our business.

And, obviously, we're more than products. We're products and services. It is important for our customers that we provide service to -- as -- the power that we're providing them is power that really matters. We need to keep it available and a good example of that is, is where we are now taking the service that we provide in our civil aerospace business, the Power-by-the-Hour, the Engine Health Monitoring that we pioneered some 20 or more years ago, and transferring that to the customers for our Power Systems business. And some of the underpinning technology that enables that to happen, as Paul said, is digital

technology. And we absolutely need to embrace digital technology to remain competitive, because frankly, everybody else is. And it's good news, because our designers tomorrow will have at their fingertips tools and technologies that their predecessors, many of whom who are in this room, could only dream about 10 to 15 years ago. So absolutely employing the digital thread throughout our business, from design right through to service, making it easier for us to interact with our customers and with our suppliers. And on the far right-hand side of the slide is the picture there, which is illustrating how we're taking some of that digital technology and applying it in the manufacturing environment as well, to ensure that as we manufacture these designs, we also maintain our competitiveness.

So let me move on from fundamental strategy and step back a bit now to see about how the business is performing and this business in transition. So a few years ago, yes, business as a business was in a difficult place. And over the last couple of years we've worked hard, in particular, to reduce some of our fundamental costs. And we set out a fairly modest target of a couple of hundred million pounds, reported on it regularly over the last couple of years and by the end of 2017, achieved what we set out to achieve, which was a reduction of about GBP 200 million versus the end of 2015.

But it wasn't really just about cost reduction, it is about simplifying our business and making it easier for our people to do their day-to-day jobs, is making it easier for our customers to interact with us and making it easier for our suppliers to interact with us. And I've been quoted talking about pace and simplicity, so that we are simplicity always and we were a little bit more responsive. And the good news is that over the last couple of years, we've made some progress on that, but there's definitely more to follow.

So at the start of this year, we announced in January, how we were going to be simplifying the structure of our business, As we describe it, we talk about, while 50% of the business is in civil aerospace, approximately 1/4 of our business is in defense, with applications in the air, applications on land and applications in the sea. And the other 1/4 of our business, roughly, is our Power Systems business. So that's how we describe it, why not organize it that way. And so we've restructured the way in which we group our businesses together, and we've taken pieces from our marine business or what was historically our marine business. And we've taken the defense pieces, merged with a new defense business, to achieve essentially customers synergy, because it's the same government customers that buy all of these products. And then we've taken some of the other parts of our business and our nuclear business and put part of that into defense, a big chunk of it which is actually defense, and the same customers. And the other piece into our Power Systems business, where we can enjoy synergies from a technical point of view from our customer service point of view and also some operational synergies as well. So this is the first step to -- on the journey that we're making this year towards a leaner, smaller, crisper headquarters and much more in powered businesses.

Other things that we announced in January, or during the first quarter of this year, a strategic review of our commercial marine business. So if you look at what was remaining in our commercial marine business, it's a collection of system products and components, really optimized for the oil and gas exploration sector. And over the last couple of years, as that sector has suffered a lot of downturn, our marine folks have done a fantastic job in trying to right-size our marine business. And even as they have done so, we find that actually we can't sensibly afford to invest in that business to make those system components sufficiently competitive for the future. And so, right now, we are examining whether it's possible that another owner could do a better job at that and hope we'll be able to update you on the progress of that strategic review quite soon.

A few years ago, there were lot of questions about our portfolio makeup and this review of commercial marine business, or part of the commercial marine business is one answer to that. Another answer is to think about how we're deploying our capital. And a few weeks ago, we announced the sale of L'Orange, which is part of our Power Systems business, to Woodward. And that's all about deploying our capital on products and services and technologies, which are truly differentiating. And as far as the L'Orange product portfolio is concerned, once upon a time it was truly differentiating and good use of capital. Looking forward, we see it becoming a little bit more commoditized and therefore, frankly, probably not the best use of our capital. And that led to a sale of L'Orange.

So how does this translate into numbers? Well, a couple of weeks ago, we put our full year results for 2017 out and it was an encouraging set of results. Revenue up, profit up, cash flow up and so, generally encouraging set of results. And what I was pleased about was there were good contributions from all around the business that made that happen. One of the key drivers of the increased revenue was an increased volume from our large civil engines and that was also very encouraging, because over the last several years, we've had a steep hill to climb, moving from just over 300 large engines per annum, to this year, where we hope to deliver more than 600 large engines per annum. And the good news was that in the fourth quarter of 2017 the run rate supported that volume for this year. And about 40% of those large engines were XWBs, assembled here in Derby.

Our Power Systems business made -- was probably the standout performer really from a business point of view for the year. And that made a significant contribution to the growth in both profit and cash generation. So encouraging results, but actually quite a lot more to go. And in particular, if I pick on that cash generation number, GBP 273 million was a great result and 3x more than market expectations. But actually in comparison with the GBP 15 billion revenue number at the top, still a very, very small number. And that's clearly where we need to do a bit more work over the coming years. For a leading industrial technology company, we need to be generating repeatable, sustainable and really meaningful cash flow, so that we can continue to invest in all the exciting technologies that Paul was talking about a few moments ago.

So here is a slide that shows the key building blocks for future cash generation that we can see over the next several years. And the medium-term milestone, if you like, of approximately GBP 1 billion of free cash flow around about 2020 is a very useful medium-term milestone for us to focus on as an organization. But it is just a milestone, it's a step on the way and we absolutely expect and need this business to generate even more sustainable, repeatable, cash looking forward beyond that.

So here's a summary of the building blocks. And clearly the growth in market share in large civil engines and the more than doubling of the installed base is going to contribute a lot in terms of flying hour revenue. We're looking at an increased contribution from our non-aerospace business, continued good performance from Power Systems and from defense. The folks in Derby and elsewhere around the Rolls-Royce world are working very hard on reducing the cash deficit that we currently have on our large civil engines. And whilst we absolutely expect increasing costs from service visits, since we have a larger installed fleet, then the efficiency of those service visits we're working very hard on. And throughout that there will be some underpin of looking very carefully at our costs in terms of CapEx, general and administrative expenditures and our indirect expenditure.

Now this was a good set of results as far as 2017 is concerned and you can see that we have more to do looking forward. Actually, news flow at the beginning of March and in the weeks since, has been dominated by some in-service issues that we have, particularly around our Trent 1000 engine. And I have to just talk about that for a moment. So our Trent 1000 engine powers the 787 and we have about a 40% share of the 787 market today and that's about 11% of the total Rolls-Royce fleet for large wide body aircraft. But whilst this is an excellent engine for the 787 and our airline customers are very happy with it, they are not very happy with the fact that it only works for a much shorter period of time than they expected it to work, because we have some durability issues with essentially 3 of the components. And I should really start by apologizing to our customers, because these things don't last as long as they are expected to last. It is hugely disrupting for our airline customers, because we have to inspect these engines, even when the parts are starting to fail and that means the customers can't be flying those aircraft and it is hugely disruptive for them.

So what are we doing about it? Well, we are redesigning the components, to make sure that they last as long as they should last and we're working very closely with each of our airline customers on a case-by-case basis to work through their fleets. And we will, over a period of several years, replace those components in all of those engines. There are about 380 engines that are affected in this way and gradually we will replace them. At the moment, we don't have all of those new designs fully certified and available. So some of the overhauls that are happening today are happening with the existing standard of components, but at least this is keeping our airline customers flying in the meantime. And it's that changeover of components, which is why this issue is going to go on for several years, I'm afraid. We

have a reasonably clear idea of the costs of this exercise and at the beginning of March, we talked about the costs, we talked about the cash costs roughly doubling in 2018 compared with 2017. So about [GBP 315 million] this year, falling next year as we finish those designs of the new components and falling still further as we grind through those overhaul visits. So that's the story on Trent 1000.

On one of those issues within the Trent 1000, we have since the beginning of March in our results, decided it's necessary to do more frequent inspections in order to ascertain exactly when one of these components starts to fail. And for that reason, in consultation with the airworthiness

authorities, we have implemented this much more regular inspection. And that is causing, and we talked about it a couple of weeks ago with a press release -- a separate press release, that will cause an incremental cost in 2018 and probably a little bit of an incremental cost in 2019 as well. And it's causing additional disruption to our customers, for which of course we are sorry. But we absolutely prioritize issues like safety and therefore, we have to go on and do this.

The good news is that we looked very hard at how much this incremental cost is likely to be and how we could address it and we are confident that we can address the incremental cost in 2018. And so, we were able to say a couple of weeks ago and again in our statement this morning that we are maintaining guidance for 2018 and we are maintaining our guidance for our mid-term ambition of around GBP 1 billion of cash by 2020. So that's all I'll say for now on the Trent 1000 issue.

Closing out our results, we issued some guidance -- rough guidance for 2018. And we can see revenue growing a little bit, profit continuing to grow and we anticipate a growth in free cash flow, a growth in operating profit. And down at the bottom of the slide, during -- or at the very end of 2017, we assumed full ownership of ITP. ITP numbers are not in the numbers at the top of the slide, which is essentially a comparison with 2017. They will become more relevant looking forward.

So to summarize, encouraging set of results for 2017. 2018 is a year of significant progress, notwithstanding the Trent 1000 issues that I talked about. Inside the business, we have some very clear priorities for the team and we remain optimistic about the future via embracing the exciting technologies that Paul talked about and being a very important leading company as the world transitions to that cleaner and more efficient world of power.

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Rolls-Royce Holdings plc LSE:RR.

M&A Call

Monday, April 09, 2018 3:00 PM GMT

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Presentation

Operator

Welcome to the Woodward, Inc. call to announce the acquisition of L'Orange. [Operator Instructions] Following the presentation, you'll be invited to participate in the question and answer session.

Joining us today from the company are Mr. Tom Gendron, Chairman and Chief Executive Officer; Mr. Bob Weber, Vice Chairman, Chief Financial Officer and Treasurer; and Mr. Don Guzzardo, Corporate Director of Investor Relations and Treasury.

I would now like to turn the call over to Mr. Guzzardo.

Don Guzzardo

VP of Investor Relations & Treasurer

Thank you, operator. We would like to welcome all of you to today's call.

Earlier this morning, we issued a press release announcing that we entered into a definitive agreement to acquire L'Orange from MTU, a world-class engine manufacturer and a wholly-owned subsidiary of Rolls-Royce PLC.

A copy of the release and related presentation materials can be found on our corporate website at woodward.com. During today's call, Tom will comment on the strategies driving this acquisition and then Bob will discuss the financial aspects of the transaction. At the end of our presentation, we will take questions.

An audio replay of this call will be available by phone or on our website through May 9, 2018. The phone number for the audio replay is on the press release announcing this call as well as our website and will be repeated by the operator at the end of the call.

Before we begin, I would like to refer to and highlight our cautionary statement as shown on Slide 2. As always, elements of this presentation are forward-looking or based on our outlook and assumptions for the transaction, global economy and our businesses more specifically. Those elements and the other assumptions underlying our statements can and do frequently change.

Please consider our comments in light of the risks and uncertainties surrounding those elements and assumptions, including the risk we identify in our SEC filings.

On Slide 3, we have summarized the key elements of the transaction. We will generally speak to the financial information of the transaction in euros, given that it is a European transaction and there has been a significant change in the euro exchange rate to the U.S. dollar between 2017 and 2018. Total purchase price is EUR 700 million. L'Orange 2017 pro forma sales were EUR 244 million, but pro forma EBITDA of EUR 74 million.

We anticipate closing in our fiscal third quarter. Now I will turn the call over to Tom to comment further on this significant acquisition.

Thomas A. Gendron

Chairman, CEO & President

Thank you, Don. Welcome to those joining us today. As Don mentioned, we signed a definitive agreement to acquire L'Orange, one of the world's leading suppliers of electronically-controlled high-pressure fuel injection systems for industrial engines.

This is an exciting transition -- transaction for us, and it positions Woodward as the premier engine-control technology and system provider to the global industrial engine market. L'Orange is a leader in fuel injection technology for diesel, heavy fuel oil and dual-fuel engines used in a wide range of industrial

applications, including marine power and propulsion systems, power generation, oil and gas processing, locomotives and other industrial vehicles.

This transaction is an excellent strategic fit for Woodward as it delivers many of the key aspects that we look for in an acquisition, such as a partnership with a world-class OEM, excellent technology and innovation and a large installed base enhancing profitability.

L'Orange brings an ongoing strategic relationship with Rolls-Royce Power Systems, predominantly through MTU. We have entered into a long-term technology and supply agreement with MTU that creates a joint interest in the long-term success of our relationship. The initial term of the agreement is 15 years.

L'Orange enjoys well-established relationships with its key customers and there is minimum overlap with Woodward's customer base, offering significant opportunities to deepen relationships, cross-sell products, diversify our business. Our complementary geographic footprint will enable both Woodward and L'Orange to leverage future revenue opportunities. L'Orange is also a world-class fuel injection technology leader offering proprietary products anchored by strong intellectual property protections.

The team brings innovation and a strong patent portfolio, both active and pending. L'Orange offers a highly complementary product suite and a large engine space. Together, we have a broader portfolio of engine control products, both systems and components that will strengthen our presence in the markets we currently serve, while expanding our customer reach into new and attractive markets and geographies.

Our customers will benefit not only from an expanded platform or capabilities, but also from enhanced research and development. L'Orange has been delivering fuel system components for almost a century, many of these components operate in the harsh environment of the combustion chamber. They now have a very large installed base, which provides a consistent and profitable aftermarket during periods of both market strength and weakness.

Rounding out the strategic rationale supporting this acquisition, we anticipate that the transaction will immediately enhance our industrial segment earnings and be significantly accretive to Woodward earnings in fiscal year 2019.

Bob will discuss this in greater detail later. So from a number of perspectives, we believe the acquisition of L'Orange by Woodward contributes significantly to total shareholder return, strengthen our industrial business and strengthen Woodward.

Let me know get into some specifics related to this deal. So why fossil fuel? Large diesel engines are responsible for powering a significant portion of the work in the world that is performed every day that is projected to continue into the foreseeable future. Transportation, infrastructure construction, resource extraction and distributed power generation, all are powered by diesel or natural gas with no feasible alternatives. While electric vehicles will have their place in the -- on highway market, diesel and natural gas will continue to carry the heavy loads off-highway. Only fossil fuels can deliver the power torque required with the energy density to work over long periods of time with heavy payloads.

Maximizing efficiency and minimizing emissions in the use of fossil fuels is a primary focus for both Woodward and L'Orange. We believe this acquisition enhances our competitive position in this important space as we go forward.

More specifically, L'Orange develops and produces fuel injectors, pumps and related fuel system equipment for large diesel and natural gas engines used in marine, Powergen, rail, oil and gas and a variety of other applications. Together, Woodward and L'Orange will also provide electronics and software, air and exhaust management, and modeling and sensing capabilities to virtually all the major engine manufacturers.

Similar to Woodward, L'Orange has a long history they are -- as a pioneer in advanced fuel injection equipment. Company founder Prosper L'Orange, invented the pre-combustion chamber principle in 1909 and the company has continued to innovate and expand its technology. L'Orange developed the first large engine common rail fuel injection system in 1996 and remains a leader in this space.

With respect to our combined global footprint, we believe we have opportunity to leverage L'Orange's strength in Europe and Woodward's regional balance. Both L'Orange and Woodward have operations in China, where we share our common strategic initiative to significantly expand our partnership with large and growing Chinese engine manufacturers. Together, the Woodward and L'Orange team will be almost 8,500 members strong across the globe.

L'Orange brings a world-class team with excellent depth of industry knowledge, product expertise and operational capabilities. We share a common commitment to drive quality, innovation and continuous improvement in everything we do. We look forward to welcoming them into the Woodward family.

Turning to end markets. L'Orange serves a broad range of end markets and plays in all 3 of our market segments: power generation, transportation, and oil and gas. Taking a look at these in more detail.

Overall, strong secular trends towards reducing emissions, improving fuel efficiency and the growing demand for fuel flexibility remain strong demand drivers for all of these segments, while global macroeconomic indicators continue to improve.

Within Powergen, while the market for large gas-turbine systems is soft, demand for backup and prime power diesel and natural gas generators has been recovering. Utilization of existing engine-driven power plants, predominantly in developing countries, is also supporting aftermarket strength.

Within transportation, global trade volumes continue to expand and the utilization of both cargo and passenger ships is driving a strong aftermarket for service and replacement parts. This is an area where L'Orange is particularly strong. Although new shipbuilding has been depressed, it is showing signs of life as emission requirements come into play nearshore. Similarly, locomotive activity is picking up as global industrial momentum accelerates and countries adopt more restrictive emission requirements.

Oil and gas has been extremely strong as oil prices have stabilized, which has led to increased capital investment, utilization of existing rigs and the drilling of new wells. Higher utilization is driving demand for aftermarket parts and services.

From initiation of combustion to the after-treatment of exhaust, Woodward and L'Orange together will be able to offer our customers complete fuel system solution, large gas and diesel engines. L'Orange's strength in fuel injection and common rail pumps complements Woodward's broad range of capabilities, including electronic controls, valves, sensing and actuation.

Bob will now give you some important details of the transaction. But I would like to close by saying, I believe this is a compelling long-term opportunity for Woodward from both a strategic and financial perspective. We are confident that this transaction positions us well to drive future growth, enhance our margin and unlock significant value creation for our shareholders.

Now let me turn over to Bob.

Robert F. Weber
Vice Chairman, CFO & Treasurer

Thanks, Don. As Don mentioned, Woodward will acquire L'Orange for a total consideration of EUR 700 million. L'Orange had 2017 pro forma sales of EUR 244 million and pro forma EBITDA of EUR 74 million.

Looking forward, we anticipate L'Orange 2018 pro forma sales to be approximately EUR 255 million to EUR 265 million and pro forma EBITDA of EUR 80 million to EUR 85 million based on our estimates.

At closing, we anticipate utilizing a combination of cash on hand and our available revolving credit line to finance the deal. At a later date, we anticipate converting our financing to a combination of our revolving credit line and long-term fixed rate debt. This will allow us to take advantage of both Woodward and L'Orange's strong projected cash flows to retire prepayable floating debt while also taking advantage of historically low long-term interest rates.

We anticipate the transaction will close in our fiscal third quarter and only requires German antitrust clearance. In addition to the strategic benefits of this acquisition that Tom discussed, this combination is

highly attractive from a financial standpoint. We believe Woodward and L'Orange combined will allow us to realize a number of valuable sales synergies such as L'Orange as an independent fuel system supplier will be able to expand its revenue base beyond its current scope; our combined OEM customer base and geographic footprint will allow for cross-selling opportunities, particularly in growing regions such as China; the combination of our aftermarket channels will allow for considerable leverage; and finally, our complementary product portfolios will allow us to broaden and deepen our fuel systems offerings.

Given the complementary nature of our operations and product portfolios and the increased scale of the combined businesses, we believe we will be able to realize significant cost synergies in the areas of productivity, supply chain and infrastructure. We anticipate that these synergies will reach approximately \$20 million of annual savings by 2021.

Turning to our anticipated capital structure and deployment. Debt leverage at closing is anticipated to be approximately 3.2x, based on combined pro forma EBITDA. Given our projected cash flows, we expect to rapidly reduce debt leverage to 2x EBITDA by the end of fiscal 2019. Our leverage projection assumes that we will focus cash flow on the reduction of acquisition-related debt in the near term and defer further share repurchases until the latter half of fiscal 2019.

We intend to continue growing our dividend at an annual rate of 10% to 15%. Our overall capital deployment strategy remains in line with what we announced at our most recent Investor Day. Consistent with our long-term strategic philosophy, we intend to maintain our focus on innovation and growth through investments in R&D and capital expenditures.

Turning to earnings. Based upon our preliminary analysis of the impacts of the transaction and assuming closing in our third fiscal quarter, we believe that there will be no material impact on fiscal 2018's Woodward earnings, excluding purchase accounting adjustments. This analysis would be significantly impacted by a change in the closing date of the transaction.

Looking forward, we anticipate the transaction to be accretive in fiscal 2019 and to add approximately EUR 0.35 per diluted share, excluding purchase accounting impacts.

Before taking questions on this transaction, I would also like to take a moment to discuss the Duarte announcement that also went out this morning. In our February 1 press release, we announced the relocation of the Duarte, California operations to our newly renovated Drake Campus in Fort Collins, Colorado. As a result of this decision to move, we have recorded specific charges totaling \$12.5 million pretax for workforce management impacts associated with this relocation in the second quarter of fiscal 2018.

Additionally, we anticipate incurring certain move-related costs such as expenses associated with moving equipment, employee training, accelerated depreciation and increased labor expenses over the coming year. These expenses will vary by quarter but are expected to be approximately \$12 million in total. We anticipate approximately a 2-year payback on the Duarte relocation project based on cost savings.

Additionally, we are exploring various options with respect to our Duarte property, and we believe that a substantial gain will be realized upon its disposition. Also included in our announcement are specific charges of approximately \$4.5 million of workforce management costs to align our industrial turbomachinery business with current market conditions. Although we have already taken considerable actions to redeploy our workforce and reduce costs, underlying market conditions have continued to deteriorate and further action is necessary.

The specific charges totaled \$17 million pretax or \$0.20 per diluted share. Beginning with the earnings release for our second quarter of this fiscal year, we will report adjusted earnings in addition to earnings reported -- earnings as reported under U.S. GAAP. Adjusted earnings will exclude the specific charges and the incremental costs associated with the Duarte relocation as well as the transaction costs, purchase accounting and other one-time costs related to the L'Orange acquisition.

With that, I'd like to turn it back to Tom for some closing comments.

Thomas A. Gendron

Chairman, CEO & President

Thanks, Bob. I'd like to emphasize how impactful this acquisition will be to Woodward. It enhances our position with major OEMs, strengthens our fuel systems control technologies and product offerings and with a substantial aftermarket and related installed base, it enhances Woodward's profitability. We believe this transaction will drive growth and profitability, which will enhance long-term shareholder returns beyond other short-term capital deployment opportunities.

This concludes our comments. Operator, we are now ready to open the call for questions.

Question and Answer

Operator

[Operator Instructions] And the first question will come from Greg [indiscernible] of Jefferies.

Unknown Analyst

Just when I look at the margins of the acquired business versus your current industrial business, they are higher by quite a large multiple. I mean, do you view that as sustainable? Or are there other opportunities, maybe, within industrial to move closer to the acquired business?

D. Warren A. East

CEO & Executive Director

Yes, both questions. L'Orange enjoys many, many more years of product in the field than Woodward currently has. We are relatively new in the fuel injection side of the equation. So they have a very strong aftermarket with a very large installed base and that contributes to that profitability. We believe that is sustainable. And in addition, we believe as time goes on, Woodward's industrial margins will also rise related to having that very large installed base out there as we go forward.

Unknown Analyst

And is there any way to quantify the percentage of aftermarket versus OE mix?

D. Warren A. East

CEO & Executive Director

We've had this discussion on the Woodward side as well. And -- because in many cases, our customers own the aftermarket, a lot of times it's very hard for us to actually determine what the actual percentage is, so it's very difficult.

Unknown Analyst

And I'm sorry, just to throw in one more. I mean, you talked about broad diversification across your 3 end markets. I mean, but it sounds like maybe it's a little bit heavier on transportation. And I think your transportation was something like 28% last quarter -- or sorry, last year. Do you expect that to move up, I mean, when we think about the acquired business mix versus where you are at?

D. Warren A. East

CEO & Executive Director

We do believe that will improve over time. And I think both the combined entities will be able to take advantage of that combination.

Operator

The next question is from Gautam Khanna.

Gautam J. Khanna

Cowen and Company, LLC, Research Division

Just wanted to follow-up on the last question on mix. You showed the pie charts at Powergen at L'Orange. And how much of that is gas turbines? And then more broadly, can you talk about the LTM sales, how does that compare to what do you think the next 12-month sales will be at L'Orange? I just wonder, have they already suffered through the gas turbine downturn? Or is their business potentially going to decline over the next 12 months?

D. Warren A. East

CEO & Executive Director

Yes, sure. One, for clarity, they do not do anything in gas turbines. It's all reciprocating engine. So it's diesel and some dual fuel and natural gas reciprocating engines. So the market has been recovering. Utilization rates are high, which is driving the aftermarket revenue. And we're looking at a 4% to 8% growth rate in 2018 from 2017. So it kind of gives you an idea that it is on the recovery. They made it through the industrial downturn quite well on the back of aftermarket sales. And we anticipate that it's on a positive trajectory right now.

Gautam J. Khanna

Cowen and Company, LLC, Research Division

Okay. That's helpful. And Bob, you made a comment about EUR 0.35 accretive prior to purchase accounting. Can you give us any ballpark sense on what purchase -- the intangibles amortization might be annually?

Robert F. Weber

Vice Chairman, CFO & Treasurer

Yes. That's why it's definitely a ballpark. We will really not be able to get a good view of that until around closing, shortly thereafter. So at this point, that is the biggest unknown. We mentioned that you can kind of work out between earnings and our estimate, current estimate of intangible amortization and the accretion number. You can kind of work out what we are thinking there as a very rough and that is very dependent upon the timing of the closing. If that moves, there is a significant impact as well as we don't have good details yet on some of the components with respect to work in process and the backlog.

Gautam J. Khanna

Cowen and Company, LLC, Research Division

Okay. And last question, just could you remind us of the rate of borrowing? What is the rate on the revolver? And eventually, if you term some of that out, what do you anticipate the cost of funds to be?

Robert F. Weber

Vice Chairman, CFO & Treasurer

The revolver is currently a little over 2.5%. And we will use that initially. The long-term rates, you can kind of see where they're falling at, European long-term rates are a little bit lower. So we anticipate we will be able to take advantage of that. So we haven't finalized our long-term financing, but we'd be surprised if it extends much over 3%.

Operator

The next question is from the line of Pete Skibitski.

Peter John Skibitski

Drexel Hamilton, LLC, Research Division

Kind of a top-level question guys. Given the great visibility and growth you guys have on the aerospace side, that's probably 80% of EBIDTA or so. What kind of compelled you to this deal? Because I think we -- most of us were expecting we'd see maybe tuck-ins in the next couple of years. And I felt, like, this is definitely bigger than a tuck-in, I would say. Was it -- it was obviously somewhat opportunistic, but it was just too good a deal to pass up or some other reason you would call out?

Thomas A. Gendron

Chairman, CEO & President

Well, Pete, what I would highlight is, we've had some difficulties in our industrial markets, but we've tried to communicate all along. We still think our industrial businesses are world-class businesses. And over the years, we keep an eye on assets that we like in both aerospace and industrial. We've had conversations for more than 3 years regarding L'Orange with Rolls-Royce. And timing and alignment of their desires and our thoughts for the business came together. So it's a business we like. We've known it for years and it's one that, as we've talked about in the past, Woodward is very patient. We have a look at asset that we

think would be a great fit for Woodward over the long-term. We keep focused on those. We try to build the relationships. And when those opportunities arise, we tried to jump on them and that's kind of what happened here. And we think it's very favorable to Woodward, favorable to our industrial business and it really will have long-term shareholder value creation. It doesn't take our eye off aerospace. Our aerospace business is really robust. We will continue to look there. I think you know our history on that, Pete. We've had discussions with on some of the acquisitions we've made that went on for more than 10 years. So it's really knowing what fits with the company, be patient and wait for the opportunity to arise. And that's what happened here.

Peter John Skibitski

Drexel Hamilton, LLC, Research Division

Okay. Makes sense. L'Orange, is it coming with any debt at all? Because just looking at the valuation, it looks like 11.6x EBITDA, but I'm not sure if they're bringing any debt with them or not?

Robert F. Weber

Vice Chairman, CFO & Treasurer

No. There is a pension liability -- long-term pension liability. That is the only real difference. We believe it's about 9.5x the 2017 EBITA and about 8.3x at the midpoint of the range we gave on 2018 EBITDA.

Operator

The next question is from Julie Yates.

Julie Ann Yates Stewart

Crédit Suisse AG, Research Division

Congratulations on the deal. So on L'Orange, I'm guessing they're facing the same oil and gas headwinds that you've seen since 2014 and your industrial sales are down almost 20% from that time frame. How does L'Orange compare over the same time frame? Or maybe how should we think about the most recent peak sales here? And what did the margin profile look like on that base?

Thomas A. Gendron

Chairman, CEO & President

Well, first, in oil and gas right now, in particular where these types of products are used in the recent -- and the [reset] engines are used in the extraction, it's actually very favorable at the moment. So we're seeing increased sales in Woodward's portfolio and L'Orange has seen increased sales in that area. So they're doing quite well in oil and gas at the moment. What we would say is that, over the last 3 years, L'Orange has been able to do quite well at holding their margins and through what was the downturn, but now we're seeing things turn. They had growth -- nice growth in '17. And as I was mentioning earlier, Woodward is projecting for them 4% to 8% growth going into '18. So we think it's on a quite good path. The markets are strengthening and utilization, which is really critical, utilization is up. Utilization is driving aftermarket. And these type of products being that they're part of the combustion process, they have high wear which drives a solid aftermarket. So those are all coming together and we think they managed with their installed base the downturn really well. And right now, we are looking at growth going forward.

Julie Ann Yates Stewart

Crédit Suisse AG, Research Division

Okay. And has L'Orange experienced the same strength in the China truck market over the last 12 months that you've seen? What's their exposure there? And any kind of thoughts on the sustainability of that market?

Robert F. Weber

Vice Chairman, CFO & Treasurer

Yes, actually, they don't play in the truck market. If you look at, I'm trying to remember which slide, in our slide deck, we highlight which class of engines that they provide hardware for. And that class, which is --

it's Page 8. And if you take a look at that, they play in engines above the on highway market size. So they don't have exposure to on highway.

Julie Ann Yates Stewart

Crédit Suisse AG, Research Division

Okay. That's helpful. And then just last one from me, with the incremental \$4.5 million restructuring charge tied to IGT? Where are we in terms of volumes in Powergen, given they've taken incremental step down. How much visibility do you have there? And how confident are you on that kind of flat to down slight outlook for overall industrial just excluding the L'Orange business?

Thomas A. Gendron

Chairman, CEO & President

Yes. What I would say in terms of the industrial gas turbine market and what we have said in the past is, we believe we are near the bottom. We can't say for sure it's bottom, but we don't anticipate real growth coming until 2020. So this year, and next fiscal year are going to be still tough on the IGT business.

Operator

And the next question is from David Strauss.

Thomas A. Gendron

Chairman, CEO & President

Back on the aftermarket versus OE, I know you said you couldn't really detail what the overall mix is there for L'Orange. But any color you can give on the margin differential, new equipment versus aftermarket for the business?

D. Warren A. East

CEO & Executive Director

There is no doubt just like Woodward's business, our aftermarket carries higher margins. And in this field, definitely the aftermarket is at higher margin than the OE. And as I said, they have a very large installed base which does bring a very healthy aftermarket.

Thomas A. Gendron

Chairman, CEO & President

One statistic, if you will, or a financial fact that is kind of comes out. When you take the operating profit for '17 on the sales, you can see a very healthy operating profit would approximate segment earnings from our perspective. So you can kind of see the impact of that margin differential vis-à-vis our industrial business.

David Egon Strauss

Barclays Bank PLC, Research Division

Right. And, Bob, the currency impact here. Obviously, a lot more exposure to the euro. How would you -- how do you plan on handling that going forward?

Robert F. Weber

Vice Chairman, CFO & Treasurer

Well, the plan is. So we've already been long euro, this will make us longer euro, but we'll be using euro-based debt. So we do believe there will be a natural hedge. And in addition, I shouldn't say natural, there will be a debt-related hedge. In addition, a good portion, as you can see on one of the slides in the deck, is euro related. So the revenues are largely euro. So there is a built-in natural hedge as well.

Operator

The next question is from George Godfrey.

George James Godfrey*CL King & Associates, Inc., Research Division*

I'll add my congratulations on the acquisition as well. I just wanted to ask about, again, beat the dead horse here, the operating profit margin, EUR 64 million for L'Orange on EUR 244 million. That comes out to like 26%. If I look at your industrial margin of 11%, is that an apples-to-oranges comparison? Or is their business just structurally much more profitable in diesel versus yours in gas?

Robert F. Weber*Vice Chairman, CFO & Treasurer*

What I would say is, what you're seeing as the major difference is they have an enormous installed base in the diesel fuel injection market. That market has, once again I would say, high wear and a lot of aftermarket. And as such, you are seeing the benefit of higher margin aftermarket coming through. So it's more, what I'd say, correlates kind of what's like our aerospace business, very proprietary product, high aftermarket, good margins. As Bob highlighted earlier, we expect some of our other fuel injection type equipment as installed base grows and the utilization grows, over the years, that will also enhance margins. And we do believe combined as we go forward, the Woodward industrial businesses are capable and will be top quartile earnings type business in the industrial market. So we think they're really solid businesses, and it is a great example of what they can be.

George James Godfrey*CL King & Associates, Inc., Research Division*

Okay. Because if I start -- I will use the dollar conversion. If I take their business of \$300 million and what the margins appear to be now and add the \$20 million of synergies that you're targeting, I think, call it say in 2 years, it looks like the margins will be north of 30%. And so, it would seem like not only the aftermarket but their OEM, of course, with products are extremely profitable as well?

Thomas A. Gendron*Chairman, CEO & President*

Yes. When you -- when we look at that synergy that's combining across all of Woodward, and how we're going to get to that. But, George, the business is profitable, and we think we can drive those cost synergies. But on the other -- on the -- what also excites us and we highlighted it there in the prepared remarks, what really excites us is they are now -- and they will now as part of Woodward to be an independent fuel injection systems supplier. I think that will open doors to other engine OEMs that were not opened to them, and we think we're going to be able to grow the business combined with Woodward substantially. So that's the sales synergy side that we did not try to put or quantify on the amount of future revenue. But we do believe that, that is now opened to L'Orange and as part of Woodward we would be able to expand them worldwide.

Operator

[Operator Instructions] The next question will come from Michael Ciarmoli.

Michael Frank Ciarmoli*SunTrust Robinson Humphrey, Inc., Research Division*

Just maybe to stay on George's line of questioning there. On the \$20 million in synergies, can you just give maybe a little bit more detail? I mean, I see productivity supply chain but maybe the timing of those synergies, if there is any sort of natural facility consolidation, maybe just give us a frame of reference here for how we should think about those layering in.

Thomas A. Gendron*Chairman, CEO & President*

Yes. I think you got to look at -- we said we'd achieve those by 2021. They're going to be more back-end loaded. We do see as we look at supply chain, internal or external, there's real opportunities there. It takes time to adjust supply chain. There is -- we're going to look at leverage opportunities using

Woodward infrastructure and the like. So we see those happening, but a little more back-end loaded just due to the nature and the timing of implementing that type of activity. But we've got a lot of confidence that we will deliver that over time.

Michael Frank Ciarmoli

SunTrust Robinson Humphrey, Inc., Research Division

Okay. And then just back to the aftermarket. I mean, maybe aftermarket and in general the business, how predictable is this? How much visibility do you guys have if you look out over the next 3, 6, 9 months? Is this typically an intraquarter where you book ship? Or do you build up a backlog where you know sort of what you're working with, and I think you even said some of those aftermarkets go to the OEM. So it's a little bit unclear. So just how do you get comfortable with it from a visibility standpoint?

Robert F. Weber

Vice Chairman, CFO & Treasurer

One way we get comfortable with a lot of the fuel injection equipment. You can correlate the aftermarket to the amount of hours the engine is running, and there is service intervals on these larger diesel engines. And at those service intervals we can have high confidence that there would be replacement parts, and that's how we calculate -- we will calculate it. And we've looked -- that also applies to the Woodward fuel injection business but L'Orange, like I said, is much larger. So you can look at that, look at service intervals. So the real key there is our -- it's not necessarily new machines going into the market, it's existing machines running. And so that's the key factor. And as we look at that factor, you can then correlate that to aftermarket revenue.

Michael Frank Ciarmoli

SunTrust Robinson Humphrey, Inc., Research Division

Got it. And then last one from me. I think it looks as though this business does spit out a pretty good amount of free cash flow. I think you called out EUR 51 million. What sort of the trajectory there? Does that cash generation change with bringing this now under the Woodward umbrella with any of the tax law changes in the U.S.?

Robert F. Weber

Vice Chairman, CFO & Treasurer

No. It remains very robust. The tax law changes in the U.S. were we to bring it back will have a positive impact in terms of the tax rate, but we have lots of potential uses also in the European region and elsewhere for the cash. So we don't envision any change in the trajectory. It's very strong. And we have plenty of use for it.

Operator

There are no further questions at this time. I'll turn the call back over to Tom for closing remarks.

Thomas A. Gendron

Chairman, CEO & President

Okay. Well, thank you, everyone, for joining us today. One thing I would like to add at the end of the call here is, my thanks to the Rolls-Royce Power Systems team. Whenever you go through an acquisition, it's a tremendous amount of work and they had to put a lot of work into it, and I also want to thank our team who've put a lot of work into it and to bring us to a signing yesterday. So thanks go out to both teams, we appreciate everybody being on the call. We look forward to talk to you in a couple of weeks at our second quarter earnings release.

With that, I'll turn it back to the operator. Thank you.

Operator

Thank you. Ladies and gentlemen, that concludes the conference call for today. If you would like to listen to our rebroadcast of this conference call, it will be available today at 3:00 p.m. Eastern daylight

savings time by dialing 1(855) 859-2056 for U.S. callers or 1 (404) 537-3406 for non-U.S. callers and by entering the access code of 5589466. A rebroadcast will be also be available at the company's website at www.woodward.com for 30 days. We thank you for your participation on today's conference call and ask that you please disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR. Fixed Income Call

Wednesday, March 07, 2018 4:00 PM GMT

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EXECUTIVES

Stephen Wayne Daintith
CFO & Executive Director

Presentation

Operator

Hello, and welcome to the Rolls-Royce 2017 Full Year Results Fixed Income Call. [Operator Instructions] I'll now hand you over to Stephen Daintith, CFO. Please begin.

Stephen Wayne Daintith

CFO & Executive Director

Thank you very much. Good afternoon, everybody. My name is Stephen Daintith. I'm the Chief Financial Officer of Rolls-Royce. Thank you for joining us this afternoon for a run-through of our 2017 results. I'm sure you've read the release already and maybe 1 or 2 of you actually checked into the analyst presentation this morning, but let me just give you 1 or 2 highlights and then I'll take care of your questions.

So I think it's an encouraging set of results that we've presented today. Good operational progress and milestones achieved. If you look at the financial highlights, I think revenue is growing at 6%, is always a very good start. Profit is up 25% and free cash flow has tripled to GBP 273 million, ahead of expectations and reflecting the progress that we're making across the group, but particularly in Power Systems during the course of the year. Civil Aerospace delivered a record 483 engines, up 35%, and also achieved a 37% reduction in the cash deficit on the XWB-84, which will be one of our most significant engines over the next few years. Service revenues were strong, which is the aftermarket revenues. They grew by 12%, similar to the widebody flying-hour growth, and will be the key driver of improving cash flow as we grow our installed base. And great visibility around that cash flow as well and reliability of the margins attached to it. You'll also see, we had good transitions this year, a record 67 aircraft versus 46 in 2016. So our aircraft are transitioning better than our competition. So a good year in Civil Aerospace.

And you'll see that we have, however, experienced some issues on -- in Civil Aerospace during the year with respect to the 900 and the 1000 and essentially parts not lasting as long as we first anticipated and wearing out more quickly in both instances, the 900 intermediate pressure turbine blade, and in the 1000, the ITP high-pressure blade and also the compressor rotor 1 and 2. So a number of issues on the Trent 1000. The cumulative cash costs of that -- those 2 engine issues in 2017 was GBP 170 million. And we guided today that that's going to double to around GBP 340 million in 2018. But I think the encouraging news is that we're still able to give the guidance at GBP 450 million of free cash flow in '18 despite digesting that GBP 340 million of cash outflow that we're anticipating on those 2 issues.

I think Power Systems had a standout year, growing its revenues nicely, particularly with service revenues growing at 6%, and their profit is growing by over 60%. So really good profit growth in Power Systems and very good cash conversion as well, converting all their profits into cash and then even working capital contributions as well benefiting Power Systems.

Defense had another steady performance, good margins, albeit slightly declining and operating against some tough export markets, with a slightly dampened U.K. market, as we're aware. Sudden long-term contracts are starting to come or have come to the end of their lives, including the Tornado, the Typhoon and the Sea King Helicopter. And we commented today on the restructuring program that we announced back in January. I think on the Capital Markets Day in June, we're going to tell you a little bit more about that and the progress that we're making there. The theme, though, for the restructuring program is to have a lean corporate center and empowered businesses, so to take some of the heat away from the corporate center activities and then give our businesses a bit more autonomy to decide how to run and operate the businesses, but within a corporate control and governance framework still.

We reported our numbers on IFRS 15 as well for the first time for 2017. I think the market has been very well educated along the way as to what the likely impact is going to be, broadly, an GBP 800 million reduction in our profits. And that's almost entirely due to our recognition of the cash losses on original equipment sales in Civil Aerospace immediately, i.e. as soon as the delivery takes place, rather than putting the loss on our balance sheet and then amortizing that loss, so to speak, over the life of the

contract. And so that is in very simple terms around a GBP 700 million hit to our income statement, which you can see makes up the absolute -- the vast majority of the overall impact to our P&L account.

We've given some good guidance, I think, some good sort of granular guidance today around our expectations for 2018. In short order, we're looking at GBP 450 million of free cash flow versus today's GBP 273 million for 2017. And for profits, we're looking at moving the profit from GBP 321 million of profit under IFRS 15 basis to GBP 400 million profit in 2018 on that new basis. And just to point out that the one key variable that is more freaky to model is the number of shop visits that take place when -- I've explained how the accounting treatment for the OE cash loss is being recognized immediately, but in the aftermarket, we only recognize the revenues and profits when the shop visit take place. But a key point here is that we collect the cash throughout on a flying-hour basis. So what you're going to see over the next 5 to 10 years is a big deferred income balance growing on our balance sheet as we collect the cash, so we debit cash and credit the deferred income and put that on the balance sheet. So you'll see that liability growing. So that's a sort of quick run-through of our numbers.

I think an encouraging set of results, good to see cash flow growing and moving nicely towards that GBP 1 billion by 2020 goal that we have, so to speak. And making -- and again, sort of reaffirming our confidence around that -- today's results, and that's notwithstanding the headwind that we have -- the temporary headwind of the 900 and the 1000. We reiterated today the importance of a strong balance sheet and the return to an A grade rating in the near term. That remains an absolute priority for us. And I think we've signaled that intent by indicating that, notwithstanding the growth in free cash flow, we're holding the dividend for now and we will not be revisiting it until 2019. And free cash flow will be the guide for us on the appropriateness of increasing the dividend or not. So I think, that's the -- a quick run-through. Sorry for taking a little bit longer on that than you might have hoped, but I'm happy to take any questions now that you might have.

Question and Answer

Operator

[Operator Instructions] And it seems we have no questions on the telephone lines at this time. So I'll hand the call back to you, Stephen.

Stephen Wayne Daintith

CFO & Executive Director

Well, thank you very much. And I hope that somebody out there is still listening, but thank you very much for your time. And I look forward to talking to you at the half year. Thank you. Bye-bye.

Operator

This concludes our call. Thank you for attending. Participants, you may disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

FY 2017 Earnings Call Transcripts

Wednesday, March 07, 2018 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2017-			-FY 2018-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.36	0.40	▲11.11	0.38
Revenue (mm)	14623.59	15090.00	▲3.19	14851.33

Currency: GBP

Consensus as of Mar-06-2018 7:22 AM GMT

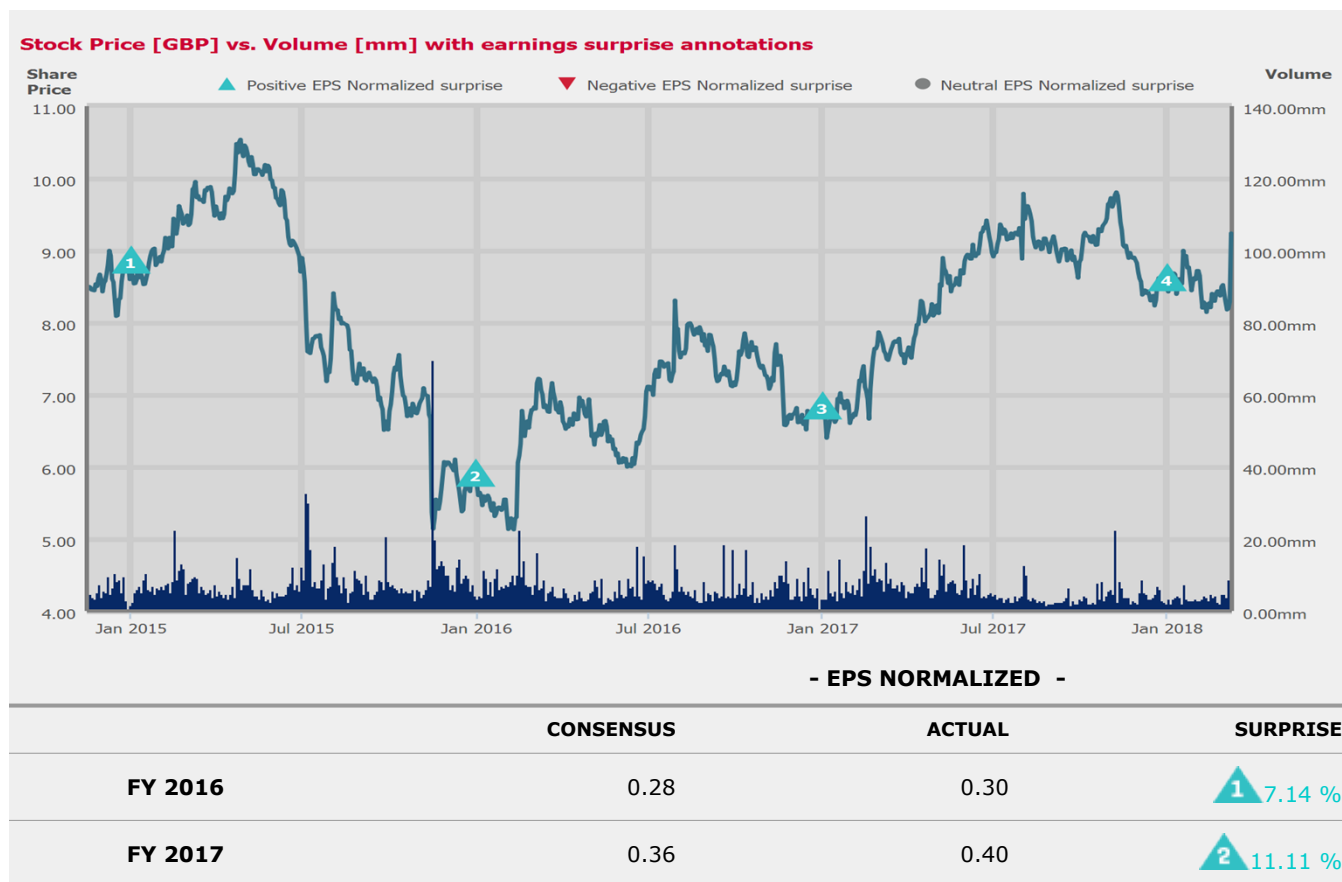


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Jennifer Ramsey

Stephen Wayne Daintith

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Presentation

Jennifer Ramsey

Okay, all right. We're just a couple of minutes past 9:00, and it's time to start.

So thank you for joining us here at London Stock Exchange, and for those of you joining online. My name is Jennifer Ramsey, and I lead the investor relations team at Rolls-Royce. I want to welcome you to our full year results presentation for 2017.

The agenda for today will be Warren East, our Chief Executive, will share his perspectives on the progress we've made and the challenges we faced in 2017. Then Stephen Daintith, our Chief Financial Officer, will talk through our financial results in more detail and with reference to both current accounting and IFRS 15. And Warren will then round up with his outlook for the year ahead. In terms of the presentation, the presentation should take roughly 45 minutes. We do have a lot to cover, though. And then we will be taking questions. If you want to take a question online, please access the webcast service via our webpage. And we'll endeavor to answer those questions, if we haven't already answered them in the room. And finally, if I could ask you to switch off your mobile phones so that there's no interruption during the presentation. We're not expecting any emergencies. If the alarm does go off, please make an orderly exit to the front of the building and to Paternoster Square.

And with that, I'll hand over to Warren.

D. Warren A. East

CEO & Executive Director

Great. Thank you very much, Jennifer. Morning, everybody. Thank you all for coming. And I hope I can drive the projector this morning.

I'm going to start with a few highlights. I'll then do a quick run around the business, step back and review the priorities we set a year ago for 2017 and reflect a little bit on the progress there. Stephen will add some significant color to the numbers before we summarize and do questions.

So I think the summary on this morning is we say this is an encouraging set of results. And I actually feel it's good progress to be standing here reporting record revenues, a growth in profit, an almost tripling of free cash flow after absorbing some significant costs, reasons for which we will talk about in a moment; and to know that that's actually generated from underlying improvements in the business right across our group. So it's a pretty encouraging set of numbers.

Just to pick on some of the highlights there. Obviously a big driver, pretty big driver of the improvement in cash flow is the growth in our installed base and in particular our fleet of large engines on wide-body aircraft. And halfway through the year, our in-service flying hours were up by some 15% in Trents at the end of the year. That's up by 22% year-on-year, continued momentum. And it's quite good momentum picture. Some years ago, we were facing a large ramp in volume productions. And how were we going to do that with large engines? Well, this is the third consecutive year that we're able to report a significant growth in production of large engines. And I'm particularly encouraged with our over 35% in actual engines delivered, to nearly 500 engines; over 500 engines produced; and the run rate of production during Q4 setting us up in the right place for the growth we expect in volume production as we go through 2018. So I'm feeling quite encouraged about that. At the same time, of course, we all know that when we produce an engine and stick it on an airplane wing, then we make a cash loss. And we've been fairly transparent about that, but the good news is that we are squeezing down on that. And in the year, 40% of the large engines were Trent XWB. And on Trent XWB, we made significant progress at squeezing down on the cash deficit. And we're still on track to get to our break-even goal on that by around about 2020.

The standout performance probably among across the group was in Power Systems, where under new leadership in Power Systems we saw a really good recovery in numbers. And I'll talk about that in a little

bit more detail in a moment, but this is really driven by rigor and discipline and an execution mindset that is now starting to become prevalent in that business, which is very encouraging.

Looking ahead to the future. Our future is all about new technology. And clearly, we need to be working today on the new technology that's going to enable us to win in the future. And we had a good year with our new big-engine architecture, the UltraFan architecture; and both the core engine and the gearbox that is required to create that architecture going forward. So that was encouraging. Of course, it's all about the people. And it seems like it's been a very long time, but actually just reflecting on it, 2017 was the first year in which we've had a new executive leadership team. And so that team has actually only been out on the pitch for 12 months. In fact, 12 months ago, Stephen was sat on that side of this platform rather than on this side of the platform. And a lot happens in 12 months.

Of course, it's not all been glorious. And particularly, recently there's been quite a lot written about the issues that we're facing with some of our customers on Trent 1000. And I'll start with that issue. So this is a very important issue for us. First of all, let's just get it in perspective. These engines are mechanical beasts. The engines themselves are perfectly healthy, but mechanical things wear out. And what's happening is that some of the components on the Trent 1000 are wearing out sooner than we and our customers expected. That is causing a lot of disruption for our customers, and obviously we are very sorry. And we work quite closely with all of our customers to minimize the operational disruption, but we have been taking significant steps to do that over the last 12 months. We've almost tripled our repair and overhaul capacity to deal with the Trent 1000. We've tripled our capacity to provide the vital components that are necessary. And it obviously takes some time for that capacity to come on stream and be effective, which is why we've seen this issue escalate. It is a dynamic situation, and whilst we are managing it on a day-to-day basis, we have not only put that extra capacity in place. We're addressing the issues by redesigning components, and we have plans in place to get all those redesign components in the engines over the next several years. This will be costly. And we are putting in our earnings release this morning the latest estimates of that cost. And the good news is that, even though it escalated in 2017, we absorbed that full cost in 2017. And the latest estimate of our costs are completely encompassed in the outlook that we've come out with today for 2018 and indeed beyond into our medium-term free cash flow ambitions.

Now it wasn't all challenges in our Civil Aerospace business. Actually, not only did the team, I think, did a fantastic job of dealing with those challenges, but they also delivered on some really great achievements. So the ramp-up in deliveries, I already spoke about. The growth of 12% in invoiced flying hours, that is the business model working. We have been working hard over many years to gain the design wins, and now we're delivering on those design wins and growing the size of our fleet. And when you or I get on an airplane and go from A to B, there's now a larger possibility -- larger probability, rather, that, that is powered by a Rolls-Royce engine. And that is the business model working. And that is why we have a 12% increase in invoiced flying hours. At the same time, we're not just sitting there and counting the extra flying hours. We're working hard on reducing the costs, the amount of money it costs for us to install the engines and continue to grow the size of that fleet. And as we look forward and think about how the business develops in the future and we grow that competitive position even more, then new engines. And during 2018, of course, we've had a peak of new large engines coming into service. And we're very pleased with, over a 12-month period, 3 of the large new engines, the Trent 1000 TEN version, the XWB-97K version and the Trent 7000 for the new Airbus A330neo, they all had their first flights on their airframes. 2 of them are now in service, and the third one will be in service later this year. And looking even further ahead, then, good work on new technologies.

As I said, the standout performance around the group was really from Power Systems. And that delivered an underlying profit improvement of over 60%, which is really encouraging. Actually it's more than encouraging momentum, which is what it says on the slide. Last year, I talked about linearization in this business and how it was very back-end loaded historically and how we couldn't make it linear in 1 year, but actually in 2018 we made -- 2017, sorry, we made significant progress at that linearization. And that has contributed significantly to the performance but not at expense of revenue. So revenue has grown by 3% in the business. And that new leadership team are really making significant changes. One of the changes they're making is simplifying, so we've had a significant reduction in the number of products in the portfolio. And that has all led to this meaningful improvement in profitability and cash flow.

I think there is great potential here. There's a massive installed base, and that installed base is of approximately 140,000 engines. It's growing by approximately 20,000 engines every year, and that's a fantastic service opportunity. Now we add some digital technology to that, and we can address that opportunity. Looking forward to the underlying products themselves, of course, this is -- these play in markets which people are focusing a lot on making the engines cleaner and less damaging to the environment. That is a great opportunity for us to deploy better technology and secure our market share with competitive solutions. And I'll come back to that when we're discussing the strategy after Stephen's been talking.

So in our Defence business, a solid year. Defence business really is characterized by long periods being dominated by service whilst you're tracking new opportunities for OE design wins. Those windows for OE design wins don't open very often, and you need to track and keep on top of them. So quite a lot of this activity is around service and about squeezing more out of the installed base that we have. One of the ways we do that is by getting closer to our customers. So that access box up there is all about extending an agreement that we've had for many years with Aviall, which is now a Boeing company incidentally. And that, they effectively act as a distributor, particularly in the U.S. for us, with the significant presence that we have there, getting spare parts on the site to make those airplanes available for the U.S. customer as soon as possible. And so having had a little agreement with them for many years, we've extended that agreement this year across quite a lot of the fleet. At the same time, we look at the costs of what it takes to manage our business. And we made significant progress there in reduction of costs of our operations. Obviously, some of these contracts, they are quite long-term contracts. They cover a lot of engines. And there's obviously nervousness when those contracts come towards the end, and so it's very pleasing to be able to report such a significant renewal of some of those long-term contracts.

I talked about staying on top of the opportunities for new OE. And the good news is that, looking beyond the [indiscernible] home countries of the U.S. and the U.K. for our Defence business, encouraging to see some export orders. And it is -- and the service piece again, in the bottom corner there, isn't just about signing up deals with distributors. Sometimes, we have to get close to our customers as well. And 2 new service centers there for the U.K. MoD.

Progress in some of our other businesses. Well, I'll take Nuclear, at the top of the slide. This business is there's a small piece of civil nuclear, and that's around control systems and service. And good news is we secured some significant contracts in that business, but most of the Nuclear activity is -- it is dominated, in fact, by some unique contracts with the U.K. MoD for propulsion systems for their nuclear submarines. And we've been making good operational progress on that, notwithstanding some of the or in fact completely reversing some of the headlines that you might have read a few years ago in terms of operational improvement. And that makes it much easier for us and also makes the activity a little bit more profitable for us. We've been investing some of that profit in future capability, increasing both capacity and capability for the new generations of nuclear submarines for which the U.K. Ministry of Defense relies upon us.

In Marine, we have -- notwithstanding the difficulties which everybody knows about in that sector and for our business, we have actually during the course of 2017 established quite a leadership position in ship intelligence, autonomous and remotely operated vessels. As most of the people in this room know, we've also been facing serious downward pressure from the -- in fact, the disappearance of the market in offshore for us. And that's caused us to do a lot of work rightsizing the business. And we completed the rightsizing exercise during 2017 with a further 13% reduction in some of our G&A costs. After all that, we still believe that the right thing to do is actually have a strategic review of the commercial Marine operations.

Our Naval Marine activity is good and has been good and has been profitable. And I'll talk about that in a moment when we talk about the restructuring that we're proposing, but consistent with the 4-box model that I put in front of people in November 2015 when considering the portfolio and looking at the activities that go on within some of our businesses, then not all of those activities are where we offer a true competitive advantage into a truly attractive and growing market. And there are limits to how much we want to be able to invest in to improve the competitive position, and that's why we're having a strategic review of our Marine business right now.

Just before Christmas, we completed on the acquisition of ITP. So this is a long-term joint venture with Rolls-Royce, and we took over full ownership just before the end of December. So I think, more on this as we go forward. Significant point to note: I'll just remind everybody, when the put option was announced, one of the advantages that this means is that they're a risk and revenue-sharing partner for us. And we've been through a lot of the risks on XWB and the development that they've done on XWB. We're now coming into the revenue bit. And so this is a great opportunity to actually capture 100% of that revenue flowing through that risk and revenue partnership rather than just 50% of it, which is where we were before. So I think that's the sort of the good news part about acquiring ITP. Meanwhile, we're working through getting our heads around the rest of their business. It will be continued to be reported at slightly arm's lengths like that. That's a contractual obligation. The business does actually do a certain amount of activity for our competitors, and for that reason, we won't be integrating it fully with the rest of the group.

Now I want to step back, change gear for a moment or 2 and talk about group-level priorities. These are the priorities that we set 12 months ago, and I'm just going to quickly whiz across the chart here. Of course, there are actually 6 priorities, not 4, because the box on the left is a cheat box containing 3, where we strengthen our focus on engineering, operational and service excellence.

Switching to the first of these boxes, engineering excellence. So there are 3 stages, right? You have science, technology and then engineering because engineering is all about taming science for our benefit. And the good news is we're making significant progress in all of those 3 areas. During the year, we did a bit of restructuring with our engineering and technology organization; and pushed engineering, the right-hand side of the chart, much closer into our businesses. So we took away some of the central engineering, put it closer in the businesses, closer to the customers, closer to the projects and programs that really matter. That's the engineering end of it. Meanwhile, coming back towards the left of the chart, the technology piece, we actually created a Chief Technology Officer. And that has enabled us to get a lot more focus on future technologies and addressing things like the change in mix of skills that we need over the next decade or so; adjusting the balance between thermal and mechanical, pretty much thermal and mechanical only, and a little electrical; and tilting that balance; and getting our skill set a bit more aligned to the future.

Operational excellence. Well, clearly, we continued the modernization of Rolls-Royce production facilities, more investment going on there, more use of up-to-date technology. And that enables us to do things, like deliver on the promised production ramp. We need to worry about how much it costs us to produce all those more things, and so clearly we have a lot of activity focused on how we improve productivity. And there are all sorts of examples such as the ones shown on the slide, where some of them are incremental improvements in productivity. Some of them are like the example on the slide which is completely transformational, a task which was done in one way and has been done in that way for many years now being done in a completely different and modern way. And when we roll out more of those sorts of things around the business, we'll see more productivity improvement. In terms of operational excellence, it isn't all about manufacturing. Some of it is just rigor and discipline and an execution mindset in managing the operation. And that's delivered the excellent increase in profitability in our Power Systems business, shown on the right of the slide there.

Service excellence. This business is about installing engines, whether they're on airplanes or whether they're in other pieces of kit. And then they go into environments where it's absolutely necessary for that engine to perform and generate useful power. And so there's a -- this is where the service opportunity comes from. So clearly we've been active in doing things like Power by the Hour in our Civil Aerospace for many years. And one of the things we've done recently is put geographically or put in region close to our customers some of these service centers. And in fact, I opened the latest -- or the final move in that sequence in the Middle East last week.

In terms of the focus on providing that service, we also need to worry about how much it costs us to provide the service, not just to be very nice to our customers. And so we continue progressing on reducing the costs there.

And then if you look across our business. We can actually take some of the lessons that we've learned over many years in Civil Aerospace and apply it to other parts of our business. So in Power Systems where

we have that massive installed base of 140,000 engines, growing by a significant number each year. And so what we've done is actually take some people out of the Civil Aerospace business and replicate the model in our Power Systems business. I mentioned 12 months ago that we were going to do that. We've done it, and we've secured the first really significant long-term contract deploying that approach.

We obviously talked quite a lot over recent years about a transformation program and saving GBP 200 million of costs at an annual run rate by the end of 2017. There were progress reports underway. That's now behind us, and it's done. It wasn't all about cost reduction. It was a little bit about simplicity as well. And the good news is that we have achieved some progress on simplicity, but we have a lot more to go. There is more complexity in the business. And that is why we've announced the next piece of restructuring and simplification around our business.

The next priority was around building trust and -- rebuilding trust and confidence. And I think there it's a matter of -- I'm very pleased that in the main we have either delivered on what we said we will deliver, green boxes. Or at least we've been transparent when some of the delivery has been delayed, orange boxes on the slide. And I don't think I need to go into more detail than that at this stage.

Another builder of trust and confidence is really, okay, so that's all glorious, but show me the money. And we have been consistent about talking about growing cash generation in this business. And then when we presented our results 12 months ago, we first talked about, well, yes, GBP 1 billion -- about GBP 1 billion of free cash flow by about 2020. We're still on track to do that, and the building blocks which enable that to happen are still absolutely in place. And very simply, it's about making more money come into the business and stop money leaking out of the business or reduce the amount of money leaking out of the business. And so yes, we are seeing the business model work, increase in engine flying hours. Good news, we are seeing an increase in cash from improving performance in non-aero businesses. Yes, we are seeing reductions in cash outflows right across through whether it's the cash we spend on delivering engines or whether it's the cash we spend on indirect costs elsewhere around the business. It's all very well to talk about a fantastic service opportunity, but of course this is also an opportunity for money to go out of the door, and so we need to focus on reducing the cost of delivering on all of that service. And it's very easy to spend an awful lot of money in this type of business on investing in technology and R&D, so we pay careful attention to the allocation of capital there. And I think the goal that we have set out before about that being broadly flat over the coming years is absolutely intact.

The final priority I had last year was about developing our long-term vision and strategy, and I'll talk more about this after Stephen has added some color to the numbers. I will return to that very slide.

So I think, to summarize on this section. I think we have demonstrated good progress in at least 3 out of the 4 boxes. And probably, the fourth one there with the question mark, it's not really for us to judge. That's more for you. But I'm quite pleased with the progress in 2017.

Now over to Stephen.

Stephen Wayne Daintith
CFO & Executive Director

Great. Thank you very much. Thanks, Warren.

Morning, everybody. Apologies in advance for the large number of finance slides, but as a relative newcomer -- and there's a lot of really interesting things to talk about at Rolls-Royce, so if you'll forgive me that. And I'll go through, but we're trying to add a bit more granularity and transparency to our numbers as well to try and sort of lift the fog a little and bring the business to life. So hopefully, you'll appreciate the extra slides that we've slotted in.

So there's the order.

The full year results. I think the first number I always look at is revenue growth. Warren talked about momentum, good momentum within the business. I'll go into the revenue in a bit more detail on the next slide. A little bit of gross margin compression due to the OE mix as a proportion of revenues. That's the

big driver there. But encouragingly, growth in free cash flow as we head towards that around GBP 1 billion by around 2020. So I think encouraging results all around.

Looking at the revenue growth. And the way I sort of look at the business is sort of 3 core revenue streams. We've got the OE revenue; the long-term service -- agreement service revenue; and then the other service revenue, the time-and-material type service revenue. And again, what I think is to be liked about on Rolls-Royce is the visibility, the very good visibility in particular, about the first 2 revenue streams. The OE revenue, we've got good visibility of the order book and pricing on the order book and so on. Long-term service agreements, 4,400 installed engines, growing to over 6,000 engines over the next few years, good visibility around that. And still good visibility on the other service revenue, less so than the first 2 but still good visibility there as well. So there's good visibility of revenues, strong growth across all 3 revenue streams and the gross margin compression that I talked about, just running through those numbers. Good growth across all 3.

Moving into the next line in the income statement, research and development. Our gross research and development actually increased by a little bit year-on-year. After third-party contributions, our net R&D spend, that's that GBP 1,035 million number that Warren showed on his earlier slide, up 7%. Amortization, we add that back on. And then we -- as a cost; and then the amount that we capitalized up on last year, which I'll come to in a second; and then the risk and revenue sharing partner contributions, getting us down to a charge that is somewhat lower than last year on an income statement basis but clearly at the gross level and on a net level higher than last year. The increased investment is largely in Civil Aerospace, 3 wide-body engines entering or engines in service, the Advance development programs that Warren mentioned and then the UltraFan making up the key components of that increase and the key part of the GBP 1 billion in total.

In 2018, we expect net research and development to increase by around GBP 50 million year-on-year. And so those are key numbers there.

So looking at Civil Aerospace research and development in a little more detail. And the UltraFan is targeting 25% fuel efficiency. And we've also taken the opportunity to look at the application of our research and development policy; and bring it in line with our peers, particularly MTU and Safran. And what we've done is we've started capitalization a little bit earlier in the process, and we're ending capitalization a little bit later in the process. And the impact there in 2017 was GBP 83 million, taking it up to total capitalization of GBP 342 million in the year, rising to around GBP 400 million in 2018. It's this is around better alignment with industry practice.

Looking on to commercial and administrative costs. We have around GBP 1.2 billion of C&A costs in our income statement. And I put on the right-hand side there what the key lines of expenditure are: general management, comms, finance and so on. And I will say that, the initial phase of the restructuring program that Warren mentioned, the focus will be here. There'll be several waves to the program. And we'll tell you more about this and share more with you at our Capital Markets Day in mid-June, but the strapline that we're using is a "lean corporate center and empowered businesses." And so the first phase of attention will be very much on C&A costs of the GBP 1.2 billion that we're highlighting today, which is pretty much flat year-on-year.

Looking at our group cash flow. So what are the material drivers of the GBP 173 million growth in free cash flow? Well, first of all, we have cash outflows from the high installed engine production in civil. So whilst we continue to make progress on engines like the XWB-84, the average cash margin, as we'll see shortly, is flat year-on-year at GBP 1.6 million. And we're actually building and delivering more than the previous year, than in 2016, so there is an increase in the cash outflow as a consequence of that. On the other hand, though, we get increased cash revenues from the aftermarket growth. We'll see that in a little while in the Civil Aerospace cash slide. The Trent 900, 1000 engine issues, GBP 170 million of cash outflow in 2017; doubling to around GBP 340 million therefore in 2018, as we've highlighted today. That's a drag on cash flow. The strong Power Systems margin improvement, good cash flow improvement in Power Systems in both profit and in working capital management, as we'll see later. A little more increase in CapEx on facility modernization to cope with the ramp-up in production and to deal with the engine issues that we've talked about a little while ago. Higher future program R&D investment, again mainly in civil, but

improved working capital management, which is a part of doing business within Rolls-Royce and then a feature of our business, which we'll talk about later. A little bit more tax largely due to the change in mix of -- the geographical mix of profits but then slightly reduced pension payments, getting us down to the GBP 173 million increase in free cash flow.

We're guiding today to around GBP 150 million, plus or minus GBP 100 million, in 2018. That excludes ITP. We completed that on the 19th of December. That is looking at a cash outflow in 2018 of around GBP 50 million, but then we have indicated moving to around a break-even position in 2019, so that's a short-term cash outflow for that business.

So business unit review, going through the businesses one by one.

Civil Aerospace, 12% growth in OE delivered, of course, by that large growth in engine deliveries; long-term service agreements, 10% growth. The flying hour growth there, Warren mentioned the 12% growth; and the in-production Trent fleet growing at 22%. So very good growth for that business. 17% growth in the time and material revenues, so good growth across all 3 revenue streams giving you that 12% overall, but a gross margin compression driven again by that OE mix change and the impacts therefore within the numbers on Civil Aerospace because we do sell our engines at a deficit and make the profits then in the aftermarket on those long-term contracts.

Trading cash flow is flat year-on-year. And I will show you a breakdown in a little while of just how that moves, all the various moving parts to get you to that flat performance year-on-year.

Looking at those drivers then. Underlying revenue growth, and I've run through many of these already, deliveries up 35%, 12% growth in flying hours. The wide-body fleet is now 4,400. And business aviation services, we don't talk an awful lot about our business aviation services, but it was a very strong aftermarket here, up 18%, 18% revenue growth. The gross margin reduction driven by the OE mix, growth in wide-body and business aviation services. And within the gross margin as well, of course, is the GBP 170 million of cash costs in respect of the Trent 900 and 1000 that I'm sure there'll be quite a few questions on later in this session. So the operating margin: A slight improvement reflects the gross margin decline but it also increasing benefits from, of course, the capitalization treatment and that extra GBP 83 million as a consequence of doing that. And C&A costs were a little bit higher due to some restructuring provisions that had been taken in the year.

Looking at -- then at the cash drivers in civil, and this is a -- building on a slide that we shared with you back at the half year. So the 3 key drivers are, first of all, the OE economics, the cash margin per engine sold. A key driver here to watch out for is the Trent XWB-84. Why are we highlighting the XWB? When we see the order book in a little while and the size of the order book and the profile of it, the significance of the XWB to that future order book highlights the significance of this particular measure. Service value will be driven by the growth in the installed engine base, growth in flying hours, the efficiencies of shop visits. And then cost management and capital, focus on operations, C&A costs. This is the cost base getting our overheads under control, putting rigor into our capital allocation decisions and continued working capital management.

So looking at our engine deliveries, 35% growth. We're guiding today to around 550 engines delivered. And these are engines delivered, that's invoiced. We build -- we built just over 500 engines in 2017. And I think, in 2018, we'll be heading towards building around 600 engines or so to deliver those 550. So record levels of wide-body deliveries, 483 moving to 550 next year.

Looking at the economics then, the XWB. We highlighted in 2016 a 7% compression of the deficit; and 37% in 2017, largely price driven rather than cost driven. Of course, we would rather it be more cost driven than price driven, but we will take the benefit. And we do see the route through to the break-even position by 2020, and this chart here just sort of highlights that in a very simple way. And what causes the drag, therefore, on the margin, staying flat at GBP 1.6 million? So notwithstanding the progress on the 84, the Trent 900 has some temporary pricing impact that's dragging the gross margin down. And the Trent 700 has had a good year of sales as it enters its final 1 or 2 years of -- a couple of years of its OE experience, so to speak, of its selling experience. And there's some pricing discounting going on in its final

couple of years as it heads towards the becoming a sole aftermarket product. And there's a bit of price going on there to compress the margin as well. So those are the 2 drivers to flat year-on-year.

Looking at the fleet performance. So the in-service fleet, large engines 7% growth. And the Trent fleet is 11%, to 3,300. The flying hours 12% across the wide-body fleet. And the in-production fleet growth is 22%. That's up on the 15% of last year and the 15% that we reported at the half year, so good momentum within the Trent in-production fleet.

Overhauls. This is -- [and it's repeated] data. And as we look forward, we'll get familiar with this and how sensitive our cash trajectory is to the number of shop visits that take place in the year. And just for absolute sake of clarity, these are the overhauls, the scheduled long-term service agreement overhauls that take place every sort of 5, 6 years or so. So flat year-on-year at 240 and despite the growth in the installed fleet. I should point out, though, there's a number down here at the bottom left, that 350 -- sorry. We'll go back to this one. And which is the -- there you go. 350 check and repair overhauls, and that includes hospital visits as well. So for example, the Trent 1000 shop visits will be within that 350. The 240 is more the regularized schedules, long-term service agreement shop visits that we anticipate. And the bit in the bottom left, there'll be very small check and repair overhauls, but there will be a bundle in there that are the Trent 1000 and 900 shop visits, just for the sake of clarity.

So trading cash flow. So this is the 2017-versus-2016 comparative. How do we get to that flat performance year-on-year? So the 443 -- 444 original equipment at GBP 1.6 million gets you to 0.7. The spare engines gets you to the 483 in total. 12.6 million flying hours gets you to GBP 1.3 billion of aftermarket cash compared to the -- aftermarket cash margin compared to the GBP 1 million -- GBP 1 billion, I should say, in 2016, so you can see the wide-body cash margin growing from GBP 700 million to GBP 800 million. Business and regional, flat year-on-year at GBP 700 million; V2500 around \$300 million; and then certain operations and engineering costs taking us down to a cash gross margin of GBP 1.1 billion. C&A, GBP 0.3 billion, GBP 300 million. R&D, rising a little bit to GBP 700 million. CapEx, up a little bit to GBP 500 million. Working capital benefits, which we'll talk about a little later, gets you to that trading cash flow performance.

So you can start to see the key drivers of free cash flow very much around those top 2 or 3 lines that get you to the wide-body cash margin. So let's look at those in a little bit more detail.

There's the R&D and the CapEx.

What we've tried to do with this slide is show some of the likely trends over the next 5 years. And again, I would emphasize the point that it will not be linear, so we just shouldn't next be looking for these sorts of growth rates exactly on a linear basis. They will be lumpy, but we're pointing to around 5 years from now what might the world look like. And just for -- just before we get into the chart, looking at the bottom left there as well. We've indicated the -- what the order book looks like. So to put it in context: Again, the significance of the Trent XWB; and 2,500 engines on order, so good visibility, going back to that point about the visibility of revenues. And 1,400 of that 2,500 is the XWB. And so -- and that visibility helps us therefore when thinking about over the next 5 years what the growth rates might be.

So installed engine deliveries, 444 in '17. 39 gets you to that 483. We're looking at around 5% compound annual growth rate over the next 5 years for those two. Cash deficit per engine, currently an average of GBP 1.6 million. We're aiming to get towards GBP 0.4 million cash deficit per engine by 2022 or over the next 5 years or so. The in-service fleet, 4,400, we think, is going to be growing at around 8% on a compound annual growth rate over the next 5 years. Invoiced flying hours, in line with the growth in the installed fleets and our projections on traffic and so on, growing at around 10%. And then the shop visits will grow in line with the growth of the installed base. And these are the long-term service agreement shop visits, going back to that 240 comparable that I ran through a second ago. R&D and CapEx and commercial and admin costs, broadly stable R&D and CapEx. And commercial and admin costs, we put stable. If anything, we'd hope to see reductions here, stable if not reducing on commercial and admin costs.

So these are the key drivers for Civil Aerospace over the next 5 years.

Very quickly running through the programs. And Warren did make the point as well. There is -- we talk and with very good reason around the 900 and 1000, but over 80% of the fleet is flying very well; the Trent 700 in particular, 1,600 engines in service, 9% flying hour growth in the year and a very good dispatch reliability. The Trent 800, good performance there, smaller part of the fleet, 13 aircraft transitions in 2017. We had a high point of transitions in 2017 than ever before. We've been pretty successful in transitions during the year. Trent 7000 came into service during 2018. And then the XWB-84 total cumulative flight fleet hours have now gone past 1.2 million flying hours on the Trent XWB-84.

We have, however, had significant issues on the 1000 and the 900. And I'm sure we'll go through this in some detail in the Q&A. And we are highlighting today a GBP 170 million cash cost across both engines. About GBP 120 million of that is in the 1000, and GBP 50 million of that is in the 90 (sic) [900]. And we highlighted also the in-service cost issues, the GBP 179 million and GBP 48 million. I will talk about that, I'm sure, during the Q&A.

Power Systems, the standout performance, I think as Warren said, across the group; and good revenue growth, 3%, particularly in service revenue; and a terrific improvement in profitability. And that flowed through to cash flow performance as well and not just through profit growth but also -- it's also through working capital management.

The key drivers of that. The chart on the left here just puts the performance of Power Systems in 2017 into very stark numbers; and 11.3% return on sales; and revenue, record revenues, and profits for Power Systems in 2017. So a relatively new leadership, a reinvigorated leadership team at Power Systems and, as we'll see in a second, tackling the business on a variety of fronts. So good revenue growth, a better H1-H2 mix in the business, helping improve both margins but also factory utilization. R&D spend, down 6%; real focus and rigor around R&D spend and on C&A costs as well. So a really good knockout performance in Power Systems across a variety of fronts.

I won't dwell on the details here, but these are some of the details of the performance improvements on a performance push but also structural cost reduction as well. Over the last 2 years, a 30% reduction in product variants in Power Systems. So these comparatives are '15 v '17, just in case you're looking for numbers consistent with the rest of the pack. And the focus across a variety of fronts, at the bottom there.

Defence, a resilient performance, reporting revenue down just 1%, so a pretty solid performance. Operating profit, a little bit down on last year; a little bit of margin compression there. Largely impacted by lower long-term service agreement life cycle cost reductions; the 2 or 3 big programs in the U.K. defense fleet coming towards maturity, the Sea King, which retired, the Typhoon, Tornado, dampening profits there to an extent. As we go through those drivers, OE revenue is up. Transport petroleum, the U.S. in particular, have done well, partly offset by lower combat sales; and then growing combat services in the F-35 LiftSystem. But then I've mentioned the Sea King fleet retirement hitting the export market. The gross margin, adverse mix there, lower legacy spares volumes and lower one-off long-term service agreement releases than previously. We do, however, benefit from the nonrepeat of the last year's TP400 charges, GBP 31 million, in there. R&D costs are up 10% as well as we developed the future transport program spend, and that's around the Advance program that Warren mentioned.

Looking at an overview of Defence and the markets. We have a strong position in the U.S.; renewed that GBP 1.4 billion contract that Warren alluded to. The U.K. is a -- and there are some headwinds in the U.S., the growing impact to the U.S. Department of Defense pricing regulations. The U.K. is a similar market, and it has those single-source pricing regulations, the tightening of the Ministry of Defence budget in 2010, Tornado retirement, a Typhoon contract ending shortly. So the U.K. markets is a little tougher market.

And the export market has been a tough market for the Defence business as well in 2017. And we saw it continuing to an extent in 2018, but there are some good export opportunities, and I'm sure we'll get through those in the Q&A.

Marine and Nuclear, I won't dwell on these numbers. Marine continuing to operate in tough markets, down 9%; but costs are down by 13%, delivering that flat year-on-year performance. And you'll have read

about and we'll be talking more about our strategic review. In Nuclear, revenue is up 4% but high spend on SMRs in 2017.

IFRS 15, quick word on this. Just a reminder, no change to cash flow from IFRS 15. We welcome this new accounting standard. I think it makes it easier to understand our business without the distortion of the -- of capitalizing the OE losses. And we understand exact -- and there's, as you might expect, a greater connection between profits and cash flow as a consequence.

I'll highlight down here in the box at the bottom right, the greater forecasting challenge in the civil aftermarket around not the revenue scene but around sort of the profits and the -- in its own way, the number of shop visits that are going to take place each year. So rather than, under old accounting, on a flying hour basis, revenues and profits will only be recognized when a shop visit takes place. So that would be the big difference in the sensitivity of the phasing of the overhauls but also the mix and the workscope of the overhauls as well, the type of work overhauls to take place. So it's the first year of adoption. We're still learning, but it will be much greater transparency to our business.

The impact in 2017. So 2017 number, operating profit of GBP 1,175 million goes to -- the reduction is GBP 854 million, getting us to GBP 321 million of profits in 2017 on a new basis. And that is the basis now that we're working towards as we give our guidance for 2018 profits of around GBP 400 million or so. And the key driver of the difference in store, in very simple terms, the absolute material key driver is that 0 -- GBP 700 million widebody cash deficit, which now flows through our numbers immediately on sale rather than being capitalized and amortized over the life of the contracts.

Here are the major drivers: the volumes, costs and so on. Sorry, [Warren,] a little bit longer on that. And then the service revenue and margins, well, these are the key items that we will make profit and revenue flex according to actual performance.

One thing that we should make clear, long-term contract accounting doesn't go away completely because in the aftermarket, we still have to take a view on the long-term contract percentage, margin percentage of each contract. So that still comes into play. So there will still be that element there. We don't completely lose that aspect of long-term contract accounting.

A couple of other accounting issues on the horizon. IFRS 9, no material impact. This is around just simplified accounting for financial instruments but no real material impact for Rolls-Royce. IFRS 16, with effect from the 1st of January next year, will be bringing all of our leases onto our balance sheet. And at the half year, we'll share more details with you on how that impacts our numbers.

The rating agencies, in case the question comes up, are already familiar with this and look at free cash flow and take this number into account in any event as they assess the health of our business.

Outlook and guidance. We put this table in the pack this morning. We thought it's helpful just to summarize it all in one place. We are looking at mid-single-digit revenue growth for the group. Group operating profit of GBP 400 million, plus or minus GBP 100 million, building from the GBP 321 million. And we've gone through each of the divisions line-by-line there just to explain how we get broadly to that GBP 400 million. And free cash flow, at GBP 400 million plus or minus GBP 100 million. And all of these numbers accommodate the known issues on the Trent 900 and 1000 that we've talked about in our release today.

We have excluded ITP from the numbers below just so that you can see a comparison with the business that you're familiar with today. Just throwing ITP into the mix will reduce cash flow by about GBP 50 million, but it'll increase profit by about GBP 50 million. So just to put context around that as we look into 2018.

Commentary -- I won't repeat the commentary. This is what's all in the pack for each of the businesses, and this is the format that we'll be using at the half year when you'll see the business under the new 3 divisions set up, ITP in there, and then whatever we do with the other and eliminations to get us to a group continuing basis. And that's the shape of the portfolio.

Key drivers to get us to the GBP 450 million, and Warren has pretty much gone through these, so I won't dwell on them. But the large driver there, increased cash revenues from the aftermarket growth. And we will continue to see further working capital improvements.

Dividend is held steady at the same level as 2016. It's part of our overall capital allocation considerations. Our Capital Markets Day in the middle of June, we'll look at capital allocation, returns on capital as well as looking at our progress on our restructuring program. When we look at our dividend, we're making the conscious linkage to free cash flow. And the growth in free cash flow will be the guide for us to the appropriate time to review our dividend policy and revisit that.

So in summary, good performance, encouraging results. These are the priorities that I sort of set myself when I highlighted at the half year, areas that I'd be looking at. I think just a couple of things on this. Costs, restructuring has been announced. Cash, I hope you'll see some enhanced analysis of cash flow. We've changed the internal language as well. We went through our budget process, medium-term plan process, recently. And what absolutely delighted me, I didn't realize it that at the end of the process, we didn't talk profit once throughout the whole process. The whole senior management team had a slight crack, "we should -- maybe we should have thought about the profit number." But it was cash, which is the internal language.

And the incentive schemes as well. We've now moved 75% of the weighting of our management bonus schemes to cash flow, which I think is an encouraging sign. Clearing the fog, hopefully, the drivers of performance that I've highlighted there are helpful there.

Balance sheet and capital allocation. We've introduced the new investment approval process. We're looking at return on capital targets that's for the Capital Markets Day. And then the finance team, 4 clear priorities for us to 2018. And one of those that I'm somewhat embarrassingly very excited about is value-based modeling, which is a rolling 5-year forecast, a real-time rolling 5-year forecast across the group on a driver basis. And I'm told that, that -- that we're going to see some very exciting results in 2 weeks' time as to where we've got to on that one with a whole bunch of metrics that drive a 5-year view of the business. So working on that.

So in summary, delivering priorities, improving financial performance, our focus on cash running throughout the organization, and the restructuring program will help drive further pace and simplification and efficiency.

Thank you very much.

D. Warren A. East
CEO & Executive Director

Thanks, Stephen. Just to a few slides of summary here before we do questions.

First of all, returning to the vision and strategy. So we said we'd address this during last year, and we did. And if you look at Rolls-Royce, well, a lot of our business is about aerospace. And what that means is that we have great domain knowledge in the aerospace world, but it doesn't necessarily make us an aerospace company. In fact, when I go around and talked when I first joined the business, I talked to lots of people around Rolls-Royce and asked them about what's Rolls-Royce really all about. And the answer is about power. And it's about, basically, I express it as converting stored energy into useful power. And that's what we do across all of the applications that we serve through all the different types of engine that we produce. And historically, a lot of that has been around better performance and better costs. And increasingly, as we look forward, it's around more efficiency and cleanliness and attention to the environment.

And so we rephrased our vision as around pioneering the power that matters. And that's because if I look at how we've done that historically, it's always been around using the cutting-edge technologies of the time. And actually, there's no reason why that shouldn't continue going forward. In fact, as we address issues like creating cleaner, safer, more-efficient engines, then we have to embrace the best cutting-edge technology. So that's the summary.

So how do we go about doing that? Well, down at the bottom of the slide, we talk about a balanced portfolio. And you've heard this from Rolls-Royce before, and we've talked about long-cycle businesses and short-cycle businesses, and that's kind of business 101, financial common sense. But actually, each of these businesses uses slightly different technologies, and the technologies flow through. And what is important to one type of business and [turn] market sector at one stage perhaps applies at a different stage, a different time in another sector.

And so included in the balance, as far as I'm concerned, is flowing of technologies through the different markets and businesses that we serve and exchange in both directions and exchange of the way in which we go about to execution as well. So for example, in our Power Systems business, there is an awful lot of electrification. Electrification is an inescapable trend in industrial markets today. And that includes in Aerospace, in due course, but it's actually present today in many of the markets that we serve through our Power Systems business. And so there's a clear flow of taking the electrical systems expertise that we developed and practice with real customers and real applications and tough environments in our Power Systems business. We take that system expertise in one direction, and we map it into a domain expertise from aerospace in the other direction. And so that's what championing electrification is all about.

At the same time, of course, electrification is not going to hit widebody airplanes in the mainstream for many years. And so it's absolutely essential that we remain cutting-edge in terms of our gas turbine capability. And that's what vitalizing our existing capabilities is all about.

And then how do we go about delivering all that? Well, it's about embracing things like more digital technology today. And a lot of that isn't just in the service end. Some of it is in the design end of our operations, linking our designs with our suppliers and with our customers. So that's what reinventing with digital is all about. And a good example of that applied in service and an example of applying that to the balanced portfolio is the way I talked earlier about taking the service model out of our Civil Aerospace piece and moving it into our Power Systems business.

And then generally transforming our business and modernizing it and making it fit for the 20th century -- 21st century rather. This is what the box on the right-hand side of the chart is all about, and there's a picture of applying optical measurements instead of mechanical measurements in our production process.

So the other sort of big picture thing that we've done is talk about restructuring our business from 5 to 3, and I just wanted to a little bit more depth on what we've done there. So if you look at the 2 -- at the top line, our 5 businesses; and the 2 on the right-hand side, Nuclear and Marine.

Well, we've taken the submarines part out of our Nuclear business, and we've put that into Defence, the customer is the same, and so it's an alignment with customer. And we've taken the services and control systems piece and plugged that into the services and control systems pieces within our Power Systems business because it's a similar type of activity on the one hand and a similar type of technology and product on the other hand.

And in our Marine business, then we've moved the Naval Marine piece, a profitable cash-generative piece, into Defence. Again, customers are the same, and so alignment with customers. And we do have a strategic review on other parts of the Commercial Marine operation. But be under no doubt that we will continue to operate in the Marine sector. In fact, through our Power Systems business, that includes a lot of marine applications, a lot of marine customers and a lot of electrification opportunity in the marine sector.

We set ourselves some priorities for 2018, and we'll go through them all now, but clearly oriented, you should read this chart like a clock, starting with customers because they are people that actually pay us the money. And if it wasn't for customers, then we wouldn't have any business. But we do need to focus on that cutting-edge technology so that we develop the best solutions for our customers, and that technology has always been the foundation of our business and will continue to be so. Of course, it's a business, and so financial progress is really important not only so that you guys can feel happy but also so that we can generate enough cash to invest in the future of our business, make it more resilient in that resilient box as well as the output from the financial piece. We have the people piece because the people are the key differentiator around our business, and it's all about values and behaviors.

So summarizing. In 2017, encouraging; 2018, we think it's going to be a year of significant progress. We've got some clear priorities for the team. And as we look forward, we remain pretty optimistic about the future, growing market share into growing markets and growing profitability. And with that, we'll deal with whatever questions you may have.

Question and Answer

D. Warren A. East

CEO & Executive Director

Right then. Where are we going to start? Let's -- I think let's start here. Microphone. And then -- and we'll go along this second row.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Warren, I have a 2-part question about cash flow actually. So kind of starting more tactically, versus last year, ostensibly, things look a lot better given that you're giving an outlook for positive trajectory in cash flow in 2018 whilst absorbing several hundred million of what was presumably unanticipated costs last year this time relating to 1000 and 900. So if you could talk a little bit specifically about what are the positive offsets within that guidance, particularly in this coming year; and then more broadly, over the next several years, from just a higher level, how the restructuring progress has impacted the building blocks you've previously talked about towards about GBP 1 billion cash flow or so target in 2020. And apologies, maybe this is in Stephen's lane right now.

D. Warren A. East

CEO & Executive Director

Okay. So Stephen's going to answer the first bit.

Stephen Wayne Daintith

CFO & Executive Director

Yes. So just to clarify all the numbers, we've highlighted GBP 170 million in '17 on 900 and 1000 doubling to the peak year next year of around GBP 340 million. And notwithstanding that, we're reporting GBP 450 million free cash flow. So one might do the sums and think, "Well, if it weren't for that." I think a couple of things. We carry within our guidance and, indeed, within our business plans around GBP 100 million of cash contingency within our numbers for engine issues in any event. So that's -- that automatically brings the number down a little bit. What are the positive contributors? Well, I think we've pointed to it really, I think, in the slides that the aftermarket growth is a big driver of the cash flow performance. And also, at the same time, it is the reduced OE losses is another key driver and working capital benefits, as we've reported today, around GBP 550 million of working capital. It is the nature of our industry, the negative working capital aspects of particularly Rolls-Royce as an OE manufacturer, that there are customer deposits we take in advance. And when we invoice our customers, the airframe, as we invoice on a gross basis and we pay the concession fee, later, the discount fee to the operator; and after a couple 2 or 3 months later when the engine is in service, so you will get -- in a growing business, you'll get that benefit over a cutoff period at the year-end, for example. And the growing business, you'll get a year-on-year benefit there as well. So those are the big drivers, those positive contributors. And the next question was around the GBP 1 billion, wasn't it?

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Well, basically, just kind of from a higher-level perspective, and it's something Warren's talked about a lot over the last 18 months, building blocks towards a -- the target of around GBP 1 billion around 2020 or so. So just in tying that into the progress you've made just in the last year and the restructuring, how that ties into the specific building blocks, if that makes sense.

D. Warren A. East

CEO & Executive Director

Okay. So I mean, I think over the last year, it's been pretty much according to plan. I mean, arguably, yes, we probably didn't have quite as much in our own minds as contingency, as Stephen just spoke

about, for the engine issues, so we -- arguably, we could be a little bit ahead of, perhaps, the plan. But we always did say about GBP 1 billion by about 2020. And a lot of good things could happen, and we'd be ahead; and a lot of bad things could happen, and we'd be behind. So I think we're broadly on track. In terms of restructuring, well, 5 units to 3 units is undoubtedly less complex to manage. And simplicity is a fundamental plank of what we need to do to modernize this business and make it competitive. I think in terms of restructuring, how does it affect the fundamental building blocks? Well, anything we can do on simplicity can improve cost, and that is helping us achieve the closing of the cost deficit -- of the cash deficit on OE sales, and that's a key plank of the driver to GBP 1 billion. It's going to help improve the cost of service, and that's also a key plank on the driver to GBP 1 billion. Difference between '17 and '20 is roughly 2/3 of it is Civil Aerospace, those 2 blocks. It's clearly going to help us also with the other piece, which is group-wide general costs, G&A expenditure. And it enables us to put more focus on technology, and so delivering better into the future. And one of the other things that we hope to achieve through the restructuring isn't just moving pieces around our organization chart, it's actually changing what it is that people do on a day-to-day basis to make it easier for them to do their jobs on a day-to-day basis and inject, perhaps, group-wide some of the rigor, discipline and execution mindset that we've seen so strongly in our Power Systems business in 2018.

We've got one behind there, and then we're going along the row that way.

Jaime Bann Rowbotham

Deutsche Bank AG, Research Division

Jaime Rowbotham from Deutsche Bank. Two from me: one on trading cash in Civil; and the other on XWB. Stephen, looking at Slide 40, the way you've presented the trading cash from Civil, that's very helpful. Just thinking about the dynamics going into 2018, I think you've guided elsewhere that the cash loss on OE probably steps up again in 2018. Clearly, aftermarket underlying should also go up in a positive way but offset by the in-service cost step-up on Trent 1000. Do you actually see a positive delta on Civil trading cash flow in 2018 contributing to the step-up in group free cash flow to GBP 450 million?

Stephen Wayne Daintith

CFO & Executive Director

You touched on a good point. Yes but not materially for the very fact of the OE. The OE margin reduction will take time to flow through. So that's why we're using sort of 2020 sort of breakeven. So it's a good point. And yes, it will grow, but you shouldn't be expecting material growth in cash flow in Civil on the year, yes.

Jaime Bann Rowbotham

Deutsche Bank AG, Research Division

Okay. And just on XWB, could I ask how the ramp-up is going on the -97K compared to 87K? I think we've seen some airlines switching their orders from the -1000 to the -900 of the A350, United and Cathay, I think, just at the end of last year. Presumably that's -- whilst that's a boost to you achieving that breakeven on 84K by 2020 that you showed on the slide, it's perhaps a slight hindrance to achieving breakeven maybe a couple of years later on the 97K. Anything you can say on that would be helpful.

D. Warren A. East

CEO & Executive Director

Yes, well, we've seen a small amount of that sort of order shifting. And frankly, I sat here before and talked about small changes in the order book are inevitable after a period of such exuberant ordering. But now that the 97K is in service, then we don't actually see any issues as far as ramp-up is concerned. Volumes will continue to be dominated by 84K. But I don't see any signs on the horizon of a material change in the shape of the 97K backlog.

Robert Alan Stallard

Vertical Research Partners, LLC

Rob Stallard from Vertical. A couple of questions. In your slides, you noted that the shop visits are expected to roughly double over the next 5 years. I was wondering if you could give us some idea of the profile, how that's likely to pan out over the next 5 years and the likely cash implications. And then maybe, Warren, one for you. Boeing, talking about the NMA, a lot of talk about that potentially entering service in the middle of the next decade. What's Rolls-Royce's latest position with regards to that potential program and your interest of being on that plane?

D. Warren A. East

CEO & Executive Director

Okay, thanks. Do you want to do shop visits?

Stephen Wayne Daintith

CFO & Executive Director

Yes, so on shop visits, so the 240 rising to around 600 or so, and that is a reflection of the in-store fleet. I think you'll see it more sort of start to accelerate in the later of those years rather than in the earlier of those years. We have a relatively high proportion of young engines, so to speak, and that will therefore lead to -- but then it will pick up as they start approaching their first shop visit, as you would expect, after sort of 5 years or so. So that's that. And as it comes to the sort of the cash implications of that, well, we're investing hard in our services space generally to better understand engine performance. And a large part of our digital drive is, in fact, looking at engine health performance and then being able to better anticipate having the right parts in the right locations when the shop visits take place. So we'd hope to see some improved economics there. But net-net, whilst one might see around the time of the shop visits a reduced cash margin as you might expect, in absolute terms, you're going to see very good growth just driven by that growth in flying hours to that high number from the 12.5 million flying hours today.

D. Warren A. East

CEO & Executive Director

Yes. And the second question on Boeing and the NMA, well, right now, this -- there continues to be a lot of discussion about that, but there's no committed program. We're in the business of selling engines, and so naturally, we would want to go after that opportunity. Now if it makes commercial sense as an individual opportunity to pursue that, strategically, it makes perfect sense for us to go after that, and that's what we're doing.

Let's walk back up that side and then -- we'll do that one, and then we'll do that one, and then we'll go over there.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec. Two questions. The first question is around the order book. The slide you put up, you got 2,500 engines in order. And based on your planned production rates, you will probably exhaust that order book or a similar amount within the next 5 years. And order intake for Trents has not been particularly strong in recent years. So yes, how do you think about order intake momentum or book-to-bill over the next few years would be the first question?

D. Warren A. East

CEO & Executive Director

Yes. So I think, actually, over the last 18 months or so, book-to-bill has held up remarkably well. And a bit like the answer to the previous question, after the exuberant period of ordering, we would absolutely expect to see the absolute size of our backlog decline. But as we look at airline customers and their plans to modernize their fleet, then subject to what happens in the competitions, we don't see a problem with replenishing our order book, obviously, subject to what the happens with the competitions and no competitive situations between different airframes as well. Unfortunately, we can't sort of control all of that.

Rami Yehuda Myerson

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Investec Bank plc, Research Division

And second question, maybe more for Stephen, around the transition from TotalCare to the SelectCare and other models, it was an interesting comment around Singapore Air moving some of its fleet into new TotalCare long-term service agreement business models. How should we think about that transition, of actually quite a large number of aircraft moving into those models impacting the cash generation from your services business?

Stephen Wayne Daintith

CFO & Executive Director

Well, relatively immaterial impact. I mean, TotalCare is the -- in a vast proportion -- a vast majority of the fleet. Well over 90% is on TotalCare. And that's the model of choice, and that's what customers prefer, so a small impact.

Celine Fornaro

UBS Investment Bank, Research Division

Celine Fornaro from UBS. I've got 2 questions, if I may. The first one would be on the IAE contribution for 2017 and what we're looking at for 2018 and how you're thinking about that over your 5-year chart. And my second question is looking at some of the focus you had on the customer and how you are delivering for the customer in Aerospace. So if we look at the A330neo, if you could just comment on the delays that you've had on the engine side there and what are the issues related to; similarly, on the XWB larger engine. And what I'm getting at is, are we sure that the issues that we've encountered on the Trent 1000 and 900 are not going to come up in 2 years' time on the XWB? And how much are you investing in simulation tools if we are going to go for NMA engine?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So the V2500 question, yes, we are expecting that to continue at around GBP 250 million, GBP 300 million for each of the next 5 years. So -- then you can use that assumption.

D. Warren A. East

CEO & Executive Director

Okay. And talking about the 97K and the Trent 7000, and the probability of issues such as we have seen on the 1000 appearing on newer engines, first of all, yes, the A330neo will be delayed in terms of its entry into service versus the original time plan. And that was actually the case with 97K and the A350-1000 as well. It's not all about engines. The airplanes are complex bit of kit, and there's a lot that goes into it. And the engine is one of those complex bits of kit. We have undoubtedly played our part in the delay for A330neo. However, our delivery schedule for Trent 7000 has been stable now for about the last 6 months or so since -- well, since around the Farnborough Air Show last year, and -- sorry, the Paris Air Show last year. And so I'm reasonably confident that we will be there or thereabouts and not be the issue that's holding up that launch when it happens. As for whether -- and so what you should read from that is that everything you've seen on Trent 1000 has nothing whatsoever to do with any sort of program schedule shifting on the new engines. Obviously, we can't guarantee that there won't be issues with those new engines. It's a complex system, and there's all sorts of interaction between how the thing is used and how it's been designed. What I would say, however, is that the Trent 900 was designed around 2001, and the Trent 1000 was derived -- designed around 2005. And yes, we use different design tools as we move forward, and I'd ask you to consider what's Moore's Law done since 2001 in terms of the compute power that we're able to deploy to design these things. Answer: quite a lot. And that doesn't give me total confidence because you cannot be totally confident in these things, but it gives me a very reassuring feeling. And in terms of pointers in that direction, then it's very encouraging to see the XWB initial performance and compare that with the early years of Trent 1000. And the new design flows and the new design tools that are being used are definitely seen to be having an impact.

Yes, thanks. I think we had one over that side, and then we're going to come across the middle.

Andrew Paul Gollan*Joh. Berenberg, Gossler & Co. KG, Research Division*

Andrew Gollan from Berenberg. Two questions, please. Firstly, on cash flows, traditionally, Rolls-Royce has had very lumpy cash flows throughout the year. So 2 questions around that. Is that profile verticals improving and smoothing? And was there anything within the last month or so that -- or around the year-end that we should know about that have come out in the numbers today? And the second question is on ITP. I think that the first installment was through shares. What do you anticipate the structure of the next payments in the coming year or so, shares or cash?

Stephen Wayne Daintith*CFO & Executive Director*

Can I do that?

D. Warren A. East*CEO & Executive Director*

Yes.

Stephen Wayne Daintith*CFO & Executive Director*

Let me do that. So yes, lumpy cash, we do. We have really lumpy cash flows, and it's sort of struck me that it's coming in -- relatively, it's quite difficult to decipher sort of operational cash flows from -- there's concession payments. There's risk of revenue sharing, partner payments. There's participation fees. There's R&D contributions. And we have big, large, lumpy cash flows. In its own way, I often reflect that giving sort of guidance on hundreds of millions of pounds on a GBP 15 billion revenue business in itself is a little bit sort of difficult. Having said all of that, it is an area that we're paying a lot of attention to, to get -- improve visibility of it and management and planning of it as well. In an ideal world I'd like to systemize it, so we take out that sort of rollercoaster ride that we have, and that's what we're trying to achieve. We're not going to get there overnight. There's a lot to do in this space. But as a -- that whole sort of cash flow, working capital management, as I think there's a very good opportunity within the [Rolls-Royce] to get a much even profile of flows. So we're not there yet. We're focusing on it, but there's still a lot to do. And Warren, ITP?

D. Warren A. East*CEO & Executive Director*

Well, yes -- I mean, yes, the first payment was in shares. We have an agreement where we decide on a quarter-by-quarter basis. And we'll make those decisions subject to very short-term cash requirements. And if I look at a sort of worst case, then a worst case would be in the 3% to 4% dilution range if we -- even if we had to pay for the whole thing in shares. And so that's kind of boundary condition, but we would -- this is over several years. And you can see that we absolutely expect to see our cash flows improve over that period, and therefore, I wouldn't expect the shares to continue right throughout the period.

Stephen Wayne Daintith*CFO & Executive Director*

I didn't mean to skip your questions here about -- around the year-end. If anything, I think it's concession payments that we pay after the engine service to the operator, and yet we bill our -- the airframe on a gross basis. But that's something we get every year, and the impact, therefore, is just -- is the growth year-on-year that, [the what you see] that, it's a driver of our working capital growth.

D. Warren A. East*CEO & Executive Director*

Okay, I think we have to move there. Well, since he's right next to you, why don't you just pass the microphone.

Jeremy David Bragg*Redburn (Europe) Limited, Research Division*

Jeremy Bragg from Redburn. Two questions, one on middle of the market again. Do you think you could hold R&D flat in 2022, i.e. in 5 years' time, if you have to accelerate UltraFan for middle of the market? So conceptual question, i.e. what's it going to cost? And question 2, can you comment on the sort of revenues per engine or per pound of thrust for a new engine versus an old one, i.e. do you see materially higher power by the hour revenues for a similar thrust output engine for an XWB versus an old one? And also, do you see a different overhaul pattern on those engines, please? I'm struggling simplistically to take 3,300 engines divide once every 5 years to get to 260 -- 240 overhaul. So can you help with those things, please?

Stephen Wayne Daintith*CFO & Executive Director*

Yes, right. Let me start with NMA and the R&D cost profile. I mean, the answer is that if we're engaged in that program, it's likely to cost somewhere between GBP 1 billion and GBP 2 billion over a period of probably about 5 years. And what we will endeavor to do is make as much of that cost as possible overlap with the underlying architecture development, which is the UltraFan program. We need to do that new architecture because we need to be competitive for larger engines in the back end of the next decade. If there's an opportunity to take some of that investment, convert it into an NMA program and start to monetize that investment a few years sooner than we would otherwise be monetizing it, then it sounds like a pretty sensible thing to do. But it isn't going to come completely free of charge. We understand that. And so in terms of absolute, would we be spending absolutely the same amount of money in 2022 as with or without NMA? No, we -- it is bound to cost us a little more. But in the scheme of how much we spend on R&D in total, how much we intend to spend on R&D in total, it's going to be a small perturbation rather than a massive change. With regards to are we getting much more out of newer engines, the answer is it depends. The pricing matrix is complex, and we try to secure on a basic principle, more value to the customer means more money to Rolls-Royce. So the -- if it's a bigger thrust engine and I can lift more people into the air, then I pay more. And that is consistent, and that works, and people understand it. If I can do that and, at the same time, spend less on the fuel that is required to do it, then part of that value is actually just competed away. It's -- these newer engines are cleaner, they're more efficient, but they need to be in order to maintain our competitive position. If we can secure some -- extract some of that extra benefit that we're giving to the customer, then we do. But I wouldn't sort of bank on us achieving 100% success there. I don't know of any technology sector in the world that the businesses actually achieve that because we'll compete the benefits away.

D. Warren A. East*CEO & Executive Director*

Let's -- I think we need to come this side and at least sort of bring the changes, so the microphone people can get there. Thanks.

Nick Cunningham*Agency Partners LLP*

Nick Cunningham, Agency Partners. A quick question about IFRS 15, and I apologize for asking about profit, which is obviously somewhat *déclassé* nowadays. But there's some -- and as well, it is the starting point for cash flow. The IFRS 15, I think you've indicated in the past that there'll be about GBP 100 million...

Stephen Wayne Daintith*CFO & Executive Director*

Yes.

Nick Cunningham*Agency Partners LLP*

Annual convergence per year towards, if you like, old GAAP...

Stephen Wayne Daintith

CFO & Executive Director

Yes.

Nick Cunningham

Agency Partners LLP

Forecasts, which is a quite helpful sanity check for us when we're doing -- or adopting the IFRS 15 forecast. Obviously, that didn't happen this year. But we can clearly see maybe some of the reasons for that. Is that still a reasonable rule of thumb? That's my first question. And then on R&D, the movement that you indicated, I was wondering if you could expand that a little bit and just, if you like, the important lines of the R&D, what leads to the net R&D? And is it all falling into Civil, is all the delta in Civil, or is there anything else going on there?

Stephen Wayne Daintith

CFO & Executive Director

Right, okay. So IFRS 15, yes, slightly larger impact of just over GBP 100 million or so. And it's actually a good news story that actually explains that sort of GBP 100 million, so more than we expected because we sold more Trent 700s linked profit accounted for in 2017 than we'd anticipated, which is, of course, good news. But there's a GBP 200 million delta because of that, and that's an impact there. Also, a GBP 200 million impact because the Trent 700 sales [are larger], so that was the key delta on it, but your original view is the correct one. And then R&D, yes, just going through the slides, and I'll just get my slide back in front of me again. We started for around GBP 1.4 billion, and then we have contributions from third parties of around GBP 400 million. And the U.K. is the significant contributor, but it's across Germany, the U.S. and other European countries and so on. And that gets us down to our GBP 1 billion. And then we've got the capitalization, amortization of the number that we highlighted there in the pack, but then a capitalization of that spend of around GBP 400 million or so. And the policy application that we've put in is in respect of the -- starting at the preliminary design review rather than engine certification. So once we prove the economics of the engine, we start capitalizing it. And then rather than engine in service for stopping capitalizing, we often carry out some performance enhancements to the engine in the first 1 or 2 years of its life to get it up to full spec. And that might be oil -- sorry, fuel burn or whatever. So it's 1 or 2 years later after engines in service, it's a slightly longer capitalization period that gets you to the extra GBP 83 million that we've highlighted this morning. And that gets you to the net R&D. And when you look at the buckets, I think of the net, let's say, GBP 900 million that you're left with then, often, we talk about Civil Aerospace, GBP 200 million of that is in Power Systems; and then about GBP 100 million of that is in digital and electrification, around the electrification initiatives that we're working on, and that's combined, by the way, that's not each. And also enhancing our service offerings in the aftermarket, so that's in there. And then in Civil, you've got around sort of, let's say, GBP 300 million across those 3 engines that were just brought into service over the last 12 months. And then the balance is a whole variety of aerospace technologies, whether it be around turbines, combustion, fuel efficiency, emissions and so on, is the bulk of the spend. That's a broad mix of the R&D when you get down to that GBP 900 million.

D. Warren A. East

CEO & Executive Director

I'm afraid I'm not living up to the rigor discipline and execution mentality here because we're overrunning on time. So if we just have to make this the last question, I'm afraid. Can we go in the middle there for the last question? I'm very sorry.

David Howard Perry

JP Morgan Chase & Co, Research Division

It's David Perry at JPMorgan. Maybe one for Stephen and one for Warren. Stephen, on this capitalized R&D issue, you talk a lot about the GBP 83 million accounting policy, but the much bigger jump seems to be a more discretionary decision to just capitalize way, way more R&D than has been done, I think, ever

and there is going to be even more going forward. So can you just explain why you've decided to do that because I think it's sort of GBP 400 million that you're talking about is all going to Civil Aero? And then for you, Warren, I don't know whether you were misquoted by a journalist the other day, but in The Times, they were talking about this huge push into electrification, but it hasn't really been discussed much in this meeting. I mean, just sort of can you talk a little bit to the cost of that and the payback on it, please?

Stephen Wayne Daintith

CFO & Executive Director

Okay. So on the capitalization, I don't think it's sort of a more than ever. I think it's more around the fact that we are in the middle -- the -- basically, the 3 large engines that we've brought to the market in the last 12 months with their first -- in the 12-months period, in their first flight, the capital spend on that is significant. And the capitalization of that is ongoing until they reach full spec, which will be a little while after [engine] in to service. The GBP 83 million is very much around the policy application. It's very much around aligning with our European peers. MTU and Safran are the 2 examples that I quoted, and it is consistent with that. And we think it best reflects the economics of the capitalization phase when it's appropriate to do so. So that's where we are on that particular treatment.

D. Warren A. East

CEO & Executive Director

And on electrification then, as I said when presenting a moment or 2 ago, now this is an inexorable trend in industrial technology markets. Actually, whilst it makes quite good stories, in terms of actual financial impact today, it's relatively small. We're probably going to be spending about GBP 50 million on transferring electrical capability into the Aerospace domain during 2018. But most of the activity happens in our Power Systems business, and as I say, that is absolutely deliberate. This is servicing applications, where electrification is prevalent today. And it enables us to develop systems expertise, capability in that area but, at the same time, have a revenue stream to back it. So it's kind of absorbed in our Power Systems business.

David Howard Perry

JP Morgan Chase & Co, Research Division

So can I just be cheeky and ask one more? This is more a request.

D. Warren A. East

CEO & Executive Director

Yes, it's cheeky, yes.

David Howard Perry

JP Morgan Chase & Co, Research Division

In your presentation, Stephen, you said you were really pleased that in your planning discussion, there was no discussion of profit; it was all about cash. So in the guidance you give us, can you just guide us to cash by division because it seems incongruous that we get guidance on profit, but you yourself plan around cash?

Stephen Wayne Daintith

CFO & Executive Director

And I'd like to get there and I think in good time, not ready just yet. I think we've added a lot of extra guidance this year, and there'll be more to come, I'm sure. But at this stage, we're giving just group cash guidance. And let's see where we get to in 6 months', 12 months' time.

D. Warren A. East

CEO & Executive Director

Thank you. Thank you all for coming along and taking an interest. We'll be back in 6 months.

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Rolls-Royce Holdings plc LSE:RR. Fixed Income Call

Thursday, August 03, 2017 4:30 PM GMT

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Stephen Wayne Daintith
CFO & Executive Director

ANALYSTS

Unknown Analyst

Presentation

Operator

Hello, and welcome to today's Rolls-Royce Holdings plc 2017 Half Year Results Fixed Income Conference Call. [Operator Instructions] I'll now hand you over to Stephen Daintith, CFO. Please begin, Stephen.

Stephen Wayne Daintith

CFO & Executive Director

Thank you, [Hugh], and afternoon, everybody. Now I'll just spend 2 or 3 minutes running through the highlights of the numbers, then I'm very happy to take your questions. And I think how I would summarize the first half is it's very much in line with our plans, a very solid performance first 6 months of the year. We are also, at the same time, confirming that our outlook for the year is unchanged. And just as a reminder of that, we have guided to a modest growth in profit in '17 over '16 and about the same for the level of free cash flow in '17 over '16, which last year was about GBP 100 million and the same [indiscernible] again this year. And that free cash flow is against a backdrop of making more engines than ever and as you know, we sell our engines, Civil Aerospace, at a loss, so we're able to offset that drag on the business through improvements elsewhere, which we are very happy with.

So looking through the numbers, headline numbers, revenue [indiscernible] by 6% across the group half year-on-half year, and the 2 big drivers of that are in Civil Aerospace, which grew very nicely over the year and double-digit revenue growth in Civil Aerospace, and Power Systems, which grew by 3% over the -- half year-over-half year.

Nuclear grew by 8%, but that number's off a relatively small base. I think it's the Civil Aerospace and Power Systems which are the most, sort of pleasing numbers for the first half of the year. At the same time, gross margin improved quite nicely, a 13% growth in gross margin, driven by growth in Power Systems as [indiscernible] improvement in the economics of the XWB engines, which we are reducing the loss on the sale, the cash loss on the sale of those engines. And we are, as again, we confirmed a couple of days ago, expecting that number to get to the breakeven position by 2020.

And we almost doubled our profit number to GBP 345 million for the half year, [indiscernible] what was GBP 158 million last year, so a nice growth in our, in operating profit with the gross margin improvements coming through, but also with some good savings in commercial and administration costs with a GBP 38 million savings year-on-year.

On that note, operating margin increased to 5%, which is an improvement from [indiscernible] of last year, which is 2.6%, but we wouldn't want to pretend at all that we're pleased with a 5% margin and there's still a long way to go to get to sort of the double-digit margin that we aspire to over the next few years.

Free cash flow saw a GBP 75 million improvement year-on-year. So despite the fact that we're making 500 engines -- sorry, 200 engines in the first half of the year, [indiscernible] a loss of about GBP 1.6 million each, and this time last year, that number was closer to 150, 140. So 60 more engines at the loss of GBP 1.6 million, but despite that, we are still generating GBP 75 million more cash, and that's despite also generating -- sorry, spending another GBP 19 million more on CapEx and depreciation if we compare year-on-year. So good operational cash generation and improvement there, which we are encouraged by.

We have decided to keep our dividend flat for the time being at 4.6p per share. We will revisit the dividend when we start to see growth in free cash flow that we are anticipating. So a solid start to the year. No change in the outlook on a full year basis, [indiscernible] just described. And we took the opportunity on Tuesday earlier this week to confirm to the market that we're very comfortable with the GBP 1 billion of free cash flow that's being talked about in the [indiscernible] market and in the media. We don't have this as a formal target, but it is very much a sort of ambition that we are working towards, and in fact, we would hope to go beyond that as well around 2020, and [indiscernible] and then grow from there into '21, '22. And really acknowledging that this is the sort of cash generation that a GBP 15 billion revenue

business ought to have in any event, not just the sort of a nice-to-have [indiscernible], but it's almost a financial imperative for us to have this level of free cash flow, given our long-term investments that we have to make where we were developing engine programs for engines that may not be on the plane for another 10 or 15 years or so.

So I would say, the half time update is good progress so far. Lots to do in the second half of the year, but we are quietly confident around the outlook that we've set the market and also we believe we're well placed for 2018 to 2019 and, moving toward, flat GBP 1 billion of free cash flow by the end of the decade which was the internal target and very much become something that we are looking at as a very useful rallying cry [indiscernible] of where we ought to be in the business.

So that's my sort of broad overview. I'm happy to take any questions that you might have.

Question and Answer

Operator

[Operator Instructions] One is now coming through, and that's from the line of [indiscernible] with [indiscernible].

Unknown Analyst

Just a quick one on the ITP acquisition. If you could confirm the timing of completion for this deal and your preferred option to pay for the acquisition. I think Moody's, for example, assumes that you will pay, mostly in shares, for this [transaction]. If you could clarify what you intend to do.

Stephen Wayne Daintith

CFO & Executive Director

Okay, so the completion now which is just dependent on the final single approval from the Spanish government, and -- but we are anticipating that will be before the end of the calendar year. So given that we're now entering the [indiscernible] summer holidays and so on, I would expect that it's probably going to be in the fourth quarter of this calendar year, maybe in September, but the fourth quarter of this calendar year, so that's the sort of timing issue we're thinking about. And then as a reminder, the payment phasing for the EUR 720 million transaction is -- would be paid over 8 quarters, and we have the option of using either equity or cash. Our choice with each payment will very much depend on the share price and our balance sheet and cash flow. And so as you might imagine, I would expect that the first payment will probably be in equity just to get the ball rolling on using equity so that [indiscernible] . But I think after that, no firm decisions made at this stage. I think we keep our options open and [indiscernible] equity and then take it from there. We're very much dependent on how -- what are the share prices. I think where the share price is now, it's a lot more attractive to use equity than it would have been 12 months ago when we were down to [indiscernible] share at [indiscernible] and the equity becomes far more attractive. So can't [indiscernible] too much into that but we will start with equity and take it from there.

Operator

[Operator Instructions] Okay, well back to you for any closing comments.

Stephen Wayne Daintith

CFO & Executive Director

Well, thank you for your time, everybody, and I look forward to talking to you shortly after our full year results, which will be in March of 2018. Thank you very much. Bye bye.

Operator

This does now conclude today's call. Thank you all very much for attending. You can now disconnect your line.

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Rolls-Royce Holdings plc LSE:RR.

FQ2 2017 Earnings Call Transcripts

Tuesday, August 01, 2017 8:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2017-	-FY 2018-
	CONSENSUS	CONSENSUS
EPS Normalized	0.34	0.36
Revenue (mm)	14329.86	14728.96

Currency: GBP

Consensus as of Aug-01-2017 8:40 AM GMT

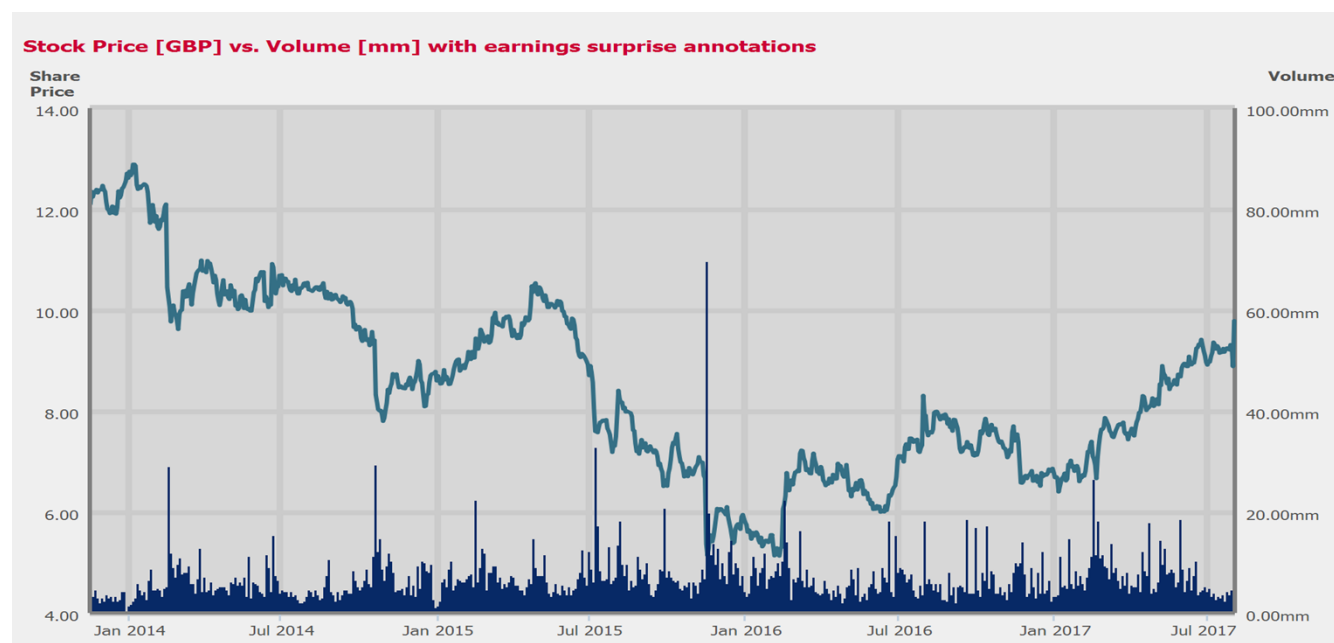


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CEO & Executive Director

John Dawson

Former Director of Investor Relations

Stephen Wayne Daintith

CFO & Executive Director

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Agency Partners LLP

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Vertical Research Partners, LLC

Tristan Sanson

*Exane BNP Paribas, Research
Division*

Unknown Analyst

Presentation

John Dawson

Former Director of Investor Relations

Okay, I think we're ready to kick off. It's just going up to 9:00.

So thank you all very much for joining us here at the London Stock Exchange and for those of you joining us online.

My name is John Dawson. I'm the Head of Investor Relations at Rolls-Royce. It's my pleasure to welcome you here to our half year results presentation for 2017.

The agenda for today's presentation is as follows. Warren East, our Chief Executive, will share his perspectives on the first half from an operational point of view. Stephen Daintith, our new CFO, will then run through the financial results in a little more detail and share some of his perspectives on the business in his first 6 months. Warren will then return to give you some perspectives on the second half of the year and our challenges going forward. Our presentation should last around 45 minutes. We will then take questions from the audience and also online, so if you wish to ask a question online, please submit that through the webcast service on the webpage. And we will endeavor to answer those if they haven't -- answer those questions if they haven't already been answered in the room.

Finally, if I can ask you all to please turn off your mobile phones and make sure there's no interference in the presentation. We aren't expecting any emergencies this morning, so if the alarms do go, then we just need to exit in the normal way out to the front and Paternoster Square.

Thank you, and I'll now hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Good. Thank you, John. Good morning, everyone. And as John said, I'll just make some initial comments, and then we'll have Stephen go through the numbers in some detail. And good news, clicker works.

So it was -- I think, for the first half of '17, it's a good set of results. There are clearly positive trends year-on-year in our financial performance, and it's always good to be standing here with that context; and a good performance in terms of revenue and margin, leading to profit growth. I think, for me, what's encouraging is that set behind these numbers are some genuine, encouraging operational progress in all parts of our business. And obviously, there are some significant movements, but some of that is the law of small numbers. And for the time being, our board has decided to hold the dividend where it is.

Now let's look at some of the highlights from my perspective, sort of standouts in the first half.

Clearly we're in the midst of, and we've been talking about for some time, a period when we are ramping our volumes of large engines that we deliver. And clearly this has been a question mark: Are we going to be able to ramp up sufficiently, or not? Last year, we grew volumes year-on-year from the previous year. This year, we have a big step-up to do. We're halfway through the year. We are achieving a step-up, volume production's up -- volumes produced up 37%, deliveries up 27%, so I think we're addressing that question. Importantly, behind that, and we've been fairly open, the new engines are still -- or from an OE perspective, we lose cash every time we ship one of those engines out of the door, but there has been good progress, in particular on XWB around the economics there. And that is driven not just by the effect of launch pricing running out, as we said would happen during this year and during next year, but also there are cost-reduction initiatives and cost-reduction results coming through behind that general improvement.

It's particularly encouraging for me to see a strong first half in Power Systems. The new leadership there is addressing some of the issues that we've had and in particular addressing things like the rather skewed seasonality that's been happening in that business over recent years. And that, amongst other things, has

led to a strong first half for Power Systems. And at group level, our transformation program continues. And we are 3/4 now of the way through the 2 years that we set out at the end of 2015, and we're still ahead of plan on that.

Shifting the balance of technology and engineering was important for me. And in the first half of this year, we did some organization change which shifts that balance so that, as we look to the future, we're feeding our excellent engineering with the best technology. And that's a change which we've made. I'm putting on the slide successful organization changes, very, very early days at the moment, but I can already see a change in emphasis inside the company, which is quite encouraging. That said, of course, we are continuing to concentrate on engineering delivery and delivering important milestones on our future programs around Ultrafan, the big gearbox. And later this month, yes, it's August 1, so later this month, we'll be testing our Advance 3, which is the engine that sits behind Ultrafan.

Now it's not all glorious. We do have some challenges. And certainly some of the challenges that the Marine business faces are still very evident in the numbers that we talk about today. And there it's a sort of balance between restructuring and market conditions I'll talk about in a moment. And I think a big issue for us right now is the in-service challenges that we are facing in our Civil Aerospace business. Now this is a scheduled program of maintenance, particularly around our Trent 1000 engine which is powering the Dreamliner, causing some problems for us and for our customers at the moment. And of course, we regret the problems that that's causing to our customers. You will see some of that in the press, but we are working very hard to minimize any operational disruption that our customers face there with our scheduled program of maintenance.

So a very, very quick summary now looking around the business.

I'll start with Civil Aerospace. Clearly, good to see both OE and particularly aftermarket revenue increasing year-on-year. We've got a long way to go in terms of profit, but it's good to see some improvement. Some of the things that are driving that, of course, is the growing size of the installed base, the fleet that's in operation. And as we grow that with our new engines faster than the older engines that are retiring, we get a growth in the size of the overall fleet, and that's fueling our aftermarket growth. I mentioned before the production ramp in terms of volume. That's very important to us. We'll do more in the second half of the year, but it's been a good start. Balancing that volume production, of course, we've got new engines that we have to get through the final stages of development. And as I look into the second half of this year, the good news is that, the XWB-97 and the Trent 1000 TEN, both on schedule for entry into service before the end of this year. The Trent 1000 TEN, now that was witnessed on its first flight on a 787 by President Trump. And then later in the year, we saw XWB flying at the Paris Air Show, and that was witnessed by president -- new President Macron, so kind of very sort of presidential first half for our new engines. And the Trent 7000, which will enter into service halfway through next year on the new A330, the Trent 7000 engines have now been delivered -- or were delivered in the first half, i.e., before the end of June, to Airbus. And we're expecting the first flight on a new A330 happening in the next month or so.

So switching to Defence Aerospace, revenue down a little bit. Stephen will summarize the detail there, but notice that profit is up. And that's really due to an emphasis in our Defence business on innovation in the aftermarket because this business is all about attending to customers' needs at the moment. And you can see that with some of our new Service Delivery Centres where we're getting closer to the customers in operation, where we're concentrating on making sure that the deliveries that we do make to our customers come through right on time. One of the things that's helping us in the aftermarket is we, in the first half of this year, also extended a very -- a long-term agreement that we've had with Aviall. Aviall is now actually part of Boeing, but we've had an agreement with them for a long time on spares. And we've extended that now to cover literally thousands of defense engines, and we are benefiting from their extensive network.

Power Systems. I said that it was good to see an encouraging first half there. The new management really is revitalizing our business. There's an emphasis that you will see come through in the numbers eventually on taking the service model from our aerospace business and applying that to the large installed base that our Power Systems group has. And so there's been quite a bit of effort on that, and I hope we'll have some news on that in the second half of the year. There's also been progress with joint ventures. It's good

to see in the numbers some of the -- some market recovery coming through, so OE sales up 5%. And that results in overall revenue increase, but it's good to see a greater profit increase coming through from some of the cost-reduction initiatives actually bearing fruit. In terms of orders and looking forward to future business, it's been a good first half for orders, as multiple sectors have enjoyed some recovery. I mentioned at the start we're putting quite a bit of effort into trying to address the continued seasonality skew that's been happening over the last few years, obviously the question mark in the right-hand bar on the histogram there because it depends how well we do in the second half, but we absolutely expect to have addressed that skew somewhat.

And looking further ahead to costs. One of the things we've been talking about for some time, in the bottom right hand of the chart there, this is sort of demonstrating the 80-20 nature of the product portfolio where 80% of the revenue has come from 20% of the products. And so we're going to make significant steps in reducing the number of product variants, and that is now under way. We're aiming for a number significantly more than 25%, but we're 25% so far.

Switching to Marine. As I said, the story is one of balance really. As far as the present is concerned, we're trying to balance the continued depression in the offshore market versus the restructuring that we're doing. And hopefully, we'll get fairly close to a break-even situation. Obviously, we're consuming cash still at the moment in that business. And then as I look forward, we look forward at trends around electrification, autonomous shipping, more stringent environmental controls, more stringent safety standards. And so the investments that we're making there are around technologies relevant to those trends in the Marine business, also particularly relevant to some of those trends that apply to other parts of the group.

And in Nuclear, it's been a steady first half to the year; revenue up a little, with increased activity in our submarines business; profit down because we're maintaining R&D investment. And that's been offset by some of the sort of positive transformation benefits, but some of that R&D investment particularly around our small modular reactor initiative in the civil space. The submarine business, we continue to develop that for the future engaging with our U.K. government customer. The focus has very much been on improving the performance for that submarine customer, performance coming out of our components operation. And that's a very, very significant performance improvement versus the first half of 2016, and the challenge now is to sustain and improve on that level of performance. And in the civil space, we've had some good headlines with some orders and achieving preferred bidder status on various projects.

Transformation across the group. We've had a go here at representing graphically the difference between our run rates and achieved savings in the year. We are on track to deliver at the top end of the expectation, i.e. at least GBP 200 million of annualized cost savings versus 2015 -- versus the end of 2015, where the chart starts, by the end of this year.

So I think, first half, good start, focusing on the things that we said we were going to focus on, delivering the things we said we were going to deliver, transformation program on track.

With that, I'll hand over to Stephen to talk through the numbers in a little bit more detail. Thank you.

Stephen Wayne Daintith

CFO & Executive Director

Okay, well, morning, everybody. There's 1 or 2 familiar faces in the room, but I think I'm getting to know many of you for the first time. So I look forward to working with you over the next few years and getting to know you better.

Stephen Daintith. Just joined in early April, so just over or around 4 months or so into Rolls-Royce. I think I've joined the company at a very exciting time actually. Warren has alluded to this in his opening comments, but there's a massive amount of work going on across Rolls-Royce that struck me a lot in my first few months, lots of good energy as well and real ambition across the organization. And I think we can see a big opportunity ahead. There's lots to do, as Warren has highlighted, but it's all doable, so it's very much around our effective execution. So it's an exciting time to join. And I first got to know the company late last year. And I met Warren sort of around sort of August, September, early August; and then various

members of the team. And I started to jot down then what I thought were my priorities were likely to be over the -- over my first sort of 6, 12, 24 months in Rolls-Royce, and so I'm starting the agenda today with just an outline of those priorities. Then I'll move on to the results. And I've got 1 or 2 accounting changes to talk about.

So looking at the priorities. Interesting enough, these 5 priorities I'm about to outline haven't changed since those first early months when I first started gathering my thoughts and hearing what the various executives and board members and so on and management across Rolls-Royce were saying to me, and indeed the external people that I met as well, around the sort of challenges that Rolls-Royce faces and the issues that it needs to tackle. So here are the priorities that we're working on right now: Number one is cash. I'll talk about all of these in a -- separately one by one. Two is costs. Three is balance sheet and capital allocation. Number four is clearing the fog, using Warren's terminology there. And five is a strong finance team as well. So going through these one by one.

So cash, first of all. I think it is the best indicator of economic performance. There has been a historic disconnect with profits. And the table down the bottom shows cumulative profit and cumulative cash over a 10-year period, and what it highlights is the stark difference between the two. And I think it's been we've been reminded that, I think, GBP 781 million was our sort of record achievement of cash generation in a single year. And I put there understanding and managing the key drivers as well, which I'll get on to in a second on a couple of other slides, but really understanding what's driving cash flow across Rolls-Royce, across all of our divisions, an understanding of that, and then allowing us to think about where and how cash flow might develop over the next few years. There's been a lot of media and market commentary on the GBP 1 billion of free cash flow by the end of the decade. Just to clarify that: It's not an internal target, but we really do like the focus on cash. We think it's right and appropriate. And indeed we would hope that we can go beyond that number over the next few years. There is a road map to a free cash flow that looks like that and beyond it, but of course, there are lots of operational issues along the way to manage it. What I'm going to try and do here is show you some of those building blocks to a growing free cash flow; and over the course of the next couple of results releases, add a bit more detail to -- detail to how that is developing and our progression towards a growing free cash flow. But we do welcome the focus on free cash flow, and we're very comfortable with that GBP 1 billion that's being talked about.

So the road map to a growing civil free cash flow. First key driver is the economics around OE. As Warren mentioned in his opening comments, we do sell our engines at a loss. So the cash margin per engine sold, an improvement of that cash margin, in other words a smaller loss, ultimately leading to breakeven for 1 or 2 of our engines, remains incredibly important. The XWB progress in particular is a key indicator for us given the size of the ramp-up that we anticipate in the XWB over the next few years. And again as Warren has mentioned, we've made good progress over the first half of the year. And we see the route to further progress over the second half of the year as well on the XWB.

The aftermarket value and the growth of the aftermarket margin. The growth in the installed engine base, right now just over around 3,000 or so wide-body jet engines, we'd hope to push that beyond that over the next few years as we increase our production ramp-up and deliver around 500 engines or so a year. Growth in flying hours goes with the growth in the installed base but also passenger hour growth as well; and then shop visit efficiencies, how often are shop visits taking place and what is the cost of each shop visit as well. These are key drivers to a growing free cash flow. I'm using civil here as the key example because it is acknowledged, and we acknowledge it too not only externally but also internally, that the civil cash flow is the one that will be the biggest driver of all the drivers to a growing free cash flow for Rolls-Royce.

And then finally, cost management and capital allocation. This is transformation across various buckets. So a focused improvement on operations and commercial and administration costs. We're seeing some of that coming through already in our half year numbers. Disciplined capital allocation on CapEx and R&D, I'm going to talk about this subject in a little more detail in a few slides going forward. And then working capital management, always a key part of good financial management across an organization.

So looking at Civil Aerospace. This is the trading cash flow for 2016, as previously presented in a traditional format for reconciling profit with trading cash flow, with various entries in between. And I am hoping that we can move to looking at cash flow under a different lens by looking at those key drivers that I've just run through on that previous slide. So an alternative view of free cash flow for civil, and I'll take a little while on this slide because there's a lot happening in here, is to get to the same outcome of basically a break-even business but to show what's happening across the various lines. And don't take this as any sort of audited, precise set of numbers. I'm trying to give you a shape and a direction and a feel for how the model currently works. And we -- and then going forward, back -- in March next year, I can add a bit more precision to this when we talk about the 2017 numbers and the outcome there.

So looking at the OE economics, 320 engines delivered last year on wide-body at an average margin loss of around GBP 1.6 million cash each, getting us to an outflow of GBP 500 million; 11 million engine flying hours, generating an aftermarket cash margin of GBP 1 billion. So the -- looking at the top number, the original equipment, clearly we're hoping for progress on the GBP 1.6 million over the next few years, XWB in particular. And then the 11 million engine flying hours ought to grow as well as we grow the installed engine base, as Warren has mentioned in his opening comments. The sale of some spare engines on the wide-body fleet, they go in as well. And they get us to a wide-body cash margin of GBP 0.7 billion. And we add in then the cash flows for the business and regional engines of GBP 600 million, the V2500 royalty around GBP 300 million; gets us to a gross cash margin of GBP 1.6 billion. You may be wondering where the additional factory costs and the sales-related costs, the AFCs and the SRCs, have gone. We've allocated that GBP 1 billion that you might be familiar with across 3 buckets. GBP 300 million of it is amortization, depreciation, which is noncash. So then you're down to GBP 700 million. And then operations and engineering is -- makes up the balance of the GBP 700 million of what is -- we called AFCs and SRCs. GBP 300 million of commercial and admin costs takes us down to an operating cash margin of GBP 600 million. And then we're spending around GBP 600 million in R&D and CapEx in the civil business, a bit of working capital improvement. And we get to the [unit] that we see today.

So I'm showing this model to show you where we think the dynamics -- or the key dynamics are going to be over the next few years, largely in the OE economics and the AM value line. There's some good progress also on cost management and capital allocation, developing the building blocks to that GBP 1 billion of free cash flow over the next few years.

Costs, a relentless focus on costs across Rolls-Royce. And this is one of the areas that struck me most in my first few months. It's how much activity is taking place in every division across Rolls-Royce and across all the functions in Rolls-Royce as well.

Just highlighting a couple of specific examples across these areas: The XWB-84, we have stated before and we are -- we repeat this ambition to be breakeven by 2020, good progress in the first half of this year and anticipated progress in the second half as well. I think we'd be more explicit about the progress that we've made here in March next year.

Footprint and factory utilization, we are targeting a 20% reduction in footprint by 2020. And at the same time, we're looking for factory utilization of at least 80% by 2020. Right now, it's about 65%, so good improvements in factory utilization. That's on a 24/7 basis.

Life cycle cost reductions, we continue to look at how we can make our shop visits more efficient across our fleet, targeted engineering to reduce costs over the life of a contract. And then process efficiency, simplification, a lot of simplification opportunities across Rolls-Royce being pursued. And this this does free up time. Theoretically, productivity will improve. Rolls-Royce likes its processes. And we have enjoyed making what ought to be simple things quite complex and complicated. And I think there is, as have been mentioned previously, a lot of opportunities to improve and simplify the way we look at and manage the business.

And finally, commercial and administration management of those costs, tight headcount control in particular. We put in place a headcount freeze, I think, around 6 weeks or so ago. That's working well across the business. And we do see in the first half results, as I'll show in a second, some good improvement on commercial and administration costs over the half year.

Balance sheet and capital allocation. Rolls-Royce, as you know, is a long-term business. We build engines for the long term. We enter long-term contracts. Delivering a strong free cash flow is not just important in its own sake as a successful, growing business, but it's with disciplined capital allocation gives us then flexibility for investments. And it will be good to have a sort of business where we have a strong free cash flow and disciplined capital allocation so that we are -- we do have a position whereby we can invest for the future and place some of the biggest stakes where we see opportunities for growing cash flows in the future in new engine programs. That disciplined capital allocation is very important: that we are sensible and disciplined around setting return on capital targets, cash return on capital targets over not short-term cycles but medium, long-term cycles, so 5-, 10-, 15-year cycles; and being public about what those expectations are and what those targets are.

So we would hope that putting all of these three together will lead us to be secure as investment grade and ultimately delivering a pathway to a sustainable A rating. And indeed, in my meetings with Moody's and with S&P, they too are looking at a free cash flow, a growing free cash flow, as the key indicator that they will be looking for to secure our investment grade and then return to an A-rating status.

Return on capital targets, I've talked about but taking that long-term perspective.

Clearing the fog. I think there's an opportunity. This is not just an external but also an internal focus as well. I think we can help ourselves and improve the way internally we look at the business and the drivers of performance on what all of those key performance indicators and where the accountability lies and having clear measures that we're measuring and managing ourselves against. So understanding and explaining the performance of the business internally, I think we can improve but also externally as well. I think we're very strong on financial accounting. And I think we can probably get a bit better on the old-fashioned management accounting.

Clear metrics and accountability, including group KPIs, we'd hope to develop those over the balance of this year, and in March next year, share with you some ideas around what sort of group KPIs we ought to be looking at. Greater clarity on cash flow, I've talked about that. So rather than reconcile a profit number with a cash flow number, try and explain cash flow on a driver basis not just for civil but our -- for our other businesses as well. And then IFRS 15 helps enormously. We welcome IFRS 15. I think it will allow for a purer and clearer view of the business. And whilst long-term contracts accounting adjustments have been the way we have accounted appropriately over the years, I think the removal of those and moving to IFRS 15 will help enormously, all giving greater transparency.

Group KPIs, possible items that are under review: return on capital employed that I've talked about, free cash flow per share, cash conversion and cash margin, a strong focus on cash. And I think it's a language that is growing across Rolls-Royce, becoming increasingly part of our language of success. A growing free cash flow very much sort of matches our ambitions.

I just had a specific topic on clearing the fog. There was quite a bit of commentary and indeed questions from the market around our hedge book. And so over the next couple of slides, I'm trying to shed a little bit of light on why we have in place what we have in place and explaining a little bit about our hedge book that we have today and the shape of our hedge book and therefore the likely trajectory of the achieved rates over the next few years.

So the headline statement, the -- our hedging policy is to reduce FX volatility on cash and profit. We're a long-term business, take a long-term view. We have long-term contracts. And moving down to the final 2 bullets, we receive about \$6 billion a year to offset our sterling and euro costs. So to be sure about what we're going to be translating those dollars out, we sell those \$6 billion forward over the next few years. And what these 2 lines show are the policy that defines, effectively defines our maximum hedge book, so these are maximum and minimum bands for the flows that we anticipate in each year. The purpose of the hedge book is not to be precise within these bands. It's to determine the maximum size of the hedge book. And then we allocate the hedges broadly in those lines, but this is more around determining the size of the hedge book rather than the actual shape of the hedge book itself.

Having said that, this is what our hedge book looks like over the next few years. So the dark blue-shaded bits show the hedged portion on a percentage basis of our anticipated dollar flows. And then the forward

rate shows if we were to buy today for hedges in those years, selling our dollars at the rate that we would purchase at. And then the blue line in the middle there, the sky blue line that's sloping down, shows the likely trajectory of our achieved rates over the next few years. So 2017, around \$1.54. And then moving down, you can see through to around sort of around just above \$1.40 or so, \$1.40, \$1.44, in that range, over the next few years, depending of course how the forward rate moves and at what rate we replace the hedges that we use in 2017 with new hedges in the outer-years.

So these policies work very well for us. We -- when you look at these rates over the next few years, they are comfortably below our long-term planning rates. So we're very comfortable with this policy. We think it's sensible. It's worked well for us; and just to repeat as well, below our long-term planning rates.

The finance team helping drive the change, 2 recent additions that's worth highlighting in respect of the strengthening the finance team. Sarah joined us in September. Sarah is sitting here in the middle of the room. Sarah has joined from Shell; with just over 25 years or so with Shell, in various countries, in Finance Director roles and Regional Finance Director roles and various operations roles as well. Delighted to have Sarah on board and currently our group Financial Controller and Deputy CFO. And Sarah is doing a cracking job, so far. Thanks, Sarah. And then we have Ben Fiddler joining us in early September. You all know Ben. What we are looking for in Rolls-Royce is to face up to the sort of the brutal facts around the performance of the business in recent years and the area that we need to improve. And we do need rigor and we do need challenge within the organization, and we think Brett -- Ben will bring that rigor, that challenge but also that industry expertise as well; and will help us not just in sort of financial planning and analysis in the sort of short term but also thinking about capital allocation and strategic planning and so on as well. So we're delighted to have Ben on board, that -- and we think he's going to be a great addition to the team.

And I expect there'll be 1 or 2 more changes on the horizon as well, but getting a strong finance team to really drive the outcome across Rolls-Royce rather than report the outcome, I think that's the key thing that we're looking for from a strong finance team in Rolls-Royce, providing that insight and analysis but helping us all make better decision-making across the group.

So the half year results, running through the numbers.

It's been a solid start to the year. It's always good to see revenue growth in a business and civil growing 14%, underlying growth rate; Power Systems up 3%; Marine, operating though in tough markets, down 15%; but overall a 6% revenue growth for the group and a solid start to the year. Profit, again decent start on profit. Group revenue, we've highlighted. Commercial and admin costs are GBP 38 million lower than this time last year. GBP 16 million or so of that is down to the normal piece of legal costs associated with the Deferred Prosecution Agreements, but putting all that together, we have an improved operating profit, GBP 345 million over GBP 158 million last year; and an improved margin, although I wouldn't want to boast at all around the 5% margin. There is still a lot, lot to do on improving our operating profit margin. But a solid start to the year.

I'm going to run through all the divisions one by one now -- putting all that together, you can see the profits there, civil and Power Systems the big driver, Marine operating in tough markets and a GBP 17 million decline half year on half year.

Free cash flow -- sorry. I forgot the free cash flow slide. Free cash flow GBP 75 million better than last year. We have pointed out that there's a lot happening in working capital, around GBP 180 million in receivables in particular which I'll talk about later. I'm sure we'll do as we go through the Q&A. And that's been the driver of a free cash flow performance that's slightly higher than last year's number. We are not changing our outlook on free cash flow. Indeed, I should have said, neither on profits either, just to repeat Warren's comments. At this stage, we're very comfortable where the outlook is, our outlook for the full year that we gave back in February of last -- of earlier this year.

So looking at operating cash, cash outflows from a higher installed engine production. We invoiced 202 wide-body engines during the first half of the year, so a good ramp-up from last year's numbers. That was offset by increased cash revenues from the aftermarket growth which, as you saw, grew nicely. Free cash flow was an increased level of capital investment; higher level of working capital management, that GBP

180 million that I talked about, principally in receivables. Other than this, the cash flow performance was largely as expected.

So running through our divisions one by one.

Civil Aerospace, 12% growth in OE driven by that 202 growth in the civil wide-body engines. That's excluding the leased engines that we sold. And there are 7 or so there. Aftermarket revenues growing by 15% year-on-year. And -- whoopsie-daisy. Sorry. And then you see that translating down to a nice healthy growth in operating profit from -- GBP 173 million this year, sorry, and GBP 31 million in the first half of 2016. To make the point, there is a benefit there in those numbers of long-term contract accounting adjustments that does help about -- there's a net GBP 33 million gain, but it's about GBP 56 million higher than it was this time last year where there was a GBP 23 million loss. I think this next slide goes into that in a little bit more detail.

So underlying revenues. 85 Trent XWB engines were produced -- sorry, was -- were invoiced in the first half of the year, 41 in the prior year. Aftermarket growth, led by flying hours were -- which were up 15% for the in-production Trent fleet, so good growth in the in-production Trent fleet half year on half year; and the business aviation market as well, 21% growth in that, reflecting the success of CorporateCare.

Gross margin improvement, highlighting there that positive benefit of GBP 33 million from the contract accounting adjustments. And that included a one-off GBP 77 million credit risk assessment benefit in respect of one of our customers, where we have taken a view, after we provided -- several years ago, in respect of that customer, when their trading was in some -- let's say, some choppy waters, improved trading have allowed us to remove this provision that we took in earlier years. Our outlook for the year is unchanged, and we're comfortable where it stands. Just for a couple of other bullet points there, we're expecting further improvements on the XWB, higher costs related to increased maintenance activity in respect of the Trent 1000, which Warren talked about in his opening comments.

Defence Aerospace, 4% revenue decline, as expected. We expect that to pick up in the second half of the year. And then the aftermarket, down slightly as well. Second half production will grow in the second half, and that will drive some OE growth we anticipate in the second half as well.

Looking at the underlying revenue. The lower EJ200 OE sales following completion of the Saudi contract is a key driver of the underlying revenue decline half year on half year. Gross margin, we benefited from the nonrepeat of the TP400 charges that you may recall this time last year of around GBP 31 million. And we have lower C&A costs in Defence, a key driver of the 7 -- a small but a GBP 7 million improvement in operating profit for our Defence business half year on half year. The outlook remains solid, with -- full year expectations are unchanged. And just pointing to there the second half growth in the AE engine production. But margins and profits are expected to soften from last year's numbers.

Power Systems. I think Power Systems is the one business that's recovered, and its markets have recovered at -- or earlier than we anticipated when we put our outlook together. What -- it doesn't change our overall group outlook, but I think Power Systems is the one business that's performed a little better than we expected in the first half of the year, growing at 5% on its OE business and 3% when you put its services business together. Operating profit, up nicely to GBP 66 million. So it's an encouraging start to the year in a slowly improving market, but as you recall from last year, Q4 is a big quarter for Power Systems in respect of its services revenue, so there's still a lot to be done in the balance of the year on Power Systems.

Looking at the drivers and the outlook for Power Systems. Underlying revenue, good OE growth. The rapidly expanding Chinese telecoms market, particularly data centers, is leading to some good OE sales into China for Power Systems, but also signs of recovery in several industrial markets, including construction and rail; lower though, half on half year government and marine activity.

Operating margin, GBP 6 million lower C&A costs, again lots of transformation activity going on in Power Systems, but also there, final bullet point, strong working capital management. Power Systems is one of the key contributors to that outperformance in working capital in the first half of the year. The outlook for

Power Systems remains cautiously positive. Q4, just to highlight that again, is key for the service revenue growth, as it was indeed in 2016.

Marine. Marine continues to operate in a very tough offshore market, 15% decline for the division, with 22% decline in OE and 6% in services; operating profits suffering accordingly. It's a tough offshore market. Having said that, a lot of restructuring taking place in Marine, as indeed it has been over the last couple of years. And you'll see in the statement today talking about further headcount reductions planned for the second half of the year.

So certain other key drivers and the outlook. Revenue declines reflect the lower OE order intake and the tough offshore market. We are not anticipating a recovery or a rebound in any event, and we continue to take costs out of the business. C&A costs are GBP 12 million lower. We expect the second half reported loss to be similar to the second half in 2016. So Marine, tough markets and no reasons for optimism at this stage. We do believe, though, the amount of costs that we've taken out of the business, we are well placed when the offshore markets eventually start to recover, as we expect them to at some point.

Nuclear, good revenue growth, as we've managed our submarines contracts particularly well; underlying revenue growing at 8%; operating profits slightly down on last year. And that is largely driven by the GBP 10 million investment in small modular reactors, which you'll see in our numbers. So solid performance across both the submarine and the civil nuclear activities, as Warren mentioned in his opening comments. Operating margin impacted by the investment in the small modular reactors, GBP 10 million or so in there. The outlook for the year, the long-term outlook is unchanged. And there's no reason to change the outlook that we have in place in our models for 2017.

Accounting changes, a couple of items that are on the horizon. As you know, with effect from the 1st of January 2018, we move to IFRS 15. And indeed, we are hoping that for the March results next year we can show you the '17 results on a current basis but also the full results on an IFRS 15 basis as well so you can see that fair comparison, probably spend quite a lot of time on that. And that will then allow you to think about how you want to think about 2018 on an IFRS 15 basis.

Looking at the numbers, you -- back in November of last year, we gave you an early view, and we stressed at the time that it was an early view, on 2015. We've settled down now on the numbers for 2015, which show an underlying operating profit adjustment restatement of GBP 933 million. The number for 2016 is a little lower. I think we guided that we expected it to be a little lower on the 2015 number, GBP 823 million. Just to repeat again, there's no cash impact. Cash remains the same. This is a restatement of accounting numbers. For 2017, we'll share the detail of that with you in March, but if anything, we're expecting the 2017 number to be again slightly lower on the 2016 number.

Sorry. Skipped one area there. IFRS 16 comes into play on the 1st of January 2019, and we'll be taking operating losses onto the balance sheet. Again, no impacts on cash. That's around GBP 1 billion of operating losses. These principles are already used by our rating agencies in the way that they assess the health of Rolls-Royce. So just as a flag that that's on the horizon. And again, we'll share more with that with -- more of that with you in March next year.

So to summarize. Clear priorities for the way ahead, a particular focus and emphasis on cash. It's been a solid first half. There is much to do in the second half, Power Systems, civil, Defence. Around our divisions, there's much to do in the second half. So it could be tempting to get carried away with the first half numbers, but there's a lot to do in the second half of the year, and I would -- really would reinforce that point. And accordingly, our outlook for the full year is unchanged.

Thanks very much. Over to Warren.

D. Warren A. East
CEO & Executive Director

Thanks, Stephen.

A few comments just to close, and then we'll move to Q&A.

I was chatting with the board last week because I've actually been doing this for a couple of years now. Sometimes, it feels like 5 minutes. Sometimes, it seems like about 22 years, but some of you who've been following me doing this for a while will note that, in days of yore, I didn't need to use glasses to look at the slides. Anyway, the slide sort of breaks into 2 halves. There's what we're really concentrating on in the short term versus what we're building, on the right-hand side of the slide, for the longer term. And I think, in 2016, I was really concentrated around some of the structural changes that we're making with what I called operational hardware back in 2015. And we're really seeing the positive effects of that now, particularly the direct line of sight of the senior team right into the businesses. It's -- it feels a lot easier to get a grip on what's really happening in the businesses. But as we've moved into 2017 on the operational hardware, then it's really encouraging to see we now have a new, balanced senior team around the table. And I think you can see in the energy that Stephen is bringing to the finance function a measure of the changes that are happening at that level in Rolls-Royce.

I'm also encouraged by the changes that we're making around engineering and technology. That's the most recent change we've made. That's very much a 2017 change, but that puts us in a great place for the future. You will see technology appearing in a couple of the other boxes as well. Stephen talked about the fact that we love our processes and complexity, and you've heard me talk about this before. I suppose, if there was one area that we're on reflection after 2 years, I do need to -- it's part of my job to be more impatient. And I think we can always move a bit faster here in terms of improving the simplicity of our organization. However, I would say that, in 2017, particularly now as we're getting that team established, I can see a pickup and a building in the momentum which is happening in that direction. And I'm confident that we will deliver on what I'd previously called the operational software in due course.

But looking forward, events happen in business all the time. And the important thing for Rolls-Royce is to establish some resilience so that we can really achieve sustainability. And behind that resilience, that's why it's so important that we deliver on the operational software side of our transformation so that we can really strengthen the balance sheet, so that we can establish some breadth and depth in the technology that sits behind our portfolio. And that's what we're concentrated on right now, and I can see that we are starting to make progress there. But to make it stick: Stephen talked about disciplined capital allocation. And that's what's really necessary to be able to sustain the expenditure, the investment in R&D for the future; and to create a winning platform so that, when we've got this real execution machine, it's built on a winning platform. But I think we're making reasonable progress in all of those 4 boxes actually, and so after 2 years, I'm quite satisfied with where we are.

Coming back to the present, though. The priorities for the second half of the year are really very, very simple. We need to deliver what we say we're going to deliver. And in 2017, as Stephen just mentioned, there is no change this morning to our expectations in terms of financial results. We've got a lot to do in the second half, but I believe that we're well positioned to do just that. From a day-to-day point of view, very much concentrated on engineering, on operational matters and on looking after the aftermarket. And it's a balance. And the balance is -- a good example, good place to see that is in our civil business. We clearly have a balance from an engineering point of view in terms of delivering the new products to large new engines' entry into service before the end of this year, another one coming along 6 months behind, balance that against -- or from the operational point of view, the ramp-up that we need to do. Just over 200 engines invoiced in the first half of the year, we need to get that up towards 500 engines for the end of the year, and we're reasonably placed to do that. And I mentioned at the start of the presentation how we're working hard with our civil customers to minimize disruptions caused by the in-service support that we're doing with a scheduled maintenance program in particular on our Trent 1000.

So there's quite a lot of challenges there in the second half of the year. Behind all those challenges, I've talked for quite a while about the future; and the need -- whilst we are focusing on the present, the need to consider the future and make sure we have a thorough review of our vision, the strategy and the technology that sits behind that. And we do hope to share that view before the end of the year. So with that, I'll hand over to Q&A and leave you with that summary. So we've got the first one in the middle there. The microphone is coming around. Stephen and I will share the Q&A.

Question and Answer

Charles J Armitage

Citigroup Inc, Research Division

Charles Armitage, Citi. Three questions. First of all, 320 engines delivered last year, going to, I don't know, 480, 490 excluding spares. There are quite a lot of -- and minus GBP 1.6 million each. There are quite a lot of moving parts. You've got bigger losses in the XWB. You've got more of those coming through. You've got presumably the overall cost per engine coming down, but you're delivering more engines as well. So presumably the losses will probably get bigger this year, but at one -- some point it'll flip when the losses coming down will be faster than the number of engines going up. Can you just sort of talk through that dynamic, please?

D. Warren A. East

CEO & Executive Director

Yes, well, I think you've talked through it actually. It's, in terms of what we're actually delivering, we're delivering to meet customer requirements. And so that's the airlines that have scheduled deliveries. And you are right. You mentioned XWB. We pulled out. We're very encouraged by the first half performance. That's where it's the biggest loss at the moment, but it's also the biggest improvement in terms of closing the gap. So exactly when that transition happens, we've been fairly clear it's not happening this year. The absolute cash loss is going to be bigger this year because the volume increase is more significant than the closings of the gap, but as we look forward beyond this year, then we're certainly going to come to that point. I don't know if...

Stephen Wayne Daintith

CFO & Executive Director

Yes, yes, I think you're right there to highlight a key inflection point for us will be when we get that to start going the other way when we're making as many, if not more, but the cash drag on the business, so to speak, moves in a positive direction. So it'll be -- that will be a key inflection point for some time over the next few years, but that will become obvious, I guess, as we'll -- as the -- as we make progress on -- particularly on the XWB.

Charles J Armitage

Citigroup Inc, Research Division

Next question. Thank you for Slide 28. That's very useful, the FX one. Can we just try and make so I understand the -- I'm color blind, the pale blue band, I think? The -- if you just look in, I don't know, 2022, so I can see the numbers, 60% is hedged, the forward rate's quite a lot lower than that. Could one assume that, if one hedged at the current rate, you would be towards the bottom of that band but you're not so there's a degree of uncertainty?

Stephen Wayne Daintith

CFO & Executive Director

Yes, you kind of could. I mean I wouldn't want to be precise about the answer because you just don't know how the rates are going to move and so on, but that math is broadly right, your -- that assumption, but it will depend, of course, on how the forward rate curve changes and spot rates develop over the next couple of years.

Charles J Armitage

Citigroup Inc, Research Division

Perfect. And the final question, long-term accounting changes and particularly that GBP 59 million of technical costs. Could -- what is that? And secondly, how on earth can I forecast this? Or do I just forget about it because it disappears in under IFRS 15?

Stephen Wayne Daintith*CFO & Executive Director*

That is the single largest component there is the Trent 1000 issues that Warren covered in his opening slides. It is essentially provisions around increased costs that we're anticipating across our engine programs and the Trent 1000 being the largest. On a go-forward basis, we'll clearly have those costs. And we will still be providing the most appropriate for in-year provisions and so on, in -- is the short answer to your question.

Charles J Armitage*Citigroup Inc, Research Division*

Does it get less under IFRS 15?

Stephen Wayne Daintith*CFO & Executive Director*

Well, no. They will vary, of course, depending on what issues take place in respect of our engine programs. Clearly, we would hope for a small increase or negligible or even declining provision every year, but -- so it will really just depend on how those operational issues unfold over the next few years.

D. Warren A. East*CEO & Executive Director*

We've got one in the middle here -- or sorry. The microphone at the back.

Unknown Analyst

[indiscernible] from Fiske. It might be a question for your new head of technology. GE have got problems with the TP400, Pratt with the geared fan. And you seem to have no problems with the F-35 gearbox and, hopefully, not with the Ultrafan. Is it because you use this technology called curvic coupling?

D. Warren A. East*CEO & Executive Director*

I don't actually think it is either. I mean, the challenges that were faced around the TP400, I think there was a significant volume ramp-up and that one facility was required to produce gearboxes for lots and lots of different engines. The geared turbofan from Pratt & Whitney, we can't really comment on other people's business, but these things are very difficult things to do. And of course, we will try to learn from other people's experience, but I -- and we believe that we have a design of gearbox that is going to be successful. But we're very, very early. We only just started testing it under power. And I would really hesitate for any of our spokespeople to comment on it's going to be glorious because we've got a program over the next several years of extensive testing. And I'd stress that, all of us companies, this is difficult stuff, particularly to make it safe and reliable. So I really can't comment on other people's challenges.

Christian A. Laughlin*Sanford C. Bernstein & Co., LLC., Research Division*

Christian Laughlin from Bernstein. Two questions from me. Both are related actually in a way, I guess. So firstly, Warren, if you think about 2 years ago or even 18 months ago, how has your confidence evolved with respect to confidence in the visibility of what you see and the quality of data that's being presented to you and how deep that goes into the organization or the divisions? And what has been driving that? Has it been changes in people and processes? Or also, have you started to see some fruits of some of the system updates initiatives that you talked about previously? And then secondly, related to that too, if you could clarify some of the comments that were reported into the press over the weekend about the GBP 1 billion in free cash flow around 2020 or so just with respect to how you actually are thinking about that in terms of defining that as an internal objective or as a marker on a trajectory over the next few years and how that shape of improvement from 2016 looks.

D. Warren A. East*CEO & Executive Director*

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Okay, let me just sort of comment on improved confidence. I am a lot more confident in the quality of information that I'm seeing today versus where we were 2 years ago or even 18 months ago. Part of that is in the delayering that we did in 2016 and getting closer to the businesses. Part of it is in the reengineering of the finance function that Stephen is spearheading and which is the sort of #1 goal. And I think in some of Stephen's slides, hopefully, you saw clear business-driven derivatives of the numbers. And so Stephen, you may want to comment on where it's going in the future. Before you do, I'll just talk about the weekend press and the GBP 1 billion. So speaking with a colleague about this, this morning, he had a great analogy for me. He said, "You know, I can have a target to have 1 -- sorry. He might have a target for that but GBP 1 million of cash in his deposit account. And that might be a target, but exactly when or if ever it's going to be achieved is debatable. So this is a very healthy objective for us to have. And Stephen calls it a great rallying cry within the organization. We sincerely believe and hope that this business will generate a lot more than GBP 1 billion of cash in a year at some stage in the future. We think it'll be around about GBP 1 billion around about 2020. And whether that GBP 1 billion threshold happens before 2020 or after 2020 depends on a myriad of different events. It depends on the level of flying hours that are done, the rate at which we grow our fleet, the number of in-service issues we have. If all of that moves in the right direction, we'll probably get to GBP 1 billion before 2020. If some of those turn into headwinds rather than tailwinds, then it'll probably be a little bit later, which is why we're really not going to get hung up on fixing actual target quantum of money to a particular point in time. But it's a very, very realistic number to be talking about in that sort of time frame.

Stephen Wayne Daintith

CFO & Executive Director

I've used it a lot in presentations that I have given internally because it's very useful just to get that focus on cash. And in fact, we're going through a little bit of an education process because most business managers in most businesses talk about sort of revenues and profits, but understanding your cash flow and drivers of cash flow, it sounds strange but it's true, is not often that great. So there's that. There's the education around it, but then there's also the drivers of that cash flow, going back to sort of the first part of your question. And I would hope that we can start talking in our releases around those drivers and those building blocks, particularly in the aftermarket cash margin because that's the big cash driver. And when you think about it, it's not hugely dissimilar from a subscription business once you get -- and how subscription businesses report their cash flows in terms of sort of yield and ARPU growth or revenue per -- well, revenue-per-customer growth, that sort of thing. And that then becomes very helpful because you've got a very reliable, dependable and strong cash flow which is an increasing proportion of our group revenues. So I would hope that we can move in that direction and really get that good understanding of those drivers of aftermarket cash margins.

D. Warren A. East

CEO & Executive Director

I don't -- the microphone must be over that side now. And we need to remember the microphones to the middle.

Robert Alan Stallard

Vertical Research Partners, LLC

It's Rob Stallard from Vertical Research. A couple of questions. Maybe to follow up on Charles' question on large aircraft, large engine OE cash margins. The loss of GBP 1.6 million per engine last year -- sorry, what we might be expecting for this year per engine. And then secondly, there's been a lot of conversation about whether Boeing will or won't launch a middle-market aircraft. Is this a platform that Rolls-Royce might be interested in powering? And if you were successful in achieving that position, what the sort of costs and timing could be.

D. Warren A. East

CEO & Executive Director

Yes. Do you want to talk about GBP 1.6 million?

Stephen Wayne Daintith

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CFO & Executive Director

Yes, I'll do the cash losses, yes. I wouldn't expect a number significantly different from last year's number. And the very early question is -- guided as why that is. It's in that the XWB production is significantly higher in '17 than it was in '16. And we know that, that carries an initial larger cash than the average of all the others, but again we expect that to come down. In March, we'll be more explicit about the progress that we're making on the XWB, but it is good progress. And we have that ambition by 2020 to get to breakeven, which will only help the average margin going forward. So GBP 1.6 million, I expect to be pretty much flat in '17, but then '18, hopefully, we'll see improvements on that.

D. Warren A. East

CEO & Executive Director

Okay. And on the MMA, well, we're in the business of supplying large engines. And so if there's a sensible commercial opportunity around MMA, then of course, we're interested in going after it. We're developing new architectures at the moment. Our Advance engine is about getting greater efficiency out of the engine. Our Ultrafan is about making that engine propel the aircraft more efficiently. And we're developing those new architectures for new wide-body applications at the back end of the decade. If there's an opportunity to create from that architecture another engine variant that we can do economically and start having some return on all the investment that we're making in that architecture development a few years earlier, because that might be the timing for MMA, then that sounds like a good idea, but it will be dependent on whether we can get a sensible business case on the individual project. And that depends on where Boeing end up with the specifications for their aircraft and the requirements for the engine and where we are with our architecture developments at the time. All right. And we have to go to the middle now. I'm afraid we're sort of getting the microphone -- thanks. Thank you, yes.

Nick Cunningham

Agency Partners LLP

[indiscernible] sat in the wrong place. Nick Cunningham from Agency Partners. I wanted to ask about Trent 1000 because you're talking about sort of headwinds, if you like, potential headwinds. And it's difficult for us to see, I think, the Trent 1000 impact because it gets lost in warranty provisions or within long-term service agreements and so on in the P&L, so I was wondering if you could give us an idea of what the scale of cash issue has been; and also, beyond that, whether you now have a permanent fix and how much that fix is going to cost. In other words, how much is it going to cost in cash terms to close it out? And then final part of that: Is there any systemic issue around the sulfidation which is going to apply to other engines like XWB or Trent 7000 or whatever?

D. Warren A. East

CEO & Executive Director

Do you want to talk about cash? And then I'll come back.

Stephen Wayne Daintith

CFO & Executive Director

So, yes, on the -- there is a GBP 59 million technical provision in respect of a variety of engine programs. The 1000 is the single largest. And you should be thinking around sort of just less than half or so of the total is the 1000. That's what we provided for and that we think is sufficient at this stage. And it will depend on how the operational issues unfold over the balance of this year, but right now, we think we're adequately provided. So that's the answer on the 1000.

D. Warren A. East

CEO & Executive Director

Yes. And on the 1000 and getting it under control and tying it down, there are a handful of issues with the current Trent 1000. There are about 400 to 500 engines affected. And basically, some parts of the engine are turning out not to last as long in service as their original design lives. It's, as with any mechanical components, they wear out. And you have a design life and you expect to replace those components, and

it turns out on inspection that we had to replace them sooner rather than later. And that's what causes the extra costs. It's the extra cost of physically the parts and also the operational cost of putting them in. We understand the issues. We have a scheduled program for the fleet of engines that's out there. And we believe that, with the Trent 1000 TEN, the one that is coming into service at the end of this year, then -- we have addressed all the issues that have been identified. But if you look across our fleet of large gas turbines, there are issues with pretty much all of them. And this is a bit like the question I was answering on the gearbox. This is difficult stuff. And you start off and you have a design life and you have in-service experience, and you change the design or you change the life-ing that you're putting on particular components. And over the course of years, we get better at making these things last longer in the air. So instead of having to have engines that typically would return every sort of 2,000 cycles, now it's sort of 5,000 cycles or even 7,000 cycles. And the sulfidation issue you mentioned is something that all of these products are prone to. And we experiment with different cooling, different materials, different coatings to try to create an optimum balance of performance out of the engine versus life, but I'm afraid it's just a feature of how these things work, that you're always going to have those issues. And what you try and do is steer away from the bumpy boundary conditions where you run into operational problems. Sometimes, in trying to achieve better performance, we bump into one of those boundaries, and that's what's happening with Trent 1000 at the moment.

Nick Cunningham*Agency Partners LLP*

Can I just ask a quick follow-up on that perhaps? The circa GBP 25 million, I guess it is, the half of the adjustment, does that actually encompass cash costs? Or is other...

Stephen Wayne Daintith*CFO & Executive Director*

Yes, it does.

Nick Cunningham*Agency Partners LLP*

Right, so there's no warranty utilization or whatever going through.

Stephen Wayne Daintith*CFO & Executive Director*

No. I believe that covers the cash costs, yes. I will get back to you if not, but I believe that's the case.

D. Warren A. East*CEO & Executive Director*

Yes. I think we've got some more in the middle here.

Do you want to just pass it along and then we nip up the back?

Tristan Sanson*Exane BNP Paribas, Research Division*

So it's Tristan Sanson from Exane BNP Paribas. Three questions. The first one, I wondered whether, Stephen, you could give us a bit more details on working capital evolution than the GBP 180 million balance that you mentioned earlier? Second, you increased the CapEx guidance for this year by GBP 100 million, I think, but not changing the overall free cash flow guidance. Can you tell us where this extra GBP 100 million will be spent or what type of project, which division? And the third one is on TotalCare transitions. You transitioned a number of A330s over the past 12 months. Can you give us a feel for what should be the average contribution per hour flown of these new TCAs compared to initial TCAs, including the life-limited parts? So if you calculate the kind of all-inclusive contribution, these extended TCAs are traditionally acquired. Will they bring the same, less, materially less than initial TCAs?

D. Warren A. East*CEO & Executive Director*

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Okay, if I do the TCA one, do you want to do the working -- the -- yes.

Stephen Wayne Daintith

CFO & Executive Director

Yes, I'll do it, yes.

D. Warren A. East

CEO & Executive Director

Okay, if you kick off on the first one...

Stephen Wayne Daintith

CFO & Executive Director

So working capital. So GBP 180 million in -- largely in receivables, it's a real mixed bag of activities. I mean, first of all, it's good, old-fashioned improved cash collections and reduced debtor days. Particularly in Power Systems, there's been a sterling purse of -- piece of work in the first half of the year. Timing and phasing of customer deposits, the timing of concession payments when they follow the original engine sale. There will be times where we -- contract payments get restructured with our customers as well. That can cause an inflow of cash. And then a key component there is also the Aviall deal that we announced earlier this year where we're outsourcing logistics and supply of spare parts to the AE engines to Aviall. That had about 5 -- GBP 55 million or so that was part of the GBP 180 million. So it's a real mixed bag of items. I think I would make the point that I wouldn't regard all of this as permanent. And indeed, most of it is sort of AE-timing related, hence our keeping our outlook for cash unchanged year-on-year. And then CapEx, a slight increase in CapEx, this is kind of a noncash item, but effectively, we're capitalizing certain engines that go into our spare engines for our customers, and that's a key driver in what we're doing there. So that's the CapEx explanation. And then Warren, TotalCare [indiscernible]?

D. Warren A. East

CEO & Executive Director

So on TotalCare, there isn't really a material difference between TotalCare rates sort of the second and third time around versus first time around. If there is a rule, then actually we typically achieve a higher rate for a second contract than we do for an initial contract. When you get into TotalCare Flex and TotalCare select, these are the sort of towards the end-of-life variants, then you can think about that as if TotalCare is a kind of insurance policy. Then these variants are where you choose particular things, like on an insurance policy you might choose to pay a higher level of excess and a lower premium. And there's this -- that type of impact, so you will find a lower premium effectively because customers are choosing pieces out of the menu. However, none of that really affects the rule of thumb that we talk about, which is a large engine is going to generate \$1 million or so of flying hour revenue per annum. That's a combination of the flying hours and the rate. And it's a rule of thumb based on the size of fleet and where we are at the moment. Hopefully, that's enough color. We've got an -- we've got some online ones that we need to cover as well.

John Dawson

Former Director of Investor Relations

Yes. Conscious of time, so I just wanted to make sure that the online questions had a chance to be asked. Really the 2 questions that have come in focus really on cash flow outlook for this year based on the increased CapEx outlook, working capital and also the increased level of shop visits. Do we expect to be changing our free cash flow guidance this year and also next year? If we're not changing them, what are the moving parts to leave it all pretty much staying the same?

D. Warren A. East

CEO & Executive Director

[indiscernible]...

Stephen Wayne Daintith

CFO & Executive Director

The same answer really, yes, unchanged. I mean, coming in new, sort of looking at Rolls, one of the things that struck me is a GBP 15 billion revenue business and a -- and a GBP 100 million cash flow. It's sort of that is very, very precise, that degree of magnitude. And I would hope we can get to the days where that sort of number becomes -- varies around a much larger number then becomes less relative and material. So this is a fine art, and so -- but having said that, I pointed to the fact there were 1 or 2 quite lumpy items in our working capital which impacted the improvement half year on half year. I wouldn't read too much into that. Outlook unchanged on a full year basis is where we are when we put -- run all our maths together. And so that's the short answer to the question.

John Dawson

Former Director of Investor Relations

We've probably got time for one more question from the audience before we...

David Howard Perry

JP Morgan Chase & Co, Research Division

I -- can I take it? Because we can't be seen here at the back.

D. Warren A. East

CEO & Executive Director

All right.

David Howard Perry

JP Morgan Chase & Co, Research Division

Yes, David Perry at JPMorgan. A few questions, please, one on FX and then just a series of mini questions on the aftermarket. Just on the Slide 28 that you've given us, which is new, it's somewhat different to how in the past Rolls has explained its FX cover. I mean this looks like a very conventional FX strategy almost identical to, say, Airbus would use. And it implies that your hedging is with forwards; and that you have pretty much locked in rates for '17, '18 and '19, whereas previously we were always told Rolls used swaps with multiple fixing dates and that it had a lot of flexibility to sort of smooth the rates over time. So can you just talk to that? I mean, is this as rigid as it looks?

Stephen Wayne Daintith

CFO & Executive Director

Yes, I will talk to that. I mean I should -- probably should have highlighted that the hedged, the dark blue is a mixture of fixed and flexible. What I'm showing is what I think is how I think this is likely to evolve. I mean it may change but by degrees, so you're correct in -- your assumption was the right one.

David Howard Perry

JP Morgan Chase & Co, Research Division

So there is potential for the actual rates in '18, '19, even '20 to be better than you're showing here, or...

Stephen Wayne Daintith

CFO & Executive Director

I would doubt it. I don't think -- when you think about it, sort of why would -- if we were to do that, we'd -- effectively we'd be pushing hedges out into outer-years. And then the consequence of that would be then you'd start to move up in outer-years because you've moved those hedges further forward, which I don't think will be a good thing to do. So I would doubt that. Look, it remains a possibility, but I would doubt it. I think this is a good shape actually. So when I say good shape, I think this is a reliable shape for the next few years.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay. And then just a series of questions on the aftermarket. They're all related and quite quick. The 15% growth that you reported was very strong. Can I just check? Is that a genuinely -- in your view a genuinely organic number? Or are there some one-off items? And perhaps another way of asking is, if IFRS 15 existed today, would it have been 15%?

D. Warren A. East

CEO & Executive Director

Well, I mean the -- embedded in that aftermarket, some of it is the size of the fleet and more hours. And some of it is long-term cost reduction that we anticipate because of changes that we make to how we're servicing the engines and intend to service those engines going forward. So have we got the number on the slide of how much is the long-term adjustment?

Stephen Wayne Daintith

CFO & Executive Director

Yes, but -- there is some detail later on in the pack. And I won't get into those details specifically, but if you look at sort of '15, there was a GBP 208 million revenue adjustment for civil aftermarket. And 2016, it's GBP 474 million, so you can see there's a GBP 266 million difference. So that explains a fair chunk of it, but that is well explained in the detail in the appendixes that you have, that have been handed out.

David Howard Perry

JP Morgan Chase & Co, Research Division

So does that imply it wouldn't be 15% under IFRS 15?

Stephen Wayne Daintith

CFO & Executive Director

It would be a lower number, clearly, because you've got that GBP 266 million adjustment going forward.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay. And any chance of guidance for the full year on the aftermarket growth perhaps on both bases?

Stephen Wayne Daintith

CFO & Executive Director

No. We're not giving specific guidance line by line at this stage. We're just giving group guidance, as we have done previously; and modestly ahead of last year in cash flow, in line with last year.

D. Warren A. East

CEO & Executive Director

Yes. With that, I think we're out of time, so we're going to have to finish the Q&A, but thank you all very much for coming along. And thank you for your questions.

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Rolls-Royce Holdings plc LSE:RR.

FY 2016 Earnings Call Transcripts

Tuesday, February 14, 2017 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2016-			-FY 2017-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.28	0.30	▲7.14	0.36
Revenue (mm)	13261.17	13783.00	▲3.94	13835.32

Currency: GBP

Consensus as of Feb-14-2017 8:56 AM GMT

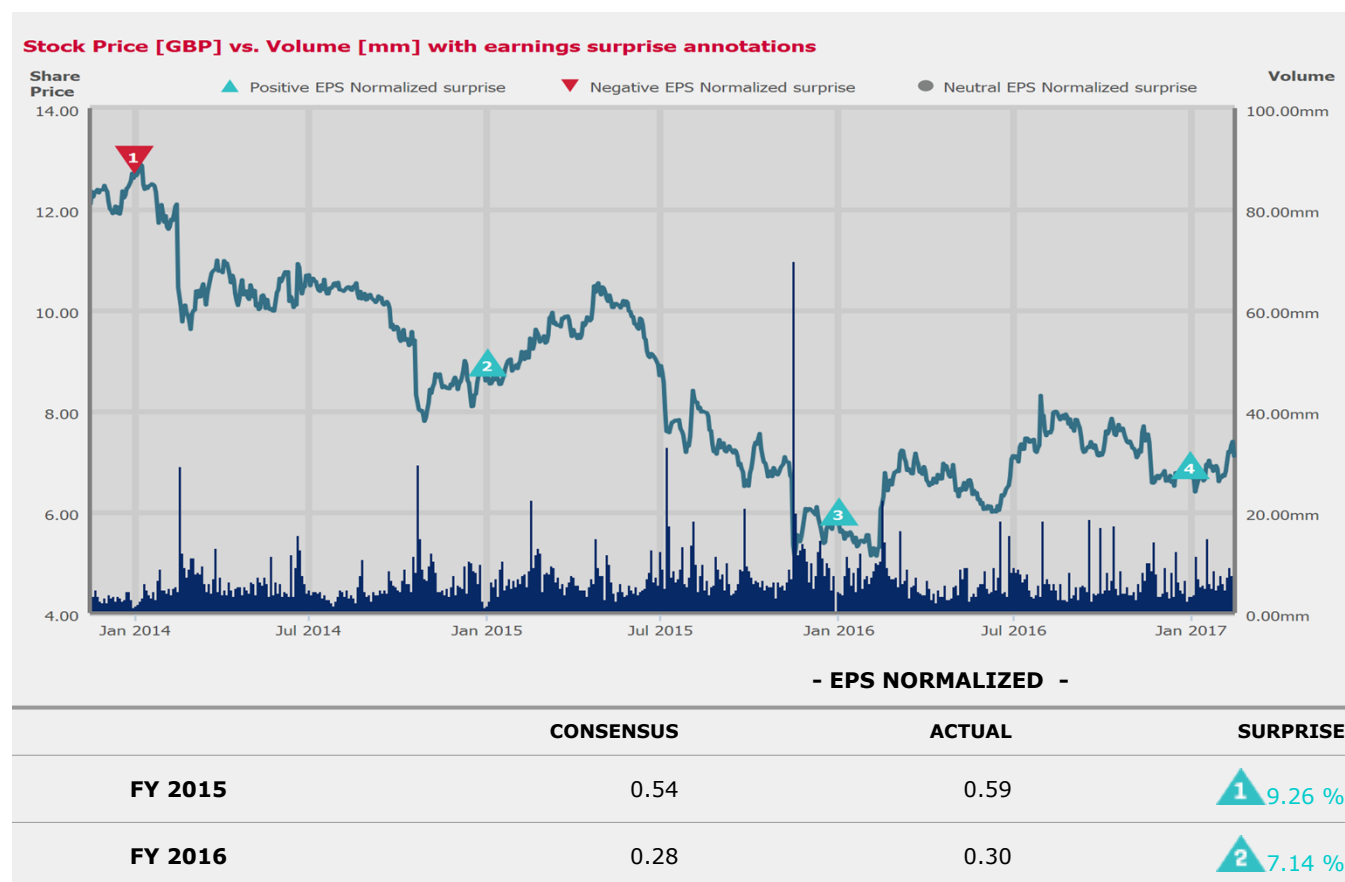


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Presentation

John Dawson

Former Director of Investor Relations

Okay. I think we're ready to kick off, so thank you very much. And good morning, ladies and gentlemen, and welcome to the London Stock Exchange. My name is John Dawson, I'm the Head of Investor Relations of Rolls-Royce, and it's my pleasure to welcome you to our 2016 full year results presentation, both to those of you joining us here but also joining us online.

The agenda for today's presentation is as follows: Warren will kick off and give you some highlights of 2016, and then David will take you through the financial results in a little bit more detail, and then Warren will come back with some closing remarks looking to the future. The presentation should last around 45 minutes, but we've got plenty of time at the end for questions, so we expect to finish at about 10:15. We will take questions online as well, so if you are joining us through the web and you wish to submit a question, please do. And a member of the Investor Relations team will read it out if it hasn't already been asked already. Finally, before we kick off, could I ask everybody just to turn off their mobile phones or put them on silent just to make sure they don't disturb the presentation over the next 1.25 hours.

Thank you, and I'll now hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Thank you, John. Good morning, everybody, and I won't bother doing the introduction that John's just -- let's kick off.

Now recent news flow around Rolls-Royce has been dominated by the announcements that we made in conjunction with the Serious Fraud Office a couple of weeks ago, and so we wanted to get this out and address this upfront in the discussion. And I think the best way of describing it is actually summarized in these 2 quotes. A quote from me talking about the business, what we think about what's happened; and there's another quote from me elsewhere about how Rolls-Royce is a completely different business. But it's all very well for me to say that. I think it's much better to refer to the quote from the judge who actually said that. So with that, I'm not going to talk anymore in this presentation about those events which have dominated the news flow over the last few weeks, but I want you all to be under no doubt whatsoever that it is front and center in our minds as a management team and making sure that such things don't happen again is very much a priority.

So now a quick snapshot of the results, and David is going to talk about these in a lot more detail. But basically, revenue's approximately in line with what we and everybody else expected. People across the business have worked very hard during 2016, so the net outcome is that cash and profit is a lot better than expected. Yes, indeed, there are some one-offs behind some of those numbers, but by the way, there are one-offs in both directions. We encountered quite a lot of operational challenges, some of which you read about in the newspapers during the year. And the fact is that underlying all that, there's some sustained improvement, which means that when those one-offs go in both directions, then we still come in better than expected, and David will go into a bit more depth on that.

Now a reminder of what I said 12 months ago when standing here in terms of setting some goals for 2016 -- 3 goals: one, about focusing on engineering and operational excellence and making sure that we allow our business model to really work, leveraging the installed base; two, make sure we got off to a really good start with our transformation program; and three, understanding that we have a job in hand to rebuild trust and confidence in this business. So that was the goals that we set out. And now I'm going to step through a few scorecards to illustrate how we've got on in 2016 addressing those objectives.

Referring to the first goal about focusing on engineering excellence, operational excellence and aftermarket. So in terms of R&D, record expenditure in R&D in 2016, even though times are tough, we recognize this is an engineering- and technology-led business. And it's very important that we spend that

money, because that money is going into new products that we are bringing to market. We are readying during this year now 3 large engines for our Civil business for entry into service very, very soon. And so it's very important that we bring those products to market for our future. But it's also important if we're spending all that money on engineering, that we spend it wisely and we keep getting better at how we spend it. And some examples on the right-hand side of the slide there about the impact of some of those efficiency improvements that we're making. And yes, as far as that digital product definition example is concerned, it will take a few years for the full benefit of this to show through in the results, but the underlying improvements have been initiated, and actually, a lot of work has taken place.

Switching to operational excellence, because it's all very well to engineer some great products, but we need to make some money out of delivering them. That also doesn't come for free. So now about 1/3 of our CapEx in 2016 spent on new capital equipment to make sure that we can make these things as effectively and competitively as possible. The payback, however, for that capital investment, left-hand side of the slide, is that we will achieve increased volume in a reduced footprint, and we will be able to do more with less. And during the year, we've communicated a bit and we've highlighted some of the improvement, and there are some improvements on the right-hand side of the slide. And I'd like to stress, it's not just about how we spend the money, it's about how we actually do the work that leads to significant improvements in things like assembly lead time. And it's also important to say that this isn't just a Civil Aerospace activity. Now yes, we're making some fantastic improvements in how we build our large engines for airplanes, but we're also addressing some other really significant opportunities to make a big difference in other parts of our business.

The third part of the focus is about leveraging the business model and making the aftermarket work for us. And now the important thing is that now this is a big chunk of our revenues. And as we look forward, now it's a very significant driver of profit and cash, and it's very important that we keep that asset base working out in the field. And as we look at our fleet of large engines, then we do have a young fleet. The flip side of being a young fleet is it's getting older. And as it gets older, then the transitions which are natural between the first owner and second owner of these things become much more normal. And because we want to keep that -- those assets operational as much as possible, then it's important that we're able to minimize that transition time. And so we have introduced a dedicated transition team. That dedicated transition team has managed twice as many transitions in 2016 as in '15 as we seek to minimize the transition time. And we're -- also numerous other examples of what we're doing to leverage our installed base.

So our second goal was to get off to a really good start on a transformation program. And I am pleased that we're announcing this morning that the in-year savings for 2016 was GBP 60 million against our original estimate of GBP 30 million to GBP 50 million. And so that's a very good start. But more importantly, some of the activities and changes that we undertook during 2016 feed into 2017, which is why we're confident that we can deliver an annualized run rate at the very top end of those GBP 150 million to GBP 200 million expectations for our run rate at the end of 2017. And as we go into 2018, there'll be a little bit of continued momentum in those activities that we've already done so far.

Now I'm quickly going to step through what's been going on around the business using some scorecards here. Now in Civil Aerospace, which is 50% of our business, there or thereabouts, we overcame some pretty clear headwinds, and these were the headwinds that were identified as early as 18 months ago when I joined the business. And they did indeed come to pass. And we overcame some other challenges as well. And so in terms of numbers, and David will go through the numbers shortly, then results slightly ahead of expectations but pretty much where we expected them to be. And a lot of that is caused by the transition from older engines into newer engines. And you can see the effect of that is happening both at the OE stage but also at the aftermarket end as well, where we have new engines growing, but actually, the aftermarket revenue from those new engines not really coming through and completely dominating but being held back a little by the older engines with high-margin spares-type activity falling off. It's important that we recognize that we've got a big step-up to do in 2017, and I'll come on to that in a moment. But our new product introductions are going quite well, and it's important that, that engineering -- we keep looking at that engineering pipeline and making sure it's in good shape.

Two examples, and it's worth dwelling a little bit on our Civil business, because that is half of the total. So the 2 key drivers of cash over the next 10 years are probably the XWB and the Trent 700. And these are at very different stages in their life cycles, and so we'll look at XWB first and then at Trent 700. So on XWB, deliveries in 2016 more or less doubled. At the bottom of the slide there, on the bottom left, you will see, however, we've still got this big step-up to do in 2017. And so it's absolutely essential that in 2016, we achieve the essential improvements in things like lead times to make that volume step-up in 2017 possible. We clearly have some more work to do on cost, and we will, in time, benefit from better pricing as we move away from the launch pricing in this engine.

Switching to the installed base. Obviously, from a standing start, more or less massive change in the size of the installed base for XWB in 2016. I think the important thing to note are the 6x increase in installed base by the time we get to 2020. And if we look at the backlog of future orders, we've got 8x the current installed base out there in the backlog. So this is clearly going to be a very important product for us.

Trent 700 is the other big generator. Now this engine was launched into service 20 years ago. And so clearly, we are approaching the end as far as getting these engines installed new onto airplanes are concerned. Interesting to note, however, that we are still working on improving things like the lead time and how long it takes us to build one of these things. And in '17, we will actually enjoy a little bit more volume as we move into this installing effectively the tail end of the Trent 700 program. But the big focus, looking forward, is about how this engine works in the aftermarket, actually in use. And after 20 years, of course, the installed base is still growing. And the other point to note is that even though this has been a 20-year program, it's been a much slower rate of installation than XWB, and so this is still a relatively young fleet with a very, very long way to go.

Defence Aerospace, generally a solid year. I think we'll talk a bit more about the fact that it's driving profit, but fundamentally, we saw a product mix putting downward pressure on profit, and we saw a reduction in part sales. But importantly, what we concentrate our effort on in Defence is really getting close to our customers and strengthening the service support because it's very important, with essentially a large installed base, that we work that as hard as possible.

Our Power Systems business. This outperformed our competitors. And I remember just being sat here a year ago listening to -- or receiving lots of questions about how we were going to perform in this business during the year when our competitors were forecasting massive drops. Well, it was broadly flat for the year. The answer is broadly what we gave a year ago. Revenue's flat because volumes in some of the growth areas that we're exposed to are higher than the volume downward pressure in some of those areas, particularly in oil, gas and commodities that our competitors are exposed to. And yes, because of that, then there is a product mix effect and our -- because volume came down a little and the mix changed, then our profits are down a little. But we still outperformed the peer group.

I'm very pleased with the excellent start that our new leader in that part of the business has made. He's really started injecting some pace and energy into the business in the 6 to 8 weeks that he has been with us, and I look forward to much more from that business as we go forward.

Now Marine. The offshore market, we know, is very, very weak. There are laid up vessels everywhere, and that has a knock-on effect into the Merchant space as well. There is really very, very little demand, and lots of the overhauls are being deferred, and so it's affecting our service business as well. We have been, however, addressing the operation, and gross margin has actually improved in percentage terms. In absolute terms, it's down because the size of the business is down. But we have seen improvements in gross margin because our cost-reduction activities are bearing some fruit. And what we're seeking to do, if you look at the graph on the right-hand side, is say this is a cyclical business. It's always been a cyclical business. And we have, over recent years, become a little bit overexposed to offshore, and we have become a little bit larger in terms of fixed cost base than we should ideally be. And so we are resizing the business and positioning it for the trough of the cycle, and we are tilting activity towards new technologies and new adjacent applications. So we will benefit from the cycle improving, and we will continue to win business as, indeed, we are winning business today in adjacent applications and particularly around new technologies such as all-electric ships. And just a measure of the rightsizing is there on the bottom, where, essentially, we will have reduced the headcount by about 1/3 in rationalized facilities.

In our Nuclear business, it's been a story of a little bit of increased revenue, because more submarine work. But submarines are actually a lower-margin activity, and we have seen the need to invest in operational improvements. Some of you may remember some pretty nasty headlines from about 12 to 14 months ago around that program. I think we've addressed a lot of those issues, but addressing those issues hasn't come free, and we've had to invest a little to fix things. And we're continuing to invest in new designs for new opportunities, and things like the small modular reactors represent those opportunities.

So overall, I'd say it's a year of stabilizing. We've made significant progress in simplifying the structure. We are investing for the future. We have to have an eye on the future in terms of the technologies and the applications. We also have to keep addressing the operational issues. I think as we look to 2017, then it's challenging, but we're on track. We're delivering at volume run rates that allow us to achieve the required volumes in 2017. And our new big programs, we're focused on those new engines for entry into service over the next year or so.

Longer term. Longer term, we're talking about transformation towards a better-performing, simpler and more resilient business, and so we absolutely need to continue working on that.

So briefly summarizing at this point, I think we've done a good job at addressing the goals set for 2016, both the key goals in terms of strengthening our focus and getting our transformation program off to a good start. Our hope as well -- alongside that, we're doing a reasonable job at rebuilding confidence and trust in the outside world, but that's for you folks to judge, not us.

And with that, I'll hand over to David to take us through the numbers in a bit more detail.

David Miles Smith

Former Chief Financial Officer and Executive Director

So thank you, Warren. I'm going to take you now through a review of each business, the group cash flow and balance sheet and provide our outlook for 2017. And before I do that, let me just summarize the key elements of group performance. And remember, our percentage change comparisons will be on a constant currency basis, unless stated otherwise.

So starting with group revenue and profit. Underlying group revenue of GBP 13.8 billion was 2% lower in 2016, reflecting declines in both original equipment revenue and services. By business, Civil and Defence Aerospace and Power Systems revenues were steady, while Marine decreased 24% and Nuclear actually increased by 11%. Our underlying profit before financing of GBP 915 million was 45% lower, largely driven by a reduction in Civil Aerospace profit to GBP 367 million, broadly reflecting the headwinds we've previously communicated. And profit in Defence Aerospace, at GBP 384 million, was 8% lower, and that was mainly due to TP400-related program support costs. Power Systems was down 14% year-on-year at GBP 191 million, largely as a result of adverse product mix. And the Marine loss of GBP 27 million was driven by continuing weakness in offshore markets but was actually better than we originally expected due to additional cost actions. Nuclear profit was down 37% to GBP 45 million due to margin mix in submarines but also pretty significant non-repeat of the R&D credit we had last year.

So turning now to look at the businesses individually and first starting with Civil. If we start with revenue, overall, our underlying original equipment revenue for Civil Aerospace was flat on a constant currency basis. Revenue from linked and other engine was actually up 2%, with increased volumes of Trent 900s and a higher number of spare Trent XWB engines sold. Of this, sales of spare engines to joint ventures generated a revenue of about GBP 277 million. This was partly offset by lower Trent 700 volume and also the price reductions on those engines, ahead of the introduction of the Trent 7000 on the A330neo. Unlinked revenues increased by 47%, and that was largely, obviously, led by the higher volumes of Trent XWBs. Business aviation engine sales were 25% down, reflecting both general market weakness and the transition to newer non-Rolls-Royce-powered platforms from our BR710 engines. Volumes of our newer BR725 engine, which powers the Gulfstream 650s, were pretty stable. Finally, the V2500 module revenues did decline by about 10% as production slowed, obviously, again, as Airbus transitions to the A320neo.

And turning to aftermarket. In the aftermarket, the overall result was down 1%. Service revenue from large engines would have actually been up by about 2% but was down 4% after we adjust for contract

accounting effects, which were, however, significantly lower than the prior year. Within this, we saw double-digit growth in revenue from our in-production engines, but that was more than offset by a reduction from the older engines. This included the expected lower utilization of Trent 500 and Trent 800. Time and materials revenue also reduced with fewer engine overhauls across the out-of-production fleet. The business aviation aftermarket was slightly down, and regional jets were down 14% as a result of reduced utilization primarily by North American operators. However, V2500 service revenues were actually 21% higher, and that reflected a combination of price escalation built into contracts on flying hour payments, together with some increased overhaul activity.

Turning now to gross margins. Overall, gross margins for Civil Aerospace were GBP 1.1 billion or about 16.8% of revenue, which was down GBP 397 million from 2015. Within that, trading margin was down GBP 248 million, with the main revenue and margin headwinds, as I've just highlighted, being as we forecasted at the start of the year. We also saw some additional program charges of around GBP 30 million incurred for engines still in development. The lower margin was partially offset by releases of accruals related to the termination in prior years of intermediary services, which totaled about GBP 53 million. And remember, 2015 also benefited from a couple of things: a one-off GBP 65 million release of Trent 1000 CARs impairment, write-back and provision release. As you can see from the slide, the in-year net benefit when we look at all of the long-term contract accounting adjustments totaled GBP 90 million, so that was down from GBP 222 million in 2015, a reduction of GBP 132 million. But remember that last year, we had that GBP 189 million benefit from the risk methodology adjustment.

Technical costs for large engines was GBP 74 million higher, at an absolute of GBP 98 million, and that included Trent 900 costs and upgrades to the Trent 700 engine management system. This was offset by a GBP 77 million higher contribution from the life-cycle cost improvements, an absolute of GBP 217 million for the year compared to GBP 140 million in 2015. And as we discussed at the half year, we also recognized a GBP 35 million benefit from a change to our long-term U.S. dollar planning rate.

So turning to the rest of the profit waterfall [ph]. Costs below gross margin were GBP 89 million higher than the previous year. Underlying C&A costs were GBP 43 million higher, and that was primarily due to higher employee incentive costs. Net R&D charges were GBP 34 million higher, reflecting higher spend on key programs, particularly the Trent 7000. And also, development cost contributions were also lower, but those were partly offset by some increased R&D capitalization on the -TEN Trent 1000. As a result, overall profit before financing and tax was GBP 326 million and GBP 367 million after positive FX.

So turning now to Civil's trading cash flow. Civil trading cash flow of GBP 43 million positive actually compares to breakeven in 2015. Within that trading cash flow and before working capital movements, the main change year-on-year was obviously the GBP 445 million reduction in underlying profit. We saw CARs additions at 280 -- sorry, GBP 208 million, which was up GBP 47 million from the prior year. In addition, there was an incremental GBP 237 million spent on PPE and intangibles, primarily certification costs on the XWB-97K and also, as I've mentioned, the R&D capitalization on the Trent 1000. Net long-term contract debtor additions were GBP 160 million lower than in the previous year, and that reflected in part the lower profits on Trent 700 and the lower net long-term accounting adjustments. So overall, trading cash flow also benefited from better-than-expected working capital improvements of GBP 345 million, and that was really principally around customer collections and deposits. And I'd say that, that was really the outperformance that you saw both in Civil and at group level, that outperformance on working capital.

So turning now just a little bit into the detail of TCA and CARs. TotalCare net assets actually increased by GBP 230 million to GBP 2.44 billion, and this reflects both linked profits and cash losses on the new engine sales plus the catch-up adjustments, offset in part by the cumulative amortization charge. And to preempt any questions, that's slightly different from the GBP 230 million you see in -- sorry, from the GBP 246 million in the trading cash flow, and that's simply an FX difference within the TotalCare balance. New linked engines of GBP 432 million and contract accounting adjustment of GBP 90 million were offset by cash inflows and other net adjustments of GBP 292 million. So we ended up, as I said, at GBP 2.44 billion at the end of the year. And we still expect this to peak at our previously guided range of between GBP 2.5 billion and GBP 2.7 billion. The CARs balance increased by GBP 169 million, reflecting higher sales of unlinked Trent XWBs.

Turning now to Defence. So starting again with revenue. Underlying revenue of GBP 2.2 billion was slightly up on the prior year on a constant currency basis. OE revenues were helped by higher volumes of both the TP400 and also increased Adour engine with deliveries. Service revenues were stable, with lower demand for spare parts offset by some increased revenues from Typhoon and C130J contracts.

In terms of the gross margin, the gross margin actually declined by GBP 49 million to GBP 530 million, and that reflected a combination of some of those volume effects and adverse product mix, together with the GBP 26 million additional costs we booked for the TP400. Long-term contract releases of GBP 82 million were down GBP 5 million from the previous year but actually higher than we had expected earlier in the year. And that was principally due to the benefit of locking in some significant cost savings on the U.K. Typhoon contract, which is now in its last couple of years, including a cost-saving incentive award.

So outside of gross margin, for Defence profit, R&D and restructuring costs were lower than the prior year, and that was mainly due on restructuring due to lower severance costs around the Indianapolis program. Overall, profit before financing of GBP 384 million was 8% lower than 2015, driven primarily by the lower gross margin I discussed.

So moving on now to Power Systems. Underlying revenue of GBP 2.7 billion was slightly down, excluding FX. And I think that was a pretty good result given the market conditions. OE revenue declined by only 1%. And we saw growth in power generation and industrial sales, which partially offset the weaker commodity-related markets and some reduced activity in our Naval business. Service revenue was 2% lower, and that largely reflected again some of the fleet utilization issues we're seeing in the marine medium-speed market.

Power Systems gross margin reduced by 28% in absolute terms to GBP 628 million, primarily mix effects there, adverse mix. But it did include some good progression on cost reduction, which offsets some of the volume and mix effects.

So on overall profit, underlying profit declined GBP 27 million, that's 14%, and that was led by the reduction in gross margin. But I have to say RRPS are starting to get some benefits from product streamlining as well.

Turning now to Marine. I've just got a single slide here. Underlying revenue of GBP 1.1 billion was 24% lower, with some continued weakness in offshore also seen in a declining order book. Our gross margin was, therefore, GBP 44 million lower as a result but actually 170 basis points higher in percentage terms, partly through our cost-reduction activities and also some lower warranty and contract charges. The resulting net loss was GBP 27 million. The December announcement of further organizational changes and headcount reduction led to an additional GBP 5 million restructuring charge, with the remainder due to be taken in 2017. And we also took a GBP 200 million impairment charge against goodwill, reflecting the ongoing tough trough [ph] conditions and reshaping of the business.

Finally, to Nuclear. Our underlying revenue for Nuclear increased by 11%, largely within the submarine programs. Volume on key civil programs in both France and Finland were also strong. But our gross margin was lower by 80 basis points, and that really reflected a greater weighting in the overall mix towards the lower-margin submarine programs.

Below gross margin, we took some additional costs to support the higher volumes and to improve delivery performance in submarines. And we're also investing modestly on the initial design phase of small modular reactors. We have, in the year, a GBP 7 million R&D credit but no repeats of its 2015 catch-up that we saw. And we expect the GBP 7 million credit to decline to near 0 in 2017. As a result, underlying profit before financing was 35 -- GBP 45 million, or GBP 38 million if you exclude the R&D credit.

So turning back now to the group as a whole again. Net finance charges in our underlying result were GBP 102 million, and tax was GBP 261 million, reflecting an underlying tax charge of 32%. And as a result, underlying earnings were GBP 552 million or 30.1p per share. The underlying tax rate rise was higher and was due to a combination of a decision to de-recognize deferred tax assets on our losses in Norway and a greater proportion of our profits coming from higher corporate tax countries.

Turning to look at the reconciliations for our reported result, there are clearly a number of very key differences I'd like to highlight this year. Firstly, as I've already mentioned, we had impaired goodwill associated with a number of the acquisitions, but principally that GBP 200 million within Marine. In addition, we recognized a GBP 671 million charge related to the agreements reached recently on the legacy investigations. Exceptional restructuring totaled GBP 129 million for the year, up around GBP 80 million, and the majority of that was for the transformation program. We're sorry, the -- this included the costs for that program, which delivered the in-year benefits of GBP 60 million that Warren has already mentioned.

Also, as we've previously announced in November, Legal & General acquired the assets and liabilities of the Vickers pension scheme, the largest deal of its kind in 2016. The significant pension risk transfer also resulted in us reducing by GBP 300 million our book surplus on pensions as that effectively transferred to L&G.

And of course, we had the GBP 4.4 billion cumulative mark-to-market adjustments during the year of our hedge book. As you've heard from me many times before, we've never believed that, that mark-to-market valuation adjustment is particularly relevant for the ongoing business given that those underlying hedge cash flows will provide corresponding benefits in the future.

Turning then to the profit-to-cash flow walk [ph]. Our free cash flow of GBP 100 million was GBP 79 million lower than the prior year but well ahead of our original guided expectations for GBP 102 million minus GBP 300 million. And that overall change reflected the stronger working capital performance in Civil than in 2015, which helped offset the lower profit and higher expenditure on PPE and intangibles. This is our usual bridge slide from profit to cash flow. On an absolute basis, we saw a GBP 55 million outflow from net working capital, including GBP 230 million higher TotalCare net assets and higher inventories related to the production ramp, but these were offset by higher payables and deposits. We have GBP 570 million of CapEx, that included some payments against 2015 invoices; and GBP 631 million of intangibles, including the GBP 208 million that came from CARs. And the rest of that would have been the higher R&D capitalization, mainly on the Trent 1000, plus higher certification costs on the XWB-97K.

In 2017, despite the increased investment in installed engines as we increase our large engine production to around 500 units, we should be able to keep some of this working capital performance we saw in 2017. As a result, we're now expecting to be able to deliver another year of slightly better than breakeven free cash flow, similar to 2016, so that is an improvement from what we've been saying over the last year.

As you know, we value a very robust balance sheet with a healthy investment-grade rating. We believe this is commercially important when offering products and support contracts, so we'll be in operation for decades. After the SFO announcement, you'll be aware that Standard & Poor's did update their rating to BBB+ stable from A- negative outlook, although Moody's have maintained their rating at A3 stable, as have Fitch. We will continue a very close dialogue with the agencies so that they can best see the progress we're making, particularly in terms of transformation and our profit and long-term cash generation. During 2016, the group's net debt position did increase to GBP 225 million, but leverage remains at a comfortable level although, clearly, we do have some additional cash calls during this year with the DPA. We have no significant refinancing, however, until 2019. And remember that last April, we increased our revolving credit facilities by GBP 500 million to provide additional liquidity.

So turning now to payments to shareholders. Our stated objective in the long term is to progressively rebuild our payments to shareholders to an appropriate level, subject, obviously, to short-term cash needs. And this reflects the board's long-standing confidence in the strong future cash generation of Rolls-Royce. At this stage, however, the investment needs of the business remain high, reflected in the low level of free cash flow in 2016 and again in 2017. In addition, the board sees the need to retain a degree of balance sheet flexibility. As a result, we have decided to keep the final payment to shareholders at the same level as last year, in other words, 7.1p per share. This means that the cash cost of the payments to shareholders during 2017 will be about GBP 215 million, including what we've already paid.

Turning now to hedging. As I explained in November, our hedge book has a fairly simple purpose. We're trying to match our future customer and supply commitments, which are very long-lasting, thereby mitigating risk to our reported margins over time. In any year, we will take advantage of attractive rates

in the market if they're available, but this isn't the primary consideration. More importantly is to be sufficiently flexible to keep the rate relatively stable over time even if our dollar revenue or cost profile changes. The 2016 movement in the average achieved rate was worth about \$0.025 cents. And net of some translation effects, that gave us a group benefit of about GBP 20 million. Clearly, market conditions have enabled us to reduce the rate really quite rapidly whilst expanding the size of the book from \$29 billion up to \$38 billion at the year-end, with an average rate on that book of 1.55. We have delivered there from the core purpose of this program, smoothing the effect of rate. And I believe the rate will remain relatively stable over the coming couple of years. So after a big increase in 2016 in the size of the book, we're unlikely to be growing the book much further, and we'll look to utilize the hedges in a way which keeps the achieved rate relatively steady. Even actually at current rates, replacement hedges won't achieve rapid reduction in the average rate of the hedge book unless the spot rate sustains at this level for quite a long time.

So turning now to outlook. Business by business, our outlook is mixed. For Civil Aerospace, on a constant currency basis, we should see some modest growth in revenue and profit in 2017. Within this, our large engine business will continue our OE production ramp, which will consume cash, although this will be partially offset by growth in engine flying hours on the new Trents. We'll also capitalize more R&D and continue to take out costs. Business aviation OE demand is expected to weaken further and will demand -- and as will them in the regional aircraft aftermarket. And as I said, we need to continue to work both on costs and also on inventory, with further improvements. So overall, we'd expect cash flow to be marginally ahead as well, despite a strong performance at the close of 2016. Our updated 5-year revenue outlook for Civil actually has only changed in one respect in the near term. We now see a bit more positive business aviation aftermarket for 2017, so the arrow there is now flat rather than down previously.

Switching now to cash flow, turning to the outlook. Nothing has changed again directionally, and we expect 2017 to be broadly the same as 2016. We've also just added a column for 2021 now that we finished 2016. Looking out further, clearly, the important thing is to roll out the new engines with an exclusive position on the A330neo, for the Trent 7000 and on the A350 for the XWB. And that will significantly grow our installed base. And as we previously said, the resulting installed base is the thing that will deliver strong aftermarket revenues and cash flows for decades to come.

Turning now to Defence outlook. While revenues should remain relatively steady, we are still expecting margins to come under some pressure. We saw about a 2-point decline last year. And we're continuing to make investments, particularly in Indianapolis as well as the lower contract performance incentives that are available to us on key programs this year. As a result, margins and profits are expected to soften a bit further from recent levels.

For Power Systems, the outlook for Power Systems remain steady, that's a positive, as we continue the transformation of that business. The business finished last year with a strong order book for several of its key markets. And although some commodity-related markets remain difficult, we expect the business to deliver some modest growth in revenue and profit in 2017.

For Marine overall, the outlook has to remain very cautious, with revenue down further in 2017 and losses at a similar sort of level. We expect the market will continue to feel the impact of lower oil prices for some time, and the general overcapacity in several segments will take time to reach equilibrium. So we're continuing to sustain our cost-reduction programs focused on manufacturing, supply chain and overhead costs in order to deliver a more competitive business.

Finally, for Nuclear, the long-term outlook remains positive, supported by the confirmation from the U.K. government of its ongoing investment in the Dreadnought class submarines. We've renewed activities in the civil market. Particularly in the U.K. and China, there are also some encouraging growth opportunities. However, shorter term, our impact -- our results will be impacted by a couple of factors: the absence of R&D credits; and also some lower margins on our submarine business; and further increases in our investment in SMR technology and other initiatives. So as a result, we believe our profit is likely to be around half that achieved in 2016, reflecting these investments.

Turning now to group technical guidance as a whole. I'll just focus on a couple of points here. Firstly, changes to the XF (sic) [FX] environment over the last 12 months clearly have continued to have a

benefit to our reported underlying results in 2017. Should rates remain unchanged from where they were at year-end, it would provide us some further translation-related improvement, obviously, as we translate foreign profits and revenues of about GBP 400 million on revenue and about GBP 50 million on profit before tax, comparing to GBP 725 million and GBP 80 million last year. Secondly, net R&D spend is expected to be at a similar level in 2016, although the charge to profits will come down because we'll have some higher capitalization by about GBP 60 million to GBP 100 million, close to GBP 800 million in total. As I said, that really reflects higher R&D capitalizations for the new engine programs. Finally, free cash flow for 2017 at group level is expected to be at a similar level, and this result will clearly -- this -- but clearly, any review is vulnerable to relatively small movements on what are extremely large balances at year-end.

So in conclusion. We have had a good year -- end to the year and delivered on expectations, but there's clearly plenty of work to do with a significant operational execution challenge. The outlook is biased to positive across the 5 businesses, and we'll still be very focused on our transformation program, delivering cost efficiencies and improving cash flow.

Finally, as this is my last results announcement for Rolls-Royce, I did want to thank you for all your patience and support. When I started as the CFO in November 2014, we faced a pretty challenging and difficult situation. And clearly, we also had to significantly recalibrate expectations about the performance of the business during 2015 and take some difficult decisions around the balance sheet and shareholder payments. But after delivering a good set of results this year and also, actually, last year, we outperformed expectations as well, I hope that we're also developing some track record and consistency. And it's good to have such a track record, and obviously, Warren and the team's commitment is to do further performance improvements in 2017. So I'm hoping that's going to give you continued confidence on your view about Rolls-Royce's long-term future.

Thank you, and I'd like to hand back to Warren.

D. Warren A. East
CEO & Executive Director

Thanks, David. Thank you. Right. Briefly, I'm going to conclude the presentation section with a little bit of a look forward. So just over a year ago, I talked about building a new leadership team, and I talked about roughly 1/3 of new people coming onto the team from inside the business with knowledge of the business, 1/3 continuity candidates, and we would get in some people from outside to give some fresh, external perspective. Last November, I said we were a little bit behind in terms of how I had hoped to get that done in the time I hoped to get it done. But now the team is pretty much there and in place and starting to deliver. So as I said before, David came up, now we can do a little bit of focusing on looking forward. And in November, I put this slide up saying, looking forward, we need to take into account the 4 areas of analysis: long-term outlook; how we are positioned competitively; and how we can go to continue to improve our operational performance; and importantly, what are our resources available and how do we allocate the capital. And now the new team is in place, we are doing that.

Alongside, as David just said, we've got a lot of work to do on delivering in the meantime and improving the operational performance. So I haven't got a big reveal for you this morning. We will talk about how we take the business forward as we go later into the year.

But just by way of emerging framework here, how we're starting to think about this, it's fundamentally an engineering- and technology-led business, and we have some great leadership technologies. And so that's where we start, at the top of the slide. Then we need to go about engineering and think perhaps a little more broadly about the ecosystem in which we operate, and so hence the term dynamic engineering, where we think about acquiring technology, we think about developing technology, we think about manufacturing, actually securing the best value way of doing that from our ecosystem, including our own supply chain and the activities in the outside world. So leveraging our university relationships would be one example, but continuing to take very careful account for how we manage our intellectual property and how we map our intellectual property looking forward.

Then with that great technology and optimal engineering, of course, we need to continue to work very closely with our customers and our partners to make sure that we translate that into really compelling offerings that provide solutions for our customers, and that's the bottom gray box.

The crucial piece is how we link that to financial performance in the business, and that's what we're calling the value bridge, converting these compelling customer offerings based on leadership technology and sound engineering into money. And that's what our transformation program is all about, driving competitive levels of performance so that we can get sensible returns, so that we can generate cash, so that we can make the business sustainable, we can invest in building competitive barriers around our business, and so that we can continue to invest and acquire new technology. So that's the sort of emerging framework that we're using.

If I translate that into the priorities of our leadership team in 2017, then I'm afraid it's a little bit boring. The left-hand side of this slide is pretty similar to what you saw in 2016. We have to really focus on getting our engineering and operational performance right, so we can leverage the amazingly powerful business model that we have. We must keep doing that to keep a simpler -- or to develop a simpler and more resilient business. But at the same time, on the right-hand side of the slide, we do need to start to tilt a little bit to the future, look ahead, to think about new disruptive technologies and ways in which we can improve the competitiveness of our business from a strategic point of view to disrupt and to win. So that's a little glimpse of the future.

My summary. 2016, year of stabilization, meeting expectations. I look at 2017 and it's very clear for me what we have to do in 2017 in terms of operational focus and ramp-up, and that translates into some very clear priorities for me and for the team. But we do that in an environment where, actually, we're pretty well positioned, with growing market share in growing markets. And provided we can concentrate on growing the profitability and the competitiveness of the business, then that's a pretty good outlook for the future.

So with that, I'll hand over, and we'll take your questions.

Question and Answer

D. Warren A. East

CEO & Executive Director

All right. Let's go. Microphones are coming around. We'll start there, and then next one is going to be over here.

Nick Cunningham

Agency Partners LLP

It's Nick Cunningham from Agency Partners. I hope it's not inappropriate to say thank you to David, actually, for having helped the analysts so much in what, actually for us, has been rather a complicated time, and then perhaps to go on to asking for some more help. The particular point I -- the question I wanted to raise was around, naturally, I'm afraid, IFRS 15, a rough idea perhaps of what the delta might have been in 2016 and maybe '17 relative to your guidance and how that tapers, if you like, as we go forward over the next, say, 5 years or so.

David Miles Smith

Former Chief Financial Officer and Executive Director

And Nick, it's a fair question. We really want to be more precise so -- for '16 because it will be a comparative year as -- and we did take the time over '15. So Stephen is going to do that a little bit later in the year. If you remember, I had a chart with some sort of cartoony sort of lines up in November. And I think you can take from that, that we don't see the 2016 number being significantly less than the GBP 900 million that we ended up in '15. I think it might be a bit lower, but I would rather that we did data work and just go through that. But it's going to be in that kind of ballpark, I think, and then we'll progressively improve. But don't expect it to be significantly different from the GBP 900 million or so.

Nick Cunningham

Agency Partners LLP

And in terms of, perhaps, some vague indication, if you like, of how the difference diminishes as we go forward?

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, I think that line -- sorry, I don't have the chart in front of me, but clearly, there's a different timing on aftermarket and OE effects, and we try to sort of lay it out on that line. And the crossover point is sort of somewhere between 2020 and 2025 on that line. I think that's still our best estimate, but we are doing a lot of further work on this. It may not sound like a difficult problem, but it is an intensely hard amount of accounting work that's going on around this at the moment. And it's not worth giving you numbers that we're going to change later. We'd rather get the numbers right. And so Stephen, I know, is committed to come back as soon as we can really to give you an update on that.

D. Warren A. East

CEO & Executive Director

Someone over this side of the room. One, two and then you a few rows back.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just a few questions on Civil Aerospace, if I may, Warren. Basically, from -- starting from the back end of 2016 and looking into how things are trending and setting up for 2017, how are unit costs progressing for the XWB-84? And as a corollary to that, how do you feel about schedule in terms of meeting the schedule requirements from Airbus? Still under a lot of pressure or better than it was, say, H1 last year, et cetera? Some sort of qualitative characterization would be helpful.

And then secondly, just kind of thinking about your development portfolio, if you could just sort of update where we are on your expectations for meeting the schedule for the Trent 1000-TEN, the XWB-97 and the Trent 7000 in terms of performance and cost expectations and then, of course, schedule.

D. Warren A. East

CEO & Executive Director

Yes. Okay, so how do I feel about costs on XWB? I think we're in reasonable shape. It is going to take a few years to achieve where we want to get to on cost, but we are absolutely sort of on track with that. In terms of the cash loss per engine, I'd also draw your attention to the fact that, particularly as we come into the back half of '17 and into '18, then we lose the deliveries that are attached to launch pricing, and so we go up a couple of notches in terms of achieved pricing. So we're actually attacking the cash loss from both ends, from the cost reduction, which is 7% in '16, and there'll be more to come in '17, we're on track. But also, we get a little bit of assistance from improved pricing. How do I feel about that from a delivery point of view compared with, say, 12 months ago in meeting the Airbus schedules? Well, 12 months ago, we weren't in as good a position as we are today. We are in good shape today, but most of the volume ramp in XWB was delivered from us in the second half of the year. That was fortunate because as far as we're concerned, because Airbus had some other issues with, and so at no stage have we actually been the pacing item in terms of delivery of the airplane. And we don't intend to be a pacing item as we look forward. We've already delivered in the first 6 weeks of this year, and we're absolutely sort of on track with Airbus and their plans. And they'll talk about their volumes, I'm sure, when they do their results next week. As for the new -- the 3 large new ones, then the Trent 1000-TEN is flying. We have a 787 flying with 2 Trent-TEN engines, and so they're going through the flight testing -- extended flight testing ahead of certification now. And we're on schedule for that to go into service in the second half of the year. Similarly, similar position on the A350-1000 with the 97K engine, where the -- they have 3 airplanes now on extended flight testing, and that's sort of scheduled for service entry in the second half of the year. And on the new A330 with the 7000 engine, that is about 6 months behind, but it's on a similar trajectory. And that airplane will fly with its new engine for the first time over the coming months.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

It's Ben Fidler from Deutsche. I had 3 questions, please. First one, just on FX, just to make sure I've understood the messaging on your Slide 42, which you showed to us, David. So...

David Miles Smith

Former Chief Financial Officer and Executive Director

[indiscernible]

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes. The -- so am I right, it now seems that the currency sensitivity because of the balance sheet movements within Civil Aerospace is kind of in the -- and my mistake, but it sounds like it's kind of 1/2 to 1/3 of what I previously had assumed is your FX sensitivity once you take into account the balance sheet effects. Is that right?

David Miles Smith

Former Chief Financial Officer and Executive Director

I think the transactional side of it is exactly as you'd expect because we did also get some movements on the revaluation of foreign currencies for our payables, receivables, whatever. That diluted that a little bit. That's really going to -- well it is, but it could be the other way, depending on exactly balance sheet to balance sheet rate changes. So it happened to be a slightly dilutive effect this time. The transactional calculation is still going to be about right.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

And then related to that is also that slide, your comment, again to check I haven't misinterpreted it, you're saying you don't expect any average effective rate change in '17, or you also mentioned in '18, for the next couple of years. So is that the message?

David Miles Smith

Former Chief Financial Officer and Executive Director

So the message is I don't think we're going to be net increasing that GBP 38 billion, so it's more likely that we'll stay at a similar level. So we will replace some hedges as they roll off clearly with new ones. We -- but that's over the whole of the hedge book. So what we will continue to try and do is try and keep the average rate year-by-year fairly flat. So I don't -- we may get some, but I don't think you can -- I wouldn't bet on a lot of additional benefit in the near term from just that -- the rollout. The reason that we've got the bigger benefit over the last year is that, actually, because we've increased the size of the hedge book as well, so it's diluted the average bundle [ph]. Does that make sense?

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, that does. My next question was just on the IAE earn-out, whether you're able to let us know and give us an indication of what the IAE earn-out was that you received in calendar 2016 embedded in these numbers.

David Miles Smith

Former Chief Financial Officer and Executive Director

So as you know, those are the 3 areas that we get the modular revenues obviously come down a little bit and it's disappearing. But actually, the license income is about the same, and we saw a bit of an increase in aftermarket revenue, both from pricing and from volumes. So overall, I think we probably saw about the same level of total IAE, which I think is about 250, something like that. So it's about the same number. I don't think it's changed radically year to year.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

And the third question is just as I'm trying to understand more about modeling your Civil Aerospace cash flows. How many shop visits did you do in 2016 and the direction of how that compared with 2015?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. And it's quite a -- it is a bit -- unfortunately, it's something that you have to go a little bit deeper because they're clearly different levels of shop visit, from a major overhaul to a smaller intervention. I think in absolute numbers, actually, the numbers weren't that different in '16 and '15. And I don't think we expect it to be that different in '17, maybe a modest increase in '17. But we're clearly seeing less activity on the -- on some of the legacy programs. So that's really why some of the legacy aftermarket, particularly the time and materials, has come down a bit. So in absolute terms, the numbers haven't changed very much. But what we're really seeing is this mix change continuing to go on between aftermarket sort of legacy programs on both engine flying hours and T&M, and then a pickup on -- and stronger double-digit pickup on the engine flying hours on the new stuff.

D. Warren A. East

CEO & Executive Director

I think we need to just go up there first and take these sort of slightly in order. There's one sort of middle to this side, and then we'll come down to the front. And I'm looking to see if there's some on that side towards the back.

Tristan Sanson

Exane BNP Paribas, Research Division

It's Tristan Sanson from Exane BNP Paribas. I have 2 questions. The first one is on large engine aftermarket in 2016. So organic, the large engine aftermarket was down 4%. Can you give us a bit of color on what was the trend between the erosion of time and material on RB211? What is the evolution on the normal Trent engine TotalCare agreement? And what is the impact of engine transition that you may have felt impacting, I don't know, the number of Trent in service and, as a consequence, reflected in that 4%, not in precise number but to understand the various movements, and how these 3 factors are expected to develop in 2017? That's the first question. And the second one, I'm a bit confused by the fact that in Civil Aerospace, you're releasing profits based on the revaluation of life-cycle costs on your engine under long-term maintenance agreements. And at the same time, in 2016, you have GBP 98 million of technical costs that you say are related to a need for increased shop visits in short term for Trent 900 and the upgrade of engine management system for Trent 700. So it's a more philosophical question about how predictable do you think are the costs of your engine under long-term maintenance agreements, and so how do you bake this into your assumptions?

D. Warren A. East

CEO & Executive Director

This is a very detailed question, and I'm going to take the whole of the morning on this, I have to say. The aftermarket trends, the trends are pretty clear. Our older engines, time and materials, these RB211 engines are being retired, and that's what's contributing the downward pressure. Those time and materials contracts are high margin. That's being offset by newer engines, and newer engines tend to be long-term service agreements, and that exerts upward pressure. And then -- and the net is the net. We can look at the numbers. You asked how the trend is set over the next year or so, and we're going to see a continuation of that. With some of our sort of mid-age transitions, then we are seeing a little bit of demand. Maybe there'll be a little bit of turning some things which have been under a long-term service agreement into one of the new models, the TotalCare Flex and those types of model, which will have slightly different implications. But listening to your question and Ben's question earlier, I think we could probably do with a slide that, that summarizes it without going into every single detail, but a little bit more than the big plus and minus. Do you want to do on the last bit?

David Miles Smith

Former Chief Financial Officer and Executive Director

So the last bit is actually just a factor of the way that we do the accounting. So we -- eventually, those costs will end up in the contract margin, but we book them in the first instance through this technical provision as we then update the contract pacts. Later on, we'll probably move that money from that provision into the contract pacts. It's a bit of a holding place. But you're right, that overall, in terms of the absolute level of life-cycle cost improvement on Civil, which I said was GBP 217 million, that was better than last year of GBP 148 million. But the GBP 98 million of absolute booking into technical things will eventually get into long-term contract margin as well. So there's a plus and a minus there.

D. Warren A. East

CEO & Executive Director

Yes. And there always will be pluses and minuses because we have, on an ongoing basis, an effort to reduce the cost of servicing these things in the long term, and then we take individual issues as they come. So you're always going to see some effect like that. Thank you. I think we -- who has the microphone down here? We got 1, 2, and then I think we need to do a few there. So 1, 2, 3.

Gordon Hunting

Gordon Hunting from Fiske. Two quick conceptual questions. The troubles that Toshiba and Westinghouse are having, is this is a benefit or a negative? And secondly, have you got to make a big provision from -- for the Type 45 Destroyers conking out regularly?

D. Warren A. East

CEO & Executive Director

Yes. The conceptual question about the nuclear reactors, I mean, clearly, Toshiba is a potential partner, a potential customer for our civil business in Nuclear. And if they're not active, they're pulling out of that, then we'll have to see if that project goes ahead perhaps with somebody else, the opportunity will still be there. I think if you back off it a little bit and say, actually, these really big nuclear projects are quite challenging, and they're quite challenging to finance. And this is one of the reasons why we are keen to promote this small modular alternative. Yes, there's the technology piece, which is a little bit different and -- but the consequence of that from a commercial point of view, and because we can make these things, by definition, in the factory instead of on-site, is that they eventually become more cost effective and, in particular, more bite-size chunks, so you don't get this sort of big volatility around the big decisions. And so conceptually, it's an opportunity for us, because we can play a larger role there than we can with just our instrumentation and control and waste management systems around the big reactors. As for the Type 45, I'm afraid that's a specific contract, specific issues, and we can't really comment on it other than to say that we're supporting the Navy with their efforts, and we'll continue to support the Navy to make sure that the thing is reliable. One there, and then we have to go to that side towards the back.

Zafar Khan

Societe Generale Cross Asset Research

It's Zafar Khan from SocGen. I've got a couple of questions, please. One's on cash flow and one is on costs. If I can take the costs one first, and I'm looking at Slide 13 in the supplementary slides that you've kindly provided. You've been talking about transformation, how you're taking out the costs and making good progress on that. But if I look at Slide 13, I note that the commercial and admin costs in '16 have gone up from 1,004 -- or I should say GBP 1.4 billion to GBP 1.163 billion, so it's a major reversal there. Is there some one-off cost in that line? Or what has actually happened there? Could you help me understand that, please?

David Miles Smith

Former Chief Financial Officer and Executive Director

So one of the biggest things is that we're paying a bonus this year, so there was no bonus in the 2015 numbers, so that will come through C&A. So that's one of the biggest charges.

Zafar Khan

Societe Generale Cross Asset Research

David, it's GBP 163 million.

David Miles Smith

Former Chief Financial Officer and Executive Director

But there are other effects.

Zafar Khan

Societe Generale Cross Asset Research

David, it's a GBP 163 million increase.

David Miles Smith

Former Chief Financial Officer and Executive Director

It is on an adjusted basis after you take out currency effects.

Zafar Khan

Societe Generale Cross Asset Research

So I should be thinking it's FX and not Warren's bonus?

David Miles Smith

Former Chief Financial Officer and Executive Director

There's -- no, there's an element of bonuses. Some of the group bonus goes through C&A. Obviously, some will go through gross margin and a little bit through engineering but...

D. Warren A. East

CEO & Executive Director

Did you say 30, by the way, or 13?

Zafar Khan

Societe Generale Cross Asset Research

13, 1-3.

D. Warren A. East

CEO & Executive Director

Oh, yes, yes, got it.

David Miles Smith

Former Chief Financial Officer and Executive Director

We'll give you a bit more help with that, but it's -- that's the biggest performance-related issue. The rest will be around economics.

Zafar Khan

Societe Generale Cross Asset Research

Okay. And then if I just go to the earlier slide, just one before Slide 12, and you've kindly given quite good historical data there. I remember and this reinforces this, that the free cash flow, the record, I think, the group has ever achieved, is that GBP 781 million, you just see it in 2013. Now we've got problems on the earnings front because IFRS comes in, it's going to be pretty difficult to understand what happens there. So I guess many of us are looking at the promise of cash flow, Warren, and I wonder if, in your idle time, you kind of blue sky these things. And when do you think we might get to that kind of GBP 781 million again? Is it going to be in my working life, do you think? Or...

D. Warren A. East

CEO & Executive Director

Yes, yes. Well, I certainly hope it's early in my tenure, so let's put it like that. Actually, no change for what we said -- from what we said in November when we talked about IFRS and we talked about the cash as well because it was important to do so. This year, obviously, we had a slightly better-than-expected outcome last year. And so rather than talking about an improvement this year, we're talking about roughly flat performance. And you have to understand that law of small -- relatively small numbers. Cash at the year-end is a little bit volatile, and so we are quoting a range. But notwithstanding the better performance in '16, 2017 is exactly what we thought it was going to be. And we talked about getting towards GBP 1 billion plus towards the end of the decade, and it's a reasonably linear sort of journey from here to there. It's a little bit more back-end loaded than linear. But if you sketch that, and I think you can expect it in the next few years. And that's no change to what we've said before.

Zafar Khan

Societe Generale Cross Asset Research

Is GBP 1 billion the aspiration? Or...

D. Warren A. East

CEO & Executive Director

No, goodness me, of course, we can go beyond that based on the size of the opportunity we have. But let's just think about the journey to translate the current business that we have into that cash-generating world, and it's in that time line.

Zafar Khan

Societe Generale Cross Asset Research

And just a supplementary on the -- on the A380, Airbus put out a statement suggesting that some of the deliveries on the A380 to Emirates were going to be deferred, and it was to do with your agreement with them on the engine. Can you just tell us what's actually happened there, what was going on?

D. Warren A. East

CEO & Executive Director

Yes, well -- fine.

Zafar Khan

Societe Generale Cross Asset Research

Does it mean that there's an issue in terms of overhead recovery?

D. Warren A. East

CEO & Executive Director

I don't think -- I don't -- I think there's been enough negotiating in the media around this issue, and I don't want to perpetuate then that negotiation in the outside world. Suffice to say that we did reach an agreement with Emirates at the end of last year, and that is around the service life of the high-pressure turbine blades in our Trent 900 engine. We're pleased with that agreement. They're pleased with that agreement. Airbus is pleased with that agreement. We have a way of working forward. Separately, Emirates have their own issues around how many planes they want to buy and when they want to receive them from Airbus, and that's a matter for Emirates and Airbus, between them, and so I'm afraid you'll have to take that one either to Emirates or to Airbus. Now I think we have a couple of questions towards the back there. And John's got some from online, so let's have the questions at the back and then move to the online.

Celine Fornaro

UBS Investment Bank, Research Division

Celine Fornaro from UBS. My first question would be on the group cash and how -- when I think about your long-term incentive plan for '16, '17 and '18, which was about GBP 350 million cash cumulatively, how does it look like after the better cash flow in 2016 and the guidance that you've given in '17? Because basically, this implies very small improvement for 2018 as well, so how should we think about that? And my 2 other questions would be on the Civil divisions. The first one is if you could give us a little bit of color of the in-service behavior of the Trent XWB and the fleet that is out there after 2 years and how the engines are performing, how are the shop visits or any changes that you have to make to those engines, if any. And secondly, if I think about the lead time transfer improvement that you've made on the Trent 1000, which is really good, shall I think for the Trent XWB, that this only happens when production flattens? Or actually, this is something that you can also start doing earlier? And on the Trent 1000, does the lead times change when we start introducing the Trent 1000-TEN or we actually keep them?

D. Warren A. East

CEO & Executive Director

Okay. As for the cash and the long-term incentive program, I'd just draw your attention to what I said a moment ago on the general trajectory, and that's exactly the same. But during that period, don't forget, we have the law of relatively small numbers and year-end volatility. So it's by no means, in terms of the absolute numbers and the absolute years, there is this variability that we see of plus or minus GBP 100 million to GBP 150 million or so. And so that's going to be there. When we get into the realm of GBP 781 million and GBP 1 billion, then that volatility becomes much less significant and so would affect our long-term incentive plan like that a lot less. XWB in-service behavior, well, it is early in the life of XWB as a complete fleet. And obviously, the fleet has grown a lot in the last 12 months in relative terms. But however, the first engine has been in service for over 2 years now, and the early signs from XWB are very good. Yes, we have had a few maintenance issues that are sort of perfectly normal, but we haven't had any serious issues. And we have been pulling these engines in for inspection as a sort of early -- because

it's early in its life cycle, we've been pulling them in a little bit more regularly than we will be doing when they're in normal service. And so if there was anything untoward, I'm sure we would be spotting it. Life -- sorry, lead time improvements on Trent 1000, when we switch over to TEN, I'm sure there -- in practice, there will be some degradation in lead time for a short period of time, but we don't anticipate a big material change. And as for whether those -- we have to wait on XWB for those lead time improvements to happen, no, we don't, and they are happening. And when we first started on XWB and supplied a few in 2015, then the assembly lead time was quite long, of the order of 40 days. And we are targeting getting the thing down to closer to 20 days. And the production engineering team are very highly motivated to get there. I think that's it. So I think -- was there another question towards the back there? No. In that case, can we go to the online now, and then we'll come back the middle. So online questions?

John Dawson

Former Director of Investor Relations

Thank you, Warren. One of them has just been answered actually on FX, so I'm not going to pick that one up. But Rob Stallard asks, should we expect CapEx and R&D spending to ease in 2018? And if so, by what sort of amount? So building on the guidance for '17, what's the trend into '18 and beyond, and what would be the expected delta?

D. Warren A. East

CEO & Executive Director

Yes. The short answer on that is that we need to continue to invest in R&D. We're going through a little bit of a peak at the moment, but I think you will see in the 2017-2018 period a significant investment in the Advance and Ultrafan engines. And don't forget I said Civil is essentially the lion's share of our R&D expenditures, so that's going to be the key driver there. And as for CapEx, then it's going to be flattish over that period. We are investing quite a lot at the moment in modernizing facilities. A lot of those modernization activities will have taken place, and so there will be some downward pressure, in the -- those factories won't need to be updated in the short term. But then we will be into the next wave, so I'm sure it will be flattish. And we'll actually manage it, by the way, in terms of -- we don't just operate with an open checkbook. We'll be managing that capital expenditure and phasing it in the normal project approval process.

John Dawson

Former Director of Investor Relations

So one additional question from the online guests. Do you intend to pay for ITP in shares? And if so, have you discussed with the vendor what they intend to do with that stock?

D. Warren A. East

CEO & Executive Director

Well, as everybody knows, we have an agreement with the vendor that we can pay any one or more of the 8 quarterly installments, after the transaction closes, in shares rather than cash. And as far as the vendor is concerned, that is the option that we have, and that is up to us, and it is our decision. As to what the vendor does with those shares, we don't have an influence over what the vendor does. But we will take those decisions as they come on a quarter-by-quarter basis. We have no intent at the moment to drive specifically down the share route or specifically down the cash route. We'll be managing the cash as we go through that period. And we'll be always keeping an eye to other requirements for cash, what's going on with the share price and long-term shareholder value. So it's a decision that will be taken in the round, and the board will be involved every quarter. David, in the middle, yes, and then -- yes.

David Howard Perry

JP Morgan Chase & Co, Research Division

It's David Perry at JPMorgan. So one high-level question in two parts, I think. The strategic review, I'm sure you want to keep some of your powder dry, but maybe it's taking a bit longer than we thought. Just can I ask, is it going to be more biased to the operational or more biased to portfolio? And then the second part is related to it, does the possibility of a border tax adjustment impact the strategic review in

your thinking? At this stage, have you got any thoughts of the positives and negatives that might have on Rolls-Royce?

D. Warren A. East

CEO & Executive Director

Yes. To answer the high-level piece first, in terms of where we are today, as I said when I was presenting, I would have liked to have been a bit further ahead. But it isn't that this is a difficult problem that's taking us longer, it's more a question of getting started. And what actually took a little bit longer was to assemble the team. But I think we had to make some difficult calls, and it would not have been right for me to have been concentrating on long-term vision while the short-term performance of the business was not improving. And even as we go through 2017, we've got a lot of work to do as a team to make sure that we continue to improve the operational performance of the business. Will it be more operational or will it be more portfolio oriented? The answer is that you can't ignore the operational piece. That's got to happen anyway. And so I think when we talk about strategic review, it'll be more, what does the shape of our business look like out into the future? And what do we need to do in 2017, '18, '19, '20 to get there? And it's a given that in that time period, we need to keep improving the operational performance.

David Miles Smith

Former Chief Financial Officer and Executive Director

I think on the -- I think -- I assume on border tax, you're referring to the U.S. proposals.

David Howard Perry

JP Morgan Chase & Co, Research Division

Yes.

David Miles Smith

Former Chief Financial Officer and Executive Director

I mean, clearly, maybe you've got more detail than I have. I haven't seen a lot of detail around those proposals yet, and I assume that they're going to take a lot of filling out. And we already have enough Brexit duty and custom things to think about as well. But I think the key for us, like any sort of company that needs to trade over borders is just to retain flexibility. So we have a site in Indianapolis that we are reinvesting in, which is very capable of producing engines or other parts, that we have our own component facilities. So we'll just have to see, David, where all of that comes out. But as an international company that trades across borders, we will have to retain flexibility if we see changes in duty or border tax regimes to make sure that we can do that as efficient as possible.

D. Warren A. East

CEO & Executive Director

I mean, we already do a little bit of civil work in that facility, and so work can move around the organization as required. Yes, okay, so I think we need to move to the penultimate question.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec. 3 -- F-35B, how many modules did you deliver in '16? And how many do you plan to deliver in '17? And is that a headwind to profitability, or is that already profitable?

D. Warren A. East

CEO & Executive Director

Yes. I don't have the answer off the top of my head, I'm afraid, to the number of F-35B modules.

David Miles Smith

Former Chief Financial Officer and Executive Director

Why don't you ask your second question.

D. Warren A. East

CEO & Executive Director

Yes.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Second one is on SSRO. What is the percentage of revenues of the group that could be subject to SSRO regulation and standard Astute Boat 5 is going to be -- also are they going to liaise with the SSRO on that boat? And you talked about accelerating Ultrafan R&D. Is that for a middle of the market aircraft?

D. Warren A. East

CEO & Executive Director

Okay. So on the SSRO, it's roughly 10% of our business that is potentially exposed. But this is a ongoing dialogue at the moment. And the SSRO is consulting with companies such as Rolls-Royce around how they move forward. Sorry, your second -- your auxiliary bit, I missed.

Rami Yehuda Myerson

Investec Bank plc, Research Division

So just asking about the middle of the market aircraft?

D. Warren A. East

CEO & Executive Director

Middle of the market aircraft, okay. It's a paper airplane at the moment, and there is potentially an opportunity for about 5% of the traffic maybe to be taken by that sort of airplane, but we're a long way away from any sort of decision there. If it makes business sense and if that airplane goes ahead, then we'll be very keen to power it. And Boeing, I'm sure, will make a decision based on sound business principles. And they understand that if we're going to put an engine on that plane, it has to make business sense for us as well. Sorry, [indiscernible]

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, it looks like it was actually pretty flat in '15, '16 and will be again in '17, a dozen, something like that.

D. Warren A. East

CEO & Executive Director

So was there a final question? It doesn't -- oh, there's one final question from up there. This is the last one.

Unknown Attendee

This is Robbie Becker [ph] from OSMG [ph]. Just -- if we could just ask what is your relationship with the UK Export Finance Agency, just regarding the press release is saying that they may request some funding or may not support your contract in the future. And the second question, just on the FX hedges, do you expect any cash impact in the medium term as some of the hedges matures or just continue to roll over the hedge book at the same rate as you said?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, so quickly, we actually work really closely with the UKEF on a number of projects each year. We -- I think we have an excellent relationship, and I think they'd say that as well. Clearly, there were a couple of the contracts that were mentioned in the DPA that had financing originally. That was quite a long time ago, so they are doing some additional diligence around that. But the ongoing relationship is actually really strong, and they're very supportive of the business. On FX, sorry, I've just forgotten the question here.

D. Warren A. East

CEO & Executive Director

It's on cash impact.

David Miles Smith

Former Chief Financial Officer and Executive Director

Oh, cash impact. There's absolutely no cash collateralization requirement, if that was your question. In terms of as those mature, clearly, they will either be positive or negative. But then the underlying transaction that they're hedging will be positive or negative, the other way around. So it's basically, those hedges give us an effective rate of 1.55 at the moment, and that's the end result of those transactions.

D. Warren A. East

CEO & Executive Director

Okay. So that concludes the question and answers. And before we break, I'd just like to -- this is David's swan song, so I'd like to thank him as well for being a great support.

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Rolls-Royce Holdings plc LSE:RR.

Analyst/Investor Day

Wednesday, November 16, 2016 8:30 AM GMT

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Eric Schulz

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Unknown Analyst

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Chairman

Unknown Attendee

John Dawson

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Marcus Wassenberg

Mikael Makinen

President of Marine Business

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David Howard Perry

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Division*

Presentation

John Dawson

Former Director of Investor Relations

Good morning. Good morning, ladies and gentlemen, and welcome to Rolls-Royce's Capital Markets Day for 2016. My name is John Dawson, Director of Investor Relations of Rolls-Royce. It's my pleasure to be the master of ceremonies for today. We have a pretty busy schedule, so hopefully enough to keep you all engaged here, but also online for those of you joining us through the Internet. All the materials on today's presentations and the breakouts will be available later on today, either live or later on today as downloads from our websites or accessible on the website. So please, if you miss anything during the course of today, you'll find it later on and you'll be able to access it at your leisure.

With a busy day, we're going to try and stick to a fairly packed agenda. Our Chairman's going to welcome you in a couple of minutes and then hand over to Warren, who will go through an operational and strategic update. He will then hand over to David, who will take you through a financial update and some thoughts on IFRS 15, the topic du jour. We're then going to have a break, and then hand over to a session with our business leaders and different members of their team, who will take you through some fairly thoughtful, I hope, presentations and discussions on what they're doing to implement our strategic priorities during the course of this year and onwards. So that will cover us through including lunch till about 2:00 when we'll all come back into this room and we will have a plenary question-and-answer session, and then hopefully, be wrapping up at around 3:00 this afternoon.

So a fairly busy day, lots to get on with. So without further ado, I will hand you -- I'll just mention a couple of safety notices, sorry. Mobile phones, if I could ask you all to just please make sure they're on mute just for the benefit of the speakers. All our comments are covered by safe harbor statements, which you'll find in the pack. And from a safety point of view, you'll find the exit doors clearly labeled from this room and the other rooms, and the assembly point is the car park out front.

Now I will hand over, without further ado, to Chairman. Thank you.

Ian Edward Lamert Davis

Chairman

Well, thanks, John, and good morning, everyone. 12 months ago, I was in front of a number of you at a particularly difficult time for the company. And at that point, I highlighted some of the priorities and focuses of what we were going to do during the next 12 months and beyond. Since then, I'm very, very pleased to report that we found the board, they're very satisfied with the progress we've made. I say very satisfied with some caution because there's nothing to be very satisfied about it in terms of our absolute performance, and we're very, very aware of that as a board and a company. But what we've achieved and what we've managed to get going under Warren's leadership has -- is something that we feel very good about.

Now it's been a difficult environment, as you know as well as I do, some of our markets, for example, in marine and in the business jet area have been extremely challenging. And internally, we've also had an awful lot on our plate. We highlighted this last year, a number of new product introductions which, in this industry, in the civil aerospace industry, is a very, very challenging thing and a huge ramp-up in production, which is something we anticipated and which is going to seed corn for our future prosperity. So a tough internal and external environment, but the progress has, in my and the board's judgment, been real. And I hope you be get a better sense of that over today and in the discussions that follow.

Let me just give some highlights. Firstly, the top-level management restructuring has gone very well. This is never a pleasant thing to do. It's never an easy thing to do, but we've made real progress on restructuring the top management from which will come subsequent restructurings.

The transformation program, which Warren has talked about and will talk about later today as will the management team, is really underway. This is a year, a multiyear journey, you know that as well as I do,

but this is really, really picking up momentum. And I think it is confirmed, if it needed confirming, it's absolutely confirmed the opportunities that we have to improve our efficiencies, reduce our costs and most importantly, to improve the speed and responsiveness with which we do things, so real progress there.

Thirdly, appointments. Warren talked about his plans for a new team, and I think we have got that in place. It's for Warren to talk about this, but getting together a new team, and we've recruited a number of people from externally as well as internally. It's something that's happened within a year, and I'm very, very excited, as the board and as the Chairman, about the potential for that new team.

And then finally and less glamorously and this is very, very much work in progress, has been real, real progress on the development for our strategy. You'll hear more about that in the months ahead and next year; and also on the crucial -- rather mundane topic of systems and controls, a huge task for the company, but again, very, very real progress there. So I think over the last 12 months, there's been very, very real progress. The board and I are very aware of it. We know there's an awful lot more to do, we'll talk about that. But I do want to hopefully give you this sense of momentum that I and the board share.

Let me be clear about our priorities. They are the same as last year. The overwhelming priority for the company is financial and operational performance improvement. They are very, very closely linked in this company. Finance and operations are the twin pillars. Lots of other things we could be worrying about as a board, but we're not. This is our laserlike focus, financial and operational performance. At the same time, we know we need to improve our speed and responsiveness. And again, that's linked. Time is a very, very important factor of cost and performance. So I just want to absolutely emphasize to you, our investors, the owners of our company, that this is what we're really going to be focusing on over the next couple of years in particular.

So we've made real progress, a lot more to do. And our hope is that over today and the future, you'll get a better understanding of what we need to do, what we plan to do. This day is part of our continuing journey that I committed to last year to improve transparency and improve communications. I know that some of the messages we've been delivering in recent times haven't been as good as they should be and as they will be, but I hope you won't confuse that with any lack of desire in our part to be open with you to improve the understanding of our company, of the problems, the risks as well as the enormous opportunities. And today is all about that. I hope, we all hope as a management team, as a board, that you will leave understanding the company better, knowing some of the people on the management team better and appreciating the upsides and the huge value creation potential, which I just absolutely know and I think many of you know, exists in the company.

So with those words of introduction, I'll hand over to Warren, who sits in the management dais. And I look forward to seeing more of you over the forthcoming [indiscernible]

D. Warren A. East

CEO & Executive Director

Thank you very much, Ian. Good morning, everybody, and thank you for joining us today. And for those of you who were here last evening, thank you for joining us last evening as well. I hope you enjoyed the discussions, both the formal presentation bit and the discussions we had around the table.

So I'm going to just sort of outline where we are as far as today is concerned. I'll start by talking about progress that we've made over the last 12 months, going to a little bit more detail than Ian just covered, and talk a little bit about going forward in the next 12 months. David's then going to give us an update on the actual business for this year and a little bit about the direction of travel going into 2017.

One of the things that we talked about 12 months ago was additional disclosure. We produced a little more disclosure in February, and we're going to produce a little bit more disclosure today. After the break, the breakout sessions will be an opportunity, as Ian said, to meet some of the people who are actually doing the work, rather than people like me who just talk about it. And I hope those breakout sessions will be informative. We'll be using material from what's going on in the businesses to bring to life some of what I talk about when I talk about transformation and improving our performance.

So a year ago, we presented a slide like this. And I hope over the last 12 months, we've delivered on the commitments that we made in that slide, they're all they are about. A year ago, I stood in front of you and talked about some serious challenges that we had, some serious challenges around costs, fixed costs and product costs. I talked about challenges in terms of information, information flow within the business, the systems that we have to work with that information and how it was really very challenging for the management to get hands-on information. And I talked about some of the behaviors within the business and all the changes and improvements that we need to make there.

I'm pleased to report actually, as Ian said, if you step back from it, there has actually been some quite good progress. Now it has taken longer than I expected to make some of the progress that we've made, and I can't hide my slight tinge of disappointment around that. But if I step back from it and think realistically, then I'm pretty pleased with the progress that we have locked in and made. And I'm very pleased with the platform we've developed within the business for further improvement. And we have a lot of further improvement to go.

So last, last year, from those challenges, we sort of extracted some priorities, things to focus on, and they became the goals for 2016. And in February, I presented this slide and talked about how we were going to strengthen our focus on some key priorities around engineering excellence, operational excellence and concentrating on the aftermarket, allowing the business model to perform, and then transformation, and then as Ian just alluded to, building trust with our external stakeholders. And those external stakeholders now are the investment committee but also our customers, suppliers, our other industry partners and actually moving inside the company to internal stakeholders as well. We need to improve trust. And so I'm just going to reprise on those goals for 2016 and the progress that we've made since then.

Start with the transformation, I realize that was the middle bit on the slide, and maybe, logically, I should have started at the left-hand end, but we'll start off with the transformation. And a year ago, I talked about this concept of organizational hardware and organizational software, where the hardware is like the structure of the organization and the software is what people are actually doing. And we made some good progress on early wins with the structure. And actually, the good news is that, as I said in February, we're on track to delivering the top end of expectations for 2016 in terms of the financial impact of that. We've actually made good progress since July. But now the focus is switching very much on to the organizational software, the things that we do to sustain these improvements and the key sort of issues indicated on the right-hand side of this slide, the key things that we need to change. And there's a theme that runs through the changes that we're making, and the theme is about injecting more simplicity into everything we do. I'll come back to some of that in a moment.

Graphically, the hardware change, the big hardware change that we made early on in the year was to say we're changing the structure, the divisional structure of the business. We're removing a layer of management. And we're targeting a reduction of 20% in the management population. Now we've created a good platform for structural change. In that, we have reduced the management population. We haven't reduced the management population by 20%. We're still aiming to go a bit further, so there's a bit more work to be done on that.

But the important thing is that this hardware change has actually started to yield some software benefits as well. So we have got a clearer line of sight from the center of the business out towards actually going on with customers and how we translate from customer engagement through to, eventually, money in the P&L. We've got stronger accountability as a result of that clearer line of sight. We've got and we're already starting to achieve a big sort of reduction in the number of interactions that are going on in committees and so on. There's still a lot of complexity and there's still work to be done on responsiveness because we believe that world-class products deserve a world-class operation, but I'm pleased with the progress that's happening.

So where does that leave us in terms of financial impact? Well, at the half year, I said for 2016, we're going to deliver at the top end of the expected GBP 30 million to GBP 50 million benefit. We certainly are. And since July, we've had further progress on that. And so now we are expecting the run rate going out to the end of 2017 to be much closer to the GBP 200 million end of the range, in other words, the top end of the range by the time we roll through to 2017 as well.

Obviously, these savings are essential to improve the performance of our business. They're also, in some ways, delivering in terms of additional resource, and we've got plenty of areas in which to apply that additional resource.

So that's transformation. I now want to talk about the 3 sort of success factors that we've been focusing on: engineering, operational excellence, leveraging the aftermarket and letting the business model work.

To start with on engineering excellence. I think you're going to see some examples in the breakout sessions. And what we've tried to do is to take these 3 themes and use examples from across our different businesses. And it's not as easy as sort of the example you see is the only example of engineering excellence. Clearly, these examples of engineering excellence in bits of the business that we're using to demonstrate operational excellence as well, but we have been focusing on that.

The operational excellence piece -- sorry, the slide and click -- the operational excellence piece, that's a lot about manufacturing transformation, getting higher margins, lower costs. It's about delivering reliability and repeatability in what we do. We've made good progress over the last 12 months. And I wouldn't want to claim a huge amount of credit for this because a lot of this is work that's been in progress not just over the last 12 months, but over the last multiple years where we've made huge strides in the improvement in the quality of our products. And that is translating into a better reliability and operational excellence.

I'll talk a bit about capturing value, better value in the aftermarket, developing new value-added services. And I'd encourage you in the breakout, particularly around the Civil Aerospace piece, to look at that leveraging the aftermarket examples and the progress that we've made there.

But really, the emphasis has been on changing the mindset, on focusing on what we absolutely need to do and getting people inside the business to say, "I'm coming to work today and this is what I have to do. Can I do it in a simpler way? Am I doing it fast enough? And if I can think of a simpler way of doing it, then let's start doing it in a simpler way." And then making sure that as a business, we're only asking people to do what is necessary for them to do. And there are a few examples there where we've made good progress.

Now in July, I said -- sorry, this isn't really clicking on very easily. In July, I said progress is going to be the sum of lots and lots a little improvements, and that's the graphic we used. I talked about a few examples of this.

Operational improvement, I used a this slide in July, but the number I had in July was a different number because we've made further progress since then. This example comes -- is about reducing the time it takes just to assemble a Trent 1000 engine. Now I visited Singapore where we assemble our engines, Trent 1000s, in February. And I have to say wandering around the final assembly line there, there wasn't a huge amount of activity. And there wasn't a huge amount of activity because it took us a long time to assemble an engine. So everything took a long time to go through. And you've got a real sense of the fact that this thing could go quite a bit faster. When I visited a few weeks ago, and I had a group of people with me a few weeks ago, it was hive of activity. And you could feel the increased tempo that is relating to a 30% improvement or getting on to 30% improvement in the cycle time. And by the way, July, the number there was 24%, not 27%, but we intend to go further. And when you attend the breakout session, please talk to the folks who are driving this in detail and understand how we've done that and the lessons that we're taking from that and moving around to other locations. There's more work to do, but I'm really pleased, too, when going and meeting the people who are actually doing this, that the level of engagement we have amongst our people to really make these improvements happen and to, in fact, exceed the goals that we're setting.

So that example was about building engines in the first place. Of course, we also have to worry about the aftermarket and execution in the aftermarket. And here's an example, hit the newspaper headlines a bit in the summer. Because as you're probably all aware, ANA had some issues with some of our turbine blades. And basically, these blades were not lasting as long as the design life and we need to change them. And we have redesigned the blade, and we will be introducing the new design in due course, and the aerospace people can you fill you in on the detail.

But meanwhile, we have to keep our customers flying their airplanes. Because the punters who want to fly from A to B aren't going to sit there and wait because we haven't got some turbine blades working properly. So we have to come up with a replacement program that doesn't interfere with our airlines' operations and so on. And when we looked at the task involved, then it was going to take a long time. Such a long time, in fact, that it would create some operational challenges and would also create quite a huge cost for us.

And so the behavior of that drove this improvement was a behavior that said, "No, I'm not going to tolerate the status quo, how long it takes. We need to work hard to come up with a dramatic improvement." And a dramatic improvement materialized, and the leadership in that part of the business said, "No, I'm still not satisfied. That's still not enough. We need to make a bigger improvement." And so over a couple of iterations, the team worked out an alternative way of changing these blades that resulted in an 80% reduction in the time that it took. And we could extol the virtues of the engineering analysis that went into what we actually need to do, and that was clearly part of it. But the thing that gave me most encouragement was the change in mindset that said, "No, I'm not going to be happy with the status quo. I want something a lot better," and that mindset was there and that's what drove that improvement.

And clearly, that was a real life service example. But since the aftermarket is an important, such an important part of our business, it's worth noting that these improvements that we talk about aren't just in getting engines out of the door. Because the engines spend 25 years or so in active service, and we need to look after our customers and make money out of that throughout the 25 years.

Another example from the aftermarket -- sorry, I think the battery might be getting a bit little low in this clicker or am I not pointing it at the right place? There we go.

We pointed out at the half year that our fleet is gradually getting older. And that means that there are going to be more aircraft transitions. And if an aircraft is on the ground for 12 months instead of 3 months, then we're clearly going to forgo a lot of aftermarket revenue. And the team in the breakout session, again, there's an example here that I'd encourage you to talk to them about how creating a team to work with the leasing companies, to work with the airlines who are retiring airplanes, to work with the airlines who are going to buy secondhand airplanes, we can minimize the time that, that aircraft is on the ground, and therefore minimize the aftermarket revenue that we forgo with that transition. So an example of how we're working on that aftermarket. There are other examples from our defense group, and they're going to talk about how they're working the aftermarket more as well.

So enough of the anecdotes around the 3 priorities.

I think it's me rather than the clicker, by the way, that's causing the problem.

So progress on focusing around the 3 success factors. Encourage you to use the breakouts to explore the detail on that, and to point out that it's not just civil aero applications where we're making the progress.

I'd now like to switch to the third goal here, which is around rebuilding trust. Clearly, now this is going to be bad because this is the build slide. I know it isn't. The build slide's coming soon. So additional disclosures, the ways in which we decided to talk about getting more trust was to be more open and share more information with you and then actually make sure that we deliver on what we say we're going to deliver. And so I think we've made good progress on disclosure. You will see some more detailed disclosure in David's presentation today.

Another example in July, we talked about IFRS 15. We're talking again today in more depth about IFRS 15. We're bringing executives from within the company, so that you can talk and exchange information freely with these people. I hope that's an indication of good additional disclosure. And we'll be showing you, we put this slide up, we're actually going to fill in some of the blanks on this slide in David's presentation later today. So that is more disclosure.

In terms of delivering on what we said we were going to deliver, then we -- this morning, we confirmed our expectations as far as 2016 is concerned, that is delivering in line. We've talked about transformation program and the transformation program is delivering. And that, as I said, it looks like it's going to deliver the top end of expectations.

And on operational excellence, this is a graph that you're familiar with hopefully in the bottom corner there of the -- showing the ramp-up of our large civil engines. Dealing with that volume ramp, you've all told us, it's a big challenge. We didn't actually need you to tell us that. We know it's quite a big challenge. And the good news is that if I look at the run rates coming out of our facilities today, then the run rates support that ramp-up. 12 months ago, the run rate that we achieved in Q4 '15 supported the volume requirements for 2016. And as we are going at the moment halfway through the -- a little bit more than halfway through Q4 '16, the run rate support the volume ramp, the volume that we need to do for 2017. So I'm very pleased with the way that the business has actually been delivering on the commitments.

A little bit of a reminder, and those of you in the U.K. may have seen the Panorama program a week or 2 ago. So that is a reminder that we do have some legacy issues, but as far as the investigation is concerned, we are fully cooperating. We can't talk about the detail of that investigation. But within the business, I can assure you that the huge changes that we set in, in progress a couple of years ago around this are happening, and behavior is changing. We have an absolute standard of zero tolerance to any misconduct here. And so in spite of the legacy issues, we just have to accept that and we're dealing with them.

So now let's look ahead. And as Ian said, one of the first things we've been doing is rebuilding the leadership team. So 2 key appointments, and I talked about some of this a year ago and we talked throughout the year, 2 key appointments we've been able to announce. So Simon Kirby is joining us as Chief Operating Officer, and Stephen Daintith, joining us as Chief Financial Officer. Simon and Stephen are in the room. They're just over here, so they're just going to wave and say hello.

Unknown Executive

Hi, good morning.

Unknown Executive

Hi.

D. Warren A. East

CEO & Executive Director

Okay. And Simon and Stephen aren't the only appointments. So Ben Story joined us as new Head of Strategic Marketing about a month ago. And Andreas Schell will join us as the new President of Rolls-Royce Power Systems. And he'll be joining us at the beginning of December and he'll be taking over with effect from the beginning of January.

So if I take those 4 external appointments and combine them with the promotions that we made, then the leadership team that I sort of was talking about in aspirational terms a year ago, where I was looking for a blend of about 1/3 of new people and about 1/3 of people from within Rolls-Royce promoted and 1/3 of people that representing continuity, then I think we're just about there. So we've got a team, a leadership team.

One of the first things the leadership team need to start working on, however, is looking forward at our vision and our strategy. We know we've made progress on the operational performance, and we know we still have a long way to go on improving operational performance. A year ago, I said we were going to make those improvements in operational performance, and then we were going to get on to updating strategic priorities and so on. Well, as I said, it's taken a little bit longer than planned. And so the really eagle-eyed ones of you in the room will notice that in the bottom arrow there, in the right-hand corner, we've sort of slipped the Q1 '17 in, which reflects a little bit of a slip. But the purpose of talking this morning about this is to say that we certainly haven't forgotten that we need to attend to looking forwards.

And when we do look forwards, we'll see -- now it's a very long-term business. The operational improvements we're making are improving the platform, and the platform on in which we can build, but we now have to think about the next several decades. A new engine that is going out to the door today is going to be flying in 20, 25 years. That's actually nearly 20 -- well it is, it is 2040, which sounds like a

heck of a long way into the future. I'd be delighted if I'm alive in 2040. So we do need to think quite long-term here.

So framework, the framework that we'll be using is this framework. We'll be thinking about long-term trends in the industries in which we operate. And the presentation that you had over dinner from Paul Stein last night, that was no sort of coincidence. We do need to take account of the technology changes which are happening in the world. And by the way, I come from the technology space. And I've seen lots and lots of companies wither on the vine through not embracing new technologies in time. I've also seen lots of companies wither on the vine because they enthusiastically invest in all sorts of fancy new technologies that no hope and the market doesn't want them just yet. So no, it is a challenge and it is a balance but that's an area in which we needed to focus.

Then if you recall the matrix that we talked about, with having market attractiveness and competitiveness. We need to review that in a little bit more depth. And we mustn't forget the effects of the transformation program that we're having on our business. We need to continue to drive the improvements, continue to improve the performance of our business, but take into account that we are going to do that when we make our plans. And we need to consider all of that in the context of the capital that we have available to allocate and how we're going to allocate that capital and how we're going to allocate the capabilities that we have around the business.

A reminder. Each part of our business does actually have attractive growth opportunities. Yes, there's some investment required in all of these sectors. And there's certainly some steps forward, which are evolutionary steps. And there are some steps forward that are perhaps a little bit more revolutionary, a bit more radical. We need to think about all of that, think about the competitive opportunities and the competitive threats. And Paul presented these slides probably a lot better than I can when he talked about them last night and he explained both of these pictures.

If I just take the top one here where the 2 sort of internal boxes, applying digital to what we do internally, I'll remind you what he talked about there. I think there is significant scope in box 1 in terms of digital services and systems outward looking to our customers. And some people are a little bit skeptical about the fourth box, the Internet of Things. And my only comment on that would be, I used to work in communications in the late '80s and early '90s, and there was a thing around called ISDN. And the sort of cynical amongst us used to talk about ISDN standing for it still does nothing. And it still did nothing for a long, long period of time. And then sufficient infrastructure became available. And it wasn't actually ISDN, but the whole world that we enjoy today of the Internet, smartphones, connectivity and so on is a realization of the dream that was ISDN.

So the new technologies that we talked about today, the glimpses that we see, things like Paul talked about last night, and the hype around Internet of Things, I would caution people being over cynical about the Internet of Things. Because people have been plenty cynical before about these sorts of technologies that offer great hope. The actual manifestation tends to be a little bit different from the number you first thought of, but the reality and the impact on society comes through sooner than you think.

And Paul talked through the second slide on the bottom of this chart as well. And all I'm saying this morning is that we will pay attention to these technology trends. It's a similar story that he outlined behind the enabling technologies in these boxes, technology reaching tipping point. So I'll remind those of you who are at the dinner last night, the slides that he showed about the tipping points. I'll remind you of the Bill Gates comment about things always taking longer, or not as much happening in the 5 years that people expect, but a lot more happening in the 10 years. And that's the sort of time horizons, of course, in which our business operates on a much longer time horizon. So we really need to pay attention to that. That's a scenario that will achieve significantly more focus.

Now as far as our current portfolio is concerned, we need to update this slide from last year. I have no radical news for you on this, this morning. I'd point out that about 80% of our activity sits in the top right-hand box, i.e. we think it's playing into markets that are quite attractive and we think believe we've got a pretty competitive position. But we will be casting a critical eye across all quadrants. And I'll also remind you that the transformation activity that we're doing is lifting our performance in all of those boxes.

The cost challenge remains. The cost challenge remains, we've started. We've made progress, and we will make further progress beyond the GBP 200 million, of that I'm sure. There's a lot more to do. We will have to spend some money. There's some systems enablement activity. There's investment, some of the technology investments I just talked about. And this will all cost, but we haven't lost sight of the fact that we have any other cost challenge.

So if I put that together, and this chart has a rather sort of nebulous vertical axis of goodness, okay. I'm not sure how to -- otherwise to describe it, but that's what we came up with.

And so here we are at level 1, and how do we get to level 2 at the other side? Well, clearly, the cost activities, there's a lot of

[Audio Gap]

and creating a greater efficiency within the business. And when we get into growth and mix, we're talking about the mix of products and the challenges of product costs and getting a greater proportion of products that are competitively costed within the mix of what we do and taking advantage of the growth that is available in all parts of our business. A lot of that is unlocking the order book that already exists in our Civil Aerospace business and making sure that as we unlock that and deliver those engines, then we make significant progress on the costs and experience tells us that we can make progress on those costs and we have funds to make progress. And right now we are tracking those funds pretty well. So if you look forward to a world of twice the installed base and large civil engines, then I think you will see quite a transformational effect on the cost base. If you add all those 3 things and you move up the nebulous vertical axis of goodness from where we are to a much better place.

In summary, it's been a year of pretty good progress, really, on the transformation program. I wouldn't be doing my job properly if I wasn't a little bit dissatisfied with the speed and I wasn't continually trying to push and encourage us to do even better, but I am actually quite pleased with the progress that we've made on operating performance. And I've talked a little bit about the fact that we haven't forgotten moving forwards. We've laid out some areas in which we are going to apply our efforts looking forwards, and there'll be more updates on that in 2017 as we go.

But for now, I'll hand over to David to talk about our financial progress and looking forward, a little glimpse of the IFRS 15 update. David?

David Miles Smith

Former Chief Financial Officer and Executive Director

Good morning, everyone. There are a few things I'd like to cover in the course of the next 30 minutes or so. Firstly, as we're nearing the end of the year, I'll provide a brief update on 2016 performance and set out some of the market developments that may play into 2017.

It's also time we gave you an update on our Transformation Programme. In addition, as Warren has already said, I'll give you some additional revenue and cash flow disclosures as we set out last year. And as some of you will no doubt be pleased to hear, these will include revenue and trading cash flow direction and analysis through to 2020 for our Civil Aerospace business as well as near-term directional guidance.

I should emphasize this directional guidance will reflect our current accounting. We're also going to walk -- use today to walk you through the assessment of the differences between our current accounting and IFRS 15 for the 2015 financial year and likely future trends in order to help you think further about how to model the impacts of IFRS 15 moving forwards. And I'll talk to you about the key figures in this session, and then we'll be running more detailed workshops as part of the breakouts, the first of which will also be webcast live.

So turning first to 2016. Around this time last year, we set out the main headwinds we saw affecting our business in 2016. Majority of them were in the Civil Aerospace business. As we moved through this year, they've mostly materialized at around the levels we forecast. In addition, there have been a number of other developments, which have mostly netted off with other changes, and these include some

foreign exchange benefits in Civil, which we expect will at least offset some of the incremental market, operational, engineering and program costs we've incurred this year.

At a group level, we expect to act and therefore, broadly in line with overall expectations despite some of those mixed market conditions affecting some of our businesses. And for cash flow, we maintained our range of minus GBP 100 million to minus GBP 300 million.

Our transformation -- on transformation, sorry, our Legacy programs are largely complete now, providing the benefits we expected. And as Warren has touched on, we've made further progress on the additional transformation and you'll hear about this in our breakouts.

We previously told you that we expect to bank up to GBP 50 million of savings in 2016, and I believe we'll exit the year at an annualized run rate higher than this implies at around GBP 120 million. We're working through the potential benefits for 2017 right now, and we'll not announce these until we've passed a key review stage where we can review them as banked and sustainable. The majority of our identified savings to date have come from the management restructuring activity together with a number of efficiency savings, particularly in engineering and purchasing. Making these savings has been essential to help offset the investments we've made to support our manufacturing and engineering activities as we ramp up production in the new facilities around the world.

Just want actually to touch on transformation in Finance as well. All business areas have made transformation commitments and within group finance, we've also sought to deliver meaningful savings as well as making solid progress in improving and simplifying our reporting and forecasting processes.

One example, we recently consolidated 4 of our U.K. defined benefit schemes, simplifying both the administration and governance. We'll now have only 10 trustees whereas before we needed 40. We'll also benefit from scale, reduced advisory costs, more efficient asset management to generate annual savings of GBP 2 million to GBP 3 million a year. And we've also taken a number of actions to control the future costs of benefits accrual in consultation with our employees, so the overall impact on pension cost charged through the P&L will be around GBP 5 million a year.

In addition, you'll have seen that last week, we signed an agreement with Legal & General to take over our Vickers defined-benefit scheme with over 10,000 members. And this will remove risk from Rolls-Royce and also reduces our global pension liabilities by around 6%. On a technical point, we'll, therefore, have to recognize a settlement charge of about GBP 300 million due to the rules under ISF 19 to discount liabilities using AA bonds as a reference, and we'll exclude that from our underlying results. In other words, the surplus for that scheme that's on our balance sheet will no longer be there.

Turning to current market developments. The picture is mixed. In Civil Aerospace, we've seen a slower year for new orders as expected, but deferrals and cancellations have also been very modest and with a substantial backlog of orders, we feel well protected for the next few years.

At the same time, the outlook for our aftermarket business has remained solid. Looking at our large engines, parking levels are stable. We've seen a handful of older Trent-powered planes such as the Airbus A340s being removed from service, along with some of our more legacy RB211 fleets but at the same time, we've had good success now with our Trent 800 transitions on the 777, with 11 year-to-date compared to 1 last year.

From an OE point of view, the underlying business jet market has continued to weaken. And as a result, taken with the loss of some key platforms, we continue to expect revenues to fall over the next few years on an OE basis.

Tuning to Defense. The market looks, okay roughly in line with our expectations. And in Power Systems, the picture remains mixed. We aren't immune to the weakness in end markets such as industrial or oil and gas, but we also continue to do well in some of our strongest areas such as Power Generation and Marine and believe therefore we are gaining some market share.

Within our Marine business, there is really no sign of recovery in offshore markets and order intake remains very weak, particularly now also in services. You will hear from the team later about the efforts

they're putting into cost management and seeking opportunities in adjacent markets. But we must, therefore, remain very cautious about 2017 as the prospects for the year and expect revenues to be lower next year.

And finally, the nuclear business continues to focus on delivery against our long-term contracts within the submarine business and build out the capability within the civil nuclear business. We're pleased with some of the market developments but they won't have an immediate effect on results.

So looking forward, we'll probably divide our first detailed -- provide, sorry, our first detailed view on 2017 at our full year's presentation in February. And Warren and I think it's only fair that Steven and Simon, assuming they're on board by then, have a chance to review our plans before they're finally approved.

So moving now to some of our new disclosures. The next slides are intended to help you understand how we see the Civil Aerospace business developing over the next few years. The first covers revenue and is prepared, as I said, on a basis of current accounting.

The arrows themselves signal the direction of change year-on-year. And the key message here is that we expect overall OE revenues to grow year-on-year through to the end of the decade. This is underpinned by our order backlog of large engines. Whilst the absolute value of our linked and other sales should continue to rise as we deliver more Trent 1000 and 900 engines, the more fundamental revenue driver comes from unlinked sales, with the XWB engine, in particular, the significant contributor. But of course, these come with a negative cash flow. Based on current projections by 2020, broadly, we're expecting to deliver the same number of XWBs as our total large engine deliveries last year.

It's a different picture across our other engine programs, with deliveries of the V2500 modules dropping off quite sharply after 2017, although we are currently enjoying a bit of an uplift to revenues because of issues elsewhere in the A320 supply chain. I've already mentioned the weakness with the business jet OE market, which will be compounded by a number of new airframes entering into service replacing our BR710 Power predecessors. So consequently, OE revenues from our business jet will continue to decline over the next few years. We still regard the top end of the business jet sector as strategically important and are targeting opportunities there to regain our market share over time.

Turning now to the aftermarket. We expect revenues to grow modestly at first and will significantly as revenues from the installed base of the newer engine programs build. We're anticipating a slowdown in revenues from some of our mature large engine products like the Trent 7 -- Trent 500, sorry. But the important thing to note is that we continue to see double-digit growth in our new Trent aftermarket revenues and flying hours.

Aftermarket revenues from regional aircraft will decline year-over-year over the next few years as aircraft that we power are replaced by larger cabin alternatives, while the V2500 and business jets should remain reasonably stable.

Right. So turning now to cash flow again. Again, this slide is on a current accounting basis for all years. And as before, the arrows reflect year-on-year changes, with an upward arrow indicating an improvement from this factor on the year before. There's quite a lot going on, on this slide, and I don't propose to take you through it arrow by arrow. The main areas I'd encourage you to focus on are the developments of profit, the movement in Contractual Aftermarket Rights, or the CARS additions and the movements in the TotalCare net asset.

So taking these in turn. On profit, we're expecting modest improvements as we move through the next few years, and those will accelerate as we get closer to the end of the decade. And this reflects the growth in the large engine mark-to-market plus the production efficiencies from the increased volumes and the benefits of our Transformation Programme. Offsetting these will be reductions in our business jet and V2500 OE sales and reductions in our regional aftermarket.

Let me perhaps use the CARs additions line to explain a little bit more how we are using the arrows in this chart. As you know, CARs additions represent the aggregate cash loss in the year from unlinked OE contracts. In 2015, our CARs additions were GBP 161 million. As we moved through 2016 and 2017, our engine deliveries of unlinked contracts will grow, and the aggregate cash loss, therefore, rises year-on-

year. And this is illustrated by the downward arrow within 2016 and '17, i.e., indicating that total cash losses for CARs additions are increasing and therefore negative for cash flow.

In 2018, we have an upward arrow to show an improvement on 2017. Although we're still actually increasing our volumes at that point, we're managing down the average loss per engine, are expecting therefore that the total value of cash losses from unlinked engines to be lower than the year before. So this doesn't mean that the CARs balance has peaked but that the rate of growth has slowed.

Finally, let's look at the TotalCare net asset. We expect this to peak in the next few quarters and then start to decrease as previously pull forward -- sorry, as previously pulled forward profits on linked sales are unwound against linked aftermarket contracts.

So now I'm going to move into IFRS 15. But before I go into detail on the numbers, I think it's worth reminding you that the implementation, firstly, is still a year off. But given its likely significance to our underlying results, I think it's appropriate that we keep you informed of our progress.

Overall revenue recognition will now be linked more to the actual timing of costs incurred in providing goods and services rather than smoothed over the lifetime of service contracts. And for fear of repeating myself, although I think it's important that I do, the one clear and firm constant is that it does not change the cash flow profile and therefore the embedded value of the business.

Let's quickly recap on the high-level principles we shared back in July. Firstly, the CARs concept would no longer be applied to our contracting arrangements, so we'd recognize any cash loss upfront on engine sale at the point-of-sale. We would no longer do linked accounting and pull forward some of the profit from our aftermarket contracts on the sale of the engine. And for the aftermarket itself, the timing of revenue recognition on offsetting concessions would be -- would change to an input or cost basis, with the consequences having very different profit and loss timing effects.

I probably described the introduction of this standard as a painful but welcome step on a journey to increased transparency for our OE revenue at least. By removing our CARs and linked accounting, some of the accounting for will be lifted. Our accounting for a portion of the aftermarket's profits goes away and any loss we make on engine sales will be more apparent. Therefore, as we ramp up our large engine production over the next few years, a switch to IFRS 15 is going to have a negative effect on our OE revenue and profit relative to today's accounting. And this will continue until we've made progress on our program of cost reduction and have traded through the launch pricing of our new engines.

On the aftermarket side, I'm afraid it's not quite so straightforward. In fact, for business jets and even for our large engines, in a way, it lacks some logic and leads to some counterintuitive outcomes, both of which I will explain later. IFRS 15 defines the timing of revenue and profit recognition during the course of a contract. It doesn't change the overall level of profit from the contract itself. And of course, as I said, it has no impact on contract cash flows at all.

So over the next few hours, you will have a couple of chances -- we'll have a couple of chances to explain these changes to you. I'll share the high-level principles and outcomes now. And then in the breakouts later, Andrew Dickinson, the Civil Aerospace CFO and myself will give you a more in-depth analysis and answer any questions you may have.

But before I do that, let me first explain the legend on the right-hand side of this slide, which you'll see used again on the subsequent pages with the numbers. Where you see a fully-colored block on the right, this is intended to show you where we've already disclosed the principles, and the quantification of the impact has been largely available to you from our prior year results. For example, where CARs additions represent the cash loss we incurred from our unlinked engine sales. The second half-colored block is where the principle has also been clear but not all the financial information has been available before now or was only partially clear from our statements. A good example would be catch-up adjustments.

The uncolored block represents a new disclosure as we've developed the detailed understanding of implementation of the principle. For instance, the quantification of the impact of the change from recognizing long-term contract revenue on a flying-hours basis to a short-visit basis or the impact on the business jet aftermarket.

And then before we go through the number as well, let me just explain which parts of our Civil business are affected by this change. Looking first to OE, the elements that are cash positive today, such as business jets and V2500 modules as well as profitable spare engine sales, are within Civil large engine revenue. These will be largely unaffected by IFRS 15. Where we will see the difference is in our negative cash margin installed engines.

Unlike with current accounting where we capitalize those cash losses either as a CAR or by linking with an aftermarket contract, under IFRS 15, we'll recognize a cash loss when we sell the engine. Our range of cash losses today on engine is typically and broadly a GBP 1 million to GBP 2 million range, but we expect this to reduce quite dramatically over the next few years as we execute on the program of cost reduction and benefits from pricing on some of our new programs.

Turning to the aftermarket. It's a pay-as-you-go long-term service contract so they're most affected by IFRS 15. On a Time & Materials base -- basis, royalties on the V2500, for instance, will be the same as today. So overall, around half of the Civil OE business and about 1/3 of the aftermarket revenues are unaffected by this change.

So turning to the Civil OE effects. The total effect on 2015 full year results would have been around GBP 700 million for OE. OE is most significantly affected because of the removal of linked accounting and the removal of the CARs. All of the changes here affect both revenue and profit apart from amortization of CARs, which only affects profit, and that's because on the current accounting when we amortize the CARs, it flows through cost of sales, not revenue.

While we can no longer capitalize losses and pull forward profit from the aftermarket under linked accounting, we won't also have the unwindedness on the aftermarket revenue in the future, which is a positive that you'll see on the next slide.

So all the items, apart from the treatment of guarantees, are actually highlighted in our 2015 year-end results. The new item is the change in timing of recognition of some of our performance guarantees, particularly on early Trent 1000s, where we now have to recognize the net present value of any expected payments or, for instance, the fuel guarantees. When we make the engine sale, under current GAAP, these are generally included as part of our aftermarket costs.

So turning now to aftermarket accounting. Here, the changes are more complex. The change to an input approach has a marked effect and we'll explain details more about this in the breakout. Basically, when we remove the effects of linked accounting, we won't be pulling ahead aftermarket profit or capitalizing cash losses. This means we'll recognize all of the aftermarket profit during the aftermarket contract and not take some of it upfront. Therefore, we'll no longer have a large long-term contract debt of comprising capitalized cash losses and pulled forward aftermarket profit, which we need to unwind against our profit and loss market cash flows. So the GBP 268 million benefit on the slide is the positive effect that we would have seen for this in 2015.

In 2015, we also had the effect of our change, if you remember, on provisioning against contract risk, which gave us a GBP 189 million benefit in 2015 profits. But because there's no linking under IFRS 15, our positive long-term contract balance would actually have been a lot smaller, and so we have -- would have needed a far lower risk provision. Our change in provisioning method would have only been worth GBP 33 million so we'd have seen GBP 136 million less benefit in 2015 than we actually reported. The level of other catch-up adjustments such as lifecycle cost improvements would also have been far lower for the same reason because, in part, this is driven by the removal of the linked accounting.

Finally, through the change from output to input from flying hours to cost activity profit recognition, this has an important effect, driven by both program and portfolio maturity. For instance, the relative position of the Trent 700 and XWB, and Andrew's actually going to cover this in more detail later on.

In addition, what is perhaps more counterintuitive is the change the new standard will bring for profit recognition on our business jet fleet. Again, these are profit and not cash rip effects, remember, but because business jets are flying far less than wide-bodies, the first who are over will actually, as often

happens, after the expiry of the first contract period, which on average, is about 10 years, very different profit recognition pattern from long contract to the next.

And the results of this is under IFRS 15, the timing of when we can recognize revenues from these business contracts is actually going to be deferred for many years. This compares to what -- to today, where we're recognizing revenue and profit as we collect the Corporate Care payments on a pay-as-you-go basis. And it's worth noting that the estimate of the impact in 2015 of around GBP 120 million is particularly high. We expect this will reduce over time as the average age of the fleet increases over the next few years.

So let's next turn to the balance sheet for Civil Aerospace obviously. We've performed a restatement as of the end of 2015 for illustration purposes only. Of course, by the time we do the actual transition adjustment to the opening 2017 reserves, we'll have moved on another year and have a slightly different mix of contracts, so the magnitudes of the actual transition impact is likely to be different from what we're showing today.

The main changes are no CARs or -- so no CARs balance; the debtor balances within TotalCare assets, which represent linked profits reported ahead of cash will no longer be there as there is no linking under IFRS 15; and then thirdly, the transition from flying hours to a cost basis means that we'll be -- actually be receiving cash revenues ahead of when we perform overhauls. And that's the trigger for the ability to recognize revenue and margin under IFRS 15. So as a result, the balance sheet will actually show a creditor to receiving cash received from customers ahead of recognizing the profit.

We've shown all of this information pretax. Clearly, when we do the actual transition, we'll have to work through the very detailed country-by-country tax adjustments to our assets and effective tax rate. But I think very approximately, if you use your normally -- your normal effective tax rate, in other words, 20% to 25% for the tax rate, that should give you a good guide.

So I've talked about how estimates on IFRS 15 would have affected 2015. So what I'd like to do now is explain how the -- direction of changes over time. But I'm going to do is using a build to show the effects. So the horizontal y-axis here represents the difference between current profit as recognized under current GAAP and IFRS 15 for each year. Once again, very obviously, I'll remind you that cash flows, the blue line here over the life of the contract are completely unchanged, hence, that blue arrow is flat.

So initially, the gap between current GAAP and IFRS 15 for OE accounting is large, as I just pointed out, about GBP 700 million. As we reduce the unit cost of our engines and move up through the bands of launch pricing on some of the engines, we'll expect this gap to close as we have forecast over the last few years. As a result, the gap will close slowly at first as we ramp up production, but more quickly as key programs such as the XWB 84k mature.

Thereafter, with a mix of high-medium -- high and medium volume engines and inevitable variations in price for different fleet operators, we'd expect the trend line to stabilize. So for those of you who are looking at the size of the area on the curve, I should point out that the overall revenues and profits over the whole lifetime of the business will be the same under both accounting methods.

However, for OE, IFRS 15 will never actually catch up with current GAAP because of the effect we would have seen under current GAAP for linked accounting. Conversely, because of the way we currently report aftermarket revenues for linked engines, effectively suppressing the cash aftermarket margin by the under winding -- unwinding of previously pulled ahead profit, our overall IFRS 15 aftermarket revenues will be higher.

So aftermarket forecasting is going to be more challenging, I'm afraid, as it will be quite hard to predict what engines are being serviced and how much of the expected contracted cost is incurred. However, as we'll explain later, the basic difference should close as overall engine programs mature, and this reflects the fact that we catch up in profit terms around the time of the second service on most engines. So the more mature the fleet, the higher cumulative profit should be recognizing and therefore, the higher the reported margins.

However, we have relatively -- have a relatively small and young fleet today as the average age of our Trents is only around 7 to 8 years. And it is reflected in our low overall TotalCare creditor balance today. The significant growth in our market share over the next few years means it's going to take some significant time for our average age to mature, so the service revenue's likely to lag between current GAAP for many years.

Our focus so far has been on Civil and it's where the most significant differences are. There will be some effects on our other businesses, although a great deal smaller. In Defence, for instance, the OE impacts are likely to be de minimis in the near term. There will be changes in the aftermarket for Defense as we do have some long-term mission care contracts with a flying hour element to them. But of course, hire their services completely different, and mission care is less than 30% of Defence Aero services revenue, so the effect actually will be quite small. We're still evaluating the other businesses as well. All have some long-term contracts in them, but we're not expecting major changes.

So we've covered the main adjustments to 2015. In the workshops later, we'll spend some time contrasting current GAAP and IFRS 15 in a bit more detail as well as trying to help you think about the modeling moving forward. We'll give you as much directional guidance as we can but please bear with us. These, on the actual outturn in 2018 when we implement IFRS 15, are highly subjective and not something we can be definitive about yet.

We spent a lot of time over the past few months working on some of the more detailed principles in the interpretation of IFRS 15 and how this would have applied to our 2015 results. Looking forward, we'll be providing some similar adjustment to our 2016 results around the half year. And in February 2018, when we represent our 2017 results, we'll then provide them under both sets of accounting standards.

So I used this slide earlier so I'm just going to keep it short now. There are likely to be some big noncash adjustments that we've just seen, particularly on OE and certainly some aftermarket profit under the new standard. But of course, cash flows are unchanged. The impact of IFRS 15 is really just a timing difference on how we recognize the returns over the whole life of the product. In the end, we'll make the same cash flow and the same profit on each engine regardless of the accounting.

So let me briefly wrap up. We expect to deliver 2016 broadly in line with our original expectations despite some mixed market conditions affecting some parts of the business and some of those will play into next year. We've made good progress with our transformation program and increased our banked annualized savings to around GBP 120 million. And when we adopt the new standard from 2018, it will initially have a negative effect on our reported earnings. But the most important thing to take away is that fundamentally, the net present value of the business hasn't changed because there are no changes to cash flows.

So thank you very much. I'm now going hand back to John. Thank you.

John Dawson

Former Director of Investor Relations

Thank you, David. So that brings the 2 opening presentations to a close. We're going to take a short break, give you a chance to get on your feet and have coffee. We are running about 5 minutes late so if we can come back in here at 10:00, that will be greatly appreciated. Coffee is back in the reception area at the front of the hotel. Thank you very much and see you in 20 minutes' time.

[Break]

D. Warren A. East

CEO & Executive Director

Hopefully, everyone is refreshed and we will move on now. And I'll just introduce what's going on in the breakout. So we had these 3 themes about engineering excellence, operational excellence, aftermarket excellence, all a little bit nebulous and intangible. And what we're going to try and do is bring some of that to life with examples from the business.

And as I described in my presentation this morning, we can't sort of do it perfectly because we'd be here all day with examples everywhere. But you will see a cross-section of what's going on in businesses and a cross-section of activities aimed at these 3 themes.

And so once we've actually got set out in the room, so in engineering excellence, we're going to have Power Systems in Nuclear, operational excellence is in Civil Aerospace and Marine, aftermarket is Civil Aerospace and Defence.

And underlying all of that, as David promised you in his talk, then we've got a detailed deep dive on our interpretations of IFRS 15 and the difference that is going to make. Before we start on all that, then all of our business presidents are here to give a quick introduction on what's going on in their businesses. And we'll start with Civil Aerospace and Eric Schulz is going to kick off.

Eric Schulz

Former President of Civil Aerospace

Thanks, Warren. Good morning. Really pleased to be here today. So my name is Eric Schulz, and I'm the President of Civil Aerospace. I spent my entire career in Aerospace from airlines and airframers and suppliers, various organizations around the world.

I joined Rolls-Royce in 2010. I became President of what was, at the time, Civil large engine in 2013. And in January 2016, Warren asked me to take the reunification of the small engine and the large engine and the supply chain within combined Civil Aerospace.

So today, I will show you a little bit of our view of the market environment and what this means for Rolls-Royce. I will also give you a snapshot of our priorities as a business. I will introduce the 2 workshop that you will begin with, our Civil Aerospace representatives, and then I will conclude with a very, very short brief summary.

So if I start with the market environment, these are the basic slides we're always contemplating. So if I look at the order and delivery, the business is a little bit uncertain today. For the first time since a long, long time, we have had less order than deliveries within a year on either airframe or engines as it goes together normally. And clearly, this is a first. But it doesn't mean that we are anxious about the future of the market. It's just 1 year and you can argue that we have caught a lot of orders in the previous years. And that may be just a natural kind of a pause in the system waiting new orders in the future. But, nevertheless, we see a rebalance compared to the start of the decade.

We believe in terms of business that we are quite insulated from it because as you know, we have a very, very massive order book. We have not seen that many cancellations. We've seen a little bit of postpone but not something that we are really anxious about. So again, we are putting a lot of attention to the market, looking at this. It may not be anything. It might be a first sign of a slowdown. We don't know yet, but we are watching this.

Air traffic, which is very important because this is clearly the end customer flying the airplane, air traffic is somewhere on the same lines. I mean, if you look at the Western world, it's kind of slow. It's a 1% growth over the year. And of course, there's always that real unbalance between Asia Pac and namely, China and India, versus the rest of the world.

The load factors are fantastically well. I mean, I remember my time, I would have dreamed about load factor of these levels, 80%-plus. And we believe there are -- the long-term fundamentals are still around 5% CAGR overall but clearly also something to watch.

If we focus on parked aircraft, we had a difficulty last year in 2015, which was, I would call it, based on 2 very specific things that happened to our customer base. One was Malaysia that started to stop 13 777s with the Trent powered and also the bankruptcy of [indiscernible] Aero which parked quite a lot of airplane and these were the 2 main events. Since the situation has recovered, I mean, when you -- I look at 2016, we've done 24 Trent-powered transitions as compared to 10 last year at the same period. So clearly, we have accelerated. We have, as you probably know, we've been quite public with this, we've set up new switchers within Civil Aerospace to serve our customer and be more flexible, adaptive. And of course,

our target is always to be better than the competition. So the if there is a 777 or if there is an A330 to be parked, I rather prefer to see a Pratt or GE aircraft being parked as compared to mine. So what we are doing, we accelerated the transition, we've tried to get very, very close to the customers and get that motion moving.

Now there is a point of caution I want to give everybody is, as we will reach 50% of market share in the future within the next 3 or 4 years, we should expect to have more aircraft parked because this is just a sign of maturity. And again, this is why it is very, very important for us to work on transitions, mainly with leasing companies such that we ease the Trent-powered transition, and we gain -- we protect our market like this.

In business jets, this chart represents the projected number of billionaires around the world, and you probably know that probably better than I do. We expect that -- for that to continue to grow, especially in emerging countries. So I believe that when I speak to the airframer, Gulfstream, Bombardier or Embraer, I always get the same signal, which is the next year and -- the last year and this year, the next year, look a bit difficult. But the long-term growth in the business is -- seems to be quite sustained largely because of these people will be future customers of global corporate jets.

And one of the key themes as well, which is always of note is that when we talk about this market, the corporate business, the large cabin, which is clearly the niche where we play, the large cabin is expected to grow much faster than the rest of the corporate jet business, which gives us more opportunities.

So this is a little bit of view of the environment. Warren described the chart on the left and this shows that we are pretty strong on the market where we are, especially well positioned on wide-body but also well positioned on narrow-body. The brand on -- sorry, on the corporate jet. The brand on the corporate jet is really, really strong. I have to say that every time we go to people like Gulfstream, our brand means something for that niche of the market.

And we'll continue to innovate in aftermarket. You could see the growth in aftermarket on the right-hand side. So in 2015, we had about 3,500 engines in the world flying. And within 10 years, we will barely double that number. So this means we are doing a lot on aftermarket. We are doing a lot on the network to prepare it and to serve these engines because all of these engines will require maintenance. And clearly, the use of big data, which connect to the presentation that Paul has made yesterday is really, really important because we count on a level of efficiency, which is given by managing bigger data, EHM solutions and being more interactive with the airlines.

If I go to the key priorities for the business, so if we had an elevator conversation today, you ask me, well what are your big priorities in the business. Well, clearly, the first one is a ramp-up in capacity. We have a massive order book. We have to grow our capacity, especially on the large engines. And it's growth of about 20% year-over-year. We've done 20% last year. We are doing 20% this year. We'll have to do 20% next year. Until a point where we reach a peak of about 600 large engines a year. And clearly, this is all about capacity. This is all about efficiency. This is all about having the supply chain rightsized either internally or externally.

The second big thing we have in front of us is what we call NPI, new product introduction. As you know, we have 3 programs in parallel that are -- that is unprecedented in Rolls-Royce, with 3 big programs, which are very, very close to each other, the Trent 7000, the Trent 1000-TEN and the Trent XWB 97k. And these are the ones that we can start now to see. I hope within weeks, you will hear more about where we are and we'll be able to be a bit more public about this. And you will see that I think, the bulk of the effort has been made, but there are still a lot of effort to get to entry into service.

The third one, which is also very, very important are the fleet issues. When we have one, the ability of the organization to be flexible, to be ajar, to propose new solutions to use data, to be able to serve the customers in the art and really as close as we can be, as Warren explained, what we've done on the 2100. I think coming from the airline industry, I can say that people understand that these are technological products, and sometimes, you have something you get surprised by. I think the reaction and the reactivity that the system has is the way you keep the customer with you or not. And this is really, really important for us, and again, we'll show you a little bit more example in the breakout session today.

Transformation, and transformation in our system as it has been presented this morning by Warren and David, is not just about restructuring. Yes, we have reduced by more than 20% the level of override in Civil despite the fact that we are growing. But on top of this, it's more about changing the way we do business. Changing the pace, changing the actions, changing the accountabilities. I mean, not having 3 people believing to be in charge who can make 180 degrees directions, but having one pilot on board and only one pilot in command at any time who is making decisions; consulting others, but making decisions. And that's what the transformation program is. And for Civil, it is also a roadmap that identify what -- where the best practice are in our whole business, which includes procurement, includes manufacturing, includes engineering, includes production, includes aftermarket, where are these pockets of best practice around the world, and how do we get these views and these methods and these tools and processes back into our business so that we improve efficiency. And the transformation program goes over the next 3 years. We have a clear roadmap on that. And I think it will deliver -- it is delivering and it will continue to deliver.

And last but not least in an organization and a business like ours, it's all about technology. We sell technology. Sometimes we forget we believe we sell only product, but that's not the case. We sell technology. We sell fuel burn. We sell SFC. We serve valuability. We sell -- all of these values that we serve are coming through technology, and the reinvestment in the program, and you all know about the advance program, you all know about the UltraFan, this is preparing the 2025 deliveries from Rolls Royce and it's absolutely important. The world has changed a little bit, Boeing and Airbus, just to take these 2. I think they have been impacted and hit in their reputation, but also in their numbers -- financial numbers of delays for airplane. And the problem that they have now, they are asking for demonstration of technology. So it's no longer a world where you can show a nice PowerPoint. You need to show products.

If I go back to the -- what we will present to you in the breakout room. So we'll have a session on operational excellence, and Mike Mosley -- Mike, can you please stand up? So Mike Mosley, he's the VP in charge of all of operation for Civil. So he will walk you through what we are doing to meet our operational targets, ramp up and quality in particular. And so I won't go into any detail. You will have the sessions with Mike and you will be explained and you will have an opportunity for question. Likewise, on aftermarket. Dominic Horwood, who is the VP in charge of customers and aftermarket. Dominic, can you please stand up? Yes. Dominic will walk you through what we are doing in the fleet to serve the customer better, get closer. So I won't get there in order to save a little bit of time.

So in summary, this is where we are. We have a massive ramp up unprecedented for Rolls-Royce, but we are on it. We know what we have to do. You will see good pockets of examples of how we move the needle. The transformation program, which we call Fly, I mean, why not, in Civil Aerospace. The flight program also delivers well, and you will see in both aftermarket and operation presentations, examples of things that we are transforming. Addressing the in-fleet issues is absolutely key to preserve our reputation and keep the customer with us, and that's a big, big focus for us. And the long-term outlook of our business look very, very positive. I mean, we are moving the needle. I mean, this company, by 2020, will have beaten GE on the large engines. This is something sometimes we forget, but we should not because the customers and the market does not. We will have beaten GE by 2020 in terms of market share and in terms of engine deliveries.

With that, thank you very much.

Chris Cholerton
President of Civil Aerospace

Well, good morning everyone. I'm Chris Cholerton, President of Defense, Aerospace. I'm going to start today with just a short overview of the business, giving some context on the market and then focusing on our 3 strategic priorities in what I think is an exciting time for the Defense business.

We operate in all 4 segments of the market. So in transport and patrol where we're the market leader particularly focused on tactical transport, in combat, in trainers and in helicopters. And in our core markets of combat and transport and patrol, we have strong positions. That's 80% of the revenue in the business.

We also have a large and mature installed fleet of some 16,000 military engines. Actually, on top of that, you could have 15,000 Civil helicopter engines that the business produce and support. So it drives a strong focus in maximizing value from that aftermarket. And that's the breakout session, which you'll see later, which I'll describe shortly.

If we look at the market environment, defense spending, well, it's a very hot topic last night at dinner and in conversation, particularly in light of the new -- after the U.S. election. I think the -- our forecast will show that defense spending over the next 5 or 10 years is growing at a compound annual growth rate of just under 1%. But there's some differences around the world. So broadly flat in U.K., U.S. and Europe; growing in the Middle East, which is 17% of our revenue; and growing even more strongly in 4 countries I pick up there which we've given some particular focus to in South Korea, Turkey, India and Japan that's close to 3%. And clearly, I was asked many times last night about the impact of the U.S. elections. So clearly, we're seeing some very positive intent. And I think we just need to see how that converts into policy and action, but clearly some positive mood music. It will have to include repealing the budget control act, of course, which is currently still in place until 2021.

I think also the environment of our market is very competitive. There are a few new platforms. So that gives intense competition when there is a new platform. We're seeing affordability at the heart of every customer decision. Some regulatory pressure coming on the single-source regulatory office in the U.K. So we're seeing pricing pressures, and that's caused us to drive significant and aggressive cost reductions in recent years through our business. And you've seen that, that's been successful in actually protecting some very attractive returns through that period. And we continue to drive cost base production to sustain returns in the level of 15% to 17% return on sales.

Our strategic priorities are in combat, so we need to secure a new combat position, perpetuate our capability and military engine design. In transform patrol. It's about defending that market-leading position and growing where there's new opportunities arise. And in services, to continue to innovate, to maximize that value from the aftermarket.

So starting with combat. On the right-hand side, let me just touch briefly on a couple of our existing programs. So clearly, the innovative LiftSystem on the F-35B joint strike fighter, a hugely, valuable program to us, and one which is now ramping up and growing. And I hope that, that will double over the next 3 years. And the Typhoon, the EJ200 engine on which we have a share by EUROJET. So clearly, still active campaigns currently in the Middle East, but other opportunities in Europe and later in Asia.

But our primary focus on the combat sector is to secure new opportunities. And we're delighted to be part of the U.K.-French or Anglo-French FCAS program, a EUR 2 billion investment in development of an unmanned combat air vehicle, in its formative stages. And we're also pursuing opportunities to power the indigenous fighter aircraft which are being planned in a number of countries, Turkey, India and Japan in particular, with intense activity currently in Turkey. In each of those markets, technology transfer and localization of manufacturer are highly valued.

Same problem when I had -- there we go. In transport and patrol, our priority is to defend our market-leading position and grow by new applications when they arise. An example being the future vertical lift program of the U.S. Army, which is starting to gain some traction. And to this end, we're investing heavily in both products technology, to show we have a competitive product when those competitions arise; and also in our operational capability to ensure we have our competitive facilities from which to deliver those products. So in technology, we're investing both in increasing the scope on our existing products. And an example shown there on the bottom left is an infrared suppressor for the V-22 and also for the C-130, adding some scope to our supply and we just received, albeit a very small, first contract so far for that -- to that technology. But also investing in component and system level technology for the next generation of engine in this segment.

A big and significant investment is in Indianapolis in our operational footprint where we're completely revitalizing that operational footprint. We're going to have the footprint there and re-purpose the remaining footprint and also invest in new manufacturing technologies. So significantly reducing our operating costs of that facility and driving our productivity. Here's another example of the continued drive we have in the business on reducing our cost base, which is critical to that future competitiveness.

And on aftermarket. So this is the breakout session, you're going to see, which will be led by Paul Craig, my Director of Services. It's a hugely important area for us. It's something I think we do very well and which something where we're continuing to innovate to release and maximize more value. I have a few takeaways I'll bring out before the breakout session.

Enhancing value at lower costs. So what we're doing here is seeking to upsell our level of services with customers. We have a roughly 1/3 of our aftermarket revenues from time and material, about 1/3 is on fixed-price repairs and about 1/3 is -- no, roughly, is on long-term service agreements. So again, we can realize value by upselling those who are not yet on the full long-term service agreement and also driving a lower cost. And this has been a successful area for us in recent years and we continue to push it hard via investing in new repair technology and also in the use of data, the operational data and data we have via being the OEM to have more optimized and intelligent work scopes at MRO which drives down the costs.

Where also is important to with such a mature fleet, that we work to extend the life of those fleets in service. An examples here that Paul shared around inserting technology kits to old engines which transforms their capability and their performance, and therefore, extends their life in service to both the customers' benefit and our benefit. And we've opened services in the U.K. and the U.S., Saudi Arabia and just next year in India to that end.

So in summary, I think the strong positions in our core markets of transport and control and combat, we're investing in technology to protect those positions and in our operational capability to drive competitiveness and a real focus on delivering further aftermarket value from that very large and mature installed base. And as I said, I think that continue to drive the cost base with those strong positions, we'll get returns in the 15% to 17% return on sales through that period of investment and with that pricing pressure I described. So I think some exciting times and some exciting opportunities heading in the defense world. Thank you.

Marcus Wassenberg

A very good morning to you. I'm Marcus Wassenberg, the CFO of Rolls-Royce Power Systems. And very grateful to be around you and to introduce my company to you.

We have been founded in 1907 by Wilhelm Maybach, one of the pioneers of the diesel engine. And I think this is why our company is still thinking engines first. May it be Bergen engines for medium speed or the 1600, 2000 or 4000 series for our high-speed, but we're thinking engine first, and then actually, we're thinking about the market and how we address the market. And that leads to a broad portfolio of applications that we address in the marketplace. You can see basically that we're rooted in Governmental and Marine which account for roundabout 45% of our business, that is business that is long cycle. And when we talk about long cycle business, I mean, 9 to 15 months. Completely different from Aero, obviously. And PowerGen, which is a business that is bringing high volume. And we are in applications of rail, mining, oil and gas, and David has alluded to that, agriculture, which roundabout account for 20% of our business and injection systems. It's that portfolio actually that makes it easy for us to bring in a revenue stream that is more or less stable within a certain corridor. So even when David alluded to the problem we see in the oil and gas market, it will not shake us as much as part of our peer groups. On the other hand. It comes with a certain level of complexity due to the increasing number of regulation on a global scale, because obviously, we have to maintain the technological leadership in all of those applications and adjust it to the increasing number of emission regulations. If we then see the market, we're addressing the market -- or the global market is roundabout GBP 17 billion. It's growing faster than the GDP, driven by megatrends such as urbanization, mobility, higher energy demand.

And if you were to look at the market and split it, it's basically centered around PowerGen, which is close to almost 50% of the market if you were to combine Governmental and Marine. It's what then gives you like the same share of market size for Governmental, Marine, Rail, Mining, Oil & Gas and C&A. And if you were to look at how we are positioned in the marketplace, then basically, we are on the top 3 level where IP and content is very, very important, such as Naval and Defense, Yacht business our mission-critical applications in the PowerGen area where reliability is important and performance is very important. On the other hand, you can see that there are areas of growth that are interesting for us because we have a meaningful footprint already, particularly in the PowerGen application. And that translates into a

very simple strategy. Our core basically is the Naval and Defense business. This is our -- where our DNA comes from. This is where we're strong. This is where we benchmark off the peer group. And we need to maintain this position by all means.

Secondly -- because this doesn't load the factory alone, secondly, we need to grow in high-volume PowerGen applications, it's very strong mission-critical applications such as applications for data center or hospitals, we need to grow in the applications that are continuous PowerGen and standby PowerGen. And we need to grow a service offering. Service is already a very significant part of our business. We need to grow it, thus. And we do that not only by increasing the fleet, obviously, in Naval and Governmental or PowerGen, but we have to selectively invest into industrial applications that are service-intensive and grow our business over there.

And that then forms the pillars of our transformation. Sorry, I need to go back. And then on the other hand, if you ask for our strategic priorities, it's, a, delivering on our transformation program, and I will come to that in a second; secondly, we need to maintain the leadership and technology that has characterized that business for over 100 years. It's crucially important for us. And that means that we have to invest in hybrid solutions. You saw the hybrid train in the beginning of the presentation. We need to invest in gas, we need to invest in systems that's very important to us. And we need to replace our existing product range with succession -- with succeeding products that really fulfill our customers' needs. We need to pursue additional growth opportunities, and that very much alludes to the things that Paul said yesterday. So we have to increase our digital offering and harvest the know-how that is available in the group for us as well as partner up with strategic partnerships as we just did with Yuchai in China with of their -- in the fracking area to offer system competence to our customers.

Talking about the transformation. This picture is just a very simple expression of the 4 modules that actually form our program, RRPS 2018, shaping our future. And it's not only a cost program. It is very much driven by the thought that we have to shape our markets. Basically, our revenue stream, the composition of our revenue stream, the composition of our product because we need to take out complexity of the business in order to cope with the magnitude of applications that we're seeing. But not in every applications we need to be full range, and therefore, this is very important to us. And from there on, actually, we're then streamlining the whole organization by taking cost out, partnering up with other elements of the group to offer shared service solutions. We try to speed up decision-making by bringing decision closer to the business, closer to the markets, and therefore, improve flexibility and resilience. At the same time, we need to shapen our ambitions in the sales and service department. It sounds a little bit technical maybe, but basically, what we're trying to do here is, for example, we're taking down lead times for great engine overhauls by half. Actually achieve that already and we are sure that this will bring us more orders in the years to come in the service department.

And then shaping edges is about -- China just talked about the joint venture that we've just announced with Yuchai, which is about the Series 4000, lowering our cost base on the one hand, order up on the other hand; bringing in more market access for us in a very important market and leverage the opportunities that digital brings industry [indiscernible] brings with it. Actually, that is a huge opportunity for us, as well as for Power Systems because we can leverage on the experience that our colleagues in Aero and Marine have. So leverage digital opportunities and manufacturing and service offering is very important to us. If I'm now taking those elements and transform it into R&D, and actually, Petar Pelemis, our Director for Program -- for Product Strategy, will talk about that in the breakout session. The priorities that this brings along for R&D, and I'll put it in my nonengineering more simple terms, is basically focus on customer requirements, i.e. in improved life cycle cost situation, focus on investments for the lead applications. Lead applications are Governmental; Navy on the one hand, PowerGen on the other hand. Invest in new growth areas such as gas system and hybrids, and offer new services based on digital and system integration offerings.

With that, I hope I was able to talk about the broad and diverse market positioning that Rolls-Royce Power System has. I made clear to you the clear strategic direction that we're following, that the transformation program that we initiated is well underway and first results are already achieved. And the increased focus that we have from limiting, shrinking, focusing on the product portfolio and the discipline that it brings now in the R&D program that Peter will elaborate on in the breakout session.

With that, I thank you very much and hand it over to Mikael on Marine.

Mikael Makinen

President of Marine Business

Thank you. Yes, my name is Mikael Mäkinen. I'm heading the Marine business. I've been with the company for 2.5 years.

Marine. Well, we all know what has happened to the oil price. We all know what's happening to the day rates and so on. But we have to remember a few things. I've been in the business my whole life, and it's a cyclical business. It will come back. It will change. It will add up another type of business. But when it comes back, it will be again a very, very interesting business.

The first slide here is a Hurtigruten cruise vessel. Nothing happens under the offshore market in Norway right now; very, very few projects. But at the same time, our offshore people managed to get an order for Hurtigruten. We have designed the ship. We have done all the propulsion system for it, the whole breach communication systems. Some, very exciting future possibilities of using batteries and so on. So using that knowledge that we have in offshore is not so that it disappears and it cannot be used anywhere. We just have to find other applications for it.

But let's have a look at the market. Yes, I have here a few slides. If you first look at the dotted line on the left-hand side, Clarkson in March, what they said how the market will go down, it will come up later. Six months later, Clarkson is more pessimistic. That's typical in a market, that you don't really know what's happening, where is it going. If you look at the light blue slide, there's a curve, that's the Douglas-Westwood exploration and production spending in offshore. Again, same type of curve, then coming back.

Do I believe that these curves are right? At least the history is right, yes. But I don't think that we will tomorrow see a big upturn in the market. But it will come back. I think it will be a slow kind of a u-turn, coming back, let's say, one year later than this. Exploration & Production will start coming back about one year before we will start to see big orders. Because we have to remember, there are a lot of idle vessels out there right now that will be first fully deployed before you -- before the market turns back.

How was our performance? It's very similar. You can see revenue, profit going down. And that created, in my opinion, both opportunity and the need to do a transformation. Yes, you can say that we are behind the curve. But I think we are taking very, very decisive actions here. You will hear about it in the breakout session later that what we have done, going from 2.5 years ago, we had 27 operational sites, now going down, you will see later, to very, very few. So a big transformation had to happen. Our strategy. As I said earlier, we are very, very good solutions. Very good at complicated solutions, applications, designs for customers. So let's use it in wind power, in Navy, in other types of applications now that offshore is down. So I think we have to protect our unique offering. Don't let that go.

Second thing is talked is Paul Stein talked about digitalization and 4.0, when he talked about Marine 4.0. I think this is a huge opportunity. I think marine is a very conservative market, but I feel that this downturn has led to the fact that we will see marine being in the forefront of something called Marine 4.0, digitalization, reduced group. How do you transfer data from a ship to shore? How do you analyze the data? What do you do with the data and so on? So I think this is very, very big. During my whole lifetime, I haven't seen this big a change. In some literature, it said that the previous change was when the container came about 50 years ago. So there is a big, big change happening in marine market. And I think because of our unique position, then we have the knowledge within the group, whether it's Defense or it's Civil or it's Nuclear or Power Systems, I think we can be one of the forerunners here if we do it right.

The third one, becoming shipshape. We call our transformation program shipshape. Shipshape because it will never stop. Every time when a ship goes out to sea, it has to be shipshape. So it's not a one-time program. We have to drive efficiency. It will never end. We have to take a big boost now and then -- but then we have to continue with it.

The next one is winning the customer engagement. Very important. Don't forget the focus on customers during a big transformation. Don't turn inwards.

Marine. I think that maybe I'll talk about this in the breakout session more. I don't want -- I won't go into all the details here. But as you can see here, it's very much in line with what Paul Stein said yesterday. This is what's happening in Marine. If we do it right, we have very, very exciting projects in development going on here. It's a long-term. It will not create a huge revenue 2017 or 2018. But I think that if we do it right, it will be a winning concept.

What will we look like in Marine? Going from 27 production sites, what will we be? We will have our Naval business based in U.S., based in U.K. We will have innovation, mainly Norway, Finland and Singapore. Those will be our innovation hubs. Those will also be our hubs where we produce very complicated products. And the new capabilities, Eastern Europe where we are already moving some of the high-end engineering to Eastern Europe. We have a big set up in India where we moved the rest of the engineering. And we have a very good facility in Vietnam, which will be our production site for those more commoditized products or components. And then of course, you need route to the market, and that's very much focused on Asia, which is the biggest market for Marine.

So I think that we have responded well to the market challenges, not losing what was good in the company. We continue to lower the fixed cost base. I think that, that's a must. I don't think we were as flexible as we could have been. In a cyclical market, you have to take it down to a certain level, and then you can always take care of the better market conditions.

And focused investment. I also want to focus investment on those products that will create a future, not just spreading the investments all over. So that means that some of the products will not have as much investment. Some of the products we will maybe stop over time, use them as cash cows, and then they are phased out.

So with this verse, thank you very much. And now, it's over to Harry.

Harry Holt

Chief People Officer

Thank you, Mikael. I say good morning, everyone, I'm Harry Holt. I'm President of the Nuclear business. And I'll give you a very brief overview of the business before leaving you with some of the key messages that I want you to take away from the breakout sessions that we've got later on.

So the Nuclear business addresses both the Defense and the Civil market. So in Defense, we're the sole supplier of the Nuclear steam raising plant for all the Royal Navy submarines, and we've been doing that for nay on 60 years. And in the Civil market, we provide safety-critical instrumentation and control systems and a range of other products and services, from engineering support through their licensing process, through to the supply of high-value components and systems on the Nuclear island, and all the way through to service support during the operational life of a reactor across many of the world's Civil Nuclear power plants. And we've been doing that for 10 to 20 years. So a slightly more recent journey in the Civil side of our business compared to Defense.

The revenue split is 80% in the Defense business, 20% in the Civil business. And as you can see, we're split roughly 40% OE and 60% services across both sides of the business. Both sides have grown strongly over the last 6 to 7 years. And as a sector, we have trebled in size since 2009.

So our submarines business, and you'll hear more about this later on, we design, we manufacture and we provide, through-life service support as a technical authority for the Nuclear reactors on the Royal Navy's fleet of submarines. And at the moment, that fleet consists of 4 Vanguard-class deterrent missile submarines, providing the U.K.'s continuous at sea deterrent, and 7 hunter-killer or attack submarines currently 4 of the old Trafalgar Class boats and 3 of the brand-new Astute boats. Now both these submarines provide a strategic capability for the nation. The Vanguard class of submarines is obviously our ultimate guarantee of security. But the other boats, the attack boats, also provide a range of strategic defense tasks for the nation, including the anonymity of the deterrent, keeping open our sea lines of communication, strategic national intelligence gathering and support to covert operations. And the reason for mentioning that is it gives this business relevant -- strategic relevance at the very highest levels and it's resulted in a largely customer-funded business model that's very predictable and stable,

offering pretty -- attractive financial returns, and of course, it provides the bedrock on which we can grow our Civil Nuclear ambitions.

So on to the Civil Nuclear market, everyone's aware of the world's increasing demand for energy. You all heard Paul talk last night about electricity being great stuff, I think he said. And most forecasters predict that the world's demand for electricity will increase by well over 60% in the next 20 or so years. How that electricity is actually generated depends on a number of things. It depends clearly on the relative economics of energy technologies. It depends on the makeup of the power market. It depends increasingly on government legislation around emission control and energy security. But one thing everyone's agreed on is that low carbon electricity will form an increasing proportion of that energy mix. And all respected forecasters expect nuclear energy generation to be a steward that sector providing a safe, secure, reliable, continuous carbon-free baseload power. And that results in a market of about 80 billion per annum across the next 20 or so years.

Now that market covers the entire life cycle, from uranium mining, all the way through to the Civil construction of a power plant and the operating -- and the operation of that power plant. And we as a company have capabilities that address about 25% of that overall market. In big chunks, the things that we don't do are, obviously, uranium mining, fuel processes -- fuel processing and fuel fabrication. We're not involved in the Civil side of the construction of our nuclear power plant. And obviously, we're not involved in the actual operation of that power plant throughout its 60 to 80-year life cycle. So we have an addressable market of some 20 billion per annum. And then there's some other genuine constraints that we have to work within that bring that target market down to about 5.5 billion per annum. One of those constraints is a geopolitical one. We clearly can't do business with countries that don't have a Nuclear cooperation agreement with the U.K. That rules out, for example, India. And many of our utility customers have in-house capability, in particular, engineering, which is not necessarily fixed in stone but provides, in the short-term, at least a little bit of a constraint on the available target market size for our business.

We address that market in 3 major areas. First of all, in newbuild where our geographic focus is here in the U.K., supporting the U.K.'s ambitious newbuild program. Secondly, in -- through-life service support where the geographic focus is in North America and Western Europe, which has over 50% of the world's current operating Nuclear reactors. And then the final area is modernization and upgrade projects retrofitting in particular safety-critical control systems where the geographic focus is again in Western Europe and North America, and at the moment, a particular project that we're running in Finland.

So as you go into the breakout sessions and come to my session on engineering excellence, there's a number of key messages that I want you to take away. First of all, our Defense capability, and of course, some of this is classified. So I'm slightly restricted in what I can and can't say, but it's a genuinely unique national capability that we have. And we have nay on 60 years of experience in designing, manufacturing and providing through-life service support for nuclear reactors that have powered the Royal Navy's fleet of submarines successfully for the last several decades. That does provide a strategic relevance at the highest levels. It does result in a largely customer-funded business model that's predictable, stable and offers pretty attractive financial returns. And of course, it gives us a bedrock of capability and credibility that we can leverage for growth in the Civil Nuclear market. That market in the Civil application of Nuclear power is very substantial. It is growing. And if you look at it across all phases of the life cycle, it's pretty resilient.

We have grown capabilities over the last few years to address that. Particularly in newbuild and in through-life service support and in major modernization projections, and that offers us attractive opportunities for organic growth, and we believe we've created the platform for further optionality around growth options in the Civil market beyond that. Thank you.

D. Warren A. East

CEO & Executive Director

So very much on a whistle stop to all of the businesses. And hopefully, a little bit of a clue as to some of the things you're going to be getting from the breakout sessions that now follow. So our intention here is to get you on your feet a little bit. Some of it will be here in this room. But other rooms will be used the hotel, so you'll be moving around from place to place. The intention is to give you more of an insight

as both Warren and the business presidents have said around what they're doing to drive engineering excellence, operational excellence and aftermarket excellence within the business. What we're going to do is divide you up into groups. So on your badges, you will find the colored dot. So about the investors and analysts and the audience -- I'm afraid advisors aren't included in this because the capacity is limited. We've divided you up into 4 groups of roughly 20. You'll have a chance to go from place to place. You'll start off in these rooms, so depending on the color of your dot. If you've got a blue dot, your host in my IR team is Ross Hawley. And you'll start off, as it shows on this diagram, in the drawing room.

So follow the structure. We're going to sequence you through every 40 minutes. We'll allow little bit of time in between for natural breaks, but about 5 minutes to get from place to place. And during the course of this session, you'll also have a chance to have lunch back in the main restaurant.

So hopefully, a fairly balanced agenda. One of the sessions will be in here to do IFRS 15. Please, when you're in this session, use the table to the front. That will make it a little bit more engaging for the speakers and give you a chance to ask questions. We've got a microphone and so on and so forth.

In the other rooms, I'm afraid there's a bit of standing, there's a little bit of sitting. And of course, there's a bit of food. So that's the intention. We're running about 15 minutes late, which is not a big deal. No discredit to any of the speakers. We've started off late and we're finishing late and so be it. But the sequence basically follows this depending on your colored badge, so take your pack with you and you would have this as reference, but add roughly 15 minutes to the time for each session when it starts. So if you decide to go off to do something else, please rejoin. You will find it a very interesting and very engaging 3-hour session.

Thank you very much. I will let you gather in the rooms that you got to go to. Have fun.

[Break]

John Dawson

Former Director of Investor Relations

Okay. Welcome back, everybody. There are a couple of people -- I think one of them is not here, but I was going to just introduce as well, that joining us, say, they'll probably prefer to remain anonymous, but: Neil Julliver [ph], who's been leading the whole IFRS 15 task force within the company; Will Mansfield who's a real technical accounting expert. So if I get stuck then, I can call on one of those two. And obviously, Andrew Dickinson, who is going to be co-presenting with me. So welcome back. To those on the webcast, I'm repeating this IFRS 15 breakout session 4 times today. They're only going to webcast once, as we're using the same material for each group.

In this workshop, I'm going to briefly run through some of the slides I took you through earlier, and then I'm going to hand over to Andrew Dickinson, CFO of our Civil Aerospace Division. He'll be taking you through examples of how IFRS 15 differs to current GAAP and then try to help you think about how to model the business in the future.

So I've mentioned before, whilst the aim here is to give as much as directional guide us as we can. Please recognize that we can't be definitive as how to -- how it will work exactly before we actually implement IFRS 15 in 2018.

So as a quick recap, I explained earlier the removal of CARs in linked accounting. This impact will be -- this impact is significant in terms of non-cash adjustments to OE revenue and profit, and these will be particularly felt in the near term given the current engine unit losses. But there is no change to overall profit achieved over the engine life and, of course, no change to cash flow.

This slide is also to help you think about how to model the different elements of our revenue. The application of the new standard requires us to treat our contracts with airframes and airlines as independent, even though the economic substance of the overall transaction is to generate overall positive cash returns from the combined arrangement. So the standard removes the option of capitalizing cash losses that we make when we sell as an installed engine and spending it over the lifetime of the aftermarket contract. As a consequence, around half of our current civil OE revenues are quite significantly

impacted. For the rest of the business, the application will not really change the way we report principally as they generate positive OE cash margins today and hence, there's no need to capitalize upfront losses. And this includes spare engines, business jet engines and the V2500 modules, which we will continue to report it pretty well on the same basis as they are today.

And in the aftermarket, roughly 1/3 or so of our revenues come from Time & Materials style arrangements, which will continue to be reported in the same way, given there's no long-term contract. It's really in our pace, you go flying our base long-term service contracts, where we switch to a cost of shop visit recognition basis where we'll see the change. And this is because currently, we recognize more revenue and initially also the agreements, move the margin, and that's going to be deferred under IFRS 15.

So when adding OE and aftermarket together, getting on for half of our revenues would be impacted, while the other half remain broadly unchanged. So this is again is the same slide as before. It illustrates the level of adjustments between IFRS 15 and current GAAP for OE that we would have seen in 2015 if we'd applied this standard then. The largest item is the GBP 370 million, which represents the aftermarket profit pulled ahead into OE contracts on linked contracts, and that were introduced under IFRS 15 as we're no longer linked, the 2 contracts. And then the other items are the cash losses of installed engines, the GBP 150 million is a loss from linked and GBP 161 million from unlinked contracts, and that in the future will be a single combined figure.

On the positive side, there's no -- there is an annual benefit to the profit line through not amortizing CARs in IFRS 15. Note that in 2015, we also had a GBP 65 million one-off benefit release from a CARs related provision, if you remember, on the launch of Trent 1000's. Neither provision nor release would have to existed on the IFRS 15 because we'd have already taken a cash loss through the income statement when the engines were sold.

So moving now to the aftermarket. The GBP 268 million at the top is a positive effect under IFRS 15 of not having linked contracts and therefore, having to unwind the aftermarket profit that's already been pulled ahead into the OE sale as we move through the aftermarket contract. In 2015, we changed the way we provisioned risk against our positive long-term contract balances. And if you remember, this gave us a 189 benefit. That GBP 136 million negative you see here, is the reduction in that benefit we'd have seen under the new standard, because we wouldn't have been linked -- linking that contract and that contract balances would've been so much smaller and, therefore, the adjustments are smaller as well.

Conversely, we had also seen a lower level of positive catch-up adjustments in areas such as life cycle cost improvements under IFRS 15. Again largely because we wouldn't have that linked accounting. So finally, the change from a flying hours to a cost activity basis of recognizing revenue and profit in the aftermarket is quite complex. Andrew's going to explain how this works in a bit more detail in a few minutes.

And then the final slide here, again, helps you appreciate the magnitude of balance sheet transition adjustments by the time we come to do the actual adjustments for the opening 2017 balance sheet. Clearly, the actual impact will be different as we will have completed another year of trading and have a higher CARs and TotalCare net asset balance, for instance. But as I said earlier, this is on a pretax basis, including there will be a tax effect, and I would suggest for modeling, you use the tax rate you're already using, something in the 20% to 25% range should be appropriate.

I think -- if I think about how the balance sheet develops going forward under IFRS 15, as opposed to the initial adjustment itself, it will be the deferred revenue creditor now, which grows as we receive cash from flying our payments ahead of recognizing profit. And then, looks further ahead. It's going to a while, therefore, between -- before revenue and profit recognition under the IFRS 15 standard for OE moves ahead of current GAAP, but that GAAP will narrow over time as we reduce the unit engine costs. In the aftermarket, it's fleet maturity that will lead to reporting under IFRS 15, moving to positive territory versus current GAAP. And this reflects the fact that we will be catching up in profit terms around the time of the second service of most engines. So the more mature the fleet, the higher the level of servicing, and therefore, the higher the reported margins. However, there is some near-term upside. The absence of linked accounting under IFRS 15 also means no, on wine I've already said, [indiscernible] had profit

against the aftermarket and therefore, we'd expect to see our aftermarket revenue and profit under IFRS 15 becoming greater than under current GAAP before the middle of the next decade.

And now I'm going to hand over to Andrew for the next section.

Andrew Heath

Former President of Energy

Thank you, David. Good morning, everybody. So we've seen some of the IFRS principles this morning. What I'd like to do in my presentation is actually just take some of those principles and just use them in some practical examples, so you can see how we think of IFRS 15, and maybe give some indication how we can actually model the business going forward. So I say, so I'll go through some examples, and then we'll go through some modeling on some engine-specific projects that we've done.

An example I've got here is a very simple example. There are some more detailed examples laid out in your packs. But what I'm looking at here is an example where we have a gross revenue of GBP 100 million, we have a concession of GBP 60 million at a net revenue of GBP 40 million with a cost base of GBP 50 million. So under our current accounting, and this is an unlinked example under our current accounting, what we're doing today is the cost of sale would remain unchanged at GBP 50 million. We would actually gross up the revenue to equal to GBP 50 million and show a 0 margin at point of OE sale. And that GBP 10 million that we grossed up, we would create a contractual aftermarket rights and we would amortize over 15 years.

Under IFRS 15, because we're no longer creating Contractual Aftermarket Rights, we will now recognize that GBP 10 million cash loss in year, as you can see, an example in the bottom left. So I think it's important to know that because we are no longer linking contracts and we're seeing airframer contracts, there's distinct contracts that we have with the customers, with the airlines, that all OE sales effectively will be treated in this manner under IFRS 15. So whether they were previously linked or unlinked, this is how we will account on them going forward under IFRS 15, and in the manner that all OE profits and losses will be recognized at the point of OE sale. And I think we hopefully believe that this will significantly improve the transparency in our accounting around in the OE, because it's pretty much, is just cash accounting on the net revenue versus what the cost of the engine is when we sold it at point of sale.

Aftermarket. This is not so straightforward as OE. So we are moving from a revenue recognition on a, flying our basis, which, does today occurs smoothly over the contract period. And we're removing to a position of revenue recognition on an input basis or on a cost basis. So this will mean that our revenue will no longer be linear over the contract period. So the example that I've got on the screen here, for illustrative purposes, I presented a contract period that has 2 engine shop visits in it. Approximately about 20% of our costs occur outside of the shop visits and those we will continue to recognize this cost in revenue on an ongoing basis, and you can see this depicted in the diagram here between start of contract, so where the shop visits occur. So this is this cost that we incur for engine health monitoring, operational service desk, lease engine, cost provision. So these are ongoing costs that we will see throughout the contract.

The balance of the revenue though, and the profit will be recognized at timing of shop visit. So in this 2 visit -- this 2 short visit example, you can see that revenue recognition profile increasing at first shop visit and the second shop visit. And we just put for some help here that in terms of the cost of the shop visits, we see the cost of the second shop visit, about 1.2x the cost of the first shop visit. You will also notice in this example that there is an inflection point between current accounting and IFRS 15, around the time of that second shop visit. So we expect second shop visits to occur between years 8 and years 12, depending on what operation the airline is using the engines. And therefore, the portfolio level, we do see a correlation between this inflection point on the maturity of the fleet.

So with that correlation in mind, this table shows our view to choosing the selection of some of the large engine fleets and looking forward at their fleet maturity levels. So starting at the top with the Trent 700. The fleet today has an average age of 8 years, and by 2030, will have an average age of about 20 years. And the bottom line on this chart is XWB. So this engine has only just entered into service, and is steadily increasing new engine output volume, ramping up over the next few years, or the next 5 years. And based

on our current estimates will reach an average age of 10 years of fleet maturity by 2030. So we've seen some examples of how we'd see OE being accounted for under our IFRS 15. When I look at some of the revenue recognition or aftermarket under IFRS 15, what I'd like to finish on really, just taking a couple of engine projects or taking the Trent 700 and Trent XWB, and actually walking through those two engine projects and just seeing the differences between current accounting and IFRS 15.

So on the first thing, I'd just like to point out that the legend on here is Trent 700. This has been updating on the screen, and I think in your packs it says XWB, but this is a Trent 700 example. So let's start with OE, which are the bottom 2 lines on here. The dotted line is current accounting, the hardline is IFRS 15. So you can see on the current accounting that we are making profit, that is because of the linked accounting that we're applying predominantly on the Trent 700 contracts. And as we switch to IFRS 15, we will start to recognize cash losses at point of sale, which is why the hardline falls under the 0 y-axis here. It is worth noting though, that historically, we have made profit on the Trent 700 on OE and that cash losses that you see here are a reflection of the price reductions that we've given to secure end-of-life volume on this program.

On aftermarket, which are the darker lines, the dotted line again being current accounting, the hardline being IFRS 15, we see the Trent 700 having a pull forward on revenue recognition under IFRS 15 and this is driven by 2 reasons. One is the average age of the Trent fleet, so total by this average age of 8 years today. And the other reason is, that it benefits from the absence of amortization from previously linked profit on OE. If I then look finally to XWB example. Again, starting with OE. We see small losses under current accounting. I guess these are reflecting amortization of historical cash losses and sale of the spares engines. And you see under IFRS 15, on the current accounting on the hard turquoise line here, that as we start to see the cash losses on these engines that we've talked about previously, and the comparison here to current accounting will narrow as we improve our drive on cost reduction and move away from launch pricing on the XWB.

On the aftermarket, however, due to the age of the fleet, we will see a revenue and profit drag on the XWB in the near term. And this, importantly, will self-correct as the engine portfolio matures, just as we've seen on the Trent 700 program.

So in summary, as we mentioned previously, we will see significant non-cash adjustments to OE and aftermarket revenue and profit, and these are influenced by high-volume, new engine programs, and as we go on market share from the 30% today to the 50% on wide-body over the course of the next 5 to 6 years. There is no change to profit over the life cycle of the contract. It's just a different timing of recognition of that profit and there is absolutely no change to the cash flow and the years that, that cash flow falls over this change to IFRS 15.

So that concludes my presentation. And I guess, we're opening the floor to Q&A now, Helen, [ph] yes?

Question and Answer

Unknown Attendee

Maybe, starting off with that Slide 15, the one with the Trent XWB margin. That looks like a pretty punchy margin for OE engine deliveries. I mean how does that compare versus history, in terms of mature Trent engines? You've been able to get up to that sort of level. That's the first one.

Andrew Heath

Former President of Energy

Yes. So on the current accounting, this chart is very much recognized in the sale of spares that we do through the contract life cycle as well, so the current accounting, we'll be recognizing 0 margin on the installed fleet. So this is just a growth of the fleet and the spares percentage that we sell through the life cycle of that fleet.

Unknown Attendee

But if I'm looking at the right line, Trent XWB OE IFRS, it's a right mouthful, that implies still a pretty healthy cash and profit margin on OE deliveries for XW when we get out into 2024. How does that look versus -- hello? How does that look versus what you've seen on older Trent engines, on the A330 and things like that?

Andrew Heath

Former President of Energy

Yes, so, it's reflective of what we've seen on the Trent 700 historically, when the program was at the level of maturity. So it's historically reflective of what we've achieved.

John Dawson

Former Director of Investor Relations

It's really the last couple of years where we've had the CEO run a program that's declined both, I think, on the other chart, you can see it's come up quite a bit, but it was at much high levels, going back 2 or 3 years.

Unknown Attendee

Right. So it's like you're -- it's not blue sky thinking.

Andrew Heath

Former President of Energy

We're not doing anything differently. No.

Unknown Attendee

Yes, okay. And then secondly, I know it's an issue at the moment, but how are you going to treat risk revenue-sharing contributions by suppliers going forward?

Unknown Executive

Yes. So I think we said there'll be no change to the cash flow that we have on risk and revenue sharing partners. Again, there will be a difference to the timing. So today, because we've smoothed the margin over the contract period under IFRS 15, we'll be recognizing the RSP contribution as a cost out shop visit. So we're taking that cost out shop visit and taking a margin on that out of shop visit, but there'll be no change to the cash flows or to the commercial construct that we have with the RSP partners.

David Miles Smith

Former Chief Financial Officer and Executive Director

So relatively small effect today, I think it's within the lines that we showed. It's within the aftermarket timing difference, effectively. So it's relatively small today. It will grow with the XWB delivery profile, because as I think everybody knows, XWB actually has, yes, quite a high proportion of RRSPs. And I think by the time we get out to sort of the early 2020s, it becomes a relatively significant part of the aftermarket gap, but it's quite small at the moment. So the basic principle is, we're treating it exactly the same, which is, we will spread the RRSP effects on effectively short visit input cost, as opposed to linking it to falling asset today.

David Howard Perry

JP Morgan Chase & Co, Research Division

David, Andrew. David Perry over here. I've got 1 sort of technical question and sort of conceptual question. And just -- the one number that surprised me, and I think your legend's quite clever. If these were numbers we knew, these were numbers we could have inferred. And these are things that are totally new. The one that's really surprised me is the numbers we could have inferred, but which have come out a bit different, the one that is surprisingly low to me, is the amortization of prior year concessions. So 2 questions on that: One is, just how many years are you amortizing those concessions over? And secondly, I think a lot of us have inferred that number wrongly. I'm just wondering why we couldn't see that or back that out from the sort of total care numbers you are giving at the end of this year. So sort of question 1, A and B, I'll come back to question 2.

David Miles Smith

Former Chief Financial Officer and Executive Director

So you're talking about the GBP 268 million?

David Howard Perry

JP Morgan Chase & Co, Research Division

Yes, the GBP 268 million, because I thought that number would be close to GBP 500 million.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, and I think that included -- when we did that, let me just get my little awkward sheet. So what we have within that was also in retrospect of adjustments also. So it was getting mixed in with the whole cost reduction and any other retrospective adjustments as well, which was the GBP 521 million, was it, that we gave you. Yes, GBP 521 million, I think.

David Howard Perry

JP Morgan Chase & Co, Research Division

I guess, just making the question simpler, how many years have you amortized these concessions over? I've had mine a little estimates. I was just using 10 years, maybe it's much more.

Unknown Executive

It's over the, whatever the contract period is, whatever the term of the contract is, so it will vary customer by customer. So on average, between 10 to 12 years.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay, all right. And then my other question, maybe a bit more conceptual is, the mantra we keep hearing all through the morning is, these accounting changes don't affect cash. But we all build cash flow statements to start with a profit number, and it -- almost certainly, your profit will be lower than most of us thought in -- for 2018, given what we've learned this morning. So why wouldn't profit expectations that we all have in this room not be lower than we thought, prior to today?

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, I think we are. I mean they -- the chart where we're showing the OE and the aftermarket, if you take those 2 together, it says in 2015, we would have been GBP 900 million lower. We don't get to a point where that gap closes until the early 2020s. The point is then, when you work through all the cash adjustments to cash flow, the bottom line stays the same. So it's that movement between profit and cash flow that's changing. So no CARs adjustments, no total credit growth adjustments, all of those things are changing. So we end up with the same bottom place for cash flow. The starting point is different and the movements within it are different as well.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay, so just -- last one for me. And there was a sell side dinner, think a lot of the people in this room were there, just after the H1 numbers and I think someone asked you, could you do GBP 750 million of free cash in '19. And you said, you'd hope to do, if anything, a lot better than that. Do you stand by that?

David Miles Smith

Former Chief Financial Officer and Executive Director

So somebody asked me this morning, I think about the GBP 500 million that's effectively in our LTIP. The GBP 500 million for 2018 that's in our LTIP, that still is the plan, in terms of what we're trying to get to, consistent with our own internal incentive targets, which will clearly imply further growth in '19 and '20, beyond that.

Unknown Attendee

David, I'm sorry, if you can go back to Slide 41, which is the cash flow chart. I don't know if you can talk -- yes from this morning, is that all right, just to touch on that?

David Miles Smith

Former Chief Financial Officer and Executive Director

I don't know if I can bring that one up.

Unknown Attendee

Is that yours or not? I can leave it to later, if that's not allowed.

David Miles Smith

Former Chief Financial Officer and Executive Director

No, it's fine. But I don't know if we've got the presentation at the moment.

Unknown Analyst

All right. Well, it's basically the one that has all sorts of arrows in it?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, yes.

Unknown Attendee

And I was just wondering if you could just talk through practically, what's going on there with CapEx, property plant equipment and the directions there? And also, working capital.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. So in terms of the PP and other intangibles, the other intangibles is actually the important bit of that. So that's the 1 that's really moving. And effectively, what we're going through at the moment is the peak of the 97K and other programs that we're delivering in 2017. We're actually capitalizing now, the majority of the spend there. So what we're seeing is therefore a peak in capitalization of intangibles, which clearly

means when we do the cash movement -- so that will have improved profits further, when we then have to adjust them to cash flow, it effectively means it's a negative effect. That begins to turn around once we've launched those engines, because we stopped capitalizing, roughly at the point maybe a little bit after the aircraft goes into service. So all 3 of the programs that we're working on at the moment, the 97K, the Dash 10 and the Trent 7000 are all due to go into service next year, all towards the right at the end of the year. So we'll start seeing when we get to 2018. Therefore, that will no longer be a big effect. In fact, it'll be going in the other direction by then. So it is really the intangibles as opposed to CapEx that's really driving that. So helping, yes.

Unknown Attendee

And the one about capital direction.

David Miles Smith

Former Chief Financial Officer and Executive Director

Sorry. Yes, so one of the things that we -- so when we think about working capital, we're talking about really, trade stuff. So inventory trade payables, trade receivables and importantly actually, customer deposits as well. So we are trying to drive improvements in cash flow clearly from inventory. It's a bit difficult while we're going through this ramp period. And particularly, that's probably being something that we haven't made as much progress as we would have liked this year, because we've had to pull back a little bit, on XWB, for instance. But certainly, that is quite an important part of our cash plan in 2017, put together, quite a big improvement in inventory. And then just the net of deposits, payables and receivables as being -- we think will be a bit positive this year, and a little bit positive next year. But it's really the inventory that's going to primarily improve 2017. Once we get into 2018, although we're still going to be improving inventory turns, the, just the size of the production increase means that the absolute, will still be a negative on cash at that point. Well, back to David. Is anybody else -- sorry, it isn't David. Sorry. You're right in the right side.

David Howard Perry

JP Morgan Chase & Co, Research Division

Back to Slide 15, which is the XWB margin chart. So the question is, why is there such a lag in the catch-up on the services margin? So if we look at the solid blue line, it's quite a long way below the current method, almost 10 years out, give -- and we're saying conceptually that IFRS 15 services line is more profitable.

David Miles Smith

Former Chief Financial Officer and Executive Director

So if we just go back to the installed base slide. So this is the really an important thing, but actually because we are still delivering a load of XWBs and a growing number, actually the average age of that fleet isn't increasing very much at all through 2024. You can see it's actually still, sort of 2 to 3 years. What Andrew said is, this becomes -- when we get to a point where the average fleet age is roughly about the same as where the second service occurs, then you'd expect those 2 lines to be at the same point. But we're not going to get there until we get out here. So those lines will continue to diverge for a bit, and then they will start to come together once we get to the point where the average fleet age is roughly about the same as where the second service occurs. Does that make sense?

Andrew Heath

Former President of Energy

Just out to David's point. So on the chart, same problem as Warren. As you can see, the very light, dotted line at the bottom, and you can see in 2024, the average age of the fleet is still only 2 years. Yes. And then, if I go back to this chart here, so you can see versus current accounting, if we think the first shop visit is between years 4 and years 6, and under today's accounting, we are -- we're collecting revenue from day 1. And so if the average age of the fleet is still only 2 years, we're not collecting anything apart from the ongoing, this 20% of cost that is outside of the shop visit. So that's why there are these certain breakpoints you see in these revenue recognitions, around 4 to 6 years in terms of where the average age

of the fleet is, at around 8 to 12 years, where the average age of the fleet is, and we see this infection point under current accounting versus IFRS 15 around where the second shop visit is.

David Howard Perry

JP Morgan Chase & Co, Research Division

But we're correct to think that the slope of the IFRS services line is steeper than the current method because we're not taken profits forward, right? So it just, it crosses the line further away than we thought, is I guess, my point.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. On XWB in particular, it's particularly acute. On Trent 700, we're virtually there already. So it's very temporary, that effect. And the reason for that is, we're coming towards the peak of shop visits on Trent 700 over the next sort of 5 or 6 years, I think, we get it back the peak on shop visits on the Trent 700.

Unknown Attendee

On Slide 42, it says that under unlinked, under IFRS 15, it must be with the same customer. I'm assuming that' the aftermarket and the OE. I thought that, that was all with the same customer, and unlinked wasn't. Can you just explain that nuance? Is there -- are there contracts that are not with the same customer, that are currently being booked and linked? What would that circumstance be?

Andrew Heath

Former President of Energy

What this is referring to is the contracts we would have with the airframer, so be it Boeing or Airbus, contracts that we would have with the airline for the aftermarket. So we're saying under IFRS 15, we are treating these substantially as separate contracts now. And so we're no longer linking the OE and the aftermarket together under IFRS 15.

Unknown Attendee

I may have misunderstood, I thought if there they were separate customers, that's what unlinked was.

David Miles Smith

Former Chief Financial Officer and Executive Director

So I think the basic principle is, we're not going to be linking. The standard I think technically, will maybe -- help me here, but would allow you to do some sort of form, but you have to make various tests, so we're not -- we've basically just taken the decision not to link anything, in any case.

Unknown Executive

Under current grounds, yes we are present on IF 18. But we have allowed the different [indiscernible] sales of the airframer are also sales to the end customer, which in substance is the same customer in the end. [indiscernible]

IFRS 15 is much more [indiscernible] . You have to look at the real -- the individual contracts that you have, and therefore if they are actually legally with different parties, that the opportunity to link goes away.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. So it would only be, if we were selling to Airbus, and they were operating the aircraft, which may happen in a few [indiscernible], I don't know, but where that would occur soon.

Unknown Attendee

And then you also mentioned that you were deferring over the average life under the length, the 10 to 12 years, and under other unlinked, is it, was it the same [indiscernible]

David Miles Smith

Former Chief Financial Officer and Executive Director

Under the CARs balance, I think we deferred 15 years, yes.

Unknown Attendee

And what accounts for the difference?

David Miles Smith

Former Chief Financial Officer and Executive Director

The 15 was -- in a way, a sort of conservative view on the lifetime of that engine. Clearly, we know the average is 25 years, but it was a slightly conservative view on that.

Unknown Attendee

Just to clarify, on Page 12. The overhauls take place at 4 to 6 years, and not 10 to 12 years, is your assumption, is that correct?

Unknown Executive

Yes, 8 to 12, yes.

David Miles Smith

Former Chief Financial Officer and Executive Director

So one of the slightly perverse effects, unfortunately, of the enhancing is, the further we push our overhauls by improving time on wing or the more we can take out our cost, actually the rest, revenue and profit, we book or it happens further out. But that's something we just have to accommodate. But it's still the right thing to do, from our point of view.

Unknown Attendee

Okay, just two questions there. If I could, just on the OE part, you sort of said that the average losses are GBP 1 million to GBP 2 million, and then you've talked about where you think that will go for the XWB. Can you just talk about where you think the average OE cash losses will trend for the overall portfolio?

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, I think by the time that we've eliminated the XWB losses, which will include the 97K within a year or 2, I think, of the 84k. Really, it's already going to be the Trent 1000 of any significance, I think, and probably Trent 7000s are, a bit -- that will have losses. So for the overall portfolio, I don't know, do you know?

Unknown Executive

No.

David Miles Smith

Former Chief Financial Officer and Executive Director

But they ought to be positive when we take spare engines into account, I always thought.

Unknown Attendee

And then on the aftermarket, can you see the cash is leading the profit recognition under IFRS 15. Can you just sort of talk about what that gap is, and how and when it closes?

David Miles Smith

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Former Chief Financial Officer and Executive Director

So effectively, that is the -- when we look at the balance sheet slide, the 0.9 is the creditor that we're effectively going to create through that. That will grow over time. And it will only start closing at the point where we reached this, the honor of the average portfolio being about the same as the average or where the second service is. So we're going to have a -- quite a long period where, to everybody's delight, will have a growing total care admit creditor, as opposed to having a growing total care net debt, so that will be -- if you model that, that's what we would expect to see. But that creditor will increase over time.

Unknown Attendee

And the [indiscernible] very helpful guiding on the net debt [indiscernible]. Could you offer any guidance on the creditor?

David Miles Smith

Former Chief Financial Officer and Executive Director

[indiscernible] what I'm saying. I think it won't be until that aftermarket catches up, that we'll actually, for a whole portfolio. So that's, I think it must be in the 2030s, but I'm not sure that we've actually modeled it. But by intuition, that's going to be in the 2030s.

Unknown Attendee

Two questions. First of all, have you gone through each and every contract to get to those numbers, or is it a statistical way of approaching the issue? That's my first question. My second question is on Slide 50. If the graph is rightly measured, we can assume then, that in '18, you are half -- you are getting half the losses of '15 on OE, so possibly GBP 300 million instead of GBP 700 plus million. Does it -- is it right, and does it imply that the XWB engine will be breakeven on OE at that time?

David Miles Smith

Former Chief Financial Officer and Executive Director

So remember, the numbers will also include spare engines, so that helps, if you like, in terms of the overall cash loss a bit. But as we've said before, XWB should -- we are planning on that breaking even by the end of the decade on a, just the OE nonspare engine bit. The first part of the question...

Andrew Heath

Former President of Energy

Yes, in terms of remodel, come to terms, we'll try to give you some general guiding principles. I mean clearly, there are always exceptions to rules. So if you think around where we've had let's say on the Trent 1000, where we've had some earlier shop visits, unexpected then, that profile will behave slightly different to what we've shown here, but we'll try to give you a picture of this is how it generally behaves, and how we see it modeling going forward and we have looked at that on a contract by contract basis, but there are exceptions, as always.

David Miles Smith

Former Chief Financial Officer and Executive Director

Okay. Thank you. Thank you, everybody.

Andrew Heath

Former President of Energy

Thank you.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2016 Earnings Call Transcripts

Thursday, July 28, 2016 7:45 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2016-	-FH2 2016-		-FY 2016-	-FY 2017-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	CONSENSUS
EPS Normalized	0.03	0.23	▲18.18	0.27	0.34
Revenue (mm)	6083.10	6887.67	▲7.19	13275.05	13839.09

Currency: GBP

Consensus as of Jul-28-2016 8:09 AM GMT

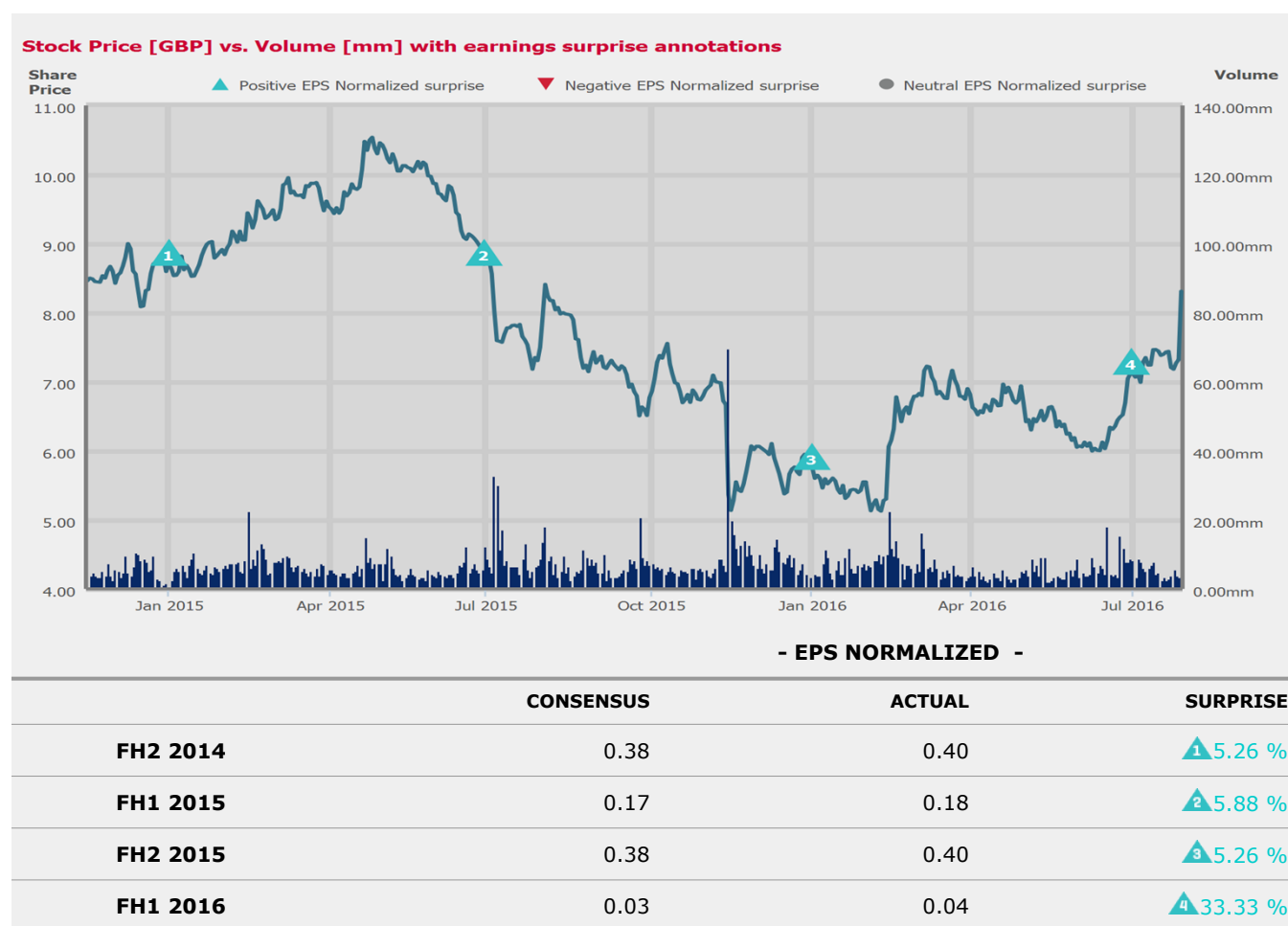


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Call Participants

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Presentation

John Dawson

Former Director of Investor Relations

Good morning, everybody, and welcome to Rolls-Royce's First Half Results for 2016. My name is John Dawson. I'm the Head of Investor Relations of Rolls-Royce. And with me here today are Warren East, our Chief Executive Officer; and David Smith, our CFO.

Our agenda today is as follows. Warren will kick off with some highlights of the first half, David will then run through the financials in more detail before Warren then returns to take you through some comments on our transformation agenda and priorities for the second half of the year. The presentation should last around 35 minutes, and we'll have plenty of time for questions afterwards. We are conscious you need to be away by about 10:00 to go on to your next meeting, so we'll try and make sure that finishes on time.

Before I hand you over to Warren, let me just remind you of a few housekeeping matters. We are presenting the webcast today -- the presentations today as a webcast as well, and we will be able to take questions for those of you joining us on the webcast. Please submit your questions online and we'll make sure they're asked in the room if they haven't been asked already, or follow it up afterwards if we do not have time. Please turn off your mobile devices out of courtesy to the speakers.

And finally, we will be including forward-looking statements in our presentation. Please refer to the slide in your pack about that. Numbers will be on a constant currency basis, unless stated, and that includes our comments on guidance as well.

With that, I'll hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Good. Thank you very much, John. Well, as he says, good morning, everybody, and thank you for coming. And we do understand that it's a very busy day for results today, and you've come along to share some of that time with us, so that's very much appreciated. Thank you.

Now those of you who can remember, this is roughly where I left off in February when talking about our full year results for 2015, and we're going to stick with the same framework for talking about our results this morning. The framework here is the priorities that I set for 2016, and I'm going to sort of start off now and after talking a little bit about the business, talk about restructuring. And then I'll pick up with the other priorities here when I come back in a few moments after David has run us through some numbers.

So for the group as a whole, the first half of 2016, I'd say, it's been a steady start. Actually, the business is a little bit better than we expected for profit and cash in terms of the absolute numbers as of the end of June. That is largely due to timing of certain deliveries in our large Civil business and a little bit in Defense as well. And we're saying this morning that our expectations for the full year remain absolutely as they were, which means we've still got a lot to do in the second half.

However, we remain confident in those expectations for the full year. It's driven by the schedule of production and deliveries in our Civil business; the timing of a few specific Defense contracts; and also, fortunately, the benefit of some of the restructuring activities and simplification activities that we're starting to do, some of those benefits starting to come through. And that's all pretty much in line with what I said at the beginning of May in -- at our AGM.

So now we'll just have a quick look at the business, some of the highlights from the first half of the year. I'll start off with our activities in Civil Aerospace. Looking to new engine programs, these are engines which are not in service at the moment and which are going to be fueling our growth in the future. We hit some important milestones. Here's a picture of our new version of the Trent 1000 engine and at Farnborough a couple of weeks ago, we were able to announce that, that had received EASA certification.

Also, in the new engine sphere, our Trent 97K, this is the higher power version of our XWB engine, that's also been achieving its first flights on our flying testbed, and things are going well there.

The big lever for our Civil Aerospace business, however, is achieving the ramp-up in volumes that we need to achieve last year, this year, next year and so on. And so in 2015, as a reminder, we supplied just over 300 large engines in total, and the Trent XWB was just starting and part of that. This year, we expect to deliver 400 large civil engines, and we're on track for that, having delivered 164 in the first half. And incidentally, that was just over 100 in the second quarter. We're moving the volume run rates from around about 30 a month to around about 40 a month. That's happening as we speak. And so we anticipate the next couple of quarters significantly over 100 engines per quarter, and that will take us into the realm of just over 400 engines for the full year. Now I'll talk a bit more later about manufacturing lead times and what we've been achieving on improvements in manufacturing lead times and that is, of course, one of the drivers that's enabling us to ramp up the volume like that.

As I look forward at the Civil Aerospace business on a slightly longer term, and the graph here you can see the slightly longer-term view, then obviously we understand this is a business which grows in the long run. There are short-term perturbations caused by external events. But when you look back on those in history, they don't make a huge amount of difference to the long-run picture. And we also get small perturbations when we have things like spikes in orders and that leads to, in the moment, a little bit more capacity in the market than there is demand and you get perturbations there.

As I sit back and look at the slightly longer term, however, I see a strong order book, which continued to grow in the first half of the year. I see us increasing our capacity to service that strong order book, and I see firm commitments from our airline customers and our airframe partners. And that is putting resilience into our revenue growth for the future.

Near term, we absolutely hear about high shipments of wide-body airplanes, a little bit of softness in passenger kilometers, and that does certainly put out more risk there in terms of risk of deferrals, risk of slowing things down. But interestingly, we're not actually seeing any changes from the airlines, particularly in the routes that they're flying, which is, of course, what really drives our engine flying hours. And so from an aftermarket point of view, we're comfortable at the moment.

From an OE point of view, if some of these risks start to materialize, then what we can see at the moment at most is a little bit of re-phasing actually helping us with some of our delivery plans and easing a little bit of that pressure. And that's what we're seeing versus anything radical -- any radical changes. Now obviously if we see some radical changes, we'll be up and we'll be talking about it, and we'll let you know if we see that change.

Right now probably my -- if I wanted to talk about a concern here, the concern is simply are in terms of our resource and the significant demands that we are currently placing on our engineering teams as they seek to help with this ramp up of volume at the same time as bringing some very sophisticated new engines into production. However, things are going pretty well on that front at the moment.

So let's move on to Defense. That was a steady first half and a very good setup for the full year. Looking forward, there are opportunities for new OE over the next 5 to 10 years, and we are working with keeping our designers -- with keeping our designs fresh and working with the partners on those for as and when the opportunities materialize. But this business for the time being is mostly about what happens in the aftermarket, servicing the fleet that's out there and getting that servicing activity more efficient and more profitable from our point of view.

So we're doing things like working more closely with our defense customers, getting some of our activities physically located on the site with some of those customers so that we can get more value out of our aftermarket business and share that value with those customers, actually give them better service as well. And we're investing in future technology to build on this strong position both for the aftermarket and the OE. We have a strong position today in transport and patrol, and we have opportunities in combat, and our investments are all targeted at that.

Looking at around the rest of the business. I'll start with Power Systems. Like in 2015, the first half of the year, actually fairly close to breakeven. It reflects lower volumes and product mix where we've certainly seen higher shipments of the lower-margin products. Meanwhile, our R&D focus is on higher-volume applications like power gen where we can leverage our capacity and grow our market share and really capitalize on the high-performance differentiation that our products have. And so we're comfortable where we are with that business for the second half of the year.

Switching to Marine. I mean, it has been a very difficult period, and it's been a difficult period for quite a long time now. We're seeing some good results from the restructuring that we've been doing in Marine, and we've been focusing R&D. We've actually increased -- I mean, it's not hard to increase the R&D as a proportion of revenue in our Marine business, but we have actually stuck with the expenditure in R&D, investing in new technology there, and I'm quite encouraged by the innovation that's happening in the product portfolio. We announced an investment in some new permanent magnet technology to expand the activity a few weeks ago. Meanwhile, as the offshore sector in oil and gas continues to be depressed, we're seeing people get a little bit more creative in terms of seeking opportunities offshore in slightly different applications in fishing and other non-oil and gas applications. So it's really stimulating innovation in our Marine part of the business.

In nuclear, we are investing. We've announced some headcount increases. This is to service better the business that we do with the U.K. government on submarines, and we've made progress there in terms of improving our project management, our manufacturing and deliveries from there. And we're also exploring opportunities with small modular reactors.

Switching now to one of those key priorities, and I'll talk about this transformation one now before handing over to David. Back in February, I talked about the need to address what I'd call the organizational hardware, that is the structures and organization, and both -- and the software, the activities, what people actually do. And we've been proceeding with the left-hand side of the chart, hence the green tick, where we've been looking at the structure of the business, simplifying the structure of the business. That's where the initial focus has been. We're seeing costs leaving the business. I'll come up with some numbers in a moment, and we're certainly on track at the top end of expectations there.

Moving forward, in the second half of the year, the emphasis is switching to the right-hand side of the chart where we attack some of the way we work, the way we share information, the way management decisions get made within the business. And that is certainly harder, and it's a bit less tangible as well. So it's also harder to talk about it, but I'll endeavor to talk about that a bit more later in the year.

On the tangible side, we're very much on track to deliver the GBP 150 million to GBP 200 million that we talked about in terms of cost reduction for the end of 2017 and going forward, and that's what's showed in the cumulative savings here. So by the time we're finished with 2017, we're absolutely in the zone for GBP 150 million to GBP 200 million out. The type of progress we're on so far, the initial phase we've done. So we're actually talking about achieving very close to GBP 50 million for 2016, which is at the top end of expectations, and those changes will also have a knock-on effect and we'll actually benefit from an additional GBP 50 million as we move into 2017.

For the next steps for the remainder is work in progress. We've identified activities that we can reduce, which we hope will deliver GBP 20 million to GBP 40 million of benefit in 2017, and we have some work to do to find some more in 2017 and moving into the piece which comes from the end of 2017. But I'm comfortable with where we are at the moment. It's work in progress, a little bit more to do. But 6 months in, we're in pretty good shape.

Just a reminder on how some of that plays out then. What we tried to do here is show diagrammatically the simplification at the top of the organization where we've effectively moved from 9 businesses to 5, and we've connected those 5 much more closely at the top of the business. That has really sharpened the ability for us to make decisions. It's increased accountability and raised the level of debate at the executive team.

We're starting to -- talk about leadership and accountability. We are starting to see some real simplification here in how we execute the business, and that simplification is, for instance, measured

in terms of reduced number of committees that we have to operate the business, reduced frequency, reduced numbers of people that are there at those meetings. And it's very much the start of the simplification piece. There is no shortage of opportunity here to reduce the complexity. The business is engaging well. As far as I'm concerned, I'm very encouraged by the response that we're getting around the business. I stress, it's a good start, but it's only a start.

So overall, pretty good first 6 months. There's still a lot to do. I'll talk about the other priorities shortly. Meanwhile, I'll hand over to David.

David Miles Smith

Former Chief Financial Officer and Executive Director

So thank you very much, Warren, and good morning to everyone. It's really good to see you here. Warren has already run through some of the operational highlights. I want to stress, obviously, the results were clearly down as expected versus last year. But we did end up marginally ahead of pre-close expectations, and the business clearly responded to the rallying call there.

This outperformance is principally down to Civil Aerospace, and it included some earlier-than-planned deliveries and profit on some spare engines together with more life-cycle cost reduction and obviously, a little bit of an FX tailwind. We also had particularly strong end-of-period cash flows and -- which was always hard to predict and included some early delivery of second half actions, but again, evidence, I think, of the business responding to the challenges that we've given them.

In addition, Marine, while still negative, had a good end to the period. Both of these parts of the business have more to do with the second half phasing, and any real upswing in performance or outlook, I think, is something that we're still cautious around. So we believe that group underlying performance remains broadly in line with the expectations that we gave you earlier in the year on a constant currency basis. As I go through this presentation, any percentage change, in fact, on sterling value I give will be at constant FX rates and on an underlying basis.

So moving on to just dividends quickly. There's no change from what we said at our full year results. We're halving the interim dividend from its 2015 level, and so that will pay out at 4.6p. And that implies just over GBP 300 million total cash outflow to shareholder payments in this year, in calendar 2016.

And talking about our balance sheet also, so S&P did adjust their ratings in May and now they're in line with Moody's and Fitch at A minus. But we still do have a very robust balance sheet and with good liquidity that's been helped during the year by the additional GBP 500 million of revolving credit facility we raised in April. That's now up to GBP 2 billion. We continue to pursue a prudent financial policy. And so while we do have some cash calls such as the IT purchase consideration coming up over the next 24 months or so, these are definitely manageable.

Turning now to group revenue. At a group level, our OE revenue fell by 5%. That was due fairly equally to Civil Aerospace headwinds and much larger offshore market declines that we've talked about in Marine. Likewise, services was 5% lower for broadly similar reasons that we've explained before. In fact, throughout these slides, you can see that the first half outcome really does reflect the headwinds we identified during last year and reconfirmed at the full year results presentation in February. We have seen some positive impacts of translational FX. On a revenue basis, that added GBP 183 million. I'll talk more about this in a moment as well.

Turning now to group profit. The headwinds we've discussed really did lower gross margins. You can see that fairly dramatically on this slide and were the core factors in the decline in group profit before tax. In other parts of the income statement, the differences were relatively small and mainly related to nonrecurrent or repeated costs and benefits from last year. And that included GBP 39 million non-repeat of underlying restructuring costs as the 24 aerospace program is now largely implemented. Maybe I'll just add that the transformation program and the Indianapolis redevelopment program have been booked in the first half as exceptional costs, and we can come back to that. Similarly, the non-repeat of a GBP 24 million finance benefit that we saw last year on dividend hedging in 2015 contributed to financing cost being up about GBP 35 million versus last year.

We're also in line at the moment with our remuneration targets for the year. So at this point, we are accruing bonus in line with that policy, and that does impact C&A, which is why you see an increase in C&A, and part of that comes through in the gross margin as well.

So here is our usual bridge from profit to cash flow. On an absolute basis, the main drivers were a GBP 235 million increase in net working capital. That included a GBP 149 million increase in the TotalCare net debtor to GBP 2.36 billion and together with inventory buildup in preparation for the rise in second half production. We did see some offsets just FX related and unfavorable effects of translation of net foreign receivables and payables.

We had just over GBP 300 million of CapEx spend during the quarter, part of which was actually payments for 2015 invoices. And of the GBP 232 million increase in intangibles you can see here, GBP 90 million came from CARs. The net movement after amortization was GBP 71 million, taking the balance in the period to GBP 460 million at period end, and the rest of the intangibles movement primarily related to higher R&D capitalization.

So cash flow was clearly better than we'd expected at this point in the year primarily because of the work on working capital, certainly helped by earlier customer receipts; some earlier delivery, for instance, of those spare engines; and also some forecast OE concession payments which slipped into the second half and a pull ahead for some of our second half cash actions.

Thinking about the year-over-year, which isn't actually on the chart, profit was clearly down, CapEx spend was only up marginally and the net long-term creditor balance increased by about GBP 176 million year-over-year. And we did see, as I said, a strong favorable move in net working capital.

So before I turn to the divisional review, I should probably touch a little bit more on foreign exchange. At year-end, we had \$29 billion of dollar cover, and the average hedge book rate was about \$1.59. And as I say, that hedges our dollar exposure, which is currently about 5 billion to 6 billion. It will increase over time as we see volumes increase. This absolute exposure -- sorry, will increase over time as volumes increase.

We have been taking, in fact, since the beginning of the year both before and after the Brexit vote, advantage of the weaker pound in terms of adding to that hedge position. And we've now, at the end of June, increased that \$29 billion up to \$35 billion. That's still well within our normal trend lines. And so over the next 5 or 6 years, that equivalent cover, that's about 5 or 6 years equivalent cover, it's spread over a longer period than that because we hedge progressively. And the most recent transactions were clearly being struck at much better forward rates in the sort of \$1.35 to \$1.40 sort of range, and that has brought our average hedge rate down. So the average hedge rate in the hedge book at the end of the quarter ended up at \$1.57 as opposed to \$1.59 at the end of last year.

All our hedges, as I said, are taken in line with a policy of trying to lower volatility and smoothing our margin over time, so there won't be any FX cliff in the forward rates. And we'll continue to take our longer-dated cover up as we use existing deals. So in practice, this means we're only likely to see a gradual decline in the long-term effective rate in any one year. And therefore, I would suggest that for those of you modeling our long-term rates in the out-years, I would be cautious about ascribing too much value to these short-term spot movements that we're seeing. And of course, we all know that those could come back at some stage in any case.

So there are a lot of movements going on through foreign exchange caused by sterling weakness. It's worth running through maybe a couple of others where that impacts on the business particularly around transactional impacts. And also, on translation, there's more detail in the appendices to the press release as the recent significant changes made this much more pronounced.

So on revenue now, we'd expect roughly a GBP 600 million translational impact for the year if current spot rates continue at the point they were on June 30, and the profit effect would be about GBP 60 million as opposed to, I think, the GBP 40 million we were talking about previously.

We've also adjusted our long-term planning rate. So this is the rate at which we both do our sort of long-term decision-making, but it also gets into the long-term contract accounting. And that's reflected,

therefore, primarily in Civil Aerospace, and we'll continue to review that. That added, as it says here, about GBP 35 million to Civil profit, and it also changed the order book by about GBP 2.1 billion in terms of the valuation of the order book.

And then finally, sort of the big number is the noncash mark-to-market movement just on the hedge book itself, which does hit our reported profits by nearly GBP 2.2 billion on our derivative contracts. This has very little real impact on us, and we don't get concerned by this figure and nor should you as it will be fully offset as those contracts mature, there'll be the underlying hedges which are being -- underlying transactions which are being hedged. So in conclusion, while we're clearly a net beneficiary of the recent FX movements, our conservative long-term hedging strategy and translational exposures make our in-year benefits relatively modest.

Right. Turning now to the divisional commentary. We provided the same breakdowns as last year in the statement. In the interest of time given it's such a busy day, we've cut back some of the charts today, but you do have them in the appendices, and I'm just going to focus on the key points for each division.

So starting with Civil Aerospace. Both the revenue streams were down around 5% for OE. This was principally due to lower linked Trent 700 sales and to lower corporate sales of the BR710 engine. On aftermarket, we did see a significant increase in our in-production Trent fleet, recorded roughly a 15% increase in installed base and flying hours. But this was more than offset by the reduced activity particularly on time and materials that we've talked about before on the Trent 500, the Trent 800 and also the RB211 and regional jets.

Turning to the revenue mix itself. So linked engine revenues were up 3%, and that was helped by deliveries -- higher deliveries of the Trent 900 and the Trent 1000 as well, offset by that lower Trent 700 delivery picture. XWB deliveries also helped drive the improvement in unlinked sales. We saw lower business aviation, as I've already referred to; and V2500 module volumes were lower, and that reflects the declining volumes ahead of the airframe transitions away from Rolls-Royce engines.

We turn now to the aftermarket revenue mix. Declines in the large engines were driven, as I've just said, by lower activity in the legacy fleets particularly on time and materials. This was mitigated by a 4% growth in thrust and the 15% engine flying hours growth from the in-production Trent fleet that I've described. While business aviation aftermarket activity was pretty stable actually in the period, the regional aftermarket continued its downward trajectory and as an offset, we saw higher V2500 aftermarket revenues.

So turning to gross margin, starting with the volume and trading margin bars. The significant proportion really came from the Trent 700 headwinds that we talked about last year. These were around GBP 130 million negative impact along with aftermarket headwinds from the legacy fleets. This is very consistent, as I've said, with the guidance we gave you last year.

Turning to long-term contract accounting adjustments. You can read a fuller description of this on Page 12 of the statement. In absolute terms, the net of all of this was actually relatively smaller, produced a net GBP 23 million reduction compared to a GBP 48 million positive last year, so a GBP 71 million year-over-year effect. And within that, there were 5 specific catch-up elements. 66% of the year-over-year was due to a gain that we had last year on the risk policy adjustments that we talked about, and that was, if you remember, GBP 189 million in the full year but GBP 66 million in the first half.

We also saw a GBP 64 million negative effect from higher technical costs, and that was various in-service related programs particularly around the Trent 1000 and the Trent 700. And we saw life-cycle cost reductions of GBP 35 million, which was a GBP 10 million improvement from what we've seen in the prior year. And then as I've mentioned earlier, there was a GBP 35 million impact from the change in our long-term planning rates for foreign exchange; and then GBP 14 million basically of all other, which are primarily a whole series of operational and commercial factors.

Turning, therefore, to the full picture. So beyond that large movement in gross margin, there were fairly limited movements. The increase in C&A was actually more than explained by the incentives accruals that I've described. Lower R&D, was lower due to increased capitalization for the Trent 1000-TEN engine, and

we saw lower underlying restructuring charges. As I've said, the management reorganization has been booked as exceptional.

So the end result was a profit of GBP 31 million. That's down 91% from the prior year -- oh sorry, GBP 22 million or GBP 31 million after FX. The overall profit was higher than we had expected for the first half, which have been forecast for modest loss. However, this was largely due to the timing effects that I described right at the beginning. So in the second half, we're going to continue to face some of these legacy headwinds through the second of the year, but we would expect a stronger performance overall in line with expectations with headwinds mitigated through increased deliveries including profitable spare engines, again, and positive results from our dedicated focus on improving life-cycle costs in the in-service fleet.

Turning now to Defense. So this is a simplified slide. Defense revenues were marginally lower with strength in OE revenues offset by some weakness in spare parts principally, again, for legacy products. This product mix did have a negative effect on gross margin. And in addition, we booked a GBP 31 million charge, which is for both incremental expenditure and expected expenditure around the whole improvement program on the A400M. So this is our efforts to try and help the consortium in getting over some of the technical problems that we've obviously seen on the gearbox and other areas.

Restructuring costs were lower as the focus has now switched to the upgrading of the Indianapolis site, which we're treating as exceptional. So net Defense profits at GBP 123 million, although they were down GBP 61 million from last year, about half of that was due to the TP400 charge that we took. Looking forwards into the second half, we expect performance will be supported by growing engine deliveries, particularly of the AE 2100. And while we have some headwinds from supporting the TP400, as I've said, we're trying to mitigate that in terms of a full year effect.

Turning to Power Systems. Power Systems had a solid start to the year. We did see slow oil and gas sales and also a little bit on the rail and the Naval side, and that impacted OE revenues and particularly also aftermarket in terms of the service side of oil and gas. The segments on such as construction and agriculture and power generation were actually considerably stronger than the year ago. As I said, service revenues were affected by lower activities particularly in the energy and commodity sectors. So the adverse mix of all these movements on top of the small-ish decline in revenue did mean that we saw lower gross margin, but that was partly offset by slightly lower spend on R&D and therefore, the profit impact of all of that was relatively modest, a GBP 6 million decline to GBP 11 million profit.

In terms of resilience, we won't be immune clearly to the challenging market dynamics. I mean, that's very evident, I think, from peers. But our revenue base certainly has strength in the high speed market, which helps us here. So while some short-cycle sectors are hard to gauge at the moment, the order book coverage is over 80% in some of the longer cycle parts of the business and particularly in higher-margin sectors. So this is broadly consistent with the prior year and remain a cautious but positive outlook for the full year for Power Systems. But undoubtedly, there's much to do in the second half on both revenue and cost.

So I think on Marine, given the market environment, I think actually Marine had a pretty creditable first half and was a little better or perhaps less bad than we had expected. But order weakness was there and included cancellations, particularly being a feature of the offshore market. And OE revenues reflected pretty low volumes, while services were a little more resilient but still at subdued levels. So this isn't really surprising, I think, as services do tend to lag the OE market a little bit by 9 to 12 months.

In contrast, actually Naval and Merchant segments actually held up pretty well, and we did okay on order intake on naval as well. So the teams work pretty hard to try and find opportunities in adjacent markets to offset some of the direct offshore side. And within gross margin, the significant impact was really from volume rather than any decline in trading margin. There was also no reoccurrence of the GBP 30 million contract provision, if you remember, that we took last year.

So I think overall, Marine's loss of GBP 14 million, which was down GBP 18 million from a small profit last year, was a pretty good result. And while our original guidance may now seem a little over pessimistic as the businesses continue to work hard on rationalization efforts, it does, I think, still reflect caution in the

marketplace. There is still risk of further cancellations, and I think it is right to continue to be a bit prudent here.

Finally, for Nuclear, we did see the Nuclear businesses actually improve in revenue terms in the first half. That was led primarily by strong growth in OE activity in the submarines business, which mainly reflected program phasing. We had some delivery challenges to overcome, and these did depress our margins a bit. And so the submarines business is very, very focused on achieving cost-effective, on-time deliveries at the moment for their core customer.

Overall Nuclear profit of GBP 17 million was marginally down on last year. On the Civil Nuclear side, we are seeing quite a lot of good business opportunities at the moment, particularly around instrumentation and controls in China and other markets. So the long-term outlook for our Nuclear business actually looks -- remains pretty positive. We've also, as has been described in the press a bit, started to make some modest investment in development work around small modular reactors. That clearly depends on government decisions, but we think we're very well positioned there and want to continue to support this -- what could be a very interesting market opportunity for us.

Covering our technical factors. Our guidance basically remains the same. We do expect higher net R&D spend to be closer to GBP 900 million as we support a very full program of delivery milestones, as Warren described, on the new projects.

So I'm just going to finish on some comments around the impending arrival of IFRS 15. I say impending, although the implementation is still 2 years off. It does feel appropriate to introduce this topic at this point given its likely significance to reported results. And I wanted to give you my best view as to the framework which we're likely to apply now in Rolls-Royce coming from our own initial and tentative conclusions from some very detailed work we've been doing.

We are trying to seek consistency across the aerospace sector on this, although there may well be some detail differences in interpretation. I think we're getting quite close to that. And overall, recognition is now going to be linked much more to the actual timing of provision of goods and services rather than smooth over the lifetime of service contracts. The one clear and firm constant that I want to really emphasize is it doesn't change the cash flow profile and therefore the embedded value of the business, and you'll hear this again and again, really isn't impacted by this change.

Our initial conclusions as to principles of what's likely to change is that we will no longer apply the contractual aftermarket rights or CARs concept. So we will no longer essentially capitalize engine losses. We also wouldn't differentiate in future between linked and unlinked contracts. As you know, that's partly happening anyway because of changes in market mix. But we would actually move away from that treatment.

And for both OE and aftermarket, the timing of revenue recognition and offsetting concessions will change to an input basis, in other words cost where consequences -- that will have some different profit and loss effects. So as a result, all of the OE revenues net of concessions will be recognized at the time of sale, and therefore, we'd see no longer the pull-ahead of profit from some of the linked accounting that we've seen in the past ahead of cash flow.

TotalCare would be recognized over the contract term with higher margins therefore because we're taking the concessions up front. And catch-up adjustments and contingencies are also likely to be smaller, while the impact on time and material is probably largely unchanged, although we still have to work through that.

So I thought it would be helpful to give some overview of the impacts on the balance sheet and the profit and loss. This really is the high level. This is very detailed. So the changes that we're going to need to make here. At the outset, we'll have some balance sheet transition adjustments as we will essentially move to a completely new set of accounting policies. And the CARs and TotalCare net debtor balances are therefore going to be eliminated or at least certainly significantly reduced. And going forward, we're likely, therefore, to see a greater focus actually on the TotalCare creditor line because unfortunately, we're not

going to get a complete alignment even with this between profits and cash. But we'll get a much more closer alignment.

A number of consequences are within the profit and loss account. First, the changes to OE profit recognition mean that the forecast of any engine build, as I've said, will be taken in the first year. And this underlines really the importance of our focus on improving our unit cost position for cash purposes, which will significantly reduce these cash losses over time. And then secondly, the removal of the CARs balance. Since we're no longer going to be capitalizing the losses, we won't have any amortization charge either.

The most complex area that we're working through to be able to give a more coherent, aggregated view of the results is the removal of linked accounting and the changing of revenue recognition points. This will affect timing and margins and will be quite contract-specific. And we'll come back to you with a likely time for an IFRS teach-in, which I envisage to be during quarter 4 when we're able to do that.

But in the meanwhile, I hope we've given you some help, some leadership really, I think, in helping you understand these principles and actually how they're probably going to apply to the whole industry. And finally, I'd just like to reiterate once more that this does not affect cash.

So just to sum up, wrap up, let me summarize our half 1 performance. Overall, this was in line or ahead of expectations for the first half. But as a whole, it's stronger. But we don't think that this is going to come through in terms of a full year effect. So while the phasing in Civil and Marine brought forward a little of the half 2 performance, we've made good progress and we've made good progress in mitigating market weaknesses, there's still a lot to do in the second half. We are making good progress on cost. We've put in a strong cash performance. Clearly, FX is now a bit of a tailwind, although we also have some technical issues like the TP400 to offset. And finally, I think we've got a reasonable order position, so the focus now is clearly on the second half and our ability to execute on our orders and our strategy in order to deliver full year expectations.

So thank you very much, and now back to Warren.

D. Warren A. East
CEO & Executive Director

Thanks, David. I'll try to be fairly brief. So you can see a number of slides in the pack, but I promise I'll try and go fairly swiftly over these next few. I hope you appreciated the communication there about IFRS 15 and our desire to get ahead and start engaging and talking about that. And I suppose that's really speaking to the box on the far right-hand side of the slide here. And I'm not going to talk anymore about the box on the far right-hand side of the slide. That's really for you to judge.

I'm going to talk a little bit about what we're doing on priority 1, focusing on our 3 key areas. These 3 key areas are essentially what we do, engineering excellence; how we do it, operational excellence; and how we deploy that in our business through our business model. And the biggest lever we have there is using our installed base of engines.

So there are many actions in all of these 3 areas that we could take, and the way these slides build up is that you can imagine in each one of these themes, in each one of these boxes, there are some actions. And they accumulate, and they accumulate in terms of benefits to the business. And what I'm going to do is just pick on a few examples in each of these areas.

So let's look at engineering excellence to start with. Our engineering excellence is it's the collective of the experience, knowledge, skills, techniques, know-how that's been built up in Rolls-Royce over -- well over 50 years. And actually, deploying that is potentially hugely beneficial for our business. But deploying that sort of stuff, which has been built up over quite a long period of time, is quite challenging because a lot of it is just locked up in people's heads. And in particular, quite a lot of it has historically been locked up, if not in people's heads, on pieces of paper.

And so here's an example where we are digitizing some of our product definition so that, that knowledge can be transferred and it can be transferred around different parts of the globe where we're carrying out different activities. It can be carried out -- it can be carried between different teams to get more efficient

and effective reuse of that knowledge. Now we think when we complete this project, then we will be able to reduce the time it takes to develop a new product by the order of about 20%. And we'll have completed that project -- it's going to take several years. We'll have completed that project by around about 2020. Now as you can imagine, my first question on this was why can't we do it a bit sooner. And I will continue to push on that, and creative, collective brains at Rolls-Royce will work on how we can realize this benefit a little sooner. But that's an example of one of the things that we're doing.

Now switching to the operational excellence. I mentioned at the start of the presentation one of the tools that we have at our disposal to be able to deliver on this ramp-up of volume, doubling of volume run rates of our large Civil engines, is to reduce the amount of time it actually takes us to make one of them. And as we've put XWB engines into Derby, so we've moved some of our Trent 1000 production to Singapore. And over a period of several months, we've worked -- we've had lean workshops with everybody, brainstorming on how they can reduce, how they can -- the cycle time, make that operation more efficient.

And after about 4 months, so far, we've taken about 25%, a little bit under 25%, away from the lead time that it takes us to assemble a Trent 1000 in Singapore. The good news is that we think we can take this quite a bit further, an additional 15% to 20% coming out on that particular engine. And we think we can then take some of those techniques and apply them back on XWB and possibly make a very significant lead time reduction on how long it takes us to build an XWB. And if that materializes, then that's making a huge impact on the available capacity. And you can see why that's quite a powerful tool in enabling us to deal with the volume ramp that we have to deal with.

There are opportunities in other parts of the business as well. I'm not going to go into all of these examples in the interest of time. But applying the same sort of methodology in other parts of our business, this is the sort of improvement in lead time that we're seeing in some of the activity in our Power Systems business.

Now, again -- or moving on rather to -- away from the engineering and operational excellence and thinking about how we effectively utilize the asset that we have out there, which is our installed base. One of the issues which people have been talking about increasingly over the last 12 months has been the maturing of the fleet of engines that we have out there, airplanes being parked and so on. Now it is a normal thing that airplanes start off with one owner, and after some period of years, they move on to another owner. So secondhand market develops. Now typically, people keep their airplanes for 8 to 12 years. And so after about 8 years, this starts to become a phenomenon.

We have a relatively young fleet of Trent engines. We've got an old fleet of RB211s that's coming to the end of its life, but our new Trent engines are relatively young. And you can see that in 2010, we only had about 200 of these that were 8 years or older. Today, we've got about 500 that are 8 years or older, and in 2020, we'll have about 900 that are 8 years or older. And once you get into that 8 years or older phase, then there's a propensity to start thinking about transitioning from new to secondhand. They become secondhand, transition to a new owner. That can take about 6 months just for the aircraft to be refitted. And so 6 months out of flying, this is a potential downward pressure on our aftermarket revenues. So if we can do something about smoothing that transition, that's a good thing for our aftermarket revenue. And it's going to become increasingly important as we look forward.

So we've introduced a dedicated team to work with finances, to work with lease companies, to work with our airline customers. And the good news is that since introducing this team at the beginning of this year, then we've become much more effective at transitioning airplanes from one owner to another compared with the corresponding period last year.

Again, in leveraging the installed base a few weeks ago at Farnborough, we -- some of you might have seen us announce a partnership with Microsoft. And this is where we are working to take our product knowledge, customers' knowledge, industry knowledge, combine that with data from our engine health monitoring, do some analysis, use some analysis tools, predictive tools and improve the customers' operation, release some value so that we can release some value for our customers and potentially share some of that value in our service business.

We've deliberately chosen not to invent all our own here but work with technology partners like Microsoft so that we have an open architecture for our digital activity. And so at Farnborough, we announced that partnership, and we're looking forward to applying that around the industry in Civil Aerospace. And we're looking at applying it to other fleet operators in sectors like marine and combining some of that with some of our smart chips innovation that we're doing in Marine.

I'm sorry, I'm running a little bit fast over some of these, but we can talk about them later. Before we close, it's important just to sort of put ITP in context. And that -- I think the context is largely about leveraging our installed base. We moved closer to ITP. We've been working with them as a risk- and revenue-sharing partner for many years. We moved a little bit closer last year. And especially as we look forward to XWB and Trent 1000 volume ramps, they become more significant as our partner.

Our joint venture partner chose to exercise a put option. Absolutely, the timing was their choice, not ours. But directionally, this is quite a desirable thing as we can consolidate more of the high value that is there in both the OE and aftermarket. Now as I look at -- add up all the Trent engines ITP have been working with us on and particularly looking to the, say, Trent 1000 and XWB, we can see an increase in -- of more than 10% in the value that we will now consolidate in aftermarket revenues coming in.

So a quick reminder before I close. We do have some legacy issues. We're making good progress, I think, at embedding behavioral changes into the organization and best practice in this sort of thing. We've got no significant announcements to make in terms of any inquiries but just to remind you that that's still out there.

Our second half priorities are to deliver on what we say we're going to deliver, maintain some progress on the transformation that I talked about earlier, hopefully continue with a more open dialogue with the outside world. And back at the ranch, we will be concentrating on those 3 strategic priorities to drive value.

With that, we'll move on to questions and answers -- well, questions and we'll try to answer. Thank you.

Question and Answer

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Two questions from me, please. First one particularly for Warren. In regards to your ongoing review, what have you learned over the last 6 months incrementally? And how have these insights sort of influenced what your vision is shaping up to be the future of the company? That's the first one. And then secondly, around the production ramp, in particular with XWB, over the next 5 years, how confident do you feel about the bottom part of the supply chain? And what I mean are around forgings and castings where in particular Rolls-Royce as well as GE and Pratt & Whitney are relying on some of same suppliers to support respective production ramps over the next few years. How's your confidence level about that part of the supply chain being able to keep up?

D. Warren A. East

CEO & Executive Director

Yes. So your first question, I'm afraid we could go on all morning. But basically, I've continued to learn, and I'm encouraged by the amount of opportunity there is for simplifying and taking activity out. I mean, some of those numbers that we put up there on the slide, okay, they're almost anecdotes. But actually, some of them are the result of a lot of hard work for a lot of people over a period of time. But a fantastic improvement. If we are able to really realize that lead time transfer, which we've proven on Trent 1000, and transfer that to XWB, that's sort of equivalent to almost doubling our capacity with no incremental operational costs since it's just materials. So I've been hugely encouraged by that over the last 6 months. So I suppose it's been more of a quantification of the opportunity that I felt that was there in the first place. As I say, we could go on all morning. There's lots of that. In terms of the supply chain, then we are talking about a significant increase in volume for us and for the industry as a whole. But compared with the other activities that some of these companies do, it's not actually that significant an increase in volume. We work closely with these companies. There are always challenges in terms of actual deliveries, but we have teams embedded in these suppliers that work with them on a day-to-day basis and solve the problems as and when they arise. I'm not pretending that there are no issues, but I'm comfortable with the way in which we interact with those suppliers at an engineering level.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

It's Ben Fidler from Deutsche. A couple of questions, please. Are you able to share with us how many spare engines you delivered in the first half and what that was year-over-year? You mentioned that was quite a significant driver of the growth. That would be helpful. Secondly, I see you've increased the TotalCare net debtor guidance by about GBP 100 million to GBP 200 million over the next 12 months. Does that mean we should be thinking that Civil profits will be GBP 100 million to GBP 200 million higher than we were previously expecting over the next 12 months? And the third question, I know on the accounting stuff -- and thank you very much for early heads-up on that. I think it's been a fascinating part of the release this morning. The profit effect, my head is not big enough to understand that for some time. But just sticking with the easier part, which is the revenue effect, are you able to give us any indication of how much in Civil Aero this could see a revenue impact from both the OE, as you no longer have that future pull forward, and secondly, on the shop visits, which you won't be booking -- or the revenues you won't be booking until shop visit with a lot of the fleets still being relatively young, as you demonstrated in your Slide 49, presumably anything less than 5 years on that chart isn't going to actually be going through the revenue line under IFRS 15 on shop visits? Just any sort of steer on that will be very helpful at least to understand some revenue scaling effects in Civil.

David Miles Smith

Former Chief Financial Officer and Executive Director

Okay. Why don't I try that in reverse order while I try and find the spare engine number. So yes, in terms of IFRS 15, I don't want to get into numbers. It is complex, Ben, and I think we're all going to be

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challenged by this. The combination of the fact that we have some engines already, clearly in service like Trent 700, the effects will be different from new engines like XWB, means that we have to go back and look at these actually on a contract-by-contract basis and work our way all the way through that including the RRSP tails and all that sort of thing. Your main point that there's going to be a timing difference, I completely agree with. And that's one of the things that we need to understand better in terms of, for new projects in particular, the later booking of revenue. So I'm not able to quantify that at the moment. That is what we're working through. In terms of the TC effect, so part of this is what we've already actually seen, which is the long-term planning rate did have an effect. So that does come through the TCA net debtor. We also expect probably some higher overall impact on lifetime cost improvements in the second half. And that's offsetting within Civil other issues that we have, particularly on the engineering spend that we've seen increase. So yes, there is going to be a change in the mix of Civil profit but not a net improvement when we take all of that into account. And that's why we've adjusted the TCA range a little bit because, as you've obviously figured, some of those effects come through in the TCA net debtor. Helen, can you help me? I know it's in here but...

Helen Harman

Assistant Director of Investor Relations

It's a small number, Ben. There are a few more.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, I think it was...

D. Warren A. East

CEO & Executive Director

It was more a reflection of -- XWB is new engine. Airlines are taking this engine for the first time. We need to put more spare engines around so that we can satisfy that.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. We will see more in the second half. So the second half effect is quite a bit bigger because in the first half, I think we sold 3 XWB spare engines, something like that. We're going to see a lot more than that in the second half.

John Dawson

Former Director of Investor Relations

So we have a question from the webcast, if I may, from David Perry. It's a question for Warren. There have been recurring press reports that Rolls-Royce could achieve significantly higher cost savings than the formal plan currently in place. Could you comment on these reports, please?

D. Warren A. East

CEO & Executive Director

Yes. Obviously, I've seen those reports and talked about them with journalists. This is a performance gap between ourselves, and if you like, people seen as the market leaders. First point, the #1 difference between our Civil Aerospace profitability and that of our #1 competitor is driven by the difference in maturity of our fleets. We have a young fleet. The proportion of aftermarket, which is relatively profitable compared with OE, which is relatively less profitable, is skewed, in our case, more to the OE than it is in the case of our #1 competitor. So when you put the 2 pieces together, they are going to be significantly more profitable than we are. So some of it is a business model maturity factor. The rest of it is indeed a performance gap, and that's performance gap that I see no reason why we can't close. And that's what our transformation program is about. In terms of quantifying it, we've quantified the savings that we expect to be able to make for the end of the 2017. We're reporting this morning. We're very pleased with the progress over 6 months at the top end of our expectations in terms of that trajectory. And as and when we communicate, we'll probably end up -- we probably will -- as David said, IFRS teach-in,

we probably need to do an update as we get towards the back end of this year as to how we're doing on the transformation program. Then maybe we'll talk about rolling the targets a little bit further out. But for now, I'd like to concentrate on actually delivering what we've said we're going to deliver. And as and when we can talk about fresh targets, we will. But I don't think the performance gap is an unreasonable performance gap to think about closing.

Gordon Hunting

Gordon Hunting of Fiske. On something quite specific, on the TP400. Why aren't the blames put to GE, FiatAvio? Why do you have to pay? And secondly, perhaps I've also got a problem on planetary gearboxes whereas you have fantastic expertise on the J35 and the F-35B, why can't you profitably help those other 2 manufacturers to sort out their problems?

D. Warren A. East

CEO & Executive Director

Yes. So on the specific of the TP400, it's not a question of us paying for any inadequacies caused by other people. It's a question of us as part of the consortium helping our customer to solve a problem. I mean, for instance, one of the things that our team has done over the last several months is vastly reduce the cycle time to take one of these engines and service it mainly by removing the need to take the engine off the wing and to actually create some apparatus which enables us to service it on the wing. That has reduced the cycle time from about 3 weeks to about 2 days. And that's great as far as the customer is concerned. It's actually great as far as we're concerned as well. But it does cost, and so it's that cost of developing some of that sort of stuff that we've booked today. We have not taken the cost of somebody else's problem. We're going to have a -- here it comes.

Sandy Morris

Jefferies LLC, Research Division

That was a good exercise for Georgina. A very mundane question. When did we last change our planning rate?

David Miles Smith

Former Chief Financial Officer and Executive Director

It was actually about a decade ago. And we review it every year. And I felt given our actual experience on rates over the last 20 years, I couldn't justify leaving it where it was. And that was something we discussed with our auditors as well. So I think that was the right decision to make.

Sandy Morris

Jefferies LLC, Research Division

Because if I remember correctly, the last adjustment probably came when the hedge book was at about 1.83 or something.

David Miles Smith

Former Chief Financial Officer and Executive Director

Sorry, I wasn't around. I can't remember, Sandy. But when we looked at the data, it was fairly clear that needed to make a change. We are not necessarily even responding to the short-term spot movement. It was much more just the progression of what we've seen over the last few years.

Sandy Morris

Jefferies LLC, Research Division

And then -- I mean, I know we're in a hurry, but I'm fascinated by this Trent 1000 thing. But one, I'm fascinated by the technical cost that go on and on. I mean, things happen. But I'm really fascinated by the Singapore thing because I can understand how you get a lead time change in Singapore because we kind of, I thought, made our life more difficult by putting it in Singapore. For that to be able to bring XWB down 50%, it would be astonishing.

D. Warren A. East*CEO & Executive Director*

And as I said, in terms of how I presented this, if we map across what the changes that we've made to the processes and procedures, then that's what we can achieve. It's unproven at the moment because we haven't mapped them across. And it's also a bit of a round number. I think what is definitely in there, however, is that the improvement is very significant, or the potential improvement is very significant.

Sandy Morris*Jefferies LLC, Research Division*

It's just fascinating. And then without going into numbers in IFRS 15, but TotalCare, I can't imagine it's going to change things where we make or assemble. I don't believe these people can work to TotalCare. But in terms of our commercial approach, is that going to change, do you think, the business for the better in terms of focus on cash or focus on profit or whatever?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Well, I think it completely underlines the focus on cash that we've been trying to actually change over the last couple of years in the business anyway. And I made the point that the way to mitigate the CARs effects is to get the cash losses out as quickly as we possibly can. But equally, managing the whole cash cycle is going to be very important here. So I think it will help internally because it's removing some of the barriers, I think, internally in terms of just understanding the numbers. I think it will help externally because we're getting a closer alignment of profit and cash over time. But absolutely, running the business and trying to improve cash conversion is a clear imperative, whether we have the accounting change or not, to be quite honest, but that gives added impetus to it.

D. Warren A. East*CEO & Executive Director*

So we got one from the webcast.

John Dawson*Former Director of Investor Relations*

We'll take one more question from the webcast in the time we've got available. Apologies, we do need to finish at 10 to give you a chance to get on to other meetings. So this a question from Chris Hallam. On the new accounting basis, will you still disclose all the various elements that you are currently intending to disclose around engine flying hour payments and engine losses, et cetera, that you set out back in February?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Well, I certainly don't see us moving us away from the enhanced disclosure. Maybe as we look at the standard further, there are some other things we want to disclose as well. So clearly, one of the things that we will all have to think about is how to model the shop visit side of things. So I think it's a bit early to get into that yet, but there will be implications like that we need to think about, yes.

D. Warren A. East*CEO & Executive Director*

We've got another -- I think we probably got time for another couple from the floor.

Harry William Freeman Breach*Raymond James Euro Equities*

It's Harry Breach from Raymond James. Three quick ones. Firstly, can you help us think a little bit about where we are with the parked Trent 800 situation, where -- in terms of how many of those moved during the first half and broadly where the sort of parked fleet is at? Secondly, just looking at Civil Aerospace --

now I'm very slow on the uptake at the best of times, but aftermarket change at constant FX, negative 5% in the first half. And I think, David, you called out T&M down on the 500, 800, RB211-RJs [ph]. Given that T&M -- I think last time I recall seeing a comp was about 27% of overall aftermarket at Civil. And presumably the TCA side grew in line with flying hours on the Trent fleet. Does that imply T&M was down really quite hard, like 20% year-on-year?

David Miles Smith

Former Chief Financial Officer and Executive Director

T&M was down a lot. I think, in roughly revenue terms, it was around GBP 100 million, something like that.

Harry William Freeman Breach

Raymond James Euro Equities

And then final one was just about Marine. I appreciate the oil price has moved up a little bit. It's not long since it bottomed. Just wondering if you're seeing any early signs of sort of behavioral changes from your Offshore customers, any signs of bottoming there?

D. Warren A. East

CEO & Executive Director

Okay. Well, I'll answer that one and then go back to the Trent 800. The answer on Marine is that it does appear that we are moving along the bottom rather than getting worse. So I think the change in behavior is that we're not seeing further declines. But if you think about it from a service point of view, people still got plenty of spare boats out there to go and remove components from to service the ones that they actually want to use. On the Trent 800 then, we are making good progress. I think I put on the slide the effectiveness of the team there in terms of getting airplanes back into service. And I believe the numbers that we talked about -- around about 13 airplanes have been placed in the first half. And we have a further 28 where owners have been identified. And that's a big improvement compared with where we were a year ago.

Harry William Freeman Breach

Raymond James Euro Equities

[indiscernible]

D. Warren A. East

CEO & Executive Director

Overall, it's a bit shy of 10%, I believe.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec. Just 2 questions. On working capital, there's been a lot of discussion in the last few weeks about deterioration in terms of payment to suppliers. And I'm just curious if some of the improvement in working capital is due to delayed payments to some of your suppliers and if you are planning on changing terms.

David Miles Smith

Former Chief Financial Officer and Executive Director

No, that wasn't effect. Actually, there were some FX effects, as I think -- as I mentioned, on payables but not from terms. We've actually -- or we may have done already. I can't remember exactly the timing. We're issuing a new policy, and we're absolutely coming on board with the new voluntary -- the new version of the voluntary code that the government has encouraged, particularly around earlier payments to smaller suppliers as well.

D. Warren A. East

CEO & Executive Director

Great. With that, I'm afraid we've reached 10:00. And so we're going to call a halt to the general Q&A there so those who want to rush off can rush off. And we'll probably do 1 or 2 questions in the margins as we're leaving as well. Thank you very much, everybody.

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FY 2015 Earnings Call Transcripts

Friday, February 12, 2016 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2015-			-FY 2016-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.54	0.59	▲ 9.26	0.28
Revenue (mm)	13490.63	13354.00	▼ (1.01 %)	13265.00

Currency: GBP

Consensus as of Feb-12-2016 8:29 AM GMT

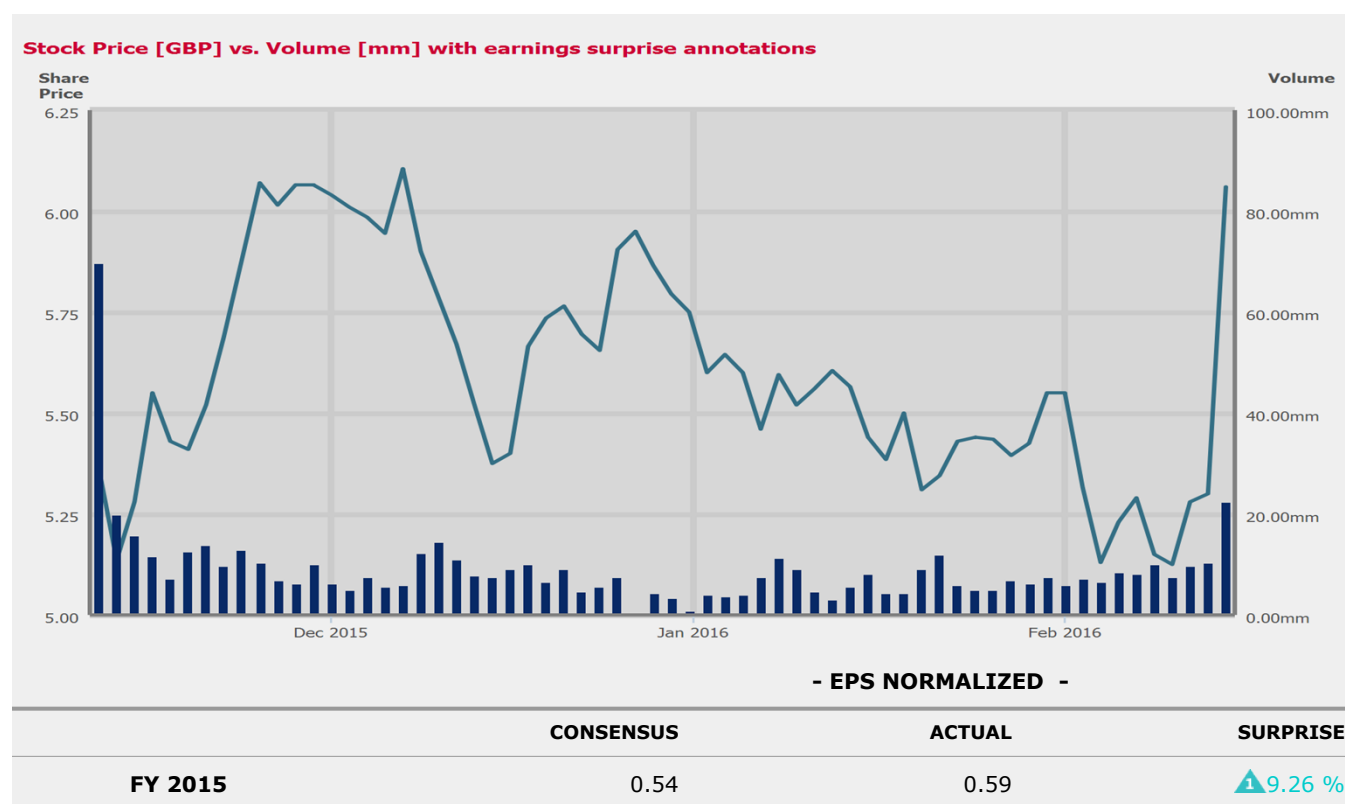


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Presentation

John Dawson

Former Director of Investor Relations

Excellent. Okay. Well, it looks like everybody's in. So good morning, ladies and gentlemen, and welcome to you all here in London and to those joining on our webcast presentation today. My name is John Dawson. I'm the Head of Investor Relations for Rolls-Royce, and it's my pleasure to welcome you and to introduce Warren East, our Chief Executive; and David Smith, our Group Finance Director.

The running order of today is as follows. So following -- Warren will take you through the highlights of 2015. David Smith will then review our financial results in more detail and take you through some additional business disclosures. Warren will then return to share some further thoughts on the next steps we're going to be taking. We'll then turn the proceedings over to questions.

We have quite a lot to cover, so we're expecting the presentation to run for about 40, 45 minutes. But we've allowed time for questions at the end. We will be able to field some questions from the webcast. So if you wish to submit a question, please enter it into the system, and one of the IR team will read it out. If we don't get a chance to cover all those questions, we'll make sure we follow up with you later.

There are no planned safety alerts, so if the alarms do go off, just follow the signs and exit the building in an orderly fashion.

Worth saying, we may also include some forward-looking statements, so please refer to the disclosures in the back of our results pack.

Finally, before we begin, could I just ask you to make sure you've turned off all your mobile phones and other devices.

Thank you. And without further ado, I'll hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Great. Thank you, John. Good morning, everybody. The last time I was presenting in this room, it was actually to a bunch of lawyers at the London Patent Summit. So this morning is much more interesting. And it's actually going to be a little bit longer than our usual presentation as well because, as promised in November, we're including a little bit more disclosure, and David's going to take you through that in a few moments.

I'll start off, however, just with having a quick review of 2015; some of my thoughts on that as well. So we've delivered 2015 in line with the expectations that we set out earlier in the year, with revenue at just under GBP 13.5 billion. That produced a gross margin of just over GBP 3 billion. And I think we're well known that, that was driven by -- the reduction in gross margin there, driven by weakness in our Marine sector and through various mix effects in our Civil Aerospace sector. So the underlying profit was down as well, and that had an effect on the operating margin. I think the cash -- at the very, very end of the year, the cash did surprise us slightly on the upside, ahead of our expectations in November, and David's going to cover that shortly. I think the news this morning, although we did, again, talk about this in November, as far as dividend is concerned, it's very important that we make the transformations that we've been talking about in this business happen. And those transformations do require investment, and that does put pressure on cash. At the same time, we need to retain a healthy balance sheet, which gives us flexibility and preserves our credit rating. And so the board has decided that we will halve the payment to shareholders for the final payment for 2015 and halve the interim payment for 2016. But it is our intention to keep that under review. And subject to the short-term cash requirements, we intend to rebuild that, which reflects mine and the board's confidence in the future cash generation of the business. So that dividend move is important for us.

Now, I just wanted to share some of my thoughts on what really went on in 2015, but I don't seem to be able to -- ah there we go okay -- can advance the slide. I'll start -- and I think there were some good things and some bad things, but I'll start with the things that went well in the markets in which we operate.

In the Civil market, we saw Trent XWB, our new engine, do its first full year of service, and we've passed that milestone now. The ramp-up in production that we foresee over the coming years, we're well positioned for that. Overall, in Q4 last year, we delivered nearly 100 engines, including XWB. That's on the back of large engines. That's out of a total of just over 300 for the year, so you can see the trajectory developing there. The capacity is in place as a result of the investment that we've been making, so we're now very well positioned to exploit that new capacity and deal with the XWB ramp-up.

Trent 1000 TEN, the latest version of the Trent 1000 engine, we did incur a few extra costs there to push that through tests during 2015. But that's now happened, and it's clear that we've made a major advance with the Trent 1000 TEN, and we're very, very pleased with the performance of that engine. And that positions us very well to gain market share on the platform for that engine on the 787.

So from an orders point of view, it was also a strong year for new orders in Civil sector. Clearly, the highlight was probably the Trent 900 engine order from Emirates halfway through the year; but also, towards the back end of the year, with orders from the Chinese airlines. And you saw some noise about that as well.

So overall, we delivered just over 300 large civil engines, and we took orders for nearly 500 large civil engines during the year. The backlog is, therefore, up; and it's up about 4%, which is good.

Switching to Defence Aerospace. I think the story there, revenue, slightly down. There is weakness in demand there, particularly in helicopters and some of our transport business. But in spite of that, there was a modest increase in the profit from that group, and that's been driven by the effectiveness of the cost activities that we've been undertaking there. So that, I think, was a highlight for that business.

Moving around the other parts of the business. In Power Systems, that was a very good result for the full year. There was a strong mix effect across in -- playing into different end applications there and a strong finish to the year and a strong finish in terms of taking orders as we look forward as well. So we're quite well positioned now going into 2016 in Power Systems.

In Marine, we all know that our business is exposed to the offshore sector, and we all know that there are serious problems in the offshore sector, driven by the price of oil. But we have taken swift action on cost reduction. There's some very challenging reorganizations going on, but the focus in the business there have really taken -- they've grasped that metal and getting on with it, and I found that very, very encouraging.

And in Nuclear, we've had some very steady performance.

So the -- group-wide, there have been some good news stories in 2015.

I think we are going to have to change the battery in this thing at some stage. Can you just advance that one instead? There we go. Thank you.

But of course, it hasn't all been glorious. I do understand there were some issues in 2015, and these issues emerged. We talked a lot about them in the second half of 2015, changes in the Civil Aerospace market and, in particular, how we communicated about those changes over the period. And now some of that was directly linked to the speed and complexity of decision making within our organization, and that's highlighted to me that we're just not nimble enough, and we need to do something about it.

Some of that is associated with sort of how we're integrated together and how we work together within the business, and that's a real issue. Part of our transformation program is addressing that. Another part of our transformation program is addressing the thing which became very stark with our announcement in November; the fact that our fixed cost base is simply too high. It makes us very sensitive to market changes, and that's not acceptable, and we are doing something about it.

And underlying all of that, of course, the famous TotalCare accounting complexity. Now, when I look at that, there's nothing intrinsically wrong with it, absolutely nothing, particularly in steady state. But clearly, when we move from one business model to another, it doesn't handle that transition very well. And compounding that, I understand we haven't done a very good job at explaining it. So these are the issues which emerged in 2015: some good things; and some bad things.

So my first month in the business, last July, I have to say, it was interesting month, to say the least. And at the end of July, I had established 5 goals for the remaining part of 2015, and these are the 5 goals. It was just sort of thoroughly understand the business, the products, the processes, the management structure we had; to try to identify areas of improvement; at the same time, keep the wheels turning on the business, and we've delivered what we said we were going to deliver in 2015. We've not changed our outlook for 2016 this morning. So that was also done. And we are making progress on working out how to communicate better, and you're going to see some of that from David's talk in a moment or two. And there's a lot more to be done, and we -- another one of my objectives was to work out what those priorities for 2016 would be, and I'll come back and talk about those priorities in a moment when David has just talked through some of the numbers.

So with that, I'll hand over to David at this stage.

David Miles Smith

Former Chief Financial Officer and Executive Director

So thank you, Warren, and good morning to everybody. Well, I hope you found the statement informative as we provide greater disclosure and context. We've also included within this presentation further slides to paint a clearer picture as we navigate through some of the challenging market conditions, the product transitions in Civil Aerospace and our significant transformation program.

As Warren said, I should warn you that this will make it a longer commentary than normal given the introduction of the new disclosures, but I think we've improved how we talk about expectations both for the current year. And I hope we're therefore meeting -- as we meet with you -- many of you on our roadshow, help you to progress your understanding of those new disclosures as well.

So let me turn now to the review of 2015. And during this, when I give a percentage figure, I'm going to be doing that at constant FX rates, unless I specify otherwise.

So starting with the group highlights. As Warren said, 2000 [sic] [2015]

was a solid trading performance given the outlook deteriorating in some of our key markets, particularly Marine. Our trading outlook for 2016 is also unchanged from the one that we shared in November. Our order book grew 4%, particularly in Aerospace, including the record \$9 billion order from Emirates; but there's no surprise that our Marine order intake was very weak. While revenues held up well, after adjusting for FX, profit before tax declined by 12%, and that included 2 credits for an intellectual property settlement and an R&D credit. Free cash flow also reduced from last year.

On the shareholder payment, as Warren said, I think it's essential that we take a disciplined approach to our financial policy here and manage both the expectation of our shareholders in a balanced way. And I believe that the 50% reduction is a prudent and measured response to what we see before us and the current macro environment.

So group revenue, and this is the comparison to 2014. Underlying group revenue declined by 1%, with growth in Civil Aerospace offsetting weakness in Marine. OE revenue fell by 5%, but was partially offset by a 4% increase in service revenue, particularly in Civil. FX translation effects totaled GBP 414 million, and that took 3% off the revenue line and primarily reflected weaker European currencies.

So turning now to profit. The underlying result was in line with the guidance range of GBP 1.325 billion to GBP 1.475 billion that we gave at half year, albeit at the lower end when I adjust for the 2 credit items that I've already mentioned. There were significant reductions in Marine and Civil profits of similar, absolute amounts year-over-year and a more modest decline in Power Systems. The impacts by business

driver were primarily from gross margin; GBP 311 million gross margin reduction. I'm going to talk about that in more detail as I go through each of the businesses. A small overall improvement in C&A costs.

On R&D, we have -- we did invest further on R&D for the new Trent programs, plus the work that we're doing on the next-generation technologies across a number of our businesses. And that together increased the net R&D charge by GBP 83 million for the year. And within that, the R&D spend was up by about 5%. And there was also a significant decline in capitalization of R&D and an increase in amortization and further higher development cost contributions. So those net brought about this GBP 83 million increase in the charge.

On restructuring, we had a lower underlying restructuring charge for the year at GBP 108 million; less than 2014. That was principally because we took the charges, as you know, for the big programs at the end of 2014 that we announced before November.

And as I mentioned, we benefited from a GBP 58 million gain on intellectual property and GBP 19 million for an R&D credit in Nuclear. FX wasn't a major factor for profits net in the year.

So let's move now to cash flow. Free cash flow for the year was GBP 179 million. As Warren said, that was ahead of our expectations, principally due to customer receipts coming very late in the year, which we've been expecting in 2016. So those will naturally reverse early in this year, and our outlook reflects that.

Having added back depreciation and amortization, which was slightly down from last year, the most significant movements were as follows. So within net working capital of GBP 544 million negative, that was predominantly around a GBP 406 million increase in the Civil long-term contract balance, which now stands at GBP 2.2 billion. There were also higher trade receivables. But that was offset by a reduction in inventory, and our inventory turns improved to 3.4x. Our cash spend on capital expenditure was 100 and -- GBP 479 million. That was lower than the prior year, but it still included new test facilities, together with the turbine blade and disc manufacturing and other production facility upgrades that we've been talking about.

Our intangibles additions of just over GBP 400 million were principally within Civil Aerospace and included the growth in contractual aftermarket rights that comes from additional unlinked engine sales and, further beyond that, certification, software and development costs.

And then finally, the other, the GBP 229 million, was one of the main drivers of cash outflow, and that essentially is because we took the restructuring provisions in 2014, and the cash came out in 2015.

So we get, therefore, to a trading cash flow of GBP 385 million, and that was then further reduced by GBP 160 million of tax payments and GBP 46 million of pension contributions over and above the profit charge within the profit number. And that gets you to the GBP 179 million for the year.

So cash conversion was down year-over-year from 54% to 27%, and I'd just remind you again that we do cash conversion on trading cash flow compared to profit.

Turning now to our balance sheet. We've maintained a strong investment-grade credit rating. We've worked very hard at this. Standard & Poor's updated their rating in January. We moved to an A/Negative outlook; while Moody's have maintained their current rating at A3/Stable. And that did follow very detailed discussions with the 2 agencies, who, I believe, took a very constructive and considered approach to a more challenged outlook.

Also last year, following the October refinancing and the debt raise, we've now total liquidity of around GBP 5 billion and also extended our average maturity out to over 6 years. Our plans for this year include redeeming a couple of smaller facilities, which total just over GBP 200 million. And we obviously had that in mind when we raised the \$1.5 billion bond in October.

So I'll come back to FX hedging in a moment, but I wanted to go straight to the shareholder payment. And as Warren said, the board has taken the decision now to halve the level of the final payment to shareholders when compared to last year's final payment and to do this again at the 2016 interim stage against the 2015 interim. So as a consequence, going forward, cumulatively, this will have reduced

by 50% the shareholder payments over the next 12 months. As we pay both interim and final in the subsequent year to when they're declared, our 2015 cash wasn't affected by this decision; but clearly, 2016 cash below trading cash flow will benefit. Beyond this, future dividend policy will have a stronger relationship with our cash-generation capabilities, as noted in the statement. I think Warren has already covered that quite well.

In terms of foreign exchange translation. So just to remind you, our main foreign exchange exposures are really within the Aerospace Division, where we hedge our net U.S. dollar long position against pounds and euros, respectively. And at year-end, we had a hedge book on the dollar of \$29 billion, which is roughly 5 years of cover. We also have a \$3 billion, roughly, euro-dollar hedge book, which is around 3 years of cover. And the objective of our FX hedging policy is to reduce FX volatility over time and smooth the achieve rates over that period. It's a very conservative policy. It sets maximum and minimum levels of hedging and allows us to take advantage of attractive FX rates while not exceeding certain cover ratios.

We do build flexibility in the instruments that we use to do the hedging, and that manage changes in forecast exposure in any one period through order pull-aheads or delays. Consequently, in my view, analysis of the hedge book split by calendar year is not particularly relevant. I don't believe that's particularly helpful, and we've told you here what the average hedge book rate is over the whole hedge period.

So let's move on now to the business reviews, starting with Civil. Consistent with the plans that we laid out in November, we have enhanced the financial disclosures for all of our reporting segments. And within Civil Aerospace, in particular, we provided some additional revenue segmentation and a trading cash flow breakdown for the first time.

So starting with revenue. For Civil, our revenues increased by 3%. We saw growth in the aftermarket revenues. And that was partly offset by a reduction in OE sales, and that's largely down to reduced corporate engine volumes as opposed to wide-body. The services growth did include GBP 189 million of TotalCare, retrospective adjustments, and I'm going to come back to that at a moment. We sold a similar number of large engines in 2015 as we did in 2014, just over 300 in each case. But our corporate engine volumes fell back because of weaker customer demand. The impact of foreign exchange on Civil was GBP 105 million adverse, and that made about 1 point of difference on the numbers as well.

So Civil Aerospace revenue. Let's break that down now and look at the performance in the various categories, as we said that we would do in November. And I'll also be giving my views -- or our views on 2016 based on this same segmentation. So revenue from large engines, linked and other, which includes spare engines, reduced by 11%; and that reflected the reduction in the Trent 700 and 900 production volumes and was partly offset by the increase linked to Trent 1000 sales.

Unlinked installed large engines increased by 29%, albeit from quite a low base, and largely reflected the higher deliveries of unlinked Trent XWBs for the Airbus A350.

We had good OE revenue growth from -- within corporate from the recently launched BR725, which powers the Gulfstream 650ER. But this was more than offset by lower volumes of other products as we saw weaker demand in the sector due to weaker demand for Russia, Brazil, China, et cetera.

Revenues from our V2500 original equipment sales, so these are the modules that we provide into the consortium, also reduced on the back of lower volumes. So the airframer is starting to migrate now obviously to the A320neo production, and that impacted us last year, as it will further this year and next year.

As part of our work on refining the disclosures, we've also made a change to the breakdown that we give you on reported 2014 revenue, and that resulted in a GBP 198 million movement or reclassification between aftermarket and OE sales. While it doesn't have any impact on the accounting or the business or group level, I think it does give a better alignment of the reporting that we do to you to how the accounting actually works on those long-term contracts.

So turning now to Civil revenue aftermarket. The large engine aftermarket revenues were up by 17%. That was driven by increased flying hours from the growing -- growing fleet of our newly installed Trents

but offset by lower utilization on the older Trent 800s, 500s and RB211s, as we talked about in the last couple of meetings.

These 2015 aftermarket revenues also benefited from the nonrecurring GBP 189 million refinement that we made in 2015, so the way we measure our valuation-risk contingency, which, effectively, is the way that we look at credit on airlines. And that improves the granularity of the credit analysis. For example, we can now, under our new policy, apply a 400% haircut to a specific contract value if we perceive a customer default is more likely. But we've reduced contingency rates for stronger credit airlines. And the net effect of those adjustments had been considered as we gave our updates earlier last year.

Our installed base of corporate engines continued to grow, however, and contributed also to a 13% increase in service revenues on corporate. As expected, our revenues from the regional aftermarket business declined, reflecting retirements and reduced utilization of our fleets, primarily by North American operators. This will continue as we move forward, as we discussed, again, last year. The aftermarket revenues for the V2500 are actually broadly unchanged in the year. Now, those will increase over time, as we've also discussed previously.

Civil Aerospace gross margin. So this is the first slide in our new format now that we're providing greater disclosure around the elements of profit within each of our business segments. Gross margin for Civil reduced by GBP 139 million to GBP 1.5 billion in 2015, and the main trading factors here were the reduction in the linked OE Trent 700 sales, the weaker performance in corporate jet sales and the declining regional aftermarket. And that was partially offset by growth, as I've mentioned previously, in the installed base of Trents.

The margin also benefited from catch-up contract accounting adjustments, and they totaled GBP 222 million in absolute terms for the year, as set out in the statement. And that comprises the methodology refinements I've just mentioned, the GBP 189 million, plus GBP 140 million of in-year lifecycle cost improvements, partially offset by GBP 107 million of other operational factors, so a total of GBP 222 million. And that compares to GBP 150 million last year, which is where we get the GBP 72 million year-over-year effect.

These different items are all broadly expected at the half year and reflected in the guidance we gave at that time. And on the waterfall slide in front of you, as I said, this produces a year-over-year movement of GBP 72 million, so the GBP 189 million of catch-up, the GBP 117 million of net movements over 2014 from the lifecycle costs and operational factors.

We also had, in addition to that, an GBP 84 million year-over-year movement on the Trent 1000, and that follows some detailed and positive engine analysis on the first service. This was recorded as a GBP 65 million in-year benefit from -- by reversing a balance sheet provision that we'd taken to previously impair contractual aftermarket rights. So a lot there, but hopefully, that's providing more granularity.

Turning now, therefore, to the overall Civil profit movement. In addition to that gross margin move, we had some big swings in both net R&D and restructuring costs, and that's consistent with Civil's share of the group analysis that I covered earlier and primarily driven by the spend, obviously, on the Trent 7000 and the spend as we approach flight testing on the -TEN and the XWB-97K. Entry into service of the XWB 84k also had an effect not on spend but through capitalization and amortization of R&D.

So again, a new slide here, trading cash flow for Civil Aerospace. So Civil Aerospace for the year was breakeven, and that compared to roughly GBP 180 million -- GBP 181 million inflow in 2014. It was up about GBP 48 million, however, before we take account of working capital movements. The GBP 130 million lower underlying profit was a clear driver. We also had a slight reduction in the level of TotalCare net debtor growth in the year and an increase in contractual aftermarket rights additions. The year-on-year change of GBP 268 million (sic) [GBP 286 million] in working capital was effectively down to timing differences of payments to suppliers and an increased drawdown of deposits in 2015.

Other significant movements include around GBP 110 million of lower CapEx as we slowed down major development efforts in 2014, GBP 135 million of lower certification and development costs and GBP 29 million higher D&A.

Right, now let's turn now to the outlook and we'll -- again, with Civil. This is a slide format that I shared with you in November and follows the segmentation disclosure that we gave on 2015. For OE revenues, we expect an increase in the large engine revenues. Overall, there'll be an increase in wide-body engine deliveries from just over 300 to around 400 engines in 2016, led by higher volumes on Trent 900 and XWB deliveries, offsetting somewhat the decline in Trent 700 production we've talked about many times before. Other dynamics within OE revenue include the market-led corporate jet declines and the ongoing reduction in V2500 module revenues.

Within the aftermarket, I'd expect large engine to be slightly lower year-on-year as increased revenue from our growing installed base is offset with the aftermarket wind -- headwinds that we discussed in July and November. And this is after excluding the non-repeat catch-up on the risk methodology, so the GBP 189 million. We've taken that out of this analysis.

Corporate jets are expected to be broadly flat, while regional aftermarket revenues will continue their decline. And V2500 aftermarket revenues should be broadly unchanged to slightly up in 2016, reflected expected maintenance activity on our modules.

On this slide, really, I just wanted to remind you again of what we've told you before in terms of the profit headwinds that we see for the Civil business, which, in aggregate, comes to a net GBP 550 million. This is unchanged from the expectation that we gave previously, and we don't see any reason to change that absent any external market conditions or rate changes from the airframers.

Turning now to cash flow outlook. And looking at trading cash flow outlook, and this is -- I struggled a little bit with this slide, so bear with me. We start with identifying the GBP 550 million of headwinds impacting profit. So this will reduce cash flow, and that's why we've shown it with a downward pointing arrow. So that's the logic here; that the downward pointing arrow shows a reduction in cash flow, not a change in the magnitude of the figure.

We would expect an increase in the net debtor for 2016 as linked high-margin Trent 700s are delivered, but not of the magnitude of this year. This movement is expected to be as much related to cost improvements coming through and renewed activity and linked programs as being from any other adjustments. We've, therefore, shown that with an upward arrow as it's less of a drain in 2015; the growth is less than the prior year.

We'd expect the Civil debtor peak to be around GBP 2.5 billion as we continue to be more confident over achievable lifecycle cost improvements coming from the successful launches and first services.

As a quick reminder, the net debtor figure in the group balance sheet was -- is a little bit lower than the Civil number because there's some negatives in other business; it was about GBP 39 million last year.

The CARs balance will also increase in 2016 because we'll sell more unlinked engines. But while volumes will rise, we're also looking for some improvements in unit costs, which will moderate that growth to be about the same as it was in 2015.

One of my personal challenges to the business is to improve the various inputs to trade working capital, particularly better inventory turns, through leaner manufacturing techniques and supply chain improvements. We'd expect this to improve cash flow for the year.

And then finally, within other, there will be an increased spend on development costs, certifications and PPA as we ramp up our production capability. And that will reduce cash flow.

So overall, we'd expect trading cash flow to be negative in 2016 compared to the breakeven in 2015, and that will form a significant portion of the group movement in cash flow we've indicated for the year.

So turning now to Defence. The Defence revenue chart shows a 5% decline, split pretty evenly between OE and services. By category, the lower OE volumes were due to slower [sic] [lower] volumes in helicopter and trainers, partially offset by growth in transport and patrol and combat. Lower volumes in helicopter-related spares also impacted on service revenues, although revenues were supported by higher volumes

related to long-term service contracts on combat aircraft. The FX impact was around GBP 67 million, so relatively modest.

For the gross margin analysis, we've -- it pretty well mirrors the revenue profile, together with a one-off margin improvement on existing long-term service contracts. These LTSA improvements reflect changed flying patterns and improved cost on various combat platforms. And just to note, the benefit in 2015 was at an exceptionally high level, representing an increase of GBP 47 million over 2014. We don't think that that's going to be repeat in 2016. This helpful overall gross margin -- this helped overall gross margin, however, which improved from 27.4% to 28.4% for the year.

In terms of the profit overview then. Underlying profit performance rose by 4% from the prior year. There was a GBP 20 million increase in R&D costs, and that reflects some of the increased investments we're making in next-generation technology platforms. Offsetting that was the lower restructuring costs, again, because some of the major downsizing exercise came in 2014.

So the outlook for Defence. We're very positive still on this, or pretty positive still on this, about the long-term outlook. Defence includes a high proportion of revenues from availability based service contracts, where we've had significant experience in maximizing productivity and returns. However, shorter term, there is going to be some operating market pressure over the next few years; as a consequence, both the pricing pressure, some increase in R&D and also, the operational restructuring that we announced at Indianapolis. Ongoing free cash flow is, however, expected to remain strong, although at a lower level, due to some of those investments. So whilst a drag for at least a couple of years, the benefits of a modern plant on a significantly smaller footprint will be very notable when those come through.

Power Systems. Turning to Power Systems. Underlying revenue of GBP 2.6 billion was 3% lower. That comprised lower OE revenue, offset partially by a small rise in service revenue. The FX impact was of around 10%. It was significant. It was due to the euro weakness, coinciding especially with higher sales activities later on in the year.

In part, the OE decline was impacted by strong governmental business in the prior year we -- where we had had several significant project orders, but also reflected the negative oil and gas market. More positively, the luxury yacht business grew strongly. And we also saw growth in construction and agriculture, helped by demand for new emissions regulation-compliant products.

The order book at the end of the year was broadly unchanged, at GBP 1.9 billion, reflecting quite a diverse end -- set of end markets and a resilience particularly within the Defence sector.

For gross margin. Looking at this gross margin waterfall, the drivers of the decline from 2014 really fall into 3 buckets: firstly, lower overall volumes, impacted by about GBP 20 million; and that was broadly offset by a decline in warranty costs in the prior year, where we'd encountered some previous technical challenges, which we've now been successfully able to overcome. Overall, the GBP 41 million impact of pricing pressure and adverse mix -- business mix on margins, such as, for example, lower naval mix but higher agricultural sales, was the most significant influence on our gross margin for the year.

And then the overview on profit. Other than the gross margin just discussed, the other slightly material event was the FX impact of the sterling-euro movement, which was GBP 22 million for the year, which is a drag on the reported numbers.

So turning now to the outlook. The outlook is steady. As we said -- stand here today, the outlook remains positive, supported by a healthy order book for a number of key markets.

So turning to Marine. The revenue and gross margin slides for Marine show just how challenging this market environment has been for us. OE sales were down 19%, while service revenues were more robust but still 10% lower. The large FX impact was from the movement in the Norwegian krone, in particular.

The order book fell sharply during the year from GBP 1.6 billion to GBP 1.1 billion, with very weak order take in the offshore parts of the business. And this reflected the fact that shipowners in both offshore and, to some extent, merchants segments, are significantly reducing their activity both in terms of replacement vessels but also deferring overhaul and maintenance work. The Merchant business did make

some progress, however, in specialist areas, such as wind farm support vessels. But overall, the markets are subdued.

The Naval business was also down a little, particularly in spare volumes; but continued, actually, to focus on long-term development work and deliveries, such as for the U.S. and U.K. navies.

In terms of gross margin then, the decline in volumes, including some canceled contracts, placed increased pressure and further strain on our gross margins. Together, these produced a negative GBP 139 million movement in gross profit. These included some financial charges, which were a provision related to offshore -- an offshore customer contract terminated due to market decisions, as well as some other smaller contracts. And the product quality provision that we took in 2014 wasn't repeated this year.

So while we take all these factors into account, total gross margins declined to GBP 286 million. As I said, that was GBP 139 million lower at constant FX.

And really, that's the story for Marine. Because we're operating effectively very close to breakeven in Marine now, that -- that relatively small drop in revenue produced quite a significant drop in gross margin and, therefore, a big drop in underlying profit of 94%, reflecting the gross margin impact. This was partially offset by some improved C&A costs as we reduced direct headcount -- indirect headcount and footprint, especially in the second half of the year; but also, we therefore incurred some higher restructuring costs as well. During the year, we announced 2 large restructuring programs, and that will lead to the reduction of around 1,000 employees in operations and back-off functions. We're well through this process now.

So the Marine outlook. With continuing volatility in the oil markets, I think it's very unlikely that the offshore market will see much improvement in confidence and activity within 2016. As a result, we are continuing to focus on the positioning of the business and addressing its cost base. As Warren discussed in November, part of the cost savings will derive from the programs, but we will be investing some of that back into additional R&D. We'll also seek to develop further relationships and make inroads into the Asian merchant marketplace. Naval is likely to fare better with some long-term contracts, reflecting the greater stability of the business.

For the Nuclear business, underlying revenues increased by 9%, with OE revenues up 12% and service revenues up 7%. The OE growth came particularly from the Vanguard refueling project, together with a Finnish instrument and controls upgrade. Within services, growth came through the refueling project and also a broader spread of Civil projects. Gross margin was lower due to the submarine servicing program and the impacts of recognizing revenues, where we passed through some subcontractor costs to the project manager at 0 margin.

At the profit level, lower R&D expenditure was largely due to that R&D tax credit -- R&D credit. This included a retrospective element back to 2013, where we elected to join the R&D credits regime for the first time for the submarine business. While having no impact on profit after tax, it did move GBP 19 million of credits from the tax charge up to the R&D charge. Overall, the outlook for the Nuclear business remains steady.

So I'd just like to comment on some more technical elements within our business. In addition to the segment analysis that we've provided you, we also actually created an "other" category this time which contains some smaller residual retained assets relating to the Energy business. They were previously reported within Nuclear. The value of those isn't particularly material, but we think it helps to split them out. We've also included within that the onetime gain that we saw last year from the intellectual property gain. So I hope that will make things a little clearer as well.

On finance charges. In 2015, the finance charge number benefited from around GBP 34 million of intra-group dividend hedging, and that was mainly associated with prior-year M&A activities. So the true comparison is really the GBP 94 million to GBP 90 million to GBP 110 million that we're showing on this slide. And we split -- the GBP 90 million to GBP 100 million splits roughly 2/3 between interests and 1/3 within commercial arrangements.

Our effective tax rate will rise from a 24.5% level in 2015 to probably around 26% in 2016, and that's actually just being driven by the mix of where we make profits into higher tax regions.

CapEx will be focused on our Aerospace transformation activity, including the Indianapolis investments. We expect this to increase a little bit from the last year's GBP 494 million.

Our net R&D spend will continue on new development programs as we complete some significant new product launches, such as the 97K, XWB; and we expect net R&D spend should be broadly unchanged or slightly lower.

For free cash flows. In 2015, we did come up ahead of expectations, probably GBP 200 million plus ahead of expectations, and that's been led by strong cash receipts, including the IP receipt that we got; and good management at year-end of inventories. This reflects how varied our cash flows can be at any one moment in time. For 2016, I believe that we'll be in line with our previous expectations of a modest overall outflow, somewhere in the GBP 100 million to GBP 300 million negative range.

So thank you for your patience. I know that was a longer presentation. In conclusion, the full year results were in line with our year-end -- with our earlier expectations, albeit at the bottom end of the range. That reflected the challenging oil and gas markets and the transition effects in Civil Aerospace. Both of these we see coming -- continuing throughout this year. However, from what we know as we stand here today, our outlook for 2016 is unchanged.

With a prudent financial policy and the actions we've taken in 2015, we have a stronger balance sheet; a significant growing market share, particularly in our key aerospace markets; and a transformation plan set to deliver meaningful and sustainable savings. And it's for that reason I remain very positive on the long-term future of this business.

I'm going to now hand back to Warren.

D. Warren A. East

CEO & Executive Director

Thank you, David. Thanks very much. Well, there was a lot of information there, but I hope that helps you all to better understand our business, set it in the context of all the other information that you're able to get about the market in which we're operating. So I'm just going to share a few thoughts now on 2016, and what we're going to be doing in 2016.

In November, we put this slide up outlining our vision and strategy. And I said at the time that the actual articulation that you see here on the slides is work in progress, but the thrust of what's said here is correct. And that remains the case as we go into 2016.

Now, I finished the first part of the presentation talking about the 5 goals for 2015, and the last one of those was to establish our priorities for 2016. So these are our priorities for 2016. And alongside the 5 goals in 2015, I quickly realized that we needed to add more pace and simplicity into this business. And so for '16, we've just got 3 priorities. And actually, the first of those 3 priorities is to strengthen our focus on the 3 strategic themes that I talked about in November. That is engineering excellence. This business is all about our engineering excellence. And what we need to do now is strengthen our operational excellence. And together, those 2 will enable our strong business model to really work, and that's all about leveraging the installed base. So the first priority for '16 is to focus our efforts on those 3 strategic themes.

The second one is the transformation program that I announced in November, together with the transformations which were in-flight both in our Aerospace business, improving our industrial base and the like. That, absolutely, we need to continue, and we need to get off to a good start in the transformation program I announced in November. 2016 is going to be a pivotal year, and getting off to a good start on that is essential.

And the third point, the third priority for '16 is about rebuilding trust and confidence in our long-term growth prospects. This is a fantastic business. We are playing into structurally growing markets. We have a great set of products and technologies that people actually want to buy. And all the transformation we're

talking about is about improving our profitability fundamentally. And what's missing is the confidence, and so it's a priority to rebuild that.

So I'll start on the left-hand side of the slide with the first of the 3 strategic themes. Now, the first one is engineering excellence. Rolls-Royce is all about engineering excellence. And the example here on the left of the slide is showing how we're making our contribution to improving the emission performance of airplanes over the next several decades. And already, over the last several years, we've moved -- from 2000, we've moved to well over 10% improvement on the 2000 original carbon emissions with Trent XWB. And with the new engine programs that we have in-flight at Rolls-Royce, then you can see that we're making really big strides through our engineering excellence.

But it's not just about the underlying technology and the products that we design; it's also about the technology that goes into how we make these products and how we make the components for these products, our manufacturing technology, too. We don't do all of that ourselves. Some of that is done in partnership with other companies and with universities. And this is an example of one such manufacturing technology center.

Now, such facilities as those, of course, help us with our second priority about driving operational excellence, and those sorts of things are already making a difference. And, for instance, in 2015, in our Aerospace products, we achieved a product cost reduction overall of nearly 2%. Some of that came about through better collaboration and partnership with our external suppliers, and some of it came by really being able to tightly constrain our cost increases against upward pressure caused by lower utilization of new facilities and inflation. We managed to constrain that against those pressures to 1%, so overall, an almost 2% improvement in product cost in the year. A real example of that would be this component, our wide chord fan blade, where, by applying some of the manufacturing technology I talked about a moment ago, by basically increasing the amount of automation around one particular critical process, this is quite innovative, patented technology, but it enables us to get much, much better consistency, reducing scrap, reducing processing time, producing an overall improvement of 6% in that component cost. So the whole transformation, of course, is the sum of many such projects, but these projects are happening.

In November, I talked about a new form of 80-20 rule, where we're able to produce 80% more components in 20% less footprint. And I talked in November about our aspirations with those goals for 2020. Actually, 2015 was a pretty good year on that journey. In 2014, the footprint actually went up as we invested in new facilities. But in 2015, we began to come down on this trajectory towards 2020, and so an 11% reduction versus our 2013 base achieved by the end of 2015. And that was at the same time as, if you'll recall the first part of the presentation when I talked about our volumes being on an increasing trajectory. Although the year-on-year volumes look pretty flat there, as I said, by the time we got to Q4, we were pushing out engines at a much higher rate on that journey to 80% more by 2020. So good progress in operational excellence as well, and we need to keep focusing on that as we go through 2015.

Now, the third strategic theme is the installed base. And the big thing about the installed base is that we are in the middle of a transition. We're in the middle of this period. If you take from, say, 2005 to 2025, then we are more than doubling the number of large engines in our installed base. And that, obviously, puts big pressure on our repair and overhaul network, and it puts big pressure on because we need more capacity but also because we need more flexibility. So we have made changes in our repair and overhaul network, and we've made changes to increase that capacity, to increase that flexibility and actually, as a consequence as well, to increase the competition within the network and so provide better value.

But it isn't just more engines that are out there, there's a change in the nature of those engines. Because if we look between 2005 and 2025, we're increasing by a factor of 100, more than 100, the number of engines that are over 10 years old. When the engine gets older, then it needs different type of maintenance. Customers need different -- a different type of care. And so not only are we changing the structure of our network, we're changing the business models associated with that to deliver better value for our customers as they deal with older engines. And that better value, of course, is then shared with us and makes our business more resilient.

The second priority for 2016 is all about transformation, and I talked about this a lot at the end of last year. We have, since then, installed a transformation team. We've got that team up and running. It's

building; we're adding people to that as we speak. And that team is going to ensure governance over all the programs, not just the new program that we announced in November but actually, making sure that we really deliver on the programs that have already been started. And it's important that this team achieves a really enduring impact on the business with this transformation activity. And that's what they're doing through process simplification, making sure that our cost reductions are sustainable. And they're also helping to update how we manage that with our key performance indicators. By the time we're done, then we'll have much more robust management of not only the transformation process but much more robust management of our ongoing performance.

So what's actually happening in all these transformation programs? Well, we put this slide up in November. This is a snapshot of the programs announced prior to November. One program in the Aerospace markets and one in Marine, and they are on track come the end of November. And the good news is that reviewing the programs then, it looks like there's possibly a modest upside in the benefits that we get from the Aerospace program. The one going on in Marine is at an earlier stage, but that is also on track. So we're on track to deliver these programs.

If I look to the new program -- or sorry, not quite yet. In the Power Systems part of our business, we kicked off a new program in the back half -- or in the back quarter of the year, and this is quite an overreaching one. This is looking at all the processes and capabilities that we have in our Power Systems business. It's looking at the market opportunities, making sure that the products are better aligned with the market opportunities and looking at the actual operational performance and how we can improve that. That's under way now, a few months under way. We've got 7 work streams up and running on that. And I think this part of our business offers great potential.

Now to the program that we announced in November. We are off to a good start. It's a mixture -- if you remember in November, I talked about organizational hardware, that's the -- that's really the sort of structure of the business; and organizational software, which is about the processes and behaviors that you wrap around the organization. And we've got off to a good start. We've made some structural changes already. We've already identified about half of the target that we set out in November, and we've established that the cost to achieve that, for 2016, looks like it's going to be somewhere between GBP 75 million and GBP 100 million. But as we go from Q1 into Q2, we'll be moving from structure more into the processes, from the organizational hardware into the organizational software. And we'll be doing that. Most of the planning for that will be done in Q2, and by the time we get to the end of Q2, we'll be able to update you on progress as we go into implementation on that in the second half of the year.

I think we can now move on to the third goal for 2016. This is about rebuilding trust. Now, this is a hard one. It's obviously going to take some time. I hope we're making our first steps, and I hope you've seen the first steps with the improved disclosure. And you've seen an example of that this morning. Not only what we produce in the slides and what we produce in the release, I hope you're going to see us more open in our discussions. When you talk with us, I hope you'll see us more open and ready to discuss the challenges and opportunities that we have.

Now, to that end, a quick update on -- so where are we on that November program? We set out this time line in November. I think we've done with the analysis, we've done with the prioritizing, we've got the team up and running. We now -- we've -- I just talked about some of the initial costings. We're making progress on that. We're starting to develop measures, measures addressing things like unit cost improvements. There will be measures addressing things like cycle time improvements, and we will be communicating along with that time line that we set out during this year.

Crucial to rebuilding confidence and trust, of course, is keeping an eye on the ball so that we actually realize some of this great future potential; that we deliver what we say we're actually going to deliver. And there is tremendous underlying growth in our long-term markets. We can see passenger volumes set to continue to increase. I mean, yes, these things will wobble around a bit year-on-year, but over multiple years, there's a very solid underpin to our growing markets. The quality of our products and our technology is there. You can see that in our growing market share. And the fact that our customers actually want to buy this, you can see it in our growing order book. So what we need to do is keep up our investment in R&D to fuel the sort of innovation, some of which I talked about a moment ago, to complete

the transformation in our supply chain internally and improve the collaboration with our external suppliers. And our backlog is already starting to reflect the value of our products. I'm very confident that our pricing is robust. And our visibility, of course, is good for the long term. Of course, there will be some short-term fluctuations. But you can see evidence which is there to support our confidence in the long-term strength of the business.

Now, there are opportunities in the portfolio, as we discussed in November. My focus for 2016 is much more operational, but the opportunities are there. Remember what we said in November, 75% of this business is very well positioned from a competitive and market attractiveness point of view. Clearly, there is stuff we can do to improve some of the other parts of the portfolio. We've not forgotten that. We will be getting on with it.

So what sort of things can we do to improve those other business in those other parts of the portfolio? Well, within our Power Systems and Marine sectors, we talked about improving value-added products and services. By looking at the systems and the products in that portfolio that actually work together, we're able to pull through sales and make a difference.

To drive the cost competitiveness, yes, there are certain parts of the business where we need to really focus on driving the cost competitiveness, but that can be achieved. And for instance, improvements that we're now making in some of the project management within parts of our Nuclear business, not only improving the delivery for customers but, of course, removing a lot of the cost because we're removing a lot of the rework.

And strengthening our routes to market, we're already seeing examples of that happening and being reflected in the order book in our Power Systems business.

In Aerospace, it really does remain the fact that installed thrust is a good proxy for aftermarket revenue potential. Installed thrust is all about volume, number of airplanes that are there and the price per flying hour. The price per flying hour increases with thrust because more thrust means more passengers means more value for our customers. You can see we remain on that cusp of really seriously increasing the size of the installed base. And I think some of the data points that I highlighted earlier in the presentation about how the volumes of orders taken last year compared with the deliveries going out of the door accurately reflect the fact that we're on that cusp.

So that's why we shared these slides with you in November. That's why we're confident about the cash generation of the business. I'm confident that the analysis is robust based on what we can see today, what we can see in our order book, what we can see in our pricing, what we can see in our expected costs and what we can see in the expected utilization of our facilities. And so today, at just over a 30% market share with the journey to a 50% market share, this is what continues to fuel our confidence and what I hope will improve some of the confidence that's out there.

Just want to remind people, there are a few legacy issues, and we haven't forgotten those. And we are committed to ensuring the promise of the Rolls-Royce brand, which means we're doing everything we can to cooperate about these legacy issues. We have addressed, and we continue to address, the underlying factors behind the issues. And we're absolutely totally firm on 0 tolerance to anything untoward.

So in summary, the messages I want to leave this morning, we delivered what we said we were going to deliver in 2015. We're not changing anything about our expectations for 2016. We do understand the issues that we face within our business, and we are dealing with them and we're injecting some pace into the way in which we're dealing with them. And I remain very confident in the future as we play into growing markets, growing our market share and take steps to grow our profitability. So with that, we'll take some questions. Thank you.

Question and Answer

D. Warren A. East

CEO & Executive Director

Who went first? Let's start in the middle row here. You'll have to know all the tricks. I was looking at the chair, not...

Nick Cunningham

Agency Partners LLP

Nick Cunningham from Agency Partners. First of all, thanks for the extra disclosure, although I think it will be a mixed blessing because I'm probably going to lose the next month rebuilding the model. A question on the point you were making about better value for owners of older engines. I mean, does that roughly translate to lower pricing for, say, maintaining 15-year-old-plus engines? And does that have any effect on the business case when you're looking at, say, a Trent -- an Airbus A380neo with a Trent 9000 or whatever it is? And then the second even broader question, if you like, in the absence of external surprises or the sort of macro issues you were mentioning, that's a big caveat, looking at the moving parts that you do know about within the group, does -- would they make 2016 the worst year in terms of profitability and cash flow? Do those known bits start to get better in 2017?

D. Warren A. East

CEO & Executive Director

Okay. So the question about the aftermarket and the new models that we've introduced in the aftermarket and delivering extra value. The point here is to better match the customer needs. If we've got an old engine that the customer's only going to keep for a relatively limited period of time, then tying in a long period of service agreement doesn't make sense. So more of a sort of "pay as you go" makes it much easier for the customer. And for us, being able to deliver on that through not necessarily supplying totally new parts but being able to sort of recycle parts from older engines improves our costs dealing with that. So it's a genuine sort of win-win, and it's trying to be flexible and understanding the position from our customer's point of view. I believe if we're delivering real value like that, then we stand a much better chance when it comes to the front-end than signing up the longer-term agreements in the first place. The actual impact that, that has on things like the A380neo program, well, the A380neo program, of course, completely the other end of the time line, and it doesn't have an impact as far as our business case is concerned because when we do our business cases, we're only taking into account the first part of the lifecycle of the engine when we're building our business cases.

David Miles Smith

Former Chief Financial Officer and Executive Director

So Nick, on your second question, I mean I think this is very consistent. As you said, there are always external factors. And I've been pretty clear I'm not betting on a improvement in the Offshore and Marine outlook in the near future, but we are taking action on the cost of the Marine business. And essentially, I think all of the things that we're doing, as we've discussed before, are addressing 2 or 3 different issues. One is we've got to get the cost right as we ramp up the Trent ramp. We are dealing with the industrial footprint there. The cost improvements of that are going to start coming through as we go through the rest of this decade. We're dealing with the issues that we see in Marine. Warren showed a slide with the RRPS program, that's actually a really well-thought-through program, and they're looking at revenue, cost and sort of business structural issues as well. So in my view, 2016 is where we start transitioning from dealing with a lot of legacy issues to getting ahead of the curve on driving the business. And we will start seeing the benefits of that, both lifted by growing aftermarket revenues in Civil, obviously, install based growth, but also lifted by the benefits of the cost improvements that come through. And we clearly have to work hard at that because the macro environment is not kind to anybody at the moment, and we're cautious about that. But we think, as I say, we've been through all the plans again for 2016, and we're very comfortable we've got that in the right place. But 2016 is about delivering on those plans and driving that transformation that will improve '17, '18, '19, '20.

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Edward John Stacey*Haitong Bank S.A., Research Division*

Ed Stacey from Haitong. Two questions. The first one's on the risk provisioning in that Civil gross margin slide, GBP 189 million of benefit to 2015. I just wanted to check whether that was historical risk provisioning that had been taken that had been excessive, and so you're sort of getting a one-off write-back or whether that GBP 189 million is sort of an ongoing benefit; annually, you're going to book GBP 189 million less of provisioning. And then the second question is the 2016 guidance, and apologies if I've missed something that you actually told us, but is IAE and the profit contribution -- because you've given us additional detail on IAE revenues, but I wonder if I've missed something there on what the profit was. I mean, is it more than half of the Civil division profit for 2016 is IAE?

David Miles Smith*Former Chief Financial Officer and Executive Director*

So on the risk provisioning, so effectively. 3 years ago, we put in a -- both an accounting policy and a methodology for looking at credit risk, so, effectively, our risk on airline contracts from the credit risk of those airlines. And we had a policy that was almost directly derived from the credit ratings. Our accountants, for a couple of years, had been flagging that as a bit cautious. We said that we would look at it after 3 years, and we did that during this year. And we concluded actually, we were being overcautious on the higher credit-rating airlines and -- but under-cautious on some of the higher-risk airlines. And I'm certainly not going to give you any names, but -- and therefore, the policy was both overcautious and not very well focused. So we've changed the policy. Now the outcome of that is this onetime change in the risk provision, but it will fluctuate over time. So if we see a general trend in credit around airlines, that's going to change that number over time. But the policy is, I think, a much better way to think about the credit risk on these long-term contracts. The second question around IAE, I mean, we've discussed this a few times in terms of the profitability. You're right; it is over half of the Civil profit this year. The revenue, as we've discussed before, is in 3 parts: the modules that we supply, which is obviously now going to decline to 0 over the next couple of years; the revenue from spare parts that we provide; and then our ongoing -- or our own activity around those as well. Both of the latter will increase a bit over time. But IAE is a significant part of the Civil profit because we're quite close to breakeven at Civil at the moment.

D. Warren A. East*CEO & Executive Director*

Let's go here. Can we go back there first, and then maybe -- oh, we've got one at the back and then Maria, then you [ph].

Christian A. Laughlin*Sanford C. Bernstein & Co., LLC., Research Division*

Christian Laughlin from Bernstein. Two questions for me, please. Firstly, Warren, specifically for you with regards to the ongoing strategic review. I was just wondering if you can add any color or commentary on, incrementally, what you have learned since November. Just kind of like a broad, open question there, I guess, on that. And then secondly, David, you had mentioned in your presentation that inventory turns, particularly in '16 and the implication is onward in '17 and '18, are an area of focus for operational improvement with respect to working capital management, cash flow, et cetera, and so on. I was just wondering if you could kind of add some color as to what provides the comfort or confidence in trying to tackle issues like inventory turns or just, in general, being very aggressive in performance improvement during a time where you are doubling production and delivery of large commercial engines over the next 5 years. How do you balance going after costs and, say, trimming some fat against the risk of -- of schedule risk in execution?

D. Warren A. East*CEO & Executive Director*

Let's -- I'll answer those 1, 2. I mean, on strategic review, I think I've been fairly clear that this is a background activity and we must set that as a context. I mean, basically, the focus for right now and for 2016 is on operational activity. It's on improving the operational performance of our business. Now, as I

said in November, it turns out that it's absolutely impossible, really, to separate that from thinking about the way the portfolio is built up. But that doesn't mean to say that we're diving right into the portfolio and changing bits here and there. So my brain cycles spent on the portfolio versus brain cycles spent on the operational transformation are very heavily weighted in favor of the operational transformation at the moment. That said, since November, specifically, my understanding of the opportunities that we have in front of us in our Power Systems business, I would say, has definitely improved. I'm actually feeling a lot more optimistic that by applying the efforts that we're applying from an operational point of view into that part of the business, we can make that an interesting opportunity. And also, my understanding of some of the detail of the product portfolio in our Marine business and how some of those system components work with other parts of our business and -- or not, as the case may be, I would say has improved. And as and when we sort of are able to spend a bit more time on that strategically, then probably, my own understanding of that has improved. But it's not really a priority for now.

David Miles Smith

Former Chief Financial Officer and Executive Director

So on the second part of your question, I mean I will answer that in sort of 2 parts. Firstly, I don't think anybody who sort of goes around our businesses would say that we are where we want to be on inventory performance. One of my board members told me that yesterday, so I agree with him. So I think from a lean systems point of view, we have lots of opportunity within the business. We're at sort of just under 3.5, which, I turn around and say that's about 100 days. There are certainly people who are able to operate at 60 to 75 days. Whether that's in best-in-class, we can debate, but that's more like sort of 5 turns. So we have plenty of opportunity here. And it's the lean manufacturing that will really drive that. And as we change our industrial footprint, if we don't get it right now, clearly, we'll lock in inefficient practices for a long time. So this is actually the time to do it. But you make a very, very good point about competing priorities. So just in that case, as we want to develop lower-cost sources, we extend our supply chain so we've got to watch that balance as well. And particularly, as you say, as we ramp production, it's extremely important that we meet our customer delivery schedule. Now, in my experience, that's a virtual circle, not a trade-off. Because if you can get much more effective at delivering to schedule, it means you've actually fixed a lot of the issues which create the inventory and the buffers in the system. So they are not trade-offs. They're reinforcing things, but it's clear our priority has to be to make sure that we can deliver to schedule as we go at this ramp, and we are doing that and we'll continue to really focus on that. And we will be making that one of our really key metrics that we measure people's performance on as well.

D. Warren A. East

CEO & Executive Director

I think we're at the back there.

David Howard Perry

JP Morgan Chase & Co, Research Division

It's David Perry from JP Morgan, right on the back row. I've got 2 questions, one on Civil Aero and one, rather broad, on everything that's short cycle. Just on Civil Aero, and I really hope I'm not going to make myself look silly here that I've missed something obvious, I'm just trying to understand the guidance because it seems -- you've told us there's GBP 550 million of headwinds, but there's GBP 80 million of cost savings and yet the profit guidance seems to be very clearly GBP 550 million down. So I'm not sure where the savings are. And certainly, the guidance you've given today does appear to be below the consensus that you disseminated yourselves in Civil Aero. So if you could just explain that to me. Secondly, and so it's a broader question, if I take the shorter-cycle businesses, and I would include in that the Oil & Gas piece of Marine, a lot of what Tognum does and business jets, it feels like the world has changed quite a bit since November '15, for the worse, in all those markets and yet your guidance is unchanged. Is that because you were extremely prudent, you think, in November? Or do you think you're just being a bit optimistic in terms of what you're expecting now?

David Miles Smith

Former Chief Financial Officer and Executive Director

So on the first bit, you're right; we have cost savings coming through. But as I said, I think we will see a lower level of onetime adjustments coming from contract accounting, so that's a bit of a negative from profits. So the GBP 550 million is still, we feel, about right. Now, there's a little tweak on that, I guess, in that we've also said within the statement, we didn't have it on the slide, that we think the transformation program will probably deliver something between -- sorry, I'm talking about the program that we announced in November, an incremental saving of GBP 30 million to GBP 50 million. We haven't allocated that by the businesses at the moment because we're still working through that. So that will provide a little bit of support also to the Civil business. So overall, I think the numbers are still about right for Civil. In terms of the macro environment, I would agree with you. I mean, I have to think just the first 3 days of the year caused me to shudder a little bit in terms of all the things that people are talking about around the world. And certainly, we've seen that over the last week or so in terms of the concern about financial markets as well. So yes, there are. But I think we took a pretty deep view when we came up with the outlook in November around how we saw the marine market. We've not assumed any uplift from the oil and gas sector there. Oil & Gas is, remember, a relatively small part of RRPS's revenue. I know it's less than 10%, I actually think it's close to 5% at the moment. So it really is it's Marine that's affected by that. And we took a more conservative view on how we saw the legacy Trent business developing based on what we were seeing during the second quarter. I think we probably got ahead of everybody there because I think some of the things that we said and told you about have now been demonstrated, I think, by some of the external evidence. And certainly, we took a more conservative view on the corporate jet market which, again, I think is being reinforced with what the airframers are saying now. So all of that, we've taken into account. We've been round it. We've been round it in a lot of detail. And we didn't want to change the outlook based on what we see. Clearly, we understand our responsibility if we do think it's changed to tell you about that, but we absolutely don't see the need to do anything at the moment.

D. Warren A. East*CEO & Executive Director*

Yes, let's stay at the back for a bit, and then we need to come down to this corner at the front.

Jaime Bann Rowbotham*Morgan Stanley, Research Division*

It's Jaime Rowbotham from Morgan Stanley. Two questions, please. David, very useful to get the trading cash flow table for the Civil division and understand why you think that goes into negative territory in 2016. I just wondered, given further CARs additions linked to XWB in 2017, do you think we're looking at another step-down year-on-year in '17? Or can it flat-line? Or can it start to inflect the trading cash flow in Civil? And the second question, a bit of a follow-on from David's, but just focusing specifically on Power Systems. In 2014, I think the order book grew a little bit from GBP 1.9 billion to GBP 2 billion. And yet in 2015, ex FX, revenues fell GBP 72 million and profit by GBP 37 million. In 2015, the order book has actually come down a little bit from -- I mean, we're talking small beer, but GBP 2 billion back to GBP 1.9 billion, and yet you're projecting growth in revenues and profits. Again, what sort of drives the confidence there? And where do you think that growth's coming? Is it in mining? Is it in agriculture, construction, rail? Any color -- or is it linked to the work-share programs you've talked about? Any color would be much appreciated.

David Miles Smith*Former Chief Financial Officer and Executive Director*

On Civil trading cash flow, I'm not going to get drawn into giving a '17 guidance, I wasn't planning to do. But the dynamics are going to be favorable because we will start getting the benefits coming through of the cost improvements, as I was describing earlier. We'll start picking up further engine flying hours on the Trent installed growth. So you're absolutely right; there will still be negatives going in from CARs. We're working on bringing the cost per engine down, which will mitigate that somewhat. And we actually see -- we'll see some benefit in '16 versus '15 from that source as well. But absolutely, we will be inflecting to more positive views, but I'm going to stop short of giving you any specific numbers, certainly, around 2017. On your RRPS question, this, unfortunately, is one that you have to go into a bit more detail because of the mix of businesses, so some of the shorter-order book and longer-order book contracts. And I think there's actually -- positives, actually, in the order book even though the absolute number has gone down

because we are seeing stronger order book coming in, in some of the shorter-cycle business, things like power generation, for instance, which aren't necessarily longer contracts that have replaced some of the governmental business we saw. Power Systems has got an order book over quite a wide variety of end sectors. That area of power generation is certainly a positive one for us at the moment. We see some upside in some other areas. Warren mentioned the locomotive businesses. That's a very successful product line. And I think there'll be some positives also in some of the Defence-related businesses for MTU. So -- and as I said, Oil & Gas is actually quite a small part of their business at the moment, so the commodity exposure is quite low. So I think, yes, the absolute number is about the same, but we are actually quite positive that we'll see some revenue and profit growth in 2016.

D. Warren A. East*CEO & Executive Director*

Okay, I think we're over here.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

Rami Myerson from Investec. Three questions. First, on the new maintenance facilities and the maintenance -- well, not new for maintenance, but maintenance contracts that you've announced in the new -- and the way you've split the facilities, will these new facilities be able to part out existing engines by themselves? Will they be able to develop their own techniques to fix secondhand spare parts? Or are they going to compete on labor only and, of course, all the spares will be coming out of Derby? And will, over the course, encourage a secondhand market in your engines? A second question's just on pricing because we've heard anecdotes that there's a lot of pressure on pricing on wide-bodies. The market looks like it's becoming more saturated, increasing product to wide-bodies. And also, comment on A330ceo and of course, the lower oil price environment. And lastly, just on the Defence aerospace, is the increase in revenues related to increased flying of export customers in the Middle East? Or is it increased flying of RAF aircraft?

D. Warren A. East*CEO & Executive Director*

Okay. A comment on the increased flexibility within the repair and overhaul network then. I mean, today, the individual companies are able to sort of move around the activity that they're doing. And absolutely, we're seeing some doing more of the sort of reconditioning of old parts. And the structural change we made was more about the geographic region in which these people operate rather than the scope of activity that they're actually doing. And that geographic region means that somebody in Asia, for instance, can service a customer from Europe and vice versa, which was not the case previously. So that's where the sort of flexibility comes in or the increased flexibility comes in and it actually increases the competition as well, which probably stimulates some of the more creative thinking for the former. Question about the sort of general softness in wide-body, concerns about overcapacity and the like. Then, there are some very specific issues associated with some of the aircraft that are parked at the moment. They're specific to individual airlines. What we see is underlying growth continuing in the demand for a number of people who are flying and the amount of flying that they're doing. We saw that happening throughout 2015 through to the end of 2015. And even in China, we're seeing continued growth there. So I think I'd sort of fall back on some of the fundamentals to understand how we're not getting a basic imbalance between the rate at which the industry's able to supply new capacity and the rate at which the industry's able to consume it. In the detail, there are certain airlines and certain planes which it gets a bit out of balance. And sometimes, as evidenced in the numbers we talked about in November, we get a little bit caught in the crossfire.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

And are you seeing any impact on pricing?

D. Warren A. East*CEO & Executive Director*

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In terms of pricing, it's always competitive out there. And where we are competing engines, then, yes, we're seeing competition. But I wouldn't say it's, in any way, directly correlated to some of the issues that we're seeing in parked aircraft. We have to work hard with the customers that we have, but we are placing secondhand aircraft and we're placing secondhand aircraft at the sort of absolutely competitive rate.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. I'd just add, I mean, clearly, the area that we have seen the most pricing pressure was on the A330ceo. We talked about that, and that was a big impact on the GBP 250 million headwind that we talked about for the Trent 700. So that's clearly an area where we have. But I think on the A350 perspective, Trent 7000, A330neo, I don't see any evidence of that at the moment. On your last point, I mean last year, it was really around U.K. combat. But I think we will see some more Middle East-related benefit in 2016.

D. Warren A. East

CEO & Executive Director

Well, let's go here, and you.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Ben Fidler from Deutsche. Three questions, please. Sorry if they're a bit nitty-gritty. Thank you for the ultimate guidance on where the TCP net debtor comes out at. I just wondered for CARs, which I think was about GBP 400 million at the year-end '15, where do we see that ultimately peaking and when? The second question was just again on -- thanks for the new disclosure. On the C&A allocation to Civil Aerospace, just a question about the order of magnitude of that number. It seems that the central admin cost allocation of Civil Aerospace is about the same as Marine, for example. Marine is 11% of group sales. Civil Aero is 60% of actual group sales. Just trying to understand why that apparent allocation is in place. And then maybe if you could deal with this, I'll come back with the third question because it's a bit more complicated.

D. Warren A. East

CEO & Executive Director

Deal with that one.

David Miles Smith

Former Chief Financial Officer and Executive Director

On CARs, so interestingly, the CARs growth last year was a combination of Trent 1000, which is actually about half of it and a smaller number on XWB and some Trent 700, obviously, because of the lower pricing that we got on the ceos coming through. So we will see, as I think was mentioned on the slide, about the same level of CARs growth in 2016 or slightly higher. So that's a combination of higher volume but actually better unit cost, so the 2 are beginning to mitigate. So over time, this better unit cost is going to be the thing that creates the peak. And as I've said previously, I think that that's going to peak probably around the sort of 2020, 2021 range. If I tried to give you an estimate now, I'd probably be where I think I might have mentioned numbers before in the sort of GBP 1 billion, GBP 1.1 billion sort of level. That's -- but it's going to be volume increase but each year better cost position that will essentially get us to a peak situation and then, obviously, that will start falling off. Remember, every year also within the CARs growth, there's a negative because we're obviously amortizing a bit. And that will start growing over time as well.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

On C&A?

David Miles Smith

Former Chief Financial Officer and Executive Director

Oh, sorry. Yes, on C&A -- actually, a larger part of the C&A than maybe is implied is actually within Civil itself, so this is Civil's own C&A to run the Civil business. They do get, clearly, an allocation of central services, accounting and things like that, but the larger part of Civil's C&A is actually what they're spending to run their business. It is much lower as a percentage of revenue than Marine or Power Systems, for instance. You can easily do the Math on that now. And that's a real focus, actually, because that's quite a large part, for instance, of what the RRPS program is trying to address, but clearly, it's a higher percentage. So it tells us that we need to do more work in those areas. So the allocation methodology of anything that's in the central is fairly standard. It's much more about what it actually takes to run the businesses.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

Well, it's great to hear that there's some good efficiency there in Civil. Gross margin in Civil, if I can now come back to that. Just to clarify, and sorry if you've mentioned this already and I missed it. So that gross margin, the gross profit number, GBP 1.526 billion [sic] [GBP 1.536 billion] includes the GBP 200 million IAE earnouts. It includes the TCP net debtor growth of GBP 400-or-so million, correct? And the CARs movement of GBP 160 million is included in that number, is that right?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes, yes.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

It doesn't appear lower down in the table.

David Miles Smith*Former Chief Financial Officer and Executive Director*

I'm staring at Helen, but, yes.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

So if I take those numbers to try and get a sort of, life is never perfect, but a broadly comparable, let's call it, a unit accounting-type approach, your gross profit of about GBP 750 million for Civil, which is an 11% gross margin in '15., that's coming down quite materially in '16 with the GBP 550 million headwinds you talked about. You're a high IP business; you've got 53% of your revenues that are already in services, decent services mix, and just wondering why those gross margins are where they are. And circling back with Warren's comment about pricing is robust, I'm just, in my mind, trying to reconcile all of these data points and getting confused.

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes. So if you forgive me, I'll may be answered slightly differently to the way that you constructed the question, but hopefully helpfully. Yes, yes, IAE is a part of that. We talked about that earlier, part of the GBP 1.5 billion. A large part of the rest of that is, essentially, the gross margin on our aftermarket business, whether it's in TCA or spare parts or T&M contracts. And we've talked before about margins there being in the 30% to 40% range across that range of businesses, so that's a large part of the rest of it. When you then go to the -- and clearly, there's some profit contribution from the corporate jets. When you look at the wide-body market at the moment and think where we are, you can see it very obviously in the CARs in terms of the unlinked contracts and the losses on those which, as you say, are contributing to gross margin in a negative sense, but -- sorry, they're not contributing in a negative sense because they go on the balance sheet, but they are negative because we are having to amortize some CARs each year. When you looked at the linked part of that and think about, well, how is that linked part made up, it's essentially the same concept in the sense that we have losses on the original linked engine

sales that go into the contract packs, and then we pull ahead, effectively, some of the contract aftermarket revenues on those linked sales. And some of that goes into the revenue that we book and, therefore, the margin we book at the beginning on those linked engine sales. So because we've still got quite a negative cost position on the XWB and the Trent 1000 and we will have on the 7000 at the start in terms of unit cost, because we're not up the learning curve, the net effect of all that is negative to the business at the moment. And therefore, the fact that we now have the Trent -- this is a long explanation I know, but the Trent 700, I'm sensing it's overall [ph] now, but the Trent 700 margin's coming down as well because of the pricing pressure means the overall gross margin contribution at the moment of that large engine business is relatively small, within the GBP 1 billion, GBP 1.5 billion. And that's really what has to change over the next 5 years. As we get the cost structure right, we improve the unit cost of those engines, we get the benefit coming through the aftermarket on the installed base. That's the thing that's really going to swing over the next few years. Does that help? It's a different way of answering your question.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

No, it -- helpful. I suppose pulling it all together and keeping it big picture, what is the right ultimate long-term gross margin for your sort of business?

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, if you -- you can now see across the businesses the sort of range in the -- apart, I think, from Nuclear -- in the sort of 20% to 25%. We clearly have to get that up if we're going to get EBIT margins where they should be, which is sort of in the mid-teens long term. So you can walk backwards a little bit from how much we spend on R&D, how much we spend on C&A to work out where that gross margin has to be to be able to deliver that kind of profit level. But clearly, it needs to be north of where it is at the moment.

D. Warren A. East

CEO & Executive Director

I think we're going to have to just say that was the penultimate question. We've got one more from the middle there, and then that's going to have to be the last one. Just dot your hand up, Celine. Get her a microphone.

Celine Fornaro

BofA Merrill Lynch, Research Division

So I've got one question, which is regarding the CapEx and how you think about this investment. Now, if you look over the last 10 years, I think Rolls has spent around GBP 4 billion and even plus than that on CapEx. And it just feels that we always hear every year there's new plans, new facilities and upgrading and it's been for a while. So how do we judge or how do you judge that the investments that have been made in '08 or '09 were actually the appropriate ones and are now paying off? Because we're still hear in 2016 that you need to do new plans, refurbish all facilities and et cetera, et cetera. How do we get traction on this because it was a huge number?

D. Warren A. East

CEO & Executive Director

Yes, and I think the numbers are what the numbers are over that period of time. But actually, we haven't specifically changed what we're about doing. A lot of what we're talking about today is actually following through on a lot of what was talked about in 2008 and 2009. It is the same facilities. I mean we're now sort of talking about some of the facilities that the programs kicked off in that time, they're coming to fruition now. Yes, we have kicked off some additional ones. So for instance, the rationalizing of the footprint in Indianapolis, we only made that decision earlier in 2015. We started working on it before and we had plans to work on that before, but we only kicked it off in 2015 and it will take until the next several years to finish that. So you'll still hear us talking about it, but this is, in the round, between 2010 and 2020, one program of industrial transformation that is changing the nature of our facilities. And so I think

by the time we get to 2020 and we've finished this transformation, we'll be very well positioned looking forward. Are we going to continue with manufacturing technology research that I put in that presentation a few moments ago? Absolutely, we will. Will some of that involve CapEx? Absolutely, it will. But we think we're rightsizing the footprint for being a competitive business in 2020 and beyond.

I think we have rather overrun, and so we're going to have to finish at that point. But thank you all very much for your attention.

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Rolls-Royce Holdings plc LSE:RR.

Shareholder/Analyst Call

Tuesday, November 24, 2015 3:30 PM GMT

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Presentation

John Dawson

Okay. Thank you. Thank you very much for your patience in settling so orderly. This is the largest Investor Relations presentation gathering I've had the pleasure of addressing as the Head of Investor Relations over the last 18 years. So thank you all very much for coming. I hope you all find the next 2 hours interesting and enlightening on Rolls-Royce.

Thank you all very much for joining us here today in London and for those of you joining on the webcast. My name is John Dawson, I'm the Head of Investor Relations of Rolls-Royce. And with me here today are Ian Davis, our Chairman; Warren East, our Chief Executive; and David Smith, our group CFO.

The running order today is as follows: Ian will make a few opening remarks followed by Warren who will take you through the highlights of the operating review. David Smith will share some thoughts about this in his financial review before Warren returns to give his conclusions, and we'll turn the proceedings over to questions. We expect the presentation to last around 75 minutes. And we've allowed plenty of time at the end for questions. We will be able to field some questions from the webcast, so for those of you online, type your questions and a member of the Investor Relations team will ask them on your behalf. And if we don't have time, we'll come back to you by e-mail later on.

There were no planned safety alerts today. So if you do see the alarms go off -- or you do hear the alarms go off, please exit in orderly fashion through the main doors, out to the front and exit the building through the way you came in. There are 1 or 2 other exit signs, but I've been told that's the quickest way to leave the building.

We may also include forward-looking statements in our presentation today. As normal, you should refer to our safe harbor statement included at the back of the presentation materials.

Finally, before we begin, could I ask you please to turn off all your mobile phones or make sure they're silent during the course of the presentation.

With that, thank you. And over to Ian.

Ian Edward Lamert Davis *Chairman*

Thank you, John. And good afternoon, everyone. Thank you all for joining us. Today is about Warren East, our new CEO, and his plans for the future. But before Warren starts talking to you, I would just like to say a few words of introduction by way of setting a context.

Firstly, let me say that neither the board nor myself are under any illusions, any illusions at all about how concerned and how frustrated many of you in this room are. We get it. And we get the associated need for decisive but well-judged action.

There's a lot of talk about portfolio and about capital allocation in the business, and what -- Warren will address these in his talk. But let me just say that from my and the board's point of view and the management's point of view, the overwhelming priority now is to improve our financial and our operating performance and to increase the speed of response to events and improve our internal controls. This is the absolute priority. At the same time, we recognize that we have to continue to improve our communication with investors. I hope that today will be a stepping stone in that direction. But let's be clear, our priority is improvement in the financial and operating performance. Those are our priorities. And I should just say that the profile of appointments to the board reflect these priorities and will continue to do so.

But as we focus on operational and financial performance, let me be also -- be clear that I, in no way, want to detract for the fundamental and underlying growth potential in the business. I know we've banged on a lot about this in the past, but it is real. The value creation in this business is not aspirational, it's not a mirage, it's real, it's there, it's underpinned by the order book, extraordinary order book. It's

underpinned by our engineering and technology platforms proven in the marketplace and it's underpinned by the extraordinary breadth and depth of our customer relationships.

There is value-creation potential in this business, and our focus and priority must be and will be to capture and deliver that potential. We are going to return Rolls-Royce to a position where it not only generates attractive returns to shareholders but ensures that these returns are growing returns as well. Fundamentally, long term this is a growth story.

In my and the board's judgment, Warren has got off to a very strong start in challenging circumstances, I think you'd all agree. He's now going to describe his plans and priorities for the business. And I just want to emphasize that he and the management team have the total support of the board in executing these priorities and delivering the value-creation potential in the business.

Warren, over to you.

D. Warren A. East

CEO & Executive Director

Good afternoon, everybody, and thank you all for your patience in turning up in number and waiting for us, for the webcast there. Now I'm going to -- I'm going to talk for quite a while about operational review. But just before we get started, I'm going to be talking about a number of things, which arguably are wrong and need fixing. And I'm going to be talking about what we're doing to fix them. And there's been a lot of questions about things which are less than desirable. And it's very easy to go away with an impression that it's all bad. But then I thought "Well, why on earth have we got so many people coming to this event, if it's really all that bad?" And I think it's very important that we do retain that sense of balance because whilst I'm going to be talking about improvements, I'm going to be talking about improvements around a great company, that arguably has some of the best engineers in the world doing what they do, creating some of the best engines in the world for what they're used for. And that business is positioned in markets which are, as Ian just said, growing markets.

We're strongly positioned and we are growing market share in those growing markets. And this afternoon, amongst other things, I'm going to be talking about steps we're taking to grow our profitability around that. So actually, we're talking about a great company with a great future that happens to be in a -- at a bit of a turning point and that does happen with large businesses that are long-lasting businesses and have been there for a while, and have a long future in front of them. And I think it's important to retain that sense of balance whilst we go into the depth of some of the things we're going to talk about over the next 30 to 60 minutes.

So key topics for today. We're going to talk about what I have discovered in my first 3 to 4 months in the job. And back in July, I said, no, I wasn't prepared to just stand behind everything that we were saying because I wanted to review the operations first. And you'll see some of what I've been looking at.

Then we know there are a handful of pretty key questions for this community. We're going to address hopefully a lot of those key questions today. But in particular, there's some key questions around Civil Aerospace performance and cash generation, and I'm going to go through that. Then David is going to give us an update on the improved disclosure that we are striving for. We know that one of the issues is around financial disclosure, and we are striving to improve that. We'll also talk about cash -- capital allocation. And then I'm going to come back and talk about the areas for business improvement, and that's very much -- that last box is very much the emphasis for me over the next several months.

So review of operations. This isn't a discrete thing, this is an ongoing process. And what I'm going to say today is that we are committed to giving you regular updates on this. Today, we'll talk about some initial findings and some of the actions that we're taking. I think it's important to the note that some of those actions involve people and jobs and that sort of thing. And we are not going to talk about details of that today because a lot of discussions are happening right now. We're engaging the team.

But what I will say is that we'll commit to this roadmap, if you like, this plan of communication. We will be back on February 12, and we'll at that stage have nailed down, in fact, by the end of this year hopefully we'll have nailed down a high level structure we intend to work with, and we'll have nailed down plans,

costs and timescales by the February 12 update. We'll give you more updates in Q2. We'll have -- we're intending in Q2 to hold an additional Capital Markets Day at some stage in early in Q2, we have an AGM and interim management statement. So plenty of opportunity for communication or updates on how we're doing versus measures of success and so on.

Now down at the bottom of the slide, we've got a strategy and portfolio. And it would appear that, that sort of starts not now. And I have to say in July, I talked about doing an operations or review of operations because I thought we could park strategy for a while. Well, of course, it's impossible to divorce some elements of strategy and the portfolio of activities that we're undertaking as a business from reviewing the operations today. So I will touch on some of that -- some of those portfolio questions as we go through the presentation.

Now then let's have a look at what we do. Now clearly, as Ian said, we are fundamentally an engineering company with a focus on engines and power systems targeted at a range of different applications. So how do we look at that as a business? Traditionally, we look at it like this. And actually, it's a little bit of a mix of markets and products. And it's quite hard to see what's going on in the business when you look at it like that. So actually we need to get under the skin of it and break down some of those markets, and go a little more granular in order to analyze what's really going on. And then, absolutely, we can reassemble from that more granularity to create a simpler presentation as we go forward.

But in reviewing the different parts of our business, the different markets in which we operate, what we've looked at is we basically looked at it through the lens of competitiveness and market attractiveness. And in competitiveness, I mean, the strengths and weaknesses of our products and our technologies, the strengths and weaknesses of our routes to market, how we are positioned in terms of routes to market and the cost competitiveness of our product offerings.

In terms of market attractiveness, I mean things like long-term growth potential, absolute levels of demand and potential to generate margins. And as you look around the different parts of our business, then different parts have different strengths and weaknesses and different levels of market attractiveness. So going into the detail on that now.

And I -- normally, a Rolls-Royce presentation like this starts with a review of our aerospace applications and then we run out of time in the presentation. And so I thought we'd do it a bit differently this time. And so we are starting with what we currently call our Land & Sea businesses, and actually this is a collection of different businesses, some of them are historically very strong generators of cash flow and good margins. Certainly, we've seen some headwinds over the last couple of years. And some of those reasons have been well debated over the last couple of years.

The chart on the bottom, the light blue line, is group average and the dark blue line is these particular businesses. And you can see that, generally, these are lower capital intensity businesses with modest levels of R&D. If you look at what the activities are, what markets we're operating in, then we're operating in 5 broad market categories and 14 separate sectors. And the areas of these blocks are roughly proportional to 2014 turnover.

So a current snapshot when looked at through the lens of market attractiveness says that it's a mixed bag. And we have some areas with definitely high levels of market attractiveness. Others less attractive for the time being, and that might be due to the margin potential; it might be due to the growth potential. And we've tried to look at it fairly objectively and recognized that, for instance, in some sectors, there are particular conditions that exist at the moment that aren't necessarily normal. So example, in Nuclear services, it's strong, it's a growing market and our expertise can really command a premium in that space.

If you look at it through the lens of competitive position, then again, it's a bit of a mixed bag. And I would say a good -- a real mixed bag because if you look at, say, the Offshore sector, we've marked that in both colors because a mixed picture represents the fact that we've got some opportunities, but we've also got some challenges. So we have some very high quality product there and yet our route to market is non-optimal for 2015 and going forward.

So if I put that all together on a chart and plot competitive position for competitiveness versus market attractiveness and look where we are today, you can see, fundamentally, we have about 60% of our revenue here in areas of good competitive position. There are some significant areas of -- for improvement and refocus. And there's clearly opportunities to adjust the portfolio. There's good opportunities to adjust the portfolio. And I want to say that just because some of these in the bottom left-hand quadrant does not mean that we need to sell this business or get out of this business. It could mean that actually we need to change what we're doing in that business to improve the competitiveness or take us into a different place to improve the market attractiveness. So it doesn't necessarily signal sales just because we happen to have put some business in that bottom left-hand corner.

So how can we change that as we look forward? This is -- this chart shows the position in 2020. If we take the existing portfolio, so this is the existing portfolio of activity. And arguably, if you got out of everything in the bottom left-hand corner, then of course, you won't have anything left there and you would look as if you're in a fantastic position. But that's the route, a quick and very reliable route to small business. And in 2020, I don't think we necessarily need to be there. This shows that there is significant opportunity to change. There could be some very good reasons for being in that bottom left-hand quadrant. It could be to perhaps give us some scale, so that we can deliver profitably in some of the sectors where we are more competitive and where the markets are more attractive. Or it could be simply a matter of timing where today and in 2020, things aren't particularly attractive but we absolutely need to be there for some stage in the future where we recognize there is a large opportunity in the future.

So how do we make that move and make that change? Well, just before we do that, I want to draw out one of the parts of this business that we don't mention very often, and let's give just a quick look at the Nuclear activity.

Now first of all, obviously, timing with the strategic defense review yesterday, I think that was broadly good news for Rolls-Royce, by the way, had an interview with a journalist this morning, who was asking that question, it is broadly good news for Rolls-Royce and certainly good news as far as our submarine activity is concerned. I think what we found with the characteristics of this business is that it's excellent cash characteristics and some very good long-term customers.

Our Civil Nuclear business is small today, but we do have an amazing presence in terms of our presence on nuclear reactors around the world. Our technology is present on approximately half of the nuclear reactors around the world. So our penetration is quite small within each of those nuclear reactors, but our presence is very strong on approximately half. And here's an example of the business with great growth potential because we are very well respected where we are present on these nuclear reactors, and there's a market sector with a lot of growth potential in excess of 50% over the next 10 to 20 years.

So now how are we going to change the positioning on that portfolio more generally? What can we actually do about it? A lot of the good news about me looking around this business, what I've discovered is we can do an awful lot of it with self-help. This isn't a matter of having to go out and spend -- spending billions of dollars on acquiring this business and that business and selling other businesses. There's a lot of self-help that can be done within this business. So how do we change the portfolio? I think broadly there's 3 axes here to work on. There's providing more value where we are engaged. There is strengthening our route to market to ensure that we can grow our market share and also, again, to help grow our market share really drive our competitiveness.

So a few examples of that would be here in our Marine business. One of the key drivers right across Rolls-Royce actually of increased value is increasing the efficiency of our product. And here's an example where we are delivering to a customer improved fuel economy, materially improved fuel economy, and that's an example where by doing that we can hugely increase the competitiveness of our product, and expose us to a potentially quite large growth opportunity over a relatively short term.

What do we have to do to do that? We have to increase our expenditure in R&D in this part of the business. This is the part of the business where actual capital requirements are, as I said, much, much lower than the group overall, but we do need to spend a little money to improve the competitiveness of our products in this part of the business.

And another example would be in terms of route to market. Here's where we had some very good products, but we didn't actually have much of a position in the market in the U.S., which is a huge market opportunity. And so through a relatively small acquisition a little while ago, we now take our technology with a much better route to market in the U.S. And 6 out of 10 of the top technology companies are now relying on our technology for power -- backup power. And these are the sort of usual suspects in terms of technology companies with their data centers. But I think that is a good illustration of what you can do with small changes to improve our channels to market.

And then there's competitiveness. And we've had quite a lot of announcements in this part of our business, in particularly in the Marine areas over the last 12 months where we are repositioning the business so that we're operating in the areas of market growth. And we're also getting the much more efficiency in terms of numbers of locations and actually reducing our fixed costs, so that we're leaner and fitter to deal with these. And by the way, I would stress that this is an already, this particular example, this is stuff we have already announced, and I'll return to that, but quite significant cost savings on an annual basis by 2018.

So if you want to summarize where we are in terms of the collection of businesses that we currently call Land & Sea, then here it is on the chart in 2020. And basically, we think that with the current portfolio, we can be in 60% of the business in growth markets, attractive markets where we can improve our competitive position as well. We're not dependent for this on specific market recovery, by the way and certainly, in our Offshore sector, where we are very, very sensitive to market conditions at the moment. Certainly, if and when that improves, then the position will be further strengthened. But right now, this is about self-help.

So in that stage, I'm going to switch to summarizing applications in the aerospace field. So in aerospace, we are, basically, if you want to step back from it and say where are we? We're in a position of transition. We've talked about that before. We're bringing a whole new series of products to market. We're undergoing once-in-a-generation frequency sort of levels of investment in new engine technology for our next-generation products and once-in-a-generation transformation of industrial base to improve our competitiveness.

Specifically, we can split into 2 parts and we can -- we're going to talk around these 2 areas of Defence and Civil Aerospace.

So I'll start off with Defence. And again, compared with the group, this is lower levels of capital spend and R&D is quite well supported by government customers. And you can see the line here, the very light blue line on the right-hand chart down the bottom is gross R&D versus real R&D in that business. And I think maybe the scales -- not quite sure we have to dig into the scales there.

So if you look at the portfolio, then we've actually got nothing in the top right-hand corner here. But that is not bad. Actually, our transport and patrol applications, this our strongest position, where we are very competitive, right at the moment, there are no particular new design slots there for those aeroplanes, but it's a matter of optimizing and servicing the aftermarket that's there. The attracting features of this business is that they're very, very long cycle and very, very good cash generation potential in both the OE with the government support and in the aftermarket. And what we intend to be doing here is very much depending -- defending our current applications, but we do anticipate growth in transport and combat in the sort of period post about 5 years and you'll see that, that can actually means that it becomes much more attractive post 2020. And what we need to do now is exploit -- is position ourselves to exploit those future opportunities in 2020.

If we look at the Defence business and the cash flow characteristics, I said it's a long-term business. It is a very long-term business. Some of the -- the horizontal line here represents sort of 0, so below the line is cash consumption; above the line is cash generation. So we start off by investing in technology and development, and that can be a very long time. That can be like 20 years before entry into service. But then we get product development. And some of this is actually cash-generative. So some of this in the Defence business actually sits above the line, because it's customer-funded. Then the engine goes into service and we're in production, and then typically it is a very long period of the engine being in service and we have support packages every so many years. It's very consistent cash generation.

If you take a sort of slightly stylized view of those blocks, you end up with a curve which we'll see in a minute if I press this button enough times. Unfortunately, we're going to have advance that slide manually because this doesn't appear to be doing it. Definitely not doing it. Great, thanks. We'll see if it starts working, if that was -- otherwise, we might have to change the battery.

If we look at the portfolio that we have today on this slightly stylized curve, you can see that it's actually a fairly mature stage and a lot of our products are reaching a fairly mature stage. So this is an elderly portfolio. But we are investing in new technologies to capitalize on those new opportunities in transport and control -- and transport and patrol and in new combat. Unfortunately, we're not going to talk any specifics about the new technology that we are developing, but we're confident that with developing that new technology we'll be improving our competitiveness to take advantage when that market becomes more attractive.

One of the other ways that we're improving our competitiveness in the Defence space is by looking at our costs of production and our facilities. And this is a transformation that we talked about for a little while and we announced at the beginning October this year, where we're taking our facility in Indianapolis and we'll be occupying roughly only half of the footprint in a few years' time. And as that is all about improving the cost competitiveness. So as well as reducing the size, we are investing a lot of money in improving the manufacturing technology that's there. And that's a 5-year program. It's going to take a little while.

To finally summarize Defence for a moment, then it's very much about maintaining our leadership positions in transport and patrol, investing to strengthen those positions if possible, and the focus there is about adding value through new technology and improving our cost competitiveness through more modern manufacturing.

So now let's talk about the Civil Aerospace applications, and there are several different applications here. It's made up of -- different applications have different characteristics. So I can't really treat this as a block. I have to go into the different characteristics here. This is a higher capital-intensive operation and a higher R&D operation than the group average because we just talked about all the businesses that are lower. So this is clearly the space that is higher than the average.

So let's start off with business jets. And our large business jets, this is where we have a very strong brand and a strong position. The OE revenue is volatile year-to-year. This is a market that is driven by business spending and high net worth individuals. And you will find volatility in the OE. But the aftermarket, which obviously depends on the installed base, is much steadier. And a snapshot where we are at the moment in this sector is that we are moving from a position of very strong market share. It will decline following several platform losses that have happened over recent years. But we do have very strong customer relationships. And we are using those strong customer relationships and investment that we're making in new technology to hopefully regain some of that strong market share in future years. So that's where we are in large business jets. If we look at the cash flow cycle, it's quite similar to the one that we built up before. But note here, the product development is all on our P&L rather than being shared with our customer. And so we're talking about a long period of aftermarket revenue.

If you stylize it and look at where our cycle is at the moment, then what I would say here is that the OE margins are good in this particular sector and, therefore, the cash flow turns positive quite early on in the cycle. And of course, we are investing, as I said, in new technologies here which will hopefully recover some of that market share.

Why is it an attractive market? It is a long-term growing market. Now, we are -- you can see where we are in terms of timing at the moment. Please don't assume that, that line goes up into the right as smoothly as it's shown on this chart. It's clearly an estimate at the moment, and we obviously will anticipate bumps in the road as we go along there. But in terms of units, there are going to be ups and downs. I said the OE is a little bit volatile. Obviously, right now, we can't second guess exactly when the various economic conditions over years out to 2032 are going to cause bumps in the road. They're going to cause bumps in the road like we've seen bumps in the road if you look back over the last 25 years. However, you can draw through those bumps over the last 25 years and see that, that market has consistently grown, and that's what we're saying is going to happen over the next 20 years or so.

Regional. Regional jets. We've put this in the bottom left-hand corner because actually this is a legacy position for Rolls-Royce. We do expect this revenue to decline. We have no new opportunities for design -- getting design into new products. And we actually expect that revenue to decline as the existing products retire to about 1/3 of today's revenue over the next 5 years. And we don't actually anticipate any new market opportunities here for the next 10 years or so. And so this is very much an example of a business that we need to harvest. There is aftermarket potential here for the next several years. We need to harvest it as efficiently as we can.

Now switching to narrow-body. Narrow-bodies, in the bottom right-hand corner, our competitive position is similarly not so good. But it is a very attractive market, let's be honest. On the top of the slide, it's a strong growing market. And we were in this market to a limited extent with a share of a joint venture that had a small share of the overall market. So in total, Rolls-Royce commanded about an 8% share of the market opportunity once upon a time. And the important thing to note is that what we've actually sold, when we sold out of this business a few years ago, is only part of it. We retained our business, and that's why there is a square in the bottom right-hand box. At the moment, we retain a cash-generative business, supplying modules for a while, and for many years into the future, to enjoy an aftermarket revenue. So Rolls-Royce is actually present in this market sector.

The big question, I think, and there's been a lot of debate that I've heard since joining the business, is so what about narrow-body in the future? And surely, you have to be in narrow-body in the future. I think the answer is, no, we don't. We don't have to be in narrow-body in the future. It's a great opportunity at some stage when it arises. But right now, there isn't an opportunity. There is no opportunity for us to enter this business for another until the early 2030s. There's maybe a little bit of discussion about a sort of quasi wide-body opportunity maybe 5 years ahead of that. So this is actually not something that we should be wasting our time on right now in terms of debating. We're developing technology for the wide-body jets, and I'll come on to that in a moment or 2. That's a much, much harder environment for developing our technology and a flow-down to the engines for these types of products. It works if you flow down.

So we don't actually need to do anything right now other than enjoy the aftermarket revenue and work on making sure that we're earning that aftermarket revenue as efficiently as possible and maximizing the profit opportunity on that over the next several years, developing our technology and taking advantage of an opportunity if and when an opportunity arises. But that is essentially the position for now on narrow-body.

The area of most interest to the room probably is where we are in wide-body aircraft. And here, of course, it's a well-known story. We're in a strong position in a market which is growing and there are high barriers to entry and we have a great order book, which gives us good visibility that our market share is going to grow. In fact, we're on course to achieve a greater than 50% share of the installed base by the early 2020s. And right now, as we transition from older engines to newer engines -- and there are some headwinds. Some of the new engines that we're selling at the moment, pricing is lower than it could be. This is launch pricing, this is normal. This has happened with all the other engines that Rolls-Royce has introduced over many years. And right now, we're seeing headwinds because people are doing that transition. They're refreshing their technology and there are older engines with aftermarket revenues associated with them that are retiring.

But if we look at -- look at the trend over years going forward, projections, we can see a growing demand. And actually, we can see that in the order book as well. And if you look backwards in time, as well as forwards in time, you'll see the wide-body fleet that's out there and GDP remarkably well-correlated. If you look backwards, you can see they're sort of correlated but they don't actually sort of line up. So looking forward into the future for the next sort of 20 years or so, they may not line up exactly as shown on the graph, but they certainly correlate fairly strongly. And in the past, yes, we've had GDP shocks, the light blue line is GDP. When you look at it on this sort of timescale, you see the world recovers from GDP shocks fairly quickly. And in the big picture, then these wobbles are wobbles. So there is a correlation there. There isn't going to be a smooth trend line for both. There will be opportunities for OE in terms of replacing older engines with more efficient, less noisy, cleaner, nicer to the environment, newer engines and also to feed the growth of the installed base.

So if I look at the installed base and look at the -- it is the installed base that drives the aftermarket revenue. Some of you in this room have seen me present this chart before because it looks remarkably like the ARM royalty chart. By the way, different processes, different engines but, hey. The value -- and this is the crux of the business model here, the value is all about the installed base and it's about how we generate profit from that installed base. And of course, there are wobbles in the line there. When you look at it on a year-by-year basis, you will see fluctuations. But as that installed base grows, some years we won't grow it quite as quickly as other years, but the trend is unmistakable. And the revenue that we extract from that is about the volume of the installed base and the price that we're charging for the flying hour. And that's why it correlates roughly -- the aftermarket revenue correlates roughly with installed thrust, more thrust equals more passengers.

So if I look at the portfolio progression for the whole of that bit that we've been talking about, Civil Aerospace, then 3/4 of the portfolio is currently in a very strong place. And as we look forward due to the growth of wide-body and our growing market share there, then that grows to 90% over the next several years. I think there's a clear message in the other sectors. The narrow-body is essentially about harvesting and keeping our options open and regional jets is essentially about harvesting.

So what does that mean for the group portfolio? For the group portfolio, it means that over 80% -- in 2020, over 80% of our group activity is in attractive markets. Over 75% is where we have a strong competitive position. That doesn't mean that we're going to bail out of the other areas. It means that we have opportunities to improve or it means and that, actually, we deliberately need to keep those, and we looked at a couple just now in the Civil Aerospace business, why on Earth would we get out those even though they happened to be in the bottom half of the chart right now? 2/3 of the activity here is set to benefit from the transformation programs that we have underway, and that's about improving the competitiveness and improving the operational excellence.

Now as we look forward, it would be wrong to ignore some of the legacy issues that we're carrying forward from the past and various investigations into historic behaviors. So let's just remind ourselves, we are cooperating with all the relevant authorities in all the relevant regions. We have taken significant actions about this. We've got a lot of consistent education going on within the business. We have a very clear zero-tolerance policy to misconduct around this sort of thing, and that has become very well-embedded in the business over the last several years. So I think those are issues which we need to remember there, but we need to deal with those issues and concentrate on the operational excellence of the business.

So our future is, and I think, going -- a couple drivers for the future here. It's all about product innovation. I said we had an excellent engineering base, and that, I'll return to in a little while. But we need to turn that into innovative products, addressing real customer demands, take note of the geographic changes that are happening. And our order book at the moment is very much a reflection of the significant value that's in the business. The order book is very strong. Contrary to popular belief, the pricing is robust. We are driving cost savings. Now we can talk about the pricing at some other stage. The essential thing to remember there is that we are competitive, and pricing is about pricing in the market. We are competitive. We don't win everything, so that tells us that the pricing is not ridiculously low because we actually lose some of these opportunities against our competitors. And the emphasis is very much on -- for the order book, for the installed base, driving competitiveness in our operations as we go on.

So I think I'm going to come back to this slide in a little while. The Rolls-Royce core is all about engineering excellence. We are an engineering company. We're good at engineering engines and power systems. We have a very strong powerful business model that's all about on installed base and capturing value in the aftermarket on that installed base. And right at the moment, we have a few issues around our operational effectiveness. And those are some of the issues that I'm going to address when I come back and talk after David in a little while.

Just going to whiz through one of the key questions before I hand over to David. So one of the key questions is particularly with regard to wide-body engines, the cash flow dynamics there and what actually happens. We've shown you this chart before. This is typical Rolls-Royce chart actually because it's actually quite difficult to work out what's going on. And this is exactly one of the things that we need to improve. And so hopefully, you'll see that this is an improvement. Because what you struggle to work out from that

is, okay, so that's a cumulative cash flow chart for an engine program. So what does that tell me about what's going on this year? You have sort of, in your mind, work out a slope. So we've done that for you. The light blue line is the cash generation on an annual basis. And going forward, we're going to talk with a little bit more clarity about this and make these things a bit easier to understand.

So on an annual basis, the light blue line is a more recognizable project cash flow. The dotted line, by the way, represents the time it takes to be cash flow positive on a cumulative basis, and that's a very long time. But actually, we get cash flow positive on an annual basis much sooner than that. So let's step through the stages.

First of all, we're doing R&D, capital investment, we're building engines, we're buying equipment to build them and working on new advanced materials.

If we go on to the next phase, we actually start manufacture, start selling product. We're starting to wind down R&D, and we're starting to generate aftermarket revenues. It's still making cash losses at this stage.

The next stage is when we start going cash positive. At this stage, we've gone beyond the launch phase. The OE costs are coming down with the learning curve effects. The prices are going up because we have gone beyond the launch pricing effects. And the aftermarket revenues are starting to exceed production losses. And this phase runs for quite a long time. We are now out -- the right-hand edge of the blue chart here is maybe 10 to 20 -- is 10 years on from where we've flipped over the line. And we're sort of 20 years and more into production here. So this is quite a long life cycle.

And then there's the aftermarket. This is the installed base of those engines. They're in service, they're flying around, we're servicing them, and we're generating revenue out of that. And obviously, on an annual basis, it declines with time because some of the earlier engines that got shipped in the very first phase, they're coming out of service.

w, not every program is the same. So some of them will have greater launch pricing. Some of them will be -- will take longer to ramp up than others. And some of them, the aftermarket, will build more quickly. There are higher volume products -- projects, lower volume ones. And in some, they last -- some have very, very extended lives. The RB211 has very, very extended life and still going now. So all the curves are slightly different shapes. And when you put them together, the inflection points roll at slightly different places. And so we end up with a kind of a shape to remove all those lines from it in that sort of broad area, that's how we could simplify the picture. So below the line is cash-consuming, above the line is cash-generating.

And what we can do is plot our portfolio of different engines on that chart. And you can see at the moment, the balance of the portfolio is very much in -- where we are at the stage, I said at the beginning of this aerospace piece, by the way, that we are in a transition with lots of new engines. And so we are cash-consuming at the moment. And the cash consuming nature of some of the newer engines is outweighing the cash-generating nature of some of the older engines that are in service.

We look forward 5 years, then everything has moved to the right. And also the balance of cash generation has moved with this portfolio. And if you move forward another 5 years, then we've moved significantly into the cash-generative position.

So that's one way of looking at it. Another way of now simplifying the picture is let's look now, let's look in 5 years and let's look in 10 years, and the little white arrows going down are cash consumption. The blue arrow going up is cash generation. You can see we're in a phase where, as I said, cash consumption exceeds cash generation. Roll forward 5 years, things have changed. We are strongly into positive territory now. The blue line is much bigger than the white line. And in 10 years, the blue line is ever so much bigger than the white line. But the white line has grown again as well, because by that time, we're investing in the next generations of engines that are going to take us forward even more. And we mustn't forget that next generation of engines, obviously, has to be included.

So when it comes to what can we actually do about this to improve. What we need to do is look at so what can we do to flex this line and move things around? So first of all, we can talk about engineer -- improving engineering efficiency, improving the ramp-up, so making the below the line a bit smaller, making the

ramp-up steeper, and then we can talk about ways of improving the profitability of the large section above the line.

So just a very quick glance at some of this. Engineering efficiency, this is an example of where we're doing some modeling, and so we are able to do in days in computer modeling what would otherwise take weeks or months in real-time measurements on real engines. And that means that we have fewer iterative experiments with very costly kit, which is a very valuable resource and we do more on the computer.

Delivering the ramp-up. Obviously, we talk about a strong backlog, we talk about doubling our engine production over the next several years. We have to provide new facilities to do that, newer manufacturing techniques.

Industrial transformation is about improving the profitability of the production phase and as we go into the tail. And that's happening at the moment, improving our OE [ph] costs and actually improving how much it costs to service our aftermarket as well, so making the business model really work.

And as I talked about the aftermarket, with our TotalCare programs, we take on the risk of maintaining these engines for our customers and we charge them by the hour. So how can we improve our profitability. How can we reduce our cost there? Well, the first thing we can do is make sure that we don't have to service the engine quite as often as we used to. And so the chart on the right shows the percentage improvement in time to the first time we have to bring an engine in and refurbish it. We can then reduce the amount of time that we take and the number of parts that we are putting into the engine when we refurbish it and by better means of inspection and by making full use of data.

So a number of ways that we can improve the shape of that curve. Again, self-help. But put all that together and look at cash flow for the group as a whole, then Civil Aerospace, we've just talked about in much detail. The others have broadly the same business model, but if I look at cash characteristics over future years, then they are sort of broadly flat. The Civil business is where we're going through the big transition. And it's also the biggest number, so it's having the biggest impact on the overall cash generation of the business.

So just quick summary. I think we've done the first couple of things. I'd now like to hand over to David to take us through the next couple of stages.

David Miles Smith

Former Chief Financial Officer and Executive Director

So thank you, Warren, and good afternoon, everybody. You can see that we've been spending a lot of time really examining the fundamental strengths and weaknesses of the business, and this has really reinforced the need for focus on improving operating performance, cost and cash in the near term, while also evaluating the priorities we have for investments to support the long-term growth of the business.

A few things are clear to me from this, and you have heard some of this from me before. Firstly, we have an outstanding opportunity with wide-body engines to transform our business into a true world leader with critical mass in both scale and financial success.

Secondly, our other businesses offer differentiated levels of prospects for growth. We have products and services that command real competitive advantage and are focused on attractive growth markets, or at least markets where we can sustain good margins as a result of our concentration or local presence.

Thirdly, we have significant opportunities to improve our operating performance and our pace, customer delivery, program delivery, project delivery, lean manufacturing, et cetera, as well as reducing our capacity.

Fourthly, we need to ensure we have the right platform for the future and are making the right decisions about footprints and technology investment and have the optimum space to grow profitably.

And finally, there are no special cases here. We've identified businesses, products and services where we need to make more fundamental decisions, decisions around investment, JVs, small divestments or

small acquisitions, to optimize value for shareholders. And we'll make those decisions with a clear focus on return on capital employed. That sets the scene for what I'd like to share with you.

These are my thoughts on our financial framework, our balance sheet, cash generation and investment outlook, to give you a context on how we'll be making these decisions and the targets we'll be setting the business to achieve. It also introduces the opportunities we're going to be looking at to enhance our disclosure, which will replace our medium-term guidance framework. Now we can't deliver all of this ambition right now. Some of it is dependent on our management information systems and the project I kicked off earlier this year, but I'll share a bit about this with you so that you can understand the journey we're on and where we are aiming to get to.

So clearly, the developments over the past year have created a number of major challenges, but we have managed our cash position thoughtfully and taken the necessary actions, where needed, to ensure we don't stretch ourselves too far. We recently raised around GBP 1 billion in new debt to replace maturing facilities and to provide the headroom needed, as well as increasing our revolving credit facility. And our balance sheet can cope with the stresses and strains placed on it by the headwinds we've identified over the next few years. So fundamentally, our long-term outlook is unchanged. Consequently, I still feel comfortable targeting an investment grade rating in the medium to long-term, and we've been A rated since 2006.

As far as the dividend is concerned, our next decision on that will be in February when we consider the full-year payment for 2015. We clearly want to present the market with a sustainable policy that reflects the underlying strengths of the business and its long-term growth opportunity, but at the same time being mindful of the potential interplay with our rating. That is ultimately a board decision and one for early next year.

So our recent news flow emphasizes that our business and assets and reporting remains a work in progress. However, the review we've done over the last few months does confirm to me that our judgments around capital investment, program management and pricing are improving. In some of our businesses, our systems are strong and providing good quality financial information. But the areas of strength are not consistent across the group, and this is where our new investments will help us. Most importantly, we need to focus on developing a much more intuitive reporting of in-year and near-term performance, the linkages between physical drivers and financial results and between profit and cash, and underpin these with clear measures of success, that we can drive the right behaviors in our team. This, in turn, will help us provide the market with better information.

Allied to better scenario planning analysis and an enhanced disclosure framework, this will help you model the business and overlay your own judgments. So I'd now like to share some of the changes that we are proposing to make the disclosure going forward.

At the moment, in addition to group figures, we provide you with a breakdown of revenues split between OEM services and also profit before finance, charges and tax for each of the 5 business segments. We've only had the group data on headline as opposed to underlying up until now. However, looking forward, we're proposing to expand our level of disclosure to include both a group level underlying gross margin and to introduce a breakdown of gross margin R&D and aggregate other costs below gross margin for each of the segments. This will enable you to better understand the relative gross margin performance across our businesses in addition to having better insight into where we're targeting our R&D investments.

We'll also break out our estimates of capacity underutilization or double running costs that we are currently incurring in the cost of sales line and show how they improve over time.

At present, we're only showing the group split within the chart, but we will fill in the blanks for 2014 and provide a breakdown of the 2015 figures when we present our preliminary results in February. We are also intending to expand our breakdown of revenue for Civil Aerospace to give you more detail on the moving parts of the distinctly different achieved gross margins. In the past, we've shown a breakdown of Civil Aerospace revenue generated from our large engines and our small and medium engines. But what we haven't told you is how these are represented by OE and aftermarket sales. And as you can see from the slide, I propose us to provide more detailed disclosure for each of these areas.

Our current plan for OE is to separate out revenue from our large engines into linked and other, which includes spare engines and unlinked, and also by corporate and the V2500 program.

Within aftermarket, the split would be large engines, corporate, regional, and V2500, all of which are meaningful.

So when we announce our prelim results in February next year, we'll provide you with the actual revenue splits for these categories in addition to total gross margin, R&D and other costs. Now we are pretty clear that there are still some important commercial sensitivities about our publishing accurate gross margins beyond the segmented total. We are already providing quite a lot of data here. So you will have to form your own assumptions on the gross margins for the different categories, but these are some useful observations I can make.

Large engine, linked and other, will include the profit on spare engine sales, in addition to blended margins from linked account to OE and TotalCare contracts. Unlinked engines are generally at 0 standard gross margin as we capitalize any cash losses or contractual aftermarket right so that grows over time as a proportion of our sales. The impact from gross margin will be quite material.

Corporate jet engines as Warren set out earlier are normally sold at a cash profit. And our remaining V2500 modules are sold under our agreement at a modest margin. These, of course, will decline in volume and then quite soon as Pratt & Whitney transition to the new transition to the new geared turbo fan on the A320 Neo variant.

Aftermarket margins are more consistent with less of the disruptive characteristics of mix changes within TotalCare accounting, and on an achieved basis, are fairly consistent between corporate and large engines. So overall, there should be quite a lot of additional scope here for analysis based on an accurate revenue split, and an overall gross margin to reconcile back to.

Looking forward, what we are also proposing to do will be to provide additional directional guidance on the absolute trends in each of the important revenue lines. We'll include these in our appendices and pull out the key elements in our review of the business or updates on expected trends as appropriate. I think this is an approach used by a few of our peers, although we will no doubt have more lines in [ph] most, it should provide a sense of what's going on in our judgment.

In addition, due to the nature of the accounting within the Civil Aerospace, we will also extend to this disclosure down to trading cash flow by providing details on the net TotalCare debtor movement, net contractual aftermarket right movements, working capital movements, and other noncash movements in depreciation, capital and other intangibles, capitalized R&D for instance. Doing this on an annual basis and then providing directional guidance should enable you to model out our views on cash conversion and get a proper sense of how sensitive this will be to other performing measures going forward. And as Warren indicated, at the moment, this would be a negative number. But over the next 5 to 10 years, if you remember those charts, it's going to turn strongly positive.

As you know, we believe the NPV of embedded cash flow is the most appropriate way of valuing our Civil Aerospace business, and I believe that this improved disclosure will go a long way towards helping you model on this basis.

Turning now to look at 2016 and the headwinds, which are shown on this slide, it's worth considering how this would be modeled if you broke the revenues and margins out in this form of analysis. Well clearly, it does depend on where you start from in terms of core assumptions you've made. But if we look at some of them in turn.

Firstly, the impact of the Trent 700 rate reduction we outlined in July. At the time we talked about this being a significant volume and price effect of about GBP 100 million each as well as the loss of spare engines. So in modeling the volume reduction, you need to form your own views on the degree of impact based on revenue segmentation, average number of engines sold, and factoring in a higher average achieved margin as a Trent 700 is a very successful engine program.

For you to model the comments on pricing there, we have to indicate what that would mean in terms of a likely margin decline, a modeling that would bring you down to the result you'd expect. Implicitly, this means that the average achieved margin for our new linked and other OE sales would have reduced significantly.

But of course on a cash flow basis, what we are losing in 2016 is a lot less, reflecting only the change in the net cash loss of the engines we're actually selling compared to those we would've expected to sell previously. Here, we would be pointing you to this fact, indicating that you'd expect a reduction in the change in the TotalCare net debtor.

Turning to the more recent headwinds, and looking at the new wide-body developments, the GBP 100 to GBP 150 million we discussed on the 12th breaks down into 3 parts. Around GBP 50 million to GBP 80 million relates to aftermarket changes; GBP 25 million to GBP 35 million reflects lower JV profits and the rest is the net of a lot of other different factors.

Looking specifically at the aftermarket issue, quite a few frontline fleets are now changing quicker than we expected. And as a result, the older planes are coming into the second hand or release market. This is creating hangover in capacity in specific geographies. Regrettably, because of specific customer mix, this is mainly on Rolls-Royce powered aircraft. Our Trent 500s, more recently a few Trent 7 -- 800s on older 777s.

We're also seeing a continuing decline in the revenues generated from RB211 engines as more aircraft are parked.

Overall, we expect something like a 15% to 20% decline in legacy engine revenue in 2016, that's around double what we saw in the first half of this year. In modeling terms, you know these are large engine effects, and you would also have your own assumptions on the degree of margin and you would need to adjust the line items accordingly.

For our corporate jet business, we are expecting a volume reduction impacting revenues by around 20%, with some effect on pricing, and therefore margins. Again, that's significantly higher than we saw in the first part of the year.

For our regional business and the V2500 program, the headwinds are more structural, as Warren described, and reflect an acceleration of already anticipated trends. While the endpoint has probably not changed, the pace in the near term at which these businesses have deteriorated remains an issue for us. Overall, our regional business is declining around 20% per annum, a little faster than we would have expected a year ago. You'd be able to model each of these impacts into the relevant line items through a mix of volume and margin assumptions.

I now want to share a few thoughts and take you through the investment we are making in our management information systems project, and how this fits in with our review of forecasting and analysis.

As I discussed earlier, we've identified a need to improve transparency through better communication both inside and outside Rolls-Royce, and have been working in putting a better framework in place. The important drivers of this are the links between physical factors, such as engine volumes, flying hours productivity, inventory turns, et cetera, and our financial forecast as well as the more complex links between contract accounting and revenue margin and cash recognition.

We've, to date, been inconsistent in the way we've given guidance here, and this is clearly unacceptable. I know -- and as you know, I started a project in January this year to undertake a major overhaul of our management information systems, try and improve transparency and accuracy. Together with our enhanced disclosure framework, our improvement will, over time, help the market to get a clear understanding of our performance, and be able better to anticipate changes based on our market factors.

We are starting to see the first positive outputs: A framework of key performance indicators, which includes both internal and market-facing metrics, and that's being rolled out right now to our business leaders. We are planning for further actions and forecasting and also revisiting -- thank you, Warren -- forecasting and also revisiting costing systems and processes. This is a pretty major project, and we do

have appropriate external support for it. Next year, we'll update you on this project and its output, and also we'll give you our assessment of IFRS 15, and its likely impact on the financial reporting from 2017 onwards. That is more change, I'm afraid. And I'm also afraid that it's unlikely to eliminate all of the timing issues created by present accounting standards, but we are trying to find ways to simplify it. And as I think you know, we are also working with our peer groups to try and find a consistent approach.

Before I hand you back to Warren, I'd like to say a few things about capital allocation. I touched on this earlier, when I discussed our balance sheet position. And I know it's an important topic for many as we consider the investments that Warren has set out and will talk about more in a minute.

Capital allocation at Rolls-Royce is essentially about evaluating and balancing priorities across some important investment needs, as well as maintaining a positive and coherent dividend message for investors as we grow the business and improve cash conversion strongly in the future. The decisions we make as to how we prioritize and best make our discretionary investments, including investing cash in building out our installed base of large engines, and capturing that long-term aftermarket revenue stream are fundamental to the long-term shape and scale of this business, and the enduring benefits it will create. It requires us to have a clear view on our weighted average cost of capital, our return on capital employed for individual projects, and the risks of those projects and make sure that we have available capital both by project and for the group as a whole.

It is also essential that we impose greater discipline as to the hurdles we are seeking and for the senior team at Rolls to robustly challenge and monitor the programs and the detailed analysis our teams do. With improved reporting and enhanced financial scrutiny, I'm confident we'll be able to make -- be better placed to make these judgments.

At this stage, we've many uses for our cash resources over the next few years, and relatively few strong cash generators. But it does mean we have to be very clear about our priorities, disciplined and with a focus on initiatives that offer the strongest returns and most enduring legacies. But we will do this without also reducing our commitment to R&D, and the essential investments needed to complete our supply chain transformation because those underpin our future success and are really key to the business journey we are on.

As Warren has said, we must complete the journey we started without compromising on customer service and product performance. We'll therefore judge our dividend policy in the light of the priority uses of cash. But we also have a clear and balanced view as to how important over time a strong cash payment to shareholders is, as a way of both judging and reflecting our success as we become more cash generative over time.

So in summary, we have a strong balance sheet. We are working very hard on improving our management information systems and the financial framework, but this has to be underpinned, as Warren said, by improvements in our operating assumptions and performance as well. Put simply, we need to have to define a realistic plan and deliver on that plan. We've updated you on the headwinds we see, primarily from market realities, but we're also working hard on mitigating actions. And we'll maintain a focused discipline on capital allocations.

Thank you. And now back to Warren.

D. Warren A. East
CEO & Executive Director

Thank you, David. Bear with me, I won't be long. I'm now going to talk about that last box on the agenda slide about what we're doing with the business as we change. Quick reminder, we're starting from a pretty strong base really in terms of strong mix of businesses, well positioned, and 2/3 of the group benefiting from the announced transformation programs that are underway.

I spoke earlier about the 3 themes based around the core of Rolls-Royce, the strength of the business model and the operational effectiveness, which we need to turn into operational excellence. And just a couple of contextual points. I would say that since joining the business, I've spoken with quite a lot of customers, and almost to a person they've told me how much they like working with Rolls-Royce. They

find our people very easy to deal with, very helpful, and they're very appreciative of the products and the engineering support and services that we provide. So that customer support for us is really important.

And the other contextual point I'd make is that I think the arrival of the digital age presents a number of new opportunities to add value, both to the business as a business, but also to how we go about doing our business.

Now to improve operational excellence, and I said this wasn't going to be a strategic review, we certainly need some strategic clarity. Now these statements, by the way, are not tablets of stone. These statements are work in progress. But I think the thrust of these statements is clear. And importantly, to us internally, as a management team, it provides us with a framework so that we can actually be more ruthless in managing the portfolio and making some of the tough decisions that we've got to make about how we deploy our capital. And it will guide us as we make changes to products and services over time and redefine what we're actually doing.

Just set out a few timelines here. The middle part of this slide, this so there's bold blue writing, is very much what we're -- the thrust of what we're doing from an operational point of view. And the lower box is more some of the strategic activity that we're doing to help with the future. And the 2 boxes that are left blank on the bottom are left deliberately blank, because actually I don't know what we're going to be doing from a strategic point of view in 2025 and beyond. However, we do need to recognize that we will be doing something there. And so those are blank boxes for the time being, but we will need to fill those in, in time so that we know where we're going, and we do the right strategic things over the next 5 years to position us to do the right things in the years after that. But there are great opportunities there. We might well be developing a much larger nuclear business. We might well be exploring all sorts of new methods of propulsion, and we'll certainly be exploiting greater trends towards more electrification. But the focus very much now is on the top line, the operational piece and over the next 5 years. So that's where we're going to focus.

So picking up on the 3 themes that I've used to talk about. This is about focusing our resources, thinking about what we actually need to do. And it's clear to me when I look at Rolls-Royce, the image that I get is one of an athlete that's a little bit overweight. And we need to get rather more fit. And that means possibly shedding a little bit of the overweight. And that's what I mean by defining what's really needed.

If I look at it from a business point of view and look at some of our costs, and I said on the IMS last week, the real problem here is the operational gearing in our business. So let's look at those operational costs. We are spending today about GBP 4 billion on sales -- on being a sales and engineering organization. So this is money that we're not spending on building products and shipping them out of the door, or supplying spares into our aftermarket. This is money that we are spending on keeping that machine going. Are we are doing this as efficiently and as effectively as we should and as we can be? And I think that's sort of a little bit of a rhetorical question.

Now there's a lot of very good things already in train. If I look at programs that we've already announced to date, an aerospace program that was announced approximately 12 months ago. Now we are making great progress on that, and you can see some of the reductions that we are making in headcount.

In the Marine space, again some significant improvements. This is program only announced this year, but already announced and again targeted around restructuring and headcount reduction.

Now one of the issues with headcount reduction is that the cost does come out eventually, but you have to be very careful about it growing back because -- and you have to be careful about it growing back if what it leads to is essentially doing the same thing with fewer people. It's actually a bit of a negative motivational point as well.

So those are programs announced to date. Other programs announced to date, the manufacturing transformation. And if you put all of this in aggregate, we're talking about over the next 5 years reducing our footprint by 20%, and improving our output by about -- or increasing our output rather by about 80%. You can think of that as an alternative, a new 80-20 rule, that's how I'd like to think about it.

However, all of that is necessary, but it's not sufficient. And that's why we talked about the program we talked about last week. If I break the 3 into the 3 buckets, and think about how we are deploying resources to really maximize -- are we deploying those resources to really maximize value to our customers? And look at it through the lens of what are we doing? What do we know that we can do well? And how can we do that better? And how can we better exploit our strong business model? And then what are the processes that we actually use to execute that?

So our program, as we announced last week, is primarily going to be around fixed costs. As far as people are concerned, it's going to be primarily around -- we have a top-heavy organization with a lot of management. And this complexity associated within our organizational structure of our corporate and divisional organizational structure. What I'm talking about here is the organizational hardware of the business. And you'll excuse me for using a few computery-type terms, the structure of the organization, how the people fit together, that's the hardware. We need to dig deeper than that. We need to get into the organizational software. And I don't mean SAP systems, I mean the processes and procedures that you wrap around the organization to make it work.

And when I look inside Rolls-Royce at what needs changing, then the list on the left-hand side of the slide is a noncomprehensive list of some of the things that we need to do. But we know and we've talked to you before about -- the numbers are too complex. It's too difficult to extract the information from the data. We have multiple owners of processes and data. We have difficulty and ambiguity in -- over our accountability. We operate too slowly, and we need to increase the frequency. And I think all of you know what it's like trying to run a computer with rather bloated software, and that's really the situation we have with the organization software -- organizational software that is in Rolls-Royce at the moment. So it's all about simplification to improve the pace at which we are operating. So making sure that the right people are having the right conversations at the right time to get things done.

An example of that, an example of that, we're a technology company, an engineering company, and it's really important for us, from a competitive point of view, to be right at there in front with the technology. And so we identify a number of key technologies that we need for our businesses, 27 key technologies. But can you imagine what it's like trying to manage all that? Can you imagine the number of meetings, the number of reports, the number of processes that go around that? Colin, our Director of Engineering, sat there, he's raising his eyebrows to the skies, just imagining it as I'm saying it, right.

But it's another way of looking at that is you can think about that as around about 8 different technology themes. Now I don't know whether the -- this is again, it's a bit of work in progress. I don't know if the right answer is 7, 8 or 9. But it certainly isn't 27 in terms of managing those technologies. And so we're talking about reducing the number of meetings, the length of time it takes to manage these things by simplifying how we actually go about doing it.

It's very important that we deliver to you some operational measures. The picture on the right talks about how we talk about our performance with the market at the moment. And it's all very, very financial. And the trouble with it being very financial, as David has just outlined, there's an awful lot of accounting fog that sits around there. So it's very difficult to understand what's really going on, what is the real operational performance of the business. Because, yes, we do have complexities in capitalizing costs. We do have complexities in accounting for our TotalCare service products.

Now as I've looked at that and thought it's complicated, actually I look at it, and it isn't really rocket science. But we perhaps could do a better job of explaining that and taking you to the underlying operational performance of the business from a financial point of view. And as David has just outlined, as one of the things that we intend to do, just strip away some of that fog and make it easier to understand from the numbers point of view. But it's also about much more than the numbers. Improving the performance here is about metrics around productivity, it's about unit costs, and it's about how effectively we're using our working capital and so on. And so we have a list of -- a very small list, really, of measures which we think are a bit more around operational performance that we hope to be able to share targets and progress on as we go forward.

So as we look at updates in 2016, then very, very roughly we'll have some structure at the end of this year. In February, we'll have costs, timescales and our first look at measures. In Q2, we'll have an AGM

and we'll have a Capital Markets Day and we'll have some updates on how those programs are going and on the measures. We'll have an opportunity to do that at the half year and this time next year as well.

So I think we've hopefully addressed these key topics. I think, just by way of conclusion, this is a period of amazing change for this business. And as I said at the very start, long-term successful businesses do go through these periods of change. And just because we happen to be in a period of change at the moment, doesn't mean to say that we're not sitting on top of a fantastic business with great growth potential.

Actually, everything I've done in terms of reviewing the business over the last couple of months absolutely underpins my confidence in that future. It has also exposed that we've got a heck a lot of work to do, to change the way we do things at Rolls-Royce to realize that potential. But it has highlighted a huge number of areas where we can make these simplifications, where we can inject pace into the business and improve our operational gearing and turn our operational effectiveness into real operational excellence.

So with that, I'm going to finish. David is going to join me, and we'll take your questions. The IR team are going to wander around with microphones, I think.

Who's got the microphone? No microphones going? Yes, okay. I think we've got one there, and one there. This one's got a microphone first. Second. Have the first one from over here.

Question and Answer

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Rob Stallard from RBC. Just a couple of quick questions, Warren, you set out where we stand today on net cash generation, and you set out where we should be in 2020, which is nicely positive. When do you expect the crossover point to be? Do you expect that should be in 2020? Or to be before that? And then secondly, maybe one for David, you said you have one of your targets is obviously to maintain your investment grade rating. How much capital buffer do you have in case some of these maybe shorter cycle areas don't go as well as planned in power marine or in the old aircraft aftermarket?

D. Warren A. East

CEO & Executive Director

Yes, so on the cash generation question, certainly, our cash is quite volatile. And so picking the exact moment when that transition happens is quite difficult, but it's certainly going to be comfortably before 2020.

David Miles Smith

Former Chief Financial Officer and Executive Director

And just on the cash buffer. So we, at the end of last year, had, I think, GBP 1.6 billion of cash, and we've now increased our revolving credit facility to GBP 1.5 billion. So that kind of GBP 3 billion at year-end is about what we think is the right number because we do have peaks and troughs during the year as well, and the aim is not to use our RCF base.

D. Warren A. East

CEO & Executive Director

I think we have a question over here.

Nick Cunningham

Agency Partners LLP

It's Nick Cunningham from Agency Partners. You're confident about the long term, but you've withdrawn guidance for the medium term. And I was wondering whether -- I mean, it's sort of hinted partly that's because you're setting new metrics in place and you may not actually have those metrics yet. But also, is there a genuine lack of visibility into '17 and '18? And if so, what are the kind of the big known unknowns, which give you that, if you like, that pause in terms of giving guidance? Second question, you want to recapture BizJet share and to sustain your wide-body, sort of circa 50% share. Is that containable within, say, 6% of sales as an ongoing self-funded R&D spend? Finally, a little detailed one. In the Slide 76, the sort of breakdown of Civil Aero engines profitability and revenues, is the UTX payment that you received from the IAE disposal, will that fall into V2500? Or will that fall into, presumably more likely, other right at the bottom of, say, the top -- bottom right-hand side?

D. Warren A. East

CEO & Executive Director

Okay. Well, I'm the one that's very reluctant to talk about medium-term guidance right now. And I'm not sure that '17 and '18 is particularly medium-term guidance. That's actually quite short term. I think right now, we talked about the challenges that we have with our information systems, and producing medium-term guidance, based on those information systems at the moment is unhelpful for us and it's unhelpful for everybody in this room. This is the sort of business, which we can actually be quite bullish about. We can be quite confident about in the longer run, but things do happen in the short term. And I think we've adequately demonstrated over the last 18 months and, certainly, over the last 6 months that our systems at the moment are just not capable of picking up short-term fluctuations. And therefore, to be -- it's very easy in this business to be approximately right in the longer term with trends. It's also very easy to be

precisely wrong in the short term. And we do need to improve those so that we can at least talk about a medium-term range and a range of targets, but we're just not in a position to do that at the moment. I hope that we can improve these management information systems and possibly get into that position in a sort of 12- to 18-month time period. But we won't make any promises on even that right now because this is very much work in progress. That's the first question.

David Miles Smith

Former Chief Financial Officer and Executive Director

You want me to tell you the second question? So in terms of R&D -- I mean, R&D will fluctuate a little bit from year-on-year depending on what we're capitalizing, what we're expensing, et cetera. But -- so keeping within this sort of R&D level is absolutely what we intend to do. And it does assume that we continue with the programs on technology that Warren mentioned, in terms of simplifying that -- those technology programs as well as the wide-body and the BizJet product development programs as well. I'm struggling to find Slide 76 at the moment, but maybe I'll answer your V2500. Clearly we've got 3 sources of revenue: We've got the license fee, we've got spare parts, and both of those will be in aftermarket. And then we've got the modules, which are within OE at the moment, and that's the bit that will drop off over the next 2 to 3 years, as perhaps switched to the neo.

D. Warren A. East

CEO & Executive Director

Yes, I think we've got one here.

Andrew James Hollingworth

Holland Advisors LLP

I'm Andrew Hollingworth from Holland Advisors. Just 2 questions. Obviously, you've gone through and highlighted the areas that you are likely to spend future R&D and CapEx on. Would it be fair to say that, perhaps, if we look back and have the disclosure on those, that is not where we've been spending money in the past. So do we have effectively free resources to focus in more focused areas, if you like? So you know that they data but we don't. Would like to get your sort read on that. And the second one is, obviously, you've outlined this sort of cash flow profile, which is really sort of useful with in different time frames attached to it. But is there a sort of real-world threat to this, by some of what's happening in the aftermarket now? Sort of gives a clue that the sort of aftermarket market might not be what we think or what we project it to be. And is there anything we can learn from that? Is QE meaning that people can buy capital faster? And is it dangerous to have a 30-year cycle without fully understanding that?

D. Warren A. East

CEO & Executive Director

Yes. Do we have the resources to invest where we need to invest? And broadly the answer is yes. The fact that we, perhaps, haven't been investing in some of those areas over recent years doesn't really mean that we can't. I mean, we -- most of the area we need to invest in is the underlying technology that we developed for our large Civil Aerospace business. The other businesses are, as I showed on the charts, less R&D intensive and less capital intensive. And so the answer is broadly yes, we can invest in the areas that we need to invest in. Your second question is...

David Miles Smith

Former Chief Financial Officer and Executive Director

Maybe I should take that one. So on cash flow profile, it is -- you're absolutely right that what we're seeing at the moment is an increased acceleration -- or a deceleration in flying hours essentially and T&M activity on the legacy programs. And that would cause you to question maybe what's going to happen in 20, 25 years in new programs. I understand the point. When we model this in, say, the triangles that you saw on that graph, we absolutely look at scenarios around that. So don't think that in there, we've necessarily got a straight 25 years, which is the experience over the last 20 years of engine life. We actually model that in different ways. So we look at scenarios and we put risk factors in about that and take account of that when we look at the program cash flows.

D. Warren A. East*CEO & Executive Director*

Got 2 in the middle here. One over there. We'll get to you [ph].

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

Yes, Ben Fidler from Deutsche. A couple of questions. Thank you for your slides -- I'm looking at Slide #54, your cash flow trajectory by program. And in the back of my mind, bearing in mind what you also presented in Slide 42, which is the embed installed thrust growth. So over the last 15, 20 years, your installed thrust has grown -- looks like it's kind of doubled. And yet Slide 54, we have a portfolio of engines, which are reasonably old, which -- most of which don't seem to be generating much cash: Trent 500, Trent 800, Trent 900. The next stage of -- back to Slide 42, your installed thrust growth, very strong growth. And yet, if we look at your 10-year on cash flow chart, we have a portfolio that is phenomenally cash generative. So the question, sorry, it's quite a long one, the last doubling in installed thrust doesn't seem to have ended up giving us a portfolio of legacy engine sort of throwing off much cash. Yet in a decade's time, we will have that with a doubling in installed thrust, the lot of which is coming from engine programs where the RSP positions are roughly twice that which they are on the existing portfolio. So presumably, twice as much as that cash flow is to your RSP partners from that installed thrust. So just to understand what I'm missing in that linkage there.

D. Warren A. East*CEO & Executive Director*

Okay. Well, we can probably -- I think we'll have to deal with all of that linkage in another level of detail. But broadly, it's about the size of the installed base. And if I look back, then whilst the cash generating potential of the installed base has, indeed, been growing, then the challenge in terms of it not actually appearing to be delivering is -- actually, we've been consuming cash as well. The position of these engines on the cash flow chart towards the bottom of the shaded area there, if that's what you're referring to in -- don't forget this graph is not scaled. And it isn't scaled. They are drawn towards the bottom because they are low-volume programs. And I think in order to answer your question properly, we'll have to actually pull out the numbers. This chart was meant to be illustrative there, and those dots are in roughly the right place but the chart is not scaled deliberately.

David Miles Smith*Former Chief Financial Officer and Executive Director*

Maybe if I can just add a couple of points as well because there's a very important portfolio thing, I think, to understand here, which is the snapshot of our portfolio of the moment is actually probably at its weakest point. We've got the RB211s as the 800, 500 are coming down, not generating all that cash. Trent 700, despite the fact it's been in production for 20 years, has only become cash positive in the last few years. So it's actually still climbing up its cash ramp. In fact, this year's cash flow from that product is higher than last year's. That's where you can see -- actually, Trent 700 becomes a stronger cash generator as we go through time over the next 5 to 10 years and will be added to by XWB. So this point, I think, we may have discussed before a little bit about understanding where the portfolio is in this transition is actually pretty fundamental to understanding the strength of the business. The other thing, Ben, I'd say is that the other change really, over the next 5 to 10 years is where we're really going to sort out industrial footprint over the next 5 years. So we will have a much better capacity cost position by the time we get to 2020 and, therefore, our cost structure is fundamentally changing as well.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

Could I ask one more question just on management remuneration. And obviously, compared to the number of the targets that you had in place -- and this may be one that the Chairman wishes to answer. I see some non-execs are here. Maybe they wish to answer. I don't know. I'll leave it up to you. You have a free cash flow per share target, which is you need to achieve 100p of free cash flow per share as a minimum over the next 3 years to qualify for one of the performance share plan targets now. Obviously,

that is, in the current environment, out of the ballpark. How the board feels they're going to deal with that to incentivize you and the people to deliver numbers, rather than have a target that is so unachievable it almost becomes demotivating? And when those numbers may or may not be released.

D. Warren A. East

CEO & Executive Director

Yes. Well, I mean, the answer is, of course, motivation. And it isn't just for executives, by the way, this is -- it runs into the business. Of course, that's our motivational headwind at the moment and we are looking at how we can design things to be more appropriate. But it is a matter for the remuneration committee and the board. And I don't know if anybody wants to add anything to that. It's not something that we're sort of ready to have that discussion right now. Is that fair enough? Yes, the Chairman's nodding. Good. Thanks.

Nedko Kyuchukov

Nedko Kyuchukov from Westray Capital. You talked about double running and underutilization costs that are included in the gross margin. And from Slide 88, it seems like the target is to remove those, so to eliminate those. How should we think about those in relation to the GBP 150 million to GBP 200 million cost reduction program? Are they entirely separate and entirely incremental?

D. Warren A. East

CEO & Executive Director

Completely different.

Nedko Kyuchukov

Completely different?

D. Warren A. East

CEO & Executive Director

I think we've got one over this side who's been waiting for a little while. So let's go that way first and then come back there.

David Howard Perry

JP Morgan Chase & Co, Research Division

It's David Perry at JPMorgan. A few questions please. One of them -- it's probably for David. Can you just help me? I got a little bit lost on where you stand today on linked contracts because 18 months ago at the big accounting teach in, you told us that quite substantial margins were taken on linked contracts on the OE sale. You probably -- I estimate it's about GBP 1 billion of sales a year going forward on linked, on the Trent 900 to Trent 1000 and still, for a few a years, the Trent 700. So are you still taking quite a big margin on that OE? And if you're not, why not? Because something would have with change in the policy. That was the first question. The second one, perhaps more for Warren, I was a bit surprised in the presentation. There wasn't really anything about the structure of your aftermarket, which may be quasi-operational, maybe more strategic. But it seems to have been a hugely topical issue in the last few months, partly on the potential EU inquiry, but also a lot of commentary in the trade press about airlines not liking your closed aftermarket network, therefore, parking some of the older engines. And it's sort of created a vicious circle for you that -- and may explain some of the increase in the parked planes. So can you just tell us your thoughts on how that may play out, please?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. So Dave, just on the first part. Yes, I mean, we haven't changed the accounting policy. Clearly, the Trent 700 for this last batch of engines over -- that we'll produce over the next 2, 3 years is going to be a lot less profitable than we saw there. And that's the reason why we're seeing this GBP 250 million headwind into 2016, so they will still be accounted for as linked. We will book a gross margin at inception,

but it's not going to be as high as we booked in the past. And the other thing that's really changing at the moment is the mix. So when you see look at the mix of our production between linked and unlinked, that's going to change very significantly over the next 2 or 3 years as XWB ramps as well. So the OE -- on the linked engines themselves, our policy will remain, but it's a lower profit level on the Trent 700s. And then we've got this mix issue between linked and unlinked, which drives some of the short-term profit headwinds as well.

David Howard Perry

JP Morgan Chase & Co, Research Division

But I've actually, I'm more interested in the Trent 1000s because your [ph] selling Trent 1000s are linked.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes.

David Howard Perry

JP Morgan Chase & Co, Research Division

I mean, if you're not taking the margin on the OE, does that mean you're not expecting those to be as profitable over their life?

David Miles Smith

Former Chief Financial Officer and Executive Director

We are taking the margin on the OE. It's not as profitable an engine as is the 900 -- as the 700 was, no. Part of that was because on the 900, certainly, is a volume effect. And on the 1000, it just isn't as profitable an engine as the 700 was.

David Howard Perry

JP Morgan Chase & Co, Research Division

And on the aftermarket issues, please?

D. Warren A. East

CEO & Executive Director

On the aftermarket issue, actually most of our engines are sold with a TotalCare agreement, the very, very significant majority of those. And talking with our customers then, our customers actually like that arrangement. Our customers are prepared to pay for that arrangement. And as I said in the presentation, that effectively means that we are taking the risk. And what they -- the customers appreciate is that we take that risk and they pay us a premium for taking that risk. Actually, a lot of the issues that are in the -- sort of swirling around in the room are actually around narrow-body engines and other. We're not playing that in space right now and are rather more associated with the sort of Time & Materials and spare parts-type business model than the TotalCare business model. Where some of our customers find the TotalCare business model less useful is towards the end of life of some of the aircraft, and we've recently increased variations on a theme with TotalCare Flex to address some of those concerns, and we're signing up our first customers on that. So I actually don't think that's a particular concern right now.

Thanks, let's -- we've got one there. Did we have one over this side [indiscernible]

Zafar Khan

Societe Generale Cross Asset Research

It's Zafar Khan from Societe Generale. Just wanted to pick up on David's question, if I may, please. David, you've been very helpful in giving us the -- little bit more granularity on the GBP 650 million headwinds you faced, '15 and '16. And I think the disclosure on the different engines is extremely helpful. But starting point this year, the guidance is GBP 800 million to GBP 900 million for the Civil division. And if I remember correctly, GBP 200 million within that is a provision release on the Trent 1000. So the underlying number's GBP 200 million lower than the guidance, and then we've got the headwind. So if

I transpose from '15 to '16 using your guidance, I end up with a very small number in the civil division for the EBIT. And even in my sort of simple way, a lot of that would appear to be profit coming from IAE, which means the rest of the portfolio is not really making any contribution. So I think it'd be very helpful to us in this new spirit of openness and being very helpful to the community if you could either give us a starting point or the ending point to the kind of bridge that you're creating. Because you've left me dangling in the middle there without a starting or an ending point.

David Miles Smith

Former Chief Financial Officer and Executive Director

I hope I'm not -- don't leave you dangling too long there. But I mean, you're basically right. I mean, I think it's clear that the profit that we get on the V2500, both from the license fee and sort of the engine flying hours fee and the module and spare parts profits is a significant chunk. The -- it was 100 [ph] for the Trent buyback by the way. But there are other factors that will probably add up to more like 200 [ph] in total. It's a factor. So yes, if we strip all of that out, then we get quite a small number for civil profitability, which is a point I was trying to make that you can actually see that when you look at it on a cash margin basis. And I think that that's going to be helpful. And I think various people have analyzed that already. And so I don't think there should be a huge surprise, but we want to do is actually provide some specific clarity around it when we report the numbers.

Zafar Khan

Societe Generale Cross Asset Research

I think we really appreciate -- we do need some sort of understanding of why everything else is making nothing. If I look at it the other way, there's GBP 4 billion within the civil division, which is aftermarket. So is it making such a tiny margin? I really don't know where to start with this.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, I mean, it essentially comes back to this portfolio point of where we are in that portfolio. We've got 4 or 5 engine programs now that are just going through the key investment phase. The Trent 7000 is the latest one. We've got the 2 versions of the XWB. We've had several versions of the Trent 1000, and the Trent 900 is still climbing up, it's clear as well. So the weight of that is outweighing the benefits of the aftermarket on the installed base so far. And that's where we're seeing a relatively low profit, but that -- you'll see that change, both in cash terms but also in profit terms over the next 5 to 10 years.

Zafar Khan

Societe Generale Cross Asset Research

But I understand that in cash terms but in profit terms -- and I'm talking profit here. All the stuff you're delivering, 90% of it is TotalCare linked or unlinked. So you don't book any losses on the OE because on the linked, as is David pointing out, you book a pretty big margin. And on the unlinked, you capitalize a loss, so I can't -- there shouldn't be any real loss on OE, because of the way you account. And that then takes me back to Ben's point. I'm just trying to add up these various things. You quite a big installed base, so is that not generating any profit? Because we've just established, you and I, that big element of the profit is V2500.

David Miles Smith

Former Chief Financial Officer and Executive Director

We should probably spend some more time, but you also have to look at this GBP 4 billion FX cost and where that falls as well. So why don't we spend a little bit more time talking about that? Because we are very keen here to try and -- as we increase the level of disclosure, try and help people get through issues like that. It does make sense to me, but obviously, I need to spend a bit more time thinking about how to explain it to you maybe.

Zafar Khan

Societe Generale Cross Asset Research

I think that would be right. Maybe everybody else would welcome that. And just on the management information systems. I'm getting old now so not very good with the memory. But did you not put in the SAP system, many years ago?

David Miles Smith

Former Chief Financial Officer and Executive Director

So I think Warren said it. We're not talking about SAP here. We're actually talking about all of the systems that we used to assemble information from the marketplace, trends data through a gearbox into physical assumptions that we want to use, and then how we transfer that effectively into the actual forecast. So it's not really SAP issue. This is absolutely the software of what we do with that information and the processes that we use in the business.

Zafar Khan

Societe Generale Cross Asset Research

But the information is there. It's just the extraction. Why is it going to take you 18 months to do that?

David Miles Smith

Former Chief Financial Officer and Executive Director

The data is there. The information takes a lot of work actually. And we are -- we're working with the best in the business to try and improve it. This is -- and I don't intend to take 3 to 5 years like some other companies do when they do this, so we're absolutely working pretty hard on this.

D. Warren A. East

CEO & Executive Director

Thanks. We've actually got some questions from the WebEx, I think. So given that we've had quite a lot in the room, we ought to go to the WebEx briefly before coming back into the room.

John Dawson

Thank you, Warren. So one question on working capital. Can you provide further guidance on working capital? What benchmarks are you setting? And which areas of the business offer you the biggest opportunities?

David Miles Smith

Former Chief Financial Officer and Executive Director

Why don't I take that as well. So obviously, the 3 elements of working capital here are -- or 4 elements are the receivables, payables, deposits and inventory. So classically, I think inventory is the thing that we're paying most attention to here. Our inventory turns are just over 3 at the moment. We believe a competitive benchmark is much

more in the 4 to 5 range. When you look at that across a peer group, we're not actually that bad. But when you look at it across, I think, what an industrial benchmark is, I think there's quite a lot of opportunities for Lean manufacturing to improve that. We will continue to work on receivables and payables and deposits as you normally would but inventory is, I think, the biggest area of opportunity we have.

John Dawson

There's another question on credit ratings. Just to check, you talked about an investment-grade credit rating on one slide, but you also referred to having a long-term credit rating of A-. Is taking the additional debt and possibly sacrificing the A- rating in the short to medium-term a necessary option?

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, this is the sort of issue I want to spend some time on over the next months or so. Clearly, we need to have some extended discussions with our rating agencies, and think about this in a broad context of

capital allocation, dividend policy. I would love to maintain the rating exactly where it is, but I have to be a realist as well, that there are some competing pressures there and we have to take the right decision, I think, on balancing those pressures and based on that assessment, we'll have the right discussion with the board and then we'll let you know in February where we come out.

John Dawson

And one final question, really referring to the reference you made to the digital opportunity. How big is the Internet of Things as an area of focus for Rolls-Royce? As engine reliability improves and data management increases, do you see this as a positive or negative effect on your ability to manage the aftermarket?

D. Warren A. East

CEO & Executive Director

Well, broadly, it's a positive effect. I think I'm sort of very aware of the impact of the so-called Internet of Things, but I'm also very aware that not many people make much money out of the Internet of Things. And what I indicated in the presentation there was we can use more digital capability in 2 ways. One, to drive value by providing incremental value for our customers, and that's the one I'm more skeptical about making money from. And one to provide value which might be to our customers, but is also to us, to improve our profitability. And that's the one I'm much more bullish on, our ability to do that. Rolls-Royce is actually in this space, established an underlying technical capability quite a long time before its peers. Before anybody had ever heard of the Internet of Things, in fact, Rolls-Royce has been collecting data. The challenge now is how to with the so-called Internet of Things and an ability to gather much more information much more often so it comes in greater quantities, to do proper analytics on that to extract real information out of the data and translate that into value for us in terms of more information about the engines it serves. Right. We should go back to the room, I think. My WebEx friend is telling me. So microphones?

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just 2 questions for me, kind of taking it to a high level, if I may. So one, in general, broadly speaking, since 2011, you have a workforce that since then anyways, have been exhorted by senior management to kind of dig deep and improve cost performance, manufacturing performance and so on. Just Warren, especially in your short time, I mean, what's your qualitative sense about the motivation from the factory floor through the layers of management to kind of dig deep and go harder faster with respect to restructuring? And quantitatively, with the numbers that you do look at internally, at least directionally, are you starting to see some performance from their earlier efforts around the 4 Cs, et cetera? That's the first question. And then secondly, with regards to the recent press releases around the maintenance network in Delta TechOps being awarded a license to overhaul XWBs and 7000s in the future and then more recently around the restructuring of your Asian and German JVs, just what are your goals and objectives with kind of reshaping the network now at this point? And what is driving the timing and how you are doing it?

D. Warren A. East

CEO & Executive Director

Okay. First of all, on the general question about motivation, here's a workforce that has been exhorted to save money, reduce costs over multiple years. Actually, when I came into the business, I found a pretty much more motivated workforce than I expected to find, and people are absolutely up for it, if you like. However, I do think it's important that the message isn't just costs needs to be reduced. I mean, that's clear but it's a question of how costs needs to come out. And as I say, the effect of some of the programs that have been in place so far is one of basically removing headcount without actually changing too much what's actually going on in the business. So you end up with fewer people doing the same stuff, working harder, and that is demotivating after a while. And what I found sort of chimes with the people with whom I've spoken is a recognition that it isn't about costs. This is about simplification, this is about an organization which has gone through a huge period of growth over the last couple of decades, and

processes and procedures have been added to and added to and added to, and nothing has been taken away, seriously. And it's important that, that next stage happens and things get taken away and there is a simplification so that we actually have people doing more stuff rather than -- and they're happy because they're doing more stuff more effectively rather than doing more wasteful stuff. So when we talk about becoming a lean organization, that's another way of putting it, but it's essentially simplification and going back in and looking at what's really necessary, and I found people absolutely up for that. In terms of quantification of some of the benefits of the programs that were already in place, well, on the slide we put some of the programs that were already in place and some of the quantification around there. But in terms of things like customer satisfaction, delivery date, delivering more product on time and so on then actually, we've had huge strides over the last 3 years or so on that. And what we measure as the cost of non-quality, a bucket which includes things like not getting it right first time and having to do it again, that's also made vast strides over the last little while. And I think there's a lot further to go on that but those programs are in place and they are happening. They are necessary, as I said, but they're not sufficient, we need to do a simplification step as well. In terms of the goals around the simplifying the -- or sorry, changing the network of external MRO shops, this is about our costs of handling our TotalCare, this is about reducing the cost. So it's introducing competition into the network there so that people can more effectively and we can more effectively shop around the network. So it's actually a cost-effectiveness activity. Why is it happening now? It's got nothing to do with the noise that has appeared in the market over recent months. This is a much longer-term activity that's been planned a little while, and we're now sort of executing on those plans.

David Miles Smith

Former Chief Financial Officer and Executive Director

I think those things that are out there is also being caused by the ramp that we're going to see in the installed base, really required us to look at our geographic footprint as well. So there's increase -- there's going to be a lot increased demand in Asia or the Middle East, for instance, so this gives us more flexibility to make that happen.

D. Warren A. East

CEO & Executive Director

Let's go here and then a couple over the side there.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec. Three questions. You mentioned on the one hand that you talked about the operational gearing and increasing volumes, but on the other hand, you're focusing on wide-body which is a lower volume segment of the market and you've decided essentially not to go back into narrow bodies. Can you explain how to potentially square that circle? Second question is on the suppliers and supply chain because I think you've talked a lot about internal but to what extent have you had discussions with your suppliers? We've heard that some of your peers actually pushing cash of the supply chain to bolster them to give us more of the suppliers. And what is the relationship demand at the supply chain? And thirdly on -- you mentioned nuclear and I've understood that the U.K. lacks Nuclear engineers and do you actually think that you have sufficient engineers actually to grow that business and how are you trying to work to address that?

D. Warren A. East

CEO & Executive Director

Yes. I'm not sure I quite understand the first question about the operational gearing and the volumes. The fact that the wide-body is a lower volume is interesting but the increase that we need to do in volume is relative to the volume that we're shipping in, in wide-body at the moment. We absolutely need to double the volume that we're shipping over the next several years. I'm not quite sure I understand the relationship.

Rami Yehuda Myerson

Investec Bank plc, Research Division

[indiscernible] more engines [indiscernible] your fixed costs over a larger base of engines. Whereas if you had a fewer engines [indiscernible].

D. Warren A. East

CEO & Executive Director

Yes, the issue is that we're spreading that manufacturing cost over approximately the same value though, because the higher volume of engines are much lower cost engines. And when you're talking about spreading the fixed cost, you spread -- we're in the cost domain then rather than the volume domain and so, it comes to the same thing. If we're talking -- we've been then talking about suppliers and the supply chain. Our relationships with suppliers are where we have teams working with our suppliers. Some suppliers are even joint venture activities. Some are definitely partners, long-term partners and some are much more sort of transactional in the relationships, and we manage that supply network. You might be talking about us moving some suppliers sort of around the world. Well again, that's to David's point about where things are growing at the moment. And we are certainly shifting our supply base to take well, first of all, because we're increasing our manufacture in the other parts of the world, so around our Singapore base for example. And it costs a lot less to ship heavy things a small distance -- a smaller distance in Asia than it does to ship them from Europe. And so we absolutely have to look at the supply -- external supply chain in its entirety and optimize it for our operation. Nuclear and U.K. skills. Well, we actually have a lot of nuclear skills in the U.K. at the moment. And yes, skills are always a challenge to acquire and I think it's one of the very good things about the Defense Nuclear application, the submarines that we put out there, is that it maintains skills within our business that we can then use in civil applications. But this isn't something where you suddenly get a lot more business tomorrow and we haven't got enough engineers, these work together. And so I'm not too worried about that as being a fundamental drawback that the moment.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Just on the supplier chain, are you planning on making any changes just the way you work with the supply chain? You talked about changes in the [indiscernible].

D. Warren A. East

CEO & Executive Director

Well, we are talking about doing a little bit more outside the business. We're on a journey at the moment. We're transitioning from around about 70% outsourced value to around about 80% as we ramp up our XWB production. And the main change is the location of some of these suppliers which is a reflection of the where the market is and where our activity is. Now we've got someone over here.

Sandy Morris

Jefferies LLC, Research Division

Sorry this is the agricultural community over here, if we're a community. Sorry it's Sandy, by the way, from Jeffries. I mean, if I go back and tell my market maker I'm chilled out about Nuclear engineers, he may just slap me in the morning. So can I just try and establish a few things that I think I've learned today? So Civil Aerospace is cash negative seemingly by a couple of hundred million. So can we kind of check that off which explains why the group is coming out roughly neutral as I've checked.

D. Warren A. East

CEO & Executive Director

Yes.

Sandy Morris

Jefferies LLC, Research Division

The total -- the aftermarket installed base is at its lowest ebb now in terms of cash generation. Check? Is that, right?

D. Warren A. East

CEO & Executive Director

I think we'll have to unpick the detail on that.

Sandy Morris

Jefferies LLC, Research Division

Okay. More or less, but then if we turn to the investment that is currently going in and by investment, I count R&D, CapEx and OE engine losses because we're in the launch phase, is that at a peak this year or next year and then begins to moderate? Just so that we...

D. Warren A. East

CEO & Executive Director

Investments.

David Miles Smith

Former Chief Financial Officer and Executive Director

I think '15 and '16 are the peak period, yes.

Sandy Morris

Jefferies LLC, Research Division

Right. And then before you give us gross margins and we then multiply the wrong number by the wrong number, if the group gross margin is 24.5%, we can go back even and take Tognum out because we have enough recent information, you would be assuming aftermarket in civil defense is coming through at 40 or something. So this is GBP 3,600 million turnover at that sort of gross margin, this GBP 1,300 million, GBP 1,400 million of cash and real profit is getting taken away by what I've just called investment. Is that a fair way of looking at this?

D. Warren A. East

CEO & Executive Director

Yes, broadly.

David Miles Smith

Former Chief Financial Officer and Executive Director

I think there's 2 things, Sandy. I think there's, as you described is higher gross margin in aftermarket than OE overall. And then there's sort of the underlying stuff, the R&D and SG&A costs and whatever which we'll break out for you in the future which obviously, take us down to a lower bottom line profit and the negative cash margin you described.

Sandy Morris

Jefferies LLC, Research Division

Right. And then the other thing I think I've learned about today is I think need to go change my model because the Trent 700 cash flows are improving for the next number of years which presumably is a reflection of good aftermarket pricing.

David Miles Smith

Former Chief Financial Officer and Executive Director

And growing installed base. It's still growing -- the installed base is still growing, yes.

Sandy Morris

Jefferies LLC, Research Division

Therefore, if I wanted to be kind of sort of devious and mischievous, I would say well, many A350 operators have had A330s. Therefore, why would we have done silly pricing in the A350 aftermarket? At that point, I think I've chanced my arm enough.

D. Warren A. East

CEO & Executive Director

Well, I think you've stated it. No question. We don't really need to say anything to that. Do we? You're correct. I mean, the why would we?

Simon George Denison-Smith

Metropolis Capital Limited

Simon Denison-Smith from Metropolis Capital. Forgive me if you feel you've addressed this, I'm probably being a bit slow, but on the linked contracts, you take profit upfront based on the forecast for what you're going to get in aftermarket revenue. So if your aftermarket revenue doesn't hit your expectations which is what's going on with these parked aircraft, are you saying that you're taking a part of these projected reductions in future profitability you're giving us is coming from the provision you're taking against those profits that were originally overhyped?

David Miles Smith

Former Chief Financial Officer and Executive Director

It's more driven at the moment by the actual utilization. So the engine flying hours which has affected both if aircraft are parked or if they go onto different routes. So for instance, we have routes or aircraft which are going from international routes to domestic routes and then T&M activities, so that's a bigger effect. There will be some effects where you have linked contracts, I agree, but we update that analysis twice a year and at the moment, it's really being offset by cost reductions that we're getting at the same time. So the bigger effect is absolutely through the engine flying hours and the T&M activity.

Simon George Denison-Smith

Metropolis Capital Limited

Okay. So linked to that, I know this question was asked but I still don't think I've got a very clear answer. Are you absolutely certain that Rolls-Royce is not having a higher share of parked aircraft because the pricing is effectively at a competitive advantage to GE's engines through these TotalCare contracts? That your customers are not saying well actually, if I'm weighing up grounding an aircraft to the GE engine versus a Rolls-Royce engine, that I'm better off doing a Rolls-Royce engine because I'm paying a higher cost at that point in time than I am with the GE engines.

David Miles Smith

Former Chief Financial Officer and Executive Director

I haven't seen any evidence of that. Maybe we'll come back on it specifically. But I mean, it does -- as I said, it does get down to a choice for individual airlines on their individual routes which they may have a mix of engines or very often, they may be more exposed to us or GE on those engines. So I haven't seen any evidence at all that it's guarantee or aftermarket pricing. I think it's much more down to operational factors.

Simon George Denison-Smith

Metropolis Capital Limited

Sorry, one final question, which is completely unlinked to this. Is 3D printing an opportunity for Rolls-Royce?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, it is, of course. And we're already actually testing out, quite large and complex 3D printing components that will be the largest of anybody at the moment. The research centers that we do jointly with the government, other companies and universities have been looking very hard at how we can extend

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the application of additive layer manufacturing various powder technologies as well. So it is for us, I think, quite an exciting, long-term opportunity but one that obviously, we need to make sure works at a very high criteria that are required for the hot end of the turbine engines or whatever. And the cost is still an issue. I mean, they're still quite expensive to make and we have to work on that over time in terms of scale.

D. Warren A. East
CEO & Executive Director

But we're absolutely using it today and will in the future.

Adrian Dolman

Yes. Adrian Dolman here from Kintbury. I've just got a quick question relating to IAE. This morning in the release, you said previous disclosure has undermined confidence in the business model. I note that when it comes to Rolls-Royce reporting your financials, you never disclose what the IAE contribution is. If I look in your Annual Report, I don't even think IAE receives a single mention. Given cash flow has declined and profitability has declined, IAE is now a very large portion of your reported profitability, and it's a significant boost to your potentially negative cash flow. Will you improve disclosure on this going forward? And also, could you give me a rough idea of what the IAE contribution you expect to be this year and next?

David Miles Smith
Former Chief Financial Officer and Executive Director

Yes, I actually think that we have talked about these openly before but if we haven't, then I can clear that up. So I think in revenue terms, it's roughly GBP 600 million and in profit terms, I think it's in the GBP 250 million range, something like that. So I actually have -- I think I've heard that mentioned before but I think if we haven't, then that's roughly where we are at the moment.

Adrian Dolman

It's more to the -- it think when actually, you give the numbers, I think it requires people to ask you on the conference call for you to actually disclose it. I'm not sure it's actually released. No, that's great. But will you disclose that going forward in your releases or will we still need to ask?

D. Warren A. East
CEO & Executive Director

Well, I think we are talking about disclosing that in the modeling the business slides. We'll talk about that.

David Miles Smith
Former Chief Financial Officer and Executive Director

If that's going to be useful, that's something we can absolutely look at.

D. Warren A. East
CEO & Executive Director

We've got a few over the other side and then okay. And in the interest of time, after we've had these questions over here, we're going to close. But we will be doing refreshments outside for any further discussion.

Ryan Shestak

It's Ryan Shestak from Citadel. I just wanted to build on Sandy and Ben's question, just trying to understand the cash flow profile of the various programs on an annual basis. You laid out what it looks like in 2020 and what it looks like in 2025. And if I just focus on the Trent 700 engine for a moment, I understand in 2020, you won't be delivering anymore, so the installed base would be at its peak, i.e. sort of maximum number of flying hours. And as we roll forward to 2025, the flight hours or the cash inflow would seemingly be lower than 2020 and the cost to service those engines that have been delivered over time would seemingly be higher. So I'm just trying to understand how to read the chart why 2025 for the

Trent 700 has considerably higher annual cash flow than 2020 if the flight hours will be lower and the shop visits will most likely be higher.

David Miles Smith

Former Chief Financial Officer and Executive Director

I'd say so the exact positioning on those charts may be a bit illustrative in some cases but the -- I think the point -- there's a couple of points why you'd still be seeing improvements. Firstly, we get escalation every year in pricing, so that's part of the contract. It doesn't stay the same, it goes up every year and inflation may increase, if you like. And then we continue to actually take cost out of that end of the legacy engines. A lot of the cost improvement that we're seeing coming through TCA last year, for instance, the 150 million that we talked about, a lot of that was on the Trent 700 and we would expect to continue to take cost out of that engine over time. So you're right, at some stage, we get to the peak on the utilization. There are still a few products being delivered on the military side as well, but you're right, the Civil side will stop. But we still have an opportunity to improve margin even after that, both on the pricing and the cost side.

D. Warren A. East

CEO & Executive Director

Yes. So just to add. I mean, these charts were based on a bottoms-up analysis, so there's the facts that David just described and they are what we expect to materialize and that's what's positioned that dot on Slide 56 compared with Slide 55. However, as he said, it is a PowerPoint, this is not meant to be financial reporting but the relative positions is absolutely correct. I think well, this might be the last question.

Nick Cunningham

Agency Partners LLP

It's Nick Cunningham from Agency Partners. Just looking at Chart 55 again, I think I got the chart number right. Obviously, that section's indicative, but the Trent XWB is both in positive cash flow territory even though there won't be that much of an installed base generating hourly payments at that point and you'll be delivering a lot of OE engines. So does that imply that you'd expect the Trent XWB to be breaking even or better on a cash basis OE by that stage?

D. Warren A. East

CEO & Executive Director

Well, the answer there is that it will actually be in reasonable volume in that stage. The Trent XWB is the fastest selling engine that we've had. And it's an engine that we have a massive order book for at the moment, and that's why we're gearing up to double the production in total but the ramp-up on XWB is really very steep. I think I'm right that the order book at the moment is for XWB is roughly the same quantity as the installed base on Trent 700 at the moment. So it's massively steep and there will actually be a lot of Trent XWB engines flying around in 5 years' time.

David Miles Smith

Former Chief Financial Officer and Executive Director

And I think there are 3 or 4 things that are helping this as well. So the launch cost through the launch pricing on OE side will obviously won't have the same level of R&D support for the product once it's in the market. And we will be generating some fairly -- even though it's early on, some fairly significant aftermarket begins to get generated by then. So all of those things are positive and we will on that 84,000 [ph], we should be in positive territory on an OE basis. Absolutely.

D. Warren A. East

CEO & Executive Director

Yes? Do we have anything else from the WebEx, John?

John Dawson

No.

D. Warren A. East

CEO & Executive Director

Okay. Well, with that, I think we'd like to close the Q&A session. And thank you all, very much for coming, and there will be some refreshments outside.

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Rolls-Royce Holdings plc LSE:RR. Interim Management Statement Call

Thursday, November 12, 2015 4:00 PM GMT

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Call Participants

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David Miles Smith

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John Dawson

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Presentation

Operator

Hello, and welcome to today's Update on all the Operating Review and Interim Management Statement. [Operator Instructions] And just to remind you, this is being recorded.

And today, I'm very pleased to pass you over to John Dawson at Rolls-Royce. John, please begin.

John Dawson

Thank you, Hugh, and good afternoon, ladies and gentlemen, for those in the U.K., and good morning to those of you in the United States. This call is primarily for the benefit of our U.S. shareholders, who hopefully have an opportunity to dial-in this afternoon and, of course, to analysts and investors here in the U.K., who may have further questions that they wish to ask management.

My name is John Dawson, I'm Head of the Investor Relations at Rolls-Royce. With me are Warren East, our Chief Executive; and David Smith, our Chief Financial Officer. Warren will be taking the lead on the presentation today.

Before I hand over to him, I would remind you to review our safe harbor statement, which is attached to the PowerPoint and is available on our website.

We will have plenty of time for questions at the end of the presentation, which should last about 5 minutes. Please wait for the operator's instructions to register for a question at the end of our opening remarks. Thank you.

And without further ado, let me hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Thanks, John. Good morning everyone in the call in the U.S. Thanks for joining us today, and I apologize about the short notice. We've an hour available for the call, but our IR team will be able to communicate after the call and we'll set up meetings and telephone conferences as required.

So as you've seen in the U.K. this morning, we issued an interim management statement and that covered 3 main areas. Firstly, initial findings from the operational review that I've been doing; secondly, an update on the outlook for 2015; and finally, our current views on 2016 and the headwinds that we are facing transitioning from 2015 into 2016 from a profit point of view.

Now, this IMS included some very difficult, but necessary messages and that's why we want to take the time to hold a conference call and be able to spend time with investors explaining more about the issues, and importantly, what we plan to do about things.

So let's go on to the key messages slide, the first -- first slide. I'd like to reiterate, to start with, that after 4 months of being in the business, everything I've seen has confirmed the good things that I saw. My view that the company has a strong portfolio of products and services, definitely has a world-class engineering capability, and actually, is well-positioned in the market to generate high market shares and strong cash flow, and actually, in the longer term, higher returns on capital.

And we're preparing for an increase in our wide-body engine production, an increase which doubles our production from around 300 to around 600 engines per year. And that is a reflection of a very strong order book and a growing market share.

So that's the good stuff. During the year, we've also taken steps to improve our balance sheet -- strengthen our balance sheet and improve liquidity. And so that puts us in a strong position as well. But we've been faced with a number of headwinds that continue to impact 2015 and they have material implications for 2016. And I'll discuss that in a bit more detail shortly.

But in summary, and in common with most industry players, we're seeing significant changes in some of the end markets in which we operate. And this is primarily lower demand within the corporate jets and regional jet market, reduced utilization of older wide-body jets as well. And we're also seeing a continued and even more severe deterioration in the offshore sector to which our Marine business is exposed.

So for the current year, our overall guidance is actually unchanged, although we do expect profit to be at the lower end of that range. Now, our assessment of the profit headwinds for 2016, however, totaled some GBP 650 million in total, and that equates to a further GBP 350 million of headwinds compared with what we talked about in July.

Good news, in cash flow terms, however, we expect a much more consistent year-on-year performance and we can explain that difference in a little while. So clearly, the conditions that we face are challenging, and our expected performance is disappointing. And for me it's also striking that the revenue impact of these changes in the market -- the revenue impact is relatively small, but the profit impact for us is large. Interesting observation, and we'll come back to that.

So as you know, I've been undertaking an operational review for the past few months and I had been preparing to present the conclusions to you later in November. But in the light of the numbers coming together for today and reflecting on the size of that, we decided that I should definitely bring forward the announcement of at least the headlines of what I think we need to do as a result of the operational review that's been going on. And I understand that it's -- the whole thing makes unpleasant news and it's a good opportunity to make sure that people have time to digest this before we start talking on November 24.

So let's look at some guidance -- 2015 guidance. We've guided to the lower end of the profit range that we gave in July, but otherwise, it is actually unchanged on a constant exchange rate basis. It's a reflection of growing headwinds that we've seen coming through the year, but those growing headwinds are offset by some of the mitigating actions that we've already taken.

But the impact in 2016 is more severe, as we feel the full force of these market impacts and some of the market changes, and in particular, some of those changes which have come along a bit faster than we had previously anticipated.

So let's turn to 2016 now. We've set out in the statement and we're outlining on this slide how the key factors that we see that are making up the challenges for the coming year. The GBP 650 million headline figure consists of GBP 300 million that was identified in July, in particular relating to the impact of the slowdown in the Trent 700 order book. I note that we believe the initial estimation that we made in July remains absolutely valid, so this is essentially the same position that we were in, in July.

However, since then, we can also see a further approximately GBP 100 million impact if we look at corporate and regional jets together. And in the corporate jet market, we're seeing further weakness in demand for those business jet engines, particularly for new orders. And then in the regional market, we're seeing weakening demand for aftermarket services in the 50- to 70-seat category, where people are simply not flying those airplanes for a variety of reasons.

If we look in the large engines area, then we have about GBP 100 million and GBP 150 million headwind in large engines. We're seeing good growth in installed thrust, but that's being offset by some selected short-term weaknesses on some older wide-body programs, and this is where aircraft are being temporarily parked up by some players in the industry as they manage a transition to new, more efficient aircraft. The net effect of that is about GBP 100 million to GBP 150 million of profit. Finally, there's an additional GBP 75 million and GBP 100 million of further headwinds for the Marine business as the market there continues to weaken for both the original equipment sales and for services in the offshore sector.

So these profit effects taken altogether are quite dramatic. However, as I mentioned earlier, the impact on cash flow is a lot less. And that's because of the noncash nature of the adjustments as a result of TotalCare accounting, the TotalCare accounting adjustments in 2015 compared with those adjustments in 2016. There's a bigger adjustment in 2015, it's a positive, and a smaller adjustment in '16. Therefore, the negative profit swing is somewhat less by the time you look at it from a cash point of view.

And if you add to that reduced cash impact expected benefit of improved working capital, you get the broadly neutral position that we're talking about in the guidance today -- or in the estimations today.

So now let's look at slide on restructuring because I'd like to say a few words about this in this context. This was going to be talked about initially on the 24th of November. We'll come back on the 24th of November, and obviously add a lot more color to this. And we'll probably add even more color in February as well, because it's an ongoing program.

Now, let's say, When David first became CFO this time last year, he said that one of the jobs was to improve our management information, forecasting and business systems. So that was already in motion when I became CEO in July. It's a major and complex program and that's well underway. But from what I have seen over the last several months, and importantly illustrated by the news today, we've got a lot more work to do on that.

Right now, it's not working properly and it needs to work better. My key requirement is to add a bit of pace to this and simplicity and accountability into decision-making in the business. And the business itself has really shown itself over the last several months to be much less able to respond to changes in the market conditions than should be the case.

I also think, and referring to the point made earlier about small revenue changes resulting in large profit changes, I think we're carrying far too much fixed cost and we're not sufficiently flexible in managing the cost base in response to the changing market conditions. And actually, that's just unacceptable for a world-class business and particularly, where we're operating in a very competitive environment.

So we need to put into place some significant changes to make this business more resilient and sustainable, and we need to move a bit more rapidly with the restructuring in the light of the fact that we are facing further weakening in some of our key markets.

It's too early to provide detailed costings of proposed restructuring and we will give further information, as I said, later in this month on the 24th, and we'll provide, I'm sure, more detail with our results in February and updates after that.

In the meantime, the previously announced restructuring that's going on in our Marine and Aerospace businesses, I'm pleased to report that's actually going well. And I'm also confident that the benefits of the actions that we're announcing today will also have a significant impact and will be having a significant impact by the end of 2017.

And with that, we'll open up to questions. Thank you.

Question and Answer

Operator

[Operator Instructions] We go over to the line of Avi Hoddes at Millennium Partners.

Avi Hoddes

I have 2 questions. Earlier today, BAE said that they were going to be cutting your fighter production by about 50%. If you think about defense next year, early this morning, you expressed optimism about chance for aftermarket. How would the headwind from the Eurojet going down compare with the potential tailwind from the aftermarket? Is it a disproportionately profitable OE business? And then on Land & Sea, I was wondering if I could just ask on the order side, how are orders shaping up in Marine and Power Systems in the second half versus the first half? Could you give us some sort of color or flavor or magnitude of change you're seeing there sequentially?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. So I did see the BAE announcement, although I haven't had chance to discuss that with our defense team. But in terms of our own views on that, we already had basically a fairly conservative view on the engine production. Clearly, there are 2 recent opportunities, one around the Dubai contract, which was announced a few weeks ago; and then one that's still speculative at the moment around Saudi Arabia that could provide some -- or one of which will -- and the other could provide some upside, but we already had a fairly low view in terms of our own forecast around production on that engine. In terms of Land & Sea orders, very different picture here and partly reflects the fact that Power Systems is actually exposed to quite a wide range of -- or on top the old Tognum, a wide range of markets. Yes, they do have some exposure to global commodities in mining and in oil, but we're already experiencing very low level of demand in those markets anyway. So Power Systems went out of June with a record order book. They've actually had a decent order intake since then so their order book is in reasonable shape. Clearly, it's a shorter-cycle business so we don't tend to be fully covered for the next year on orders anyway. But in terms of the progression, that's pretty satisfactory. Offshore Marine is a very different picture though. We've seen actually since the midyear, quite a significant drop in further order intake, which is the reason that we're taking, based on that now having continued for 3 or 4 months, taking the view that that's likely to result in a fairly significant downgrade in revenue next year. So quite different pictures, I think, between the 2 businesses.

Operator

Okay, we're now over to the line of Harry Breach at Raymond James.

Harry William Freeman Breach

Raymond James Euro Equities

Warren and David, can you hear me?

D. Warren A. East

CEO & Executive Director

Yes.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes.

Harry William Freeman Breach

Raymond James Euro Equities

Yes? Perfect. Three questions. Firstly, can you give us any flavor on the 330 program? One of the concerns back in July was about potentially sort of increasing competitive pressure for the remaining undecided customers for the remaining 330 CEO production slots, if I can call it that. How are things progressing in terms of your campaign wins on that? Is it sort of in line with or better than or worse than what you were hoping? And can you give us a flavor similarly on the pricing for that? Second question was just looking at the time and material side of the business. Aside from the specific operators of certain older wide-bodies that you touch on in the press release, can you give us any feel for your time and material aftermarket demand, in particular, outside of those specific operators? And then final question is, David, earlier on, you touched on no change to your expectations or maybe that the Civil guys' expectations of 25-year service life on average for large engines. But I'm wondering if within that 25 years, are they making any change about the average annual flying hours within that? Are we -- I guess specifically what I am getting at, is are we perhaps seeing an environment where there is a greater propensity prematurely to park these older wide-bodies because there's so much new supply coming onstream and therefore, are they just -- is it going to be across-the-board issue for wide-bodies? Or do you feel that we can concentrate on what's happened today on certain operators that had issues quite specific to them?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. Okay, let me take those, and Warren can obviously add anything as I go through. But in terms of the 330, actually, the estimate that we made at the end of June, early July, of the impact here has actually proven remarkably resilient. So I said at the time, we thought the volume would be between 80 and 100 over the next couple of years and that's proved to be a good assumption and the pricing assumptions we made also. So actually, that number is pretty well -- was pretty accurate. We absolutely did see intense pricing pressure, but we've now -- the majority of those deals are now firm. There may be 1 or 2 that are not -- that still need a bit more work, but certainly with the Chinese orders that were agreed as part of the president's visit a couple of weeks back, then that's looking in pretty good shape in terms of the 330. So not good news in terms of margins, but a bit in line with what we thought. In terms of T&M specifically, I mean, there's sort of a couple of aspects to that. Firstly, clearly, one of the things that we're doing is continuing to increase reliability, which does perversely, unfortunately, push out shop visits. And certainly, in terms of the discretion of people to do that, then that gives them a bit more flexibility. But the basic issue is much more around flying hours and the -- and those older aircraft being parked than particularly T&M driven at the moment. And then on the 25 years, maybe I'll just repeat what I said again. So I didn't say -- or what I said was -- this morning was the actual evidence is actually pretty consistent over the last 20 years in terms of being about 25 years on average. That really -- that number really hasn't moved. It's remarkably the same over the last 20 years. However, when we think about programs ourselves, we clearly look at different scenarios there. And that's not necessarily the assumption that we use when we're looking at individual programs, individual airline deals. We will take scenarios around that when coming up with our own pricing assumptions and evaluating the programs. All I was really saying is actually the evidence hasn't changed, but we are more cautious in that when we do our own evaluations.

Harry William Freeman Breach

Raymond James Euro Equities

Can I possibly just press just a little bit more on the T&M side? If we were to sort of isolate the specific carriers that you mentioned in the press release, is your T&M revenues in the second half so far sort of up year-on-year or about the same or something else?

David Miles Smith

Former Chief Financial Officer and Executive Director

I think, in a way, the issue is all about utilization. It's not about T&M contracts at all. It's about the fact that planes are simply not being used. And that's what's causing the issue that we're flagging as an issue that's going to be a headwind in 2016.

Operator

Okay, we now go on to Tristan Simpson at Exane BNP Paribas.

Tristan Sanson*Exane BNP Paribas, Research Division*

So it's Tristan Sanson from Exane. I wanted to come back to the pressure that you are seeing on the older wide-bodies aftermarket. And you mentioned that the key issue was certainly with the number of our aircraft being parked. Now, if we look at how this park rate evolved over the year, I have the impression that the main recent evolution was an acceleration of groundings on 777 powered by Trent 800 at a handful of airlines. What I struggle to understand is how you get to the GBP 100 million to GBP 150 million of impact, because the number of aircraft and engine at stake is not so high in the end. So can you give us a bit of a feel for how you look at it? Is it a question of lower numbers of hours flown? Or is it driven by LLP content at your visits that will not happen? Is it all cash? Anything that can help us to understand how you build the GBP 100 million, GBP 150 million would be helpful. And the second question is I understand that the marketing of the aircraft is made complex by debates on the residual values of the engine in the absence of an independent maintenance network for developmental forces. How can you work on improving the remarketing ability of these aircraft going forward? We see what you're going to do or what you're doing with more modern programs with TotalCare Flex, happy to see Cathay Pacific signing on that one. What can you do for older engine programs?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes, I mean, on the first part of a question, I think, as I said this morning, actually in the first half of this year, we really didn't see an effect and we actually experienced good aftermarket, growth [ph] year-over-year in the first half of this year. I'm just trying to recall the percentage, but it was sort of 5%, 6%, that kind of level. So this is quite a recent thing in terms of what we're seeing. So you're absolutely right, there have been some specific cases. What we're essentially doing, therefore, is looking at the whole fleet and taking an assessment across all the airlines, which causes us to be more conservative about how that might develop during next year as well. So it's not just what's already happened, it's what we expect may well happen over the next year. We will hope we're being cautious about that, but that's how we get to the higher number.

Tristan Sanson*Exane BNP Paribas, Research Division*

Okay, so the ratio per engine, it doesn't mean anything for -- okay, I understand. And on the remarketing ability?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes, I mean, as you say, total TotalCare Flex is something that we are just launching and may help. We're obviously having -- none of these situations is one that we -- if we could avoid it happening, we'd much prefer it. So we will work with the airlines affected to see if there are alternative solutions. But the primary issue is really around their own capacity organization. Not -- that's what they're trying to address and therefore, sort of us trying to make it more viable for them to continue to fly, isn't necessarily the right answer for them either. So the solution may actually be to try to facilitate those engines moving onto -- or aircraft and engines moving onto different owners, which is clearly one of the things that the TotalCare Flex product enables us to do in terms of working with other customers.

Operator

[Operator Instructions] Okay. As there are currently no more questions in the queue, gentlemen, may I please pass the call back to you.

John Dawson

Thank you very much, Hugh, and thank you all very much for taking part. As normally the case, a shorter list of questions in the afternoon. Hopefully, that's no reflection of interest from shareholders. But please don't hesitate to contact the Investor Relations team if you have any questions and, of course, we'll

continue to reach out to you all over the next few days to provide further information and understanding of what we said today. Thank you all very much for taking part. Thank you, Warren, and thank you, David, and good night.

Operator

This now concludes the call. Thank you all very much for attending. You may now disconnect.

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Rolls-Royce Holdings plc LSE:RR. Interim Management Statement Call

Thursday, November 12, 2015 8:30 AM GMT

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Presentation

Operator

Hello, and welcome to today's Rolls Royce Holdings plc update on the Operating Review and Interim Management Statement. [Operator Instructions] And just to remind you, this is being recorded.

And I'm now very happy to pass you over to John Dawson at Rolls-Royce. John, please begin.

John Dawson

Thank you very much, operator, and good morning, ladies and gentlemen. Welcome to the call, My name is John Dawson, Head of Investor Relations of Rolls Royce and with me today are Warren East, our Chief Executive; and David Smith, our Group Finance Director.

Warren will be taking the lead on the presentation today. Before I hand you over to him, I would remind you to review our Safe Harbor statement, which is attached to our presentation and is also available on our website.

We will have plenty of time for questions at the end of the presentation which should last about 5 minutes. So as the operator said, please wait for instructions to register for questions at the end and then we'll be able to take your questions.

Without further ado, let me hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Thanks, John. Good morning, everybody, and thank you very much for joining the call today and we appreciate this was very short notice. Right now, we have an hour available for the call, but I know that our Investor Relations team will be spending the rest of the day talking to as many people as possible. And if we need to talk more, we will.

So as you've seen, we've issued the statement this morning and that contains information in 3 main areas. Firstly, initial findings from the review of operations that I've been doing; secondly, an update on the outlook for 2015; and finally, our current best views on 2016 and the headwinds that we're facing there. Now all of this, I know includes some very difficult messages and that's why we wanted to hold a conference call to explain more about these issues and importantly what we plan to actually do about them.

So let's switch to the first slide. I'd like to reiterate that after -- I'll just start--to reiterate, after 4 months of being in the business, everything I've seen has confirmed my view that the company has a strong portfolio of products and services. We certainly have a world-class engineering capability and we're well positioned to generate high market shares, strong cash flow and higher returns on capital in the longer term. We're also preparing for an increase in the wide-body engine production from approximately 300 to approximately 600 engines per year. That is a reflection on the strength of our order book and that is the most significant reason why we have to undertake a fairly significant transition in manufacturing capability.

During the year, we've also taken a number of steps to improve our balance sheet and liquidity. And that puts us in a strong position. We have, however, been faced with a number of headwinds and we've talked previously in the year about that and that will continue to impact the 2015 performance, and it's going to have some material implications for 2016. And I'll discuss these headwinds in more detail in a moment.

But in summary and in common with most industry participants, we are seeing significant changes in some of our end markets. It's primarily lower demand within corporate and regional markets and reduced utilization of older wide-body jets. We're also seeing continued and more severe deterioration in the Offshore Marine part of our business.

For the current year, our overall guidance is unchanged although we do expect profit to be at the lower end of the range. Our assessment of the profit headwinds for 2016 totaled some GBP 650 million in total. And that equates to a further GBP 350 million of headwinds compared to what we expected in July.

In cash flow terms, however, we expect a more consistent year-on-year performance and I'll explain that in a moment or 2. Clearly, the conditions that we're facing are challenging and our expected performance, I find disappointing. But as you know, I've been undertaking a review of operations over the past few months and I've been preparing to present the conclusions of that to you later in November, on the 24th of November, but given today's news, I've decided that we absolutely needed to bring forward some of the highlights from that and make sure that today's news is, which is obviously unpleasant, is balanced with some news about what we're doing about this.

So let's have a look at 2015. Turning to guidance on 2015, we've guided to the lower end of the profit range that we gave in July, but otherwise this guidance is unchanged on our constant exchange rate basis. And this is a reflection of the growing headwinds that we've seen through this year, but it is offset by some of the mitigating actions that we've already taken. The impact on 2016 is more severe and we're going to feel the full force of some of the market changes and some of those changes have come faster than we'd previously anticipated. So let's look at 2016.

We've set out in the statement and outlined on the slide the key factors that we see providing the challenges for the coming year. GBP 650 million headline figure comprises GBP 300 million which we identified in July, in particular relating to the impact of the slowdown in the Trent 700 order book. Note that we believe our initial estimation of this impact remains absolutely valid today. The next component is GBP 100 million in corporate and regional jets and that's because we're seeing further weakness in the demand for business jet engines, in particular for new orders as well as further weakening in demand for aftermarket services for the sort of smaller 50- to 70-seat regional aircraft. Then, in our large engine business, we have between GBP 100 million and GBP 150 million of headwinds. We're seeing good growth in installed thrust, but that's being offset by some short-term weakness on older wide-body programs. And this is where our engines are being temporarily parked up as some people in the industry manage their transition to newer and more efficient aircraft.

Finally, it's between GBP 75 million and GBP 100 million of further headwinds in the Marine part of our business where the market in offshore, in particular, continues to weaken, both for original equipment sales and for services. So the profit effects are really quite dramatic, but the impact on cash flow is a lot less. And the reason for that is the noncash nature of the total care accounting adjustment in both 2015 and 2016. And there's a difference where those adjustments are much more significant in 2015 than they are in 2016. And there's an expected benefit in 2016 with improved working capital as well. So now we'll switch to the restructuring program, because I'd like to say a few words about the restructuring program that we've announced today.

When David first became CFO, this time last year, he said one of the jobs was to improve our management information forecasting and business systems. And that was already in motion when I joined the company at the beginning of July. It's a very complex program and it's well underway. But I think the substance behind the news we're announcing today shows that we need to do a lot more there and so further work definitely needs to be done on that. I want to add some significant pace to that. I want to add some simplicity into our processes and make sure that there is greater accountability around the decision-making in the business. As the business shown itself far less able to respond to changes in the market conditions, then, really, we should be able to do.

I believe that we're carrying too much fixed cost in certain parts of our business as well and we're just not sufficiently flexible at managing that cost base in response to changing market conditions. Market conditions are going to change anyway and it's something that we have to get used to. This is, therefore, totally unacceptable for a world-class business and particularly where we operate in a very competitive environment. So we need to make very significant changes to make ourselves more resilient and sustainable. And we need to move rapidly with the restructuring, because that's in the light of these further weakening that we have seen in some of our key markets.

It's too early right now to provide detailed costings of the proposed restructuring, but I do intend that we will give you some further information on this on November 24, as previously planned, and we'll be giving you even more details with our results in February.

But in the meantime, the previously announced restructuring and cost cutting that's going on within our Marine and Aerospace business, that's going well. And I am confident that the benefits of today's actions will have a significant impact too, by the end of 2017.

So with that, let's open the call up and we'll have some questions.

Question and Answer

Operator

[Operator Instructions] The first question is from the line of Ben Fidler, Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

If possible, I could squeeze in 3 quick ones. The first of which is, just to understand I suppose, how come the deterioration in a number of your Civil Aerospace businesses has accelerated so much since July. We're not that far on for businesses where you should have reasonably good visibility around corporate and regional OE deliveries, for example. I just wondered why the pace of that has surprised. The second issue is, I know you have provided a view for 2017 and you maybe limited about how you want to answer this question, but just to understand, some of the effects dragging on '16, do they continue? You yourself, Warren, used the language of a temporary parking up of some of your older wide-body programs. Do you expect things like that to reverse in '17 and therefore should we see '17 as a strong rebound year? Or is it more a progressive recovery from that point onwards? And the third question is just with some of these older programs where you're suffering an excess level of groundings, I suspect it may be 340s, it may be 777s, does that create any asset write-down risk on some of the TotalCare assets or are you comfortable that, that is not a risk?

D. Warren A. East

CEO & Executive Director

Right. Let me start with the first 2 questions. Thanks, Ben. One, has the pace of change really surprised us? Well, I think this has been a building effect and certainly when we talked in July, there was some of this effect was there. I think -- we've just been through a process where we've looked at our budgets for 2016 and this is our estimate based on where we are today. The very reason that we're also announcing the restructuring and the program that I'm going to talk about in a bit more detail on the 24th is because these changes will happen and they do happen fast. And the issue is ability to respond and ability to take data from the market and turn that into information and do something with it. And so I think that there's a combination of effects here. It's well -- the actual issue is documented and it's been reported by other companies. And it probably has accelerated -- the pace of that has accelerated since the middle of this year. But that combines with the fact that we also need to do a better job of being able to deal with that. So that's really what I'd like to say on the pace. And it has been quite quick since July. Now we've given a 2017 view just in terms of saying that we expect the impact of some of this new changes that we're announcing to impact from 2017. It's too early to talk about the impact of the parked up aeroplanes on 2017. Some of this -- it's very select number of airlines that are involved at the moment. Some of them are basically balancing capacity and demand. And there's new more efficient aeroplanes out there and those planes are being bought to increase capacity. Meanwhile, demand wobbled slightly and so the obvious thing to do is park up the less efficient engines and use the planes with more efficient engines. I think it won't be -- it's really too early to say is it a temporary effect that will be over and done with by 2017? The -- in the long term, the demand is certainly there. And so we do expect to see the overall number of aeroplanes being used continue to increase. And so I suspect that it is temporary and it's going to be a progressive recovery, but it's really a bit too early to say this will all be complete by 2017. As for asset write-downs, do you want to have a quick...

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. Maybe I will just add to Warren's point. So Ben, you remember when we talked about the GBP \$300 million and the Trent 700 effects, we did say we thought that would be about the same in 2017 so that view hasn't changed. And what I would say in terms of improvements, this is really going to be driven by the new installed base on the Trent, as opposed to I think any improvement on the legacy programs, because they will continue obviously to reduce over time as we would expect. To some extent this maybe

pull ahead of that, but we've yet to really bottom that out. And clearly also the Marine business is really very much on how we will see market developments over the next year. And so again, that's really much too early, I think, to comment on that. In terms of specific use -- question on specific asset write-downs? No, not in general, overall. We still have sufficient cushion on those programs, but of course, as you know, we undertake actually a very detailed review and we will look at specific valuation reserves against individual airlines, that's a normal part of our process. But it won't be an overall effect in terms of any, to write-down the assets.

Operator

Okay, our next question is from the line of Jeremy Bragg at Redburn Partners.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

A couple of questions, please. Firstly, do you think know that this 2016 guidance is fully conservative or there's some areas where you think there's still risks? Second question, if it's too soon to talk about 2017, are you still confident that in the longer term, cash flows and margins can improve from now? And third question, which I think I asked last time, on the last similar conference call was, is this an attempt to reset the accounting, again for TotalCare, given the downgrades to EBIT have been bigger than the downgrades to free cash flow?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, so why don't I take each of those. In terms of -- it's a conservative forecast. I think we will continue to view it as a balanced forecast based on the market headwinds as we've seen them. We've tried to give a much earlier view. We started that in July. We're updating that now. We clearly will update that further in February. I think it's already balanced in terms of how we see the market at the moment, but clearly the market is changing and we will have to continue to ramp to that. In terms of long-term margins? No, I'm still very confident about that. That's driven as I hinted in the last answer about the long-term growth in the installed base of the new Trent engines. That will generate significant improvements in cash flow and operating margins and return on capital over time. I think we're talking about the transition effects on the legacy programs primarily here. And is this an attempt to reset accounting? No. There is no change in accounting within this guidance. This is really driven by what we're actually seeing physically in the market and trying to do the best we can at forecasting how we could see that developing over the next year.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

So can I just follow-up very quickly on the long-term margins. I mean the obvious question is as your starting point is now lower, is your endpoint also lower in the long term, please?

David Miles Smith

Former Chief Financial Officer and Executive Director

No, I don't believe so because the long-term margins will be driven by the new portfolio that's coming in place over the next 5 years. So that's what's going to drive it. What we're really talking about is the effects of the runout of the legacy portfolio here.

Operator

Next question is over to the line of David Perry of JPMorgan.

David Howard Perry

JP Morgan Chase & Co, Research Division

I've also got 3 questions, please. The first is just when you talk about the need to improve management information systems, I just wondered how much of that is sort of operational issues and how much of it is related to the complexity of TotalCare and all the inputs that go into that. And whether perhaps you're

thinking, Warren, on TotalCare accounting has evolved relative to comments you made previously that you're probably comfortable with the accounting? The second question is what do you think of the major downside risks from here? I mean, David, I know you said this is a balanced outlook. I think on the last warning in July, you said it was -- the new guidance was robust. I appreciate there are things out of your control with markets changing, but I just wondered what you thought were the major areas of risks still. And then the third question is I was just wondering for November 24, we would expect any medium-term earnings or sales and earnings targets, please?

D. Warren A. East

CEO & Executive Director

Okay, let me start with the first one. And I think the comments on the information systems have nothing really whatsoever to do with the TotalCare accounting and the accounting is more of a comment on broadly, we have lots of people engaged with customers, engaged with the market, we pick up lots of data. We turn that data into information. We make decisions about it and some of those decisions are what we expect in terms of financial outturn and some of it sort of normal operation planning decisions. The issue is that we take too long and the process by which that data gets turned into information is too complex. And so what we need to do is make the whole process more simple, but also increase the -- essentially the clock frequency, as they say that we are able to respond more quickly within the business to changes in the market which is going to happen anyway. David, do you want to talk about the second question?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, I think on your question about downside risk. It's really, as I described it earlier, that -- I wouldn't say that any of us is in a position to talk operatively about how the oil and gas industry is going to develop. We are trying to give the view on Offshore Marine that we think is based on the order intake that we have seen, which has been very low. I've described that previously, but it continues to be very low. And therefore that's our view through 2016, I think. We'll have to take a call on how that moves through 2017, '18 during next year. But, clearly, I would be more conservative than I would have been 6 months ago, just given on the experience over the last 6 months. In terms of the downside risk on the legacy off the market portfolios. I mean, we've modeled that and looked at that as closely as we can, but there clearly is a big transition going on, both in the narrow-body and the wide-body side of the business. And I think that we are not alone in experiencing this. I've seen comments from several other companies based on the airlines side and the supply side within the industry over the last few weeks. And I think what we were seeing is part of a pattern. And that may well not -- that may well change further and we've got to be prepared as Warren said for that and therefore more resilient to those sort of fluctuations, that's really why we're taking the action that we're taking.

D. Warren A. East

CEO & Executive Director

Okay, and so your third question about -- talking about medium-term guidance on the 24th of November. The 24th of November, we're going to talk about what I've concluded from reviewing the operations. And right now, I've decided that comprehensive guidance for 2016 is not a good idea, which is why we're talking a bit more directionally about this and we're explaining the factors behind the profit headwinds from 2015 into 2016. And I don't think it makes good sense to reiterate medium-term guidance now either. But what we will be talking about is the nature of the businesses, how they work, and the sorts of things that we're doing to improve the operational performance of those businesses. So people can form a judgment about how quickly we can improve the margins within the business.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay, and if I may just ask a follow-up, please, and thank you for those helpful answers. If the management inflow isn't in anyway related to TotalCare accounting, do you still stand by your comments

on the first call that you're broadly comfortable with the accounting? And that TotalCare doesn't need radically revisiting, at least from an accounting perspective?

D. Warren A. East

CEO & Executive Director

I do stand by that. It's -- the TotalCare accounting that we do, I agree, it's complex. But it's part of the complexity and that comes from the necessity to be suitably conservative. The TotalCare programs are all about providing appropriate, what the customer wants. And it's important that we remember in all this that the accounting will be what the accounting will be. We need to concentrate on delivering value for our customers. And then it's up to us to make the whole process as simple as we can possibly make it so that we can respond quickly to the changes there. No, I stand by the total accounting that we have at the moment. Do I -- would I like it to be simpler? Yes, I would like it to be simpler. And as we've already said earlier this year, the complexity associated with this is partly to do with the fact that some contracts are linked, some are not linked to the OE sales and that -- the balance of linked and unlinked is shifting as we move to newer engines over the next several years. So the issue will, in time, largely disappear.

Operator

Our next question is from the line of Andrew Gollan at Berenberg.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

I've got 3 as well, if I may. First one, quite complex really, I'm just trying to understand more about the changes in assumptions that you are alluding to within the contract accounting. David, you mentioned in one of the earlier questions, you're confident of the longer-term returns in cash flows. Part of the message today is telling us that the legacy fleet is not as profitable right now or -- you said temporary effects. I'm just trying to work out whether there is a structural change in your expectations for the profitability of that, let's say, the legacy fleet over the longer term. We're going through a transition. We're seeing, maybe, some short-term temporary effects. But does that mean that the life of these contracts -- not the contracts, the life of these engines are perhaps shorter than you expected? And that we are structurally changing our longer-term assumptions because a lot of us just sort of look at that as -- the profit and cash driver on a 5- to 10-year view is the maturity of all of that fleet. So I'm just trying to understand that a bit better. What are you telling us here? Secondly, a couple of questions on cash, just a very short term one. The cash flow effects are less, you mentioned. Can you just give us a feel for the kind of drop through or quantum, if you like, of the profit impacts that you're guiding to next year on that additional GBP 300 million of profit? And then, just longer term and I guess linked to the first quarter, as profits move closer to cash, clearly, that's a good thing; something that would have happened over the very long term anyway. But can you give us a sense of maybe some metric, like cash conversion, free cash conversion profile over the next, say, 2 or 3 years, through this transition period? And then longer term, is the kind of metric that a lot of your peers talk about, and it's really quite helpful for us to understand what's going on in the business through these big transitions.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, I'll just take the first point. So this is really about -- as far as we understand, each airline will be in a different situation, because it very much depends on their fleets, what they've got an order, how they're managing capacity and operating patterns. So I don't think this is a pricing/margin issue. This is absolutely about volume or flying hours utilization of the fleet for those legacy programs. And I guess what we and others in the business are seeing is that actually that transition that everybody is seeing. Coming in terms of wide bodies. It's going to require a bigger degree of change, I think, on the legacy than we expected. So that's really a change in assumptions, which is looking very specifically airline-by-airline, but, overall, about how we see the level of flying hours on each of those legacy products developing. To your sort of, maybe, longer term question about engine life, that's clearly a very sensitive thing that we look at. And as we model each of our new programs, such as the XWB or the Trent 1000, we look at that very carefully based on the evidence that we have. The truth is that, that number really

hasn't actually changed over the last 20 years, it's still about 25 years on average. Now that doesn't mean that we are necessarily not more conservative when we're doing our modeling, because we are. However, the objective evidence actually hasn't changed, even though we may be getting some short-term acceleration of that for some programs on some airlines. But I think that, as I said, that's much more to do with the individual capacity and operating situation of those airlines rather than a systemic issue as far as we see it at the moment. In terms of cash flow, this is a very important point and we did point out in July that, as Warren said, many of the profit effects we are going to have a much more muted effect on cash flow, simply because of the linked accounting nature of the Trent 700, which I think everybody got that. When we think about 2016 compared to 2015, clearly there are a number of things quite negatively affecting working capital in 2015. In the Marine business for instance, we believe that therefore, although we're going to see a GBP 650 million profit headwind, we will not see that degree of cash headwind. I'm not brave enough to tell you that cash will be exactly the same in 2015 and '16, because to be quite honest, we always give quite a wide range about cash flows given that it's a year-end number. But it won't be anything like as different as the profit impact. So we see a much more consistent view on cash flow between the 2 years and the primary reason is that the working capital changes in '16 will be much lower than they are in 2015. In terms of cash conversion profile, therefore, mathematically that will improve cash conversion in 2016. We said previously that we still think that -- when we go out, 4 or 5 years looking at cash conversion, north of 80% and I've said before, some years that may well be north of 100% is absolutely right, because that's really driven by the physical things that are happening in the business as we get up our ramp curve as the aftermarket installed base grows on the XWB and Trent 1000 and other products. So that's absolutely right. What I know is more difficult to do is actually predict how that cash conversion will move between now and then. But I would say that we are going to have a couple of years where it will be better than it was this year, because of all the effects we've just been describing. And then we'll progress up to that higher level by the time we get to the end of the decade. So it will be a transition.

Operator

We are now over to the line of Charles Armitage at UBS.

Charles J Armitage

UBS Investment Bank, Research Division

Two questions. I feel somewhat emasculated, I don't have 3. First of all, just to be absolutely clear, that GBP 300 million headwind that you're talking about in '17, that is versus '15, it's not an incremental worsening from '16?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, that's correct.

Charles J Armitage

UBS Investment Bank, Research Division

Excellent. Secondly, the dividend. When are you going to make a decision on that? And can you just talk us through your thinking? It just -- it seems to me that you're spending GBP 400 million, GBP 500 million on dividends, a small cut to that really doesn't make an awful lot of change in the whole scheme of Rolls-Royce and the transition. So should we be looking for a suspension for a couple of years?

D. Warren A. East

CEO & Executive Director

Yes, I think we put this comments about the dividends in the release here and we talked about the actions that have been taken over the last few months to improve our financial liquidity and strengthen the balance sheet as well. And we put them in there because given that we're talking up today about profit headwinds as large as we're talking about for the transition from '15 and '16, it's just common sense to tell people that, of course, we're considering the strength of the balance sheet and we're considering the dividend in the light of changes that will be evident to dividend cover. But I stress the fact that we talked

about the balance sheet being strong, liquidity being strong and we also talked about the fact that the board will be reviewing this. The board will be reviewing it at the normal time and changes, if any, will be announced at that time.

Operator

We are now over the line of Christian Laughlin at Bernstein.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Just a couple of questions for me, please. One, there's some positive comments on the strength of the business portfolio in the start of the press release this morning. So that implies, Warren, that you've not changed your view on the value of retaining the existing mix of Aerospace and Land & Sea businesses over the long term. Is this a fair interpretation? That's the first question. And then the second question is, Warren, also, if you could just elaborate a bit on what you mean by the inability to respond to changes in market conditions, is that really referring to production? Or service offerings? Or pricing? Or just generally too many people doing too few activities? Or an inflexible supply chain? If you could just kind of elaborate a bit on that second point, that will be helpful as well.

D. Warren A. East

CEO & Executive Director

Okay. First point on the portfolio, I think we're going to talk a bit more about this on November 24, don't forget November 24 has always been billed as an update on a review of the operations of the business. But what I have found is that it's impossible to really do that without taking into account essentially reviewing the portfolio of product and market activity. However -- and so I'll talk about -- more about that one on the 24th of November. But for the time being, then certainly, I haven't changed my views over the long term. This is a business with very strong engineering and technology. We need to focus on what we're really good at, which is engineering engines and propulsion systems, and the fact that we deploy that expertise out into a range of different market applications, which all have a little bit of a common theme. And again, I can talk about it in greater detail, I don't want to waste too much time on that now, but the view hasn't really changed over the long term. Our inability to sort of respond quickly and so on -- I think, it's a combination of the fact that -- an observation I'd take out of the review is we clearly have too much fixed costs in some part of our business. And we're just simply slow to react to changes in what's going on in the market. I think we've evolved over time, a very good ability to deal with our supply chain and make sure that we're not building mounds and mounds of excess finished goods and we're not ordering vastly too many materials and components from our supply chain either. But in the short term, we are generally not fast enough at being able to take all those things and translate that into what impact that has on our financial results and communicate both with ourselves around the business and with the outside world.

Operator

We are now over to the line of Nick Cunningham at Agency Partners.

Nick Cunningham

Agency Partners LLP

A couple of questions. One, talking about the strong cash conversion indications at the end of the decade, does that include any assumptions about major development programs? In particular, there's been a lot of coverage of A350 stretch, including your UltraFan and, of course, I suspect, you'd be bidding on Boeings middle of the market, new narrow-body? So that's one question. Second one, looking at the mix impact of accounting changes, obviously IFRS 15 is now hovering into view. Do you have any view yet on that? And in particular, whether it intensifies the impact of the shift from linked to unlinked and whether you can still capitalize OE losses under unlinked? And finally, an unlinked question, just on the biz jets, is that a loss of market share that you're suffering which you're being impacted by? Or is it a weak market overall for Gulfstream and Bombardier?

D. Warren A. East

CEO & Executive Director

Let me deal with the first one and then, Dave, could you deal with the IFRS 15 implications, all right? So I think one of the things as we go through this restructuring and improving the simplicity of our business, pace of decision-making and so on, then one of the things that we need to take care of is to make sure that we continue to invest in technology and we continue to invest in the product roadmap. And the opportunities that you talked about in the question, the A350 stretch, possible 757 successes and so on. Absolutely, these are on our radar and absolutely, these are taken into account when we talk about our forecast for the end of the decade. Do you want to...

David Miles Smith*Former Chief Financial Officer and Executive Director*

I mean, specifically IFRS 15, which, as you know, went back a year -- or at least a year in terms of the implementation timing. There is a lot of fairly intense activity going on to look at that, both with our own accounts, but also talking to other industry peers. We would like, as an industry, to try and get to reasonably align views around this. And the changes may be quite fundamental I think in some areas. Although I'm not sure that we fully understand what will happen on the portfolio at the moment. I would love it to be simpler. I am not -- what I'm saying is, it's probably won't be simpler, it would be different and that may actually have certain effects on the portfolio that we're going to have to talk about. But it's too early for us to do that yet. The industry really is still talking and obviously talking with the regulators and just trying to understand how best to model, which are still fundamentally the heart of our business, very strong, long-term business contracts, that we're trying to make sure we find the right way to model from an accounting point of view.

D. Warren A. East*CEO & Executive Director*

And to comment on the unlinked question about corporate jet, we're coming from a position of actually very good market share, particularly at the higher end of the corporate jet market. And it is well-known that we have lost some positions on subsequent aeroplanes that are coming along to replace some of those where we are incumbent today. And so as we look over the next several years, we can see a headwind from that loss of position. But what we're seeing in the short term, right now, is a softening of the market. And that softening of the market manifests itself in reduced demand for these planes generally and people would, otherwise, buy a more expensive higher-end of the market plane, buying a lower-end of the market plane, where our market share just doesn't exist today. So some of it is a longer term that Rolls-Royce has over the previous years lost out on some of the positions at the higher end, but that's because we're coming from a very, very strong position at the high-end. And some of it is due to softening in the market and we're absolutely seeing that softening in the market at the moment and it's happening a bit quicker than we expected it to happen. However, I'd also stress that we are still very well positioned to capitalize on the opportunities that are there to get back into some of these higher-end planes that are coming along in the next generation. And I'd also stress that our strong market share that we had going into this situation still means that we have an excellent installed base, which is still growing. The aftermarket is largely proportional to the installed base, and the installed base is still growing. It's just not growing at quite the rate that it was growing.

Nick Cunningham*Agency Partners LLP*

Could I just make a plea on the IFRS 15 process, could it be possible to involve the other stakeholders in the industry, including clearly the investors and analysts in the next couple of years?

D. Warren A. East*CEO & Executive Director*

Thank you.

Operator

Okay, the next question is from the line of Zafar Khan of Societe Generale.

Zafar Khan

Societe Generale Cross Asset Research

I've got 2 business-related questions and 2 general ones, if I may. The first one is just on the 2016 outlook. Power Systems, interestingly, there isn't really very much mention on that beyond saying Q3 as being fine. Comments Offshore -- [indiscernible] highway hasn't been particularly good. I think standby power problem in some of the areas is difficult to miss 20% exposure to energy for the Power Systems. And I'm surprised that there is no kind of real mention on that. So I'm interested to know the view on that visibility. Also in Defence, United Technologies, GE, PCB, they've all warned on aftermarket for military transport aircraft. I'd know for yourselves in Defence, that's a pretty big exposure, I think it's more than half of the Defence business. So I just want to know on those 2 businesses, how much due diligence has been done? And how firm you're kind of outlook is on those? That's the first one. The second one is, you mentioned, Warren, the high cost base. You haven't said very much on the potential for cash liberation from the business. And I know in the past there's been an admission that inventory levels, et cetera to hide because you're building lot of factors and needed buffer stocks. So those are the 2 specific ones. Just a couple of general ones if I may, please. First one is on the review that you are undertaking -- have undertaken? Has it been purely internal? Or have you sought out some external consultants on this one, just somebody to hold your hand? Because I would imagine having worked in a high-growth business with a very different business model, I just wonder how much experience you would've had of actually looking at something which is more mature and needs huge amounts of cost reduction? And then the fourth one is, again, Warren, you're in a unique position of having been a non-exec on the board of this grand company and for the last 5 months as a CEO. So you set there as a non-exec. What were your expectations in April when you took on the job from the non-exec position? And are the challenges far greater than you envisaged at that time when you took on this position?

D. Warren A. East

CEO & Executive Director

Quite a lot of questions there.[indiscernible]

David Miles Smith

Former Chief Financial Officer and Executive Director

Shall I start with the Power Systems?

D. Warren A. East

CEO & Executive Director

Dave, start with the Power Systems.

David Miles Smith

Former Chief Financial Officer and Executive Director

So in terms of Power Systems, yes, we haven't talked about Power Systems specifically. If you recall, when we talked about the half year results, Power Systems has actually reached a record order book of GBP 2.2 billion. They progressed well in terms of that order book through the subsequent months. So our view at the moment is actually reasonably balanced on Power Systems. You're absolutely right. There are areas that are linked into global commodity markets, for instance, like mining or oil that are weak but they were weak anyway and they have just continued to be weak. So that's not really a change from our perspective. On the other hand, we do have some positive developments. I think we continue to do well in governmental areas and things like the electric locomotive. So overall, we still think that, that is a reasonably balanced view for Power Systems for the balance of this year and going into next year. On Defence, we have done a very detailed review. I'd say Defence is probably going to be more impacted over the next 18 months by just the scheduling of OE deliveries as opposed to aftermarket. We're pretty confident in that. And we're not seeing significant change in aftermarket for the Defence, that continues a strong part of the business. And clearly, there's actually more activity around the world, unfortunately, at

the moment. So if anything, it might actually be some upside for us. So citing the Defence picture as well for Power Systems, yes, there'll be some ups and downs, but it is pretty balanced picture, I think.

D. Warren A. East

CEO & Executive Director

If I may add one thing, David, that would be obviously on transform control. We are largely now in aftermarket business. We have a very mature portfolio, much more interesting for us is making sure that the technology investments address the need to have a viable technology to tackle the next round of development of the transform control market that will allow applications. But we're doing fine with regards to life extensions and providing support for in-service transform-controlled activities, which is a core area at the moment. So it's a less sensitive to the OE side.

David Miles Smith

Former Chief Financial Officer and Executive Director

Absolutely. Right, I'll pick up on the last 3 questions then. Cash liberation from the business and what's been talked about before. Yes, absolutely, everything that's been talked about before is ongoing and continues. And I've said, the transition that we're going through is an important transition and that needs to be driven through to conclusion. The performance improvement programs that have already been announced prior to today are absolutely on track and they are on track for delivering year-on-year cost savings in the parts of the business that they apply to at the moment. And also we've had to improve inventory turns and reduce working capital. So that's happening. What we're talking about today and what I've identified in the review is the needs to do other things, to do additional things. And one of those is about reducing the fixed cost, not about reducing the working capital. That's happening anyway. External consultants, no, we haven't used external consultants. I have thought -- and one of the things I need to do coming into this business new is absolutely get under the skin of the business myself. And so just simply delegating that to some external consultants didn't seem like a very good idea. With regards to your third question, pointing out that I've actually seen this business certainly before I got involved in the process of joining the executive. I've seen this business from a nonexecutive side of the table for 9 months or so. Have my expectations changed? Well, I've only been in the business -- it is just over 4 months and so actually things haven't changed that much. What happened is -- I would say the challenges are the same sorts of challenges that I had identified from the outside. But it has been important to get under the skin. And I now have a much greater understanding of what lies behind some of those challenges and the things that we need to do to address them. And you can only really get that visibility from being inside the business rather than outside. It's quite hard to actually see that from the board. All you see is the symptom and you don't really understand the causes to the same extent. So I'm actually quite pleased to be inside to be getting my head around what's really causing some of these issues so that we can get on with fixing them.

Operator

Our next question is over to the line of Alexi Yannas at PIMCO.

Alexi Yannas

So what is your commitment to your current credit rating? What measures will you be willing to take in addition to reducing the dividend to maintain? Would you reduce CapEx? What else would you do? And should we now consider it there's some possibility that there could be a rating downgrade?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, I mean we view that by maintaining the credit rating at the kind of level that we're at, at the moment, is an important part of our financial policy. Clearly we will have, as we have over the last year, further discussions with the rating agencies that they will have to take their view on that. But it is an important part of our financial strategy. I don't believe that it would be, just to your specific sort of question on CapEx -- so we have given previously sort of guidance that CapEx and R&D over time may come down as a percentage of revenue. However, I don't think they are going to that change much in

absolute terms. We will continue to invest as we think we need to do in terms of new products. That's a very important part of delivering long-term cash flow for the business and, therefore, that's absolutely important. The kind of actions that Warren is describing that we want to take in terms of improving breakeven I think are the more significant ones where we're trying to take out fixed costs rather than investment spend.

Alexi Yannas

Is your sense that your current ratings could potentially be downgraded, you're A3AA ratings?

David Miles Smith

Former Chief Financial Officer and Executive Director

As I've said, we'll have discussions with the rating agency. We've obviously already contacted them. We have planned discussions already with them. So we'll need to go through that process.

Operator

The next question is from the line of Rami Myerson of Investec.

Rami Yehuda Myerson

Investec Bank plc, Research Division

A few questions for me. On the restructuring, just to understand, you still haven't decided whether or not the charges will be made above or below the line? And I see we'll have an update on the 24th. And just to clarify, do you expect the GBP 150 million to GBP 200 million as a run rate exiting 2017? Or is it from 2017? And have you started discussions with the various U.K. unions on the restructuring plans? And the second question on aftermarket and cash flows, if I understand correctly, one of the downgrades today are actually cash items rather than TotalCare or the old engine aftermarkets, et cetera. So could you explain why being placed -- is there an offset from working capital? Or is it actually more TotalCare than time and materials?

D. Warren A. East

CEO & Executive Director

Let me deal with the first 2 of those questions. So restructuring in a GBP 150 million to GBP 200 million per annum that we expect in terms of cost savings from this during 2017. The word is during '17, as in, I expect the impact of this to be felt during '17 is to be progressive and the full per annum benefit will be from 2017 onwards. So by the end of 2017, we expect to be at about that level. In terms of how it's going to be charged, right now, we will give some further details on the 24th of November and we'll give some further details when we report again in February, because I don't think we'll have all the answers on the 24th of November, in terms of exactly how much these things are going to cost and exactly when we're going to have to get those costs, when we going to have to spend the money and exactly when we're going to see the benefit. There's a lot of people issues involved. And so we need to consider that as well. However, I would stress that a lot of this is not just about people, it's about processes and what the people are actually doing. And so in terms of consultations, that's something that we have ahead of us rather than stuff that's already been done. But this program is incremental to the programs that have already been announced. And so there will have to be some additional consultations as we go forward.

David Miles Smith

Former Chief Financial Officer and Executive Director

Just on your cash flow questions. So I think it's really as I explained earlier, which is the -- you're absolutely right, some of the profit headwinds as opposed to the linked accounted ones we talked about in July will have cash impacts. However, we also, as we talked about on inventory and other areas of working capital, are improving performance in those areas. So we believe the drag that we've seen on what I would describe as sort of normal trade-related working capital will not be anywhere near as significant in 2016 as it has been in 2015.

Alexi Yannas

Thank you.

D. Warren A. East

CEO & Executive Director

Excellent. Operator, I think we said we'd take an hour. And we're just coming up to the end of that. So I suggest we use that as a chance to finish the call. For those who are in the queue, we'll give you a ring just to make sure your questions are answered by the team over the next couple of hours. But if I can just say, thank you very much for all taking part, and hand you back to the operator.

Operator

This now concludes today's call. Thank you all very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

Fixed Income Call

Thursday, July 30, 2015 3:15 PM GMT

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Call Participants

EXECUTIVES

David Miles Smith

*Former Chief Financial Officer and
Executive Director*

Presentation

Operator

Hello, and welcome to this Rolls-Royce Holdings plc 2015 Half Year Results Fixed Income Conference Call. [Operator Instructions] Just to remind you, this session is being recorded.

I now hand you over to the Group Chief Financial Officer, David Smith. Please begin.

David Miles Smith

Former Chief Financial Officer and Executive Director

Good afternoon or good morning. Let me just give you a summary of some of the key highlights, I think, of our presentation this morning. We did have a more difficult first half. It was a slower start, I think, as we'd indicated earlier in the year, and that effectively reflected the phasing that we will see this year on engine deliveries, product mix and also R&D spending. The good news was our order book was up and actually at record levels in both our Civil and Power Systems businesses, up GBP 76.5 billion. So that's a really good positive for the long term.

Just in terms of some of the specifics. Revenue at GBP 6.25 billion was down about 3% from last year, although that was mainly FX related. Profit was down more. It was down about 30%, and I'm going to come back in a second to some of the main drivers of that. And our free cash flow of GBP 576 million, although actually better than we had originally anticipated, clearly was a drop versus what we delivered in the same period last year. We're still expecting to deliver a break-even or better result for the year on cash flow, so to recover that drop that we saw in the first half. And then finally, we did increase our dividend by 3%, in line with our progressive dividend policy.

So let me just go through some of those numbers in a little bit more detail now. Starting with our revenues. So as I said, our revenue at GBP 6.25 billion was down versus last year but actually flat once we adjust for the effects of the stronger pound on translating foreign currencies back into sterling. Within that, we saw growth in aero services, actually it's quite good growth at about 7%. But we saw a lower volume in our Land & Sea business, particularly around OE project -- products in both Power Systems and Marine.

Our profit, as I said, at GBP 439 million on an underlying basis for the year was down about 30% from last year or GBP 218 million after adjusting for exchange. The biggest driver of that was trading margin. And within trading margin, we saw significant volume effects, particularly engine mix in our Civil business, volume and mix in our Marine business and also the fact that we took a GBP 30 million onetime charge for a contract we don't expect to complete now in Marine and then adverse volume and particularly adverse mix in our Power Systems business. The other main factor that drove the reduction in profit year-over-year was higher net R&D charge to profits, which was a combination of higher spend and also a lower level of capitalization, so we expensed as opposed to capitalized more of R&D during the period. And that just really reflected the timing of where various programs are in their capitalization profile.

So turn now to cash very quickly. So the GBP 439 million of profit, as I said, became minus GBP 576 million on free cash flow. The biggest driver of that was working capital and primarily trade working capital, which was GBP 747 million negative. And that included around GBP 400 million on net receivables payables. We had a stronger close to the year last year, and that increased the level of payments out to suppliers in the first part of the half. And then equally, with quite a few deliveries right at the tail end of the half, that built up our receivables and that cash will come in, in the second half of the year.

The other big driver was inventory. Part of that was planned in terms of preparation for high deliveries next -- in the second half of the year. Part of it was unplanned, which was a combination of some supply shortages in a couple of our business units but also the market conditions in Marine leaving us with more inventory. And we plan to reverse that inventory build in the second half of the year, if not do a little bit better than that. And that's part of our plan, as I said, to get back to a break-even cash flow for the full year.

Our financial strength is really important to us, and we are very focused on maintaining investment-grade rating. One of the things that we did during the first half was to refinance, as many of you know, our revolving credit facility, and we increased our overall to GBP 1.5 billion. And we also took the decision, which we announced back on July 6, to curtail our share buyback at GBP 500 million rather than continuing for the GBP 4 billion that we previously announced. This, in my view, was a prudent decision. I'm confident that cash flows will improve significantly over time. But I want to make sure that we maintain the right level of liquidity in the business during the short term, especially as we will be facing some additional headwinds over the next 2 or 3 years, which I'm going to come back to in a second.

Just talking about some of the individual businesses. Our Civil Aerospace business, as I said, had a record order book, which was strongly positive. We also saw good growth in our services business, particularly. But we're impacted by quite a change in mix between more profitable linked deliveries on the Trent 700 and 900, which were replaced by Trent 1000 and XWB, which were unlinked and, therefore, on which we do not book in advance aftermarket profit.

In addition to that mix change, we also saw some weakness in business jets and also in the regional aftermarket and our smaller jet businesses as well. But as I said, our overall aftermarket revenue was actually quite a strong positive for the first half, and we expect that to continue into the second half.

Overall, Civil profit therefore declined by about 40% against a revenue picture which was up a little bit. And that's something that clearly was impacted very much by these mix changes and also some other factors as well, the higher R&D that I mentioned earlier and lower utilization of some of our lease engines.

In the second half, we are expecting to book some further improvements in our long-term contract profitability, including releasing a provision that we've had, or that we've been building since launch on Trent 1000 launch engines. And that's going to be based on improved operating performance, and we'll test that technically during the second half before we release that provision.

Defence aerospace had a relatively quiet but a slightly overall positive quarter. We saw a little bit of volume drop, but that was primarily due to some supply shortages that we'll recover in the second half of the year. And we've got very good order cover in the second half of the year. So we're confident that we'll be able to deliver Defence at pretty much the same sort of result as we saw last year overall for the year.

Turning now to Land & Sea businesses very quickly. Power Systems, we did have a slow start to the year. That actually improved quite significantly as we went through the first half, and we had a very strong May and actually a record June. Now clearly, for the 2 months, I can't say make a summer, but it's absolutely true, I think, that Power Systems now has some momentum. And their order book actually increased by 12% during the quarter, up to GBP 2.2 billion, so that's a record level for them. And I think we've got quite good confidence now based on those plans and the order book coverage to deliver a much stronger result in the second half of the year. So that weakness in the first half did affect profitability as well. And it was aggravated by the fact that within the lower volume, we also saw an adverse mix. Some of that is going to be reversing again in the second half of the year.

Marine was, as all of you I'm sure -- was still heavily affected by the difficult conditions in the Offshore market, driven by the significant fall in the oil prices over the last year. And that caused both a very weak order intake. Order intake was down 46%. And therefore, our order book declined. But also increasingly, we're seeing deferrals of orders and, therefore, had an impact on revenue and weakness in the aftermarket. So profit fell sharply in Marine.

In addition to the trading-related reductions, we also, as I mentioned a few minutes ago, took a GBP 30 million charge related to a contract that we don't believe we'll now complete. And in addition, during the quarter, we did announce 600 redundancies -- during the first half, sorry, and we will probably make some further announcements on redundancies in the second half of the year. Although that's contained within the guidance that we've given.

Nuclear. Our Nuclear business is now separated out from Energy; that happened last year. And we had a sort of quiet again but relatively positive quarter with both revenue and profit up. And I think they will also have a solid year this year.

So that really completes the overall picture. Our guidance for the year remains unchanged with the revised guidance that we gave on July 6, and that's true at a segment level as well. The only segment level guidance that we have changed was from Marine, reflecting the trading conditions, as I discussed previously.

So it is going to be a challenging second half, but there are a number of factors, I think, that are very positive and will drive this. Firstly, continued service growth in Civil building on that 7% growth in the first half of the year. We do expect higher engine deliveries, partly from recovery of some of these supply shortages but also the ramp-up that's already planned in the second half of the year in the Civil business. We will have a somewhat lower R&D charge and, as I said, some significant impacts on profit from reversal of provisions that we've taken previously on the Trent 1000 engine and also improvements in TotalCare costs as well.

In Land & Sea, a much stronger second half for Power Systems. As I described, I think we have the momentum to deliver that now, and we've rebased the Marine forecast to give, I think, a very realistic picture for the balance of the year. So that's 2015. We did also recap what we talked about on July 6 in terms of some of the headwinds that are facing us over the next 2 or 3 years, particularly the transition from the Trent 700 to the Trent 7000 engine as Airbus run out the A330 in its current form and introduce the 330neo from 2017 onwards. This is going to be a very difficult transition as Airbus announced a big reduction, 40% reduction in February in volume. But this isn't just about volume. These are very tough commercial sales. And both ourselves and Airbus, I think, are finding that very difficult. And we're also still in competition ourselves on the actual engine selection. So we are expecting, in addition to the volume drop, significantly weaker pricing on both the OE and the aftermarket on these sales as well as a lower demand for spare engines. And as we said to the market a couple of weeks ago, we think that's about a GBP 250 million impact overall for the Civil business in 2016 and indeed in 2017.

Incremental to that, the weakness in business jet and regional aftermarket will increase our number to about GBP 300 million for Civil. And we will continue to see, we believe, certainly through 2016, a fairly weak picture in the Offshore market as well.

So it was important that we reiterated that. The impacts on cash won't be as severe because a lot of this is related to the nature of the linked accounting for the Trent 700, but still there will be some impacts on cash. But overall, we should see cash conversion improve.

I finished my presentation, and really Warren built on this by talking some of the long-term trends because I think it's very important, I think, when looking at these period results to keep in perspective really that this business is on a multiyear journey to actually transform itself, both in terms of its product portfolio and its industrial base. We have a GBP 76 billion order book. That's a record order book. We have a lot of very good long-term trends that will continue to drive both sides of the business. And the embedded value, as our civil large engine market share on an installed base moves up towards 50%, is very significant in terms of the aftermarket revenues and cash and profits that, that will generate. We're continuing to invest in technology and in this major industrial transformation that I've described right across the business.

Just to put this market share issue on wide-body in perspective, it's taken us 30 years to get to this position. And we're within 5 years, really, of achieving it now. And that is supported by our order book, which will deliver this. And as I said, once we get to this kind of level of installed base market share in wide-bodies, we'll be in a very strong position to continue to drive profitability in the aftermarket, which is one of Rolls-Royce's absolute key areas of expertise.

In addition, I think the Trent XWB is an extremely important project for us. We are just really beginning the deliveries on that program. It will be generating cash through the next 40 or 50 years. And when we think about that, the cumulative cash flow that we expect from that program is actually twice as great as the best-ever program in Rolls-Royce's history, which is the Trent 700. And in fact, as we get into the next decade, we'll have both the Trent 700 continuing to be a strong cash driver on the aftermarket but the XWB as well.

So hopefully, that's an overall summary of what we discussed this morning. We also discussed a little bit about Land & Sea, but I probably covered that as much. And I'm sure you'd like a bit of time to have some Q&A as well.

Question and Answer

Operator

[Operator Instructions] And as we have no questions on the telephone lines, I'll return the call to David Smith for closing comments.

David Miles Smith

Former Chief Financial Officer and Executive Director

Okay. Well, thank you very much for your attention today. I see that there aren't any questions. So hopefully, that means we did a reasonable job of going through that information. It is very important that we commit -- keep a strong level of communication with this group. And therefore, I really value these calls, and hopefully that we can talk in the future. Thank you very much.

Operator

This now concludes our call. Thank you for attending. Participants, you may disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2015 Earnings Call Transcripts

Thursday, July 30, 2015 7:30 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2015-	-FH2 2015-		-FY 2015-	-FY 2016-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	CONSENSUS
EPS Normalized	0.17	0.40	▲ 5.26	0.56	0.48
Revenue (mm)	6406.96	7796.08	▼ (4.80 %)	13805.72	14008.81

Currency: GBP

Consensus as of Jul-29-2015 6:48 PM GMT

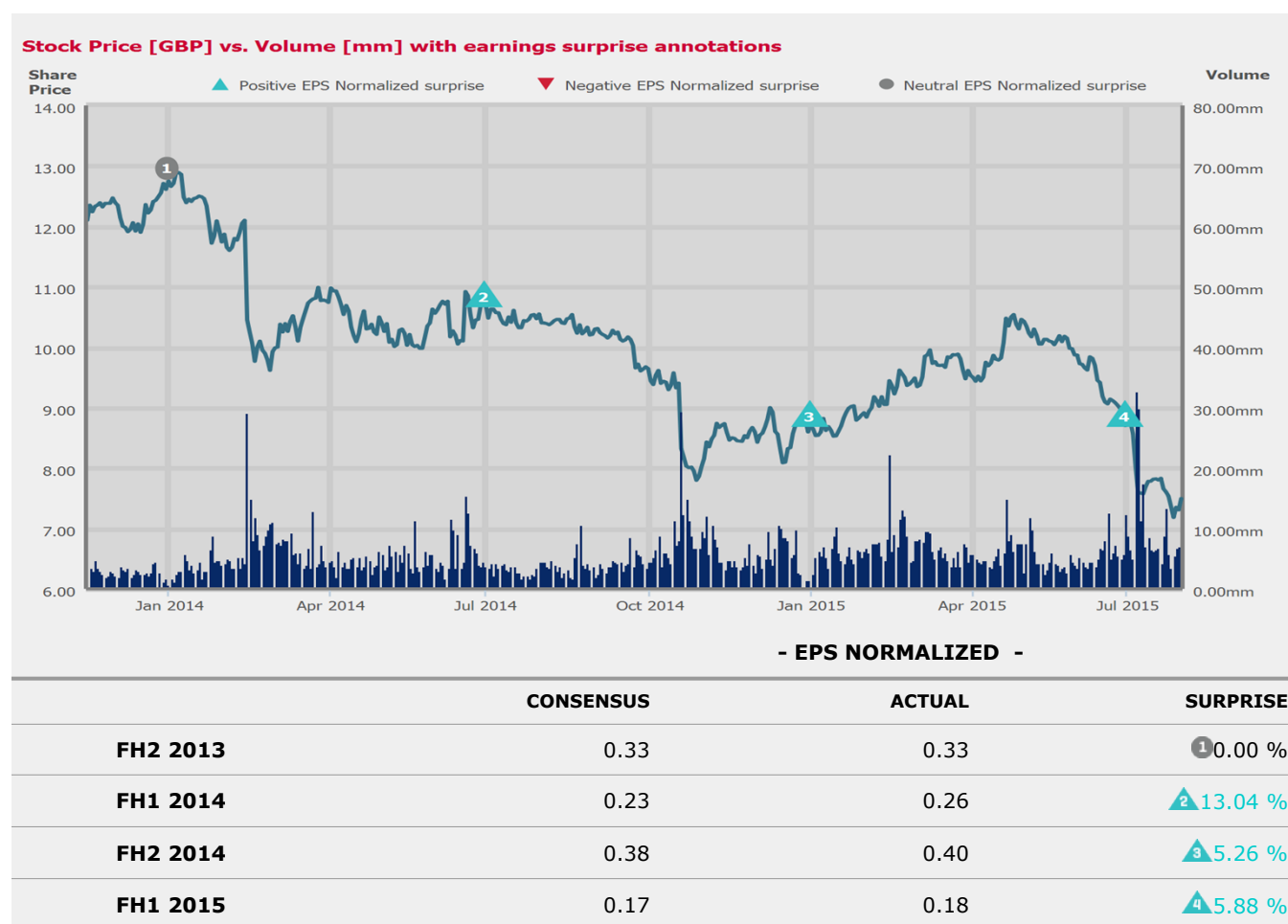


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EXECUTIVES

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Presentation

John Dawson

Good morning, ladies and gentlemen, and welcome to Rolls-Royce's First Half Results for 2015. Thank you for joining us here at Prince Philip House, and for those of you who are also joining on our website webcast. My name is John Dawson. I'm the new Head of Investor Relations at Rolls-Royce. With me here today are Warren East, our Chief Executive; and David Smith, our Chief Financial Officer.

Before we begin, could I ask you please to turn off your mobile phones, or at least put them to silent. We may also include forward-looking statements in our presentation today. There is a safe harbor statement at the back of your pack, and you should read this in considering these comments.

The running order for today is as follows: Warren will open today's presentation with a few remarks about the highlights of the first half. David Smith will take you then through the first half results in more detail before commenting on our guidance and long-term prospects. Warren will then return to talk about some of his first impressions and share the question-and-answer session at the end. You will be able to field questions if you are on the webcast, please submit them, and the member of the IR team will ensure they are asked if we have time or if they have not already been asked in the room today. Thank you.

And without further ado, I'll hand you over to Warren.

D. Warren A. East

CEO & Executive Director

All right. Thank you, John. Good morning, everybody. I'm very pleased to be here. It's a little bit weird interim results, my results first day with Rolls-Royce. Obviously quite weird since I joined right at the start of the second half.

However, I will make a few comments about the first half. But before we start our review, I want to say, obviously, I was quite disappointed with our announcement on the 6th of July. And for me, that served as a sobering reminder of the task ahead for me. As I continue to review the business operations, I'll be working with our team to make sure that we get on with the job to make sure that we have sufficient pace and simplicity about what we're doing.

But I'll start with some initial thoughts from my point of view, and then I'll turn it over to David to take you through the detail.

Now the highlights, for me, are quite straightforward. We're continuing to win new orders, particularly in Aerospace. And that's good because that indicates the continued support that we have from our customer base. We've also had a successful first half winning new business in our Power Systems business, leaving them, actually, with a record order book at the half year. And that's something that should be positive for that business as we go into the second half.

Now as was indicated in May with our statement at the AGM, we expect overall profit delivery. This year is more second half-weighted than usual. For the first half, it was modestly reduced revenues but quite sharply reduced first half profit. And that's for several reasons: higher engineering and technology costs in this particular phase, as we're transitioning from more mature engines to newer engines; and then, obviously, a big external market effect out there where the oil price is creating an environment in Marine, which is causing a total sort of collapse in demand, really, in the Offshore segment. And that's the same for our business and for any business operating in that sector right now. And it's those same Marine headwinds, which drove an adverse mix shift, actually, in our Power Systems business during the first half. So although I said very good finish, actually, to the first half in terms of orders coming in, it was a very slow start for that business. Now David will take you through those details in a moment.

Just want to make a few comments about cash. Cash was an outflow, a big outflow, as you can see. Our cash is going to be a very important measure of success over the next several years. I understand how important it is in terms of confidence in the business and how confidence in our long-term cash flows

is a big driver of value. And it'll be very important for us to make sure we're demonstrating the right disciplines required to reinforce that confidence.

Our use of cash going forward will be important. We have to manage through a period of transition. We have a robust balance sheet today, but we do need to be prudent, and we don't want to create any unnecessary uncertainty. And that's the main reason why we canceled our share buyback program. But the long-term value of the business, its ability to grow, its ability to generate increasing margins and importantly, cash generation is very clear to me. And so maintaining a progressive dividend policy is essential and an important building block in underpinning that confidence in the value in the future.

Now I'll hand over to David to discuss our results in some detail, and I'll come back later to summarize and give you some initial thoughts. Thank you.

David Miles Smith

Former Chief Financial Officer and Executive Director

So thank you, Warren, and good morning, everybody. I'm going to review the first half results in more detail then recap our recent guidance update; and before I hand you back to Warren, share my thoughts on the longer-term outlook for the group.

So let me start with the 2015 first half results. So our performance in the first half was actually broadly in line with our own expectations for a slower start to the year. This reflected the phasing on engine deliveries, product mix and R&D spending. As Warren has said, our order book continued to strengthen, positioning the group well for the long term, and reached record levels in both Civil and Power System.

Overall revenue was broadly unchanged on a constant-currency basis. Profit, however, was down, reflecting various mix effects within the portfolio and a higher R&D. As a result, our return on sales at 7.3% was 3.2 percentage points down on the prior year.

Free cash flow of minus GBP 576 million was also lower than the previous year, reflecting the underlying movement in profit although, again, ahead of our original expectation. So despite the challenges we're facing, we are increasing the dividend, as Warren said, by 3%.

Turning to the movements in revenue. The net flat performance, overall, masked good growth in Aerospace services revenue and was offset by lower original equipment sales within the Land & Sea Division. Overall, foreign exchange translation reduced revenues by around GBP 200 million. If FX rates stayed at current levels, we'd expect translation of our revenue to reduce that revenue by about GBP 450 million for the full year.

Turning to the group profit. The GBP 218 million reduction on a constant-currency basis was largely led by volume and mix effects within trading margin and that higher R&D cost of GBP 76 million. I'll explore each of the trading margin effects in more detail when I discuss the individual business segment performance in a minute, but the largest factors, overall, for the group was Civil engine mix, Marine volume and mix, and volume and adverse mix of Power Systems. Lower restructuring spend contributed a GBP 20 million improvement in the first half, and FX effects added a further GBP 11 million.

Total underlying restructuring in the first half was GBP 46 million in absolute terms.

Turning to cash now. We once again have 2 different cash flow charts. The first one here shows the comparison or the walk-through from profit to cash. You can see that net working capital at GBP 747 million negative was the biggest driver of the variance between profit and cash. Within that working capital number, there are about a GBP 400 million increase in primarily trade receivables and payables and reductions in payables, and this follows a pattern we often see at the half year following a busy year end in 2014 and a natural supply of payments that follow at the start of the year. And it's also affected by the timing of deliveries of the half year, which creates receivables for those deliveries.

Additionally, we saw a GBP 260 million increase in inventories between year end and the half year as we prepare for higher volumes in the second half and also worked through some supplier shortages that we

have. There was also an increase in Marine, and that's due to weaker -- the weaker market conditions. We expect this overall inventory growth we've seen in the first half to largely reverse by year end.

The TotalCare receivable increased by only GBP 62 million in the first half. It is likely that, that will be a higher increase in the second half as we ramp up engine deliveries, but -- so that was a relatively low level. And it does reflect the fact that we had lower deliveries on linked Trent 700 and 900 engines in the first half of the year.

For the full year, we expect free cash flow to be around 0, so that GBP 576 million will be improved by about the same amount in the second half of the year.

Turning to the next slide, we now compare 2014 first half cash flow against 2015 first half cash flow. And here, you can see the relative drivers compared to last year. Reflecting the challenging trading environment, you can see that cash flow from operations, largely profit, reduced by GBP 194 million; and working capital consumed a further GBP 186 million, partly inventory again. Most of this year-on-year change in working capital was driven by, as I said, inventory, and we expect this to reverse and become positive by the end of the year.

Our balance sheet and credit rating remained strong. This is important because it gives us the ability to withstand turbulence and shocks, which sometimes occur within our industry; and it also provides confidence over the long term to our customers who are buying products that will remain in service for decades. It's important to us to maintain that investment grade rating and to have prudent levels of liquidity.

During the first half, we refinanced and increased our revolving credit facility up to GBP 1.5 billion. Now I know that some of you were disappointed that we curtailed our share buyback, but I think it was a prudent decision in the light of some of the challenges we now face over the next few years. And I'm confident that cash flows will improve significantly over time, but, as I said in February and again in July, we're in the middle of a really significant growth phase and transformation of our business.

Now having covered the group, I'll turn to 2015 first half performance for each of the individual business segments, so we'll start with Civil Aerospace. Our order book increased 5% over year end, and that includes part of the GBP 9.2 billion order that we announced from Emirates. OE revenue was fairly flat, but there are some important mix shifts here. Trent 700 and 900 deliveries were down in the first half, and because, as I've said before, these are mainly linked engines where we record aftermarket profits and margins at the point-of-sale, this does have a more significant effect on profit. Business jets were also down in the first half.

On the other side, Trent 1000 and Trent XWB deliveries increased. However, these are mainly unlinked, so we don't book the associated aftermarket profit for those deliveries. The shift away from mature programs and towards newer programs, particularly where the accounting is different, will present some near-term challenges as we'll come back to. I'm also going to come back later to the XWB program in a few minutes because I really want to make sure that you understand the size and shape of this program.

Our aftermarket revenue increased by 7% in the first half, and that reflects good growth in wide-body aftermarket, which increased 9% even after we saw some lower revenue from the RB211 and Trent 500, but we also saw a weaker regional aftermarket as well.

Overall, Civil profit declined by 39% in the first half, and this reflects the revenue drivers that I've mentioned where we're seeing few of the engines that deliver upfront profits and more of the engines, which -- like the XWB, which are great programs, but the accounting is different and we record less of the profit upfront. We've also seen lower utilization in some of our lease engines; and on legacy product, some weakness in our regional aftermarket, as I said.

Onetime movements on long-term contracts were a net gain of about GBP 24 million compared to last year, and that mainly reflects cost-saving initiatives.

R&D was another headwind in the first half. R&D spend was higher for new programs, including the Trent 7000, the -- but also the Trent XWB and the -TEN on the Trent 1000. The XWB 84k has now entered into

service and we're therefore no longer capitalizing the R&D, so the P&L charge is also higher because that capitalization has now been removed.

We expect a much stronger second half, and that will benefit from both higher volumes and continued aftermarket growth. We also expect to achieve the milestones that will allow us to release a provision that we made on the Trent 1000 during the launch phase and also to improve -- continue to improve the profitability overall of our TotalCare contracts.

On restructuring, we're over halfway through the program we announced last November, and we continue to expect further benefits in the second half, much of this in Civil.

So turning now to Defence aerospace, a fairly quiet first half. The order book declined by 3%. Our OE and aftermarket revenue were both down marginally with some of this offset by a stronger dollar. In the first half, we did experience some supplier shortages that will make our engines deliveries more biased towards the second half this year in Defence. Profits declined on the lower volumes but were helped by the stronger dollar, and we also saw improved net contract profitability within our trading margin.

In the second half, we have good OE order cover and good confidence in our ability to ramp up the volumes, and we continue to see this business as broadly stable with some downward margin pressure over the next few years.

Turning now to Power Systems. Power Systems did have a slow start to the year, but we've seen that progressively improve throughout the first half. And in fact, the order book was up 12% to a record GBP 2.2 billion, and order intake increased by 4%. Revenue was down overall by 14% with OE down and services up a bit, but then a significant deterioration from FX as we translate euro revenue into sterling for porting.

Profit also declined in Power Systems, and that largely reflected the lower OE volumes and also a weaker mix coming from lower government sales compared to last year and a lower margin mix in our medium-speed Bergen Engines business, which was also affected by softness in Offshore. Bergen was also a cost drag in the first half.

The higher order intake in the 79% order cover give us confidence that we'll see a much stronger performance in the second half of the year. We've already had 2 strong months in May and June and have good sales momentum at the moment. So I'm sure it's no surprise to any of you that our Marine business had a challenging first half. Our Offshore markets are the toughest we've ever experienced.

Last year, Offshore was about 60% of our revenue, so our Marine business is very exposed to the challenges in that whole industry that we're seeing with oil prices dramatically lower today than they were a year ago. Order intake fell 46%, and the order book overall declined by 16% during the first half. On revenue, we say -- we saw lower OE sales. Again, that was primarily in Offshore. And aftermarket revenue also declined, in part that was due to the end of a multiyear Naval parts order.

Profit fell sharply in the first half driven by volume, pricing pressure and adverse mix. Some of you may remember that we had a product quality charge last year. While this hasn't repeated, this year, we're taking a GBP 30 million provision against a specific customer contract, which now seems unlikely to complete. So unfortunately, there's no net onetime benefit year-over-year.

During the first half, we announced 600 redundancies, and we may announce further restructuring actions during the second half in line with what I said earlier this month. Now this isn't going to affect our underlying result, but it's worth mentioning here that we've also taken an exceptional charge of GBP 69 million in headline profits for impairments of Marine assets where we now see a less favorable outlook. And this is driven in part by the same market deteriorations that we're seeing in Offshore.

Our Naval Marine business actually had quite a balanced first half. Looking ahead, we expect continued challenges. The order cover is high, but we're seeing high levels of customer deferrals as some of these orders may well get pushed out well into the future. And the sharp decline in new orders means that revenue may continue to decline and pricing pressure may continue. We're working as quickly as we can to reduce our costs and consolidate our footprint and ensure that when markets do recover, we're

well-positioned to offer a cost-competitive product. But we're not seeing any signs yet of a recovery. Our outlook for Marine, therefore, remains cautious.

Finally, let's take a quick look at our Nuclear business. You can see from the chart that we're showing this business now without Energy, which we sold to Siemens. And actually, for the remaining Nuclear business, it was a fairly quiet but positive first half. OE revenue increased by 5%, and services revenue increased by 7%. Profit was up GBP 8 million, reflecting the higher volumes and some timing effects on commercial and admin costs.

So that concludes my review of the first half of 2015. It was a challenging start to the year, but as I said, it came out largely in line with our expectations for a slower start.

Turning now to our guidance. Our outlook for the full year for revenue, profit and cash remains as per the update that we provided on 6th -- on the 6th of July. We now expect the tax rate to come in closer to 23% than the 24% we've previously guided. And R&D spend is likely to be a little higher than the GBP 750 million, but that's factored into our profit guidance. Our EPS range has also now, of course, been updated to reflect the end of the share buyback.

Again, there are no changes to the guidance on a segment basis we provided on the 6th of July where we reduced our Marine guidance down to 0 to GBP 40 million for the year. So while this would seem to leave a lot to do in the second half, it's actually about the same as last year, and we have confidence in our ability to deliver this.

In Aerospace, we expect, despite lower Trent 700 deliveries overall, to see high deliveries of Civil and Defence engines in the second half. In addition, we've -- we will continue to get the benefit of growth and service revenues and a somewhat lower level of R&D charges as we start to capitalize other programs. Also, in addition, as I said at the time of our guidance update earlier this month, we expect to be in a position to reverse a balance sheet provision that we made on the Trent 1000 launch as a result of improving operating performance, and we'll also recognize further improvements overall in total contract profitability.

Together with the items already booked in the first half, onetime improvements on long-term contracts are now expected to contribute around GBP 200 million of performance in the full year. In Land & Sea, Power Systems are expecting a much stronger second half as we've seen in previous years. And in Marine, we've based our expectations on a cautious set of assumptions. Finally, we'll benefit from lower C&A costs and the early benefits of our restructuring programs.

All in all, we, therefore, expect profitability in the second half of 2015 to be around the same as the second half of last year in absolute terms.

I'd now like to look beyond the end of the year and briefly remind you of some of the key points in the guidance update that we provided earlier this month. The most important issue we discussed was the product transition from the Trent 700 to the Trent 7000 as Airbus winds down the production of the current A330 where Trent 700 is one engine option in favor of the new A330neo where the Trent 7000 will enjoy an exclusive position. This transition over the next few years will, of course, phase out demand for that Trent 700, impacting original equipment sales, engine pricing and demand for engine -- for spare engines. From a business perspective, this move to an exclusive position is positive, but clearly, the lower-than-expected volumes and challenging commercial situation on the Seo [ph] variant during the transition is having a marked effect on near-term reported profitability. This is exacerbated, as we discussed earlier, by the fact that the Trent 700 engines are mainly linked, and therefore, we also lose the aftermarket profit that we booked upfront on those linked contracts.

In addition to this product transition, we're seeing market pressures elsewhere in Aerospace and Land & Sea in the shape of weaker demand for our business jet engines, the softer regional aftermarket, which I referred to, as well as the continued pressure of the weak oil prices on our Marine Offshore business.

On top of these product and market issues, I've personally undertaken a very rigorous review of our forecast and the planning assumptions that underpin them over the last few months. And as I said I would

do when I took over the CFO, I've completed that process. I believe this now gives us a better basis to look ahead. So let me remind you that -- of what that all means for the outlook for 2016.

In our Civil Aerospace business, it means that we expect a significantly lower contribution from the Trent 700 for all the reasons already set out. In total, we expect those changes to Trent 700 demands to reduce profits by around GBP 250 million in 2016 compared to 2015. It's important to remember that there are still several open campaigns for the Trent 700 engines, but we think this reflects a balanced view. In addition, we expect a roughly GBP 50 million headwind from the lower demand for business jets and the softer regional aftermarket.

Other factors, including the benefit of our growing installed base, will improve our large engine aftermarket and will also benefit from the restructuring actions that we're taking by around GBP 90 million next year. At the moment, we expect, however, these factors will largely offset the likely low level of provision releases and other longer-term contract adjustments that we're getting in 2015 compared to 2016. All of that adds up to an expected net GBP 300 million negative headwind on our reported 2016 Civil profit compared to 2015 with the impact continuing into 2017 and probably, to a lesser extent, in 2018 as a result of these product transitions.

In reviewing our new 10-year plan, I'd also -- I also put a great emphasis on cash discipline, looking at working capital management, capital allocation and returns. As a result, I'm more confident about our cash planning. In this respect, it's worth noting that the cash impact of some of these headwinds will be smaller than the profit impact because of the linked accounting issue. And therefore, cash conversion will improve, albeit off a lower level of profit.

Notwithstanding these near-term headwinds on reported profit remain very confident in the long-term prospects of Rolls-Royce. And let me remind you of the key elements behind that confidence. Firstly, our order book now stands at over GBP 76 billion, led by an outstanding position on wide-body passenger programs. We'll really see the benefit of this come through over the next few years or so. The mega-trends of population growth in Asia, industrialization trade support significant long-term growth in Air as well as in Land & Sea.

Our new products are absolutely transforming our Civil Aerospace business. The successful rollout of these new engines over the next 10 years, led in particular by the Trent XWB, the 1000, 7000, will build Rolls-Royce towards a 50%-plus share of installed wide-body passenger market and deliver aftermarket revenues for decades to come. For the even longer term, we are undertaking an ambitious technology plan to focus on the next-generation Aerospace designs with our Advance and UltraFan projects. We also now have similar technology programs that are being developed by Land & Sea. In order to maximize the benefit of this growth, we're investing in a global industrial base and establishing a much more competitive and flexible and responsive supply chain. The new facilities are lean, cost-efficient and more flexible with a much smaller footprint. Our investment plans will also reduce our dependency on older, less capable plants. This is all essential to our long-term success. So we're very confident about the future, and I'd like to briefly remind you of some of the key metrics that underpin that confidence.

This chart shows how we are transforming our market share in the installed base of wide-body passengers aircraft to evolve into an industry-leading 50% as we deliver our order backlog. It's taken us 30 years to get to this position, but within the next 5 years, we expect to have that 50% of the installed base of engines. That's a tremendous accomplishment, and it will drive significant aftermarket revenue and cash flow, as I say, for decades.

This next slide reminds you of the scale of the value creation as measured by cumulative cash flow in our largest engine program, the Trent XWB. This program is expected to generate cash flows that are around double that achieved by our previously most successful engine to date, the Trent 700. It will be years yet before the XWB actually overtakes the Trent 700 in cash flow generation, and Trent 700 itself will continue to be a powerful cash generator right through the next decade. So we will have 2 very powerful cash generation machines working in parallel. Now most of this cash flow is beyond 2025 on the XWB. I understand, therefore, that it's more difficult for the market to value. We'd really like to try and help you to develop your models around this because it's really a critical part of our future. So just to remind you that most of this cash flow is aftermarket. Rolls-Royce are the experts in the area of aftermarket. We

invented the whole concept of TotalCare service support, a concept that has been widely welcomed by our customers. And we have invested in the commercial and technical knowledge to lead the industry with our engine health monitoring systems, 24-hour operation centers, et cetera. This is a key area of Rolls-Royce expertise.

Finally, on Aerospace, why are we confident, actually, that we can build that market share base, that base of installed thrust, and that long-term growing cash flow? And really, you have to start with the schedule of large engine delivery shown here. As you can see, we expect them to double over the next few years with a decreasing proportion shown on the yellow line here on a linked basis, meaning that profit and cash flow will be increasingly aligned. We'll do this with a transformed industrial base with much greater to scale and efficiency.

Turning now to Land & Sea, and I'm sure that Warren will come back to this later in the year. Clearly, we do face short-term market pressures, but these are fundamentally sound businesses. We've completed an extensive review over the last few months, both to identify areas to improve operating performance in these businesses but also areas to refocus and intensify our technology and product development and clearly, areas to restructure and reduce our footprint. These plans will put us in a much better shape to take advantage of the strong, long-term mega-trends driving these sectors as well.

So thank you, and I'm now going to hand back to Warren for some concluding remarks.

D. Warren A. East

CEO & Executive Director

Thanks, David. That's a, hopefully, clearer view of what happened. And it's an excellent summary of our long-term prospects, and in why we're confident in that. So let me start with some of my initial thoughts coming fresh into the business. First is, there's actually a great deal to be done both in the short term and in the longer term, and my challenge is to balance those 2. Without wishing to become over-short term, so that we damage the future, which David just described. There are some urgent issues, and I need to make sure we're operating with sufficient pace in the business.

The second half needs to produce 70% of our annual profit for this year. That's good news because we have orders, but the focus absolutely has to be on delivery, to turn those orders into profit and make sure that our customers get what they want when they want it.

I will be continuing to review operations. Like any new CEO coming into the business, I want to thoroughly understand the rigor and the assumptions that we're making about forecasting our future business and about how we're building our plans for execution. And I do intend to come back to you before the end of the year with some thoughts and comments on priorities on that.

There are a couple of medium- to long-term aspects to comment on as well, restructuring programs that we have already announced in both the Aerospace and Marine business, and appropriate integration of the various acquired businesses. Now successful and timely execution is absolutely a key as far as I'm concerned to achieve the sort of flexibility and responsiveness that we need to get to, to be more competitive for our customers, and to get to a cost base that we need to drive a positive profit trajectory.

I come into this business, and I find these activities are already underway, which is good. And actually, we're making good progress. But now I need to make sure we're moving quickly enough, and I want to explore the necessity of everything that we're doing, and the feasibility and the timescales that we have for moving these programs forward further in the future.

I want to make a few comments about market communications, and of course, that is an ongoing priority. But you won't be surprised that I've received a lot of feedback over the last 3 weeks, and actually, I realized perfectly well, anyway, that we do need to make some significant improvements in our communications and you will see a change in philosophy, and that's not just about standing up here and doing more. It's about providing consistent, reliable, sustainable communication. It's about being open and transparent. And above all, it's about building trust. I understand we have to provide much clearer, much simpler explanations of how the business actually works, and sufficient tools to enable both analysts and investors to understand the Rolls-Royce business. I actually want analysts and investors

to be able to understand the opportunities in front of us as we see them to understand the growth of this business can achieve, and how the various market factors and actions that we take accelerate or retard the achievement of that growth. And I know that the current guidance and the way we've been doing that has proven to be less than helpful, partly because we've had to keep changing things and our expectations; but also perhaps because it hasn't been focused on the right things, the things that really drives our success and give you that understanding that sits behind our confidence. Now that needs a lot of thought, and John and David and the IR team, I'll be working with them together to work at how we can improve what we do, the tools that we use and the tools and the information that we provide. We will be doing things differently. We understand that's essential to your confidence in our business.

Right now there are some near-term issues. As I think we described on July 6, we have a product transition in our Aerospace business, and that isn't a 6-month thing. That's a thing which is going to happen over the next several years. And this morning, we've described how that acts as a bit of a headwind on our profitability. And at the same time, shorter term, Land & Sea business faces a very near-term headwind caused by a collapse in demand, especially in Offshore. And that leads us and the whole of that wider industry with over capacity.

However, I want to finish on the point about confidence in the longer term. We have industrial and operational transformation programs with the right programs to introduce, and those programs are underway. And they're addressing near-term issues, and they're also setting us up for higher profitability in the future in all parts of our business. We have a great portfolio of new products, a result of a lot of the expenditure that's been going on in engineering and technology over many years. And those new products have a positive profitability trajectory ahead of them. We have industry-leading technologies in development. So building on what we've been doing over many years, if you take a snapshot of what's going on today, we have leading-edge technologies going into place to enable future architectures and future generations of engines. And above all, as David just mentioned, we have some very positive long-term environmental trends underpinning the demand for the Power Systems that this business produces.

So taken together, that continues to give me great confidence in our longer-run prospects. And I could go on all morning, but I'm not going to. We'll finish there. We'll move on to questions. As John said at the start, for those of you who are listening on the webcast, please submit a question. One of the IR team will ask it on your behalf.

With that, we'll have the first question, please. Thank you. And the microphone is going to be handed around.

Question and Answer

Jaime Bann Rowbotham

Morgan Stanley, Research Division

Jaime Rowbotham from Morgan Stanley. Just one question to kick off. Apologies, because it's a bit focused on the short term. I appreciate your desire that we look to the long term, but clearly, I think there'll be a greater willingness to do so if the direction of travel in the near term improves a bit. So in the context of that and the focus on cash, it's a question for David. I appreciate, as usual, working capital should improve in the second half this year, hopefully allowing the group to break even from a free cash flow point of view in 2015. Next year, though, underlying PBT is going to decline by some GBP 300 million. Will the impact of a lower increase in the TotalCare debtor be enough to offset that profit decline? Or is there a risk that due to underlying working capital outflows and increased capitalized losses on unlinked engine sales that Rolls' free cash deteriorates next year rather than flatlining or improving? And if it did, would that be a major issue for you?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. Jimmy, and you actually drew our attention to quite an important sort of structural change that the change in Trent 700 volume has created, which is I -- and didn't mention it here, but it's in the press release. We actually see now that the long-term TotalCare net debt will peak much earlier at a lower level than we've previously indicated, so probably between GBP 2.1 billion and GBP 2.3 billion over the next 18 months or so. And that's fundamentally because where that disconnect that we've had that's been going between profit and cash will now start reversing. And when it reaches the peak, actually we'll throw off effectively cash flow. So you're right to point that out. That plateau that is happening will really, I think, then help us a little bit, I think, in terms of translating cash margin and profit margins as well going forward. I don't think it will be a particularly negative effect next year. We haven't given any specific indication on cash flow for next year, but I think if I look at where consensus is at the moment, I think that's indicating a sort of slight improvement from this year. So I -- where we absolutely need to continue to work on and we're really focused on is this inventory issue. We have made improvements over the last couple of years in turns. We went backwards in the first half, in fact we went from, I think it was 3.3 to 3.1 turns in the first half. Part of that was planned in terms of the engine deliveries; the bit that was unplanned was really the impact on the Marine business again. For instance, we have built some service inventory in expectation that we might see some increase in service business, but that just hasn't happened. So we got more inventory than we really need. I'm very confident, because I know all of the businesses and I'm really focused on this, that we will increase our turn rate by year-end, and we will continue to increase that in 2016 and 2017 as well. So that is really -- I see that as the most important physical driver here, which is to improve the operational performance on inventory in the business. We manage receivables and payables, I think, pretty well, but it's the inventory that we've got to continue to improve operational performance.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just one question, Warren, about your review. You've repeatedly described it as an operational review as opposed to a strategic review. And I'm just wondering if that's a deliberate nuance that implies some high-level aspects such as the shape of the business or the industrial base size or the size of risk share partnerships, for example -- or for a few examples there, are off limits. I'm wondering if that's the case.

D. Warren A. East

CEO & Executive Director

Okay. It is deliberate, and it's deliberate, because I believe that the strategy is broadly correct. It does, however, include -- I would count things like our industrial footprint as part of the operations that we deploy to execute our strategy, and I would describe our relationship with risk- and revenue-sharing

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partners again as: That's part of how we go about doing our business. It's broadly a good thing, and I actually don't see any reason for significant changes in that, in principle. I'm more concerned about the detail of exactly what we do and how we do it. And in terms of priorities, then I think that we have a -- if you step back, we have a fantastic order book. We have great confidence from our customers, not just in the Aerospace business, but across our other businesses as well. We have great strength in the service network and so on. The immediate challenge is turning that large order book and that great following from our customers into profit. And that's about operations and delivery. So that's the urgent thing that I think we need to attend to it. Now don't let me let you think that I don't care about strategy. Of course, I care about strategy. And this is a very long-term business, and decisions that we make today, for instance, maintaining our investments in engineering and technology, and particularly at the R&D end of it, to produce technologies which we're going to be building upon in 10 and 15 years time. Of course, that is important. But just in terms of immediate priority, what do I do when I walk into the door of this business? It has to be operational.

Nick Cunningham*Agency Partners LLP*

It's Nick Cunningham from Agency Partners. A couple of sort of quite narrow specific ones and then a broader one, if I might. And I apologize if we seem confused this morning, but there's a lot of results. You've, I think, suggested that some of that GBP 200 million of provision writeups, write-backs, TotalCare, et cetera, has already fallen in the first half. Could you just possibly quantify how much first half, how much second half?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes. About GBP 48 million in the first.

Nick Cunningham*Agency Partners LLP*

GBP 48 million, sorry. You probably already said it, and I missed it. And then the second point, in terms of restructuring cost charge, get confused between deltas and absolutes. What are the absolutes above the line in each division this year, roughly, what you expect? And how much of it are included in your underlying earnings? And how much of it doesn't get included in underlying earnings that you expect to charge this year?

David Miles Smith*Former Chief Financial Officer and Executive Director*

So in the first half, we booked GBP 46 million on an underlying basis, and there's about another 10 million, I think, on an exceptional basis. We only book exceptional charges when we close a whole plant, effectively, and that's primarily been in the Land & Sea businesses in the first half. So that's the -- those are the absolutes, which is about GBP 20 million lower than we did in the first half of last year.

Nick Cunningham*Agency Partners LLP*

And just the forecasting, how much further is it to come in the second half, roughly?

David Miles Smith*Former Chief Financial Officer and Executive Director*

So I said on July 6, I do expect we're going to announce some additional actions in Land & Sea, and I gave a range of 0 to 30, which is quite a large range, I guess. But that's because when we actually go through the details of those programs, in some cases, the voluntary redundancy side of things can change depending on the nature of what you're doing, whether you're doing a pesky alignment or a full plant closure. So that's why there is a little bit of uncertainty around that. But we will book that additional -- those additional charges in the second half. And I've included that within the guidance, and that's already anticipated.

Nick Cunningham*Agency Partners LLP*

And then finally, much broader final question. Your medium-term guidance was for 2018 to '20. I think this would flavor it [ph] if it was may be a little bit later in that time range. And then on July 6, you very specifically used the word later, which is terribly broad. So if there's any color you could add to that with detail, that would be very helpful. And today, you said that the issues in 2016 extend into '17, possibly '18. Does that go to that point that those medium-term margins you talked about in last year's guidance are further out in the future? Are they still tenable in terms of level? And how much later is later, I suppose, is the question.

David Miles Smith*Former Chief Financial Officer and Executive Director*

So, I did termed, but obviously didn't make myself clear on July 6 about the fact that the GBP 300 million of headwinds would also be seen in '17 and to a lesser extent in '18. It looks like I wasn't clear enough about that. So the reason I was saying it here is just to be clear. In terms of -- I mean, my view is actually that achieving those sort of levels on margins and certainly cash conversion of those levels is absolutely what we are aiming for and targeting. I'm not going to give a new time frame, because actually, I didn't really think it was a very clever idea in the first place to give a time frame, because if you remember, I really described this in terms of operational things that drive, that have to happen. That's clearly been interrupted and pushed back, as you said, by the Trent 700, 40% reduction in volumes basically. So I think that's something we want to come back to later in the year. I don't think there's any point in trying to update that at the moment. I think it's not particularly useful either to do so at the moment. I think once we're inside a little bit of time, we can think about exactly how we'll frame this going forward.

D. Warren A. East*CEO & Executive Director*

I think we were just -- well, we seem to have lost that one. Okay.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

Rami Myerson from Investec. Two questions. Regarding the operational review in accounting, so one of your peers last week talked about [indiscernible] agreements, and I appreciate -- they are late in the game, but their comment was that they would accumulate the cash in the balance sheet and only book revenues and profits once engines start actually coming for their first overhauls, which is very different to what Rolls has done. Would you consider adopting that type of more conservative accounting policy as part of your operational review?

D. Warren A. East*CEO & Executive Director*

Well, yes, I think as far as this operational review is concerned, it's largely about in the detail of what we do and how we do it. I'm not going to sort of rule things out at the moment, but it's not primarily a review of the accounting.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

And second question, they talk about the guidance and the headwinds. Can you provide any type of thoughts on the Trent 1000 and A380neo engine [ph]? Is there something that you've taken into account when you've done the medium-term guidance, the possibility of that happening over the next 5 years?

David Miles Smith*Former Chief Financial Officer and Executive Director*

So in terms of A380neo specifically, clearly, we are part, although a junior part, of that discussion that's going on. The same issue applies to us as does to Airbus, in fact, which is to make a business case out

of such a program at relatively lower volumes. The amount of investment that's affordable is relatively low. So we have to find solutions here that are not high investment solutions. If you ask me, have we provisioned for those investments in our future plans? Yes, we have, but not with a commitment to do them. So yes, sensibly, we do in terms of just thinking about cash flow and funding and things going forward, but not with a commitment to do that. We will not make a commitment until we are clear there's a business case. And I think the same would go for any further developments on the Trent 1000 -- on the -- sorry you asked about the A350? A380, yes.

D. Warren A. East

CEO & Executive Director

We're going in that way, but halfway back and then a bit further forward can speak.

Gordon Hunting

Gordon Hunting of Fiske. Are you going to geographically concentrate your various engines? For instance, will XWB be based at Darby, Singapore for the 700 to 7000 and the A380 engines, Delaware for the 2 shafts and Indianapolis for military? Because at the moment, it's a polyglot of producing any engine that fits.

D. Warren A. East

CEO & Executive Director

Yes. Well, as I said a moment or 2 ago, what I intend to make sure we're doing by way of reviewing the operations -- and by the way, let me say, it's reviewing operations, because any management is not just reviewing and then forgetting about it and doing other things. This is a thing which is in the sort of constant review. We're seeking to take the footprint that we have and optimize what we do there. It is a complex jigsaw, because we have some facilities with older equipment, older manufacturing methods. We have other facilities with much newer tools and techniques. And you can't just say, "Oh well, the old is all bad. We need to sort of move everything to the new," because actually you have to manage the capacity. Some things will only be or can only be manufactured where they're being manufactured at the moment, and it's a big challenge to move them. Others you can move a new engine straight into a new facility. So it's complicated. We will optimize it. The plans that we have in place at the moment, I believe, probably are optimal. But part of the purpose of me having a detailed look at this when I first come into the business is to sort of step back from it a bit and say, are we really doing the right thing for 10, 15 years hence. So there may be some changes. I mean, I doubt if there are going to be any significant changes. And by the way, we do make things like XWB both in Darby and in Singapore.

D. Warren A. East

CEO & Executive Director

Webcast?

Jilinda Crowley

Former Acting Director of Investor Relations

So question from the web from Phil Buller at Barclays. Phil asks 2 questions. The indicative profile for cumulative cash on XWB is very helpful, which looks to be in a positive cumulative cash position by around 2022? Given your statement that the XWB should generate double the cash of Trent 700 over time, are you able to give us a steer, please, as to how much cash the Trent 700 program is generating on an annual basis at this point? And Question 2, are you able to give us a steer, please, over what period we should expect the GBP 2.1 billion to GBP 2.3 billion of TotalCare provision to unwind?

David Miles Smith

Former Chief Financial Officer and Executive Director

That's a good question, not one I feel I'm able to answer. And there's always a danger of providing additional information that you get a follow-up like that, I know. But seriously, the reason that I've given it is the XWB is a transformational program for this business. And effectively, because unfortunately, the cash flows are so far out, I recognize that it's quite difficult for people to model. And my point of putting

that slide up is that, that is an area, I think, particularly between yourselves and the IR team that we'd really like to see these ways of trying to do that. I'm not going to give any numbers today. But certainly, if there are ways that we can think of together to try and help you appraise that, that's something we'd like to do. Because at the moment, I think it's proving quite difficult, I think, for people to appraise. Okay?

D. Warren A. East

CEO & Executive Director

And can we move back towards the speaker there. Then over to this side, we've got one towards the front, one halfway back. I'm sorry I don't recognize all of you guys yet.

Olivier Brochet

Crédit Suisse AG, Research Division

Olivier Brocher with Crédit Suisse. I have 2 high-level questions. The first one, Warren, would be on the challenges that you are facing at Rolls-Royce. How would you qualify them in practical terms compared to what you were facing at ARM? How different are they and how -- what -- how -- what things are you going to do differently at Rolls than you were doing at ARM? That's the first question. The second one is on the various investigations that you had for corruption allegations on the SFO, possibly on Brazil, or formerly at Tognum? Can you update us on the status of these various things?

D. Warren A. East

CEO & Executive Director

Okay. Why don't I deal with the one that was specifically directed at me? And David, you think about the second one. Well, one of the interesting things is, of course, this is a completely different industry from a semiconductor industry, but there are some remarkable similarities in parallel. So the basic financial dynamics of the business are remarkably similar in terms of turnover R&D upfront that may go nowhere, a ton of product development cost built on R&D that has gone somewhere, followed by some revenue coming in when one sells products in the first place followed by a long tail, over many years, sometimes multiple decades, of revenue that flows afterwards. So actually, the financial dynamics of a jet engine is remarkably similar to that of a microprocessor. Similarly, the sort of partnership-type relationship that exists between Rolls-Royce and [indiscernible], Rolls-Royce and the airlines, in terms of service operations and -- are very similar to the sort of relationships that you find in a semiconductor industry between microprocessor designers like ARM, silicon foundries like TSMC, and semiconductor companies that supply chips into end-to-end products that we all use. So I was actually struck by remarkable similarities there. And in terms of the choices that one faces in the business as well, in terms of having to avoid, if possible, making bets. It'd be very easy to do custom engines for every airplane. But as David was just describing the discussion about 380, this is a dangerous thing to get sucked into from a business point of view. Similarly, it'd be very easy to design bespoke microprocessors for every application, but it would be a stupid thing to do from a business point of view. So I see quite a lot of similarities there. The primary difference to me personally, is that we have a very sophisticated manufacturing operation at Rolls-Royce, which happens to be in a period of change that we've just talked about, significant change as facilities that have been used for many years have become somewhat dated. And one of the tools that we have to improve our competitiveness is to deploy more sophisticated facilities. For instance, some of our new factories that are able to do literally twice as much in the same period of time. That is a different world for me. That harkens back to my earlier days in the semiconductor industry. But semiconductor industry, again, is one where the challenges of delivering quality at very high volume and very good yield are right in the forefront. But the good news is that Rolls-Royce has many people engaged in that manufacturing operation with many decades of experience of doing this combined with some newer people that we've brought into the business in recent years with a bit more recent experience of manufacturing operations like that. So though that's an area which I couldn't possibly pretend to be a current expert. Rolls-Royce has lots of expertise at that. Hopefully, that's answered both aspects of that question.

David Miles Smith

Former Chief Financial Officer and Executive Director

So I think on corruption, just let me remind you that we will not tolerate any form of corruption or improper business practice anywhere in the business. We have put in very extensive programs over the last few years around this. And that's something that has the highest level of focus of the management team and the board. We -- there is actually no new news really. We obviously continue to provide information as requested by the SFO and the DoJ. We're cooperating where we're asked to do, although it's been fairly limited by the authorities in India as well -- I think you asked me that. And we will do in Brazil if we get any request. But there is actually no specific event or no new news that's happened certainly in the last few months to talk about.

D. Warren A. East

CEO & Executive Director

I think we were around in the middle somewhere on this side. You need to stick your hand a little bit higher, sir. Well, let's just go here next in microphone and then move back, okay? Hands a bit higher.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Warren, it's Harry Breach from Raymond James. Can I ask you a couple of questions? One, looking at Civil, and it's on materials. Can you give us a bit of a flavor about, either in sort of revenue or shop visit terms, whether you have any sense that we're perhaps coming off an inflection point there or if we're still in the declining trend? I guess that's really about the 524s. And then turning over to market share on current programs, how will the Emirates campaign win about a month ago start changing market share on delivered engines on the 900 -- on the A380 program, sorry, in the next 5 years? And then separately, Tony Wood on the Trent 1000 has spoken at meetings lately about expecting campaign wins and share improvement there on the 787 program. Can you give us any feel for how you expect share changes on delivered engines to run through on those programs?

D. Warren A. East

CEO & Executive Director

Okay. The first one was about small Civil ones, some materials, I think. I mean, the basic issue that we have in our sort of small Civil area is -- well, there are 2 things. There's some designs that were lost a few years ago and aircraft -- replacement aircraft going out with competitors engines on. And so there is a structural loss of market share that we're facing over the next several years in that business. However, that's something that we have to live with. In terms of installed base, we still have a great installed base of engines on those aircraft, and they're obviously generating some materials contracts in terms of service. Right now, short term, we do appear to have some economic headwinds. There are fewer people buying new smaller jets. And those that have them are not flying around in them as much as they have been in recent years.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

I was really trying to [indiscernible] get the flavor. I wouldn't think we had sort of [indiscernible].

D. Warren A. East

CEO & Executive Director

Yes, okay. Yes -- I mean, [indiscernible] You answer the number one.

David Miles Smith

Former Chief Financial Officer and Executive Director

So on the 524s, obviously, we talked about the big dropoff we saw last year. There was some further dropoff during this year, although not nearly as much as we saw last year. And an interesting, it was actually more than offset by an improvement on revenues on the 535. So we actually haven't seen that big an effect in the first half on that sort of overall family of engines. But clearly, there are a lot of parked up aircraft. So I mean, the big drivers still, remember, of our aftermarket is installed thrust on Trent. And that's the key. It was up in double-digit terms in the first half of the year. And that's what's going to drive

overall installed thrust, and both LTSA and T&M revenue. So that's really the big driver. The revenues around RB211 are relatively small within the total revenue base.

D. Warren A. East

CEO & Executive Director

And your other question was about the new 900 orders, and 380 and so on, and how that flows through. I mean, I think we put a chart up, which is basically talking about installed base growing towards 50% by 2020. And obviously, engine shipments lead to the installed base. And so I think the number today is approximately 50% in terms of engine shipping, and that is set to grow with things like the new 900 order. And obviously, 200 engine is a very significant chunk. In terms of individual campaigns that Tony may have been discussing, we only make announcements when people are ready to make announcements. As far as we're concerned, there are trickle of them of wins coming in from the campaigns that are out there at the moment.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Jeremy Bragg from Redburn. A question for Warren, please. The topic is narrow-body. I've got a couple of sub-questions, but really, how important is it to reenter this market? Do you think it's possible to compete with GE without a narrow-body product, given the scale it offers? Plus also, you've lost share in regional and business jets. I mean, I'm aware that this isn't an immediate problem, but it kind of strikes me that investing in the narrow-body engine could be coincident with this company starting to generate a meaningful amount of profit and cash in the early 2020s. So it's something I don't think investors can ignore, particularly given there are press reports at the moment suggesting that Boeing is looking to develop the reengine -- or sorry, is looking to redevelop the 73 -- 757?

D. Warren A. East

CEO & Executive Director

Yes. I can see this business and see this as a question which is out there both outside the business and within. Clearly, as we find ourselves in a position where we're installed today on a number of narrow-body aircraft, and right now, there are no narrow-body aircraft shipping with Rolls-Royce engines nor will there be -- new aircraft shipping with Rolls-Royce engines nor will there be for some time to come. It's not a decision we have to make today, as you point out. I would say that the new technologies that we're developing, the new architectures, the advance and UltraFan architectures, these are -- the technologies that sit behind there are equally applicable to lower-power variance suitable for narrow-body aircraft, such as any new design that might come out of Boeing to replace the 757 in due course. And obviously, they're an important partner for us. That's an important opportunity. Exactly how vital it is that Rolls-Royce wins that sort of design, exactly how much money we should spend on investing in that sector, is a bit more up for debate. That is straying into the realms of strategic review, and I'm not going to have any strategic review in this Q&A session, if that's all right. So that's all I'd say right now. We are developing the technologies, which are applicable. We do understand that it's an important sector of the market in volume terms. It's very important today. Big question is, in volume terms, how significant will it be in 2030 to 2040 when the peak of revenue would be flowing from engines that got designed today and designed in at the time of that 757 and other aircraft that might get introduced to compete with that. In value terms, however, then of course these are lower-value engines, and we enjoy significant volume in the wide-body sector that we are very successful in today at the moment and very successfully -- coming on to the last part of your question, very successfully able to compete with GE in that space. We've got a webcast question here.

Jilinda Crowley

Former Acting Director of Investor Relations

A question from David Perry at JPMorgan. David writes, "Hi, Warren. Hi, David. The improved disclosure is appreciated. In this spirit, please, can you tell us what royalty you received from IAE into the first half of 2015 and how you expect the royalty to unfold in the coming years?"

David Miles Smith

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Former Chief Financial Officer and Executive Director

Okay. So the answer is about the same as last year. And I think we've talked about that number in the past at around GBP 200 million, I think, on an annualized basis. So that royalty isn't changing significantly at the moment. Over time, as I've described before, that royalty will remain a constant factor, that will obviously be constant in terms of pricing, but it'll be affected by engine flying hours. We also, at the moment, receive revenue and profit from selling modules still for the next couple of years into the engine assembly. That clearly will go out of production over the next couple of years, and we will produce a -- an increasing volume of spare parts over the next 10 or 15 years. So that will be an increasing trend. So the -- I know the IAE number is fascinating, but it's not actually going to have a material impact over time on the -- in the profitability of the business. There'll be a bit of a drop in 2017 or '18-ish as we lose the engine modules. but apart from that, it's a fairly constant number.

D. Warren A. East

CEO & Executive Director

I'm not sure -- it's almost -- we're going down on that side.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

It's Andrew Gollan from Berenberg. I've got 2 questions, one on cash flow for David and a sort of broader question for Warren again. So on the cash flow, on the Trent delivery profile and the mix of linked to unlinked, there's a fairly dramatic mix exchange that we all now are aware of, and we're also aware of the accounting change and how that brings profits closer to cash. So on a 2- or 3-year view, what should we be thinking about in terms of that being that a powerful driver of improving cash dynamics in terms of conversion? Or are we back to what you talked about earlier in terms of it's all about inventory management? Or how powerful a driver is it?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, I think the reason I talked about inventory is that's something really physical that we can get hold off in the short term and continue to manage. Remember, there's absolutely no difference between the cash flow between a linked and unlinked contract. The reason it has an effect on cash flow is simply the profit to cash flow movement. So in absolute terms, the cash income is really driven by the -- primarily by the engine flying hours or the people not on TCA contracts by on the shop visits. So it will become an increasingly important part of the cash flow as the installed base ramps. So both on the Trent 1000, and interestingly, that's a project that we'll see fairly intense probably activity in the first few years as those engines are operated in relatively short segments intensively by the launch airlines. But then as we see the XWB begin to build up as well, so those are going to be the main drivers of that. And therefore, as I said before, this isn't linear, unfortunately. It will build up over time. But once we're up to 50% installed base, it'd be a really major driver.

Andrew Paul Gollan

Joh. Berenberg, Gossler & Co. KG, Research Division

I understand the absolute cash story, but it was more on the conversion metrics. How soon do we get closer to the metrics that might look more preferable?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. Well, I -- we talked about this 80%. And I think the smarter -- those have sort of cottoned on to this LTSA thing taking out. We'll realize actually it's probably likely to be over 100% for some stages, because you'll get a net release of cash. I remember I didn't fully answer that question earlier. But absolutely, there'll be cash flowing off as the TotalCare net debt begins to decrease again. So I still believe getting to a cash conversion of those levels, albeit a little bit further out because of the -- just the volume impact of losing those Trent 700s will be achieved in a relatively short time frame.

Andrew Paul Gollan*Joh. Berenberg, Gossler & Co. KG, Research Division*

Okay. And then one last question for Warren. A follow-on from Olivia's question earlier. So -- I mean, your previous predecessor made quite a lot of similar noises about operational improvement, cost reductions, all the things the kind of want to hear; infamous 3Cs, which became 4. I guess my broader question is about the culture internally that you've experienced since you've been in your very short tenure so far. How do you feel about things like cultural obstacles? Because everything that was said before was very good. It's fair to say that progress has been way below what we all thought might happen maybe couple of years ago. So any observations you could say on that in your very short time you've been on the business?

D. Warren A. East*CEO & Executive Director*

Yes, it's a very short time. So let me caveat what I say with that. Of course, when you're trying to make operational changes, then the culture that exists within the business, the way in which people go about doing things, communicate, speed of information flow, all that sort of thing, can be a serious retardant. Now I think the now 4Cs, framework for operational improvement, has been followed at Rolls-Royce over recent years is an excellent framework. And the job is not complete and we do have a way to go on following through. But I intend to continue to use that framework to follow through. The 2 words I've used to sort of slightly sort of change the emphasis on that are pace and simplicity. And I think those possibly speak to some observations that I've made for myself, at any rate, about the culture, which possibly needs a little bit of tweaking. So hopefully, that sort of broadly answered the question. I don't think we need to talk about it any further right now.

Unknown Executive

Another question from the web from Ben Fidler at Deutsche Bank. Ben asks a question for Warren. "You have a large backlog in Civil Aerospace. How content are you that this backlog has been correctly priced versus your cost base to enable you to deliver mid-term margins in line with your large engine peers?"

D. Warren A. East*CEO & Executive Director*

Okay. And the answer is -- I think the answer is that they've been priced at the price that they're at, and that's the market price when the orders were struck. And this -- that's not within our control to make any changes to that right now. The reality is that a lot of that is a very, very profitable Trent 700 engine, and price is one component of that. Maybe there's a little bit of concern, because on July 6, we talked about pricing pressure. And I must emphasize that the pricing pressure we talked about on July 6 was due to a very changed competitive environment on a very small -- a relatively small number of Trent 700 engines in the tail end of that very profitable program. Going forward, then the lever that we have to work with on -- to turn the orders, which are already taken and priced into profit, is one of cost. And that's why we're going through this program of operational transformation under the framework of 4Cs. And that's why I'm coming in and taking another look at the way in which we go about doing things, the operational review that we're doing to look for ways of stretching that a little bit further and a little bit faster on things like the costs. But I'm confident in the transformation programs that are already underway. In Aerospace in particular, we announced program at the end of last year with some 60% of the way through the headcount changes that are associated with that program and the location where we're doing things. It's an ongoing program. It's going to last for some several 3 to 4 years yet, and I'm confident that it's going to deliver some significant improvements for us.

Thanks. I think we might be almost there. So with that, thank you all very much for turning up this morning. I know it's a very busy morning with lots of results out today. So thank you very much for your support, and we'll be back in Q4.

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Rolls-Royce Holdings plc LSE:RR. Guidance/Update Call

Monday, July 06, 2015 8:30 AM GMT

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Presentation

Operator

Good morning, and welcome to the Rolls-Royce Holdings plc Guidance Update. [Operator Instructions] Just to remind you, the webinar is being recorded.

And today, I am pleased to present John Dawson, Director of Investor Relations. Please begin your meeting, sir.

John Dawson

Thank you very much, operator, and good morning, ladies and gentlemen. Welcome to our call on the guidance update we published this morning. My name is John Dawson, and I have the pleasure of being the new Head of Investor Relations at Rolls-Royce. With me are Warren East, our new Chief Executive; and David Smith, our Chief Financial Officer. They will be taking the lead on the presentation today.

We've allowed around an hour for the call overall, and we'll have plenty of time for questions at the end of the presentation, which should last for around 10 minutes. Please wait for the operator's instructions to register for question at the end of our opening remarks.

So without further ado, let me hand you over to Warren.

D. Warren A. East

CEO & Executive Director

Good. Thank you, John, and good morning, everybody. This is the first time I've spoken to you all as Chief Executive at Rolls-Royce and, obviously, it goes without saying, this isn't exactly what I had planned for the first communication.

I joined Rolls-Royce because I strongly believe in the fundamental strengths of this business, the scale of the opportunities available to it. It's truly a fantastic company with exceptional technology, very deep customer relationships and outstanding long-term prospects. That's why I agreed to take the job.

But let me say I'm clearly disappointed by today's announcement and the impact that it is obviously having on our investors and our employees. The last 18 months have been very challenging for all our stakeholders as we've managed our way through some important market developments, changes in leadership and so on.

That said, notwithstanding market developments, I understand it's our responsibility to build a business that is sustainable and resilient, no matter what is thrown at us by the market. And it is a responsibility I take very seriously, and it's going to be one of my fundamental priorities for the next few years.

So what happened? In the near term, we have to manage an important transition from the Trent 700 to the new Trent 7000, and that is having a negative impact on our profit, probably greater than we anticipated both in 2015 and going forward into 2016 and beyond. We also have to build our capacity to service the new Trent XWB and Trent 1000 programs.

In addition, our Land & Sea business has some big challenges at the moment and, in particular, needs to overcome challenges in the offshore market and get to rebuild a consistent trend of improving revenues and margins across all of its businesses.

As a management team, we do have great confidence in the long-term prospects for the business. In the near term, our immediate priority is to find efficiencies and performance improvements that we need to deliver on these goals. Beyond that, I'm certainly going to be doing a review of the business operations. And when we've done that operational review, I'm sure I'll be coming back to you in due course with what we, as a leadership team for Rolls-Royce, are going to be doing to ensure that this world-class business continues to meet the needs of all its customers and its shareholders.

So thank you, and I'm going to hand over to David to take you through today's update in more detail. David?

David Miles Smith

Former Chief Financial Officer and Executive Director

Thank you, Warren, and good morning, everybody. What I'd like to do today is take you through 4 things: Firstly, an overview of what's changed in our outlook; secondly, take you through our updated guidance for 2015; thirdly, set out the key items impacting our 2016 performance, particularly in Civil Aerospace; and fourthly, set out the reasons why we remain confident in our long-term prospects.

So what's changed since the prelims in February? Clearly, there've been some major changes in expected production volumes for the A330, and this has had consequences for us in respect of demand for the Trent 700, not only in original equipment sales, but also, importantly, demand for spare engines. In addition, the slowdown in production has increased competitive pressure, with a knock-on impact on engine pricing. At the same time, we're seeing weaker demand for our business jets and the softer regional aftermarket; both are relatively recent developments. In addition, already weak offshore markets, exacerbated by the sustained pressure on oil prices, have continued to worsen, and this has had a further effect on our Marine business.

Since February, we've been undertaking a rigorous review of our forecasts and the planned assumptions that underpin them. This is effectively a pull-ahead of our 10-year planning process in order to capture the degree of market weakness we are seeing today. The rigor applied to this process gives me confidence that these now represent the best view of what we have had for some time of our outlook for the next 10 years and, therefore, a sensible basis on which to make judgments that underpin our update today.

So let me take you through the update in some more detail. Firstly, our 2015 guidance. Overall, guidance for 2015 revenue is unchanged for the full year. Reflecting the movement in Marine profit, the group profit before tax is now expected to be between GBP 1.325 billion and GBP 1.475 billion. Free cash flow for 2015 is now expected to be between negative GBP 150 million and a positive GBP 150 million. And, of course, I'm continuing to work on ways to improve this.

Given the weaker near-term cash outlook, we will discontinue the share buyback program having completed GBP 500 million of the planned GBP 1 billion program in the first half of the year. As we set out, the profit reduction primarily reflects a further weakening in offshore markets. As a result, we now expect the Marine profit to be between breakeven and GBP 40 million.

In addition, we're reviewing further cost actions and the restructuring activities in Marine to help improve performance, which, including some asset impairments, is expected to result in an exceptional charge of GBP 70 million to GBP 100 million. Guidance for all of the other businesses remains unchanged.

So for Civil Aerospace, it's worth noting that though the Civil Aerospace performance is unchanged, there has been a change in mix of performance, and this will have an impact on the year-on-year comparison with 2016. In particular, we expect the A330 rate change to impact Trent 700 deliveries in the second half of this year. In addition, there will be some impact from lower-than-expected demand for engines to power business jets and the softening regional aftermarket.

The profit effect of these will be largely offset this year by a number of operational performance benefits. Firstly, we expect to be reverting a balance sheet provision on the Trent 1000 launch as a result of significant improvements in operating performance. Secondly, we are also in a position to recognize improved retrospective TotalCare contract profitability. Together, these items will contribute around GBP 200 million to performance this year, which is higher than we originally expected.

Turning to briefly look at the half year. We will be providing full details of our interim results on the 30th of July as normal, and our expectations for the first 6 months have not changed. As outlined in May, we continue to expect 2015 profit before tax to be phased more to the second half of the year, though principally by Civil Aerospace and Power Systems. As a result, first half profit before tax is expected to be between GBP 390 million and GBP 430 million or roughly 30% of the full year compared with around 40% in 2014.

While this would seem to leave quite a lot to do in the second half, we have confidence in our ability to do that. In Aerospace, we will, despite the Trent 700 reductions, see a higher level of engine deliveries across our small and large engine categories than in the first half of the year. In addition, we have the continued benefit of growth in service revenues and a lower level of R&D charges as we start to capitalize several programs. We also expect to have a significant proportion of the one-off benefits that I discussed earlier.

In Land & Sea, Power Systems are expecting a stronger second half, as we've seen in previous years. In addition, we based our expectations on a new rebased Marine forecast providing some degree of comfort in our current estimates. Finally, we will benefit from lower commercial and admin costs in the second half and the early benefits of the aerospace restructuring program.

Let me turn to the outlook now for 2016. In our Civil Aerospace business, we expect a significantly lower contribution from the Trent 700 engine program, led by lower revenues from reduced engine sales, including spare engines, and weaker pricing. In total, we expect these changes to Trent 700 demand, which benefits from linked accounting that ties aftermarket margins to engine delivery, to reduce Civil Aerospace profits by around GBP 250 million compared to 2015. Now it's important to remember that there are still several open campaigns for Trent 700, and we don't yet know how many engines we'll win. We think this reflects a balanced view. In addition, we expect a further GBP 50 million headwind from lower demand for our business jet engines and softer regional jets aftermarket.

Other factors, including an improved large engine aftermarket, led by our higher installed base and the net GBP 90 million benefit of restructuring, should largely offset the likely lower level of provision leases -- releases and other adjustments we'll see in 2016. It's worth noting that the cash impact from these headwinds should be much smaller than the profit impact and, therefore, we will see cash conversion improve.

Before I hand back to Warren, let me say a few words about our confidence in the long term. For the first time, we've done a thorough bottom-up review of our 10-year plan and applied a degree of rigor that gives me confidence in the foundations of our guidance update today. While the outcome is not good, I do believe that it does create a base on which we can build, barring further major adverse developments.

Allied to this, our exceptional order book now stands at GBP 76 billion, led by an outstanding position on leading wide-body passenger programs. The successful rollout of new engines, led in particular by the Trent XWB and the 1000 and 7000, together with related aftermarket revenues, is expected to drive significant revenue growth over the next 10 years as we build towards a 50% share of the installed wide-bodied passenger market. And this is supported by a clear set of long-term mega-trends that support profitable growth well into the future.

Whilst the impact of the transition to the Trent 7000 has reduced Trent 700 deliveries and held back Civil Aerospace profit in the near term, we are confident the transition to the Trent XWB program, in particular, will support this. As we've said before, this program creates significant embedded value, with exceptional cash flows that are around double that achieved by the Trent 700. At the same time, we are continuing to strengthen our technology plans and sustain our investment in the industrial transformation that will continue through to the end of this decade. This is essential to our long-term success.

In addition, initiatives to reduce cost and increase focus within the Marine and Power Systems businesses should help drive good performance improvements and support a growing contribution from our Land & Sea business as the company continues to reinforce its role as the leading provider of better power for a changing world.

Thank you. So I'll hand back to Warren now.

D. Warren A. East
CEO & Executive Director

Thank you, David. I'd like to just remind everybody that, obviously, we are clearly disappointed by today's announcement. David has explained the period of transformation that we are going through in the Aerospace business, transitions there and the headwinds in the offshore market, which are driving the announcement today. However, nothing in that does anything to shake the fundamental confidence that

I feel about the long-term prospects for this business, for its market position, for the long-term market trends that David has described. I will be carrying out a thorough operational review of the business. It's not appropriate for me to speak into much more detail on my second day in the job about that right now, but I will be back to update you in due course.

And with that, I will hand over to John, and then we'll be happy to take questions.

John Dawson

Thank you, Warren. Operator, if you could open the call to questions, please.

Question and Answer

Operator

[Operator Instructions] The first question comes from the line of Olivier Brochet from Crédit Suisse.

Olivier Brochet

Crédit Suisse AG, Research Division

I will have 2 questions, please. The first one is on the transition from Trent 700 to Trent 7000 and which you say has an impact which is greater than expected on profit. Can you come back a bit on that and explain how this can be a surprise? And was it pricing impact, which was not well appreciated? Was it linked to how you look at TCP contracts, and there has been a change in the way you look at them? And the second one is on the business jets. For the midterm prospects, you have a lack of new platforms. Can you tell us when you expect to reach volume trough for business jets, please?

John Dawson

Okay. David, would you like to?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. So let me take the Trent 700 question first. The profit effects that we're talking about here, which, as I described, were GBP 250 million incremental in 2016 compared to 2015, reflect both lower engine volumes, and clearly, that is a combination of what Airbus have described in terms of their own rate changes, but also our balanced assessment of where we think we are likely to win in terms of competitive situations for those engines with particular airlines. So although Airbus have made some announcements about A330ceo in the recent past, in fact, none of those engine competitions have taken place yet, so we are trying to make an assessment of that additional impact on ourselves. You're right, pricing is a big factor here, and that's probably where all of us have probably underestimated this impact as we thought about it. But the detailed work that we've done leading up to the announcement today basically suggests to us that there is a significant risk on the pricing side, both, obviously, on the OE engines, but also on the aftermarket as well. And a clear important thing about the Trent 700 is, being a linked engine, it also carries a lot of profit at the sale that's associated with the aftermarket as well, so lower aftermarket pricing impacts on that. The third element that probably most people won't have thought of as that significant but actually is fairly significant is a reduced requirement for spare engines going forward essentially because the installed base will be smaller, and these do tend to be more profitable, and therefore, that has a disproportionate impact on those engines within the build as well. So it's unfortunate, but our assessment of the overall impact, as I said, is about a GBP 250 million impact beyond what we've already seen in 2015. On the business jets, I didn't quite hear your question, I'm afraid. Could you just repeat that again, Olivier?

Olivier Brochet

Crédit Suisse AG, Research Division

Yes, certainly. It's basically the -- when you look at new platforms, you've -- you don't have many, if any, over the next few years coming online. And looking at these midterm prospects in business jets, I was wondering when you would reach the volume trough for these business jets.

David Miles Smith

Former Chief Financial Officer and Executive Director

Oh, I see. Well, I think we will see reductions, clearly, from the fact that we haven't won a couple of key platforms over the last few years, and that will come progressively over the next 5 or 6 years. We're still very confident about this market. It's an important market for us. We have still a very strong position, and we are intent on continuing to invest in the technology and to make sure that we have the right route

to market for those products in the future. So we are very confident about the long term about this, but clearly, we'll see a dip in the short term from the market share reduction.

Operator

The following question comes from Christian Laughlin from Bernstein.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Just a couple of questions from me, please. Warren, I was just wondering if you wouldn't mind elaborating a little bit on the process -- just in general terms, the process and rough time line of your review of the business operations. For example, do you expect to be largely complete by H1 earnings? Or do you expect that this detailed, thorough review will take much longer, and with respect to updates, we shouldn't expect much before much later in the year? And then secondly, somewhat related to that, just coming back to the medium-term outlook that was initially released towards the end of last year or so, the calendar at the time called for regular updates annually, every November or so. Should we still expect that, or is everything kind of on hold until your review is complete and then a kind of a communication calendar is reset, if you will?

D. Warren A. East

CEO & Executive Director

Okay. Let's say that coming into this job, I fully anticipated doing a fairly thorough review of the operations and the operational side of the business anyway. And what today's announcement is causing me to do is simply approach that with possibly a slightly greater degree, bigger than I might otherwise have done. And I don't think we're going to be setting a particular time line for output, and we're not going to have any special communications as a result of that review. We're going to be communicating according to the normal timetable, and I will be updating you in due course in those normal communications as to how we're going with reviewing the operations and any changes that I think that we need to make as a result of that. And in that context, then the time line that we set down for medium-term guidance, right now, we don't anticipate changing. But obviously, as a result of that operational review, there may be some changes. I do hope -- to take the question a little more broadly, I do, first of all, fully understand that there have been some issues around communication with the investment community in Rolls-Royce, and I do intend to make sure that we do a better job at that, and that may involve some changes to the timetable. But right now, on my second day in the role, I can't tell you what those changes to the timetable are likely to be, but we'll put our heads together, and we'll certainly be back with the regular communications, so I expect you'll hear some more from me on this at the end of July.

Operator

The following question comes from Nick Cunningham from Agency Partners.

Nick Cunningham

Agency Partners LLP

I'm probably going to follow that up with perhaps a slightly unkind question, but there've been several profit warnings in the last 18 months. So the question really is, how confident are you that this is it as far as 2015/'16 is concerned, and where do the risks lie? And then a much more specific question, I believe we're due to see a A380neo launch around the end of this year. I mean Airbus is becoming increasingly explicit about that. And it seems fairly natural that it will be, as I say, a Trent 9000 that will end up being an exclusive engine of that. So does that end up being a 0 margin engine? And also, can you afford it?

D. Warren A. East

CEO & Executive Director

Okay. Maybe if you could...

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. I think on -- Nick, this is David. So I think on your profit warnings question, essentially, what we're talking about is 2 segments today. Firstly, the offshore market within our Marine business. So if you look at our overall Marine business, the Naval business and commercial marine business is sound. The market that's being impacted is essentially that affected by the oil exploration business. And really, there's been a fairly dramatic tail off in capital investment activity right throughout that sector, which is impacting on us and the shipyards and other players in the sector as well, so we are not alone. In fact, I think you can see a lot of this throughout that sector. So what we've tried to do today is to provide a further update on the outlook we see there. None of us, however, can predict how long this trough is going to go on. What we've been absolutely insistent on is taking the right actions while we're going through this difficult period to readjust the capacity within the business and to make sure, at the same time actually, that we're increasing investment in some areas that we think are critical to our technology going forward. So I can't, with assurance, say that we won't see any more problems on the offshore market, but we have rebased our forecast for this year, and obviously, that carries through into next year, based on all that we can see around us at the moment. On the Civil market, what we're dealing with actually, in a way, is the negative effects of a very successful outcome last year of the Trent 7000 win that we had for the A330neo. The unfortunate thing is, however, there's a bridge between that product launching in 2017 and the run-out for the A330ceo over the next 4 years because they go on through beyond 2017. We have seen and you know Airbus have been attempting the best they can to sell those aircraft, but it's been a very difficult process. And the commercial situation is very keen, and clearly, both they and the engine manufacturers going to sell into the A330ceo are seeing the impact of that. We've made the earliest and best assessment that we can of the impact, which we're assessing as GBP 250 million of the GBP 300 million total aerospace headwinds that we've talked about. I think that from all the work that we've done very intensely that, that is a very balanced assessment of what we will see 2016, but clearly, this will not be just a 2016 issue. We'll see it carrying on to further years as well. So I think on those 2 issues, as I said, that we've provided a very full assessment based on all the facts we have around us. There are some other issues within the business that we've mentioned on business jets and corporate jets. Whether those will be shorter or long term, it's hard to say. On your second question on A330 -- sorry, A380neo, the thing that we said all about -- all along on this product is, of course, we're very interested in participating in such a product, but it is Airbus' decision about whether they have a business case to proceed with that. And clearly, they've had a fairly long conversation with their customers now and key customers around that product. We will also only participate in that product if we see a business case, and by definition, therefore, they will probably only proceed if we see a business case. So this has to work for all parties here; ourselves, Airbus and the key customers. Beyond that, we can't really say because they are in control of the timing, but that's our view on that product. So we won't go ahead with it if there isn't a proper business case.

Nick Cunningham

Agency Partners LLP

And just briefly, to follow up on the risks issue. There's been very little mention of the Tognum business. That has some of the same exposures as Marine, although, obviously, it's a much broader business. Is that still trading in line with expectations, and do you see any risks residing in that?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, they will have a weaker first half on profits than last year, and I think that that's part of our bias on the profits, but actually, that represents an expectation that we had around that mix of business anyway. They're certainly trading in line with delivering their full year results, and they've actually had some good order intake in the last few months. Their offshore business is a relatively small part of the overall business, as you said, and there are other sectors that are developing more positively at the moment for them.

Operator

The next question comes from Ben Fidler from Deutsche Bank.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

Yes, I actually had 3 questions, please. The first one is just I guess coming back to 2015 for Civil Aerospace and just getting your view. And take us to what it says about control visibility, whether you're content with the control systems you have, predicting the performance of that, of what should be a very visible business. Trent 700, lower spare engines, bus jet delivery declines, weren't those issues you, theoretically, or the business, should have foreseen at the start of this year? And I know your overall Civil guidance has been maintained, but clearly, it's been helped a little bit by the Trent 1000 provision release, so just wanting to get a feel for that. In your view as managers of the business in Civil Aerospace, do you feel that you've got the information systems that enable you to know what's truly going on in that business on a 12-months forward basis? The second question was just around Trent 700. I'd clearly done my math slightly wrong in terms of the drop-through margin effect for 2016 of the volume decline. And should we assume a similar drop-through margin effect for 2018 when the A330ceo program effectively all but finishes? Or will that be overestimating the next leg down in Trent 700 in 2018? And then the third question, just for 2016, your revised guidance for Civil profits, if we adjust out some of the accounting issues like TCP net debtor growth of -- I mean, it implies you do about GBP 600 million of Civil profits. You've got probably, take your guidance, a GBP 300 million to GBP 400 million growth in TCP net debtors, reasonable growth in contractual aftermarket rights, an IAE earnout of GBP 200 million. It implies the underlying Civil profit in 2016 is close to nothing; and yet for the midterm, you're guiding to Civil margins up to 15%. That seems a lot of growth in the out years. Are you still confident with that?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Thanks very much, Ben. So I would say on the visibility within Civil, I think the Trent 700 has actually been quite a difficult issue for us to assess. As I said, none of the engine allocations for the A330ceos is clear yet, so we've essentially had to look at this airline-by-airline and work out where we think our position is on those. It's been quite an uncertain environment because we haven't been exactly clear also where Airbus will be selling into as we've been going through this process. So it's a -- it has been a more difficult issue for us to assess than normal, I would say. On the bus jets, this is a relatively new issue that really was emerging over the last couple of months and it's, I think, well known who the player is who's been seeing some weakness in their own demand. And I think we've been working with them very hard in terms of that to adjust our volumes to suit their requirements. Again, this is probably a combination of market share and particular market environments, and we may well see some of the factors that are impinging on that market in terms of demand in China, et cetera, improving again over the next year. But we're trying to be realistic about the fact that we think this'll probably not just be a 1-year effect but it will probably impact on 2016 as well. In terms of Trent, Trent 700, I just want to make it clear on drop-through margins. So when we think about the GBP 250 million, it is made up of 3 components: the volume effect which, as you know, is linked and, therefore, includes an element of OE and aftermarket; the pricing effect, which -- and both of those 2 effects are roughly the same size within the GBP 250 million and the pricing effect actually represents the fact that we'll be selling these engines at lower prices than we have previously on Trent 700; and then the spare engines, which, although smaller, is essentially the loss of volume of relatively higher-profit engines. So that effect into 2016, which is -- obviously, will continue into 2017 and '18 as well, as you said is -- you need think of it, I think, in those 3 parts in terms of doing any calculations you want to do on drop-through effects. Clearly, as you said, there is a further reduction in rate as you get into 2018, I think. I can't quite remember the Airbus schedule at the moment, but I think it's a smaller reduction in 2018 as well.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

And the third question just on -- am I completely off theme with my maths for the sort of implied underlying-underlying Civil profits in '16 and the steepness of that recovery?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes. So the good thing about this planning process is it's identified -- enabled us to identify and put numbers around some of the things -- these things early. So we've actually been able to get out to you, I think, with a view for 2016 in terms of the headwinds that we're facing much earlier than we would have done normally in our process. The positive thing for me, actually, is it's actually reinforced my view about the long-term ability of the business to generate the kind of margins we've been talking about. We've done some very extensive work on the XWB and the impact of that. I showed you -- very briefly, I know, but showed you that slide which shows the cumulative cash flow for XWB, which is significantly higher than Trent 700. So I've actually come away from that process much more confident about the ability of the portfolio regeneration and the industrial restructuring we're doing, actually, to give us a very long-term sustainable business for the wide-bodied engine market. And the elements of the -- how we're going to improve margins really haven't changed. It's around delivering improved engine costs and customer pricing. After we get through the launch phase, it's about getting the capacity utilization up as we're increasing the ramp, and that will be progressive through the rest of this decade. It's about the industrial restructuring that we're doing which will give us much more flexible capacity. And most importantly, it's about the aftermarket margin that comes with a 50% installed base. We're still in the 30s in installed base at today, but we'll be up beyond 50% as we get through 2020. So these are really the impacts that will continue to drive this margin improvement over the medium term.

Operator

The following question comes from the Zafar Khan from Societe Generale.

Zafar Khan

Societe Generale Cross Asset Research

I have 2 questions, please, if I may. The -- and they're both really directed at you, Warren, if that's okay. First one is just on -- I know it's only your second day in the job, but you've been non-exec on the board of Rolls for a little while now, and also the announcement of your succeeding Mr. Rishton happened a few months ago. I just want to know how much you've been involved in this trading review, if I can call it that way, and the guidance that's been given for '15 and, more particularly, for '16. How much has been your involvement in that? That's the first question. Then maybe I can follow up afterwards with a second one.

D. Warren A. East

CEO & Executive Director

Yes, certainly. Well, you're right, I have been on the board in -- as a Non-exec Director. I was very supportive of David's appointment last November and very supportive of David's rigorous review of the business, which, as he said a few moments ago, has enabled us to bring this information to the market much sooner than might otherwise have been the case. Following the announcement that we made in April that I would be joining the business, then, in middle of June, I was involved in the latter stages of David's process there and saw the output as it started to emerge as part of the company's regular long-term planning process. And certainly, even though I joined the business on Friday, I've been involved over the last week as numbers have been coming out, and it became evident, over the weekend when we got the final numbers together, that the magnitude of this impact, in particular, on 2015 and 2016 and, therefore, that we would have to be making this announcement today. As I said at the start of the call, it's not how I envisaged my first communication with the market. And even up until halfway through last week or so, I was not really imagining that we would be necessarily talking quite so soon in my tenure, but I think it's absolutely inevitable we had to have this communication today. Obviously, it's a little bit scanty on the detail. And by the end of July, then I hope to be in a better position with some of the information. And your next question?

Zafar Khan

Societe Generale Cross Asset Research

Yes, this is -- I hope you'll indulge me, it's a slightly philosophical question, but I think many of us would like to ask this, so let me ask it, it'll save David having to ask the question later on. As Nick said, there have been a number of profit warnings now for 18 months or so. The stock is a pretty big underperformer against the rest of the aerospace, Civil Aerospace stocks. There's a lot of money sloshing around, very

cheap money. And you may have noted Airbus issued a convertible at a negative yield to maturity, so clearly, a lot of money around the place. You've put forward a very compelling case for the long-term prospects of this company, but it looks like, in the medium term, I think the shareholders are going to suffer a little bit of this kind of transitioning issue. And I think active markets are pretty kind of unforgiving, but the longer-term view is often taken by industrial players. So I know it's your second day in the job, but given today's warning, given the kind of numbers are down next year and maybe flat in '17 on '16, if somebody were to make an approach, how do you think the board would view that? Do you have the stomach to try and turn this thing around? It's a supertanker, really. Or if you were given tomorrow's money today, do you think the board would be amenable?

D. Warren A. East

CEO & Executive Director

Well, obviously, I can't answer for the whole board, and the whole board has duties to shareholders to consider. But certainly, the reason I joined this business, as I said at the start of the call, was because I believe it's in a great position. It has excellent relationships with a customer base, and I joined the guys at the Paris Air Show and witnessed some of that first hand, and I can see tremendous value in those relationships. I can also see tremendous value in the R&D, which is in train in this business and which is translating into products. And if I look at the newer products that are coming to market, the Trent 1000 and all its variants, the Trent XWB and the follow-on products that we have in the pipeline, and I -- if I think about those and I think about those and the -- what the company has previously described as mega-trends, and I see those products becoming more mature and more profitable. I see us occupying the new facilities that we've been investing in over recent years. Then actually, this business is very well positioned for the future to take advantage of those mega-trends. So that's why I took this job on. And what happens with other players in the market, we'll deal with as and when we have to. But I certainly intend, as I said at the start of this call, to make a sustainable and resilient business a priority, and I think we're in a great position to get there. We do have some severe headwinds, which are affecting the business today. In terms of relative to where we thought, or where the business thought it might be, in 2016, and we've explained those headwinds today, and that's why we're having this communication, but it doesn't shake my fundamental confidence in the future of the business.

Zafar Khan

Societe Generale Cross Asset Research

Could I please just ask one of David?

David Miles Smith

Former Chief Financial Officer and Executive Director

Sure, Zafar, yes.

Zafar Khan

Societe Generale Cross Asset Research

David, there was effectively a GBP 300 million release to the numbers last year on the Civil side from the long-term service contracts because I think it was on the Trent 700, in fact, where the provisioning -- there was over-provision on that.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes.

Zafar Khan

Societe Generale Cross Asset Research

And you're talking about a GBP 200 million release this year. That's a cumulative GBP 500 million release. Is the accounting under control? I mean, these are big numbers that you're releasing. How rigorous was the analysis in taking these provisions in the first place? What are you guys doing about this?

David Miles Smith*Former Chief Financial Officer and Executive Director*

So Zafar, just a couple of points. Firstly, it was GBP 150 million last year, and the main driver of that was aftermarket cost improvements. What we're talking about within the GBP 200 million this year are a couple of different things. We took a deliberate decision when we launched the Trent 1000 to actually take provisions against the launch programs there, so, essentially, the operating costs of those launch customers. And we did that very deliberately at the time because I think, as it's well known, the early versions of the aircraft and the engines had further engineering programs associated with them. As we're now assessing that, and we haven't quite completed the technical reviews, which is why I described this as something we expect to do in the second half, that we're actually seeing a lot better operational performance. So we don't believe that we need to continue to write down that asset, and we'll reverse that asset -- or that write-down in the second half of the year, which is about GBP 100 million. So this is purely being generated actually by improved technical performance. We have 1 or 2 tests left to do, and they will happen over the next 2 or 3 months, but we're actually very confident in the outcome of those tests. The third element actually within the -- sorry, the second element within the GBP 200 million, so that's about half of the GBP 200 million, the second element actually relates to our valuation reserves. So at any point in time, we hold our reserves against primarily credit risk, but other kind of risks in terms of the airlines that we operate with, and we essentially do an assessment each year. The -- that overall situation has improved quite a bit over the last year, and therefore, we can reduce the level of contingencies that we take on those contracts. Again, exactly following the normal procedures, we're just taking the benefit of -- essentially, of improved trading conditions for those as well. So I absolutely assure you that the policies we're using are sound. We have continued to review those. What we're actually seeing is the benefits of good things that are going on, allowing us to hold lower contingencies against these things because we're seeing, on the one hand, operational performance improvements; on the other hand, improved trading prospects for our customers.

Operator

The next question comes from Jaime Rowbotham from Morgan Stanley.

Jaime Bann Rowbotham*Morgan Stanley, Research Division*

Three quick questions for me, all keeping in mind Rolls' desire to give better communications. The first one is, David, I appreciate your comments on Trent 700 demand being hard to predict, but could you give us at least a rough idea as to where you were and where you now are in terms of expectations around deliveries of Trent 700 engines compared to the 184 delivered in 2014? Because without that, it's going to be very difficult for people to judge whether your latest guidance is sensible or not; whilst with it, we can then perhaps draw some conclusions on the pricing element of the moving parts there that you mentioned. The second is, David, you flagged Slide 12, where you suggest cash from XWB can be double the cash flow from Trent 700. But as you probably gathered from some of the questions, I'm not sure any of us really have a clue what cash from Trent 700 is or, indeed, what you think it is, so I just wonder, could you add any color there? And do you anticipate being able to add some financial figures to the activities on some of these charts in due course? Or will that always remain difficult due to commercial sensitivities? And thirdly and finally, and apologies for taking so much time, but perhaps missing from the guidance is any specific outlook on cash in 2016. I do though take the point in the statement on cash conversion, i.e., the bit of the profit that you're downgrading is largely forecasted noncash profit on Trent 700 sales accounted on a linked basis, so the cash impact shouldn't be as big. Does that mean free cash at Rolls could improve next year? And if so, what can you say to give us comfort on that given that in 2015, the cash downgrade is actually bigger than the one to profit?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Thank you, Jaime. So just taking your first question first, you're right, 184, I think, was the number for 2014. I think we're likely to see that drop to around 140 level this year, maybe slightly higher than that. Next year, what we've done for 2016 is we've essentially taken a number of scenarios in coming

up with our number of GBP 250 million. So it's not necessarily one volume scenario only. We've taken a number of different volume and pricing scenarios and sort of mixed out what we think the effect of that. But we're likely to see it drop to sort of between 80 to 100, I would say, next year and a similar number for 2017. Exactly how that build schedule happens between 2016 and '17 may -- is much more likely to be, depending on which airlines, what the GE's build schedule within Airbus looks like. It's a little bit difficult to predict, but those kind of volumes for 2016 and 2017. In terms of the color on XWB cash flows, yes, I mean, I'm not going to put an -- numbers on that axis, I'm afraid, because it's very commercially sensitive. I would say to you that if you go back through Rolls-Royce's history, Trent 700 has been an incredibly successful engine for the business. I'm not sure I'm particularly qualified a historian to say it's been the most successful engine ever, but probably, it's got a good shout of having been the most successful engine ever probably alongside the RB211. But the engine has gone on for -- it's still selling 20 years later and an OE and has at least another 20 years of aftermarket to give. What I'm trying to do by that graph is saying the indications on XWB, on all of the work that we've done, all the analysis that we've done, is that the XWB will be twice as successful as the previously most successful engine. So I think that I'm trying to give you a qualitative view of how strong I think that embedded value is because I do think it's very significant. And then in terms of cash, yes, we didn't provide any specific guidance for cash, although we did, as you say, suggest that because of the unlinked -- sorry, the linked accounting on the Trent 7000 -- 700, sorry, and the transition to unlinked accounting on the XWB, that the Civil profit effects are going to be more difficult than the cash effects, which will be, I think, quite a bit smaller. So compared to the revised guidance that we've given for cash flow this year, we should see sort of flattish cash flow in terms of that Civil effect at worst, I would say, so it's something that I would absolutely expect cash conversion to improve. But I haven't given cash -- a cash outlook at this moment, but certainly, I think there should be opportunities to improve it.

Operator

The next question comes from Rami Myerson from Investec.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Just I'm trying to stress the guidance for this year, next year and following in from Nick's question on the A380neo. You mentioned, David, that you were expecting a reduction in R&D this year and potentially next year as well. But given there are a number of programs in the pipeline, do you not expect R&D to increase, also based on the comments previously from the Chairman, who talked about re-entering into the narrow-body market?

David Miles Smith

Former Chief Financial Officer and Executive Director

So let me just restate what we said about our R&D. So when we gave our guidance in February, we said that R&D spend would come off a little bit this year. It would still be at a relatively good level in terms of coming off the 5.8% peak we saw last year, but coming down a bit but still at a good level. What happens between the first and second half of this year is that we have an increased number of programs actually going through the capitalization phase because they -- essentially, what we had at the end of last year is the XWB coming out of capitalization, and we're coming into the new programs now for next-generation product that will -- we will start capitalizing. So although spend is coming down a little bit, the net R&D charge between the first and second half is more biased to -- towards the first half than it is in the second half just because of the way the capitalization versus amortization is working. Ongoing, we will continue to ramp up, within our R&D spend, our spend on technology investments. We've talked about our new technologies before. These are all really developing around the advanced and UltraFan concepts. Those will step up in spend within our total R&D spend over the next few years. What we'll find, therefore, is the balance changes a bit between technology spending and new engine programs.

Rami Yehuda Myerson

Investec Bank plc, Research Division

So you would expect R&D to continue to grow, or do you expect it to come down in the next few years?

David Miles Smith*Former Chief Financial Officer and Executive Director*

We said it will probably come down a little bit in percentage terms over the next few years.

Operator

The following question comes from Jeremy Bragg at Redburn Partners.

Jeremy David Bragg*Redburn (Europe) Limited, Research Division*

Got a couple of questions, the first one being on the medium-term guidance. so appreciate that these were set by the management team who aren't here anymore, But you've set quite specific cash flow and margin targets for around 2018, and that was subject to no new program starts. But today's statement, I would say, has got quite mixed messages. Firstly, there's the comment that these will be achieved later than previously indicated. But then, David, you've talked quite positively about the long-term potential for margins on wide-body. I mean, I suppose my question with this is, when they were issued, these targets were the subject of a detailed bottom-up review, which I think you stood behind, David, as CFO of the Civil business and then later of the group. But today, we've got a sort of quite a chunky downgrade to 2016, which I can appreciate, but what would you say to sort of make people confident in the ability to actually achieve those targets if indeed you still stand by them, and when could they be achieved? And you'll be glad to know the second question is the shortest. So question two, there's a GBP 300 million sort of downgrade -- net downgrade to Civil in 2016, and you say that that's mostly noncash. I mean, is this an attempt to rebase the accounting to something sort of more akin to cash and more simple, or am I being too -- reading too much into it? And then the third question is -- I think Ben asked this in a much more clever way, but I didn't really understand the answer. Could Civil profits be lower in '17 and '18 as the Trent 700 volumes and pricing continue to fall and deteriorate, respectively?

David Miles Smith*Former Chief Financial Officer and Executive Director*

Thank you, Jeremy. So on the medium-term guidance, as Warren said, I think we need to give Warren a little bit of time also to take a look at the business over the next few months. I've just completed, from my perspective, a very detailed review, which, as I've indicated, has actually given me more confidence than I had before in the ability to deliver the cash conversion and margins improvements that we need to make longer term. It's just inevitable, I'm afraid, that this Trent 700 impact on the business for the next 3 or 4 years is going to delay the ability to deliver on both of those, although less so on cash but certainly on margins, as we get through this period. Therefore, I know people were -- and my predecessor talked about the specific data, I know, but I did try and encourage also that we think about this in terms of when the new programs are going to be delivering, both in terms of their launch curves, their volume ramp-up and the aftermarket delivery. So it is a two-edged sword here because the review has really shown me and I'm very positive about the fact that we absolutely will get the improvements that we require and expect over a period of time. But our ability to deliver those early is, unfortunately, not helped at all by the fact that the Trent 700 to Trent 7000 is proving more difficult than probably we had previously anticipated. In terms of is this a tougher way of doing the accounting trend this year, I'm not sure about that. Unfortunately, it's just the real world in terms of the outlook for that airplane and the engines that we sell onto it and the pricing considerations. It is exacerbated, obviously, by the transition from linked on the Trent 700 to the fact that the engine that's going to be growing fastest, the XWB, is unlinked. And I guess, in a way, it pulls ahead what I know a lot of you would like, which is that we reduce the timing difference between cash and profit because this potentially reverses that trend somewhat. And can you just remind me of your third question? Oh, so that was -- yes, I wouldn't take that conclusion. I think that the impact that we're seeing on 2016 is significant. It will be significant again on 27, but I think -- 2017. But we will, over time, get -- start getting the benefits of the XWB installed base. And clearly, the volume ramps up on that. It ramps up in the second half of this year and again next year as well. So I don't want to get into trying to pick a bottom here because I don't think that that's what we set out to do today. What we set out to do today is to give you as quickly as possible a view on the headwinds we saw on 2016. But

no, I think that we will see a couple of difficult years here, and then hopefully, we'll start improving as we start seeing the benefits of the XWB.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

So when you say significant impact in '16 and '17, I mean, just to be clear, are you talking about a significant incremental year-on-year impact in '17 on '16 on Trent 700, which you hope that will be countered by other things going better? Or are you just saying '16 is going to be bad, '17's also going to be bad but perhaps not much worse than '16?

David Miles Smith

Former Chief Financial Officer and Executive Director

So I think that was a different way of asking me the same question. What I'm saying is the GBP 300 million headwinds we're seeing in '16, we'll see a similar effect in '17 as well because it's the same -- it's basically the same effect, but not incrementally so, if you see.

Operator

And the question-and-answer session is now over. I will hand the conference back to you for the final comments, sir.

John Dawson

So I'll -- Warren, do you want to end it?

D. Warren A. East

CEO & Executive Director

Yes, okay. Well, I'll jump in with that. Thank you, all, very much for your patience this morning. I wanted you to take away essentially 3 things from the call this morning. First of all, the facts; we wanted you to be in possession of the data that we're in possession of as soon as possible. I wanted you to take away the fact that we are concerned about what we have found, and the management team and I will be addressing that, and my goal is definitely, over the next several years, to make this a sustainable and resilient business, to try to minimize the effects of these sorts of market conditions in the future. Thirdly and very importantly, I wanted you to take away our unshaken confidence in the long-term prospects for this business, as David's just been talking about, the new engines, the greater profit and the cash-generating potential of the new engines, the market position and so on.

I appreciate we haven't answered all of the questions. I'm sure many of you had questions that we didn't get round to. We will be reaching out over the next day and the next day or so as a team, and I will be following up with many of you over the next weeks and months, I'm sure, and we'll be back at the end of July with our half year results. So thank you very much, everybody.

Operator

Ladies and gentlemen, this concludes today's conference call. Thank you, all, for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR. Special Call

Wednesday, April 22, 2015 11:00 AM GMT

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Ian Edward Lamert Davis
Chairman

ANALYSTS

Benjamin Philip Fidler
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Division*

Christian A. Laughlin
*Sanford C. Bernstein & Co., LLC.,
Research Division*

Edward John Stacey
*Haitong Bank S.A., Research
Division*

Robert Alan Stallard
*RBC Capital Markets, LLC,
Research Division*

Sandy Morris
Jefferies LLC, Research Division

Presentation

Operator

Hello, and welcome to today's Rolls-Royce Holdings plc Investor Conference Call. [Operator Instructions] Just to remind you, this call is being recorded.

Today, I'm pleased to present Ian Davis, Chairman of the Board. Please go ahead.

Ian Edward Lamert Davis

Chairman

Good morning, everyone. It's Ian Davis, Chairman of Rolls-Royce. I assume you've all by now seen the announcement that we -- John Rishton is going to be retiring from Rolls-Royce in the summer and that Warren East will take over from him as Chief Executive. This happened after an extensive search once John had told me towards the end of last year of his intentions to retire.

What I'd like to do is give you a chance to ask me any questions. If I could just say a couple of words beforehand though, we do have to finish by 20 past 11, so we are a bit constrained. I'd also just like to emphasize up-front, there's no change to our guidance. There's no business story here, and I also hope you appreciate that I cannot and I will not get into a trading update or give you an update on the business as that is not appropriate for a call of this type.

I'd also just like to say I -- it was a surprising disappointment to me and the Board when John announced his retirement. Although last year was a very bumpy year, as you know as well as I do. The progress in the last 4 years, and indeed, in the last 10 years has been exceptional. We're really doing well, I think, on the 4Cs. We're beginning to see that coming through. A lot more to be done. We've had some tremendous customer advances. And if you look at John's record over the 4-year period in terms of profits, order book, share price, it isn't really half bad at all. So I do just want to say that on behalf of myself and the company, equally and genuinely, and so as the Board, very excited about Warren joining the company. I think you all know of his record. He's got an exceptional record at ARM Holdings. ARM, although it's not a manufacturing business, you may want to ask me about that, it does have a lot of similarities with Rolls-Royce in terms of supply chain, its business model and particularly in terms of services and also its involvement in technology supply chain.

So a lot of similarities there, a great record, and he does have the advantage knowing a little bit about the company and the company knowing him. And I think that does reduce the cultural risk and all the rest of it.

So disappointed John's going, excited about Warren. But just with those few words of introduction, perhaps I could throw this open for any questions you might have. But please don't push me on strategy and trading. We'll do that in the interims in 2 weeks' time and then again in July.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Robert Stallard at RBC.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

A couple of quick questions.

[Technical Difficulty]

Operator

I do apologize. We will go back to that line.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Okay. Is it working now?

Operator

Yes, it is.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Okay. Couple of quick questions. What do you expect Warren to do differently from John? And what's he going to do the same?

Ian Edward Lamert Davis

Chairman

Well, I think Warren will have the chance to talk with you in the market in July. I mean, in terms of my expectations, there's a lot of tremendous momentum in the company at the moment, particularly on the operational 4C agenda. And I think the expectation of myself and the Board, and Warren is part of the Board, is we really want to keep that momentum going. Perhaps he may accelerate it if we can, and then real, real progress. I also would be surprised if Warren doesn't keep his relentless focus on customer. I mean, although last year was a very disappointing year in terms of financial expectations and performance, we made huge strides with customers as we have seen. And I think one manifestation of that is the order that we received last week. So I would very much hope and expect, and I have obviously talked to Warren about this, really, really keep the focus on the 4Cs, the restructuring, the focus on cost and margin. In terms of what will be different about Warren, there are some unfinished businesses that we know we have to do. For example, getting into question about how we're going to deal with narrow-body. We would look to progress on that. But I do think that continuity, as well as changes, is a very important part of Warren's appointment. And the fact that he knows a bit about the company, he's got a very good sense that, I think, is quite an important signal.

Operator

Our next question is from the line of Ben Fidler, Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

I just had one quick question really, which is -- and feel free to correct me if you think the first thesis is wrong in this. But it strikes me that what Rolls-Royce really needs is someone who's got a good track record of restructuring large, complex, heavy manufacturing industries. I guess, the question is, how do

you think Warren fits that bill, bearing in mind, although he has an extremely successful track record at ARM, from everything I understand, that was about growing the business, not about restructuring the business. And it's a business that does not have a large, complex, heavy manufacturing supply chain underneath it. So it's just to understand your thinking as the Chairman of the Board, thinking about why he is the right individual with the right skill set to manage a business as complex as Rolls.

Ian Edward Lamert Davis

Chairman

Well, thanks, Ben. Well, I think we -- I mean, he's part of the Rolls-Royce story. We have made it very clear that there's a lot of opportunity to improve our operational efficiency and to restructure the manufacturing. But by far, the bigger part of the story, longer term, is growth, and we really are looking to grow our global footprint, grow our global customer base, not least in Asia. And so I wouldn't challenge your thesis in one sense. Short term, you're right, but longer term, this is a growth story. And I think Warren really, really epitomizes what it takes to build a global business. Particularly if I call it David and Goliath, we're up against some very big beasts in not just the Aerospace industry, but in the Land & Sea business as well. And Warren, I think, has demonstrated just what it takes to succeed like that. So restructuring, yes, but growth is, to me, strategically much more important. When it comes to the point, I mean, Warren -- a lot of Warren's experience is incredibly relevant to us. The business model of ARM, with its focus on service revenues and aftercare, is very similar. The focus on technology and R&D is absolutely crucial to us. We do recognize, and Warren knows, he doesn't have the manufacturing experience, but there's a lot of that in Rolls-Royce. There's also quite a bit of that on the Board as well. And as the Board -- and Warren himself is absolutely committed to building the necessary support about -- around areas where he doesn't have the expertise. So we are going to absolutely continue the restructuring. There's a lot of momentum going on there, and I feel that we have the appropriate expertise to do that. Warren will be focusing on the strategic development of the company and building the other aspects, not least around the services, which, as you know, Ben, is more than 50% of our revenues and value.

Operator

Our next question is from the line of Christian Laughlin at Bernstein.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Ian, I just wanted to -- actually, my questions have already been answered. I tried to remove myself from the queue.

Ian Edward Lamert Davis

Chairman

Thank you. Nice to hear your voice anyway, Christian.

Operator

[Operator Instructions] Okay. Our first question is from the line of Sandy Morris at Jefferies.

Sandy Morris

Jefferies LLC, Research Division

Just pursuing Ben's sort of line of questioning slightly -- we did do an extensive search. Did we ever really get so far as interviews of people who might have fulfilled Ben's criteria better? And then having weighed it all up, decided that again, sitting on the Board as a non-exec, was already someone who best fit the bill. Is that -- did we get into that degree of detail, Ian? Sorry to sort of pester on this.

Ian Edward Lamert Davis

Chairman

Yes, we did, and we did do an extensive search both inside the company and outside, including people from either the industry or related industries. And so it was a very fair search. Obviously, the current

industries were a big part of it, but we concluded at the end of that, that Warren was the right man for the job.

Operator

Our next question is from the line of Edward Stacey at BESI.

Edward John Stacey

Haitong Bank S.A., Research Division

Just a question really about the operating difficulties that you had last year and then Mr. Rishton sort of choosing to retire just as those appeared to be sort of sold, I guess. But in a way, I suppose we are waiting for a few more quarters before we -- before the stock market will really be very confident that all of the 2014 issues are laid to rest. Can you say anything about the degree of confidence that everything has been dealt with, that needed to be dealt with?

Ian Edward Lamert Davis

Chairman

Well, as I said in the beginning, there's no change in our guidance and plan, and we are hard at work, fixing the things that need to be fixed, and most importantly, growing the business and building the customers. I would just say that 2014 was a tough year for us, particularly on the financial side, but we do need to keep -- from a business point of view, we have to keep that in context. On the technology and the customer side, last year was the best year that we've had, and we're beginning to see some of the fruits of that now. And when you look at things in 10-year cycles, 2014 was one of those -- excuse my language -- our s*** years in terms of certain things happening, but the fundamental strategic momentum wasn't really changed. I'd also say to last year, a lot of our problems weren't actually operational problems for us - they were market-related. And we know that we didn't cover ourselves in glory in the way we communicated with the market. And I hope you are beginning to see us, really the efforts that we are absolutely determined to get our communications better. But a lot of last year's problems were market-related. This isn't an easy period in equipment supply, as you know as well as I do. So yes, absolutely, we are focused on fixing those problems that we can fix. There are certain problems which should just go with the cycle, and we'll get through that. But it's really, really important that we keep our focus on the customers and the technology, and it's not just a business goal wish list thing. This is what leads to the cash in the long term. And lastly, on that sense, it wasn't such a bad year. I would just remind people for context that last year was our second record year in terms of profits and revenues as well. So this is -- to me, it was all about expectation management as it was about actual performance. And we know that we've got to do better on expectations management and communications. And I'd be very surprised if you didn't find that Warren didn't keep that momentum going, along with David.

Operator

[Operator Instructions] And we go to the line of Ben Fidler.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Can you hear me now? Sorry.

Ian Edward Lamert Davis

Chairman

Yes.

Operator

We can hear you now.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Sorry to come back with one further question. But just to understand, does Warren have a free mandate to, as CEO, change whatever he wants, whether that be accounting, whether that be the structure of the organization and the portfolio shape, whether that be the long-term strategic plans and the guidance, et cetera? I mean, you've given him a free -- you see it as him having a free rein to do what he wants with that as a Board, do you?

Ian Edward Lamert Davis

Chairman

Well, I don't think -- I mean, certainly, not on the Board of which I am Chairman, will have a totally free mandate to do whatever they want, but I -- and I do believe that the CEO should run the company with their team. And frankly, that would be the spares of it. I mean, he can and should look at anything he wants to look at. If he's unhappy with any of our procedures, accounting or otherwise, I would expect him to argue strongly the case for that. But any major changes like that would absolutely go through the Board.

Operator

Okay. At this stage, there are no further questions in the queue. Can I now please pass it back to you?

Ian Edward Lamert Davis

Chairman

Yes. Okay. Well, thank you very much. I do appreciate that this is a very, very brief call. And I do hope that if you have any follow-up questions, you'll be in touch with our IR team. I do want to reiterate, we are determined to improve our communication with the investing community. As I said, I hope you'll begin to see some signs of this, but this is something I personally can commit on the company. But if we all disappoint you not being sufficient, just let us know. We're determined to get the relationships that we seek with our shareholders. Those said, we're a long-term company. We've got to deliver, and we'd like to have long-term relationships with our investors.

So thank you very much for joining the call, and do get in touch with the IR team. If you'd like to see me at some stage, let me know. And Warren, for sure, will be in touch with you when he takes up the reins in July and August. Thanks very much, everyone.

Operator

This now concludes today's call. Thank you all very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR. Fixed Income Call

Friday, February 13, 2015 3:00 PM GMT

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David Miles Smith

*Former Chief Financial Officer and
Executive Director*

Unknown Executive

ANALYSTS

Unknown Analyst

Presentation

Operator

Hello, and welcome to today's Rolls-Royce Holdings plc 2014 Full Year Results Fixed Income Conference Call. [Operator Instructions] And just to remind you, this call is being recorded.

Today, I am pleased to present David Smith, Group CFO. Please begin.

David Miles Smith

Former Chief Financial Officer and Executive Director

Good afternoon, everybody, and thank you for taking the time to join us today. Some of you will have already heard our webcast this morning, so I won't go through the results in detail.

Clearly, 2014 was not an easy year for Rolls-Royce, and we know it wasn't an easy year for some of our investors either. Nonetheless, we did meet the guidance for 2014 given in October. Our order book grew 5%, excluding the Energy business, and that shows the continued customer confidence that underpins our strong medium-term growth prospects.

We have, today, also given new 2015 guidance for revenue profit and a number of other factors. In the interest of simplicity and transparency, we are now providing guidance in terms of absolute numerical ranges instead of percentage changes.

We've guided 2015 revenue to between GBP 13.4 billion and GBP 14.4 billion and profit to between GBP 1.4 billion and GBP 1.55 billion. We see free cash flow at around GBP 200 million, plus or minus GBP 150 million. We do expect continued headwinds on free cash flow as we scale up the Civil engine business and continue to utilize customer deposits, particularly, partially offset by the early benefits of the action we're taking on cost and cash, such as our focus on inventory. We expect both CapEx and net R&D will be lower in both absolute terms and over time as a percentage of revenue. Our guidance has been based on 2014 FX rates, and therefore, assumes no currency effects either adverse or favorable.

We expect underlying restructuring charges to be around GBP 90 million to GBP 100 million. That is about GBP 60 million lower than in 2014. As in 2014, we expect performance delivery to be weighted towards the second half of the year.

Our balance sheet remains strong. This is important because it gives us the ability to withstand the shocks and turbulence, which sometimes occur in our industry, and clearly provides confidence to our customers who are buying products that will remain in service for decades and will require decades of aftermarket support, and they do look to our credit ratings.

I'm confident and excited about the future growth that we can deliver. However, we must manage the transformation of our industrial base that's required to deliver it very carefully. And in the near term, refocus and double our cash and cost activities to help counter some of the increased uncertainty that surround us at the moment. That won't be easy, but I've done this before in other companies. It takes time, but now we have the whole team focused on it.

Thank you for your attention, and I look forward to your questions.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Sam Morton [ph] at Credit Suisse.

Unknown Analyst

So I didn't get the chance to listen to the call earlier. I just wanted a little bit more detail on the free cash flow guidance. I was trying to understand what makes the swing factor so big relatively, and maybe what factors we should think about that change in that free cash flow either higher or lower? And then secondly, I was hoping that you might be able to give us an update on the pension deficit. I could see the numbers in the release today, but I just wondered when there might be a review coming up.

David Miles Smith

Former Chief Financial Officer and Executive Director

Okay. So if I take the first question first around cash flow. Maybe as you weren't on the call, I'll give you a little bit more context, also, to the guidance that we gave. Essentially, I would say that in the Aerospace side of the business, we will still see growth on the Civil side, and we'll still see strong revenue and margins on Defence. We've guided a little bit lower on the Marine and Power Systems sides of the business, and that really reflects, I think, the uncertainty around the oil price at the moment. Marine, in particular, has a reasonable exposure to the oil and gas sectors, particularly in the offshore markets. And we have seen already and we expect probably to see further deferrals of orders and, particularly I think around the servicing of equipment in that sector, a reduction in the discretionary spend. So as we then try and translate that into cash flow guidance, we've got a couple of things going on. In the Civil side of the business, the growth that we will see during 2015 is primarily on products that have been launched, the XWB engine and the Trent 1000, and they are not cash-generative at the moment in terms of the initial OE sale. In fact, there will be cash losses on some of those engines. And therefore, when we think about our mix of business, that is a negative on cash. We also have the majority of our restructuring spend in 2015, some of which was booked as an accrual last year, but that will really occur mainly in the first half of this year. And then thirdly, around our marine business because, again, we see some risk of deferral of orders. We've been quite cautious around deposits from customers and what we would expect to come. So all of that really impacts on our cash guidance. Around the pension deficit, we have updated, obviously, the data within the balance sheet. There's a surplus on the U.K. funds, fairly significant surplus on the U.K. funds, which are primarily defined-benefit funds. On the overseas funds, some of those are funded, some of those are not, but there is a deficit of about GBP 1.1 billion, I think it is, on that side. So our net pension surplus is still around GBP 600 million. In terms of the next actuarial assessments of those, I'm just going to turn to my colleagues, but...

Unknown Executive

As the largest fund, the Rolls Royce pension fund, the next actuarial valuation is this year, that I would expect to be concluded towards the end of the year.

David Miles Smith

Former Chief Financial Officer and Executive Director

All right. I hope that answers your question, Sam.

Unknown Analyst

Sorry, I think that was off mic. The second comment, so if you could just repeat or paraphrase what was said, that would be great.

David Miles Smith

Former Chief Financial Officer and Executive Director

For the largest U.K. pension fund, there is an actuarial assessment update this year.

Operator

[Operator Instructions] As there are no further calls -- questions at this stage, may I please pass the call back to you to close.

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, thank you very much for your attention, and I hope the material that we sent out also will be very helpful to you. Thank you very much, and I'm sure we will talk again in the interims. Thank you.

Operator

This now concludes the call. Thank you, all, very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

FY 2014 Earnings Call Transcripts

Friday, February 13, 2015 10:00 AM GMT

S&P Global Market Intelligence Estimates

	-FQ4 2014-	-FY 2014-			-FY 2015-
	CONSENSUS	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.36	0.63	0.65	▲ 3.17	0.60
Revenue (mm)	-	14568.20	14588.00	▲ 0.14	14021.16

Currency: GBP

Consensus as of Feb-13-2015 8:41 AM GMT

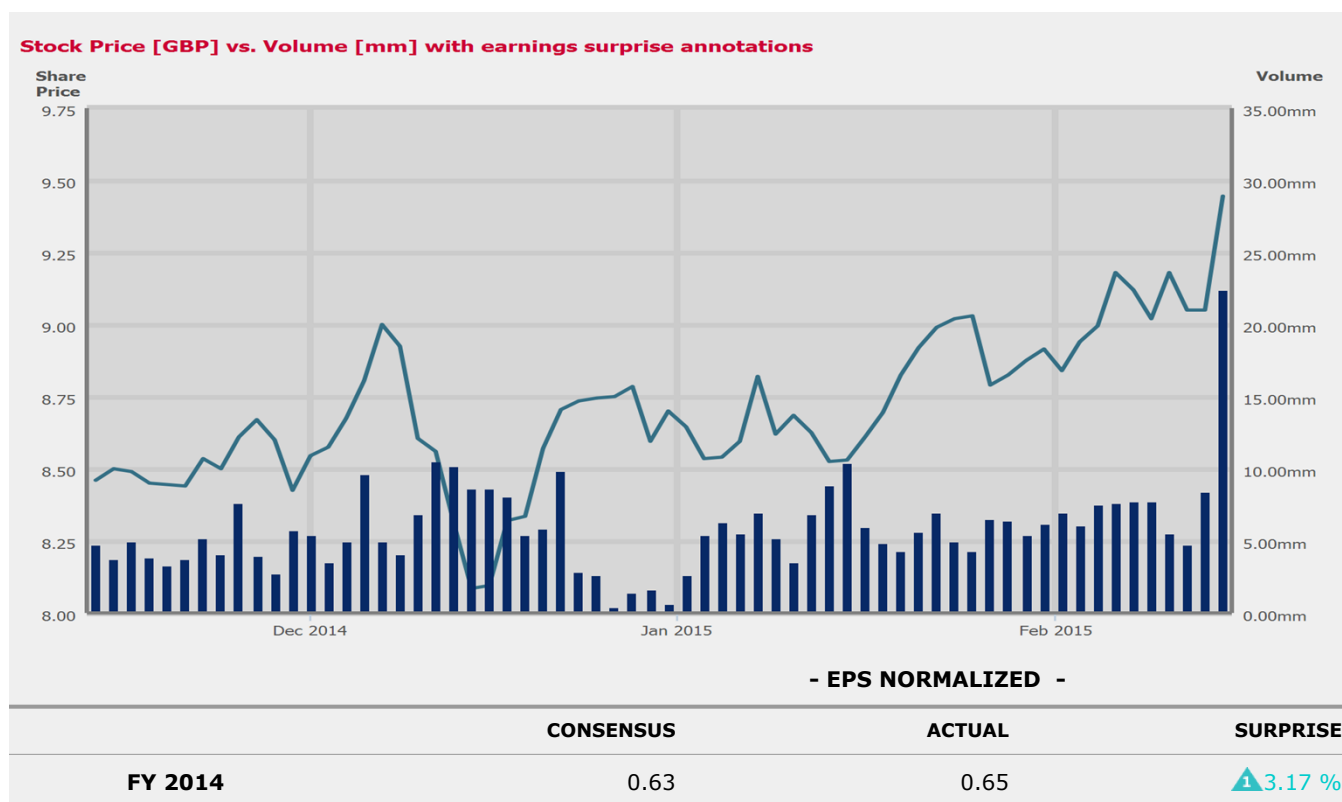


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Call Participants

EXECUTIVES

Anthony Wood
Former Executive

Colin Peter Smith
*Former Group President and
Executive Director*

David Miles Smith
*Former Chief Financial Officer and
Executive Director*

James M. Guyette
*Former Chief Executive Officer of
Rolls-Royce North America Inc and
President of Rolls-Royce North*

John F. Rishton
*Former Chief Executive Officer and
Executive Director*

Lawrie Haynes
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Division*

ATTENDEES

Unknown Attendee

Presentation

Unknown Executive

So good morning, everyone. Thank you very much for joining us today. Before we begin, it falls to me for the housekeeping job. So I'd like to draw your attention to our safe harbor restatement, which you can see on the screen in front of you, and it's also in your packs. Can you please take a moment to read the statement? And remember that forward-looking statements carry risks and can change.

Your safety is also important to us. So I'd also like to draw your attention to the fire and evacuation procedures. There are no planned fire alarms or evacuation tests scheduled. In the event that the alarm is raised, either a constant bell alarm will sound, indicating that you should evacuate immediately; or an intermittent bell alarm will sound, indicating that you should wait further instructions. The assembly point in an evacuation will be in the carpark outside #4 Carlton Terrace.

Just one final thing that I'd like to mention before we get started. For those of you that are joining via webcast, you can also submit questions to the management team via the webcast functions, and we will read those out loud. So please participate, if you're able to, remotely.

With that, I'm very delighted to introduce this morning our Chief Executive, John Rishton.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks. Good morning. Thanks for coming. Let me start by introducing the members of the senior team on the stage: on your right, in the far left, Lawrie Haynes, who's President of our Land & Sea Division; next to him, Tony Wood, who is President of our Aerospace Division; and then Colin Smith, who is Director of Engineering and Technology. We're also joined by one colleague who is appearing on this stage for the last time and one who is making his first appearance. This morning, we announced that Jim Guyette will be retiring as President of Rolls-Royce North America. Jim has been with the company 17 years and has made a tremendous contribution, particularly on customer focus. Jim, we're going to miss you. The new joiner, of course, is David Smith, who was appointed Chief Financial Officer in November and who you will hear from in a minute or 2. For those of you who have not met him, David has an outstanding record in finance, including as CFO at Jaguar Land Rover, where he also served as CEO during the transition of ownership from Ford to Tata. He joined Rolls-Royce around 1 year ago as CFO in Aerospace. As well as driving our performance on cost and cash and strengthening management information, David shares my commitment to improving investor communications. He has spoken to a number of you already, and I'm sure you'll get to know him much better during the course of 2015. In the audience, we're joined by our Chairman, Ian Davis.

In a minute, David is going to take you through the numbers, then I will talk about the future direction of the business and the progress we are making, but let's start with the main themes from last year.

Clearly, 2014 was a challenging year in which we had to contend with reduced government defense spending in our most important markets, an economic slowdown in China, Brazil and the Eurozone, and sharply falling commodity prices that have impacted many of our customers in the oil and gas, mining and construction sectors. This has been reflected in the share price, and we've been left in no doubt about the frustration that this has caused. I said before that our communications with the investment community have not been good enough. David and I and the rest of the team are listening, and we are working to address your concerns. I hope you have seen some improvements, and I'm sure you will let us know how we're doing.

It is easy for the challenges we face to obscure the indicators that tell a different story, most importantly, that we have continued to win business and grow our installed base. The order book reached a new record of GBP 73.7 billion, and this includes the first increase in the Defence order book since 2010. In Civil aerospace, of 454 wide-body aircraft contested [ph] 2014, Rolls-Royce won 284. That's 62%; yes, 62%. As you know, we've been reshaping the company, and during the course of the year, we completed the

sale of our Energy gas turbine and compressor business to Siemens. This was an issue that needed to be addressed, and we've dealt with it. We also completed the acquisition of Power Systems.

So all our challenges have been substantial. The decisive actions we have taken are strengthening the business and creating momentum that I'm going to talk about more after David has taken you through the numbers.

David Miles Smith

Former Chief Financial Officer and Executive Director

Thank you, John. It's a really great pleasure to be here this morning. I've met a couple of you already, and as John said, I know I'm going to be meeting a lot more of you in the next couple of weeks. So I'm looking forward to that.

And although I've only been in this role now for a couple of months and in Rolls-Royce for a year, some things are already very clear to me. This is a great company with amazing technology, and I'm saying that having been in the car industry for most of my career and the semiconductor industry recently, which also have pretty amazing technologies. But 3 things I've seen in the last couple of months really bring that out to me: the dynamic positioning on our azimuth thrusters, which allows us to keep our anchor-handling winch machines on our ships to keep those oil rigs at a point of precision that allows those oil rigs to drill thousands of meters under the surface of the sea. That's a pretty amazing piece of technology. Equally, the STOVL system on the LiftSystem, the swivels that allow the thrust of those jets, those supersonic jets, to power at a vertical thrust in a way that only Rolls-Royce can do. Only Rolls-Royce has that system. We're the only people capable of doing that; and of course, the turbines in our gas turbine engines. So they're operating small instruments that are operating at temperatures that exceed the melting point of the metals of which they're made and have to be cooled with microscopic air systems. And that cooling air is still at 700 degrees. It's just amazing technology. So I'm giving those as examples because it just shows the growth -- the great opportunities that are ahead of us and the great opportunities we have.

However, there's also a lot to be done to deliver that opportunity, and one thing that's really struck me is if I take a program like the XWB, we are just at the first few years of creating a 30-year business there, a business that will generate a lot of cash flow in the future and value. And the investments that are making -- that we're making now are, therefore, absolutely critical to creating that installed base.

Let me put that another way. We're really undergoing a multi-year transformation. I call it a generational transformation. And we're in a heavy investment phase of that. And that is clearly impacting margins and free cash flow, but I don't see that, at all, as a bad thing. It's absolutely a necessary thing to build value for the long term. However, at the time, I'm still acutely aware that we've entered a period now of more uncertain external environment. And therefore, we need to redouble our efforts and really focus down on the near-term things that improve cost and cash flow we pass through this phase. I've had a lot of experience of that in past businesses, and John and I are absolutely clear that we've got to do that while, at the same time, making sure efforts to cut costs are not going to undermine the investment in our future.

From the meetings I've had already, I am also very clear that we've got to do more to improve our communications and, particularly, information flows with you. That's part of my agenda today and will remain so.

So let me now start with the numbers, which I'm sure you're keen to -- for me to start with. 2014 was not an easy year for Rolls-Royce, and we know it wasn't an easy year for our investors either. Conditions deteriorated in several of our major customer markets. Nonetheless, we met our guidance given in October. Our order book grew 5%, excluding Energy, showing continued customer confidence and underpinning our strong medium-term growth prospects. We actually took in GBP 19 billion of new orders last year. We've also increased our payment to shareholders by another 5%, and that reflects the continued confidence of the board in the future growth of this company.

This slide shows the main drivers of our revenue compared to last year. Revenue, excluding adverse FX effects and the divestment of the Energy business, fell by 3%, and that was slightly smaller than the

decline we guided you in October. The main factors of the year-on-year movement within Aerospace were a sharp decline in Defence aerospace, as we talked about. OE revenue was due to lower volumes as government spending in many countries was scaled back. This was, however, partially offset by continuing growth in Civil aerospace deliveries as the Trent 1000 engines, in particular, ramped up last year. And we also saw a Defence -- an improvement in our Defence aerospace service revenue. In Land & Sea, both Marine OE and services revenue fell due to weaker end markets.

Now the same slide for profit. So turning to pretax profit, the underlying result was in line with the guidance we gave of flat that we told you about in October. We did see a negative impact from the lower volumes I've just talked about, and that was especially so in Defence and Marine, as I've just described. We also had increased Civil R&D investment, and it was actually our peak investment that we've ever made. So the investment in technology was at its highest level ever last year. And we had higher restructuring charges, particularly in the aero side of the business. These factors were offset by improved trading margin, which included a significant improvement in TotalCare of Civil -- within Civil aerospace as we had lower cost and improved mix in Defence. We also saw lower commercial and admin costs, including the lower bonus costs. Overall, costs were down more than revenue, and if I look at that on a gross margin basis, it contributed to the 1.7 point gross margin improvement that you'll see in our numbers.

But coming back to the restructuring for a second. The program that we announced in November is an important part of the cost-saving initiatives. It's expected, as we've told you, to generate savings of GBP 50 million this year and GBP 80 million on an ongoing basis. And I'm going to talk to you about some of these factors in a bit more detail when we go through the individual segment results in a moment.

This next slide shows a fairly traditional view of cash flow, tracking from profits through to free cash flow, with GBP 254 million for the total business or GBP 447 million for the retained business, excluding Energy. You can see that -- the significant net working capital change, which was primarily driven by that increase in TotalCare receivables as we increased our linked installed base. Intangibles also went up really around certification and participation cost, our development cost and the contractual aftermarket rights, which were associated with unlinked sales.

However, personally, I actually think the next slide is a little more helpful to understand this pattern. And here, I'm comparing our free cash flow in 2013 compared to 2014, and this is all for the retained business, excluding Energy. And as you can see, there was a higher cash flow from operations and lower CapEx spend in 2014 compared to the prior year, but this was more than offset by an increase in our net working capital. And that reflects a couple of factors: the net utilization of customer deposits in 2014 compared to an increase with order intake the prior year, and then a higher increase than last year in TotalCare receivables. These are important points. To build our installed base, we have to invest in higher levels of working capital. We're also trying to manage the customer deposits where possible to mitigate that. Of course, that doesn't mean that we're not focused intently on improving operating cash flow. We absolutely are, as we did in 2014 when, for instance, we delivered over GBP 140 million of inventory reduction net of FX.

I'm going to talk to you about some of the outlook for free cash flow and the steps that we're taking to improve it in a moment. Let me turn just for a second to our overall balance sheet picture. Our balance sheet and credit rating remain strong. Why is this important? Well, not only for financial reasons. It gives us the ability to withstand our shocks and turbulences, which sometimes occur in our industry. But it also provides important confidence to our customers, who, remember, are buying products that will remain in service for decades and require decades of aftermarket support. They look very closely to our credit rating. It also gives us the flexibility, for example, to return the proceeds of the divestment of our Energy business to shareholders through the share buyback, and that's currently underway.

So having covered the group picture, I want now to turn to the 2014 performance for each of the business segments. Starting with Civil aerospace. Civil aerospace is the principal engine of our future growth, and the order book increased a further 5% in 2014. That included our first Trent 7000 orders in Farnborough and GBP 7 billion in new orders for other products as well. That represented a market share of over 60% in the wide-body market.

Our OE revenue grew strongly, more than offsetting a small decline in services and adverse FX effects. The service decline reflects the fact that we saw low utilization and saw lower times and materials for older installed engines, primarily the RB2011, which was down 24%, but this is now actually less than -- around 10% of our revenue base. And it was largely offset by growth in our Trent fleet, which was up 6%, which is more than half of our revenue base. So higher Trent 1000 volumes and the first XWB deliveries were partly offset on the OE side also by lower Trent 900 sales. The Trent 700 was roughly steady to the prior year. The ramp-up in Trent XWB production is really only just beginning. We delivered 13 engines [ph], and we have over 1,500 orders in the pipeline last year. In December, we saw the XWB enter service with Qatar Airways. We were also selected by Gulfstream earlier in the year to power the new extended range version of the G650 jet.

Talking about profit. Profit improved by 12%. Some of that was due to the higher volumes and trading margins. We also had a GBP 150 million retrospective benefit from better profitability in our TotalCare contracts. And that reflected a combination of factors: our cost improvements, changing operating patterns, which, by the way, are driven also by the same factors. So our enhanced engine health monitoring processes and systems feed back into better operating patterns for our customers; and also, reduced contract risk. These positive factors were partially offset by restructuring charges. And we also had some adverse mix effects. The significantly higher R&D costs that I've mentioned, as we invest in the next generation of products and new technologies, were at their peak last year.

So turning to Defence aerospace. We have a very good example here, I think, of how our focus on costs and restructuring programs are flowing through to the bottom line. The order book grew in Defence for the first time in 2010, but clearly, we saw, as we said, our OE revenues coming down significantly. They were down 41%, and that reflected lower volumes, particularly the EJ200 and reductions in Adour sales as well. That was partially offset by growth in aftermarket services.

Profit, though, declined at a much smaller rate of 16%. So the impact of lower volumes was, therefore, offset both by the cost reductions that we've been taking in the Defence business and also the favorable mix shift that we saw towards the aftermarket, with OE volume coming down. And in Defence, aftermarket is now 61% of Defence revenue. That's up from 46% in the previous year.

I think our success in costs in Defence reinforces our confidence that the focus on this issue is bearing fruit, albeit that it was masked by other headwinds across the business.

Let's turn now to Power Systems. As you know, in August, we acquired from Daimler the 50% of Rolls-Royce Power Systems that we did not already own and are in the process of integrating that business with the rest of our Land & Sea business and developing our common strategy. The order book grew modestly, although underlying revenue fell 4%, and that was mainly due to FX effects, particularly the euro. Strong naval sales and power generation were largely offset by a non-repeat of regulatory-driven sales that we'd seen in 2013 in Europe.

Our underlying profit declined 14% overall. However, the acquired Tognum business actually improved, but we had a very difficult year in our Bergen business. We've taken steps to improve future performance there already. FX effects were negative in the business.

Talking about product. We launched at Bergen the 33:45, which is a new range of medium-speed diesels, which gives significantly enhanced performance.

I want to turn now to our Marine business, and this is probably the area where we had the most difficult year, with revenue down 16%. We also saw a decline in orders, although at constant FX, the orders grew by 6%. So that was mainly a currency effect

Once again, foreign exchange and the oil price have played the biggest role in revenue decline, but there's also been pressure on prices in this market and also discretionary aftermarket spend in many of our major markets, particularly the Offshore and Merchant businesses.

Profit was down 41%, therefore, and that reflected the revenue drop as well as some of these adverse shifts in pricing and margins plus the GBP 30 million Marine charge that we talked about last year. And unfortunately, these negative factors more than offset, actually, some good progress that was made in the

business on cost, both on product cost and indirect cost. We lost about 300 people last year. Clearly, since the start of -- or since September, October, oil prices have halved, and that will create additional further pressure in many of our markets. And I'll come back to that issue a little bit later.

Turning finally to the Nuclear & Energy business, which, for the final time, is reflected in our numbers. That was sold to Siemens on December 1. As you can see, I've actually excluded that business from the analysis to give you a better understanding of the drivers in the retained business. Revenue, overall, improved 3%. The retained business actually showed a sharp increase in profitability, up to GBP 48 million, although that was from a low base. And the improvement reflected a combination of volumes and cost efficiency improvements as well as a nonrecurrent of GBP 10 million that was a drag in 2013 in the comparator year. While currently small, our capability in Civil Nuclear is also an important part of optionality for the future.

So that concludes my run-through of 2014 performance. It was a mixed year, but one, I think, which you can see, there are encouraging underlying signs especially on the 4 Cs, even if other factors, including the tougher external environment, mask or offset some of that progress for the group as a whole.

I'd now like to turn to the outlook and our expectations for future performance. I won't labor this point, but it is against a more uncertain backdrop, and that frames, really, the way that I'm giving the guidance for Rolls-Royce's future performance. As you can see on this slide, our guidance for revenue, profit and other -- and a number of other factors, in response to feedback from you and, actually, my own personal views, in the interest of simplicity, you can see that we're now going to provide guidance in absolute numerical ranges instead of the complexity of percentage changes. And I hope you're going to find that change helpful.

We're guiding revenue to GBP 13.4 billion to GBP 14.4 billion and profit to GBP 1.4 billion to GBP 1.55 billion, and I'm going to talk about the factors driving this expectation on the next slide. On cash flow, we expect continued headwinds as we scale up our Trent volumes and continue to utilize customer deposits. This will be partially offset by the benefits of the actions we're taking on costs and cash, such as the focus -- the continued focus that we've got in detail on inventory. And although profits are down, you will also note that our earnings per share will benefit from the reduction in the equity base from the share buyback. As previously indicated, we expect both CapEx and net R&D, in absolute terms and over time, to reduce as a percentage of revenue. Our guidance is based on 2014 FX rates and, therefore, assumes no currency effects, either adverse or favorable. Obviously, as we normally do, we'll update you during the year on that.

Turning to restructuring. We expect underlying restructuring charges to be in the GBP 90 million to GBP 100 million range in 2015. That's about GBP 60 million lower than it was in 2014. As in 2014, we expect performance delivery to be weighted towards the second half of the year. On earnings, there will be a weighting of the R&D charge towards the first half of the year, and Civil deliveries are also more biased than they were last year towards the second half. So we expect a first half bias on profit but also on cash as well, and that's incrementally on cash, the impact of our restructuring spend, which, although it was partially charged at the end of last year, the cash charges will come through at the beginning of this year. So we also expect free cash flow to be more biased towards the second half than it was last year as well.

Turning now to the detailed guidance for performance at the business segment level. You can see that we expect continued strong growth in our Civil aerospace business, and this is primarily as the Trent 1000 and XWB deliveries increase and the aftermarket begins to grow. With -- this will be partially offset by lower Trent 700 and 900 sales next year -- or this year, sorry. However, our Civil profit is expected to be lower in 2014, and that largely reflects the increase of -- increased proportion of sales that are going to be accounted for on an unlinked basis on the XWB. But also, I don't expect the scale of the retrospective TotalCare life cycle improvements to be as high as they were in 2014. This will be partially offset by lower restructuring charges, as I've just mentioned already, in 2015. In Defence, we expect further progress on cost and margins.

In Land & Sea, however, this is where I'm really more cautious as I think we can expect continued further pressure from the external environment, and there is more uncertainty here, both around the duration of the oil price impacts but also pricing and adverse mix pressures. Of course, that doesn't mean that

we're not going to be really focused on improving operating performance to try and offset some of those external factors, but they're there.

So that completes my review of the key numbers. I'd actually like to stand back a little bit from the detail for a second and talk more broadly about how I see the business and the journey we're now on. John will expand on this in his own remarks in a moment, but I want to underline that this is a growth business. That's very, very clear when you look at our order book. The size of our order book really shows the scale of our opportunity. I'm excited about that potential, and it's why I joined this company. We are, as I said, undergoing a generational change in our product portfolio and, at the same time, a transformation of our industrial base. And this has and will require major investment. The issue I know you are all very focused on, as are we, is when the timing of that growth is going to be reflected in our profits and free cash flow and, particularly, what additional steps we can take to mitigate some of those headwinds during a period of unprecedented expansion and production in our Civil business.

John, of course, recognized all of that in 2011 when he launched the program of focus on the 4 Cs: customer, concentration, cost and cash. And significant actions already have been taken. We now have real traction here, but the environment we face has become more difficult, and the scale, therefore, of the required transformation is, I think, bigger than could have been imagined back then. This multi-year transformation is now my principal focus. The next 2 to 3 years, in my view, are critical. We saw the steps we announced -- you saw the steps, sorry, we announced in the restructuring of the Aerospace business last year and the progress we've already made in Defence. We have been taking a similar action already in Land & Sea, and that process is going to accelerate now. In fact, I was in Friedrichshafen a couple of weeks ago, going around the Power Systems facilities there, and I was very, very impressed with the work they're doing on lean manufacturing. It's as good as anything I've ever seen in the automotive industry. We must and will do more, however, in all of our businesses, but in doing that, we must also be realistic. This will take some time.

Much of what lies ahead is very familiar to any industrial company, and it's grand that my experience in the automotive and, more laterally, in the semiconductor industries has prepared me for, and it starts with a thorough understanding of our cost base and the levers that we can pull within that.

Firstly, the focus on our product and manufacturing costs and our supply chain. As I said, that is now really gaining some good traction. Last year, our design and supply programs delivered good progress, but unfortunately, that was offset largely by the growing pains John has talked about in the past of having underutilized capacity in the short term. But we delivered the underlying improvements.

Second is the focus we have on life-cycle cost. This is hugely important as product life cost can be 3, 4x the OE cost of an engine. And our focus here is really delivery, and there are recurring and nonrecurring benefits. You can see that in the -- within the GBP 150 million charge, but actually, the benefits that we're delivering are greater than that. They will come through in future years as well, and so the progress, I would say, is ahead of our expectations.

The third thing that we're getting more focused on, I think, is deployment of lean processes right across the business. Actually, we made, as I said already, real progress in some areas, particularly, I'd say, in the manufacturing area. But the concepts of Kaizen and continual improvement that I'm very familiar with, again, from the automotive industry, are things that we are now deploying right through the business. One of the things I've really enjoyed in my new role is spending time on the shop floor. I always get a thrill of seeing these kind of actions. I was up in Sunderland a few months ago and had the pleasure to see the new facility there, and the first thing I -- that happened to me as I walked through the door, was a young lady, one of our high-potential graduates, talked me through not only what they were doing on cost but what they were doing to change culture in that business. Later that day, I went to our older plant at Pallion, which is a few miles down the road, and I expected to see a huge difference there. Actually, I didn't, because that infectious enthusiasm that's come from that new investment has actually spread into the Pallion facility as well, and they're really excited about what they're doing on lean manufacturing.

So of course, this continual focus is absolutely critical through our business. We're also looking now much more closely in direct cost and overhead and trying to improve efficiency there. We've reduced the size of

our head office, and we're moving to new ways of working. Overall, in the company, we've cut our indirect headcount now by about 18% in 2 years, but there's more to do.

So that, I would say, is the operating side of the business. Perhaps the greatest potential, in my view, lies in what I would describe as the transformation of our industrial base. During the last few years, we've been investing in a major expansion in our manufacturing capacity, but that capacity build phase is now over. What we're really focused now is making those investments deliver, and we're going to be making in the next -- the investments that we'll be making in the next couple of years are much more around capability and the technology that's required both to fulfill our order book but also provide the next generation of engines as well. Our task is now to build efficiently through these new facilities and reap the benefits of the improvements in the capacity utilization while progressively either exiting or resizing our older facilities.

All the time, we have to maintain service and support to our customers. So we have to do this methodically and make sure that we can continue to produce products at the right quality in our all [ph] facilities. We also need to continue to improve our focus on low-cost country sourcing, where that is an opportunity. As I said, this isn't a simple or a rapid process, but the prize is very significant. The GBP 80 million savings we told you about on the implementation of the aero restructuring last November are a part of that but only a part, and it's an indication of the potential.

I'm now really focus on what can be done also in Land & Sea, building on the work that they've already started. In my view, further benefits will come as we see our volume growth drop through, and that's an effect that many of us call operating leverage, but the key is there making sure our fixed costs don't grow as fast as our revenue line. Cost efficiency and operational leverage will ultimately be what drives that margin improvement in the future as our portfolio matures that we've talked about.

So I've talked a lot about cost in those couple of slides, but also, this equally applies to cash. What does the process of transformation look in cash terms? The question is what levers also can we pull and what milestones can we identify to ensure that we're on the right trajectory. In the near term, we are incurring heavy investment, both in the restructuring and some of the headwinds that I've described on net working capital, and that's clearly a very, very necessary part of building that growth in our installed base, which will deliver cash flow for decades to come and much more efficient operations. At the same time, as we launch the new Trent engines, as I said, we're investing in that net working capital, specifically the development certification cost, the contractual aftermarket rights, as we call them, on the launch of the OE sales. And that's alongside the build of the TotalCare net debt or unlinked accounting. And I know that this sounds complex, and I'm very happy to cover it again in more depth if you have questions. But what's really more obvious, I think, is that over time, what we will see is a combination of factors that will drive improved cash conversion.

Firstly, OE margins will improve as we exit the launch phase, which is higher cost and lower pricing. We'll also begin to generate growing amounts of cash from our aftermarket revenues as the OE curve begins to flatten out and the aftermarket becomes a bigger part of our business through increased engine flying hours. As we do that, we must maintain a rigorous focus on capital allocation and investment efficiency, and that includes inventory and net working capital. So as I said, these cash actions are what is going to improve the cash conversion in the medium term, but don't believe for a second that means we're not intensely focused on improving cash this year. For example, we've got multiple work streams now looking at investment efficiency in many different areas: inventory, logistics, improving our trade cycle management, our capital efficiency, all of those things. I'm really focused on that stuff.

So to conclude it, I am confident and excited about the growth that we can deliver as a company. However, we must manage the transformation that we're going through in this critical phase that's required to deliver the installed base for the future and very carefully redouble our efforts on cash and cost to help counter some of the increased uncertainty that's around us. This hasn't been -- this won't be easy, but I've done this before in other companies. It takes time, but we now have a whole team focused on t.

Thank you for your attention. I'm now going to pass back to John, but I really look forward to your questions later.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Thanks, David. So David has talked in some detail about last year and 2015. I now want to take a longer-term view and give some context.

Above all, I want to make 3 points clear: First, the fundamentals of the business are strong, and we're committed to investing in future growth. Second, we are clear how to address the growing pains that are holding us back. And third, we're taking decisive action that will make us a stronger company and return us to profitable growth.

The journey we have embarked on will involve the transformation of our business. Let me tell you a story that illustrates the scale of change. Three years ago, I went to Montreal, where we repair and maintain engines for business jets. The facility was amongst our worst-performing anywhere in the world, and it was a depressing place to visit. The atmosphere was terrible, the workforce was demoralized, and customer metrics were dreadful. But Montreal has turned itself around. In the space of 3 years, it has become one of the best-performing facilities in Rolls-Royce. On-time delivery to customers has risen from 61% to 100%. Inventory turns have increased from 7.1 to 12.6. And last September, I was delighted to present our annual trusted to deliver excellence award to the Montreal team. This was achieved without any change in its physical location, without any real investment, but simply by the entire team putting the customer at the heart of their business, for example, by bringing customers in to meet their Rolls-Royce team and running red carpet events to celebrate outstanding delivery. It's now a joy to visit. It's a powerful demonstration, in just one plant, of the transformation that is taking hold across the rest of the group, and it's a good way to introduce the first and most important of the 4 Cs, customer.

As you know, this has been one of my top priorities. When I arrived at the company, the conversations I had with customers left me in no doubt about the urgent need to improve. One immediate issue was inadequate and inconsistent data. We've put that right, and we now record customer metrics in a consistent way across the group: measuring quality, delivery, reliability and responsiveness, the characteristics our customers value most.

In 2012, I discovered that our Civil large engine business on-time delivery to our own internal plan was 0. In Defence, the number was 7%, shocking figures, more shocking by the fact that no one seemed to think this was an issue. In 2014, we improved Civil to 59% and Defence to 72%, still not where we need to be but a big step in the right direction. In terms of delivery on-time to our customers, we've also made good progress across the business, with 100% on-time delivery by year-end in Civil large engine, 91%, for the whole year; and a substantial improvement in customer deliveries in Marine from 55% to 88%.

Recognizing the progress that we have made, Airbus has presented us with their Supply Chain and Quality Improvement Award. Both the U.S. Air Force and the U.S. government Defense Logistics Agency have recognized Rolls-Royce as a first-tier supplier, and we were awarded joint first place by Aviation International News for the quality of our business aircraft support. If you talk to the team, they will tell you how all this has transformed our conversations with our customers. So now instead of sorting out their problems, we're talking about what business we can do together in the future.

To avoid any doubt, delivery of the 4 Cs depends critically on getting the customer right. Only by getting the customer right can we focus on strong financial performance. Fix quality, fix delivery and the cost will follow.

In terms of concentration, as I hope we've made clear in the past, we are reshaping the group to optimize our performance and returns. Key to this has been the transactions over the last 4 years, some of which are shown in this chart. We have sold businesses where we couldn't make a proper return and bought businesses that strengthened our market position or added to our capability. For example, SmartMotor is a world leader in permanent magnet technology that we apply to our marine thrusters. Hyper-Therm has increased our knowledge of ceramic matrix materials that are critical in improving gas -- gas turbine efficiency. Individually, not all these transactions are especially significant, but taken together, they represent a focusing of the group on technologies and markets where we're confident of long-term profitable growth.

On cost and cash, I know there is some skepticism about our progress on cost, but I don't want any of you to be in any doubt about the management focus that has been applied to this critical area. We are addressing cost in every part of the business and in every cost category. We're improving quality delivery, reducing headcount and driving productivity. We're transforming our supplier base, and we'll reduce footprint over time. We have compelling examples of progress in all of these areas and show a number on this chart, but I recognize there is much more we can and will do. This is going to take time, with progress being impeded by the growing pains. For example, in our Civil business, we have underutilized capacity and are impacted by launch pricing and launch costs, but these are headwinds that will be overcome as the business grows and matures. Across the organization, we have grasped the importance of reducing cost, and if you look at the progress that we're making in our Defence business, you can just see how seriously we're taking this.

The journey we're on and the actions I've described emphasize the most important thing that any investor, commentator or customer needs to understand about Rolls-Royce. It's a critical point that Ralph Robins made, John Rose repeated, and you will have heard me say many times before: this is a long-term business. We invest for the long term, as we have done consistently for decades. Our products are mission-critical and take years to develop. As the manufacturers of original equipment, we are well placed to provide aftermarket services that make up 48% of our group revenue. As the equipment we provide becomes more complex, the opportunity for aftermarket sales grows. Our Power Systems have long lives in service and generate aftermarket revenue that can last for decades. In Marine, for example, we've just celebrated the 40th anniversary of the UT Design that continues to set industry standards for offshore support vessels. There are now 800 UT Design ships operating around the world, including the very first vessel that is still working off the coast of Nigeria.

The longevity and nature of our products means that our installed base grows year-by-year, and this is where the majority of the value of the business lies. This is demonstrated, I think, quite clearly when we sold our stake in IAE, when, I know, many of you were surprised by the value we've realized for what was just one small component of the Civil aerospace business. This is a company with a track record of delivering significant long-term growth. In the past decade, our revenue has more than doubled, the order book has more than trebled and profits have more than quadrupled. Looking forward to the next decade, our prospects for long-term growth remain strong.

As you know, the area of business where we have most visibility is Civil aerospace. This chart shows you the size and shape of our fleet today. We have around 4,300 engines in service, predominantly operating in North America and Europe. Turn the clock forward 10 years, and you can see that our fleet is projected to grow to 7,500 engines, with much of that growth coming in the Middle East, Asia and South America.

This chart shows our installed thrust, but as you know, thrust is a reasonable proxy for revenue. As you can see, thrust in the next decade doubles and continues to grow after that. Over the lifetime of an engine, service revenue is around 4x higher than OE revenue. And by the latter half of this chart, the ratio between OE and services shifts in favor of the higher-margin aftermarket business.

So Rolls-Royce has always been a long-term business with a steadily growing installed base. It is also a business that, from its earliest days, has made Power Systems for Land & Sea as well as Aerospace. These are markets that are characterized by growth over many decades and that we continue to address through our Aerospace and Land & Sea Divisions. There is an industrial, commercial and strategic logic tying these 2 divisions together to generate long-term value for the group.

Industrially, our advanced engineering capability benefits the whole group. And as power systems we produce become more sophisticated, deep technical knowledge will become increasingly important. Just a few areas in which we have world-leading expertise are fluid dynamics, that has a broad application from the development of fan blades and water jets to understanding coolant flow in nuclear reactors; 3D printing and hot isostatic processing manufacturing techniques that improve design, reduce costs and shorten delivery time; safety-critical engineering processes developed in our Nuclear and Aerospace businesses that are being applied across the group to meet our customers' increasing requirement for safety and reliability. Our common core of engineering capability allows us to integrate systems and to take technology from one part of the business and apply it to others, multiplying its benefits. To give just

2 examples, knowledge of material science from our Aerospace Division has enabled us to develop new seals for Marine. Automated manufacturing technology developed for marine propeller surface finishing is now being applied to Aerospace fan blades.

Commercially, we and our competitors recognize the requirement for both scale and breadth of portfolio. Scale is crucial to maintaining a strong balance sheet and protecting our investment-grade rating, which, as David has said, is essential comfort for customers who sign long-term service agreements with us. Scale also enables us to maintain a global R&D network that now comprises 31 University Technology Centers and several [ph] Advanced Manufacturing Research Centers. Maintaining and building this network is critical to our future, because this is where the next generation of products and services are envisaged, then taken off the drawing board, developed and tested for commercial application. Breadth is important because it provides a balance of different business and investment cycles. It's worth remembering that between 2008 and 2010, group performance was powered by an 89% increase in Marine profit, which more than offset a 22% decline in Civil profit.

Strategically, our 2 divisions address markets where long-term growth is underpinned by expanding population, increased affluence and environmental regulations. Both Aerospace and Land & Sea markets offer attractive returns and play to our strengths.

I've spoken about the 4 Cs, explained our long-term approach. Before closing, I want to talk about our long-term strategy that we now describe in terms of 3 things: customer, innovation and profitable growth.

This strategy has been in place for many years and proved itself through good times and bad. For example, this has driven growth in Civil large engines, where in the 1980s we had a market share of less than 10%. We now have more than 50% of the wide-body engines on order. It has guided the expansion of our Marine business that has more than doubled in the past decade. Customer is the first element of our strategy. Recognizing the customer is at the heart of our business is central to everything we do. I have talked already about the progress we're making.

Innovation is the second thing. This is the lifeblood of Rolls-Royce, and we need to take -- make sure our innovation pipeline is strong and relevant to customer needs. In 2014, we filed 600 patents and invested GBP 1.2 billion in research and development. We're pressing ahead with new technologies. Delivering today, investing for the future.

As you're all aware, we're progressing our next generation of aero engines, Advance and UltraFan. We have flown a test engine with carbon/titanium fan blades, and we're building a new test facility for power gearboxes in Dahlewitz. In our reciprocating engine portfolio, we are investing in technology to further improve fuel efficiency and emissions. These are all necessary investments in the future which brings us to the third element of our strategy, profitable growth.

Our prospects for long-term profitable growth are driven by the fundamental strength of the markets that we address. It is helpful to look at independent data to understand the scale of opportunity. These charts give a 40-year view of growth in population, GDP and energy. They demonstrate very clearly how growth is driven by the developing world, and they make the case for the fundamental strength of our business.

This chart from Airbus shows the growth anticipated in the wide-body fleet in the next 20 years, a 250% increase, with the vast majority of the fleet in 2033 made of aircraft yet to be delivered. So the fundamentals that underpin our business and provide opportunity for long-term profitable growth are strong.

Of course, in the short term, the pace of economic growth in individual markets will fluctuate. The price of commodities may be volatile. The most obvious example at the moment is the oil price, which has halved in the space of months. This should, of course, help growth across the world but has pluses and minuses for Rolls-Royce.

In Civil, there is limited short-term impact, although it helps airline profitability, which in the medium and longer-term, could translate into more orders.

In Land & Sea, reduced CapEx from the oil majors has a more immediate impact on our revenue, forcing us to focus even more on costs. So in the long term, we will be leaner and more efficient. But none of these near-term factors alter the market fundamentals. In the last decade, nearly 1 billion people have been lifted out of poverty. The middle-classes are growing by more than 100 million every year. As people become wealthier, they join the markets for goods and services that require power to be manufactured and transported. The megatrends are on our side. And that gives me a great deal of confidence for the long-term future of Rolls-Royce.

We have built strong positions in growth markets. We have world-class technology and customer relationships across Aerospace, Land & Sea, and we see significant opportunities for long-term profitable growth across our portfolio.

To take advantage of the opportunities that lie ahead, we must continue to improve performance right now by being better integrated, focusing on delivering consistently for our customers and driving performance on cost and cash. We understand this, and it has our full attention.

So let me conclude with the same 3 messages I opened with. The fundamentals of the business are strong, and we are committed to investing in future growth. We are clear how to address the growing pains that are holding us back, and we're taking decisive action that will make us a stronger company and return us to profitable growth.

Thank you. Now we're delighted to take your questions. I will go around the room and take questions off the WebEx as they come in. If you could state your name and affiliation before you start, that would be great. We will provide you with a microphone so that all listeners to the call can hear your questions.

Question and Answer

John F. Rishton

Former Chief Executive Officer and Executive Director

So I normally start at this side, so I will start at this side just at the front here. Thank you.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just one question for me, kind of from -- taking a step back, at a high-level, the steep decline in oil price, obviously, was clearly a big surprise to everyone in 2014, and knock-on effects are still working their way through the system in various adjacent businesses. John, has this changed the way you view the attractiveness of this end market versus last year at this time, or when you took over as CEO? And might it change or influence decisions to further invest in the short-cycle businesses that are heavily geared towards Energy, Exploration & Production, either organic or inorganic investments over the same medium term?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks for the question. I think I tried to address that, I think, in my set piece in the sense that we see the longer-term growth in these markets being substantial, the longer-term growth driven by population, driven by urbanization, driven by the increasing demands for power. I'm certainly not well placed to forecast oil prices, and I'm not even going to try. There are other people who are better placed to do that, so I'm not even going to try. But we believe that the megatrends, as I've described them, of the population urbanization that will drive demand for power are really strong in the long run. And that's what I'm looking at. In the shorter term, the issue is addressing the impacts that we see in our -- particularly in our Marine business that is impacted most directly by cutbacks in CapEx from the oil majors, and that means focusing intently on costs. Now what I would say on the plus side about that is that in my experience, where there is a clear and present need, it is usually easier to get everyone's attention and take more action more quickly. That's my experience. So I think that we're well placed to do that. Lawrie and his team have taken a lot of significant action over the last year. I think over the last 2 years, Lawrie, about 1,100 people have left the business. We've announced the closure of about 5 plants already. We need to do more; we will do more. But I think in the long run, these are still very good businesses supported by growth.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Okay. So it's fair to say, then, that your resolve [ph] year-on-year -- I mean, you're still resolute in terms of your overall view and how you view the attractiveness of this.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

So nothing [indiscernible].

John F. Rishton

Former Chief Executive Officer and Executive Director

No. Just go back around. Yes.

Gordon Hunting

Gordon Hunting from Fiske. Singapore, are you finding it much more difficult to start production there than you were anticipating, particularly, as the temperature is about 80 degrees Fahrenheit and the humidity, about a similar figure of 80. Is this going to be a problem, and did you anticipate that when you started moving XWB production across Singapore?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. The shorter answer, and I'll give you a short answer is we were fully aware of the temperatures in Singapore. Production has ramped up very successfully, particularly on the fan blade side. The issue that we have in Singapore is unrelated to temperature. It's the speed with which we fill the facility, which is geared to build Trent 1000s and Trent 900s. We're ramping that up slowly over time. We'll keep going backwards around. Any on that side, no? Okay. Okay, we'll come -- Ben, right at the very front. Always know I'm going to get a friendly question from Ben.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

I'll try and make 3 friendly questions.

John F. Rishton

Former Chief Executive Officer and Executive Director

Three. I thought it was only one.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

It's Ben from Deutsche. The first one, just to clarify, on Marine, am I -- what have we done on restructuring charges? Are there restructuring charges you have taken embedded in these numbers? Is the expectation there will be restructuring charges? Have I missed something? Just if you could give some clarity on that, please? The second question is just that free cash flow guidance of GBP 200 million, just a sort of housekeeping question. That presumably includes the cash receipt from the IAE earnout. Do I add that in at that level, or does that come below the GBP 200 million? And the third question, just come back to, I guess, your chart and your comment, John, on Slide 27, where you talk about 170-basis-point gross margin improvement. And also picking up on Slide 10 on that bridge chart on Civil aerospace profits, the trading profit improvement of GBP 263 million. It looks to me like, I know there's a lot of things going on in the business, but year-over-year, you had about a GBP 260 million swing in the cume catch-up, going from 110 negative to 150 positive. Doesn't that explain all of the gross margin improvement in that trading profit improvement? So where is the evidence that I should see, or am I missing something on the underlying cost progress you're making?

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm going to ask David if he could make comments, I think, on all 3 of those. Clearly, in terms of restructuring in Marine, as I've said to a previous question, we've already taken -- in the last 2 years, about 1,100 people have left the business. We have announced the closures of -- I think it's 5 plants, Lawrie, if I remember correctly?

Lawrie Haynes

Executive

5 plants in 2014, and previously, around 4 plants. So over the year, we've closed 9 plants are consolidating. That's 30,000 square meters of property that is actually being disposed of. And about just over 1,000 people, both indirect and direct, have left those facilities.

John F. Rishton

Former Chief Executive Officer and Executive Director

So we clearly have been taking actions there. But why don't I ask David to make some comments on the 3 questions that you asked.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, sure. So just on the specific, there's about the same restructuring charge for Land & Sea in both '14 and '15. So it's -- I think it's about 25% to 30% in both years. The free cash flow guidance, yes, that would include the total business, so there's nothing excluded from that. And then on the gross margin point, so within the GBP 150 million of onetime effects and, you're right, there's a bigger swing than that on a year-over-year basis. There's a significant amount of costs within that. So I tried to describe this -- and this is quite complicated because, as everything, it gets into the way that we have to do the contract accounting. The cost actions that we take, and these are the things that we're doing to improve time on wing, the cost of intervention when we actually take engines off-wing and into service, the cost of the spare parts that we fit, all of those things, we assess within the -- each model's contract packs. And we will assess, each year, the things that we're actually confident on that we've now implemented. There may be a list of other things that we're going to do but what we've actually implemented. And we will flow that into the contract packs with a degree of conservatism. So what actually gets released in in-period year profits is, typically, the catch-up effects and anything that affects that period. It will not include what will be happening in the future, because that will come through in future years. So you're right, a large part of that gross margin improvement can be explained by those effects. But cost is a significant part of that gross margin improvement.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you. We're just going to drift back just on this side [indiscernible] further back. Thank you. We'll come to the right-hand side in a moment.

Jaime Bann Rowbotham

Morgan Stanley, Research Division

It's Jaime Rowbotham from Morgan Stanley. Two questions, please. The first one, for David, on cash and then a question on Defense. Obviously, it's unfortunate that in addition to the investments for growth in Civil, you've got this additional issue of working capital outflows due to utilization without replacement of deposits in the short-cycle Land & Sea businesses, which are shrinking at the moment. It looks, from the cash flow guidance, as though you've allowed for very much the same again in 2015 on that point. Is that fair? And is the work you're doing around working capital management, and you mentioned inventory turns, can that push you towards the upper end of the guidance range? And the second question, if we look at today's divisional guidance for 2015, compare it to the 2015 consensus that you put on the website a week or 2 ago, I think unsurprisingly, in some respects, the ranges on Marine & Power Systems are probably a bit lower than where people stand, but the one division where you're higher is Defense. So I just wondered what needs to happen, what are the key things that need to happen and on which programs in Defense to make -- to allow that -- that revised 2015 Defense guidance to be hit?

David Miles Smith

Former Chief Financial Officer and Executive Director

Okay. So let me take the cash working capital one first. You're absolutely right. I think this is one of the dynamics of the market that has a negative effect on the short-term at the moment that, I think, there's also -- there's both a greater reluctance to give deposits as part of the order take process. And we have seen some runoff of contracts that were longer that have actually been completed. So there is a degree of caution that we've put into the guidance for that. That doesn't mean that we're not going to work on that issue, but I'm trying to be realistic about that as well. I would say -- and this, I guess, will be a mea culpa, although it's not a mea culpa personally, but I think we were over-optimistic on that. In the early part of last year on cash flow, I think, that was one of the areas that I think we were over-optimistic on and resulted in some of the underperformance on cash flow last year. So on the second question around consensus, I mean, I think you've rightly picked up that I've -- in setting the consensus, I still have the

kitchen sink with me, by the way. But -- I haven't thrown it out quite yet, but I am more cautious in certain areas. And I think, particularly, Marine is a clear one. Power Systems is not so much just about the oil price. It's actually more about my caution around general economic factors at the moment, so what's happening in the slowdown in China, what's happening in the Eurozone. I'm hoping I'm wrong on some of these things, but I think it's right in a more uncertain environment to set guidance in a way that's cautioned. And I have a great belief that I've built up over 30 years that that's the right way to run an industrial business as well, that -- to run it on a series of plans that allow you to make the upside if it comes through so you have the flexibility, but make sure that we're planning cautiously in the short term. On Defense, there was an improvement that I don't think any of us necessarily picked up completely around the fact that OE volumes come down and, therefore, service mix improves. You know that, as I'm sure you can guess, is a higher-margin part of the business. I think, actually, the Defense numbers are very solid. I -- they've done a great deal of work and they continue to do a great deal of work in that team. I don't think there's any thinking there that I would be concerned about in terms of projects not happening or the sort of question that you asked.

John F. Rishton

Former Chief Executive Officer and Executive Director

Tony, why don't you make a couple of comments on Defense. I think we have pretty strong order cover there.

Anthony Wood

Former Executive

Yes. Three quick points. Obviously, very strong book-to-bill in 2014, GBP 2.5 billion of orders secured. That's really given us better confidence on order cover in 2015. We have largely launched the cost reduction and consolidation program to resize the Defense business for what we see the future years being, and the mix benefit that David mentioned. Those are the 3 things that largely sit behind the Defense guidance we're giving today.

John F. Rishton

Former Chief Executive Officer and Executive Director

Let's switch to this side, if we can. [indiscernible] to someone at the front, just [indiscernible] near the front anyway.

Unknown Analyst

[indiscernible]

David Miles Smith

Former Chief Financial Officer and Executive Director

I don't mind.

John F. Rishton

Former Chief Executive Officer and Executive Director

Just -- we can do everybody.

Zafar Khan

Societe Generale Cross Asset Research

It's Zafar Khan from Soc Gen. And for once, I'm going to add to Ben, if I could please ask 4 questions?

Unknown Attendee

[indiscernible]

Zafar Khan

Societe Generale Cross Asset Research

Sorry about that, Ben. The first one is on this retrospective TCP profit, David, that you released, the GBP 150 million. And as Ben pointed out, it's a GBP 260 million swing year-on-year. Could we just focus on '14 for a minute? Could you please help us in understanding the mechanics of this, because I think the -- it was given as a Trent 700 profit release. So I'd like to understand how you get at these numbers, and how volatile are they on a longer time service? So you had a positive GBP 150 million in '14, a negative GBP 113 million in '13. What happened in '12 and '11, for instance? So how do we think about this? That's the first one. The second one is on the capacity utilization in the 3 new plants that you've built, and I'm thinking of Sunderland, Seletar and Crosspointe, and when you might get to a decent level of utilization so that you get a good drop-through on that. The third one is one for Colin, if I may, is just to ask about the R&D. It's a pretty big increase [indiscernible] I was thinking that a lot of the big stuff had happened. So I'd like to understand where you're spending the money. What is it? Is it people? Prototypes? GBP 150 million is quite a big number. And then one for David on just the margin targets, David, that were given in October. And is that another case of mea culpa for the group or are you happy with the longer-term margin targets that were given? Would you underwrite those? So nothing else about it. What I'm trying to...

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you very much for the 4 questions. Yes, thank you. I'm going to suggest that maybe I talk a little bit about capacity and then ask David to comment on the 3. I will ask Colin to comment about R&D spending, but maybe David can make some comments on that one as well. Now in terms of capacity utilization, it's different across the different facilities. So we've got some new facilities that are -- quickly get up to full capacity. So the Sunderland plant would quickly up there, and we take it out of the old facility. The issue there is we've still got the old facility, which has now only got old parts in it. In Crosspointe, we've got a slightly different -- which is we've got a building. We're fully utilizing the machinery that we've put into that building, but we've got space for more machinery that we can put in. At Sunderland we've got a full site there which does fan blades, which has got quite a high capacity utilization; and the assembly, which has got a low capacity utilization. So as I've said to you many times, Sunderland, as [ph] Singapore, has got a 250, 300 capability in terms of engine assembly. Last year, I think, Tony, it was about -- we did about 40, is what we did about the year before, which reflects the mix of engines that we can build there. And as we've said a couple of times, clearly, the delay in the programs, for example, the 787, impacts when that will be used. So that will ramp up over time. But with those very large fixed capital investments, making sure that we have the capacity is very important, though the delays that we've experienced from some of the programs means that we've got them -- gotten them a little bit too soon. Volume will solve that. But it's a different story, I think, in each of them. David, maybe you want to make comments about the others?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. So let me just tackle a couple of different aspects of the first question, which is around the TCA profit movements. The swing that we saw last year and the year before are probably at the high end of the range over typical ranges. I'm just trying to recall the chart exactly, but I think the average over the last 5 or 6 years is probably more in the 50 to 75 sort of range. And there's a particular reason, I think, why last year was higher, which is what I'm going to come to. But actually, Tony and I, probably about a year ago now, initiated a very thorough process within Aerospace of essentially looking at what every team was doing on this whole area. So all of the work that's being doing -- that was being done on looking at the cost of the spare parts, the costs particularly of the intervention of shop visits, and then all the good work on time on wing. And I think we showed you all the arrival charts and things like that we look at there. We're also getting incremental benefits now from the engine health monitoring systems. So we have a process of converting that information now back to give us a much more accurate view on what the lifetime usage of parts is going to be and the replacement requirements. So that GBP 150 million has been boosted by that program, where we went through very vigorously every single program and made sure that we were using all of the tools effectively right through the business. And I think that, that -- and I'll give Tony a lot of credit for that. That really supercharged, I think, that process last year. And it is -- it has over delivered from what we might have expected last year. So I think that's why I'm saying I

don't think we'll see GBP 150 million of benefits in 2015, part of the reason the Civil profits are going to be down year-over-year. So that was the first. Shall I do the fourth?

Zafar Khan

Societe Generale Cross Asset Research

In terms of the timing on that, as to when you'll recognize this, is it arbitrary or is there some...

David Miles Smith

Former Chief Financial Officer and Executive Director

No, no, no. We have a very, very detailed and complex process that we go through -- I say complex -- a rigorous process that we go through.

Zafar Khan

Societe Generale Cross Asset Research

The reason I ask is just that GBP 150 million coming through this year, [indiscernible] to the '15 numbers? If you hadn't invested in '14, could you have deferred it?

David Miles Smith

Former Chief Financial Officer and Executive Director

No.

John F. Rishton

Former Chief Executive Officer and Executive Director

We recognize it consistent with the accounting policies that we follow, which are audited and that we are absolutely clear on.

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes, yes. Just -- shall I just tackle the last question, which was around margin targets? Yes, I'm absolutely fully behind those. And remember, the way that we describe those is very, very important here. We were not making a forecast of margins in 2018, which I think is -- there's some confusion about that. What we did was said this is where the business should be able to get to on a medium-term basis once we've met certain criteria. And these events are very, very important, I mentioned them earlier, around when we see the OE volumes flattening off and we've got the initial launch losses on the XWB and Trent 1000, in particular, were through that launch period. And the aftermarket service business begins to grow. So that -- those are the things, plus the cost leverage, the operating leverage that you referred to, that are going to generate those margins. So I think we're absolutely behind those -- I'm personally absolutely behind those margins as part of that process. So that's the answer to that question.

John F. Rishton

Former Chief Executive Officer and Executive Director

R&D?

Colin Peter Smith

Former Group President and Executive Director

Oh, R&D.

John F. Rishton

Former Chief Executive Officer and Executive Director

I look forward to the answer.

Colin Peter Smith

Former Group President and Executive Director

It's a mixture, it's a mixture. First of all, there's the mix between capitalized and expensed, which can make the numbers move around a bit more than is normally visible. But last year, we ended up investing a lot of more money in the latest variants of the XWB and the -TEN. And with the baseline, which entered service in the end in December, was -- the engineering on that was coming off in the year as the productionization was ramping up. So a lot more expense on the latest variants, a lot of which was hardware and resource. You'll see it coming off this year. As we come over that peak, we've got a lot of engine testing to do, but it's less manpower. So the balance moves the number around a bit. And also, on the technology side, the difference in funding ratios that we get when we get grants in from our customers or our supporting partners, such as governments, does vary. So that -- those movements give quite a big change in the IFRS reported number.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. We've just got one from the phone, and then we'll go to the web as well. And then we'll go right to the back, because the people at the back haven't had much of a chance.

Nick Cunningham

Agency Partners LLP

Nick Cunningham, Agency Partners. I wanted to ask about net cash flow. Because you've given a free cash flow guidance of GBP 200 million, dividend's about GBP 400 million. Do we assume that all of the buyback takes place during 2015, in which case, does that give us a net of about minus 1,000, or am I missing something? And then looking at the average net debt figure that you give, it's a complicated year in '14, but it looks like it was about GBP 1.2 billion worse or lower, if you like, than the arithmetical average. Is that a sort of good rule of thumb to apply to 2015? And obviously, there's a bit of a subtext to those questions which is, given the deterioration and uncertainty that you have in some of your end markets, does it still feel like a good idea to be pushing through with that buyback process?

John F. Rishton

Former Chief Executive Officer and Executive Director

David, do you want to take that?

David Miles Smith

Former Chief Financial Officer and Executive Director

So our expectation is that we will complete the buyback during this year, yes. We've done -- I didn't get the latest figures. I was staring at Jilinda, because I was going to get an update on that. But I think about GBP 200 million up to the end of February -- sorry, the beginning of February. And our expectation is we will, provided nothing really happens in the market, that we'll continue on that rate. You're right, that is a -- that is, on top of the dividend, that will mean that we have net cash flow after financing, if you like, that's negative. We do have -- in addition to the drawn debt that we have, we do have additional RCF facilities, and we're actually in the process of consolidating and increasing those a little bit at the moment. So from a liquidity point of view, to manage the midyear dip that we get, then we have sufficient liquidity to manage that, if that was your concern.

John F. Rishton

Former Chief Executive Officer and Executive Director

And then on the average debt? Or is that...

David Miles Smith

Former Chief Financial Officer and Executive Director

Well, I think that's the point, that the -- there's a low point during the year.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Let's go to the web, WebEx and -- go ahead.

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Unknown Executive

Okay. I've got a question from Rob Stallard at RBC. On inventory levels, particularly in Civil aerospace, how much further do you think you have to go in terms of optimal inventory turns and how long do you think it will take to get there? And also, what sort of assumptions have you built into your 2015 to '17 plan regarding build rates on Trent 700 engine production for the A330 CO [ph]?

John F. Rishton

Former Chief Executive Officer and Executive Director

Let me take the second one first. In terms of Trent 700, as I've said many times to this audience over the last 8, 9 months, clearly, there's going to be a level of change in that -- in the number of Trent 700 engines that will be needed for the A330, clearly, depending on Airbus' sales of the A330 aircraft. As you would expect, our 2015 numbers are completely aligned with where Airbus are. As they look out into the future between '16 and '17, we'll make sure we are aligned with them. But really, it's a question, I think, for Airbus, in terms of what do we think we can sell, or what do they think they can sell of those aircraft. We'll make sure that we have the engines for the aircraft they sell and, clearly, we will help them in that sales process. But in terms of forecasting where that's going to be, I think that's just more with Airbus. In terms of inventory levels, I think the question was how much more and what do we think inventory turns could be in the Civil business. I'm not going to get into what I think we can get to, but I think we would all agree, and I'm going to look at Tony, in particular, the Civil business, that we can make quite some improvements in terms of turn rates. I mean, I think we've made some improvements in the absolute amount during the course of last year, but we're impacted a little bit by some of the volumes. Tony, do you want to make any comments on that?

Anthony Wood

Former Executive

So we're looking at inventory in a very detailed way across the whole of the Aerospace business. We have made some progress in the year. Aerospace turn is running at about 3.5 at the moment, still some opportunities to step that up. A number of areas that are driving it -- David mentioned in his pitch what we're doing on Lean, so a standardized approach to how we look at lead time, the planning of lead time and the performance in the factories. A standard approach in terms of how we run every one of those factories worldwide is the big drive that we're going for, and started 12 months ago. We've been doing Kaizen, we've been doing Lean, we've been doing value stream mapping for quite some time, but doing that in a very consistent way across all of our facilities. Clearly, we have confidence that, that will improve inventory turns as we go forwards. We do, however, have a number of programs at different stages in their life. We've had some build rates moves with some of our major airframe partners that have caused some inventory to still be sitting on the book at the end of 2014. We do expect, though, progressive inventory improvement over the course of the next 2 to 3 years.

John F. Rishton

Former Chief Executive Officer and Executive Director

Let's go into the back of the set this time. Lady with her hand up.

Celine Fornaro

BofA Merrill Lynch, Research Division

Celine Fornaro, Bank of America Merrill Lynch. Three questions, if I may. Last year, you actually commented on what was the order cover for the business at this point in the year for 2015. So it would be great if you could share that with us and probably also the divisional level, Marine being the most interesting one, depending on Defense and the commercial end markets. My second question would be on FX, what we should think about FX, any tailwind in 2015 to profits based on the hedge book rates you may have? And my final question would be just back on this life cycle cost recognition when you've got this GBP 150 million catch-up. Just to be clear, there is no cash impact on this? So even if you keep doing this, you will improve your margin, but there is actually no cash incremental recognition coming from it? Is this correct?

John F. Rishton*Former Chief Executive Officer and Executive Director*

So let's take those in the order that you gave. In terms of order cover, for original equipment across the group, it's around 80% in terms of the order cover with, as you would expect, a higher level on Civil and Defense. Marine is actually relatively high, and you saw that the Marine order book at constant exchange rates actually went up. I think that what I would say in terms of Marine, though, is we have a level of caution. Certainly, David and I have a level of caution. I think, Lawrie, you had shared this, which is, despite the fact that the order cover appears high, we are concerned, clearly, about customer deferrals in that book. And we've reflected that caution in the guidance that we've given you. In terms of service order cover, again, quite a significant variation. And again, not of particular surprise, Defense will be the highest order cover we'd have in service. And the Land & Sea would be pretty low, because it is very short cycle in terms of the service. But -- and if I look at the total book across the group, there is nothing exceptional, either good or bad, about where we sit in terms of order cover, either in terms of OE or in terms of services at this stage of the year, but for the caution I've expressed on the Land & Sea side. David, maybe you could talk about the other...

David Miles Smith*Former Chief Financial Officer and Executive Director*

Yes. So on FX, we have a hedge book that is roughly 4 to 5 years cover. It's about GBP 25 billion roughly, with an average rate of about 161. And therefore, we'll get relatively small movements on transactional exposure within a year. Clearly, there are bigger movements around translational exposures, but those are not something that we would ever hedge, and those are just conversion of balance sheet items, foreign currency items at year end. So we will, as we always do, I think, update during the year as we give progressive information, any currency effects that we're seeing. But essentially, within the guidance, there are no effects. On the life cycle cost, I think it depends really about whether you're talking about period or the life cycle itself. Within the period, you're right, there's no cash effect. But clearly, anything that we end up putting on the TotalCare debt will all come through our cash at some stage. In other words, if you never sold another engine or never delivered another engine, it didn't grow, that cash has to come back on to the business over time. So it's really a timing effect and, in fact, the whole TotalCare debt [ph] is really a timing effect between profit recognition and cash flow.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Okay. We're going to go back over to this side of the room if we can. Start at the back, yes.

David Howard Perry*JP Morgan Chase & Co, Research Division*

David Perry from JPMorgan, if you can see me here. So I've got 3 questions, sort of, chronological. So just first off, for 2015, just to repeat Celine's question, because I think she was asking about if as of -- if today's rates prevailed, could just talk us through the translation impact on EBITA in each division? That would be very helpful, please. The second question then is, moving on to 2016, you may not want to comment, but any sort of tentative view on free cash flow even directionally, would be helpful. And then my third one -- it was good, David, to hear you sort of endorse the medium-term guidance. I just wanted to clarify one thing, because I think most of us assumed the medium-term guidance is 2018. Your slide now has sort of 2018 to 2020. So should we think -- as you said, they're targets. It's not guidance as such. But is it 2018 or is it more a 2018 to 2020 kind of potential target?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Thanks, David. Can I -- I'll take the last question, and David may want to add a few comments to that. What we clearly said in the release of the medium-term guidance was exactly what David said. And then we said, as we sit here, 2018 is what we think those events can -- will come together. So that was where the 2018 came from. In David's chart, which shows the period, that's -- I think it says in the chart, that's where we should be realizing the benefits from the investment which starts in 2018. So that was a period

shown for when we realize the benefits rather than anything related specifically to the medium-term guidance. But the key point that David makes and we tried to make at that time was it's the combination of factors driving the OE aftermarket, the launch pricing, launch costs, the cost progression that we make that drive the margin performance, which you all know; and based on the discussion that we had almost -- back in June last year, we viewed that as being 2018. So that hasn't really changed. But the chart that David put up had a time period, and that's [ph] when we benefit from the investments. David, do you want to talk about FX again?

David Miles Smith

Former Chief Financial Officer and Executive Director

I think I'm going to give the same answer, that as we've said, I mean, we've given the guidance obviously, at 2014 FX. From where we are at the moment, the -- at a group level, there's only a very marginal effect. We will update you during the year if that changes, and there's not a significant effect on a segmental basis, either. So I'm going to take a pass on that, because I'm not going to go through a detailed review of that. We will update that during the year. On 2016 free cash flow, I'm also not going to give any guidance for 2016. What we've done today, essentially, is given you a lot more information obviously around 2015. As we've previously committed, we'll come back at the end of the year and update the medium-term guidance. The reason that I took you, though, through hopefully to try and clarify some of the key things that impact on cash flow is -- I think it's very important that you and we, to be quite honest, work through these fairly methodically and think through them. So the effects that are coming in both from the investment phasing, from the growth in TotalCare net debtors that, that has, obviously, an effect in cash flow because of the recognition issue that we've talked about between profit and cash, on the unlinked contracts, the contractual aftermarket rights also that have a negative effect on cash as well. It is very important that we think through this, because my observation is that when I look at the way that people are thinking about that, they've taken quite a linear approach, but it clearly isn't linear. And I think we have to think about those in a bit more detail, which is why I've given you both the update on 2015. And as you can see, the cash flow is actually lower than 2014, and that's impacted by a couple of things: the additional restructuring spend, as I explained earlier, that mainly comes through in 2015; but also because we start seeing a bigger ramp-up on XWB, which is unlinked well. And think through that in terms of the following year. So I'm not going to give guidance, but I hope I've given you a lot more help in understanding some of the levers and mechanics that are going through those years to enable you to think about the modeling of that.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. We're going to take one last question, and we're over there. So that's it, and then we're going to be, I'm afraid, out of time.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec. One question in 3 parts. On pricing, general heading pricing, but in Aerospace, can you talk a little bit about pricing pressures? So how much of those benefits from longer time on wing are you sharing with your customers for new TotalCare contracts and, of course, this catch-up that you had? And also, on the old aircraft under [indiscernible] materials, are you providing incentives for airlines to keep them on wing? In Defense, in the past, if I remember correctly, you talked about a mid-teen margins for that business. Guidance implies closer to 20%. Where -- how should we think about that going forward? Is this now 20% or high-teen margin business? And lastly, of course, on the Land & Sea businesses, can you talk a little bit about pricing pressure. We have heard -- some of the customers are talking about sort of requiring price decreases from their suppliers.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Tony, do you want to talk a little bit about Aero and time on wing?

Anthony Wood

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Former Executive

Yes. I mean, certainly, we price competitively in terms of how we position our TotalCare offering. We are, obviously, confident about the process that we've put in place. David spoke, I think, in some detail about how we do that and how we leverage the tools, engine health monitoring, the detailed way in which we link our engineers to driving reliability in the components to get time on wing, less overhauls, less spare parts are being consumed. So we do share some of that with our customers. That is very much the competitive marketplace. But we price competitively, and we're winning in the market. The engines that we've secured orders for last year and the market share, I think, speaks to a combination of being competitive on pricing and having very good products.

John F. Rishton

Former Chief Executive Officer and Executive Director

And David, would you like to talk a little about margins on Defense?

David Miles Smith

Former Chief Financial Officer and Executive Director

Yes. I mean, the observation is obviously correct, that Defense margins are above mid-teens at the moment. I -- that doesn't mean that I want to change my medium-term view. I think that we have had the benefit, as I mentioned earlier, of the fact that with OE volume coming down, the proportional -- proportion between OE and services increased. I don't think that's a necessary a natural position. And I would hope and we all hope, that we will do better -- or sorry, not only do better, that we will have some OE opportunities over the next few years. So I think that's why, I think, the midterm is still the right guidance, because we'll see a bit of a reversion, I think, from where we are over time. Is that fair, Jim?

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

Yes, absolutely.

John F. Rishton

Former Chief Executive Officer and Executive Director

Lawrie, Land & Sea pricing?

Lawrie Haynes

Executive

Yes. On the Defense side, the naval side, yes, the various projects, moD, DoD are under pressure. So we're having significant pushback from our customers who say they were looking for price reductions. On the Marine Original Equipment, we are -- about 60% of our supply is into the oil and gas industry, the offshore industry. So yes, what we're seeing at the kind of top level or the top tier is rippling into us, so we're having kind of considerable discussions with a number of our customers on the OE side. And on the services side, a number of our customers are de-stocking. They're actually using their existing stock which, of course, is putting pricing pressure onto the Marine side. We're also seeing on the -- at the Land side, a number of our customers are taking advantage from the lower oil price but, at the same time, they're using that oil price to pressurize all suppliers on price. So I'm afraid it's a uniform view across the market.

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm sorry. We have run out of time. Thanks you very much, indeed, for coming. A couple of just closing comments from me, other than to say thank you, as I said, for coming. We are working, I hope as we've demonstrated, extremely hard to address the shorter-term financial pressures that many businesses, including ours, are facing. We are working very hard to address our cost and cash issues.

In the longer term, as you're well aware, the fundamentals for this business are very sound. The fact that we delivered the XWB engine on time and to spec is very, very important for the future of this company. It is a great credit to the people that work at Rolls-Royce, an extraordinary achievement, in my view.

The future growth potential is significant. We understand the growing pains, as I've described them, and what we need to do about them, and they have our intense focus. The good news about that is it will make the business in the long run leaner and fitter than it would've done maybe if we hadn't have had those pressures today.

So thank you very much, again, for coming. We look forward to seeing you again soon.

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Rolls-Royce Holdings plc LSE:RR.

Analyst/Investor Day

Tuesday, October 21, 2014 7:00 AM GMT

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John Knudsen

Lawrie Haynes

Executive

Mark Alflatt

Former Finance Director of Marine Division

Mikael Makinen

Former President of Marine Business

Sauli Eloranta

Simon Goodson

Former Director of Investor Relations

Simon Manwaring Robertson

Former Non Executive Director

Ulrich Dohle

Former Chairman of the Executive Board and Chief Executive Officer

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UBS Investment Bank, Research Division

Presentation

Simon Manwaring Robertson

Former Non Executive Director

Good morning, everybody. Welcome again to Ålesund, and welcome to everybody joining us by live webcast for the Rolls-Royce Marine Capital Markets Day 2014.

Just before we start, some Safe Harbor language. As always, you will see and hear forward-looking statements during the course of today. Please remember that they're based on the management team's current view of life, and of course, those assumptions can change over time.

Let's have a very quick run through the agenda for today before we get straight to it. Lawrie Haynes, President of Land & Sea, previously Marine & Industrial Power Systems. We had lots of good feedback about that name, so we've renamed it Land & Sea, will present for half an hour as an introduction to Land & Sea together with Ulrich Dohle, the CEO of our Power Systems business, who will just give a short piece about Power Systems. At 8:30 -- and remember, all of these times are U.K. plus 1 hour. At 8:30, Mikael Mäkinen, the President of our Marine business, will talk for 45 minutes about the Marine business. We will then have 3 separate sessions of 30 minutes in length. John Knudsen, President of the Commercial Marine business, will have a focus session on customers. We'll have a coffee break for 0.5 hour at 10:00, before Sauli Eloranta, EVP for Engineering and Technology in our Marine business, will present on innovation. And then the final half an hour slot will be Mark Alflatt, the Finance Director for the Marine business, on profitable growth. And then we will leave it to Mikael Mäkinen for a brief wrap up before we get to Q&A.

And for everybody on the webcast, remember, you may ask questions via the webcast. And we'll make sure that Lawrie, who is hosting the Q&A, will receive those questions before the webcast closes at 12:30. And at that point, we'll give a separate brief to those that are staying for the afternoon in terms of what goes on for the tour of the training facility in Ålesund in which we are in, but also of Highland Pride, a platform supply vessel.

So without any further ado, I will hand over to Lawrie Haynes, President of Land & Sea.

Lawrie Haynes

Executive

Great. Thanks very much, Simon. Well, good morning, everybody, and good morning to everybody on the webcast.

What I'd like to do is briefly introduce myself, and then I'm going to give you a quick view of the 3 businesses that make up Land & Sea, and give you some kind of assessment on my view about where the market's going to be in the medium term.

So firstly, as Simon mentioned, I joined Rolls-Royce about 6 years ago. I joined to head up the Nuclear business, then John Rishton asked me if I would pick up also the Marine business portfolio. And after that, earlier this year, he asked me to pick up what was MIPS, the Marine and Industrial Power, as we say now, Land & Sea, to develop this business, particularly on the occasion of acquiring 100% control of Power Systems, Rolls-Royce Power Systems. I'll talk a lot more about Power Systems in my little piece, but it is a very important acquisition that we've made. And I will give you various threads of opportunity that we see under the -- as the new owners of Rolls-Royce Power Systems. Good opportunities, good synergies, good opportunities to develop innovation, et cetera.

Well, I'm very privileged to run Land & Sea. We have, in my view, exceptional people. We've got world-class people, and you will see some of them today. We've got world-class products, and you will see some today. We have got a very strong position in innovation and technology, world-beating position actually in innovation and technology.

And so I think that whilst we recognize that over the last 2 to 3 years, there have been kind of difficulties in the Marine market, there have been headwinds. We recognize that, but what I am enthused about is

the medium-term and long-term opportunity for the Land & Sea business and the Marine business and the Power Systems business that Doctor Dohle runs.

Where I think we are is that we've got, in Marine, in Nuclear and in Power Systems, extremely deep foundations. You cannot have a business for the future if you do not have deep foundations and deep knowledge and deep experience and an understanding, a deep understanding of what your customers want and need, and we have that.

You will probably think about what are the barriers to entry, but one of the soft barriers to entry is that knowledge and that experience and that detail, and we have got that in spades.

I think that my real view about the position on Power Systems is that it's only been since we've taken full control that we have really gone in -- really gone into that business in detail to kind of start to dig up some of the golden nuggets that are in there and identify some of the kind of key options that we have to develop that business. So I think it's really worthwhile having 5 minutes, 10 minutes with Ulrich to give you a kind of insight into that business itself.

What I'd like to do now is quickly go through a couple of slides, a couple of slides on the drivers. And this -- the first one you saw John Rishton give last night, so I won't spend very much time on this. John talked about this yesterday.

But one of the key things here are these megatrends. They will drive growth across this business. There are more people on the earth -- or are going to be more people needing more resources, including power, against the backdrop of ever-tightening environmental legislation.

I think one of the key points that John mentioned yesterday was the development and the growth of the middle class. John mentioned 100 million plus new people entering the middle class every year. Now very simply, what that means is, if you are in an emerging economy, you are going to -- you will move from bike to motorbike, from motorbike to car, into urban towns and cities, which drives construction. It drives road transport, rail transport. And 90% of all goods are transported by the sea so it drives sea transport, too. So do not underestimate that these megatrends are just figures. They are influencing our strategic thinking and our strategic development. And the other area that is developing our thinking, of course, are things like the IMO, the IMO regulations, emission control, et cetera. I think you could look -- probably personally look around if you traveled by sea and the amount of pollution that's there, but also the amount of pollution that comes from maritime vessels. The IMO is now getting teeth and doing something about it. Why is that important? Well, because we are very, very good with the emissions control, and we, in fact, we're ahead of the regulators and we're ahead of the market. So it places us in a really, really good position as we go forward into the next few years.

Now why are we, Rolls-Royce, positioned to deal with that? Well, we are positioned because we've got 3 fabulous businesses. Mikael Mäkinen is going to talk about the Marine business, so I won't deal with that here.

But let me give you 1 or 2 examples that Uli won't have the time to deliver, but I'll just give you a taster. We have developed hybrid power packs for Deutsche Bahn. The first hybrid power packs are now being tested on the German rail network. These are diesel electric, equivalent of the Formula One KERS System. We are developing that and have developed it, and we have product now in the marketplace. There is global potential in this area. We are developing lean gas burn technology, which greatly reduces emissions. We are ahead of the regulatory requirements, and we continue to invest in new products in this area. In L'Orange, we have fuel injectors that are state-of-the-art, that are best in the world.

If you imagine 20, 30 years ago with your own car, and now imagine trying to do some work on your own car, it is impossible because everything is computer-driven down to the most -- the smallest micron. Our fuel injectors are state-of-the-art. They are the future in reciprocating engines.

We, also with Power Systems, have a fabulous range of high-speed diesel engines both for marine, for the off-highway market and for land power. So we are extremely well-positioned to take account of these megatrends.

And now looking at Nuclear. If you just think about the nuclear market, there are today about 440 reactors operating in the world. The projections are, from the various authorities, that there will about -- between 160 and 170 new reactors built over the next 20 years. If you add together those reactors being built, the reactors operating that needs servicing and maintenance, the decommissioning market, the fuel market, you are adding up to a market, a total global market of about GBP 1.6 trillion over the next 20 years. Now Rolls-Royce is fabulously positioned to take account of that market. We have over 50 years experience in building nuclear reactors, designing them for the Royal Navy. We operate with nuclear reactors, we understand them, so we are in a nice position to take account of that. And we have about 600 people in France, in Grenoble, who operate the instrumentation control systems for nuclear reactors around the world. And the I&C system is basically the brains of the reactor. We understand nuclear technology.

I now want to give you a quick picture. I think you saw this with John Rishton in June. It's a graphic about what Rolls-Royce is about. And Land & Sea is fully integrated into the group.

Across Rolls-Royce, we focus and deal in engineering excellence, complex power systems that are becoming more and more complex, that lead to a greater aftermarket opportunity. To be in these markets, you have to innovate. You have to spend money on research and development. You have to spend money on technology. You have to constantly learn. And one of the things that we, in Land & Sea, have great advantages over our competitors is that Rolls-Royce has got the most remarkable University Technology Centers system, learning system for engineers, advanced manufacturing research centers that are, again, second to none.

So in Land & Sea, we benefit hugely from being part of the group in taking advantage of these engineering skills.

One of the things that I would just like to pick out from this slide is we talk about the reciprocating engines and the nuclear reactors at the power level. We also have expertise, of course, in gas turbine engines, which sell into our naval market.

Now selling engines is a direct pull through for our deck machinery and our propulsion systems in Marine. Having the engine, having the deck machinery, having the equipment that is supplied for the payload gives us the opportunity, which my colleagues will take you through later on, to then be able to sell integrated offerings. And selling integrated solutions to our customers is not easy. You have got to be very good to be able to integrate a series of components and products into subsystems and then into systems, and we are good at it. People watch what we do and follow us.

Now we've got about 22,000 people in Land & Sea. We've got about 6,000 engineers. And we have, as I described earlier, a completely intimate knowledge of what our customers want and need going forward.

Now I just want to talk very briefly about the Land & Sea strategy, fully integrated, of course, within the Rolls-Royce Group. I'm not going to talk about the top, the customer innovation and profitable growth because John Knudsen, Sauli Eloranta and Mark Alflatt are going to address those. But let me just talk about what my priorities are.

Now the first one you see there, leadership in reciprocating engines. Well, it's great that we now have control of Rolls-Royce Power System because that gives us that leadership. I'm sure you'll look forward to going to Friedrichshafen at this time next year to see some of the great technology that Rolls-Royce Power Systems has been developing actually over 100 years.

We are a leader in high-speed reciprocating engines, and it's a key offering for a number of the systems going forward. For me, it is a key priority that we, firstly, protect our position in high-speed diesel, and then grow it. And growing it means getting out to more markets, working in partnerships with a number of companies around the world, but it also means continuing the research and development effort that Power Systems has put in over the last decade. Uli will talk about that. We continue to invest in this technology.

Our medium-speed diesels. If you look at the overall market position, we are probably at about 5% in our kind of overall market position in the Offshore world and the Merchant world. We have, as John mentioned yesterday, developed the new Bergen 33:45 engine. One of the real reasons behind that was simply to protect our offshore position, which we are very powerful in, but it also, the 33:45, gives us the

opportunity to develop into the short sea and the tug market, so we're -- it's a progression, it's an organic progression in medium speed diesels.

That is my policy, my strategy, that we will continue to develop our medium speed diesels through our organic growth and through partnerships with companies, particularly in the Far East, that will have routes to market that we currently do not have. We are looking to develop the range of medium speed diesels. We are looking to develop the cylinder configurations, more cylinders, more power per cylinder, different fuel types, because that's what our customers need. And as I say, we're looking for new partners around the world.

In terms of the deck machinery, the propulsion systems, again, we have got a very strong position in a number of the propulsion market, the thruster market, for example, and I think you'll probably see one of these this afternoon. Thrusters, water jets, propellers, different types of anchor handling equipment, winchers, very important payload requirements that our customers need, that's the stuff that drives their money, and we did a very strong position. Having the engine, whether it's high speed or medium speed, drives the proposition to our customers that they would like to stay with Rolls-Royce and develop with us.

If I now look at the enablers, the first one, continuous improvement. Over the last 2 years, we have embarked on a massive campaign to improve our delivery. Frankly, 2, 3 years ago, we were underperforming. Beginning of 2012, we were delivering on time about 30% of our original equipment. Beginning of last year, it was about 55%. This year, it's about 92%. So we are seeing a considerable improvement in our day-to-day delivery, our responsiveness to our customers. John Rishton has pushed The 4 Cs, we understand it, we get it.

In terms of the next couple of years, I can tell you that 92% doesn't do it for me. So Mikael Mäkinen and the team know that I'm demanding more and will continue to demand more on behalf of my customers. That's the position that Rolls-Royce is developing.

I think if I now look at Rolls-Royce Power Systems and the integration, we have, as I say, created a position, 100% ownership. We now have an integration team fully enabled, pushing forward very hard. And I'll give you some examples in a few minutes on where we see opportunities in Power Systems accelerated integration.

In terms of capital allocation, again, we are looking at this. We can now look across the whole of Land & Sea, pull the appropriate resources that we have, capital, et cetera. Obviously, working with Mark Morris and the team to have a prioritized approach to capital allocation.

On issues like customer satisfaction, one of the things that Power Systems can pick up from Rolls-Royce Marine is that Rolls-Royce Marine has developed a key account management approach that has been very highly regarded by our customers, where one executive is responsible for the key customer, and therefore, can take decisions on their behalf. This is driving customer satisfaction very positively. And working with Uli and his team, we will be developing that in Power Systems.

And lastly, in terms of geographic reach. We have, over the next 2 to 3 years, the opportunity to look at our services business. We have a very wide geographic reach, and we need to and will continue to develop that approach more openly.

So Power Systems with Rolls-Royce Marine gives us scale and scope. And lastly, just on The 4 Cs, I'll talk about cost. Now over the last 2 years, we've been very proactive in terms of addressing our cost base. When you're in a position of headwind problems, you've got to address -- as John said yesterday, you've got to address your cost base. Over the last 2 years, we have been closing or in consultation to close about 10 facilities around the world, particularly in the high-cost areas. We have reduced our indirect headcount in Marine by about 500, which is about 20%. In Power Systems, they've developed the same thing, about 400 people, indirect people, have left or are leaving the organization. Our supply chain, 2009, was 1,400; the suppliers today, it's 900. And we plan to reduce that supply chain by 20% by 2016. So there's a great deal of activity on cost and cost-saving.

Now moving onto Land & Sea today, I won't talk to the Marine or the Power Systems parts of this slide because Mikael and Uli will address this.

Nuclear, I mentioned, has got deep roots. There is -- there are some very clear threads that string across those 3 businesses: high technology, research and development, knowledge, experience of new product introduction, safety, critical components and system integration, project management, advanced manufacturing, and of course, deep customer knowledge and care. Those are the threads that bring these businesses together.

In terms of creating value, and I talked about the integration of Power Systems into Rolls-Royce, and Rolls-Royce actually into Power Systems, we see really clear opportunities.

In this connection, let me give you a few examples. The Type 26 vessel, MTU is now specified as a standard engine for that vessel. It wasn't before. The UT vessel, 40 years old, Rolls-Royce is the ship designer for the MTU vessel, used to specify engines other than MTU, other than Power Systems engines, they now specify MTU engines. Big opportunity.

With the integration of Power Systems, I'll just want to give you a little personal view, that I've met with a very senior admiral at the naming ceremony of the new Queen Elizabeth Class aircraft carrier. And he said, "Lawrie, we are just delighted that you've acquired Rolls-Royce Power Systems because now you can start to give us an integrated offering where you're pulling together MTU engines, Bergen engines, gas turbine engines and deck machinery, and power sources and powertrains. We are very pleased to think that we can get 1 integrated offering from you."

On services, we see the real opportunity of exchanging, and are doing exchanging service engineers. We're now doing it product by product, but we will increasingly look at a distributed network reach. And through training, we'll take the opportunity to expand our geographic reach into services.

In L'Orange, the preeminent technology is now linking into our ship design systems. The Rolls-Royce manufacturing, lean manufacturing systems, are now coming through very strongly, particularly into the diesel market.

In nuclear, Rolls-Royce Power Systems has got emergency diesel generators. Rolls-Royce Nuclear has got the route to market, a very clear opportunity for us to cross-sell. And of course, we've got back office rationalization, and we're looking at burgeoning opportunities now across a larger group. The message is simple, many opportunities, and we are now very actively addressing them.

For this slide, I will take 30 seconds on -- it's probably in your pack. Land & Sea is material to the group, 41% of revenue. Power Systems was and is an important acquisition. We've got a large number of staff, as I say, 6,000 qualified engineers. We're in a very strong position to build the future.

And now in summary, I want to be very clear. We've recognized the short-term market issues. We've recognized the headwinds that we've had over the last 2 or 3 years. And we're doing something about it in terms of cost. And we are also looking at acquisition of Rolls-Royce Power Systems as a real opportunity. The business does have a long-term growth opportunity based upon the megatrends and our position in our portfolio. Land & Sea is significant as a player in this marketplace and in the medium term.

What I'm going to do now is show a quick video. And then Dr. Ulrich Dohle will give you 2 or 3 slides as an introduction, a taster onto Power Systems.

[Presentation]

Ulrich Dohle

Former Chairman of the Executive Board and Chief Executive Officer

Yes. Good morning, ladies and gentlemen.

Before I start my short piece, I would like to introduce myself briefly. My name is Ulrich Dohle, I am with Rolls-Royce Power Systems, from Tognum since 5 years, serving at the board of -- in the board of management. For the first 4 years, I was in charge of technology and operations. And since 1.5 years, I am the CEO of the company.

From myself to the company. The company was founded in 1909, so 105 years of technology development. It was founded by the Maybach family, father and son. And the event that triggered the foundation of the company was actually a disastrous thunderstorm in 1908 where one of the airships -- or the airship of Count Zeppelin crashed in Echterdingen which is now today's Stuttgart Airport. And it crashed because the engines failed. And in the thunderstorm, the airship went into flames. Then the German people collected money. They had 2 million gold marks to give to Count Zeppelin so he could start -- restart his business. And together with Maybach, he decided to design new engines, reliable engines, and that we are still proud of designing and producing reliable engines as of today. So our technology goes a long way back. In these days, it was still gasoline technology. In the '30s, it turned into diesel technology because diesel injection equipment was made available in 1933, by the way, L'Orange was founded, our daughter company. And with this technology, it was possible to employ or deploy diesel engines into mobile applications. So I think these days, the diesel engine is basically on the run. And in 1932, the first high-speed train was developed in Germany, running from Berlin to Hamburg. It was called the Flying Hamburger, and nothing to do with the McDonalds. And the Flying Hamburger did 160 kilometers an hour, which is still a record-breaking thing, with a high-speed diesel engine, produced with turbochargers, turbochargers designed and made by Maybach. As of today, we do design and produce our own turbochargers, which are a distinguishing technology for us, same as injection systems, so this is where we differentiate ourselves from our competitors.

And well, the technology in our genes, as it is still today. And today, we are carrying our strong brands, MTU, this is what we are known for with our customers, MTU engines, MTU on-site energy, power generation, L'Orange and also the Bergen Engines, Rolls-Royce program, famous with our customers. And that is something that we continue to develop and continue to make further progress in.

So this is the portfolio that we are serving, the markets that we are serving from -- in propulsion. So we are not only selling -- designing, selling engines, we are providing propulsion systems, including gearboxes, electric -- diesel electric combinations in many, many different ways.

Marine, for example, we do combinations of diesel engines with gas turbines. The most -- the longest mega yacht was just launched, the Azam, 185 meters. I think a cruiser starts at 200 meters, so 185 meters. A holding space for 36 people, plus 120 servants and personnel. It's powered by 2 8,000 series MTU engines, 10 megawatts each, plus 2 gas turbines. And luckily, not Rolls-Royce, but we are working on that. The combination of these, the automatization system, all is done by us. It propels a boat like that close to 40 knots, which is close to 75, 80 kilometers. And also, it's tremendous what a boat like that can do.

You see we have many, many different applications, I cannot go through all of them, but Lawrie mentioned the hybrid train that we just developed. And that it's stored in the first prototype. It's a full-fledged hybrid. It's a diesel engine, 380 meg -- kilowatts, an electric motor, 340 kilowatts. A combination of both -- all the electrics, electronics designed by us in combination with capable suppliers. And this set up, together with the battery pack, lithium-ion battery pack, helps to save 19% of fuel. So it's a full hybrid recuperating, breaking engine, so suburban train that stops every 5 minutes. A train weighs what? 60 tons of the energy, which is normally wasted is being generated into power, stored in a battery and with this, it's actually a real good energy saver. So that is something that we are very proud of.

In Power Generation, we have developed not only diesel but also gas engines. And we're going to continue to develop gas engines also for mobile propulsion, like for ships.

With this, I would like to come to our second entity, which is Energy Solutions, which is a medium-speed engine out of Bergen, plus our nuclear piece, which is more or less emergency diesel engines for our nuclear power plants.

I was talking about gas engines, that is something where we can be really proud of is the gas engines being produced in Bergen. They are world-class in terms of efficiency and in terms of, yes, fuel consumption, something we are currently learning from -- at Tognum, how to make a good gas engines. And they were the first one to apply gas engines into ships, Fiat, ferries. Since 2006, they are in service, and they are really brilliant engines.

The last one that was mentioned already, L'Orange, it's a company that we acquired in 1985. It was founded in '33. Specialist supplier, expert in diesel injection systems, but also in gas injection components now. Liquid natural gas or compressed natural gas. The latest technology we have on our latest generation of Series 4000 engine injection system from L'Orange. The common rail system was 2,500 bars, 2,500 bars, which is really, I would say, a front runner in the industry, for this, you only can use certain special steels, which are supplied by not even a handful of suppliers worldwide. The design of these injectors are extremely difficult. 2,500 bars, that means a water column of 25 kilometers in the air, twice the height of a plane flying intercontinental. So it's really technology that we are very proud of and we'll continue to develop.

So let me finish with a couple of numbers. We are a company of GBP 2.8 billion in 2013, employing above 11,000 people worldwide. We have a service network, which is spread all over the planet, with more than 200 service stations, distributors, et cetera, so we are everywhere where engines are being used. That is something where we can find synergies, and we do find synergies together with the Marine business, doing service for components on ships. We are, yes, doing about 1/3 in service, the rest is 70% in OE. Marine is 1/3 of our business, that's important to know. Power Systems, 1/3 is Marine; 25% is -- really, 1/3 is Energy; and the rest is industrial, rail, mining trucks, all the different applications, harvesters. Defense is a very small portion, and the others is also L'Orange that I mentioned.

And yes, the distribution of our people is also shown here. The majority is still employed in Germany, so we are moving more and more into other regions. We have started an engineering development center in India 4 years ago. We have -- we're building up a strong entity also in the U.S. for development. And we are constantly developing our footprint also in manufacturing.

With this, I would like to conclude. I think you learned that we have a strong technology in the past, and we will have strong technology in the future. Thank you very much.

Mikael Makinen

Former President of Marine Business

Thank you. Yes, good morning, everybody. My name is Mikael Mäkinen. I will talk about Marine. I don't know where to steer, here to start.

Being a new member of Rolls-Royce myself, not myself, not Marine, I would say a few words about me and my background. As you might guess, I'm a naval architect. I have more than 30 years experience on the -- in the marine market.

Before joining Rolls-Royce, which is 5 months ago, I worked for -- most of my career, I was with Wärtsilä. And in Wärtsilä, I was in -- I was a Deputy CEO and in charge of the marine business, plus developing the strategy and implementing the strategy for Wärtsilä in Asia. So that's my background. After Wärtsilä, I joined a Finnish stock-listed company called Cargotec as the CEO. And then I joined Rolls-Royce, as I said, 5 months ago.

I thought that, with my background, I'll give you a few words. But how did I see Rolls-Royce when I worked at Wärtsilä or at Cargotec? What did I feel that the company was? Where was it good, where was it bad and so on? Of course, a very strong brand, as everybody knows, strong engineering, a real will to be a winner and to grow, that's what I saw from outside.

But I also saw a company that wasn't very agile. We sometimes felt that, okay, good, Rolls-Royce, they have good products, but will they be agile enough to understand the market? I also saw a company that wasn't a player in Asia. I also saw a company that maybe wasn't as customer-focused as it should be.

If I then talk about the market, in general, I felt that -- or I feel that the market is now going through a very big change. You will see it on my slides, that the marine market is going through a big change. It's a conservative market, but there will be changes. And one of these changes will be consolidation. And it's really a consolidation of those companies who are going to understand, who are going to be the real companies that understand what is the strategy, what are the customers. And I feel that Rolls-Royce could be one of these companies. That's why I joined Rolls-Royce. I'm 100% sure that we can be one of the winners here.

So let's have a look at how we see the market. I'm going to talk about marine in general, then I'm going to talk about Rolls-Royce Marine, and then what is our approach and strategy.

So for those of you who know the marine industry very well, I apologize, some of this information might be very basic. But I think it's extremely important that we create a baseline. And based on that, we can discuss then in the future meetings, meetings that you have with Simon and Mark and so on. So we create the baseline.

Actually, we can jump here. Still one general slide.

Why do I think that Rolls-Royce Marine belongs to the company, to the group? I think that Rolls-Royce gives a home with this advanced engineering. It's really a -- with all the tools and skills that you find in the group.

Take a few examples. We can start profiting from data analytics, equipment monitoring from Aero. Asset management is very well taken care of in Nuclear. And we just heard about Power Systems, cross-selling, L'Orange, injection equipment, markets where we are working together, where we can learn from their engineering, very interesting.

What do we bring to the group, Marine? A very different business cycle, shorter, totally different type of investment profile, smaller investment, quicker payback, different type of cash generation. So I think that this creates to bring together a more balanced Rolls-Royce, of course, us being part of Land & Sea.

During my presentation, which is mainly on a general level about Marine, don't misunderstand me, in my previous companies, I've done very, very big restructuring. And I know that with the headwinds that we have now in the short term, this is part of my job, to drive efficiency, to drive down costs, to see how we can be better and so on. And I think there's a great opportunity to do that, and we are well-positioned to do that.

So let's dive into Marine. A few quotes. It's a very big contributor to the world economy. Actually, the whole -- 2 reasons for the whole globalizations: free trade, containerization. Container, developed 1960, is actually the main contributor to how you can have a global trade. You have to remember that if we produce something in China and take it to Europe, if we can put -- if it's of a size that we can put it into container, the freight rate -- the freight cost is divided by 10. And we can be sure, everybody can be sure that then -- when the product starts at the factory, it ends up in a shop or wherever it goes. It's sealed all the way. So this is a huge, huge contributor. And that's, of course, the middle one. 90% of the world goods, in weight and volume, are transported by sea.

Offshore, you will see on some of the slides that offshore exploration will grow. Yes, everybody is worried about the oil price, I will come back to that. Yes, everybody is worried about what the oil companies are doing when they cut the E&P expenses for the coming years, but we will come back to that.

Last but not least, naval. More than half of the countries in the world, they have a ocean-going navy. So that's the marine industry.

Major trends. Many of these trends will be more detailed, explained by Sauli when we talk about innovation, but I'll go quickly through them.

Environmental efficiency. You heard from John yesterday, you heard from Lawrie today, you heard from Dr. Dohle that the environmental efficiency is very, very important. 90% of the products is transported by sea. Actually, it's a very big part of the air pollution is coming from ships today. There are already emission control areas, Baltic, North Sea, North America, and there will be more of them. But Sauli will explain it more in detail.

Ship intelligence. You will see today, and similar to here, again, big change in the shipbuilding industry. Intelligence is going into the ship. It's a new way of selling ships. It's a new way of taking care of your assets.

Fuel diversity, we talked about that. Gas, the only reason why you don't have more gas ships is the distribution of gas. The operators cannot get gas to the port so that they can have it as a fuel on board their ships.

Electrical ships. More and more equipment on board ships are being electrical instead of earlier hydraulic, gallop, pneumatic. Especially when you go high up North, you would never like to use hydraulic equipments on board a ship because oil spill in the Arctic area for a drillship is 1 deciliter. That's considered a major oil spill. And 1 deciliter means just that 1 pipe breaks on deck where you have hydraulic equipment, and the whole rig stops. So electrical systems. Electrical systems means also that you have -- it's easier for you to monitor your equipment, to go from an old type of ship to a new type of ship.

Continuous shift towards Asia, I will come back to that, but that's just a fact. First, the shipyards moved there. Now, we see more and more ship owners moving to Asia as well.

Business model is changing -- sorry, I have one -- the harsh environment. And harsh environment, I'm talking about the Northwest, Northeast passage, very far up North, new requirements for ship, new way of working.

Business model changing towards asset management, what does that mean? Traditional shipowner, he chooses everything. He wants to know how the piston works, he wants to know this, he wants to know how to change the piston. But the new shipowners, they have asset managers. They put in money, they want out money, so they are talking about, instead of products, they are talking about systems and solutions on board ship, can someone take care of this and so on. So it's a new way of working.

Flexibility increased in the ship design, that's just, with the new technology, you can do that. Ship sizes are growing. '88, it was a huge year because the new post-Panamax President Truman container ship started operating with 4,000 containers. Last year, Emma Maersk came with 18,000 containers. Emma Maersk is already 400-meter long, 54-meter wide. It's a huge, huge ship. And now we have the new Panama Canal coming in, which means that the Panama Canal is now 180 feet wide, so that will again drive toward some -- bigger ships.

Okay. In my presentation, I'm going to talk about Offshore, Merchant and Naval. What we in Rolls-Royce call commercial is actually the combination of Offshore and Merchant, and that's what John Knudsen is heading.

Every fifth ship has Rolls-Royce equipment. There are about 130,000 ships out there, 10,000 Offshore, 10,000 Navy -- or 11,000 Navy, and then the rest are Merchant ships.

So sometimes, when you see the market share, some companies, some statistics say that, okay, our market share is then, every fifth, 20%. Is that correct? Most probably not. If you look at the revenue in our addressable market, our market share is 14%. If you look at it per product, we just heard that on medium-speed diesel engines, maybe 5%; on some thrusters, about 60%. So the market is very complex. You will see that. And that's why calculating the market share, you see so many statistics. So I'll try to guide you through how we look at the market.

I go into Offshore first. Just to give you a picture: Exploration & Production, then comes Subsea & Construction, Supply & Service. I will explain it a bit more in detail later.

Before we go into the ship types, what's always asked about the cycle: What is the cycle? Where are you in the cycle? I have taken 2 pictures of cycles here. One is support and supply vessels. You can see, relative big number of them have been ordered the previous years. Then you look at anchor handlers, very few have been ordered. So we see now anchor handlers coming.

On previous page, I showed the different ship types. So actually, to get some kind of understanding of the cycle, you have to put all of these cycles on top of each other. And then you say that, okay, on aggregate, the market is slightly growing all the time.

For those of you who don't know the marine industry, just pictures about vessels, we have seismic vessels that actually explore the seabed. Is there anything under it? We have drill ships, drill platforms, construction vessels. That's the type of vessel that you will see today. Platform supply vessels, anchor handlers.

In John's presentation, there will be slides where you see the typical cost or price of a ship, and typically, how much we deliver per ship. So if you bear with me, then he will go through that.

So cycles. Here, it is oil field life cycle, 30 years, 30-plus years. So when we talk about short-term oil prices going up and down, it has an influence. But please remember that the oil companies, they are looking at it on a 30-year cycle. So when we say today that they cut costs, it's mainly on the survey, first survey part that they cut costs or some of them might wait with the production phase. Production phase is where you have the big money going in, big cost going in.

So you start by surveying the seabed, takes 2 months to 2 years. You do exploration, 1 to 3 years. You drill a few holes, you test how much oil is there. And many of the oil companies, they have a number of these exploration stages going on, and then they stop them and wait for the oil price changes, before they go into the construction, which can take up to 5 years. And then you pump oil for 10 to 30 years. And every 10th year, you do maintenance and upgrade because technology in the world is changing.

That's why you see, every 10th year, when there's new statistics about how much offshore oil is there out there, it's almost the same number, every 10 year. How is that possible? Because technology changes, and you can take more oil out of oil wells. So there's technology shift going step-by-step, and then new findings. And of course, then you have the decommissioning when the well is empty. We have equipment throughout the life cycle here.

So very exciting. You have to look at the circle -- cycle as a 30-year cycle. Okay. But then the big question is, do we need energy? Yes, we need energy. International Energy Agency prediction for the next 20 years, actually, nothing can replace gas, oil and coal. I mean, we are talking about solar. We are talking about -- they are still a small part of the energy balance in the world.

I found this from the same source, a very interesting picture about 2035. What's happening here? You have production 2012, you take out the consumption, then you add unconventional. Unconventional is all kind of -- it's fracking, it's making oil out of coal and so on, so many unconventional, usually the most expensive part of exploration of oil and gas. New natural gas, new onshore crude, and then a big portion must come from new offshore.

Okay. You can say that, is it 101 at the end of the period, is it 95? Still a big portion comes from offshore. Why is there also offshore? It's oil companies risk sharing, geopolitics. You have to remember that most of the onshore is Middle East.

CapEx spending. Everybody is talking about oil companies reducing their CapEx. That's why there's nothing because they've reduced the CapEx, but they are actually using [ph] it from 13% growth to, according to Barclays, to 11%. But let's say that it's 9% or 8%, but it's still a growth. It's still out there. Short term, they might stop something, but that's the way the world energy balance is working.

This year, on E&P, the world spends about USD 712 billion, might go down next year, but it's still a big, big amount of money.

Where is the offshore oil coming from, oil and gas? I've taken here a picture where you start at 400 feet, because lower than that, you have a lot of oil and gas in Middle East that is sometimes called offshore, but the water depth is 2 meters or 10 meters, so it's actually, it's just a rig staying in water instead of land. But if you look at the offshore, you can see that these other areas, more and more is found on very deep water, very complicated areas. So a good market to be in.

Let's go into Merchant. I won't go through the ship types, usually you divide the ships into cargo vessels, passenger vessels and others. Others are fishing vessels, tugs and so on.

Again, very similar picture. I've chosen 2 for us important segments: short sea cargo vessels and tugs. Tugs seem to be fairly stable. Short sea hasn't had much ordering previous years. We will see that coming up. On aggregate, again, if you add all ship types, containers, tankers, and so on, could be quite flattish on short term, but then it's going nicely up, as you will see on the next -- one of the following pictures.

You have to remember when you read newspapers, they always talk about the cycle, so the well-documented ships, container ships, tankers, bulkers, they are not very important for us. We don't have expensive or big product offerings in those ship types. So it's a complex market.

Merchant. Just a few pictures for those of you who want to -- we can explain more during the break. One question that I always get: What is the relationship? What should we look at? What are the main drivers? And I found a statistics from Det Norske Veritas, the relationship between GDP and seaborne trade. It's very interesting because they follow each other. So you could also, of course, answer that, yes, it's the GDP. But unfortunately, the answer is no. First of all, you have to look at the scale, so the scale is different on the left-hand side and right-hand side. Second thing is, this is seaborne trade, this is not ordering ships.

If you turn around, look at ordering ships, then this is the right picture, contracted ships above, scrapped below. About 3,000 ships are being built every year, about 2,000 are being scrapped. So in theory, whatever happens, there should be a shipbuilding around 2,000 ships. Technology is changing fast, that drives scrapping, that drives new ship types. Last week, China informed that they will give a special allowance to all Chinese shipowners to scrap their ships and order new ships, environmentally friendly ships from Chinese shipyards. It will have an impact on this picture.

Speculation: then ships are going -- shipbuilding prices are going down; speculators come and order ships; subsidiaries for Korean and China, the 2 big shipbuilders in the world. Shipbuilding is an enormous employer, millions of work in places. So those countries cannot really afford the shipyards to be empty. So you have all of this mechanism that affects the ordering of ship.

But I think this is far -- the best picture. Out of curiosity, you can -- there is a similar statistics done by Lloyd's, and it goes back to 1644. So that's a long trend, and you can see that it's going up.

Naval. I will very quickly go through the Naval side. These are the ship types. Lawrie was talking about the aircraft carrier. Many, many different types of ships, depends on -- if you come from a small country like Finland, then we can afford maybe a fast attack craft, and that's it. And if you come from U.S. or U.K., then you can afford aircraft carriers and frigates and so on.

The best picture I found about what is happening in the Naval market. Everybody is talking about cuts, cuts, cuts on defense spending. But look at this picture, Jane's is the best statistic there is. It's not a huge, huge cut. Maybe they go from \$65 billion per year to \$60 billion. If it's flat, it's quite a good market. The cuts that you see in the newspaper, they are actually cuts on other parts of defense spending. And one big part of defense spending is salaries. So also, navies are looking at how can they have ships that are more efficient, that have smaller crew.

You saw in U.K. when there was a debate about the second aircraft carrier, and one of the admirals said that that's fine, but we don't have crew. So even in U.K., it's a problem to find crew. So that's again driving the way of looking at. We will come back to that about efficiency and about remote monitoring of ships.

There are a large number of players. It looks, first, it looks like Aero, you have equipment supplier, you have shipyards, it could be airframe, Boeing and Airbus, and you have airlines. But this is a much more fragmented market. You have huge number of shipyards. You have a huge number of shipowners geographically dispersed, working in this field. And then behind that, you have oil companies, you have charterers, you have governments having their own opinions about it. So a very fragmented market. You have to be very customer-focused. You have to go in customer by customer. And you have to build and maintain appropriate relationships with all the parties here. And we have been very good on some -- at some areas and not so good on other areas.

Now I will dive into Rolls-Royce Marine, and I will start with a video, so I don't have to go through all this hundreds of products. So this should be 3 or 4 minutes.

[Presentation]

Mikael Makinen

Former President of Marine Business

So there, you saw our products, wide range, has to be serviced. You saw the fast attack craft there. It's being delivered to the Finnish marines. And my son is doing his military service, and he is one of the 21st skippers on one of those, so I get immediate feedback from him. Why doesn't the waterjet work? Why doesn't it do this and that? So I'm going home to Finland this week and so I will get more, more feedback again.

But let's go into Rolls-Royce Marine. We heard about Land & Sea from Lawrie. We had an important part of Land & Sea. If you look at Rolls-Royce Marine, you can see that 42% is offshore, that's why we talk often about Offshore; 12% Merchant; 36% Services; and 10% Naval.

If you look at the lower picture, that's where we have our employees. And you remember what I said earlier, where the market is growing? Asia. Where is the oil exploration happening? Many other parts of the world. So are we on the right place or the wrong place? We are in the right place because we are very good with the Norwegian owners and the Norwegian shipyards.

Here you see the top shipyards, shipowners in offshore. You can see that one of the top positions is Norway on both sides. I would say that this is a great starting point. We are very successful in Norway. When we do the same in the other areas, there's a huge growth opportunity for us. We have the technology, we have the people. We have to look at the footprint, where you produce, where you have your engineers and salespeople and so on.

You can also see why we are fairly small in Merchant. 84% of the ships are built in China, Korea and Japan. We have quite a work to do to be one of the players on the Merchant side, one of the big players. Again, in my opinion, great opportunity. I have done it before in Wärtsilä, moving it from a European company to being a global company, having a big footprint in Asia. The same we did in Cargotec. Just to do it.

Major trends. Where are we strong? You saw the major trends earlier. I think that environmental efficiency, Sauli will come back to that, we are very strong there. Ship intelligence, you will see control automation today, integrated breaches and so on, health monitoring.

Fuel diversity. We were the first one with a real gas engine medium speed. Asia, not that strong. Harsh environment, and we're talking about ice conditions, okay, we are not better or not worse than anyone else.

Business model is changing, and I think this is where we are very, very good because we understand it from Aero. How you take care of maintenance, how you load in big data. All the shipowners want to get rid of crew today. There are 2 problems: crew is expensive; and the quality of crew, let's say, outside Norway, is going down. No, don't laugh because Norway, Norway, they are -- that's a premium market, they use Norwegian crew. It's very expensive, but very, very highly skilled. The rest of the world use crew from Philippines, from China and so on. And technology is going up, the skill of the crew is going down. There's a huge gap, someone has to take care of it.

And I see this is the same development. You remember, yes, back all the big airplanes had a crew of 3 or 4. There was an engineer on board looking at all kind of meters and so on. That data is today fed to Derby, where it's analyzed, and the feedback is given to the captain or to -- and the same thing is happening, will happen on board ships. So when Sauli is talking about unmanned ships, that's long a way from now, but the first step to do the whole system analytics, maintenance, preventive maintenance outside the ship, that's coming fairly soon.

Flexibility, yes, because we have our own ship design. You heard about UT Design. 40 years, 800 ships. Just to remind you, it's not the same design 40 years ago and now. So this is kind of -- UT is almost -- it's the Mercedes of ship designs or Rolls-Royce of ship designs.

Then I would like to confuse you a bit more. We have made the -- now we have made -- to make choices. The market is there, we know how it is working. Now we have to make our choices. Which are the products, which are the markets, we have to choose which equipment we are in. We can be global. We can be local. We can be low-cost. We can be high-tech. We have to decide if we are a global company or a local company, if we are only serving a certain market or global. We have to decide which type of ships we go into. All of these choices we have made.

There you talk about the equipment. Here is a picture where we are. Light -- dark blue, those are areas where we have equipment, some propulsors, thrusters, we have a market share of more than 60%. Some engines, on a global level, 3% and so on. But you see, huge variety of products. You cannot be in all of them, you shouldn't be in all of them.

So what have we chosen? We have chosen mission-critical, integrated products with true life [ph] services. Very important. What does it mean? We take -- we look at all the equipment that are critical for the customer's task. Examples, dynamic positioning system, which means that you have a lot of propulsors under the ship or the rig and then you buy a satellite, keep it in position. Very, very complicated, mission-critical systems.

Big winches. The only reason why you have an anchor handle is the big winch, so that you can do the work of Offshore work.

With integrated, we mean not only products but they have to be part of a system. John Rishton talked yesterday about the Environship, where you have both. You have engines, you have gearbox, you have shaft line, you have alternators, you have propellers, you have rudders, and so on. So it has to be an integrated system.

And in addition to that, it has to be something that creates true life support for the customers, which actually means services and lifetime support. So those are the systems that we have decided to concentrate on.

Illustration. I tried to do it on a 3-dimensional figure. As I've said, I'm a naval architect. I have a masters degree in Naval Architecture and Mathematics, so that's why I like these kinds of pictures. This is now for Offshore. Illustrative. You can always say that should -- the dock be there, or there, or so on. But it shows that even if you are -- let's take the propulsor engines. That's where you have propellers, engines, gearboxes, rudders. You can be very good on that axis but it's not enough in today's world. But we have chosen that. That's one of our important axis.

We have chosen that the second important axis is electrical automation and control because when you go to unmanned ship, when you go to complicated ships, they will require automation and control.

Third axis, operational functionality. Those are the winches I was talking about. They are all kind of equipment. Actually, it's the only part of the ship that is earning money. They even generate revenue for a ship owner. The rest is just a platform, where you should save cost.

I've put in a number of our competitors. The picture is totally different if you look at Naval, if you look at Merchant, and so on. But just to give -- illustrate -- to give an illustration that it's not enough to be good at one axis, you have to be in this 3-dimensional field, and I think that we are very well positioned to be one of the players there.

Sizable market opportunity. GBP 94 billion OE, GBP 14 billion for the last 10 years, growing the coming 10 years. So what could we do? We have the -- we can go with the flow, and we will grow from where we are today with the same rate as the market is growing. Number two, our market share is only 14%. I just showed you that we have a lot of opportunities when we take the Norwegian success, the success that we have in hydrodynamics globally.

Last but not least, we are of course developing new products. Medium voltage engines, automation. And that means -- okay, that is 111 or whatever that additional is, so it creates a totally new market. So this is not a promise that we will go from there to there but it's -- this is how the market grows when you have a clear strategy. So I think that we have a lot of growth opportunities.

Still to remind you that when we talk about R&D, to go into that adjacent market, it's within the group frame. I actually -- not very big money. We are talking about -- you will actually not see, on a group level that we take some of the capital from air and put it into Marine. But it's not like in air, when I talk about billions of dollars to develop something new. Here, we are talking about small amounts, so you should not be afraid of that.

So increasing the market share, growing with the growing market and developing the new strategy and new product brings good growth. And keeping in mind that this market is consolidating.

Now I see Simon on the stand [ph] -- running out of time. I will end by -- looking at our integrated strategy. You will have 3 more presentations: customer, innovation, profitable growth. Profitable growth will be the third presentation. And in this picture, I would like to start with that because, as I said in the beginning, short term, it's efficiency, footprint, how can we do new things better? Driving down cost.

Innovation, real cornerstone in our strategy. And I think the real winner is the one who understands innovation and brings in innovation into a conservative market. Customers. You will hear about that. We really have to take care of our, and understand our, customers.

So thank you very much. I will sum it up. Then after this there's other presentations but now, I'll hand over to John, who is going to talk about the customers. Thank you.

John Knudsen

Good morning, everyone. I would like first to present myself. My name is John Knudsen. I'm a Norwegian, so I have some background from the district. But I joined Rolls-Royce 8 years ago. And I've had travel into telecoms and electronics. It's not the Marine background but what you heard Mikael say that China, Far East, is very important. That gives me some of the background for how to look into other regions as well.

Then I joined Bergen Engines as President of the business. And you have heard today that we are doing gas engines in the Marine side, but we have done gas engines on the land side since early 1990. So that is also what we have heard today in the Land & Sea, and how you can combine the different areas is of importance. Then I joined this year, the Offshore business. And later this year, we also said that we need to look into the cost side as well. How can we then bundle together, both the Merchant side and the Offshore side. And if I can be a little bit open, I was a little bit surprised that there were so many Directors in the company. So I think that was one of my first cut, to reduce the top heavy layers for that matter.

But to be very clear, my key responsibility is sales and bringing in contracts. That's the good fun with business, I believe.

So I will, today, talk about the Merchant part, the Offshore part, and also a little bit the Naval part. And then I will also try to explain how important the aftermarket is. Because these vessels here -- this vessel here is 168 meters long, and I will go into the details later. But if you have 1 day out of hire here, that is costly. So a typical hire for this vessel is GBP 50,000 per day.

So then you realize if that's 2, 3, 4 days out of hire, then you really want to have a global response in aftermarket for this matter.

So what I'm going to talk about today, as you saw earlier, it's market players, it's customers. And I will try to bundle together a little bit what are the total customer requirements. And they are a handful, probably 7, 8-ish. And I believe that if you want to succeed, you need to sort out all these 7-ish.

Then I will dwell a little bit about what we think our winning value proposition to us [ph] our customers. I will give you a couple of examples, and I will dig a little bit into the competition as you've just newly heard from Mikael, and what -- how we're going forward.

The first slide, you've already seen it but I think that there are 2 elements here that is important. It's the shipyards and the shipowners. And we need to be very humble when it comes both to shipyards and the owners. And to be a good salesman here is really to listen to what the customer are expecting. When it comes -- and that's on the new sales.

When it comes to the aftermarket, it's very much the direct contact with the shipowners. And again, you see the structure that is -- that are many players here. And of course, the oil companies like Petrobras or Statoil, where we are understanding the customers' customers. They are quite hard also on penalties if you don't provide your business.

If you then look into the Offshore companies, and it's a complex slide. But if there's a couple of key takeaways from this slide, I would say that the top 20 shipowners controls, within our segments, 40%, 50% of the total market. So it's very much about the people-to-people business and how you operate for that matter. And if you have a good benchmark here, then you can also go into other customers.

If you take on Edison's West here, he controls 2% of the market. That reflects circa 250 ships. And the previous ship you saw, he controls 50% of the isle Offshore fleets. So if you hit these guys, then you're going to do it quite well.

If you go to the Merchant side, as Mikael mentioned, a big amount of the business comes from China, Korea and Japan. So then you need to have the interface with the shipyards. And what you also heard is that there's a growing population of owners in that area. So there's no doubt that one of the key tasks from our side is to really make sure that we can grow worldwide.

So to have that kind of transfer knowledge is important for the business. Okay. So what are the key drivers from a customer? And I think that what you have picked up from the video seen earlier today is that, it has to be matched to the missions. One of the element is technical performance. You will never ever sell products with low quality. And that's why Rolls-Royce can be in this business. Because we have the brand but we need to stand up to that performance.

The other one is that there's a true life. So this vessel operates easily up to 25 years. And that is why we really need to take care because the vessels are operating worldwide. The second one is you need to have value for money. And then you are talking about the CapEx.

So the investment of the ship needs to make sense. You will never ever get more than a small premium for a CapEx. But then it comes back to operational expenditure. So how you can make a good, sustainable product, how the solutions are good? And also how you can maintain. And when you -- when we talk about long-term service agreements into the aircrafts, this is more when the ship comes into the docking and then you plan for maintenance. So then the squad of our people needs to be available, and I can guarantee you, if you're operating in Brazil, you do not take the ship back to Norway. Then you need to have service centers where the business happens. And you saw on the -- one of the maps that Mikael, where you start to do deep-sea drilling, that's where we need to be.

The other one is the installation availability, and it's the quality side. So when we talk about taking out cost, we also need to make sure that what products we deliver is top notch. Just referring to the day rates for this business. And again, if a thing fails. But if thing fails there's one expectation, and that is you really need to step up and make the ship operating within the next days and hours. So for instance, if you are based in Brazil, you probably know about local content and these issues, then you probably need to have spare parts inside the country. Just because of the custom issues to make it a quick turn.

The other element is the seamless -- the system side. It's the systems. It's seamless interfaces and functional integrity. And then what you heard earlier, that is to have efficiency and get value for money. So I think that these are the common requirements from a customer perspective.

So if we look into -- I've talked about what is our winning customer value proposition? And I believe there's not 1 or 2 elements. I believe there are 1, 2, 3, 4, 5, 6, 7 here. And this is one of the reasons, I believe, that to getting high barriers for coping this, you can't only succeed on 1 or 2 elements. So if I start with domain knowledge, this is about understanding our customer demand but also their customer, again. And here's a statement from one of the key guys in [indiscernible]. That is one of the -- I would

say, one of the top shipowners here in Norway. And he says, "UT 731 CD has proven to be very efficient in daily operations, reducing fuel consumption and cutting harmful emissions." And these are the statements we like to see because that has something to do with customer satisfaction.

We are, as you heard, we have been working now on LNG and pure gas. You have seen that, pictures of a big ferry, 1,500 passengers. This was the statement from the CEO of Fjord Line. "With the number of LNG-fueled ferries operating in Norway and the years of experience, the Rolls-Royce solution was low risk." And why that? Well, because you need to have the experience to do pure gas engines. And to have access of the fuel distribution here is also then important. This vessel is now operating between Norway and Denmark.

And when we talk about product quality and reliability, this is probably a massive achievement. Far Seeker is a anchor handler. Far Seeker, 5 years of operation with only 9 hours of off hire. And then we can go back and say that we're going to support your business. So out of 5 years, only 1 day with 9 hours has been out of operation.

Okay, ship integration. 40 years with UT Design. This is the intimacy with the customer, and that's where we are very focused into. When it comes to responsive global aftersales support, we have more than 1,000 well-trained service engineers in 54 service centers in 32 countries. And also take into account that the opportunity with a cooperation with Power Systems, where they have service centers around the world. That gives us a very nice opportunity for better responsiveness.

When it comes to training, later today, you will see the simulation center here, what kind of facilities there. You could just imagine that when you are doing training in harsh environment, it's much more safe to do it here compared to on a real vessel.

And last Monday, I went to Ørskog, that's the smallest, a small place outside Ålesund here. It's probably the highest density of -- at least Norwegian billionaires. There are 10 shipowners in that area. They opened a hotel, 120 beds, probably no need for more than 30. They opened a concert hall of 500 people. There's only 3,000 living in the city. And -- but on the end of the hotel, they also opened a simulation center. So then they bring in the squad and crew and train them there. And then they use the hotel and then they play music in the evening.

And then -- but this will become more and more. So training people, training crew that has about efficiency, and that's a strong value proposition from our side.

The last one, this is a pure business opportunity from my perspective, but I think that when a ship lives 25 to 30 years, you will take the opportunity to do upgrades. And when you do upgrades, you get fuel efficiency. And that will be the advantage for this one. So just to give you 2 examples of what we have achieved, and I think that this is based upon true knowledge and customer intimacy. The Unified Bridge that it was award winning just a couple of weeks back. And what we achieve here is to have a complete cockpit, if we're going [ph] to use that word. And if you go back 5 years, that was different components, each of them. So if you then start to think about big data, how you're operating the vessel, that gives us a very good opportunity for improvements.

To spell it right, UT 777 is the biggest vessel we're going to do, as leased with the contract. And they're -- we're not 100% sure ourselves what's the main purpose of this vessel, but there are reasons to believe that it becomes the most flexible vessel in the world. So when you are doing a -- this vessel should have the capabilities to do construction work at the seabed. And the seabed will become more and more important because you can operate on the seabed. When you are doing drilling and taking out the oil, then you need to refill the valves. So it can probably do something about this as well. So then you have 3, 4 different application for this vessel that will be very unique.

So this is definitely the key one forward. Then I will go into a couple of examples. I'm going to dwell a little bit on the Offshore vessel, a UT Design anchor handler vessel. I will talk a little bit about a semisubmersible rig, and I will also talk a little bit about the interconnections between these 2 types of applications. I will look into the 1,600 passengers LNG-powered fuel ferry and also a frigate.

So if I start with a large anchor handler and you watched the movie, you saw what they're doing is really to put the anchors close to the rigs. It's well positioned, the rig, when you're doing the drilling. So take this as an example.

This value, total value of this ship is circa GBP 77 million. Whereof we deliver 42% on OE equipment. And here, you can see engines only -- I shouldn't say only, but it's 6% of the total value. But of course, I will come back later to the opportunities, to the aftermarket because that's very important.

But then you have the propulsion equipment that is 14%, or we have circa 50% market share of the total fleet of anchor handlers when it comes to propulsion equipment. So we deliver not only on our own design but also for the entire anchor handler fleets.

And then when you go to the deck machinery, it's 16% of the value. And here, we are close to 75% of the total market.

And here, this is about operability skills. Operational efficiency as Mikael mentioned. Because here, the shipowners want to have the best deck machinery in the boat. Of this size of this winch, it has probably a width of 20 meters and the height is 6 meters just to put into perspective.

On this vessel, we have automation and control. The deck machinery, as you have heard earlier, this is more or less all about just making sure that the vessel fleets, and it's operating the deck machinery. Then we're doing high- and medium-speed and electrical system.

And on this one, I would also like to add that the aftermarket for this business is extremely important. So we give 24/7 technical support. We are close with field service where the customer operates the ship. We have done the availability of the spare parts. And again, that would be an opportunity with the Power Systems to have common spare parts locations, repair and overhaul and upgrades.

And then we are doing monitoring of energy. And then more and more, there will be equipment health monitoring. And that will be the next step that we're really going to look into.

And of course, the simulation center is about training. So know, we have training centers in Singapore, we are in Brazil, we have here, and you saw also that the companies are starting up in London and Mumbai.

I just wanted to show you this one. This is a semisubmersible rig. And why is this interesting for us here? Here, we are doing the engines, and we are doing the thrusters and then a little bit of the deck machinery. This is circa 7%, but you have to take into account that the value of this rig is GBP 370 million. And the beauty of this application is that if these guys start to drill with this rig, rule of thumb is that it takes 3 to 6 months, then they will be in dynamic positioning. And then they are using satellites, then they are using the engines, and then the engine runs 24/7 to feed the thrusters. So then the aftermarket becomes very important. However, if it takes more than 6 months, then you start to use anchors. You start to do mooring. So then the anchor handlers comes in, and this is just the business decision from the owner. So that's why I wanted to dwell a little bit about that.

And just to give you a feel for what are the size of these vessels. Troll A, it's a big platform. And I think I did some Googling yesterday. It's the double of the height of the Eiffel Tower in Paris. So that's what we're talking about when we start to move these things.

Here, you can see 10 vessels just operating this platform. And we had Far Seeker, delivered in 2008 or '09, where we made a world record of how much you can pull. And the record is 425 tonne. The capacity of a winch is 600. But you don't use 175, just to balance the boat.

So here, we have tonne. I think it's 6 anchor handlers, and there's 4 PSVs, so that's the scope of the game for this matter.

And just to show you the deepwater mooring. It started back in 1978. Very, very -- down to 200 meters. You saw the map where you look into where are the new oil fields. Now we are down -- we have capabilities down to 3,000 meters. So we have the equipment to do all these kinds of oil exploration as we now foresee as the future oil fields and sources.

Just to put it into another perspective, this is a picture of Rio, and I am using an example of FPSO, a Floating Production Storage and Offloading. And if you can see on the top here, that's the FPSO and this is Rio. And here you can see, the wires goes out to here, and that's the task you have to do. So yes, when we talk about, will there be space for the top end of the market? Definitely. We will do anchor handlers at this size. But also, we're going to use all this competence, and you'll probably hear some from Sauli how we can become leaner, less expensive in the design, so we can push back in the more competitive areas. And particularly, when you go to China, we need to stand up and take that competition. But then, we're going to do that by innovation and lean production.

So that was the Offshore part. Now I go into the Merchant part. And we're going to show you an example of pure gas. Why do we spend a lot of time on pure gas? Yes, because it's a matter of time before the customer says, "We're going to use gas." You will see later when Sauli, going to do his presentation, the cost of fuel. So this is about the economy but also the environmental impact on -- of ICA that will grow. And with the gas engine, we are comfortable on the Tier 3 requirements, and that's IMO, International Maritime Organization's, requirements. That was expected to happen in 2016. It was postponed to 2020, 2021. Why? Because our competitors, I assume, don't want to see that part yet. But we are future proof when it comes to new technology.

And -- so what we supply here is on the big ferry I showed for 1,500 passenger and 600 cars. We provide them 4 engines, and the tanks, and the system and that has to work. So now, we have had that ship in operation for more than 1 year and that works successfully, and it's in a daily route back and forth.

Here, we have a value. This vessel is circa GBP 80 million, and we have a value of 20%. And of course, that IPR connected to the tanks and to the gas system is one of our advantages. Then I would like to spend a little bit -- think a little bit and do a reflection of what we have in L'Orange, because the fuel flexibility will be very important. Gas has one limitation today and that is distribution of gas. So when we start to get more distribution of gas, this is definitely something we strongly believe in, and we want to be prepared for that matter. And you heard also that the new engine, you can use the same engine, either for gas or diesel, or if dual fuel comes later. So I think that's a good example of when you think about what is the customer demand, and what is possible to do on technology.

If I spend a little bit on the frigate or the Naval business, I think there are a couple of key elements that are different on the Naval side compared to the commercial side. And I think that we have -- as I said on the offshore side, on the Naval side, we are strong because we know the key customers, we know the programs and we are working very close to the customer for this matter. On this frigate, the value is circa GBP 300 million, and we delivered circa 10% of the total package. And definitely, handling system is important on a naval vessel, I would assume, power electrics and on the engine side. And I think that on the Naval side, the MTU match is very good because you need high-density engines for speed. So here's a really good match on the MTU side and then onto the Naval side. And then, again, propulsion equipment. So the key difference between a commercial equipment and a Naval equipment is that they need to do more tests but it's very, very much the same components.

And the service market again is also, of course, very important for this matter.

So there will be a coffee break quite soon, but a couple of more slides. Competition.

I think I would like to say that to win this race, you really need to be humble, really listen to what the customer requires. You need to work close as this. You're going to spend this ship vessel, the 777, we're going to spend 105,000 engineering hours. And then they work with us for that matter. So if you think about the strategic diagram that Mikael presented earlier, I would say that there are definitely players coming up and want to come up. What I've seen so far, I've seen Wärtsilä, they are there, Kvaerner [ph] could maybe come. MAN has probably an ambition to do that but this -- I probably think there's a way to go. Because MAN, and if you take ABB, if you take GE, if you take Siemens, they are strong on one of the axis on the components side.

And if you don't think about what happens in the regions, I would say that, look at Brazil. They have introduced local content. They're going to protect, they're going to do what it takes to make sure that internal thing happens in Brazil. That will happen if it's by law, or it's by trading principles. If you want to

run business in China, you need to have access to route-to-market. I know you need to be close with the yards as an example. So 1 day, you are a competitor, the next day, you are a customer or a supplier. So you need to balance this in a nice way.

Definitely, if you go into the -- if Rolls-Royce want to compete strongly in the Far East, we need to do business locally. And then I think, we really have a good opportunity because the brand, Rolls-Royce, is strong, very strong, particularly in that area.

So what I'm trying to articulate and explain, is that within this area, I really support what you heard from Mika that the winner is the one that is able to bundle together the complete system in an intelligent way. And without saying too much, but when you don't follow the application areas you want to be in. If you then are missing a couple of items, you either go for development and engineering or small acquisition could also be a feasible approach. So I think that, that's -- that element going forward.

Definitely, we have the ambition to raise the quantity of the business. And then it's to grow within global addressable markets. Then it's to grow share in the addressable markets that needs -- that means that we need to have happy customers that prefer us compared to others. Then responsiveness becomes important, and then to expand addressable markets.

But it has to be based on follow-the-money. There are some of the areas in the Marine industry you don't want to be in. And safety is one element. And if you think about how much of the investments we have been doing that is linked to safety, that's something we need to take also here.

Then it comes to raise the quality of the business. I believe that there is 2 dimension. One, is to be cost competitive and operationally efficient; the other one is to learn to really improve our strong value proposition to our customers. So if you remember the first one, I showed the 7, 8 circles, the best ones, I believe, will be the ones that succeed combined with the right cost structure. And my view is, of course, we will be the best.

Thank you very much.

Simon Goodson

Former Director of Investor Relations

Okay. The time is -- we're on time. The time is 10:00 Norwegian time, so still U.K. plus 1 hour for those listening in. We're going to take a 30-minute coffee break, tea break, water break, any other break, and we'll be back in here at 10:25, please. And then we will hear from Sauli on Innovation and Mark on profitable growth. Thank you.

[Break]

Simon Goodson

Former Director of Investor Relations

Okay. Thank you for your patience. Small technical glitch. For those listening in, watching via the webcast, you've missed absolutely nothing at all. We just had a slightly extended coffee break.

Running order from here on in, which I'll get through very quickly, you'll hear shortly from Sauli on Innovation, the Executive Vice President, Engineering and Technology for the Marine business. Then Mark Alflatt, the Finance Director of the Marine business, will talk about profitable growth. We will then have Mikael do a brief wrap up before we have all of the presenters to be grilled by you in the room, you online about what you've seen and heard and any other questions that you may have. So without any further ado, I will pass you over to Sauli.

Sauli Eloranta

Okay. Good morning, everybody, here in the room and also on the webcast, and welcome to listen to the Innovation presentation. I think we have such a level of electricity in the room that we actually caused a very rare power outage in the Norwegian hydropower grid system.

So anyway, we are back here now. About innovation, I think there were some concerns about these unmanned vessels, but they seem to be around here. I don't know when this picture was taken, but obviously, there are some unmanned vessels going around in Ålesund, Norway.

A few words about myself. 25 years in the Marine business. I'm a naval architect and have been working mainly in ship building industry, ship equipment industry in Finland, France, U.S., Norway. Most of my career working for Norwegian companies, actually, as they have been own [ph] equivalent of shipyards in Europe. And working for companies like Wärtsilä, Kvaerner, Aker, STX. It's pretty much the same story, but [indiscernible] changes their name.

So I've been 5 years now in Rolls Royce, and I wanted to join Rolls Royce, mainly I think because of the brand. Because I wanted to make sure that we can leverage the same type of brand identity as we have in Aerospace, to also Marine, which I thought at that time, was less known for the actual brand point of view.

Okay. Now several people ahead of me have been talking about the Marine trend, so I'll try to make this meaningful so that I go through this picture in detail, in sequence. And I'll then interpret to you how we see which trends are having what type of impact on technology development and product development.

So the first thing what has been mentioned today is the development of legislation. So primarily, rules and regulations related to environmental conservations, emissions and so on. Now there are a lot of rules development going on at the moment. Meaningful to note that this is the first time when the entire shipping industry is seeing a major change in the emissions levels, about a 90% cut in emissions in about 15 years' time. So before this, the Marine business was able to pretty much use whatever fuel you wanted. High -- very high sulfur content, heavy fuel oil, like residues, the least distilled fuels that you could come up with.

So what this means is that now, in the next 10 years or so, there will be some rules that are having direct impact on newbuilds, which means that they can stimulate newbuilding contracting. And they also mean that the newbuilds will be required to comply with these rules. It makes them, for example, companies that are investing in high-tech like ours to be more competitive in that race because it's no longer just a kind of commodity approach in the power and propulsion systems, going forward. And there are also some rules, like the sulfur emissions that are related to all existing vessels. So therefore, all the vessels that are used in oil shipping need to comply with the sulfur regulations later on in 2020s. And that means they have to be equipped with abatement systems or they have to change fuel or they have to be modernize to manage different types of fuel. So what we see here is that this will boost the attractiveness of newbuilds, and it will also make an attractive new market for modernizations for services business.

Then these tanks are communicating bunker fuel selection for newbuilds. So the one on the left on 2014 is showing that today, about 90% of the world vessel newbuildings are constructed so that they are using heavy fuel as a main fuel source. And then about 10% is Marine gas oil or diesel oil, as we know it. So this is the situation today.

And then the tank on the right is saying that in 2025, we anticipate still the HFO being around. So heavy fuel oil will not vanish even in 2025, but the vessels using that fuel need to be equipped with equipment to clean off the exhaust gases to comply with the new rules. Then what's important on the right-hand picture, the LNG fuel share will be up to 30% in the newbuilds. And that is something, of course, where we see a lot of opportunity in there. It's a clean fuel as we have heard today, and it will provide an opportunity for, how to say, ship equipment suppliers, shipyards, but also ship owners because this is an inexpensive fuel. So there will be different drivers for this. It's both clean and inexpensive, which is -- makes sense then to consider transforming your fleet into working with a different fuel.

And then there is a small biofuel canister on the top. I don't know if you can even see it in 2025. So what we're seeing is that, in Marine bunker fuel forecast, we don't see a lot of biofuels being a dominant source. Even though we understand that there are some shipowners opting for it and also developing that technology. And these percentages are based on studies made by companies like, Det Norske Veritas, which is a classification society, but it's our own interpretation of that.

Again then going to ship building trends, shipping trends. So the vessels will be built mainly in China even in 2025. There's also a red flag indicating a Chinese shipowner, let's say, Far East shipowner still -- you saw earlier from presentations that today, a lot of shipowners are still based in Europe and the U.S., let's say, in the developed world. Now more and more shipowners will be based in Far East, going forward. These types of vessels have quite simple machineries and they are primarily paid for their journey. So they get their income and revenue from making a journey from point A to point B. They typically carry cargo on the way where they get paid. But this is a kind of important distinction to these things. So it's very costing -- intensive, cost-focused business. So you either want to go larger in ship size to get the economy upscale to take the freight rate down or you reduce the fuel bill by making more efficient engine systems. So that is something that we see opportunities, for example, here in the life-cycle revenue. So you can refit existing fleet to be more fuel efficient with products like we have Promas, for example, in there. But that will be the generic trend in the Marine business. Fuel efficiency is important for these things -- for these vessels in the market.

Then an entirely different segment, the special vessel segment, or what we call here, Offshore vessels, typically, what are in this segment. You can see a deepwater harsh environment rig there in the center. You can see a well-construction vessel assisting those rigs, which would be more common in the future because, like we heard earlier today, the Offshore Oil & Gas exploration goes further away from the coast. You need larger Offshore support vessels than today with more bollard pull, with more functionality, with more flexibility. And you are benefiting from new designs because the existing vessels are not always matching those new requirements because it's, let's say, high-wave conditions, it's long journeys to the area where you do. It impacts the vessels specs. So therefore, this is also stimulating the demand for new technical solutions for these vessels. So not only for new tonnage, but let's say, the vessel specification needs to be adjusted to the new requirements.

And then on the lower-hand left, you see an Arctic vessel, which is special vessel as well. And I would still say that we have a good opportunity in the Arctic vessel design and machineries. They are typically complex machineries, hybrid propulsion or full electric propulsion. And that is typically -- so driving into very specialized ship designs. And as you know, ship design is one of the work we do in here. And we can deliver the whole, let's say, mechanical-electrical package together with the ship design also for Arctic vessels.

And these vessels that are in the picture now, they don't get paid normally for the journey. Icebreakers might be in some sense, but they are normally paid for their mission and that's important. So the business in Offshore is something that the journey is something like you have to do. You have to steam to bunker your vessel or get new materials on board, and so on. But where the vessel gets its income is the work. What it does, let's say, close to the oil -- oil rigs or whatever is assisting to do. So that is an important distinction from the kind of Merchant vessels that are going from A to B. So instead of fuel efficiency for the transit, it then fuel efficiency and comfort for the mission. So that means that the vessel has to be in dynamic positioning pretty much 24 hours a day. The whole propulsion system needs to work all the time.

Whereas in a Merchant vessel, the bow thrusters, for example, are run, let's say, 10 minutes in every 2 days or a week. And these vessels have their bow thrusters working 24 hours a day, 7 days a week. So that's a lot of new requirements.

Then what you will see more today also in here, is a whole, how to say, era of ship user interface, the bridge design, the operation -- operating of a vessel where we are now increasing our efforts in here. Now the vessels are more complex. And the crew has more challenges today. And we also brought up the -- in the discussion, the availability of competent crew. But if you have, let's say, a bridge design and you have a hybrid vessel with a lot of mechanical components, electrical components, you could even have batteries in the future in there, and you adjust how you operate that vessel. Then what needs to happen in the bridge is more or less what iPads has been doing for the, how to say, use of computers for all of us. It's turning this complexity into simplicity.

So all these bridge designs like the unified bridge is now actually looking simple. But actually, it does integrate all the information what there is on-board and providing the relevant information to the seafarers. But that is something that is a challenge in the business, how to make that interface towards a

ship systems from the crew, so that there -- how to say, you don't need a 30 years' experience to run the vessel because you no longer have that luxury in the Marine business.

And then last, there is also this satellite up in the sky, which is then communicating that in the future we'll see more need for -- how to say, data transfer and communication between the vessel and the onshore organization. Today, it's quite a tiny, tiny pipeline what's in there. It can be 1 megabyte or so, but if you're running a cruise ship with 1 megabyte total, I mean, 10,000 people on-board a cruise ship, you don't have a lot of bandwidth for each one of the persons to browse the Internet. But in the, how to say, professional fleet, it's more about the onshore crew being able to assist you when you do your mission, understand the equipment health monitoring, things like that. It's providing support to the vessel.

Then what we feel -- and I feel personally strongly, is that we are well positioned to meet these challenges. So all the trends what I showed you in the previous page that we have a relevant portfolio to meet those things. This portfolio is not a commodity portfolio, per se. So this portfolio is developed normally for quite high-end applications. So with safety, quality, reliability being quite essential drivers to -- in the product development. So very few of these components -- or perhaps have been developed with just cost leadership in mind. Normally, it has been something that we are engaging actively with the shipowners to understand what are the exact specifications, what they need to get from these products, and then we are doing those things. And these are all mission-critical products. So it's also that we are not in, how would I say, in some interior furnishing business or something, which is not mission-critical. So if any of these equipment fails, the vessel cannot continue its mission. So therefore, it is mission critical as the terms as all of these are.

Then we have been, many times, the first in the world with many of these things. For example, the largest controllable pitch propeller ever, largest CPPs in the Arctic conditions, largest water chest in the world, most efficient engine as we have at the moment, most power-dense engines as we have in MTU, most powerful gas turbines in Marine business with the MT30, propulsion equipment to the world's largest or most iconic vessels, like Queen Mary 2, you name it, or now -- HMS Queen Elizabeth. So that has been the driving force, and also that means that we, as an engineering population in the company, also have this huge accumulative experience of working closely with customers, tapping into corporate technology capabilities, collaborating across the sites and borders and making these things into always industry-leading solutions.

The customers in this sense are typically shipowners rather than shipyards in many of these issues. A shipowner is seeing the value of not being in the commodity business, whereas shipyard might want us to develop the world's cheapest solutions for some of the issues because it's a more cost competition. Whereas shipowners want us to provide most value. So therefore, I would say that the portfolio, which you can see in there, is a kind of value-adding portfolio. And then also the size of the portfolio is wide at the moment, but I would stress that it's wide and it needs to be relevant, so we still have some individual products in our portfolio that are not mission-critical per se, but there are quite few, so we have exited most of those. And then I think that, going forward, this concentration out of The 4 Cs, means that we are sticking into those mission-critical equipment, which are important for the system integration point of view. So then we just want to do stuff that's hard. We don't want to do the easy work. So if it's hard, that means that if any -- if we have any problems with our delivery then the vessel is in trouble. Then we kind of get paid for that certainty and reliability of the delivery. That's where we want to play.

Then if I just -- well, there is this new B33:45 engine as you see. There are complex hybrid vessels. You can see also in the upper row, thrusters. If I just take an example over the thrusters. It all started, I think, even before 1937 when Kamewa introduced the first controllable pitch propeller for the Marine market with hydraulic drive. The whole thruster kind of ecosystem is extremely wide at the moment, so it has evolved into being -- us being the market leader in large Offshore thrusters at the moment. But it also means different types of thrusters for different applications. We have Azipulls, we have UUC thrusters. And now you can see also on the right, the latest technology introduction is for permanent magnet thrusters. So we have acquired a company in Trondheim called SmartMotor, which has -- the whole organization is developing permanent magnet technology, and we have acquired it for technology acquisition point of view. Not for route-to-market per se. And we are developing a whole range of product with that technology. So that's something we believe in at the moment.

The first products are already launched like the permanent magnet tunnel thruster, which is a super silent thing and matched with the offshore rig requirement where you need to run the thruster 24 hours a day. So you don't want to be there with a normal thruster, which is creating a lot of vibrations, if you have experienced on-board a ferry or cruise ship. I'm sure you have.

A lot of prize-winning ship designs, as you can see also in there. So that has been successful, 800 UT Designs like we discussed. A lot of deck equipment systems. Those is also a mission-critical in there. So those are mission-critical, not from the transit point of view, but from the, how would I say, the value-generating point of view. So if you have any problems with your anchor handling winch, your mission is ending there [ph]. And then you start to pay whatever, \$50,000 or how much per day or so. So that is extremely mission-critical as well because that is where the Offshore vessel gets paid for. And then you also see this unified bridge, what is in there. So that is important.

So we can see that with this portfolio, relevant portfolio, we can meet those market requirements and market trends that I showed in my previous slide with the fuel flexibility of the engine answering the fuel diversity problem going forward. We don't -- we are not sure which fuel is winning, but the engine can run with both diesel fuel and gas fuel. And all the portfolio is relevant, and it's going to be more electrical going forward, as we see the trends also in there. But we are well geared to provide complex machineries for special vessels.

And then, again, if I just crystallize what we believe that the future innovation should be concentrating on. I mean, there's 2 areas in there, which is the -- being the efficiency leader in what we do. And it's not just fuel efficiency of the main engine, but this is a system efficiency, vessel efficiency. The whole operational efficiency of a vessel built for a certain thing. And then ship intelligence is something what I'll tell you a little bit more soon.

So efficiency is something that we can lean onto our relevant portfolio because the portfolio, like I said, is not a commodity portfolio. But it's more like a high-end, high technical content, high-efficiency, high-reliability portfolio. So therefore, it's a great, again, building block towards being the efficiency leader, going forward. We are leading in hydrodynamic capability in Rolls-Royce Marine, so we have our own labs and we have a lot of computational capability in the company that is also contributing, being able to make a lot of high-end hydrodynamic research into making those systems easy [ph]. But I have to highlight, this is slightly different from maybe gas turbine design, so we cannot just limit our hydrodynamic competency into the actual propulsor. But we always talk about the how -- the vessel level hydrodynamics. And that is complicated because we have a free surface and you have all the interactions with all the components in the propulsion system that we can do it.

Efficiency means also large opportunities in the aftermarket. So we have one product, for example, Promas, that is gaining, let's say, 5% to 8%, depends on the application. It's gaining a lot of the velocities that have -- you have after a normal propeller with the swirl in there, so it's regaining the swirl energy. And with that 5% to 7%, 5% to 8%, it means that if you take a large shipowner in ship building -- in the shipping business, 5% efficiency increase is worth GBP 100 million a year in money. So in the bottom line, so that's not trivial.

Now the thing is that in the Aerospace, like we heard, John Rishton was happy to get 1%. Now 5% we can get with 1 gimmick only, and there are many areas where we can play this environmental thing. We can switch over to LNG, we can repower vessels, we can get down to just 20%, 23% lower CO₂ just because of a change of fuel. We can change some of the haul forms, we can change some of these energy-gaining devices and all. It's a big saving what you can get. So 5% is something what you can get in many applications.

Moving over to ship intelligence. This is a kind of, what we say, disruptive opportunity at the moment. So what we think is that the ship intelligence is similar to, how to say, system integration, but it's a kind of a higher level of intellectuality embedded in the systems. So we have our portfolio, which is made of products that can be knit together to form an integrated system where we have been strong. We have also been able to have ship design, so far, to kind of knit those integrated systems into a seamless entity called ship design.

Now with the ship intelligence, it's something that we want to make sure that our product delivery, our system delivery is relevant, so that the intelligence is something more like big data, software built on top of the actual hardware delivery. So we believe that if we would stick only onto hardware deliveries, we would then transfer ourselves into being a, again, a commodity provider gradually, if we're not able to do it. And this also has to do with value. This is helping the customer, this is supporting the customer during the life cycle of the product. And again, I would say personally, that I think this should be turning complexity into simplicity. So ship intelligence is not making things more complex. It's actually taking all the complex things, what you have on-board. There is a lot of data on-board. But providing, let's say, intelligence and relevant information to the crew and to the maintenance of the vessel.

And then, of course, the picture on the right is also showing a kind of unmanned vessel. So I would highlight this thing of drone vessels, or unmanned vessels or remotely controlled vessels, where we have had a lot of publicity. It is a technology platform, so it is important for us to know where we're heading to, and we see that all the signs are referring to the same trend that there will be less crew on-board. And also in the Offshore vessels, we have safer deck operations. We want to mechanize the things. We want to limit the exposure of the crew on -- in harsh conditions. Take crew first from the deck inside the vessel then from the inside of the vessel onshore, and help that trend. So this is more like the endgame or long-term vision, if you may, where we're ending up. But, of course, we can do pilots with this technology faster.

And then I think this is my last slide. So best way to predict the future is to create the future, so that's what it is. So we believe that the ship intelligence is an area where we can complement our current product offering. Again, for you to feel comfortable, when you do the round later today in this building, you know what I mean. We have started this journey about creating future. From those products, from systems, if you take this intelligence, we have had product specific controls, we have had the whole automation control system for the whole vessel, which we do. The bridge designs and then remote operations that we can take remote access to a vessel from here. And you will see a room where that can be displayed with a lot of display. So we can replicate, let's say, a vessel's control room, dials, and so on and we can assist the customers.

And then finally, what I believe that the 3 big issues for us are that there is a trend from products to technology, like I said, hardware. If you stick yourself to hardware, that's risky. Hardware might not be the selling point in the future. Technology means more about enhancing the hardware with a system offering. It's about the technology, which is in the product, but it's also the technology, how you bundle products together, and ultimately, for example, what we call, ship intelligence is a technology that is a powerful thing where you need to have your portfolio to build on. But that will be a primary differentiator, going forward.

And then also, what are the building blocks or stepping stones in here? So this product portfolio was our stepping stone to system integration. How could we have done system integration if we did not have the product portfolio that we had? So that was the key to do that. And now what we say is that once we are big in system integration, that is a stepping stone to ship intelligence. Because through ship -- system integration, we have access to all our systems. So we know how each part of the vessel is working. We get the information from there, we get data from there. Ship intelligence just about then about making sense of all that data what comes out of those systems, and also about transferring that data further away from the shipments. Starting that journey that you could have, let's say, less people on -- well, more people onshore than what you have in the vessel at the moment.

And last but not least, the long tradition. I think the collaboration with leading shipowners that has been in here for tens of years, or close to 100 years in some parts of the business, that's something that you cannot really copycat easily because it's a relationship that is inbuilt. It's a kind of institutional approach to things. It's not just those individuals that are in the customer front, but this is an institutional built-in capability and built-in relationships to our main customers and stakeholders that we have in this business. So I think that people might come into our business and they might be competitive, for example, in one product. Therefore, I would say that, yes, some people say, "It's a low barrier to entry." I think, maybe in some product areas, it's a low barrier to entry. Somebody could make a strategic investment in one of our products, "I want to come in there." But it's entirely different from that player then say that they will be

as competitive in system integration because they would only have that one product. And then if you are not into system integration, they would also have a very high barrier to entry going into this intelligence, getting all the information from everything. So we are well placed in there because we have a lot of case, 25,000 vessels with our case. That's immense. So nobody can really pick it up. Just come like tomorrow saying "Well, we beat you." I don't personally think that.

So as a summary for all of this, I think -- I'm convinced that we are well placed to meet the future market trends. And then also we have already products and technology that can conquer that and we are continuously developing that also, going forward. Thank you.

Mark Alflatt

Former Finance Director of Marine Division

Thanks, Sauli. Thank you, Sauli. Good morning, everybody. I will add my -- thanks to all of you, first of all, for making the trip to come and see us over the last couple of days. I hope this morning started to shine a light on our business. Quite a few familiar faces in the audience, who I know from previous roles in the company. But for those of you who don't know me, I'm Mark Alflatt. I'm the Finance Director for the Marine business. I've been in the business about 20 years this year in Rolls-Royce. I've done a number of roles around the group, finance, commercial. My most recent role before this, I spent 7 years within the Investor Relations team, so I know many of you from some those engagements. And I've been in this role as the FD for the last 2.5 years, so I don't have a deep Marine industry knowledge compared to some of my colleagues you've already heard from this morning.

But that's given me, I think, an opportunity to ask some of the basic questions. Why do we do that? Why are we doing it there? Why is that important? And that's been, I think, quite a useful backdrop to bring to the business. And for me to challenge the business but the business to challenge me back over the last couple of years, and that's been, I think, hopefully, valuable to the team. It's been really valuable to me, and I think it's informing the way we're thinking about some of the things Sauli talked about in terms of innovation going forward.

Because of my previous role, I thought I had a pretty good view about what we do in this business. What we -- what products we make, how that fits together, what's important. But what I actually found when I got in and really got deeply into the business, and some of -- again, some of the information you've seen from Sauli and the rest of the team this morning. This really is a fantastic technology business. It's easy, and I'm sure for many of you who are not quite as familiar with the Marine sector, to sit and look at the kind of products we make and think this doesn't feel like a Rolls Royce product. It doesn't look like a high barrier to entry.

Hopefully, some of the insight from the team this morning starts to glue some of that together. And that's absolutely what I've seen over the last 2.5 years. This is genuinely a high-technology business, the kind of challenges the guys have talked about, some of the things I'm going to touch on as we go through. This is really, really complicated stuff and absolutely fits within how Rolls-Royce works together. So that's been a really enlightening process for someone who actually thought they knew this business reasonably well moving into the role.

So I'm going to pull together the third strand of the strategic framework, profitable growth. And I really want to focus my comment this morning in 3 key areas. I'm going to start in a few minutes and just contrast and compare the business model. I think many of you in this room, you're very fairly familiar with the Aerospace sector, you are very familiar with that business model and you may look at our business in Marine and think "Well, that doesn't really look like a Rolls-Royce business." I'm going to try and step through a few characteristics to try and pull out where we are very similar and actually where there are differences, an important differences. I'm going to spend a few minutes and just reflect on historical performance. This business has been transformed in a decade in terms of its scale, in terms of its importance to the group and certainly in terms of the growth opportunity we have ahead of us. Potentially, a strange thing to say given that all the challenges we talked about in the last day around the sector, the industry, overcapacity, waning oil prices. But there's no doubt there are big opportunities ahead of us. But it is worth just spending 2 minutes and looking back because this business has grown significantly and become a very important part of the Group.

And thirdly, and I guess, probably the nitty-gritty of the session and really where you want to spend most of your time, I am going to spend a little bit of time and talk about cost and competitiveness.

What are we doing today? What have we been doing over the last couple of years? And what's ahead of us? Because, again, a lot of opportunity in this business as we go forward.

So before we get into that, just a couple of quick slides, I think, to keep in contact before we really dive into the cost piece. How this all molds together. Now you've seen this slide before, I think. John Rishton have talked to you about this framework in terms of the key elements of profitable growth back in June when we did the Capital Markets Day then. And I think linking this to the conversation we've already had this morning, Mikael first then John talked a lot about the market, the customer. So I don't think I really need to dig any further there. You've just heard from Sauli and seen a lot of very, very impressive capability that we have, where the market is moving to, what we can already bring to that and where we are going to be focusing our attention going forward. And I think it's important to keep in mind that not just the Group, but Marine, has had innovation at its heart all the way through its decades of existence, whether it's been by Rolls Royce or predecessor owners. This business, I think, absolutely has adapted quickly to the demands of the industry. It's listened to and adapted to its customers. The innovation process is absolutely an intimate relationship between the customer, the operator, ourselves, our suppliers. And that's really been the heart of what's driven the business over the last few years. And finally, the cost and cash element. We will definitely get to that before I finish.

Now one disadvantage, I guess, of being the Finance Director is I don't get to use as many pictures as Sauli. In fact, I don't have many pictures at all. So I'm afraid you'll have to labor through this. We'll dig into a little bit more information and data. I don't have anything quite as glamorous as Sauli to show you, but hopefully, overall, it will be fine.

Again, just looking at the key elements of growth, because it's not just about cost cutting, it's not just about driving our cost base, our supply chain. We spent a little time this morning on the left-hand side of this chart. And I hope it's pretty clear from the conversations from John, Mikael, where we are, the capability we have, the sectors that we can address. And as we move through that, the key technologies that Sauli has talked about, ship intelligence, LNG, systems integration, the services model. Starting to pull through some of those capabilities we have in nuclear and Aerospace to help give us more remote monitoring and information from the vessel and not just the service engineers we have abroad.

So I think the team has spent quite a bit of time on that. The bottom bubble here around growth services, I think that is clearly a key part of this sector just as it is for the rest of the Group. Product and service for a very long period of time. You've seen from some of the videos we've shown you the last day or so. These things are operating in very difficult conditions. I think John talked about a PSV charter rate at \$50,000 a day, a drill ship at \$700,000 a day plus. Availability and reliability is absolutely crucial, and these things are operating well away from their domestic base, so having the capability, having the support network to maintain those vessels in-service is really crucial. And one of John's slides really struck me as sitting this morning watching it. And I've seen this slide before, but actually just looking at the chart where he said the vessel had been out of -- off hire for 9 hours in just 5 years. That really informs what this business and what this industry is all about, creating capable product that can operate in the toughest of conditions day in, day out, and earn revenue for our customers.

But clearly, growth services is a key part of our strategy. It's a key part of the model. In our business, as you'll see, it's less significant today than it is elsewhere in the group.

It's just over 1/3 of our revenues, and I'll talk to you as we go through a comparison with that model. And then, I guess, we're starting to get into the areas I'm going to focus on around rationalizing our portfolio. Sauli mentioned just at the end of his session, we have a very wide range of products and variance that fit on a range of different vessels where they've grown up over long period of time. I think as we go forward, we're starting to focus more on what are those key products we should do ourselves, what do we not need to do for the customer, what can go into the supply chain. What are those smaller segments and smaller businesses where they're not going to add significant value going forward. And we started to close down some of those businesses, exit, sell some of those businesses.

Typically relatively small I would say in the last couple of years and I think that's probably right. There are big pieces of the portfolio that we should rationalize in that respect. But there definitely is a focusing in on what is the capability we want, what are the things we want to invest in going forward, and who are the better owners for some of those smaller businesses.

Improving the competitive position, I think, then wraps up almost everything to do with cost. And as we go through here, I'm going to try and break open for you the cost base we see today, what the key elements are, what we control, what the supply controls and what we're doing on each of those elements to drive that competitive positioning.

And just finally, just to wrap up this chart, Lawrie touched on it right at the start, we are just in the early stages, I think, of looking at the opportunities, both top line, supply chain, cost as we integrate the Power Systems business into the Land & Sea. And there's definitely opportunities there, again, a couple of examples that came through, I think, in Lawrie's presentation on Slide 26, there are going to be lots of opportunities, I think, as we pull these portfolios together.

And just the final one, before we move off, I guess, the cost piece. It's not just product, it's not just supply chain, it's overheads. We've looked at and we continue to look at many of areas of our business as we've consolidated sites and businesses, we're looking at our back-office functions, and we've made quite significant steps around the cost base there, taking out, I think Lawrie probably said around 20% of our support activity more than 500 people over the last couple of years. And I think as we go forward there will definitely be further opportunities to do that -- do more of that.

So the first of my 3 key items, I just want to spend a little bit of time and step you through this. I hope it's clear from, again, the previous sessions what you've seen over the last day or so. The fundamental drivers in this business are absolutely the same as they are elsewhere in the group. Population growth, demand for energy, transportation, increasing regulatory challenges that Sauli talked about it in quite some detail, are all absolutely relevant to what's going to drive this business over time. So I think the fundamentals absolutely mirror many of the things you understand about the group when you look at the gas turbine and Aerospace businesses.

The other, I think, area I would pull out is these -- this is what's the cycles are shorter, the product cycles are shorter, this is again driven very much by things you'll be familiar with, with the group. We spend a considerable amount of time and money and IP creating new capability. We put product into the market that operates for very long periods of time. 25, 30 years, Sauli talked about, I think John mentioned 40 years of designing the UT vessels, many of which the first ones, 40 years old are still in service and then the points I've just made about the aftermarket model, these things require significant support.

So I think when you look at the nature of the model, and you look at the capability that we have in the barriers to entry that, that creates, there's no doubt that fits very well with what you know about the group and I hope none of that is a significant surprise.

However, the industry structure is very different, supply chain is very different. Mikael talked about it, I think John talked about it. It's very, very fragmented in the way that shipyards engage with supply chain, that we engage with -- like ourselves in the way that we engage with owners and operators, regulators. The framework is different in different parts of the world. So that creates a lot of fragmentation. And that indeed informs the way we're organized today, which I'll show you as we go through. So I think that is quite different in terms of industry structure compared to what you see in Aerospace and indeed what you'll see in our own Aerospace business.

John Rishton, I think, gave you a good example last night of the scale of investments we are making in this business. He talked about the new engine that we just brought to market in the last month, 3 years to come to market, GBP 25 million. So -- and I think a couple of the guys talked about it earlier on. These are not big bets. There are a number of areas we're investing in. The level of intensity of our R&D investment has typically been relatively modest in this business, and it's much quicker. It comes to market much more quickly. So 2 to 3 years is not uncommon compared to multi-years, if not more than a decade of the kind of product cycle, again, you're used to in the Aerospace sector.

So that's quite an important contrast. And I think if I pull that together in R&D terms, because Sauli showed you quite a lot of opportunity, I think, and talked more about we need to spend more on innovation, more on R&D and I think we will. We definitely will. Historically, we've probably spent 2% to 3% of our revenues on R&D in this business. In truth, that's probably a little bit low. We probably underinvested in this business over the last 10 years to 15 years, whether it's technology and probably in our footprint, which I'll talk more about. So I think that will go up. I don't think it needs to go up a lot. And as you've seen from the scale of some of the numbers, in the context of the group, these are relatively small amounts of investment to access some quite big opportunities.

So that is an area where I'd say the drivers were important, but it doesn't necessarily fit the model that you guys understand well today from Aerospace.

I think the other element, and we talked about it a little bit last night in terms of a level of visibility in the business and the level of the ordering patterns. This -- well, the lead times in our business are relatively short. On the OE side, if you're providing equipment and product to a vessel type, it can be a matter of months, 4, 5 months for some of the smaller products. The Merchant sector especially from going through the tender process with a shipyard, ordering the equipment to actually delivering, relatively short. In the Offshore sector, some of the more complex vessels that John showed you at a maximum it can be 12 to 18 months. So this isn't a business where we have multiple years of visibility of individual contracts.

To give you a sense of scale. At the peak of the up cycle, in the middle of last decades, the industry had 3-plus years of order book, and we had something similar in our business. That's unprecedented I would say. We are typically operating on anything between 9 and 18 months visibility around new equipment. So, much shorter when you're used to in the Aerospace sector where customers order significant amount of aircraft and engines which spread out over a number of years. That's not how this industry in this business works.

In the aftermarket piece, again, it's much shorter cycle. Spare parts, roughly half of our revenue in aftermarket and the ordering cycle there can quite literally be a few days to a few weeks. The turnaround time from an inquiry for customer for spare parts can be literally 2 or 3 days, a week, maybe a couple of months at maximum. And where we're doing major upgrades to our services business, you may get a little bit more visibility because it's allied to a dry-docking event so you can see when the customer's scheduling to take the vessel out of the water and do major upgrades. But again, that can be -- 9, 12 months is not unusual. So the dynamics in terms of what's in our order book and the level of visibility, that gives you, is quite different.

And I think that clearly creates some challenges around how do you think about the business, what are the lead indicators you're looking for. And I know from conversations I've had with many of you in the past and indeed in the last 24 hours, those are important hooks you're trying to get and I think we understand that. I think you have to recognize that is how the industry works. We will give you as much information as we can. But as you've seen in the last couple of years, 2 or 3 years, there's a lot more flexibility in this industry for customers to take their time, delay orders, reschedule things. Doesn't necessarily mean the demand has gone away. The fundamental driver is absolutely there, and all the stuff you heard this morning should give us all a lot of confidence around that. But on any given month, quarter, half year, things move around. It is the nature of the industry.

Just on aftermarket, I think 2 things to say. Again, both -- the model is much more flexible as I've talked about. Ordering patterns are much shorter, but also the contracting model is quite different to what you see in Aerospace. So you've progressively become much more familiar and aware of the total care of the outsourcing model, long-term support, power by the hour type models. And the Marine industry is moving towards that, and we're moving towards it, but it's a relatively small piece of the pie today. So much of what you'll see in our business is a Time & Materials ordering pattern.

Customers place demands for pricing, forget [ph] orders, it gets delivered. We're about a GBP 750 million revenue services business today. I would say something around about GBP 20 million a year is what you might consider a long-term contract. It's relatively small. There are things happening, but it's not going to be transformed in a number of years. This is a much more flexible Time & Materials industry. It's how the customer wants to operate.

And I guess, just the final one, there's no doubt I think in this business we can generate strong returns. I'll show you that in a second. I think the returns we can get in this business, whether it's margins or longer term return on capital employed, are very competitive with what we see in the sector and very competitive with what we see in the group.

So I think important as you're thinking about our business and I could have put another 20 characteristics on there, I'm sure you've probably got things you'd like me to compare, but these are important comparators and differences. I think the important one is right at the top. Absolutely, the drivers to this business are going to be the same as you see in the group and absolutely the model is very similar.

So I don't want to spend long on here. Just moving to my second point, what's actually happened in this business and I've just pulled out revenue margins, profit and return on capital employed. 2 or 3 comments, I think. I've already touched on this. This business has been transformed over a decade. Late 1999, the group acquired Vickers. We were really a Naval business then. We stepped into the commercial market. We had very significant growth, supported by the Offshore industry. But also, as you can see a little bit on the top left-hand side, significant growth in the services business. Services is about 150% today of what it was at the start of its time frame.

And that growth, an increasing capability in the market, more service centers, as I'll show you later on in the presentation, and the mix has clearly been very powerful as we've got volume and mix into the picture. So margins have grown strongly. It's fair to say they've softened in the last couple of years for many of the reasons you understand. But I think we should just stop briefly on the right-hand chart here at the bottom.

This is delivering a pretty healthy return on capital employed. This is relatively capital light business. We typically, through the cycle, operate on relatively neutral, if not negative, working capital. The cash profile is more balanced across the business and the industry. So we get pretty reasonable deposits when we take a new equipment order, we get milestones as we go through the build and delivery cycle. And then as I said, the aftermarket is a Time & Materials business. We provide the spore [ph] to the customer, we deliver the spares, we get paid. So I think the cash profile is much more balanced. So it doesn't mean that it's a relatively modest amount of invested capital in the business. Now maybe that capital increases a little bit going forward. We'll definitely aspire to spend more on innovation. I'll show you later on we're going to spend more time transforming the footprint. That's going to consume some capital. But I think that's why we need to really drive for operational efficiency elsewhere in order to manage that. And there's no doubt we can continue to deliver very strong returns on capital here.

So moving on to my third point and really what are the elements that we are going to focus on to drive growth through this business. John talked a little bit last night about what the group's doing on cost. I think he said quite fairly, Marine has made a start, but there's a long way to go and absolutely, that's true. We've been I think quite focused on this for 2 or 3 years now. It was clear that the lead indicators were telling us things were slowing down, excess capacity. And it was clear when we looked at our own footprint, that we needed to adapt to that. Not just because of the short-term issues but because of the nature where the cost base is. And Mikael, I think, contrasted that in his session when he introduced his understanding of the business when he joined from outside.

So I think we need to be clear, the last 2 or 3 years have been tough and we're already well under way with a number of change programs. And I pulled out, I guess, the way I've grouped them around the product, around business processes and systems. And then the footprint and also the source of supply.

So briefly on product portfolio, I think Lawrie mentioned in his and I touched on it at the start, we've certainly taken out some smaller businesses, some non-core product, we closed 3 businesses in the last couple of years and working on the exit of some -- a couple of others. They're not big, as I said earlier, but nonetheless, it does help us focus in on what's going to be important.

In terms of business processes and systems. We live on almost 80 different locations today. Just under half of those will be operational sites. So we got just under 30 operational sites in this business. Across those today, we have 18 different ERP systems, the legacy of historical consolidations in businesses acquisitions where we haven't successfully implemented common ERP platforms. That absolutely is a

key priority for the business. It has to be a key tool that we have to deliver, better planning tools, better ability to manage load changes across the organization. And it's a key building block for what we do next in terms of optimizing back-office support and again the next slice of overhead.

So we're about 1 year into a full year implementation program. We're going to spend about GBP 30 million on that over the time frame. And that really is a key part of the glue that helps us transition not just the business we have today, but also the transformation of the footprint going forward.

So the last 2 on here, footprint and supply chain consolidation. I'm going to spend a little bit more time on just going forward. But before I do that, just trying to unpick for you the Marine cost base.

So to keep things simple, we're about a GBP 2 billion business last year, slightly more. GBP 230 million or so of EBIT, so GBP 1.8 billion of cost in total. The right-hand chart here shows you the main categories of costs. About half of what we spend is on material costings, subassemblies, modules, gears, shafts, et cetera. And a lot of that is in the supply chain. Much of what we do in our various facilities is essentially an assembly and test business today. Indirect spend is a range of other things, whether it's subcontract labor, IT, logistics, support for the operational base. Headcount is just what it says it is, 6,500 people spread across our business and I've grouped everything else into other costs, whether it's other overheads, restructuring, R&D is in there. So that -- those are the mix.

First observation I think on the right-hand chart is our make/buy is actually pretty similar to Aerospace. It's about 80% buy today, 20% make. And as I'll show you in a second, that's quite concentrated around where our facilities is -- facilities are. And we are -- we need to progressively consolidate and relocate those and indeed we are moving on with that.

In terms of overheads, I talked about earlier. On headcount, we -- after 2 years, we've reduced our headcount where we've consolidated functions. John talked in his session about consolidating his businesses into one and taking a number of heads out. We've done that across the functions in a lot of back-office facilities. And again, I think that continues going forward.

On the left-hand chart is a couple of -- I think one of the points that Mikael talked about. 90% or so of our cost in our own facilities and our supply chain is in what we might consider high-cost territories. And as we look ahead, that clearly presents us significant opportunities.

So just a sense of the dispersion of the business. We talked about the industry being very dispersed and ourselves. This is our services network. I think you probably saw some of that on one of the videos earlier on. There's about 60 or so locations on here. They're not all fully functional -- fully functioning service and repair workshops. We've got just under 40 of those. We've got 3 customer training centers on here. The 1 you're sitting in here in Norway is our biggest one, but we've got equivalent centers in Singapore and 1 we're developing in Brazil. And then a number of service capabilities and support at a number of our manufacturing plants, you can see them in the orange and green at the top there, typically grouped around the Nordics. So that's around 2,000 people. 1,000 or so service engineers. The guys out on the vessels in the shipyards working with customers.

If I overlay where our operational base is, you can see much of that is grouped around the Nordics, Poland, the U.K., the U.S. And I think Mikael mentioned maybe in one of his charts, 3/4 of that cost is sitting around Europe and northern Europe. As I said, it's characterized by quite a fragmented operational base, which we have been seeking to consolidate over the last couple of years and much more to go. But I think this is a pretty telling chart in terms of when we think about the cost in our own business, the cost in the supply chain because much of the cost is grouped quite closely around our own facilities.

So we've made a start on this over the last couple of years. We've closed facilities here in Norway, in the U.K., we're in the process of restructuring in the U.S. and elsewhere in Europe. This year, we've announced closures of sites in the U.K. We're restructuring plants in North America, in Korea. And just last week, you have probably seen an announcement that we are closing a site just further down the coast in Bergen. So this is a significant opportunity and as I said earlier, we've got just under 30 operational sites today. I think as I look forward over the next few years, that will almost half. It won't exactly half, but there is considerable consolidation as we pull these facilities together, narrow the portfolio things we're

working on, seek to move some of that capability into the supply chain. As I said, about 80% of what we do is buy today. I think it can be a little bit higher, but not a lot. So this is significant raw material that we're working on to drive the improvement in the business and support future progress of the top line.

So just finally, what are we doing on low-cost sourcing? As I said, about half of what we spend our money on is material. So the left-hand chart tries to break that down, about GBP 900 million or so last year. And I've broken that into 3 categories. The partners in the Naval piece, there are elements of our spend base, which aren't available to be relocated. In the Naval industry, no surprise, there will be export controls that will prevent us moving some of that. And that -- so that constrains some of it for some period of time. We've got a number of partners we're working with, both within the company, an element of our supply chain is gas turbines, and outside the company, and again, that's not easily addressable in the short term.

There are some elements of spend where simply there isn't any low-cost capability today. But there is about GBP 400 million or so of that spend today, 44% where we are focusing on looking for lower-cost suppliers. And low cost to us means, the way we've assessed it, any territory where the labor cost is less than half of the labor cost in Finland. Finland is probably our lowest cost, high-cost country, if that makes sense. So that's the benchmark I guess, which we've applied to look at territories, and that's creating opportunities for us in Eastern Europe, Poland, Romania, Bulgaria. So we're looking in Europe. It's also creating opportunities in Asia. We've already got some capability today in Vietnam, in China, in Korea. But I think we need to take more advantage of those going forward.

So we started work on this addressable piece. We've actually made pretty good progress in the last couple of years. Today, it's around about 120 million of sourcing from those low-cost territories, about 30%. I think over the next couple of years, that can certainly get a 40% and 50%, certainly before the end of the decade. And it's meaningful. Our experience, as we've gone through this in the last couple of years, is that we're typically seeing cost reduction of about 1/3 compared to where our current established supply chains are. So these are important steps. And we're absolutely focused on improving that as we go forward.

The right-hand side of the chart, engineering. For everything you've heard, whether it's innovation in salaries [ph] environment, whether it's cost reduction, whether it's sustaining engineering, whether it's working with the customer to develop new product. I think John talked about 105,000 hours of engineering time to work on a highly sophisticated vessel. So engineering is at the heart of the organization. It really is the spine that binds this organization together.

Again, as you look at it, a vast majority of it is grouped around where our operational locations are today. Good reason for that, you need to be close to the manufacturing location, you need to be close to the customer, you need to understand what's driving the customer in order to make those connections. But there's no doubt we do see opportunities, I think, to move some of that more routine engineering activity into lower-cost territories. We've got a little bit of that today in India. We're in the process this year of recruiting another 100 engineers in India. And I think that certainly offers us more opportunity, and it allows us to build on the engineering capability that the group has in India over the next few years.

So I think as I look at that picture, the majority of our engineering resource today is closely costed around Europe, the U.S. Again those high-cost territories. I think over the next few years, 4 to 5 years, that could quite easily be 20% to 25% of our population should be in lower-cost, whether it's in Poland, Eastern Europe, India and other areas in Asia. And again, the gearing is pretty meaningful there. Again our experience in India, as an example, the cost of an engineer compared to one of our high-cost territories is anything between 20% and 25%. So we can do a lot more as we move engineering to some of those lower cost parts of the world.

So just wrapping up before we hand over back to Mikael. I hope you're getting the sense that this is absolutely a core business to Rolls-Royce. I hope you're getting a sense of just the complexity in our products, in the way we engage with customers on their vessels and the importance of that complexity and operating capability to our customers.

The challenges of the industry are getting tougher. John showed a couple of good charts showing just how the change in operating depth that some of our customers need to operate in. This is a business,

which has those capabilities. This is a business that's clearly demonstrated a strong track record over the last decade or so. Top line and returns, there's no doubt, this is a business where we can grow and we are delivering meaningful returns. And I think clearly, over the decade, this has become a much more meaningful part of the portfolio.

There's no doubt, the 2 or 3 years just gone and maybe the period forward, life has been pretty tough for the industry and for all of the suppliers in it, and we're no different. We're on that journey, I think, of adapting our own cost base, working with our suppliers, looking at things like engineering, looking at things like our overhead structure. We're making some progress. We've got a lot of opportunity ahead of us, there's no doubt. And I don't think we, for 1 minute, think we need to do that just because the environment is tough. We want to do it because we know if we can optimize the cost base, there's a lot more opportunity out there. And the guys have shown a light on some the market opportunities.

So just wrapping up and I'll hand back to Mikael. This business has grown dramatically over the last decade. There's no doubt as I look at the opportunities, the guys are working on, I look at the opportunity we have around our cost base, the things we can control, that we can grow at least as quickly in the decade as we have in the last. Thank you.

Mikael Makinen

Former President of Marine Business

Thank you, Mark. I only have one slide for summing it up. I think that -- at least, I hope that we have been able to give you a bit better understanding of the Marine market as a market. And also that if we -- now we're doing the Q&A, going to other questions that you have and of course, later if you have more questions about it. But I hope that this has given a foundation.

This is a very interesting business. It's a sizable business that should -- that I hope that you have understood as well during the day. We will very well understand that there's -- are short-term headwinds, and we are going to take the measures needed for efficiency, cost-cutting and so on. But at the same time good tailwinds in the medium term. That's why we were talking about innovation. We need to be prepared to be one of the winners in this game. I hope you understood that we have a clear strategy, profitable growth. The market is going from products to systems to solutions to intelligent ships. We have chosen an approach of mission-critical systems, integrated systems, true-life services. That's our choice, and I think -- or I know that that's the winning concept.

Some of you have asked about the new investments CapEx. Yes, there will be more needed in the future. But on the Rolls-Royce scale, it's still very moderate. And there's a short payback time. I'm saying that automation intelligent ships are coming. But also that the business is cyclical. You have to be in a number of ship types to counter the cyclical. You have to be -- we have to be better on the lifetime support because that also counts as the cyclical.

The Rolls-Royce Group gives us something. It gives us data analytics, products from Power Systems, service and sales network. It's a very, very good home for a Marine business to grow it into a real consolidator and winner in this market. The return on capital employed, as you saw, is very good.

So to sum it up, if you can take care of the customers, be close to them, we spend enough on innovation -- on real innovation and we think about growth as a profitable growth talking about the short term and the medium term then, 100% sure that we are the winners.

Thank you. And now I think we go over to Simon to go over to Q&A.

Question and Answer

Simon Goodson

Former Director of Investor Relations

I'm just going to speak for about 10 seconds to give the Marine team some time to get into the firing line. Just to remember for everybody on the webcast, you have the facility to ask questions as well and Jilinda will do a great job of trying to get Lawrie's attention so I'll hand straight over to Lawrie get into Q&A.

Lawrie Haynes

Executive

Okay, thank you very much. Firstly, on the panel, we've got the presenters. Also in the room, we have 2 or 3 other key executives from the Marine business. We got Don Roussinos on the far side there, who is the head of the Naval business, and Andy Marsh, who is head of the Services business. So we've got the right people to answer any of your questions. So who would like to start? There's a question there.

Charles J Armitage

UBS Investment Bank, Research Division

Two questions. One on Offshore. As far as I can see, it's gone -- it's a 3% long-term growth business. The problem is, is that if you go back to 2005, it was GBP 0.5 billion, it was sort of GBP 1.2 billion in 2010 or '11. It's now GBP 850 million in OE. What would you like us to grow that 3 -- if we grow to 3%, would you like us to grow it from GBP 0.5 billion in 2005, 1.5 -- GBP 1.2 billion in 2010 or from where we are now?

Lawrie Haynes

Executive

Okay, thank you. I think I'll ask probably Mark and John to respond to that.

Mark Alflatt

Former Finance Director of Marine Division

Okay. Sorry Charles. Do you mind just giving me those 2 data points again. You said...

Charles J Armitage

UBS Investment Bank, Research Division

You've clearly gone through a big cycle, from 2005 when you're about GBP 0.5 billion up to, I don't know, GBP 1.2 billion in 2010 and it shrunk down again. It's a cyclical business. If you're telling us to grow it at 3%, what point would you like us to start growing it from?

Mark Alflatt

Former Finance Director of Marine Division

I don't know if I can give you the individual...

Charles J Armitage

UBS Investment Bank, Research Division

Where are we in the cycle?

Mark Alflatt

Former Finance Director of Marine Division

Well, I think what you heard from Mikael and from John, in fact, there are a number of different cycles in this sector. We've -- the last couple of days you've talked to, perhaps, the oil prices collapsing. And yet what John showed you was actually we're starting to see some anchor handling ordering. So it's actually quite difficult to say this is where we are in the cycle and it's all going to follow down because different vessel types, different equipment types we have are ordered at different times in those various cycles,

Charles. So that's -- it's quite difficult to give you exact data points. You saw from some of the charts that Mikael looked at in terms of market opportunity over the next decade, we see the core part of the market we're addressing today growing by 3% or so over the time frame. I guess, from our perspective, running the business, we're here looking at that kind of time frame, not just year to year. So I can't say, "Well, you should start here, and it's going to be 3%, 3%." And I don't think you'd expect me to do that.

John Knudsen

I think the answer is you can start from today. And the rationale for saying that is there are definitely some segments that will go down. If you look into the PSVs, we think that that's been an area where there has been a strong growth the last years. But you have to also take into account that the value of a PSV compare to an anchor handler or maybe the subsea construction vessels that we really believe that will come now, has a bigger volumes. So yes, there are some headwinds coming. We haven't seen anything so far that the last oil price elements has an impact. So we believe that if we have the selected areas where we're going to grow, and that is into the subsea and into the anchor handlers, as examples, we believe that in total value there's a growth.

Charles J Armitage

UBS Investment Bank, Research Division

Second question is 6% to 32% return on capital. As far as I can work out that means you've almost halved your capital employed over that time period. Can that go further? Do you -- what's the trend on the capital employed side that you can do that?

Mark Alflatt

Former Finance Director of Marine Division

I think certainly been optimizing the working capital, no doubt about it. And as I touched on, if you look through the cycle, we've typically operated on relatively neutral, if not negative, working capital. There's no doubt, I think returns in the market are getting tougher, payment profiles are getting tougher, albeit they are still pretty positive. I think a big driver in the picture, I showed you Charles is both volume, we've seen significant growth in the base of the business over that time, and importantly, services. You've seen services grow significantly. It's about 1.5x today what it was in the start of the timeline. And I think that is an important part of that return on capital mix going forward. And I think...

Charles J Armitage

UBS Investment Bank, Research Division

Employed seems to have halved [ph]...

Mark Alflatt

Former Finance Director of Marine Division

It's come down, but again, be careful with the data depending on what you're looking at in terms of your own analysis. Remember that over time, for example, Marine used to include submarines. So there's been some changes in some of the segmental base, which may or may not be helpful to you. And I think looking forward, as we said, you should expect a little bit more money on innovation and R&D. There's no doubt we're going to be spending money on the footprint, so there will be more investment in the business. I don't think it necessarily transforms the picture I showed you. And I wouldn't be trying to suggest to you it just continues to kind of trend up from the right over the next 10 years. But all the things we're doing on footprint, supply chain, overhead structure and an investment in the portfolio, I think there's no doubt we can continue to earn pretty good returns on the capital base.

Lawrie Haynes

Executive

A question there and then we'll come over here. Thanks.

Christian A. Laughlin

Christian Laughlin from Bernstein. Just 2 questions, please. When you talk about being a consolidator in the Marine market, how much of that is through market share gains and how much through just acquisitions, say over a medium or a long term? That's the first one. And then second question, focusing on Marine services. What do you see as the main drivers of market demand for long-term service contracts in Marine. For example, in Aerospace, airlines like the certainty and predictability of what their service costs are going to be. And do you see this industry shifting into it, over the long term, just like Aerospace has grown into predominantly power by the hour structure?

Lawrie Haynes*Executive*

Okay, thank you very much. I'm going to ask Mikael to respond to both of those points. But I think one of the things, I think it was Sauli who mentioned that we've recently acquired the permanent magnets technology. That was a small acquisition, but it was a pointed, very focused acquisition simply to deal with one part of the technology that we felt was important when we're going into a kind of [indiscernible] and harsher environment. So that's the kind of, kind of small consolidation that we see, but perhaps I'll ask Mikael to respond to the wider question.

Mikael Makinen*Former President of Marine Business*

Okay, thank you. Exactly as Lawrie said. I don't think that the consolidator means that you have huge M&As, but it's technology that we have to require -- acquire. That's what I tried to say in my presentation and then you go to intelligenceship and you go to big data, that's the type. So -- and as we said on the R&D side, yes, more than today but still very moderate. So the future consolidator is not the one who has the hugest portfolio hardware. It's the one who understands how to use data to take care of that hardware. And on the service side, Andy, maybe you can elaborate a bit. You need a microphone.

Andrew Heath*Former President of Energy*

Yes, on the service question. We definitely see that, that long-term service agreements in Marine will take on the same sort of value proposition that we've seen in Aerospace. So it is risk reduction for the customer, predictability in the cost structure they'll have on services. But also some of the things that you heard mentioned in the innovation side and in Mikael's presentation about where the technology levels are going and where the crew sizes are going. So the shipowners in the future are less and less able to do their own maintenance activity on the vessels. So I can't make a prediction for whether it gets to the same level as TotalCare is in the Aerospace world, but we certainly see it to be an increasing part of Marine service market.

Lawrie Haynes*Executive*

Okay, thank you.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

Ben Fidler from Deutsche. There's 2 questions. Firstly, one for Ulrich, actually. Sort of maybe a two-part question to that. Can you outline what real tangible synergy is so far? I know it's still relatively early days but being owned by Rolls Royce has brought to you. And secondly, just looking at this year's trading pattern and actually last year's trading pattern. Your business is extremely second-half loaded. Just to understand if you can help me understand, explain to us, why it has such a second-half loading in terms of the profits compared to the first half profits? And I'll come back with the second question...

Lawrie Haynes*Executive*

First one on the integration -- maybe I'll give you an introduction and then we can ask Uli for his kind of reaction from that. And I tried to give you a bit of an outline in my kind of opening about where we see

the synergies coming and lying. And just to give you a bit of background, what we did when we acquired 100% of Power Systems, we brought together the small team. It's basically the team on this table with a couple of other people. Markus Bergmann, who is the Strategy Director here. We got together and we said "Okay, now we have 100%. What do we do about creating synergy values?" And we identified what we call lighthouse projects. We identified about 10 lighthouse projects, of which about 8 were revenue-generating projects and 2 were cost-cutting exercises. We've been working on honing those down, and we've gotten them down to about half a dozen now. And I took you through some of the ideas that came up. But let me just give you a quick picture of how I see it. The lighthouse projects, engineering, that's what we do. We've seen very clear opportunities in using, for example, the Indian tune-up [ph] facility that Power Systems has, so that we can now integrate the Marine people from Mumbai, from high-cost areas into that facility, a very clear opportunity. We've looked at technology, gas technology that's in the Bergen engine. We have got a gas engine in Bergen, Power Systems does not. So the opportunity for us to use that technology to take it into Power Systems is a very clear one. Fuel diversity, I hope you've seen this morning, is going to be one of the key issues going forward in the medium term. Injection systems, L'Orange, we've got a brilliant injection system as part of Power Systems that we can now use to influence and part of Marine. Systems intelligence, we've talked about that. Pulling the 2 businesses together with -- when we've got additional equipment in energy health [ph] monitoring gives us the level of data that we need to turn into information then to sell in terms of intelligent systems. The things that really strike me about what we've acquired as part of Rolls Royce Power Systems is we've got a Center of Excellence in Friedrichshafen for reciprocating engines. I think it's second to none. So the opportunity for us to consolidate our whole thought process towards reciprocating engines in Friedrichshafen is very clear and very key. We've also got in Rolls-Royce Marine in Norway, a fabulous Center of Excellence in terms of understanding the offshore market. So the opportunity for people in Friedrichshafen to learn on the Offshore market and look at clear opportunities there. If you look at the Bergen engine, the Bergen engine has usually been operating in the Marine market. With the acquisition of Rolls-Royce Power Systems in the landmark, it gives us a further opportunity to sell Bergen engines on land. The footprint. One thing that Power Systems has been doing is they've been developing their footprint in China. Uli is developing engines in China. Rolls-Royce Marine has a small facility just outside Shanghai. The opportunities to move those 2 businesses closer together to use those resources is obviously an opportunity. If you look at the naval business, very close similarity between the customers that Uli sells to in Power Systems -- and that Don [ph] sells to within Rolls-Royce Marine. Same customers using the same types of regulation for bidding, with the same types of product. And as I said in my piece, the admirals that I'm talking to say, "Please put them together because we'd like to have a consolidated proposal from you." If you look at purchasing and supply, we're only at the kind of foothills, now, of understanding exactly what opportunities will come from a collective business of -- on both purchasing and supply chain. Another very small area, but it's all cost, it's all saving, is marketing, joint marketing. My first kind of entry into the Marine market was to see 2 shellies [ph], there was an MTU shelly [ph] in the north shipping and the Rolls-Royce Marine. Sitting not far apart, that was when there was a joint venture in Rolls-Royce Marine. The opportunity for us to bring those together to put joint marketing opportunities out into the market but also to cut costs in only having one facility, very clear. The services, the distribution network that Uli's got, absolutely brilliant. Rolls-Royce Marine can learn a lot from that and bring those services together. And then of course, the prioritization research development and CapEx, again, clear synergy opportunities. And I think most importantly, you heard from Mikael Mäkinen, the approach to the three-pronged strategy. One thing that I've learned a great deal of over the last couple of months is to bring the team together. When you bring a team together like this, they spark ideas off and come up with the view that you could have disruptive technology if we pool our labor and pool our knowledge. It's very difficult to put a value on that, but I think we're positioning ourselves very well for that kind of long term kind of market opportunity. So that's a quick -- I'm sorry, it's a quick summary but I'll pass over to Uli, and he can put some depth into that.

Ulrich Dohle

Former Chairman of the Executive Board and Chief Executive Officer

Well then, much more to say. Maybe one small thing to add on the practical side. IT systems is also something where we -- where we see future opportunities to improve the overall set up. We have been investing in most modern SAP systems over the last 10 years, a lot of money. And I think Mark mentioned

before that in the Marine side -- Marine work, you have different ERP systems, which do not maybe communicate in all cases. So there is something that we can bring to the party also. Your second question, something more difficult to answer. Your question was why we are always so backloaded in the -- I'm 5 years, 5.5 years now with the company. It's my sixth year where I've seen the phenomenon and I really don't understand why it is that way. There are some facts, of course. We have governmental businesses, we have businesses for -- that are due to be delivered always in the last quarter. And we have Marine business where we get orders some years in advance and where we know that the ships are being ready for the engine to be built in, in certain periods, which is normally the second half of the year. So we do historically, 60% of our turnover in the second half. And this is also the -- the revenue then also the cash comes in. So we somehow balance it out in the company, in the factory by prebuilding some components so that we have a better even load distribution during the year. But we always try to better smoothen it over the year. It's very difficult to do obviously.

Lawrie Haynes*Executive*

Okay, thank you.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

The second question, which was just one, possibly just for Mark, or picking on one of Mark's summary points, which is for the future decade, you see growth continuing, kind of the implication was similar to the last decade. Just maybe I'm being a bit slow this morning, but just to reconcile. You've grown your top line 8% CAGR over the last decade. You're talking about Offshore, which is 42% of your own market growing 3%. Marine, which is 10% of your sales growing 0 to minus. I wasn't an A grade at maths, but the weighted average doesn't sound like 8. Or am I misunderstanding what you were trying to say?

Mark Alflatt*Former Finance Director of Marine Division*

No, I think you probably were in A grade at math, but I think you do yourself a disservice. The point I think that came out through the presentations this morning, the points around the opportunity and even just some of the points that Lawrie's just touched on, there's no doubt when you look at this sector, the challenges are getting tougher. The broader industry challenges are getting tougher, increasing environment legislation. Some of the challenges of operating in deeper waters are creating more opportunities for this business than we had -- when you go back to start of that timeline. There's no doubt about that. The opportunities, which we see coming out of the relationship with Power Systems as we integrate those businesses. And I think the final element we touched on a couple of times just around the services model. Services is only around 1/3 of our business today. I don't think it necessarily reaches the 60% plus that we see in Aerospace but there's no doubt it can grow. It can grow as we take more advantage of the service network, both our own and what's in Power Systems. It can grow as we get more capture rate of our own vessels and more capture on the vessels. So I think there are a number of areas where we're still in the early phases of actually capturing what's out there. So I hear what you say about the fundamental markets, it's -- those areas we're going to be able to extend into. And I think driving the services business model is clearly a big opportunity for us.

Lawrie Haynes*Executive*

I'll also go on to say that in my kind of short talk, I talked about the delivery. And 3 years ago, we're delivering original equipment at 30% and now 92%. One of the things that John Rishton's been really clear about is responsiveness in customer. If you deliver that kind of 90% plus every time, then your market opportunity goes up. We were delivering at 30% and still winning market share. So the opportunity is there, that if we can kind of continue to replicate that, which I believe we can, and improve, then that market opportunity widens. Thank you. There's a question here and then we'll come on to the webcast.

Tristan Sanson

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Exane BNP Paribas, Research Division

Tristan Sanson, Exane. A few very basic question on the main business. In Offshore, can you give the split between anchor handling, PSVs and other business? I'm not sure I got it from your presentation. The split of revenues between anchor handling and PSVs and other businesses. Second would be can you give us a feel on the margin mix between the various activities between naval, merchants, anchor handling, PSVs? Which one are above divisional margin, which one are below? And final question on pricing in the industry. Is it a secular trend of annual small pressure on pricing? Is pricing cyclical just like volume? Is it going up every year like for spares like in [indiscernible]? How should we look at it? Thank you.

Lawrie Haynes

Executive

Interesting questions. I think I'm going to ask John to address those. I think the first one was anchor handlers and PSVs. Want to give a...

John Knudsen

In general, as a comment, it's difficult to split in 1 year. So I would say that it fluctuates from year to year. And some years, the PSV is big; and then the anchor handlers, it becomes big. What we've seen in the last year is now that the PSV has been quite big. Now we believe the anchor handlers are getting bigger in the subsea construction. So go into details and split that is very difficult. And when it comes to the margin picture, normally on the high end of equipment, then there's normally a better margin than when you come in small to the commodity. And in our world, the PSVs are more commodities than an anchor handler for instance. And your last question was...

Lawrie Haynes

Executive

The pricing trends.

Tristan Sanson

Exane BNP Paribas, Research Division

[indiscernible]

John Knudsen

To go in to do the splits here is the same answer. And when it comes into the pricing mechanism. We are definitely businesspeople. So in high peak, we definitely want to get maximized value. And of course, in tougher conditions, we take what we can. But of course, the key market share is also important. And what we have demonstrated today, hopefully, is that this is a true enough [ph] business model that goes over 25 years. And I can promise you that we do not take contracts if we don't see an overall sound business.

Lawrie Haynes

Executive

Okay, thank you. [indiscernible], you've got a question on the webcast.

Operator

Yes, a question from Nick Cunningham at Agency Partners. And it's a question on the price of oil. At what barrel price does the significant part of the Offshore ENP that is currently planned become unattractive and start to impact your end market volumes? Conversely, is there a barrel price range, which favors offshore above onshore?

Lawrie Haynes

Executive

Okay, thank you very much. I think Mikael, do you want to do that?

Mikael Makinen

Former President of Marine Business

First of all -- I mean, if you start with the oil prices, nobody can, of course, match Saudi Arabia where it's \$2.50 per barrel. So that's the lowest, lowest range. And the highest range is then the unconventional oil where it can go up to 80 to 100. And offshore is somewhere between 45, 65. Then, if you will go to Arctic, it will go further upward. So it really depends on the area, where you are. It's not only dependent on the water depth. It depends on the area. It's more expensive in -- outside Brazil because you have to drill through salt, 20 meters of salt and on the way down and so on. But we are, still today, the oil price is far above that.

Lawrie Haynes*Executive*

I think as well my response as well to this question is that we are looking at this as a kind of long term, as a 30-year program. So there are various people not just looking at the short term when it comes to investment. They're looking at a much longer cycle. So it isn't directly appropriate to say well, the oil price has come down this week, and therefore, it's going to impact on the long term.

Mikael Makinen*Former President of Marine Business*

No, I mean if the oil price would be for 2 years below 50, then it would have definitely the impact.

Lawrie Haynes*Executive*

Okay, next question.

David Howard Perry*JP Morgan Chase & Co, Research Division*

It's David Perry at JPMorgan. If I just go back to your July guidance rather than the guidance from Friday. For Marine, you were guiding to sales down 10% at constant currency and Power Systems around flat. About cellar [ph] at that stage was still guiding to plus 5. So I just -- and the CEO, your big CEO, John Rishton, made some quite open candid comments back in February about market share and the need to have more medium speed diesel to cross-sell the equipment. So are you losing market share? And does that correlate to Mark Alflatt's comment about this business, Marine business having been underinvested over the last 10 to 15 years?

Lawrie Haynes*Executive*

Okay, thank you. I think in terms of the kind of general view, what we've seen over the last few months is actually a degradation, particularly in the very short-term market, the spares market and some of the upgrade market. I mean it's very -- as Mark stated earlier on, there's a very limited visibility on that side. So that's where we've seen some of our customers, and we can -- all we do is react to our customers. We're not a market maker in this sense. So we react to our customers and that market has come off over the last few months. So I think that's one of the key issues, if you like, over the last -- from the half year to today. I'm going to ask Mark -- perhaps he could respond to the wider question there.

Mark Alflatt*Former Finance Director of Marine Division*

In terms of market share, I guess, Dave, you were getting at. One of the observations I think we've tried to get across, and it came out in 2 or 3 places today, we've got a very wide range of products that we do, more than 200 different products across vessels sections. So being able to look at individual sections and say, well, are we doing well on market share there, there or there, is quite difficult to turn that into something that's really useful to you because in any given year, you'll have a certain number of vessels ordered. Even John just touched on we've had a number of good years for PSVs, but anchor handlers have been relatively small. So you might look at market share for anchor handlers and say well, actually Rolls-

Royce did really well at anchor handlers, but there were only 20 vessels of all those [ph]. So looking year-to-year without the market shares doesn't necessarily tell you the picture. I think in terms of, at least in the Marine piece, I'll let Lawrie [ph] talk about the Power Systems piece. Within the July guidance in terms of what was happening to revenue, part of that was reflecting we could see last year coming out of 2013 that we had seen a slowdown in the Offshore sector. We could see that in the order book. We could see we expected that to hit this year. So that's been part of the picture this year. So I don't think that necessarily tells you about the market share in the Offshore piece. I think it's just telling you there was a slowdown in some of the vessel types. And we could see that coming through the OE revenue line. The other element, as Lawrie has exactly said, it's that the aftermarket piece is a Time & Materials business today. Customers have more discretion about the timing and placing of those orders. And it's been slower. And that's -- that is the nature of the marketplace. So I think it's quite difficult to say we're losing market share across these ranges, and that's impacted the 10% down. I think it -- cycle across some of those vessels types, which we could see coming at the end of last year. It was in the comments we made.

Rupinder S. Vig

Morgan Stanley, Research Division

Can I just ask one follow-up for Sauli, please? I hope I pronounced that right. Maybe I misunderstood it, but if I go back to the 4 years ago presentation and all the work I've done, I thought we were on the cusp of a big wave of new regulations on emissions coming in around 2016. And that was also why Tognum had been spending a lot of money on a new family of diesel engines. But in your presentation, you didn't seem to refer to that. You talked about something out in 2025. So have I got it wrong? Or is there some regulation that's coming right now that is going to drive demand for new equipment?

Sauli Eloranta

There was this NOx regulation that was postponed. So the whole industry was preparing for that Tier 3 introduction. And I think it was January 1, 2016 when it was supposed to come in force, and it was delayed. And that is also just for newbuilds. And today, you have a downturn in sort of merchant shipbuilding. So that's also not impacting that many. The number of annual newbuilds is lower in merchant shipbuilding than it has normally been in the peak years. But that was kind of maybe the thing. So the one in post-2020 is the global regulation for sulfur emissions that I was referring to. But sulfur emission is in a way impacting the entire fleet of 130,000 vessels in the world. So that is a massive change compared to this NOx thing, which is impacting newbuilds. But of course, for newbuilds that's a massive change if you want to go to Tier 3 compliant.

Lawrie Haynes

Executive

[indiscernible] The picture is much more diverse. We see different emission legislations in the segments of Marine, different from construction industry equipment, different from Power Generation. And again, different from specialty areas like rail and locomotive. And these emission limits and the introduction dates are again different, in the different area of regulated countries. So EPA controlled are different from the one in Europe. Basically, the Tier 4 emission started 2012 with Tier 4 interim in the EPA and then it was followed by TFA [ph] finally in '14 and '15, depending on what area you're talking about. For Europe, we just have seen introduction of emission Stage IIIB for locomotives in 2012 and for small engines now in 2014. So we had a big prebuy effect in 2013. For what Sauli is referring to, the IMO legislation that was actually postponed from 2016 to a later time, was not fully adapted by all countries. So the United States, for example, insist to have this legislation being implemented in 2016 around the coastlines of their territory. So if you want to enter the environmentally controlled areas around North America, you need to comply with the same emissions that would have been necessary for [indiscernible]. So if you're a Tier 4 -- so we have to have engines available for this emissions legislation. So it actually has been the key driver in the last, let me say, 10 years for us to renew all our engine lines, small ones, big ones, very big ones, to make them comparable with emission legislations that have been started to be implemented in 2011, '12 and will continue to '16 and now in Europe. So we have to have that -- we are talking stage 5, which would be implemented from '19, '20 and '21, depending on the power range that you are on. So we are constantly basically working on solutions to make our engines fit for these restricted markets.

Lawrie Haynes*Executive*

I think I'll just follow on from that. [indiscernible] as far as I understand it, and I'm not the expert here, Uli is. This is an on-off switch. If do not comply with the tier regulation, the IMO regulation, the environment protection area regulation, you cannot sell products for that market. [indiscernible]. So it's a necessary investment that we make in order to be in the market. It's not a question of well, we'll do this because we think the customers want it. It's a requirement.

Unknown Analyst

Just to follow up on that. Well, you said there was a lot of different regulations. It's obviously, much more complicated than I make -- suggesting it is. But it just seemed to me that a big part of the Tognum investment case, which you've clearly spent a lot of R&D over the last 6, 7 years, your new family of engines is ready now. And yet it seems as if it is not mandatory to buy those engines in large parts of the world. Is that a fair assessment? Does that change the business plan at least near term for the engines you've been developing?

Ulrich Dohle*Former Chairman of the Executive Board and Chief Executive Officer*

To the third portion, you're right. We're selling the majority of our engines into not regulated countries. So that is where, let me say, the old generation of engines are still being produced and are available and can be sold. But if you want to play in North America, in Europe, and if you want to sell your engines into these areas, you have to have engines available that comply with the latest and most stringent standards. So basically, we have everything in our portfolio. And it just a question of time when other countries like China, for example, will follow emission legislation that are being applied in Europe or in the U.S. We see this happen for unrolled [ph] applications for trucks, for passenger cars. And the same is being -- is taking place and going to take place in countries like China and India, which are big markets for us. So I think we are well equipped, and we are well invested in having the latest technology available. And the one thing is that our main competitors also invested heavily in new technology engines. So unluckily, the prices of engines go up with much more technology. But it happens to all our competitors, so I think we're in good shape there.

Unknown Executive

John, do you want to comment?

John Knudsen

Just a quick comment from the market side. I really do believe that when, in reference to China, for instance, pollution in China, that will be also a key demand from these kind of countries. So when the IMO Tier 3, or whatever we call it, kicks in, is [indiscernible] big graphical spread than what you could foresee in 2016. So to be prepared for that future, I believe is a strong benefit because it's not only about the engine. It's about the complete system that, that works proper. And then that should be operating in even harsh environment as well. So there's a pro and there's a con for this matter.

Lawrie Haynes*Executive*

There's a question towards the back there.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

Rami Myerson from Investec. 3 questions. Mark, you started your presentation and you commented about seeing Rolls-Royce from the -- externally in your perception and after being here for 5 months in the business. How do you perceive the business, particularly to your competitors and to best practices? And what do think -- how do you perceived the gap to best practice to be on operations? On second question for Mark is thinking about the cost savings, you described an opportunity, which would suggest more than

GBP 100 million of cost savings. And trying to think about -- I imagine there's some pricing pressures that are going to offset some of that and maybe other things that we haven't identified that could offset some of that cost savings. And lastly, relative to the beginning of the year, your customers have deferred their services. I'm sure you have had conversation with the customers. From those conversations, what is causing them to defer some of those overhauls and some of the upgrades? If you could provide some of that quality [indiscernible]...

John Knudsen

I think what I'm going to do is ask Andy again to respond to the last question first. And on services you'll get direct knowledge from the person that's at the front.

Andrew Heath

Former President of Energy

This is always difficult because I stand up after the question's asked and I can't tell who asked the question. I don't know where to look. Okay, thank you. Yes, so, in terms of the customer feedback on some of the deferrals, I mean there's a variety of reasons, of course, that go on, and typically, it has to do with their ability to secure contracts for their vessels. So just in some cases, just a matter of timing, 2, 3 months takes us over to the end of the year into the following year. That sort of thing. So I wouldn't say there's any major trend going on in the deferrals that we've seen, where we have seen them. But typically, it is related to timing of the contract they have in the vessel that they want to get. In terms of upgrades, it's a little bit different because upgrading a vessel or a rig will sometimes take it into another category of marketability for the -- for our customer to take to their customer. And so, as Mark pointed out, I think there's a lot more discretion in how they spend their CapEx money. So on the maintenance requirements that they're differing are typically coming out of their operations and maintenance budget and the upgrades that they want to do are coming out of a capital spend budget out of a CapEx system. So a variety of reasons, but in principle, on the ones I think you're referring to, it has more to do with their ability to get those vessels on contract themselves.

Lawrie Haynes

Executive

Mark, do you want to respond to the cost savings question?

Mark Alflatt

Former Finance Director of Marine Division

Yes, I mean I guess your question was driving at, "Well, what's that going to do to margins?" And I think maybe if I can go back a stage because the things we're putting in place now are not new initiatives we've kind of chased over the last 6 months or 12 months. When we started to look at this picture 2 or 3 years ago, it was clear that we needed to transform our cost base. And we set out with a number of opportunities around the structural part of the cost base. Our footprint, the way we're organized, the elements I talked about in overheads in terms of systems and then the sourcing points I touched on at the end with engineering and purchase. And we'd set for ourselves an objective at the time around 15% of the cost base. That's what we felt we needed to do, which on the steady-state base, was somewhere around about GBP 300 million of costs over a number of years to drive that competitive offering. And that was again, some environment we were seeing, particularly on the OE side of volumes falling and prices under pressure. So that's the kind of framework we set out with. And then I've kind of showed you the progress and the various elements. Your GBP 100 million, I guess, is about right for some of the spend, for example. I guess the way -- if you look at the business today, I've said there are going to be some minuses as well as some of those positives. Pricing is not getting any easier. John talked about the environment, particularly in Offshore. I think it's fair to say the Merchant sector is still pretty challenging. Volumes are still pretty difficult, and pricing is pretty aggressive. So I think pricing is a negative this year. I think the kind of things we're seeing in the market in many of our OE businesses is still pretty difficult on the pricing environment. I think you should expect us to spend a little bit more on R&D so that will be a bit of a burden on the margin. But I guess when I kind of add them all together, the things we're doing on a structural cost, on the footprint, on the sourcing changes on engineering, on overheads and systems. I

think there are some net opportunities in all of that and then we overlay the opportunities we'll gather as we kind of consolidate and integrate our Power Systems and we'll see.

A big driver, as you'll see in this year, in terms of mix is the aftermarket and that tends to come with a higher return. So there's no doubt when we look out over 3, 4, 5-year period, that these current range of transformation programs are going to run. There are more positives than negatives, absolutely. At any point in time, frankly, it's going to be reasonably balanced by the revenue mix. And that's part of what you've seen this year.

Lawrie Haynes
Executive

Okay, thank you. Mikael, I know we are running out of time so a quick commentary on your experience.

Mikael Makinen
Former President of Marine Business

On my experience, I went through a few items in my presentation. But if you really look at it, innovation and engineering, I think -- we are world-class. Now we are talking about the Marine industry. As Mark said, we need to spend a bit more to get it, a number of new generations of our products. Agility, I think that there we have a way to go. By agility, I mean, reacting to the market, changes in the market, but also implementing effectiveness measures. I think that that's an area where we could be faster. Customer focus, very good in certain markets like Norway, for example, but maybe not worldwide as customer focused as we should be. And then we were talking about Asia that we need to be stronger there also.

Lawrie Haynes
Executive

I think we have time for one more question.

Unknown Analyst

[indiscernible] in days of yore, when we were vicars, and we had all the synergies with battle tanks and baby incubators, selling the UT design was regarded as the way of pulling through our product. Latterly, we've -- I know we're going back. But latterly we started talking about the engines as being the pull through for the product, so which of the 2 is it, or is it both, or is it some combination?

Lawrie Haynes
Executive

The answer is it's both. It's interesting when we go -- depends, sometimes if we go to the owner. They'll specify that -- they'll identify what products they want and some time it could be they want the Bergen engine or a particular high-speed engine and then the rest pull through. But quite often in the market we are finding that our tech machinery, some of the great components that we've gotten and people will see later on, that's the pull through for us and then to sell the engine. So it is both. Okay. Mikael, do you want to...

Mikael Makinen
Former President of Marine Business

Just a quick comment on that. Any shipbuilding project starts with the engineering, starts with the design of the ship. So whether you call it pull through or not, if you are into that design phase, you are interfering with the customer at a very much earlier stage than when they start buying components. So -- that might be that then the real pull through is then, the engine in the end but you'll get into the project earlier with the design. So it's both.

Unknown Attendee

This is quick. So if I sense that's there's fewer UT designs selected in a year because they've gone to Holstein [ph] or Vard [ph] or somewhere, should I be alarmed by that? Or should I sort of just regard that as life?

Mikael Makinen

Former President of Marine Business

John, what do you think?

John Knudsen

I don't think you should be alarmed at all. I think that we have 2 different approaches. One is definitely to sell the -- our own UT ship design. But the other one is that, which I showed you earlier today, that we have 70%, 75% of the winches on an anchor handler. So this is really about the blend of the margin and the volume. And I think we have to accept that yards are also building up ship designs and groups inside their yards. So it's really about making sure that you win when it comes [indiscernible] our own ship design that we win the packages. And if the customer comes and asks for you to design, we give them then the complete offerings. So to me, that is business. It's just to make sure that we are in good conditions for the 2 different business dreams [ph].

Lawrie Haynes

Executive

Okay.

Mark Alflatt

Former Finance Director of Marine Division

If we look back at John's business for the last 18 months, the tenders you've been winning have been as many about where you're designing as actually where you're providing equipment onto other designs, so you won in both of those spaces, I think.

Lawrie Haynes

Executive

All right. Well thank you very much. I'm going to conclude now. If you don't mind, I'm going to thank my team very much for their efforts both in preparing for today and the presentations. I hope you found them useful, beneficial. Part of the intent of the day was to partly educate you to what the Marine market is. I hope you found that beneficial.

So with that, I would like to now conclude the webcast and close it down. Thank you very much.

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Rolls-Royce Holdings plc LSE:RR.

Analyst/Investor Day

Monday, October 20, 2014 5:15 PM GMT

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Presentation

Simon Goodson

Former Director of Investor Relations

Okay. Good evening, everybody. For those that don't know me, my name is Simon Goodson. I head up the group's Investor Relations activities. Just a few housekeeping items before I hand straight over to John.

Firstly, safe harbor language that many of you have heard before. Over tonight and tomorrow, you will hear various forward-looking statements about the group and its underlying businesses. Those statements are based on our current view of the future and, of course, can change over time. So please take them in that vein.

A couple of other housekeeping points that you should be aware of, particularly relevant for people in the room. Although some may think that we would have planned it, there is no fire alarm planned. So if the alarm goes, please make your way out of the room and exit the building left or right, and we will gather outside as soon as possible.

Normal mobile phone protocol applies. So please put mobile phones and other equipment into flight safe mode or even switch it off would be even better. In terms of the running order this evening, John is going to speak for a few minutes before John and Mark host the question-and-answer session. We will be done by quarter past 7, 19:15 local, prompt. For those around the world, that is U.K. plus one hour.

One final thing that everybody should be aware of, that we will be, over the next day and a bit, filming the events. So please, smile for the cameras, if you can. If you are asked about the event, we would welcome your honest views about the event or otherwise. So thanks very much, and thanks for coming to Norway.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Simon. Good evening, welcome, thank you very much indeed for joining us here in what is probably the wettest part of Europe. I am told reliably that Bergen, it rains 362 days of the year and maybe 1 or 2 days less here. It's really good to see everybody here. We do appreciate the amount of effort that you've made to come and visit us.

Earlier this year, we were criticized about our communications, and we committed to try to improve those communications. And if I talk about communications, I'm going to split it into 2 parts. The first part is really about helping you understand our business better. And clearly, bringing you to Alesund, clearly, getting our Marine team here with the events that we've got planned over the next day, is part of helping you understand our business better. The second part around communications is updating you on the business and how the performance is going. And as you are all well aware, on Friday, we issued a trading statement, which covered the current year 2015 and the medium-term outlook.

We had a lot of feedback from the announcements that we made on Friday, as you would expect, and we will reflect carefully and thoughtfully on the feedback that we have received. We are trying to go from providing only in-year guidance, to providing a lot more information. And I know, because you've told us so, that you want more information, and that we didn't fulfill everything you expected us to do last week in terms of the information requirements. We understand that, and we will reflect carefully, as I say, and thoughtfully, on how we can improve that.

The fundamentals of this business are strong. You are aware of that. You're aware that on the civil aviation side, the demand for aircraft in the future is underpinned by growth in emerging markets, where we're seeing 100 million people a year enter the middle classes. We're seeing huge population growth over the next 10, 15 years, 1 billion more people on the planet by 2025.

You're also aware that the carriers today, with the fuel costs, are looking for all ways that they can to reduce that primary cost of their business. And the way that they do that is by replacing old kit with new kit. So the demand on the civil side of the business, the fundamentals there are strong. The fundamentals

on the land and sea side of the business are different, but equally strong. The demand for energy in the world will increase, and it will increase significantly in the coming years driven by the same or similar factors: population growth, urbanization, increasing affluence. So any forecast you look at for energy growth, you will see an increase. But in the short term, we are being impacted by the economic environment, and we have seen that deteriorate quite quickly in the recent months.

And the thing that you have all seen, for example, is the reduction in fuel price, oil prices, over that period of time, from around \$100 a barrel, down to, I think I saw it at \$83. I don't know what it is today. Significant reductions there. That says that we have to focus on the things that we can control rather than the things that we would like to control. It says that our revenue line is going to be impacted, which means that we have to put more effort into accelerating our focus on cost, and that's what we will do.

Let's move to land and sea. Let me show you a video.

[Presentation]

John F. Rishton

Former Chief Executive Officer and Executive Director

The anchor handler. I've been on one of those. Fortunately, I have to say, it was in the harbor, not out at sea. I have the greatest admiration for the people that go out there on those ships. It doesn't look particularly attractive to me.

Tomorrow, we're going to get you out on a ship. You'll be delighted to know that in your packs, when you get to the hotel, you'll find a poncho and a warm hat. I would advise you to bring them tomorrow.

1904 was a big year for Rolls-Royce and a big year in Alesund. 1904 Rolls, Henry Rolls -- Charles Rolls met Henry Royce in the U.K. and they formed this company. In 1904, in Alesund, the town burned down. It was made of wood, entirely of wood, and a cow kicked over a lamp, burned the whole town down in January. It was completely rebuilt from stone, and is pretty much as you see it today. It is a very attractive town, and one that I would recommend that if you get any chance, you have a little look at.

Norway is about 0.1% of the world's population. It punches well above its weight in terms of the maritime industry. It controls the second biggest maritime fleet in the world, and it has leading technology in this country.

We have an important place to play -- part to play, in Alesund. We are an important business in this area. If you look around Alesund, you will find 14 shipyards. You will find over 100 suppliers. You will find 22,000 people employed in the marine industry, about 3,000 from Rolls-Royce.

We have this center, which is our technology and training center, which is where you're sitting now. And here, you're going to find and you'll get a chance to see some of the most sophisticated simulators that there are in the world. I would encourage you to have a look at them tomorrow, because if you don't get sick on the boat, you'll probably get yourself sick in the simulator.

We have a factory at Ulsteinvik, which is a ferry ride away from here, about 30 minutes' drive, where we make thrusters. Our steering gears are made in another factory in Brattvåg, which is about a 30-minute, 40-minute drive around the fjord. And we have, on an island called Longva, our automations and control business. This is an important center for Rolls-Royce, an important center for maritime and the industry. Very important in terms of the Oil & Gas business.

Tomorrow, one of our most important customers, Island Offshore, is lending us one of their vessels, Island Pride, which is a PSV. It's a UT-designed vessel. UT is Rolls-Royce designed. There are 800 UT vessels that have been made. The first one was made 40 years ago. It is still in service today. We get decades of revenue from these vessels. The original designer worked for this company, his son works for this company. His son is currently designing the most complicated and sophisticated UT vessel that we have, the UT 777. I was delighted to learn that, because I reckon it's the only way I'm going to get an engine on a 777.

These are the mega trends that drive our growth. As I've mentioned, 1 billion more people on the planet by 2025. Urban growth, 1.5 million people more per week moving into the urban areas. 100 million people a year join the middle classes. Climate change, a major issue. 90% of the world's trade is by sea. Much tighter regulation on emissions in marine.

Rather surprisingly, other areas, whether that's cars or aircraft, had much stricter emissions controls for much longer. But emission controls is a huge and changing issue within our industry, and we have the technology to address that.

Huge increase in energy demand, and say 30% increase in demand for energy around the world in the future. So these are the global trends that are driving our business. And there are very few companies in the world that have the capability to be able to address these trends. We are a complex, integrated power systems business. That is the common spine across the whole of the company. It's what we do. And what you're going to learn over the next day is how complex some of the business is that we do in Marine that many of you will think is fairly straightforward.

This is a complex, integrated power systems business, with an original equipment and aftermarket market. That is a common element across Rolls-Royce. And what's interesting in the Marine business, particularly in the Oil & Gas business, is that oil finds are further out at sea and deeper down. The environment in which the oil companies have to invest is getting more and more challenging, and that plays to our strengths. The original oil and gas vessels that we use in the Gulf of Mexico proved useless in the North Sea because they couldn't cope with the conditions. That's why Norway became the center of expertise for developing those vessels that could cope with harsh conditions, that could manage deep sea exploration. That's what we do. That's what we are, and that's what's there's going to be more of in the future.

We know that the oil companies, whilst they are reducing their investment at the moment, will inevitably have to increase their capital expenditure in the future to explore those deeper and more difficult to get to fields. That plays to our strength.

Innovation also plays to our strength. This is a picture of something that's called an Environship, and there's one operating just down the coast from here. The second one will be in China. 90% less NOx, 40% less CO2 than its predecessors.

In the Aerospace business, I'm spending billions of pounds employing brilliant people, and they are driving 1% fuel-efficient improvement in a year on average, 90% reduction in NOx, 40% reduction in CO2. That is an extraordinary transformation, relies on 4 critical parts to it: the engine; the hull; the Promas propeller and rudder system, and fortunately, there are people in this room that can explain those far more articulately than I can; and the hybrid shaft generator, which I'm sure you're all very familiar with.

That is the kind of technology that we do that transforms the business that is demanded in the new world where the environment and emissions are getting more and more important to the industry.

This is the Bergen B33:45, named by our marketing department that spent years trying to come up with a catchy name. The 33 is the diameter, the 45 is the stroke. We are not imaginative, but what we are good at technology. 20% more power per cylinder, significant improvement in fuel, reduced service cost. And here's the thing to put it in perspective of people who are used to the aerospace business, this took us 3 years and cost GBP 25 million. Now it comes off the block -- or it comes off the basis of the existing engines. So if we developed a completely brand-new engine, and Uli will talk about that -- Uli Dohle, who is the CEO of Power Systems business will talk about that, certainly, a little bit maybe tomorrow, but certainly, when we get out to Germany next year. 3 years, GBP 25 million, 20% improvement power per cylinder.

Designed in conjunction with our customers, who decided that was the kind of engine they wanted. The block can use gas or liquid. It doesn't require any change at the block. Very sophisticated, brand new, 3 years.

So let me just conclude this brief introduction with 3 things that I think will be helpful that you remember, because over the next day or so, you're going to get bombarded with information about our Marine business from a number of people that I'll introduce to you over dinner tonight.

The medium and longer-term demand in this business is strong. The fundamentals are strong. We have intimate relationships with our customers, particularly here in Norway. We know them very, very well. They know us very, very well. They talk to us all the time. We are aware of what they want and why they want it. That's why we can do the kind of things that we do. We work hand and glove with them. The underlying fundamentals of the business are strong.

We have some extraordinary technology. It is complicated and sophisticated. It is not quite as many of you, I'm sure, imagine. When you get to speak to the guys on the ship tomorrow, when you talk to them about what they do, how they do it, and how they rely on what we do; when you talk to people about the integration of those systems within the vessels; when you understand the critical nature, the mission-critical nature, the safety elements of them, it is extraordinary. A winch, which many of you will think of as being a simple item of technology that just winds in and winds out. Let me tell you, when you get to see the winches on an anchor handler, they take you to a different place. These are sophisticated winches, incredibly complicated.

Our head of innovation will talk to you tomorrow about what we're doing in innovation. So the fundamentals of the business are strong. Intimate customer relationship, strong technology, which sounds pretty much like our strategy: understand your customer, make sure that you satisfy your customer. Understand the technology, deliver superior technology that the customers want and need and are prepared to pay for. And in combination, we will drive profitable growth.

This is an exciting business. This is a really exciting business. This is a business with a wonderful future. This is a business that has grown up over many years. Norway is the heart of the marine business for oil and gas. Norway understands the complex nature of getting oil out of the sea in harsh conditions. Rolls-Royce understands that intimately. This is where we're from. This is what we do. And as the world wants more oil from difficult to get to places like the Arctic, this is the company they're going to come to.

Now Mark and I are very happy to take questions on anything you care to raise. Tomorrow, you will have a chance to ask questions specifically around the Marine business. But we'll take questions on anything you have today because we've got experts in the Marine business sitting with us tonight.

We've got microphones around. As usual, if you could wait for the microphone, if you could say who you are, and then we can take the questions. We also have the WebEx, and people on the WebEx can also ask questions. And I think, Jilinda and Simon, you're going to handle those, so we'll make sure that we come to you as necessary.

Mark, why don't you come on -- come and join us?

Question and Answer

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, questions. We have one just here. I think, it's a half-raised hand or fully raised? Fully raised. Just here in the front -- or in the front, the middle, on the side. Thank you.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Jeremy Bragg from Redburn. I'm afraid I'm wanting to go back to the guidance, the medium-term guidance.

John F. Rishton

Former Chief Executive Officer and Executive Director

I guessed you might do. Fortunately, I've got Mark with me, so we're okay.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

I just wanted to understand about the decision not to guide on revenues, specifically civil revenues. I understand that the short-cycle industrial businesses are volatile, but you should have a pretty good idea of your revenue number in 2018 or whenever the medium term is defined as for civil, which has allowed you to give the margin target. So I wondered if you might comment on where you think civil revenues would be then, please.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I mean, clearly, one of the things that we've disappointed people with is the absence of revenue information across the piece. And if I split that into 2 parts, there's the part -- the civil part, which you're talking about, and there's the Land & Sea. We reflected on that, and we decided that we wouldn't give revenue information at this time. I think that it is, at least to my mind, understandable on the Land & Sea side, which is the point that you're getting to, in the sense that trying to predict exactly when the economic recovery and who's going to spend what and those kind of things. Shorter cycle businesses are more difficult to predict, but we've been criticized for not giving that, and we've heard that criticism. On the civil side, certainly, one of the reflections we can give, is should we give some guidance on civil revenue? And I'm not clearly going to answer your question sort of off-the-cuff tonight, as you would expect, but what I am assuring you and everybody else of, is we are very clear on that kind of feedback and we listen to it. We are working hard to make the transition from providing only in-year guidance, which is what we've done for the last 30 years or whatever, long period of time, to in-year, next year and medium-term. And whilst that sounds relatively straightforward, it is -- it's a journey, in my view, and we know that we've got some way to go on it. But I take your point, we reflect on it, and we won't ignore the point. We'll reflect carefully on it. We'll come back and explain what we are or not going to do. Mr. Perry, right in the front.

David Howard Perry

JP Morgan Chase & Co, Research Division

David Perry, JPMorgan. So John, on Friday, you painted this dystopian view of the world: China's bad; Brazil's slowing; Russia's bad; commodities are down; Eurozone's weak; but your guidance seems to imply that all 3 of your industrial divisions are going to have rising profits in 2015. If I've understood that correct, can you try and square that circle for me?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, I don't know, you want to comment a little bit on that? [indiscernible]

Mark Morris

Former Chief Financial Officer and Executive Director

I think in terms of -- this is 2015 you're looking at. No, I don't think you can infer that in terms of what we said so far.

David Howard Perry

JP Morgan Chase & Co, Research Division

You said civil's down, clearly, on the call. Defense, or maybe it's not down, but trending -- mid-teens margins is your trend and this year 40 and 70. To get to your profit guidance, MIPS has to be up significantly, and yet all this recent macro [indiscernible] that John talked about is going to be much more [indiscernible] in the next year than it is this year.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, yes, I -- your math doesn't quite work...

David Howard Perry

JP Morgan Chase & Co, Research Division

Well, if my math doesn't work, can you clarify? Because I think everyone in the room shares my math. And we've all been on the same plane, we've all talked about the same thing.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, first of all, we haven't guided any segment level. And of course, when you try and add up segment numbers which we haven't even given you for 2015 yet, other than some inference about direction of travel on civil relative to 2014, you can't conclude that assessment. And it's also just worth recognizing, obviously, when we talk about group and with the segments themselves, you can't just do a straight add up from segments to group because there is some intergroup trading as well that comes through. So some numbers need to get stripped out of there, but I don't think there's anything in there that suggests for a second that -- and we haven't given guidance on any of the divisions yet. So when we get to 2015, we will give guidance on 2015 by segments.

John F. Rishton

Former Chief Executive Officer and Executive Director

What I would say, Dave, is clearly, we've seen a weakening in those divisions during the course of this year. So you've got to get to what '14 is, then you've got to get to what '15 is, then we've got to understand what the civil growth is in terms of what's happening, what we think is going to happen next year. So there's a combination of moving parts there that make that the conclusion that you've reached, which I understand, but we'll reflect -- yes, we'll reflect on it. Then there's the range that we've provided clearly, which is a fairly broad range on revenue and a fairly broad range on profits coming off the forecast that we've got for this year. But again, I understand the point that you've made, and we need to reflect a little on that as well. Yes, let me go back over here.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec. Two questions. I appreciate that it's quite difficult to provide a number or a range 3 or 4 years from now, particularly given the volatility in the markets, but it would be helpful potentially to try and talk particularly in maybe the Marine business about sensitivity, particularly to the oil price, going -- moving from \$100 to \$80 or maybe different direction, how that would potentially impact the revenues, as annual expectations for growth in OE and services. And the second question is just on technical. The 80% cash conversion, because you've changed the definition, the cash guidance, can you just clarify what exactly that implies?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Okay. Let me -- maybe I'll get Mark to talk a little about cash. In terms of the oil price, clearly, a reduction in oil price will inevitably force oil companies to reflect on their cash flows and what it is they're going to spend and how much they're going to spend. And clearly, that isn't something that I control or isn't a direct tie between a price of this and the investment spend of that. But clearly, it's an important consideration. One of the things that Mikael Makinen, who's the President of Marine, is going to talk to you a little bit about tomorrow, is the cycle that we see in Marine and where we play in those different cycles. So what you see in the Marine business, the Oil & Gas business is, first of all, you've got the exploration part, so where is -- so there's the seismic vessels that we play a part in. Where is the oil? Then you see the development into platforms, supply vessels, anchor handlers. So you've got this cycle going on. So one of the things that makes it slightly more complicated, and Mikael, as I say, will talk some -- quite a bit more about this tomorrow, is where exactly are we playing in those cycles? So where's the value for us? And where do we think we are in those cycles? Because one of the things that may be slightly surprising, and again, I'm looking at Mikael, is that we've got orders for anchor handlers, which surprise a number of people, because people say that, "Well, anchor handlers should be down." But actually, we've got new orders for anchor handlers coming in because of where companies are on the cycle. So you've got the oil price, which determines in some shape, size or form, how much the oil companies are going to spend. Then you've got the decision in the oil companies about where they're going to put that spend. And that, to a certain extent, depends on where they are on the projects and what they're trying to bring online. I'm not an oil and gas guy, but if I understand their kind of business, the thing that they know about and understand the best is oil under the sea. They know that, they get that. That isn't where their major capital expenditure is. That tends to be in the big LNG and some of the more challenging environments. So there isn't, in my view, an absolute direct link that says if the oil price goes from \$100 to \$80, then this happens and this happens and this happens to us and vice versa because of the different cycles that we operate in. But this clearly is a linkage because it affects the total spend. I don't know if, Mikael, if -- you're going to cover a little bit more of that tomorrow, but I don't know what [indiscernible]. Is -- yes, okay. And on the cash conversion, Mark?

Mark Morris*Former Chief Financial Officer and Executive Director*

Your -- sorry, your question was about?

Rami Yehuda Myerson*Investec Bank plc, Research Division*

What's the definition of the cash conversion rate [indiscernible]?

Mark Morris*Former Chief Financial Officer and Executive Director*

It's versus EBIT.

Rami Yehuda Myerson*Investec Bank plc, Research Division*

Free cash flow...

Mark Morris*Former Chief Financial Officer and Executive Director*

Free cash flow of EBIT, yes.

John F. Rishton*Former Chief Executive Officer and Executive Director*

And again, if I just pick up on that, because it's a point that I made, and was made in the press release, but I want to go back to it. What we said in the civil business is as the OE levels off, you get the shift

between the aftermarket and the OE, which you're all familiar with. As the products mature, you've gone through parts of the launch pricing, you've gone through parts of the launch cost. As the volume increases, we utilize our capacity far more effectively. And what I said in June was, based on our view, that happened -- started to -- I used the term, inflection point, was 2018. I think a couple of people have said, "Well, is it really an inflection?" But what I mean by that is it starts to level off, and that's when you start to see the change in the dynamics of the things that I've just talked about, in terms of the financials, including the cash conversion. Yes, shall we come right to the front here? We've got 2 in the front.

Mark Morris

Former Chief Financial Officer and Executive Director

Ben, John.

Unknown Attendee

Sorry, can I just be precise? When you say free cash flow, you mean after interest, after tax compared to EBIT, that's what your -- or did you mean cash flow?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. Free cash flow.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Ben Fidler from Deutsche. Couple of questions. The first one is just coming back to your comment, I think, one of your opening comments, John, which is it's time to focus on the things that you can control with your costs. So forgive me, have you been 2.5, 3 years -- 2.5? We're 2.5, 3 years, whatever, into the The 3 Cs, The 4 Cs, or 3 of them that are cost, cash, customer.

John F. Rishton

Former Chief Executive Officer and Executive Director

"The 4 Cs," yes.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Your guidance for Civil Aerospace 2015 is back to historical average margin of 12%. History didn't actually have the IE [ph] earnout in so maybe we're slightly below historical average. What does that imply about the real tangible progress you've seen on costs in terms of thus far? And why, physically, we're not seeing it in that underlying Civil margin?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I understand the question. So let me talk about a couple of things. I think that in some parts of the business, we've made good progress on cost. In others, we've made okay, and some, we've made less. So one of the things that people have said about defense is irrespective of the fact that the balance between OE and aftermarket has shifted to manage with a 15% to 20% reduction in revenue and manage to maintain the margin, is generally a good indication that we've made some progress on cost in that part of the business. In other parts of the business, we made less so. I think in Marine, we've started, and in fact, we made the announcement last week that we were closing one of our plants down the road in Bergen, which also makes steering gear, and we will consolidate that into Brattvåg. We have made a number of other announcements of plant closures in Marine. In Civil, we've got a couple of things going on, and that makes it complicated. And I understand that, that's not particularly helpful for anyone. What's going on? Well, first of all, we've got a significant amount of capacity that's been put in place, and you've all heard me give the example of Singapore in terms of the capacity that we've put in place there and the utilization of that capacity. Secondly, we've got load which is not increasing as much as we

would have anticipated. And at least part of that is good news because a part of that relates to the fact that we're increasing the life of our engines on wing, which is saving us cost. So the example that Tony Wood gave in June was the life on wing of the Trent 700 has increased. That's a good thing for competition reasons, obviously, and also for cost reasons, financial reasons. But what that means is I need less spare parts, which means that we need the factories to produce less for a period of time. The third thing is that we've got inventory buffers in place that we were using historically to protect the customers, which as we improve our customer performance and we improve our performance to plan, we can start to reduce, which means that we need to lower the load because I don't need to rebuild those buffers. So I've got those headwinds coming towards me in terms of the cost performance. The other things that are going on, for example, when you start talking about 2015, again, things that you're familiar with would be the launch of the XWB, which is a lot of launch cost, lowish volumes and unlinked contracts. Against that, as I said in June, what we're doing on the Aerospace side in terms of the cost performance where we've got hundreds of engineers working on it is that we're offsetting the escalation that we're seeing on the OE and we're making good progress in terms of the aftermarket. A lot of that is being masked by some of these other things. So in the current year, we're getting some benefits from that, and Mark talked a little bit about that on Friday in terms of the specific cost benefits that we've got in 2014, and how some parts that relate to the catch-up from previous years because of the way the TotalCare accounting works, which you're familiar with. You don't get that again or you don't forecast that we're going to get that again next year. So there's a combination of factors that are taking place here. None of which, by themselves, cause any specific problem. But in total, those are the headwinds that we're running against in terms of cost. So in order to get to the improved margins, and one of the things, again, that you've given us strong feedback on -- you probably as well, is how do we get from here to there? What's the bridge? And again, we're reflecting on that, is the increase in volume, the better utilization of capacity, the continued work about extension of life on wing, the greater focus in terms of all the cost associated with the direct and indirect labor. All of those things, we're working on all of those things. So I understand your question completely, and that's the answer that I have. Good progress in some parts, okay in others. In Civil, lots of work going on. Evidence of some progress in parts, particularly the aftercare. But because of the increase in capacity, because of the load, because of a number of other specific civil factors, you're not seeing it immediately flowing through into the bottom line. Mark, is there anything you'd like to add?

Mark Morris

Former Chief Financial Officer and Executive Director

I think you covered it fairly eloquently there, so...

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Are you able to shape in any way what...

John F. Rishton

Former Chief Executive Officer and Executive Director

Ben, can you just please use the microphone because other people need to...

Jilinda Crowley

[indiscernible]

John F. Rishton

Former Chief Executive Officer and Executive Director

There's one coming.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, sorry. Just are you able to shape in any way what you think that cost drag is from capacity underutilization either in a margin basis-point number? Just, I mean, it helps your story if we have some shape around that.

John F. Rishton*Former Chief Executive Officer and Executive Director*

And again, it sounds defensive, and I'm -- reflecting on what help we can give you and how we can give you the feedback [ph]. We in the business, from the board down, listen to -- read your -- what you say to us and discuss those things about how best we could help us. And as I say, and it sounds as though -- I'm not trying to be defensive, it feels that way. The transition from where we were, years and years and years of only giving in-year guidance enough to where we're trying to get to isn't as straightforward for us as you would like it to be, and we're struggling with that. But again, we're reflecting carefully on this kind of feedback, though.

Christian A. Laughlin*Sanford C. Bernstein & Co., LLC., Research Division*

Christian Laughlin from Bernstein. Just 2 questions for me, please, on Civil. So going back to the medium-term guidance and the period you refer to as the bridge between now and then. Just in -- and I'm not looking for a '16 or '17 guidance, but in trying to think about '15, '16 and '17, can you point out a particular year where you think there will be a trough margin? That's the first question. And then the second question is just coming back on Friday's call, that Mark had mentioned something about one of the drivers behind the free cash flow guidance cut for 2014 was inventory management or a drag or a headwind from slower, I guess, inventory turns. If you could just add any comments or color on that, because I thought that was one metric in particular that had been positively trending in recent periods.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Yes, let me start with the second one, and maybe ask Mark to comment -- and then comment on the first one, if that's okay. In terms of the inventory, we've seen improved turns performance. So we saw quite a significant improvement in turns during the course of last year and we saw some improvement during the first half of this year. But going back to the point that I was making to Ben in terms of the load, as we've pushed out the life on wing and as we're trying to reduce the inventory, we've got the different pressures on us, which is we can keep putting stuff in the factories or we can try and take it out. And we're just struggling with that balance. So we've got that, again, working a little bit against us during the course of this year. So whilst I'm sure we're going to make progress in many parts of the business, it isn't as much as we wanted. Part of the problem in terms of the inventory is with the revenue being lower. So you're not shipping as much so you get that drag as well. So you've got a combination of factors. But Mark, do you want to comment on that and the Civil question?

Mark Morris*Former Chief Financial Officer and Executive Director*

In terms of the cash flow, as I sort of covered on Friday, about GBP 200 million was due to low revenue, about GBP 100 million has come from lower deposits, just reflecting order intake after deferrals that we're seeing and people not ordering at the time. And then the other GBP 100 million again was inventory. And again, that reflects this -- the ramp up of load, and that's what's stuck in the system effectively. And that was broadly the sort of criteria that's meant that up. In terms of the civil question, again, I think, rather than trying to go up now and talk about where's the trough and where's the inflection points, like I said, we will reflect on building that bridge that gets us from A to B. And as we reflect on that, we'll include that certainly in one of our thoughts as to how we move forward. But again, I did guide on Friday where we saw Civil margins going for next year and the reasons behind that. And I guess, there was one other item obviously, which is R&D capitalization, which I referred to, which maybe we can talk about just now. So...

John F. Rishton*Former Chief Executive Officer and Executive Director*

I think what is clear to us is there's 2 questions associated with the Civil margin. One is the trajectory between now and the future. Is it straight? Is it down? Is it up? Where is it going? The second one is the bridge between how do you get from here to there in terms of the drivers within the business? That's how

I would summarize the 2 primary questions that we've been -- we've got around the Civil margins. And that's what we're reflecting on. We have a question on the WebEx.

Jilinda Crowley

A question from Jonathan Bloom from Fiduciary Management and it goes back to the medium-term outlook. Providing margin guidance without revenue implies that margins may not be dependent upon the company's revenue trajectory. How can investors reconcile this disconnect?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I mean, I think that really goes back to the, I think, the first question that we had here in terms of revenue guidance that we're going to reflect on that, and it's clear feedback again. I mean, the elements of feedback in my head are Civil trajectory; civil building blocks; revenue, split Civil, non-Civil, total; and cash flow [indiscernible] Those are the sort of 4 primary bits of feedback in terms of the level of disappointment that we're reflecting on. There are some other elements as well in there, but I think it's within that is the same answer. Sandy, did you have a question?

Sandy Morris

Jefferies LLC, Research Division

Well, sort of. Just going back to this cash thing. Just so that I get it clear. We took at least GBP 500 million out of our revenue guidance for 2014-ish, most of which must arise in the fourth quarter. It's a natural industry thing, therefore we end up with too much inventory. And your decision is when you take it out. I mean, isn't that just how it goes? This is a typical industrial slowdown.

John F. Rishton

Former Chief Executive Officer and Executive Director

That's it, Sandy, you're exactly right.

Sandy Morris

Jefferies LLC, Research Division

And then, at some point, the cash corrects but at the cost of profit.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. So we've got a combination of factors which is as the revenue slows, you -- the lead time for the inventory continues to push through. Therefore, you've got to take that out as well. And in addition, I go to the Civil one, because we've been extending the life on wing, we've been reducing the spares requirement as well, as an example. So we've got a combination of factors which are headwinds that we're facing.

Sandy Morris

Jefferies LLC, Research Division

Right. And then if I can just be really boring before we set another rabbit off. I mean, if deposits are down GBP 100 million, I know we've always had substantial deposits because we can see it in the notes to the accounts. I shouldn't be panicking that GBP 100 million reduction in deposits means a GBP 1 billion reduction in order intake somewhere. I mean, I'm assuming we do get substantial deposits and then prepayment. So it doesn't work quite like that arithmetically.

Mark Morris

Former Chief Financial Officer and Executive Director

No, no, it doesn't. I mean clearly, there is a connection with order intake and deposits. And clearly, as we move forward, certain parts of our business collect more progress payments than deposits. So typically, our Marine business, our Energy business, typically big working capital sort of comes through.

It comes through at all of the businesses but much more on those 2 businesses. And in particular, it's our Energy business, in this particular case, that has been affected by the downturn in the markets. And it is slowing orders down. And no doubt, there will be some element due to the fact that the transitioning arrangement of our Energy business can generally put some dampeners on ability to secure business as the transitioning effects -- people go into sort of wait-and-see mode. So there's an element of that as well.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes.

Sandy Morris

Jefferies LLC, Research Division

We've seen it before. And then I'm going to -- just 2 quick things. From June, just when we are doing our models in the absence of revenue guidance and everything, it is plain that an unlinked delivery generates much less revenue or less revenue than a linked delivery. And we just have to try and work around that in our models, yes?

Mark Morris

Former Chief Financial Officer and Executive Director

Correct, yes.

John F. Rishton

Former Chief Executive Officer and Executive Director

I want to talk a little bit about -- sorry, Sandy. Go ahead.

Sandy Morris

Jefferies LLC, Research Division

Sorry. And then the second of it just was if we don't take a profit on an unlinked engine, presumably, there's more profit in the aftermarket revenues when we're doing our models as well, yes?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, of course, there is. Yes. Because again, what's happening in a normal linked contract, if we go back to what we were talking about in June, is that in effect, there's an averaging going on, on a linked contract, which is OE, much lower margin, aftermarket, higher margin. It effectively balances the 2. And this is why it obviously builds up the debtor. On an unlinked contract, of course, what we do is if there is any wreck or car to be booked, contractor of aftermarket ride, it's put on the balance sheet, and the aftermarket is at the margins, the aftermarket. And again, because it's a forecast and these contracts are 10, 15 years sometimes, there will be an estimation, evaluation risk in that part. But generally, on an unlinked TotalCare contract, you don't get such big movements in the trade debtor and creditor build up. They track much closer to each other.

John F. Rishton

Former Chief Executive Officer and Executive Director

Anything on this side of the room, yes?

Andrew Chambers

Cantor Fitzgerald Europe, Research Division

Sorry. Andy Chambers from Cantor Fitzgerald. I've got 2 questions please. I don't if this has been answered and I've just missed it, but is there any way you can split the cash flow shortfall for the current here between Aerospace and Land & Sea, just as a guide to which division really did the damage?

John F. Rishton

Former Chief Executive Officer and Executive Director

You haven't missed anything and we haven't broken it, no.

Andrew Chambers

Cantor Fitzgerald Europe, Research Division

Would you like to?

John F. Rishton

Former Chief Executive Officer and Executive Director

No. Not now, no.

Andrew Chambers

Cantor Fitzgerald Europe, Research Division

Okay. And the second one was just we're quite a long way into your part ownership, at least, of Tognum and certainly, you're now, I believe, in full control of it. Can you just maybe talk about where you are in terms of integration plans? Because I would have thought, with the amount of time you've had with the business, you'd have been very well advanced at the time you took full control. And yet we still haven't heard anything really meaningful about what you intend to do and how you intend to take cost out. And indeed, I understand the business has changed it a bit in the short term and maybe you have to tweak that a bit, but do you have a well-established plan to actually take significant cost out of that business, now you have full control? Or does it remain a fairly autonomous situation as it was historically?

John F. Rishton

Former Chief Executive Officer and Executive Director

Lawrie and Uli, Uli Dohle is the CEO of our Power Systems business formerly called Tognum, will talk a little bit about that tomorrow about where we are and what's going on. We see significant revenue and cost benefits of that. And I wouldn't -- this is more an internal point than external point, which is I don't think we're taking huge costs out of Tognum necessarily, but I think, out of the combined business, we see opportunities to reduce our costs. And Lawrie and the team are working on that. That is something that we are absolutely all over. Mark, do you have anything you want to add to that?

Mark Morris

Former Chief Financial Officer and Executive Director

No, the only thing I would say is that obviously, it's been a joint venture until September. Our ability to start extracting some more of the -- much more of the cost synergies have only come when we get full ownership. So the sort of clock has started ticking and absolutely, we've got clear plans on how we integrate, get costs out and improve the revenue synergy opportunities, certainly.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, and I think the teams are working much more closer together now. I think you'll see some evidence of that and we'll go and have a visit to there next year. The other observation I would make is we've got distinct businesses. But if you look at the Power Systems business, the Marine business that we have, they fit very, very nicely together. We're already getting benefits in terms of the B33:45 that I talked about, the help that Uli's engineers gave us in developing that was extremely useful, and we'll get some -- we'll get benefits about that. But we'll talk more about that, well, a little bit, just a little bit tomorrow but we'll talk more about that certainly in the future. Yes, we'll stay on this side. There's one more for -- yes. And then we'll come back over here to the WebEx, yes?

Zafar Khan

Societe Generale Cross Asset Research

Okay. This is Zafar Khan from Soc Gen. Mark, you've kindly given the profit profile of a linked and an unlinked and I think most of us understand that. Could you please do that on the cash phasing as well between a linked contract and an unlinked contract in terms of how the cash comes in over the life of these 2?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, on a linked contract, I mean, the cash is the cash. It doesn't get affected by the accounting. So obviously, engine -- so if we just think about where the cash flows are going, you've got engine flying hours and, obviously, the sale of the original equipment. So we've got cash from selling the engine and then we get cash for every flying hour, which generally is billed monthly. And then, in effect, we make a cost accrual, and then eventually we spend some cash on shop visits, and those are the cash-moving pieces, effectively. And the difference, obviously, is the cash margin at the end of the day.

Zafar Khan

Societe Generale Cross Asset Research

So in effect, the TCP accounting, the cash flow in there is much better than Time & Material in that sense because if you have...

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I mean, again, if you park the accounting for a second, what we've always liked about the contract or TotalCare is that the economics sort of give a couple of benefits, both to us and, we believe, to our airlines. And looking at the penetration we have would suggest they agree with us. And that is, they know how much it costs them to fly for every hour they operated. And we, on the other hand, know that we're receiving a certain amount per hour, which is billed every month. And then effectively, once or twice a year, there's a square-up against actual hours flown. So it gives us a much better cash profile in terms of rather than waiting for Time & Material, which may be 3, 4, 5 years, cash is coming in every month, effectively.

Zafar Khan

Societe Generale Cross Asset Research

So having clarified that, if I then look back and read your statement from Friday, John, you said that the OE deliveries accelerating relative to the aftermarket has an impact on cash flow. Mark's just explaining to me that actually, you're being paid by the hour after you've received the initial cash for the delivery. So how does that kind of make sense? I don't understand how this reconciles with what was said on Friday.

Mark Morris

Former Chief Financial Officer and Executive Director

So well, again, there's lots of moving parts to cash...

John F. Rishton

Former Chief Executive Officer and Executive Director

But I think Mark, for me, it's the shift in the balance. So the issue is, with the OE growing strongly, the cash generated and the way that we account for that, you get a different profile. As the OE levels off, you're getting a change in the dynamics associated with the actual cash here so in other words, the aftermarket is becoming more and more significant in that versus the OE.

Zafar Khan

Societe Generale Cross Asset Research

But that's in Time & Material. That's when you're doing Time & Material, you're getting money paid when the lump -- when you've supplied the spare. In the accounting that you're doing, which is 90% of your deliveries, the cash profile is based on the flying hours, as Mark has just explained to me. So where does the OE come into this? It's a different -- you've moved the cash profile in TCP quite significantly from what it was in the Time & Material. Time & Material, you deliver the engine, you get a lump sum. Now you're doing that with the TCP as well. But then you're only getting cash when you deliver the spares. Engine comes off the wing 7 years' time, 6 years, maybe 8 years now because they live longer on the wing. So you're getting those lumps coming in under that. But under the new accounting and the cash that you

just explained to me, you're getting cash on the hours flown. So I don't understand where the OE and the aftermarket in that scenario has that kind of adverse impact on cash.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, okay, let's go back. First of all, OE makes much lower margins and certainly, in launch phases will be -- can be and will be at a loss because you've got the learning curve. I'm talking cash. Yes. But at the end it doesn't...

John F. Rishton

Former Chief Executive Officer and Executive Director

It's the conversion percentage that we're talking, not the cash flows. So is it -- it's -- as the weight of the aftermarket and the profitability improves and the margin improves driven by the shift of the mix and the cash conversion percentage in changes. But can I suggest that we -- maybe Mark talk to you a little bit about that afterwards specifically? Because we could go through that in some detail. Yes, one more from the WebEx.

Jilinda Crowley

Sorry, go to someone else, mine just went off.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, let's go back.

Mark Morris

Former Chief Financial Officer and Executive Director

Just [indiscernible]

Sash Tusa

Edison Investment Research Limited

Sash Tusa from Edison Research. I'd just like to come back to Andy's question on Tognum, now Power Systems. It was quite noticeable in the Friday segment that, that was the one business that actually was -- you brought guidance down for both 2014 and 2015. Mark just mentioned you've only taken control of it since September, having initially invested 3.5-plus years ago. I wondered whether you could just give us some sort of assurance that this sort of period of limbo that Tognum lives in between your initial investment and buying out has not actually caused the business just to drift and, therefore, to have quite a shock when you finally consolidated it. And secondly, could you possibly give us some assurance that you won't do another joint venture that takes quite so long between the initial heavy investment and actually starting to manage the business?

John F. Rishton

Former Chief Executive Officer and Executive Director

The business hasn't drifted. I think the market environment has been unhelpful, if I put it that way. So if you looked at the primary competitors, you look at Caterpillar, you look at Cummins, you look at MAN, the environment has not been conducive to the kind of progress that we would have liked to have seen. In terms of assurance about future joint ventures, the seal of the Tognum joint venture was one that was a challenge from the start in the sense of it took a long time for the majority -- minority squeeze-out to take place. Across the business, joint ventures in our industry are more prevalent than in many other industries and have been pretty successful with varying degree. So I'm not going to rule out doing joint ventures, but I don't want to go through the pain and grief that we went through with some of the joint ventures that we go through. So we've learned things, but there are joint ventures that work -- have worked and do work very well for us. Could we go to discuss the WebEx yet?

Jilinda Crowley

A question from Celine Fornaro of Bank of America Merrill Lynch. I'd like to know what assumptions on CapEx and R&D have been made to establish the midterm guidance, a trend either in absolute or as a percentage of sales.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, again, as we covered in our June Investor Day, we talked about R&D being around about 5% and trending lower as we got the benefit of leveraging an increased volume. And on CapEx, we talk about driving it towards 4% of sale. So again, no change from what we've said. Now that won't happen necessarily of the space of a year as we talk over the medium-term. And of course, in any one year, sometimes they will go up or down slightly. But the general trend is where we're heading on this.

Jilinda Crowley

And there's a follow-on question here, which is, will there be big volatility in those assumptions if there's a launch of a new engine program?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, let me just answer that in 2 parts. Let me start with R&D first. So when we think about R&D, we're always thinking about how we utilize our engineers because that's generally where the bulk of the R&D is spent. So they are looking at current -- there'll be a section looking at research and technology, there'll be those that are working on program upgrades, there will be those that are working on unit cost, there will be those that are working on potential new programs. But what we look at is, as we go over time, their -- the load capacity balances, I'll refer to it, will change and it frees up engineers. And of course, within that affordability, we figure out whether we can do new programs. And then the question is does a program come along or not? Or do 2 programs come along and then we take the decision as to which ones we're going to be on or not. So don't expect you'll see [indiscernible] float around the sort of 5%. I mean, it may -- it'll be either side of that. But that is driven mainly by our load capacity balance. We can't just double the number of engineers and build aircraft engines. On CapEx, it really depends on where we are. And again, it's a sort of step curve is what is it that we can do with the capacity that we had. We've invested a lot in capacity. And John, you just heard John talk a little bit about the fact that we have excess capacity and how we make that more efficient, which we're focused very heavily on at the moment. But again, we have been expanding for rising load as well on our newer factories. So to the extent it can be covered off, then CapEx generally will fall within those bounds. But CapEx is driven on new programs, primarily by things like new tooling. And of course, in any given year, that will oscillate around. But again, I wouldn't see significant movements in CapEx. Charles?

Unknown Attendee

Presumably, life on wing shouldn't be a big surprise as it's been on the wing for a while. What's caused it to suddenly get longer? I'm presuming there's something you did 5 or 6 or 7 or 8 years ago? And how much longer has it got?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, life on wing, we're always looking to try and improve the reliability of our products. And that happens at 2 levels. One, the longer we can keep them on the wing, obviously, the less number of overhauls. But also, when they come in, the amount of cost that we put on those overhauls. So a lot of work is going on. And again, when we talk about unit cost engine is, it's about looking at finding parts that can -- ways for keeping the engine on, on-wing for longer, improving the reliability. And that could be by parts that have longer lives. It can be by how the engines are operated. And it's not just life on wing. I mean, I think we need to be careful. Life on wing is one way of extending and reducing cost. The other way is, of course, making sure the work scope is accurate and that we're sweating all the assets. So don't just assume that the only way that you get reliability is increasing life on wing. Sometimes, it's an appropriate time to take engines off wing to get the sort of perfect crossover between cost of overhaul and too much

extension. So there's some quite complicated dynamics that go on about what type of materials you use. But in general, what we're trying to do is to sweat our assets, which is make sure that every component is burned down to the end of its life, that we only scope the engines where they need to be and we pull them off at the right time, utilizing the wide array of shops that we have. So that's what's driving cost down or cost improvements on life cycle cost, along with obviously just making parts cheaper and last for longer.

John F. Rishton

Former Chief Executive Officer and Executive Director

We have time for one more question before we finish our WebEx at 7:15. We'll just take the one on the right-hand side. Thank you.

Olivier Brochet

Yes, good morning -- afternoon. Olivier Brochet, Credit Suisse. On Defense, if I may, please. You said that you are well into your cost-cutting in this -- on this side and that you've made good progress. Can you just tell us how much remains to be done and can be done in Defense before you've reached your -- the lower level of cost that you can be comfortable with? That's the first part. And the second part is on the V-22 engine. Just to try to understand what's going on there with the DoD having put an RFP for a replacement engine and how comfortable we are that you are not going to lose this platform?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. I think, based on my experience, I don't think you get to a point when you run out of cost ideas, and there are things that you can always, always do and we will look at them. And a significant part of the Defense engineering cost reductions have been associated with productivity, labor performance, and we've taken out quite significant amounts of headcount over the years to reflect the balance. So getting that balance right as well as working on the productivity, the improvement in terms of the materials that we use. How do we make them last longer? Et cetera, et cetera. So I would always argue, and certainly, the Defense guys are not pushing back, that there's more to do and more that can be done. In terms of V-22, we have been asked to rebid, which -- by the DoD. We're not alone in being asked to do that. This is part of the pressure that's being exerted by all the defense agencies, particularly the U.S. and [indiscernible] Europe, in terms of can they get better deals. In terms of the V-22, that was a program that has had a -- I'm sure you're aware -- a difficult birth, but which the customers are now very satisfied with. So the positive part of the story is that our customers are very pleased with the performance of the product or whether that's the end customers or the manufacturer, we will be competitive in that area and we're determined not to lose that product.

I think that now takes us to the end of the scheduled time for the WebEx. So that will be the close of the WebEx. Simon, I think you're going to talk to us a little bit about the logistics that we now have as we close the WebEx down. Again, for everybody who joined us on the WebEx, thank you very much for taking the time this evening to join us. If you have questions, I'm sure you have some more, please let us have them and we can try to answer those indirectly. Thank you very much for your time. Thank you very much for all those who attended here this evening. I will see you all a little later for dinner.

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Rolls-Royce Holdings plc LSE:RR. Guidance/Update Call

Friday, October 17, 2014 8:30 AM GMT

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Presentation

Operator

Hello, and welcome to today's Rolls-Royce Guidance Update and Medium-Term Outlook Investor Presentation and Q&A. [Operator Instructions] And just to remind you, this call is being recorded. Today, I am pleased to present John Rishton, Chief Executive Officer; and Mark Morris, Chief Financial Officer. Gentlemen, please begin.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks very much, Hugh. Good morning, and thanks for joining us at such short notice this morning. A couple of comments from me and then Mark will talk about the numbers. It will come as no surprise, I suspect, to anyone on this call when I say that economic conditions have got worse. In fact, they have deteriorated quite quickly, and we, like many businesses, will see our revenue impacted. So while in July we believe that we would have growth in 2015, we're now revising that view. And while I'm disappointed with the change, I will continue to keep you informed about what our best view of the future is.

We've also announced today our medium-term outlook. We've recently been through that with our board. It is clear that the fundamentals of the business remains strong, and our prospects for medium-term profitable growth are unchanged. The demand for air travel will increase, and you will all have seen the most recent Airbus outlook. This is driven by demand from emerging markets and the need for more fuel-efficient aircraft. As you all know, we have a very strong order book.

For our Land & Sea businesses, the demand for power was driven by population growth, increasing economic activity, urbanization and increasing affluence. Energy demand will grow strongly in the future. These fundamentals are unchanged. We know that there will be growth in the medium term, but the road between here and there is going to be bumpier than I had thought, which means, of course, that we have to focus even more on the areas that we can control rather than the ones we can't. So we will continue to focus on the 4 Cs: customer, concentration, cost and cash, and we are going to accelerate progress, especially on cost. Our strategy is unchanged because the medium-term outlook is unchanged, because the fundamentals are unchanged.

Now Mark, maybe you could take us through some numbers. Thank you.

Mark Morris

Former Chief Financial Officer and Executive Director

Thank you, John. Good morning, everyone. I'm going to provide you with the guidance for 2014 and 2015 as well as for the first time, our medium-term outlook. You'll appreciate that this is a trading update and not a results announcement.

So I'm going to start with the 2014 trading update and go through each of the businesses, followed by a summary for the group. It is fair to say that at a group level, we are experiencing some softening across all our end markets on revenue. In Civil, our revenue guidance is unchanged, but is now towards the lower end of the range. On profit, we are now expecting a 15% to 20% increase, which is driven mainly by an improvement in life cycle costs. Remember, and as I explained at the Capital Markets Day back in June, these changes, whilst economic in nature, also create a catch-up adjustment to reflect the improved costs that would have otherwise been taken in prior years. This catch-up will flatter Civil's 2014 margins. Over the last 4 years, Civil's margins have averaged around 12%, and you should expect Civil margins in 2015 to return to this sort of level.

Similarly, in our Defense business, no change to our revenue guidance here, but again we expect to be at the lower end of the range. On profit, we're expecting some improvement compared to our previous guidance, but this is driven by better OE to aftermarket mix.

Turning to Marine, we see no change from the guidance which we lowered at the half year, reflecting the challenges we see in this sector. Our second half performance is underpinned by good visibility of OE revenue.

In Power Systems, our revenue guidance remains unchanged, but as with the other businesses, we are now trading lower within the guided range. This is primarily due to the impact of Russian sanctions, which has stopped the sale of finished products. In addition, we anticipate lower diesel land power sales than previously expected.

Turning to profit, we now expect a 5% to 10% reduction in Power Systems' profits relative to 2013, mainly due to the loss of some high-margin business, along with some warranty costs.

In our Nuclear & Energy business, we're experiencing harsher conditions this year in both our Oil & Gas and Power Gen markets. As you know, this business is characterized by relatively low volume but high-value units, and consequently, results can be more volatile. A number of contracts that we expected to conclude have either been deferred or lost, and the transitioning process of the sale arrangements has not helped. We're also seeing some customer deferrals, particularly around spares, which carry higher margins and so have a bigger impact on profit. Performance in our Nuclear business remains on track, and we continue to expect the sale of our Energy gas turbine and compressor business to Siemens to conclude by the end of the year.

Now turning to the group. We previously guided flat revenue, but the deteriorating market conditions have clearly required us to lower our revenue forecast for the year. All businesses are down since the half year to varying degrees, particularly the Energy business, which has required a lowering of its guidance. We are maintaining our guidance for profit in 2014, reflecting improved performance in Civil and Defense, offset by lower profits in Power Systems and our Energy business. On cash, we've guided around a GBP 780 million inflow similar to last year. We are now guiding at GBP 350 million inflow, reflecting the impact of lower revenue, worth about GBP 200 million; lower deposits in Energy, Marine and Power Systems, worth about GBP 100 million; and slower progress on inventory than planned, worth about another GBP 100 million.

Okay, since we are likely to conclude the sale of our Energy gas turbine and compressor business to Siemens by the year-end, I thought it would be helpful to show some -- show good guidance, excluding our Energy business, as this will form the basis for 2015 guidance. The guidance, excluding Energy, is shown here on the chart.

Okay, now turning to 2015 guidance. Since our interim results, the economic outlook for 2015 has become more challenging. These conditions are clearly being felt by a number of our customers and may affect the timing of their investment decisions, particularly in Power Systems and Marine. In our Civil business, we expect some softening in our Trent 700 sales as we move ahead with the launch of the new Trent 7000. We previously said that we expected the resumption of growth in 2015. However, in light of these uncertainties, our current best estimate is the group underlying revenue will be in the range of plus to minus 3%, and profit will be in the range of 0% to minus 3% compared with our expected outcome for 2014. The asymmetry between revenue and profit guidance is mainly due to us having reduced our 2014 revenue guidance but having kept our profit guidance flat. So all else being equal, revenue growth for 2015 will be higher than profit growth because it's starting from a lower base. On profit, we also expect some adverse mix effects since previously guided.

So we've talked about the short-term challenges, but let's remember that this is a long-term business and the fundamentals remain compelling. Back in June, we said we will provide a medium-term outlook to give some directional context around our expected progression on a few key metrics. A number of important assumptions underpin our expected progress. To the extent they change, this will change the rate of progression. It is the characteristics of our maturing Civil business that will influence most progressively the movements at the group level, too. The key drivers of change are the relative mix of new engine sales to aftermarket sales, the maturity and size of the installed base and new program opportunities. We currently expect new engine deliveries to level off around the 2018 time frame. This inflection point will start to see a greater weighting towards more aftermarket revenues from the larger installed base as we move into a period of harvest, which will drive up margins and improve cash conversion.

Based on our current view and assumptions, we expect performance in this period for the following metrics as shown in the chart.

The medium-term prospects for our Land & Sea division remain attractive and are supported by the investment in power, transport and infrastructure that will be required to support population growth and increasing affluence. Key growth drivers include global trade, regulation and capital investment in the oil and gas, mining and construction industries. We are confident in the future growth of revenue and profit in this division, but the timing, given its shorter cycle, is difficult to predict. Consequently, we've decided not to provide a medium-term outlook to group revenue.

Just turning to the TotalCare net debtor. You'll remember that there are a number of drivers that will influence whether the debtor is increasing or decreasing, as I explained at the Capital Markets Day back in June. The ramp-up in OE deliveries, where linked, will naturally increase to debtor as do shop visits, which reduce the creditor. So a key point to note is that the peak debtor will start declining as OE deliveries level off, and cash conversion will improve. The buildup in Contractual Aftermarket Rights, formerly known as RECs, reflects rising unlinked engine sales, which we discussed back in June. With that, I will turn it over to Q&A. Thank you.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Rob Stallard of RBC.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Just a couple of questions on the 2015 guidance you provided. I was wondering if you could comment on what your expectation might be for cash flow next year and also if your profit guidance includes any additional cost for restructuring or whether that will be cast as a non-underlying item.

Mark Morris

Former Chief Financial Officer and Executive Director

Rob, thank you. No, we haven't even cash flow guidance for 2015. We will be giving that guidance when we obviously get to the prelims next year. We haven't given it early this year and we're not planning to give it now. In relation to the additional restructuring, that is excluded from the results we've given at the moment.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Can you give us an idea of how much that might be?

Mark Morris

Former Chief Financial Officer and Executive Director

When we're ready to talk about it, we will discuss it.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Okay. And then just finally, on the medium-term outlook, obviously some uncertainty on the shorter cycle area. Would you expect the profile from here to 2018 to be more like a J-curve, that we see, say, material improvement in 2017 into '18, so that the profile in '15 and '16 is pretty similar?

John F. Rishton

Former Chief Executive Officer and Executive Director

I think it's very difficult to answer the question on the shorter cycle business. If I split the business into 2 parts: the Land & Sea business, the Marine and Power Systems business, clearly, it affected one of them by a shorter cycle; and two, by more directly by what's going on, particularly in certain industries, the oil and gas industry, mining and construction industry as well as government spend. So trying to predict that is extremely difficult, but Mark has talked to you a little bit about what we see in terms of '15 in total. And going out beyond that is very, very difficult. I mean, trying to forecast exactly what the economic environment is going to be and how things are going to change is extremely difficult. The thing -- the point that I would make though is, again, as I said in my introduction, is the fundamentals underlying that business are strong, but exactly when they return, we'll see. The world is going to need energy. If you look at anybody's energy forecast for the next 10, 15 years, it shows significant growth, and it shows the growth because of population growth. There's going to be another 1 billion people on the earth by the middle of 2020s. There's going to be 100 million more people joining the middle class each year between now and then, so increasing affluence. All of those factors lead to more power. And if we need more power, it's got to come from somewhere, and that's where we play.

Operator

Our next question is from the line of Harry Breach at Westhouse Securities.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Can I ask you just 2 questions? Mark, can I just ask you to just recap on what you said about Civil margins? I think beyond this year, just to recap, I think you said return to around the 12% level. Was that accurate?

Mark Morris

Former Chief Financial Officer and Executive Director

That's accurate. Yes, that's correct.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Good, great. And the second question was just in terms of the economic impact that you referred to in the release and the conditions deteriorating and clear mention of delay or cancellation of orders. Just wondering, when we think about the changes to your guidance, I suppose, this year and next year, sort of is it possible for you to give us a sort of sense of how much of this is existing deferral activity you can see in your order books right now and how much is anticipatory?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I mean, Harry, there's a combination of both. I mean, 2014, there is obviously some element of deferment on OE, but actually services revenue, again, which is much shorter cycle, especially on the spare parts, can -- lead times can be anything from sort of 24 hours to 30 days. So it's more prevalent in our Energy, Marine and Power Systems businesses because of the shorter cycle nature that John was talking about. But actually, when any area's looking at preserving cash, they will try and delay activity where they can. I mean, obviously, as we get on to 2015, I think the fact that we've widened the guidance, at least for the first time, provided some ranges around the guidance early than we would do normally, I think that's reflecting the current lower level of visibility and greater uncertainty that we have. And like I said, nothing is a foregone conclusion, and that really reflects the range that we've highlighted.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

And just wondering, guys, if you can -- if I can just touch a little bit more on the Civil side there. Are you seeing overhaul deferrals at the moment?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, like I said, in 2014, Civil remains within its guided range. So it's like all things, there's always puts and takes on anything. When we look, you can't land exactly on a dollar amount or a pound amount.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. What I would say, Harry, it's not significant. And as you know, in our model, we have the TotalCare model, which is driven by flying hours. Flying hours are fine at the moment. So my overview would be, no, we're not seeing any particular issues in terms of servicing associated with TotalCare or anything unusual on the Civil side. As Mark said, on the shorter cycle side, we are seeing and we have been seeing the services, and we've talked about this before, being weaker than certainly we had expected.

Operator

Our next question is from the line of Ben Fidler at Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

I had a couple of questions, the first of which was if I could just drill down again a little bit more into Civil margins, maybe between the 2015 and 2018 period. So your guidance is Civil margins sounds like around about the 14%-or-so level in '14, drops to 12% in '15, and then we're back up to 15% or so by 2018. It's -- the first point is to understand that if you can help me with the trajectory at all between that 12% point in '15 and the 2018 number. Is it quite back-end loaded? Or should we see it as relatively linear? The second question around cash conversion, that 80% cash conversion, which again, am I correct in understanding that is a 2018-type of number in your mindset? Just to understand what the path looks like for cash conversion, again, how linear that looks as we go through the sort of '16, '17 period. And then actually, sorry, another question that's come to mind, it's a quick third one, maybe a rather dull accounting one. But just to understand, a lot of your OE growth is coming on unlinked contracts. I was surprised that the growth in RECs is relatively low, and at the same time, surprised that the growth in TCP net debt is so high. The TCP net debt is probably doubling from the current level. My assumption is the OE losses these days on XWB and Trent 7000 engines will be put into RECs. Have I misunderstood that?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, thanks for your questions. Let me -- a couple of observations, a couple of comments about margins and cash conversion. Firstly, as Mark outlined, as we outlined, I think very clearly in the press release and as I explicitly said in the June investor meeting, the improvement -- the sustainable improvement in Civil margins is the consequence of the products maturing, OE leveling off, the balance between aftermarket and OE shifting or a combination of those kinds of factors. And at the moment, we forecast that to be happening around 2018. So the first thing that I just want to be absolutely clear on is it's that combination of factors that drives the margin, and at the moment, 2018 is the date that we've indicated, and we -- that's what I showed you in June. That was our -- that is our best view -- that was our best view, and that's what drives it. The cash conversion is similar, so it's driven by those events, not the date. The date is when we think that's going to happen, but it's the events that drives the outcome. So the second part of that is the trajectory in terms of margin. So what Mark said is, what we've seen, if you look back over recent history and if you can average, the average Civil margin is running at around 12% with variations, obviously, amongst that. This year, it's going to be stronger. So in '15, what we're saying is we're seeing a return towards the more average levels that we've seen in Civil margins. So nothing in margin particularly surprising. I'm not going to get drawn into '16 and '17 because we kind of keep getting sucked into, well, what, what, what. But the point I'm trying to make is the reduction in '15 is a combination of the factors that have driven '14 higher and then all the other things that are going on, whether that's launch costs, launch pricing, unlinked, offset by cost reductions, et cetera, et cetera. But I'm not going to get into a trajectory from there into '16 and to '17 and then into '18 at this point in time. The key thing for me to use to think about is the events that relate to the sustainable improvement in Civil margins are the ones that are outlined and our belief that, that is in 2018, as we explained on that chart, and to understand that '14 is strong, and we're going back to more normalized levels in the period of time and then in '15. Mark, I don't know if you want to talk a little bit about the CCAs and...

Mark Morris

Former Chief Financial Officer and Executive Director

Oh, you give me the easy one, yes? So let me try and -- there's a couple of sub-questions to your third question, Ben. So let me start with the easiest one first. Trent XWB and Trent 7000 are predominantly unlinked, and I think that's just the easy part of the question. On the growing TCA net debtor and RECs, remember, there's a lot of moving parts here. So Trent 7000, in the time frame that we're talking about, really doesn't have a lot of impact in terms of its ramp-up. We're only start -- this will start to come into service in 2017. So what you've got is just a movement of existing Trent 700s and shop visits, which obviously naturally drive an increase in the debtor. So OE deliveries plus shop visits plus, of course, any improvements we plan to make or assess in our thought process around improving life cycle cost, be it extra time on wing or continue to take cost out, the natural retirement of estimation risk, and again, another area that we talked about back in June, those will drive the debtor. So that's the math that we're seeing currently. And the reason I've given a range is, as you just -- because there are such many moving number of parts, it's difficult to sort of pinpoint it so I've got to give a bit of a range around that. On the REC side, again, it will -- sorry, the CARs side, shall I call it, Contractual Aftermarket Rights, that

again is driven by unlinked. And as we make -- continue to make progress on costs, particularly on OE, that will help to suppress the amount of CARs or/RECs that we take on. So I think that's a sort of broad background, Ben.

Operator

Our next question is from the line of Ed Stacey of ESI.

Edward John Stacey

Haitong Bank S.A., Research Division

Just one for me, which is the Energy & Nuclear business. Wondering if you could just give us a bit more color on who's cutting what, which industries, which geographies, where is the weakness coming through from in terms of this year and as we look into 2015. That's it.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. I think -- sorry, on the Energy business, it's where is the weakness, I think, is the question.

Edward John Stacey

Haitong Bank S.A., Research Division

Yes.

John F. Rishton

Former Chief Executive Officer and Executive Director

Look, I think there's been sort of 3 elements, as far as I'm concerned. First of all, orders are down in total and what we're seeing is deferral of orders. So whilst our business in Russia is small in total, I think around, for the sake of argument, around GBP 100 million a year. So the direct consequences of Russian trade sanctions have been fairly small and actually primarily focused around our Power Systems business. The indirect consequences are that some customers are deferring orders for their Russian projects because they're subject to the same sanctions. So what we've seen is the level of business dropping, pipeline and Oil & Gas business being deferred, and your guess is as good as mine as to whether that -- when that will happen. My view is it will happen because the pipelines are there, they're being built, but exactly when is the challenge. So we're seeing quite a number of deferrals. So we're seeing the total business down and deferrals moving -- coming in as well in that business. But don't forget, our Energy business, as Mark said, is one -- it's a small business, and it's -- for us, it's low volume, high value, relatively few contracts. So that's what we're seeing. You would need to talk to some of the bigger companies to get a better overview about what's going on in Energy in total, but you're well aware that oil and gas companies have cut back significantly on their CapEx, and you're also well aware about Russian sanctions and some of the implication of those. So that's what I'm seeing.

Edward John Stacey

Haitong Bank S.A., Research Division

If I can have a quick follow-up actually. As we look into 2015, it's Power Systems, so I guess in the forward-looking way, I need to think more about Power Systems rather than Energy.

John F. Rishton

Former Chief Executive Officer and Executive Director

That's right because Energy, as we said, we ought to complete that by the end of the year. I think it's likely we'll complete by the end of the year.

Edward John Stacey

Haitong Bank S.A., Research Division

And so then in Power Systems, as we look to 2015, you're saying the worsening conditions are being felt and may affect investment decisions, particularly in Power Systems and Marine. So in Power Systems,

is that versus off-highway? Is it industrial? Or is it pretty broad spread? What -- anything particular we should note?

Mark Morris

Former Chief Financial Officer and Executive Director

I think, again, it's a shorter cycle business and they go into a lot of vertical markets: construction, rail, mining, naval, oil and gas, agriculture, et cetera. Again, I think John summarized quite neatly at the front of this conference call the general macroeconomic pressures that we're seeing and you read about in the papers every day, be it deflationary areas in Europe, in South America, lower raw material prices, et cetera, et cetera. And of course, that ripples its way through as people look to understand what it is. And of course, generally, we are providing equipment that goes into some other equipment. It's a power system of some kind, particularly obviously in the Power Systems business, diesels and gas engines that are going into various applications. And whilst there's a big installed base that will drive spares, looking at those orders and where we see there may be some softening, I mean, absolutely, there are some uncertainties, and across all of those markets, they aren't [ph] being affected: rail, mining, construction, et cetera.

Operator

My next question is from the line of Christian Laughlin at Bernstein.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Just taking it back to Civil margins, if I could, please. I was interested in -- or -- and trying to draw you out on the exact margin trajectory over the next few years. But in terms of just operationally speaking, if you could just talk about the mix in the sense of the operational drivers that bridge from where we are now in Civil margins to the medium-term guidance in the sense of -- so obviously, clearly, it's been defined some near-term mix headwinds from delivering new engines. But if you could talk a bit about the timing, the phasing, the magnitude of contribution from various investments and initiatives you've taken now to improve the cost base, manufacturing costs and supply chain costs and improvements in capacity utilization, et cetera. If you could speak a bit about how you expect these benefits or positive offsets, if you will, to phase into to get to your medium-term guidance, please.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Well, look, just firstly to get it in context, this is a trading update and outlook about the medium term, so I'm going to keep this relatively high level. We're not going to get drawn into quantifying every piece. I mean, you've highlighted a significant number of the drivers. As I covered off really and particularly explaining what were the key drivers around the sort of thing that would get us into the sort of margins that we're talking around, around the 2018 time frame, which is when engine production starts to sort of level off. And again, that's the key thing to recognize, which is those 3 drivers that I talked about, which is the OE to aftermarket sales; the maturity of the installed base, which obviously drives higher numbers of engine flying hours, which have much better cash margin and that drives the cash conversion as well as the profit margin; and of course, new programs, and the reason I mentioned new programs, new programs, naturally, certainly at the front end, will depress margins because we're spending money on CapEx and R&D, but nonetheless where we see there's a good business case. And again, if I go back to what I said in June, think about the life cycle of an engine. We get about 20% of the revenue on the OE, and it's much lower margin; 80% of the revenue, much higher margin on the aftermarket, so that makes attractive sense. When see these opportunities, we'll continue to make those investments. On the cost side, we continue to talk about -- and John has been very clear and I'm very clear, that we've got to accelerate cost. We're making good progress in cost, better in some areas than in others, and we're focusing on those other areas as well. And we've talked and clearly indicated already that as we start to look at restructuring and rationalization, that is all about improving efficiency and capacity in our factories. So there's a number of things as to why we're confident that we can get those sorts of margins, driven by what we're doing on cost and efficiencies, but also the mix of product and where we are relative to sort

of sowing versus harvesting, if I was to use an agricultural phrase. And I think that's about as far as I'm prepared to go at this stage.

Operator

Our next question is from the line of Nick Cunningham from Agency Partners.

Nick Cunningham

Agency Partners LLP

A couple of questions. First of all, in terms of getting that medium-term guidance of the margin expansion, given the headwinds that you've got from the OE mix moving to XWB and Trent 7000. I assume that you're -- you are assuming some unit cost reductions on a continuing basis. Is that the case? And how do those unit cost reductions compared to your, let's say, track record over the last 5 or 10 years? Second question, we've focused very much on Civil, but are you looking for margin delta in the other businesses as well when you look into medium term? And is there any -- are there any big features in terms of where you expect that to come from? And the final point, you talked about OE flattening off in 2018 also, but that's very early in the ramp of A350. 787 is still supposed to go from 10 to 14 rate, and neo will only have just -- A330neo will only just have entered service. So I'm wondering that doesn't seem to accord with the way air freighters see it. So I'm wondering where that outlook is coming from.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. Let me try and answer the first 2 questions. Unit cost, let's just be careful when we talk about all the costs that we look at, it's not just unit cost. Of course, we expect to make progress on unit cost. We've got about 600 engineers at the moment working purely on unit cost reductions. And generally, we know we have very good payback on those. Of course, while you have to make an investment upfront, on average, we see an IRR, in many cases, in excess of 40% in payback in sort of within 2 to 3 years. But just as importantly, when we talk about product cost, about half of it is unit cost and half of it is what we refer to as life cycle cost, which is aftermarket: improving reliability; being clever about the work scopes; sweating the asset; using serviceable use material; and basically, ensuring that we utilize all of the remaining life on our parts more efficiently. And there's a lot that we can do there. And much of the improvements that we're seeing in our cost is all about being much clever and smarter around how we put works scopes, how we drive upgrades and things that are keeping engine on wing for longer. So there's 2 elements to that part as well as, obviously, what I'll call the other stuff around efficiency of the fixed overhead in terms of better utilization from factories, keeping control in place on C&A and so forth. So all of those, and again, we said right up front of this conference call that we are going to go hell for leather on the cost side, fix the things and control our cost, which are the things that we can control when we have a less certain revenue environment given the market conditions at the moment. But the fundamentals are good. So on unit cost, I think we're confident we'll continue to make way. You then -- the second question was switching from Civil to our other businesses. Of course, there are no exemption. We are looking to take the same sorts of cost and make improvements there, so we're expecting margin improvements in those businesses. And some of that will come from the integration as we start to move Power Systems and Marine and exploit the opportunities we've got there for both revenue and cost synergies. Now your third question, I must admit I didn't quite understand it, Nick. Can you just say it again?

Nick Cunningham

Agency Partners LLP

Yes. Sure. The -- you're saying that you expect OE volumes to level off in 2018. However, 787 is still supposed to be ramping. A350 will be quite -- probably only halfway through its ramp. And A330 nears service in Q4 of '17. So one would -- well, I suspect Airbus would hope that their volumes to be going up.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. Sorry, Nick. Just to make -- when we talk about OE deliveries, we don't make a general distinction in descriptions between value and the unit. You've got within our Civil business, you got all our corporate and

regional sector as well. So you've got maturing products in some areas that have volume that is retiring and you've got volume that is increasing, so that's reflecting currently where we see our OE leveling off at the moment. And that reflects, obviously, the Trent 700, which will be retiring and slowing down as the 7000 starts to ramp-up.

Nick Cunningham

Agency Partners LLP

Okay. And so the indication would be that, say, the Tays go because Gulfstream's moving and the BRs are full in volume?

Mark Morris

Former Chief Financial Officer and Executive Director

Right.

Operator

Our next question is from the line of Olivier Brochet of Crédit Suisse.

Olivier Brochet

Natixis S.A., Research Division

I have 2 questions. The first one is to ask you how comfortable you are that current trading would not lead to further cuts to your 2015 view. And basically, the idea is what assumptions have been baked in there in terms of the main drivers that you look at like, for instance, oil price. That's the first one. And on the second one is how -- you sound confident that Siemens does not walk away from the Energy deal. How confident are you that the price conditions will not change to reflect the current trading that you've disclosed today and that the price is revised down?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. I'll answer the first question and John will take the second one. So on 2015, I mean, clearly, in laying out the guidance we've given, we've reflected our latest view of the market and the underlying assumptions that would underpin that. I think it's not quite as pointed, but you can just point to an oil price or a point in GDP and sort of say, well, if it moves by delta basis points, we need to revise it downwards because there's always a lead lag on these things. So whilst there our drivers and the correlation may be positive, it's not 100%. So I think what I would say is that we thought long and hard about where we have order cover, as we look in the business. And again, some parts of it have a higher order cover than others. Of course, we haven't got to the beginning of 2015. We're still 3 months to run in 2014, but this is our best view at the moment. And again, it's reflected a lowering from where we were previously. We said a resumption to growth and now, of course, we've given some guidance around those numbers of 2014 expected out turn. So that's the first question. John, do you want to...

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. I think the point that Mark makes is exactly right, which is it's our best view. And that's what we're trying to make sure you're clear on, our best view. And that's why we wanted to bring you update today ahead of when we plan to do it. In terms of Siemens, we believe that we'll complete the transaction by the end of the year and the price is agreed. And I know that in the short term, there's ups and downs in any business, the purchase is really for them a long term -- based on the long-term outlook.

Olivier Brochet

Natixis S.A., Research Division

So no risk there?

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, the price is agreed. And we believe that we're complete with -- we see no reason why we shouldn't complete, really, by the end of this year.

Mark Morris

Former Chief Financial Officer and Executive Director

And we think Siemens will be a great owner for this business going forward.

Operator

We now go to the line of David Perry at JPMorgan.

David Howard Perry

JP Morgan Chase & Co, Research Division

I've got a bunch of questions, please. The first one is just your reluctance to give revenue guidance in 2018. I mean, you knew you had 30% of your portfolio in short-cycle businesses back in May. Nothing's changed there. So at that time, you committed to give revenue and margin guidance, and now you're saying you won't. Can I not push you and say why not, and why not give us a range at least? Shall I give you all the questions at once or do you take that?

Mark Morris

Former Chief Financial Officer and Executive Director

Give them all at once, David.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay. Well, Civil Aero -- sorry, Mark, at the very beginning of your speech, I was scrambling to keep up with you, and I wasn't quite sure -- if you could just repeat the explanation you gave for why the Civil Aero margin is better in '14. I wasn't quite sure I understood. And then if you can just tell me that sort of main things that would explain a 2% drop in '15. I'm still not sure I fully understand that. And then my third question is just to be absolutely clear, I know a questioner asked it earlier at the beginning. Are you suggesting there could be restructuring charges below the line and -- because that's something you haven't done for probably a decade. And what would be the scope or potential scope of those, if that's what you were suggesting?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, David. Let me to take the first one. You're right, we said in June that we would provide some [ph] group revenue guidance. And I have to say that we stated that, because of the challenges particularly associated with predicting revenue on the shorter-cycle businesses related to economic recovery, my conclusion was that we were not going to provide anything that would be in any way helpful to you because the range that we will provide will be very large and the provisos that we put on it probably wouldn't help. So that was my decision. We've probably got a little bit of ahead of ourselves on reflection in June in terms of committing to do that, which I apologize. But I genuinely don't think it's something that would -- we could provide anything that's going to help you with because of the -- there's a -- variabilities around the economic environment. So what we tried to do is provide a level of help around the other areas and in particular, around the Civil where we're trying to keep as much as we can [indiscernible] so the events that's tied to that. It's more -- it's much more difficult to do that, as I'm sure you will understand. That's really why we haven't done it.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. So if I pick up your next 3 questions, David. Civil Aero, and I think you wanted explained the sort of flattering of margin in 2014 versus what we may head back to in 2015 being sort of more to normal levels. So again, this come back a little bit to the stuff we went over in the TCA presentation in June. And

if you will recall, when we do total care contracts and look at any particular program or a big contract, but mainly program, over time, we get experience as to what the cost of maintenance schedules of those engines are. And obviously, the more evidence we get and of course, we were not just standing still, we're looking to make improvements, be it through cost reduction, improving reliability and time on wing and so forth. And when we get to a point where we are confident that it meets all the required gates and the hurdle process that we're sufficiently confident that we've captured that and going forward we will have a lower cost of accrual effectively or lower cost rates going forward, we need to make an adjustment in terms of the margin that we're taking. Again, if you remember how the contracts work, in effect, what we're doing is we're balancing up the margins between OE and aftermarkets. And if we think we're going to make a margin of X, but actually when we look at our cost base, it's got -- it's improved and now we're going to make a margin of Y, which is higher than X, then, of course, we need to collect that difference in all the previous years that we would have collected if we would have been bang-on it day 1. Again, this is a sort of -- it's a bit like a pension fund as you get more actuarial experience, as you make fine adjustments as you're going through. So we get -- so this is an economic benefit. So going forward, we are forecasting lower cost through improving reliability. So we get the benefit in year, we also get the benefit next year. But importantly, we have to look backwards over the previous years and say, right now, we need to make an adjustment, so we call that a catch-up and we take it in the year that we recognize it. So that gives you a sort of bump -- a benefit bump in the year that doesn't then repeat because you only get to catch-up once effectively, unless there's another round of improvements and then, of course, you'd get it again. You're probably going to ask me, "Well, what is that for 2014?" I'm not going to give you the number today because, first of all, we haven't concluded the usual process that we go through. We just know that it's coming. And of course, we've got the full year to run before we can lock down the numbers. But that's the main reason as to why we've got the flattering in '14 and will return to more usual levels for '15. A long wait [ph] reversal of R&D capitalization. And again, if you remember, this is another one of these tools that creates a bit of accounting P&L volatility, which is when you're capitalizing, it effectively embellishes your profit. And the moment you stop capitalizing, you go straight back to expensing and you carry the amortization with it. And that's put you the other way around, so you ultimately get a headwind. So those are the 2 main driving features of why you see that return to margins over the last few years that we've seen. So I think that covers 2 and 3. I think your question 4 was about restructuring and would it be below the line. So let me just sort of step back. So first of all, restructuring is restructuring. And we can debate whether it's above or below the line. That's really driven by a set of clear accounting rules and what's defined whether it's above or below the line. How you choose to interpret it is obviously up to you. What we said is that we are looking at additional restructuring as we seek to rationalize and control our costs. And when we're ready, later this year, we will come back and tell you what they are and whether it's below or above the line, effectively.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay. But just to be clear then, it is not in the guidance.

Mark Morris

Former Chief Financial Officer and Executive Director

It is not in the guidance, no.

Operator

Our next question is from the line of Tristan Sanson of Exane.

Tristan Sanson

Exane BNP Paribas, Research Division

Tristan from Exane. A couple of follow-up questions on the life cycle cost improvement on your Civil businesses. I would like just to understand, without having a total number, can you tell us on the 2014 improvement that you are seeing today, both what you had in H1 and the further one you're announcing today, how much is recurring improvement? And how much is a catch-up effect on the revenues already booked on your TCA contract? And second, as I understand, the increase in -- or the additional

improvement that you're booking, reflecting the progressive revision of your sanction on all your Trent 700 contracts. So can you tell us how far you are in this process? And are they further contract to be relative [ph] next year that could drive further life cycle cost improvement assumption?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Like I said to David or one of the previous questions that we had, I'm not going to break out, at the moment, what the catch-up adjustment is. When we've got the full year, we've got the numbers and we get the prelims, we'll highlight what that is. Generally, it's a sort of a rule of thumb. It really depends where we are on these programs. Normally, when we look at any uptick include in the RPA, typically, about 1/3 will be the in year in 2/3. But it really depends where we are in the processes. That's just currently where we are, but -- so...

Tristan Sanson

Exane BNP Paribas, Research Division

I'm sorry. You said [indiscernible]...

John F. Rishton

Former Chief Executive Officer and Executive Director

[indiscernible] It depends on the nature of the cost reduction as well.

Mark Morris

Former Chief Financial Officer and Executive Director

It does.

John F. Rishton

Former Chief Executive Officer and Executive Director

So there's no -- I don't know...

Mark Morris

Former Chief Financial Officer and Executive Director

So what -- I think it's based -- when we get to year-end, then we'll have where we are.

Tristan Sanson

Exane BNP Paribas, Research Division

Okay. And the assumption of having further life cycle cost improvement going forward, is that a possibility? Or are you -- is there's another process?

John F. Rishton

Former Chief Executive Officer and Executive Director

Absolutely. Look, as Mark have said, we've got some 600 engineers working on cost reduction. And we're looking to how we can extend the life on wing of our products, which is obviously what our customers would like and what we would like as well. So we've been pretty successful on that, as you reminded everybody in terms of the Trent 700, and we've talked about that. In fact, Tony Wood talked about that a little bit in June. So we're seeing good progress on the Trent 700 during the course of this year. We continue to work on that all the time, and we have all of these engineers that are helping us to do that. But as you also know, it isn't a linear thing. These things take time, energy and effort that we need to make sure that we're doing the right thing in the right way all of the time. So it isn't possible to say, well, we're getting [ph] more next year and year after. What this is, is we continue to work to improve the life of wing. We continue to improve the life of limited parts so that we can extend the life of wing. We continue to look at how we repair, rather than replace parts. We continue to look at how we can use serviceable material, et cetera, et cetera. And that's just ongoing, Tristan, all the time. So one of the earlier questions was around driving further cost savings in this area. Clearly, that's important to us.

Someone was asking about future unit cost reductions, and Mark was saying, "That's exactly what we're driving to." And I guess what I would say is, based on the level of improvement that we've had this year, certainly, we have got increasing confidence about our ability to drive these cost savings. Now I think one of the realities, and we've talked about this a couple of times on calls in the past is the progress that we've made across the group in terms of costs has been variable. So you're all aware that Defence has made good progress on cost. So I think there was some level of surprise when we announced that the revenue and profits will be down by similar percentages this year, which clearly meant that the margin was unchanged, which clearly meant we did a lot of work on cost on Defence. So the Defence business has done a lot of good stuff on costs, and we made progress there. We've made less progress in the past on the Civil side and the Marine side. What I'm encouraged to see is we're starting to make more progress in those areas. And certainly, on Tuesday, we'll talk a little bit more about that in Marine. My suspicion is that with the outlook -- not my suspicion, my knowledge is that with the outlook that we've got now in terms of the economic environment, that will really capture everyone's attention and will probably -- I'll have more momentum in terms of cost reduction going forward than I have been in the past. So what I've been saying is, while I'm confident we can accelerate cost reduction in total across the businesses, is that because of the deterioration in the economic environment, everyone kind of gets that and understands that. And therefore, the urgency of the need to see ways to change what we do and how we do it becomes apparent to everybody, therefore we'll make good progress as opposed to where we've been in the past, where we've seen mixed progress. So for me, we're going to have accelerated cost reduction in the future. As a consequence of the confidence that we're creating across the business with the successes that we've had to date, and as a consequence of the deteriorated economic environment in the short term, which brings this into even sharper focus and makes it more obvious to everybody. So I think it as a whole -- that's the good news as far as I'm concerned about this. That's the area that I -- we can control, and we're really going to get attention on to that as a consequence of those 2 things: improving levels of confidence about the success we've had and the deterioration of economic environment, which is really making people clear on the urgency and the need for this.

Tristan Sanson

Exane BNP Paribas, Research Division

So do we just -- so to be totally clear, that means that your total portfolio of Trent 700 contracts has been currently revisited under your current assumption for maintenance cost for these? And any improvement will come from new cost savings? Or does it mean you still have more Trent 700 contract to analyze and to see whether you can recalculate your recurring profitability on this?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. Okay. Just -- I mean, it's not program-specific. I mean, of course, we look at programs where we can take costs out. It's an ongoing -- I mean, as John has just alluded to, it's ongoing. We only make those adjustments when we are confident that we've gone through all our processes that we can deliver and we got some experience and track record that supports it. And of course, that doesn't happen sort of every time. When we get it, we see a step-down in terms of the costs that we've got, and we're confident about it, then we'll recognize it. So yes, of course, we expect we continue to focus that we'll continue to drive costs out of all of our products, including the Trent 700 as we go forward. It's not just about at point do we decide we want to think we feel confident we can just -- there has to be the underlying backing and supporting evidence behind that, that says, yes. We've got the improved reliability. We've got the improved cost. The upgrades are improving reliability, et cetera, et cetera but it's -- across all our programs, and the Trent 700 is no exception.

Operator

We now go over to Harry Breach at Westhouse Securities.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Just 2 quick ones. Mark, you said earlier, Civil Aerospace revenue this year 2014, the range maintained at 2% to 5%. But I think you then said, maybe towards the lower end of that range. Can you just clarify, is that just due to the cumulative impact of currency this year? Is there something else going on? And then just secondly, just on T&M spares flow that we've seen in the third quarter going into the fourth, is that what you'd expected 6 months ago? Or is that sort of the demand pattern, the flow rates have changed negatively?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. Look, so not due to currency effects, it's constant FX. This is more to do -- I mean, the trading range is just the basic ebb and flow that we have that we can't land on a sixpence. Let's not forget, we're talking about large expensive pieces of capital goods here. Some might deliver before year-end, and some might not deliver before the year-end. And some might deliver before the year-end, but we don't get paid for them until slightly after year-end. So there's always some balancing movements that we've got that we need to understand. So that's just what I would call sort of wiggle room in terms of the rate that we can't predict through the dollar or the pound exactly what it's going to be. But there is nothing -- like I said, there's been some softening but it's nothing specific that would take us out of our guided range. So I guess, that's the comment. Sorry, your question 2, I completely forgot what it was.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Question 2 is just to understand in the time and materials' spares revenue stream. Is it sort of following the trajectory that you would have expected sort of 3, 6, 9 months ago, maybe beginning of the year? So the trajectory, particularly the RB211-524, coming down being maybe the dominant influence this year? Or is that sort of trajectory, as we've gone through the last quarter, has it deteriorated in the time and material's spares side?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. Generally, its performed as we said. I mean, I think we highlighted H1. We saw a bigger reduction in RB211s, but actually for H2 it's performing pretty much as planned.

Operator

We now go back to David Perry at JPMorgan.

David Howard Perry

JP Morgan Chase & Co, Research Division

So 2 questions. The first one, you may be reluctant to answer, but I'll try. In 2018, in Civil Aero, can you just tell us what you're assuming your payment out of IAE will be in terms of the royalties you're getting? And the second one was just your guidance implies another record high in 2014 for Defence margins, clearly, above 17%. Just wondered if you could give your view of what may happen in 2015 there.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Well, you're right. I'm not going to answer the question 1. I mean, first of all, I haven't looked out that far on that particular piece to just tell you what it would be, even if I were prepared to tell you that. I mean, like I said before, on the V2500, that continues for many years to come on the royalty. And obviously, the OE piece will certainly slowdown as the new neo comes in. And I don't think there's any surprise there, but I'm not going to get into breaking out on that. On Defence, look, I think as John said -- look, Defence, austere times in terms of governmental expenditure on defence budgets. Business, I think, has done well in terms of keeping its costs under control and maintaining its margins on the lower revenues compared to last year. I think as we've said before, we continue to expect some downward pressure on Defence margins pointing to around the mid-teens, I think. But I'm not going to get drawn into '15 at this stage as to exactly what the margins will be, other than to say that the Defence business

is working hard to maintain its margin and take cost down. And we've got good evidence of that when we look at both what we've seen last year and this year.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, David. I'm going to wrap the call up now as we are at just about at 9:00, and we said we would go for 9:00. Look, I really appreciate everyone joining the call this morning at such short notice. We are working hard, and at times I'm sure it doesn't seem that way, to provide you with our best views on the outlook for the future in a way that we hope you will find helpful. I recognize that we are at the start of that journey, not at the end of it. And I recognize that, at times, we are inevitably going to appear slightly defensive whilst we're not even trying to. And I apologize for that. We are in a transition period here between providing only in-year guidance, and we're now trying to provide guidance in year, following year and for the medium term. And whilst that may seem a straightforward exercise, it clearly isn't as straightforward when you get into it as it maybe it first appears. So we are working as hard as we can, really, to try to provide the information that is helpful to you and our investors in a way that is helpful to you, our investors, and at a time that is helpful to you, our investors. I am sure that you will all like more. I am sure that you would all want more details. But we are working hard on this. So, thank you, again, for joining us.

I'm just going to repeat what I said at the start, which is the fundamentals of the business are unchanged. We know that there'll be growth in the medium term. And we know that the drivers behind that are sound, the growth in the air travel and the growth in the demand Energy. And that means that the strategies are unchanged because the medium-term outlook is unchanged because the fundamentals are unchanged. And whilst we're going to have a bumpier time in the short term, that doesn't change those fundamentals.

Now because we've had a call this morning, we will not be having a call on Monday morning. But we will have a session on Monday evening up in Norway that Mark and I will host which will be WebEx-ed. We're looking forward to seeing you in Norway, and Mark and I are looking forward to welcoming you there on Monday evening. On Tuesday, we will have a complete day on Marine, which I hope you will all find very useful, helpful and the team are forward to hosting you, bring your sea legs. Thanks very much for joining us this morning. We'll speak to you soon.

Operator

This now concludes the WebEx. Thank you all very much for attending. You may now disconnect.

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Thursday, July 31, 2014 7:31 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2014-	-FH2 2014-		-FY 2014-		-FY 2015-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	GUIDANCE	CONSENSUS
EPS Normalized	0.23	0.43	▲ 5.26	0.65	-	0.72
Revenue (mm)	6959.28	8148.60	▲ 1.26	15246.45	15513.00	15514.35

Currency: GBP

Consensus as of Jul-29-2014 9:00 AM GMT

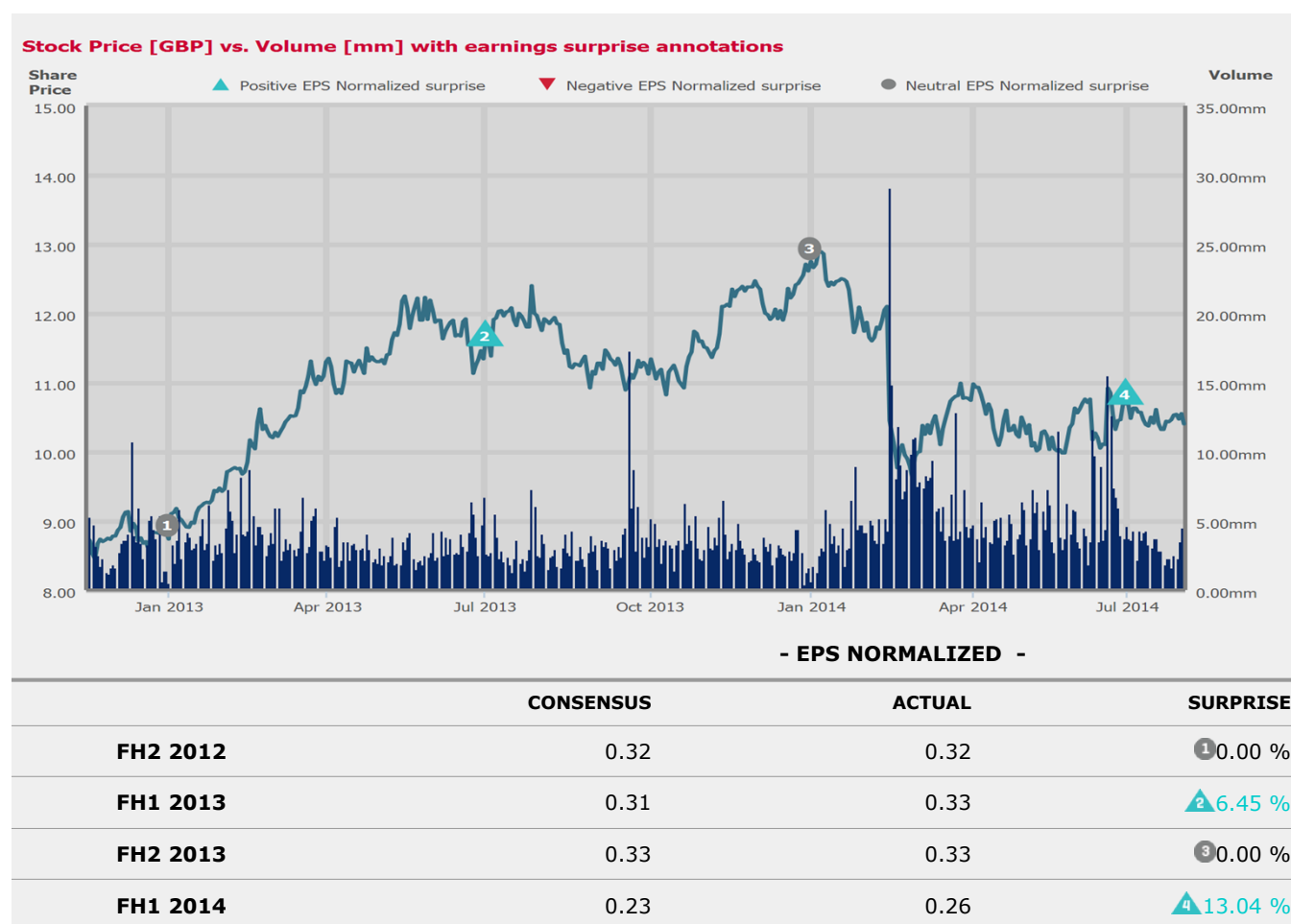


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Call Participants

EXECUTIVES

John F. Rishton

*Former Chief Executive Officer and
Executive Director*

Mark Morris

*Former Chief Financial Officer and
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Robert Alan Stallard

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Presentation

Operator

Hello, and welcome to the 2014 Half Year Results Conference Call for Rolls-Royce Holdings plc. [Operator Instructions] And just to remind you, this conference call is being recorded.

And before we start, some words about Safe Harbor. Please remember today's call will include some forward-looking statements about the Rolls-Royce's group and its businesses. These statements are based on the management team's current views and assumptions but, of course, change over time.

So you should consider the statements in this light.

Today, I'm pleased to present John Rishton, Chief Executive Officer; and Mark Morris, Chief Financial Officer. Gentlemen, please begin.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks very much, Hugh. Good morning, everyone. Thanks for joining us today. It's good to have you listening in.

I'm going to give you the headlines, and then I'm going to hand over to Mark, who's going to take you through the details. Mark will speak probably for about 15 minutes or so, and then we'll go straight to Q&A or wrap the Q&A up no later than 8:25 and then I'll wrap the call up -- at 9:25, I'm sorry, I'll wrap the call up.

So looking at the headlines, first of all, the first half performance was in line with guidance. And we maintained our full year guidance and continue to expect growth in 2015. We increased the shareholder payment by 5% to 9p, so I think the key financials where we said we would be.

In terms of the first half, we delivered our first XWB engines to Airbus for Qatar Airlines, launch customer -- to launch later this year. We've run, for the first time, the large XWB engine, the XWB 97K that will power the A350-1000 aircraft and we'll also run the Trent 1000-TEN engine in the 787.

And you also all will be well aware that at Farnborough, Airbus announced the launch of the A330neo. And we're the exclusive engine provider with our Trent 7000 engine, with draws on technology from the Trent 1000 and the Trent XWB engines. And I'm delighted we already have 127 aircraft commitments, and that provides even more confidence about strong growth in the future.

Now I hand over to Mark, who's going to take you through the details of the first half and our views about the second half. Thanks, Mark.

Mark Morris

Former Chief Financial Officer and Executive Director

Thank you, John, and good morning to you. So we'll start with some of the key group highlights in the first half. Let's just remind ourselves of what we said at the prelims: Revenue and profit for the group will be flat with a similar free cash flow for the year, and that our performance will be weighted to the second half.

As John has said, our H1 results are largely as we expected. As usual, my comments will be restricted to the underlying performance. Now we will go through these results in a little more detail. But before we do, it's worth mentioning foreign exchange as the pounds has depreciated against a number of currencies, which has impacted our results. You can find a lot more detail in our press release, but across all our currencies, the strengthening pound has reduced revenue by GBP 226 million and profit by GBP 21 million.

Turning to our order book. It remains strong and provides good visibility, over GBP 70 billion, albeit a slight reduction from the year end. Revenue and profit, I will come unto shortly.

On cash, we started the year with GBP 1.9 billion and ended the period with GBP 1.2 billion, a reduction of GBP 762 million, which reflects growth in working capital, continued investment and shareholder payments. And finally, we've increased the half year payment to shareholders by 5% to 9p, reflecting our continued confidence in the business.

Let's take a look now at group revenue. I've broken down here the 3 main components of the change in revenue. Original Equipment is down around GBP 200 million, driven predominantly by our Defense and Marine businesses. Defense is down 40%, and Marine is down 15%, mainly on Offshore and Merchant. This is partially offset by OE growth in civil.

Services were also down GBP 57 million, and reductions in every business except Defense, which saw good growth of 9%. And finally, FX, which I've mentioned already.

And as we look at it to the second half, we're looking at around 20% increase in revenue from both higher OE deliveries and a higher run rate of services. And we'll come back to this later on.

Turning to group profit. Volume is down 4% in constant FX, and that's reduced operating profit by GBP 89 million. You're aware of the Marine one-off charge relating to a product quality issue. R&D is GBP 36 million higher, reflecting increased spend in civil programs and lower capitalization as the XWB and 4K [ph] approaches entry into service.

Within other trading, we see the benefit of C&A as a result of indirect headcount reductions made last year, some trading mix impact and aftermarket life cycle cost improvements in Aerospace.

Restructuring spend was GBP 67 million in the first half, which is a GBP 32 million increase over last year as we continue to improve operational efficiency and reduce both direct and indirect costs. These costs are mainly severance costs and site restructuring.

Turning to cash flow. As usual, I'll just pick out the major [indiscernible] themes in this chart that you're all familiar with. Networking capital increased by GBP 634 million, which is about a GBP 200 million lower increase than we saw in the first half to 2013. This reflects higher inventory of GBP 195 million, as we prepare for the increase in H2 volumes. The TotalCare net debtor has increased GBP 165 million, reflecting the sale of engines we linked to aftermarket contracts, mainly Trent 700. Deposits were also lower in Defense and Marine, reflecting deliveries in the period.

Cash outflow and CapEx was GBP 303 million, up GBP 20 million on last year as we continue to invest in capacity and capability. Intangibles of GBP 239 million primarily includes GBP 40 million of software; GBP 28 million of contractual aftermarket rights, formerly known as recoverable engine costs, and again, mainly Trent 1000; GBP 91 million of participation payments on civil programs; and GBP 57 million of capitalized development costs.

Pensions and tax comprises GBP 109 million of tax and GBP 80 million of pensions contributions, which brings us to a free cash outflow of GBP 432 million, which is better than guided. Cash continues to remain an area of significant focus. We continue to expect free cash flow to be similar to 2013.

So now we're going to take a look at each of the businesses. The following figures and commentary in this section reflect the underlying performance at constant foreign exchange, unless otherwise indicated. In Civil Aerospace, whilst the number of engine deliveries was down 1% in the period, OE revenue grew 5%, reflecting 16% higher Trent deliveries, partially offset by 10% lower business jet engine deliveries. Services were down GBP 38 million, and there are a number of moving parts here. On RB211s, we are seeing a combination of lower utilizations as aircraft are converted to freighters and more retirements. Revenue is down about GBP 70 million, and we expect an over-reduction RB211 revenue of about 25% for the full year.

Life Limited Parts are also down, also known as LLPs. LLPs are high-value parts and many of them are not covered by TotalCare. So we get this as incremental T&M revenue at the shop visits. As mentioned at the recent investor briefing, we continue to improve the reliability of our engines, which increases the time on wing and delays the overhaul. This improves overall margins, but delays the LLP sale creating a short-term

timing issue. This was particularly relevant to the Trent 700 in the period with the number of shop visits deferred. Importantly, our wide-body LTSA revenue continues to grow and is up 9%.

On profits, we are seeing a small benefit from volume with the majority of the trading improvement coming from better life cycle costs and a lower C&A. As guided, the R&D charge was higher as a result of higher spend and lower capitalization.

Looking to the second half, we expect higher OE deliveries, particularly Trent's engines, supported by 95% order cover. We have 100% order cover for installed engines and a few open orders for spare engines, better aftermarket driven by higher LLP sales and higher T&M, further cost reduction benefits, particularly in the aftermarket and lower restructuring costs.

Turning to our Defense Aerospace business. On revenue, we've seen a 40% decline in OE, mainly on engines to power the Typhoon, Hawk, C-130J and V-22. Services increased 9% with growth from the LiftSystem as it enters service and continued to mark demand for parts and services from our large installed base of 16,000 engines.

Turning to profit. We trade in -- within trading, we see the impacts of defense having done a good job taking cost out of the business, and this will continue. Defense reduced headcount by 900 since the year end. We've also made good progress on life cycle cost reduction.

Margins also benefited from higher aftermarket sales, which was 62% of Defense's revenue in H1, up from 47% this time a year ago. This proportion will be lower in H2, as OE deliveries increase, particularly on the TP400 and the LiftFan system. So we'll see some downward pressure in the second half but in line with guidance.

So moving on to our Marine business. We've had a challenging first half in Marine. OE revenue was down off the back of lower order intake in 2013, mainly in Offshore. And we had a disappointing performance in services, which is down 9%. Some of this reduced deferrals invested with utilization was also down. On profit, in addition to the negative impact of volume, we also booked a GBP 30 million product quality charge in H1.

Looking to the second half. We've reduced our services outlook based on the lower run rates we've been experiencing, but this has been offset by a higher order intake of OE. We have 98% OE order cover, so our confidence there is good. And our guidance reflects a mix shift towards OE. That's why our revenue guidance is stable, but we have reduced our profit guidance. We are making progress on cost reduction in Marine, but it's been slower than we would have liked. So that's also reduced our expectations for full year profitability.

Consequently, our full year guidance has been revised downwards for a 15% to 25% reduction in profit, prior to the GBP 30 million one-off. This now makes it consistent with the way we have framed group guidance.

Next, let's take a look at our Nuclear & Energy business. OE revenue was higher as we completed several major programs. We had high deliveries in Oil & Gas and nuclear subs. Aftermarket revenue was down 5%, largely driven by reductions in our Oil & Gas business. Profits were lower, driven by adverse mix between OE and services. The small trading benefit includes some product cost reduction and C&A improvements, offset by GBP 10 million charge in the first half to resolve contractual disclosure issues.

In the second half, we expect higher OE and aftermarket sales, in line with traditional phasing. On OE, we have 73% order cover. Aftermarket is an area where we have less visibility. We have about half of this covered on the energy side and an 85% order coverage on the nuclear side.

As you know, we've announced the sale of the gas turbine and compressor business to Siemens. They are making good progress, but there's a lot of work to do to prepare the business to separation. We expect this to close around the year end, so our guidance still assumes full year contribution of this business. Following the sale, the retained business will represent around 40% of underlying revenue and profit.

And finally, our Power Systems business. Power Systems had a similar first half to last year, with OE sales up 5% and aftermarket sales down 6%. Naval and defense sales were higher, while oil & gas, mining and power plant sales were lower. Profits were lower in the first half due to a small mix effect and higher restructuring costs. Looking to the second half, we expect higher OE deliveries, particularly coming from higher sales in Oil & Gas mining and power generation, supported by 80% order cover. Better aftermarket, reflecting the traditional second half weighting to spares and firm orders from naval and defense customers and cost reduction benefits and lower restructuring costs.

Turning to financial strength. As you know, we continue to place considerable importance on maintaining an investment-grade rating and strong liquidity. There's been no change to our credit rating during the period.

Now turning to the guidance. Group guidance is maintained. Excluding foreign exchange translation effects on the one-off charge in Marine, we expect revenue and profit to be flat for the full year with free cash flow similar to 2013. The impact of foreign exchange at current rates will be around GBP 500 million on revenue and GBP 70 million on profit.

It's worth mentioning the EPS impact from our purchase of the remaining 50% of Power Systems, which we expect to complete towards the end of the year. Daimler relinquished its economic interest in the 25th of March when it exercised its put option. The underlying earnings per share increased 100% of Power Systems profits from that date. In the first half, this improved the underlying EPS by just under 1p.

Turning to segment guidance. As I said at our recent Investor Day, we will provide a new format for guidance that give ranges for revenue and profit. Segmental guidance is maintained except for Marine profit, which we have lowered as mentioned earlier.

The change in Marine profit will be compensated at the group level by improvements in the other businesses.

So some final thoughts to leave you with. Our interim results are as expected, we continue to make progress on the 4Cs with more to do. The reasons we're confident about a much better second half are high OE order cover, higher OE services, higher OE and services volumes that we see across every business, traditional second half weighting and further benefits from cost reduction.

Finally, shareholder payments are up 5% to 9p, reflecting the continued confidence we have in the business.

With that, I'll turn over to Q&A.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Robert Stallard of RBC.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

First of all, I wonder if we could start with the Aerospace aftermarket on the RB211 and these other life limited parts. What gives you the confidence that these will recover or stabilize in the second half?

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, thank you, Robert. I suspect this would be a question. Yes, some of it is just phasing, so we know when we look going forward we have a high number of shop visits scheduled. And that's why we have the confidence. And the impact from both is about 50-50 between LLP sales and the RB211 revenue.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

And I was wondering if you could also give us what the Trent aftermarket on the TotalCare did in the first half in terms of revenues?

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, we don't break them down by various programs. But I mean, the Trent wide body generally continues to grow, reflecting the growing installed base.

Operator

Our next question is from the line of Christian Laughlin of Bernstein.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Just one question or a couple of questions, I guess, around Trent 7000. If you could just provide some additional detail on the amount of incremental R&D spend in phasing for the engine. I mean my understanding is it's on the order of GBP 200 million to GBP 300 million or so. I'd just like to understand how that kind of overlays from -- I guess the spend begins in 2014 through EIS in 2017? And then also, as a kind of corollary to that, if you can give any color on some of this R&D spend actually diverted from other planned work in the future. In other words, it's not truly incremental beyond what was already in your R&D budget plans or outlook for several years.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. So first question is the high level, it's not incremental to our R&D plans. If you think about how R&D operates, it's predominantly people. And we have a finite number of people that are working to consume the bulk of what our R&D spend is. And as we go forward, obviously, to the extent there's no problem -- no programs, what would happen is obviously, we free up obviously loan or capacity in terms of what we can do. So this has been factored in within the balance of our affordable R&D. It's worth saying that this is not a completely new center line engine. We're taking a lot of Trent 1000 architecture. And as you rightly said, we said that R&D will be around GBP 200 million to GBP 300 million between now and EIS and very little CapEx other than for tooling. So we're looking in the low tens of millions for that. And again, that's factored in to our guidance both for next year and for this year.

Operator

Our next question is from the line of Ben Fidler at Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, a few questions, please. Just the first one on the level of confidence, I suppose, and what gives you that confidence over the recovery, specifically in the industrial businesses where Marine and Power Systems have both got a lot to do in the second half. I know you stepped through some of the drivers of that, but just -- still struggling to understand what gives us that scale of H2 weighting in those businesses this year? The second question was on the specific guidance -- and thank you for the increased clarity of the division by division level. Obviously, I don't know what your old growth rates were in terms of the profit growth. We only have the old language to refer to. But I'm just struggling to see the cut that you've made to your Marine profit guidance, what else has gone up significantly on the other side to counterbalance that? I'm struggling a little bit to see that, but I'm cross-referencing percentages with language before so you have the privilege of more information. And the third question, I know you're no longer revealing what the IAE benefit was, but are you able to share, even if not the absolute number, just the directionality of that IAE benefit in the first half of this year from the earn-out payment?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Ben. Thanks for your questions. Well, I'll talk a little bit about sort of the first couple, maybe ask Mark to talk about IAE. In terms of confidence, I think what Mark has outlined, I think, in more detail in his presentation than we would historically have given. We are trying to help as much as we can. We heard very clearly the comments that have been made about providing more information. And it clearly revolves around 2 things, which is the OE order cover, which is Mark has said is strong in both Marine and Industrial Power and in those businesses where the weighting is in terms of services cover, varying levels of services cover so stronger in naval, less so in Rolls-Royce Power Systems. If you'll look at the weighting, for example, between last year and first half and second half of Rolls-Royce Power Systems, you would see a lot dissimilar pattern. So this isn't something that is exceptional or particularly unusual. I think that what I would say is we have really gone around again on the Marine services side because we were too optimistic in the first half on Marine services and have reassessed that position completely. And we've actually got some additional people working in that area. We're addressing a number of aspects of that business to make sure that we can deliver on the services side. So as we sit here today, we're pretty confident about that step-up in the second half. In terms of the reduction in Marine, as Mark said, whilst it isn't precisely clear to you, its improvements across the other businesses that compensate for that within the guidance ranges that we've already issued. And it's across all of those other businesses. In terms of, IAE, Mark, this is a recurring question, and I know that you are keen to answer this one.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, look, the short answer, Ben, is that we stopped giving the relative move from what I'll call, old world to new world, just because it gets difficult. But the absolute contribution is not dissimilar to H1. And just so we can be clear, there is no sudden drop-off of the V2500 business. And as we look forward over our 10-year forecast, it will continue to contribute to part of the portfolio for many years to come. So I think it's probably what I'll say at the moment.

John F. Rishton

Former Chief Executive Officer and Executive Director

In terms of 3 sources of income that we've got there, Mark...

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, yes. I mean, Ben, I think you probably know this already. I mean there's sort of 3 sources of income that come from V2500. There's the fact that we manufacture parts and assemble engines. We do overhauls, and obviously, sell spare parts. And then finally, we continue to collect a number of dollars

per engine flying out that will go into -- which will carry on, on every engine service that will go for many years to come.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

And actually, do you expect any upside over your original expectations in the scale of that earnout? Just looking at some of your competitors who report numbers on the V2500, the aftermarket growth there has been probably stronger than we were expecting. Does that generate upside for you, or is there a capital limit that's part of the agreement of the scale of that earnout with Pratt?

Mark Morris

Former Chief Financial Officer and Executive Director

No, I think it's fair to say, and as we reflected actually over the last couple of years, we have seen better trading from V2500. And of course, it's got a big installed base. So we'll continue to see that coming.

Operator

The next question is from the line of Celine Fornaro of Bank of America Merrill Lynch.

Celine Fornaro

BofA Merrill Lynch, Research Division

I have 2 questions, if I may. The first one would be just to clarify, on the division of guidance, which you now provide and the trends there on the revenues and profit. Does that include the effects, or are those guidances based on the current spot rates really for the year? And my second question would be if you can comment your progress on the cash. You seemed to be fairly pleased with that, although it still's down compared to last year by GBP 100 million. And if you could comment on your inventory turns, especially on the Aerospace business but also in the industrial businesses. And if we -- and how do we think about that into H2? Are you going to start to ramp up again for next year? So how do we think about the inventory turns then?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Why don't I get Mark just to comment on the FX and the guidance? I'll talk a little bit about cash.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. So Celine, just to be clear, the guidance that we are giving and have given is what we refer to as the constant FX, so that's at the same level as 2013 FX. And in the press release, and as I've also provided in the presentation, the impact of the current effective average rates for the year, if they were to stay exactly the same -- we've talked about it if they will or not, it will impact revenue adversely by GBP 500 million and profits by about GBP 70 million, which obviously has sort of gone up a little bit from where we were in Q1. And that's purely the movements in average exchange rates on the translation effects as we call it.

John F. Rishton

Former Chief Executive Officer and Executive Director

In terms of cash, and specifically, inventory turns, what we've seen in the first half is an improvement in terms -- turns compared to the same period last year from 2.8 turns to -- sorry -- yes, from 2.8 turns to 3.2 turns. So that's a good improvement. Now, it's slightly more complicated. And I'll just explain a couple of things. First of all, that is down from year end when it was 3.4 turns. As Mark has explained, that's been one of the reasons for some of the cash out fleets [ph], he talked about the increase in working capital. But it's an improvement compared to the same period last year. So at year end, we said we'd improve by 0.4 turns to 3.4 turns, which is good improvement. The improvement of 0.4 turns versus the same period last year is true for the half year, but it's now down at 3.2. So we're making good progress against the same time periods last year, which reflect the same kinds of movements in the working capital

flows. So we're expecting improvements again in the full year in terms of inventory turns. Now the only other point that I would make, and this is one that I do want to make sure we're clear on is that those turns exclude, at the moment, Rolls-Royce Power Systems. But we will include those when I next talk to you, and I'll tell you what those numbers are. In detail, the Power Systems numbers' turns are lower because of the nature of the business and the way that they carry, particularly service parts. And they're in the low 2s. They have been fairly flat year-on-year, but we'll bring those to your attention at the end of this year. I'll make sure I bring those. But in terms of the numbers that we've talked about in the past, we've seen good improvement in turns in the course of the year.

Celine Fornaro

BofA Merrill Lynch, Research Division

But John, thanks for the answer. But just to follow-up on this. Is it that the H1 you actually were expecting to make a little bit maybe of progress compared to the year end, or it was as planned all in line? And also, if you could give just a little bit more color on the inventory turns, what was the division that maybe continue to do better or improved or disappointed? And how is Aerospace tracking in that or Marine?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, yes. So it was actually, the turn rate was better than we -- it's slightly better than we expected. We made more progress than we expected. And again, this is where it gets slightly -- maybe more complicated. But to make it simple, the answer is it's better than we expected. The primary improvements that we've seen have been in civil, particularly civil large engines. So we're seeing good improvements across the board, but particularly in civil, civil large. And one of the ways that we've been doing that across is we've been rebalancing the total inventory position. And one of the drags that I've currently got is that increased some of the burden allocation costs of my fixed cost as I reduce production to take out inventories to drive turns, which is something that I talked to you a little bit about at the Investor Day.

Operator

Our next question is from the line of Harry Breach at Westhouse Securities.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

I've got 4 fairly brief questions. I'll start with the simple one, numeric one, if I can. Firstly, just in the first half, could you give us the percentage of Civil Aerospace aftermarket revenues from TCAs? I think it's probably somewhere in the low 70s. Second one, in the past, you've commented on the movement in a period on the achieved rate. Perhaps there wasn't any movement in the first half of 2013. But could you just give us some indication of that both for the first half and what you expect for the full year this year? Third question, the dividend increase, looks like lowest since 2009, but hopefully, the outlook's a bit brighter since then. Can you just help us to understand how you're thinking about that sort of pacing of dividend growth? And the last question is about Marine. Can you give us, 2 things really, firstly, a little bit more color about the quality issue? Historically, thinking back to times with Mermaid, and I believe, other issues. These things have occurred, and they weren't just entirely one-offs. It would be great if you could give us some reassurance and confidence about what happened and the fix. And the other thing is about services. Can you give us some sense about why things have fallen down? When I look at day rates for Offshore Vessels, I can't see collapsing numbers there. Can you give us a feeling about why the services part of Marine has come so short this year, and how you're feeling about it going forward?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, sorry, Paul [ph], why don't you take the first -- the numbers questions, the first 3 maybe. And I'll talk a little about Marine.

Mark Morris

Former Chief Financial Officer and Executive Director

Certainly, John. Good morning, Harry. Our Civil Aerospace TotalCare revenues first half of total aftermarket, and this was 72%. That's a nice and easy one to get out. Achieved rates -- so this is transactional exposure, very little movement. And for the full year again, pretty, pretty, very negligible movement on achieved rate from '13 to '14. Sorry, the third question, here we are. Dividend, yes, look, I mean you're aware and as I said at the Investor Day, that our dividend policy is really a progressive policy that moves broadly in line with earnings growth, I mean mechanically from that, you could infer that we should have no increase on the grounds that we've guided no growth for this year. But again, we said this is temporary, we expect to resume growth next year, and that really reflects our confidence. And clearly, we're confident about H2. And obviously, when we get to the NDA, we can see as the next staging post what we'll do on dividends really.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. I'll talk a little bit about Marine. I'm not going to get into the details of the specific part of quality issue, but what I would say is a couple of things. First of all, this goes back quite a way, and it's something that we could investigate in and try to unravel some time. At quality in Marine is something, as we did across the entire business, we measure and are focused on this part of our customer focus. So if you think about the, what we call, the customer DNA, the very first item in there is quality and delivery responsiveness and reliability. And I'm pleased to say that the way we measure quality has improved across the business and across all parts of the business, including Marine. So this is something that has, is historical and is something that we are working to fix, and we will fix. In terms of services, I think a couple of things. First of all, as with many of our parts of our business, it really depends on exactly what businesses you're in, what you've actually seen going on in any particular period. So you can talk about the Marine business as a broad business. You need to then go down into exactly what part of the Marine business you're in or what's going on in them. So whilst, as you say, you haven't seen significant change in some of the vessel rates, we've seen reductions in utilization of a number of vessels. And we've continued to see that. And in some of our parts of business, we've seen some reduction in rates as well. So with the naval business, for example, we've seen good services, that's been far, that's been as predicted. But in Offshore, we saw it coming down. Now I would say that I think we were overly optimistic in our forecast, and that's part of it when we started off the year. And part of it is what's going on in the market. And that's what we've been reassessing, and we've been reassessing that for what's happened, what we think has happened. We've also been getting some more expertise into the business in this particular area, which I think will help us in the future.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

And John, can I take just a tiny stage further, which is saying, do you think that for that Offshore business for services, demand is something where rationally, we might think about it coming back or rebounding next year or beyond, or are we kind of rebasing to a lower level of offshore activity?

John F. Rishton

Former Chief Executive Officer and Executive Director

No, we don't really base it to a lower level of offshore activity. As Mark said in his presentation, we've seen actually a higher order intake for offshore in the first half, which gives us more confidence about the second half. It was actually, we actually believe, as Mark has said, that we're going to have more OE sales in the second half, which will eventually flow through into more services. So I think there will be some services uptake. And it's there, but we are spending more time on -- as I said, getting more expertise on it. I think I mentioned at one of the calls or maybe the Investor Day that we've signed our first long-term service care agreement in the offshore market earlier this year with one of our main customers. That's a very important step, very big step, but a very small part of the business. So I think as I look to the future, our increasing focus on services, both in terms of getting the service centers into the geographies that they need to be, in terms of building the organization behind that and the structures and processes behind that. We've got more work to do, but it is the right direction of travel because our services business is and will be very important to us and to the Marine business in the future, particularly I think, at Offshore because that's where our strength is.

Operator

Our next question is from the line of Rami Myerson at Investec.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Two questions. Short one and longer one. Could you provide that similar color on the Rolls-Royce Power Systems on the trends in markets, and why you expect a pickup in services and in which markets in H2? And just to clarify because there has been some ambiguity in the past. In the statement, you talk about growth in 2015. Does that imply revenue and profits?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. So '15, again, revenue on profits, we expect growth in that year in both of those areas, those at Rolls-Royce Power Systems. A couple of things, again I think, their services has tended to be more in the second half than the first half. But again, it depends explicitly on the markets that we get into. So they serve a wide variety of markets in different requirements in terms of servicing. What we saw is a weakness in Oil & Gas and mining in the first half, which we think will strengthen in the second half for a variety of reasons. So we believe that the services will include in that business in the second half, one, of a basis if that's what they've done in the past; and two, because of the mix of the business that we see strengthening in the second half.

Rami Yehuda Myerson

Investec Bank plc, Research Division

So you expect Oil & Gas and mining to pick up in H2?

John F. Rishton

Former Chief Executive Officer and Executive Director

I think we'll see some strengthening in that, certainly, in terms of the OE and also in terms of the servicing part of those businesses.

Mark Morris

Former Chief Financial Officer and Executive Director

I mean, it's also worth saying that generally, where we're dealing with governments and public sector bodies, we do see buying patterns growing in the last quarter as they look to spend their budgets so they reset at the same level. And that's generally, we see not always a much higher uptick in Q4. And as I said in the presentation, obviously, we tend to get higher -- we got quite high order cover actually on Power Systems when we look at our naval and defense parts of the business as well. So that's why we have the confidence.

Operator

[Operator Instructions] And we now go to the line of Ben Fidler of Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Sorry to come back with another question. Just a quick follow-up having read a little bit more in the statement. Now I've had some time. I'm still struggling, I suppose, to understand and drill down into some of the margin performance in defense and also Civil Aerospace in the first half. And I know in the -- you refer on both commercial Civil Aerospace and defense to reduce maintenance cost on the Trent 700 and to improvements in some of your long-term service agreements in defense. That -- presumably, this led to some sort of cumulative capture type of profit effect. And I just wondered how significant that was both within the defense business and in the commercial business in the first half? Do you see those cumulative catch-up effects continuing in the second half?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Ben, I'm, I was quite impressed when you said the cumulative catch-up. Obviously, the Investor Day has done its bit on highlighted. But yes, there is an element. And again, if you remember when I was talking about the fact that we make an estimate about costs and as reliability improves and we've seen that happening in a number of our defense and civil engines, obviously we will release effectively margin as part -- and that obviously adjust the revenue as well. So the short answer is these things only arise when we come and do 2x a year where we do these follow-up reviews. And once we can forecast what we might think, and only once go through that process because there's quite a few moving parts so it's difficult to say. What we have done there is, in our view and looking at where we're seeing our progress in costs and reliability, we do bake that in. And that's reflected in our overall guidance for the year for civil and defense. But like I said on defense, there are a number of moving parts, which is why I said don't sort of -- whilst we'd like it to get used 19% margins on defense, we think longer term, there's probably more like the midteens for defense.

Benjamin Philip Fidler*Deutsche Bank AG, Research Division*

And presumably, the effects of those must have been -- how significant were those effects in the first half, of significance or not materially?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Of significance but not materially.

Operator

Our final question is from the line of Sandy Morris at Jefferies.

Sandy Morris*Jefferies LLC, Research Division*

I'm still going to come back to Civil Aerospace which is what I think Ben was asking about. I mean it's funny, isn't it, when we get a good result, it worries us. Bluntly, the decline is due to restructuring and higher R&D. Then we have adverse mix in theory because we've got fewer corporate engines and more Trents, although Trents are linked, I guess. And I understand that there's a lot of variables washing through here. But my impression is that something must be going right in the business in the sense that the new facility is, must be coming onstream smoothly or something. And so without wishing to sort of go through -- did that go up or down a bit? I mean, how are we feeling about the ramp up, albeit we're still at a relatively early stage?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Thanks, Sandy. Yes, your description is a good one. I think we're feeling very good about it actually, Sandy. The new facilities that we're opening are opening -- and I'm touching wood now very smoothly. We're getting very good performance out of all of them. So I think at the Investor Day, I used the example of our new facility in Washington where we've improved productivity by 50%. We're seeing right first time, pretty much all the lower time compared to the old facility where we were because of the nature of the facility and processes. So we're seeing really good progress. But it's not just the new facilities that are really starting to improve. We're seeing the benefits starting to flow through from the focus that we're putting on and the team we have put on manufacturing processing capabilities. So as an example, this morning, this is sort of an embarrassing example in many ways, at Barnoldswick, which is one of our oldest facilities. We have, for the first time in one of the areas of production, eliminated all of the arrears. So arrears are things that we're supposed to produce, but we're behind time. And that's one of the things that affects our production rate. So for the first time in the history of the plant, we have no arrears on structures, which is one, extraordinary in the sense it's the first time ever. But two, it's brilliant

because we've managed to get there, which will help improve our performance to plan, which will then help improve our performance to customer, which will then help us reduce our cost and our inventory in cash. So we are seeing good progress from the new facilities that are coming onstream smoothly and much better performance from many of our older facilities as we drive standardization, lean production, new production methodology into those plants.

Sandy Morris

Jefferies LLC, Research Division

Yes. I mean my sort of impression is that what you've just described is just as important as any of the other ups and downs and i.e. or whatever. Am I right in sort of thinking that?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, you're exactly right, Sandy. It's things that I was trying to emphasize at the Investor Day. It's what I talked about is growing pains, which is there's a cost associated with getting this in. But once it's in up and running, then we're in good shape. So it's getting through that hurdle. So it's getting the new facilities in, getting the production processes operating smoothly and efficiently and effectively, getting the capacity utilization up, which is going to come as we grow the business, and the growth is there. Exactly how it falls, we'll see it over time, but we know it's there. And then we've got to restructure, which means reducing some of our facilities. And we said -- I said at the Investor Day, reduce the flow of footprint by 20% by 2020 to make sure that we have the lean efficient machine that we need with the right capacity, the right processes that delivers production according to plan and to the customers on time, the right quality at the right cost at the right time. So it is exceptionally important that we get that right. And that is the large part of the transformation that's going on at Rolls-Royce as we go from a low-volume engine manufacturer, bespoke tailors, as I've said to many of you, to a high-volume producer where we absolutely have to have the production disciplines in place. And that is a tough journey, but we're making really good progress.

Sandy Morris

Jefferies LLC, Research Division

A tedious a question just on Marine services. I mean I suppose if there is an area of disappointment, it's only because services did so well for us for a good few years, but then we were opening the service centers. And just sort of idle curiosity, whether there's any particular weakness in any region, if you see what I'm driving at, whether it's Gulf of Mexico or Brazil or whatever, or whether actually, for some reason, it's just slow everywhere?

John F. Rishton

Former Chief Executive Officer and Executive Director

I think it's reasonably slow as far as we're seeing everywhere. We're seeing large sales of upgrades, large sales of spare parts. And again, in the specific areas that we've been servicing, we've seen better utilization and rates below historic averages, and people being more cautious about services and spares. And as I said, I think we were overly optimistic at the start of the year on the services side. It is an important area for us. It is an important area in terms of revenue and in terms of margin. And it's an area that we'll continue to invest in because there is growth in the future.

Sandy Morris

Jefferies LLC, Research Division

Forgive me because it was more of an observation than a question. But the vessel utilization on offshore seems to be going up, if anything. So this all seems sort of, slightly sort of odd trend in services. But maybe it's because they're out there working that the surfaces have gone down.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, well, there's an element of truth in that, Sandy, which is very true. But if you look at historic rates and where we are now in some of the areas that we've been in, the rates are lower. But certainly, if they're on job, the last thing they want to do is to pull them off job to do spare parts. So if you're earning reasonable rates and you've got them working, keep them working.

Sandy Morris

Jefferies LLC, Research Division

Thanks ever so much.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks very much, indeed, for joining us this morning. It was good to talk to you again. If you have any views or comments or feedback about the way that we've managed the presentations today and the information, please do let us know as we are working hard to reflect the comments that you make. And we'll look forward to seeing you, of course, at our Investor Day in October. I think before we finish, though, if I scan back and look sort of beyond the half 1 results beyond '14 and now to the future, if I conclude with what I really said at the Investor Day in June, we have a very strong position in markets that are growing. We are really concentrating on doing what we know and doing that better than we've ever done it in the past. And there are significant opportunities to improve our business internally and significant opportunities to grow externally everywhere we look.

Thanks for joining us today. Look forward to speaking to you soon.

Operator

This now concludes the call. Thank you, all, very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR. Shareholder/Analyst Call

Thursday, June 19, 2014 9:00 AM GMT

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Presentation

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, I make it 9:00, so we can make a start. So thank you very much indeed for joining us today. It really is terrific to see so many people here to come and listen to what we have to say about Rolls-Royce. As well, I always wonder, when I issue these invitations, whether many people are that interested or whether people are going to turn up, so it really is terrific, really terrific to see so many people here. And I know we have many people joining us, listening in on the phone lines, and we will be WebEx-ing the whole presentation. So thank you very much indeed.

First of all, let me introduce my colleagues on the podium here. I think you probably know most of them, but just to make sure: First of all, Mark Morris is our CFO; Tony Wood is President of our Aerospace division; Colin Smith, who's our Engineering Director; and Lawrie Haynes, on the far right, who's President of our Marine & Industrial Power Systems business. And they're here, Tony and Mark, to make presentations; and Colin and Lawrie and the rest of the team to answer questions a little later.

First of all, I should read our Safe Harbor statement. Please remember that while today is not a trading update and while we are not issuing any new guidance, we will be talking about the future and our view of the group's prospects. This includes our current assumptions that, of course, can change, and therefore, any forward-looking statements should be considered in that light.

The purpose of today is to start to address some of the issues that many of you have raised about Rolls-Royce. Rolls-Royce is a complicated business. We understand that you need help understanding it and we know that we need to give you more help so that you can understand us better and do your jobs better and help us do our jobs better. So the purpose of today is to start that. And I say the word start because I know, you know, we all know that we're not going to answer everybody's questions in a single Investor Day meeting, but I believe that we can make a good start today. And with that in mind, we have already planned another date for a second investor meeting this year. So the date for your diaries would be October 21 when we'll have a meeting in Norway in our Marine center in Alesund, where we'll focus primarily on our Marine business. And then next year, we'll have another 2 sessions, 1 of which will focus on our Aerospace business. And then I think everybody will be pleased to learn that we're going to take you all to Friedrichshafen and talk about our high-speed reciprocating business Rolls-Royce Power Systems, formerly Tognum, out in Germany. So we're going to make a start today. We've got plans for the future to help you get more familiar with the company.

Today, I'm going to discuss something around strategy. Mark will talk about capital allocation and guidance. Tony and Mark will talk about TotalCare accounting. We'll take a break after Mark Morris has talked about capital allocation and guidance, about 20 minutes. We'll come back, talk about TotalCare, and then we'll run a Q&A session up until lunchtime.

A couple of headlines from this morning, which you will all, I've no doubt, have read but worth saying. First of all, we said in our RNS that we have no plans for any material M&A at present. Secondly, we said that we would return the proceeds from the sale of our Energy division by way of a share buyback, and Mark will talk a little bit more about that later on. And thirdly, we confirmed the guidance that we'd issued to the market.

Now I'm going to take you through a number of slides that talk about our strategy, but I thought, before I do that, I'd just start by saying how I would reflect on our business in a few points: concentrate on what we're good at and where we add value; concentrate on supporting our customers through the life cycle of the product; invest in technology; concentrate on growth markets with barriers to entry; create a portfolio of products that have some common and some complementary characteristics; execute effectively and efficiently. I would say we've got plenty of opportunity in the future.

So strategy. Evolution, not revolution. We started to use some new words to describe our strategy which are -- we've changed, and we've changed them for a number of reasons to try to simplify so that the

organization understands it but it doesn't change what we're trying to do, just how we talk about it. And we're talking about our strategy now really around customer innovation and profitable growth. Customer, the heart of the business. Understanding intimately what our customers need and requirements are is essential. It's essential for any business. We have to absolutely be clear on what our customers want, what they need and how we can help them.

Innovation. The company has built its strength on innovation. The position that we have today has been earned because of the technology, the way that we do things. We are terrific in innovation. The great trick is to make sure that the innovation we do is what customers want. It's to link those 2 things closer together; that if we innovate to provide customers what they want, it will be successful. If we just innovate for the sake of doing something new, it is unlikely to be. So the important link between the 2 is that they're connected, and that's why understanding our customers is so important.

And profitable growth, both words being important. It isn't just about profit. It isn't just about growth. It's about growing profitably. It's absolutely essential.

So nothing particularly new, just a different way of expressing our strategy compared to the past, and what a past.

In the last decade, order books have grown from nearly GBP 19 billion to nearly GBP 72 billion, up nearly 4x. Revenues increased nearly 3x from GBP 5 billion to GBP 15 billion, and profits up about 6x from GBP 0.3 billion to GBP 0.6 billion (sic) [1.8 billion]. What intrigues me a little bit is, if I went back to 2003 and looked at our position there, I suspect that most people wouldn't have believed that, that was possible. I suspect that. And what I would suggest is that we have a stronger portfolio, a stronger position today because of the work that's been done, so that we should look forward to the future with greater confidence than we would have done in 2003.

Who are we? Rolls-Royce is a complex Power Systems and services group. That's what we've done. That's what we do. That's what we will do. We've always done it. We are doing it. We will do it. We haven't changed. If I go back to our original memorandum of understanding, it was to provide powerful vehicles for use on land or water or in the air, and that was in the memorandum in 1904. That's still what we do today. It's what we've done, what we do, what we'll continue to do. We're not changing.

The power come from 3 sources: gas turbines; reciprocating engines; and to a small extent, nuclear. That's where our power comes from. And again, if you went back in history of the company, the very first engine that Rolls-Royce produced was, of course, a reciprocating engine. So whilst we all think of Rolls-Royce as being gas turbines, actually, if you look at the history of what we've done and where we've been, reciprocating engines and gas turbines have been a common theme for many, many years; nuclear, since the middle of 50s.

Systems. We don't just do power. We have a number of other products, LiftFan, for example, and Joint Strike Fighter. In Marine, we probably have the best portfolio of systems products, whether that's propellers, thrusters, waterjets, winches, deck equipment, dynamic positioning systems, ship shift design, of any one in that market.

And of course, services, services right across the whole of the group, very, very important to us. Look after the product through its life cycle, provide those services.

From an organizational perspective, we've divided ourselves into 2: an Aerospace division and Marine & Industrial Power Systems. And underneath those, we have the businesses of Civil Aerospace; Defence Aerospace; Rolls-Royce Power Systems, formerly Tognum; Marine; and our nuclear businesses. If I look at it looking across some of the connections between Aerospace and Marine, there are many. So in the Marine business, we learn a lot from our aerodynamics in terms of propeller, how we could improve the propellers. We designed and invented a counter-rotating propeller, but that was based on our knowledge of aerodynamics. In our Aerospace division, we learned from cavitation in the marine industry about how to improve our aero fuel pumps. We learn a lot across the 2 between bearings and seals from Marine to Aerospace. We learn about composite materials, bonding processes between the 2. Underneath this, we have an infrastructure which supports both, the Advanced Manufacturing Research Center. The way that

we analyze the methods that we use, the processes, the production systems, all those are common across the group.

So whilst we organize ourselves in this way, there are strong links between the 2. And we foster those strong links by moving people across the organization to bring learning and different thinking from aero to Marine -- or to Marine & Industrial Power Systems and back and the other way. This is not just 2 separate businesses completely separated. They are together.

I've already said we've grown revenue a lot. If I look at 2003, our Marine & Industrial Power Systems business was 27% of the total revenue, not small. It's grown since then. I would say we've got a better balance in revenue. We've grown our revenue hugely, got a better balance. If I look at profit, it's the same story. Back in 2003, small profits, mostly Aerospace. But then, MIPS was 16%, 30% today. Over that period of time, not only have we grown the profits, but the margins have almost doubled. And in every single business unit, the margins have gone up. So I would suggest that we've done well in terms of growing the business and improving the business' financial performance. We've been pretty good owners of those businesses.

In terms of where the revenue comes from, as you would expect, in this chart, mostly gas turbines. Reciprocating engines is about 19%; marine equipment, 11%; nuclear, relatively smaller, 4%. Nuclear is an important business for strategic reasons, I think, within Rolls-Royce, lots of growth opportunity in the civil side of nuclear as we look forward in terms of the U.K. civil build, but the strategic business is very important. In the last couple of days, the Chinese Premier was discussing nuclear, and we were involved in those discussions. It has a bigger impact for the group and size of the revenue. Marine equipment, very important.

If you look at it in terms of OE and aftermarket, again no surprise for you. You're familiar with this roughly 50-50, but the Marine & Industrial Power Systems part is relatively small compared to the Aerospace. We are learning from Aerospace into here to grow this business. And in fact, Lawrie and his team in the Marine business sold their first equivalent of TotalCare package to one of our customers about 3 or 4 months ago. Again, we learn across the business.

Now if I look at our civil gas turbine business and our reciprocating businesses and just look at what I call some of the characteristics of those businesses. It was quite interesting. First of all, I would say that return on capital employed is about the same, and this isn't just ours. We've looked around the industry. We've looked at the market and we've created an assessment in conjunction with some outside help. So we've got a common, similar return on capital employed, but the characteristics are very different, again no particular surprise to anyone: barriers to entry in this market, very high; investment, high; time to earn cash, high. No surprises. Different in this one, shorter. And when I come to look around the industry, it comes as no particular surprise to me and, I suspect, nor to you that there are no pure-play civil businesses when you look at these kind of characteristics.

So let me sort of pause for a second there. I thought I'd give you an overview of where we've been, what we've been doing and why and to give you some indications of the characteristics in the business. And I guess what I'm saying is we're doing what we've always done because there's been quite a lot of speculation or feeling in the market that we're diversifying or doing something different, and we're not. We're doing more of what we've always done. And then we're going to talk about our priorities. Again, these should all be familiar to you. I will be astonished if you were surprised by any of these.

The top 2. Fix the basics, the 4Cs. Everybody in the organization is familiar with them. I think most people here will be familiar with them. And culture -- I call those the bedrock. In some ways, they're not strategic, but if we don't get them right, delivering the strategic investment choices is more challenging. And the bottom 3: wide-body gas turbines; narrow body; and medium speed reciprocating engines. I think I've talked to all investors. I think I've talked to everybody about this list in the list of priorities that we have. Let's just run through them.

4Cs: customer, concentration, cost and cash. Let's just run through those. I'm going to just run through this chart. I'm going to start on the right or your left over here and then come back to here.

On-time delivery to customer. In the past when we were making very few engines, this was not a particularly important matter. It was always sort of important, but it wasn't a hugely important issue. As our volumes have increased as a consequence of our success, it becomes really important. We're improving across the business. And as I've said to many of you last year, for the first time ever in civil large engines, we were 100% on-time all through the year. In the other businesses, it's improved through the year. So these are year-end numbers, but the story is the same whatever numbers I use. The good news is we're improving. And this is absolutely essential because it transforms the discussions that I have with customers from discussing problems of the past to talking about opportunities in the future. And it's not just in delivery that we're changing it. We have what we call the customer DNA in the organization, and those are just over there. It sort of shows the 4 things that we worry about: quality, delivery, responsiveness and reliability. And we're improving in all of those. In fact, we won an award from Airbus, and Boeing have really been complimentary most recently about our quality, terrific improvement.

Delivery, I'm showing, is improving. Our responsiveness to issues has improved. And our reliability, as Tony will talk about, is also improving. So we're making very, very good progress in terms of satisfying our customers, which means that we can focus on what I would regard as more important discussions for Rolls-Royce, how can we do more to help you, how can we win more business. Clearly, if you're not satisfied, then winning more business is a problem. So that's really good.

This side, internal plan delivery. What I've said to many people is the only good news that I can find in these kind of numbers is that they're improving, but none of them are acceptable. Changing this is very hard. It drives back into our supply chain. It drives back into the way that we manufacture. Everything about it is hard to change, but it is heading in the right direction and continues to head in the right direction.

So when some of you say, "Well, why aren't you making more progress on cost and cash?" I'm afraid this is one of the reasons. We've got to fix this to make some progress on cost and cash. And we are fixing it, but as we fix this and drive this towards 100%, what we've also then got to do is narrow the gap between the plan and the delivery because the only way we get to the delivery to a customer on time when you've got this kind of numbers is by having a big buffer of material, time and everything else you can think of. You can't do it any other way. Now again, to give you some encouragement and give me some encouragement: We're making progress. On our Trent 700, we've improved our lead time by about 19% in the last year. So we're about 19 days compared to 20-odd, and we're targeting to get to 15. We're making progress, a lot more work to do.

Concentration, something that I feel very strongly about. Making sure, as I said at the start, that we concentrate on what we're good and where we add value, that's what this is about. We've gone out of some businesses for a variety of reasons that you're familiar with, whether it's to do with scale or lack core competency, and we're focusing on businesses where we have core competency and where we're good at. Our business is complicated enough without being distracted. Don't get distracted. Focus on what you're good at.

Cost. We are attacking cost across the organization everywhere all the time. I've said to many of you when I first started talking about this, it took a while for the organization to get its head around it. And that was, in my view, because we sort of had record revenue, record profits, record order book, record share price. We're a successful company. What are you talking about? We're making progress on that. If you went anywhere in our organization now, people get the cost message. They've got it. They understand it's important. We're making progress.

So I'll run through a couple of these things on the slide. We've got about 600 engineers focusing on cost reduction; about 400 on original equipment looking at our existing products, driving costs down in our existing products. And they're making good progress. And what we're finding is we are offsetting the escalation that we're getting through the supply chain with the cost reductions that these guys are generating. We got a couple-of-hundred engineers working on the aftermarket, and they're actually driving costs down in absolute terms. We've got a lot of people working on this. It's really important to us.

Low-cost country sourcing. We're about 20% at the moment on average, slightly higher in the Marine & Industrial Power Systems business than in the Aerospace business. We're targeting 40% by 2020, 20%

lower footprint by 2020. We've opened a lot of new plants, a lot of -- a lot more capacity as a consequence of the growth that we've got -- we know is coming. And we're driving performance in those plants as we planned. So let me give you an example: In Sunderland, we used to have one man looking after a machine. We've now got one man looking after 3 machines. For our fan discs, we have reduced the lead time from 60 days to 10 days in the new plant. The new plant in Sunderland has about double the productivity of the old plant, and that is consistent with many of the manufacturing facilities that we have created, the new facilities. So that's fantastic. It's exactly what we wanted to do. It's why we've been investing money in new facilities. But what we're going to have to do is now close out the old and tired estate because that is clearly a cost that we're carrying at the moment. So over the coming years, we think we will take out 20% of our footprint.

We've got many new projects in our Advanced Manufacturing Research Centers, whether that's around additive layer manufacturing or it's metal injection, molding, many, many new projects coming to help improve our productivity.

Our logistics costs. Total logistics costs for Rolls is about GBP 300 million. I think we can reduce that by 20%. Again to give you an example: In our large engine business, what we found we looked into the detail of it is that many of our inbound components of visiting 3 or 4 warehouses are being handled 12 to 14 times. Nonsense. We need to change that. We can do -- there's lots of opportunity in the logistics costs.

We'll continue to improve inventory turns. We need to reduce our time to market of new products and, as it says here, adopt automotive industry practices, which is a long way ahead of us.

We reduced our indirect headcount. Business process optimization, this is the transaction processing stuff. Again, big opportunity for us there in terms of transforming what we do, whether that's outsourcing, offshoring, making more efficient, rationalizing, lots of opportunity, working hard on that.

So across the business, there are opportunities, frankly, everywhere, and we are making progress on those opportunities.

Cash. We've got to drive our CapEx down, and we're talking about 4% rather than the current 4.9% in the 3- to 5-year time period. In terms of research and development, I think I've said to everybody who's asked me I would expect it to ease as a percent of revenue but nothing more than that. It's our lifeblood. It's what we do. It's really important to the future of the group. And inventory, we're driving inventory turn rates. As you saw, last year, we went from 3 to 3.4 turns, from 3 in '12 to 3.4, which is the biggest increase we've had as an organization. And we improved across many of the divisions. We're driving further improvements in inventory turns. This year, we'll increase it again.

Culture. There's a quote that I like. I'm not certain where it came from, but I've said it many times. It's somewhere from the U.S., which is culture eats strategy for breakfast. The culture in Rolls-Royce, I've sort of referred to, which is we're a really successful company, why do we have to worry about cost? Well, we have to worry about cost. We're getting it. We're changing the culture in the company. Traditionally, we've been great in innovation, and we've got to retain that culture, but we need to become, if you like, more business orientated, a more business-focused culture, one that understands our customer and our costs. And we're making progress on that. We're changing the way that people think about the business act and behave. Culture is just about behavior. It's what's important.

Clearly, we've got some ethics issues that you're all aware of with the SFO. We are working hard on those. We've got a new code of conduct. We've got something what we call the passport, which is describe what is or isn't acceptable in terms of behaviors, what's important around here. We management team spend a lot of time in the organization because those kind of unethical behaviors are completely unacceptable to me, to the board, and we will not tolerate them. We've hired Lord Gold, who's helping us make sure that we have the right policies and procedures in place and has been a terrific help over the last year. We're addressing this issue. It's a serious issue. We're taking care of it.

Okay, wide bodies. This is an external wide body forecast. I think, if I pick most wide body forecasts for the next decade, they would be something pretty similar to this. The headline number that gets me is, in the last decade, about 2,000 deliveries; in the next decade, 4,000 deliveries, so a huge growth in this

market. It's an important market. And people and you may ask there, what about cancellations? We just Emirates here [ph]. Yes, there'll be cancellations and there'll be new orders. But the scale of the change and the scale of delivery is significant. And I would suggest that this is not a bubble. It's driven by real demand.

So what's happening in the airline industry to create this? Well, I would suggest 2 things really. First of all, the huge increase in fuel prices, which means that fuel for wide-bodied aircraft carriers is now the most significant cost item they have to deal with, whereas historically it was always labor. So what they're looking at is replacing their old kit with new kit and some capacity expansion because of the cost of fuel, and the new kit is much more fuel efficient than the old stuff. So fuel drives part of the change.

The second one, of course, is our emerging markets, huge demand for growth now. So if any of you go on holiday anywhere, you'll be meeting Chinese people. 4 or 5 years ago, you wouldn't have met them on holiday. How -- you will now because they're traveling more and more and more. Huge growth in China, as an example, but it's, across the emerging markets, huge demand for travel, huge growth potential, huge demand. So I don't think it's a bubble. I think it's real, and I think we will see this kind of growth.

So what does that mean for us? Pretty similar really. In the last decade, we delivered about 1,600 Trent engines. We think, in the next decade, we're going to deliver about 4,000. So that's consistent with us having about 50% of the market, consistent with the growth of the wide-body aircraft.

So let me talk a little bit about this chart. And this chart attempts to sort of show the trajectory of our Trent deliveries from where we are today here in 2014 to where we'll be in the future, few observations about this. Growth in 2015, starts picking up in '16 and '17. You know why? XWB ramp-up. So we're the only engine on the A350. The A350 enters service at the end of this year, slow ramp-up in '15, not -- really starts growing in '16. 1,000 comes in, in '17, more ramp-up, more volume. That's what's driving those changes. So that's the first observation that I would make.

The second observation I would make is that within this ramp-up, there will be ups and downs. And there'll be ups and downs because things happen. So the A350 program is going really, really well. Certainly from the engine perspective and everything I hear from Airbus, going well. Great level of confidence, but if there was a slippage, that will shift that, that way. And because the ramp-up happens through the year, you get more volume of XWBs, as far as we're concerned, in the fourth quarter than you do in the first or second quarter. So it moves to the right. If we were looking at this chart 5, 6, 7 years ago, we wouldn't have the kind of number of Trent 700s in there for the A330 because everyone thought the Trent 700s and the A330 would have finished production because the 787 was coming. The 787, as you all know, was delayed, therefore, we still got Trent 700. And then delivery in the A330 is going well. So this changes. It changes year-to-year.

A380 is for us. We were more optimistic about sales, I think, of that, in terms of volumes, last year than we are at the moment. We'll see how that plays out.

So over this period of time, we'll get some volatility. We still get to this because the volatility that I'm talking about is around the ramp-ups. It's around short-term changes. It isn't around the long-term direction of growth. So put a different way: We've got sustainable growth in our business, but it doesn't mean that it's going to be consistent year-on-year-on-year.

This is where we will end up because that's the volume of wide-bodied aircraft. We're the only engine on the A350. We're 1 of 2 on the 787. We're 1 of 2 on the A380. We are the primary seller on the A330. So the direction of travel is clear. The exact route to get there, we'll have some bumps on it, I'm sure.

One other observation. I've talked a little bit about cash. I've talked a little bit about some of the work that we're doing on costs. If as -- all of you are interested in is sort of cash conversion, as we get through that peak, that is really where I'd be looking at for a change in the level of the rate of cash conversion, dependent, of course, on whether we have another huge program at that point in time.

If I look at this in terms of installed thrust, again a chart that many of you have seen before. Huge growth in thrust over this period. And here, I'm going to give a couple of observations that you're well aware of. The longevity of these programs, this is where real value is in Rolls-Royce. So this light blue here is

the Trent 700 in the A330, still there in 2023. And whilst the RB211 is going down from here to here and changing, there'd still be RB211s in 2023. We've got nothing on the XWB today. This projection says it's going to be about 34% at that point in time. So when I was saying earlier if you go back to 2003 and look at the platforms and the position that we had then and you look at where we are today with the XWB, the Trent 1000 in particular, in terms of volume growth, coupled with the success that we have in the Trent 700, we're in a very different place. So we're going to get lots of growth. And the relationship revenue-wise from OE to aftermarket, again, as I think you're familiar with, is about 4:1, 4 for the aftermarket, 1 for OE. And thrust is not a bad proxy for revenue.

Future products. I've said couple of times that R&D is essential for the company with great innovation, with great -- and the technical side. We announced in February 2 new products. And I think that whilst we're not a marketing company, the names of them are quite marketing. Advance and UltraFan sounds impressive, at least to me.

We're investing in new technology, and we have to do this. There are -- sometimes, some people I meet, they think we can stop and start and stop. You can't in this game. It is a constant requirement to remain what we term internally as being match fit. You've got to keep training. You've got to keep the capabilities. You can't afford to lose it. Most of the capabilities is people, our people. You don't lay them off and bring them back. And even if you could do that, they would only remember what they had in the past. They need to constantly be learning, constantly developing. So these 2 new engines, they've got a variety of new technologies in them from composite fan cases, fan blades, advanced ceramic matrix composites, lean burn technology and, as we go out to the UltraFan, power gearbox. This drives fuel efficiency, which is what the carriers crave. We'll continue to invest in new technology. We will not get behind. We will stay in front.

Narrow body. About 7 or 8 years ago, Rolls was faced a difficult decision, which is there were 4 new engines required, which turned out to be the Trent 900, Trent 1000, the XWB for the A380, 787 and A350; and there was one called the neo for the A320 family. And Rolls sort of looked at this and said, "Actually, we've only got the resources to do 3 of the 4. Which should we do?" We chose to do, obviously, the big 3, not the 4. So we didn't have the resources, capability and capacity at that time to do the neo. Fast-forward to a couple of years ago, we exited our joint venture IAE. And we exited because, in all joint ventures, you need to have alignment between the partners, and because we were only on the old engine and not on the new engine and the other partners were on both the old and the new, we no longer had alignment. So we had to get out of the IAE, but the decision was much, much earlier, and that was a consequence. So getting out of IAE was a consequence of the earlier decision. So that's how we've ended up -- that's why we've ended up in the position that we're in, in the narrow body market.

If I look at the narrow body market. Again, it's huge. You're all familiar with that, significant growth. It's about 71% of the volume and about 50% of the value. So wide body, 50%, narrow body, 50% approximate value, volume more in the narrow body. We're going to get back in this market, but it isn't an issue for today or tomorrow because I don't think anybody here would expect a new narrow-body aircraft before the middle of the next decade at the earliest. But from my perspective, it's a great opportunity for us. It's a great future growth opportunity for us because if I'm not in it really today, I'm in little bit, great opportunity in the future then for growth.

And it also brings a lot of other things. Customer intimacy: If we're only talking about wide body, it's just part of it. If you're talking about the whole wide and narrow, it's -- you're much more into it with your customer. It's a great volume market. Technology goes up and down from the wide, from the large to the small, from the small to the large. It's a good place to be. Oh, by the way, it's what we do, so why wouldn't we want to be in that market? But it's not a decision for today or tomorrow, but it's something that we're going to do. We're going to get back in that market.

Medium-speed reciprocating engines. I've got a couple of slides that I'm going to skip through. We've put them in the deck to try to help you understand a bit about this market because I recognize that many people are less familiar with these markets than others. So I've got a few slides which I will really whiz through.

Low-speed, 2-stroke engines, different technology. It's a higher medium speed. Think huge cathedral engines, mostly in the Merchant vessels. High speed, this is the business Tognum that we bought, Power Systems, much more wide range of applications: marine, land power, off-road vehicles. For Power Systems, about 1/3 of our revenue there is marine related. About 1/3 is off-road. And about 1/3 relates to Power Generation. Good business. As I said earlier, we're going to take you over there next year and we're going to give you a deep dive into that business.

Medium speed is what we've done, quite small and medium speed, land and sea, marine and land power, common-ish technology to the high speed. Having Rolls-Royce Power Systems is really helping us in our medium speed capability, provides power to all Marine segments. Anyway, I've given you a list of some of the characteristics of those.

Let me talk a little bit about the industry. A number of people have said, "Well, why would you want to be in this kind of business? Sort if, indeed, it hasn't grown. It's not doing anything this part of the world." Certainly, it was growing, and now it hasn't as a consequence really of the global financial crisis. If you stand back and look at it, the industry grows at around about GDP over a long period of time. It's not just me that thinks that, if you talk to other providers, it would -- they would say, those are it. And there are a number of other drivers of it but GDP being most significant. It's a pretty big market, GBP 35 billion to 2023. So it's a growth market. The growth may be a little more volatile recently than it was in the past.

Why engines? Why, why engines? We, as I said, have got a terrific equipment systems base. We do a lot of other things very well, whether it's the electronics, the complex deck machinery, the propulsion systems, the vessel design. We've got a good portfolio, a very good portfolio, but relatively weak in engines. Engines, for many decisions in this industry, are the heart of the vessel. And rather like in narrow body, it drives a level of customer intimacy.

Early customer engagement, you get access to other opportunities to pull in the other equipment as it helps the pull-through. The engine tends to be at the heart of a vessel. It helps the pull-through of the other equipment. So if you can be in that discussion with the operator, the vessel owner or the shipyard early on and the engine is the prime decision that they're making, if you got the engine equipment to offer them, you can use that to help sell the other equipment. That's it in a nutshell. The engine also happens to be where most of the aftermarket lies, as you would expect.

So if I look at our traditional Marine business. So this is our traditional Marine business rather than a MIPS business, where we've taken out submarines, have taken out Power Systems. If I look at our traditional Marine business, that's how the revenues breaks down. Almost 90% is related to marine equipment, where we have a terrific portfolio. Medium-speed engines is actually sort of our weaker part in that portfolio. So medium-speed engines, in terms of the Marine sales, is interesting to us because it completes the portfolio and it's a powerful driver for the rest of the equipment. It's a virtuous circle. I can make it a lot more complicated than that, but that's it in a nutshell: completes the circle, virtuous cycle; helps drive pull-through. And it's a growth market and it's something that we understand and know. And with the help of the people in Power Systems, we are well placed in the medium-speed reciprocating business.

Interestingly, in high-speed reciprocating business in our Power Systems business, what we're finding, of course, as you would expect, is we're selling marine equipment off the back of their Marine sales. So the pull-through is real. It does happen. Early days yet. We've got lots more to do in that, but we are already doing that.

So those are our priorities: fix the basics, the 4Cs; culture; wide body; narrow body; medium-speed reciprocating engines; as I said at the start, concentrate on what we're good at and where we can earn value, concentrate on looking after the products through the life cycle of the product; invest in technology through the portfolio of products that have common and complementary characteristics; execute efficiently and effectively; and being growth markets with barriers to entry. That's what we are doing. That's where we are. That's the strategy.

And that's really my final slide, strong position in growth markets, concentrating on what we do, significant opportunities. Now I'm going to hand over to Mark, who's going to talk about our capital allocation, of use of capital allocation and guidance. Thanks very much.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, thank you, John, and good morning, everyone.

So John has talked to you about our strategy, our business model and our market opportunities. What we want to do in this session is just talk about how we link, how we think about strategy and opportunities to our internal decision-making processes and sort of financial discipline and talk a little bit about our capital allocation drivers and then finally our financial -- or future guidance framework.

So as John said, our strategy has evolved. And over the last decade, we've invested, we've acquired, we've disposed of things, but fundamentally, our DNA is the same. We're a high-technology, complex Power Systems and services company, and that informs everything that we do. And on the left there, you'll see the 3 lenses that we look through when we think about strategy: customer, innovation and profitable growth that John has talked about.

Basically, customer plus innovation equals profitable growth when we get it right, when we understand our customers, the right innovation. And when we don't understand our customers, of course, we don't always get it right, and that informs our decisions about why we may dispose of or get out of certain things.

So where are we today? And as we look forward, what are we focused on in terms of delivering shareholder value? Well, there are 6 things up there on the right-hand side, and let me just go through each of them. It's important.

Executing on our organic growth programs. Again, we see ourselves as a growth business, first and foremost. We see great opportunities, and they sit predominantly around our Trent programs at the moment. They're obviously absorbing a lot of time and effort as we ramp up and make sure we deliver our commitments to our customers, huge order book giving us that great visibility.

Exit non-core and underperforming businesses. Of course, we've been doing this steadily. You've seen more recently the sale of our Energy business; and a part of that, some of our lower-carbon businesses; and our recent joint venture on the RTM322.

Closest to my heart as CFO, of course: driving financial performance, the 4Cs. And in particular, 2 of those Cs, cost and cash, as you'd expect to see, both are dear to my heart and things that we are relentlessly focused on. And of course, we're strongly focused on closing the margin gap with our competitors, as we have talked to you before.

Integrating Rolls-Royce Power Systems, a big acquisition for us, formerly Tognum. I'm encouraged -- we've been the management control for about 18 months, and I'm encouraged with the process so far in terms of where we are in integration, but there will be more to do when we become the 100% owners. And we see more opportunities coming from that.

We reorganized ourselves into 2 clear strategic pillars, a Power Systems company that takes itself to its markets through 2 main platforms: gas turbines and reciprocating engines. And again, John, I think, has talked at length to you on those.

And finally, disciplined M&A. We've been a significant acquirer in the past and at certain times, and we've moved the company on. And we will continue to look at M&A. It doesn't always mean it has to be large M&A; can be product and technology bolt-ons, but it forms part of the makeup of who we are and ensuring that we stay ahead of the game, particularly around our technology and products.

I've put this chart up here because I just want you to really understand how the Rolls-Royce mindset works. This is how we look at things when we're trying to evaluate where we invest, which is the sort of strategic framework, which is on the left-hand side. And again, I think John has given to you insights into where we see the opportunities. And of course, at the middle there, technology products and route to market, where we see ourselves. And again, high technology, this is our lifeblood. This is where we invest. The barriers to entry, they keep us where we are. It's important that we stay match fit.

Looking at opportunities for products and where the growth markets are because, ultimately they manifest themselves in those 2 things at the bottom: either organic growth, R&D and spending on CapEx; or M&A to acquire technology, products or routes to market.

Let me now focus a little bit on the right-hand side, which is sort of how we think about and decide about investing. This is our financial framework. And we look at that, again, through what I call sort of 3 main filters: growth metrics, capital efficiency and financial strength. And I've put up a few of the main sort of KPIs and metrics that we look at. And this gives us the discipline and, as you'd expect, a lot of focus around the cost and the cash side and driving financial performance and, again, how we focus on closing the margins with our competition. But both those sides need to be balanced with those 3 criteria in the middle. And they will drive different behaviors and different thought processes depending on whether it's strategic or financial in nature, short versus long term, and of course growth versus profitability. And interestingly, I put those 2 up there because, quite often, when you're growing, it's quite difficult to grow profitably. Now I'm not saying you can't, but it's sometimes a tradeoff going here. But all of the time, what we're thinking about is how do we maximize long-term value creation for us and our shareholders.

Importantly, whenever we look at any form of investment and look at minimum requirements that we have an IRR that exceeds our WACC, of course, we expect it to be considerably higher than that. And WACC, I carry a number of about 9% around in my head, post tax. I mean, clearly, there's an element of subjectivity around some of the assumptions. And we're all familiar that there's generally a range, if I was to go out to the markets and asked what I thought or what you thought our WACC was.

Now underpinning our financial framework, there are really 2 key drivers: credit rating and capital allocation discipline and thought process, which I'm going to come on to in a minute. Now the reason I say credit rating is it's not a negative constraint but it's an important consideration for us in our business. You're familiar with us and the type of business that we are. It's important that we have a good credit rating. We're a long-cycle business, capital intensive, sometimes decades to realize some of our investments. We entered long-term contracts with governments and customers sometimes as long as 20 years. We commit to aircraft programs with people like Boeing and Airbus that will run for many, many years. We need to make sure they have the confidence in us that we will be around to fulfill our obligations and processes over that period. It provides access to long-term finance through the debt capital markets, which is far more in keeping with our investment cycles.

But importantly, the reason I mentioned it recognizing this is predominantly about equity rather than debt today is that the credit rating starts to define the architecture and capital structure that we can live within around the various ratios the rating agencies look at and you're all familiar: net debt-to-EBITDA; funds-from-operations EBITDA; leverage, liquidity ratios; et cetera, et cetera.

So where do we sit in this? We're very clear we want to maintain the investment grade rating, and we target a range between A- and A+. That's a generic range. Of course, the equivalent to Moody's would be A3 to A1 and similarly. So when we look between S&P, Moody's and Fitch, that is the sort of thing that we're thinking about. Of course, we recognize it's not our gift to give. It's one we need to earn and convince our rating agencies of, but it is very focused in our agenda on how we look at things. Currently, we're A with S&P and A3 with Moody's.

So let me now just turn to capital allocation. We think about capital allocation at 2 levels: at the group level and those 4 things John has cited and I'm going to come to talk about in a minute; and at the divisional level, which is once we thought through the group level, how do we allocate capital within our businesses, how do they all compete for capital in terms of where we see opportunities. And it varies through the cycle and depending on what the dynamics in the markets are.

So let me just start at the group level and go through. As I said before, first and foremost, we see ourselves as a growth business. So when we look at our capital allocation, we look at it sequentially, starting at the top, which is what is most dear to our heart, which is investing in our own business, organic growth; R&D, the lifeblood of what we do. The reason there are high barriers to entry in this business is because of the technology and the superiority of that technology that keeps us where we are. But of course, the important part is, in order to stay where we are, we need to keep investing to stay match

fit and stay ahead of the game. Obviously, when you do R&D, it generally generates CapEx, which is an enabler. And of course, that's a part that again moves through the cycle.

So let me just talk a little bit about R&D, currently around 4.9%. As John said, at best, it might ease as we grow over time, but we're not ashamed to say that is. It's a vital part of our business. It's a going concern. We continue to invest heavily. But as revenues grow, we do see the opportunity of some easing, although in absolute terms, we expect it to continue to grow.

R&D takes a number of forms: research and technology, which is much more generic; R&D on new programs; product upgrades; as well as cost reduction. And of course, John mentioned to you the 600 engineers that we talk about, 400 on OE and 400 -- and 200 in the aftermarket. And again, this is another way in which we grind out costs, improve reliability, very, very important to us.

On the CapEx side, we typically run between about 3% and 5% through the cycle. We're currently around 5%. And as we've said, we're going to drive towards 4% as we go forward over the next 3 to 5 years. And again, when I think about CapEx and look back over what we've got, we've done a lot of growth for capacity requirements. We've under-invested historically in IT, and we've been catching up on that in that it's a very important enabler in our business. But a large part of it is around the maintenance of the estate, as I call it, and John referenced to the driver and opportunities that we see in rationalizing our footprint. We've got a number of old factories that we're getting out of, a lot of work to bring down the sweat part of the footprint as we go forward, which will drive efficiencies and drive costs out. So we're very disciplined in our approach on how we look at both R&D and CapEx, much more dynamic and intelligent decision-making going on around scale and themes that we can bring together. And there are some really exciting things that we're doing there and that we're looking into.

Of course, once your market grows business, we understand it's important that we reward our shareholders. And as you know, we have committed to a progressive dividend policy in line with underlying growth. We've returned over GBP 1.65 billion to shareholders over the last 5 years.

Now C shares are maintained. I know there's a relatively complex dynamic. It's maintained predominantly for some tax advantages and obviously some optionality it provides to investors in terms of receiving a capital or income distribution return. And we plan to carry on with that.

So of course, as we go through investing in our business, creating a regular return to our shareholders, we also have opportunities elsewhere to invest where we see opportunities. And of course, we have a disciplined approach to M&A. And this is, wherever we are in the cycle, we think about this.

So when I talk about M&A, let me just be clear. It can also mean partnerships. It can mean joint ventures. It can mean small acquisition or CapEx acquisitions, typically as I call them. Or it can be larger ones. And it can be in relation to either technology, product or routes to market. And that middle column there, the sort of areas of focus that you might expect us to look at. I don't think many of them will be a surprise to you, but they are just ongoing parts as we keep recognizing the need for technology and products or routes to market.

But I want to focus a little bit more on the criteria side. As I said before, we define ourselves as a complex Power Systems and services company. So that defines where we have the strategic fit. We're not about diversification. It's all around Power Systems. We are relentless when we look at the synergies that we can quantify them and commit to them both on the cost and revenue side. We have a number of targets that we look at. And of course, there are additional ones to these, but these are the ones that we target. Return on invested capital to be greater than our WACC within 3 years and obviously, as a minimum, that the IRR would exceed WACC. Now generally, we look at, focus at -- longer term much more on IRR than WACC because they sort of compare each other. WACC is a bit more of a transient where return on invested capital is so -- that you do in a given year. And of course, we think about our integration capabilities, how much have we got on our plate at any one time, can we accommodate. Some deals are resource-intensive on the human capital side. Some can be more resource intensive on the financial capital side. And we have to balance that. And of course, we have to think about the sequencing of things that are going on because things change over time.

And I've talked about the importance of having a strong and efficient balance sheet. And one of the reasons that we start to define ourselves through our rating is that's important for providing us competence that I relayed to you earlier on. So that's a sort of key part for us. But obviously, within that, we can see that when we have either surplus cash or cash that's come from the discrete source such as the sale, we will certainly think about returning capital to shareholders. And of course, that's exactly what we've done and what we announced this morning. But I don't want anyone out there to think that we've run out of ideas. It's about balance sheet efficiency and the fact that we've had some discrete proceeds from a sale, but as we currently sit here today, we'll put cash onto the balance sheet; that when I look at our organic investment opportunities, the human capital, that we just have not got enough people at the moment to go and spend some of that. So again, we're committed to be sure that we have a strong but efficient balance sheet. And what I would say is it's something that we review at the board regularly.

So we've announced a GBP 1 billion share buyback. We think about a number of things in terms of how we return capital to shareholders. We think about the makeup of our register, the type of shareholder, the level of our share price, the ability to defray dilution from any disposal and, of course, some of the tax restructuring -- tax structuring opportunities.

So to summarize. CapEx, 3% to 5% through the cycle. We're driving to 4% over the next 3 to 5 years. Net R&D, around 4.9% currently. We said you can expect it to ease, as revenues grow, over time slightly. We will continue with our progressive dividend policy in line with underlying growth. We will focus on medium-term M&A and again some of the targets around that. And we've announced a GBP 1 billion share buyback in relation to the sale -- or the Energy proceeds.

So that covers the capital allocation portion. So let's just turn to future guidance framework. Now just to be clear, we are not giving any medium-term outlook guidance today. So what I'm going to talk about today is the framework and how -- what we will give, how we will give it and when we will give it going forward.

So if you just look at this chart up here, I've put up in year, next year and medium term, looking the next 3 to 5 years. The left-hand column, you're all familiar with it. It's what we currently give already, so the stuff we give at group and at the segment level and a few of the other criteria around things like CapEx and R&D spend and charge and so forth.

We provided for next-year revenue and profit guidance. And if we look at the medium term, that is what we are going to be giving as we go forward.

Of course, most of you are familiar with that, when we talk about guidance, we've typically in the past used words like modest, strong, good, et cetera. We're going to go away from that and move into percentage ranges or absolute ranges or numbers, and they're listed up there for you. So that's how we're going to give it.

And this is when we will give it. So obviously, the in year, we'll provide it regularly at the prelims and interims and at the IMSes. In relation to the following year, we will give you that at the November IMS. Normally, I'm going to come back to say something in a moment, but just follow my train of thought for a second: Annual budget cycle normally finishes around the end of October, early November, so in time for the November IMS, we will give you update on the following year. And this, so when we've gone through our annual 10-year planning cycle, we -- it typically ends around the end of September or October time. We will provide you with the medium-term outlook, which will be our sort of best view at the time that we will update annually.

Now in relation to the medium-term outlook, this time around, when we get to our October day, which I think is the 21st of October in Norway, if we're ready then, which we should be, we will provide that to you in October. But normally, it will be the November IMS.

So to summarize. We are clear on our strategy, a complex Power Systems and services company. We're clear on our priorities going forward. We have a disciplined approach to capital allocation, and I think you've seen some of that in action to what we announced this morning. I'm going to give more guidance going forward.

Now I guess you've heard John and I talk for probably about 1 hour and 10 minutes, so we're probably all gasping for a cup of coffee. So we're going to have a 20-minute coffee break now. And after that, we're going to come back and we're going to talk about TotalCare. Tony is going to talk about the economics and logic and rationale and why we like TotalCare. And I've got the really interesting bit of doing the accounting on TotalCare. So make sure you'll have plenty of coffee, and we'll see you in about 20 minutes. Thank you.

[Break]

Anthony Wood
Former Executive

Okay. Well, welcome back, everybody. Nice to see some familiar faces again. And thank you, Mark, for teeing us up so beautifully at the move into the coffee break.

On TotalCare. So John's spoken very much about our strategic priorities and how we see the evolution of the company, the evolution, not revolution, over the long term. And Mark's talked about how we decide and think about capital allocation and the disciplined processes that we apply right away across the business. But this morning, I'm going to talk about TotalCare. I know, certainly, I spoke to some of you in Paris last year about the Aerospace business. I'm going to really try and unpick for you in more detail than I think we shared before the economics and the strategy behind TotalCare, and then I'm going to be followed by Mark, who's going to do the really interesting bit on picking and clarifying some of the accounting in direct response to some of the questions that many of you have raised over recent months.

So what is it that we're trying to do with TotalCare? Well, it's very much about trying to maximize the value that we create for customers. And you'll see that in terms of how TotalCare has evolved, the market has voted very positively on that, but also how it works for us as a business and how it works for you, as shareholders, in terms of creating and releasing the value -- the embedded value that we get from that growing installed base of products that John spent quite a bit of time on this morning, explaining how we see that evolving. And this very much underpins our confidence in how we see earnings and, ultimately, cash flow coming out of the business from the services business model that we've been working at for a large number of years now.

So I'd like to start by going right back to the overall group and then working, as I've said, specifically into the TotalCare piece of it. So we are, as you've heard a few times this morning, a high-technology, complex Power Systems and services company. And we have products that have very long in-service lives in all of the divisions in which we operate. They're measured in decades rather than in years. And we have very strong positions in all of those products and the growing markets in which they're positioned. And the company is being built around 2 very strong, but connected, pillars. And we allocate capital, obviously, to both technology and to develop products, and then we build the services opportunity on the back of those products as we build an install base around the world. And that's true in every one of the markets that you see up there on the slide. And then we support those customers and those products through life in terms of the -- both the opportunity and the commitment that we make when we put products out there in the market. And that can be done through either long-term service agreements, of which TotalCare is clearly a very familiar and a very well-known brand within the market, but equally in Aerospace, Mission care, corporate care, for the military and the corporate and business aircraft sectors, also very well-known and very successful. But equally, it's not just about long-term service agreements. We equally have a very important business. And for some customers, the Time & Material model still works and generates significant value. And half of the group's revenue and a very strong contribution to both earnings and cash came from our services business model and our services sales in 2013, and this line shows some of the numbers there. So my focus, today, is going to be on Aerospace, and it's going to be on TotalCare. And 90% of our Trent fleet is now covered by TotalCare long-term service agreement-style contract, and that very much speaks to the value that exists for customers from the way in which we package that service offering for them. But also, I think, as John mentioned early on this morning, the opportunity that the group has from what we know about doing this to start to build further on some of that opportunity in Lawrie's business on Marine & Industrial Power, building capability and a similar approach to that business model and very telling and appropriate that we've just gained our first opportunity on marine vessel on a

TotalCare-style construct. So LTSA's already represent about 45% of the total services revenue across the group, so becoming an increasingly important part of services.

So just to start with a very basic look at just how significant services is for a typical gas turbine now through life. And at constant economics, the services revenue annuity stream is worth more than 4x the OE net selling price. That's a fairly conservative view relative to other numbers you may see out there in the market, but a very significant multiple, obviously, the benefit of getting an install product out there in service. We invest, obviously, prior to that, so between 5 and 7 years to the initial program creating the product. We invest about GBP 1 billion of R&D every time we launch a new product and about GBP 0.5 billion of CapEx for a complete new engine and setting up the infrastructure and the supply chains to deliver them. And entry into service occurs around about 7 years after the launch of the program. And those products then are out there in service around the world for some 20 years or more. And it's interesting if you were just to compare where we sit at the moment with the various engine programs, we literally have the Trent XWB on the A350 right at the left-hand end of the chart in front of you there, just about to enter service at the end of this year, set fair and very good progress so far on that program. The Trent 700 in a 1995 AIS are already some 20 years into its life, but still selling well and a big part of our delivery order board this year and into next. And then the RB211 is very much -- if you take the 535 on the Boeing 757, 1983, is already some 30 years into its service life, and those aircraft will continue to fly for quite some time yet, as you've seen on some of the earlier slides today. And first-tier operators are typically contracting for between 10 and 15 years, one of the questions I was asked in the coffee break. But then there's always a second-tier opportunity, and we're typically contracting for between 5 and 7 years for the second-tier operator of those aircraft. And really, just to try and put in perspective the value that both TotalCare and Time & Material solutions creates. So we offer TotalCare packages on a full-term basis. We also -- for the full life of the engine, we also offer them on a term basis. And as you get towards the end of the anticipated life of the platform, we start to look at tailored solutions with some of the airlines that are operating older assets. And that's very true of the approach that we're taking and how we're keeping flying and keeping those products competitive on some of the older RB211-powered aircraft that are out there. But both TotalCare and Time & Material and tailored solutions are important to us in terms of that relationship with the airlines of keeping efficient and profitable aircraft flying for them around the world. But what's important here is that we have defined terms in our OE contracts, under which Rolls-Royce sells and the operator buys spare parts either from Rolls-Royce or from a Rolls-Royce-approved vendor. And that's irrespective of whether the contracting terms are TotalCare or the Time & Material support model that you see there.

So this is the value creation. This is the embedded value story that whilst the install base will grow by around 50% over the next decade and the direction of travel is clear, despite the sort of perturbations that can happen on any individual program, that by 2023, the install base is 50% bigger. But behind that, Rolls-Royce sees a doubling of thrust in the same period. And that really is the engine room of growth for us in terms of how the Trent engine success, the light blue in the middle of that slide, is far more than offsetting the reduction in the older RB211 fleet and, obviously, the thrust very much driving that opportunity. And there's confidence behind that chart underpinned by the GBP 60 billion order book that we have in Aerospace -- Civil Aerospace, of which some GBP 30 billion is related to the Trent XWB. And the speed at which this grows, the cadence is changing in terms of how we're ramping up production. So it's taken us 18 years in the company to deliver the first 2,000 Trent engines. We'll deliver the next 2,000 over the next 5 years. The factories are largely in place. We've made significant strides, significant investments around the world in Singapore, in the United Kingdom, in Crosspointe in North America. But we will be continuing to go through the process of transitioning from older facilities to fully load the new facilities as we move work through into new processes and also to accommodate with the growth, obviously, that's coming through. So there will be a process of investment and upgrade, and it continues over the next 2 or 3 years, as we work our way up to peak capacity. This is the largest expansion in the wide-body aircraft fleet of the world in history. And obviously, that's a very big part of the Rolls-Royce Civil Aerospace story.

So thrust is a very good proxy for services revenue. And of our order book, we only take about -- there's only 29% of the total order book because it was represented by civil services because we only take 7 years, a fairly modest portion despite those contracts being between 10 and 15 years, typically, when

we contract them. And the RB211, interesting statistic that it's 20% of the install base in 2013, but only 13% of the thrust. And that's largely because the older aircraft are starting to be used less or being used on freighter operations. But the light blue Trent fleet, very much the install base is driving thrust, and the thrust is a very good proxy for us. So a lot of what Mark and I are going to focus on will be about the large engine business and what sits behind us. But I'd like to start by just reflecting on the fact that services for Rolls-Royce and supporting our large and growing install base is nothing new. This is a world-leading capability that we've spent the last 20 years investing in. I've been with the company for some 15 years in various divisions, and this has been a consistent, enduring theme of how we position ourselves to take the services opportunity that's represented by our install base. It's taken 20 years to develop. It's very hard to replicate, and we're uniquely positioned, I would argue, as the original equipment designer and manufacturer of these products to support them. And we see services on what I describe as a 4-center model. So the big piece of the activity where most of our people, people and cost is based, is in our service delivery centers, the overhaul centers that are supporting these products around the world, some 8,000 people Rolls-Royce or joint venture employees. And in addition to that, we have independent shops -- licensed shops around the world also supporting our products. So that's where the real work gets done of overhauling and repairing engines. We have operation centers, 3 of them around the world in the United States, United Kingdom and Germany that are monitoring the fleet. That's where the engine health monitoring and the management of very large volumes of data, some 22 million health -- engine health monitoring reports that we're dealing with every year, and around 5,000 overhauls that are being supported in the overhaul bases as those engines are pulled off wing. We also have data centers, something we've been focusing on a lot for the last 3 years or so, having 1 version of the truth, where all of the data associated with our products, the configurations, the data that we're extracting every day from products and services, collected, which is all necessary to optimize both the performance of the product, but also the cost base that we require to support it. And then we have the business centers, and that's where a lot of the capability, and some of the things Mark is going to talk about, happens, where we manage the contracts and the very detailed work that goes on that sits behind each and every one of these TotalCare contracts and a very large and disbursed number of line maintenance and on-wing care activities, the very small dots, as you'd expect, at all of the major air hubs and airports around the world. So it's a scalable infrastructure. It's a very significant capability, and it's a scalable business model to address the growth that I showed you on the previous chart with a growing install thrust.

And this chart is my best attempt to try and just get a layer underneath what we're actually doing in services and doing in Rolls-Royce. So there are 3 points at which we get a very deep and detailed understanding of the products that we have in service around the world. And it's a unique and unparalleled piece of capability that supports those products through life. So the design information that we collate for the 18,000 components or so that go into every one of the Trent engines and all of the detailed design data and performance data that we derive from owning and developing the intellectual property behind the design. The validation process is whether through testing engines on wing, through test aircraft for A350 test aircraft flying around the world today, test bed engines running in many continents as we validate the product, but increasingly so using supercomputers to actually model the performance of the product, reliably using computers and validating models at lower costs, a very big part of how we create data and the knowledge of that validation process for the product. And then the data that we collect every day from engines in service, and literally building terabytes of data as we extract the information from the engine health monitoring and engine control systems.

So if we look at this from the lens of the airline in terms of where does the conversation start on how will I support the engine on the airframe that I've selected, and these are some of the typical operating costs for a power plant in service. And an airline has to choose how to manage the list of items that you see on the left-hand side there. And you clearly need to invest to maintain both the performance and also the availability and reliability of these engines through service. And it's a balance of risk, of capability in terms of just how much infrastructure and capability the airline has and, ultimately, cost and cost efficiency. And TotalCare has become the model of choice for customers, and that's really because it underpins -- it transfers risk to Rolls-Royce because we guarantee the availability of the aircraft, and we also have very predictable costs for the airline through \$1 per hour revenue stream coming to Rolls-Royce from them. And Rolls-Royce is taking and is best placed to manage the risk through a focus on the reliability and the maintenance cost footprint as we look at these engines on a fleet basis worldwide.

So what is in a TotalCare contract? I don't think we've perhaps shared this level of detail before. So the core TotalCare offering, all contracts have the same foundation for core services, so the engine overhaul costs, the reliability improvements that we are always working through and seeking to insert in the in-service fleet. Engine health monitoring, if you have a TotalCare package, you're getting both trend monitoring and a very proactive approach to life management and the logistics issues that an airline has to manage to keep aircraft available, whilst aircraft are going through the hangar through -- for maintenance. We work and provide a fleet optimization and logistics service, the fleet management part of the package. And we provide a through-life warranty. When you sign with Rolls-Royce for 10 to 15 years, that is a through-life warranty on that product as opposed to the normal warranties that you'd get in the Time & Material world, which actually lapse quite quickly, reverting back to, obviously, those cost risk being borne by the airline. So it is absolutely a lower-risk package for the airline with very predictable costs. And we support full-service carriers right through to low-cost airlines. But they're still an option for those airlines that have large maintenance businesses, the Lufthansas, the Singapore Airlines, to participate in the maintenance activity, the labor associated with the overhaul. But TotalCare is one unified price of contract. And beyond the items that you see with a tick in the core packages, there are many upsell opportunities as well, things like life-limited parts or even spare engine support services that we can sell as a Time & Material package, the operator, the airline still needs them, or we can incorporate those within \$1 per hour rate. And increasingly, we're seeing some of those items transition to within the TotalCare package. I think the reason for showing you that is that we have a very good track record of being able to trans -- manage the risk, deliver on those cost assumptions. And as the fleet matures and our portfolio matures, we get better at this every time. And with 20 years' experience now on fleets like the Trent 700, this is really the heart of the capability and the confidence we have in being able to manage and get it right on our cost assumptions. So very simply, looking at the revenue and the cost side of the equation, what underpins our confidence in revenue? Well, global RPK, revenue passenger kilometers, the global fleet is being pushed at about 4.5% increasing in revenue passenger kilometers, and every airline around the world's working very hard on their load factors and their aircraft utilization. So that's the main underpinning. An engine, typically, around about 4,000 hours per year that we would expect to see on a wide-bodied aircraft. And we have arrangements and contractual thresholds in there for minimum utilization. So quite a few protections around that. And should those change or should the way in which the operator, the airline uses the aircraft change, that the route structures, the stage lengths, the derate in terms of the operations they're using it on, then it's relatively easy and straightforward conversation for us to adjust the pricing model around that. The rate per hour is very much about the harshness of the model and a very precise pricing based on a unique knowledge of the usage impact on an engine's life. I mean, that, again, is a unique piece of our intellectual property as to the way our mechanisms and how those engines perform in service. And the rate is inherently related to our understanding, obviously, of cost. And probably, the simplest way you can think about cost is the most powerful determinant of cost in a service and support contract under TotalCare, is time on wing. It is extending that time on wing, which delays the maintenance event and the cost to do the overhaul. And I'll come back to this later from an engineering focus on improving this. But otherwise, cost is well aligned with our pricing approach and is very much based on usage. And the cost per shop visit, we determine the work scope for every one of those engines as it comes to the overhaul shop, what the work is that actually has to be done with a very close focus on the reuse of parts -- serviceable used parts. On repair, and we invest quite heavily in repair technology, it's an important part of driving cost out and also the replacement policy, ultimately, which is in every part being fitted to an engine. And from a labor perspective, that's the productivity drive within our overhaul shops or the joint venture relationships around the world.

So I'd like to go one level lower in terms of -- so what's behind time on wing and what really gives us and, hopefully, you the confidence of what we know here. So every engine has many parts in it. But about 15 to 20 of those parts -- the critical life-limited parts are mapped onto this chart. And this shows the probability of the engine being removed as a result of that part reaching its life limit versus the time on wing. And what we're trying to do is obviously move these red lines to the right-hand side here because it's the statistical probability distribution that the life characteristics of each of those critical parts. And this drives the decision, ultimately, on when to remove the engine for overhaul and, obviously, therefore, the point at which time on wing is considered. And when you take all of these components in aggregate, you end up with a probabilistic line combining those component characteristics to determine the whole engine life. And it's by improving those individual component lives, changing the angle of those red lines that you

saw on the first chart there through experience in service, through upgrades, through improvements that we can insert into the fleet, that really has given us a very powerful point of leverage in extending time on wing. And it's the unique and the deep design knowledge and the in-service experience that we have that enables us to do this. And it's not just theory, doubling the time on wing on engines like the Trent 700 and Trent 800 since they entered service is real, as well as upgrading and improving the fuel burn and the overall reliability of those products in the same period. And the Trent 700 is a very good example to pick with some 92% of the engines that we deliver from new only being removed from wing at the point of which we expect it to be removed as a result of reaching a life-limited part overhaul condition. So it's a very predictable and planned approach to maintenance that enables us to have the confidence in the TotalCare commitment that we're making for customers. It benefits the airline, and it obviously has a big benefit to us in terms of the cost and the competitiveness.

And the cost focus is broader than just time on wing, improving inspection criteria, some GBP 11 million on the top example there, on the Trent 700 turbine inspection criteria being saved as a result of being able to reinstall a part on some 12,000 refurbishments that we see over the next few years and, obviously, the accounting opportunity and the cost opportunity from having the confidence to do that. On engine health monitoring, we started working in early 2000 with a biotech company looking at algorithms to try and predict the onset of a cardiac arrest in a cardiac patient by monitoring various of the vital signs on a human. We bought the industrial rights to some of those algorithms in that technology in 2009. And the very latest versions of the Trent XWB and the Trent 1000 have those algorithms within the control systems. It gives us an even better capability to predict and avoid in-service disruption and the expensive in-service events from an unplanned removal. And an engine removal incident is somewhere between \$0.5 million and \$1 million every time it happens. And a very significant one on the bottom from repair technology, that's a GBP 200,000 roughly component, a bearing housing on one of our engines. We found a mechanism, invested some GBP 14 million in a repair technique. It's a big investment in repair technology to find a way to repair that unique component. It delivered a saving of some GBP 56 million by avoiding the need to replace that component at shop visit on some 350 engine overhauls. So it's real and it's a big focus, and John mentioned at the start, 400 engineers on original equipment cost reduction, 200 on services. This is the power of some of the opportunities we identified to take cost out of our service package lines.

So I hope that's given you a clearer view of both the embedded value within our business model, but also how we focus on continuing to reliably deliver this for both customers and for you, as investors. And that's how we look at and how we create value, the economics of the model, the most important part of the business model for me.

And it now just leaves me with the chance to pass over to Mark to talk about the -- what he sold as the most interesting of this in terms of the accounting bit. So Mark, over to you.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Thank you, Tony. I can tell the excitement is mounting. So this is the pointy-head accounting piece that I'm going to try and make simple. So I'm going to talk about 3 things here. We're going to build up as we go along. I'm going to talk about the commercial arrangements and how the accounting principles relate to them. I'm going to talk about the accounting mechanics, and we're going to build up slowly. And then I'm going to talk a little bit about the portfolio dynamics as we start overlaying various programs and where we are on the cycle.

So here it goes. And then, before we start, it's just important to remind ourselves that the commercial arrangements that we have in this business. So we deal with 3 types of customer: Airlines, that would include freighter operators and VIP aircraft, the high net worth individuals; lessor, as you're all familiar with, they can bank style lessors, the financial lessors or operating lessors, such as ILFC, AerCap, TMIT, et cetera; and of course, airframers, such as Boeing, Airbus, Onbro [ph] and so forth. On the aftermarket side, there are 2 types of contract: The first one, you're all very familiar with, Time & Materials, or T&M, as it's often referred to in the trade; and the second one, TotalCare, which is what we're going to be spending our time on the particularly around the accounting. Let me just talk a little bit about this, so

just for a second because it's quite important. In the Time & Materials, the airline takes the risk of time on wing and the risk of the shop visits and doing the work scopes, putting them to shops, whether it's their own or others. In the TotalCare, there is a risk transfer. We take those risks, and we provide them with the service. And arguably, we are the logical risk-taker on the grounds that we build the engines. We have more data and information than anybody else. We have the scale of economies around us, the spare engines, the networks to sweat [ph] our assets properly and share some of those benefits with our customers to incentivize them to go down the TotalCare path. And again, as Tony talked about, very important to understand because this is just basic math, our business model is a very simple one fundamentally. As you grow your install base, you drive an annuity, which runs for about 25, 30, 40 years, depending on the type of product that we're talking about. Tony made it very clear to you that generally we generate about 20% of our revenue on the OE and about 80% on the aftermarket. We make much better margins in the aftermarket, as you're all familiar with. And the reason I laid this out is important because this is going to drive the accounting, the different types of arrangements. And importantly, only the airline enters into either T&M or TotalCare. Lessors and airframers do not. They may be involved in us selling engines to them, but they don't operate them.

Okay. Let's start with the accounting principles. So when we start thinking about the accounting, we go through a flow diagram process basically of asking ourselves some basic questions. And I'm going to build this flowchart up. So the first question we ask is, when a new piece of engine business is done, so when we sold some new engines to someone, the question we ask ourselves, is there a TotalCare contract accompanying it? If the answer is no, they can be for any of those customer cases that we know that the aftermarket by default is Time & Materials. On the right, you're seeing an orange box that says contractual aftermarket rights. Now I'm just going to explain this. Those of you who are the more pointy heads who follow this stuff, you normally would see that as a recoverable engine cost. You are aware we've been having discussions with the FRC about our accounting, which they conclude that our accounting is correct in terms of how we look for it. But they made a good suggestion to us, which was, we don't understand why you call it a recoverable engine cost because, ultimately, it's a contractual aftermarket right, which is what allows you to create the intangible asset. And we agree with them. They're right. It's a much better explanation because when we sell an engine, there's a requirement for the airlines to buy spare parts from us, to keep their warranties and guarantees in place. Now I'm going to explain a bit more of it later, so just park that one for a moment. But contractual aftermarket right exists to the extent there is a loss on the sale of original equipment because we don't always lose money when we sell original equipment. But when we do, it creates something called an aftermarket right, formerly known as a recoverable engine cost.

Next, so if there is a TotalCare agreement, the next question we ask ourselves is, is it negotiated with the same party? Now let me take a simple example. Lessor buys an aircraft, he leases it to an airline. So he's entered into a deal with us to determine the commercial terms of original equipment. But the airline is going to negotiate with us the TotalCare contract. So we have 2 contracts, the TotalCare contract with an airline, the original piece of equipment with a lessor. If he's taken a TotalCare contract, we now have 2 pieces. On the aftermarket, we call it an unlinked TotalCare contract. Just bear with me, I'm going to build these all up, just remember the boxes, unlinked TotalCare. And again, if there's any loss on the OE, we generate an aftermarket right. Okay. So if it is negotiated with the same party, we have to get on the next level of filter, which is, was it negotiated at the same time? So it is quite possible for an airline to buy its aircraft and decide that it's not going to make a decision about whether it goes T&M or TotalCare. If 1 year into the contract it decides that it wants to go TotalCare because it actually likes what it sees, you've got 2 contracts that were effectively entered into at a different time. So again, we treat them as unlinked because they were not done at the same time, hence, the unlinking. And again, if there is a loss on the OE, we've got an aftermarket right. And finally, the case where we have a total air care agreement is with the same airline, and it was done at the same time. Okay? So airline x comes and says, "I want to buy some aircraft. And at the same time, I want to enter into a 15-year TotalCare agreement with you, Rolls-Royce." We refer to that as a linked contract and the ones that most of you are familiar with. Okay. So those 3 things important: contractual aftermarket rights, formerly known as recoverable engine costs; unlinked contracts, when either we've got different counterparties are not negotiated at the same time; and linked contract, same counterparty, negotiated same time. So far, so good.

Okay. I'm going to keep diving. Contractual aftermarket rights. Very, very simple example is illustrative. I don't want you to think for a second that we're always losing money on OE. But this is an example where we do, so it might be launch-phasing, where learner curve is high and launch conditions and so forth. In this simple example, we have a unit cost of a phantom engine that cost us \$5 million. The customer has a net selling price of \$4 million, so we make a \$1 million loss in this example. This is the way the accounting starts to come in now. Under IAS 38, something referred to as intangible assets, what this says is, look, businesses aren't generally in the businesses for giving away their products below their cost. You must be doing it for a reason. You think you're going to make some money somewhere else. Correct, we are. So what are they looking at when they say, well, can you value it? And the answer is yes, we can value it to a certain extent, but we can't value with a high degree of accuracy because under something like T&M, we do not know exactly the flying patterns that they can operate. But what we do know is it is definitely in excess of the size of the loss on an NPV basis. So when you're sure it's bigger than the loss, but not sure exactly that you can value it down to the level of a dollar, we are only allowed to take the loss element. So effectively, we sell it at cost-effective is how we'd account for it. We create an intangible asset on the balance sheet. In this case, it would be \$1 million, and we amortize it over 15 years. So that's what we do with customer aftermarket rights where there are OE losses.

Okay. Unlinked TotalCare. And let's remind ourselves, unlinked TotalCare is different counterparties were negotiated at different times. We can't link them under IAS 11, which is all about construction-style accounting, because they failed the test of not being negotiated together. Clearly, 2 independent parties cannot be 1. And if you're doing it at different times, you can't negotiate it at the same time. And again, we have an unlinked TotalCare contract, which is governed by revenue recognition rules under IAS 18. And there, the revenue and the costs are going to be recognized in line with flying hours. Okay? We've talked about the aftermarket right. So let's just do an example on unlinked to make sure we're all clear. So in this simple example, it's a single engine. It's got a 10-year contract, 10-year life, 10-year length. It flies 4,000 hours a year, sort of numbers that Tony was talking about, just to put it into perspective. So 40,000 hours in total, \$10 million of revenue over the 10 years, and that's driven by in our simple example an engine flying hour rate of \$250. I'm sorry, I'd get the laser to work here for a second. \$250, we've assumed a cost rate of \$150 in this and, therefore, a margin of \$100 or 40% in this particular example. So what happens at 1 year on? So we started the contract. We've got a 10-year contract. It's running 4,000 hours a year. At the end of 1 year, he's done a year. He's done 4,000 hours. $4,000 \times \$250$ gives you \$1 million. You can do the math for the rest. And we end up with our \$0.4 million margin based on the \$1 million of revenue that we've got. Okay? Now just to be clear, if he only flew 3,000 hours, we actually book the actual hours they've flown. But remember, he's entered into a contract to say he's going to fly 4,000. If he puts that right the following year, nothing really changes. But to the extent he doesn't, we have to make adjustments, which I'll talk about in a moment. But keep -- let's assume that he's doing what he says for the moment. Okay. So this is the graph that unfolds for a single engine when we look at an unlinked. So again, laser time. We start at 0. So 3 curves here: cash revenue, cash costs and the margin. So let's just take them each. And so let's start with the costs. On unlinked, remember, we're just talking about an aftermarket contract, we start off on a cost side. There are no costs at day 1. Okay? On the cost side, we're not -- we haven't built an engine. We've done nothing. We haven't turned any spanners. Nothing's happened. So we don't do a lot. In this simple example, we assume we do nothing. In reality, we do small minor checks. But the big things happen around 4 or 5 years, which is the first overhaul and then the second overhaul around 8 or 9 years, and these things can be quite lumpy anywhere between about \$3 million and \$5 million on a big engine.

The revenue line, nice and simple, straight line, he's flying \$250. He's flying his 4,000 hours a year. \$250 is just a straight line, keeps going up. And of course, we account for the margin, which is an output of the cost and revenue recognition, 40% in this case, just runs along here.

So let's just move to the next graph. Now this may be a bit of a surprise to some of you because you normally always think about debtors and TCAs. When we do an unlinked TCA deal, generally, we never have a debtor -- it can be down here in sort of the smaller parts. But let me just -- now why -- what have we got on this list? We've got here the net cash position, the black line; and the margin, which was just transferred from the other graph. We build up a creditor position because what we're doing is we're collecting cash every month at $\$250 \times$ the hours flown each month. We're not turning any spanners until

we get to about year 4 or 5. We do a big overhaul. And in this case, obviously, we generate a small debtor position. Again, just remember, creditor and debtor, we talk about it, it's just where the profit is ahead of cash or vice versa. And of course, they end up together mathematically at the end.

Okay. That was unlinked. So we've done aftermarket rights, unlinked. And now here we go into linked. So let's just remind ourselves, linked, negotiated at the same time, has to be with the airline, he's bought the OE, and he's doing the aftermarket. Definition around linked is all driven by IAS 11 constructing -- construction contracts, and there are 3 criteria that you have to satisfy that are written up there. Negotiated as a single package, closely interrelated, contracts performed concurrently. That's the language that we look through. Okay. Let's go on for an example on this one. So this is the starting point before we start overlaying the accounting dynamics of margin adjustment. So on the linked TotalCare -- sorry, we start with the OE on the left. So in this simple example, again, single-engine example, show a list price of \$10 million. We take off some concession, the discount, net selling price of \$4 million in this example, assume the cost of \$5 million and negative OE of minus \$1 million in this example. TotalCare, 10-year contract, generate \$8 million of revenue, no concessions here. But obviously, we have our costs, so we assumed \$4 million. And again, you can do the math, a 25% blended margin in this example. Of course, the previous one was 40%. Just for illustrative purpose, here 25%. Now under the rules of linked accounting, we treat everything as one. And therefore, we have to look at smoothing the margins. And this is what happens. You can see that, obviously, we're making no margin on the OE or loss on the OE, and we're making good margin on the aftermarket. And what we do is we balance the 2. Now we don't do it on the cost side because if we think about it on the cost side, it is actual cost on the OE, that's our unit cost. We know that an estimate -- our best estimate on the aftermarket. Now I hope you can trust me that I've done the math right here, but what I've done is just even them up to get you to 25%. And as you can see, the output here is, obviously, we still have the physical cash loss of \$1 million, but we created a profit of \$1.7 million. So we've now got profit ahead of cash of \$2.7 million, which is our friend, the debtor that we talk about. And of course, the math corresponding -- must create a corresponding creditor on the other side to create this flat at the end. So again, simple example, but just to get the point across on how it works.

So again, let's just take some lines. So you remember, on the unlinked one, we started at 0 in both cases. In this one, we don't. So if I just take the cash cost line, the reason it starts off below 0 is, of course, it's just our unit cost of the engines, as it's just purely the cost side we've incurred the cost of building the engines. It's a linked contract. Don't really turn any spanners until we get to about here and then the same thing happens again. And this is the net revenue we've seen at the front, that \$4 million that we talked about. And this is the margin take. So again, we're recognizing revenue and costs in line with flying hours. In this example, it's a 25% margin realization.

So our friend, the debtor. As you can see here, I've just transferred the margin 25% line -- straight line, and then this is the net cash position. And of course, what you're seeing here is the unit cost of the engines, followed by some of the cash we've got from the front end. And then obviously, as time goes up, we're generating cash every month. We're invoicing for cash. We do some work in the overhauls, and you get this sorted and back where we started. So that is linked. Okay. So these are single-engine examples.

Now in the simple world we've just gone through, we have assumed that the assumptions we made at day 1 are right through the entire 10-year period. I wish that was always the case because it would make our life a lot easier. So let's just think about something. We've entered into a contract for 10 years, where an airline has told us they're going to do x flying hours, y stage length and various other criteria that will affect both the cost and what we charge as the revenue flying hour. We've made assumptions about cost and reliability going forward on our engine programs. Where we have a mature program, we have a lot more empirical data to support it. Where we have a new program, we have algorithms and architecture to tell us how we think it should behave. And then, of course, we've got the performance litters, I'll call it around our customers actually doing their part of the bargain over the next 10 years. So what can change when we talk about these? And let's talk about each one. So the revenue forecast. The revenue forecast can only change by the customer. If he tells us he's doing 4,000 hours, and then he goes 3,000, that will adjust the revenue forecast. Obviously, whenever you change the revenue forecast, it creates a corresponding change in the cost forecast because, clearly, if you burn less hours, you'll do less on the engine. And therefore, it will take longer in terms of time period for you to have your overhaul. If we look

at the cost and reliability forecast, this is down to us. We look at our programs, we look at what they're doing and decide a best estimate of what we think is happening. Now importantly, we factor a number of things in when we look over a 10-year period. Our best estimate of what it is that make some assumptions about either improvements we're going to bake in from engineering or experiences that we're getting through. We include something called an estimation risk at the early point of any program, and that is that whilst we've given our best estimate, we put an element of cautiousness over it that sort of says, we not -- might not be exactly right, and that unwinds over time, all other things being equal. Of course, we could go 2 years into the contract and actually find our experience is getting better or worse, and then we make an adjustment. That's called estimation risk. I'm going to comment a little bit more on those in a minute.

Asset recoverability. This is about performance of the contract. In very simple terms, if I put it into banking speak, when you look at AAA counterparty versus a CCC counterparty, generally, you either give a bigger NPV upfront, if you're looking to discount cash flows or whatever it is or sign less risk, or you create more of a reserve for a riskier counterparty. We do not take as much margin on a higher-risk transaction as on a lower-risk transaction. It's driven predominantly around the counterparty risk and the fleet fit, importantly, which is how essential are the aircraft that we are providing to the fleet. Is it not feeder traffic but the mainstream traffic or whatever? So that creates a valuation allowance. And again, that unwinds over time. Again, counterparty risk tends to reduce as time decreases. And of course, that unwinds as well over time. Just to put it into perspective, if I talk on costs and our assumptions, what has our experience been, if I look back on average, if I look at in-year civil profits, the impact of adjustments to cost have been around plus or minus 4% on in-year civil profits. A 1% change on our portfolio in cost assumptions has an in-year impact of about GBP 30 million. Now let me just come on to the next slide. This is an important point just to recognize here. The governance around this. Every balance sheet date -- before every balance sheet date, we do a process review of every contract we have, and we update the revenue and cost forecasts. If there are some changes, we revise the margin because the margin is an output of those 2. And obviously, the debtor and creditor, an output of the margin versus the cash. If there is a change, it's going to impact the current year. It's also going to impact the prior years because, in very simple terms, if I've been taking 12% for the first 3 years, and all of a sudden I should be taking 13% through life, I need to catch up 1% on the previous 3 years. Now under the rules, we do not restate our accounts. We make an in-year adjustment, which we refer to as a true-up or a catch-up. So the in-year impact can have a multiple impact, depending on how mature your portfolio is. At the moment, like I said, it's about 30 million for 1% move, and that includes the in-year adjustment and the prior -- sorry, prior year and in-year adjustment. And obviously, if you make a change, it will have your future margin impact. But that's a sort of non-balance sheet item at that stage.

Okay. Summary. So let's just remind ourselves. Unlinked TotalCare, we recognize revenue in accrued cost in line with flying hours. The same applies for linked contracts, but we equalize the margin, again, under the construction contract of IAS 11. We factor in what we call an estimated risk in valuation allowance. And of course, what that does is it basically suppresses the margin at the front end. It's an element of cautiousness, prudence, if you will. Relevant standards we talked about here are IAS 18, revenue recognition; IAS 38, intangible assets; IAS 11, contract, contract-- sorry, construction contracts. We renamed RECs to contractual aftermarket rights, and we've agreed our accounting treatment with the FRC. So this was single engines.

And let's start making it a little bit more complicated now. So that was a single engine. And I think it was quite easy to show the picture. And now as you know, we deliver many engines over many years. The ramp-up rates vary. The volumes to programs can vary. We have 8 programs in our civil large engine business just at the moment. But I'm just going to talk about 1 program at the moment. This is a generic program, could be some other Trent 800, just to give you an example of what happens. So all I've done here is I've taken the profit take and I've assigned them. And again, we're talking about a linked contract, so equal margin now between the OE piece, which is the red dotted line, the aftermarket profit, and then I've added the 2 together with a green line here. So as you can see, what you'd expect profit is taken. It's been equalled out. And as deliveries eventually fall away to nothing down here. And of course, the aftermarket just keeps growing because, of course, the engines are installed, and they keep driving for their useful life. That is a typical profile of what we see in terms of profit. So what I've done is I've taken the combined line that green line that we had there, which is this one here, and then compared that with

the net cash line. And again, with a linked contract, as we all know, we have a rising debtor position at the middle of the -- at the beginning of the program, point where we get peak net debtor, and then the debtor is decreasing and as we go over time. Now again, let's just refresh ourselves that sometimes people panic around debtor positions. And I will tell you that debtor positions can rise or sink for various reasons. But let's get the math right. You all understand our business model, which has is we install engines, grow annuity. There's a 4:1 ratio in terms of revenue and better margins. If we -- It is given math that if we make better margins on the aftermarket than we do on the OE, we are always going to have a debtor. So the question is, we're building up a base. And as we're in a growth phase, of course, we will have a growing debtor position. Eventually, obviously, the cash will start to catch up.

This is a corresponding unlinked one. It's a fairly boring chart because it tracks each other far closer. So it's just the aftermarket. But again, this is a sort of thing that we would see on a program where they're close together. So drivers of TotalCare, net debtor, and I guess, creditor as well for that matter. Obviously, as OE rises, if you get a ramp-up in OE with linked contracts, you're going to drive up the debtor. As shop visits take place, we will also increase the debtor because, of course, we are retiring the creditor, and when we talk about a debtor, we talking about a net debtor, which is, obviously, the gross debtor and the gross credit positions coming together. So shop visits, obviously, we've reduced the creditor, and it has a habit of increasing the debtor. When the contract outlook improves, so we talked about margin take. If we were taking 20%, and actually, based on our cost progress and margin improvement, we actually thought -- and reliability, we thought, actually, it should be 21%. That 1% increase increases the margin and helps to increase the debtor because it's just the difference between revenue and cost being accrued. On the other side, obviously, as we do flying hours, we get the cash in, and it retires down the debtor. And interestingly, if we worsen the contract outlook, we have the reverse, obviously. So results on the debtor reducing. Again, on the valuation allowance, it changes. And it can result in a rise or fall, depending on where we are. A steady state valuation allowance has come down over time and, again, as time reduces counterparty risk.

So let me just take you back to John's chart. So before I just go into this, let's just remind ourselves. I've just given you 1 program. We've got 8 programs, all at different points in the maturity cycle.

You start laying those all over each other and you can see that the modeling gets very, very complicated because there's many, many moving parts and thousands of engines, all at different points in their life cycle. On top of customers who are changing their flying patterns and habits, us working our way diligently to improve reliability and cost, all those things keep going in as we update. And the point is, are we getting the math right? The answer is yes. Of course, the important point is, understanding where we are in the cycle, and that drives the cash position.

So John was quite clear in his chart in telling you where we are, we're seeing some big ramp-up certainly as we get into '16 and '17 periods. And of course, this isn't just XWBs. Trent 700s continue, Trent 1000s continue and the various others that are going here. But as you can see, that revenue is rising. So generally, we're going to increase -- there will be an increasing debt as we go forward. Of course, a number of things, I've talked about a total debt when we look in the entire portfolio driven by what is linked versus what is unlinked. The differential margin between the 2. And of course, as we get around to these sort of areas, we get the benefit of volume, learning curve gets underway in some of the new programs, in the 1000, the XWB. Volume is our friend, we're rationalizing the footprint. All of these things are going to improve cost and cash and, obviously, margins, too.

So that's just what is coming. This is just a picture of where we are. So to me, it's an embedded value chart of where we are. So these are our 8 programs, showing their various points in terms of relative scale and contribution and size, just on TotalCare. It does not include T&M. It does not include non-contracted business or speculative business. Our position as we stand today, just on our existing TotalCare contracts. As you can see, at the end, with RB-211 programs, generally, these guys are running -- together, they combine in there about sort of 35% to 40% on TCA. They're still very T&M-weighted, this part. And as we go across, these are much more on TCA. And again, as we go forward, sort of in the high 80s, 90% and across the fleet, about 70-odd percent. The dark blue is just saying where we are in terms of what we banked and what is to come. And this excludes speculative business and, of course, the negotiations

of TCAs beyond their initial term. But the point here is there's a huge amount of embedded value with the best of margins.

So let's just summarize where I think we are and what we try to do in a relatively short space of time of understand the principles of the accounting complexities as we build up single-engine into programs, so running multiple programs over each other at multiple different points in their life cycle, lots of moving parts, and driving where we're going and why we're confident about what we're doing is the right thing.

So earnings are ahead of cash, plus OE is growing, you can see it growing. So in effect, we're sowing more than we're harvesting at the moment but, obviously, we see the strong annuity is driven off by the installed base. The significant value embedded in the aftermarket, of course, as iterated before and John has, we're strongly focused on cost reduction and improving reliability. And again, as last point, really, as I finish up here is the accounting follows the commercial substance of the transactions, which is why I talked about the various contracts at the beginning. And our treatment has been agreed with the FRC. So that's the end of the accounting session. I'm now going to hand over to John. So thank you.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Mark. It's very helpful and clear. So let me wrap things up. And I expect you all expected me to give the usual wrap-up that you would turn off for because you know what I'm going to say. So excuse me if I do something different. I'm going to tell you what I feel rather than a recap of the business, but one of I feel is privileged to lead this organization. Great people, wonderful products, terrific company, a company that has done extraordinary things over many years. I'm in awe of the people who did this in the past because they focused on the long term not the short term, because they recognized the long-term success that this business could have, and it's a long-term business. I'm thoughtful about the growing pains that we're having and we will have. The growing pains that are a consequence of the success that we have, not of the failure. The growing pains that we'll experience, whether it's transforming the operational performance or the financial performance. We are going to feel those, but it's a consequence of success. I'm confident that we have sustainable growth. But that does not mean year-after-year consistent growth, it means long-term sustainable growth. And I, and I hope you, are excited about the future of this great company.

So thanks very much indeed for coming today. We're going to take questions now, and we'll finish no later than 12:30. So what we're going to do is we've got a number of people that are watching this on the phone lines, on computers. If you could type in your questions, we will pick those questions up during the course of the Q&A session and I think, Jilinda, you will read those out as we go across. What I'm going to ask is if you put your hands up in a normal fashion if you want to ask a question, if you can say who you are and the institution you represent, that would be very helpful. And if you could wait for the microphones to come around because the session is being recorded, then we can make sure that we all hear the questions as well as, hopefully, the answers.

Okay. Let me try on being the ringmaster of this. And just to make it easy, we'll start at the front here, work back and around. And when we come to, Jilinda will pick up some of the not-in-the-room questions.

Question and Answer

Nick Cunningham
Agency Partners LLP

It's Nick Cunningham from Agency Partners. I've got 2 sort of slightly different questions, one going back to the early part of the morning. I think you said that unit cost reductions are effectively offsetting increased input costs. I was wondering if you can give us something behind that as to what's happening to both gross numbers, if you like, and how you see that playing out over the near to medium term. And secondly, coming back to the more recent part, I believe that Trent XWB sales are going to be unlinked, perhaps all of them. I'm wondering if you could possibly explain why that is, contractually. And also, looking forward Trent 1000, 900 and the remaining 700 contracts, are those all going to be linked or going to be unlinked? What sort of proportionality are we looking at within each program?

John F. Rishton
Former Chief Executive Officer and Executive Director

Certainly, thanks, Nick. I'm going to pass a couple of those questions probably to Mark, if I could just give a couple of comments first. What I said was we had about 400 engineers working on our existing products and they were finding ways to reduce cost, and that was offsetting the escalation that we were seeing as part of the passage of time. So as you know, in our purchasing through into our sales, we have escalation clauses. So they're finding ways to offset that escalation. You're right about XWB, they will be unlinked contracts in simple terms. And Mark will be more specific, I'm sure, because we're selling, as we said, Airbus and then because we're the only engine on the aircraft. But Mark, maybe you want to make a couple of comments about both of those questions as well, and the Trent 1000.

Mark Morris
Former Chief Financial Officer and Executive Director

So let's just start with the linking, unlinking. So XWB is unlinked because it's sole source or single source, should I say, and is done through Airbus. So we've got 2 separate contracts because we're negotiating with Airbus, we're doing the aftermarket contracts with the airlines. So it doesn't pass the IAS 11 test. On 1000s and 700s, the majority are linked. We do have some unlinked. We have customers who have gone T&M and changed their minds further down the road. So you can have both, but the majority are linked. I think on the cost side, I mean we've talked about this before, Nick, there's an array of activities that are ongoing. And it's a journey we're on sort of in the foothills of where we think we can get to on cost, but a lot of activity, be it low-cost country sourcing, designing to keep those and renegotiating our supply contracts, and some of that's coming through as well. So while some are beating the headwinds, there's other activity which will continue to drive those cost down. And of course, some of that we're talking about which is included in our guidance for this year as well.

John F. Rishton
Former Chief Executive Officer and Executive Director

Okay, we'll just go with a couple, that's it. Thanks, Emma [ph].

Robert Alan Stallard
RBC Capital Markets, LLC, Research Division

A couple of questions.

John F. Rishton
Former Chief Executive Officer and Executive Director

Could you say your name?

Robert Alan Stallard
RBC Capital Markets, LLC, Research Division

Sorry, Rob Stallard from RBC.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

First of all, maybe we'd stick with the TotalCare accounting. The estimation risk that you take on the contracts, probably give us what sort of percentage you're talking about here and how the profile is expected to develop on this going forward? And then the second cost -- question is actually on the RB211. You've said that the thrust profile is a proxy for revenue. Personally, I'd be getting this idea of whether that's also a proxy for profitability as well?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, I'm going to throw both of those at you because you will be accounting them for this month.

Mark Morris

Former Chief Financial Officer and Executive Director

So estimation risk. I think I gave you some insights into the impact, our experiences. I mean our experience has been pretty good. We recognize that there has always been a small lower bar around what's actually happening. Like I said, 1% is about EUR 30 million in terms of where we are in the portfolio and the impact today, we see that there are plus or minus 4% on any profits within Civil. I don't -- I mean we're not going to reveal what the current estimation risk that we're holding among them, but it's -- I think within those bounds, you can see, as we track through what our experiences are to date. So what I would say is that, when I look back and see if I were talk to the businesses is, say, well, how confident are we about our cost modeling. When I say, actually we're tracking pretty good. And generally, the curve has been one of it coming down, so improved reliability in some of the things that, Simon, you talked about. Now your second question, I think, was thrust, a good proxy for value. I think the rawer sense, absolutely, it is. I mean, clearly, a bigger value of bigger thrust engines, but then you have to be a little bit more explicit about what's happening within any engine program. So if I took RB211, for example, it's about 20% thrust. And I think last year it's somewhere around sort of 14%, 15% of -- sorry, this year is what we said, of revenues. Why is that? That would just reflect the flying patterns potentially of the airlines. So in the RB211s, there's a lot of freighters. They don't tend to fly quite as many hours. And I thought, because it's a longer point in the cycle, there's an element of us trying to make sure we incentivize people to stay on so we can be something like reducing our margin as a way of making sure that we keep the fleet flying for longer. And that's just sort of our core efficient frontier analysis, which is how do we keep it running for longer while still making margin. So that's the driver. So first order, yes. Second order, not necessarily.

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm not sure, Mark, whether the -- I think the question was more about the -- is the thrust also a proxy for profit as well as revenue? Just to be difficult.

Mark Morris

Former Chief Financial Officer and Executive Director

I mean, yes. The short answer is yes, again, it is. But again, depending on where we are in the programs and where we are the cycle, that will vary it.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. And if you -- anybody else on -- I'll come back, going to come back. Let's just go -- yes, that's great, I will come back, just for a moment.

David Howard Perry

JP Morgan Chase & Co, Research Division

It's David Perry from JPMorgan. Tony, can I ask you, if you had one company, Civil Aerospace, can you just give us a feel for roughly what percentage of the profit is coming from the 3 segments you talked about? Just for example, in the annual reports, if we were think about large engines, medium engines and small engines, can you just tell us roughly what profit contribution to, say, in '13, each make to the business?

John F. Rishton

Former Chief Executive Officer and Executive Director

David, thank you for deciding who will answer the questions. But I've got to impose a slightly different view, and suggest that Mark starts off with that and then maybe Tony has something else to comment.

Anthony Wood

Former Executive

Good question.

Mark Morris

Former Chief Financial Officer and Executive Director

David, I mean we don't break out sublevels, we give it at the civil division level where -- and civil defense is what we give within aero. We're not going to start breaking out our various programs.

David Howard Perry

JP Morgan Chase & Co, Research Division

If I may ask a follow-up, I think your communication around IAE has been very confusing. I think you've sought to rectify it with a slide today where you've added a dotted piece for IAE to show it's still sort of part of the business, although it's not your official thrust, which is a changing out in your previous slides, so thanks for that. Clearly, it is still contributing revenue and a very lot of profit, but it is extremely hard to know the outlook for that. And before I even begin to think about TotalCare on the Trent, it'd be quite nice to know what's going on with IAE today and in the future, please.

John F. Rishton

Former Chief Executive Officer and Executive Director

Comments on that? Mark, do you want to make any comments on that?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, look, I mean we said, as we go forward, it gets to be more and more difficult to make, relative impacts of old versus new. We've been clear in terms of the guidance we've given in the past about the contribution it's made and the numbers that you've got. And it will continue to contribute, certainly, for the foreseeable future, certainly in the next decade, but it will decline over time. But we're not going to break out sort of forward guidance going out for one piece of the program, it just becomes part of the portfolio, eventually, which is where we are.

John F. Rishton

Former Chief Executive Officer and Executive Director

Tony, you've anything to add?

Anthony Wood

Former Executive

Yes. I mean it's real value. We sell engines still on the V2500 to Pratt & Whitney, we sell spare parts, and we have 5,000 engines at the point at which we exited IAE that generate a \$1 per flying hour going forward. And that's what the shaded line in that graph represented.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. To finish on a positive note on that question, again, I would remind everybody that the value that you -- generally was assumed by the market for our IAE business was a little lower than we actually realized. And that, again, is the installed value, the value of the installed base within this business, which is a large part of the value of the company, and that's where we spent so much time explaining where we think the thrust is going to grow. That is a huge value to this organization.

Rami Yehuda Myerson

Investec Bank plc, Research Division

Rami Myerson from Investec, 3 questions. At the beginning of your presentation, you talked about the taking out of costs, but then you presented a slide with the ramp-up in the Trent engines, which presented a number of headwinds to profitability. Is it right to think that talking about -- and of course, you also talked about closing the margin gap. But that is something that's probably going to happen towards the back end of this decade, it's not going to happen over the next few years. The second question is on medium-speed reciprocating engines, given that you announced this morning you don't plan on making significant M&A, how should we think about the R&D profile in the Marine business? Are we going to see a big ramp-up? And just a short one on the ROIC over WACC comment on Tognum. Can you just update us on where we are in that process, given we're 3 years post -- since the acquisition?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. I'll take in the first couple. I want to ask Mark on the third and maybe [indiscernible] the other ones. In terms of the ramp-up headwinds -- I used the term growing pains when I talked about it and Mark has spent some time explaining linked and unlinked, and we just hopefully clarified around the XWB in terms of the fact that that's unlinked so is the whole raft of things going on in that mix. That's why I talked about growing pains in terms of operational performance and financial performance, so how do we address those issues? How do we address the consequences of our success? How do we drive through to the, if you like, the promised land out in the future when we've got strong growth and more stability? And it's an issue for all growing companies or companies that are growing at a significant rate is how do you keep pace with that? Because it's not just the points that you made, it's also some of the other points I made earlier in terms of the investment in new capacity. So if I look back at some of the margin progression from '03 to '13, a large part of that was on the back of the revenue growth. But it was also on the back of the fact that we under invested, if I can be slightly critical, in the infrastructure of the business and we're having to catch that up now, which is one of the growing pains that we're going through. We will give you, in October, as Mark has said, our view about the medium-term outlook in the form that he's talked about, which I believe will help address some of your questions. And clearly, as Mark has also explained in terms of guidance, we're going to be giving more in the future than we have in the past, which will help you and hopefully manage expectations. But your point is the right one, and it's one that we are reflecting on, which is why I've made the points I've made, why we've talked in the way that we've talked, which is we're grappling with the growing pains of the current because of the success that we've had to get to the future where we've got this sustainable growth and a more steady-state position. In terms of medium-speed, if I look at the total business, as Mark and I have both said, what we expect on research and development cost is, at most, an easing of those as a percentage of revenue and we can rebalance where we spend our money. So if I break it down, our civil spend runs what, Mark, about 5% or so?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes.

John F. Rishton

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Former Chief Executive Officer and Executive Director

Net?

Mark Morris

Former Chief Financial Officer and Executive Director

Net.

John F. Rishton

Former Chief Executive Officer and Executive Director

Marine has been much lower than that, about 2.5%.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, 2-ish.

John F. Rishton

Former Chief Executive Officer and Executive Director

But our new acquisition, Rolls-Royce Power Systems, will be running about 7%. And what I would say is, in our medium speed, a lot of the investment understanding, knowledge, technology capability is within that Rolls-Royce Power Systems where they've been investing a lot of money whether it's to address emissions concerns, more power, et cetera. So one of the big advantages we've got with owning that business is that we can use that knowledge, experience and wisdom to help us grow the medium-speed and invest organically, whether that's in new products with more power, more fuel efficiency, different fuel types, all of which we are doing. So you shouldn't expect sort of some huge increase in R&D as a consequence of organic growth in the medium-speed business. It's part of the total and it's really a question of how we balance that total across the whole business. And Mark, I don't think you put in some perspective. I mean, the Marine R&D is actually very, very small relative to, for example, the civil business. So even if we were to double the Marine R&D, frankly, it's still relatively small in terms of sums of money.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I mean that is sort of around GBP 30 million or GBP 40 million.

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, do want to talk a little bit about return on invested capital and WACC?

Mark Morris

Former Chief Financial Officer and Executive Director

If I have to, yes. I thought I'd get this question. Let's just remind ourselves on Tognum. We only took management control of this over a year ago and would only take 100% ownership, probably at the end of Q3, Q4 this year. And again, that's subject to regulatory approvals and it's just whatever their case load is and then how stuff goes through. Obviously, where we get a 100% control then we can really start to grind out some of the efficiencies. It doesn't mean that we haven't been doing stuff. Like I said, we're encouraged by what we've seen, we're excited by the business. Both John -- John has talked about some of these sort of cross-selling opportunities that we're getting already, certainly, our Naval, Marine business and sort of the high yacht end and so forth. So there are things going on already, we haven't been sort of resting on our laurels. We're saying that obviously it's been a relatively tough market, I think, for that part of the market, but we see good prospects going forward, so certainly encouraged. From where we are at the moment, we haven't gotten to the point of my -- end of my test yet as it were, and we'll be growing the stuff out as soon as we get them.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. I think what I would say is we're moving a joint venture before the squeeze out, yes, we were looking at really revenue opportunities and we always said when we announced the deal. Now we're going to own 100% of it, we're going to get the revenue opportunities and we'll be able to manage those more directly and -- and I talked a little bit about some of those revenue opportunities when I was talking about maybe there's a bit of pull-through working that way. And now we've got the opportunity to get cost initiatives we didn't really have in the past because we're going to own 100% of the business. Please, can we just -- say it again with the microphone again?

Rami Yehuda Myerson

Investec Bank plc, Research Division

On Tognum, just to clarify, the moment -- ROIC on Tognum is not higher than WACC on...

Mark Morris

Former Chief Financial Officer and Executive Director

Not on the deal, no.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, we're going to move to the back or let -- Jilinda, why don't we have a question from outside of the room?

Jilinda Crowley

So we have a call -- a question from Toby Cramm [ph] from Debros [ph], and it's a 2-part question -- or 2 separate questions. Cash conversion is low, you indicated, until the inflection point in 2018. But what about absolute free cash flow growth given that revenue growth should be coming on the steeper ramp of the Trent? And the second part of Toby's [ph] question is R&D declined as a percentage of revenues, is that true even with the narrow-body push?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, do you want to talk a little bit about cash conversion?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I mean, obviously, that was referred to just at the -- in relation to civil wide-body part of the program. Of course, across all other businesses, I would say that when we talk about our Marine and obviously engine at the moment, all that goes in our power systems and nuclear businesses, generally they're much more what I call traditional industrial businesses in terms of when you look at the revenue, the percentage you get on profit and the cash conversion, they move far more in sync, and we then obviously move with some cash conversion. On the Civil business and particularly, most acutely, in the civil wide-body part of the business, we do get much bigger swings just because the investment cycles are far longer and far deeper. So in terms of cash conversion on that part, again, as John alluded to, we see that coming out in sort of towards the 2018 period. But obviously, ongoing activity across all the other parts of the business of the group that are driving cash, so we're not going to give medium-term guidance today but, obviously, direction [indiscernible] we're very focused on driving both cost and cash.

John F. Rishton

Former Chief Executive Officer and Executive Director

Do you want to answer the R&D one as well?

Mark Morris

Former Chief Financial Officer and Executive Director

So I think the R&D question, just to make sure we've got it full, the question was that we said currently at 4.9%, it will ease gradually over time as revenues grow. I don't think it will be linear, it's a function of activity. But when we think about R&D, it is predominantly people. It's our sort of 18,000 engineers, what they're doing, plus some hardware. When we normally look out over the radar in terms of what we can do from our human capital, we end up with what we call an R&D wedge which is, today, the low capacity balance which has all of Colin's engineering, he's working on various programs, be it civil or any other parts of the business fully conceived. And as we look forward, obviously, if nothing else happens, they'll run out of things to do. And of course, those wedges are what we're filling out with potential new programs and which will, obviously, include narrow-body which, realistically, we sort of say middle of the next decade, would sort of start in terms of the sort of '18, '19 period. But let's just remember that NPI, the R&D, the research and technology part of that is very generic and compliant with multiple programs. And the R&T line, of course, in terms of what we do in there, continues. I don't know if Colin would like to mention anything on R&D in terms of what we're doing there?

Colin Peter Smith

Former Group President and Executive Director

Well, only that, broadly, the R&T, research and technology programs, that we're doing for the big, big engines flow down to the small or the middle of the market engines as well, so there's no duplication, just decide how -- which product we point people and our technology to.

John F. Rishton

Former Chief Executive Officer and Executive Director

If I could just add. What I said when I was talking with cash conversion. I pointed to 2018, a couple of things I said: delivering the cost and the benefits that we get through that, driving through the changes that I talked about when I talked about cost. And I said, as we start to stabilize, we'll see an improvement in cash conversion. I also said seeing no new major program which I, in some way, you could say, the narrow-body potentially is. And the issue there is, are we spending it on our existing programs or new programs, similar to our existing programs? And is it additional or is it substitution? So the point that I would make, and I make it whenever I speak to you, because I know that cash conversion is a critical point, it's as we are growing and investing for growth, in simple terms, that clearly uses up cash. As we get to a steadier state, the cash conversion will improve. So the challenge there is how much can we grow in the future, where you're spending that cash versus reducing the growth relative to the cash. That's the only point that I would add. Okay, let's go right to the back of the room and then we'll come down to the front.

Charles J Armitage

UBS Investment Bank, Research Division

Charles Armitage of UBS, 2 questions. First of all, on accounting for long-term contracts of TotalCare, I understand that a conservative company, when you're accounting for long-term contracts, would start with lower profits or lower margin recognition and end up with higher margin recognition. Normally, I'd call the difference of that contingency. Is that what you call estimation risk or is there a contingency in there as well?

Mark Morris

Former Chief Financial Officer and Executive Director

No. We don't refer to it as contingency. I mean there's lots -- I mean, it is a cautious best estimate of what we put aside to recognize that there will be a small level of error and the level of estimation -- so I mean if I just separate the 2 out. Valuation risk -- valuation allowance, it's different. Estimation risk will vary depending on our experience. So clearly, a very mature program like an RB211, frankly, the estimation risk is very small and, of course, it's slightly larger that we allow for -- on a new program like -- whether it's XWB or 1000. And again, we have sort of -- we track the behavioral characteristics, the architecture, the similarities, how it will respond, and that's what sort of Colin and his team along with the people in Civil will work out carefully, following these various algorithms that we use. So I mean I guess

contingency is one word that you want to use, it is not a word that we would use, just the contingency doesn't exist in accounting.

Charles J Armitage

UBS Investment Bank, Research Division

And just to follow that one on. The 25% illustrative margin on a linked contract, orders of magnitude, are we talking 1%, 2%, 3%, 4%, 5% estimation risk on a -- and I understand, in XWB, for instance? or is it half your margin?

Mark Morris

Former Chief Financial Officer and Executive Director

No, no. It's certainly not half the margin, it's a number of percentage points, but I'm not going into detail.

Charles J Armitage

UBS Investment Bank, Research Division

And the second question is on medium-speed diesel. Now you've said there are no material acquisitions planned, medium-speed diesel is 7% of GBP 2 billion to try and make GBP 140 million. So it's less than 1% of your overall business, yet it's top -- the fifth of your 5 priorities. So what is the strategy? A fifth -- #5 of your 5 priorities seems to be quite important, but under 1% of your overall sales doesn't seem very important at all.

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, as I tried to explain in the course of the meeting, the reason we are concentrating on it is it fills the -- completes the portfolio in many ways and would help us drive sales and revenue across the Marine business and, also, it creates opportunities in land power as well. We see this as a growth market, we see this as an opportunity, that's why it's there.

Charles J Armitage

UBS Investment Bank, Research Division

But the 3% GDP type growth, it's going to take an awfully long time for that to become, organically, particularly meaningful things. How big do you see medium-speed diesel in 2020 or a number of years?

John F. Rishton

Former Chief Executive Officer and Executive Director

If you look at how you can address these issues, you've got sort of 3. You've got organic growth, and we're doing that as I said. You've got partnerships. We've had a partnership in the past with [indiscernible] as it happens to be, or you can do nascent acquisitions of varying sizes. You can look at any of those as -- in terms of how you can address that gap in our portfolio. So I guess all I'm saying is the reason that it's important for us is that it's where we are weaker. So the numbers you're quoting, let me say, is only a small part is exactly why it's important because it completes the circle of the product offering that we have, and we have the capability to do well in that area. That's why it's important.

Charles J Armitage

UBS Investment Bank, Research Division

If I could just follow-on on one more. I think you said in the past, 65% of the Offshore Marine vessel is your components.

John F. Rishton

Former Chief Executive Officer and Executive Director

It can be opportunity.

Charles J Armitage

UBS Investment Bank, Research Division

It can be. How much of that is the engine?

John F. Rishton

Former Chief Executive Officer and Executive Director

How much is the engine? Lawrie, did you hear that?

Lawrie Haynes

Executive

GBP 1 million.

John F. Rishton

Former Chief Executive Officer and Executive Director

How much percentage is it?

Lawrie Haynes

Executive

In percentage terms, it's a very small percentage, but it's the pull-through that's very important from that engine that builds up to the 65% is the depth machinery. For example, it's the kind of supply systems on a ship design that we pull through. It's designing the auxiliary system. It's designing the stabilizer systems. That engine pulls through quite a lot of content.

John F. Rishton

Former Chief Executive Officer and Executive Director

It also, as I said when I was presenting, is where you get the aftermarket far more importantly. Okay?

Charles J Armitage

UBS Investment Bank, Research Division

Final thing. How much -- GBP 1 million on an engine is 10% of an OPV typically?

John F. Rishton

Former Chief Executive Officer and Executive Director

What is it?

Lawrie Haynes

Executive

So can you -- I can't...

Charles J Armitage

UBS Investment Bank, Research Division

GBP 1 million on the engine, what -- I haven't bought many OPVs recently, what's a typical...

John F. Rishton

Former Chief Executive Officer and Executive Director

It depends on the type of vessel that you buy and the complexity of the vessel. So an anchor handle will cost an awful lot more than a supplier ship, et cetera, et cetera. So what we talk about is -- the 60% that we generally talk about is a fully loaded anchor handle or vessel is where we've got winches onboard, we've got our thrusters onboard, we've got our power system onboard, where we've got the captain's chair, we've got the dynamic positioning system onboard and the engine. And what we've got, if you look back in history, is we've had a very strong position within Norway because that's where our strength in history is. As the industry expands and changes and diversifies, it's been important and will be important to get a broader engine offering than we have today to help drive the pull-through that we've had successfully in Norway in the past. And that's why we want to address that gap in our portfolio. Yes?

Zafar Khan

Societe Generale Cross Asset Research

So it's Zafar Khan from Soc Gen. I've got 3 questions, please. The first one is just a follow-on from Charlie's question on the medium-speed. And I just want to ask in very simple terms, what Charlie was asking in a very kind of long-winded way, if I can put it that way, can you achieve your ambition in medium-speed diesel without M&A? That's the first question in very simple terms.

John F. Rishton

Former Chief Executive Officer and Executive Director

Give us all 3.

Zafar Khan

Societe Generale Cross Asset Research

The second one, I just want to say, Mark, thank you very much for an excellent explanation on the accounting, but I think I've fallen on the final hurdle on that one. It's just the conclusion on Page 24, the debt arising due to shop visits taking place, isn't that debt falling if there's a shop visit rather than rising?

Mark Morris

Former Chief Financial Officer and Executive Director

No, the debt will rise because...

John F. Rishton

Former Chief Executive Officer and Executive Director

Let's take all 3. You've got a third one?

Zafar Khan

Societe Generale Cross Asset Research

Yes, please.

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm learning.

Zafar Khan

Societe Generale Cross Asset Research

The third one is just on the confirmation of the 2014 guidance that you've given in the statement. And I remember from the IMS, you suggested that there would be a 1/3, 2/3 phasing in that profit this year. Historically, we've never been that wide within the 2 halves. I can understand some of the shortfall, if I can put it that way, in H1, against H1 in '13, that in order to get to the full year guidance you've given, and then the H1, H2 split, I can't make the numbers add up at all. So I'd be very grateful if you could provide a little bit of color in terms of the divisions on how we get to that 1/3, 2/3 split based on the full year guidance you've given.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Let's go back to the first one, organic growth. The short answer is yes, so if we were sitting here in 1990 and talking about wide-body, we said that we're going to have 50% of the wide-body share, I suspect there would have been a level of skepticism. But here we are today with 50% of the wide-body share and we've done that organically from about sort of 2%. So yes, you could do it. And sort of the question is, are you determined to do it? How long does it take? That's all it is about. So if you put the investment in, you could do it. But there are other methods by which you could do it. So the fact that it's a priority doesn't say it's something that I must resolve tomorrow, the day after, or the world comes to an end. This is a long-term business, and I'm looking at long-term issues. The narrow-body, similarly, is not

an issue for today or tomorrow but, as I explained in my presentation, it's an opportunity I think for us for significant growth. It's a market that we should be in, we're going to get back in. So it isn't something that I have to fix today, but is certainly something that I and others worry about in terms of the long-term thinking of the business. Mark, maybe you want to talk about debtor shop visits and maybe something on guidance?

Mark Morris

Former Chief Financial Officer and Executive Director

Right. Okay. So Zafar, just to make sure I've got your question, I think you're saying that debtor rises as shop visits take place, you don't think that's correct? Let me just explain. So net debtor, gross debtor, creditor, before we start, we think about what's happening on the cost side, we're building up a creditor, we're accruing costs and then when we spend the money, the creditors retire. So when you take that away from the gross debtor position, before you were taking a creditor, let's say, of 192, you'll overhaul, the creditor's reduced to 0, you got nothing to take away, so the debtor will rise, all things being equal, that's all it is. Yes? Okay? So that was that one. Now sort of easy one, H1, H2 guidance for this year, I think is what you're -- so let me just try to remind everybody what we said with just in terms of guidance this year, we said that broadly 1/3, 2/3, H1, H2, a bit more acute than usual. Revenue, just to be clear, is about 15% higher in H2, a little bit higher than last year, so volume is driving parts of it. And again, much of that driven by -- actually, all of the divisions but more specifically on the niche of our business, Power Systems and Marine. Cost reduction, we're seeing more cost reduction coming in as contractual cost reductions kick in and the volume benefits kick in, in H2. You heard me talk about restructuring back at the prelims, it's about GBP 90 million, so about GBP 30 million higher than last year, all happening currently weighted towards the front end. That's mainly in aerospace, both indirect and directs. R&D is the other one, again, I sort of signaled. And again, that's predominately been driven by spend patterns around the Trent program being a little bit more weighted H1. And then, finally, on the Marine side, of course, we took a product cost charge of GBP 30 million. So that's sort of where we are. And like I said that's -- we've maintained our guidance, you can confirm that today. So I don't want to break out all the separate divisions but you've got an idea in terms of where the main things are coming from.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, let's continue to circle down this side.

Unknown Attendee

[indiscernible] Capital. Just looking at the benefit of TotalCare, can you quantify what benefit, if any, you get from the fact you have such a high market share on maintenance on a program? That's -- it's got 90% on the TotalCare, making it -- eventually making it harder for third-party overall, those [indiscernible] in that program to compete, given you've taken all the used parts fairly often. And related to that, can -- to give some numbers around that, on the TotalCare program, maybe an engine or as a program as a whole, how much more money would you expect to make off a Trent XWB because it's got such a high TotalCare versus an RB211, if it was here today all the time on materials? That doesn't need to be per an engine, it could be just looking at the program as an overall...

John F. Rishton

Former Chief Executive Officer and Executive Director

So I'll try to make a couple of comments. I think the first thing to say is that this is a really competitive market, and the reason that we and the airlines like TotalCare is it aligns our interest and their interest together. That's the attraction for both parties and why airlines would generally want to choose that, it's a level of risk, but our interests are aligned. What do I mean by that? I mean we both want to keep the wing -- the engine on wing for as long as possible. The airline, for obvious reasons, in terms of operational performance; us, for obvious reasons, in terms of cost performance. But this is a very competitive market, so when we sell these products into the market, this isn't about trying to control the market in some shape, size or form. Competitive in ways that we're selling other engines and other products. Our

competitors sell them, how do you sell them? How do you compete against them? So there is quite intense competition around these markets. Tony, do you want to make any comments?

Anthony Wood
Former Executive

I think in terms of how the maintenance is provided, there's a number of options. So there's Rolls-Royce wholly-owned facilities, there's joint ventures in which Rolls-Royce is involved, and there's also independent shops. So there are independent shops in Japan, in the Middle East with our relationships with some of the Middle Eastern carriers, and Air France, there will be for the future. So I think there's a number of options independent on what the airline strategy is. Are they going to have a big maintenance infrastructure and want to participate in that, or are they happy to come to a Rolls-Royce facility or a Rolls-Royce joint venture? It depends what the airline strategy is, but there are options, those 3 options.

Unknown Attendee

What I'm trying to get to is, I mean do you think you'll make more money, profits, from a total -- from a program that's got a high TotalCare penetration, absolute dollars, versus if you didn't have TotalCare, I mean do you have to sacrifice something in profits to drive stability?

Anthony Wood
Former Executive

So I think it's quite clear that there is risk transfer going on, as John has explained, on a TotalCare contract. And for that, we seek to generate a better margin and the focus within the business, is on having the most efficient maintenance footprint in terms of driving productivity, driving repair technology. That's the focus, that's the bit where our intellectual property sits that gives us the confidence that we can deliver those margins. But absolutely, we seek and should secure a better margin as a result of that risk transfer. That's the primary.

John F. Rishton
Former Chief Executive Officer and Executive Director

Okay. We'll come all around, I think, just up here at the front, in a bit more one at a time.

Unknown Attendee

I guess, 3 quick questions. You guys keep on...

John F. Rishton
Former Chief Executive Officer and Executive Director

Name and...

Mason Thalheimer

Mason Thalheimer from Samlyn Capital. You just keep alluding that 2018 being sort of maybe a pivotal year. Is -- are we supposed to understand that as maybe 2017 is when we see the peak in the total of the net debtor and direct engine loss account or whatever you're calling it these days and that, going forward, after that, cash will be above earnings as we draw these balance sheet items down? That's the first one. Second one, it sounds like you guys are committing to, in October, giving us longer-term guidance. You guys, in the past, talked about, over the medium-term, margins expanding. Could you at least give us a teaser today? Could you commit to margins expanding over the medium-term without giving the exact numbers as maybe you've done already the past? And the third question is it would seem logical that the contingency on a linked program would be much higher than in unlinked program as you're recognizing more of the profits upfront? Is that true? And is there a way to think about, on an order of magnitude, between the 2 of them?

John F. Rishton
Former Chief Executive Officer and Executive Director

Okay. Let me deal with these. As I said about 2018, that's when, according to the chart, the projection that we've got, we start to see things evening out. We've gone through a number of years in, I call growing pains. We've done a lot of the work that we're doing on cost. And I said that that's the kind of year that we would expect to see an improvement in cash conversion subject to not having any major new programs that would change that, that -- and that's the only comment that I would make on that topic. In terms of margins, October is not too far away. We'll wait till October, teasers or otherwise. And Mark, you want to address the linked and unlinked?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. The short answer is the math and the accounting drive for what we do. So the estimation risk, when we look at it, is we treat a linked contract as a whole. So when we assess what we think the estimation risk is, we then obviously apply it to the entire contract. So by definition, if you've got an OE element in terms of the indication, in terms of dollar terms or pound terms, yes, it has a bigger impact because we treat it as one. [indiscernible] with a pure unlinked aftermarket, you haven't got the front-end revenue and cost to consider. But this actually affects our margin in terms of -- no, it's how we think -- we think you have costs looking through it. I mean, the OE is delivered and the cost is known, so the driver of the estimate is driven by our cost assumption or what I'll call the sort of small error requirements in terms of how we try and make sure we've got a sensible line going forward as our best estimate, and that's because it is an estimate looking forward 10, 15, 20 years. So once we've assessed that, we're going to apply it because the rules require us to apply it in terms of leaving the margins unlinked. And therefore, we take the margin based on flying hours flown, and that's all factored in.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Could you pass a microphone one to the left and then we'll go one to the left again, and we're done with. Okay?

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. How successful have efforts been so far to extract cost and better terms, out of your supplier base? And related to that, do you expect to find greater success in newer engine programs like XWB versus a Trent 700 or because of supplier overlap, you're able to exert some leverage on both? And then finally, relating to that, in terms of the timing or phasing, just realizing that these sort of cost improvement efforts do take time, what you're sort of general view on how the phasing or the positive impact or the benefit will be resulting in or ending up in the financials?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, thanks. I think your second question is, could you give me medium-term guidance today? Again, we'll deal with that in October, we'll give you some clues around that and we'll reflect on these questions. And I'm not trying to be flippant about it, but I understand -- we understand the question, the interest. In terms of the supplier base, we're going to make Tony -- ask Tony to make a few comments because he's been involved in this. I think my summary, it will be mixed, and it's mixed for all the obvious reasons. If I put our suppliers into 3 unfair buckets, sort of one where we got good negotiation leverage, one where you've got some negotiation leverage and when we've got no, guess where you make progress and where you don't. So if you look across the supplier base, it's always easier to make more progress in the first part. So we are making progress. If we look at our programs, in terms of the numbers of suppliers that we have, we've reduced significantly. Go back in history, hundreds and hundreds of suppliers, XWB less than 100, that changes the negotiation dynamics significantly. And yes, where we can link past and future together, it gives more volume, and that then helps into the first bucket of suppliers. The other thing that I would say is, having worked in the car industry and observed the car industry, they went through a whole raft of relationship issues with suppliers about how they could or couldn't manage it. And what I would say is, we should learn from that, and we're learning it, I would suggest to that, and others may disagree. I'm

certain there's at least one person, they've got a lot more knowledge they carry in their sleeve than me, is to make sure that you have firm relationship, a partnership with your critical suppliers where you both benefit rather than trying to push them underwater for a period of time just to get ahead of price now. The other complexity that we have is around the length of the program, the old programs, the nature of the beast, the regulatory environment that makes it a more complicated and generally longer discussion. Tony, do you want to add anything?

Anthony Wood
Former Executive

I think you've covered most of it, but I think the point on reducing the number of suppliers -- I mean Rolls-Royce Aerospace today, 135 suppliers, is 80% of the value of equipment that we buy in our engines. That is a dramatically smaller number over the last decade. I can get them in a room and have this conversation with the aerospace team. We did it in Heathrow a few weeks ago. It's a continual process. It does require us to be a partner, to look at the specifications. We get into a lot of detail to liberate cost out of every component in every system that we buy. But there is the reality of the complexity of the different parts in the engine versus the competitive position. We do have those suppliers who have proprietary equipment and systems and capability in our engines. And those are the ones where we have a much deeper and more partnered relationship to drive cost out. But it's very much a 2-way relationship that we're developing. And I think our posture is really important in that, and that -- and we're getting traction, we're working our way through offsetting the escalation piece that sort of pressures that our suppliers face as well and then getting beneath on the real things that drive cost, inspection requirements that we put on for our engines and the other elements of the design and really working much more closely with them. So it's a long-term drive to get cost.

John F. Rishton
Former Chief Executive Officer and Executive Director

Let me go one fellow to the left, and then we're going to go to the back for an external question and then we'll come circling around again --

Benjamin Philip Fidler
Deutsche Bank AG, Research Division

Yes. This is Ben Fidler from Deutsche. I've got 3 questions that may surprise you. The first one was just a fairly simple one on the buyback duration period. This GBP 1 billion, just to help me understand your intention as to how we should think about the time period over which you will execute that. I know some of that maybe out of your control in terms of market volumes and price volatility, but do you see that as a 2-year program, is it a 5-year program, that will be helpful to bound it. The second one is just on CapEx. Thank you for the additional detail you've given us on the rate of decline in tangible CapEx, down from the 4.9%. You spent about GBP 500 million the last year, intangible CapEx was GBP 500 million, could you help me understand how that will progress the intangible CapEx line over the next 3 to 5 years in that corresponding period, that'd be very helpful. And the final one is just coming back maybe to the supply chain cost reduction activity, and just so I understood the messaging correctly. You're saying your 400 engineers and the activity that you're undertaking at the moment with supply chain cost reduction is basically going to see flat, which I think flat procurement cost, we shouldn't think down. And that I think, a while ago, my understanding was you're talking 15% reduction in both in customer supply chain, which is about GBP 4 billion in cost item over a 3-year period. So I just want to know should we think about that, that would be helpful.

John F. Rishton
Former Chief Executive Officer and Executive Director

Okay, yes. Let's start with the buyback, Mark. Do you want to make a comment on the buyback time period?

Mark Morris
Former Chief Financial Officer and Executive Director

So just on the buyback. Again, it's subject to the Energy deal concluding and getting regulatory approval it needs, which we are -- our working assumption is that will be sort of by the year end. If that goes according to plan then, again, I think you believe that some of these things are out of our control. But our -- certainly, our plan wouldn't be looking at sort of the many years, it would be at a sensible level, a sensible run rate. Like I said, it's a discrete set of proceeds, and we'll do it in an orderly manner through the various exchanges and the usual sort of mechanisms that we stick in place. But like I said, some of it is out of our control, so I can't be explicit, but certainly we're not looking to announce [ph] over many years. That's not our intentions.

John F. Rishton

Former Chief Executive Officer and Executive Director

CapEx, Mark?

Mark Morris

Former Chief Financial Officer and Executive Director

So total CapEx, total -- on intangible CapEx, of course, one of sort of big drivers there really is RECs. And we're still going to start to get into medium-term guidance, so please, we're sort of holding off more for September. There are obviously other areas, but we haven't given any guidance at this stage on where it is, but obviously a scenario we look at as well.

Unknown Attendee

[indiscernible]

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, we withdraw the CapEx guidance. Does that help? I mean, I think what I would say there is sort of damned if you do, damned if you don't. We're going to drive that down and that's quite clear. And that's something that we could do. And one of the deals, especially, I mean all companies is actually I can control CapEx spend at the center and we can achieve and we can look at that quite comfortably and work at what we're going to do. For the more specific guidance that we've talked about that Mark has outlined, we want to go through a much more thoughtful and rigorous process, and consider what this, we think, is right to do there. That's the difference. In terms of the supply chain, you mentioned you have 15%. And certainly, that was a sort of a headline number a year-or-so ago. Yes, we could have go out the supply chain and say, what we want a big reduction sort of -- yes. And anybody who sits here and thinks that all these supplier say, oh, yes, sure, no problem at all, it's 15% or whatever it happens to be, obviously, hasn't been in a supply negotiation. But what it does is it sets the bar in terms of saying, we're serious about this. This isn't sort of a 0.5% or 50p off kind of thing, it's a big program. And then you get straight back into what I described as the 3 buckets. And also, the suppliers that we talked to at that point in time were fewer and we now expanded those discussion that Tony was saying. Tony, anything you want to add?

Anthony Wood

Former Executive

No, I think, we're tackling it. So we started with the top 50 suppliers with the 15%, 5% per year over 3 years. We've made good traction on some areas of that. We're still working on some of the more complex relationships with the more complex systems, and we're making traction. It takes time to deliver these programs and it is related to some of the engineering work that we're doing as well in terms of looking at where we can put easements. And that help suppliers take cost out as well as the commercial leverage in the negotiation, like volume and some of the other growth that we're seeing brings.

John F. Rishton

Former Chief Executive Officer and Executive Director

Lawrie, anything to add on the MIPS side?

Lawrie Haynes

Executive

Yes, I will. I'd say that the discussions we've had with our suppliers about cost cutting have been improving over the last 6, 9 months because we've been able to demonstrate that we are cost cutting. And I think that's an important part of the relationship that John talked about is relatively demonstrated internally. We're taking the appropriate actions, as well as asking our suppliers to do that. So we're getting more traction because we're able to demonstrate our own position.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Good point. Let's go to the back to Lindy [ph], from outside of the room.

Jilinda Crowley

We have a question from Tal Eloya at Integer Asset Management. Two questions, can you please discuss the risk associated with the XWB program as the large portion of your future growth? And the second question from Tal is what are the risks of further meaningful decline in defense profits?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Okay. We could talk about risk from a number of different perspectives. What I would tell on XWB, to cut that kind of short is, we're in very good shape on the XWB. Colin, you want to make a few comments about where we are in terms of that program and what's going on?

Colin Peter Smith*Former Group President and Executive Director*

Well, we certified the engine late last year. We're in the middle of the endurance program to make sure that we got to maintain ability and the reliability that we're predicting, and it's looking very good in the line with prediction. We are half -- just over halfway through the flight test program. It's a 5 aircraft, I think, we're currently flying. And by the way, we're tracking them all the time in the data being streamed off the aircraft bringing it back in, and as Tony said showing how it validates against their design models. So everything's looking extremely good.

John F. Rishton*Former Chief Executive Officer and Executive Director*

And we've delivered, I think, Tony, the first 2 production engines.

Anthony Wood*Former Executive*

We have next to...

John F. Rishton*Former Chief Executive Officer and Executive Director*

To lose [ph] for Qatar, which is the launch customer for the A350, which should be going out later this year. So I think we're in a pretty good place in terms of XWB. Risk in terms of defense, where we're kind of getting back into guidance there. I'll go back to what we said, yes, we've confirm the guidance for this year, what we said about 2015. But I'm not going to get drawn into more detail at this stage. Okay, let's go to this gentleman here, because we're circling around.

Stephen Lawrence Farley*Farley Capital L.P.*

Steve Farley from Farley Capital. A question regarding the relationship between improving your on-time delivery and your cost structure. What is the relationship between improving the on-time delivery to internal plan and reducing costs? In order to improve the on-time delivery to internal plan, do you first need to increase cost or are they going down as you're improving?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Okay. It's a great question. What I showed you was that we don't deliver very well to our internal plan. On the way that we then get from our internal plan to deliver customers on time is that we create a buffer between the 2. And the buffer is, for the sake of this discussion, time and material. So you create time, by which you get the material coming in, by which you get a chance to finish the engine so you can get to your customer on time. So if the buffer is this wide, and at the moment, I'm only delivering 25% to the internal plan and the rest is coming in over the course of this buffer, then I have one financial effect. If I get this to 100% and leave the buffer the same, that will increase my cost and increase our inventory, because I end up holding 100% for longer rather than 75% for less, to use my numbers. So the challenge is, we've got to get stability into the supply chain and into the delivery to plan, so we get towards 100%, and then you close the gap. So it's 2-stage process. We can and we will do that, and all businesses go through this as they mature from a low volume to a high volume, and that ripples around the supply chain. So as I was saying, it's an important element of our cost and cash in terms of inventory turns, in terms of the cost that we're building to the systems, the consequence of the buffers. And it takes time because you've got to get the stability of this level and then drive it through in terms of reducing the buffers you get confidence. But as I also said, we've already reduced the lead times, for example, on the Trent 700 engine, so we -- this isn't sort of you get everything right and then you can do it. This is the stability and competency you have in individual program. And as you know, the Trent 700 is our largest volume program and we've made very good progress on that, but there are other programs, there are new engines, for example, where we are down where I'd like us to be. So it will take some time. Okay, go with the follow-up?

Stephen Lawrence Farley*Farley Capital L.P.*

Are you saying you've stopped increasing the buffer, or is the buffer still increasing?

John F. Rishton*Former Chief Executive Officer and Executive Director*

We have started to reduce the buffer. So we have started to reduce the buffer in terms material, and we started to do that around the whole supply chain. So if you would talk about supply, we would have reduced load, we take load out, so we reduce the buffer. So we started that process already. We've been doing that now for, I don't know, for 9 months or so.

Anthony Wood*Former Executive*

Yes, over a year.

John F. Rishton*Former Chief Executive Officer and Executive Director*

I'll just say gradual process. So as an example, if I've got a 3-months buffer, I could turn everything off for 3 months if I'm confident. But that doesn't make any sense, you bring it down slowly, and that's what we do. Yes, will run the very front here.

We're going to get -- for the next to last question, so we're going to have the last question after this.

Tristan Sanson*Exane BNP Paribas, Research Division*

Tristan Sanson, Exane BNP Paribas. I have a few question on TCA accounting for Mark. So first one, TCA or TotalCare life, should we care on in sort of accounting compared to a traditional TotalCare agreement, is there any difference from profit and cash recognition? Second, if we look at renewed TotalCare agreement, should we just see that as traditional unlinked contract or should we look at difference cost and revenues assumption for it? And then the third one, you gave a margin and cash profile for the traditional linked contract, but if we look at the total traditional linked program, if we look at the total life of the program,

which would start with linked contract that's within renewal of this year as unlinked, what would be the total, the adjustment we should look at to the margin and cash profile of that program to get a competency [ph] review of what's happening really on program like the Trent 700 or something like that?

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, a pretty detailed questions. Mark, I don't know if you want to give a high-level answer to those or maybe we -- I suggest you talk with the IR team afterwards. But I think we're probably going into too much detail if we try and address those specifically. So any high-level comments, Mark?

Mark Morris

Former Chief Financial Officer and Executive Director

I didn't quite get your first question, but let me start with the other 2, and I'll maybe take it offline because I didn't quite catch it completely. I think when we look to the life of our engine, we assume sort of 25 years. They can go on for a lot longer than that. And a normal TotalCare pretty much is going to be sort of through 10 and 15 years. Our experience, generally, is that where we've got to the end of TotalCare, generally, they're renewed. And they're renewed on new set of terms to the cost, depending on where it ended, the number of overhauls that would occur in that period, in the flying hours that either the next operator can do or indeed the same operator will be different, which will set up a different set of criteria in terms of engine flying hours and cost rates. And of course, the estimation [indiscernible] valuation will still then apply. Generally, as you get further down, the number of overhauls can get larger because you have to factor in some sort of LLPs, life limited parts, that Tony has talked about. Sometimes they're in contract, sometimes they're not. And that will drive the mechanics around that, but we have good experience on that. The same logic in modeling applies. Your last question when was -- yes, I did a very purist view which sort of said this was just a 15-year TotalCare on those linked diagrams that I gave you because it's generic. You did not then say, what happens afterwards with the next, call it, 10, 12, 15 years? And you just add in a linked -- an unlinked program, it should be the other graph again that would kick up in the same way. And the 2 would merge depending on the conversion rate from one to the others. I forgot your first question, because I'll be honest, I didn't quite get the detail and we're running out for time.

John F. Rishton

Former Chief Executive Officer and Executive Director

We'll pick that up after some because we're going to now take the last question, just the gentleman at the front there, and then we'll close.

Timm Schulze-Melander

It's Timm Schulze-Melander, JPMorgan. It's a 2-part. Maybe a very simple question, you've given us a lot of detail around TotalCare, you've talked about your non-civil aero business as being sort of standard industrial and you've got a sizable but growing installed base with some good revenue and cash visibility. I guess I'm still struggling to reconcile the half-on-half cash variation just in terms of the 2 or 3 really big blocks. And you gave some detail to Zafar's question in terms of half-and-half profitability. And then looking forward, is that half-and-half variation something that investors should expect to diminish over time?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, obviously, the future guidance -- it's future guidance. But we generally have, even historically had a historic profile of cash improvement throughout the year and phases of what I would call sort of buckets as we go through our working capital cycle. It's more acute, for the reasons that I've given this year in terms of some of the money we're spending on rationalization, higher R&D, some of the CapEx phasing that we've had. And again, this comes back to also where we are in terms of the CapEx cycle, what CapEx we've done, credit is outstanding paid in the year, so it's just where you bring the 4 colors down to the balance sheet date. So it highlights me to just say that sort of no one panics and sort of, for us,

it's business as usual. It's just what we're going through the cycle. And we're just reflecting to make it clearer for the market that, actually, this is what it is and these are the reasons behind it. I think as we look forward, and without getting into medium -- to term guidance, we have always, traditionally, had an H1-H2 profile that's been loaded predominately to H2 to H2. And progressively, as we go over, our view is that we'll start to balance more.

John F. Rishton

Former Chief Executive Officer and Executive Director

So ladies and gentlemen, thank you very much, indeed for joining us this morning. We hope that you found today helpful, useful and addressed some of the concerns that you have. As I said at the start, we recognize that we're not going to get there in one go. But if you give feedback to our IR team about what works, what didn't work, what you'd like to see the future, that will be very useful and we'll try to make sure we address those concerns and thoughts and issues. We are, as we said, going to have another day, October 21 in Norway, we look forward to seeing you there. There is a buffet lunch, I think, outside. The team will be out there for a short period of time, we can take care -- take some more questions from you individually. Again, thank you very much for your time today and your attention.

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Rolls-Royce Holdings plc LSE:RR. Special Call

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Nick Cunningham

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Zafar Khan

*Societe Generale Cross Asset
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Presentation

Operator

Hello, and welcome to today's Rolls-Royce announcement of the sale of the Energy business to Siemens. [Operator Instructions] And just to remind you, this call is being recorded. Today, I am very pleased to present Simon Goodson, Director of Investor Relations; and Mark Morris, Chief Financial Officer. Gentlemen, please begin.

Mark Morris

Former Chief Financial Officer and Executive Director

Good morning, everyone. I'm Mark Morris. I'm the Chief Financial Officer. You would have seen our press release this morning announcing the sale of our Energy gas turbine and compressor business. This outline's an important step for us in concentrating our activities where we can add most value. We believe this is good news for Rolls-Royce and good news for Siemens. We've made it clear to you that we would address the performance of our Energy business, which has been an underperforming part of our portfolio. While it has excellent products, technology and people, it lacks scope and scale to compete effectively. The sale to Siemens has clear industrial logic. Siemens is a global energy player with the necessary scope and scale and can provide better reach to market. Our Energy business is highly complementary to the Siemens portfolio. Siemens is a leader in power generation, and our industrial Trent gas turbine will close the gap in Siemens' portfolio.

Our position in the offshore and pipeline compression and oil and gas sectors will strengthen Siemens' existing offering. The sale addresses one of our 4 Cs: concentration, where to grow and where not to, and reflects where we want to focus in markets with good growth potential and where we can best compete. The total consideration is GBP 985 million paid in cash at closing. This is split GBP 785 million for the acquisition of the business and GBP 200 million in relation to a 25-year licensing agreement, granting Siemens access to relevant aero-derivative gas turbine technology for use in the energy sector.

Siemens is acquiring our business with the intention of growing it. They will provide financial stability and additional scale and resources to drive growth. For us, it will provide the opportunity to concentrate on our Marine & Industrial Power Systems businesses in the areas where we can add most value. It will also provide additional capital to invest for our future growth.

Now switching to the key salients of the deal. We're selling a majority of Oil & Gas and Power Generation business. The sales to Siemens have 3 key elements to it. The GBP 785 million sale of our Energy aero-derivative gas turbine and compressors business, a GBP 200 million IP license for 25 years to provide the relevant aero-derivative parts and technology and supply agreement covering transition arrangements, supplying parts to Siemens until they transfer. Included in the sale is our joint venture with Rolls Wood Group, which provides maintenance and overhaul and repair services in the Oil & Gas sector. Excluded from the sale are some of our smaller power-generating assets, our 7 Trent power stations in the U.K., our Trigno power station in Italy and our fuel cells business.

The deal has been approved by the boards of Rolls-Royce and Siemens. The transactions are 13.7x multiple and compared favorably with other transactions in the sector. The transaction is expected to complete by the end of the year, but it's subject to antitrust and other regulatory approvals.

Finally, just some further details on the business being sold. Full year revenue last year for the business being sold was GBP 871 million and profit of GBP 72 million. There's a difference of reported full year segment profit of GBP 26 million due to a range of central allocations, other costs and, of course, the businesses that we haven't sold. The business being sold is about 2,400 employees and operates from 30 sites across the world, the main locations being the U.S., Canada, U.K. and Brazil.

With that quick summary, I thought I'll just open up to the -- to questions-and-answers of any of our investors and sell-side may have.

Question and Answer

Operator

[Operator Instructions] Okay. Our first question is from the line of Jeremy Bragg at Citi (sic) [Redburn Partners].

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

I wanted to ask a bit about the gap between the 26 and the 72. I understand what it is, but it's got a big gap. And can we assume that if central costs are commensurately lower because you're disposing a business, which consumes some time [indiscernible]? You know that you'll lose that 46 at some point or should we literally be thinking about taking 72 off profit from now on, which makes -- I don't know if makes sense?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I think there are a number of components just to think about from what we reported to what we've actually sold. There's obviously the businesses that we haven't sold. They tend to be the less mature ones where we're investing, so they've typically been a drain on, particularly Oil & Gas segment, which has been the profitable part of the Energy business as I've outlined on a number of occasions. But that make up -- makes up really 4 things. The businesses we haven't sold, central allocations and again, a number of those as we look across the headcounts, they're not insubstantial. There are a number of one-offs in there. And of course, that makes the moving pieces of -- that makes it up effectively. So that's -- I don't think you could -- I don't think you should assume that the 72 of the profit going forward. But of course, we haven't given 2015 guidance yet either so...

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

And you might give an indication of that at the Investor Day? Or do you want [indiscernible] results, please?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I think we'll give it when we are ready. Obviously, the Investor Day went fine, provided a little bit more color on the number of things as we've outlined in the communication we've given you. I mean, obviously, in the case of the Energy business, until we're ready, until the deal has completed, I think we just need to sort of weigh up and see where we are, sort of the timing of it will also affect a number of things as well.

Operator

Our next question is from the line of Robert Stallard at RBC.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

First of all, I was just wondering if you could touch on the -- any other disposals you might have planned. Are you looking to get rid of some of these smaller, non-core businesses while going forward?

Mark Morris

Former Chief Financial Officer and Executive Director

I mean, we generally don't talk about our disposals and M&A until we're ready to. I think it's fair to say that when we look at the small ones, we're being quite clear in stating where we're looking to focus.

The industrial sites that we talked about and haven't sold really are standalone and not part of Siemens' strategy. And at the right point, I think it's likely that we will look to dispose of those. Fuel cells is an option. I mean, it's a relatively low amount of investments. And of course, civil nuclear, which is the other larger part, is clearly an area that we are looking to grow.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Okay. As a follow-up, I was wondering if you could let us know if you've been exploring the sale with other potential buyers or was Siemens the only people you're talking to?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, the deal with Siemens has been running on for a number of months. Certainly, in -- we've had a number of discussions with other parties in connection with this transaction. But Siemens for us was the preferred candidate and provided certainly the greater synergy, scale and confidence in getting best value for both of us and, we believe, for the future of the Energy business.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Okay, and maybe just a final technical one. How do you expect to present this in the half-year results? Is it going to be discontinued?

Mark Morris

Former Chief Financial Officer and Executive Director

I think it depends where we are as it -- that we've been asking ourselves internally. It will depend where we are in the transaction, as to whether it can be assets and disposal held for sale. And that really depends on where we are with regulatory approval and various other things. So the short answer is I'm not quite sure yet.

Operator

Our next question is from the line of Zafar Khan at Société Générale.

Zafar Khan

Societe Generale Cross Asset Research

I was just unclear on your answer to Jeremy's question regarding the difference between the underlying profit you've given us from the GBP 26 million reported. That GBP 46 million loss, or the implied loss, how is that looking this year? Are those businesses still losing sort of that much money or are they on an improving trend?

Mark Morris

Former Chief Financial Officer and Executive Director

Look, like I said, there's a number of things. I'm not, sort of, going to breaking each one out, but there are a number of one-offs. And obviously, because they're one-offs, we wouldn't expect them to rematerialize. There are a number of associated central allocations, which obviously as we strip those down and those will start to vanish, whether we can get all the stranding costs out is something we're looking at. But obviously, there'll be a big focus on that. And on the other businesses, we don't break them down at that level. But obviously, there is focus on making sure they get their costs down and their margins up. And obviously, our civil nuclear business is an area where we continue to invest.

Zafar Khan

Societe Generale Cross Asset Research

Okay. And on the fuel cells, this is the stuff that came into Tognum or is it the venture you had with Singaporeans?

Mark Morris

Former Chief Financial Officer and Executive Director

No, it's a venture we had to the Singaporeans.

Zafar Khan

Societe Generale Cross Asset Research

Why is it [indiscernible] I was under the impression that you've sold most of that to the Singaporeans.

Mark Morris

Former Chief Financial Officer and Executive Director

We have. We still have a holding in it, though.

Zafar Khan

Societe Generale Cross Asset Research

I see, okay. And these industrial sites, are this essentially sale and leasebacks, if you like? Are these where you've installed your kit and the customer is actually just paying you? You own this, but they're paying you rentals, something like that. What are they?

Mark Morris

Former Chief Financial Officer and Executive Director

Effectively. I mean, that they are a legacy, Zafar, from when we were much more on that business. We had a venture many years ago called Rolls-Royce Power Ventures.

Zafar Khan

Societe Generale Cross Asset Research

That's right. I remember that.

Mark Morris

Former Chief Financial Officer and Executive Director

Owned and operated. These are a number of sites and, of course, you will recall that at the time, when the industrial trend was in its early days, we had a number of operational problems, which meant that we have to continue owning them. But certainly, as we look forward, at some stage, we will look to dispose of those assets already.

Zafar Khan

Societe Generale Cross Asset Research

And the bulk of those, as you say, they're in the U.K., are they?

Mark Morris

Former Chief Financial Officer and Executive Director

They are. They're all in the U.K. There's 7 of them.

Zafar Khan

Societe Generale Cross Asset Research

And how much NAV is allocated to those?

Mark Morris

Former Chief Financial Officer and Executive Director

Sorry, how much?

Zafar Khan

Societe Generale Cross Asset Research

What's the kind of asset values are these in the books?

Mark Morris

Former Chief Financial Officer and Executive Director

Off the top of my head, I don't know, Zafar. We can get that for you. Don't worry.

Zafar Khan

Societe Generale Cross Asset Research

It's not a critical element, but the 905 gross assets that you're selling...

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, just...

Zafar Khan

Societe Generale Cross Asset Research

You mentioned that was gross. What would be the net? You're selling some...

Mark Morris

Former Chief Financial Officer and Executive Director

It's about -- it's a peculiar number, but we're required to put it in because it's a Class 2 test. The net assets are around about GBP 600 million.

Operator

Our next question is from the line of Harry Breach at Westhouse Securities.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Just a quick couple of questions. Mark, can you just give us a little bit more color on the retained businesses? I'm assuming that over time as you mentioned, given the legacy of the early industrial Trent, that hopefully, they've been improved and cleaned up to some degree. Are they in aggregate, the retained businesses, profit-neutral or profitable?

Mark Morris

Former Chief Financial Officer and Executive Director

No, I think -- let's just be clear. The biggest parts to retain business is the civil nuclear business, and we are continuing to invest for growth in that area. And our civil nuclear business really encapsulates sort of 3 elements: instrumentation and control, nuclear engineering services and newbuild and/or components for newbuilds, to be a lot more precise. We have an established I&C business, instrument and controls business that makes a profit. Engineering services is sort of -- as we invest and move this from sort of profit to small losses and the newbuild is very much an investment phase at the moment. But I mean, these numbers are pretty small in the grand scheme of things, so we just still to drive -- put this all into context. The other businesses, that the 7 sites, I mean, in terms of whether you said they're pretty small, and I said we're getting them ready for sale at some stage. I mean, fuel cells is what it is. It's really an option for us. We've diluted down our shareholding and possibly [indiscernible] some exciting technology, and sort of solid oxide fuels really the processes involved -- the chemical processes involved, they're not our strong point, which is why we brought in LG where they have some more expertise in that area.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Great, that's very helpful. And can I just go off roads for a minute? Yesterday, you announced, together with Weir, a joint venture relating to frac systems. Can you just give us a little sense of how much

revenues Rolls-Royce Power Systems made in that area last year? So we can also have a sense of sort of where or what base that's coming from, which hopefully, the new joint venture will build upon.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I mean, I think we're very excited about the new joint venture, and I think it just highlights how we are looking to create our focus around, obviously, our 2 main technology platforms, the gas turbines and reciprocating engines. I mean, we're very pleased with our investment in Rolls-Royce Power Systems. This just highlights the growing market in frac-ing and how we can leverage those positions with our other equipment suppliers, so we see a big market there. I haven't got to hand exactly the related stuff that we've had on power systems in relation to frac-ing previously. But again, they're numbers we can get you. I just haven't gotten back [indiscernible].

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Mark, if I can just follow that a bit -- is there any way you can give us a sort of sense of how the new joint venture sees the annual market opportunity for these frac systems?

Mark Morris

Former Chief Financial Officer and Executive Director

The short answer is when we are ready to do so, we will provide that. I mean, it's early days. Obviously, we're not one to be bringing on this combination of things till about 2,000 and -- '15, '16, was it? -- so it's early days. But we see, as CapEx starts to rise in that area, which is again the sort of signals that we're starting to see, we do see great prospects for it. So early days yet for me to start giving you some numbers, Harry.

Harry William Freeman Breach

Stockdale Securities Limited, Research Division

Okay, I appreciate. It'd be great if you guys can keep us in or give us some sense of that at some point going forward because I knew it's something that we'd like to keep an eye on broadly.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay.

Operator

Our next question is from the line of Nick Cunningham at Agency Partners.

Nick Cunningham

Agency Partners LLP

Yes, probably a fool to be -- to ask some technical ones towards the end of the process. Are there any balance sheet implications beyond just the disposal proceeds? Is there any cash or debts associated, any significant move in the working capital? And then a further, a P&L question, is the GBP 200 million, which is associated with the IP license treated in any way separately, was that just got accounted as part of the lump disposal proceeds this year?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. 2 questions, Nick. The first question is, I mean, yes, there will be some working capital movements as we get to the end, but we don't think they can be particularly material in terms of the movement. On your -- sorry, so the limited balance sheet implications. On your second question, yes, in relation to the IP and some parts of the supply chain agreements, there are -- there is an element of the profit that will be deferred, so there will be a profit of disposal and continuing profits over time.

Nick Cunningham

Agency Partners LLP

And will those be treated as disposals profits, i.e., generally ignored for underlying EPS? Will it be included in EPS?

Mark Morris

Former Chief Financial Officer and Executive Director

Profit on disposal for the proceeds will be non-underlying, obviously, in the sense that we'll see those as disposal. And the other stuff will be an underlying, unless it will be [indiscernible], I think.

Nick Cunningham

Agency Partners LLP

And any rough idea about how many years this will be spread over? And will it be all of the GBP 200 million or more than the GBP 200 million?

Mark Morris

Former Chief Financial Officer and Executive Director

No, no, no, it won't be. It's a portion of the GBP 200 million and it will run -- well, I guess, ultimately run the length of the licensing agreement but I think there are bigger announcement [ph] in the first 10 years. Because it relates to the -- it relates also to the supplier arrangements as well. And again, as they transition, that will come down so it gradually reduces. But there'll be, obviously, a tail that reflects the licensing term.

Nick Cunningham

Agency Partners LLP

Sorry, just from a forecasting point of view, will you be able to, at any point, give us some sort of indication what the scale of that will be in the sort of the nearer term?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. So I think we can give you the scale of that later on, yes, when we do get to concluding the deal, yes.

Operator

We now go to the line of Andy Chambers at Cantor Fitzgerald.

Andrew Chambers

Cantor Fitzgerald Europe, Research Division

Sorry, Mark, I just wondered if you might be able to give us some help on the visibilities on the nuclear and how you see that developing in terms of orders starting to come through over a time frame until what moment? So you've been investing for several years now and it's sort of one of those things that's going to happen tomorrow. But I'm sort of lost track as to when you actually expect to start see some activity coming in from the U.K. market.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I mean, I think just to put it in context. I mean, our investment in the civil nuclear business runs around sort of GBP 15 million to GBP 20 million a year typically and sometimes less. Again, when I talked earlier about the 3 elements to it, the I&C business is a bit consistent in making profits. It has a number of contracts and continuing to get new contracts, a number that are sort of in tender at the moment. Engineering service businesses -- I mean, again, there's been areas we've made a number of small acquisitions as you'll be aware of over the last 2 years, and they continue to perform well as we aggregate some of those services and provide a wide array of services to sort of -- to many of the operators and utilities. It's really the newbuilds. And again, that's a relatively slow burn. But I think in the context of

things, the investment is a minor drag for the auction value it presents to us. So I don't think the numbers are really big enough and detailed to really warrant too much deal being concerned about.

Operator

[Operator Instructions] Okay. We go to the line of David Perry at JPMorgan.

David Howard Perry

JP Morgan Chase & Co, Research Division

Can I just go a little bit off piece to the IMS last week and perhaps, it'll be helpful if you could just offer your views on the seasonality that you've guided to this year, why the H1-H2 split is more -- much more marked than usual, both for earnings and cash. If you could add some color on that and then why you're confident on the H2 rebound, that would be great.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. You are going off piece, David, because there's really a call about the sale of our Energy business. But yes, just roughly on the H1-H2 split, a number of things, higher restructuring charges, obviously, the impact on our Defense and Marine businesses on the OE in the first half of the year. Also some FX and also the R&D charge and another part through also risk and revenue sharing partners. There's a number of moving elements, which when we get to the half year, I'm sure we will explain in more detail. But again, as we signaled very early on and again, we've signaled to the IMS, this year was going to be a more peculiar year than usual in terms of the loading because of those reasons that I've given you.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay, and so that's on the earnings. And on the cash, where it looks like there are sort of GBP 600-odd million outflow in H1 if I recall, and then a huge inflow sort of 1.4 or something in the second half. Can you just explain the reasons for that, please?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, a lot of that relate to the things I've just given you and at some loading on revenues sort of H2 and particularly, in our sort of mixed businesses. That's what's driving it. But again, we'll come to that, David, when we get to the half year.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay. But for now, you feel comfortable with your full year guidance. I mean, there's an unusually large amount you left yourselves to do in the second half and obviously, you have far better visibility than we do.

Mark Morris

Former Chief Financial Officer and Executive Director

Nothing's changed since the IMS I gave, whatever it was, over a week ago.

Operator

[Operator Instructions] We go back to the line of Jeremy Bragg at Redburn Partners.

Jeremy David Bragg

Redburn (Europe) Limited, Research Division

Just one follow-up. Sorry, it's a point of clarification. But the GBP 200 million that you received from selling this business as part of the technology deal, did you get that in one go? Or is it -- it's put out? I'm sorry if this was what I'm asking.

Mark Morris

Former Chief Financial Officer and Executive Director

The GBP 200 million cash receipt is received at closing.

Operator

At this stage, there seem to be no further questions in the queue. So gentlemen, may I please pass the call back to you?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Well, thank you, everyone, for attending. We are very pleased about the transaction. Obviously, we need to go through the usual Reg financing trust approvals, but we will -- hopeful that we will have more to say before the end of the year. And we look forward to catching up with you on the 19th of June, if not before. Thank you.

Operator

This now concludes the call. Thank you, all, very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

Fixed Income Call

Thursday, February 13, 2014 2:00 PM GMT

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Mark Morris

*Former Chief Financial Officer and
Executive Director*

ANALYSTS

Nick Macdonald

Paul Brennan

Presentation

Operator

Hello, and welcome to today's Rolls Royce Holdings PLC 2013 Full Year Results Fixed Income Conference Call. [Operator Instructions] Just to remind you, this call is also being recorded. Today, I'm very pleased to present Mark Morris, Chief Financial Officer. Mark, please begin?

Mark Morris

Former Chief Financial Officer and Executive Director

Thank you, and good morning, good afternoon, good evening, wherever you are. I thought I would just provide quickly some key messages on 2013 progress and a couple of highlights, and then open it straight to questions on the ground. So I'm sure you've seen the press release or maybe have heard or seen the presentation.

So just some quick key messages. 2013, good progress for us. Order book up, revenue, up. Profits all grew. Our focus remains on the 4 Cs of customer: concentration, cost, and cash. Our cash performance all for the year was also very pleasing, ending with GBP 359 million including Tognum, or GBP 312 million excluding Tognum. It's also the upper end of our guidance.

Of course, you'll recognize that Tognum, or Rolls Royce Power Systems, as it's now known, was consolidated for the first time last year. And that's made some of the comparisons in our results a little bit more complicated on a like-for-like basis. And we've broken that out where appropriate, to try and make that easier for you.

It's just worth remembering that we are a high technology power systems business, and we invest in 2 strong technology platforms, being gas turbines and reciprocating engines. And those products take us to the various markets in which we play: Civil defense, energy, marine and industrial power.

I guess it's just worth highlighting, given all the press on Scylla. Just to be clear, talks have ended. We still aim to grow our reciprocating engine business, but I think that's all I want to say on that. And then in terms of the guidance for 2014, what we've been keying to try and point out that this is a pause for growth before growth resumes in 2015.

In terms of the progress, order book was up 19% to GBP 72 billion, and that gives us great visibility. About GBP 60 billion of that is civil business, predominantly Trent engines. Revenue was up 27% to GBP 15.5 billion, 6% excluding Tognum. Profit before tax was up 23% to GBP 1.8 billion, or plus 11%, excluding Tognum. And margins, 11.8%, or 12.1%, excluding Tognum.

Now in terms of our 4 Cs. Customer. On-time delivery improved, which has been really, really great work from our civil, large and our -- particularly, our corporate private jet business as well. The trend XWB powered A350 has done its first flight, and there's now over 1,600 current XWB sold. Our first environment ship on the marine side set sail with Holland engines and propulsion, reducing CO2 emissions by 40%. And the MT30 and MTU power packs have been selected to power the U.K.'s new type 26 frigates.

Cost. At a group level, the pace of progress has been slower than we would have liked. Aerospace actions have been taking time to feed through. But we are, in terms of the new efficient factories that we're getting, we still not -- haven't got the benefit of the ramp-up, so we've got some, what I'll call, under recovery occurring there. A lot of work going on with our supply base and low-cost country sourcing. And it's a continuing journey, but it just takes a little more time because in most cases, when we design or manufacturing new parts, it requires us that be recertified and of course, that takes time. But we've made good progress in our Marine and Energy and Power Systems business on unit cost reduction.

But more to do. On cash, like I said, I was pleased with cash performance. It reflects basically flat working capital on a higher volume, improved inventory turns, rising from 3x to 3.4x. And it signifies, really, that

we're starting, along with meeting our deliveries on time, that we're starting to get the process better as the volumes start to ramp up.

On concentration, which we really refer to is where we invest and where we choose not to invest. As I sort of laid out before, we continue to look at how we grow our gas turbines and reciprocating engines. We made a number of smaller acquisitions last year, predominantly technology acquisitions, which are really sort of CapEx stalled, but these are continue little Phillips that we fill in to ensure that we get the technology or additional products or routes to market.

Guidance for 2014. As we've said, flat revenue and profit with cash flow similar to last year. And I think just a bit of an explanation, and I'm sure most of you have this already. And it's being predominantly driven by our Defense business, which we are guiding as being sort of 15% to 20% down lower on revenues and profits. I think it's just worth putting this a little bit into context. In some respects, we've had 2 record years in Defense, when in some respects we sort of defied gravity a little to the rest of our -- of the market trends. And what we will see from the drop predominantly in OE, original equipment, is a rebasing in 2014 back to about 2010 revenue levels from which we will start to grow again. So in summary, good progress in 2013. Mixed progress on costs, but good progress on cash. And 2014 is a pause before growth resumes in 2015. And with that, I will open the floor to questions.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Nick MacDonald at Barclays.

Nick Macdonald

I just wanted to ask in light of the acquisition news at the start of the year, whether you'll be able to provide any more detail with regards to your financial flexibility within the current rating. And if you were to pursue sort of large deals, whether you'd be keeping the current rating or making efforts to keep the current rating that you have at both S&P and Moody's at the moment?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. As I've affirmed this morning, and we'd always say almost every time we do some results. Look, we are a company that is committed to maintaining a strong investment-grade credit rating. It's more than just a sort of nice academic thing for management. This is a long-term business that has quite big capital cycles. More importantly, our customers, be they governments or airlines, or various other customers around the world, marine customers, where we enter into long-term contracts, sometimes 10, 15, 20 years, or some of our big airframe customers, they want to know that we're going to be around. So it's a position that we certainly ensure that we want to commit to. And what I would say is what you're driving here, really, is what is our sort of capital allocation process and thought process. When you think around that, maintaining a rating, obviously, start to define the source of leverage that we can take the cycle. And I sort of won't really go any further than that. In terms of M&A, of course, we don't comment on any M&A type of activity for obvious reasons.

Operator

Our next question is from the line of Paul Brennan at Guggenheim Partners.

Paul Brennan

Could you please confirm your liquidity position? On your balance sheet you have GBP 4 billion in cash, but you mentioned -- I saw in the press release that cash availability is GBP 1.9 billion. Also, could you please confirm the total amount of revolvers on the current availability, please?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. So in total, liquidity at the year end was about GBP 5.5 billion, which comprised of net cash of GBP 1.9 billion and facilities of about GBP 3.5 billion. Some of those -- there's about GBP 1 billion in terms of a revolving credit facility, the rest is capital markets debt.

Paul Brennan

And what's the minimum liquidity that you think you need for operating purposes on an ongoing basis?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, we don't divulge that externally. But certainly, sufficient to ensure that we don't have unnecessary calls on cash that we can't fund.

Operator

[Operator Instructions] Mark, there seems to be no further questions in the queue. May I please pass it back to you to close.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Well, thank you very much for attending and listening. We look forward to talking to you at the next interim results. Thank you.

Operator

This now concludes the call. Thank you, all, very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR.

FY 2013 Earnings Call Transcripts

Thursday, February 13, 2014 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2013-			-FY 2014-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.67	0.66	▼ (1.49 %)	0.72
Revenue (mm)	15294.55	15505.00	▲ 1.38	15981.50

Currency: GBP

Consensus as of Feb-13-2014 8:07 AM GMT

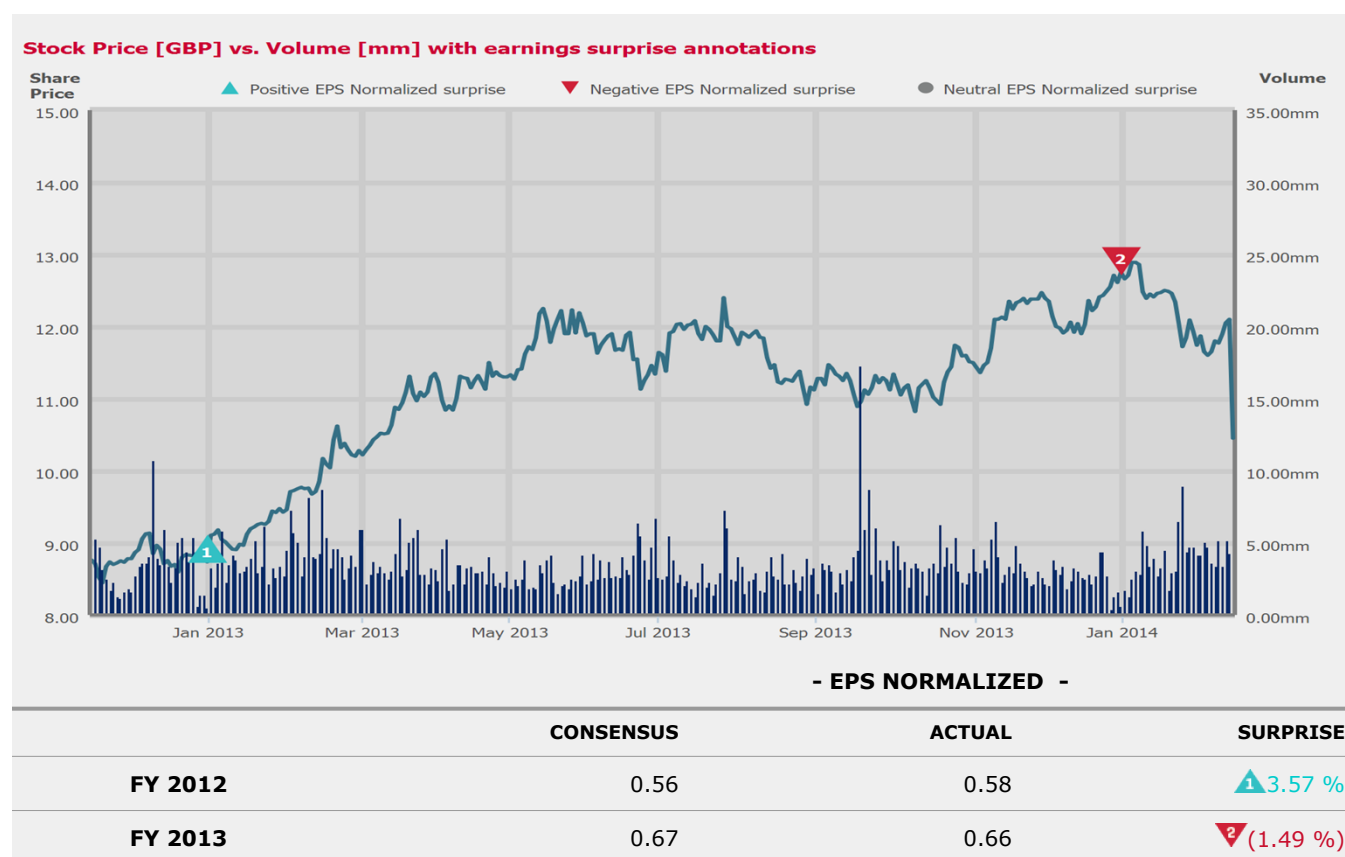


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James M. Guyette

*Former Chief Executive Officer of
Rolls-Royce North America Inc and
President of Rolls-Royce North*

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*Former Chief Executive Officer and
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Mark Morris

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Nick Cunningham

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*Deutsche Bank AG, Research
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Zafar Khan

*Societe Generale Cross Asset
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Christian A. Laughlin

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David Howard Perry

*JP Morgan Chase & Co, Research
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Edward John Stacey

*Haitong Bank S.A., Research
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Presentation

John F. Rishton

Former Chief Executive Officer and Executive Director

Good morning, everyone. It's 9:00, so I'm going to suggest that we start. Thank you for joining us today. Let me start by introducing my colleagues from the board. Mark Morris, Chief Financial Officer; Colin Smith, Director of Engineering and Technology; and Jim Guyette, President, Rolls-Royce North America. I'm pleased that we are joined by our Chairman, Ian Davis, who is in the audience. I said that rather hesitatingly because I haven't actually seen him this morning. I'm pleased that we are not joined by our Chairman. I think our Chairman, Ian Davis, is going to be here. For those of you who haven't met him, you know that we replaced Simon Robertson, since Simon Robertson retired last year, and Ian Davis replaced him. I know that he'll be joining us shortly. And what I would suggest at the end of the presentations, Q&As, you don't all flock around me and Mark. Ian Davis, our new Chairman, who is not here, well, is the person you really want to speak to.

So I'm going to give you an overview of our performance in 2013 and provide some longer-term context, and then I'm going to cover guidance for 2014.

This forecast of pausing growth for reasons that are particular to this year, and I'm going to spend a few minutes explaining them. Mark will then talk you through the numbers, and then we'll have a Q&A.

So let's start with 2013, which I would describe as a good year with plenty of positives and, as always, some areas where we need to improve. This performance required a great deal of hard work by our staff and by our partners and suppliers, so I would like to thank everyone who contributed to these results.

I suggest that the first number on this slide is the most important one. Our order book increased by 19% to GBP 71.6 billion or up 16%, excluding Tognum, that is now being renamed Rolls-Royce Power Systems, a division that also includes Bergen. This record figure confirms our trajectory for significant long-term growth and demonstrates the confidence that our customers continue to place in our technology. The book includes orders for more than 1,600 XWBs, our best-selling Trent engine. But of course, that is in the future.

Group revenue was up by 27%, 6% excluding Tognum. Profit was up 23%, 11%, excluding Tognum. The 13% increase in payment to shareholders reflects the belief we have in the fundamental strength of the business, as well as its future prospects.

I hope by now you are familiar with the 4Cs that provide the focus for our business: Customer, Concentration, Cost and Cash. Each of these is a journey rather than a destination, and our mindset needs to be one of continuous improvement. On Customer, we've made big improvements, with plenty more to do. To give you some examples, in 2013, we achieved 100% on-time delivery in civil large engines for the first time ever, the first time ever. By the end of the year, our corporate and regional jet business also achieved a 100% on-time delivery. And in Marine, delivery was 96% on-time, up from 55% last year and just 10% 2 years ago.

There has also been progress on quality. With Airbus, one of our most important aerospace customers, registering improved quality metrics. And BP, a major customer in our Energy business, now placing us among their most highly-ranked suppliers.

Tangible progress on quality and delivery strengthens customer relationships and makes discussions about future business much easier. It is also an essential first step to achieving better financial performance, as delivering product on-time and at the right quality reduces inventory and lowers costs.

I am delighted with the progress on our biggest program, the Trent XWB, that has completed more than 200 test flights and more than 6,000 testing hours. The engine is performing well and will power the Airbus A350 into service later this year.

Concentration means deciding where to invest for future growth and where not. I am completely clear that we need to stand on 2 strong legs, and that requires continued investment in both of our technology platforms: Gas turbines and reciprocating engines.

We clearly have a strong Civil Aerospace business that is already assured of substantial growth. In 3 years time, we will be producing twice as many Trent engines as we are today. So while we need to keep investing in gas turbines, and we also -- we'll also look for opportunities to expand in reciprocating engines, both to maintain balance in our portfolio and to generate the cash required in the much longer-cycle gas turbine business.

Back in 2011, we invested in Tognum to add scale, reach and capability to our reciprocating engine business. This is an important business and has proved a good investment. I spend a good deal of time there, most recently last week. I had been extremely impressed by Tognum's quality of management, customer insight and high-speed engine technology.

It will not have escaped your notice that we also entered preliminary talks about the acquisition of Wartsila. This would have added to our portfolio of medium-speed engines, with applications in marine and land power. On January 9, we announced that these talks have ended. We aim to strengthen our medium-speed engine portfolio, and we will continue to look at options to achieve that.

Turning to Cost. You have heard me say before but it's worth repeating. The Aerospace industry is, quite rightly, strictly regulated. That means it takes both time and tenacity to drive cost out from the business. And you will not be surprised to hear me say that we are not where we need to be.

But while the pace of change may be slower than we would like, there are a number of areas where progress is being made. We have reduced indirect headcount by 11%, beating our own target of 10%, with more to come from the current year. Unit cost is down in Marine, Energy and Power Systems, although slightly higher than our Aerospace divisions. We are building new, more efficient facilities and capacity that will support a doubling in production of Trent engines. We are moving production away from high-cost countries, negotiating to -- we are improving productivity and designing cost reduction into our engines.

Our cash inflow was GBP 359 million. We have a great full focus on inventory, so it's good to see stock turns improving from 3x to 3.4x. There's more to do, but by way of context, this is among the largest 1-year improvement recorded and the highest stock turn we have yet achieved.

All of these actions will develop -- deliver benefits in time. So overall, we've made headway on the 4Cs, and these are the areas where I will continue to focus.

Because this is a long-term business, to understand it properly, you need to take a long-term view, looking back as well as forward. So for example, in 2003, it is interesting to note that revenue fell by 3%. But taking the long view, you can see that revenues have almost tripled in a decade since. Profit growth over the same period has been even stronger. And of course, the order book, that has quadrupled, now stands at record levels, underpinning growth for years to come.

So we turn to 2014, where we've guided for flat revenue and profit. This is a break in a 10-year trend that will be followed by a return to growth in 2015, so it requires some explanation. Let's look at revenue and profit in turn.

On revenue, there are 2 main drivers: first, after 2 years of impressive growth, we will see Defence revenue decline by between 15% and 20%. This will take revenue from its current record back to 2010 levels. Growth will return in 2015. This 1-year decline is the consequence of well-publicized cuts in defense spending among major customers and completion of the delivery phase of 2 important export programs. The \$1 billion multi-year agreement announced yesterday with Lockheed Martin to supply nearly 600 engines for Super Hercules aircraft underpins our confidence that growth will resume from a new base in 2015.

Second, the largest part of our Marine business offshore will not produce the growth we've seen in 2013. This is because customer investment decisions are being deferred, and I do believe that they're being

deferred rather than lost. In terms of profit, Defence profit down 15% to 20% clearly has an impact, but we also find ourselves fighting headwinds of lower capitalization, lower entry fees and negative foreign exchange, alongside higher restructuring costs that will produce cost benefits in the future. The combination of these events produces a result for 2014 that goes against the long-term trend. But for the reasons I explained, and supported by our record order book, we remain confident that this is a pausing growth, not a change in direction.

So in summary then, 2013, a good year with a healthy increase in order book underpinning long-term growth. The 4Cs, a big improvement on Customer, Concentration, making sure we have 2 strong legs to stand on. Cost, not good enough despite encouraging progress in places; Cash, an increase in stock turns and a cash inflow. 2014, a pause before growth resumes in 2015, as our Defence business rebases and as orders in Marine Offshore take longer to come through.

Now Mark will take you through the numbers.

Mark Morris

Former Chief Financial Officer and Executive Director

Thanks, John, and good morning to you all. I'm going to talk about the group highlights and business performance, and then I'll move on to provide some guidance for 2014.

You will recall, for most of 2013, we guided Tognum separately to the rest of the group. Today, we have split out Tognum so that you can make the right comparisons in our key metrics. As usual, I'll restrict my comments to the underlying performance.

So as John says, 2013 has been a good year for the group, with some mixed performances in our businesses. As I step back and look at the progress that we've made in some of the key areas, such as on-time delivery, inventory and headcount reductions, I'm really pleased. But there are some areas like unit cost where progress has been slower than I would've liked, and we'll touch upon those areas in just a moment.

But first, looking at the financials for 2013. We've made good progress with growth in the order book, revenue and profit, and generated a cash inflow of GBP 359 million. The order book stands at a record GBP 71.6 billion, having grown 19% during the year, with a record order intake of GBP 27 billion. This includes a GBP 2.55 billion order intake from Tognum and GBP 18.9 billion from our Civil business, and reflects a very successful year for our Trent XWB program.

Our order book provides good visibility of future growth and underpins our confidence to invest. Order cover for 2014 is around 75% and similar to last year. Revenue increased 27% to GBP 15.5 billion, GBP 2.6 billion of that was Tognum. The remaining 6% increase reflects 7% growth in OE, with good revenue growth in Defence and Marine and a 4% growth in services. Profit is up 23% to GBP 1.8 billion, including GBP 180 million from Tognum. 11% growth, excluding Tognum, reflects strong margin in Defence, the benefit of IAE restructuring and a lower R&D charge.

These positives have been partially offset by price pressure in our Marine business and slow progress on cost reduction in our Civil business.

Tognum did well in a challenging environment. The management team demonstrated strong market insight, calling the market exactly right and hitting guidance. Remember that Tognum's profit contribution to the group reflects transition from a joint venture in 2012 to full consolidation in 2013.

I'm pleased with our cash performance, particularly the improvements we've made in inventory turns rising from 3x to 3.4x, excluding Tognum. We've had a good flow of deposits, and overall, broadly flat working capital and higher volume. We still have more work to do on working capital, and I'm confident we can get our inventory turns even higher. Finally, we've increased the full year payment to shareholders by 13% to 22p, reflecting our confidence in the business underpinned by our record order book.

So now let's turn to the key components of profit growth. Our trading performance was mixed. The benefit of volume growth this year has been eroded predominantly by higher cost in Civil, price pressure in Marine and a number of one-offs. I will talk about these items as we go through the segments.

The year-on-year benefit of the new trading arrangements with IAE, which you will recall was effective from the end of June 2012, was around GBP 112 million. On entry fees, you will remember that the half year, the year-on-year increase was GBP 76 million, and some of you may be surprised to see only GBP 26 million today. We have changed our accounting policy to match our policy for capitalized development costs, so some of those entry fees have now been deferred.

You'll see the impact of this accounting change when we look at our Civil results, and you can find all the details on this change in Note 1 of the press release.

On R&D, although we spent slightly more in 2013, our R&D charge was down by GBP 56 million. This was primarily because we started capitalizing the XWB development costs following certification. This will reverse in 2014 as the XWB enters service, and we continue to invest in R&D, so you can expect a higher charge in 2014. Restructuring costs increased by GBP 37 million to GBP 54 million, reflecting indirect headcount reductions and facility consolidations that will improve our future financial performance. This will continue in 2014. You can expect a similar increase in restructuring charges as we drive down costs.

Turning now to cash. I'm going to pick out the major themes in this chart, which you're all familiar with. Net working capital improved slightly, reflecting a good second half performance on inventory and higher deposits from our growing order book. We've made good progress on inventory, and we will build on that success again this year. For 2014, the phasing investments and trading will be weighted towards the second half, so expect a cash outflow at the half year. CapEx in software was GBP 650 million, and included major projects such as new test beds in the U.S. and Germany, new blade and disc facilities in the U.K. and U.S. and a new test and assembly facility in Brazil.

The remaining balance of our GBP 400 million relates to higher development certification and recoverable engine costs. We expect CapEx to be flat in 2014. So the result is a free cash flow of GBP 669 million prior to the payment of dividends. Our focus will be to further improve working capital as we drive inventory turns up. As I said earlier, we are pleased with our cash performance, GBP 312 million, or GBP 359 million including Tognum. Our Tognum cash flow of GBP 47 million is after paying a GBP 60 million dividend to our joint venture partner, Daimler.

So turning to the Civil businesses. Our Civil business has seen strong order intake, confirming the confidence our customers have in our technology and products. Our biggest program, the XWB, is performing well and will go into service in the fourth quarter of 2014.

Revenue increased 3%. OE growth of 3% reflects a 20% increase in business jet engines, and a small increase in Trent deliveries. This was suppressed by Trent 1000 launch pricing and lower V2500 revenue, mainly as a consequence of transferring more parts to Pratt & Whitney. Aftermarket revenue increased 3%, slightly lower than a 5% growth in the installed thrust. This reflects a 20% decline in RB211 revenue, as these engines retire or fly fewer hours, resulting in fewer shop visits and part sales.

Now turning to profit, which increased by 14%. This reflects a number of things: Higher volume; the benefit from IAE; a lower R&D charge, as we capitalize XWB costs; and higher entry fees, although this benefit was reduced by our new accounting policy. The improvements were offset by higher unit costs and costs to support the XWB's entry into service.

On unit cost in Civil, the performance in the year has been slower than we would've liked, but we are confident that the actions taken in 2013 will yield savings in 2014 and beyond. Changes in design and manufacturing require certification and new tooling, and this takes time. A number of our new factories are not yet running at full capacity. But we know that fixed cost absorption will improve as production ramps up.

Let me give you an example. In our Singapore facility last year, we produced 41 engines. In the next few years, production capacity will be over 200, so fixed cost absorption will improve.

We're also working hard with our suppliers to drive down costs. We've had some successes in 2013, and there will be more this year. So there's a lot going on, and cost remains an area of intense focus that we are actively addressing on a number of fronts.

Looking ahead to 2014 in Civil, we expect modest growth in revenue and good growth in profit. Revenue growth will be tempered by fewer business jet engine deliveries, having come off a record year. We also expect launch pricing and RB211 retirements to further dampen growth. Revenue will return to higher growth levels in 2015, driven by significant increases in Trent engine deliveries, including the XWB. The profit growth will reflect the cost reductions I've just talked about and volume growth after taking account of lower R&D capitalization and lower entry fees.

The TotalCare net debt has increased by around GBP 270 million, reflecting a combination of linked sales and engine overhauls. You can expect a similar increase in 2014. Many of you have asked about TotalCare accounting, and we'll be doing a briefing session this year at Farnborough.

So to summarize in Civil, a good year, especially on new orders. On cost, progress has been slower than we had hoped, but there has been a lot of activity which will begin to flow through this year.

Now let's take a look at Defence, which had a good year. Revenue was up 7%, and profit increased 11%, driven by strong exports of EJ200 and Adour engines and lower R&D spend.

Services revenue grew just 2%, reflecting lower flying hours and some retirements of older C-130Js. Our 2013 performance in a tight budgetary environment sets a high bar for a 2014 comparison. Against the background of a declining order book and the completion of the delivery phase of a number of our major export programs, we expect a 15% to 20% decline in revenue and profit in 2014. This reflects lower deliveries of engines to power the C-130Js, V-22 Ospreys and the Typhoon, as well as fewer Adour kits.

As always, it is important to put this into perspective. We've had 2 good years of revenue and profit growth that outperformed the market trend. For 2014, our guidance essentially brings us back to around 2010 revenue levels before revenue grows again in 2015, and demonstrates the scale and the opportunities that still exist. Even with the revenue reduction, we still expect to maintain broadly similar margins in 2014, as cost reductions kick in.

So moving on to our Marine business. Marine had mixed results in a tough environment, with good revenue growth of 12%, offset on the profit side by price pressure.

The order book grew 1%, reflecting lower order intake, particularly in Offshore and submarines. Competition remains tough in both Offshore and in Merchant. There is considerable bid activity, but the pace is slow on some projects because of project financing and capital expenditure phasing by some of our customers.

Our Marine business did a good job of reducing product cost by around 2% during the year, but the benefits of volume and cost reduction have been eroded by price pressure and adverse mix, particularly in the aftermarket, and infrastructure costs, as the Marine business -- rationalizes its footprint.

Looking ahead to 2014, we expect a modest reduction in revenue and modest growth in profit. Profit rises against a declining volume because of the cost reduction actions we've taken in 2013 and continued actions in 2014. We expect 2014 revenue to reduce, driven by the lower order intake in 2013, particularly in Offshore, due to deferred customer investments.

Next, let's take a look at our Energy business. We've seen good growth in the order book, with GBP 1.1 billion order intake for the year, predominantly in Oil & Gas, which provides good visibility for 2014. We have a well-established Oil & Gas business that makes up around 2/3 of the revenue, and more than all of the profit in our Energy business.

Revenue increased 9%, driven by higher OE volumes in our Oil & Gas business. Profit increased GBP 7 million, reflecting higher volumes, partially offset by pricing pressure and continued investments in our Civil Nuclear business. In 2014, we expect further good growth in revenue and profit. But as you can see, the margins remained poor in this business, and this is an area we continue to work on.

Turning to our Power Systems business. We are pleased with the contribution Tognum has made, and we are pleased with our investments. We continue to build on 2 strong technology platforms, and Tognum has added significantly to the breadth of our reciprocating engine portfolio. The chart shows the trading comparisons for Tognum. We saw good growth in the order book, with an intake of GBP 2.7 billion. Tognum had a tough first half and a good second half, exactly as we said. That strong performance in the second half was driven by sales in marine and agricultural markets, but included the effect of customers buying ahead of new emissions legislation that came into effect this year.

Revenue was broadly flat. We saw good growth in our marine and industrial markets, offset by lower revenue in oil and gas, mining and lower aftermarket sales. Profit was also broadly flat after a strong second half recovery, which is helped by unit cost reductions, too. In 2014, we expect modest growth in revenue and good growth in profit, driven by marine engines and land power systems.

Turning now to our financial strength. We are in good shape, we have good liquidity and a strong investment-grade credit rating. Our financial strength gives us flexibility and assures us our customers will be there for the long-term. As we said before, we are committed to maintaining a strong investment-grade credit rating.

So now before talking about our guidance for 2014, it's worth highlighting that we created 2 new reporting segments: Aerospace and Marine & Industrial Power Systems, which we call MIPS. This reflects our 2 strong technology platforms of gas turbines and reciprocating engines. Aerospace will comprise our Civil and Defence businesses, while Marine, Power Systems and our Energy business will now sit in MIPS. Our Energy business will now be called Energy & Nuclear and will include our nuclear submarines business, which transfers from Marine.

Now turning to our guidance for 2014, which will include Tognum. 2014 will be a pausing growth, not a change in direction. And in 2015, growth will resume. At a group level, we expect flat revenue and profit. On cash, we are guiding on a free cash flow basis, which is more consistent with market practice. For 2014, we expect free cash flow to be similar to 2013, which is around GBP 780 million.

Now looking at our guidance for each of the different businesses. Civil Aerospace, modest growth in revenue and good growth in profit. In Defence Aerospace, a 15% to 20% decline in revenue and profit. In Marine, a modest reduction in revenue and a modest increase in profit. In Energy & Nuclear, further good growth in revenue and profit. And in Power Systems, modest growth in revenue and good growth in profit.

And some additional guidance for you in 2014. We expect our cash and profit phasing to be H2-weighted, reflecting cost and restructuring initiatives underway, phasing of CapEx spend and our MIPS business, which is traditionally more H2-weighted. CapEx for the year will be broadly flat. And on R&D, expect a modest increase in spending, but a higher P&L charge as we stop capitalizing the XWB. And lastly, we expect an underlying tax rate of around 24%.

So let me close by being clear about our focus. The 4Cs: Customer, Concentration, Cost and Cash. We have GBP 71.6 billion order book. This is a concrete measure of the confidence our customers have in our products and technology. Delivering on the promises we have made is crucial, and I am pleased with the progress.

On Concentration, we have a long-term strategy that's been applied consistently over many years. We will continue to invest in our 2 strong technology platforms to deliver long-term profitable growth. As the CFO, you would expect me to be focused on cost and cash, and I am. Progress has been slower than I would've liked, and I get this. We understand that improving financial performance is key to our long-term success, and we are engaged in many cost-reduction programs. These will drive down costs as they are sustained across the business and as volume, in particular in our Civil business, ramp up.

Rolls-Royce is an exciting place to be right now. There's a great deal going on, including the entry into service of our biggest-ever program and good momentum established towards improving our financial performance.

Thank you very much for listening. And now, we'll take your questions. Thank you.

Question and Answer

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Mark. Okay. As usual, I will point, as people will go around, everyone will get a chance with the questions. If you could say your name and your affiliation before you start, and then we will take your questions. So we'll start right in front, maybe with Ben.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, Ben from Deutsche here. Maybe kick us off with a couple of questions. First one, just on part of your slide, Mark, I guess on capital allocation, but also build again maybe with your comment, John, about your desire to grow in medium-speed engines. What should we think about capital allocation, about M&A, about leverage? And about your comment about continuing to want to grow in medium-speed engines, does that mean M&A or is there organic opportunity to do that? That's the first question. I can come out with the second one, or do you want me to ask it now? I'll ask the second one now?

John F. Rishton

Former Chief Executive Officer and Executive Director

Ask it or otherwise you'll lose the microphone.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Oh, wow, shocking.

John F. Rishton

Former Chief Executive Officer and Executive Director

This may be a good idea.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

The second one is just -- and I recognize this is probably a slight delicate topic, but just on this FRC issue. Is the FRC looking into any other accounting issues? Or does this draw a line under absolutely everything, there's no other issues we should be concerned about? Just if you can update us on what's actually going on there in discussions with the FRC?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Why don't I make a couple of comments, and then ask Mark to speak on both of those topics. In terms of capital allocation, a couple of fundamentals that you're all familiar with. First of all, we think it's essential that we have a strong credit rating. We're a very long-term business and we need to maintain that. In terms of M&A, it won't surprise me even the slightest, and I'm not going to get sucked into any discussions or speculation about what we are or not doing there. We've never talked about in the past, I'm not going to talk about it today, and I don't want to talk about it in the future. So what I would say is, as we look at the business and again, it shouldn't be a great surprise, we look at it in terms of the gas turbines and the reciprocating engine businesses. We've got those 2 platforms, and they have some similar characteristics in terms of the fact that they are complex integrated power systems in the sense of an OE and an aftermarket. And they also, I think, in terms -- importantly, in terms of the balance that they bring to the group, in terms of the different nature of the financials and the industries that they're in, with shorter-cycle, longer-cycle, earlier cash generation, longer-cash generation, more capital intensive, less capital intensive. So there's a mix there that I think is important to get that balance right. In terms of the medium speed, as we look at our portfolio in Marine, which is a strong portfolio in terms of what we

can offer to Marine, an area that I think we need to strengthen is our medium-speed diesel portfolio where we are relatively small. So if you look at the medium-speed diesel, the big players, Wartsila is a big player there. And if we look at our Marine business, an attractive part of that portfolio that we need to strengthen is medium speed, and it's important in terms of pull-through of other products. How do we strengthen that? Well, as I said, there are various options there. Clearly, you're well aware that we considered an M&A approach. And as I said, those talks have stopped. In terms of other approaches, we can certainly, and we are working, Colin can comment on this, on developing engines, more engines in the medium-speed in-house, so dual-fuel engines, different medium-speed engines. So we're working on that as well. Mark, if you want to make some more comments on the capital allocation or whether you'd like to talk about the FRC?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I can -- I'll do both. On capital allocation, I think one of the main drivers will be sensitivity and desire to retain a strong investment-grade rating. I think from that, you can infer some leverage levels. I mean, there is always, a quantitative element that put on these things, but there's a qualitative element that goes in the rating agencies as well. And of course, it's important to understand that like all these things, whilst we desire to maintain a certain rating, it's not openly our gift to give. But obviously, that sits in the context of them understanding our business and what we're doing. So that's the important driver, having a strong grade -- rating for us, as you know, just because we're a long-term business and want to ensure that governments and customers know that we're going to be around to continue servicing them in sort of 5, 10, 15, 20 years time. And as John said, there are a number of factors we have to think about in capital allocation in terms of how we look across our businesses, where are we going to invest it, where we haven't, whether it's long versus short versus medium-term and all around the areas of how the capital is deployed, and it's also return on capital employed, and so forth. So that gives you some idea, I think, on that. Just turning now to the FRC, you sort of made a reference in this thought. I think the question was, are there any other ongoing inquiries or do you want us to explain a little bit first about the FRC, the accounting change that we've done?

Benjamin Charles Bourne

Liberum Capital Limited, Research Division

[indiscernible] it's more around looking at further issues [indiscernible].

Mark Morris

Former Chief Financial Officer and Executive Director

Well, look, a couple of things. I don't think it's unusual for companies from time to time to get inquiries from the FRC, and we are no exception. I mean, clearly, we're not going to comment on any private discussions that we have with the FRC until such time as -- like in all these things, there is something to say. So on the FRC, that's what I would say. I mean, if there was some specific question around the change in policy, which I think is explained quite a lot of detail in Note 1, I'm happy to talk about that as well.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. The next -- in the front again. So from this side, we kind of wind our way a little bit up and come back, unless Sandy likes to be at the end.

Christian A. Laughlin

Sanford C. Bernstein & Co., LLC., Research Division

Christian Laughlin from Bernstein. Just one question regarding around -- or the profit strength phasing next year, if you will. I was just wondering if you could provide some commentary on where you expect to see some tailwinds, some margin tailwinds in H2, just given that we should expect to see XWB ramping up and then, of course, C1000 running at higher production rates this year?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, we don't normally get into sort of detailed breakdown of half year phasing. But I mean, what I would say is this, and as I alluded to in the presentation, a number of restructuring and cost-reduction initiatives, how we're spending CapEx, some movements in R&D, but also just when you look at our MIPS business, generally, the volume load is generally a bit more second-half weighted and that's what will drive some of the profit phasing as well.

John F. Rishton

Former Chief Executive Officer and Executive Director

Could I just pick up on that? You kind of threw in there the XWB ramp up, just to be clear, the XWB engine volumes in 2014 are very small. Entering into services this year, our XWB really starts ramping up '15 and particularly, in '16. So this is a small volume of engines next year in terms of XWB. So that's still coming, just to be clear on that point.

And the next, so we just go back -- yes, gentleman just behind Christian.

Steven Lee Cahall

RBC Capital Markets, LLC, Research Division

Steven Cahall from Royal Bank of Canada. Maybe just a couple of questions on what we're expecting next year in Civil versus some of the trends this year. So maybe first on IAE, I mean, do we expect any uplift next year? It looks like we didn't have any uplift versus 2012 in H2 of 2013, so maybe just what your assumption is there. And then similarly, on the RB211, if you can give us maybe any color about what retirement rates were in 2013, and what's the expectation for that trend in 2014? Because it does look like it accelerated in terms of retirements in '13.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay, on IAE, let's try and put this one to bed. For the full year, as I said, there's GBP 112 million uplift and again, if you recall, if you go back to 2012, we had a half year of what I'll call the old world and then half-year of the new world. And your observation is right, there was no uptick in the second half. Going forward, we're not going to breakout IAE anymore. It just gets too difficult. We're working off assumptions of the old model back from 2012 and we don't know what they really were. What I will say is that generally, as we move forward, the uplift will reduce and I think we've given you that guidance before. On RB211 retirements, for this year -- sorry for 2013, we said the impact was a reduction of RB211 revenues of about 20%. And that's sort of what continues as we go forward. And again, this isn't a surprise to us. We factored in -- I mean, there's always some movements a little bit backwards and forwards, but we are anticipating that as it goes out we will start to see some retirements because one of the things that we're keen to do is to ensure that by lowering the cost of overhauls and so forth we can extend the life of those. But it's in our planning.

John F. Rishton

Former Chief Executive Officer and Executive Director

From this side.

Nick Cunningham

Nick Cunningham from Agency Partners. I hope it doesn't seem too aggressive, that sort of.

John F. Rishton

Former Chief Executive Officer and Executive Director

Very aggressive.

Nick Cunningham

But the Defence has been sort of enormously strong for several years. We kept on asking about that. Can this go on? And you haven't been specific in this one. But I think takeaway has been that it's sort of sustainable. But now we're looking at 15% to 20% decline, hence sort of when you notice. And which is unusual for a large company to do that. So I'm just wondering what happened? And why was it not flagged earlier? And I have another couple shall I ask them?

John F. Rishton

Former Chief Executive Officer and Executive Director

Please ask them all.

Unknown Analyst

And on the change in RSP treatment, I was just wondering why the FRC recommendation was only sort of half-adopted? What's the thinking behind your decision to adopt a different treatment from them? And finally, and this probably just displays my own ignorance, but why is the minority so small? One would have thought that half of Tognum would generate much bigger P&L minority, or it's probably just me.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. I'm going to ask Jim on Defence. I think in part, the answer to Defence question, though, is we have given in year guidance, and you kind of run into that, which is well do we -- how do you handle that? Well, we give in year guidance now, clearly this time we start talking a little bit about the future and I think that's made us think a little bit more carefully about how we manage that. So what I would say is what we are trying and we're heading in the direction of and I know it again will be slower than many of you would like, is trying to get more transparent about the whole variety of issues, including length of time potentially and details around it. As Mark said we will have a session on TCA accounting of Farnborough. But, in a nutshell, that's sort of answer that, but Jim, maybe if you could make a few comments on Defence, that may be helpful?

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

Thank you. What I'd like to do is why I may is take your narrow question and maybe provide a little more color to the Defence story, because I think it would be helpful to all of you and I suspect it's one of the primary issues of concern. Let's start with a couple of points of background. Let's go back 5 years and let's look at our revenue and profits. Our revenue improved 54% over the last 5 years; profits, 96%. Now this is against a backdrop of a very, very difficult defense budget situation, U.S., U.K. and a couple of other jurisdictions as well. So in this outsized performance, given the backdrop of a tough, turbulent environment. And the reason that we were able to do so well is product portfolio mix, and also some contracts that served us through that difficult period. What we're now finding is that the defense reductions are beginning to bite and they didn't begin to bite just this year. If we go back and look, our order book has been decreasing over the last 3 years. So I think quite a signal that things were going to catch up with us. And they have. Last year, it was the aftermarket business that did not do as well as one would've hoped or as we have done in the past. And if you look, it only increased 2%. So that's where we took the first hit. And it was in reduced flying, and it was also with respect to some airplanes that have been retired. So this year, it's now manifesting itself in an OE, and I'll cover that in just a second. But I'd like to provide a couple of other points that might be helpful to you.

If you look at the U.S. for a moment, last year, I provided a tutorial on sequestration. My colleagues have asked that I don't do that again this year, but we can do it later if you would like. We do have a defense budget for the first time in several years in the U.S. And that's good news. The other good news is it, for this 1 year, it put aside the effects of sequestration, only for 1 year. The other good news is that it is a GBP 12 billion improvement over where sequestration would've been. The bad news is the defense budget is \$40 billion less than the President requested. So again, a little bit of gain here, but not as much as the Defense Department thought it needed to run its business. The other thing that I would point out to you, again, for background, is if you look at the political situation in the U.S., yesterday, House of Representatives passed legislation on debt ceiling, another signal of stability. And that will carry us

through March of next year. So I think that's helpful. The other point that I would raise is this is a year of midterm elections. So every member of the House is up for reelection, 1/3 of the Senate. And I think it means that there is probably less room for political mischief. People are going to be on their better behavior. Now what is that mean for sequestration next year? Don't know, but I suspect, again, better behavior. If I could then move to another aspect of this. We have, in my view, good clarity on 2014, and we're having increased clarity on 2015. The next bit of information that we will have will come on March 4, when the President releases his budget to the Congress. We'll have a much better sense of what's in, what's out. Usually, we know about this in February. It's been delayed a month. So we're a month behind in all of that. But still, I think we understand pretty well what 2015 will look like. There are puts and takes. But a better understanding. If I were to, again, walk you through now the OE side of what is happening to us. Again, we're going to concentrate on the U.S. because that's where the volatility is today. The C-130J, it is our bread-and-butter airplane. We have been at a high watermark on deliveries of C-130s. This year, it will drop approximately 30%. You heard the announcement of the new order, a 5-year order, that will bring us up above this year, but not back up to the high watermark. V-22 Osprey has been an award winner for us over the last couple of years, and that drops by more than half this year. And we would anticipate that, that levels off. Now there is going to be some prospect for perhaps some sales to Israel and some other countries that would be nice upside. But for us, we think we know where we are. And, of course, A400M is delivering. We have now JSF starting to deliver. There are some opportunities in the tanker world that we're also having a look at.

The other side of this equation is cost. And a very, very important element of what is happening in Defence. Simply said, we are resizing the business. We're attacking every single element of cost. Overheads over the last 3 years, we pulled overhead down 20%. This year, we are bringing our production costs, our manpower on the shop floor, down 15%. That's almost 500 people. Most of that is in the U.S., and almost all of those people will be off the payroll within 2 weeks. So it's not a plan, it is a reality. We're now moving on product costs, what can we do to reduce product costs? Aggressive actions there as well, those take time to implement but they're under way. We're looking at production footprint. How do we consolidate, how do we reduce? Again, actions underway. So there is a cost element to this, we have got to resize, reshape the business to today's Defence reality. And lastly, John, I would also mention this for the group that we're up in the international marketplace, looking to see what we can do too, to sell equipment and we're working with our platforms suppliers. And then there's the aftermarket and one of the things that we're focused on in this kind of environment is how do we help our customers do more with less? An example of that, we have a new product upgrade for the T56 engine that serves the legacy C-130s. It is now a program of record in the U.S. Very, very helpful. And what we do is upgrade the engine and what it provides to the customer is somewhere between a 10% and 15% reduction in fuel. And so with the small investment, there's a big gain. So we're looking for every opportunity again to help those customers that we have do more with less in a budget-constrained environment. So I apologize for a long answer, but I do think that since Defence was kind of a headline item that perhaps it might be helpful to handle it in a comprehensive way, to answer your direct question, yes, we saw it coming, reflected in order book declining.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Jim. Mark?

Mark Morris

Former Chief Financial Officer and Executive Director

Right. FRC, look I think the key thing here is that risk and revenue sharing partnerships, which you're familiar with, Nick, are not directly covered by any particular standard under IFRS. So it requires judgment in arriving at what we believe is the right treatment and ultimately, it's like all these things, there is level of interpretation. And as we've alluded to, we've been in discussions with the FRC. We have a view on how we think it should be interpreted, they have another. There are both good arguments for both. But when we looked at it and looked at the difference in terms of where we ended up, we concluded that it was relatively immaterial. But for us, it's important that we stand behind what we believe is the right

accounting treatment. And that's the position that we take, and for us, it's consistent with what the rest of the industry does.

John F. Rishton

Former Chief Executive Officer and Executive Director

I think what we found was in discussions we have seem extremely constructive and helpful, and they made us really reflect on what we saw and how it works. I think it was really helpful in terms of getting us to think clearly about something that we haven't perhaps thought as clearly about in the past, so they were good discussions, I think very constructive and useful.

Mark Morris

Former Chief Financial Officer and Executive Director

Absolutely.

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, you had a question on minorities as well.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I'm not quite sure I fully understood the question. But obviously Tognum has been from being JV accounted to fully accounted, and I think if there's a technical question we'll sort of take it off-line.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, we'll do that. Next, let's just go back to this side.

Unknown Executive

Those of you who are sitting at the back will learn have to sit in the front in the future.

David Howard Perry

JP Morgan Chase & Co, Research Division

It's David Perry from JPMorgan. 2 questions, please. The first one John, just this issue of medium speed diesel engines where you think Rolls needs to become stronger. When we were given the presentation on Tognum, that was the major raise on debtor [ph] if I understood correctly? So can you just explain why Tognum isn't meeting the need and why you felt the need to have talks with Wartsila please? And the second 1 goes back to Ben's question, right at the beginning about the FRC talks because I think you can't really ignore it and you might have private discussions. I mean, are you absolutely rock-solid sure that there will be no forced changes to TotalCare accounting going forward?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, let me take the first one. What has become clear and maybe it's been clear all along, is that we need to do a much better job explaining our non-civil business to many people, which is an issue for us rather than issue for you, if that makes sense. So one of the things that we'll be doing later this year is we will have an investor meeting on our Marine and reciprocating engine business and it isn't just about Marine. There's a land power part to it as well. So we need to make sure that you understand that business I think much more clearly than you do. We recognize that, that's something that we haven't been particularly good at doing. And to clarify that point, Tognum is sort of the high-speed diesel engine company rather than a medium speed. So if you look at reciprocating engines. In simple terms, you've got 3 speeds: Low, medium and high. Low is something you put in huge vessels and you build them into the vessel in place with a vessel is in simple sense of making it all simple. Medium speed is what we make at Bergen, and what Wartsila was good and has a very large market share. Tognum is a high-speed

diesel engine, and if you look at the different engines it makes there, I think Mark in total it goes about 28,000 engines, 20,000 of which are what we would call low-power high-speed engines, which primarily for Daimler and there's 8,000 which goes to a variety of different sources of different sizes whether that's agriculture equipment, construction equipment, the Oil & Gas industry, et cetera, et cetera, though a very diversified customer base. But the fundamental difference is high speed, medium speed, low speed, Tognum high speed, medium speed is an area that we need to build that portfolio.

David Howard Perry

JP Morgan Chase & Co, Research Division

I'm sorry, because clearly I phrased the question wrongly. I mean I think back of the Tognum meeting, back of the Tognum meeting, the point was you were not interested in that medium speed area. I know it was your predecessor, but the point was all about the niche folks not in the commodity market and you wanted the Tognum high-speed to clarify the gas turbine capability that Rolls had already in Marine. So I ask the question correctly, why the need to move into the medium speed market that previously, maybe by previous management wasn't perceived as important?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. So I'll answer that slightly differently. I think that, one, Tognum is a good acquisition, as I said in my presentation. The management team are doing a terrific, they did a terrific job last year, I'm sure they will this year. And were getting the benefits that we foresaw when we made that acquisition. As I said, I was there last week, one of the things that I go through when I go there is to look at where are we getting the revenue synergies that we spoke about, and how well they're progressing, and we do well, we got a detailed plan on that, lots of detailed examples where that's working. So as an acquisition, I am comfortable that was a good acquisition and a good plan. In terms of medium speed, though, it doesn't address some of the issues that I think we have, we think we have in terms of Marine and the growing land power business. So irrespective of what was understood or said in the past, to be clear, we believe that we need to strengthen our medium speed diesel engine businesses. FRC, Mark?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay, look, we have a huge number of accounting policies that we apply. We are confident with all the ones that we apply. They are viewed and vetted by our auditors. And in relation to TCA accounting, we are confident with that one. And like I said, to Ben, I mean, in terms of conversations or inquiries with the FRC, it's not unusual for companies to have them. But like I said, in any respect, conversations that go on between companies and the FRC are private.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, let's go back one more, this side.

Edward John Stacey

Haitong Bank S.A., Research Division

It's Ed Stacey from Espírito Santo. Just one question, which is cost savings in 2014. When I look at both Civil and Marine, you're talking about some kind of margin negative effects. So in Civil you're saying you've got the RB211s coming out of service and you've got lower pricing, so both pricing and mix problems. And Marine, you're saying the Offshore is a bit weaker than you thought so that's, I guess, mix-negative and you're saying there is fierce competition. So I guess, we're worried about pricing there as well. So I could imagine if you were doing nothing on cost savings, then your margins would actually be down for both of those businesses. And then when I look at you're saying actually both of them had decent profit growth, there must be a lot of cost savings. Can you tell me, am I right that it's a really pretty big number? And if so, what is it that is nailed down and I could be confident that it comes through the cost savings?

Mark Morris*Former Chief Financial Officer and Executive Director*

Okay, yes, I mean, look, obviously, our guidance for Civil, we've guided modest growth in revenue and good growth in profits. And I think what you're seeing there, as I alluded to in my presentation, is that obviously, you're going to start seeing cost benefits coming through. Interestingly, in Civil, that's against the headwind of lower RSP entry fees and lower capitalization. So there are number of things going. As usual, there's a number of moving parts and this usually include mix and various other things as well. On the Marine side, yes, absolutely they took 2% out in 2013, we expect continued cost reduction on that front, along with some restructuring and rationalization, again, those will start to flow through as well. But that doesn't mean that the price pressure is coming off, that's obviously something that is still with us in the Marine side in particular, in particular commercial Marine.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Yes?

Rupinder S. Vig*Morgan Stanley, Research Division*

It's Rupinder Vig from Morgan Stanley. Just 2 questions perhaps. One for John, first. Just when I think about Defence, and perhaps Jim can kind of weigh in on this as well, what is the right long-term margin your Defence business? I mean you have this reset in '14. Are we going to go back to a period over time where we get towards a low kind of teens margin, or can we maintain the margins where they are? Then perhaps one for Mark around cash. When I look at the 2014 guidance, obviously, you're saying roughly the same sort of level. But if we have a good or some improvement, should I say, in working capital, is there a chance that cash will come to look little bit better, specially got flat CapEx as well?

John F. Rishton*Former Chief Executive Officer and Executive Director*

Well, I'm very impressed that you managed to find a topic that Jim didn't cover in his explanation of Defence. So congratulations on that. I'm not sure that I can answer you what the right long-term margin is in our defense business. Clearly, depends on whole variety of things. What we are clear about, what Jim did cover is that we need to manage the things that we can manage, which in the specific instance would be cost, or we need to be make sure that we are as efficient as we possibly can be and that's where our focus is.

Mark Morris*Former Chief Financial Officer and Executive Director*

Yes, look, I think in terms of cash, I think the key thing to recognize obviously is the improvements, and certainly flat CapEx, and our working capital what we could recognize there is, and I've signaled that is, when we look at the TCA net debt arising by similar levels, again. So that's really what's bringing down some of the effect. We've got a cost reduction out of [indiscernible] cash is being countered by obviously a rise in net TCA data. So that's why we are signaling around at similar levels.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Let's just keep going back, and then we'll come back down to the front here. We'll get there. First one?

Zafar Khan*Societe Generale Cross Asset Research*

It's Zafar Khan from Soc Gen. Just on the headcount reduction, the 11% you mentioned. Could you give a little bit more detail on that, please? Where that actually happened and what the numbers are in the different divisions now? And how they compare with 2012 year-end?

John F. Rishton

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Former Chief Executive Officer and Executive Director

Yes, Mark, I think...

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, I can't break it down by division. I don't think it's -- as we've indicated this is all around sort of what we call indirect -- a large chunk of it would've been in the U.K. but it's everywhere we -- our indirect 11% is the number we get from where we started back in October in 2012 as our benchmark. And it will continue. So that's -- but we don't break it down by division.

Zafar Khan

Societe Generale Cross Asset Research

How many in total, roughly, how many people in total Mark?

Mark Morris

Former Chief Financial Officer and Executive Director

About 1,100. Yes.

John F. Rishton

Former Chief Executive Officer and Executive Director

About 1,100 people. And as Mark said, if it is the overhead area and as I think I've explained to you, my view is that we've carried too much overhead. Many mature businesses we've grown and we've had too much overhead. We need to improve our efficiency a lot in this area, so we're driving process improvements in the whole variety of ways and we'll continue to do that. So if I look at simple things like transaction processing, where do we do that, how do we do it, how many people have got doing it, how efficient are we doing it? Those are the areas that we're getting -- like in terms of the cost you can see huge change in the costs in the year because, of course, we had the cost of restructuring offsetting the savings and we should start to see the benefits of that coming through this year, but we're putting more restructuring in this year to drive more cost savings in the future. And we will drive a similar numbers again this year. Okay, next? Okay, come right down to the front again in the change with policy.

Unknown Analyst

Morning, it's Chris Alami [ph] from Goldman Sachs. Just 1 very quick question about your 2014 profit guidance. How confident you are in that guidance? Because if Defence is down 15% to 20%, and you're guiding for flat, it implies you're non-Defence segment is growing low single digits, but 85% of that non-Defence segment you said is good profit growth. So it seems you must be very confident on flat for the group, for this year?

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, I said, we give guidance every year and I think the track record at a group level has been pretty good, which is a dangerous thing to say, obviously. And it's our best view as we look out into the future. As with all these things it's a projection into what's going to happen in the future, but it's certainly our best view, which we've been reasonably good at doing at the total level, I think as you look into the various divisions you get some ups and downs, which you inevitably do as you breakdown into the detail. But you wouldn't expect me to say anything other than we're pretty confident, otherwise we wouldn't have given it. We've got Sandy, who's just twitched.

Sandy Morris

Jefferies LLC, Research Division

As you welling [ph] some boots on just in terms of our cost base in Civil, the simple average number of employees in 2012 was 21,500 and in 2013, it was 23,400. I know you've taken overhead out. We are clearly sitting on a massive chunk of production capacity that we aren't using. And I mean, if we sort of

assuming that engine deliveries aren't going -- trends aren't going up markedly in '14 versus '13, despite 787, is that right?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, let me -- may kind of consider Mark refers to this and your point is well-made, Sandy. So if we take the most obvious example, in Singapore last year, we made 41 engines, and it has the capacity to make an engine a day. So clearly, that is a cost burden for us in the way that you're talking about. Next year, there will be a small ramp-up in Singapore. But in total, Trent engines do start to pick up next year, although there's a mix issue there, in terms of Trents, large ones going up and the smaller ones going down a little bit, which is the way that we're forecasting it. The issue for us is in terms of balancing that is preparing Singapore to take over the build of the Trent 1000, the Trent 900 at the moment, last year just build 900, we'll start building 1000s this year, and then the buildup of the XWB, which is our [indiscernible] is very small this year, starting in '15 and then really ramping up '15, '16 in particular. And that's when we start to see that change in mix. So if your question is, am I carrying too much fixed cost and fixed overhead at the moment for the level of production? The answer is yes. And that's what Mark was saying, which is as production ramps up, particularly in Civil, that will bring us benefits. If that's your question.

Sandy Morris

Jefferies LLC, Research Division

Well, it is sort of almost, precisely. Because we can muck about with unit cost in the Civil, I mean god sakes, give us a break. We're carrying a massive amount. So if you then confirm...

John F. Rishton

Former Chief Executive Officer and Executive Director

You're doing a good job for me.

Sandy Morris

Jefferies LLC, Research Division

Oh God. What's the share price if that happened? And therefore, if you tell me that actually notwithstanding that change is difficult, we are content with the progress we're making so that when we hit the button the business in the shape you want it to be, then I would regard that as a very encouraging comment, are you going to make it?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I would. So for us, it's about shaping the business for the future and in the future we're going to get extra benefits of volume, and when we start getting the capacity and the demand in balance, we get that as a windfall. But if we right-costed the business before we get there, then we're in great shape, which I think is the point that we're making. And that's what we're striving to do.

Sandy Morris

Jefferies LLC, Research Division

And you're happy?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. Happy is not a word I ever use, by the way.

Sandy Morris

Jefferies LLC, Research Division

Less miserable.

John F. Rishton

Former Chief Executive Officer and Executive Director

Happy was 1974, about 1.5 hours and that was it. It's over. I'm confident. That's a much better word.

Sandy Morris

Jefferies LLC, Research Division

Gosh, you've got a charmed life. And then look, I mean, just blundering into TotalCare. Where actually the disclosure has gone up a lot. The liabilities are a bit smaller than I had imagined. And it's just part of this accruals and spend. Just in broad terms, how much does engine overhauls go up last year? And what's the trend in engine overhauls, just so we can capture the cash spend, please?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, I think there's so many moving parts here and you've alluded last year GBP 270 million and interestingly, about GBP 240 million of which is in the first half, and only GBP 30 million of which was in the second half, and that really reflects to various moving parts we have in, and what contributes to the net TCA debtor. And again, we get into live it more this when we get into Farnborough. But yes, we had more shop visits and overhauls in H1 than we did in H2. And that's the sort of main drivers, because that drives the creditor down, which in turn creates the net debtor being high. That's the main reason behind it, Sandy. But you had a pretty good go at answering yourself, so...

Sandy Morris

Jefferies LLC, Research Division

Yes, I do that and I move on.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, you're right.

Sandy Morris

Jefferies LLC, Research Division

Are we adjusted to go up again, or have we like hit a maturity average level because my sense is the spend has gone up a lot for the last 2 or 3 years as the fleet matured.

Mark Morris

Former Chief Financial Officer and Executive Director

The levels of H1 -- it will continue -- I mean, obviously, that they will ebb and flow from 1 H to another just depending on how they are scheduled and where the aircraft delivered, and more importantly, how the aircraft are used. Because you can't say that every aircraft has 1 coming in every 5 years. If aircraft has been worked hard it'll be 4 years, so there's lots of moving parts that drive that. And of course, as you know, shop visits and overall costs are just 1 part of what makes up the net TCA debtor. But they will ebb and flow. But of course, as you got more volume under management, they're going to grow over time. That's the reality.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Just one more here.

Andrew Paul Gollan

Investec Bank plc, Research Division

Andrew Gollan from Berenberg. 2 questions, 1 on aftermarket and 1 on revenue drivers. Civil aftermarket, could you possibly tell us the split or broad split now between TotalCare and time and materials? And within the time and materials, a broad indication of how important the RB211 program is?

Secondly, on revenue drivers, sort of a couple of sub questions here. The launch pricing issue on T1000. Presumably, we knew about that because these are agreements that were made some time back. Or is it a factor that's becoming more of a headwind than we thought? Or do we know where we're going with this issue for '14 and '15? And I guess, the same applies to when we get into Trent XWB down the line. And secondly, on T2500, I believe that was down year-on-year, and I understand that to be part of the services supplied into the platform. Why was that lower given that industry volumes were up, please?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Three questions there. I mean, on aftermarket, the split is about 70-30. On the issue about launch costs, yes, of course, we know about them. They're contracted a number of years in advance. Lead times are typically sort of 18 months, 2 years, right out to sort of 5, 6, 7 as a set of delivery for what will go through. But again, when we guide on profit, that is just one element, along with where are we on if you just look at the OE element, what are the other deliveries are doing, and in particular within Civil, you've not just got Civil large, you've also got the business jet engines, which traditionally have higher-margin, and because they fly less hours in the aftermarket. So a logical business analysis says you get more on the OE. V2500, again, let's just remind ourselves of what we continue to manufacture and supply parts, and it's a transitioning process that's going on. And over time, some of the parts that's where we are sourced and supply will eventually transfer through to Pratt & Whitney. We will continue manufacturing a number of parts and again, even over time, some of those will start to drift as well, which is why we usually guided it will start come down over time. So that's the driver behind it. It's just as time's gone on, there's been some parts transfers of what was coming in through us and now what's been transferred and goes straight to Pratt & Whitney. So that's the driver. On the -- previously, I mean, obviously, some of the parts where we have volume is it's just a function of what part sales are being driven. You can forecast them, but what actually turns out may be different. And last year, for instance, we had a number of cases where more expensive parts are being ordered, and more of them which drove part of that revenue.

Unknown Analyst

And obviously that's within [indiscernible]

Mark Morris

Former Chief Financial Officer and Executive Director

I said it's about -- sorry, RB211, off the top of my head I haven't got that, but we'll get that for you.

John F. Rishton

Former Chief Executive Officer and Executive Director

It's obviously, quite significant.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes it is. Within time and materials of RB211 is going to be...

John F. Rishton

Former Chief Executive Officer and Executive Director

Almost all of it.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, 70%, 80%, I think. Yes.

John F. Rishton

Former Chief Executive Officer and Executive Director

And the 70-30, Mike just to be clear is the total as opposed to the split of sales that we've got at the moment where we got higher TotalCare and less time and materials.

Mark Morris

Former Chief Financial Officer and Executive Director

That's correct. So it's just on the existing and still...

John F. Rishton

Former Chief Executive Officer and Executive Director

That's the total, now it's different. Anything else? Just one more from -- last one from Ben, last of the last.

Unknown Analyst

Sorry to come back with a few more, and then I'll lay a point maybe. But just a couple of follow-ups. Firstly, you mentioned there was some deposit inflows that helped -- or deposit inflows, an item in the cash flow in 2013. Maybe you do just disclose it and I just can't find it but I wondered if you could share with us what that scale of deposit inflows was in the free cash flow number in 2013? The second question and I guess it builds partly on this launch pricing point, but just you clearly have good visibility about the launch pricing effects. But on XWB as those volumes rise on '15 and '16, just how that plays out and how we should think about the headwinds that may or may not create? And maybe the final one is just your comfort level on Trent 500 TotalCare net debtors. Your Trent 500 is 12% of your installed base, we've got 10% of the aircraft on the ground. Your offering understandably an improved package for the airlines of overhaul all the other 3, I was just wondering how that plays out in terms of your view on whatever the TCP net debtors is on Trent 500?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark is delighted to have 1 last question.

Mark Morris

Former Chief Financial Officer and Executive Director

On deposit flows, I mean, we're surprised the bulk of that has really come from Civil and the massive growth in the order inflow, order intake and order book. At the same time, of course, Defence has been running down as the production delivery phase has been coming through. But one has more than offset the other. I don't think we sort of revealed the sort of net difference between the 2, but that's what's been driving it, Ben. On launch pricing of XWB, look, we are not going to sort of get staked out by some program-by-program in giving you the guidance from '14, and what I'll call it be a figure painting for 2015. We factor that in, into our corporate. And again, ditto on Trent 500 net debtor, it's a small contribution to the overall net debtors. As you know, Trent 500, as a 4 engine aircraft is not doing as well given the high fuel price environment. Again, that's factored into our calculations. But I'm not going to break it out specifically. But again, it's reflected in the total rise in net TotalCare debtor that I gave you for 2014.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you. As you see, if we have one extra question. The answer's tend to get a bit less answers I think is the way I would describe it. Less specific, maybe. Thank you very much for joining us this morning. It's very good to see you all again today. If I leave you with just a couple of thoughts. First of all, cost, cash, concentration and customer. Really, really important for us in the business. That's where our focus is, where my focus is, where the board's focus is, to make sure that we can do as Sandy was suggesting. Really important that we get the customer elements right, we're making good progress on that. We've still got a ways to go. 2014, pause for growth, not a change of direction. Growth comes back in 2015. Thanks very much for your time this morning.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2013 Earnings Call Transcripts

Thursday, July 25, 2013 7:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2013-	-FH2 2013-		-FY 2013-	-FY 2014-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	CONSENSUS
EPS Normalized	0.31	0.34	0.00	0.66	0.72
Revenue (mm)	7170.62	7909.60	6.47	15249.22	16247.73

Currency: GBP

Consensus as of Jul-23-2013 11:39 AM GMT

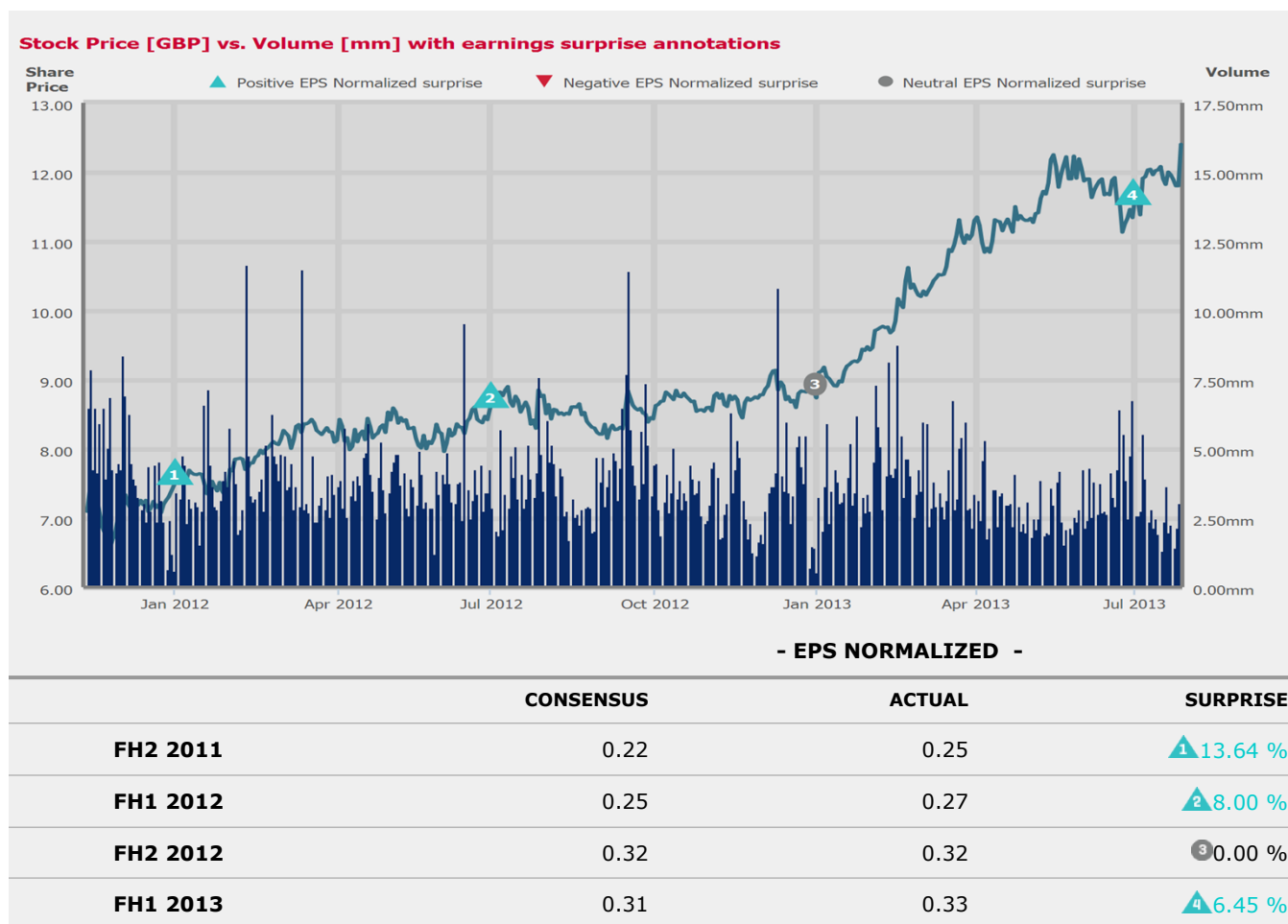


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Presentation

Operator

Good morning, and welcome to the Rolls-Royce Holdings plc 2013 Half-Year Results Conference Call. [Operator Instructions] And just to remind you, this conference call is being recorded. Today, I'm very happy to present Jilinda Crowley, Assistant Director of Investor Relations. Please begin, ma'am.

Jilinda Crowley

Good morning, everyone, and a warm welcome to everybody to our half-year 2013 results webcast. Regarding the material for today, we issued the results via stock exchange announcement earlier this morning. The presentation slides for this call are available both via the WebEx and also via our website.

As always, elements of this presentation contain forward-looking statements and are based on our view of the world and our businesses as we see them today. Clearly, these elements can change as the world changes, so please consider them in that context.

For today's webcast, I'm pleased to be joined by our Chief Executive, John Rishton; and our CFO, Mark Morris. John?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Jilinda. Good morning. Thanks very much for joining us on the call. I'll make a few comments about our performance in the first half of the year and then Mark will take you through the detail.

At first glance, I think that these appear impressive results, but I suspect many of you have already stripped the numbers apart, and you'll realize that there are some significant one-off benefits. Well the true picture is rather more complicated. So while there are some strong elements of the group performance, our profit continues to be held back, in my view -- our view, by a lack of progress on unit cost, and our cash flow is unacceptable.

Fortunately, we have significant opportunities to improve both. As you will have seen, we've consolidated Tognum for the first time and you can see that the contribution has made quite an impact on the results. The order book is up 15% or 12%, excluding Tognum. Underlying revenue is up 27% or 9%, excluding Tognum. The underlying profit is up 34% or 32%, without Tognum. We've increased our payment to shareholders by 13% and maintained our full year group guidance.

If I measure this first half performance against our priorities, I would say the following. In terms of delivering on our promises, we've made progress. We were all very pleased to see the first flight of the Airbus A350 powered by our XWB engines, the A400M military transport aircraft has achieved certification, is about to enter service, powered by our TP400 engines. And we have delivered our first Environship that's now in service off the coast of Norway.

The second priority, deciding where to grow and where not to, we've continued to invest in capacity around the world, for example, in the U.K. close to completing a turbine blade facility in Rotherham and advanced disc factory in Washington, Tyne & Wear. In the U.S.A., we're building a new turbine machining facility at Crosspointe in Virginia. In terms of where not to grow, I'm sure you know that we've decided to sell our 50% stake in the RTM322 military helicopter program to Turbomeca.

On improving financial performance, as I have said, there is plenty of scope for improvement. Our profit increased by 34% in the first half. But as you have seen, this includes a contribution of GBP 112 million from the IAE restructuring, as well as benefits from volume growth. Whilst progress has been made in some areas on cost, we need to do much more. So the cash and outflow of GBP 460 million is not acceptable, and we must do better, particularly on inventory performance. This will take time and a firm resolve to deliver.

I look forward to take your questions later. For now, Mark will take you through the details.

Mark Morris

Former Chief Financial Officer and Executive Director

Thank you, John, and good morning. As usual, I will draw up the main highlights of the group's financial performance for the period. Tognum has been consolidated for the first time. I've shown our main trading figures, including and excluding Tognum in this chart. You will recall from the prelims, I said we would provide guidance for Tognum separately from the rest of the group this year, because at the start of the year, we could not provide for Tognum whilst they were listed. We'll continue this way for the remainder of 2013.

So the group, excluding Tognum first. I will come back to Tognum later. Overall, the figures show good progression at group level on orders, revenues and profits. But as John said, we have more work to do around cost and cash. The order book is up 12% after booking GBP 14.1 billion of new orders, predominantly in civil, and the order intake in the first half was up 54% compared to 2012. Revenue, up 9%, reflects good growth in OE and services. Both segments displaying overall growth, ranging from 6% to 16%. Overall, growth includes the 1.5 percentage point benefit from favorable exchange rates. Profits increased by 32%, which I will cover on the next slide.

Turning to cash. We started the year with GBP 1.3 billion and ended with GBP 921 million of net cash, a reduction of GBP 396 million. It predominantly reflects the growth in working capital, continued investment, which I will cover in more detail shortly. We've increased the half-year payment to shareholders by 13% to 8.6p, reflecting our continued confidence in the business.

So turning to profit, one of the key components of growth. Increased volume is worth around GBP 103 million, the IAE revised trading arrangements contributing GBP 112 million. Within the GBP 24 million other movements, there are a number of positive and negative items, around trading mix, R&D, restructuring, foreign exchange and entry fees. Entry fees increased by GBP 76 million relating to where we are on the development of the Trent 1000-TEN, the Trent XWB 97K programs. We expect a similar benefit over the full year.

Restructuring costs are up GBP 25 million in the first half, which includes severance payments relating to the indirect cost reduction and site restructuring activity. Group profit before Tognum was GBP 787 million, up 32%. Our profits in Tognum of GBP 53 million reflects full consolidation compared to our share last year, which was equity accounted.

Group cash flow. As usual, I'll just pick out major things in this chart that you're all familiar with. Firstly, net working capital increased by GBP 803 million reflects a number of moving parts. The main items are inventory, which increased by GBP 261 million, which are volume with no improvement in our turns, is disappointing and is receiving intense focus. And Civil Care -- sorry, and Civil TotalCare assets, which increased by GBP 240 million, representing a combination of new deliveries and shop visits. CapEx and intangibles were up GBP 402 million and includes GBP 261 million of capital expenditure and GBP 141 million of intangibles. Remember, intangibles are capitalized development costs, diversification costs, recoverable engine costs and software.

Trading outflow of GBP 208 million is before payments of GBP 250 million to our main stakeholder groups, pensioners, taxes and our shareholders. Tognum's trading cash flow was GBP 62 million after paying a GBP 60 million dividend to Daimler. Looking through the full year, we continue to expect cash flow, excluding Tognum, to be around breakeven.

Turning to the business segments, Civil has seen strong order flow during the period. Order book increased 14%, with intake of GBP 10.9 billion that included orders for Trent engines for over 200 wide-body aircraft. Trent engines now make up over 90% of Civil's order book as our market share continues to grow. OE revenue increased by 8%, which reflects an 11% increase in engine deliveries, partly offset by adverse mix. Services revenue was up 3%, broadly in line with the growth of the installed trust base. Profits increased by 59%, reflecting the benefit of increased volume. GBP 112 million from the IAE

restructuring, GBP 76 million higher entry fees, partially offset by higher restructuring and product launch costs.

Remember that the IAE benefit is a first half effect compared to 2012, because the deal was completed in the first half of last year. Profit performance in the second half will be lower than the first half, which is facing an entry fee receipt to R&D. Consequently, for the full year, we continue to expect modest growth in Civil's revenue and strong growth in profit.

Defense has performed slightly better than we anticipated, but there remains a lot of uncertainty regarding sequestration and broader austerity measures, which governments have to contend with. It is evident in the order book, which contracted by 4%, and the low growth in services revenues as a consequence of reduced flying hours. Full year revenue increased, while engine deliveries were unchanged, benefiting from a favorable mix and increased export sales. Profit increased by 10%, reflecting OE volume growth, favorable revenue mix and a lower R&D charge. Good first half performance now gives us the confidence to improve guidance for the full year from a modest reduction in profit broadly flat.

Our Marine business is a mixed story in terms of performance in the first half. Order intake was strong at GBP 1.7 billion, included a GBP 0.8 billion enabling contract for the MoD, which contributes to the order book increase of 10%. Excluding submarines, order intake was up 4%. Top line growth was also good. Revenue increased by 16%, reflecting OE volumes in the Offshore sector and services growth in Offshore and Naval. Foreign exchange benefits made up 3% of growth. Profit performance was disappointing and decreased by 8% due to adverse revenue mix, pricing pressures, foreign sea costs, partially offset by cost-reduction and foreign exchange benefit. [indiscernible] remains encouraging and good order cover for the second half gives us confidence to [indiscernible] the full year guidance with modest growth to Marine's revenue and profit.

In Energy, there are some large percentage changes. Remember, numbers are small in the context of the group. We are clear that the performance of this segment is unacceptable. We continue to explore avenues to improve the returns in the segment. OE growth of 6% was driven by increased demand in Oil & Gas, and the 12% services growth was driven by higher spare part sales and better capture of market share. Profit was reduced by GBP 3 million, and we expect some improvement in Energy's profit for the full year.

Finally, turning to Power Systems, our new segment. Let's just remind ourselves that Power Systems was formally known as Engine Holding, comprises of our Bergen business and Tognum. This chart illustrates the relative size of the 2 businesses and the impact of Tognum moving from being equity accounted in 2012 before consolidation in 2013. As you can see, Tognum has no impact on revenues in 2012, and its profit contribution represents our share of profits after tax.

This chart shows the performance of Power Systems as if Tognum had been fully consolidated in both years, so to provide a trading comparison. Power Systems' order book increased by 14%, and new orders were up 8%. OE revenue was down 9% due to weak sales in onshore Oil & Gas, the U.S. frac-ing market is reducing gas prices resulting in lower investment in new projects.

Similarly, in the aftermarket, weak commodity prices are resulting in reduced activity in mining. The lower use of equipment is depressing spare parts sales. Profit reduced by 45% as a consequence of the revenue fall, prior [ph] R&D and some warranty adjustments. We expect the second half performance to improve. Based on strong order cover, we continue to guide Tognum's revenue and profit performance as broadly flat for the full year.

Turning to financial strength, we continue to place considerable importance on maintaining investment-grade rating, given the long-term nature of our business, and having strong liquidity. During the period, we took advantage of favorable market conditions to raise GBP 1 billion of new funds, which provides a combination of refinancing and capital for general corporate purposes.

So to wrap up, we continue to see good order flow and top line growth across the company. Profit growth reflects the benefit of volume in the IAE restructuring, with other largely one-off impact broadly offsetting each other. While some progress has been made on costs, there is still much to do, as there is around

cash generation, particularly working capital, while maintaining our full year group guidance of modest revenue growth and good profit growth, and cash flow of around breakeven.

With that, I'll hand back to John.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks so much, Mark. We're now very happy to take any questions that you have. Over to you.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Rupinder Vig of Morgan Stanley.

Rupinder S. Vig

Morgan Stanley, Research Division

I've just got 2 questions, perhaps 1 for John and 1 for Mark. John, first, just a question around the Four Cs. You've talked about the progress that needs to be made on cost and cash. Can you just give us a bit more color around what's happened in terms of the concentration, if you like, you're not happy with the portfolio post the disposals in Energy? And in terms of customers, what progress is being made there? And second question perhaps for Mark, on the IAE, what should we be now thinking for the full year in terms of the IAE payment? And are there any expectations at this stage of any RFP from the second half of the year?

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm very pleased that you've asked me about the other Cs rather than cost and cash. That's always a good start to any discussion. I think we've made good progress on customer. The organization is really starting to get that. We're starting to measure things well and the feedback that I'm hearing from our customers has improved, which is always welcome and reassuring. In terms of our performance, I just highlight several large engines. We've been up purchase order, 100%, all of this year on all the products. Marine, which was a drag as I think you're all well aware, the performance of those [ph] orders improved significantly. We're now well over 70% on time. You may remember that I've said in the past that if you look back 2 years, we're about 10%. Last year, we were running at 55% and we're now running at close to 75%. So good progress in terms of customer, in terms of delivery. Good performance, I think, in terms of quality. I think we've still got much more work to do in what I would call responsiveness to issues. So the nature of our business is such that there are always going to be issues. We need to respond much more rapidly and effectively to those issues and we're turning our attention to those. But overall, I'm very pleased with the progress we've made in terms of customer and the attention it's getting within the organization. In terms of concentration, I think that, for me, there were 2 parts of that. The first part is the one that you referred to, which is, if you like, around the portfolio. And I've been long clear, I think that the Energy portfolio didn't make much sense to me. It's quite clear from the results again this half that we've still got more work to do on that. Good news, within Energy is, we've made lots of progress in terms of the product, in terms of the customer. They're starting to really get the groups [ph] of the cost base. We've got much more work to do there. So we haven't finished our thinking on that yet, more thinking to do. And as in all businesses, we'll continue to address portfolio issues as we see them and as opportunities arise. And I think the sale of our 50% holding in the RTM322 helicopter is just evidence of opportunistic in some ways and a view that, that wasn't something we wanted to invest in at this point in time. So there will always going to be those kind of activities going on. Energy will be the area that I'm still most concerned about from the overall financial performance within the group. Again, nothing new for you there. And, in fact, you're probably bored of me saying that, but I can assure you lots of work going on behind the scenes. The other thing that concentration means within the group is, I want people to concentrate on doing their job to the best of their ability and not be distracted by other things. So there's 2 elements to it, and I think we're seeing some progress there. Mark, do you want to talk about IAE and revenue sharing partners?

Mark Morris

Former Chief Financial Officer and Executive Director

If I have to. Rupinder, I think I've got your question, which really was just looking, I guess, it's H1 and then the full year and trying to sort of gather to the guidance when we look at it. Profits at the group level of 32% and obviously, Civil, even higher. The IAE question really is a fading issue and of course, an impact

of comparing H1 with H1. So if we go back to 2012, we were under the -- as I refer to them, the old trading arrangements. And of course, if you recall, back then, we originally guided, I guess the estimation has gone up from then about GBP 140 million for the full year and obviously when it would have been updated, it became GBP 92 million for the half year. And of course, this year I'll give you some numbers of GBP 112 million for the first half. So I think as I said in my presentation, except a similar benefit for the full year and what -- in terms of just looking at phasing of how we bring those profit numbers back to where our guidance was, really, what you've got are some phasing issues, we've got the IAE impact that only happens in the first half and impact much less in the second half, and then phasing issues of entry fee receipts, which are front-end loaded and R&D charge, which rises in the second half. So those will bring those profit numbers more in line with the guidance that we've given. So hopefully, that answers your question, Rupinder.

Operator

The next question is from the line of Ben Fidler at Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

A few questions, if I could, please. Firstly, just to understand within Civil Aerospace some of the moving pieces driving the profit performance there. And I guess, specifically, if you're able to just give us a bit more detail of what the level of product launch costs were in Civil Aerospace and the restructuring costs there? Just trying to get a view of the true underlying progress that you're making, John, on the unit cost base.

John F. Rishton

Former Chief Executive Officer and Executive Director

Do you want to -- we'll look at your questions and then we'll [indiscernible].

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, I'm afraid there's some more. The second one is, just to understand with your confidence level as to why Tognum's profit performance will be so second half-loaded this year and why there's such a second half improvement, just to understand your confidence around that. And the third question that I had is just around how -- your opening statements clearly talk about the progress you're making on cost and cash, but as you say in the press release, this will take time and firm resolve to deliver. What sort of timescale are we looking at to deliver those benefits in your mind?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, let me maybe hand over the Civil question to Mark. Or maybe, Mark, if you talk about Tognum as well, then I'll talk a little bit about the cost and cash? That's okay?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Yes. Look, in civil, we -- like I sort of highlighted, again, we had volume growth, you've got the IAE restructuring and we've got a number of things that we sort of put in Other. Product launch costs are sort of in the 10s of millions -- low 10s of millions. And on unit cost, I mean, we've had some progression on what I'll call indirect CNA, which will be around the sort of GBP 10 million mark, but not sort of getting into sort of breaking out all the other components that we've got in here. I mean, we'll just go down a rabbit hole, frankly. But I think the key point to say is we're seeing progression.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, I mean, where I guess -- and thank you for some of those numbers you shared. Again, I'm not expecting you to give full disclosure of that. My question is really coming from, you had 6% revenue growth in Civil. If we strip out the increase in the IAE effect and increase in partnership receipts, arguably neither of which are trading items, you could argue. We have 6% revenue growth and the underlying profitability fell even before we start looking at what you put on the balance sheet on TotalCare, et cetera. Now just to understand what's going on in driving some of these unit costs, hence, my question about was it a big one, was it a big product launch cost? Was it a big restructuring cost? Because it looks like unit cost have clearly gone up quite significantly in Civil Aerospace?

John F. Rishton

Former Chief Executive Officer and Executive Director

What I would say, Ben, is that there's a lot of one-offs in the negative GBP 24 million. We've broken out of the IAE, you can clearly see the RRSPs. But my perspective is, it's pretty simple. We've got volume growth. We have the IAE benefit that we've broken out. Then there were a whole raft of broadly one-offs that broadly offset each other, which, if you conclude, you take on what I've just said, what it says is that we didn't make much progress on unit cost or costs within Aerospace. We've made some progress in other areas. The biggest issue that I have, if I sort of pick up your last question in terms of cost of cash, really centers around the Aerospace area, and it particularly centers around Civil. Defense actually did make some progress on cost and is working hard on it. So if I narrow down where we -- where I am least pleased with the progress, it is Civil Aerospace in terms of costs. There are other areas in Civil Aerospace where I'm very pleased with the progress and I gave you some examples in the response to customers. So in broad terms, cost progression in Aerospace is virtually nothing, and we have to address that because it is our biggest cost base and our biggest issue. And as I think I've said to a number of you at various times, when you get into sort of why is that, in part, it's just human nature, I'm afraid. So if you just talk a little bit about what's been going on, my simplistic story is that when you announce record profits, which we've just done again; when you announce record order book, which we've just done again; when you announced record everything, then people have a difficulty understanding why it is that I'm talking about costs. They really do have a difficulty. Now you guys kind of get it immediately. You look at things from a slightly different perspective to most people. If I break our company down, the defense guys kind of get the cost issue because there's something called sequestration in the U.S. and they've been through the spending review in the U.K. and they kind of get it and their world has changed. The Energy guys get it because of the environment that they're operating in. The Marine guys have started to get it and are making progress in terms of their cost reduction, as we have to, because we've got a very high cost base largely been based in Scandinavia, which is uncompetitive. So they get it. The area, understandably, that is struggling the most is the area where the growth and the benefits are -- a big growth, they're all flying through, which is Civil Aerospace, because Civil Aerospace is in a boom period. So what we did is, as again as you're well aware, is I've got a group of 6 senior managers to go away and look at this and come up with a whole lot of ideas. They finished their report. We've had a great discussion with those guys. We had a great discussion with Civil -- Civil management. Civil management are quite clear on the opportunities that exist within their business and there are significant opportunities. We are now grappling with the hardest part. So I've got people's heads of the management team in the right place. We've done a lot of work in terms of identifying opportunities. We're now moving to delivering the opportunities. Now in some businesses, and I've worked in some, it's pretty easy. I would suggest in the banking industry, it's usually pretty easy to reduce costs. You've got to know where your costs are, you just get rid of them. In our industry, particularly in Civil Aerospace, when you're dealing with gas turbine engines, and the biggest part of those costs are the engines, it isn't quite as easy. It takes engineering resource, it takes time, energy, effort, you've got to go through simulator reviews. Some of the cost benefits are associated with how can you get longer on-wing service to reduce servicing costs. Some of the benefits are around how do we drive repairs into our services business rather than replacement, which is something we are comparatively weaker relative to our competition. Now there's lots of opportunity there, but it takes time. Other areas, and Mark mentioned one, our indirect cost-reduction program, we're making progress on that. But frankly, you don't see any benefit of that because we've got a restructuring cost, which offsets the financial benefits at this point, but they'll flow through at some point in the future. So in simple terms, if you're looking for cost benefit, your cost performance in Aerospace, you're not going to find much. So that's the short answer to -- or a long answer, I should say, to your simple question.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

That's a very interesting answer. And I guess, I think, just drilling down a bit further with that question. So in terms of timescale, and how long does that take to push through that scale of cultural change and the inevitable scale of restructuring change in what is a very complex business and supply chain in Civil Aerospace? I mean, is that a 2-year -- is it 2 years? Is it 5 years? When do you think you'll start to really see benefits come through?

John F. Rishton

Former Chief Executive Officer and Executive Director

You're sitting in my board meeting yesterday?

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

I was actually, yes. But I'm small, so I'm easily missed.

John F. Rishton

Former Chief Executive Officer and Executive Director

Because as you would expect the civil questions are getting asked there. And rather conversely, the guy who sort of has a reputation for cost and cash management sort of [indiscernible] him away, that happened overnight. I think the answer, Ben, is back in what I was saying about the complexity of the changes that we need to make here that will determine the start. As you might well expect, I'm not going to get hung up on a timescale on this. What I can do is absolutely assure you that it has a lot of attention at the moment and we are determined, I am determined, Mark is determined, the management team in Aerospace is determined, to make progress, because it is affecting what we can do and where we can invest, as is the cash performance. But people are starting to understand that, they're starting to understand, that if we don't improve our cost of cash performance, we can't invest as much as we want in new products and do the things we want to do in terms of people, trading, infrastructure, products, all those kinds of things. So I'm not going to get on a hook in terms of a week on Friday, but it's going to take us some time. It's hard.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. You had one other question, Ben, we rambled around. Probably one [indiscernible], so you had a question around...

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Just Tognum, the confidence level around, obviously, there's a very big improvement that needs to be delivered in H2. You mentioned R&D phasing. Is that -- I was just understanding why you're so confident on what has got to be a big step-up in the second half that it will be delivered?

Mark Morris

Former Chief Financial Officer and Executive Director

This is a much shorter cycle business. They have got good order coverage that go into the second half. And again, this is very much a higher-volume business, obviously it helps on the overhead recovery. We've got some phasing on R&D, and obviously, we had some warrant adjustments in the first half, which won't repeat in the second half. So those are the sort of things as to why we're confident that Tognum will end up consistent with guidance we originally gave.

John F. Rishton

Former Chief Executive Officer and Executive Director

Ben, what we've seen in that business is, the first part of the year was dreadful and it's been improving ever since. So the trend is -- gives us confidence as well. And that's what you've sort of seen. If you look at the direct competitors with Tognum, you look at their kind of results, you saw the same kind of thing in their first quarter and second quarter results. So the trend is positive. Order book -- their order coverage is high. The management team at Tognum, I think, understood the realities to the pricing at the start of the year, which means we don't have to change guidance, but I think they got it right the first time around.

Operator

Our next question is from the line of Robert Stallard at RBC.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

I just got a couple of questions on the aftermarket, if that's okay. In Civil, I was wondering if you could give us some idea of what Trent was up in the quarter and how that contrasted with the RB211 aftermarket?

Mark Morris

Former Chief Financial Officer and Executive Director

Look, we don't sort of break out individual engine programs. I mean, as you'll take from the numbers, the aftermarket was up 3%, broadly in line with our thrust base. I mean, within that, obviously in aftermarket revenues, we've got a combination of T&M and long-term service agreements. And within that, of course, we've got our product range, some of which are new and young coming on and building up in terms of LTSAs and so forth, and some of which, that are coming now to the end of their lifecycle and you've referenced to some of them in the RB211. What I would say on RB211 is that the 535 continues to perform well. And of course, as you'd expect, we try and manage the lifecycle to extend life. And whilst as aircraft get parked and engines come off, we also have a part of our business, which we call parts trading, which we'll tie-up parts to help reduce overhauls and extend their lives. On the RB211, so the 767 fleet and the old 747 fleet, of course, they are older and much smaller fleet, so the impacts are much smaller. But by and large, and as we've guided, when you look at H1 versus H2, Civil, as well as every other division, will see growth in revenues in H2, both at the OE level and at the aftermarket level.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

And do you expect that aftermarket growth to accelerate in the second half or be similar to what we've seen in the first half?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I think we've given our view of revenue guidance for the year, I'm not going to start breaking out. All I've said is it's higher than the first half in terms of absolute revenues.

Carter Copeland

Barclays Bank PLC, Research Division

Okay. And then on the defense side, you mentioned that there's a lot of uncertainty here. But the defense aftermarket here, how do you expect this to progress given this lack of visibility? Is it possible to say, we expect this to be similar in the second half or could it possibly be down?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I mean, like I said -- I mean all of our divisions, we are expecting for H2, have higher revenues than H1, both at the OE and aftermarket level. And again, I don't want to assume they're massive swings, but I mean, again, we generally tend to have a bit of a bias in general between in H1 and H2. And in certain

cases, and particularly when we're dealing with government bodies and quasi-government bodies, in terms of buying, that there tends to be some behavioral activity that they with their budgets at beginning of the year and they're very cautious, then they sort of try and make sure they spend them by the end of the year. So you've got a little bit of that behavior in some areas and defense, I guess, is no exception. Of course, with the continuing uncertainty around sequestration and just generally austerity measures in defense, I think, as I alluded to in our results, maybe there's some [ph] suppressed flying hours in the first half, that may change slightly in the second.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Okay. And then just finally on Energy, you mentioned that there's still work to be done. Are you contemplating some -- gross level mechanical action here like potentially selling or spinning off or joint venturing some of the businesses here?

John F. Rishton

Former Chief Executive Officer and Executive Director

We're not going to get towards any specifics. But what I've said and what you've all told me and whatever everybody knows, is that the financial performance of that segment is totally unacceptable, and we need to address that. There are a whole raft of things, as I said, that we've already done in terms of improving the product, improving our customer position, reducing our costs, improving deliveries, all these kind of things that are going on, we have to address those issues. You could break the Energy down into it's 2 main parts, but those are the issues. Fuel -- Oil & Gas is a good business, as I've said, on a number of times, but it's small. We had a good market share. It's basically us and GE. If there's [indiscernible], Power Generation is much troublesome for us in terms of financials, where we are a tiny, tiny, tiny flare. We're looking at what we should or shouldn't do, how we could or couldn't do it, and when we've got our minds around that, we'll let you know.

Operator

Our next question is from the line of Nick Cunningham at Agency Partners.

Nick Cunningham

I think it falls to me to ask some of the nerdy rather than the philosophical questions. An elephant issue as far as the margin outcome in Civil is concerned, is the mix between the linked and unlinked engine sales. And judging from the big rise in the TotalCare in Civil and the very small rise in capitalized engine cost, it was mostly linked in the first half. Is that going to continue to be the case for the rest of the year? And is there any indication as to how that's going to look next year? And also just to clarify on IAE and the entry fee receipts, I think what you're saying is that you've had most of them for the year, there will only be a little in the second half, I just want to make sure I got that right. And then final detailed question, just I've sort of lost track of what the basis is for Tognum in saying that you're going to do something similar this year compared to last year. So would you just be able to clarify what last year's basis was?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, let me just answer in reverse order for a second. So the Tognum stuff that's actually on the charts we showed you -- the second to last chart, which shows how Power Systems, what I'll call Tognum -- with Tognum at 100% trading. And what we've said is that we were guiding revenues and profits broadly flat. And if you want, I can give you the breakout for those, which revenues -- I mean, broadly around about GBP 1.3 billion -- sorry, for the full year. Are you looking at the full year?

Nick Cunningham

Yes, yes.

Mark Morris

Former Chief Financial Officer and Executive Director

Give me one second here. Let me get that for you in a moment, I'll just answer the other questions. So your second question. So what was your second question?

Nick Cunningham

It was -- I was looking at just clarifying the IAE and entry fee receipts, the --

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, your assumption was right on question 2, yes. Most of it is particularly in the first half.

Nick Cunningham

And then the linked and the unlinked ratio?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. Okay, so in terms of the net TCA debt, yes, it's risen. And again, you remember, there are 2 components to that. We've got the combination of more engine deliveries. And again, with the linked, we get the benefit of -- or we get the impact of, clearly, revenue ahead of cash, which builds up a deficit [ph]. But on the flip side of that, shop visits will obviously drive down the trade credits and it's really a combination of those. And I think your question was relating to is, has there been a bias towards linked versus REC? And the answer in the first half is, yes. And I don't want to sort of get into specifics of next what happens in H2 and then what happens in next year. And I think you're aware, Nick, that obviously it relates to XWB. As the volumes grow there, that will -- tend to be REC accounted rather than accounted just because of the nature of the contract we have with Airbus there. And obviously, as those grow, then you can expect some increases in RECs versus linked. For the full year, so just to give you some broad picture on Tognum's revenues, last year, they're about GBP 3 billion and profit of around about GBP 300 million. And again, we've guided flat for the year, so the same again, effectively for Tognum 100% level.

Operator

Our next question is from the line of Andrew Gollan at Investec.

Andrew Paul Gollan

Investec Bank plc, Research Division

Just to extend -- or 2 questions really. First on Civil aftermarket and to extend I think what Rob was asking earlier on. The growth year-on-year was 3% in the aftermarket, could you perhaps give us a split between -- or rough split between Tognum materials and LTSA? That will be quite helpful. That's the first one. Second one, again, a clarification on the IAE guidance for the full year. Are we talking about roughly GBP 200 million versus the GBP 140 million that you've talked about a year or so ago? And the other sort of sub-question to the IAE number, can you explain what's exactly going on relative to your expectations, I guess, in terms of supplying parts into the V2500 build program or some parts into the spares system? Just explain why it is outperforming by so much.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. So a couple of questions. The issue around IAE, I mean, again, I've given you sort of guidance or indicators for the full year, so similar effect for the full year. So I guess, around about GBP 200 million will give you the flavor. Your last question was?

Andrew Paul Gollan

Investec Bank plc, Research Division

The last question relates to IAE was why that is so outperforming where we thought we were 1.5 years ago in the context of what's going on within the sort of build program and the spares environment?

John F. Rishton

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Former Chief Executive Officer and Executive Director

Okay. In terms of -- I mean, it always reflected the amount of part sales and the type of part sales and therefore the type of margins that we make. We make estimates, but obviously spare parts sales are relatively short term, they're sort of typically on sort of 30 days, sometimes lead time even less. It's just a question of what's happening both in T&M and the LTSA market as to what can drive that. And in effect, we've sort of under-called in the past what those are. And of course, the other part of this is there is some transfers that are ongoing between us and UTC. And we've assumed the timeline for that. Some of those timelines have sort of moved a little bit to the right, so there is some stuff we're doing more that eventually we won't be doing. But again, all of those is factored in. So it's really a combination of -- the volumes are a little bit higher. The types of parts you sold make slightly better margins. Some of the work transfer that was destined to go on a certain schedule is delayed a little bit. Your first question --

Andrew Paul Gollan

Investec Bank plc, Research Division

I'm sorry, can I just ask then, do we expect a sort of similar rates of fade from the sort of 200 or so annual number we were talking about?

John F. Rishton

Former Chief Executive Officer and Executive Director

Look, when we reach the -- I'm not going to give multiyear guidance. But when we originally raised the IAE effect, what we said is, we're going to get an uplift in profit, reflecting the revised trading arrangements. And again, just to clarify what they are, in effect, we've gone from being an equity partner to a supplier. We continue to make parts. We've made -- we continue to assemble engines, and we've achieved a number of -- a value of dollars per engine flying hour on the installed fleet at the point-of-sale. So those are the sort of revenue sources. And what we've said is, yes, eventually it will start to drift down. But for the first few years, it will sort of remain relatively flat. Your first question, just to come back to it because I didn't write it down, was the split between T&M and LTSA. I mean, I'm not going to get down into sort of individual breakdowns. What I will say is that our T&M and LTSA between them, if I look at H1 to H1, was slightly up on T&M in the first half. I expect it to be slightly less in the second half, but it will -- could be more than compensated by LTSA revenue in H2. And that's why we continue to see revenue growth and higher revenues in H2 on aftermarket for Civil.

Operator

[Operator Instructions] And we go over to the line of Olivier Brochet of Exane BNP Paribas.

Olivier Brochet

Exane BNP Paribas, Research Division

I would like to focus on 3 questions, if I may. The first one is on warranties. You mentioned that a couple of times in the prepared remarks, could you put some more flesh on that for Marine and Tognum? Is there any lumps that we should be aware of there? Second question is on Tognum. Can you update us on the -- your view on the synergies and business opportunities that you found now that you're in complete control of the company, any good or bad surprises there? And third, on inventory and working capital, you clearly look displeased or even upset about the performance in H1. What has exactly been slipping, what has been missed, what will you be doing different now?

John F. Rishton

Former Chief Executive Officer and Executive Director

Let me take a couple of those, maybe ask Mark to comment as well. In terms of inventory, you're correct. Here's what I would say, there are a number of elements to it. First, I think in some ways, most important, we've been driving to improve our customer performance. And our customer performance has been 4 in the past. And I gave 2 examples to an earlier question where Civil at 100% -- large engines at 100% and Marine increasing from 10% to 55% to over 75%. One of the ways that we've achieved that is inevitably, the obvious way, which is we've put more inventory into the system to make sure that we

don't let our customers down. So that's part of it. What we were unable to do is to drive the performance better, so that we have more confidence for the moment in the supply chain. So we're getting there. Supply chain performance has improved significantly, but it hasn't reached the tipping point whereby the inventories are starting to flow through the system more efficiently and effectively. So in simple terms, I'll put more inventory in to protect the customers; supply chain performance has improved, but it isn't yet at the point where we can reduce the inventory offering and still protect our customers, but we're getting closer to it. The second point is, the overall management of inventory within the company, if I could take that as a big bucket. So we've -- we've set up an aerospace organization and we're still working through that. So whilst we announced that some time ago, the beginning of the year, anybody who's been involved in large organization changes know that it takes some time. But we're getting down to some of the really important elements in terms of inventory control and the actual individuals responsible for ordering, managing stocks within each individual plant. And we've got to centralize that because at the moment, that's still done at a plant level. And in my experience, if that's the case, you never got control over inventory, you need to get control over it at a central level because what the plants really are still interested in is making sure they don't get beaten up for nonproduction, so they buffer on the buffer on the buffer. So in simple terms, those are some of the main issues that are going on. And that's why it takes time to get to, and why it requires more patience. In terms of Tognum, on the synergies side, yes, we are -- we've been through the synergies side. I think what I would say, I'm not sure I said this before, it is clear there are more benefits in terms of Marine than there are on the Energy side. We're comfortable -- there are synergy. We're comfortable that the acquisition is a sensible one. We are pleased with the program and the progress they're making. Clearly, they have a lot to do with the integration of Bergen into their business. We're already getting benefits from their expertise associated with our Bergen Engines in terms of R&D, in terms of knowledge of the missions, in terms of that technical expertise, and we're starting to see some benefits in terms of sales. We've still got a lot more work to do on that area. And whilst Tognum has been around for 2 years, management control has only been for 6 months, but we're working hard on that now, and that's going, I think, as well as I would expect. Warranties, Mark, I don't know if you want to make any comments on warranties?

Mark Morris

Former Chief Financial Officer and Executive Director

No, not really. We don't break out individual components of warranty. I mean, what I did allude to, obviously, in the presentation were the 2 areas where we increased warranty loss were really around Tognum and B.

Olivier Brochet

Exane BNP Paribas, Research Division

But there's no big lumps that we should be aware of?

Mark Morris

Former Chief Financial Officer and Executive Director

No, I mean, look, it contributed to the movements in profits in terms of affecting adversely though. But -- I don't think there was some sort of material sort of overly stated -- overly sized adjustments, but there was an increase.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, quite my normally, warranty costs rise and sink, and that's just part of the business cycle.

Olivier Brochet

Exane BNP Paribas, Research Division

What I was aiming at is, is it something that we should be thinking of continuing in the future or?

Mark Morris

Former Chief Financial Officer and Executive Director

I hope not.

John F. Rishton

Former Chief Executive Officer and Executive Director

If you [indiscernible] -- it's how do I improve my performance to customers? And one of the ways I do that is by making sure the products have the right quality, and it works right the first time. So hopefully, we should get some benefits. But again, they take a long time to flow through.

Operator

Our next question is from the line of Celine Fornaro of Bank of America.

Celine Fornaro

BofA Merrill Lynch, Research Division

My question will be on the Marine weak performance on this first half of the year, because even if we compare it historically, I mean, you used to have the Bergen business, which was slightly below the division margin and now it's been carved out. So how should we think about the margin progress in the H2? And also, when I look at the big increase in the order book in this division, how is the pricing? Is there a risk study of being trading sales for pricing and shall we see that coming through quicker because these orders or this order book is not as lengthy as it used to be 2, 3 years ago?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. The first thing to say and as I sort of said in the presentation, we're disappointed with profit performance in Marine in H1. There are a number of reasons for that, that I alluded to. I mean a combination of adverse mix, warranty charges, we've just talked about and against, interestingly, some foreign exchange benefit and unit costs. Again, better mix in the second half, good order cover, some non-repeats, some of the one-offs gives us the confidence that's where we'll be. And like I think John alluded to when he gave a sort of broader overview of Marine, I mean there's sort of 3 basic segments in there: Offshore, Merchant and Naval. Offshore, we're seeing some encouraging signs in terms of bid activity and it's certainly as we look into H2. Services revenue growth has got good opportunity. Build up more networks there and that gives us more access. The Merchant business still remains pretty much in the doldrums. But it's only about 20% of the total size of Marine. And Naval, I mean, interesting to watch is sort of you'd argue or sit in terms of defense behavioral patterns. It performed slightly better, certainly in terms of what we've seen this year and for the rest of the year that we're looking for. So I think that's a sort of quick summary of Marine both in terms of what we see profit progression and revenues.

Celine Fornaro

BofA Merrill Lynch, Research Division

But in Offshore, can I just -- I mean do you continue to see a pricing pressure in the Offshore environment?

Mark Morris

Former Chief Financial Officer and Executive Director

Absolutely. I mean, look, it's a tough market. We're seeing, interestingly, a move certainly on things like OSVs to slightly larger ones, which gives us the opportunity to quote for more types of equipment on those vessels. But, yes, it's a tough environment. And I would say that active price pressure more than offsets unit cost even though they've made good progress on unit costs.

Celine Fornaro

BofA Merrill Lynch, Research Division

And my second question would be if you could split -- looking out, you've done that in the past on the service growth in the Civil Aerospace division. If you could give us an idea on how much was Time & Material, and how much was TotalCare on the 3% growth number?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, again, we don't normally break that out. I've actually got it to hand. I'm sure we can give you that number if you need it.

Operator

Our next question is from the line of Sandy Morris at Jefferies.

Sandy Morris

Jefferies LLC, Research Division

A slightly simplistic question, but if I look at Civil Aerospace and I look at engine deliveries in this first half, what we appear to have is nice volume growth on BizJets, and so [indiscernible] in Germany. When you say there was a sort of a GBP 103 million, whatever it was, volume benefit, I'm assuming that it rises. In the meantime, in terms of large engines, we're sort of marking time. And is that the right way to sort of look at it? A big chunk of the business is doing just fine and enjoying strong volumes growth, and the rest of it is still kind of sitting there poised to go at some point, or is that just too simplistic?

Mark Morris

Former Chief Financial Officer and Executive Director

No, I think, as you say, Sandy, I mean, there's an element of truth in that. We've talked about XWB in terms of when you look at our investments, we're looking to double capacity for Trent. The XWBs haven't come online yet, and of course you know there's a huge order book. So this year has been one where, yes, of course, in some divisions, we've got more growth in units. But Trent totally for the year, will be similar numbers to last year. And of course, we're just getting ready for the growth that we'll see -- that starts in 2014.

John F. Rishton

Former Chief Executive Officer and Executive Director

I think you surmised it very well, Sandy, I think -- and Mark's point is right. So you break it down to the engine types, is you kind of see Trent 700 continuing to do well. You're seeing slow and good growth coming in Trent 1000; XWB, yet to come; and a slowdown in Trent 900s, which is exactly what you'd expect based on the aircraft sales. And the growth that we're going to get in Trent, which is evident from the order book, but as Mark says, 90% of the order book related to Trent is yet to come. They will come as the volume of Trent 1000s for 787 grows as the aircraft sells more. I'm sure it will. And it will come even more when the A350 comes online and starts to sell, as it will. So that's what really drives the volume growth. So one of the issues that we as the company grapple with terms of costs is managing the preparation of significant growth in large Civil engines, which hasn't happened yet, but will happen. While we're trying to manage our costs against that future -- the future what we've got to do in the current environment. So you're -- if the summary described as simplistic is exactly right.

Roger Peter Johnston

Edison Investment Research Limited

I mean, I'm not trying to be sort of glass half-full or empty here. It's just, I mean, your comments about driving cash and costs, I think, are generally welcome and I think we appreciate it takes time. How happy are you, though, that when the volumes go up, they won't just absorb cash to keep the comfort zone? And do you think costs are getting to the right place? I mean, I understand that you want to keep the pressure on, but is it a worry or is it just...

John F. Rishton

Former Chief Executive Officer and Executive Director

I don't like worrying about it, if that's what you mean. I think we'll make progress. I think if you work in a company that's shrinking, getting costs out is one thing because people see a clear and present danger. Getting you out in a growing company is about how do you manage the cost expansion relative

to the growth. And as I said, to someone earlier today, what we have been doing which was not smart was allowing our costs to grow ahead of the volume increases. In some areas, that's inevitably the case. Building Singapore, we don't need much of Singapore at the moment, going to build 50 engines there this year. But at some point in the foreseeable future, we've going to have one a day. So I have to let those costs increase ahead of the volume because otherwise I haven't got capacity. Some of the fixed cost apparently weren't fixed in this company, we've got to make sure that we nail those down. We've got to get ourselves into this cost mentality is what I would say, Sandy, which is, we're grappling with, particularly in the Civil businesses, I was explaining earlier, so that we are well placed to be much more efficient, much more cost competitive, and therefore, much more profitable, so we can invest in people, products, infrastructure, price, whatever it happens to be. That's what we're trying to do.

Operator

As there are no further questions, gentlemen, may I please return the conference for you to close.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks very much for joining us this morning. I hope you found the call useful. It's always a pleasure to talk to you every half-year or so on the results. We look forward to speaking to you early in the next year about the full year results. Thanks very much.

Operator

This now concludes the call. Thank you all very much for attending. You may now disconnect your lines.

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Rolls-Royce Holdings plc LSE:RR. Fixed Income Call

Thursday, February 14, 2013 1:45 PM GMT

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Call Participants

EXECUTIVES

Mark Morris

*Former Chief Financial Officer and
Executive Director*

ANALYSTS

Michie Yana

*Wells Fargo Asset Management
(International) Limited*

Presentation

Operator

Good day, and welcome to the Rolls-Royce Holdings plc 2012 Full Year Results Fixed Income Conference Call. Today's conference is being recorded.

At this time, I would like to turn the conference over to Mr. Mark Morris. Please go ahead, sir.

Mark Morris

Former Chief Financial Officer and Executive Director

Well, good afternoon, good evening, good morning wherever you are. I thought what I'll do is just maybe give a quick summary. I suspect most of you by now have seen the press release and maybe some of the presentations, maybe listened into the prelims analyst session we had this morning. So I'll just sort of pick out really a few things.

I think the first thing to say is that I believe it's been a good year for us. We certainly delivered on our guidance. The order book is up at GBP 60.1 billion against the backdrop of relatively uncertain macroeconomic climate, and of course, the order book is what gives us the visibility and confidence to continue investing to meet the rising load. Revenues were up 8% to GBP 12.2 billion, and core profit before tax was up 12% to GBP 1.26 billion, excluding Tognum and IAE, and I'll talk a little about those in a minute. Underlying profit before tax was up 24% to GBP 1.43 billion, including Tognum and IAE. So again, the effects there is sort of, in that total 24%, 12% from the core business and 12% from the recent transaction activity we've had with Tognum and IAE.

The key point really here is we've seen some margin progression, better margins, up to 12.2%, so that's a 1.5 percentage point progression. And you'll recall certainly that John and I are very focused on looking at cost and bottom line margin progression. Of course, we're a long-cycle business, so these things sort of don't happen overnight, but it was pleasing to see some movement in that area. Of that 1.5 percentage point progression, about 0.4% is from the underlying business and 1.1% is from the effects of -- trading effects from now Tognum and IAE. They do distort a little bit in the sense that because Tognum is equity accounted, it has no contribution to revenue, so therefore, sort of exacerbates part of that. But nonetheless, good performance, good progression.

You'll be aware that last year, we concluded the IAE transaction at the half-year, resulted in about a \$1.5 billion of proceeds or GBP 940 million or so, which we took back in June and profits -- the one-off profits at the time of about GBP 700 million. With the revised trading arrangements, the guidance we gave back in 2012 was that we would expect to see about GBP 140 million for the full year or GBP 70 million for the half-year, which is, of course, when the transaction concluded, and we ended up with about GBP 92 million, so slightly better than we thought, really reflecting higher part sales and more profitable part sales, so slightly higher than the estimates that we had.

Tognum, you're aware, is a joint venture acquisition we've made with Daimler. That progresses, and it contributed last year GBP 77 million in terms of equity contribution to us, maybe profits. And as of this year, starting in January 1, we will look to consolidate Tognum fully into our accounts.

So I think that's the sort of background. Maybe I should just sort of summarize by saying that when I look across each of our segments, that sort of Civil and Defense had a good year and sort of more subdued performances from our Marine and Energy businesses, just reflecting shorter order cycles and more volatility around original equipment and the rates and pace at which customers are making those decisions and when they have made them, the pace at which they're then taking and paying for them.

But nonetheless, I think the trends look promising. For 2013, we've guided the market with modest revenue growth, good profit growth and cash flow around breakeven. And I guess, looking to -- most of the analyst commentary that we had this morning tended to focus around cash flow and certainly their perception, the lack of cash generation. I think it's sort of, first, important to say that we are where we are

and where we've expected to be in the investment cycle. This is a long-term business. We've got a \$60 billion order book, and we're developing -- delivering 2,000 Trent engines over the next 5 years. And just to put that into perspective, it's taken us 15 years to deliver the last 2,000.

So we're ramping up facilities to ensure we can meet the volume rise and deliver on our commitments to customers because that damages our reputation and gives us financial penalties if we don't, and of course, we need to be ahead of the curve. It's not just about building a few facilities that we've got in Singapore, in the U.S., the ones that normally get flagged out. There's continual refresh of our facilities as we implement modern working practices and look to restructure operations to be more efficient and help drive bottom line margin progression, so that's ongoing. As I've said, we've guided, back in 2012, breakeven. We've ended up with GBP 137 million inflows, so slightly better than where we thought we would be. But we continue to invest to meet the rising load.

I think, just turning quickly to Defense, a lot of surprise the Defense business had performed as well as it did. And again, we did guide the market last year that Defense would have quite a good year in 2012, driven by engine flying hours, predominantly from our transport sector and export sales opportunities. What I mean export sales, this sort of beyond our normal markets of the U.S. and the U.K. and some of the other NATO countries. We're generally taking product that was developed for our core countries and it's being now exported to other countries as well, and we generally make better margins on those.

Nonetheless, I think the defense landscape looks pretty uncertain as we look forward into 2013, lots of budgetary constraints and sequestration and so forth. And of course, accordingly, we're not immune from that. We expect to see lower opportunities, and we expect to see lower flying hours. And of course, on the back of that, we've guided that profits will reduce slightly, although from a higher base than which most of the market was starting from.

Energy, I think just briefly. I mean, this is a business where we have really a very good Oil & Gas business, and it generates about 2/3 of the turnover or almost all of the profits. But its performance is then dragged down by the investment we have in less mature and immature technologies that we've had in the power generation, Civil Nuclear as we seek to build that up and our tidal and fuel cells business, both of which now -- the tidal business has been sold, and we sold a 51% stake in our fuel cell business as we seek to focus on the key areas that we do want to grow. So as we look into 2013, we expect the Energy business to perform better, obviously less drags from having the 2 business effectively having been removed, lower R&D also from those parts as well. But of course, we'll continue to invest in Civil Nuclear. So I think that's a quick sort of go round the houses of the segments. And not to try and take up too much of your time with stuff that you've already read, maybe I'll stop there and open up for questions.

Question and Answer

Operator

[Operator Instructions] We will now take our first question from Stephen Smith [ph] of Thomson Financial.

We will now move on to our next questioner, Michie Yana of ECM.

Michie Yana

Wells Fargo Asset Management (International) Limited

My apologies because I didn't have a chance to listen to the earlier equity call, but 2 questions, if I may. Is it possible to give us a color on what implications you might have from the 787 being grounded? And my second question is -- again, my apologies if there were some slides on the appendix or in the reports, but can you just comment about any P&L and balance sheet implication from the change in the pension accounting?

Mark Morris

Former Chief Financial Officer and Executive Director

Right. So 2 questions. Let's start with the 787 first. The 787 grounding certainly, as it currently sits, will have minimal impact on us. If we just rewind ourselves for a second, this is obviously a relatively young program. There are only 22 of our powered aircraft currently in service. And just to put that in context, we've got about 12,000 civil aircraft engines in service, so 24 [ph] engines over 12,000 is a fairly small amount and of course, they're early into their days in terms of requiring overhauls and so forth. So the short answer is a sort of 1-month, 3-month, 6-month grounding has very limited impact to us in terms of loss of revenue and inventory buildup. And in fact, we continue to deliver engines to Boeing, and Boeing continues to produce 787 aircraft at the moment. I mean, obviously, to the extent that 6 months becomes a year or whatever, and we have no idea how long it will be, then, of course, it will start to have a small impact. I think related to -- I didn't quite catch all of it. Was it around pensions and implications?

Michie Yana

Wells Fargo Asset Management (International) Limited

Yes. That's correct, yes.

Mark Morris

Former Chief Financial Officer and Executive Director

Sorry, what was the particular question? If you could just say it again a bit more slowly, I didn't quite catch it.

Michie Yana

Wells Fargo Asset Management (International) Limited

I'm sorry. If there was any implication from pension accounting changes.

Mark Morris

Former Chief Financial Officer and Executive Director

Short answer, for us, is there have been some, but we strip them out of our underlying numbers because there's sort of revaluation effects. So when we think about pension is we think about sort of about 2 things. One is what is the cash contribution that the companies are making, and that's purely driven by the actuarial valuations that we have 3 every years. And then, of course, we have the accounting noise from IFRS. And there's been a number of changes that have happened over the last few years. So one of them was the move in the U.K. from RPI to CPI, which had some effects in terms of what we were recording. And secondly, there's been a change just recently on IAS 19. I can't remember the exact name of the part of it now, but it talks about using a AA discounted bond rate to effectively value both assets and liabilities, so the net deficit or the net surplus. Whereas, pre this change, most companies would value

their assets on expected returns, while using the AA curve just for liabilities. And that was done for very good reasons. It was that it is quite easy for companies to artificially inflate their profits by whatever their estimations on what their return on assets. In our case, we have a pretty much matched asset and liability profile. We've moved progressively from equities, which were about 75% of the portfolio 10 years ago, to around about 12% now. And the rest is in what we call LDI, liabilities-driven investments, which pretty much correlate and match the underlying liabilities. So in effect, applying this accounting treatment has relatively smaller effect on us than it does on many others. But as I say, we strip any of those effects between our reported and underlying numbers out because, again, it's just sort of accounting noises, I'll call it.

Operator

[Operator Instructions] We have no questions at this time. [Operator Instructions] We have no further questions at this time.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Well, maybe I'll just wrap up by saying thank you for attending the call. Like I said, we feel it's been a good year for 2012, and I think we sort of set the scene and tempo for 2013. So with that, I'll say thank you, and goodbye.

Operator

That will conclude today's conference call. Thank you for your participation, ladies and gentlemen. You may now disconnect.

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Rolls-Royce Holdings plc LSE:RR.

FY 2012 Earnings Call Transcripts

Thursday, February 14, 2013 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2012-			-FY 2013-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	0.56	0.58	▲ 3.57	0.63
Revenue (mm)	12280.33	12161.00	▼ (0.97 %)	14993.46

Currency: GBP

Consensus as of Feb-14-2013 7:48 AM GMT

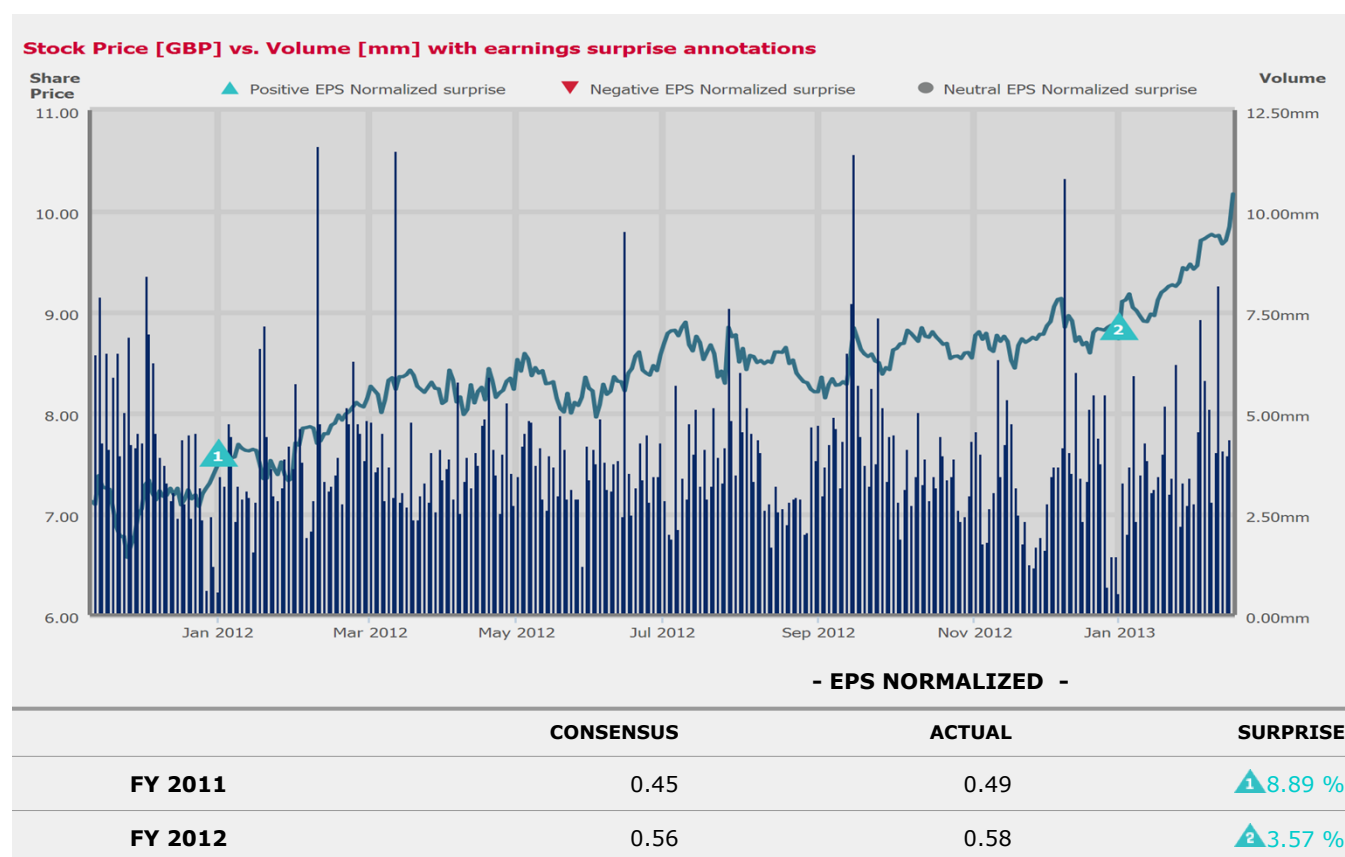


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Presentation

John F. Rishton

Former Chief Executive Officer and Executive Director

Good morning. Thank you for joining us today. Let me start by introducing my colleagues from the board. Mark Morris, our Chief Financial Officer; Colin Smith, Director of Engineering and Technology; and Jim Guyette, President of Rolls-Royce North America. I'm going to give you a brief overview, then Mark will take you through the numbers, and then we'll have Q&A.

I would like to start by saying a few words about our Chairman, Simon Robertson, who I know is in the audience today. Many of you will have seen that he's going to retire from Rolls-Royce at our Annual General Meeting in May. Simon has made an exceptional contribution over the past 8 years. He's worked tirelessly on behalf of the company and his energy and enthusiasm have been an example to us all. I wish him every success in the future. I'm delighted to welcome Ian Davis as our new Chairman and look forward to working closely with him.

Now turning to the results. The order book is up 4% to GBP 60.1 billion, adjusted for the sale of IAE. Underlying revenue is up 8% to GBP 12.2 billion, underlying profit up 24% to GBP 1.4 billion with margins improving by 150 basis points to 12.2%. Payment to shareholders, up 11% to 19.5p. These results are a tribute to the hard work and dedication of everyone at Rolls-Royce, to the support of our partners and suppliers, and most important of all, to our customers, who continue to place their trust in our technology.

You'll have heard me say before, but it is worth repeating that this is a long-term business. And while a year may seem a long time, I think you get a far better view if you look at the performance over a longer period, both back and forward. I'm pleased to say that today's results add to a record of consistent delivery that has been established over the past decade.

Revenue, order book and profit have all increased steadily for the last 10 years. Over that period, revenue has doubled, the order book has tripled, and the profits have more than quadrupled. In the same time, the share price has risen just over GBP 1 in January 2003 to GBP 9.84 at last night's close, and we've more than doubled our payment to shareholders.

The strategy that has produced that decade of growth has been consistent and has proved itself in battle. During the last year, we've reflected on how we express our strategy. And as you can see, we've made some changes. In particular, we make it crystal clear that the customer is at the heart of our business. We have sophisticated customers with a deep understanding of our technology. Our success depends on shaping and meeting their requirements on time, at the right price and at the right quality. Innovation is critical in creating future opportunities. For example, the Trent 1000-TEN will offer up to 3% fuel improvement when it enters service in 2016, while the Trent XWB is proving itself to be the most efficient large jet engine in the world. To put it simply, we need to be world-class in terms of understanding and satisfying our customers' needs, and we need to be world-class at innovation and execution. And of course, we need to grow profitably, not just grow.

I said at last year's results presentation that the business has 3 priorities: deliver on the promises we've made, decide where to grow and where not to, and improve financial performance. I categorize these into the 4 Cs of customer, concentration or focus, cost and cash. So let me say a few words about each of these priorities.

Delivering promises is principally about our customers, although it can clearly be applied to all of our stakeholders. During the year, we have worked hard to improve quality and delivery. We've made particularly good progress within civil large engines and Marine, but there's still a lot to do. In terms of products, I'm delighted with the progress of the Trent XWB engine for the Airbus A350. The XWB was certified last week, and the engines for the first A350 have been delivered. Our Trent 1000 engine has had the best entry into service we have had, and we continue to work on improving it.

Growth. You can see where we have chosen to grow from the investments we have made. Just a few examples are our acquisition of AEC, the XWB and the BR725 programs, the expansion of our Civil Nuclear business, the growth of our global network of marine service centers, along with 19 new facilities we have opened around the world in the past 3 years. Where we have chosen not to grow, as you know, we have sold our Tidal business and the majority stake in our fuel cells business. While these businesses may both prove to be successful, they did not play to our strengths.

Financial performance. We've increased profits and improved margins in 2012. And the good news is we have plenty of opportunities for further progress. We need to increase sales and continue to drive cost performance to make sure that we are not just growing, but improving our margins as well. In terms of cash, clearly reducing our costs will help, but there is also significant scope to improve inventory turns.

So while I'm pleased with the overall progress in 2012, we can deliver much more. But this will take time and will need to be carefully managed. Therefore, it should not surprise you to learn that our priorities for 2013 are unchanged from 2012: deliver on the promises we have made, decide where to grow and where not to, and improve financial performance.

Mark will now take us through the numbers.

Mark Morris

Former Chief Financial Officer and Executive Director

Thanks, John, and good morning to you, all. I'm going to draw out the main highlights of the group and segmented performance for 2012. I'll then provide 2013 guidance for the group. This will exclude the impact of Tognum while it continues to remain listed. Finally, I'll update you on where we are with Tognum. As usual, I will restrict my comments to the underlying performance.

It's been a good year for the group with the order book, revenue and profit all growing. At a segmental level, I would summarize 2012 performance like this: Civil and defense both had a good year with more subdued performances for Marine and Energy.

Turning to the group, the order book grew 4% with a GBP 16 billion order intake, which is marginally lower than 2011. The GBP 60 billion order book represents good top line visibility and underpins our confidence to invest. Order cover for 2013 is around 75%.

Revenue, which is up 8%, includes OE revenue growth of 12%, driven primarily by higher engine deliveries in civil, defense and aftermarket revenue growth of 5%, reflecting contributions from all businesses with around half coming from civil.

Profit, which is up 24%, is well ahead of turnover and includes a GBP 77 million contribution from Tognum, as well as an incremental GBP 92 million benefit from the revised IAE trading arrangements. Excluding these effects, profit grew 12%, so a pleasing result.

Let's break down the 1.5 percentage point margin progression, 1.1 of which came from Tognum and IAE and the remaining 0.4 from other trading in the group. I'm pleased with the cash performance this year given where we are in the investment cycle. We started the year with GBP 223 million and ended with GBP 1.3 billion of net cash. This was after generating GBP 137 million inflow from the business and receiving just under GBP 1 billion from acquisition and disposal activities, including the IAE proceeds. Liquidity remains strong at GBP 3.5 billion. Finally, reflecting our confidence in the business, we've increased the full year payment to shareholders by 11% to 19.5p.

So what are the key components of profit growth? Trading is up GBP 296 million. This reflects an 8% volume increase, and that's about GBP 200 million of the uplift and another GBP 50 million from unit cost reduction. The remaining balance is a combination of better mix in margins in civil and defense, offset by the one-off benefit of the SDSR settlement in 2011, which you're all familiar with.

The R&D charge was higher for 3 reasons. One, higher spend of GBP 57 million, an increase of about 11%; two, lower capitalization of GBP 55 million, reflecting the Trent 1000 entry into service at the end

of 2011; and three, higher amortization of GBP 14 million, again, mainly due to the Trent 1000 entry into service.

In 2013, our R&D spend will be slightly higher, but the charge will be slightly lower as we start to capitalize the Trent XWB following its certification. Our entry fees, which are primarily related to the XWB, were lower as the program moves towards entry into service. So the core profit was GBP 1.26 billion.

So let's have a look at the effect of Tognum and IAE on the underlying profit of GBP 1.4 billion. The revised IAE trading contributed profit of GBP 92 million for the second half, higher than our original estimate of GBP 70 million. This was mainly due to a higher volume and more favorable mix of parts than originally envisaged. Tognum GBP 77 million contribution reflects full year compared with only 4 months for 2011. So in arriving at the 24% increase in full year profit of GBP 1.4 billion, approximately half of the increase is from IAE and Tognum, and the rest is from the group. Of course, IAE and Tognum have a bigger effect on margin progression because they mostly add to profit, not revenue.

So turning to cash flow, I'm just going to pick out the major themes from this chart, which you're all familiar with. Firstly, net working capital, which increased by GBP 175 million, reflects a number of moving parts. Inventory was up GBP 156 million as we prepare to ramp up production, and net debt has increased by GBP 116 million. These increases were partially offset by a high level of deposits at GBP 99 million, mainly in civil and Marine.

Second, CapEx and intangibles reflect continued investment to meet the rising load of delivering 2,000 Trent engines over the next 5 years. CapEx accounted for about GBP 550 million of the spend and included major projects, such as Seletar, the new disc facilities in the U.K. and a new facility in Brazil for our Energy business. The remaining balance of about GBP 130 million relates to higher development and certification costs. We expect CapEx to be about GBP 100 million higher in 2013. Our trading cash flow of GBP 914 million represents 64% cash conversion, slightly down on last year, as we continue to invest for the rise in load. Our return on capital of about 18% would indicate this is a good return on investment and the right thing to do. Going forward, my focus will be on improving working capital.

Finally, we spent just under GBP 800 million in 2012 in payments to our main stakeholder groups of shareholders, pensioners and taxation. This leads us with an underlying cash flow of GBP 137 million. The underlying cash flow performance is slightly better than where we expect it to be at this point in the cycle. So in summary, a pleasing result.

So turning to the business segments. Our civil business has seen strong top and bottom line growth. The order book increased by 5% to GBP 50 billion with an intake of over GBP 10 billion. This was slightly down on 2011, but we continue to grow our wide-body market share with Trent engines now making up 75% of the civil order book.

Revenue rose by 16% in the year, driven by 31% increase in OE revenue off 23% more deliveries of higher thrust engines. And remember, you know the correlation between thrust and revenues. Services grew by 5%. This was in line with the growth in the installed thrust base.

Now turning to profit, the 46% increase includes the impact of the new IAE trading arrangements, which contributed GBP 92 million and 1.4 percentage points of the margin improvement. Excluding IAE, profit increased by 27% and the underlying margin by 0.9 percentage points. This was due to improvements in volume, mix and unit costs that more than offset a higher R&D charge and lower entry fees.

So let's take a look at defense. The 15% reduction in the order book reflects a slightly lower intake than in 2011, as budgetary constraints played out together with some cancellations, mainly related to the C27J contract. As you're aware, defense budgets remain under pressure, so we're pleased with our revenue performance this year, which is up 8%. This reflects good OE performance, especially from our combat and trainer exports and incremental deliveries from civil helicopter engines.

Services revenue grew 5% with a good contribution from our transport business that makes up well over half of the revenue. Profit, which is up 7%, reflects volume increase, higher-margin exports, lower R&D spend and cost reduction. We expect a modest reduction in profits for 2013 as budget constraints continue

to put pressure on pricing, engine flying hours and new opportunities, along with some adverse mix issues.

Our Marine business has 3 sectors, as you know: Offshore, which makes up around 1/2 of the business; Naval, which is around 1/3, with the balance in Merchant. I'd characterize Marine's performance this way: Offshore had a good year in terms of OE and aftermarket growth, offset by more subdued performances in Naval and Merchant. OE revenue was down overall reflecting lower activity, some delays by customers and a 3% adverse foreign exchange impact. Revenue wise, this was partially offset by some improvement in services as our expanded network starts to capture more business.

In Offshore, there continues to be encouraging signs of recovery, driven by higher oil prices. You can see this in the rising order intake, and we expect this to continue in 2013.

In Naval, our customers face budgetary pressures similar to our Defence Aerospace business, but we're pleased to have secured some important wins during the year. Firstly, the GBP 1 billion contract to power the U.K. nuclear submarines, then the ship-to-shore connector contract for the U.S. Navy and also a new customer with the South Korean Navy. All of these leave us well placed for the future.

In Merchant, demand remained subdued, and there isn't much sign of any pickup yet. The modest uplift in profit is mainly due to cost-reduction improvements that have offset the lower OE volume and the pricing pressure we continue to see in the market.

Finally, to our Energy business. There are some big percentage movements here, but remember the absolute numbers are small in the context of the group. Similar to Marine, Energy revenue performance has been subdued by lower OE deliveries due to less volume and customer delays, partially compensated by good growth in services revenues. Importantly, the level of bid activity has risen both in our Oil & Gas and Power Generation businesses. We have a well-established Oil & Gas business that makes up around 2/3 of the revenue and nearly all the profit in our Energy segments. The 4 less mature businesses of Power Generation, Civil Nuclear, fuel cells and Tidal have suppressed financial performance with continued investment.

As you are aware, we have now sold our Tidal business and the 51% stake in our fuel cells business as we focus on the areas we want to grow. We'll carry on investing in the Civil Nuclear business where we see significant opportunities ahead.

So returning to the group, we continue to place considerable importance on retaining a strong investment-grade credit rating. And we're pleased to have received an upgrade from Standard & Poor's during the year. A strong credit rating provides assurance to our customers that we are here for the long term and ensures continued access to funding. Our liquidity is strong at GBP 3.5 billion, representing GBP 1.3 billion in net cash and GBP 2.2 billion of committed facilities. And there are no material maturities over the next few years.

So looking ahead to 2013 and turning to our guidance. As I said earlier and as usual, we provide our guidance on an underlying basis. And for 2013, this will exclude Tognum, while it remains listed. For the full year, we expect the group to see modest growth in revenue and good growth in profit, with cash flow around breakeven as we continue to invest for future growth.

For the businesses, Civil Aerospace, modest growth in revenue and a strong growth in profits; in Defence Aerospace, modest growth in revenue and a modest reduction in profit; in Marine, modest growth in revenue and profit; and in Energy, some improvement in revenue and profit. To help you with your modeling, we provided some additional areas of guidance, which are shown up here on the slide here. It's what you'd expect from where we are in the cycle.

Before we move on to Q&A, let's just remind ourselves where we are with Tognum. As of the 1st of January this year, we now have management control through our Engine Holding joint venture with Daimler, and we'll consolidate Tognum for the full year. So what does this mean? It will enable us to work more closely with the Tognum management and to realize the planned synergies. The legal process to squeeze out the remaining minority interest continues, and we expect this process to continue during the year.

So in summary, I'd say it's been a good year, and I'm pleased with our performance. However, there is more work to do in order to deliver the margin progression and the cash performance that I expect. And with that, we'll move on to Q&A. Thank you.

Question and Answer

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, why don't we start at the beginning, start at the front on this side, and we'll move around. If you could maybe just introduce yourself and the institution that you represent and then ask your question, that would be great. Thank you.

Christian A. Laughlin

Barclays Bank PLC, Research Division

Christian Laughlin from Barclays. Just a kind of couple of general questions around patterns and trends that you see emerging. As old TCAs come up for renewal or roll-off, do you find some customers increase or decrease their level of service contract on subsequent renewals? Is there a certain subset of customer who are more likely to let their TCAs roll off and revert to a T&M construct, or is it kind of, it heavily depends on the individual situation?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, look, I think every situation is unique. I mean the first thing to recognize is that once an airline looks to outsource its servicing and capabilities, at the end of it, if it doesn't want to carry on, it's got some decisions about whether it does it itself or whether it puts it to other third-party markets. We have experience of sort of all outcomes, those that continue with TCA, those that switch to T&M, and that tends to be driven by how short they plan to keep their service in fleet. So we certainly look and seek to extend TCA contracts. And generally, the way we do that is by using our scale of economy to help make it cost effective and share some of that benefit with the customer. So we see all outcomes, but generally, we've been quite successful at continuing to extend TCA contracts.

Christian A. Laughlin

Barclays Bank PLC, Research Division

Great. And just a quick question on margin progression, particularly in Civil Aerospace. So I've noticed in 2012, about 40 basis points, I think, of the overall margin improvement were attributed to cost-cutting measures and initial gains realized. Do you see an acceleration -- did you see an acceleration from the first half to the second half? And is this expected to continue or accelerate in 2013? Said another way, are you in the phase where you're picking low-hanging fruit, so to speak, and we can expect some jumps here and there over the next several halves?

Mark Morris

Former Chief Financial Officer and Executive Director

Sure. Firstly, we don't measure things in halves. I just don't think we have the granularity to pick up trends over from one half to the other. I mean I think as both John and I have alluded to, when we talk about our 4 Cs, cost and cash are big drivers of those. And clearly, unit cost reduction is a key part of that. And of course, now as we are larger and we have far more larger share, our ability to leverage our supply chain and deploy far higher levels of TCA contracts in terms of the amount of capture we take, which enables us to schedule how we do overhauls and the work scope, all of that helps us with efficiency, and therefore, cost improvements as well. So it's an ongoing journey. I wouldn't sort of take -- draw any conclusions from any blips you see between one half to the other, other than a strong desire and determination from us to continue to take unit cost out.

John F. Rishton

Former Chief Executive Officer and Executive Director

If I could add just maybe in sort of more general terms. As you see, one of the 4 Cs that we have is around cost. And one of the things we are all aware of is we need to improve our margin performance,

and specifically, I think, in civil. Couple of observations. One, as Mark says, these things take time. It isn't sort of a quick journey. It takes time, and it takes time for a number of reasons. First of all, we're trying to grow and expand our civil business significantly at the moment, so we have a lot of new facilities coming into play. We've got new engines being launched. All of those are very important issues for us. So balancing the determination to reduce cost, improve margin alongside execution and satisfying our customers is something that we're playing with all the time. So how we balance those is a challenge for the business, and we spend a lot of time and energy on those. The direction of travel for civil, in particular, is driving margins and improving the profitability, whilst bearing in mind the point that I'm making, which is one of our other 4 Cs is about making sure we satisfy our customers and deliver to our customers at a time when we have new engines being launched and developed, new facilities being launched and developed. So this will take -- this takes some time. As I said in my little set piece, it has to be carefully managed and will take time. Okay, why don't we stick with the front, maybe Ben on the front?

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Ben Fidler from Deutsche. A couple of questions. Firstly, on the TCP net debtor, which about GBP 360 million increase looked quite a sizable increase, I guess that was driven by the strong growth in OE deliveries, was it? And also how should we think of that increase going forward and where you see that TCP debtor number, the GBP 1.3 billion, maybe settling out at? That's the first one. I'll come back with the others if you want to answer that.

John F. Rishton

Former Chief Executive Officer and Executive Director

[indiscernible] Go for all three. [indiscernible] Then we'll test our memory to see whether we've got it -- memorized the questions.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Yes, the other one was the earn-out expectation. That, clearly, did a little bit better than you were anticipating and we were all anticipating in 2012 H2, wondered where that leaves you with your sort of prior commentary about GBP 140 million as a sort of full year type of number. Has that also gone up? And the final one was just looking at the Marine services side. 1% growth in the Marine services revenues, where you think that could well get to this year, particularly with further rollout in your Marine service centers, which presumably, are now coming onstream in a big way?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, I'm going to ask you as [indiscernible]. I said to Mark before we started this morning that one of the joys of not being the CFO anymore is that any difficult questions I can give to him, and I can take the easy ones. So they're all yours, Mark.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay, well, let me start with the TCA net debtor, the increase of GBP 360 million. I mean I think you've alluded to, to part of the right answer. Obviously, we've got rising OE deliveries that you saw particular in civil of 23%. Higher thrust engines, Germany, we're sort of getting about 85% to 90% penetration on TotalCare and sort of linked contracts. And again, this phase where you tend to have gaining market share at the front, sort of deeper discounting, it can accentuate a little bit of the TCA debt. But that's 1/2 of the equation. The other 1/2 of the equation is, of course, the number of overhauls that you do. And of course, as the overhauls come in and they can be quite lumpy sometimes, they reduce the size of the creditor and of course that results in the net debtor growing. So there's 2 parts of that element. I think the second sub-point of that first question was, is there a sort of end in sight? I think the short answer is, it will move up and down and grow in line with engines in service, I think would be a sort of natural -- and of course, the combination also between where we are in the cycle and which engines are

on TotalCare and which ones are not, so there's lots of moving parts. But I would expect it to grow broadly in line with our installed base. Your next question, I think, was on the IAE uplift. So if we just sort of re-datum ourselves for a second, the guidance I gave back in 2012 was that we'd see a full year impact of about GBP 140 million for IAE. Of course, we sold our equity share at the half year, so you've got half of that, that GBP 70 million which you had plugged into your models, and we've ended up with GBP 92 million. That was higher than our own original estimates, and it reflects a number of things. It reflects the change of the trading arrangements, but in particular, what we're seeing as a supplier sales of more volumes of certain parts at -- had higher margins. And again, when we think about us as a supplier now, selling parts and spare parts, the order lead cycle is much shorter. It's typically sort of 30 to 60 days, so our ability to forecast that accuracy is a little bit more difficult. So we saw an uplift. Whether it repeats itself this year, we don't know. But in short, we don't plan to sort of, to break out IAE in the civil reporting going forward for 2013. It's now part and parcel of our new trading arrangements. And question 3, this was Marine services progression. I think the short answer is, yes, we're expecting services margin -- the services -- so was it services or services margin, just to be clear?

Unknown Executive

The revenue.

Mark Morris

Former Chief Financial Officer and Executive Director

Services volume. Yes, we expect services to increase this year for 2013. I think was the question you were asking.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Okay. Is that sort of in line with, I guess, what's going on in the market? My question was more around where I'm finding a bit tricky to keep track of is where you're at with the growth of the services network, because once you have increased that network [indiscernible].

Mark Morris

Former Chief Financial Officer and Executive Director

Well, yes, careful. So if we just dial back for a little bit. We've increased the number of service centers to about 37 now, and it's quite important strategically where you place them. But the Marine market tends to be far more reliant on time and materials because ships just turn in to the nearest relevant port and overhaul center where they can go to. So whilst there is some penetration, and we're obviously, that's an area that we're keen to develop, you've got to have the logistics and the supporting network to deliver that. So the investment has been going there. Certainly, the more centers we have, the more ability that we have to capture revenue. And of course, we saw that in after the second half of Marine in 2012. And we expect that to continue in 2013. I don't think you can draw a straight correlations just between adding a servicing center. I mean, intuitively, to a first order, you'd expect to be able to capture more revenue, but whether it sort of goes up at the same sort of rate, I think remains to be seen.

John F. Rishton

Former Chief Executive Officer and Executive Director

You remember the half year, one of the comments that we made about the Marine services was what we were seeing, to a certain extent, was owners and operators being more specific about what they wanted repaired rather than fix everything, fix this, this and this, but don't look at it or don't worry about anything else. So we saw some of that. So there are other dynamics that go on in this business. But certainly, overall, having more service centers will result in us getting more service business.

Okay, yes, stick on the front row, and then we're going to move backwards and then come forwards.

Nick Cunningham

Nick Cunningham from Agency Partners. I thought I'd follow the 3 question trend. Just back to the -- and I'll ask them all together. Just back to the TCA issue, just to clarify, Mark said that 85% to 90% of OE sales were linked. And I think linked hasn't been that big a percentage in the past. Is that now what you expect to achieve going forward and is that sort of an underlying assumption? That's one question. Secondly, on cash, cash has flowed into inventory to some degree over the last few years. I think part of that has been to do with Singapore and other new facilities. Should we expect a lump of cash to flow back out of inventory at some point in the next few years? Are you going to surprise us at some point or will wide-body engine growth absorb that? And finally, in Defense, on the service side, clearly, the services in the U.S. are talking about a full year's continuing resolution impacting on their overhauls in the second half of their fiscal. What's your assumption about CR for the rest of the year?

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm going to spread things out a bit. I'm going to ask Mark to take the first one. I'll maybe take the second, and then I'll ask Jim Guyette at the end to take the third one on the state of the American economy.

Mark Morris

Former Chief Financial Officer and Executive Director

So your first question, TCA capture rather than just TCA linked, so we can have contracts that will have a long-term contract that's not linked to the OE. So we haven't broken out and don't break out what is linked. But aftermarket capture in terms of where we have got some type of contract to ensure that we can either divert overhauls to our bases and ensure that we capture the spares, on new product typically seems to be up at those sorts of levels, but they're not all linked. That's question one.

John F. Rishton

Former Chief Executive Officer and Executive Director

And I don't think you should assume 85% is a trend or something for the future.

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, absolutely.

John F. Rishton

Former Chief Executive Officer and Executive Director

You need to be careful with that thought process. But as Mark says, you've got linked and unlinked, and the difference in the 2. On cash, surprises are frequently good. So I'm not going to try to disappoint you with the potential for surprises. What I would say is that the inventory that we have is not simply where [indiscernible] and that is, once you've sorted that out, it will be okay. The scale of the changes that we've got coming at us in terms of the growth potential, or the growth of the business that we've got built in and the potential growth, means that we have to be thoughtful about inventory. If I look at our turn rate across the group, for the sake of argument, it's around 3%. That is too low. We need to work at driving that inventory turn rate up, but it will be, as I've said about cost, take us some time and will have to be carefully managed because again, what we're trying to balance there is delivery to customer and execution, where I do not want to fail and we will not fail, against the benefits of -- the financial benefits of releasing cash. So in my simple world, we have lots of parts that are out to build an engine, and we're missing a couple of parts. That means we can't build the engine, therefore, I got all these part hanging around. So how do I get focused on the couple of parts that are missing to make sure that we can build the engine at the right time, so I can plan more efficiently and effectively, so that I can drive the inventory performance, whilst still meeting the customer, which is unrelated in some ways to -- when you've got more facilities, therefore, you've got more inventory. So the focus is how do I drive inventory turns, how do I get more specific and detailed in that inventory planning to make sure that I've got the right bits at the right time to deliver the plan, to deliver the customer so that I can drive the inventory turn rate. So

that will take us some time. Jim, do you want to talk about continuing resolutions and U.S. budgetary constraints?

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

Yes, thank you. The simple answer to your question is, yes. However, it's much more complex. Perhaps 3 points of context: First, as a business, we have worked our way through the cuts on this side of the Atlantic, SDSR. We have worked our way through the first series of cuts in the U.S. that were brought about by the Budget Control Act introduced in August of 2011. What we now have to face is this much more difficult circumstance. The other point that I would mention is, with the background of a very challenging defense environment, I think our defense team posted some fairly positive results in light of all of that. So I mention that for purposes of perspective. Now to 2 things. One is the sequester; and two is a continuing resolution. Whether or not there is a sequester or not, a continuing resolution or not, I think we all know that budgets in the developed world for defense are going down. So we have that kind of challenging environment. What makes this much more difficult for us is a sequester. Because a sequester -- by the way, our opinion, not necessarily it's going to be fact. But our opinion is it will kick in on March 1. That will bring with it a lot of chaos. Chaos, because the Department of Defense and the various service chiefs have no ability to move money. They can't change the priority. All they can do is simply take a cut. What makes it even worse is because of the way the law works, they're going to have to take a year's worth of cut in 7 months, and they can't do this with a running start. So again, significant chaos. It's been described as a shave with a chainsaw, and I suspect that, that's probably an accurate representation. Now you asked the specific question of continuing resolution and that the current continuing resolution expires on March 27. In light of everything that's going on, I just don't see how the Congress is going to be able to enact a budget to take us from that point until the end of the fiscal year, the end of September. So again, a continuing resolution.

That just adds to the drama because here again, the service chiefs in the Department of Defense do not have the ability to move money around. It is less money because all they can do is last year's budget, less inflation, again, applied to the same programs. So it is quite difficult. Now having said that, I just don't see how a sequester survives. I just -- I may be wrong here. A great quote by the #2 person in the Pentagon in front of the Senate Armed Services Committee this week. And his quote was, "Sequester is a self-inflicted wound." So we have the ability to stop this and right it because if it continues on, forget defense for a moment, the impact on the U.S. economy is staggering. It probably means over 2 million jobs, and it probably means a couple of points off of GDP. That can't stand, in my view. I may be wrong. So to sum, to sum it up, yes, I think sequester will take effect. It's unfortunate. We'll go through the chaos. It will be painful, but I think we're all going to have to come to our senses after the fistfight is over and resolve it. Now the question you didn't ask me is have we baked some of this into our assumptions? Yes, we have as best as we know how. But again, I want to reflect back to my comments on perspective. I think we have managed through this environment fairly well given circumstances. And we're preparing ourselves for this challenging environment, which means we're going to be looking for other areas of growth, and of course, we're going to be looking to where we can reduce our costs. So I hope that is responsive to what was a rather simple question.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, let's progress a little bit down.

Steven Lee Cahall

RBC Capital Markets, LLC, Research Division

Steven Cahall from Royal Bank of Canada. Just 2 questions on Civil Aerospace. The first, in terms of margin trends, I was wondering if you could talk a little bit about the margin trend in OE versus services? We get the impression with the cost unit reduction in OE, I think we have a good idea what's going on there with leverage. So I guess the question is more focused on what the margin trend has been at services? Are we seeing more contingency release on TotalCare because of better cost accounting and forecasting? Is there anything that's going on in the RB211 fleet that affects that trend? And then

relatedly, if you could talk maybe a little bit about what the installed thrust looked like in the second half? It looks like the services revenues took a sequential change, so if you could speak a little bit to that, and again, maybe contrast what's going on in Trent versus RB211?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, you're up again.

Mark Morris

Former Chief Financial Officer and Executive Director

I will try and answer those multiple questions. I mean, margin on OE and aftermarkets, I mean, at one element, they're both linked because at the end of the day, whether it's a spare part or a part that goes into an installed engine, the cost of the part is the cost of the part. I think we've talked about margin progression. John gave you some color, and I did too, so I won't sort of cover that on the OE stuff again, other than that unit cost remains a key focus for us. Aftermarket, of course, one of the things that we try and seek to do to improve margins is that if you have a T&M model where at short notice, engines are coming in and a work scope may be declared by somebody else that's going into your shop or even someone else's shop. The ability to sweat the assets that you have in terms of your shop utilization, the loading goes through it, designing the work scope is not yours. In the aftermarket world and TCA capture, we would typically set the work scope. And we can decide when and where we're going to pull engines off. So it allows us to optimize the loading into the shops, so that should help, and of course that's a focus we remain on in addressing. And of course, in driving those costs down to ensure that we incentivize customers to come back, some of that is shared. But net-net, it should help drive margins. I think you then sort of dipped into having described that what's happened in H2, and you're comparing H2 of 2012 to H2 of 2011 and sort of said, why is that flat? I think -- is that the comment you were driving at?

Steven Lee Cahall

RBC Capital Markets, LLC, Research Division

Well, that was the sequential change of services sales [indiscernible]

Mark Morris

Former Chief Financial Officer and Executive Director

And I would just say a couple of things. Just step back a little bit, there's a lot of moving parts that go on in aftermarket revenues. And you can't draw any conclusions just by looking at one half. Remember, what drives these are where new engines go in and whether they are -- they have a TCA contract attached to them. So a TCA contract that starts in December will get 1 month's worth of revenue, whereas one that starts in January will get 12 months. So if you started in June, you get 6 months. So you got the movement of where engines are coming in and engine deliveries aren't always just constant. You'll have customers who switch from time and material to TCA. And of course, that will drive. So in the half you can get some sort of movements that will make it drive up and down. And then of course, you talked -- you raised the issue about RB211. And again, some of the older fleets, as it starts to come out, 2 things to remember in our total aftermarket, which includes time and materials and spare sales, is that our older engines, we typically have a far lower level of TCA penetration, sort of 40% to 50%. And although engines may sort of grow in a sort of much more predictable pattern, when we look at retirements of engines, they don't typically just go at a straight line. It depends on where the fleets are and what people are doing with them. So 2 things are happening. If you don't have the level of TCA capture on all product, which we don't, and you start to get some lumpy retirements, which we're starting to see in 524, which is totally expected, by the way. You will get those engines being torn down and the service used material going back into the system and stopping some new spare sales. And that's one of the reasons as I wind the clock forward to another question I'm sure someone's going to ask in a minute, which is civil revenue progression in terms of being modest for 2013 looks low, and part of that is being driven by some of those retirements. I think I've captured all of your questions now.

John F. Rishton

Former Chief Executive Officer and Executive Director

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Okay, let's take one on this side just to be difficult.

David Howard Perry

JP Morgan Chase & Co, Research Division

It is David Perry.

John F. Rishton

Former Chief Executive Officer and Executive Director

Colin Smith, by the way, needs to answer a question at some point in time. [indiscernible] On the basis that we're a technology company, and he's responsible for it.

David Howard Perry

JP Morgan Chase & Co, Research Division

Okay. I've got a bunch of questions. The first one, Mark, sorry, so just following up on what you just said. Are you able or willing to give us a guidance on Civil Aero aftermarket assumption overall for 2013? Second question is I'm just a little bit confused on the guidance for the full year. Does the tax rate, which looks nicely down to 22% to 23%, is that including Tognum, or is that excluding Tognum? So just to clarify that, and I'll try and think of a question for Colin when you answer.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay, well, the short answer to your first question is, no, we don't break out aftermarket guidance on civil. The guidance we've given is excluding Tognum. When we add Tognum to the results, it will drive the effective tax rate higher.

David Howard Perry

JP Morgan Chase & Co, Research Division

I was hoping you'd talk longer so I could think of a question...

John F. Rishton

Former Chief Executive Officer and Executive Director

Somebody else, I'm confident will get Colin. I will ask Colin a question, if necessary. So it will be fun.

Celine Fornaro

BofA Merrill Lynch, Research Division

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Celine Fornaro, Bank of America Merrill Lynch. I actually have one question for Colin. And it's my first one, related to CapEx as well. And it's just if you could explain...

John F. Rishton

Former Chief Executive Officer and Executive Director

[indiscernible] anything to do with finance as well, he really does.

Celine Fornaro

BofA Merrill Lynch, Research Division

If you could explain looking at the cash R&D and also the CapEx, what is driving the increase on '13 against '12, so where is that going again, I would say? My second question is on the Energy division. I thought we had a GBP 26 million charge in 2011 related to industrial trends. So actually, the improvement in margin in '12 is actually probably slightly lower than anticipated, is that a fair point. And thirdly is related to the 787 grounding situation. There a lot of ANAs engines out there that are grounded, how should we think about that in terms of the impact for the group if that was to continue another couple of months?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, I'm going to ask Mark to start on the R&D and Colin to make a few comments about what we're actually doing in terms of research and development. Mark, you may want to comment on Energy, and then I'll maybe pick up the 787 and Jim can add a few comments on that as well.

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. So on R&D, as I sort of guided during my presentation, so spend will be up this year, sort of modestly up is what we've said. But the charge is going to be down, and that really reflects as the Trent XWB has been certified now, we start to capitalize, if you remember, between certification entry into service. And in effect, what we create is a sort of a headwind and tailwind depending on when you start and stop capitalizing and expensing. And that creates the volatility. But the R&D is still being driven predominantly -- remember, XWB 97k, Trent 1000-TEN, continued R&D still on XWB as you bring it into service. And some still some more work on Trent 900. So with that, I'll hand over for Colin to give you the details.

Colin Peter Smith

Former Group President and Executive Director

Well, that's the R&D. As Mark said, it's broadly what we actually do. The amount of work is broadly, consistent a little bit up this year. And underneath that, a part of that is the research and technology, which is the very long-term technology sometimes up to 25 years out. We try and be broadly consistent because we've got technology centers and universities working on this stuff, and you can't keep turning it on and off. And as new programs come in, you pull it off the shelf and implement it. So I think that's pretty covered the R&D component of discussion. On the 787, maybe a little bit of [indiscernible]. Boeing are working very hard to try and get the aircraft back up in the air. As far as we're aware, they're making good progress. We've got 22 aircraft out there powered by Rolls-Royce engines. And we would expect, like aerospace always does to fix the problem relatively soon. We're not going to speculate quite on the timing of that, but they are making progress.

John F. Rishton

Former Chief Executive Officer and Executive Director

And the impact on for us is negligible, frankly.

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

John, I might comment that -- I'll admit this, I have spent 46 years in this industry and have a view on how this industry deals with safety. You'll note that last year was the safest year ever in air travel. And it is in the interest of the manufacturers, be they airframe manufacturers, engine manufacturers, the operators or the regulators, to dial in the highest level of safety that we can. It's in our interest, and we have always done that. And I think this is an example of the industry working together to determine the cause and to get these airplanes back up in the air with safety and confidence. And in our view, Boeing and Airbus and the other manufacturers are very, very highly skilled companies. This will get fixed. It will be fixed properly, and we support the Boeing company.

Mark Morris

Former Chief Financial Officer and Executive Director

Right, Energy. So as I said in the presentation, we look at Energy and profit and margin progression. The Oil & Gas business really drives this business, and the other businesses continue to sort of take an investment, and therefore, drag its financial performance. As we said, we've removed 2 of those, so the R&D associated those would expect to go down and the associated investment with that will start to go down. We continue to see price pressure in the Oil & Gas business. But a lot of good inroads are being made on cost reduction. So we do expect some progression in profit and margin for next year. But again,

it's just worth remembering that these are off small numbers. And the Energy business has low volumes of relatively expensive packaging. And so if something slips over the year, the ability to sort of move the numbers can be a bit more accentuated than it can in our other businesses. But certainly, we are expecting both revenue and profit growth during 2013.

John F. Rishton

Former Chief Executive Officer and Executive Director

Let me just add what I said last year. The finance performance of the Energy division is not acceptable. We know that. We're taking steps to address it. You've seen some of the steps we've taken during the course of 2012. We'll continue to work on that.

Celine Fornaro

BofA Merrill Lynch, Research Division

And is the cash, the CapEx spend in '13, that's going up in '12. We start to see them maybe coming down, so where is it going?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I think -- again, there's this sort of belief in some places that well you've done 3 big engines so R&D should come down. You sort of got this new place in Singapore, so CapEx should come down. And that is simply not the case. As Colin and Mark have said, we'll continue to spend money on research and development, and as I've said in the past, if you see us spending less then I think you should be concerned. The nature of this business is very long term and very long cycle. We need to continue to invest for the future success of the business. And it's the same with CapEx. We've got huge growth. So the spend that we've got -- just to pick out a couple of things here. We've got a new facility, turbine facility in the U.K. We've got a new disc facility in the U.K. We've got new test facilities. We're expanding Crosspointe, and we continue to invest in the expansion of our Singapore facility as well. Just to pluck a few items out of the air. So the CapEx spend and the CapEx requirements of the business are significant. And they won't be going down rapidly anytime soon because we continue to invest for that growth. We continue to invest for the fact that we're going to double our revenue over the next decade. We have significant increases in deliveries. So I want to sort of dispel this belief that sort of R&D is suddenly going to go down and CapEx is suddenly going to stop, and everything's going to be fine. We will drive our cash performance, if I can bring you back to that, by cost, getting the cost down over time and by driving working capital, in particular, inventory turns. That's what we need to do.

Okay, let's go a little bit further back on this side, then we'll come back down this side, and we'll get to you. Don't worry.

Rupinder S. Vig

Morgan Stanley, Research Division

Rupinder Vig for Morgan Stanley. Just 2 questions. I have one for Mark first. John just mentioned cash. Outside of inventory, obviously, that's the focus area. Can you just tell us where do you see potential for improvement there, be it the other line items in working capital? Where is the area that you think you can perhaps do most in, if you like, outside of inventory? And then for John perhaps, when we think about the 4 Cs, how is the pace of the 4 Cs progressing versus what you thought it would be when you first took over as CEO? Just an idea of is it progressing in line? Is it going slightly better, et cetera, et cetera?

John F. Rishton

Former Chief Executive Officer and Executive Director

Just your first question, was it where else in working capital can we get improvement?

Rupinder S. Vig

Morgan Stanley, Research Division

Yes, absolutely, yes.

Mark Morris*Former Chief Financial Officer and Executive Director*

As John said, we focus inventory, first and foremost. But when we look at the other part, the other elements that make up working capital, clearly, we focus continually on overdue debtors [indiscernible]. But in looking at usual trade debtors and creditors, I mean that will just tend to rise and flow with the sink of where we are. And deposits are clearly a key driver. So beating the drum to ensure we get orders with good deposits. Deposits will be another part that we'll be focusing on. I think that the various components you would expect. It's not that we're just focusing one. We're looking at all of them. And of course, as we start to drive out unit cost and improve ability to make more margin on OE, then of course, that will also help as well.

John F. Rishton*Former Chief Executive Officer and Executive Director*

In terms of the 4C's, the pace -- I think -- if I just run through them. Customer. I think we've made good progress through the course of this year. We've still got a long way to go. We made good progress, as I referred to in terms of focus on quality. During the course of year, we introduced something called stop and fix in the facilities. We actually stop production if we think of any issue, so we stop it, fix it and move on. And it's an important mindset change to the business. In terms of delivery, a lot of focus on delivery. And Jim has been leading a particular focus on customers, so I would say good progress on that, still more to do. In terms of concentration, I think if I take it to the kind of things that I've been concerned about, I think the evidence around getting sharper on that is, what do we do and what don't we do, and Tidal and fuel cells would be examples of what we decided that we're not going to do those. But that never really goes away. I think the nature of the business that we have and the kinds of people we employ who are naturally curious, inquisitive are looking to do -- trying to make their focus on what we really want to focus on. It's always going to be a challenge, so it will probably remain one. But I would say some progress there with evidence I've given you. Cash and cost, I would say, less progress and much, much more to do. And I would say to somebody before we came in this morning that one of the differences, as far as I'm concerned with this company as some of the others that I've worked for, is what's the burning platform to be able to get people motivated to work on cost and cash? Because most people don't come to work and say, "Yippee, I've got to reduce costs today and wouldn't it be great if we drove the inventory turns a bit fast -- faster?" And the companies I've worked for, previously, there's been a burning platform of some kind or another. And within our organization, we're in the fullest of position where we've got great growth prospects, we've got a strong share price, very high levels compared to history. We've got profits that are at record levels. It's difficult to get people's attention, so I think we've made a slower start on cost and cash than I would have hoped for. But we're starting to get there, we're starting to get some traction, and we're starting to get the folks' understanding within the business. The ability to get our cost down isn't simply what John Rishton thinks it's important to reduce cost to make him happy. It actually goes to our competitors have an advantage if they have better cost, that means they can price more aggressively than we can. That means they can invest in more product than we can. That means they can invest in more training for people than we can, better facilities, better infrastructure. And getting people to understand that, that's why we need to do it is very important. So that's my sort of, if you like, my performance card would say, I think, good on customer, OK on concentration, room for improvement on cost and cash. Okay. Yes.

Andrew Paul Gollan*Investec Bank plc, Research Division*

Andrew Gollan from Investec. Two questions. First one on Engine Holding, I understand why you can't talk about the future perhaps until that situation is resolved. But the number that came through for the current year was slightly below my number. And I know we're all adjusting to a new world. But within that, can you say what's happened maybe between Tognum and Bergen in terms of financial performance? Is that relative to the association of Rolls-Royce starting to benefit from that relationship because we all have no idea. It's some fairly big numbers that go into make that number that kind of falls into the P&L. Just a better understanding of Tognum and Bergen within the Engine Holding venture?

John F. Rishton

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Former Chief Executive Officer and Executive Director

Okay, let me make a couple of general observations about Tognum, and then maybe I'll pass over to Mark. The process of getting control of the company has been quite long, but we've lived through it. I think if we fast-forward 5 or 10 years, it will be irrelevant. So the good news is, we've got to a place, January 1, as Mark said, we've got control of the company. We'll finish to hope to squeeze out during the course of this year. That means that we can exert far more influence on the company. That means we can get what -- in some of the details, we can start trying to drive those revenue benefits. But as we've always said around the benefits, they are mostly revenue and with revenue as opposed to cost, they take longer to get at because you have to get at them by country by customer by product rather than cost, which tends to be, "Well, let's close the head office, or let's close this factory." And once you've done it, you've got them. So these benefits take longer to get at. As we reflect on it, what I would say is we still think there's significant benefit as we've got to understand their business more as is always the case in these things. Some of the assumptions we made at the start, we said, well actually that wasn't quite right, negatively. Some of the assumptions we made at the start weren't quite right, positively. So overall, we still think this is absolutely fine, some less, some more. And we need to get driving those benefits during the course of this year and into the future. So overall, I would say we're satisfied with where we are on Tognum. Tognum's business is subject, as all businesses are, to the ups and downs of the market and they've had a, I would say, a tougher time during the course of the last year in some areas of their business than we would have anticipated about a year ago. Mark, maybe you want to talk to specifics?

Mark Morris

Former Chief Financial Officer and Executive Director

Right. I think you asked some questions really about what's in Engine Holdings and the financial performance, presumably looking and comparing '11 with '12, is that right? Just to be clear. So let's just remind ourselves. So Engine Holdings is the vehicle, the joint venture through which Rolls-Royce and Daimler have sought to acquire Tognum. We have also put in our Bergen diesels business that went in from effectively our Marine and Energy businesses into Engine Holdings. Now there is some funny movements in Engine Holdings, which surely our IR people can take you through in detail at some stage. But in essence, the only thing that is in there for 2012 on the revenue side is Bergen revenue. So Bergen was put into Engine Holdings at the beginning of January in 2012. And although Engine Holdings now has Bergen in it and the 99% share that we have of Tognum. Because Tognum is still equity accounted, we only have the profit effects. So if I just go between '11 and '12 just to try and help you quickly, so Bergen profit was GBP 44 million in 2011 and a GBP 32 million contribution in 2012. And that predominantly reflects lower OE deliveries at Bergen diesels, again reflecting the sort of market that we've seen in Energy and Marine, suppressed sales of original equipment. And the contribution from JV -- sorry, from Tognum in both years was GBP 36 million for '11. And again, that's only 4 months, remember, because that's the point at which we started to acquire Tognum. And of course, you got a full year's contribution of GBP 77 million for 2012. Now we're just going to sort of wind the clock a little bit forward now because of course as we go into 2013, we're going to fully consolidate Engine Holdings -- or Tognum in Engine Holdings, and of course, that will move from being equity accounted to being above the line. So but if you want sort of check for reverse, I'm sure Simon and the team can take you on detail on that.

Andrew Paul Gollan

Investec Bank plc, Research Division

One other question, please. On civil aftermarket, you've already given some answers on that. But at the half year, you gave a split in terms of growth rates on TCAs and time and materials. Can you do the same for the second half given the question that came earlier and I can't remember who from.

Mark Morris

Former Chief Financial Officer and Executive Director

Off the top of my head, I can't actually. I'm sure if we're prepared to give it to you, we'll provide that to you. But I haven't got that off the top of my head.

Andrew Paul Gollan

Investec Bank plc, Research Division

I would assume that TCA is going to continue to grow steadily and Tognum materials was negative?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes. I mean the key thing to recognize is that the T&M model will tend to be far more volatile market whereas the stability of getting sort of annuity of flow means that you don't see the necessarily the step-ups or the step-downs that you see with T&M. But of course, we do have both, but are heavier weighting towards...

John F. Rishton

Former Chief Executive Officer and Executive Director

[indiscernible] I'm saying, I think at the half year, we talked a little bit about that because it distorted the picture H1, H2. But in the second half that wasn't the case. But Mark's already commented a little bit about next year in terms of some of the Tognum materials as the 524s and 535s come down. So we're trying to give you the significant changes.

Okay, please on this side?

Jeremy David Bragg

Citigroup Inc, Research Division

Jeremy Bragg from Citi. Predictably, another one on cash, I'm afraid. Now I appreciate there's lots of moving parts, and it's a long-term business. But I guess my question is, when is the first year when we're going to start to see these improvements? Because if it's going to be a matter of cash breakeven until 2017 or '18, then the investment case is very different from one where we see steady improvements from 2014 onwards?

John F. Rishton

Former Chief Executive Officer and Executive Director

You're not going to be surprised when I tell you that I'm not going to tell you when we would anticipate the kind of clarity that you would like. What I would say is, as I try to say is, one, we're well aware of the views on cash from numbers of people. Two, we were working hard to reduce our costs, which will drive our margins and help our cash position. Three, we'll work very hard in terms of driving inventory turn rates, which will improve our cash position. We will continue to invest in R&D and CapEx to support the execution and growth of the business. Exactly when you start to see the benefits of that when you take into account the actual model that we have and you're fully, very familiar with the model we would have, especially in terms of civil, which is where a large part of this sits. You've got -- the OE element of civil, which is growing rapidly and the TotalCare that grows behind that, the margins that we make on the OE equipment, the margins that we make on the aftercare, the way that the accounting works for that in terms of the profit versus the cash, these are things that you're familiar with. So you'll be able to model how you expect that to play out. But I'm not going to give you this year, this year or that year. We're well aware of the views on cash. We did what we said we would do in 2012. We're clear where we think we'll be in 2013. And as we get to the next year, we'll give you clarity about where we will be in the future. Let's go to the -- that's perfect.

Gordon Hunting

Gordon Hunting of Fiske. Question mainly for Colin. At the moment, all your big engines are 3 shaft. On the premise that 2-shaft engine is less likely to have dangerous oil leaks, are you going to switch over to carbon blades and also to 2 shafts for your 777 replacement engines? And are you already doing R&D for the 777 replacement? The second thing is a question mainly for the Chief Executive. Have SFO given you a timetable and also is it affecting your order flow in the Far East?

Colin Peter Smith

Former Group President and Executive Director

The simple answer, Gordon, to the first question is, no, we're really comfortable with the 3-shaft concept, for a whole host of technical reasons that I could bore the ears off you, but I won't in the interest of time. We have put an offer into Boeing with an engine that's based on the technology we've been developing, which does include carbon fiber fan blades as I think we've discussed in the press. And all engines have oil in the middle of them, and all engines have a propensity to leak. And each person resolves that in their own way, but I know what you're alluding to.

John F. Rishton

Former Chief Executive Officer and Executive Director

In terms of the SFO, I think you had 2 parts. The second part I remember was sort of the order flow and the first part was?

Gordon Hunting

The timetable [indiscernible]

John F. Rishton

Former Chief Executive Officer and Executive Director

No. The -- in broad terms, I have nothing really to add to what we said in our announcement on December 6. So we provided information to the SFO. We've told you what the potential consequences could be, and that now sits with the SFO. And they will decide what and when they want to do it, and that's clearly nothing that I can comment on. I wouldn't want to comment on what they should or could do. But we haven't heard anything explicitly from them about their plans. In terms of the order inflow, I think that the answer really is, no, we've not seen any change.

Okay? Let's go back, that's the one. Yes, and then we'll come back to the front again.

Charles J Armitage

UBS Investment Bank, Research Division

Charles Armitage, UBS. First of all, can you talk through the average cash, which seemed to, having been improving for the last few years, to go backwards, particularly when you got a slug of cash in at the mid-year for IAE?

John F. Rishton

Former Chief Executive Officer and Executive Director

I think it was a problem with paying for Tognum. That was the, that was the main...

Mark Morris

Former Chief Financial Officer and Executive Director

So it's purely the effect of how averaging works. So in Tognum, sort of quarter 4, we made a payment of about GBP 1.5 billion. So in the previous year, you'd only got 1/4 worth of that in the averaging effect where you got the full year. And then we've only had half of year's benefit at the IAE proceeds. So it's mass.

Charles J Armitage

UBS Investment Bank, Research Division

Okay. And just on the 777X, how big a change does it need to be for it not to be exclusive to GE?

John F. Rishton

Former Chief Executive Officer and Executive Director

So when you say how big a change?

Charles J Armitage

UBS Investment Bank, Research Division

From the current 777, which is exclusive for the [indiscernible]

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, clearly...

Charles J Armitage

UBS Investment Bank, Research Division

To Colin?

John F. Rishton

Former Chief Executive Officer and Executive Director

Boeing decide what they do or don't want to do. Because this is a big engine on a large aircraft, which sort of plays to our strengths, we're obviously very interested, and we're putting in what we believe to be a very competitive bid to get on that aircraft. We don't decide what the outcome's going to be, but Boeing decide that. So irrespective of whether we've made a change of this much, this much or this much, it's still Boeing's decision as to what they want to do. We think we've got a compelling offer, but they'll decide on -- add anything, Colin?

Colin Peter Smith

Former Group President and Executive Director

The only thing I'd add is, as John said, the XWB engine that we've just certified is the most efficient engine in the world, so the external validation of the capabilities that we've got, and we've built on that with technology. So we've got the best engine currently flying. GE you've got to chase to catch up with us will be the way I decide -- I'd describe it. And we'll see if Boeing feel the same way.

Charles J Armitage

UBS Investment Bank, Research Division

Any ideas on when they might make a decision [indiscernible]

John F. Rishton

Former Chief Executive Officer and Executive Director

No, no. Again, that's with them. And as you would expect, I think -- well, it's with them. Yes, back at the front, and we're getting towards the conclusion as we get to second questions. Now you've worked out all the details. Now you've got more difficult questions [indiscernible].

David Howard Perry

JP Morgan Chase & Co, Research Division

No, hopefully, this isn't. I think you said at the last meeting, you'd give us an update on your plans for fixing power gen. Can you just give us some detail on that, please?

John F. Rishton

Former Chief Executive Officer and Executive Director

What I would say is the Energy business in total, we've sort of talked about. You break it down as Mark has done. It had the 5 parts. Fuel cells, we've dealt with. Tidal, we've dealt with. Civil Nuclear is a business we're investing in. Oil & Gas is doing well. Power gen is a challenge for us in a number of ways. What I would say in that area is, one, we have addressed a number of customer satisfaction issues; two, we've addressed a number of product issues, so we're at a better place than we were a year ago, but we're still a small, niche player in that market. And we're trying to get our heads around what are the best -- what's the best approach to address that issue. I don't have any more to say on that today, but it's certainly something that I and others are spending time on.

David Howard Perry

JP Morgan Chase & Co, Research Division

Why is it taking longer? Because I think you were fairly clear in the last meeting, you'd come back to us, I think you said by year end with your plan...

John F. Rishton

Former Chief Executive Officer and Executive Director

I'm absolutely sure I didn't give any date. If I said I was going to give you -- if I said I was going to fix something, I wouldn't have given you a date. If I gave you a date, I wouldn't have promised to fix it. I wouldn't have put the 2 things together, so...

David Howard Perry

JP Morgan Chase & Co, Research Division

I'll have a look at the transcript, maybe I'm wrong.

John F. Rishton

Former Chief Executive Officer and Executive Director

I've learned a few lessons, but that's certainly one of them. No, I'm absolutely sure I never said that we would come back by year end. The progress we made in Energy in total is the ones that we've talked about. And we have made some progress on some issues in power gen. I'm not going to get hung up on a timetable for this because that undermines some of the things that we may or may not want to do. But we're well aware of the issue. And as I said, we're well aware that the financial performance of the Energy division, in total, is not where it needs to be, and we need to address it.

Unknown Analyst

But it's -- one thing I'm struggling with, and I look back at your second slide in your presentation, you've doubled the scale of the business in the last decade. Through the early 2000s and mid-2000s, you generated a lot of cash flow, about 70%, 80% EBIT free cash conversion. We're doubling the business again, and we're not generating very much cash flow, because we're having to invest. I remember when I first visited Derby in '97, the amount of facility renewal that's gone on there has been huge. So the question is a fairly basic one, apologies. But basically, why is this second phase of doubling the business proving so much more cash and capital intensive than the first phase of doubling the business?

John F. Rishton

Former Chief Executive Officer and Executive Director

My superficial answer would be, let's wait for 10 years' time and look back and see what our perspective is, which is the point that I was trying to make in terms of the time frame, which is if you fast-forward 10 years and look back, you may be surprised at where we are. And you may be asking exactly the same question about why you want to double the business, why is it going to cost so much cash again? But you have a different perspective on what the journey that we've been on. Had we told you 10 years ago that we would quadruple our profits, the share price would go from GBP 1 to GBP 9.84, that we would double our revenues and triple our order book, I suspect there would have been some skepticism about that. So my superficial answer is, when we look back in 10 years' time, we'd be able to see the cash generation of the business, where the investment was made and what happens. In all businesses when you look at the fixed structure, things happen in steps. So you have a factory, you've got nothing in it. You fill it. You need a new factory, you spend a lot more money. You go along, you fill it again, you need another factory, you fill it again. So as you go through those bottlenecks or those big steps, that's when you have to spend more money. So if I take a specific example, for us at the moment, which isn't to do directly with production, IT. We spent a huge amount of money on IT in the last 12, 18 months, and we'll spend quite a lot more because we hadn't spent much on it for the previous 10 years. We had got through the previous 10 years substantially under-investing in that. We got to a point where we have to make a big step change, bang, you've got to spend a lot of money. So it's a slightly superficial answer, which is, "Let's look back and reflect on it in 10 years' time." Secondly is how do you go through the bottlenecks? Mark, I don't know if you want to add anything.

Mark Morris

Former Chief Financial Officer and Executive Director

I think you've summarized enough.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, good. Well, thank you very much for joining us this morning. It's been great to have a chance to talk to you again. We look forward to seeing you in 6 months' time. Thank you.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2012 Earnings Call Transcripts

Thursday, July 26, 2012 7:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH2 2011-			-FH1 2012-	-FY 2012-	-FY 2013-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.22	0.25	▲ 13.64	0.25	0.56	0.63
Revenue (mm)	6009.82	5760.00	▼ (4.16 %)	5697.47	13061.79	14817.39

Currency: GBP

Consensus as of Jul-24-2012 8:32 PM GMT

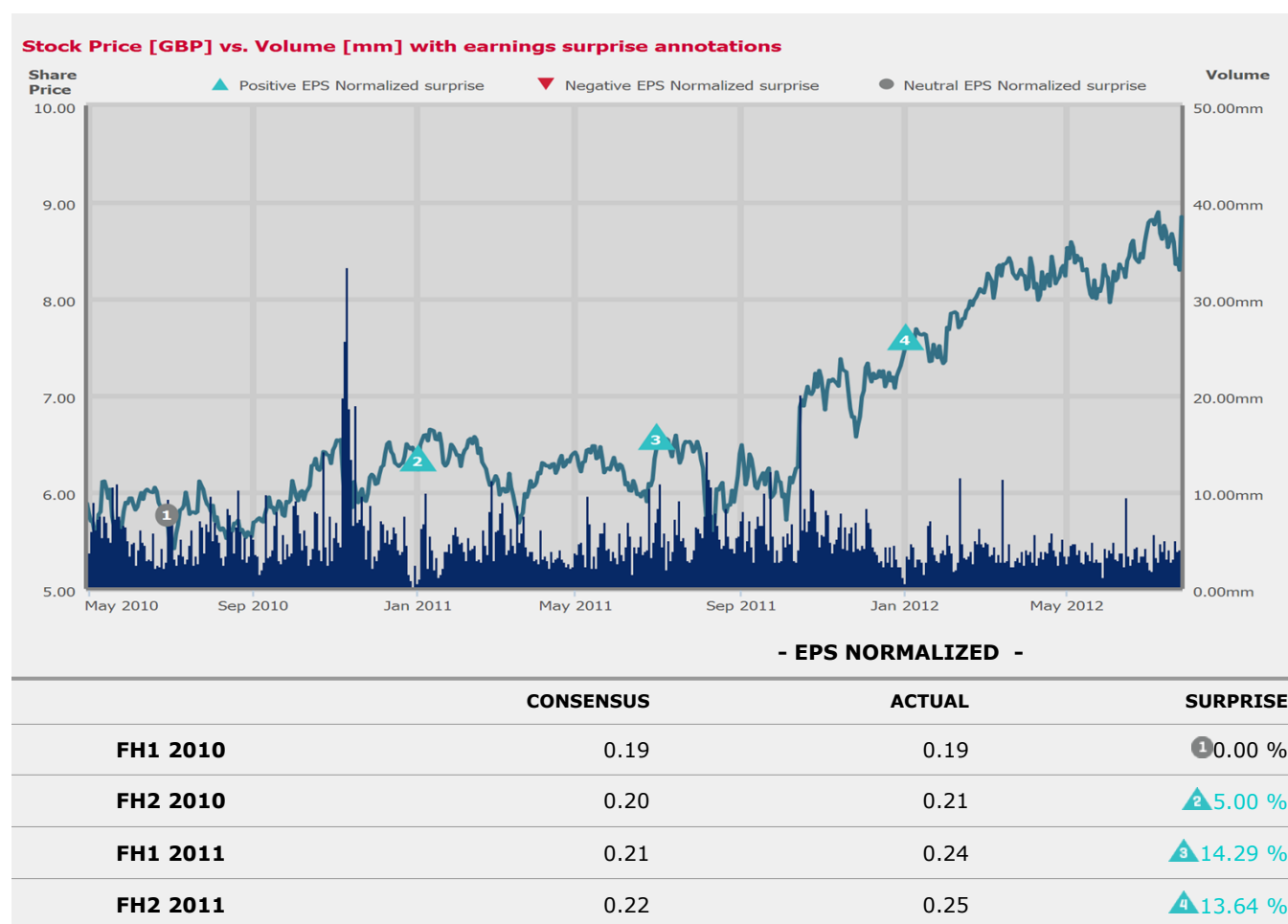


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Call Participants

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Presentation

Operator

Good morning, and welcome to the Rolls-Royce Holdings plc 2012 Half-Year Results Conference Call. [Operator Instructions] And just to remind you, this conference call is being recorded. Today I'm pleased to present Simon Goodson, Director of Investor Relations. Please begin your meeting, sir.

Simon Goodson

Thank you, Hugh. Good morning, and a warm welcome to everybody to our half-year 2012 results webcast.

Just regarding the materials for today. We issued the results stock exchange announcement earlier this morning. The presentation slides for the webcast are available both via this webcast and also via our website, www.rolls-royce.com.

As always, elements of this presentation contain forward-looking statements that are based on our view of the world and our businesses as we see them today. Clearly, these elements can change as the world changes, so please consider them in this context.

So for today's webcast, I'm pleased to be joined by our Chief Executive, John Rishton; our Finance Director, Mark Morris; and also our Chief Operations Officer, Mike Terrett.

It's a busy morning for everyone, so I'll pass straight over to John.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Simon. Good morning. Thanks for joining us on this call. As you will have seen from the press release, we've delivered a solid set of results with the order book up 4%; underlying revenue, up 5%; underlying profit, up 7%; and our half-year payment to shareholders, up 10%. We also confirmed our full year group guidance.

Mark will take you through the details after I finished my brief comments.

As you've heard me say before, we are focused on 3 main areas: delivering the promises we've made; deciding where to grow, and just as importantly, where not to; and improving our financial performance.

Let me give you a few examples of progress in these areas. In terms of delivering promises to our customers, one of our Cs, gas turbine original equipment delivery performance improved in the first half compared with the same period last year. Where are we going to grow? You can see an extensive list of investments in the press release, providing clear evidence of our growth ambitions. Where will we not be growing? Fuel cells. You are, I hope, all aware that LG are now majority shareholders in that business. And for financial performance, our revenue and profit and margins are up in the first half. But we have lots more opportunity, including, of course, fixing the Energy segment performance. I look forward to taking your questions a little later. Mark will now take you through the numbers.

Mark Morris

Former Chief Financial Officer and Executive Director

Thanks, John, and good morning. I'll draw out the main highlights of the group's financial performance for the period, and then I'll update you on Tognum and IAE. As usual, I'll concentrate on the underlying performance.

You'll see from this slide, the order book revenues and profits are all heading in the right direction. And as John just described, we are investing for future growth. The order book of GBP 60.1 billion is up 4%, adjusted for the sale of IAE and reflects GBP 9.1 billion of order intake. Group revenue was up 5% with growth pretty evenly split between original equipment and services supported by good performances

in Civil and Defence as you'll see in a minute. Profit increased by 7%, reflecting increased volume and productivity improvements and a GBP 32 million net contribution from Tognum. We ended the year with GBP 869 million of net cash. This includes the GBP 953 million we have received from the sale of our shareholding in IAE and another GBP 167 million from the transfer of Bergen into Engine Holding, our joint venture with Daimler. Excluding these, there was a cash outflow of GBP 447 million. This reflects where we are in the investment cycle and is in line with our expectations. We're increasing the payments to shareholders by 10% to 7.6p, reflecting our continued confidence in the business.

So let's look at the key components of profit growth. Trading, up GBP 120 million, reflects the benefits from higher volume, favorable mix of business and lower unit costs, offset by the nonrecurrence of last year's GBP 60 million SDRS benefit. The net R&D charge is higher, reflecting our major development programs. As I guided at the prelims, the R&D charge would be higher this year, reflecting increased spend, higher amortization and lower capitalization reflecting where we are. You can expect the increase in the R&D charge for the full year to be roughly double what it is at the half year. Entry fees are lower as the Trent XWB program approaches certification later in the year. And finally, we have the net profit contribution from Tognum.

Turning to cash flow. I'm just going to pick out the major themes in this chart that you're all familiar with. Firstly, networking capital, which increased because of higher inventory associated with the new factories we are opening and the new products we are delivering, together with an increase in debtors. Second, CapEx and intangibles. As you know, we have good visibility of future growth, and we continue to invest in both capacity and product. Finally, we have spent around GBP 350 million in the first half servicing our main stakeholder groups, shareholders, taxes and pensioners. So we're pretty much where we expected to be.

Looking at the full year, I expect cash flow to be around break-even. The second half of the year will benefit from reductions in inventories as volume of deliveries picks up; further order intake, which will yield increased deposits; and improved cash flow phasing an aftermarket activities.

Turning to the business segments. Our Civil Aerospace business has seen strong top and bottom line growth. The order book increased 4%, adjusted for IAE, and now contains around 3,300 engines of which our Trent engines make up over 70%. Our share of the wide-body market continues to grow and we are on course to double our production of large civil engines by the middle of the decade. OE revenue was up 26%, driven by a 14% increase in Trent deliveries and a 22% increase in deliveries of corporate engines. Services revenue was up 10%, driven by our TotalCare aftermarket model and higher engine flying hours. You can expect this growth to continue as our fleet of younger and more fuel-efficient engines expands and new aircraft, likely Airbus A350, and to service over the next couple of years. Profit increased 24%, primarily reflecting the benefit of the increased volume, better mix and unit cost improvements offset by higher R&D and lower entry fees.

Moving to Defence. We are pleased with the performance in Defence, particularly when we adjust for the SDRS settlement in 2011. Revenue showed 4% growth. OE was up 11% due to a 19% increase in engine deliveries. Services were down 2% but if we adjust for the SDRS settlement, the figure was up 10% highlighting that opportunity still exists as you will have read from our recent contract wins. Profit was down 11% due to the one-off SDRS benefit. Adjusted for this, profit was up 23% due to increased volumes, mix and unit cost improvements. Our Defence order book was down 8%, which reflects the budgetary pressures of our major customers. We have a well-diversified portfolio and a large installed base with around 50% of our revenues coming from transport, which tends to be more resilient.

The Marine business now excludes Bergen, which you remember was transferred to Engine Holding at the start the year. It's worth remembering that Marine has 3 segments: Offshore, which makes up 1/2 of the revenue; Naval which is about 30%; and Merchant, which makes up the rest.

In Offshore, there are encouraging signs of recovery, driven by higher oil prices as you can see in our rising order intake. We expect that recovery to continue in the second half of the year. In Naval, we secured some important strategic wins: the U.K. -- sorry, the U.K. nuclear subs contract, 2 more LCS vessels; and our first ever contract with the South Korean navy. Demand in the Merchant business

remains subdued and there's not much sign of a pickup yet. So overall, we expect revenue improvement in the second half of the year, driven principally by demand in the Offshore sector.

It's encouraging to see the 44% increase in our order book with order intake outpacing revenues for the first time in 2 years. Although profit was down 6% due to lower volumes and pricing pressures, looking ahead, we expect profits to be broadly flat for the full year due to increased volume and an improved revenue mix.

In Energy, the numbers also exclude Bergen and there are some big movements here; but remember, these numbers are small in the context of the group. Energy continues to underperform. We have a well-established Oil & Gas business and 4 less mature businesses in power generation, Civil Nuclear, fuel cells and Tidal, which suppressed financial performance. As John had said before, we are reviewing these areas. In the first half, we sold a 51% stake in our fuel cells business to LG, and we continue to invest in the Civil Nuclear business where we see significant opportunities ahead. In Oil & Gas, there is continued bid activity and strong competition for OE, while in Power Gen demand remains weak. However, services in both Oil & Gas and Power Gen have performed well.

Base on our first-half performance and what we see for the rest of the year, we have amended our full year guidance for Energy from an expectation of growth to broadly flat for revenues. We continue to expect some improvements to Energy's profits and group level guidance remains the same.

So turning to our financial strength. We continue to place considerable importance on obtaining a strong investment grade credit rating, and we're pleased to have received an upgrade from Standard & Poor's. A strong credit rating provides assurance to our customers that we are there for the long term and ensures continued access to funding. Our liquidity is strong at GBP 3.15 billion, representing the GBP 869 million of net cash and GBP 2.1 billion of committed facilities with no material maturities over the next few years.

So let's just remind ourselves where we've got to with IAE and Tognum. So IAE first. We completed the sale of our shareholding in June and received a consideration of GBP 1.5 billion of cash. We originally guided for a full year contribution of GBP 140 million of profit, so I expect around 1/2 of that for remainder of 2012. The new joint venture for the next generation of mid-sized aircraft with Pratt & Whitney and the other IAE partners remains subject to regulatory approval.

Our joint venture acquisition with Tognum is following due legal process. We now expect that process to complete in the first half of 2013, and therefore, we will continue to equity account for our share in 2012. We're already working closely with Tognum to coordinate sale opportunities, but we cannot give any financial guidance while Tognum is still listed. Remember that Tognum reports its H1 2012 results on August 7.

So to wrap up, I'm pleased with the progress we have made in the first half of the year. The group delivered solid growth in underlying revenues and profits and cash flow where we expect it. We continue to invest for future growth. And we are confirming our full-year guidance of the group. And I think with that, we'll move to Q&A.

Question and Answer

Operator

[Operator Instructions] Our first question is from the line of Celine Fornaro of Bank of America Merrill Lynch.

Celine Fornaro

BofA Merrill Lynch, Research Division

Now a few questions, if I may, regarding the service performance within the divisions. So in Aerospace, could you just say what was the FX or stripping out the FX contribution on your service growth of 10% there? And the other thing is on the Marine division. What was the service growth achieved, and how should we think about that in terms of the full year contribution?

Mark Morris

Former Chief Financial Officer and Executive Director

I'm not quite sure I fully understood your question. Maybe something I missed when you -- do you refer to FX or do you refer to service contribution?

Celine Fornaro

BofA Merrill Lynch, Research Division

Basically, in the service growth was 10% in Aerospace and those includes or how much is it without an FX, what is the organic number?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Well, FX we said this year is going to be broadly neutral. No FX effect. In relation to the aftermarket, as you've said, we've seen a 10% growth and in Defence aftermarket...

Celine Fornaro

BofA Merrill Lynch, Research Division

And that 10% doesn't include an FX?

Mark Morris

Former Chief Financial Officer and Executive Director

No, it doesn't include FX. So what was your other question?

Celine Fornaro

BofA Merrill Lynch, Research Division

The question was in Marine where the services seem to have been affected in H1. So if you could tell us what was the service growth in H1 for Marine and what is the full year outlook for that?

John F. Rishton

Former Chief Executive Officer and Executive Director

Well, services growth was negative as you can see in the press release. It was down about 6%, the services of Marine. And I think what I would say is there are couple of factors there. First of all, there is some evidence that -- of some deferrals of servicing in the Marine sector and secondly, when servicing is coming in, there's some evidence that instead of a more general servicing, they're being very specific about service requirements so there is slightly less spend on each service element. I think, again, not entirely surprising when you look at the economic environment. But those are, I would suggest, are the main reasons for the decline.

Mark Morris

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Former Chief Financial Officer and Executive Director

Again, looking forward in terms of -- for the rest of the year, we're expecting revenues in Marine, including services revenues, to tick up. If you look at the performance in the first half relative to guidance, we've obviously got -- there's an increase in the second half. I think there's 2 elements to that: the OE, and again, given the orderly tons, most of that order intake is already booked, written and contracted, and we're expecting more growth in aftermarket, particularly in Offshore in H2, which is why we're confirming the guidance for Marine.

Celine Fornaro

BofA Merrill Lynch, Research Division

Okay. And just as a follow-up on the Aerospace services, last year, at the H1, you gave a bit of a flavor on the service growth of 10% in Aerospace. If you could just tell us what was the TotalCare growth and what was the time and material growth compared to that 10% number. Was one stronger than the other one?

Mark Morris

Former Chief Financial Officer and Executive Director

Okay. Yes. Of course, it wasn't me who gave that update back in H1 in 2011, but I can probably remember what was said. But in relation to H1 this year, and again, as you know, broadly about 2/3 of our aftermarket revenues are on some form of long-term services agreement with the remaining 1/3 on T&M. And if I look to the growth that we see in civil aftermarket at 10% this year, about 3/4 of it has come from aftermarket and about 1/4 of it has come from time and materials. And again, I think this sort of reflects our model, which is the sort of pay-as-you-go on engine flying out and it's all thrust-related whereas, of course, in T&M, the ability for the operator to either defer or reduce the work scope means that you can see a bit more volatility. And again, we're aware that when you look at some of our other peer groups are reporting, you'll see a mixed bag of results there.

Operator

Our next question comes from the line of Ben Fidler at Deutsche Bank.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

A few questions please. Firstly, just if you can comment on the pricing environment that you've seen in OE in Marine on some of these new orders. It's good that you see the order intake up. But just, yes, wonder what the pricing has done there on a year-over-year basis. The second question was just around the TCP net data [ph]; I noticed up GBP 168 million in the first half. If you can help me just figure out where that full year increase in the TotalCare Package net data [ph] might be headed for 2012. And the final one -- sorry, another one, on commercial aero engine services, was there a significant element, at least, from conversion from ton material into TotalCare in this half or is the 10% growth that we saw sort of true underlying number? It will be helpful just if you're able to comment on that.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Why don't I just talk a little bit about pricing and then I'll ask Mark to deal with the numbers questions. In terms of pricing, the pricing has been under some pressure in Offshore and in Marine in particular. Again, that's something you would expect in the environment in which we're operating. So we've seen certainly some pricing pressure there, which is why we are working hard. You would expect to reduce our cost and improve our efficiency. Mark, do you want to make some comments about TotalCare and services?

Mark Morris

Former Chief Financial Officer and Executive Director

Yes, certainly. I think in terms of the TotalCare, you're right, Ben. Obviously, the data [ph] has risen and I think that's primarily reflecting the higher uplift in engine deliveries of 15% weighted towards Trent

deliveries. And of course, as you all know, a significant higher proportion of new business tends to be on some form of LTSA, and of course, we get the usual effects, the TCA accounting providing services, the timing differences between recognition of income and costs and payments of -- cash payments and receipts. And that's what you're seeing in the front and in terms of it growing there. Again, I think, as we've given full year guidance, it's pretty much in line with that. In relation to services, H1 did not have any significant transfers from time and material to aftermarket -- sorry, to TotalCare-type contracts. So it's the usual phraseology, more underlying, more normal.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Okay, that's great. I just need to clarify on that TotalCare. Your comment that the first half is in line with the full year implies presumably we should see a broadly similar level of increase in the second half. Should I read it that way, or have I misunderstood reading between the lines?

Mark Morris

Former Chief Financial Officer and Executive Director

No. I mean, I think we can get -- I mean, we don't sort of divide things, from 1H to the next. I mean, I think just in terms of the full year guidance, I'm not suggesting necessarily the H2 will be the same growth as you'll see in H1. But in terms of the full year, the guidance obviously falls in line.

Operator

Our next question is from the line of Nick Cunningham of Agency Partners.

Nick Cunningham

Two questions, if I may. First on percent, which, as you've guided, produced a very good margin, over 17%. And perhaps considering an excess of the traditional margin that you get out of that division, which has been in the 10% to 13% range, which is normal for the industry, so I was wondering if you could give us a little bit more color on how that's arising so that we can perhaps judge as to the sustainability? Second question, cash flow. You've continued to guide to neutral free cash flow for the year because you're in an investment phase. Question really there is, when you get out of that investment phase, what would normal free cash flow be? In other words, how much of the cash out this year is attributable to the fact that you're in a sort of extraordinary investment phase?

John F. Rishton

Former Chief Executive Officer and Executive Director

Nick, thanks for your questions. Let me make a couple of comments and ask Mark if he wants to add anything. In terms of Defence, as you rightly say, we had, I would describe, a very strong margin in the first half -- I'm sort of hesitating at using the words exceptionally strong, but certainly a very strong margin in the first half. If you look at the guidance that we have given you, I think that that will lead you to believe that 17% is not a margin that we would anticipate, not would continue in the future of this year. We would expect to see it returning to more normal levels. So if you just do the math in terms of the guidance, I think that's the conclusion you get. So 17%, which was a terrific performance from the guys in Defence is very strong and reflects the mix of business, the cost reductions that we've put in place, et cetera, et cetera. In terms of cash flow, we've been investing for some time and we continue to invest to support the future growth. And you'll see in the press release a number of examples of capital expenditure. And again, you're familiar with that list, whether it's new facilities, new machinery, et cetera. You're also familiar because you know as well that when we open new facilities and expanding growth, we inevitably end up with more inventory than we would do if we were in a steady state. So the fact that we opened Seletar, our facilities in Singapore earlier this year. But we're not producing anything from those at the moment, doesn't mean to say that there is no inventory, and there clearly is. We are going through tests. We've got engines out there, Trent 900 engines in the assembly plant, we've got fan blades in the fan blade plants. So we have been increasing inventory as a consequence of that. We've also continued to spend significant amounts of money in terms of research and development as we continue to invest for the future. You know all of those elements. In terms of what a normalized situation would

be, I mean as frequently the case, it's difficult for me to sort of create a picture for you of --I'm trying to picture myself about what I would want normal to be because I quite like having all these growth opportunities and I hope that they continue into the future. So let me answer from a slightly different perspective. We are clear that we need to improve our cash performance, and certainly, the areas that we will be concentrating on really are around working capital, and within that is primarily inventory and inventory term performance. And Mike Terrett is here with us today and Mark Morris and myself and many others in the rest of the business spending a significant amount of time on that, trying to manage the balance between what we need in new facilities to test those out, how do we manage out inventory and complex supply chains to make sure that we deliver to our customers. As I've said, we've improved our performance. You've seen -- just taking Civil, we've increased the number of deliveries by 15% in the first half. So significant changes going on in within the business; how we can continue to meet our customers' requirements while at the same time improving our efficiencies. So it's a complex equation, but one that we are fully focused on. So I haven't answered your question as you would expect. That is, you would expect me not to answer your question. But what I am saying is that we clearly recognize the significant opportunities in terms of improving our cash performance, particularly from working capital, and within that, particularly from inventory. But these things take time and we need to manage it carefully because of the items that I've spoken about. Mark, do you want to add anything to that?

Mark Morris

Former Chief Financial Officer and Executive Director

No. I mean, only on Defence margins. And I think as we've guided to modest growth, both in revenues and profits, you can see that we're not wanting you to get run away on return on sales, that full year is going to be more towards the mid-teen range rather than where we are at the moment. So I guess -- I mean, on cash, I think sort of John has really covered it, I mean it's not as if it's going to change overnight and next year all of a sudden we're just going to be looking at CapEx that's sort of in line with depreciation or something. We continue to invest in a growth cycle. You can see the order book. We've got production and we've got a doubling of our Trent production over the next 5 years or so. And of course, we continue to open up new factories and so these will give us those operational benefits and ensure that we can deliver the capacity. So it's -- along with a number of opportunities that I think John just described.

Nick Cunningham

Can I just follow up briefly? If you were to benchmark your peers in terms of inventory turn, where do you think you ought to be, because we might be able to use that to try and perhaps model where, if you like, a normal level of working capital would be.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I'm happy to help you with your model, as you're all aware. Clearly, you're aware of this. Our inventory turn performance compared to GE as an example is far worse, and are a number is I think I've seen before. There are a number of what I would describe as structural reasons for that and a number of reasons that are bad out performance. Structural reasons may be the fact that GE has huge volumes of the CFM engines, which certainly always help inventory turns. But they have managed their inventory, I would say, more effectively than us in a number of ways and we're trying to learn from that, and we will improve it. So we think we've got considerable scope to improve our inventory turn rate. But it will take some time because I want to make sure that we don't get the balance wrong between satisfying our customers, managing the launch of new facilities while trying to drive inventory turn rate up.

Operator

Our next question is from Rupinder Vig of Morgan Stanley.

Rupinder S. Vig

Morgan Stanley, Research Division

Just got 2 questions, please. One, perhaps just about unit cost reduction. And Mark, you mentioned a few times during the presentation, there had been a benefit coming through. Can you just give us an

idea, given Mike is also there, in terms of what's being done, what the scale of the improvement might have been, perhaps in Civil plus also the other bits and pieces of the business. And then just a question on Energy, perhaps for John. You mentioned right at the very beginning that obviously you're improving performance in Energy is a key focus. You've obviously done the fuel cell agreement, which you talked about. But what else might we expect over the next few months? What's the time line for further progress in this division?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Let me start with Energy and then I know Mike is keen to talk about unit costs; he is anyway when I talk to him. In terms of Energy, I've said a couple of times, it's quite clear if you look at the segment results and you look at them over a number of years that the financial performance there is unacceptable, so we need to address that. As with all these things, whilst it is clear that we need to address it, the time it takes to address it and the complexity of doing that is always going to take a little longer than most people expect. I'm delighted that we've formed this joint venture with LG. I think LG bring with them some terrific skills, capabilities and knowledge. And we look forward to working with them and the progress of that in the short term has been up and running has been pretty good. So I think that, that is a fairly clear answer to the future as far as Rolls is concerned as to fuel cells. You're also aware that I've made comments about time that we need to address that and we're making some progress on that, but I'm not going to discuss that in detail today. But I'm hopeful that we'll have something to say about that by the end of this year. In terms of Power Generation and the other elements of Energy, the Oil & Gas section, the comments that I've made about there in the past is that we need to address a number of issues there regarding some of our product performance cost rose to market. Those, again, take a little longer than some people would like. We are working on those, but I'm not going to get into any commitments in terms of time frames on that. I can assure you that it has our full attention. It is something that we have been looking at, are looking at and will continue to look at to make sure that we have a solution, to make sure that the financial results in that segment are consistent with the rest of the group. The other area that we have -- yes, that we're committing to is Civil Nuclear. And as I've described in the past, Civil Nuclear is a fledgling business. Its performance in the first half in terms of IMC wasn't where we would have liked it for a variety of very specific timing reasons and it will improve in the second half. But it's small business where we're investing for the future. We're making good progress there in terms of the agreements that we have with the prime contractors, Areva, Westinghouse and Rosenergoatom, for example. So I'm comfortable that we're in a good place in terms of Civil Nuclear and that there are good growth opportunities there that are profitable. We've made clear decision on fuel cells. We will be addressing the other elements of Energy to make sure that, overall, we get a satisfactory financial performance. But it will take a while. Mike, do you want to talk a little bit about unit cost?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Yes, first thing, I'll talk generally about unit cost and productivity and investments. As with John's comments on inventory, these are very long-term things that we ship and I've been saying this to you for a number of years now, that it's a long-term process in operations. Our aim has always been and continues to be to drive productivity to at least eat inflation or beat it. The reason we don't speak in specifics on unit cost numbers is that we have such a complex mix now across different sectors and different product mixes inside gas turbines. So we'll only talk generically and say that we're pleased with the progress we're making on that long-term battle. And the things that we're doing are working. But to give you a sense of why it's complex picture. This year we're going into full production from essentially a flight test program into full production on the Trent 1000. So that's obviously from a learning curve. The same is happening on the BR725, which has, again, gone from flight testing to full production. With that, we have obviously the learning curve that we're working our way through. But on the other hand, new products have the full benefit of all of the productivity and investments we've made on manufacturing techniques. So you've got 2 trends. We're in the middle of a flight test program. We started with the flying test bed, we're building the flight test engines, A350. So those had also gone through our facilities; very large, 9-ton engines in amongst of volume engines. Facilities that we've invested, and you know about these, in America, in the U.K. and Singapore. They are going from empty sheds into full production. And

those are in our cost base, but not yet in our revenue. So in that complex mix, we don't give an average number. But we are seeing the benefits in those facilities of putting in modern manufacturing techniques, modern control processes. And over time, they will allow us to capitalize on the volume, which also, obviously, offsets all our fixed costs. So it's an encouraging trend, but I think we will not be giving a 1-point guidance on those numbers.

Operator

Our next question comes from the line of Robert Stallard at RBC.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

First of all, a question on the aerospace aftermarket again. I was wondering if you could tell us how discussions with your customers over the last 6 months have been going on the time and materials side and whether you've seen any sign that they could even be deferring or destocking spare parts?

Mark Morris

Former Chief Financial Officer and Executive Director

Well, I think in the previous couple of [indiscernible]. I mean, when we look at the growth in all our aftermarket, the fact that 3/4 came from TCA and 1/4 came from time and material, certainly in this half, relative to 2/3-1/3 split would suggest that -- I mean, there can be a number of factors in terms of how many particular overhauls we scheduled. But there is no doubt that out in the market, there is a mixed response from different airlines in terms of what they're doing. In terms of either deferrals or lower spec overhauls. But I think it comes as no surprise that airlines are looking to preserve cash where they can.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Has this materially changed over the last 3 months?

Mark Morris

Former Chief Financial Officer and Executive Director

Off the top of my head, I couldn't tell you. I mean, I don't think, just looking it -- and again, you can't draw any conclusions just from 3 months worth of data on T&M.

John F. Rishton

Former Chief Executive Officer and Executive Director

What I would say is I continue to be particularly pleased that we have focused on and continued to focus on our a TotalCare packages rather than time and materials. And I think that if you were to line up the services, for example, on Civil, in terms of the performance that we've had versus what you're seeing with some people who are primarily on time and materials, I think you'll see the answer to your question.

Robert Alan Stallard

RBC Capital Markets, LLC, Research Division

Yes, yes. And then secondly, on the Trent 1000, I was wondering if you could comment on the issue over ANA with the gearbox whether it has any impact on your delivery schedule or R&D costs?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, clearly, disappointing that we caused the ANA an issue, but we and they are primarily focused on safety, which is exactly where it should be and we found a component in the gearbox was wearing a little more quickly than we thought it should. So I think the summary is they put 5 aircraft on the ground, 4 of those aircraft are now back in the air and I believe the fifth one will be up again soon. Clearly, that causes some changes in our production. But in terms of financial consequences, they're not material.

Operator

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Our next question is from the line of David Perry of Goldman Sachs.

David Howard Perry

Goldman Sachs Group Inc., Research Division

Maybe it's one more for Mike. I was just wondering, Mike, can you help me scale the size of the facilities in Singapore and Brazil? How many employees are in each and just whether you've got any medium-term plans to have more such sites in, should we said, developing markets, please?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Okay. Well, first of all, just to take that last point. Well, clearly, where the customers is important in both those locations, but also we need a [indiscernible] as well. So that -- those factors drive where and when we decide to have facilities. So we need both. So future decision will be based on capacity needs and also a whole range of strategic choices as to whether that influence our location of the facilities. Broadly speaking, there'll be 1,000 employees in the Seletar site when up and running fully. And we're in the recruitment process, as I speak, and we're building up quite nicely there. I don't have a precise number to hand in Brazil, but it's substantially smaller than that. It's in the sort of 100, I think, that sort of territory. And we're clearly nowhere near having that number of employees yet because we're building the plant. It's -- hopefully, that market will be good and strong for us in Brazil. And there's certainly a lot of opportunity in there in the Offshore, and we'll see how the market develops.

Operator

Our next question is from the line of Finbar Sheehy at Sanford Bernstein.

Finbar Thomas Sheehy

Sanford C. Bernstein & Co., LLC., Research Division

Back to Marine for a minute. You've been working to expand your waterfront presence around the world. Can you give us an update on where that is and whether it's a significant contributor at this stage of the order, is that you're seeing?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, as we already said, we've been expanding the number of service centers that we have around the world. If I remember correctly in the first half, it was not much significant change in that. There wasn't any change in that. We will continue to grow our service network. Just going off at a slight tangent on that, one of the things that we're looking at as part of that is the relationship now that we have with Tognum, which has, again, as you would expect, a significant number of services albeit with -- in terms of different arrangements in terms of ownership, but how do we look at the total network in the future. In terms of importance, again, as we've touched on the reason that we're opening these service centers is that the Marine is different to Civil Aerospace. It generally needs physical presence if you're going to do the overhaul and the physical presence where the ships are because no one is going to take them halfway around the world to get them -- to get to repair and overhaul. So it's important that we have service centers where the ships are, and as the centers of gravity of where the ships are shipped, then we need to make sure that we reflect that in our network. So we will continue to expand. It is a very important element of our offering and it will become an increasingly important element of our offering in the future.

Mark Morris

Former Chief Financial Officer and Executive Director

And as I indicated, I think you can expect some improved performance in aftermarket in the second half in order for us to get to our guidance that we've given.

Operator

Does that answer your question?

Finbar Thomas Sheehy*Sanford C. Bernstein & Co., LLC., Research Division*

Just to come back to the order flow. Is it the network of service centers a significant contributor? Do you expect it to be to the order flow or is that more OE focused when you report backlog?

Mark Morris*Former Chief Financial Officer and Executive Director*

Yes, in terms of lead times, let's just recalibrate ourselves. I mean, generally on OE, you're looking around 9 to 18 months in the Marine business. And on spares, I mean, it can be anything from sort of 24 hours to normally 3 months to something longer if it's a major item. So it will cycle its way through the order book and it will be whatever it is at that point in the cycle when we strike the balance sheet date. But -- so the answer is, yes. It does contribute whether it's a significant contributor. I mean clearly, it generally is driven more by OE just because of the short lead times of aftermarket. And again, Marine, just remember that -- and again, I think you've got this in the back of your data pack. The amount of business that is actually on some -- of LTSA is actually quite low [in general related to Naval business, so its predominantly T&M. And again I think, as John alluded to, that T&M is subject to people deferring and lowering [indiscernible] if they're looking to preserve cash.

Operator

Our next question is from the line of Sandy Morris at Jefferies.

Sandy Morris*Jefferies LLC, Research Division*

Trying to phrase this as a question rather than a statement, but Civil Aerospace clearly had a very strong first half despite headwinds from R&D and/or contributions. I mean, Mike sort of rounded it off, but I guess my take is we probably did very well on A330, so a long-established program. And we were quite punchy, much punchier than I expected on BizJet. I mean, as we go on into the second half, go off in the newer programs [indiscernible], does the mix slightly weaken for us? Sorry, I'm in my glass half empty-sort of mood at the moment

John F. Rishton*Former Chief Executive Officer and Executive Director*

Well, if you need to get another kind of glass, Sandy, I'd tell you. I can't believe you'd be so pessimistic. We saw a good increase in deliveries in the first half as you can see from the numbers at 15%, significant increase in wide-body deliveries and an increase in corporate jets as well. If you look at the volume for the large Trent, the volume is clearly -- the Trent 700 or the A330 and that really doesn't change significantly in the second half, certainly as far as I'm concerned, because the Trent 900 is relatively low volumes anyway and the Trent 1000 is still in early stages of ramp-up with relative low volumes.

In terms of corporate jets, as you say, that was significant volume. But as Mike started speaking about the -- getting into the production of the 725 engine, we would expect that to ramp up and continue to ramp up in the second half and into next year as well. So that should be -- it's important for us in the future. So if I look at the total mix in terms of engines, large and small, I wouldn't expect a significant change from Half 1 to Half 2.

Simon Goodson

Okay. Thanks very much, everyone. We're going to finish there. I'm sure that we've got more questions, but we'll have to take those up via the IR. So thanks to John, Mark and Mike. And thanks to everybody else for listening.

John F. Rishton*Former Chief Executive Officer and Executive Director*

Thanks very much.

Mark Morris

Former Chief Financial Officer and Executive Director

Thank you.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Thank you.

Operator

This now concludes our call. Thank you, all, very much for attending. You may now disconnect your lines.

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FY 2011 Earnings Call Transcripts

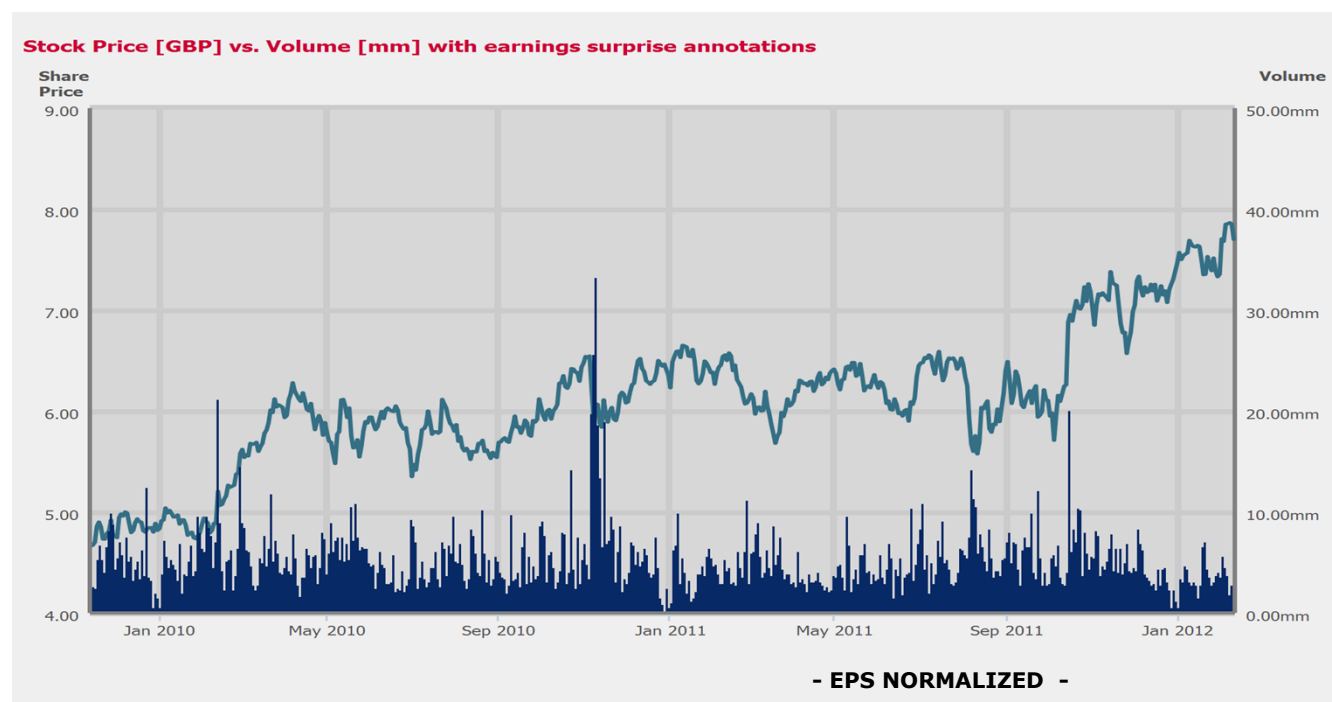
Thursday, February 09, 2012 3:00 PM GMT

S&P Global Market Intelligence Estimates

	-FY 2011-	-FY 2012-
	CONSENSUS	CONSENSUS
EPS Normalized	0.45	0.53
Revenue (mm)	11397.18	12737.38

Currency: GBP

Consensus as of Feb-09-2012 2:29 PM GMT



	CONSENSUS
FY 2008	0.36
FY 2009	0.37

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Call Participants

EXECUTIVES

Mark Morris

Presentation

Operator

Ladies and gentlemen, thank you for standing by, and welcome to the Rolls-Royce 2011 Fixed Income Call. [Operator Instructions] I must advise you that this conference is being recorded today, on Thursday, the 9th of February, 2012. And I would now like to hand the conference over to your speaker today, Mark Morris. Please go ahead, sir.

Mark Morris

Thank you. Well, good afternoon or good morning or wherever you are. My name is Mark Morris, I am the Finance Director for Rolls-Royce and this fixed income call really is to go over our preliminary results for 2011. I'm not sure if any of you have managed to either read our press release or see our WebEx. So what I'll do is just give a quick summary in highlights of our results and then I'll open up the floor to questions.

So I guess the first thing to say is it's been a good year for Rolls-Royce 2011. We had a record order book, record underlying revenues and record underlying profits and the first time profits of over GBP 1 billion. I think this demonstrates an increasingly resilient business. We've had 10 years of consistent progress. And over those years, we have consistently grown the order book, our revenues and profits.

We doubled revenues in the last decade. And we're confident of doubling them again in the next decade, when we look to our order book which provides us good visibility and confidence about the growth of our business.

Order book was GBP 62.2 billion, which is up 5%. Underlying revenues at GBP 11.3 billion were up 4%. Underlying profit was up 21% and again, that included a number of but one offs, including some foreign exchange benefits, and obviously, the movement that we generally have in things like volume and mix between original equipment and aftermarket deliveries.

It's a strong financial position, we ended the year with net cash of GBP 223 million after an acquisition -- a number of acquisitions that we made to the tune of about GBP 1.5 billion. Reflecting our confidence in the business and our order book, our final payment to shareholders of 10.6p bringing the total to 17.5p providing a rise of 9%.

I guess where we are in the cycle at the moment is very much investing for the future against the large order book that we have. We had someone -- over the last 18 years, we delivered around 2,000 Trents, and we're looking to deliver 2,000 Trents over the next 5 years. So you can see it's quite a significant ramp up in load for us.

During the year, we made 3 strategically important decisions, one was our joint acquisition with Daimler of Tognum, the largest made by Rolls-Royce to date, provides highly complementary portfolios with our existing business and will create new opportunities for growth.

We also entered into an agreement with Airbus for the A350-1000, exclusive position on that aircraft, which strengthens our position on the wide-body market. And finally, in the second half of the year, we announced the restructuring of IAE, where we look to sell our equity shareholding of 32.5%, realizing the value of our investment. And we will continue to be a subcontractor in the existing arrangement. And at the same time, announcing a new JV with Pratt & Whitney for the future midsize market.

We made good progress this year on a number of programs, the Trent XWB has now over 1,500 hours tested and the number of -- sorry, hours completed. The BR725 will enter service on the new Gulfstream 650 in 2012. The LiftFan for the new JSF will be a various variant to the F-35, has performed a number of demonstrations on various carriers and on airfields and so forth. And finally, the TP400, which goes on the new aircraft, military transport aircraft, the A400M. That is of 8,000 flight test hours now and the aircraft is due to enter service in 2013.

We're becoming increasingly international. We're well-diversified by geography, markets, products and sources of revenues. Our order book, at GBP 62.2 billion, of which around 1/2 of it is from Asia, the Middle East and South America, and is larger than the entire order book in 2006. Nearly 1/2 of new orders this year are from faster growing economies, GBP 5 billion from Asia alone. We continue to keep a focus on costs and operational efficiency. Significant investments in technology facilities, tolling capability continue, reflecting the larger order book and the load rises that we're seeing at the moment.

Cross-points, opened in the U.S., now producing discs, our new facility in Singapore, Seletar, will be opening next week and production begins in the second half of this year. On top of that, we've expanded our Marine services network capability, opening up 4 new facilities and expanding one. And similarly, in our Energy business, we're opening up a new assembly and test facility in Brazil, which will open up in 2013. Again, to capitalize on both activity that's running in the Marine and Energy sectors there in the offshore markets.

Productivity, steadily improving. Revenue per person, up every year for a decade and now at GBP 274,000 per employee.

Just dipping a little bit into the results for the sectors. Civil Aerospace, the order book was up GBP 51.9 billion and that's up 7%. Revenues at GBP 5.6 billion were up 13%, and underlying profits at GBP 499 million, up 27%. The outlook for our Civil business is good and we've guided underlying -- good underlying revenue growth and strong underlying profit growth. Defence Aerospace, while the order book was down, underlying revenues were up 5% and underlying profits are up 22%, but benefiting from a one-off GBP 60 million settlement -- termination settlement from the Strategic Defense Security Review. In terms of guidance we've given this year for Defence, we've guided both a modest increase in revenues and profits.

Marine sector, again, the order book, GBP 2.7 billion, was down about 8%. But more importantly, order intake was up 15% at GBP 2.1 billion. It's important to remember that the Marine business is a much shorter cycle business, typically running the sort of 9- to 12-month period. Again, the Marine business was affected by predominantly, the downturn in the offshore market, which saw our OE deliveries fall some 23%. But again, we're expecting on the back of order intake in the lead order cycle for that to improve in 2012. Underlying profits were broadly as guided and broadly similar to 2010.

And for 2012, we are guiding a modest increase in revenues and profits broadly flat, reflecting continued price pressure in the offshore market. Finally, Energy. The order book was up 25%. Underlying revenues were down about 1.2 -- sorry, GBP 1.2 billion, down 3% and underlying profits of GBP 24 million, down about 11%.

I would characterize with you the Energy business as a mature business in the oil and gas side, which represents about 55% of turnover. And that generally generates good profits. And then less mature businesses in power generation, civil nuclear and low carbon technologies, where we continue to invest and, clearly, this suppresses our financial performance.

The main drag on underlying performance -- on underlying profits for Energy in 2011 were primarily due to higher bid costs associating starting costs of our Nuclear business. And again, in terms of guidance, we've guided both revenue and profit growth in the energy sector. And I think with that, I will stop and allow an open forum up to questions.

Question and Answer

Operator

[Operator Instructions] We seem to have no questions from the phone lines, sir. Please continue.

Mark Morris

Well, it's nice to receive no questions sometimes. I guess one thing I didn't highlight was to give you a group level guidance although it's in our press release. And that was to say that we expect to see continued good growth in both revenues and profits at a group level and I think that just underpins the resilience of our business and the confidence we have in the size of our order book. And in relation to cash flow, we've guided around breakeven. And that's really reflecting the fact that we continue to invest and we're seeing slightly higher R&D, slightly higher CapEx and slightly higher inventory as we get ready for the rising load. However, we think these are both the right things to do when we look at our return on capital employed around 18% and shows it's a good return on our investment. We continue to invest in technology and we continue to invest in growth. And I guess with that, I will end the conference. So thank you. And no doubt, we will catch up with you later. Thanks.

Operator

Ladies and gentlemen, that does conclude our conference for today. Thank you for participating. You may now all disconnect.

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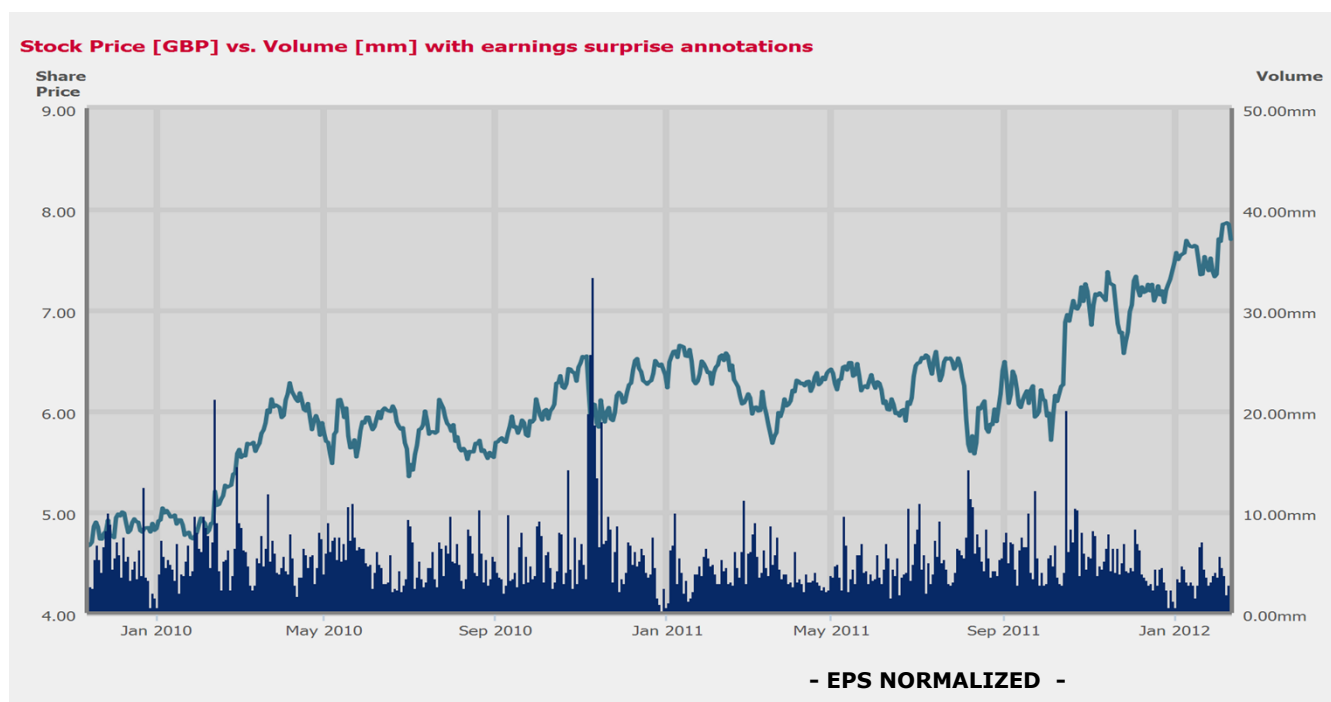
Thursday, February 09, 2012 9:00 AM GMT

S&P Global Market Intelligence Estimates

	-FY 2011-	-FY 2012-
	CONSENSUS	CONSENSUS
EPS Normalized	0.45	0.54
Revenue (mm)	11410.37	12755.21

Currency: GBP

Consensus as of Feb-09-2012 8:18 AM GMT



	CONSENSUS
FY 2008	0.36
FY 2009	0.37

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*Former Group President and
Executive Director*

James M. Guyette

*Former Chief Executive Officer of
Rolls-Royce North America Inc and
President of Rolls-Royce North*

John F. Rishton

*Former Chief Executive Officer and
Executive Director*

Mark Morris

Edward John Stacey

*Haitong Bank S.A., Research
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David Howard Perry

*Goldman Sachs Group Inc.,
Research Division*

Presentation

John F. Rishton

Former Chief Executive Officer and Executive Director

Good morning. Thank you for joining us today. Let me start by introducing my colleagues from the board. On my right, first here is Mark Morris, our Finance Director, taking over, of course, from Andrew Shilston; Mike Terrett, our Chief Operating Officer; Colin Smith, who is Director of Engineering and Technology; and to my farthest right, Jim Guyette, who's President of Rolls-Royce North America.

And I worked out -- my colleagues on the platform have 109 years of experience with Rolls-Royce. And the good news is, that when I sit down, it'll be 110 years of experience with Rolls-Royce. So I'm confident that we will be able to address any of your questions, if not, answer them. I'm going to give you an overview of the business and then Mark will take you through the numbers and then, of course, we'll have Q&A.

So as I hope you will have read this morning, we ended 2011 with a record order book of GBP 62.2 billion, up 5% from 2010. Record underlying revenue of GBP 11.3 billion, up 4%. And a record underlying profit of GBP 1.16 billion, up 21% on the previous year. And this, against a backdrop of a difficult economic environment, especially in Europe. This performance is a real tribute to the people of Rolls-Royce who've worked so hard. To our suppliers, who support us. And of course, to our customers, who continue to trust us. These results are not down to luck, but are the consequence of a consistently applied strategy. A strategy that many are familiar with, that is summarized on this slide.

We address 4 global markets: Civil, Defense, Marine and Energy. We have invested, we are investing and we will continue to invest in technology, capability and infrastructure. These are the sources of our competitive advantage. We benefit from our competitive portfolio, not only in original equipment, but in services as well. We continue to grow our installed base, a hugely valuable asset for the company, but based on the surprise in the value of our IAE holding, is not fully appreciated by everyone. And the provision of product-related services is essential for us and our customers. This strategy has produced significant growth in the last decade. Let me remind you of the scale of that change.

In the last 10 years, the business has been transformed. If I had said in 2002 where we would be at the end of 2011, I doubt that many would have believed me. And if I remind you of some of the headwinds, it is even more remarkable. The SARS epidemic, a soaring oil price, commodity inflation, global financial crisis, recession and more recently, the Eurozone challenges, have all buffeted the markets in which we operate. So our strategy has been very well shop-tested and has still delivered substantial growth. And as we have grown geographically, grown our product offering, grown OE and services, we have become an increasingly resilient business.

As you can see, since 2002, revenue has doubled, the order book has trebled and profit has more than quadrupled. While the share price has risen from just over GBP 1 to GBP 7.85 at yesterday's close. And in addition to being a growth stock, we have more than doubled our payments to shareholders. The transformation of our business and the expansion of our portfolio have given us an even more powerful platform for future growth. While the size of our order book underpins our confidence that we will double our revenues, again, in the decade ahead, before taking acquisitions into account.

In 2011, we took 3 major strategic decisions about the future shape and size of the business: Firstly, we acquired Tognum with our partners Daimler. You will, I hope, have seen Tognum's preliminary numbers for 2011. Revenue of nearly EUR 3 billion, up 16% from 2010. EBIT of EUR 345 million, up 43%. And a margin of 11.6%, up from 9.4%. This is a strong, successful and growing business, a world leader in high-speed diesels. Our product ranges are highly complementary. And with 3 world-class brands, Tognum, Rolls-Royce and Daimler, working together, I am confident that this will be an outstanding acquisition and partnership.

At the Paris Airshow, we announced with Airbus that Rolls-Royce will be the exclusive provider for the long-range A350-1000. As you know, we are the sole provider for the A350 family, and have taken orders

of more than 1,100 XWB engines, which makes it our fastest selling Trent engine yet. The engine program is on-time and the A350 flying testbed will take off for the first time this month.

The third major decision was a sale of our financial holding in IAE, surprising many with the embedded value. At the same time, we announced plans to form a new joint venture with Pratt & Whitney to build engines for the next generation of mid-sized aircraft. Three very important actions, but there were many others.

In Civil Aerospace, we celebrated the first commercial flight of the Boeing 787 Dreamliner, powered by the Trent 1000 engine. The Trent XWB engine is performing well and already has more than 1,500 hours of testing. It is the most efficient jet engine in the world. We also delivered BR725 engines to Gulfstream for their new flagship G650 jet that will enter service in 2012.

In Defence Aerospace, the TP400 engine for the Airbus A400M was certified and is on course to enter service in 2013. It has already flown over 8,000 hours. Our LiftFan system for the F-35B Joint Strike Fighter continued to make good progress during intensive flight tests. And last month, we were delighted the probationary status was lifted, and the first STOVL aircraft have been delivered to the U.S. Marines. Set against this, we were, of course, disappointed that the alternate engine for the F-35 was terminated. Elsewhere, the EJ200 engine for the Typhoon received praise for its outstanding operational performance over Libya.

In Marine, we received an order to power a further 10 U.S. Navy Littoral combat ships, our largest ever surface fleet order. In Submarines, the U.K. government announced that its next generation of nuclear submarines will be powered by our latest Pressurised Water Reactor technology. We also secured the first 2 orders for our award-winning Envision, a cargo vessel powered by liquid natural gas. We continued to invest in our network of service centers, opening or expanding another 5 during the year, to bring us closer to our customers.

In Energy, we won our biggest ever single contract to supply Petrobras, Brazil's leading oil company, with 32 turbine power generators for its offshore operations. Investment continues in our Civil Nuclear business. We signed a number of MOUs with major prime nuclear contractors as we look to leverage our capability in this sector. And signed a EUR 250 million contract to supply instrument and control technology to the world's biggest reactor upgrade program in France.

So we delivered a lot in 2011. Where will our focus be in coming years? First, delivering on our promises. We have made substantial commitments to our customers, and quite rightly, they expect a lot of us. Our job is, therefore, to deliver our record order book on time and specification. Second, we need to decide where we want to invest for future growth and just as importantly, where we don't. Thirdly, improving financial performance. While our financial performance has been good, we can do a lot better. We are growing and volume is a financial friend. We have invested and will continue to invest in new efficient plant and equipment. And we are constantly looking at how we can become more productive. We will improve margins over time. And as our supply chain gradually settles into shape, we will improve substantially cash generation, in particular, from working capital.

I've been working for Rolls-Royce for one year and have learned a lot. I have visited many countries and many of our facilities. I have met customers and suppliers and, of course, investors. I have said it before, but it's worth repeating. This is an outstanding company with outstanding people, professional, committed, enthusiastic and hardworking. As I have described, the business has been transformed in the last decade, showing increasing resilience as its products, OE and services, and its markets, have grown hugely. The foundations are strong, the prospects are exceptional and this is a very exciting place to work. The work we do is essential. It is mission-critical. We are trusted to deliver excellence and we strive to achieve that everywhere, every day. When we remember what we look like at the turn of the century, and we think about what has been achieved since then, it gives us, and I hope it will give you, enormous confidence about what we can achieve in the future. Thank you.

Mark Morris

Good morning, everyone. I'm delighted to be presenting my first set of results as Finance Director. I represent 25 of the 110 years that John just spoke about. I've been group Treasurer for the last 10 years, and I hope you take from that, that I'm well immersed in the business and have a good understanding of the business.

As usual, I'm going to restrict my comments to the underlying performance. You all have the published data and the headline figures, as well as the underlying. But it is the underlying figures that we look at as a business, in terms of how we look and manage the business. So what I'm going to do this morning, I'm going to talk a little bit about the trading performance at the group level, and then I'm going to drill down a little bit into each of the segments and point out some highlights. And then I'm going to provide guidance for 2012. And just to be clear, the guidance that I'm going to give will be excluding the impacts of IAE and Tognum. And then finally, I'm going to give you an update on Tognum and IAE, 2 of the key strategic decisions we took in 2011.

So to the group highlights. As John stated, it's been a good year. Order book is up 5%, reflecting good order flow. Order intake of GBP 16 billion is up 33% year-on-year, approximately 1/2 of the order book from emerging markets. This underpins our confidence in the future and provides great visibility of growth over the next decade. As we said before, we doubled revenues in the last decade and we're confident in doubling the revenues again in the next decade organically.

Revenues, up 4%, underpin strong performance in aftermarket, which is up 9%. While OE revenues were down 1%, despite a good performance from Civil, but countered by lower OE revenues in Marine, which I will come onto later. We should not forget these are big businesses with a number of moving parts. Profit, up 21%, is well ahead of turnover, which represent a combination of a better mix, productivity, FX and a number of one-offs, including the GBP 30 million net contribution from Tognum. And I will cover this in the slide in a minute. Next slide.

Cash. We are pleased with the cash performance. We started the year with GBP 1.5 billion of cash. We've invested GBP 1.5 billion of cash. The business has generated over GBP 200 million to end up with a net cash balance of GBP 223 million. On top of that, liquidity remains strong at GBP 2.5 billion. Finally, shareholder payments, the increase of 9% to 17.5% for the full year, reflects our confidence in the business and the size of the growing order book.

So let's look at some key components of growth on the profit chart. So we're going to start off with the GBP 955 million for 2010. Trading of GBP 52 million represents increases in volume, predominantly Civil and Defense, unit cost improvements, higher contribution from profits from JVs, lower restructuring charges, offset by higher manpower, slightly higher Civil Nuclear bid costs and IT costs, all reflecting where we are in the investment cycle.

The GBP 52 million that represents 3.8% growth on base trading, which is broadly comparable with group revenue rises of around 4%. Net one-offs. Now you know about these, there's 3 particular items. There's SDSR, which is the termination settlement, which was a GBP 60 million benefit in 2011. The Trent 900 incident, which you're all familiar with, which is a charge of GBP 56 million in 2010 and GBP 18 million in 2011. And finally, the Trent DLE, GBP 26 million charge, which we took in 2010, which makes up that GBP 1.24 billion bar. Net foreign exchange comprises of GBP 64 million of transactional benefit, offset by GBP 10 million of translational negative.

Now net R&D is higher as we guided. And again, this reflects where we are in the investment cycle due to the phasing of new development programs, where we are spending more. It's important to recognize there are really 3 components here: there's what we spend, what we capitalize or expense and what we amortize. And for those of you who came to the Investor Conference we held in November last year, you'll recall we did a bit of the deep dive on R&D. And just to remind you a little bit, we spend about GBP 1 billion on average on R&D growth. About 1/2 of that is what we fund privately. It's somewhere in the order of 4% to 5% of turnover.

The components of, in terms of where we are, also reflect where we are in various points in the program. So we only capitalize between engine certification and entering into service. And you will recall, the T1000 went into service in September last year. So we've stopped capitalizing the Trent 1000. The next main

program that will be capitalized will be the Trent XWB, which will not start until Q4 2011. So the higher R&D charge reflects slightly higher spend, higher amortization and lower capitalization. And [ph] I'm going to guide for next year, you can expect the R&D charge to rise significantly as we have lower levels of capitalization, higher amortization and higher expensing.

Entry fees are lower, and this again purely reflects where we are in the program. Trent XWB and where it is, where the majority is, so we're 17 lower there. Then finally, to underlying profit pre-acquisitions of GBP 1.127 billion. I want you to remember this number because this is your base number for guidance pre-acquisition. We add in the net effect of GBP 30 million Tognum contribution, and that brings us to our reported underlying figure of GBP 1.157 billion.

Okay. Moving on to the group cash flow. So if we take our GBP 1.157 billion, it's how we're turning our profit into cash, we add back noncash items, depreciation and amortization of GBP 410 million, up slightly over GBP 367 million for 2010. And again, reflecting where we are in the investment cycle. Networking capital reflects a number of moving parts. Inventory was up GBP 140 million. Really reflecting buffering as we build new factories and get ready for the increase in load. Deposits were down GBP 126 million, reflecting where we were in the OE order cycle. But both more than offset by the improvement in net debtors and creditors. I expect this position to reverse for 2012.

CapEx and intangibles of GBP 775 million reflects continued investment as we tool up to meet the rising load. It's worth remembering that we delivered 2,000 Trents over the last 18 years. And we're due to deliver 2,000 Trents over the next 5 years. So a significant ramp-up in orders and deliveries.

Of course, investment is not just about building the factories. You're aware of Seletar and Crosspointe. In addition to that, of course, we do factory refreshes. We have to put the expensive kit that goes in them and we do regular refreshes and updates of existing factories for productivity improvements, and of course, IT modernization as we globalize. This is a continuum. We're investing heavily because it's the right thing to do and reflects the confidence we have in our order book. And a return on capital employed of 18% is also a good return on our investment. CapEx goes hand-in-hand with R&D, and expect this to rise in 2012.

Other relates to financial RSP [ph] payments, provision utilization, and the difference between JV profits and dividends, cash dividends. We focus on trading cash flow as items to the right tend to be largely fixed and escalating or specific in the case of acquisitions. 80% cash conversion in 2011 demonstrates good cash conversion in the underlying business. But again, I expect this to be lower as we move into 2012, as we invest for the rising load.

Pensions and tax representing GBP 410 million. You'll see rising taxes as we're generating more profits and in jurisdictions, where tax rates are slightly higher. And then finally, servicing our shareholders and investors, GBP 315 million increase. Brings us to our base cash flow of GBP 210 million. Obviously, the acquisitions we add in to our reported figure of GBP 1,310,000,000.

So let's have a look at the business segments and see how they fared in 2011. Firstly, Civil. There's a lot going on here, but just pick out a few things. In a tough of environment, a strong portfolio is allowing us to continue to grow the order book extending visibility. Up 7%, including an order intake of GBP 11 billion, which is up 40% -- 47% year-on-year. It's worth noting that the order book contains GBP 250 million of thrust, compared to our installed base of GBP 400 million of thrust. So a significant stored value in the order book.

Just turning to OE revenues and service revenues. OE revenues growth is ahead of aftermarket, which is primarily due to the leveraging effect of large engine deliveries. You can see that engine deliveries were up 14%. And again, the leverage effect of larger thrust and higher value engines has contributed to that. Aftermarket revenues, up at 10%, slightly higher than where we guided at the half year and this is predominantly to a number of time and material contracts switching to TCA.

So profit and revenues. Profit growth of 27%, let's remember, includes the effect of the Trent 900 incidents. So adjusting for this one-offs, profit growth is around 15% and broadly in line with revenues.

The remaining difference is due to a combination of mix, volume, unit cost, FX, partially dampened by a higher R&D and lower entry fee receipts.

So turning now to Defense. The Defense business performed well despite pressures on defense spending in Europe and the U.S.A. We continue to benefit from diversity of our portfolio, having 24 engine programs across 103 countries, with 160 customers, and with platforms that range from transport through to heavy combat. This provides a natural shock absorber, as well as export opportunities to the emerging markets. Remember, transport represents around 50% of our Defense business. And troop mobility, humanitarian aid and movement of materials is always going on in and out of conflict times. The 7% decrease in the order book is partially down to the SDSR termination settlement, which represents about half of the decrease. And the rest is due to a decrease in the order intake during the year, which at GBP 1.7 billion, was 16% down on 2010.

The strong profit growth has benefited from the SDSR termination settlement of GBP 60 million. When we adjust for this, profit growth is around 2%. This lower growth reflects the volume mix in unit cost movements and R&D, on the basis of where we've had lower capitalization in some of the defense programs.

So to Marine. Now let's just put some context around Marine. There are 3 segments in our Marine business: offshore, which normally represents around 50% of turnover. A little lower last year due to lower OE deliveries at around 40%. Merchant, which is normally around 20%. And naval, which includes our Submarines business which is around 30%. The order book declined 8% primarily reflecting the phasing of investment decisions in offshore. You need to understand that Marine is a much shorter cycle business with lead times typically around 9 to 12 months. However, we are encouraged by the order intake, which is a good lead indicator, which rose 15% in 2011 to GBP 2.1 billion. And we are confident the order book will grow again in 2012, although we continue to expect to see price pressure going forward.

Overall, OE revenues -- sorry, overall revenues in Marine were down 12% due to a 23% decline in OE revenues, which was partially offset by a 9% improvement in aftermarket revenues. We said at the half year that OE revenues would come back strongly in the second half. That didn't happen, which is disappointing. Despite encouraging bid activity, some customers just chose to defer deliveries. However, what is encouraging about the Marine business is that we were able to continue to leverage of our expanding network of service centers, adding 4 more and expanding 1 during the year, to see strong growth in service revenues. As guided, profit was broadly similar to 2010. The 3% decline relative to a drop in revenues of 12% reflects improved revenue mix and increased focus on cost, quality and operational performance.

So finally, on to Energy. Again, let's just provide some context as how I view this GBP 1.2 billion business. I would characterize it as having a mature, well established and profitable oil and gas business, which represents about 55% of turnover. And then a number of less mature businesses in power generation, Civil Nuclear and low carbon technologies, which we continue to invest in, which suppresses financial performance in this segment. We need to be careful with the significance we attach to percentages, as these are off smaller numbers too.

So to the order book, which increased 28%, driven by significant demand in the O&G sector and included our largest ever order in O&G to Petrobras in Brazil. Order intake was up 57% at GBP 1.5 billion. Revenue declined by 3%, largely due to phasing of OE deliveries in power gen, while demand for aftermarket products and services continue to grow with an increase of 10%. Profits fell 11% as a result of lower revenue and primarily from our investment in Civil Nuclear.

Okay. Now on to financial strength. You have 3 items up here, really, but I think it's important that in a long-term business like ours, the importance of having a strong balance sheet is key to us. A credit rating, a good investment credit rating is key where we have long contracts with governments and customers that are spending 20 years. People want to know that we're going to be around over that sort of period. We have strong liquidity at GBP 2.5 billion at the end of the year. We have access to all the global debt markets. And debt maturities are well spread to 2019 with no material refinancing until 2013. This underpins our long-term commitments and gives us confidence, flexibility and options.

So on to group underlying guidance. Now just remember, this is excluding the impact of Tognum and IAE, and the base core underlying PBT [ph] number is GBP 1,127,000,000. So what we have said, for the group, we expect to see good growth in revenues and profits. We expect cash flow to be around breakeven and this really reflects the continued investment of where we are in the cycle, higher R&D, higher CapEx, and obviously, growing working capital. In the segments, for Civil, we're guiding good growth in revenues and strong growth in profits. In Defense, modest growth in revenues and profits. In Marine, modest increase in revenues and profits broadly flat, reflecting increasing price pressures. Energy, we expect growth in revenues and some improvements in profits.

So some housekeeping for your models. Some other relevant data for you. Foreign exchange for 2012 will be neutral. There'll be a significant increase in R&D charge. And again, this reflects the lower levels of capitalization and therefore, high levels of amortization and expensing. Cash, as I've already guided, we expect to be a modest increase in capital expenditure and similar for R&D, too.

Overall, I'm pleased with where we are heading. And when we consider that we are guiding at the group level, good growth in revenues and profits against the current economic backdrop, when we take into account higher CapEx and R&D, no FX benefits and no tailwinds such as that from SDSR for 2011. And when I overlay Tognum and IAE, it is only going to get better.

So let's just remind ourselves where we are with Tognum and IAE. So the status on Tognum. It's a JV, a joint bid we did with the Daimler. Between us, we now own over 99% of the shares. We've invested GBP 1.5 billion as our share. And our next steps, we're currently in the due legal process, which is referred to as a squeeze-out, which is to extract the remaining shareholders. Tognum will announce its results on March 8 and if, obviously, we're successful with the legal process, eventually, the group will delist. Our assumptions are, for the first half, is we will equity account for Tognum. And for the second half, full consolidation. We will continue to report Tognum for 2012 as a single segment.

Finally, on to IAE. And again, you're aware we announced some restructuring with IAE, where we're looking to sell our equity stake and still remain as a subcontractor. But at the same time, we also announced a new JV with Pratt & Whitney for the middle of the market. Both are awaiting regulatory approval and we are just in due process at the moment. Upon completion, and assuming we gain approval, the order book will reduce by about GBP 4 billion. We will receive GBP 1.5 billion as our share at closing. There will be a small reduction in 2012 revenues, and profits for the full year would rise by GBP 140 million. Obviously, you'll need to do some pro rata-ing to the extent that happens later during the year.

So I think with that, it concludes my part and I'll hand over to John for Q&A. Thank you.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, very much, Mark. I suspect as this is a clear presentation, there'll be relatively few questions. We'll go to our normal format, if you could wait for the microphone before you ask your question, if you could raise your hand, wait for the microphone, state your name and the company that you're representing, that'll be very helpful. And then we will attempt to answer those questions. So over to you.

Question and Answer

Nick Cunningham

It's Nick Cunningham from Agency Partners. Two questions coming out of those last 2 slides, if I may. First of all, looking at the GBP 140 million pro rata full year uplift that comes from the IAE transaction, does that imply that you're assuming that the payment, and I referred to as the earn out payment that you're getting from Pratt, is greater than GBP 140 million then? Because presumably, if reported sales are going down, reports of profits must go down accordingly, particularly if you're booking a subcontractor margin. And then that's being sort of more than made up for by the payment from Pratt. First of all, is that a reasonable assumption? And secondly, a different question, but on Tognum. Do you have the intention of buying out the Daimler half of Tognum? If you do, how will you finance it? Would you have to issue paper in order to continue to finish the year with net cash, as you said that you want to in the past?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you. Let me take the second question first. Daimler are long-term partners -- and that's the position. It's as simple as that. So we -- I'm not going to get into speculation about buying it, not buying it, how we'd finance it, there's not a discussion. Daimler have been, and are, and I'm sure will be terrific long-term partners, and that's how we regard that joint venture. In terms of IAE, I'm going to suggest Mark, if he wants to add any comments to it. But what I would say is, just stand back a little bit, which is there's some technicalities going and then there's the bigger picture. The bigger picture is clearly, we're getting a significant payment reflecting the installed value of the base and the pull-ahead of the earnings of some of that, which is the GBP 140 million and the GBP 1.5 billion. And I think the GBP 1.5 billion was significantly more than most people would have estimated the value of that installed base. So the point that I've made, and I'll continue to make, is people should reflect on what that means for the total installed base of Rolls-Royce. Then there are technicalities about what we're actually doing. This is a financial transaction. We continue, obviously, to still make parts and products for the V2500 engine and we continue to assemble it as well. So there's a technicality in terms of who has the orders, which goes down, a little bit of jiggling around with the revenue and then the income streams. And I think where you're going is, you're kind of getting down and getting sort of into some really detailed granular information. And we just stood back and given you -- painted a broad picture. But Mark, I don't know if you want to add anything to that?

Mark Morris

Yes. I mean, I think all I would say is, look, there's a number of moving parts. Like in IAE, like we have within Rolls, we have OE sales, we have spare sales and we have total contracted accounting. And of course, when you unpick these numbers, they will change how we take profit. And I think that's one of the things you need to recognize. But recognize we used to have 1/3 of all the revenue that came from IAE. We've monetized some of that by selling our equity stake. We continue to be a supplier and we'll make a return on the work we do in terms of both what we manufacture and what we assemble. And of course, we continue to get a share of the aftermarket, which is effectively a royalty stream, which is obviously based on engine flying hours. So I think this sort of gives you a sort of good picture of where we're going. And the number, I think, just reflects our assessment in the first year of how that will look.

Nick Cunningham

Can I just follow-up, is that possible? Just on the earn out stream or the royalty stream, you said possibly about \$2 billion in total. It declined each year. It's front-end weighted, it's mostly the first 5 years. So whether we want to back it out or leave it in, we still need a sort of point of departure. I mean, an idea of the gradient in order to be able to come up with some sort of realistic forecast looking forward, because it's clearly going to be very material to your outcome over that period of time.

Mark Morris

Well, I think the only answer I could give to that is we don't give guidance beyond the year we're in. So I mean, we're not going to do that for you.

John F. Rishton

Former Chief Executive Officer and Executive Director

So we get the regulatory approval. We hope to get that this year and then we'll provide updates to you. But this is, again, a backup. Think about the value of the installed base and the impact that means for the rest of the business. The first thing. The second thing is, the new joint venture that we've established or will establish we hope with Pratt & Whitney, which gives us access back into this very large and important market in the future. So there's those 2 elements that I would focus on and encourage you to focus on. We'll go to the next question.

David Howard Perry

Goldman Sachs Group Inc., Research Division

David Perry from Goldman Sachs. Apologies, 3 questions, please. Easiest one, can you just tell us on the Civil aftermarket in 2011, just for the full year, just what it was pre- and post-FX, since I'm not sure there? The second one is, can you just clarify your Defense EBITA guidance for 2012? You talk about modest growth and profit. Do we strip out the SDSR for the starting point or do we leave that in, in this modest growth off what you reported? And then perhaps the more detailed question that I'm most interested in is the supply chain. You alluded to improvement you're going to make there. Could you just give us more color in terms of the how and the timing and the potential upside, please?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Well, if I take the last question first and give you an overview of that one, I'm going to ask Mike Terrett to make a few comments, and then ask Mark to address your other 2 questions. As the company is growing, as we have invested in significant new plants and equipment, the obvious examples would be the investments that we've made in Singapore, the investments that we've made in Crosspointe, as well as the [indiscernible] investments we've made in the U.K. refreshing much of our plant and equipment. The expansion that we're seeing takes time to one, fill up the system and then get production up to a certain level. So if I take Seletar as an example, we will officially open Seletar next week. There will be a very gradual ramp-up in production in Seletar during the course of the year. So in that ramp-up, what we will see in the supply chain is a buildup of inventory. And then once we reach production, you will see that inventory level coming down as we reach a level of efficiency and productivity that you don't get to in the initial buildup. And then you multiply that around the system. Clearly, we're sitting on quite a lot of inventory. So over time, and I would emphasize this is a gradual process, there are significant opportunities for us to improve that working capital position as we grow and as we become more efficient, and as we get through the launch phases of many of these new facilities. Mike, I think you're in a far better place to comment on inventory than me.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Yes. Thanks, John. Yes, the volume is our friend and new programs are our friend. The investments that we make in technology, not just in the R&D, that's the technical side, the manufacturing technology, all of those are benefits to us over a long period of time. And that's really the core of what we're driving in the supply chain. And as John said, getting to volume actually has some cost and some investment requirements. And you can go and physically see these in Singapore, in Virginia, in the U.K. Not just the externals, which are relatively cheap, but the internals where the advancement manufacturing machines are. And they give us both a near-term challenge in terms of investment, which is very exciting. But also, give us the longer-term opportunity to put in late machine tools standards, later processes, newer processes, for us to drive productivity in the long term. Because these are long-term programs. The XWB, we're building the first engines. Flight test is this year. Development engines are clearly running. And that gives us an opportunity to build a platform for 25 years of production, and a further 25 years of aftermarket. That's a much better place to be than sitting on legacy products, which are nearing the end

of their life. So it is a whole series of phased opportunities that we're taking in the supply chain. That's both our internal supply chain and the 75% or so of the engines that are produced in the external supply chain. And I would like to stress how pleased we are with our partners and our suppliers, who are actually also investing in new facilities, factories and processes alongside us. Again, largely off the back of the new products that we develop in pretty much in every segment, albeit the ones that you hear most about are the ones in the big trends in the Civil segment.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Mike. Mark, would you like to...

Mark Morris

David, I think you asked 2 questions. The first was on FX and the impact on aftermarket for 2011 on Civil. The short answer to that is, it's around about 4%.

David Howard Perry

Goldman Sachs Group Inc., Research Division

So organic aftermarket?

Mark Morris

So you're looking for understanding pre- and post-FX impact?

David Howard Perry

Goldman Sachs Group Inc., Research Division

Yes. So the organic aftermarket is 4%?

Mark Morris

10% for the year was aftermarket for us for Civil. And the impact of FX was about 4%.

David Howard Perry

Goldman Sachs Group Inc., Research Division

So 6% organic. And then in the Defense?

Mark Morris

Your second question which was, what is my guidance based off? And the answer is it's our reported figure of GBP 376 million.

David Howard Perry

Goldman Sachs Group Inc., Research Division

So why such an improvement in Defense EBITA in 2012? Because the underlying would be much, much better?

Mark Morris

Yes. I understand what you're doing, you're stripping out SDSR. You're getting the number back down to whatever it is -- GBP 316 million. Look, the combination again it's where we are in the cycle, a number of moving parts. And you've got, first of all, higher top line growth, you've got some unit cost improvements, the benefits of some R&D. I mean, there's various moving parts that we're not going to sort of break out. But having done our guidance, that's where we come out.

David Howard Perry

Goldman Sachs Group Inc., Research Division

Let me try on a cheeky one because we're getting to know you. As Mark Morris, new CFO, what's your definition of good? We've got GBP 1.127 billion as a base.

John F. Rishton

Former Chief Executive Officer and Executive Director

I think if I just come back to Defense and your question there. I think, clearly, the guidance we have given to 2012 will be a little surprising maybe against the backdrop of the defense budget positions that many of you have in your heads. But if you reflect on our position, if you reflect on the markets that we operate in as Mark has said, we have 160 customers, 103 countries, although the U.S. and the U.K. are clearly the biggest. Where are markets are, we're actually in a slightly different position to many of other defense companies. So we get a slightly different result, which is why when I've been speaking to people whilst my optimism and enthusiasm about the defense would have been higher a year ago than it was today, based on the budget cuts and the budget positions that we have. Actually, we're okay in terms of our Defense business, which I think is probably a slight surprise to some of you. We'll go to the next question.

Zafar Khan

Societe Generale Cross Asset Research

It's Zafar Khan from Soc Gen. Just wanted to get back to Nick's question on the GBP 140 million that you're talking about for this year from the IAE transaction, the benefit to your EBIT line. Is that an ongoing benefit? Or is there an element of one-off in that GBP 140 million?

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. Let me get Mark to answer the question. But the GBP 140 million is not this year. The GBP 140 million is in the 12 months once we've got regulatory approval. Just to make sure that's crystal clear. Mark, do you want to...

Mark Morris

Well, again, you're asking me to give you guidance beyond the...

Zafar Khan

Societe Generale Cross Asset Research

I'm not asking for guidance. All I'm asking you is the GBP 140 million that you get in the first full year, is there an element of one-off in that or is that an ongoing thing?

Mark Morris

No. I think, as Nick alluded to, some pull forward as part of the deal of what we've done in terms of how we structured over the 15-year period effectively. But we're not going to get into the details of exactly what the rate of change is year-on-year. It's just a one part of a much bigger business.

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. We've been crystal clear. GBP 140 million in the first 12 month and then declining over a period of time, but we're not going to go...

Carter Copeland

Barclays Bank PLC, Research Division

Carter Copeland, Barclays Capital. Just wondered if you might elaborate a little bit more on the Civil aftermarket. You said that the like-for-like organic growth was 6%, but you also called out the TCA conversions providing some uplift to that number. I wondered if you might comment on what extent that would further reduce that organic number. And if there's any phasing that, that number would imply, I think a little bit of a weakening second half versus first half in that growth profile. And I wondered if you

might comment about TCA conversions and how that weighed first half, second half or what we should think about the underlying growth?

John F. Rishton

Former Chief Executive Officer and Executive Director

One of the great dangers of providing information is that you all you want is more information, which is understandable. What I would say is, let me go back to the guidance that we've given for Civil for 2012. So to cut to that, which is good revenue growth and strong profit growth. I'm not going to give any further breakdowns of that. I'm not get sucked into the detail of exactly where this is, because I'm not personally convinced that it's entirely helpful. We saw good performance in Civil, good growth in Civil in 2011, and we expect that to continue. But unless, Mark, you have anything more that you wish to add? I don't want to get sucked into more granularity about who did what, why and when.

Mark Morris

I think the danger is you just get sucked into looking piece by piece by piece, and there's lots of moving parts. Remember, we're a long-term business. I think just to measure something from one half to another half is not really representative of a natural underlying trend. So no, I really don't want to get staked out in the sun and saying everything else is here, here and here. Because I think the premise of our philosophy and strategy is having a broad portfolio and a split between OE and aftermarket. Recognizes that when we produce our group results, there are pluses and minuses in each of the little subsectors. And trying to be sort of held accountable for every various subsector, it's quite difficult. It's guidance at the end of the day.

John F. Rishton

Former Chief Executive Officer and Executive Director

Next, how about around the front, Jemma [ph]. Just see if we can edge our way backwards.

Andrew Paul Gollan

Investec Bank plc, Research Division

Andrew Gollan from Investec. A couple of questions. Firstly, on some of the divisional guidance you've given, Marine and Energy. Firstly in Marine, you talked and mentioned quite a lot of pricing pressure. You've got a few dynamics going on there in terms of growing aftermarket and the OE story that's happened over the last year or so. How do we think about it going forward? Because the margin has improved significantly. We've got some -- clearly, some new dynamics coming in. What should we think in terms of forecasting forward? Secondly, on Energy, similarly -- actually, you said the investment in Civil Nuclear is one of the factors holding back the margin. But still the margins are very suboptimal there. What is the longer-term trend? I mean it should be up, but it's a long way down. So how far should we be thinking?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. I think we spoke a little bit about Energy at the half year. And if I look at the various elements of that as Mark has said, there's 5 elements in the Energy sector. The oil and gas, which is a good profitable business. Power generation, which needs to improve. And it's important in terms of proving equipment that is subsequently provided to the oil and gas, so there's a linkage there. Civil Nuclear is a fledgling business, I think I've described an opportunity for us to grow. It's an area that we spend a lot of time on and we're investing money in, in a variety of ways. And I'm confident that, that will be a successful business in the future. But as I've said to a number of you, it's one of the few businesses around that makes our Civil Aviation business look short cycle. So that will take some time to develop and mature. But I think we're in a very good position, based on the capabilities and skills that we have, the relationships that we've built up over time with the prime contractors in that industry. And I'm sure that will be a profitable and successful business out into the future. I think the other 2 businesses, tidal and fuel cells, are the ones where we're giving some serious thought to. Again, I'll refer to a little bit to this at the half year. In terms of what is the business case, what are we doing and what are we really good at? And

what I would say is, if I take the tidal business, we're really good at parts of that. It's propeller with a turbine. Okay, we do that in Marines, so we're good at that. But what are we not so good at? Well, putting things on the seabed, it isn't one of our core skills. Getting power off the seabed onto the land and then getting it to the grid, isn't something that Rolls does. So how do we go about this for the future, and we're wrestling that to the ground as we're speaking here. There are people giving thought to that. So to come back to your question, Energy is going to improve over time, but we've got to wrestle some of those things to the ground in terms of what we want to be and where we're going with some elements of it. And then there's the Civil business that is growing and developing, and what period of time does that take? Energy's performance is going to improve. But it won't be, as I said at the half year, something that we wave a magic wand at and it transforms over time. And whilst we may be frustrated by that financial performance, I've got to say in the last 3 years, it has been a profitable contributor. Whereas, in the previous 4 years, it was a loss-making area. So it's already notched up a step. It needs, obviously, to improve in the future because it is a drag on the overall business. In terms of Marine guidance, I'm not to get drawn into any more than we've said clearly. You're all aware of the Marine environment, the various pressures there are on that, particularly on the very large merchant elements of that business, which we're not in, and the pricing pressure that has been exerted there. We see some of that in a variety of parts of the business. If you went back 2 or 3 years ago, people were concerned about getting equipment, not what price they paid. Now they're concerned about what price they pay, as well as getting equipment. So the dynamics have changed a little bit in that industry. And that's the pressure that we and everybody else are seeing. And that's why we are, like most other people, focusing very hard on our cost and how productive we are and how efficient we can be, which is one of the contributory factors as to how to manage to compensate for the OE demand in the second half of 2011. But the guidance is clear and laid out in the press release. Anything else?

Andrew Paul Gollan*Investec Bank plc, Research Division*

And just one more quick question, please. On dividends, once you get the profit uplift from IAE, I mean, you've had a progressive policy for many years now. Do we expect that to be progressive still in line with earnings? Do we see a step-up as a result of that because of the new level of profitability that's occurring?

John F. Rishton*Former Chief Executive Officer and Executive Director*

It will undoubtedly be a topic of important conversation at the board when we get to that stage.

Gordon Hunting

Gordon Hunting of Fiske. A particular question for Colin Smith, because he hasn't had any, poor chap. Now much more to the point of various airlines not wanting to use 3-shaft engines, they much prefer 2 as being safer. Does that mean you're expecting competition on the A350 XWB from either of the 2-shaft manufacturers?

John F. Rishton*Former Chief Executive Officer and Executive Director*

As you rightly say, that is a question that's going to head towards Colin in terms of 3 shaft and 2 shaft. What I would say before I pass to Colin is, is having gone an exclusive position on the A350-1000 and having sold 1,100 engines on the other derivatives. We're in a particularly good position on that aircraft. And whilst the other engine manufacturers have the opportunity to come and compete with us, we're confident that we have a strong competitive position. Colin, maybe you'd like to talk a little bit about 3s and 2s.

Colin Peter Smith*Former Group President and Executive Director*

Perhaps a misunderstanding. I don't see it as any fundamental difference in safety between 3 shaft and 2 shaft. They're both incredibly reliable machines from a fundamental concept point of view. And the safety across all of Civil Aerospace, all the manufacturers is increasing -- is improving year-on-year. It's

phenomenal how good -- for instance, the in-flight shutdown rate is now on any of the big engines. It's something between 20 and 40x better than any certification requirement at all. So from a safety point of view, Gordon, there's absolutely nothing to call on.

John F. Rishton

Former Chief Executive Officer and Executive Director

Just the next one. Just will go on the side of the room.

Edward John Stacey

Haitong Bank S.A., Research Division

It's Ed Stacey from Espirito Santo. Just one question on the Civil division and the margin uplift in 2012. In 2011, if we strip out the effect of the one-offs getting better and the FX improvement, then the operational leverage sort of boost to margins was very little, which is as per your guidance for the year. But then in 2012, you do have a sort of like-for-like margin improvement it seems. So what -- is there sort of more favorable mix coming through or something?

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, do you want to answer?

Mark Morris

Yes. I think it's, first of all, higher volumes and a particular mix of units that we're selling in terms of the margins that we expect from them, and obviously continuing growth in aftermarket revenues. So again, even with those additional R&D headwinds, that's factored into our guidance.

John F. Rishton

Former Chief Executive Officer and Executive Director

Colin's delighted -- and thank you, Gordon, for asking the question. But I know that Jim is getting concerned about not having a question. So may we have this --- I know it's going to go towards Jim.

Unknown Analyst

Yes, 2 questions. Actually, one is for Jim. Perhaps a question for Jim first, so he doesn't feel left out as well. Just around IAE, we've heard from John quite a lot about the logic behind selling the stake. I mean from your perspective given your role there, I mean what's your view on Rolls versus logic there? And what do you see as the future of IAE? And then a question perhaps more for Mark on the kind of R&D side. Is the increase in R&D in CapEx, although there's obviously, manpower. But is it primarily coming through in Civil or will it be across the business?

John F. Rishton

Former Chief Executive Officer and Executive Director

Jim, would you like to have a run of that?

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

With respect to IAE, I have been on the IAE Board for probably 10 or 11 years. So I have lived with this collaboration, which is probably one of the most successful collaborations that the industry has seen in the engine arena. And I think, one in which shareholders on both sides have benefited greatly, a great product, a great reputation in the marketplace. So I think we start from a very, very good base. The difficulty came about when the Airbus company decided that it wanted to launch its new airplane, the NEO, and we could not make a business case to launch a new engine for the NEO. Pratt & Whitney was in a different phase of development with respect to their new engine, and they felt they could. So it put the partnership out of alignment and it became increasingly difficult because your customer base had the previous style of engine, the V2500, and on a go-forward basis, with new airplanes coming aboard, they

wanted to take advantage of the new Pratt & Whitney engine. So it became very, very difficult, very hard to go in and renegotiate contracts with airlines that you had contracts going out into the future. And it simply didn't work the way it had in the past. So we've all felt that the best way forward was for us to move out of the partnership at this time. Take in the \$1.5 billion. Have the revenue stream, going forward on power by the hour. And also, maintain our industrial position. But then, even more importantly, to make sure that the partnership could reform for the next narrow-body airplane. So I think that there's great logic to it. And I will tell you that the partners, I think, feel very comfortable with this position.

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, would you like to...

Mark Morris

Yes. Your question in relation to R&D for 2012. So again, let's just recap what I said earlier on. So we expect to see a modest increase in R&D spend, but quite a significant increase in the R&D P&L charge. Again, this just reflects the various components, and I'll come onto sort of a broad split of where we spend the activities. So let's just look at where we are in the cycle. John just reminded me that I inadvertently referred to 2011 versus 2012 with respect to Trent XWB, but the next large engine which will be capitalized will be the Trent XWB, when we look to engine certification in quarter 4 2012. So there's a lot lower levels of capitalization going on during 2012, which is one of the reasons the R&D P&L charge is rising as we expense more and we amortize what we've already capitalized. In relation to where are we spending it, I mean, the short answer is we spend it in all our businesses. But Civil takes the lion's share. But there are growing activity in areas like Civil and Marine. And of course, again, when we talk about R&D, at the sort of broad level, you've got to remember there are 3 subcomponents to that. There's research and technology, which sort of I normally refer to as the sort of science projects. There's R&D, which is the productionization of our engines and development of them. And then there's sustaining engineering, which is continued improvement throughout the life of them. So all of those are being worked on. And at any point in time, the spend reflects where we are in the cycle. And the P&L really reflects what we're capitalizing and what we're not capitalizing. Ben?

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Ben Fidler from Deutsche. A couple of questions. The first one, just on FX. You talk about no transaction benefit in 2012. You have reasonable visibility presumably on the hedge rates based on the scale of the hedge book. As we look beyond '12, should we expect to see, at the current spot rate, would we expect to see any further transaction benefits or should we think of those as now having pretty much played out to the business?

Colin Peter Smith

Former Group President and Executive Director

Well, as you know, from the press release you've got a pretty good idea of the size of our hedge book. At the year end, it was roundabout GBP 22 billion, with an average rate of GBP 160 million. We have guided for 2012 a neutral impact from FX, and that's transactional FX we're really talking about. Obviously, we don't give guidance beyond that, but I don't think it takes a brain surgeon to realize when the average rate in our book is around GBP 160 million. We think there's a lot of potential uplift at the moment.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Right. The second question is, sorry to come back to this point, R&D, but whether you are able to give us any steer in any way as to -- I mean, the 4% to 5% range you give that's effectively up GBP 120 million delta between the top and the bottom of the range, which is about a 20% impact on Civil profits based on the number you reported last year. Should we think top end, bottom end of the range looks more -- I mean, it sounds like you're steering more towards in the short term of the top end of the range, would that be a correct...

Mark Morris

Yes. I look at it, I think, I've given you guidance, which is a modest increase in spend. And I think, as David referred to, I think the Rolls-Royce lexicon is sort of relatively well established out there, and a significant increase in the R&D charge. But I'm not sort of, I think, get into any more detail than that at the moment.

John F. Rishton

Former Chief Executive Officer and Executive Director

The real answer to your question is that Mark and Colin wrestled each other to the ground on this, and the outcome will be exactly who's wrestled who to the ground.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

One final question, just coming back to an answer to one you had earlier on Defense. What you seem to be implying is, we should think of Defense as a broadly 17% margin division as being sustainable. And my question is, just scratching my head slightly, in the current defense environment, why we're now looking at the business that is structurally 300, 400 basis points higher margin than it's ever been and how sustainable that is?

John F. Rishton

Former Chief Executive Officer and Executive Director

Again, if I refer back to what we said, we've given guidance for 2012. We have not said anything about the future of the nation, leading [ph] to that the world comes to an end after 2012. And if you think back around the dynamics of what is it that we sell and how that works in practice, again, I made a couple of comments in terms of the budget position. I'm going to ask Jim just to comment a little bit in terms of the U.S., where we are in the U.S. budget, just to make sure that you're clear. When people talk about defense budget cuts, people shouldn't think that the defense budget is going from 100 to nothing overnight. In many cases, it's a reduction in the rate of increase rather than even a reduction in the rate of absolute amount. But Jim, maybe I could ask you to make a few comments about it as the U.S. is such an important area and I think that, that's...

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

For 2012, we have great visibility with respect to defense budget. And I think, also, it's important to recognize the area in which we play a significant role, which is transport. These are very, very important, solid programs where there are some long-term commitments, multiyear contracts. This C-130J, the V-22 Osprey, in particular are major, major components to this. The LiftFan system for the Joint Strike Fighter, again, a very important technology that only Rolls-Royce has. No other company has that technology. So I would ask you to just think about that. Moving back now to the defense budget process. We have to recognize that this is a very complicated year, politically, in the U.S. I think I have said that politely. Being impolite, we have a dysfunctional Congress and we have an election year. And this means that the clarity that we would like to have on a go-forward basis is not quite as good because nothing is going to happen until after the election. But what I would say is that there has been, I think, a great deal of work done by the new Secretary of Defense. And I will tell you we are very impressed with the strategic thinking that has gone on, because this is not simply a haircut. It is looking at what are the capabilities that the U.S. requires and the budget is being tailored accordingly. Recognizing, again, the political issues, I think a quite good process of a slow reveal of what budget is going to look like for 2013 is underway. The President will be sending his budget officially to the Congress next week. But in advance of that, there have been some press conferences that have outlined the current thinking. If we take that in and look at it for Rolls-Royce, I would describe it as a couple of bruises, nothing major, some bruises. And I don't think that anyone in this environment is immune from reductions. But again, we don't see a major hit. Now I say we don't see that based on what we know today. You have to recognize that the process in the U.S. takes the President's requests, moves them to the Congress. The Congress will deal with them. And a couple of the bruises that I mentioned may not come about because the Congress may reverse them.

But I think the important point is, our bread-and-butter programs, the big programs, are intact. That's also true -- and I think you're probably thinking more on the aviation side, but you'll have to remember, we also have a naval business that is important in the U.S. The big programs there, the DDG 1000, the newest Destroyer, those 3 ships are still in the budget as we know it today. The Littoral combat ship, which is an important part of the go-forward U.S. Navy, those ships, on our judgment, are going to be built. The Navy needs that capability. The other business that we have in the U.S. that's part of the naval, it's kind of something you don't see a lot of, but that's an important part. And that is, in the U.S., we build all of the propellers for the surface combatants in the U.S. Navy, and we also have other products on ships as well. So again, our Defense business is well balanced and I think it is well placed. And I would also say to you that other companies would like to be positioned as we're positioned. This is not dropping off a cliff.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

My question was, as much as anything, trying to get to the margin aspect, we've been a sort of 12% to 13% division for the last 3, 4 years. We're suddenly now becoming a 16.5%, 17% division, if my math is broadly correct.

John F. Rishton

Former Chief Executive Officer and Executive Director

And my answer, I'm going to go back to my answer, which is we've given you the guidance for 2012 and that's what we're going [ph].

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

But the question really is, what's driving that in 2012, the fact that...

John F. Rishton

Former Chief Executive Officer and Executive Director

We've given you the answer in terms of -- Jim's talked a little bit about it. Mark talked about it and I've talked about it. And we're going to stop there because of what it has been. We're going to start to circle around again but we have one new question, just in the middle of the back and then we'll come back to the front.

Celine Fornaro

BofA Merrill Lynch, Research Division

Celine Fornaro, Bank of America Merrill Lynch. One question, if I may, on the working capital for next year, I mean, for 2012, sorry, on the guidance. So basically, as far as I understand, you've got an inventory buildup, somewhat related to the new plants. How much of this inventory is under your control? Or how much risk should we add on to that if Boeing fails to deliver more 787 DC [ph] than what their currently planning? So how much of this inventory is really under your control?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes, I think Mark's right. I think Mike, he would like to have a run at that.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Well, strictly speaking, all of our inventory's under our control in the sense that we schedule it in a controlled manner. Just to talk about the process we follow, that may help. In all of our sectors, we run what we call a sales and operation review board where we take in our contractual position, our long-term views, which we talk deeply with the air framers about in civil and other primes about their production schedules, their progress, which customers we're going to win. And we put that into a sale schedule, which we then flow down into our supply chain at a piece part level using an ERP system. So we actually know, really, every time we look at forward planning, we know in real detail down to part

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number and to that contract over a period of more than 12 months, significantly more than 12 months, what inventory we have and where it is in our system. And while we have that inventory, whether it be for schedule variation for smoothing or for buffering against risks, and we understand that in really great detail. Now clearly, when we have a macro problem of the nature of past slippages on the 787 and the A380, that clearly can have a macro effect that's quite significant. But we've proven quite agile in recent years at being able to respond to those signals by staying close to the air framer and also making timely and appropriate decisions. You're quite right in what you said earlier, that a significant amount of that inventory is to do with new programs and new capability. If I just bring out 2, we are actually bringing on board the Seletar facility in Singapore this year, which will double our output of final assembly and double our output of wide-chord fan blades. The other half being what we currently have in the U.K. But clearly, we have to go through a product proving process to make sure those facilities are the same in terms of capability as the U.K., and that has some inventory. Similarly, as I mentioned earlier, we were building flight test engines for the A350 XWB flight test this year. Again, that's an inventory requirement, both of which are fantastically good for the business but are near-term absorbers of cash, to later become tremendous generators of cash. So we have great visibility. Strictly speaking, we're in control. Any macro issue that happens, we will be very -- as agile as anybody in responding to it. But as we see the programs today, we see good progress, good control in our major air framers and we work quite closely with them.

Celine Fornaro

BofA Merrill Lynch, Research Division

I'm sorry, what about the U.S. plants, you didn't really talk about these?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Our U.S. plants, as you know, we've built a new plant in Crosspointe. It's ahead of our Singaporean plant, in the sense that we started producing first parts about a year ago, and that's now ramping up into volumes. So it's ahead -- we've recently got into production in the LiftFan factory in Indianapolis, which is small, but spectacular modern facility that really excites everybody who goes to see it. I've also put a lot of investment into our older plants in the U.S. to -- whilst the outside shell looks older, what we've actually put into it for example, in Mount Vernon, our energy plant we've improved flow lines and we've actually improved the machinery inside the older plants. It's less visible. It is a CapEx investment and it is, therefore, longer-term development. And then we've got plants elsewhere in the world, including the U.K.

James M. Guyette

Former Chief Executive Officer of Rolls-Royce North America Inc and President of Rolls-Royce North

Mike, if I could just add on to that. We are investing for the future. We're investing for growth, we're investing in technology, we're investing in people. And that's true throughout our company, but also true in the U.S. We've just announced an investment in the U.S. in Mississippi for another outdoor test facility. We're ready to make an announcement in Indianapolis about a new bit of work that's coming in that will require a small new facility. And we are also looking at another project for our new Crosspointe facility in Virginia. So those investments are being made and they're being made not just for product that is being made in America, but for product that is being made globally. So I think that this is really an important point when you look at our 2012 year. It's an important year for investment. But again, it's not just plant, it's about technology, people.

Celine Fornaro

BofA Merrill Lynch, Research Division

Follow on from that, it's about the unit costs. I know in the past, Rolls used to guide about unit costs and how we should think about that from one year to another. Is there any comment, any color that we could have on '12?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Yes. Let me deal with that. Again, stepping back to use John's phrase, my life and my team's life is surrounded by one purpose, really, which is to make sure that not only do we deal with growth, but actually do it with improving productivity. So our aim is always to meet or beat escalation pressures with our productivity improvements and do that on a continuous basis. So everything we've talked about in terms of investment, our attitudes, people, plant, processes, all about making sure we drive productivity and everything we do faster than pressures that come on us from an escalation perspective. And we've been successful in doing that. And it comes out in the financial numbers, which have been mentioned today. We've -- basically not in a position to give one simple number because by range of our products, are really very diverse. From Marine products to Civil to Defense to Energy, they're quite diverse products. We have a lot of new products being introduced going through learner processes, the ones I've just talked about. So to actually give a number would actually be meaningless. The numbers best come out in the overall numbers, which we've given you in some detail. And the general improvements that we're making, which are on the productivity things we share with you at different times during the year and whenever we give an update.

John F. Rishton

Former Chief Executive Officer and Executive Director

Ladies and gentlemen, we're almost out of time, so we'll have to go for 2 more questions, please.

Unknown Analyst

Just coming back to Civil aftermarket, 2 subquestions. Time and materials at a half year, I think you talked about some of the trends in terms of slightly improving forward bookings and the risings. How is that panning out now? We've had 6 months down the line and looking ahead? And then secondly, back to the TCA conversion issue. I mean, for us, that's a new phenomenon. It's the first time we've heard that. How did that come about? Is it strategic...

John F. Rishton

Former Chief Executive Officer and Executive Director

It comes from the finance [ph] directors.

Unknown Analyst

Is it a strategic change in what you're trying to do with your time and material business in terms of locking into long-term contracts? Just a bit of an explanation around what this means given that -- notwithstanding the fact that you don't want to give any financial [indiscernible].

John F. Rishton

Former Chief Executive Officer and Executive Director

Mark, maybe you can talk to those and I'll come back at the end?

Mark Morris

Your 2 sub questions, so first 1, which really related to TNM activity during the year, I think it's fair to say that we're always pursuing time and material opportunities like many of the other players are out there. It's driven largely by the airlines themselves wanting to bring their aircraft and their engines in for overhaul. And of course, as we've seen growth in ASMs and more aircraft coming out of those in the part [ph], people looking to bring aircraft back into service will naturally start to drive up time and material activity. So the answer is yes, some of that 10% growth in the aftermarket revenues also reflects more activity in time and materials from where we thought we were at the beginning of the year. In relation to your next question, I don't think it's a change in strategy at all. I mean, we have always been keen to sell the virtues of TotalCare and long-term service agreements. We think there is sound logic, not just for ourselves, but also for our airlines. I mean, at the end of the day, it removes the lumpiness in terms of scheduling. It removes the issues around having to schedule because we take care of all that. And arguably, we sit at the top of the knowledge curve because at the end of the day we have more days than anybody else. We know which shops are available and we can utilize that to our advantage in scales of economy to help drive down the costs and, therefore, share those benefits with our airline customers.

And so that's part and parcel. So what you see when we talk about 70% of our aftermarket now sort of captured in some form of long-term service agreements. You will see that on the newer programs, that's probably closer to around 90%. But on the older programs it may be around sort of 50% or even lower in some of them. And of course, what airlines are doing, along with us trying to convince them of the sound economic logic for it, is trying to move them from time and materials onto TotalCare. And of course, what you saw in part of last year is a number of airlines recognizing that outsourcing had those benefits, and that's what you're seeing. So it will happen -- I mean it's still difficult to sort of forecast at what point we flatten things. We will continue to market the virtues and benefits of TotalCare and success will depend on where the airline is in its thinking effectively.

David Howard Perry

Goldman Sachs Group Inc., Research Division

David Perry, again. Two real quick ones, I hope. Just the tax rate was very low in '11. Can you give us some color on '12? And also, can you just -- your cash flow guidance, just to double check, presumably that was before any dividend payment, you say flat cash flow over the year or broadly flat cash?

Mark Morris

Yes. Let me take the first question first. And so tax -- underlying, I think, it came at about 22.7% versus 24.7% for 2010, I think. The 2 main components there, really, are some prior year adjustments. So release of provisions and then the effect of joint venture profits, which is an accounting effect on the underlying effectively. I think if you strip out the joint venture effects, it gets to about 23.6% or 23.7%. Simon can give you the exact numbers, but it's around there. In terms of our guidance, I mean, obviously we always guide around our base cash flow. So that will have included our views on where we see post-tax, pension and payments and so on.

David Howard Perry

Goldman Sachs Group Inc., Research Division

Sorry, just your tax rate that are underlying in 2012, does it go through...

Mark Morris

We're, I think, in the press release, we're guiding around 24%.

David Howard Perry

Goldman Sachs Group Inc., Research Division

I'm sorry, I didn't see that. Okay. And in cash flow, you said broadly flat cash in 2012? Is that after paying the dividend?

Mark Morris

Yes.

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you very much for joining us this morning. If I may just make a couple of comments. I think that the good number, the side numbers that you've seen from the company in 2011 really reflects the application of this consistent strategy that John Rose and Ralph was before him have applied over many, many years and we'll continue to apply in the future. I would say that as the management and the people who work for Rolls, we are confident about the future. But, and this is very important, not complacent. As Jim has said and I have said and a number of others have said, we are and we will continue to invest in future growth. Thanks very much for coming today. Thank you.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2011 Earnings Call Transcripts

Thursday, July 28, 2011 2:00 PM GMT

S&P Global Market Intelligence Estimates

	-FH1 2011-	-FH2 2011-		-FY 2011-	-FY 2012-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	CONSENSUS
EPS Normalized	0.21	0.24	▲13.64	0.44	0.50
Revenue (mm)	5512.68	6073.88	▼(4.16 %)	11466.94	12408.84

Currency: GBP

Consensus as of Jul-28-2011 8:26 AM GMT

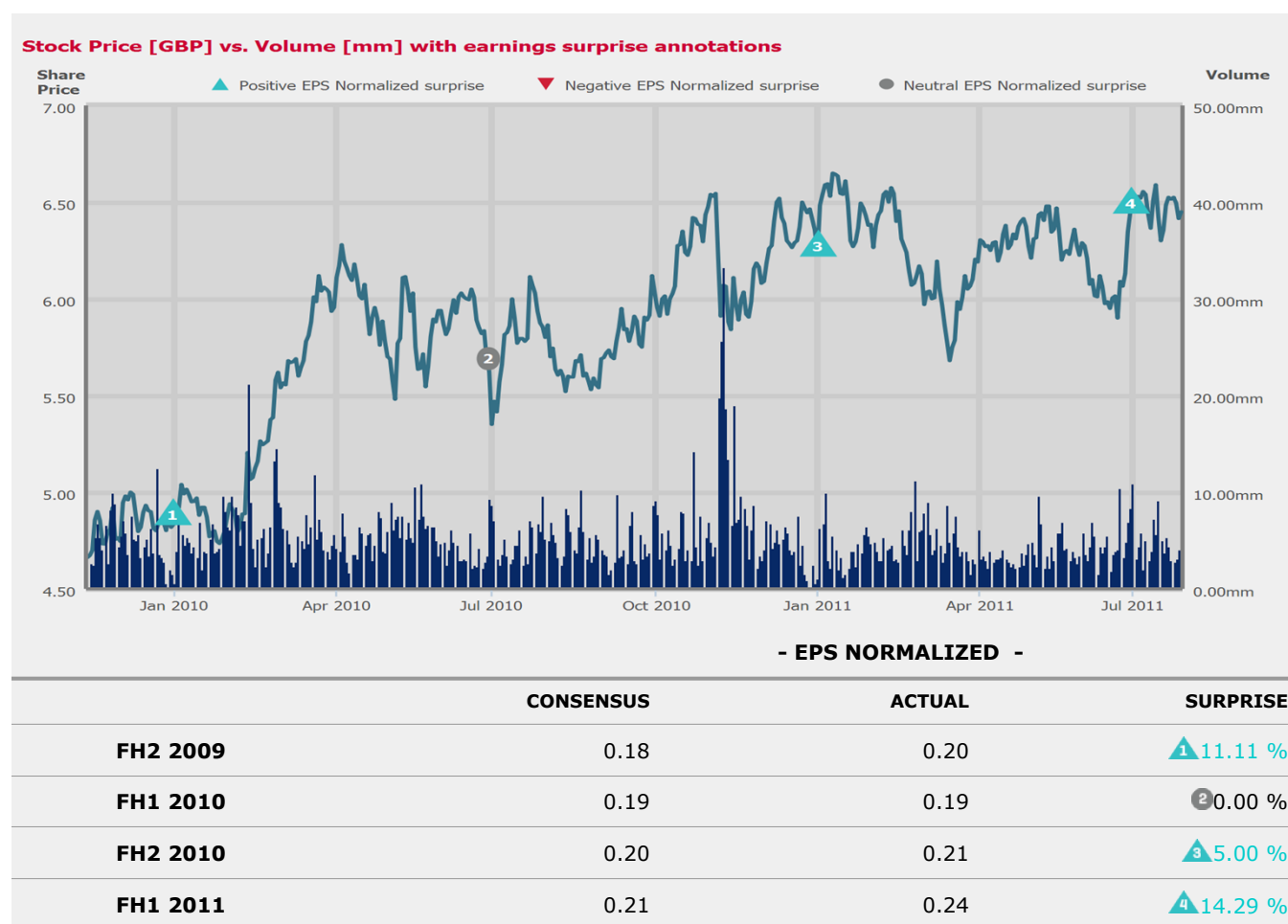


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Call Participants

EXECUTIVES

Andrew B. Shilston
Former Director

Presentation

Operator

Thank you for standing by and welcome to the Rolls-Royce Preliminary Results Fixed Income Call. [Operator Instructions] I must advise you that this conference is being recorded today, Thursday, the 28th of July 2011.

I would now like to hand the conference over to your host today, Mr. Andrew Shilston. Please go ahead, sir.

Andrew B. Shilston *Former Director*

Thank you very much and good afternoon. Welcome to everybody on the call. I'll just give a brief summary of some of the highlights of our results presentation this morning and throw us open for questions.

For the overall company, there's no doubt, we had a good strong performance for the half year, with good growth in underlying revenues and profit. I think importantly, as a good leading indicator, the order book reached another record level and all of the businesses took in significant levels of orders. We had underlying revenues were up 4%, underlying profits, up 28%, and a strong financial position.

And overall, we didn't change the financial guidance, although there were some small detail changes to composition. And I think as a key indicator of our confidence, we increased the dividend by 8%, which is an increase in the rate -- the rate of increase, if you like, compared to last year.

Now if you just go -- I can go quickly through the various businesses. Civil business I think is characterized by an incredibly strong wide-bodied story where it's gets better and better and it was obviously helped by securing the exclusive agreement with Airbus to buy engines for the Airbus A350-1000 a longer range, larger version of the A350. So that's a very good piece of news.

And if you look at the amount of thrust that we've got in the market today versus what we expect to deliver in the next 20 years, over the next 20 years, we'll probably deliver about 5x as much thrust as we've delivered to date on Trent engines. So I think that Trent gives you a sense of continually having started the Trent journey and it's all to come in the future. And it's not all in the very distant future, either, we'll double Trent deliveries over the next 5 years. We didn't really change the guidance on Civil business. That profit will grow quite nicely this year. The detailed guidance points, which I won't go into, but essentially, profits will growth 20%, 25%, much as we guided back in February.

Turning to Defense. We took in some good orders in the half-year. I mean, obviously, there's a lot of concern about U.K. MoD and the U.S. DOD, but they were nicely positioned on military transport aircraft which, as you know, with all of the activities in the Middle East, North Africa and some, there's a lot of demand for military transport assets and all the maintenance cost that the utilization is causing. And that's all helping us very well.

There have been some contract cancellations with the U.K. government on the Harrier fleet and some of the Tornado fleet. The in-year effect year-to-year is not that great, but there's a one-off settlement, for GBP 60 million that we've put in the first half-year results. But absent that, Defense business has performed much as we thought it would back in February and excluding that settlement, would be shown overall with much the same as last year.

Putting Marine and Energy together, I think the leading indicators there are all turning up largely because of the pickup in oil and gas activity and deepwater exploration and production. So order books are starting to fill. We're getting more inquiries. And that's too -- sorry, it's not soon enough probably to make much difference to OE and Energy this year, which will be fairly flat. But I think the OE recovery, we're already starting to see it and we'll see some OE pickup in Marine in the second half year as we deliver more of the specialized equipment and specialized vessels to support the oil and gas industry.

And just going back to Marine. Good news on the naval side, with the first order for the Littoral Combat Ship, the U.S. Navy 10-ship order, and that's a really important beachhead, I think, into the U.S. Navy, which has previously been dominated by GE. And there's also been an agreement by the U.K. MoD that they will -- they have selected the new advanced PWR3 reactor for the next generation of nuclear submarines. So that's ultimately good on the long term on the naval side.

And elsewhere, in Energy. I think power generation is still fairly quiet in the developed markets. It is quite active in onshore power generation in some of the developed markets, which is really a diesel play around the gas turbine play. As I say, oil and gas, order interest has definitely picked up. The profits in the Energy business will be a little less than was previously thought. Probably GBP 10 million to GBP 20 million, a variety of reasons to do with a bit more R&D and some softness in OE, but in the overall scheme of things at the company level, that's not that great.

We pointed out that this one-off settlement that we received in Defense is unlikely to be as visible at the full year because we've had 1 or 2 negatives to deal with. For example, the consequence of the earthquake in Japan has disrupted our supply chains, caused some delayed in maintenance activity. It will cost us some profits. There's some slightly high R&D costs, and not just in the Civil business, but elsewhere. And there's a small translation difference as well. If you take all those things together, we won't see much, if any, of that one-off settlement benefit coming through, in Defense, coming through at corporate level. And that's why we've maintained guidance really for the whole company, haven't really changed it at all.

Turning now to some other activity, Tognum balance sheet and cash, just an update on Tognum. This is the joint acquisition that we are undertaking with Daimler. We have got about 94 --just over 94% of the shares secured on the joint offer, and that's proceeding nicely. We're getting through the regulatory clearances, and that is likely to complete sometime in the second half of this year. We've got good conversations with both Daimler and Tognum about way forward. Obviously, those can't be too detailed at this stage before completion takes place, but I think there's complete agreement about we need to do next.

Now obviously, with that level of equity interest, this year, there are going to be much financial effect on us because completion relates on in a year, and we will only have a half or 50% interest in the Tognum results. But from the beginning of next year, we should get the benefit of half of Tognum's earnings into our financials, whether that's through a variety of different ways of accounting for it. That will be a benefit to us next year. But I think the most important thing is that I think Tognum is doing well. It's well-positioned. It's a good product. I think we can work well together and work well with Daimler. That's a good story, and I think there will be lot more to say about that as we go into next year.

In terms of balance sheet. A strong balance sheet, no change to that. We've got plenty of liquidity to enable us to complete our share of the acquisition of Tognum. We've got sufficient liquidity and funding around us to keep our credit rating in the right place. And we feel very relaxed about the balance sheet. There's no real change to our pension and other healthcare liabilities. There's a slight change to the basis of calculation, which will be beneficial to the company, it's not in the underlying results. It's a sort of one-off benefit put through the headline results that will see some benefit from in cash terms over many, many years to come.

We guided on cash flow for the full year that if we put aside the effect of Tognum for one minute, we will have a small cash inflow. We're obviously still investing a lot of money. And that's to industrialize head of the need double Trent production over the next 4 to 5 years. This involves factories in Singapore and the United States and there are other businesses where we're investing as well, obviously, amounts of money somewhat less but investing in service centers in the Marine business and so forth. So we're still on the growth trajectory, which implies a level of investment and -- but clearly, this level of investment will capitalize the business to be able to deliver a much higher number of Trent engines. So I think we're looking at sort of 2 to 3-year increase in CapEx that should tail off somewhat after that.

So I think that's about it. Just as we are going back to corporate level, we've maintained guidance for the full year on profit. There are lots of small puts and takes one way or the other across the businesses and

maintain guidance on cash flow with a small cash inflow expected for full year, ignoring the money we'll spend on completing Tognum.
I think that's all I'd say by way of introduction, and I'll hand you back to the call moderator to take any questions.

Question and Answer

Operator

[Operator Instructions] There are no questions, Mr. Shilston. Please continue.

Andrew B. Shilston

Former Director

Well, thank you very much, indeed, for joining the call. There are a number of contact points you're all familiar with here, Rolls-Royce, if you have any further questions. So thank you very much, indeed, for joining the call.

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Rolls-Royce Holdings plc LSE:RR.

FH1 2011 Earnings Call Transcripts

Thursday, July 28, 2011 10:00 AM GMT

S&P Global Market Intelligence Estimates

	-FH1 2011-	-FH2 2011-		-FY 2011-	-FY 2012-
	CONSENSUS	CONSENSUS	SURPRISE	CONSENSUS	CONSENSUS
EPS Normalized	0.21	0.24	▲13.64	0.44	0.50
Revenue (mm)	5512.68	6073.88	▼(4.16 %)	11466.94	12408.84

Currency: GBP

Consensus as of Jul-28-2011 8:26 AM GMT

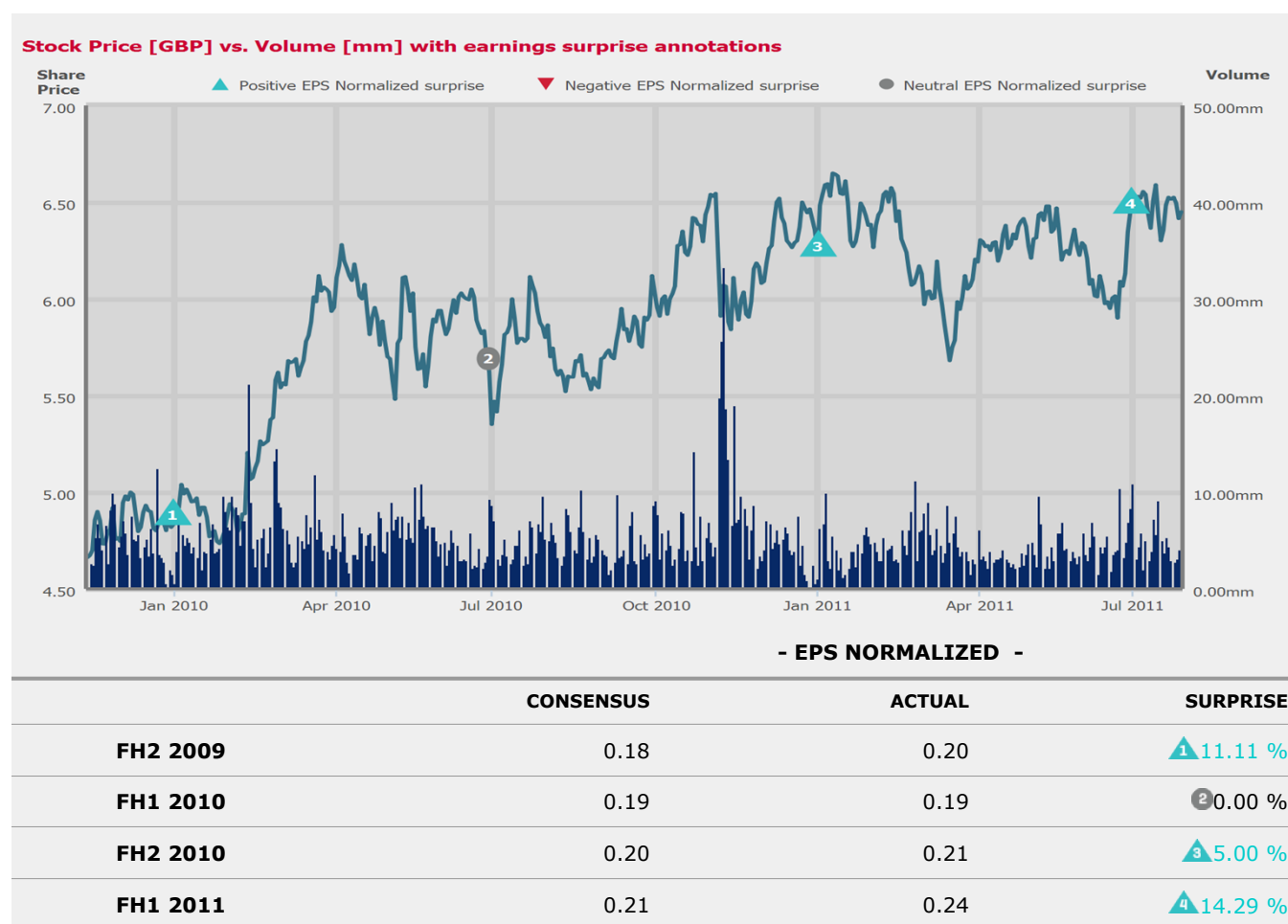


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Presentation

John F. Rishton

Former Chief Executive Officer and Executive Director

Good morning. Thank you for coming. Welcome to Rolls-Royce First Half Results. Given the very busy reporting day across our sector and the fact that this is our half-year results, we intend to keep this short and focused. I will give an overview. Andrew Shilston will then take you through the financials, and then in a break with tradition, we're going to go home, or alternatively, we could take questions.

I want to cover 3 topics before I hand over to Andrew. Firstly, share my views on our business, give you a flavor of what I've been doing since I arrived and make a few comments about the future. Secondly, highlight significant first half achievements. Then thirdly, review the key financial indicators that demonstrate the strong health of the business and the strong start that we've made to 2011.

I joined the board of Rolls-Royce as a nonexecutive in 2007. I took on the role of CEO in April of this year. My time as nonexecutive gave me a good understanding of the breadth of the business. And since taking on an executive position, I've concentrated on improving the depth of my knowledge by visiting many of our facilities and meeting with many of Rolls-Royce employees and our customers. My overview would be that this is an extraordinary company with extraordinary products and extraordinary people.

Everywhere I have been, I've met with people at all levels. And without exception, they've been proud of the company, passionate and professional with an enthusiasm I have not seen in other businesses. The customers I have met have generally been complementary about what we do and how we do it. But it is clear that on a number of occasions, we could have done better. So we need to sharpen our focus on the customer.

Rolls-Royce has a number of striking characteristics, a very long cycle business, a huge order book that provides good long-term visibility in a number of our sectors, an exceptional brand, and a strategy that has been in place for many years and has been followed consistently and proved its resilience. I supported that strategy as a nonexecutive, and I support it now as Chief Executive.

So John Rose and his team have done an amazing job over the last decade or more, transforming the business and creating choices about where we grow in the future. So I see my role, as firstly, ensuring that we deliver the promises we have already made. And as you know, we believe that revenues will double over the next decade from organic growth alone.

This is a complex and long-term task. We are investing in new facilities, new technology and recruiting new people. It is also clear that we must focus on execution, cost, cash conversion and efficiency. We must ensure that we are competitive on all fronts everywhere.

The second main element of my role is to examine the options for future growth so that we can make the right choices. So in summary, my take away from my first few months is shown on this slide: Great people, great products; right strategy; a strong balance sheet. We need to sharpen our focus on customer, cash and costs; deliver the promises that we've already made; and choices about how and where we grow in the future.

Turning to the first half of 2011. I think that there have been 2 really important decisions taken so far this year that will shape the agenda for many years to come. Firstly, the selection of the enhanced Trent XWB to be the exclusive engine to power the Airbus A350-1000. This builds our strong position in widebody aircraft and sets the stage for significant growth of those engines are delivered and operated over the next few decades. This aircraft will be a powerful long-term growth driver for our civil business and the group.

Secondly, our joint offer with Daimler for Tognum that is progressing well. This will add breadth and depth to our Marine and Energy businesses. We will bring significant systems integration and aftermarket capabilities to an already successful business. Tognum possesses a particularly strong diesel portfolio that

will complement our own diesel and gas engine technologies allowing us to double the revenues of the business in much less than the decade.

In addition, we have continued to invest in refreshing and growing our facilities and strengthening our supply chain. You will assume that we've invested more than GBP 600 million on CapEx, on research and product development in the first half. These investments include the continued development of new facilities in the U.S. and Singapore, both of which have started initial production and preproduction, and the extension of our services network as we grow our global capabilities to support customers. For example, we have outnumbering[ph] centers in Holland, Poland and Namibia and further extended our civil overhaul facility in Hong Kong.

As you would have read, we are confirming the full year guidance that we gave in February for 2011 in terms of revenue and profit growth. And excluding the Tognum acquisition, the core business will generate a modest cash inflow.

As you can see from this slide, overall, a strong performance in the first half. The headlines are our record order book up 4% to GBP 61.4 billion. We won new orders of GBP 8.7 billion in the first half with around 75% coming from Civil Aerospace where we continue to take around half of the lucrative widebody market, with new orders of 4 different Trent engine types for customers in Europe, the Middle East and Asia. Orders in Marine and Energy were similar to last year. But some sectors, notably oil and gas, will be second half biased. We remain encouraged by what is going on, on both offshore exploration and production and land-based pipeline and transportation activities.

For example, investment announcements from Petrobras and BG Group make it clear that there would be good opportunities to support the development and extraction of new reserves around the world.

The order book once again serves to highlight the global nature and the rapid growth in our market position over the last few years. Today, 47% relates to Asia and the Middle East, with that element alone, now largely the entire order book just 5 years ago.

Underlying revenues grew by 4%, with services up 10% and the slight reduction in original equipment sales, mainly a function of the Marine slowdown that we had signaled earlier this year. Underlying profits grew by 28% but benefited from a well-off settlement of some U.K. defense contracts. Excluding this benefit, underlying profits were up 15%.

The balance sheet remains strong. We finished the period with nearly GBP 1.5 billion of cash after GBP 82 million outflow from the start of the year. Average net cash fell to GBP 780 million.

Reflecting our confidence and the strength and resilience of the business, the outlook for growth over the next few years and the opportunities we have to drive performance by focusing relentlessly on execution, we have increased the first half payment to shareholders by 8%.

So in summary, a strong first half. We are well positioned and confident about the future. I believe that we must sharpen our focus on customers, cost and cash, deliver the promises that have been made that will double the revenues over the next decade and we have choices to make about future growth. Thank you.

Andrew B. Shilston
Former Director

Right. Good morning. The flavor of this section is very much a case, I think, of -- this is largely all in line with guidance. So I'm going to be fairly brief, and I know there's a lot on stage. You've got a lot of other companies to look at. As usual, I'll focus on the underlying results. The headline result is somewhat more eye-catching with the usual revaluation movements in this half-year have been quite heavily positive. But all that details in the handout just to reconcile between the headline numbers and what I'm going to talk about here.

First of all, this familiar chart is looking at how profits have moved from one half year to the next, taking foreign exchange, first of all. Back in February, we said we would have the benefit of that 6p to 9p

improvement in the achieve rate for use our hedge book over the full year and there's no change to that guidance.

In the first half of the year, we had benefit from the hedge book of about GBP 36 million, and that was offset by a small translation negative of about GBP 13 million. I mentioned that simply because we don't forecast translation differences, and that is a change to what would affect previous guidance. That's small GBP 13 million number.

With regard to R&D, compared to previous guidance, we expect the full year to be up around GBP 20 million, something like that. About 3 quarters of that is spent in some of it is accounting effects. We knew obviously that R&D this year, there'd be a heavier charge than last year, that guidance we gave back in February. And that's mostly to do with the mix of activity moving away from the Trent 1000 to the engine for the Airbus A350.

With regard to operating income, there's no change to full year guidance, so that negative there is exactly as we expected. And then we'd move to the one-off items on the right-hand side, the industrial Trent provision that we've made last year was a one-off. I think John's already alluded to that. And we have been in conversation with the MOD on contract terminations, and there are some benefit arising from that as well, and I'll touch on that in the defense sector in a moment.

So turning to the civil business. First of all, a continuing, very strong widebody aircraft story. There's a lot of really good data in the back of the appendices about market share by aircraft type, which I won't go into detail now. I think you're familiar with that. But if you add it all up, we have a very strong market share story to tell of at least 50% in aggregate across the whole market, with much greater market share in some other product types, for example, the Airbus A350.

Now we talked about installed thrust as a proxy for value. We've done that, I think, for quite some time now. Just to give you a sense of the strength of this trend story that's emerging or will emerge over the next few years, we have about GBP 140 million of installed thrust in a Trent fleet today. And if you look at the next 20 years and assume we get about 50% of the market, then we should deliver about another GBP 700 million of thrust over the next 20 years. And that isn't all in the distant future, we would double Trent deliveries in the next 5 years. So a very powerful story there coming through.

Services revenues, we guided that the full year would be up around 6% or 7%. We're not changing that because remember that in 2010, we had that Aviall logistics deal which has meant that's the year-on-year growth figure looks a little lower than it would if you had excluded that. And if you un-pick that services growth, we've had good double-digit growth in our large engine TotalCare business, and a slightly slower growth in the smaller engines and time material business. Yes, there is some recovery in time material activity, but to an extent this is going to happen later in the year as the arisings go through the overhaul shops.

Worth just pointing out, I think, that because of the nature of our aftermarket business, because it is so long-term contract based, it tends to be more stable than some other companies who I think have been reporting quite significant quarter-on-quarter gains in their time material business. The beauty of our long-term contract model is that we're much more stable and we get paid on an hourly basis, not on shop visits. And that's a great benefit, I think, both to the customer and to us because it produces predictability.

Profits-to-date are more or less as we expected. And compared to previous guidance, we will see a small effect from the nuclear disaster in Japan that has caused some disruption to our supply chains and delayed deliveries into the factories and also delayed some overhaul activity. And that's going to cost us about GBP 10 million of whereabouts over the full year, and there are some slightly higher R&D costs as well. And finally, there's no change to our guidance from the effects of the Trent 900 event last year. So that's in line with what we said before.

Turning to Defense. On the 2 new development programs, we're getting through the key milestones that some of the TP400 for the European A400M military transport aircraft and the stable engine likewise, the JSF development is proceeding satisfactorily. Work has largely stopped on the alternative engine for the Joint Strike Fighter. While GE and ourselves consider our options, this is the program that isn't completely

stopped in the language that's used in the United States. Because if that happens, all the tooling and everything else is destroyed if that has not happened. So I think there's still further conversations to be had between GE and ourselves and the U.S. government about where this program goes. But for the time being, funding has been stopped.

Transport sector continues to be very strong. The theme, I think, we've talked about for quite a number of half-year periods over the last 2 or 3 years. And we're also pursuing export opportunities and service ideas to offset U.K. and U.S. slowdown in some procurement programs. Obviously, the first half is dominated by the profit effect of settling these contracts that were canceled by the U.K. MOD, and I think BAE was in similar position. They talked about that earlier on today. So other than this one-off, the full year will be largely as we expected in profit terms.

Now turning to Marine. Some good news in the Naval sector. We had talked a lot about that, usually that we've won, as you can see here, the first order on the Littoral Combat Ship program for 10 ships which is a major foothold for us now in the U.S. Navy. And in the U.K., we've had confirmation that the U.K. government will support the next generation nuclear reactor, the PWR3 reactor, for the next generation of nuclear subs, and that is a very, very long-term business as well.

Turning to other areas of Marine. We're definitely past the inflection point on orders in the oil and gas sector, that's the -- or what we call the offshore market. Well, it's taking a little bit longer than normal to get customers to sign on the dotted line, but there's no point. Sorry, there's -- it's clearly -- it's quite clear that the inflection point has been passed. And so we'll see some turnaround, some significant turnaround in original equipment deliveries in Marine. They were down about 25% for the half-year. They'll recover quite strongly over the second half of the year. So overall, we will be down about 10% in Marine, which is plus or minus what we've guided back in February.

And services are growing at a good double-digit rate, about 11%. And that's based on all the work we've been putting into dock side presence around the world which has been very successful. We're just pointing out here, I think, that we're not involved in the big bulk carrier market container ship market. I think 1 or 2 other companies in this sector have had some issues in that piece of the market place. We're not in that. Our gain is in specialized vessels, particularly involved with the oil and gas industry, which, as you've heard already, it's pretty busy deep water, offshore exploration and production.

The margins are benefiting from a greater percentage proportion of services and the revenue mix. But overall, there's no real change to guidance for the full year.

Turning to the last of 4 divisions. Energy, we continued to invest to improve products and in new businesses of some nuclear fuel cells entitled [ph] power. We still believe civil nuclear is worth pursuing despite the Fukushima disaster in Japan. And the reason for that is our capability is unique, and we're developing plans with the key reactor vendors and all the other participants in the market. And I think that the quality of our brand, together with our capability is meaning that we've got access to all the key players in that marketplace.

Now as in oil and gas in Marine, order inquiry is picking up, but current revenue growth is mostly from services. So half-year profit compared to last year clearly benefited from non-recurrence of the refit costs on the industrial Trents that didn't recur. And for the full year, we expect slightly lower profits than we've previously guided, mostly due to slightly softer OE, some new civil nuclear spend and some other people rated costs, bid costs and the like.

A brief update on Tognum. We're very pleased with the take-up of the joint bid for Tognum. We've achieved very nearly 95% in aggregate acceptances year-to-date which is good. The regulatory process, especially with regard to the antitrust clearances, is going very well, and we would expect completion sometime in the autumn. And after that, we will follow on with the process to squeeze out the minorities.

And all that timeline is laid out in the appendix so that you can see how that's all going to work. And in terms of the financials this year, there'll be no significant effect on our numbers because completion happens later on in the year. We've only got half of the business and that's the bid costs, so there wouldn't be much effect. But clearly, from the 1st of January next year, we will get the full benefit of

half of Tognum's earnings incorporated into our numbers. Now the precise accounting cosmetics of that will change as we go through, and I won't go into that detail now. But economically, we will have an entitlement to half of the earnings of that company in terms of the way the accounts are presented.

The other thing that I think is worth mentioning is, that although we can't formally have detailed conversations with the Tognum management until this transaction completes, together with Daimler, there's no doubt that there is unanimity between Daimler, ourselves and Tognum about what needs to be done to move this whole business forward. And we're starting this conversations in the most detailed way that we're permitted, subject to not having completed the transaction.

In terms of our balance sheet, as ever, a strong balance sheet is a key part of Rolls-Royce story. You can see here, we've got sufficient resources to pay for our share of the Tognum acquisition from our own internal resources. We don't need to raise any more money, and the credit rating is secure. The rating agencies know about the Tognum acquisition. They've had a look at it, and our credit rating is unchanged. The average cash figure is down about a little bit on the first half last year. And that's largely because of the effect of the ODIM acquisition which was about GBP 150 million. There's a much greater effect on the first half of this year than it did in the first half of last year in terms of how the averages are calculated. Customer financing and supplier financing positions are largely unchanged. And finally, there are some changes to the methods of calculating pension liabilities and U.S. healthcare liabilities that appear in the notes in the headline to underlying reconciliation. Now these are economic benefits that will be beneficial to the company over many, many years, but we've not included them in the underlying results.

Looking at cash flow, we're still investing heavily, as you can see here. There's no doubt that industrializing the growth in Trent deliveries over the next 5 years is going to require some physical investment that is reflected here in the financials. The breakdown is all in the press release. The breakdown between intangibles, and fixed assets and so forth. It's all in the handout. But for the full year, we expect to spend something like GBP 800 million. That's currently our expectation. Working capital is a big subject. As I've said before, and I think the gross working capital balance in aggregate add up to something like GBP 14 billion. So you can see that relatively small movements in these numbers can have an effect on the business. What's been happening in the first half is that we've had some modest inventory build. As we anticipate the entry into service with the Gulfstream G650 and Boeing 787, and then you add to that the disruptive effect from the nuclear disaster in Japan and the knock-on effects in our supply chain, inventories in aggregate have gone up to something like GBP 200 million at the half-year. Now some of that will unwind by the full year, but you can see that's one of the reasons why we've got a small negative on working capital. The M&A line relates to the purchase of a small number of Tognum shares. Clearly, that number is going to be a lot bigger at the full year, but if you ignore that, we expect a modest cash inflow for the full year.

So to summarize, full year guidance, we expect mid-single-digit overall increase in revenues where we're only held back a little bit by small to slight decline in Marine. The Civil business, we expect to recover strongly, as I've said earlier. The tone is definitely getting better in Marine and Energy from oil and gas demand and the order flow rising from that. Although profits are likely to be flat for the full year.

The one-off item in Defense is largely offset by the small translation difference that I've alluded to, some R&D costs and the impact from Japan, all of those effects occurring in other businesses. So net-net, there's no overall change to guidance and profits. And we expect a small cash inflow if we put Tognum investment to one side.

So that's the end of the formal comments, and I think we'll now take questions.

Question and Answer

John F. Rishton

Former Chief Executive Officer and Executive Director

We'd be happy to take questions. If you could say your name, who you work for, and wait for the microphones that will be coming around. And I will try to manage your questions, taking as best I can. So who would like to answer the first question? Right at the very front.

David Howard Perry

Goldman Sachs Group Inc., Research Division

I'm David Perry from Goldman Sachs. I've got 2 questions. You mentioned customer cash and cost reduction several times in your intro. Could you elaborate a little bit on the cost reduction piece? I mean, Rolls has been doing this for a long time, and normally, you might give us an update about where you think -- what you think still can be done, please? And the second question is, Rolls has this fantastic story on the widebodies coming, but that also gives you a bit of a profit headwind for the next few years. Do you think there's anything you can do to try and help overcome that profit headwind? Or it just has to work its course and we just have to be patient?

John F. Rishton

Former Chief Executive Officer and Executive Director

A couple of comments, and maybe I'll ask Mike and Andrew to add to the comments that I make. Having traveled around the business and certainly talked with Mike, Andrew and the rest of the management team, I think that there is opportunity for us to sharpen our focus a little in the areas that you talked about. So customer, cash and costs being those 3 Cs. What that means is, can we turn the dial on the attention on those a little further? And certainly, on the cash and the cost side, they have received significant attention over many years. And Mike and the team had done a terrific job. We need to keep going down that journey. And I think my observation, coming in new is that while we're making good progress on that, we need to continue to make good progress on it. And I certainly want to make sure that within the organization, those things are considered to be important to our future. But you should be under no misunderstanding that Mike and the team had done terrific job improving cost performance over many years. And this was about sharpening the focus, about turning that dial up a little bit, about making sure that everyone knows just how important it is as we start to reach a significant ramp up. Mike, would you like to add anything on that?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

John. Yes, I do give an update. And because the supply chain and operational stuff has a continuity about it, it doesn't change a lot from half-to-half. There's probably what's reflected several years where inflation pressures have outstripped our efforts on productivity. But as we guided this year, productivity efforts will be offsetting inflationary pressures, which is still there, which we know about in Energy and materials. We're investing very heavily, as Andrew has just said. A lot of these facilities, both new facilities that we've invested in, new facilities that our supply chain have invested in and also new machine tools and processes going to our existing facilities. These strands of activity on the product side are coming to fruition. But clearly, in fact, as you build a new facility and put in new machine tools, there's a lag before you actually start to get the volume coming through, and the benefits and those will take some time. We're also heavily invested in IT, processes, and we've been doing this a number of years, and we're starting to accelerate that. And as John has said, our focus in the organization on delivering what we've promised and delivering that not just for the customer, but also to our business clients is something that we're really focusing on in all lines of the business. And John's encouraging us on that, and that's great.

John F. Rishton

Former Chief Executive Officer and Executive Director

In terms of your second question about the widebody, I'm going to ask Andrew to make a few comments on that. Clearly, the investments that we're making to support the ramp-up, particularly in the widebodies area, clearly the investments we're making in new products, the fact that we've had 3 new wide-bodied engines in very close succession, and the results in the cost increases as you said. But I think the beauty of this strategy that's being put in place. And the portfolio approach really shows its strength in that kind of environment where despite the economic turbulence that we've experienced over the last 4 or 5 years, despite the fact that we've had these investments, and we are set for growth, the overall group profitability and group revenues have progressed well through that period, which is why I said during the course of my presentation, that I supported the strategy when I was a nonexecutive and I continue to support it now. I think it's an extremely well thought through, well implemented and well-led strategy. So it gives a significant benefits and helps to address the kind of issues that you're talking about, which are inevitable when you are launching a significant new product. Andrew, I don't know if you'd like to?

Andrew B. Shilston

Former Director

Well, I think my colleagues have covered most of the issues. Now what I would say on the portfolio point is that probably 4 or 5 years ago, if we were projecting forward to 2011, we wouldn't have envisaged anything like the quantity of Trent 700 engines going into production on the Airbus A330. So I think part of the answer to the new product question is the aftermarket that's growing from the installed base and the portfolio effect that's allowed us to enjoy the continuing life of what 5 years ago was considered to be an aircraft with a fairly limited life. But that's -- I think we've always said that, that we were in the market for lift, in those demands for lift in aggregate and if some programs are delayed or some capacity has delayed then older programs turned to benefits. And I think that's what will happen over the next few years.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay, the next question. We got another one right in the front.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Ben Fidler from Deutsche Bank. Three questions, please. Firstly, one for you John, which is I just want to understand your aspirations and goals about where you think the margins might be capable of getting in the Civil Aerospace business? And today around 10% somewhere below most of your peers in that area. What are your sort of own aspirations might be for that? The second question was, just to understand, one for Andrew really, your guidance for Marine being unchanged for the full year which based on my scribbled notes from February seems to imply flat sales, flat EBIT, implication flat margin. You did a brilliant margin in the first half, 15% in the marine. I'm just wondering why that unwinds so much at the margin level in H2 or whether it's just conservatism? And the third question was, just to understand the R&D implications of the extra development work you're going to have to do for the 350-1000 engine, and where that leaves R&D and how we should think about that for the next couple of years?

John F. Rishton

Former Chief Executive Officer and Executive Director

Let me take the first one, and maybe ask Andrew to answer on 2 and 3. I think, in terms of margins, if I look at our margins, look at all our competitors margins, if I look at the future potential revenue growth that we've talked about, it would be disappointing if we didn't improve them over time. In terms of aspirations, I'm certainly not going to get into where I would hope, like or want them to be in this meeting. But as you would expect internally, that's something that we talk about quite a bit. But certainly, with the doubling of revenues, we would hope that they would improve. Andrew?

Andrew B. Shilston

Former Director

And I think on the Marine margin, probably the answer is that the margin expansion in the first half is because of the greater proportion of aftermarket, which gives us a higher margin rate. And what I said was that OE would recover quite significantly in the second half, so that mix is going to work slightly to our disfavor in the second half. In terms of R&D, if you've inferred from my comment about R&D this year that, that's associated with the A350, that's not case. It's more bits and pieces across the whole business. And what we've always said, looking at the R&D in total, is that it's the portfolio points that for example, as the engine for the Boeing 787 goes into service, you've got more engineering time to address the engine for the Airbus A350. So when you look at it in aggregate, as the old programs mature you have more resource available for new. So I don't think you should assume that what we've said in the past on R&D is really going to change in terms of overall numbers.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

So just confirming, it came from that resource is R&D stays flat as opposed to?

Andrew B. Shilston

Former Director

Well, as you know, we don't give multiyear guidance, but what I'm telling you, there's not going to be a significant change to resource levels, no.

John F. Rishton

Former Chief Executive Officer and Executive Director

If I could just raise up on the A350 exclusive, I think that's a really, really important win for Rolls-Royce. Lastly, we look at that as a very positive thing that really enhances our position on the widebody market and in the total A350 fleet as well. So perhaps I think it's exceptionally positive, positive position to be in. Let's go to the next question.

Zafar Khan

Societe Generale Cross Asset Research

It's Zafar Khan from Societe Generale. One for you John, just trying to understand really your strategy on the engines for the narrow body. It clearly, very well defined strategy on the widebody, very good position, but I'm really struggling to understand really where you're going to go in the narrow body. So if you could help us with that, I'd be very grateful.

John F. Rishton

Former Chief Executive Officer and Executive Director

Okay. On the narrowbody, a couple of comments. First of all, I think that our decision not to go on the reengined Airbus was a sensible decision from a business case perspective. If we're way up to where we want to invest our money on the returns that we can make, our view was from a simple financial basis, that there was areas that we could do better on. So I think that was a sensible and rational decision. In terms of what Boeing now seemed to be saying about reengining rather than a new aircraft, as you're all aware, CFM is certainly exclusive on the 737. And my understanding, but it is only my understanding, would be that, that wouldn't change with the reengining. So that doesn't alter the position going forward. So that's where we are, are comfortable with the position that we're on, on the neo. If you look further ahead for new aircraft, I think we would take naturally, as you would expect, take a serious look at that, and would envisage that, that would be something we would be interested in. So the fact that we're not on the neo [ph] and nothing's changed on the 737, you shouldn't read into that, that, that's not part of the market that we wouldn't be interested in. But I'm comfortable personally with the position that we're currently in, in that market. When I look at the other things that we invested our money in and our position on the widebody, for example, also across a broader spectrum. So if you take into account the Marine business and the Tognum acquisition, those kind of things, for me, it's a rational and sensible business decision.

Zafar Khan

Societe Generale Cross Asset Research

So should I assume that you are still interested in the smaller engine, and narrowbody is still very much part of the longer-term plan?

John F. Rishton

Former Chief Executive Officer and Executive Director

Yes. You should take into account the fact that that's a part of the market that is an important part of the market and is certainly one that we would look very seriously at as in when new aircraft are considered. You shouldn't take into account -- you should not draw the conclusion that because we're not on the reengining that we have exited that market. That would be completely the wrong conclusion to draw from that.

Celine Fornaro

BofA Merrill Lynch, Research Division

Celine Fornaro, Bank of America Merrill Lynch. Two questions, if I may, on services. The first one is on the aftermarket for Civil Aerospace, the guidance for the full year. So on H1, you grew probably slightly better than your average full year guidance. Why should we expect a slowdown in H2? Is there a specific reason for that? And also if you could just give a bit more color on the performance between the large engines on time and material, and maybe the business jet if that's coming back. Or we're seeing the first [indiscernible]? And the second question, still on services, in the Marine business, is given the strong growth by the OE recovering, how should we think about the split, services versus OE, where it is today and where is it going? And also, when you open these new centers in services, how quickly after that do you generate service business or you gain market share?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thank you for that series of questions. Andrew, if you could help me out with those that would be excellent.

Andrew B. Shilston

Former Director

Okay, well, let's pick up on the Civil Aerospace aftermarket, first of all. I did point out that we had the Aviall deal in the second half of last year, which when you're looking at the year-on-year growth, it will tend to depress that percentage for the second half of the year. So I think that's probably the answer to that point. In terms of small engines, I don't think there's anything more to the guidance I've already given. I mean, we expect good double-digit growth in our large engine TotalCare business. In smaller engines, it's fairly flat and we're seeing some of the older V2500 engines or the older aircraft gradually going out of service, maintenance events perhaps are stretching out. I think, Safran was seeing some of that. And in other respects on business jets, it's pretty much steady as she goes. So I think that's why despite the fact that the large engine story is very strong, when you add it all up and produce the overall civil business result, it's down around 6% to 7%. And looking at Marine, well, I think the story on services is pretty clear, that it's growing at a nice double-digit rate. There's every reason to assume we can continue to make that grow just by virtue of the greater dockside presence and the growth in the installed base. And so we don't really target any split of OE and aftermarket. It is what it is. It's just a result. And I think I suggested that the tone in OE is getting better. So OE in Marine in the second half will be better than the first half,, and obviously we'll update that guidance in the New Year as we look into 2012. In terms of the new centers that we put into our service network, the benefit is pretty rapid because mostly it derives from putting service engineers on the dockside and the service engineers get into the vessels pretty quickly. And so they are earning money almost from the date that you commission the factory. So that's quite a nice position to be in. It's not a heavy investment, heavy long-term payback story, it's all quite short cycle.

Edward Stacey

It's Ed Stacey from Espirito Santo. Just one question, and it's for John. On the 3 Cs, the customer, one, and the need to sharpen the focus on the customer, I guess, in the last sort of 12, 18 months, we had the event on the A380, and maybe that sort of raises some issues. But we probably think of that as being kind of an extraordinary event. In more general terms, is there something you're doing wrong currently in the way that you support your customers, something you need to change? Could you maybe give an example of what you mean by the need to sharpen the focus on the customer?

John F. Rishton

Former Chief Executive Officer and Executive Director

I don't think there's anything we're doing wrong in terms of our customer. And again, if I go back to the success the business has had in terms of winning business in all sectors, it's quite clear that we have good relationships with our customers. And as I said when I've met -- most of the customers that I've met have all been very complimentary. So what do I mean? I mean, that I think as with all things, there are some things that we can sharpen up on and there are some things that we need to improve around. And some of it is in quite some detail. I think, coming from a different business background, I come from a business-to-consumer background rather than a business-to-business background, and in those businesses, the organizations tend to be more customer in their mind in everything they do. So I think there's a little bit of -- it isn't quite the same in a business-to-business, which I understand, but I think that there's some areas that we can tweak, some areas that we can improve our attention on our customers. And in discussing that with my colleagues, I think there's a general view that, that is the case. But this doesn't mean that anything was necessarily wrong. I think this is an area that we can improve and get better out rather than it's wrong so we must change it. I think we do it, generally, very, very well. So in many ways, I go back to the answer that I gave on costs, which is an area why I just like to turn up the dial a little bit and turn up a little bit of attention and put a little bit more focus on that area than maybe there has been. That doesn't mean it was bad or wrong in the past.

Rami Yehuda Myerson

UBS Investment Bank, Research Division

Rami Myerson from UBS. Just 2 quick questions. You talked about inflection point in Marine. And on the order intake in Marine activity and order interest, can you just tell us what you're seeing so far year-to-date and potentially the interest going forward to the end of the year? And if I understood correctly, there's an Advance2, Advance3 -- or Advantage2 [ph], Advantage3 [ph] engines that are currently under development for the narrowbody, after Boeing's decision to reengine with the CFM LEAP-X engine, does that mean that, that has been pushed to the right and development of that will be deferred until you see the potential for new narrowbody aircraft?

John F. Rishton

Former Chief Executive Officer and Executive Director

Let's start with the second one first. Mike, I don't know if you want to make some comments about that.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Yes. Basically, Advantage [ph], we have technology programs and the technologies that we develop are applicable at different thrusts. So clearly, in our compressors to the buy-ins and so on. And so the programs that we have feed all of our programs for Civil and Defense, but certainly, across all the Civil portfolio. So we don't see change in our technology programs at all as a result of this. And the other thing to remind everybody is the Trent XWB is demonstrating now the world's most efficient performance from the data that we have. So in terms of technology, we're actually living the cutting edge of that on a daily basis. And the technology that lies behind future developments has applications in current programs, as well as in future programs.

Andrew B. Shilston

Former Director

Just on the Marine order point. I think actually if you look at the press release, there's probably all that we need to say on that subject. But just to pick out a few highlights. We took GBP 1 billion worth of orders in the first half. And the point about the Marine business is that it's quite fragmented. It's not like the Civil Aerospace business where individual orders can be worth very large amounts of money. They were financed individually. Marine orders tend to be small and they aggregate after quite big numbers. But just some examples here, about the UT design and system integration packages, the oil and gas sector, we won more than GBP 100 million of orders in 4 or 5 different countries all over the world. And this is another example here, an order for 6 UT offshore supply vessels by the Blue Sea Group. So there's a lot going on, and it's all over the world and what's driving this is the same thing, it's activity in the deepwater oil and gas sector, which is driven partly by the oil price and partly by the fact that there are very few places that oil companies can invest to own oil reserves other than offshore.

Rupinder S. Vig

Morgan Stanley, Research Division

Rupinder Vig from Morgan Stanley. Two questions, perhaps one for John, first. Going back to the 3 Cs, when we think about cash, how quickly should we see get to see improvements in cash, given we've got ongoing headwinds such as new program investment, we've got the inventory build that we talked about? So how near-term an objective can that be to sharpen on cash if you like? And then a question for Mike, perhaps on the operational side. We've talked today about doubling Trent production in 5 years. Are the resources in place to be able to do that? What else needs to happen? So what are the big challenges from that perspective to be able to get to a stage where you can double the production 5 years on Trent?

John F. Rishton

Former Chief Executive Officer and Executive Director

One of the danger of being the new guys, as soon as you mention something, it becomes sort of the flavor of the month internally and externally. So let me reemphasize, this isn't about sharpening our focus, just pushing a little harder on it. I mean, one of the things that, if I read any of your reports over a long period of time that you would talk about, I think, is cash and cash conversion. So I don't think I'm sort of breaking new boundaries by suggesting that we could maybe increase our focus on cash. I know clearly a number of areas that we can look to, and there's clearly a number of headwinds that we have faced, some that we will continue to face. So the question is: How do you get the organization more interested in cash? And again, this is about sharpening the focus rather than turning a switch that was off. Andrew and the team have been very focused on cash, but nevertheless, bring a scenario that we could usefully get some more people within the organization more interested in, and that would be beneficial. So again, sort of [indiscernible] in terms sort of you've already termed it the 3 Cs. I can already read tomorrow's reports. Thank you very much, indeed. Again, this is about sort of my views and just increasing the emphasis in a few places on a few topics. None of which, in my view, would surprise you in the slightest if I read your reports in total. Mike?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Thank you. Well, it's a big subject to talk about, preparation for the growth in Trent. But just 2 things to put into context. First of all, the significant ramp-up of new product is clearly the Trent 1000 and the Trent XWB, although that is not a substantial ramp-up still on the Trent 700, as was mentioned earlier. So as you know from the airframer's requirements, that ramp-up is starting now on and we really start in a couple of years time on the XWB. So it's not sort of a totally immediate thing to ramp up to the full rates. I'll talk about the factories that we are building around what we call our make components because I can paint that picture more simply. But also our suppliers, our partners are putting in similar investments. So let's just talk about 3 major make components first. The fan blade and the assembly of the engine is clearly make. We clearly make the turbine blades and we clearly make their rotating disks. And in those 3 areas, we've announced investments, and some are now complete to affectively duplicate capacity, but also duplicate it with modern methods and modern processes, which we'll also read across into our older facilities. So I'll just give you a quick update on those. In Crosspointe, Virginia, we are making disks and that factory opened this first half. We produce parts. These are production parts, and they're going through the production proving process. But there are production parts that will fly. So that's a brand-

new facility in Virginia, the U.S.A. and it looks great. In Singapore, we have 2 major facilities, as well as a hub complex, on what is actually a stunning aerospace parking suite in Singapore. That will be officially opened next year. But at the moment, we're stocking it with machine tools and a production proved in the processes to do 2 things. One is to make wide-chord fan blades for the Trent, which is clearly our iconic feature, and the thing you see as you get on an airplane. And secondly, to assemble a large Trent engines. And again, total effective doubling, doubling and more of existing capacity, which we'd also invest in, in the U.K. And both of those are coming along really well, and we'll ramp into production in line with the requirements for engines for the aeroplanes. We're also building a facility up in northeastern England to replace essentially an older facility in Sunderland, again, making disks. And we have announced that we will be investing in turbine blade machining capacity again in the U.K. So we are investing and when we go around the world, we can see our partners investing and we can see our supply chain. We've carefully selected on these new programs to be a smaller number of bigger more capable players, and it's a big task. You have to put the factories in place. You have to fill the machine tools, then you recruit, improve the processes and the hardware then follows. And we're pretty excited with the progress but it's a big task for us.

Andrew Paul Gollan

Investec Bank plc, Research Division

Andrew Gollan from Investec. Two questions, please. The first one, easy financial one for Andrew. The hedge book has gone off a little bit. Can you tell us what the average hedge rate is compared to the end of 2010? First question. And secondly, I think you mentioned with regard to Tognum, that you expect to double the revenues in a shorter period in 10 years. Does that -- are we talking about the combined businesses here? Or are we talking about what you're expecting for perhaps Rolls-Royce Marine and the other assets before you put them together with Tognum assets?

John F. Rishton

Former Chief Executive Officer and Executive Director

I'll take the second one first. We talked about the total business Tognum, doubling that in less than 10 years. Andrew, do you want to talk about the hedge book?

Andrew B. Shilston

Former Director

Yes, by all means. And there's some information actually in the press release under Note F. But just for the benefit of the audience, the hedge book is now just over \$20 billion. The average book rate is about \$1.60 in the hedge book. And for those of you with the [indiscernible], you'll see that's fairly close to the forward rates that are currently available in the market

Jason Adams

Nomura Securities Co. Ltd., Research Division

Jason Adams from Nomura. Just 2 questions, the first one for you, John, on the Energy business. When you look at this business, do you think it's at a scale now where you're confident of growing it organically and delivering margins that would be acceptable to your shareholders? Or do you think this one could be a focus for bolt-on acquisitions and you need to get the scale up to compete? I'm wondering how you feel about the size of that business. The second one for you, Andrew, on Civil Aerospace. You mentioned that the disruption caused by Japan is impacting profits by GBP 10 million, R&D is a little bit higher than expected, and then perhaps maybe there is even a negative translation impact that you didn't forecast, but yet you maintained guidance. So can we infer that perhaps the first half of the year delivered a little bit better trading than expected? And if so, where did that slight upside surprise come from within Civil Aero?

John F. Rishton

Former Chief Executive Officer and Executive Director

Thanks, Jason. Energy business, a couple of comments from me. First of all, clearly, the Energy business is smaller than the other areas. Secondly, the financial returns are, I think, the euphemism is

disappointing, and we need to address that. So I think that the first thing that I would say is that we need to address the financial returns that we're getting from our Energy business and we need to think carefully about how we can do that. As I said in my speech, the oil and gas part of that business looks pretty good, the power generation, less so. So we need to address that, the first thing. The second thing is that clearly the acquisition we're making in Tognum is significant for the Energy business in total and that will bring, to a certain extent, some scale. But of course, it's in a different part of the business, so it's the diesel engines part rather than the simple gas turbine. So what I would say is, one, for our existing Energy business, we need to fix the financials and that's sort of something that I take on and will look at very carefully. Exactly how we can do that, whether that is, a, we need to be bigger or a different answer, we'll see. Secondly, the acquisition of Tognum will bring some scale to the Energy business, but in a slightly different way.

Andrew?

Andrew B. Shilston
Former Director

Yes, I think looking at the Civil business, we're in danger of micro-analyzing a very large business. This is a business that can generate profits over a full year of close to GBP 0.5 billion. And we're talking about 10 or 15 million items here, which realistically a morass than a noise[ph]. So I don't think there's any sort of more detail in which to give you the about first half. What I would say is that, again, perhaps we're being trying to be too precise with guidance. We did say back in February that we would expect the Civil business to produce results about 25% up for the full year. I think you can see the chart, we've said 20% to 25%. Frankly, realistically, there isn't any change to guidance. I think we're trying to be too precise here in the outcome. The difference of a few percentage points in profitability in the Civil businesses is not capable of being forecasted, given the huge array of products we have, the huge array of transactions, it's all in the noise.

Sandy Morris
RBS Strategy

It's Sandy Morris from RBS. And I'm trying to avoid circling back and asking the same question about margins. But if we just were to look at Civil Aerospace, notwithstanding that we have rounding errors, the mix was pretty adverse in the first half. We had more R&D, we understand, in this business, but the margin is holding up pretty well in those circumstances. Mike, in the meantime, is busy starting up factories left, right and center. And in the meantime, he's got launch programs going through. I mean, without trying to ask the margin question again, there is a lot there that one could be encouraged by, for the future. If Mike or someone would help elaborate quite how challenging these startups may be, it would be helpful, please.

John F. Rishton
Former Chief Executive Officer and Executive Director

Well, I'll let Mike take it, but as I said earlier, I would agree with your synopsis, which is why it would be disappointing if we double our revenues and we don't improve the margins. Mike, do you want to make some comments?

Mike J. Terrett
Former Chief Operating Officer and Executive Director

But I think I started explaining what we do around the world. I mean, when you're introducing new products, if you -- everybody will understand if you increase the volumes through a factory. You're going to get some fixed overhead [ph] absorption benefits, as well as the opportunity to drive productivity out. Actually, as you introduce the new product, you also have to actually put it through an proving process, take it down the learning curve, makes sure that everything is set up on relatively smaller volumes. So there is a challenge in doing that. That is in the mix. We're also -- as I said, services revenues are growing, so that's helpful, but we're also launching products. And I mentioned the Trent, but we're also launching the BR725, which is going into volume production now, so that's again in the BR710 world, which is still strong volumes. We're suddenly adding a new product, which is in the family, but nevertheless, we have to learn it out. So in the Civil business, generally, there are learner challenges

through our factories. And those factories are shared factories, would also put in TP400 and the LiftFan through those factories as well. [Indiscernible] So it's a great challenge to have. It's one that we enjoy enormously. But in a supply chain, you've got to manage new product, you have to manage old product and legacy products, and that's all in the mix. I'm trying to disentangle it on a half-year, half-year basis. It's not easy to do it in a simple way because it's part of a general mix, which is, I think, a point Andrew has made a number of times. I don't know if that helps put a bit of color on the world that we live in, but it's a good challenge to have.

Harry William Freeman Breach

Barclays Bank PLC, Research Division

Harry Breach here from Barclays Capital. I'll just ask 2 questions without 3 subparts to each. Firstly, Andrew, you touched earlier on the Civil section about time materials being below the large engine TCA growth in the first half. So should we be thinking about that as being sort of flattish? And what's the sort of profile looking like? You said better in the second half. Does that mean up to the level of the large engine TCA revenue growth we've seen? And then turning over to Mike. Mike, there's been a lot of focus that, I suppose, this year really on the supply chain management and the ramp up. It's probably getting to be pretty top of the list of concerns. What can we take away to make us feel more comfortable that part shortages and the supply chain broadly, given how large and complex that is, can be better managed this time to mitigate shortage quality schedule issues compared with previous ramps? Is there anything tangible we can sort of think about to make us feel better about it?

Andrew B. Shilston

Former Director

Right. Well, let me take the first questions on the time material piece of our civil aftermarket. I think your characterization of the timing material performance in the first half as flattish is the one I'm happy with. In terms of the second half, there's no doubt that the number of arisings of bookings, if you like, in the overall base network is increasing. But I don't think that's going to cause the sort of double-digit increase that we've seen in the large engine long-term support contracts. And it's because there's a very large installed base of engines, about 30%, as you know, around time materials. And so there are some areas of the fleet that are looking better. For example, the 524 engines, I think, we've talked with 1 or 2 operators, we're seeing more demand for those overhauls. But then a quite a large number of engines where there may be little change in the second half. So I don't think you should expect a sort of double-digit necessarily upturn in the second half on time materials, but there will be some improvement.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Okay. On the ramp-up. I think if you're referring back to the challenges everybody faced in the last big cycle turn of 2004, I think there needs to be a bit of context here in that prior to 2004, there was enormous dip in civil as a result of 9/11 and the Iraq War and SARS. And the ramp-up that occurred was just to a large extent, a ramp-up in existing products and existing supply chains that came on very quickly, most of you remember. We've been planning this ramp-up in civil for some time. And rather sadly, we've had to wait a little bit on the 787 and the A380 delays, but we've had plenty visibility. We've had a lot of planning tools in place. We've carefully selected our suppliers and have worked with more production readiness, and continue to do so. And so it's -- and we've also hedged our materials probably far more extensively than we did back in 2004. Now having said that, it is one of those things that -- and if you were in my job, you'll lie awake and worry about it, which is the right thing to be doing. And constant attention to detail with suppliers, planning, making sure we're close to them, particular attention to making sure the parts are production-ready and are learnt out and the processes are capable. So those sorts of things, we're heavily engaged in our production readiness programs, and we'll continue to do so.

David Howard Perry

Goldman Sachs Group Inc., Research Division

David Perry again. Can I just come back to Energy? Just trying to understand the lower guidance. Andrew, I think in your presentation, you said it was -- the guidance was lower because of softer OE nuclear costs,

and I think you said people costs, as I was scribbling away. Can you just elaborate on that? Have you started doing some restructuring already?

Andrew B. Shilston

Former Director

No, it's not restructuring. I mean, we're talking quite small numbers here in the overall scheme of things. It's largely to do with just having people to bid for new work. I mean, before you win orders, you need people to address the market, so I think that's really what I'm talking about. It's not restructuring.

David Howard Perry

Goldman Sachs Group Inc., Research Division

Sorry. I'm not sure I understood you. So you said before you bid, you need people?

Andrew B. Shilston

Former Director

Before you win orders, you have to have people to respond to requests for RFPs, request for proposals. You have to have people to address the market, so those are creating costs without revenue. And you have to incur that cost before you win new orders.

David Howard Perry

Goldman Sachs Group Inc., Research Division

And you're talking about power gen or oil and gas?

Andrew B. Shilston

Former Director

Well, it's principally, I mean, it's in both. I mean, perhaps oil and gas has been more buoyant. As I said, the order inquiry level has definitely picked up. We have been bidding for power gen work both from a diesel side and gas turbines. And it does require a certain amount of effort, so I think it's across both businesses, really.

Benjamin Philip Fidler

Deutsche Bank AG, Research Division

Just one final one for me, which was maybe I missed it in the press release somewhere. But I just wondered if you could update us, Andrew, on what the TCP net debt was at the end of the first half?

Andrew B. Shilston

Former Director

Well, I'm so pleased, Ben, that you've asked me that question. And I think you'll find the answer in the press release. And I will refer you to the note in a moment when I have found it. And it is on Note F, Page 11 of the press release. And the short answer is there's not much change.

John F. Rishton

Former Chief Executive Officer and Executive Director

So hopefully, that's discouraged any more questions. Are there any more? Okay, well, thanks very much for coming here again this morning. Just to summarize again. It was a strong first half. I think we're well positioned and confident about the future. And certainly, my first few months in this company has been a terrific experience. And I look forward to seeing you again at the full year. Thank you very much, indeed.

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Rolls-Royce Holdings plc LSE:RR.

FQ2 2010 Earnings Call Transcripts

Thursday, July 29, 2010 2:00 PM GMT

S&P Global Market Intelligence Estimates

	-FY 2010-		-FY 2011-
	CONSENSUS	GUIDANCE	CONSENSUS
EPS Normalized	0.38	-	0.43
Revenue (mm)	10448.79	10410.00	10991.59

Currency: GBP

Consensus as of Jul-29-2010 10:44 AM GMT

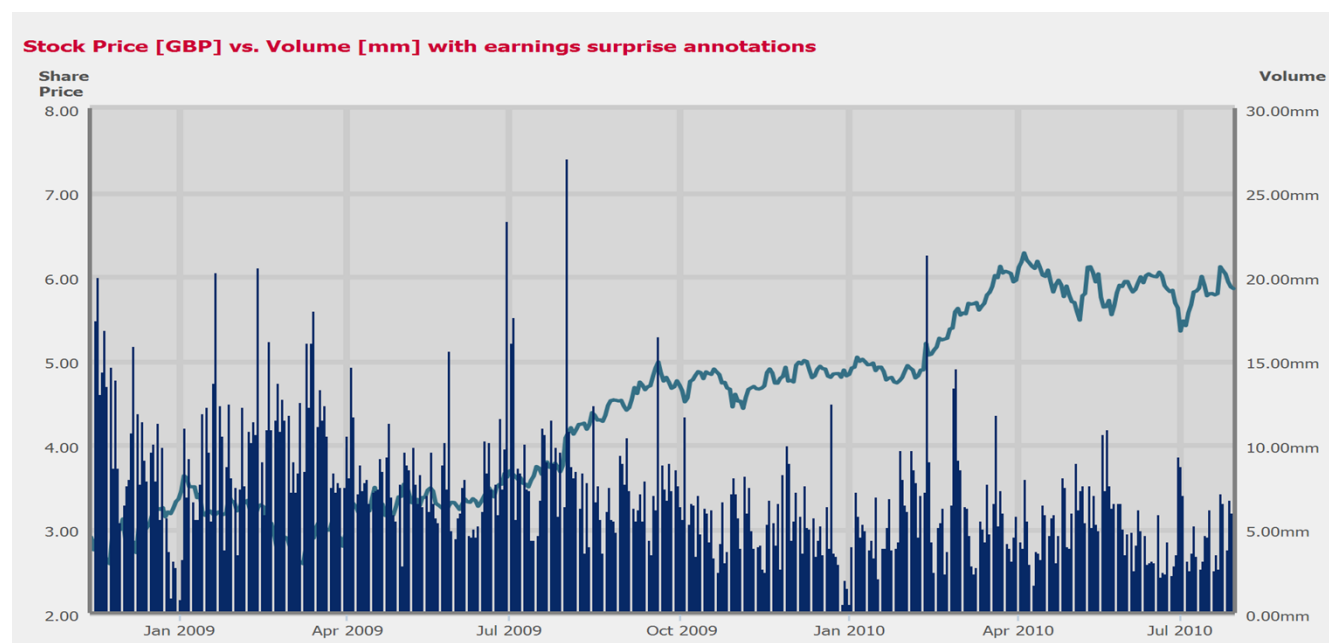


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Societe Generale Cross Asset Research

Presentation

John A. Rose

Former Chief Executive Officer and Director

Good morning, everybody. I'm President. We're starting on time. Thank you for coming. I know it's a busy morning you've got. We've already been upbraided by a number of people for not being competent enough to schedule a meeting on a different day from BAE, so apologies for that. We'll try and do better next time. I blame Mark Alflatt. First, just sort of housekeeping, do turn your phones off, just to avoid interference.

As usual, it's the same four matters as we always follow. I'll give you a brief introduction, and Andrew will step through the detail of the first half and the guidance. Mike will give you an update on where we are on all our operational activity, by which there's a huge amount at the moment, and then I'll summarize.

As you've heard me say before I was a noted pessimist on the economy and I'm likely to be late optimist, unless there are optimistic signs around. I think we're in a period of continuing uncertainty, where we are going to be subject to surprises of one sort or another. And in that context, it's very important that we have the sort of access to global markets that you can have as a high-technology company where in many of the potential customer countries, they don't have equivalent capabilities, so we don't have domestic competitors.

So in a world where we believe recovery is likely to be a, unpredictable and b, asymmetric, that's very important. And equally important in these circumstances, and I think demonstrated by the first half performance, is the resilience of the portfolio that we've developed. And that portfolio has a number of different components obviously. We're in a relatively wide group of markets from similar space through to energy. But also the portfolio is getting increasingly broad in terms of the product components. And that's true both in terms of the existing portfolio, but also as we showed you in the preliminaries. We are involved in an unprecedented number of new programs, which the underpinning of our growth over the next decade and where we're saying that we are confident that the business can double organically as it has over the last decade. And obviously, we've got a mix of original equipment and services. And that mix is likely to remain broadly the same as we grow. But obviously, in absolute terms, it's growing strongly.

In that circumstance and with these many new programs, and I like the fact that it requires considerable investment ahead of delivery in order to ensure that you have the capacity and capability to deliver the growth, execution is key. And we're making really for this company, unprecedented investments in new capacity but also in improved processes and in more flexibility because we found that flexibility is a important dimension of our ability to respond to the sorts of events we've seen over the last couple of years.

So the first half was encouraging, and if I could make this work, it will be better. Andrew will step through this in great deal of detail. But just to pick up a couple of points, we continue to take orders in the first half and the order book has grown. We've actually added about another billion pounds of orders since the half year. The revenue growth was strong in the first half of underlying profit, up by 4%, really influenced by a strong performance in Marine and really good cost management. As a result, we've increased our payments to shareholders by 6.7%. And as you can see in the press release and here, we've improved our guidance for the full year. That point, I'll hand over to Andrew to step through you in detail.

Andrew B. Shilston

Former Director

Good morning. Before I take you through the individual businesses, this is just a reminder that I'll be addressing the underlying not to see as reported numbers. And the main difference, I think, as you'll remember is the periodic re-evaluation of the hedge book. And this time, we had a \$0.07 strengthening in the dollar, and that causes the underlying profit of GBP 465 million to turn into a loss of GBP 475 million on a headline basis. And there are a lot more details in the notes of the press release, which reconcile the headline to the underlying performance. And there's also some information about the hedge book in the appendices presentation.

There were no significant translation benefits or cost to the underlying profit and the use of hedge book was largely as we've predicted.

Turning to the high-level differences between this year and the first half last year in terms of underlying profit. You can see that we have a column for foreign exchange, the light blue on the foreign exchange column is the transaction benefits and the dark blue is the translation benefit, which is more than said. We had about a \$0.07 improvement in our achieved rate in the first half of the year. That contributed to the GBP 28 million improvement in profit. And for the full year, we anticipate a \$0.06 to \$0.09 improvement in the achieved rate, which will contribute somewhere between GBP 15 million to GBP 75 of profit. That may be a little less percent movement in the exchange rate than you're used to. And the reason for that simply is the contract accounting, which plows some of the benefit forward in the calculation.

We're not assuming any further deterioration or benefit from translation movements. And the guidance that we give for full year is assuming that, that GBP 9 million benefit does not change. We've got slightly low restructuring cost this year, and that benefit should be preserved full year.

Turning to R&D. There's quite a little bit of analysis in the appendix in the usual form, and there's little change in the R&D cost half-year-to-half-year, but by year end, we should see quite a big turnaround in that. And we think there'll be a GBP 40 million to GBP 50 million negative effect year-on-year, partly for spend reasons and partly because of more R&D being expensed, particularly associated with the XWB engine Airbus A350.

And finally, the net effect of one-offs from half-year-to-half-year is that we have a GBP 20 million negative. And I'll make a few more comments about that in the business results. And we have a net GBP 20 million odd negative on trading and mix. Most of that is in the Civil business as you'll see on the next slide here.

So in the Civil business, we've had a pretty busy period, lot's going on, flight test programs on the Boeing 787. Gulfstream G650, the Embraer Legacy 650 and the first run on the XWB, so you get more evidence of when new product is coming from and how this is going to contribute to growth in the future.

The order book grew despite the uncertainty, we now have 5,100 engines in the order book, just on the half of which, not trends. So yet again, more indication of growth to come.

Overall results and the full cost of full year largely as we predicted, except some modest effects due to the volcanic ash disruption in Iceland and some waiting of original equipment delivers the first half. So we expect revenues up about 10% to 12% for full year. Service revenues will also be up about 10% to 12%. And that guidance is largely unchanged from February.

As we said back in February, the margins this year will be affected by early engines on new programs. We'll have more of those in the second half of the year. We've sold fewer lease engines this year, and I've already alluded to the turnaround in R&D, which will have an impact on the full year results. But overall, the guidance for Civil profitability has not changed from February, and we expect that business segment to be down about GBP 40 million year-on-year

Lots of activity again on Defense business. Flight test program on the A400M and JSF LiftFan continue. And we continue to work on the alternative engine for the Joint Strike Fighter, the 136, and that's making progress as well. The order book continues to be replenished. As you can see here with military transport and aftermarket is doing very well. And I think the fact that we powered 160 services in 103 countries is helpful in the face of some risk to govt expenditure in the more traditional markets in the U. K. and the U.S. And there are other markets overseas which are not under the same pressure.

As we've been saying now for at least two years, the Military Transport sector continues to be bouyant, and we're seeing some benefit from that in the results. The first half margin improvement reflects cumulative consequences. There are lots of small differences on R&D restructuring costs in the absence of one-offs. We expect full year profits to be up pretty strongly, up about 10% year-on-year with some weighting of costs overall to the second half.

Yet again, another busy segment in Marine. You can see a lot of activity on the naval side and particularly Littoral Combat Ship, Astute and Type 45, all going through sea trials. We took around GBP 1 billion worth of orders during the period. And with fewer cancellations, the reduction in the order book has definitely slowed down. And we are seeing more signs of activity in the market, more request for proposals and some signs that order intake is starting to pick up again. Just to remind you that we completed the ODIM acquisition during the period. And that contributed about GBP 100 million of revenue in the first half, and it'll contribute about double that for the full year.

Excluding the effect of the ODIM purchase, original equipment was down a little in the first half and it'll be down a bit more in the second half as we burn off some more of that backlog and before we get benefit of new orders coming through. Services on the other hand, are growing pretty strongly, up 14% through the half year and we'll grow strongly again in the second half. The strong first half margin improvement is largely due to about GBP 40 million of charges in the first half last year, which didn't occur. And we also had better realization from orders, another, backlog, fewer cancellations and better execution at some of those contracts.

As I said, original equipment will weaken further, in the second half, but after market were very strong again. And profit for second half, we think, will be GBP 10 million to GBP 15 million lower from the first half of this year, but that will tell you that the Marine business as a whole will perform strongly compared to last year.

The Energy business and activity, as much as we foresaw it back in February, good demand in power generation in particular. We did incur some retrofit costs on the fleet of the delevers and the industrial trends to improve combust of life, and that caused the first half loss. We can see a continuing strong OE and aftermarket growth in the second half, and that should leave revenues up, about 30% for the full year. In this together, with good cost control, should lead profits for that business segment, up about 30% over 2009.

Turning to financing cost. We continue to have net interest costs despite average net cash. And that's due to the low yield we have on cash balances compared to the funding costs on the debt. But we value the financial flexibility that, that gives us. And as we go into next year that the carrying cost will reduce quite significantly as we repay GBP 500 million bond issue. And we've already in fact refinanced that. The implied interest on financial RSPs is going down. And that's because one agreement is being concluded, and overall financing cost of full year will be roughly double what you can see for the first half.

Financial strength continues to be one of our keynotes. We've had a cash inflow during the period. The average net cash was up GBP 155 million compared to 2009. We've got two smaller pension schemes going through the triennial reviews in 2010, but we don't anticipate any changes to funding overall into the pension schemes.

There were no changes to gross and net contingent liabilities on existing customer finance. And in terms of new customer finance improvement, it remains pretty modest. And that's basically because the wholesale markets and the ECAs have provided most of the capacity that the market has needed. And so there's been much less recourse to the manufacturers.

As you can see here on this chart, we've had a cash inflow the half year that's a little better perhaps than we expected. On the left-hand side, the gray bars represent the cash we expect to generate. On the right-hand side, the red bars represent July recurring spend. The GBP 356 million now you on CapEx intangibles is roughly half, split half on CapEx and half on intangibles. And there's a lot of information in the press release breaking out the intangible additions over the various headings, which you can review through our ledger.

Overall, we expect capital and intangible spend to be GBP 600 million to GBP 700 million. At the full year, obviously, these are large amounts of money. But I think just to emphasize the point John made, we do invest heavily before we generate cash flows and in a way that's just another signal that organic growth, we're already investing in that for the long term.

So I think the message from that picture is that on a recurring basis, we can afford to spend what we need to spend to generate that growth. And we'll also be moderately cash positive on the way. Working capital benefits reflect good collections of over dues, some waiting of deposits the first half, which translates a little better than we expected. I think it's important to note that overall, working capital if you net it all out, it's not a very large number, but the individual components are quite big. We have about 4 billion of debtors, 5 billion in creditors and 2.5 billion of inventory. So fairly small movements in these large numbers can move the working capital around quite a lot.

And overall, we expect to have positive cash flow but the full year modest 100 million, 200 million, something like that. And it's worth just noting that over the three years 2008, 2009, and '10, we've spent about GBP 3 billion on investment capital R&D and the like, IT, as well as GBP 700 million on dividends and payments to shareholders. And along the way, we've also improved our average cash position by GBP 500 million. So that's not a bad performance through those, which have might pull recession years or soft years.

So just to wrap up, all the guidance points I've made so far. Revenues for the full year, we expect to grow by nearly 10%. And the guidance for the Civil business did not change. We expect profit slightly down about GBP 40 million year-on-year. Defense business will perform strongly. Profit should be up about 10%. Marine profits, I think, I've given some indications on what the second half will look like. And so year-on-year, the profit's going to be up significantly. And the Energy business will also grow strongly as the original equipment deliveries build up.

We will get the predicted benefit from the hedge book, no change there. And underlying profits which were up 4% the half year, that should be a good guide to what we expect for the full year. In other words, full year, we would expect to be up about 4% or 5% year-on-year. And we should see a modest cash increase alongside with average cash similar to the first half. I think that's me done. Mike?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Good. Thank you, Andrew. Good morning, everybody. In my world in operations, we work every day, the day job, delivering the engines and the services that end up with the financial results. And we work hard at it and it is the day job. But the other part of our day job is actually creating the future, and we do that every day. And it's tremendously exciting because we're actually leaving the future revenues as we create the opportunities by building the portfolio, extending the portfolio, making it real, facilities that will allow to deliver these products designing, developing, testing and producing that will that will allow us to deliver these products out through the next decade.

So in operations, in many ways, we get a much clearer and much more real deal with the future than anybody else because we live in it. Now what I'd like to do today in this presentation is to sort of bring you into that world and give you a glimpse of the progress we're making. On extending the portfolio, investing for growth and investing for productivity.

I showed you this chart back in February. And at that time I called it a year of firsts because I love these first flights and first sailings. It just happened, and we're pretty excited about that. We've made a lot of progress this year. Things are moving along at a significant pace.

So just a few highlights. The LCS, that's now deployed in service. The Joint Strike Fighter is actively completed and doing a lot of work on vertical lift. And the G650 has four aircraft now in the flight program, one fully kitted out. And that's going very well. You saw, some of you will have seen the A400M, which is now the three aircraft in the flight program flying at Farnborough and also at Riyadh. And that was a quite a spectacular daily display. I'm sure some of you would have enjoyed them.

Also at Farnborough, one of the four Rolls-Royce-powered 787s was on display. We're doing the bulk of flight testing that's being completed. And that's over 1,000 hours of tests so far. And the engines have been doing fantastically well. But to bring you up-to-date with just one of our other products, I've only been able to put some of our products on this chart because we're doing very large numbers across all

sectors. The one of our very exciting products is the Trent XWB, the latest trent engine, which Andrew has already mentioned.

Just to give you some sort of sense of the scale of this. I mean, the size of that engine is about the same as the size of the Sentry, same fuselage. Four years ago, it was an idea. We told Airbus it would run in June 2010. Thousands of possible design, manufactured both together. We assembled them, put them on test bed, pressed the button and the engine started. It's quite an amazing thing. But we won't get any revenue for that engine until 2013 because we'll go with the flight test program and perhaps to deliver the aircraft. And from 2013, that aircraft will start to live in with our engines. And by the middle of the decade, and the rates -- let's say the rate's 250, which it maybe, maybe more. We'll be delivering annually the equivalent trust of 80% of today's Civil deliveries for all of our boarders today in just one program.

So all of that has to be realized. It's the future. It's what we live in every day. And we clearly have to make a lot of new facilities and the supply chain has to invest a lot in new facilities to make the products that we're going to deliver.

I've got a world map here that just shows some of the 60 major property activities we've got running. Some of those are marine service centers. But I'm going to talk today about three locations: the U.K, which we've broken out because we have a number of facilities we worked on here; Singapore; and Crosspointe in Virginia in the U.S.

Back in February, I stood on this site to essentially start the construction. And we have just an artist impression on a flat piece of land, and that's showing up at the top. And this is the aerospace part that will have new wide court assembly facilities, assembly test for Trents and a hub which has in it a manufacturing lab, research lab, HR, purchase, quality personnel from our Asia region, so it's a big facility.

Just to show you, at the bottom page, you'll see a photograph of the local facility. Now this will be able to double our capability to do Trent assemblies, advanced technology in Singapore there. You can see that this facility has made enormous progress. I'm amused by the picture, it's going to -- the traffic sign that says slow. I can't think of anything less appropriate to the progress on this site. We have a thousand people put in our facilities at a phenomenal rate that ahead of program, that'll be finished as a facility at the end of LM [ph] and then the machine tools go in and we produced parts in 2012.

Moving along, as we all know what the assembly and test facilities look like, these are going to duplicate the modern facilities, 57 Bed on the assembly at test site. So we'll be able to double the Trent capacity, which is as I've said, we're living in the future, that's doubling our Trent capacity for the order book that we've got. And this is a photograph of the new test bed in construction, similar to the one we have in Derby 57 Bed, capable of taking very large engines.

Now moving across deals out of the world. In Virginia, we have 1,000 acres of land. It's a very large amount of land near Richmond in Virginia, a site called Crosspointe. Top left-hand corner is the artist's impression of the first facility that will be built on that site. And that facility will produce disks of the Trent family for engines and for aftermarket. And you could see, if you look at the artist's impression, you see it becoming a reality in the bottom photograph and the top photograph. That's a photograph of us as of a few weeks ago. We'll actually start producing parts there in 2011.

And into the U.K. We announced four new facilities in the U.K. last year. They're going through varying degrees of design and planning. One of the most advanced here is up in Derby. You could see it's near our submarines facility and the artist's impression on the left, the reality coming together the right. This is capable of making nuclear components for our submarines. But also, it has a capability to do civil nuclear in that facility.

Productivity is crucially important to us. We are partners in the Advanced Manufacturing Research Center network that's growing around the world. Six in different stages of completion. These are places where we actually pushed the manufacturing to an advanced level to make us more productive and make our supply chain more productive. The one on the bottom left is the one in Sheffield that's being built for a number of years, and we're actually seeing the fruits of that now in our facilities.

The one in the middle there is a forming center. It was just about to open in Glasgow. The building is complete, that's the real building. The one on the right is composites down in Bristol, we have one in Crosspointe in Virginia and one in Singapore, also under development. So we invested in capacity for growth, but we're also investing heavily for productivity at our manufacturing facilities and in all the other things that we do.

So in summary, we deliver everyday but we've invested for long-term growth. Those new programs you saw are some of the new programs, not all of them, we've got many others that underpin the organic growth that John and Andrew talked about. We're developing a more flexible supply chain who invested heavily in our suppliers internally, and they're investing in us by building new facilities all around the world. And the last two years have been quite volatile. This year has been more stable but we've seen that we can be flexible, and it's a key element in the way we think about the world. That we have choices and we have flexibility as we invest.

So pretty exciting time being in operations and pretty busy time. And with that, I'll hand it over to John to summarize.

John A. Rose

Former Chief Executive Officer and Director

Thanks, Mike. Just briefly, as I said at the beginning, I think we are in for a period of continued uncertainty generally across the world. But in that context, I think that the company is well positioned where we are on the technology ladder, the range of programs we're involved in. I mean, access that we have to global markets and the new programs we're investing in. And indeed, the success of the programs that we already have. As an example, we're seeing more activity now on the A330 than we've ever seen. And it's worth sort of remarking on the fact that Airbus have sold 600 A330s since the 787 was launched.

So it is becoming a workhorse of the industry, and that's partly driven by some of the distances and volumes that need to be traveled and volumes that need to be carried in the developing world, places like China and so on. But we're comfortable with the strategy we've been following. The investments we've been making in our portfolio in the markets that we're in supports our view that we can double business organically over the next decade.

Clearly, as Mike has made it obvious, good execution is key. And that involves a couple of things. One is we have to ensure that we have the capacity in place to deliver that growth. That has to be done ahead of the revenue. And you have to put in place the total capacity and then occupy it. And the productivity on the investment we are making in new manufacturing techniques, processes, facilities, working practices and footprint is key to that.

So in summary, for the full year, we're guiding to slightly stronger profit and cash flow and wherever is in that bet than we do the preliminaries. And at this point, happy to answer questions.

Question and Answer

Andrew Chambers

[MF Global UK Limited]

Just trying to drill down a bit more into some of the most detail on Civil aftermarket side, which I guess you're not surprised I'm asking question on that. If we assume that in the first half the total care side of the equation grew reasonably well, given the fleet growth and flying hours et cetera. In the light of what some of your competitors have said in terms of demand trends, can you give a bit more color on what's going on with the time and material side and spare parts, and whether the order trends are picking up or what your customers are indicating to you going into the second half?

Andrew B. Shilston

Former Director

Yes. I think we indicated back in February that we haven't seen much upturn in demand on the time and material side. And that continues to be the case. I mean, typically, we get two to three months of visibility of demand through the repair and overhaul network. And we're still not seeing much change to that fairly flat pattern. Obviously, in the end, I think as there is more flying activity, one would expect some recovery. But there's not much evidence of it yet.

Andrew Chambers

And on Civil margins, if we stick with that profile of recovery and what you said about production, do we see Civil margins trending back higher from where we are this year, given there's a few negative hitting the division?

Andrew B. Shilston

Former Director

Well, I think we'll have to wait until early next year before we start to give some guidance for 2011. But for this year, I think the comments I've made hold good that we'll see the number of engines on early programs having some negative effect. And obviously, over time, those will tend to work out the system.

Andrew Chambers

Switching to Marine, very strong performance. Is that on the aftermarket side or results of market share gains? Is your proportion of aftermarket going up as a result of your investments? And similarly on the margin side, going forward, you've had a very big jump in returns. Is that sustainable or will the mix continue to go up?

Andrew B. Shilston

Former Director

Well, I think on the aftermarket, it's a function of two things. Firstly, we've spent quite a lot of money improving our dock side presence around the world, which captures more of the aftermarket. And the fact that we've delivered so much original equipment has contributed to that growth. And so, we see that the strong performance in the first half continue into the second half of the year.

Andrew Chambers

And beyond?

Andrew B. Shilston

Former Director

Well, I think, we'll give you that guidance when we get there. But I mean I think the margins this year will clearly show the benefit from growth in aftermarket.

Antoine Boivin-Champeaux
CA Cheuvreux, Research Division

[CA Cheuvreux]

Antoine Boivin-Champeaux. Could you take any color on Civil? You showed us plus 7% in Civil Aero aftermarket in the first half. Could you give us the underlying figure in dollar terms and excluding the Aviall distribution agreement for the first half? And give us your expectation for the full year as well.

Andrew B. Shilston
Former Director

Well, I think we guided back in February that the full year aftermarket growth will be about 1/3 to do with foreign exchange, 1/3 to do with the Aviall agreement, 1/3 to do with the growth in the underlying aftermarket. And for the full year, we see that to be very much what's likely to happen. And I think what's happened in the first half, we've seen a bit less from perhaps time materials, and we expect to go low. We never had great hopes for recovery. But I think the full year composition of the aftermarket would be much as we expected back in February.

John A. Rose
Former Chief Executive Officer and Director

And indeed, the scale of the growth. So we reguiled to 12% in the prelims, and we're staying with that guidance. So mathematically, the second half will be a bit better.

Zafar Khan
Societe Generale Cross Asset Research

[Societe Generale]

I have two questions, please. First one is on the Marine. You mentioned the encouraging pick-up in the orders there. I was just wondering if you could give us a bit more detail of where that's going to be? Is it specific or across the board? The second us just on your balance sheet, which is almost 1 billion of net cash on an average basis. And I know, Andrew, you mentioned that gives you flexibility. I just wonder how you're hoping to deploy that going forward?

Andrew B. Shilston
Former Director

Well, I think on the balance sheet, we've always made a feature of financial strength. And that continues to be the case. We have appetite to grow, in particular, our Energy and Marine businesses. In time we'll see what opportunities we identify, whether those are inorganic or organic. And we have nothing particular in mind, I admit it. But we have a lot of capability and we'd like to find ways of capitalizing on that. Sorry, what was your question on Marine?

Zafar Khan
Societe Generale Cross Asset Research

Just in terms of the order activity [indiscernible].

Andrew B. Shilston
Former Director

Well, I wouldn't overstate how quickly it's coming back. But I think the nature of our products, all of it, we have a lot of capability we are increasing. The market is interested in high-efficiency products, lower-emission products. I think for the first time, perhaps the last year, people are talking about emissions in the merchant fleets around the world, which is not something that people have really talked much about before. So there's going to be more demand for these sorts of things that we do, which is not the way of concentrating in the heavy end of the merchant fleet world. But for example, coastal ferries which originally started in Norway using gas engines, we detected demand elsewhere in the world as people get worried about emissions close to coast lines. So I think it's not only going to be from our traditional

markets that in the future we'll see demand picking up. It's also going to be demand spawned by appetite for clean and more efficient equipment.

John A. Rose

Former Chief Executive Officer and Director

Addendum to that, our Marine business is slightly different from the other Marine businesses that you would typically compare with. And that most of them are diesels led, whereas we're systems led and diesels is just one of the prime drivers that we can use. And Andrew's point is that environmental agenda are always getting more important but also just the capability and what we generally do. Clever ships they go fast, they are very maneuverable, they can hold position on the seabed, they can tow or raise, et cetera, et cetera. So they have a lot of systems capabilities. So as you've seen pictures before of the sorts of vessels we provide systems for, we will be providing something like 60% of the content of a vessel and doing the integration task.

Harry F. Nourse

[HSBC]

I was just wondering, could you possibly give us some kind of geographical breakdown on your Defense revenues, let's say just the different parts of the world, and perhaps your thoughts on how potential cuts might affect you.

John A. Rose

Former Chief Executive Officer and Director

Well, I think, probably Mike can give you a detailed breakdown. But just simply, our biggest customer is the United States. And our second biggest is through the U.K. and Europe. And then it grades through the world as Andrew said, we have more than 100 countries which we sell to. I think the points that he made remain valid, where we have about 50% of our revenue coming from services. Then there's about 20% that comes from the development programs, which are typically in Europe and the U.S. And then the balance is original equipment, which is pretty broadly spread across a large number of programs. So no individual program is a disproportionate part of our revenue in that sector. And we're highly focused on areas such as transport sort of utility areas of demand, as opposed to the more exotic programs that we are involved in, the old exotic program. So I think it's important we have a very widespread of customers, a very widespread of programs. We have a split between services and OE. And no single program is disproportionately important to us.

Harry Breach

[Barclays Capital]

I'm following on my colleague, Harry's question on Defence. First, could I just resolve a small question. The F136 development expenditure to go to completion to move into production. At Farnborough, I think we had a number of \$1 billion, and your friends on that program have given number of \$1.8 billion, which is correct?

Andrew B. Shilston

Former Director

I have no idea. We'll come back to you and just correct the data point. But I think the point is that we're not incurring costs on our own dollar. I mean this is still a funded program. And it looks as if funding will be in place through the balance of this year.

Harry Breach

second part on Defence...

John A. Rose

Former Chief Executive Officer and Director

And the other thing that's just worth remembering on that program is that we're involved in two components of the F-35, one is LiftFan, which we own 100% of it. And then the other one of course, is I think the one you're asking about which is the engine, which is where we're 60-40 with GE.

Harry Breach

And the other question was we've seen a number of companies comment on delays in contract placements by various Ministries of Defence. Have you seen any of that at Defence Aerospace?

Andrew B. Shilston

Former Director

No, I don't think so, not discernibly. I mean there are some places in the world where contract negotiations take a long time, but that's always been the case.

Harry Breach

When we saw the slides earlier in Mike's presentation of Singapore, it reminded me of a nearby customer. And I'm wondering, have we seen a 787 engine selection by Singapore Airlines?

[indiscernible]

Avi Hoddes

UBS Investment Bank, Research Division

[UBS]

First, could you pass a comment on unit costs, pressures and the various pieces in that? Give us some color where that's going? Same question on working capital. If you could just again, kind of give some color as to where you think the three pieces of guidance, I guess in particular I'm interested on the inventory but also given the order flow that we've seen, what's going to happen on the tables and your balances line? Then finally on the volume ODM I don't feel like I've ever really heard from you the rationale behind ODM and publicly and really kind of how that fits with? I see you guys as a company that can deliver his power, that the energy, how the ODM fits into that strategy.

John A. Rose

Former Chief Executive Officer and Director

Why don't we start with ODM first. I mean we did explain the rationale and it is consistent with overall systems strategy in Marine business which has as you know is beyond just the power. We go from the bridge through propulsion, and we have some of the ancillary capabilities that are associated with the function that those ships deliver, but primarily power. But we have a broader systems offering as we do persons oil and gas where we have a broader systems offering with compression. So it is analogous to the sorts of activities that we already perform in the oil and gas industry particularly but we just broadened into a slightly wider area of activity. It's a business we know is extremely well. It's co-located more or less with businesses in Ulsteinvik. And we're very comfortable with the acquisition. We think it will add a lot of value to the company.

Andrew B. Shilston

Former Director

Well, I'll take working capital and then Mike unit costs And we're looking at working capital if we look at inventory, first of all, we know that those to bring inventory levels down. But I think this is not a simple process because we have about 2/3 and what they put into an engine comes from the exceeding supply chain. So were also having to manage risk in the external supply chain and then we have the over the last two years of program delays which is gigs for those of you to what Acopia is over time come I think there are opportunities in imagery but they may not be that significant in their short-term. With parts to deposit, I think that is always difficult to predict and we are forecasting some negative turnaround in deposits in the second half the order intake particularly demurring business will not be as levels that we've seen in previous years but we could be wrong. So I think the deposit areas and inventories it difficult

to forecast is one of the weak results were working capital is quite volatile. Mike? Objects generally, the guidance on when it comes February we guided that will distinguish and I don't see anything to change that guidance.

Avi Hoddes

UBS Investment Bank, Research Division

Zama materials and our contract on that was there is pieces there?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

I think the give you some data back in February and nothing's really changed. We hedged out well into the next decade on titanium, we hedged on the materials and so we have some volatility up and that's bouncing same as it goes down. It's a hedging process. So billings, operations doesn't really move around the rapidly day-to-day basis. So welcome.

Avi Hoddes

UBS Investment Bank, Research Division

Will your Marine business event affected by what's happened in deep-sea golf particularly since you don't Mr. And comes one if your directors?

John A. Rose

Former Chief Executive Officer and Director

Particularly I haven't quite got the connection here. But we're interestingly since then, David's particularly is reaffirm its capital programs for their activities and it's not only the quarter, but also some of the other areas in the world where expressions taking place since the colder waters that are driving the demand for vessels. And so that, plus the renewal cycle if you go I look at the major leagues, some of them have a lot of assets that are no longer really useful for some of these more complicated environments. So I think on the whole, we think that demand will remain consistent with our really the advantage to reporter has changed that. Just sort of a sideline, it is the government says where we are going to have 50% of our nobles, our editors a generated by renewables largely optional been by 2020, couple of required unprecedented operations. I don't personally think it's an easy target to meet. What of sure, what of course exactly the same sort of capabilities the scenery. And so you got the ships for that globally. And then you about a format. You saw our title generator sort of artistic impression of this on one of the slides. The time that it is for testing. That it's a sort of vessel what we're talking about. We get the would that sort missile.

Avi Hoddes

UBS Investment Bank, Research Division

You touch on materials hedging. To do just come back to foreign exchange hedging at the. And what the hedge book doesn't hedge book and what the average was?

Andrew B. Shilston

Former Director

There's a more detailed in the offenses to summarize the hedge about \$20 in size and the average rate and manages \$1.60.

Rupinder S. Vig

Morgan Stanley, Research Division

[Morgan Stanley]

To questions, we are results to provide with the Energy prices can you just give us a bit of an update as to what's happened since I was thinking about the area in the future than just back to the civil business, if we think about the items that, what's the picture for that is going to be in terms of new programs? And our own perspective, how big or small the impact we the future progress we I we.

John A. Rose

Former Chief Executive Officer and Director

Nuclear first. Smoking alone the trajectory that we thought everybody's writing., about it? Or. Frankly what was to the income of the companies learned something when Korea one immediately. So there are more number potential and actual competitors now in the market. We continue to pursue our strategy Richard Wiseman subsists of parts of the farm so we can do special is design and manufacturing., of large components to give us a minimum of asset a role in the aftermarkets. And secondly, the instrumentation and control opportunities that comes from our base that we provide insufficient control and I think in a positions have the rest of a bunch of others around the world. So there would be two strands to the third richest around services and advisory capability. It's going to be a subset right from the outset, let me so what were taking longer than people originally expected. But we're still comfortable with his a sensible expansion of our capabilities in your clear. And you've seen and it is around in a reason to references. Which possible ways of spending on manufacturing capability. And as Mike showed you, we're investing in absurd and it's largely or submarine capability, but it's nice that we can do with respect to the civil demand. I'm absolutely sure that for many countries the Energy mix is going to be clean coal, gas and nuclear. country severe because there is a registered environment and different resource strengths but clearly prices nuclear. is that the reader that can you sort your cost. And Energy strategy is going to be very important as we look forward and I'm convinced there's going to be up a big part of it. Than expected. It is cleaner we know how to do it. On IE, community is essentially one part of company at the moment and the next position will have some impact on what the future of IE but said I think two or three years ago when they started, we are always happy that we have the option to go out on Friday that we have a preference to use the bread rally in partnership relationships that we built up over to your use with IE and addressing that particular sector. But we have the option to address it on a stand-alone basis today and the weighted we did and to the 19 eighties.

Rupinder S. Vig

Morgan Stanley, Research Division

Coming to this exciting line this to me unlike some of these goals is right products, with the terms of your. We have a new opportunities that have settled down and make one thing. I know you want flexibility, but you might assert in terms of your operations that that was actually up some space going to make you like easier and might allow you to some of closely rival's are showing piece what are you talking a salary don't know what? Yamato assault facilities, think a lot of different files for different products with the division but where wanted me producer to view that as an opportunity?

Mike J. Terrett

Former Chief Operating Officer and Executive Director

An estimate as we talked about and there is about 70,000 big wave of hundreds or thousands seconds because the scale and size of it. So yes, it's clearly a goal to have a big stable run of his which is facilities. A lot of the tooling predicted the importance of the trend. Quite flexible but to attract families. So if you go more into see a huge months commonalities to be able to use the term on the purveyors different products, sometimes exact same one of the similar. But when you take some around toward facility, I do have the figure which made is producing still going to actually make a facilities domestic facilities work flexibly because they companies where do you differentiate the product that is a high degree of precision technology in the making as well as the design and that's where we make our components. In our supply chain, our supply chain is much more what is the biggest events products. But they tend to have facilities that are more the way described in and so when we said about, we've got less than 130 supplies in Q2 the more specialized, but at less than 100 supplies, some of them critically our programs in part to Texas on another trends. Some are dedicated to a pretty good program. So it's more complex answer to diversity.

Rupinder S. Vig

Morgan Stanley, Research Division

And go nowhere you look at what to say, yes, that takes operations it gets inside.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Of our biggest volume is one or the IE program which is across several independents. MBA program us across the 22, C130-J, the Embraer, the assessment. It's, the order of that engine in Indianapolis very, very smart high volume. The subsandwiches to some of applications, the engine is my about the. The between 500 is high-volume but the. Those supply chains have high-volume repetitive product. The train 700 is another great as you at this will be another one. Our domestic facilities a Senate to get the best of the special products that we make ourselves. Our supply chains are then designed around the volumes we expect for different products.

John A. Rose

Former Chief Executive Officer and Director

Which is how important as I've in terms of overture and so on. And does is remembered, 77, segment seven that the market I interested that the market we have 35, we have the percent of that 25%. So it's a relatively small percentage of market.

Rupinder S. Vig

Morgan Stanley, Research Division

If so V.C. Summer and a good example.

Mike J. Terrett

Former Chief Operating Officer and Executive Director

Building Singapore and others in the U.K. but have the capability to do multiple trends in both facilities which is very helpful from a business that in perspective. But remain of those facilities to optimize the repetitive nature of certain products and this is true to that is similar to the December test we have the choice to do what you describe which is showpiece. What begin quite expensive.

John A. Rose

Former Chief Executive Officer and Director

There no more questions. Thank you very much. I know you've got a busy day, so thank you for joining us.

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